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Financial accounting and the reporting of financial information in the financial statements of an entity provide relevant information that assists existing and potential investors, lenders and other creditors in their decision-making, emphasising the need for financial statements to represent the transactions and events of the entity faithfully. Financial statements tell the story of the resources of an entity and the claims against that entity, informing these users in their assessment of management's stewardship of the entity's economic resources. The focus of this textbook is to describe, explain and illustrate the objectives for general purpose financial reporting, with reference to the *Conceptual Framework for Financial Reporting* (IFRS Foundation®, 2018¹) and the respective International Financial Reporting Standards® (IFRS Accounting Standards®) published by the International Accounting Standards Board® (the Board).

Accounting irregularities and corporate collapses highlighted the need for guidance regarding the appropriate accounting and reporting of financial transactions and events, resulting in a continued revision and updating of accounting standards. More recently, the purpose of the accounting profession and its contribution to society and the environment are foregrounded, asking *what* professional accountants do, *why* they do it and *how* they contribute to the public interest (IFAC®, 2024²). These issues have resulted in a renewed focus on the education of professional accountants, as reflected in the pedagogy of this textbook.

This textbook follows a principle-based approach in its descriptions and examples. It supports critical thinking by providing: detailed explanations of specific accounting decisions, features such as 'Something to think about' and 'Ethical dilemma' boxes, and a new 'Link to the Sustainable Development Goals' feature where accounting principles are linked with particular Sustainable Development Goals set by the United Nations. Other features include mind maps of the key concepts at the beginning of each chapter and a summary of key points at the end of each chapter.

Using the *Conceptual Framework* as the starting point, this textbook describes and explains the application of IFRS principles for specific transactions or events. In addition to incorporating revisions of accounting standards, the content of this textbook has been substantially reviewed and updated. In addition to some changes in the order of the chapters, three new chapters have been added: Chapter 4, *Fair value measurement*; Chapter 8, *Related party disclosures*, and Chapter 29, *Foreign operations*. The chapters are presented in three parts:

- Part 1 deals with the overall financial reporting environment, including the preparation and presentation of financial statements and the analysis of financial statements.
- Part 2 covers each of the elements of the financial statements in detail and has been structured in line with the respective IFRS Accounting Standards.
- Part 3 comprises the accounting for groups, including foreign operations.

This textbook has been updated to take account of all the relevant changes in the IFRS Accounting Standards that were issued by the Board by April 2024. The content of this edition has been updated with the newly issued IFRS 18, *Presentation and Disclosure in Financial Statements*, to the extent that information is available at the time of publication.

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The authors and contributors

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1 IFRS Foundation®. 2018. *Conceptual Framework for Financial Reporting*. London. Available: <https://www.ifrs.org/issued-standards/list-of-standards/conceptual-framework/> [2024, March 27].

2 International Federation of Accountants® (IFAC®). 2024. *IFAC Strategic Plan 2024*. New York. Available: <https://www.ifac.org/publications/strategic-plan-2024> [2024, March 27].

AUTHORS

Prof. Ilse Lubbe

Professor, College of Accounting, University of Cape Town

B.Com (Hons), HDTE, M.Phil, (Higher Education Studies), PhD, CA(SA)

Prof. Goolam Modack

Associate Professor, College of Accounting, University of Cape Town

B.Com, PGDip Tax Law, M.Com, CA(SA)

Prof. Shelly Herbert

Associate Professor, College of Accounting, University of Cape Town

B.Com (Hons), M.Com, CA(SA)

Mr. Sapho Gwadiso

Senior Lecturer, College of Accounting, University of Cape Town

B.Com, M.Com, CA(SA)

RECOGNITION OF PAST CONTRIBUTORS

The following current and past academics in the College of Accounting, University of Cape Town, are recognised for their contributions to previous editions of this textbook.

Alex Watson	Emeritus Professor, College of Accounting, University of Cape Town B.Com (Hons), CA(SA) Alex Watson was one of the founding authors of the first edition of <i>Financial Accounting: IFRS Principles</i> .
Taryn Miller	Senior Lecturer, M.Com, PhD, CA(SA)
Paul Maughan	Senior Lecturer, B.BusSc, B.Com (Hons), M.Phil (Philosophy), CA(SA)
Mariam Bardien	B.Com, M.Phil (Higher Education Studies), CA(SA)
Nabeelah Daniels	B.Com, M.Com, CA(SA)
Samiah Fakier	B.Com, M.Com, CA(SA)
Magon Gajewski	B.Com, PGDip Acc, CA(SA)
Kim Hendrickse	B.Com, PGDip Acc, CA(SA)
Rowan Hoch	B.Mus, PGDip Acc, M.Com, CA(SA)
Boitumelo Qheya	HDip Acc, B.AccSci, CA(SA)

Tshegofatso	B.Acc (Hons), CA(SA)
Sebeela	
Magdel	B.Acc (Hons), M.Acc (Taxation), CA(SA)
Zietsman	



This is the sixth edition of the popular *Financial Accounting: IFRS Principles* textbook. It adopts a concepts-based approach in terms of the structure of the content, which is supported by discussions of contemporary issues, case studies and accounting challenges.

This textbook contains several features in each chapter to help the reader, whether they are a student, a tutorial leader or a lecturer.

Parts

There are three parts to the textbook. Each part has its own introduction, which talks about the aims of the chapters included in that part and indicates how the chapters relate to one another and the study of financial accounting as a whole.

References

As illustrated in the examples below, at the beginning of each chapter you will find a list of references to IFRS Accounting Standards and the *IFRS for SMEs* Accounting Standard that apply specifically to the content of that chapter. Also at the beginning of the chapter, you will find references to IFRIC Interpretations, SIC Interpretations, South African Financial Reporting Guidelines and IFRS and SAICA circulars, where relevant.



Other references are given at the end of the chapter.

Learning objectives

At the beginning of each chapter is a bullet-point list of skills-oriented learning objectives. After studying the chapter, students should have enough information to express an informed opinion on the objectives in question and demonstrate related skills.



Concept summaries

Each chapter has a diagram at the beginning that summarises its key themes.



Examples

Practical examples illustrating concepts and principles feature in every chapter and provide a valuable study and revision tool.



Key principles

One of the main qualities of this textbook is that a principle-based pedagogical approach is applied. This is foregrounded in a helpful feature highlighting IFRS principles throughout the textbook.



IFRS for SMEs Accounting Standard applications

The relevance of the *IFRS for SMEs* Accounting Standard is emphasised in boxes that illustrate its application to small and medium-sized entities. Where applicable, differences and similarities to the IFRS Accounting Standards are highlighted.



Key definitions

Certain terms and definitions are highlighted because they are particularly important for students to understand.



Formulae

Formulae are placed in boxes to make it easier for students to read and apply them.



Ethical dilemmas

A professional accountant must apply moral reasoning and judgement, and this feature identifies a possible ethical dilemma that needs consideration.



Links to the Sustainable Development Goals

Linking accounting principles with the United Nations' Sustainable Development Goals highlights the effect of accounting and reporting decisions on an entity's ability to support these goals.



‘Something to think about’ boxes

The content of this textbook is made more engaging by including text boxes that contain interesting research facts, debates and anomalies or which provide clarity on the specific detail of an accounting principle or standard.



‘Something to do’ boxes

These boxes either allow students to check what they have learnt or suggest an activity to help them relate the theory discussed to real life.



Tutorial leaders and lecturers can also use these boxes as the point of discussion in a classroom situation.

‘Something to watch’ boxes

Students often prefer to watch a short video explaining the accounting principles rather than reading about them.

The University of Cape Town Learn Accounting website offers a suite of 100 concept-based videos. The ‘Something to watch’ feature guides students to appropriate ‘Learn Accounting’ videos, available online at no cost. QR codes have been included in the boxes to lead students directly to the relevant video. These videos may be particularly useful to students for whom English is a second language, as several are available in other South African languages (for example, isiXhosa, isiZulu, Sesotho and Xitsonga). The videos are available at

<https://commerce.uct.ac.za/learn-accounting>.



Key points

At the end of every chapter is a summary of the key points.



Discussion questions and exercise questions

The discussion and exercise questions at the end of every chapter allow students to achieve a more complete understanding of the principles and applications involved in that chapter.



Index of IFRS references

At the beginning of the textbook there is a list that shows which chapter focuses on which IFRS Accounting Standards and IAS Standards, as well as which sections of the *IFRS for SMEs* Accounting Standard.

List of abbreviations

At the beginning of this textbook there is a list of the abbreviations used in this textbook.

Glossary

At the end of this textbook there is a glossary that defines important terms used in this textbook.

Lecturer and student resources

Additional resources for lecturers and students are available on the OUPSA website EduZone. A test bank, teaching suggestions and solutions to the textbook questions are available for prescribing lecturers. Students have access to an additional test bank and selected solutions.

Further contact

Should you have any comments about this textbook, the publisher and authors would be pleased to receive them. Contact the Publisher, Higher Education Division, Oxford University Press Southern Africa, via the online form on the OUPSA website (www.oxford.co.za).

The tables provided below summarise the inclusion and discussion of the respective IFRS Accounting Standards and other guidelines in the various chapters. This acts as a quick reference to assist readers in identifying the relevant chapter.

The first table shows which chapters in this textbook cover the various IFRS® Accounting Standards and IAS® Standards, as well as which chapters cover which sections of the *IFRS for SMEs*® Accounting Standard. The tables that follow this show which chapters cover the various IFRIC® Interpretations and SIC® Interpretations, as well as which chapters cover the South African Financial Reporting Guidelines and the relevant circulars issued by the South African Institute of Chartered Accountants.

Where a standard, interpretation, guideline or circular is listed in one of the tables but no chapter number is given, this indicates that covering it was beyond the scope of this textbook.

International Financial Reporting Standards (IFRS® Accounting Standards)			
IFRS® Accounting Standard/IAS® Standard	IFRS for SMEs® Section	Title	Chapter/s
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IFRS 5	–	<i>Non-current Assets Held for Sale and Discontinued Operations</i>	21
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CC 05/2018	<i>Recognition of Lease Income and Expense on a Basis Other Than the Straight-line Basis Under IFRS 16, Leases</i>	17
CC 01/2021	<i>Headline Earnings</i>	7

ABBREVIATIONS

A

A Asset

AltX Alternative Exchange

ASB Accounting Standards Board

B

b/f brought forward

B-BBEE Broad-Based Black Economic Empowerment

BEE Black Economic Empowerment

BEPS Basic earnings per share

C

c/f carried forward

CGT Capital gains tax

CGU Cash-generating unit

Corp. Corporation (indicating a legal entity incorporated under specific laws, for example, an entity incorporated in Japan or the United States)

Cr Credit

CU Currency unit

D

Dr Debit

dti Department of Trade and Industry

E

E Equity

EPS Earnings per share

ESG Environmental, social and governance

EUR Euro

F

FASB Financial Accounting Standards Board

FC Foreign currency

FCTR Foreign currency translation reserve

FIFO First-in-first-out

FOB Free on board

FRG Financial Reporting Guidelines

FRSC Financial Reporting Standards Council

FTSE Financial Times Stock Exchange

FV Future value

G

GAAP Generally Accepted Accounting Practice

GBP Great Britain pound

GRAP Generally Recognised Accounting Practice

GRI Global Reporting Initiative

H

HEPS Headline earnings per share

I

IAS International Accounting Standard

IASB International Accounting Standards Board

IASC International Accounting Standards Committee

IESBA International Ethics Standards Board for Accountants

IFAC International Federation of Accountants

IFRIC International Financial Reporting Interpretations Committee

IFRS International Financial Reporting Standards

IFRS for SMEs *International Financial Reporting Standard for Small and Medium-sized Entities*

IIRC International Integrated Reporting Council

Inc. Incorporated (indicating an entity that is formally registered as a corporation in a specific country, such as in the United States)

IPSAS International Public Sector Accounting Standard

IPSASB International Public Sector Accounting Standards Board

ISSB International Sustainability Standards Board

IR Integrated Reporting

J

JPY Japan yen

JSE Johannesburg Stock Exchange

L

L Liability

LIFO Last-in-first-out

LC Local currency

Ltd Limited (indicating a public company)

N

NCI Non-controlling interest

O

OCI Other comprehensive income

P

PAYE Pay-as-you-earn

PEH Parent equity holders

P/E ratio Price earnings ratio

PIR Post Implementation Review

Plc Public limited company (indicating a legal entity registered in the United Kingdom)

P/L Profit or loss

PMT Payment

PMTS Payments

(Pty) Ltd Proprietary Limited (indicating a private company, applicable in most countries, including South Africa)

PV Present value

PVA Present value of an annuity payment

S

SA South Africa

SAICA South African Institute of Chartered Accountants

SARS South African Revenue Service

SDG Sustainable Development Goal

SIC Standards Interpretation Committee

SFP Statement of financial position

SMEs Small and medium-sized entities

STRATE Share Transactions Totally Electronic

T

3G Third generation

U

UIF Unemployment Insurance Fund

UK United Kingdom

UN United Nations

US United States

USD United States dollar

V

VAT Value-added tax

W

WANOS Weighted average number of ordinary shares

WCA Workmen's Compensation Act

WEF World Economic Forum

X

XBRL eXtensible Business Reporting Language

X-Filing XBRL Filing

Z

ZAR South Africa rand



Financial reporting is less about calculating numbers than it is about telling a story. An accountant is a communicator, and, as is the case with any successful communicator, a good accountant has to learn to listen. When preparing financial reports, the accountant must listen to the information needs of those who require financial information.

Accounting requires business transactions and events to be recorded so that information about the entity is available for reporting. The objective of **financial reporting** is to provide financial information about the reporting entity that is useful for **existing and potential investors, lenders and other creditors** in making decisions about buying, selling or holding on to an investment in the entity as well as about providing or settling loans and other forms of credit. These people (investors, lenders and other creditors) are the **primary users of the financial statements**. Internal users (owners and management) and external users (third parties) are the intended beneficiaries of **general purpose financial reporting**.

However, financial statements prepared for users provide only some of the information they need to make decisions. The information in the financial statement needs to be considered in a broader context. In other words, consideration should also be given to general economic conditions and expectations, current political events and the political climate, and industry and company outlooks.

The principles according to which the financial information of an entity is prepared and presented are included in a set of accounting standards referred to as **International Financial Reporting Standards®** (IFRS® Accounting Standards). This book takes into account the new IFRS Accounting Standard, namely IFRS 18, *Presentation and Disclosure in Financial Statements*, which identifies several amendments to other IFRS Accounting Standards. This includes the amendment of the title of IAS 8 from 'Accounting Policies, Changes in Accounting Estimates and Errors' to 'Basis of Preparation of Financial Statements'.

You will learn more about the development and setting of the IFRS Accounting Standards in [Chapter 1](#), *The financial reporting environment and frameworks*. The seven chapters that follow it discuss the presentation of financial information in the financial statements, including the statement of cash flows, accounting policies, earnings per share and so on. [Chapter 9](#), *Analysis and evaluation of financial statements*, will assist you in analysing and evaluating the information presented in the financial statements to complete the story.



CHAPTER

1

The financial reporting environment and frameworks

IFRS reference

Conceptual Framework for Financial Reporting

IFRS for SMEs Accounting Standard reference

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Key points to take from this chapter

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Exercise questions

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Learning objectives

By the end of this chapter, you should be able to:

- Articulate the importance of a single set of high-quality financial reporting and global accounting standards.
- Describe the various financial and non-financial reporting frameworks that can be used.
 - Describe the purpose and importance of the *Conceptual Framework*.
 - Explain the objective of financial reporting.
 - Identify and explain the qualities of useful financial information.
- Explain the objective and scope of financial statements, and describe the reporting entity.
- Explain 'elements' of financial statements: an asset, a liability, equity, income and expenses.
 - Explain and apply the general principles for including elements in the financial statements (recognition) and removing elements from the financial statements (derecognition).
- Explain the various measurement bases and discuss the factors to be considered when selecting a measurement basis.
- Apply the general concepts relating to presentation and disclosure and the guidance on including income and expenses in the statement of profit or loss and other comprehensive income.
- Understand the concept of capital maintenance and be able to explain this principle.

Concept summary



1 Introduction

Financial reporting is the language used to communicate financial information to a wide range of interested parties. In order to understand a language, you need to be familiar with the grammar that governs that language.

In your first year of accounting, you learnt how to translate business events into accounting language using the accounting equation and the double-entry system. You saw how any business or individual's accounting worth (also known as equity) is based on the assets that remain once all the liabilities have been settled. This can also be expressed in the following formulae:

$$\text{Equity} = \text{Assets} - \text{Liabilities}$$

or

$$\text{Assets} = \text{Equity} + \text{Liabilities}$$

As a financial accountant, you are required to record transactions and events relating to a specific entity in a set of books, which consists of the general and subsidiary ledgers, journals, cash books and so on. This is done in accordance with the double-entry system, using the accounting equation.

You have already learnt how a business event affects the equity of an entity through its effect on the entity's assets and/or liabilities. You now need to understand the practices and principles that influence the various business transactions' recognition, measurement and reporting. This process is referred to as **financial reporting**, as you are required to report the financial information in a format that is generally applied and understood by the users of that information, and the product of this process is referred to as the **financial statements**. You will understand financial reporting by studying the relevant principles included in accounting standards, specifically the **International Financial Reporting Standards®** (IFRS® Accounting Standards).

1.1 What is accounting, and how did it develop?

Accounting is the language of business, and accounting standards (the IFRS principles) are the grammar of this language. Accounting information has been useful for hundreds of years, informing business and investment decisions. The double-entry system was first described in a book written by Luca Pacioli, a fifteenth-century Italian monk and mathematician, although its origins can be traced back another 300 years. The work by Pacioli is now the universal standard for accounting in the Western world. The double-entry system has been used to record almost every commercial transaction in the past 500 years.

Something to do

Revise your knowledge of accounting by reading Jacqui Kew's *Financial Accounting: An Introduction* (2024). The sixth edition has recently been published in Cape Town by Oxford University Press.

Accounting is the process of providing quantitative information about economic entities to help users make decisions concerning the allocation of economic resources.

Accountancy has emerged as a profession alongside the professions of medicine and law. The accountant's purpose is to help communicate the effect of business events and transactions on the financial position of the entity.

Several **primary users** have an interest in knowing the financial position of the entity as well as how this financial position has changed over time.

The **investor in an entity** is one such user. Investors need information to estimate the potential return on the capital they have invested and to assess whether the entity has increased their wealth over a particular period. This information helps the investors to decide whether to keep, increase or reduce their investment in the entity. Financial accounting facilitates the preparation of the reports that existing and potential investors use in this decision-making process.

The accountant also needs to communicate an entity's financial affairs to **other users** (such as potential investors, suppliers, customers, regulators and so on). These parties need information to make certain financial decisions in relation to the entity. These decisions include whether to invest in the entity (in the case of potential investors), whether to continue to supply goods on credit to the entity (in the case of lenders and suppliers), whether to use the entity as a preferred supplier (in the case of the customer) and how to view the tax status of the entity (in the case of the tax authorities).

As any number of different users may utilise the financial information, and because it may be the basis for a comparison of the entity with other local and international companies, it is important that the principles used to prepare the financial statements be applied consistently. Financial reporting, therefore, requires a comprehensive and well-understood set of principles. These principles are contained within accounting standards.

It is important to differentiate between financial accounting and management accounting. **Management accounting** is the process of preparing information for management for its own internal use. Internal financial information is referred to as the **management accounts**. As management accounts will only be used internally, these should be prepared on the basis that is most useful for the type of decisions that management needs to make. Management can therefore decide what type of information it needs, as well as how this information is to be measured and presented, without considering the needs of others. However, financial statements are generally prepared for a wider audience and should therefore be prepared using a well-understood set of guidelines for financial reporting.

1.2 What are accounting standards and reporting frameworks?

Accounting standards are documents that describe the principles that should be applied when accounting for specific transactions. They provide a standardised way of describing an entity's financial performance. Different accounting standards provide guidance on different aspects of the financial performance and/or position of the business.

An accounting standard generally includes:

- An explanation of the basic accounting principle
- Guidance on how that principle should be applied
- An explanation of why that principle is the appropriate method to use (referred to as 'bases for conclusion')

- Instructions about what information must be included in the financial statements (in other words, the disclosure requirements)
- Worked examples of the application of the principles.

A set of accounting standards makes up a **financial reporting framework**. There are a number of these financial reporting frameworks, but the best-known framework is made up of the **International Financial Reporting Standards**, generally referred to as the IFRS Accounting Standards. This framework is developed and supported by the International Accounting Standards Board®. It is used in South Africa as well as in many other countries. The International Public Sector Accounting Standards Board (IPSASB) issues **International Public Sector Accounting Standards** (IPSASs) for the accounting and reporting by public sector entities. In South Africa, similar public sector standards, known as **Generally Recognised Accounting Practice** (GRAP), are issued by the Accounting Standards Board (ASB).

When an entity prepares its financial statements, it has to use all the standards of a particular reporting framework. In other words, you cannot pick and choose standards from different frameworks. Financial statements need to make it clear which reporting framework has been used in their preparation.

This textbook deals with two reporting frameworks:

- The IFRS Accounting Standards
- *IFRS for Small and Medium-sized Entities* (the *IFRS for SMEs*® Accounting Standard), which is a simplified version of the IFRS Accounting Standards, intended for companies that are smaller and have fewer capital providers (see the discussion in Section 4.2).

Initially, some countries developed their own accounting standards specifying how various transactions were to be accounted for by local businesses. For example, South Africa developed its own set of standards, known as the South African Standards of Generally Accepted Accounting Practice (SA GAAP), based on the needs of local investors. As these standards were developed independently and with reference to the local market, their requirements were often quite different from those of other countries.

With globalisation, a number of corporations started to have listings on multiple securities exchanges all over the world. In order to provide the shareholders in the various countries with financial information, these corporations were required to prepare a different set of financial statements for each country, which was a costly exercise.

In addition, the different standards led to different profits being reported in different countries. The extent of this issue became clear when Daimler-Benz, the German automobile manufacturer, wanted to list on the New York Stock Exchange and was required to prepare financial statements in accordance with the prescribed financial reporting framework of US GAAP. The company prepared its 1993 financial statements in accordance with German GAAP and it recorded a profit of DM615 million. It then used US GAAP to calculate its profit for the same reporting period, resulting in a loss of DM1,8 billion. This raised the question, ‘Which of these profits was correct?’ Both of them were correct, but they were calculated according to specific rules and guidelines that were based on different principles (that is, on different financial reporting frameworks) (Graham & Winfield, 2010: 90). The Daimler-Benz incident indicated the effects of using different financial reporting frameworks. It highlighted the need for a globalised set of accounting standards that all countries could use.

2 International Financial Reporting Standards (IFRS Accounting Standards)

Recognising, measuring and reporting business events all result in the communication of **relevant financial information** that represents the transactions and events of the entity faithfully in order to assist users in making their decisions. Primary users are only able to make investment and other decisions about the entity if they have financial information that they know faithfully represents the entity's financial position and financial performance. In addition, owners cannot evaluate the success of their investments without comparing the entity's financial results with other investment opportunities. They require the information that they have about an entity's financial affairs to be relevant to their information needs and to be presented in a form that makes it possible to compare their investments in the entity with other investment opportunities.

The IFRS Accounting Standards consist of practices and principles that govern how the financial events of a business are recognised, measured and reported. The IFRS Accounting Standards are formulated by representatives of various interest groups (for example, accountants, academics, businesspeople, regulators and representatives of various industries) and are documented in a set of published standards.

The need for comparability in financial reporting led to the establishment of the International Accounting Standards Board® (the Board). The objective of the Board is 'to develop in the public interest a single set of high-quality, global accounting standards that require transparent and comparable information in general purpose financial statements' (IASB, 2016: paragraph 6[a]).

The Board, which is based in London, works with the respective standard setters in all member countries, such as the South African Institute of Chartered Accountants (SAICA), as the Board aims to work with member countries to produce global standards.

This initiative has had a considerable amount of success. As of the end of 2022, 167 countries had committed to the adoption of the IFRS Accounting Standards. Increasingly, they are becoming the global language of business. The United States of America (US) is the most significant country that has not adopted the IFRS Accounting Standards. Many American companies continue to use US GAAP.

Something to do

See <https://www.ifrs.org/use-around-the-world/use-of-ifrs-standards-by-jurisdiction/> for a list of the countries that have adopted the IFRS Accounting Standards, as well as to read more about the development and current status of this framework.

2.1 The standard-setting structure of the International Accounting Standards Board

The Board is an independent standard-setting body responsible for setting and implementing international accounting standards. It is governed by the IFRS Foundation, a not-for-profit, public interest organisation established to develop a single set of high-quality, understandable, enforceable and globally accepted accounting standards.

The Board's mission is to develop IFRS Accounting Standards that bring transparency, accountability and efficiency to financial markets worldwide. This serves the public interest by fostering trust, growth and long-term financial stability in the global economy:

- Transparency is achieved by enhancing the international comparability and quality of financial information, enabling the providers of financial capital (that is, investors, lenders and other interested stakeholders) to make informed economic decisions.
- Accountability is achieved by reducing the information gap between the providers of capital and the people to whom these providers have entrusted their money, and by providing the information needed to hold management to account.
- Economic efficiency is achieved by helping investors identify opportunities and risks worldwide, thus improving capital allocation. Using a single, trusted accounting language lowers the cost of capital and reduces international reporting costs for businesses.

The proposal for establishing an International Accounting Standards Committee (IASC) was put forward at the 10th World Congress of Accountants, in Sydney, Australia, in 1972. The IASC was formed in 1973, with nine countries sponsoring the committee. By 1998, after reviewing the IASC's operations, it was recommended that a smaller, full-time board replace this committee.

When the Board began operations in 2001, the IASC had already done significant work in developing international accounting standards and had produced several accounting standards, referred to as **International Accounting Standards®** (IAS®). The Board adopted these standards, and the IFRS Accounting Standards consist of both IAS Standards and IFRS Accounting Standards. Each standard has either 'IAS' or 'IFRS' as a prefix, which distinguish between the standards based on the principles developed by the previous body (IAS) and the standards for which the Board is largely responsible (IFRS Accounting Standards). However, the term 'IFRS' is usually used to refer collectively to standards with an IAS number as well as those with an IFRS number.

The Board comprises 14 members. These members are academics as well as experts with a mix of recent practical experience in setting accounting standards, auditing and using financial statements.

The Board has a committee known as the **International Financial Reporting Interpretations Committee** (IFRIC®), which issues interpretation guidelines, and which was previously known as the Standards Interpretation Committee (SIC®). IFRIC reviews both newly identified financial reporting issues that are not specifically addressed in the IFRS Accounting Standards, as well as issues where unsatisfactory or conflicting interpretations have developed. It applies a principle-based approach in providing interpretative guidance to reach a consensus on the appropriate treatment of certain aspects of specific IFRS principles. The IFRIC Interpretations issued by the International Financial Reporting Interpretations Committee are called IFRIC 1, IFRIC 2 and so on, while the SIC Interpretations are called SIC-1, SIC-2 and so on.

Something to do

Visit the website of the International Accounting Standards Board (<https://www.ifrs.org>) to find out more about the Board and standard setting.

2.2 Compliance with the IFRS Accounting Standards

When you read an entity's financial reports, how do you know that they are prepared in accordance with the IFRS Accounting Standards? If an entity's financial reports are prepared in accordance with the IFRS Accounting Standards, they will state this fact. If you refer to the notes of the financial statements, you will normally find that

the first notes listed are the entity's accounting policies. The accounting policies are the practices and principles that the entity has applied when preparing its financial statements. Look out for a paragraph such as the following: 'The principal accounting policies of the company and the disclosures made in the annual financial statements conform with the IFRS Accounting Standards. The principal policies are consistent with those applied in the previous year.' This is an example of a statement of compliance with the IFRS Accounting Standards, which is usually included in the financial statements of an entity.

2.3 The current status of the IFRS Accounting Standards

As mentioned in the previous section, the IFRS Accounting Standards have been accepted by the majority of countries, including the United Kingdom, Australia, New Zealand and South Africa. There was a major breakthrough when they were adopted by listed companies in the European Union (EU) from the beginning of January 2005. The Board issued a specific standard, IFRS 1, to cater for the **first-time adoption** of the international standards. This standard contains certain concessions affecting the adoption of standards at the date of transition.

However, the term 'international' is misleading as one of the world's largest economies, the US, has not played a significant role in developing these standards. The US standards are developed by the country's own standard setter, known as the **Financial Accounting Standards Board (FASB)**. There was a major conceptual difference between the US standards and the international standards. While the international standards were largely based on **principles**, the US standards were based on a **complex and rigorous set of rules**. However, after the various large corporate collapses in the US in 2001 (think of Enron, Worldcom and many others), the US standard setters became more involved with the international standard-setting process. In 2002, an agreement was reached between the Board and the FASB to work together to remove differences between international standards and US standards, to create one set of truly **global standards**. The aim was that these standards would be consistent, comprehensive and based on clear principles that fairly reflect the economic reality of transactions and would result in understandable and timely financial reports. This process was known as the **convergence process**. Since the agreement, the Board and the FASB have developed a number of accounting standards. Although complete convergence between the IFRS Accounting Standards and US standards has not been achieved, sufficient progress has been made that foreign entities are no longer required to prepare a reconciliation of their results calculated according to the IFRS Accounting Standards to the US equivalent. This was a complex requirement, and it is now easier for foreign entities to list in the US.

3 Interpreting an entity's financial statements in light of the limitations of the IFRS Accounting Standards

The IFRS Accounting Standards consist of practices and principles governing the **recognition, measurement and reporting** of an entity's financial transactions. It is necessary to understand how transactions are measured and reported to fully understand the meaning of the information reported in financial statements. This is illustrated by the examples that follow.

In the past, the accounting practice was to measure assets at their original cost and not to increase their value for subsequent increases in the asset's market value. For example, if a company purchased land in 1980 for CU10 000, this land would still be reported on the company's statement of financial position on 31 December 2020 (40 years later) at CU10 000. It would be important to know the measurement basis for property, as this knowledge changes your conclusions about the business's financial position. If the land had a market value of CU10 million on 31 December 2020, this would significantly impact your valuation of the company.

Another example is where assets of a company are not recorded on the company statement of financial position because these resources need to meet the recognition criteria stipulated by the IFRS Accounting Standards. Consider a company with a talented managing director who has managed to increase profits by 400% over two years. This

staff member is an asset to the company and is regarded as intellectual property. However, the value of the staff member to the company is not permitted to be shown on the company statement of financial position. As with any measurement system, the IFRS Accounting Standards can lead to financial results that do not report items that are difficult to quantify (such as the value of the managing director described above).

A detailed knowledge of the **basis** on which the financial statements are prepared, and the associated limitations, prevents users of financial statements from making conclusions that are distorted owing to these limitations. If users are aware of these limitations, they can factor this information into their evaluations of an entity's financial position and performance as reported in the financial statements.

4 New developments in financial reporting

Financial reporting and the presentation of financial information in the financial statements of an entity have undergone several changes and updates in recent years. The global financial crisis of 2008/2009 prompted reflection about the role that accounting standards had played in this crisis. In particular, people questioned whether instances of assets being overvalued, liabilities being undervalued or, worse still, not being recognised, had contributed to the crisis.

Over the years, financial statements have become increasingly detailed, with vast volumes of technical information being produced and presented that only a high-level financial expert could interpret. In addition, increasing arrays of reports were being produced along with the financial statements, including reports on the impact of the entity's business activities on the environment and society. These issues raised the following concerns:

- The need to improve standards to deal with any problems identified
- The need to simplify standards in order to focus on what is important by removing less relevant information
- The need to develop a concise set of standards that smaller entities can apply
- The need to incorporate information relating to how an entity is governed, its risks and its sustainability in the financial statements of large public corporations
- How technology and the use of the internet can improve financial reporting and analysis while simultaneously saving costs (of printing) and making information more accessible.

These concerns, and the current status of developments put in place to address them, are discussed briefly in the sections that follow.

4.1 Activities of the International Accounting Standards Board

In fulfilling its mission, the Board has revised several IFRS Accounting Standards in the past few years. As illustrated in this edition, the newly issued IFRS 18, *Presentation and Disclosure in Financial Statements*, resulted in changes in several other IFRS Accounting Standards.

The Board also has several other projects, including the review of IAS 7, *Statement of Cash Flows*, and has issued an Exposure Draft to amend IAS 28, *Investments in Associates and Joint Ventures*. More information regarding these projects are available on the IFRS website: <https://www.ifrs.org/news-and-events/>.

To maintain its standards' relevance, the Board also conducts a Post-Implementation Review (PIR), generally a few years after an IFRS Accounting Standard has become effective. The PIR starts with an initial assessment of how well the new standard performs in practice and includes outreach to the Board's consultative network. It also considers whether the standard's objectives were achieved and whether new issues have emerged since it was issued.

After the initial assessment, the Board may determine that no additional research is necessary. However, it may seek input on specific topics if important issues have been identified. Once these responses have been analysed, the Board determines the next steps, which could range from setting another standard to a conclusion that no additional work is necessary.

4.2 The *IFRS for SMEs* Accounting Standard

The Board approved the issue of *IFRS for Small and Medium-sized Entities*, commonly known as the *IFRS for SMEs* Accounting Standard, in July 2009 in response to market needs. This was a self-contained standard of approximately 230 pages, designed to meet the needs and capabilities of small and medium-sized entities (SMEs). The standard was updated in 2015, and a third edition is currently being developed. Compared with the full IFRS Accounting Standards, the *IFRS for SMEs* Accounting Standard is less complex in several ways. It is easier to read, contains fewer recognition and measurement options, and requires less disclosure. The *IFRS for SMEs* Accounting Standard may be used by entities with **no public accountability**.

An entity has **no public accountability** when it is not listed or does not hold any assets in a fiduciary capacity for a broad group of outsiders. Banks, pension funds and insurance companies are examples of entities accountable to the public.

The main objective of the *IFRS for SMEs* Accounting Standard is to provide a simplified reporting framework for smaller, non-listed companies that reduces the burden of preparing financial statements in accordance with the compliance requirements of the 'full' IFRS Accounting Standards. Financial statements prepared in accordance with this standard should still be able to provide investors, lenders and other users with financial information that is comparable in terms of the financial performance, financial condition and cash flows of the entity.

The *IFRS for SMEs* Accounting Standard applies the same principles of financial reporting as the general IFRS Accounting Standards. Still, there are some differences in terms of accounting procedures and disclosure requirements, including the following:

- Topics irrelevant to SMEs are omitted (for example, interim financial reporting and earnings per share).
- The principles for recognising and measuring some assets, liabilities, income and expenses (for example, amortising goodwill, expensing all borrowing costs, and cost models for associates and joint ventures) have been simplified.
- Disclosure requirements have been reduced significantly. The full IFRS Accounting Standards require more than 3 000 items to be considered for disclosure, while the *IFRS for SMEs* Accounting Standard has reduced this to fewer than 400 items.

The *IFRS for SMEs* Accounting Standard is also produced by the Board and applies most of the same principles as the full IFRS Accounting Standards. A company that is allowed to prepare its financial statements in accordance with the *IFRS for SMEs* Accounting Standard is using an appropriate reporting framework and is therefore still preparing financial statements that achieve fair presentation.

4.3 Corporate governance

Corporate governance is a term that refers broadly to the rules, processes or laws by which businesses are operated, regulated and controlled. Well-defined and enforced corporate governance provides a structure that, at least in theory, works for the benefit of everyone concerned by ensuring that the entity adheres to accepted ethical standards, best practices and formal laws.

In recent years, corporate governance has received increased attention because of high-profile scandals involving the abuse of corporate power and, in some cases, alleged criminal activity by corporate officers. Corporate governance begins with power: who holds power in a business, how it is delegated and exercised, its purpose and what control mechanisms the power holders use. With power comes the responsibility of decision-making, the right to choose and the option to delegate. Corporate governance encompasses all the activities associated with exercising power, sharing rights and responsibilities, and organising the various functions of a company.

Large entities, usually those with public accountability, include an extended discussion on corporate governance principles and compliance in their annual reports. It is important to note that this reporting is not required in the IFRS Accounting Standards. However, the *Conceptual Framework for Financial Reporting* shows that one of the objectives of financial reporting is to assess management's stewardship of the entity, establishing the link between high-quality financial reporting and good corporate governance.

4.3.1 The King Reports in South Africa

Some years ago, the **Institute of Directors** in South Africa commissioned an investigation into how companies were being administered. This task was assigned to the King Commission, chaired by Mervyn King. The committee has published four reports on corporate governance: the first *King Report on Corporate Governance (King I)* in 1994, the second (*King II*) in 2002, the third (*King III*) in 2009 and the fourth (*King IV*) in 2016. Many of the principles in the King Reports are incorporated into the *Companies Act, No. 71 of 2008*, and the *Public Finance Management Act, No. 1 of 1999* (the Act that dictates how state-owned entities should be governed).

King IV is underpinned by sustainable development, according to which the entity is seen as an integral part of society. This confers rights, obligations and responsibilities on an entity in respect of society and the natural environment. In so doing, *King IV* defines corporate governance as the exercise of ethical and effective leadership by the entity's governing body towards achieving these governance outcomes:

- Ethical leadership
- Good performance
- Effective control
- Legitimacy.

King IV comprises 16 basic principles that any organisation can apply to achieve good corporate governance. It recommends that organisations issue an integrated report to assist stakeholders in making informed decisions about the organisation's performance, as well as its short-, medium- and long-term prospects.

4.4 Integrated reporting and sustainability reporting

Previously, entities only produced financial statements. More recently, they began to include a sustainability report, as recommended by *King II*. The length and complexity of annual reports made them increasingly difficult to use

and costly to produce. There was also often a need for coherence between the financial statements, the sustainability report and the other components of an annual report. These factors led to the move towards integrated reporting.

Integrated reporting is the process of preparing an integrated report, which explains to providers of financial capital how an organisation creates, preserves or erodes value over time. Integrated reporting aims to report clearly and concisely about the entity's strategy and risks, linking its financial and sustainability performance to give stakeholders a holistic view of the entity and its future prospects in the short, medium and long term.

A number of bodies have developed guidelines specifically for reporting and managing a business's sustainability, such as the Global Reporting Initiative (GRI), which was founded in 1997. The GRI is a leading organisation in the sustainability field that promotes sustainability reporting as a way for businesses to become more sustainable and contribute to sustainable development. This means that when companies and organisations consider sustainability and integrate it into how they operate, they must consider four key areas of their performance and impacts: economic, environmental, social and governance. Businesses are spending more and more time and resources on sustainability issues, such as reducing carbon (greenhouse gas) emissions, energy-efficient technology, water use, clean technology, biodiversity and community engagement.

The GRI Sustainability Reporting Standards form a reporting system that enables all companies and organisations to measure, understand and communicate information about sustainability. The organisation's mission is to make sustainability reporting standard practice. In addition, it wants sustainability reporting to help promote and manage change towards a sustainable global economy. Many companies now prepare environmental and social information in terms of the requirements of the GRI (and this information is increasingly only available online).

The focus on sustainability issues is in line with the Sustainable Development Goals (SDGs), created on 25 September 2015 when 169 member countries of the United Nations agreed on the 2030 Agenda for Sustainable Development. This agreement encompasses 17 goals and is a universal call to action to end poverty, protect the planet and ensure that everyone enjoys peace and prosperity. It has an ambitious, universal and holistic agenda, which promotes an integrated approach that tackles the related issues of multi-dimensional poverty, inequality and exclusion, and sustainability. At the same time, this agenda focuses on enhancing knowledge, skills and production technologies to expand people's choices, reduce risks and sustain development gains.

As mentioned above, financial reporting tells the story of an entity's financial position, performance and cash flow. **Integrated reporting** requires the integration of the social, environmental and financial impacts of an entity into the strategic decision-making processes. It aims to give a holistic view of the organisation by putting its performance and strategy in the context of relevant social and environmental issues. A financial decision should not be made without considering the impact of that decision on the financial sustainability of the entity, its employees, the environment, any communities and other relationships that may be affected, and the entity's physical and intellectual resources. The integrated report, therefore, includes forward-looking information to allow stakeholders to make a more informed assessment of the entity's future and to establish how the organisation deals with its sustainability risks and opportunities.

The concept of integrated reporting (IR) is relatively new. The **International Integrated Reporting Council (IIRC)** published the first edition of *The International <IR> Framework* in 2013. The second edition was released in 2021, and defines an integrated report as 'a concise communication about how an organisation's strategy, governance, performance and prospects, in the context of its external environment, lead to the creation, preservation or erosion of value over the short, medium and long term' (IFRS Foundation, 2021: 10). In 2022 the **IFRS Foundation** assumed responsibility for this framework.

The International <IR> Framework includes the following important features:

- Fundamental concepts, which include the use of the six capitals (financial, manufactured, intellectual, human, social and relationship, and natural capitals) within the business model to

create, preserve or erode value (including the resources that the entity uses, relies on or is impacted by in this process)

- Guiding principles, such as strategic focus and future orientation, connectivity and materiality
- Content elements, including an organisational overview, opportunities and risks, strategy, performance and future outlook.

The International <IR> Framework has been developed transparently, with input from businesses, investors, regulators, standard setters, accounting bodies and non-governmental organisations. It seeks to build on existing financial and non-financial reporting practices and responds to two current trends:

- The need for business transparency and the provision of information for a range of different stakeholders
- The need for relevant, material information that guides corporate strategy, risk management and resource allocation.

The inclusion of integrated reporting in South Africa's corporate governance codes and listing requirements has resulted in South African listed companies preparing integrated reports for some years – in fact, before the availability of detailed guidance. While this has been challenging, the South African experience has considerably influenced the development of integrated reporting globally.

There has also been increased reporting on environmental, social and governance (ESG) aspects over the past decade. This is different from sustainability reporting because, while sustainability considers the organisation's impact on the external environment, ESG focuses on the external environment's impact on the organisation's ability to create value. ESG primarily considers the perspectives of investors, while sustainability considers all an organisation's stakeholders.

With the many bodies providing guidelines and standards, the reporting landscape became very complex and potentially confusing.

In response, the IFRS Foundation formed the International Sustainability Standards Board (ISSB) in 2021. The ISSB sits alongside the IASB and will develop sustainability reporting standards that are envisaged to become a global baseline for sustainability reporting over the coming years. The ISSB is thus responsible for IFRS Sustainability Standards. Several bodies have been consolidated into the ISSB, including the IIRC. The GRI has remained separate from the ISSB due to the different focus of their standards. The ISSB has maintained an investor focus, similar to the IIRC, while the GRI maintains their multi-stakeholder focus. However, the GRI has signed a collaboration agreement with the ISSB and will work together to ensure that the IFRS Sustainability Standards will be able to be used seamlessly alongside the GRI Standards.

Something to do

Mervyn King and Jill Atkins, authors of the 2016 book *Chief Value Officer: Accountants Can Save the Planet*, provide the view that the accounting profession is ideally placed to help organisations transition from a focus on purely financial sustainability to broader

sustainability. However, accountants need to be willing to embrace new ways of operating.

Although this textbook focuses primarily on reporting financial capital, you should consider how each aspect of your studies is integrated and how you can influence the impact of business on society and the environment.

Visit <https://www.ifrs.org/groups/international-sustainability-standards-board/> to learn more about the current developments of the ISSB.

The fast-moving pace of these developments underscores the changing global priorities of the business community and the need to consider more than just the financial aspects of a business. To be sustainable in the long term, businesses need to view themselves as part of society and the environment, and make decisions that will promote long-term value and sustainability.

4.5 XBRL reporting

New technologies can enable reporting entities to make available the information necessary for different users to assemble various financial reports to meet their individual information needs. An example of such a technology is **eXtensible Business Reporting Language (X-Filing/XBRL)**, which is an electronic language used to communicate business and financial data. The original concept that continues to form the backbone of X-Filing/XBRL is the creation of a global standard that permits each piece of data contained within corporate financial reports, such as the primary financial statements or the notes and schedules to the financials, to be tagged electronically in a consistent way, thereby enabling the aggregation and extraction of relevant information from many different entities.

Locally, X-Filing/XBRL became mandatory in 2018, and companies must file their XBRL data, or X-File, with the Companies and Intellectual Property Commission (CIPC). XBRL is supported by X-Filing/XBRL South Africa, a non-profit organisation, under the auspices of the South African Institute of Chartered Accountants (SAICA). Its primary objectives are to promote and create awareness of using X-Filing/XBRL in South Africa and to create taxonomies (tagging names) for South Africa's specific reporting requirements.

X-Filing/XBRL South Africa also supports and undertakes educational and training activities. Its members envisage a time when all financial and other business information produced in South Africa will be done in an X-Filing/XBRL format.

XBRL offers major benefits in preparing, analysing and communicating business information. Benefits to the consumer include the following:

- The ability to handle and compare a broader range of companies and a more detailed set of information
 - More powerful software tools for analysis, comparison and benchmarking
 - Far more efficient means of finding specific company data
 - Improved accuracy and reliability of financial data
- The ability to select data from various companies within seconds for comparison and analysis.

Something to do

Visit the websites https://www.cipc.co.za/?page_id=4400 and <https://www.xbrl.org/tag/south-africa/> to learn more about X-Filing and the progress of XBRL in South Africa.

5 Practical implementation of the IFRS Accounting Standards in South Africa

As a result of its capital market, regulatory bodies and financial reporting system, South Africa has traditionally been regarded as the economic powerhouse of Africa.

Post-1994, there was increased interest in the market from local and international investors. The JSE Ltd has been important in ensuring an efficient and well-regulated stock exchange.

South Africa's decision to become one of the world's first nations to adopt the IFRS Accounting Standards received positive affirmation from the International Federation of Accountants (IFAC).

The World Economic Forum ranked South Africa first in the world for the strength of its audit and reporting standards every year from 2010 until 2016 in its annual Global Competitiveness Report (2010, 2011, 2012, 2013, 2014, 2015, 2016). Since 2017, however, South Africa's rankings have dropped, as trust in its auditing and accounting bodies has been eroded (World Economic Forum, 2017). Much work needs to be done to rebuild trust in these institutions.

Accounting and auditing institutions are important in protecting the public interest, as reflected in Sustainable Development Goal 16, which deals with a commitment to peace, justice and strong institutions.

5.1 The South African corporate financial reporting system

Until the end of 2012, South Africa had its own reporting framework, known as SA GAAP. This reporting framework was, for all practical purposes, identical to the IFRS Accounting Standards. When the new *Companies Act, No. 71 of 2008*, became effective, South African companies were required to use the (full) IFRS Accounting Standards or the *IFRS for SMEs* Accounting Standard, so the need for SA GAAP fell away. To accommodate the requirements of Section 203 of the new Companies Act, the standard-setting structure was changed and the Financial Reporting Standards Council (FRSC) was established in 2011. The FRSC and the previous standard-setting body (the Accounting Practices Board) jointly agreed to withdraw SA GAAP for financial periods commencing on or after 1 December 2012.

In order for an entity to state that it has prepared its financial statements in accordance with the IFRS Accounting Standards, the entity has to comply with all the standards as well as all the interpretation standards, including those standards that are issued periodically to help interpret the requirements of a paragraph of a particular IFRS Accounting Standard (the IFRIC and SIC documents).

South African-specific interpretations are issued where financial statement users have needed help interpreting what a particular section of an IFRS Accounting Standard means, and the issue is only applicable in South Africa. (For

example, there is an interpretation dealing with accounting for Broad-Based Black Economic Empowerment transactions.) The interpretation is the clarification of the IFRS Accounting Standard and must be followed.

A complete list of the current IFRS and IAS Accounting Standards at the time of publication is included at the front of this book.

Something to do

You can find out more about the latest updates to the IFRS Accounting Standards and other international news by browsing these websites:

- SAICA: www.saica.co.za
- IASB: www.ifrs.org.

5.2 Legal requirements for compliance with the IFRS Accounting Standards in South Africa

The IFRS Accounting Standards have carried substantial weight in South Africa since their adoption in 2005. However, initially, there was much uncertainty about the precise legal effect of the IFRS Accounting Standards, as SAICA had no direct power to enforce the application of these standards. This resulted in SAICA advocating for amendments to the previous *Companies Act, No. 61 of 1973*, which provided legal backing for the IFRS Accounting Standards. The new *Companies Act, No. 71 of 2008*, requires all companies to prepare financial statements in compliance with ‘financial reporting standards’.

Section 29 of the *Companies Act, No. 71 of 2008*, requires financial statements to:

- Satisfy the financial reporting standards as to form and content
- Present the state of affairs and business of the company fairly
- Explain the transactions and financial position of the business of the company
- Show the company’s assets, liabilities and equity, as well as its income and expenses, and any other prescribed information
- Set out the date on which the statements are produced and the accounting period to which the statements apply
- Identify clearly whether or not the statements have been audited (and, if so, the name and professional designation of the person concerned).

Any company and its officers who fail to comply with the IFRS Accounting Standards in any material aspect regarding issuing its financial information (including financial statements, interim financial information, prospectuses and circulars) is guilty of an offence. In addition, any person who was party to issuing such non-

compliant financial information is guilty of an offence. Non-compliance is, therefore, a crime. This includes advisors who set up an arrangement that leads to misleading financial information. A company's responsibility for its financial information extends to any user, specifically including a current or prospective shareholder, creditor, regulator or other user of the information.

The regulations in terms of the *Companies Act, No. 71 of 2008*, make provision for compliance with the IFRS Accounting Standards and the *IFRS for SMEs* Accounting Standard by profit as well as non-profit companies as follows:

- State-owned companies should apply the IFRS Accounting Standards. Still, in the case of any conflict with any requirement in terms of the *Public Finance Management Act, No. 1 of 1999*, the latter prevails.
- Listed public companies should comply with the IFRS Accounting Standards.
- Public companies that are not listed, as well as private companies, may apply either the IFRS Accounting Standards or the *IFRS for SMEs* Accounting Standard, provided that the company meets the stipulated public interest score of less than 750 and more than 300 (dti, 2010: Regulation 27[4]), and, when applying the *IFRS for SMEs* Accounting Standard, meets the scoping requirements outlined for this standard.
- There is no prescribed financial reporting standard for small private companies whose public interest score is less than 300 and whose statements are compiled internally.

5.2.1 Companies listed on the JSE Ltd

The JSE Ltd (commonly called 'the JSE') was established as the Johannesburg Stock Exchange in 1887. The name changed to the JSE Securities Exchange of South Africa on 8 November 2000, when it became a national exchange and expanded to cover other financial products. In 2005, the JSE revised its corporate identity, changed its name to 'JSE Ltd' and was listed on the Main Board in June 2006.

At the time of writing, the JSE was among the 20 largest exchanges in the world and provided capital to large listed entities, with its **Alternative Exchange** (AltX) offering access for small businesses and its **FTSE/JSE Responsible Investment Index** series (which replaced the Social Responsibility Index in 2015) supporting businesses that invest in development that is socially, economically and environmentally sustainable. Over-the-counter trading and settlement of the trades occurs through **Share Transactions Totally Electronic (STRATE)**. **Yield-X** is a separate trading platform of the JSE launched in 2006, which is used for trading, clearing and settling interest rate and currency derivative products.

Several companies are registered on both the JSE and another securities exchange elsewhere in the world. These companies are referred to as companies with **dual listings**. Examples of companies with dual listings are AB Inbev and BHP Billiton, created through international mergers and takeovers.

The listings requirements of the JSE expect companies to comply with the IFRS Accounting Standards when preparing and presenting their financial statements.

6 The IFRS *Conceptual Framework*

At this stage of your journey into accounting, you should have a good understanding of some of the basic accounting concepts used to prepare financial statements. This section aims to enhance your knowledge of fundamental

accounting principles and practices included in the *Conceptual Framework* and introduce you to some new accounting concepts that form part of this framework.

6.1 Development of the *Conceptual Framework*

We will start by looking at the development of the *Conceptual Framework* over time.

In 1989, the Board's predecessor body, the IASC, issued the *Framework for the Preparation and Presentation of Financial Statements* (the 1989 *Framework*). Then in 2004, the Board and the US national standard setter, the FASB, started a joint project to revise their conceptual frameworks.

The first phase of the joint project was to develop chapters that describe the objective of general purpose financial reporting and the qualitative characteristics of useful financial information. This was completed in 2010 when the Board and the FASB issued two chapters of a revised *Conceptual Framework for Financial Reporting* (the 2010 *Conceptual Framework*). The remaining text of the 1989 *Framework* was carried forward unchanged to the 2010 *Conceptual Framework*.

The Board proceeded on its own, focusing on developing and revising the *Conceptual Framework* as a whole rather than in parts, intending to enable the organisation and other stakeholders to see the links between different aspects of the *Conceptual Framework* more clearly. After considering feedback on the various documents the Board had published and information gained from consultations with interested parties between 2013 and 2018, the Board completed its *Conceptual Framework* project when it issued the revised *Conceptual Framework for Financial Reporting* in March 2018 (2018 *Conceptual Framework*).

In developing the 2018 *Conceptual Framework*, the Board built on the 2010 *Conceptual Framework*. This was done in two ways:

- By filling in gaps where important areas were not covered, or existing guidance was unclear
- By clarifying and updating outdated aspects that no longer reflected the Board's most evolved thinking on these matters.

Something to do

Revise your prior knowledge of the *Conceptual Framework*, and then read the complete 2018 *Conceptual Framework*. Prepare a mind map setting out what you have learnt.

IFRS for SMEs Accounting Standard application

Section 2 of the *IFRS for SMEs* Accounting Standard, *Concepts and Pervasive Principles*, describes the objectives of financial statements of small and medium-sized entities and the qualities that make the information in the financial statements of SMEs

useful. It also sets out the concepts and basic principles underlying the financial statements of SMEs.

The 2018 *Conceptual Framework* comprises eight chapters:

- Chapter 1: The objective of general purpose financial reporting
- Chapter 2: Qualitative characteristics of useful information
- Chapter 3: Financial statements and the reporting entity
- Chapter 4: The elements of financial statements
- Chapter 5: Recognition and derecognition
- Chapter 6: Measurement
- Chapter 7: Presentation and disclosure
- Chapter 8: Concepts of capital and capital maintenance.

The chapters on the objective of financial reporting and the qualitative characteristics of useful financial information remain largely the same.

The objective of this textbook is not to discuss the content of the *Conceptual Framework* in its entirety or in detail, but to focus on complexities you will not have encountered yet in your studies and to help you apply these concepts. You are therefore encouraged to refer to the 2018 *Conceptual Framework* to revise any of the details and concepts not discussed in this chapter.

6.2 The purpose of the *Conceptual Framework*

The purpose of the *Conceptual Framework* is threefold:

- To assist the Board in the development of future IFRS Accounting Standards and its review of existing IFRS Accounting Standards
- To assist preparers of financial statements in developing consistent accounting policies when no IFRS Accounting Standard applies to a particular transaction or event or when a particular IFRS Accounting Standard allows a choice of accounting policy
- To assist all parties in understanding and interpreting the IFRS Accounting Standards.

When preparing financial statements, you should consider the definitions, recognition criteria and measurement concepts for developing **accounting policies** for transactions, events or conditions in the *Conceptual Framework*. This is particularly relevant in the absence of an IFRS Accounting Standard that specifically applies to particular circumstances or similar circumstances. IAS 8, *Basis of Preparation of Financial Statements*, provides guidance for dealing with accounting issues that any IFRS Accounting Standard does not address. (Refer to [Chapter 3](#), *Accounting Policies, Changes in Accounting Estimates and Errors*, for a detailed discussion of IAS 8.)

The 2018 *Conceptual Framework* does not prescribe standards of measurement or disclosure. It is consequently not considered an IFRS Accounting Standard but merely a **set of guiding principles**. Where preparers find **inconsistencies** between an existing IFRS Accounting Standard and the *Conceptual Framework*, the specific IFRS Accounting Standard applies, as the *Conceptual Framework* does not override any IFRS Accounting Standard or the requirements of an IFRS Accounting Standard.

Something to think about

The practical relevance of the *Conceptual Framework*

The *Conceptual Framework* describes the concepts and the objective of general purpose financial reporting. Consider some of the ways in which it is used:

- The **Board** uses the *Conceptual Framework* in its review of existing IFRS Accounting Standards as well as in the development of new IFRS Accounting Standards.
- **Preparers** use the *Conceptual Framework* by applying the IFRS Accounting Standards when preparing financial statements as well as when dealing with topics that have yet to form the subject of an IFRS Accounting Standard.
- **Auditors** use the *Conceptual Framework* in forming an opinion of whether financial statements comply with the IFRS Accounting Standards.
- **Management** uses the *Conceptual Framework* to prepare financial statements where a business transaction or other event needs to be recognised and reported, but there is no appropriate IFRS Accounting Standard. Management can also use the principles set out in the *Conceptual Framework* to formulate a basis for recognising a transaction or other event. In most cases, an IFRS Accounting Standard sets out the accounting treatment of a transaction or circumstance. Where management is preparing financial statements and has difficulty applying an IFRS Accounting Standard to a transaction or other event, the *Conceptual Framework* helps guide the interpretation of the IFRS Accounting Standards and therefore aids in its implementation.
- **Users** of financial statements should also have a thorough understanding of the *Conceptual Framework*. Users' knowledge of the general principles underlying the financial statements enhances their understanding of the financial information reported, thereby improving their decision-making quality.
- The *Conceptual Framework* provides those who are interested in the work of the Board with information about its approach to the formulation of the IFRS Accounting Standards.

Transitioning to the 2018 *Conceptual Framework* and its impact on the existing IFRS Accounting Standards

We currently have the 1989 *Conceptual Framework*, updated by the 2010 amendments (the 2010 *Conceptual Framework*), and the 2018 *Conceptual Framework*. Many of the IFRS Accounting Standards that are currently effective were developed before the issuing of the 2018 *Conceptual Framework*.

The Board has clarified that it and the IFRS Interpretations Committee now use the 2018 *Conceptual Framework*. These revised concepts guide the Board when it develops or revises IFRS Accounting Standards. However, it is not automatic or assumed that changes to the *Conceptual Framework* would lead to changes in existing IFRS Accounting Standards, as changes to IFRS Accounting Standards are generally made to fix a problem in financial reporting.

Thus, changes to the *Conceptual Framework* will have no immediate effect on the financial statements of most reporting entities. Preparers of financial statements could be directly affected by the changes only if they need to use the *Conceptual Framework* to develop an accounting policy when no standard applies to a particular transaction or other event or when an IFRS Accounting Standard allows a choice of accounting policy. To achieve a transition to the 2018 *Conceptual Framework* for such entities, the Board issued Amendments to References to the *Conceptual Framework* in IFRS Accounting Standards in 2018. Where appropriate, that document replaces references in IFRS Accounting Standards to the previous *Conceptual Framework* with references to the 2018 *Conceptual Framework* and is effective for annual reporting periods beginning on or after 1 January 2020.

6.3 General purpose financial reporting

General purpose financial reporting provides the owners of a business (for example, the shareholders of a company) with some means of assessing the proficiency with which their business is being run. In contrast with sole proprietors, the owners of large companies are often someone other than the people responsible for running the business's day-to-day operations. Company employees, called **executive directors**, perform this management role. The financial statements are one way in which the shareholders can assess or evaluate the directors' performance in running the company (for example, how effective management has been in protecting the entity's economic resources from unfavourable economic factors and changes in technology and to what extent the entity has complied with relevant laws and regulations). This is because the financial statements report the impact of management decisions on the company's economic resources, claims against the company (as well as changes in these resources and claims) and cash flows for the year. This reporting function thus makes it possible for investors and lenders to hold management accountable. When management does not manage an entity's economic resources responsibly, investors and lenders can take action.

General purpose financial statements are not tailored to the needs of any one group of users. Existing and potential investors, lenders and other creditors cannot require an entity to provide information directly to them. They must rely on **general purpose financial reports** for much of the financial information they need. Therefore, preparing these reports is considered the most efficient and effective way to meet the information needs of various internal and external users.



Something to think about

Who are the primary users of general purpose financial statements?

The primary users of general purpose financial reports are present and potential investors, lenders and other creditors who use financial information to make decisions about buying, selling or holding equity or debt instruments, and providing or settling loans or other forms of credit.

What are the information needs of these primary users?

The primary users need financial information about the resources of the entity in order to assess its prospects for future net cash inflows, as well as to evaluate how effectively and efficiently management has discharged its responsibilities to use the entity's existing resources (in other words, stewardship).

Do general purpose financial statements provide all the information that users may need?

General purpose financial reports can only provide some of the financial information users may need to make economic decisions. Users also need to consider pertinent information from other sources.

The financial information in the financial statements should be relevant to the primary users' decisions. Although the various users make different financial decisions, all these decisions require information about the entity's ability to produce cash in the future, an indication of when these cash flows will occur and an assessment of the uncertainty surrounding the production of these future cash flows. This common need has resulted in financial statements containing financial information to assist users in making reliable and informed predictions about the extent, nature, timing and uncertainties of **future cash flows** produced by the entity.

6.3.1 What is the objective of general purpose financial reporting?

The information provided in financial statements informs users who must make decisions about whether to buy, sell or hold an investment or interest in the entity (in the case of investors) or whether to provide or settle loans and other forms of credit to the entity (in the case of lenders and creditors).



Key principle: Objective of general purpose financial reporting

The objective of general purpose financial reporting is to provide existing and potential investors, lenders and other creditors with **relevant and decision-useful** information about the financial status of an entity at the end of each reporting period.

In order to assess an entity's prospects for future net cash inflows, existing and potential investors, lenders and other creditors need information about the three components of the entity's financial position: assets, liabilities and equity.

[Table 1.1](#) gives examples of various users' questions about an entity's financial position.

Table 1.1 Useful questions about an entity's financial position

Assets	Liabilities	Equity
• What are the economic resources of the entity? • How does the entity use these economic resources?	• What are the claims against the entity? • What are the unavoidable obligations of the entity?	• What are the changes in the economic resources and claims of the entity? • Has management discharged its responsibilities in using the entity's economic resources efficiently and effectively?
Examples: • What are the accounts receivable and estimated uncollectable portion? • How are the resources used to produce and market goods or services to customers?	Examples: • What are the accounts payable and other short-term liabilities? • What provisions and other non-current obligations of the entity would result in an outflow of economic resources?	Examples: • What is the profitability of the entity? • What portion of the profit (or loss) consists of unrealised gains and losses included in the carrying amounts of assets?

Information about the nature and amounts of an entity's economic resources and claims can help users identify its financial strengths and weaknesses. Such information is useful in assessing the liquidity and solvency situation of the entity, its needs for additional financing and its success in obtaining financing. Information about priorities and payment requirements of existing claims helps users predict the distribution of future cash flows among those with a claim against the entity (for example, its creditors). The **statement of financial position** contains most of the information about the entity's resources and claims (assets, liabilities and equity) on a particular day, thereby helping the user to assess the financial status of the entity. The statement of financial position enables a user to evaluate financial indicators such as financial risk, liquidity and solvency.

Changes in the economic resources and claims result from the entity's performance and other events or transactions, such as issuing debt or equity instruments. The entity's **financial performance information** helps users understand the return it has produced on its economic resources. The performance of an entity can change its financial position. For example, an entity may be in a difficult financial position at the beginning of the year. Still, it may increase its sales significantly during the year, thereby improving its position. The extent to which an entity's financial performance has changed its financial position over a period of time is reflected in either **profit or loss or other comprehensive income, both of which will be discussed further below**.

Before making their financial decisions, users need to identify and understand all the factors responsible for the return that the entity produces on its economic resources, also referred to as the 'financial performance' of the entity. The **statement of changes in equity** reports the changes in the equity of the entity from one reporting year to the next. This statement includes the changes in an entity's economic resources and claims against the entity resulting from its financial performance, as well as transactions with owners. The statement provides sufficient detail to enable users to understand the reason for the change and adjust their forecast accordingly.

Something to think about

Presenting financial performance

The financial statements differentiate between the various changes in the entity's financial position. The changes caused by increases or decreases in assets and liabilities are reported separately from those caused by other factors (such as transactions with the owners and specific events defined by the IFRS Accounting Standards that should be reflected as other comprehensive income for the reporting period, such as revaluation gains of property, plant and equipment). The presentation of income and expenses in different categories within profit or loss or other comprehensive income makes this distinction to help the user forecast an entity's future cash flows.

The financial information needs of the primary users place an increased focus on the entity's ability to generate and predict its future cash flows. The **accrual basis of accounting** requires the effects of transactions as well as other events and circumstances to be recorded and reported when they occur, even if the resulting cash receipts and payments occur in a different period. This implies that information about the entity's economic resources and claims, as well as changes in these economic resources and claims, must be reported during the period when they were incurred, resulting in a better basis for assessing the entity's past and future performance than information that relates solely to cash receipts and payments during that period, as reported in the statement of cash flows.

How an entity obtains and spends cash, details about its borrowing and repayment of the debt, and cash dividends and other cash distributions to investors all represent information reported in the **statement of cash flows** and provide useful information about the entity's liquidity and solvency. Cash-flow information helps users understand the entity's operations, evaluate its financing and investing activities, assess its liquidity or solvency, and interpret other information relating to financial performance.

The entity should provide any additional information that will inform users' financial decisions in the **notes** to its financial statements.

It is important not to consider each financial statement independently, as all these statements are interrelated and contribute towards the entity's financial profile and risk profile. The structure and contents of financial statements are the subject of IFRS 18, *Presentation and Disclosure in Financial Statements*, and are discussed further in [Chapter 2](#), *Presentation and disclosure in financial statements*.

6.3.2 Who are the users of the financial statements?

There are two primary users of financial statements:

- Investors (both existing and potential)
- Lenders and other creditors.

Information provided in general purpose financial statements is useful to these **primary users** in making decisions about providing resources to the entity, which involves buying, selling or holding equity and debt instruments and providing or settling loans and other forms of credit. Identifying these users as primary users does not imply that they are the only users of financial information; it is done mainly because these users have the most critical and

immediate need for the information in financial reports, as they bear the most risk. In addition, many of these users cannot require the entity to provide the information directly to them.

Something to think about

Responding to stakeholder needs

With the increased scepticism regarding the reliability of the financial reporting environment, users require more information about an entity's risk profile, its position regarding financial, social and environmental factors, and its status regarding corporate governance. Consequently, a lot more information is now provided in the notes to the financial statements as well as in supplementary schedules (for example, in an employees' report, where the financial information is simplified). This need for holistic and integrated information has resulted in the development of **integrated reporting**, where an entity reports its performance in terms of both its finance and its sustainability. While entities are required to fulfil the information needs of those who provide them with economic resources, integrated reporting has resulted in entities accepting wider accountability in current times towards stakeholders on whose interests they have an impact (in terms of, for example, labour, space, air or natural resources) and stakeholders who enter into transactions with the entity (for example, customers).

Investors invest resources in an entity (usually money) in exchange for an interest in the net assets of the entity or by buying an interest from existing investors, which enables the seller to liquidate their investment. Investors are interested in seeing growth in their capital investments through an increasing share price and receiving payment for using their capital in the form of dividends. Consequently, investors are concerned about the entity's ability to produce the cash flow required to facilitate these returns on their investments (in other words, capital growth or payment of dividends). They are also interested in the level of uncertainty around the entity's ability to generate these cash flows (referred to as 'entity risk'). In order to be able to decide if they should buy, sell or continue to hold their interest in the entity, investors need the information to estimate the future cash flows of the entity, as well as to assess the uncertainties surrounding those cash flows (the 'entity risk profile').

Lenders and creditors are also primary users of financial information. They are interested in the future cash flows of the entity in order to assess when the loan they have made to the reporting entity will be repaid (the capital balance and the interest amount). They are also interested in assessing the entity's risk profile to see if there is any uncertainty about the entity's ability to repay the loan, both in terms of the timing of the repayment and the probability of the repayment.

Other stakeholders besides investors and lenders include management, regulators, employees and the public. However, time and cost constraints make it impossible to meet every information need of each stakeholder. Nonetheless, the information needs of the primary users are likely to align with the needs of most of the other types of stakeholders.

Each stakeholder has a unique relationship with the entity as well as a different decision-making process that requires certain types of information to inform the decision. For example, **employees** are interested in information such as the salaries expense in relation to the entity's profit, descriptions of HIV/Aids policies, and amounts spent on training and developing staff. They are also concerned about job security and the ability of the entity to exist for a long time. The **public** may be interested in financial and non-financial information about the entity's social and environmental responsibility programmes.

Something to do

Identify the information needs of the primary users of financial information that you would include in the financial statements. Think about how you would gather and report that information to ensure that it is useful, relevant, understandable and timely.

6.3.3 Who is responsible for the preparation and presentation of financial statements?

Preparing financial statements is the responsibility of the **directors** of an entity.

In several jurisdictions, it is a legal requirement for entities to present financial statements in compliance with the IFRS Accounting Standards.

If financial information is published that does not represent the actual state of the company's affairs, the company's directors are held responsible for any misrepresentation. This is because, in terms of the *Companies Act, No. 71 of 2008*, and the *Conceptual Framework*, management is responsible for preparing and presenting the financial statements. The IFRS Accounting Standards require the financial information in the financial statements to represent the results faithfully; it must report the actual transactions and other events as they occurred. Where the financial statements of a company do not faithfully represent the company's state of affairs, the directors (or the company's management) are in contravention of the IFRS Accounting Standards and the *Companies Act, No. 71 of 2008*.

Such a misrepresentation could be because of negligence on the part of management, or it could result from fraud. In both cases, the stakeholders have legal recourse against the directors; the directors can face large fines, be sent to jail or both (as with certain of the Enron directors). The misrepresentation of financial information is an activity that is classified as white-collar crime, which is receiving increased attention in the courts and is subject to increasingly severe penalties.

However, while management is responsible for preparing relevant financial statements that faithfully represent the transactions and events of the entity, the various pieces of legislation and the IFRS Accounting Standards provide a significant amount of guidance. The *Conceptual Framework* provides preparers (that is, management) with some fundamental accounting principles to assist in preparing financial statements.

6.4 Characteristics of useful financial information

The *Conceptual Framework* refers to certain qualities that financial information should embody in order to be useful to existing and potential investors, lenders and creditors (that is, the primary users of financial information). You will have come across these **qualitative characteristics** of financial information in your first year of accounting. Still, we will revise these attributes by examining some scenarios demonstrating their application.

The qualitative characteristics of useful financial information (see [Figure 1.1](#)) apply to financial information provided in financial statements and other information included in other reports, such as the annual report or an integrated report. The financial statements include information about the entity's economic resources, claims against the entity, and the effects of transactions and other events and conditions that change those resources and claims. Some financial reports may include explanatory information about management's expectations and strategies for the reporting entity and other forward-looking information. You should consider the cost (a pervasive constraint) of providing such information.

**Key principle:
Providing quality information**

The qualitative characteristics of useful financial reporting identify the types of information that are likely to be most useful to users in making decisions about the reporting entity. The qualitative characteristics apply equally to financial information in general purpose financial reports and to financial information provided in other ways.

For financial information to be useful, it must be relevant and it must faithfully represent what it purports to represent. The usefulness of financial information is enhanced if it is comparable, verifiable, timely and understandable.

Figure 1.1 Qualitative characteristics of financial information



Source: Adapted from International Accounting Standards Board (IASB). 2018. *Conceptual Framework for Financial Reporting Project Summary*, p. 6.

6.4.1 Relevance

Users are only interested in information that informs their financial decisions. In order to know what information is relevant to a primary user, you need to understand their interest in the entity and the type of decisions they make regarding the entity. However, all users are similar in using the financial statements' information to assess past events and estimate future events. **Relevant financial information is capable of making a difference in the decisions made by users.**

What makes financial information useful?

Relevant financial information is information capable of making a difference in the decisions made by users. Financial information can make a difference in decisions if it has predictive value, confirmatory value or both. The predictive value and confirmatory value of financial information are interrelated.

Consider an investor's interest in an entity. The shareholder's financial decision is based on estimating the company's future cash flows and assessing the uncertainties attached to these cash flows. This information need means that certain types of information are relevant for the shareholder, such as separate disclosure of the financial implications of unusual transactions. Revenue disclosed separately in financial statements is an example of information with **predictive and confirmatory value**. The revenue reported in the current year can be used as the basis for predicting revenues in future years. The same revenue can also be compared with revenue predictions for the current year that were made in past years. The results of these comparisons help users make predictions about the entity's future outcomes and to correct and improve the processes that were used when previous predictions were made.



Something to think about

Practical considerations relating to whether all information is material

Imagine that you invested in a company five years ago on the basis of the good financial performance reported in its financial statements at that time. Now imagine that you find out that there was an error in these financial statements that resulted in the reported profit being stated incorrectly. For one specific transaction, instead of a loss of CU1, the company had reported a profit of CU1 in error. Would this error have changed your decision to invest in the company? In other words, was this a material error?

It is highly unlikely that this error would have changed your decision to invest in the company because the amounts involved are so small. If this is the case, this error was immaterial.

All the practices and principles set out in the IFRS Accounting Standards must be applied only to material transactions, either individually or in aggregate. This means that technically, if you bought postage stamps for CU10 that were unused at the year-end, this should be reported as an asset in terms of the IFRS Accounting Standards, but the stamps could be shown as an expense because this transaction is not material. In other words, the IFRS Accounting Standards need not be applied in this situation.

Where the omission (failure to record or report information) or misstatement of information could affect the decisions made by a user, this information is referred to as being **material**. If a user would have made a different decision had they known about certain unreported information, this information is also regarded as being material. All material information is, by definition, relevant, as it influences users' decisions. Materiality is an entity-specific consideration based on the nature or magnitude (or both) of the items to which the information relates in the context of an individual entity's financial report. This means you cannot specify a uniform or general quantitative threshold for materiality or pre-determine what could be material in a particular situation. Materiality is determined separately for each entity and in each situation using your professional judgement.

6.4.2 Faithful representation

Financial information should faithfully represent the transaction or other event ('the economic phenomenon') that it purports to represent. In achieving this, it is important to consider the substance of the transaction or event. The legal form of transactions or events is in many instances the same as the substance, but there may be instances where they are different. If an entity only provides financial information based on the legal form, it would not faithfully represent the transaction or event. Faithful representation is described as a fundamental quality and should be maximised to the greatest extent possible. In order to be useful, the information must therefore be complete, neutral and free from error:

- For information to be **complete**, it should include all descriptions and explanations. For example, it should include a complete summary of all the assets controlled by the entity as well as a description of the nature of the different assets and the different amounts, including a description of what those amounts represent (for example, cost, accumulated depreciation or fair value). In some cases, for information to be complete, it must also include other relevant information (for example, explanations of significant factors about the quality and nature of the items, circumstances that may affect these, and the process of determining amounts).

- **Neutral** information is prepared and presented without any bias in its selection or presentation. This means that the information is not emphasised, de-emphasised or manipulated in any way so as to increase the probability that it will be received favourably or unfavourably by users. The information is still relevant and capable of making a difference to users' decisions, and it is reported in a neutral way. Neutrality is supported by prudence, which is the exercise of caution when making judgements, particularly when conditions are uncertain. Exercising prudence means that assets and income are not overstated, and liabilities and expenses are not understated.

- Accountants should at all times aim to avoid any **errors or omissions** when financial information is prepared and reported. Faithful representation does not mean correct in all respects, but that the information faithfully represents the underlying facts of the transaction or event, and that you have taken due care when preparing and presenting it. For example, using estimates does not make financial information incorrect, but when an amount is estimated, it can only be faithful if:

- The amount is described clearly and accurately as being an estimate
- The nature and limitations of the estimating process are clearly explained
- No errors were made in selecting and applying an appropriate process for developing the estimate.



ETHICAL DILEMMA

Financial statements should provide transparent and accurate information to stakeholders. Ethical dilemmas can emerge when there is pressure to withhold or manipulate information, leading to incomplete or misleading disclosures that may harm investors or other parties relying on the financial statements. You may have read in the financial press about how the financial statements of corporations such as WorldCom and Enron some years ago and, more recently, Steinhoff, reported incorrect financial information to stakeholders. These misrepresentations resulted in many stakeholders suffering financial loss owing to poor investment decisions as a result of misleading information.

Furthermore, professionals involved in financial statement preparation, such as accountants or auditors, may face conflicts of interest that could compromise their ethical obligations. For example, an auditor may have a financial interest in the client, potentially impairing their independence and objectivity. Maintaining the confidentiality of financial information is crucial.

To navigate these ethical dilemmas, professionals involved in preparing financial statements should adhere to ethical codes and professional standards, such as those issued by accounting bodies like the International Ethics Standards Board for Accountants (IESBA). They should prioritise integrity, objectivity, professional competence and ethical behaviour to ensure the accuracy, transparency and reliability of financial statements.

Reporting relevant financial information that faithfully represents what it purports to represent helps users make decisions with more confidence. This results in more efficient functioning of capital markets and a lower cost of capital for the economy as a whole. However, the two fundamental qualitative characteristics may lead to conflicting guidance on accounting for a specific transaction or other events.

How would you react if you were provided with financial information as soon as you requested it, but the information needed to be corrected? In such a case, the information could be considered relevant but not faithful. Alternatively, if you needed to make an investment decision and were provided with the company's financial statements that were two years old, the fact that this information was correct would be irrelevant because the information is outdated and cannot fully be used to inform your decision. In such a case, the information could be considered faithful but irrelevant. Obviously, some balance between these characteristics needs to be reached for the information to be useful to users.

For example, the measurement base that provides the most relevant information about an asset does not always provide the most faithful representation. Once the criterion of relevance is applied to information to determine which economic information should be contained in the financial statements, the criterion of faithful representation is applied to determine how to depict those transactions and events in the financial statements. Thus, **the two characteristics work together.**

6.4.3 Enhancing qualitative characteristics

You have seen that there are a number of qualities that information should possess to effectively inform stakeholders' decision-making processes. In the section above, we focused on the fundamental qualitative characteristics of financial information: that information should be relevant and represented faithfully. Comparability, verifiability, timeliness and understandability are qualitative characteristics that **enhance the usefulness of relevant financial information that faithfully represents the transactions and other events.**

Comparability

Information about the entity is more useful if it can be compared with similar information about other entities and with similar information about the same entity for another period or another date. This enables users to identify and understand similarities in items as well as differences among items. For information to be comparable, the same methods for recording and reporting should be used for the same items from period to period within the reporting entity or in a single period across entities. This means that you should consistently apply the same accounting policies and methods for the same items and from one reporting period to the next.

Verifiability

Information is directly verifiable through direct observation (for example, observing the bookkeeper counting the cash). Indirect verification means checking the inputs, formulae or other techniques, recalculating the outputs using the same methodology and reaching a similar answer (for example, reperforming an inventory count by checking the quantities and costs of inputs and recalculating the closing inventory using the same costing formula, such as first-in-first-out). When information that is based on assumptions and estimates is recorded and reported, you need to disclose the underlying assumptions and the methods of compiling the information, as well as other factors and circumstances that support the information in order to assist the users to decide whether to use the information or not.

Verifiability helps assure users that information faithfully represents the economic phenomena it purports to represent. Verifiability means that different knowledgeable and independent observers could reach a consensus, although not necessarily complete agreement, that a particular depiction is a faithful representation.

Information is represented faithfully when users with different knowledge bases reach similar conclusions about financial information.

Understandability

Certain users have difficulty understanding the accounting language used to prepare financial statements. This occurs when highly technical financial matters are presented in a complex manner, using technical terms and jargon. Users who do not understand the information in financial statements cannot use it to inform their decision-making processes. Information supplied to primary users is normally prepared and presented on the assumption that those users have a reasonable knowledge of business and economic activities and that they can review and analyse the information diligently. They may, at times, need to seek the aid of an advisor to understand information about complex economic transactions and events.

Something to think about

Practical considerations relating to the understanding of financial information

Imagine that you purchased 1 000 shares in Eshowe Ltd last year. It is now one year later, and you want to see how this investment has done to decide if you should sell the shares, buy more or hold your current investment position. Your main source of information about the company is the annual financial statements for Eshowe Ltd, the most recent of which has just been published. These financial statements are written in isiZulu, a language you are unfamiliar with. Since you do not understand isiZulu, you are unlikely to understand the financial statements.

Understandability involves classifying, characterising and presenting information clearly and concisely in order to make it understandable. Some phenomena are inherently complex and cannot be made easy to understand. However, excluding this information would make financial reports incomplete and potentially misleading.

Timeliness

Timeliness means that information is available to decision-makers in time to be useful and capable of influencing their decisions.

If information is published too late, it loses its relevance.

However, information may continue to be useful after its initial provision (for example, in trend analysis).

Applying the enhancing qualitative characteristics

These **enhancing qualitative characteristics** do not follow a prescribed order. In some cases, one enhancing qualitative characteristic may have to be diminished in order to maximise another qualitative characteristic. If you were relying on financial information to make a decision, think about the qualities you would want this information to embody. The overarching guiding principle is that enhancing qualitative characteristics do not make information useful if the information is irrelevant or does not represent what it purports to represent.

Something to think about

Practical considerations relating to the importance of the qualitative characteristics of financial reporting

Think about these questions:

- Would you want to use information that contained errors?
- Would you want the statement of financial position to show property that does not actually exist? Or would you prefer only real property to be shown on the statement of financial position?
- Would you want to know the directors' birthdays? This information is unlikely to influence your decisions and therefore should not be disclosed. However, the years in which they were born might influence your decision, as that information would give you some idea of their life experience, and how much longer the company would be able to benefit from their experience.
- Would you want information recorded according to the legal status of the transaction or according to the economic reality? If your company had to buy a property, would you be happy not to record this as an asset while the bank holds the title deeds to the property? The bank is legally the owner of the property until you have repaid the purchase price.
- How would you feel if the directors' goal was to report the profits to make them seem as high as possible, and therefore in every situation where judgement was required, they recognised the minimum amount of expenses and the maximum amount of profits? (Although the *Conceptual Framework* provides a firm foundation, there is still an element of subjectivity in how the principles should be applied, such as when deciding on the size of an allowance for expected credit losses or what depreciation rate to use.)
Would you be able to rely on the information if you knew that the directors were selecting and filtering the information to influence your decision?
- How do you think the shareholders of Enron felt when they found out that the directors had omitted certain liabilities from the financial statements?
- If you were trying to choose a listed company in which to invest, how would you decide between the different investment opportunities? You would need to compare the financial results of each company to see what the best investment would be. Do you think you could do this if each company used different methods of recording and measuring transactions? It would be difficult to compare these companies, as the financial position and performance would be determined on different bases.
- If you owned shares in a company, how would you know whether to buy more shares or to sell your shares? You would need to look at how the company's financial position had changed over the year. This would mean looking at the company's financial results for the current year and comparing them to the previous year's results. It is to facilitate

this kind of evaluation that the IFRS Accounting Standards require the corresponding information for the previous period to be disclosed.

- How do you think you would compare two different companies that used different accounting practices and policies? The IFRS Accounting Standards allow for alternative accounting policies in the treatment of many items (for example, inventory and the related cost of sales expense, and non-current assets with the related depreciation). A company is required by the IFRS Accounting Standards to explain all the accounting policies used to prepare its financial statements. This is achieved by documenting the accounting policies in a note to the financial statements. The accounting policy that is applied to a specific transaction or event should be applied consistently from one period to another and for similar transactions (refer to IAS 8, *Basis of Preparation of Financial Statements*, which is discussed in more depth in [Chapter 3, Accounting policies, changes in accounting estimates and errors](#)). Users can then read about the bases of preparation and make appropriate adjustments to their understanding of the respective financial positions where policies between companies differ.
- Should a company avoid changing how it represents its financial affairs? For example, a company decides that its investments in shares should be measured at market value, with the increases or decreases in market value being shown in the statement of profit or loss and other comprehensive income. This new accounting policy is expected to result in fairer presentation of the company's financial affairs. One of the directors does not want to change the accounting policy in the current year because they think that users will not be able to compare the company's performance between years if different policies are used. Do you think that this director is correct? You would probably prefer the company to use appropriate accounting policies rather than ensure that the policies remain the same. The information can still be comparable despite the change in policies underlying the preparation of the information, so long as these policies and changes are adequately disclosed in the financial statements. IAS 8, *Basis of Preparation of Financial Statements*, which is discussed in more depth in [Chapter 3, Accounting policies, changes in accounting estimates and errors](#), sets out how changes in accounting policy should be disclosed to ensure comparability.
- Let us assume that you invested in a company based on its financial position at the investment date. The statement of financial position at that time showed a liability of CU500 000 for damages that the company would have to pay in the future, as it was being sued by a customer. How would you feel if, two years later, the court case was concluded and the company had to pay CU10 million in damages to the customer, which resulted in the company going insolvent and you losing the capital that you had invested? This situation arose because the company understated its obligation for damages at the time that this obligation was recognised in the financial statements. You probably would have preferred the directors to be neutral in applying their judgement to quantify an obligation.

6.5 Balancing the cost of information against its benefits

The cost of reporting financial information to the primary users and the benefits that they receive from it must be viewed against the profitability of the entity and the cost of providing this information. Providers of financial information incur costs when collecting, processing, verifying and disseminating financial information. Users may also incur costs when analysing and interpreting the information provided.

Evidence suggests that good-quality financial reporting reduces the risks associated with investing in an entity, as investors have the useful information to balance the returns that they require relative to the risks that they are taking on.

6.5.1 The cost constraint on useful financial reporting

Cost is a pervasive constraint on the information that can be provided by general purpose financial reporting.

In all reporting, it is important to evaluate the **benefits** that users receive from the information against what it **costs** to provide that information constantly. However, the calculation is not always a simple one, as fewer direct benefits should also be accounted for (for example, the reduced cost of finance that results from good reporting because the entity's risk assessment is reduced significantly for both investors and lenders).

Something to think about

Practical consideration relating to the cost constraint of useful financial reporting

Imagine that you are a shareholder in a company called Wool System Ltd, which has an annual turnover of CU2 million. You attend the annual general meeting, during which the director says, 'I am sure that all the shareholders will be very pleased with our reporting process. The financial statements are perfect. We spent a significant amount of time on them, and the cost of preparing and presenting this information was CU900 000.' Do you think you would be pleased by this? The cost of providing you and other stakeholders with financial information about the company amounted to 45% of its sales. This means that the growth in the company's net asset value is significantly reduced by the cost of preparing financial statements. Is the shareholders' improved decision-making a benefit that is greater than the cost of preparing the financial statements?

6.6 Financial statements and the reporting entity

Having considered the objective of financial reporting, we will focus in more detail on financial statements, the end product of the financial reporting process.

The objective of financial statements is to provide financial information about the reporting entity's assets, liabilities, income and expenses that is useful to users of financial statements in assessing the ability of the entity to generate future net cash inflows to the reporting entity and in assessing management's stewardship of the entity's economic resources. Financial statements are prepared for a specified period of time, the reporting period, and provide information about assets, liabilities and equity at the end of the reporting period or during the reporting period, and income and expenses for the reporting period. [Table 1.2](#) lists the components of the financial statements as well as the elements of the financial statements and the financial information included in them.

Table 1.2 Information generally included in financial statements

Component	Elements and financial information included
Statement of financial position	Assets, liabilities and equity
Statement of profit or loss and other comprehensive income	Income and expenses, gains and losses
Statement of changes in equity	• Contributions from holders of equity claims and distributions to them • Recognised assets, liabilities, equity, income and expenses, including information about their nature and about the risks arising from those recognised assets and liabilities
Statement of cash flows	• Cash inflows and outflows
Notes to the financial statements	• Assets and liabilities that have not been recognised, including information about their nature and about the risks arising from them • The methods, assumptions and judgements used in estimating the amounts presented or disclosed, and changes in those methods, assumptions and judgements

Source: Adapted from International Accounting Standards Board (IASB). 2018. *Conceptual Framework for Financial Reporting*, Paragraph 3.3(c).

Financial statements include comparative information for at least one preceding reporting period. Financial information about possible future transactions and other events or transactions that have occurred after the end of the reporting period is also included if providing that information achieves the objective of financial reporting. The presentation of financial statements is discussed in more detail in [Chapter 2](#), *Presentation and disclosure in financial statements*.

6.6.1 The entity as a going concern

One of the underlying assumptions for the preparation and presentation of financial statements is the principle of a going concern. This simply means that an entity's financial statements are prepared assuming that it will **continue to trade** in the foreseeable future. Consequently, there is no need or intention on the part of the entity to wind up its operations, liquidate or reduce the size of its operations significantly. This assumption has an impact on the basis used to measure the entity's assets and liabilities.

Adopting the **going concern assumption** has important implications in financial reporting. For instance, this assumption justifies the use of historical cost in accounting for non-current assets and for the systematic allocation of the cost of using the assets (for example, depreciation), which is recognised as an expense over the useful lives of the assets. Because of the assumption that the entity will continue to use the assets, as opposed to selling them in the near future, the current market values of the assets are not relevant and fluctuations in their market values cause no gains nor loss. They also do not increase or decrease the usefulness of the assets.

On the other hand, if management intends to liquidate the entity's operations, the going concern assumption is set aside and the financial statements are prepared on a different basis, such as the expected liquidation values or a break-up valuation. When the entity is aware of its **intention to liquidate** in the future (in other words, it is not a going concern), the statement of financial position has to be prepared with reference to liquidation or forced sales values for the assets. This principle implies that all assets have to be valued at what their estimated sale price will be when they are sold over the months that follow. The liabilities have to be valued at their estimated settlement value when they are paid in the months that follow.

However, assuming that the entity is a going concern, there are a number of alternative measurement bases with which to measure its assets and liabilities on the reporting date. This is discussed further in Section 6.9.

6.6.2 The reporting entity

In your studies so far, you have learnt that the records of the business should be separate from the records of the owners. This is referred to as the 'entity concept'. Sometimes the way in which the business operates may make it difficult to establish a boundary for reporting purposes. In this case, the reporting entity is determined based on faithfully representing information that meets the needs of the primary users of the financial statements. When the business operates as a company or a close corporation, this is normally not a problem, as these business forms are separate legal entities. However, the separation of the activities of the owners from the business activities of a sole proprietor or a partnership is usually more complex.

In addition, as we have seen, general purpose financial reporting does not serve a particular need. Financial statements should therefore reflect the **perspective of the entity** rather than the perspective of the entity's equity investors. The focus is on the entity's resources and the changes in them, rather than on the shareholders as owners of the entity.

Thus it makes sense that for the purposes of financial reporting, the *Conceptual Framework* provides guidance on the identification of the entity on which reporting should take place. This entity is known as the '**reporting entity**'.

The *Conceptual Framework* defines the reporting entity as an entity that is required to or chooses to prepare financial statements. In more basic terms, this means that each company is a separate reporting entity and that the business of a sole trader is a separate reporting entity. If we break this down further, we see that an independent division or branch within a company may also constitute a reporting entity. This implies that a reporting entity is not limited by legal boundaries (for example, the legal form of a company).

Furthermore, a group that comprises an entity (subsidiary) that is controlled by another company (the parent) also constitutes a reporting entity. In this case, the reporting entity that comprises a parent and subsidiary prepares consolidated financial statements. If the reporting entity is solely the parent, it prepares unconsolidated financial statements. If a reporting entity comprises two or more entities that are not linked by a parent–subsidiary relationship, the reporting entity's financial statements are referred to as 'combined financial statements'. You will cover groups in more detail in Part 3 of this textbook.

6.7 The elements of financial statements

The elements of financial statements defined in the *Conceptual Framework* are assets, liabilities and equity (which relate to a reporting entity's financial position), and income and expenses (which relate to a reporting entity's financial performance).

As mentioned above, the 2018 *Conceptual Framework* includes revised definitions of an asset, a liability and an economic resource. [Table 1.3](#) summarises the definitions and recognition criteria in the **2010 Conceptual Framework** as well as the new definitions in the **2018 Conceptual Framework**. The revised definitions are discussed further in this section, but you should be aware that there are some subtle differences between the revised definitions and how these elements are defined in the rest of this textbook.

Table 1.3 Summary of previous definitions and changes

	Previous definitions (2010 <i>Conceptual Framework</i>)	Revised definitions (2018 <i>Conceptual Framework</i>)
Asset (of an entity)	A resource controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity	A present economic resource controlled by the entity as a result of past events
Liability (of an entity)	A present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits	A present obligation of the entity to transfer an economic resource as a result of past events
Economic resource	No existing definition	A right that has the potential to produce economic benefits

6.7.1 Definition of an asset

An asset exists if it meets the definition of an asset according to the 2018 *Conceptual Framework*.

Key principle: Definition of an asset

An asset is a present economic resource controlled by an entity as a result of past events.

An economic resource is a right that has the potential to produce economic benefits.

Assessing whether an asset exists is dependent on the understanding of the following items:

- Right
- Potential to produce economic benefits
- Control.

What are the rights associated with the asset?

Rights that have the potential to produce economic benefits can take many forms, including the following:

- Rights that relate to an obligation of another party, such as the rights to receive cash, rights to receive goods or services, rights to exchange economic resources with another party on terms

that are favourable to the entity and rights to benefit from an obligation of another party to transfer an economic resource if a specified uncertain future event occurs

- Rights that do not relate to an obligation of another party, such as rights to use or sell physical objects (for example, property, plant and equipment or inventory)
- Rights that are established by contract or legislation (for example, when an entity lends money to a third party and enters into a loan agreement that gives it the right to receive cash in the future through the capital repayments and interest payments) or rights obtained in other ways (for example, by the entity acquiring or creating know-how that is not publicly available).

Something to think about

Practical considerations relating to whether an entity has an economic resource

- Rights of access to public goods, such as public access to land or know-how that is in the public domain, are typically not assets for the entities that hold them. Why is this the case?

Note that an entity cannot have a right to obtain economic benefits from itself.

Does the asset have the potential to produce economic benefits?

An economic resource has the potential to produce economic benefits for an entity because it enables or entitles the entity to do, for example, one or more of the following:

- Receive contractual cash flows or another economic resource
- Exchange economic resources with another party on favourable terms
- Produce cash inflows or avoid cash outflows
- Receive cash or other economic resources by selling the economic resource
- Settle liabilities.

Although an economic resource derives its value from its present potential to produce future economic benefits, the economic resource is the present right that contains that potential, not the economic benefits that the right may produce. So, for example, if you purchase a lottery ticket, the economic resource is the potential right to win, not the amount that you could potentially win.

The potential to produce economic benefits needs to exist already; the entity must be able to show at least one instance of the economic benefits being produced for the entity beyond those economic benefits available to all other parties.

When an entity incurs expenditure, this may provide evidence that the entity has sought future economic benefits, but does not provide conclusive proof that the entity has obtained an asset. Similarly, the absence of related expenditure does not preclude an item from meeting the definition of an asset (for example, assets that have been donated to the entity).

The definition focuses on potential, thus making it clear that it does not need to be certain, or even likely, that the right will produce economic benefits. Therefore, a right can meet the definition of an economic resource, and hence can be an asset, even if the probability that it will produce economic benefits is low.

Does the entity have control of the asset?

Control links the specific economic resource to an entity. Therefore, assessing whether control exists helps to identify the economic resource that the entity can account for. For example, an entity may control a proportionate share in a property without controlling the rights arising from ownership of the entire property. In such cases, the entity's asset is the share in the property, which it controls, not the rights arising from ownership of the entire property, which it does not control.

An entity controls an economic resource if it has the present ability to direct the use of the economic resource and obtain the economic benefits that may flow from it. The present ability may arise from contractual and legal rights, but this does not always need to be the case.

The present ability to direct the use of an economic resource exists if an entity has the right to use that economic resource in its activities or the entity is able to prevent other parties from directing the use of the economic resource and from obtaining the economic benefits that may flow from it. Therefore, if one party controls an economic resource, no other party controls that same economic resource.

For an entity to control an economic resource, the future economic benefits from that resource must flow to the entity (either directly or indirectly) rather than to another party. Sometimes one party (a principal) engages another party (an agent) to act on behalf of, and for the benefit of, the principal. For example, a principal may engage an agent to arrange sales of goods controlled by the principal. If an agent has custody of an economic resource controlled by the principal, that economic resource is not an asset of the agent.

Something to watch

Watch the Learn Accounting video *Control*.

6.7.2 Definition of a liability

A liability exists if it meets the definition of a liability according to the 2018 *Conceptual Framework*.

**Key principle:
Definition of a liability**

A liability is a present obligation of an entity to transfer an economic resource as a result of past events.

An obligation is a duty or responsibility that the entity has no practical ability to avoid.

When assessing whether a liability exists, you need to identify whether:

- The entity has an obligation
- The obligation is to transfer an economic resource
- The obligation is a present obligation that exists as a result of past events.

Does the entity have an obligation?

An obligation is a duty or responsibility that an entity has no practical ability to avoid. An obligation is always owed to another party, but it is not necessary to know the identity of the party to whom the obligation is owed. Obligations to transfer an economic resource include the following:

- Obligations to pay cash
- Obligations to deliver goods or provide services
- Obligations to exchange economic resources with another party on unfavourable terms
- Obligations to transfer an economic resource if a specified uncertain future event occurs.

Many obligations are established by contract or by legislation, and as such are legally enforceable by the party to whom they are owed. Obligations can also arise, however, from an entity's customary practices, published policies or specific statements if the entity has no practical ability to act in a manner inconsistent with those practices, policies or statements. The obligation that arises in such situations is sometimes referred to as a 'constructive obligation'.

Is the obligation a duty of responsibility to transfer an economic resource?

It is important to note that the obligation must already exist and that the obligation must have the potential to require the entity to transfer an economic resource to another party. This means that the obligation does not need to be certain; an obligation can meet the definition of a liability even if the probability of a transfer of an economic resource is low. However, the entity should have no practical ability to avoid this obligation.

Does the obligation exist as a result of past events?

A present obligation exists as a result of past events only if the entity has already obtained economic benefits or taken action. Consequently, the entity will or may have to transfer an economic resource that it would not otherwise have had to transfer. For example, suppose an entity has entered into a contract to pay an employee a salary in exchange for receiving the employee's services. In that case, the entity has a present obligation to pay the salary when it has received the employee's services.

Similarly, if new legislation comes into effect, a present obligation arises only when, as a consequence of obtaining economic benefits or taking an action to which that legislation applies, an entity will or may have to transfer an economic resource that it would not otherwise have had to transfer. The enactment of legislation is not in itself sufficient to give an entity a present obligation.

6.7.3 Assets and liabilities: Unit of account

Once the assets and liabilities of an entity have been identified, the unit of account is the right or the group of rights, the obligation or the group of obligations, or the group of rights and obligations, to which recognition criteria and measurement concepts are applied. A unit of account is selected for an asset or liability when considering how recognition criteria and measurement concepts will apply to that asset or liability, as well as to the related income and expenses. For example, think about a machine the entity owns and uses in its operations. The entity has the potential to benefit from the right to use the machine and the right to sell it. In this instance, treating the machine as a single unit of account is appropriate.

6.7.4 Definition of equity

The *Conceptual Framework* defines equity as the residual, or remaining, interest in the assets of the entity after deducting all its liabilities (see IASB, 2018, paragraph 4.63). Put another way, equity claims are claims against the entity that do not meet the definition of a liability. Equity includes funds contributed by shareholders as well as reserves retained in the entity. These reserves comprise retained earnings, revaluation surpluses and other reserves. Retained earnings (and some other reserves) may be distributed to the owners as dividends.

The amount shown as equity in the statement of financial position depends on the measurement of assets and liabilities. You have learnt in the accounting equation that owners' equity equals assets less liabilities. Alternatively stated, owners' equity is equal to the net assets of the entity. However, it is a common misconception that the total of owners' equity represents the value of the entity. An entity's value (or net worth) is normally higher than its owners' equity, as some assets are measured at historical cost, below their fair value.

Equity increases as a result of profitable operations (that is, the excesses of income over expenses) and through contributions by owners. Similarly, equity is diminished by unprofitable operations and by distributions to owners (in the form of drawings and dividends). Before making their financial decisions, users must identify and understand all the factors responsible for the change in the entity's assets and liabilities over the financial year. These changes are reported in the **statement of changes in equity**.

The owners' equity of an entity can change because of factors other than its performance. These changes in equity are not referred to as income or expenses but have different terms to indicate the nature of the underlying activities. Where the owners contribute assets to the business, the resulting increase in equity is referred to as **share capital** (in the case of a company), as opposed to income. Conversely, if a company distributes assets to its shareholders, this reduction in equity is referred to as a **dividend** and not an expense. This is to differentiate between the transaction with the owner and the entity's performance. Dividends are disclosed as a distribution of equity on the statement of changes in equity and not on the statement of profit or loss and other comprehensive income.

The different forms of entities (for example, sole proprietors, partnerships, trusts, universities and government business undertakings) may have different sub-classifications within equity (for example, capital accounts of each partner in a partnership). The definition of equity applies to all entities, despite the entity's different legal and regulatory form. (Owners' equity is discussed in detail in [Chapter 6](#), *Owners' equity*.)

Equity cannot be defined independently of the other elements in the statement of financial position. Remember that equity is a residual.

This is reflected in the accounting equation:

$$\text{Equity} = \text{Assets} - \text{Liabilities}$$

6.7.5 Income and expenses

Income and expenses are the elements of financial statements that relate to an entity's financial performance. Users of financial statements need information about both an entity's financial position and its financial performance. Hence, although income and expenses are defined in terms of changes in assets and liabilities, information about income and expenses is just as important as information about assets and liabilities.

Key principle: Definition of income and expenses

Income is increases in assets or decreases in liabilities that result in increases in equity, other than those relating to contributions from holders of equity claims. Expenses are decreases in assets or increases in liabilities that result in decreases in equity, other than those relating to distributions to holders of equity claims. Contributions from holders of equity claims are not income, and distributions to holders of equity claims are not expenses.

Income and expenses are netted off to determine the **profit or loss** for the reporting period, which is transferred to equity at the end of each reporting period.

Following from Sections 6.7.4 and 6.7.5, the flow is demonstrated in the extension of the accounting equation as follows:

$$\text{Equity} = \text{Assets} - \text{Liabilities}$$

Equity = Opening equity + Transactions with owners (Contributions by equity holders – Distributions to equity holders) ± Profit or loss for the reporting period

THUS:

Assets – Liabilities = Opening equity + Transactions with owners (Contributions by equity holders – Distributions to equity holders) ± Profit or loss for the reporting period

6.8 Recognition and derecognition

Having considered the elements of the financial statements, let us now look at the guidance given by the IFRS Accounting Standards to the reporting entity on when these elements should be included in financial statements.

6.8.1 The recognition process

Recognition is the process of including an item that meets the definition of one of the elements of financial statements in the statement of financial position or the statement of profit or loss and other comprehensive income: an asset, a liability, equity, income or expenses. It is useful to think of recognition in a scaffolded approach:

- Only items that meet the definition of an asset, a liability or equity are recognised in the statement of financial position and only items that meet the definition of income or expenses are recognised in the statement of profit or loss and other comprehensive income. However, not all items that meet the definition of one of those elements are recognised. Not recognising an item that meets the definition of one of the elements makes the statement of financial position and the statement of profit or loss and other comprehensive income less complete and can exclude useful information from financial statements. However, in some circumstances, recognising some items that meet the definition of one of the elements would not provide useful information. Remember that information is useful if it is relevant and faithfully represents the element. As cost constrains other financial-reporting decisions, it also constrains recognition decisions. Preparers of financial statements incur costs in obtaining a relevant measure of an asset or a liability. Users of financial statements also incur costs in analysing and interpreting the information provided. An asset or liability is **recognised** if the benefits of the information provided to users of financial statements are likely to justify the costs of providing and using that information. In some cases, the costs of recognition may outweigh its benefits.

- Having identified the element to be recognised, that element is depicted as an item in the statement of financial position or the statement of profit or loss and other comprehensive income, either alone or in aggregation with other items. This depiction is in **words** and by a **monetary amount**.

- The monetary amount is the carrying amount of the item, which is then included in one or more totals in the relevant statement. The statements are structured summaries that make financial information **comparable** and **understandable**. An important feature of the structures of those summaries is that the amounts recognised in a statement are included in the totals and, if applicable, sub-totals that link the items recognised in the statement.

Something to watch

Watch the Learn Accounting video *Financial Statements – The Big Picture*.

Recognition links the elements, the statement of financial position and the statement of profit or loss and other comprehensive income, as shown in [Figure 1.2](#), adapted from the *Conceptual Framework*.

Figure 1.2 How recognition links the elements of financial statements

Source: Adapted from International Accounting Standards Board (IASB). 2018. *Conceptual Framework for Financial Reporting*, Chapter 5, Diagram 5.1.

6.8.2 Recognition and the qualitative characteristics of financial reporting

When making decisions about recognition, it is important to consider the information that would be given if an asset or liability were not recognised. For example, if no asset is recognised when expenditure is incurred, an expense is recognised. Over time, recognising the expense may, in some cases, provide useful information (for example, information that enables users of financial statements to identify trends).

Relevance

Information about assets, liabilities, equity, income and expenses is relevant to users of financial statements. However, recognition of a particular asset or liability and any resulting income, expenses or changes in equity may not always provide relevant information. That may be the case if, for example, it is uncertain whether an asset or liability exists, or if an asset or liability exists, but the probability of an inflow or outflow of economic benefits is low. In some cases, uncertainty, possibly combined with a low probability of inflows or outflows of economic benefits and an exceptionally wide range of possible outcomes, may mean that the recognition of an asset or liability, necessarily measured at a single amount, would not provide relevant information.

An asset or liability can exist even if the probability of an inflow or outflow of economic benefits is low. Suppose the probability of an inflow or outflow of economic benefits is low. In that case, the most relevant information about the asset or liability may be information about the size of the possible inflows or outflows, their possible timing and the factors affecting the probability of their occurrence. Typically, such information is provided in the notes. Alternatively, even if the probability of the inflow or outflow of economic benefits is low, recognition of the asset or liability may provide more relevant information than only providing note disclosure.

Faithful representation

Whether a faithful representation can be provided may be affected by the level of measurement uncertainty associated with the asset or liability, or by other factors. For an asset or liability to be recognised, it must be measured. In many cases, such measures must be estimated and are, therefore, subject to measurement uncertainty.

Using reasonable estimates is an essential part of the preparation of financial information, and upholds the usefulness of the information if the estimates are clearly and accurately described and explained. Even if there is significant measurement uncertainty, this does not necessarily prevent such an estimate from providing useful information. In limited circumstances, all relevant measures of an asset or liability that are available (or can be obtained) may be subject to such high measurement uncertainty that none would provide useful information about the asset or liability (and any resulting income, expenses or changes in equity), even if the measure were accompanied by a description of the estimates made in producing it and an explanation of the uncertainties that affect those estimates. In those limited circumstances, the asset or liability would not be recognised.

6.8.3 Derecognition

Derecognition is the removal of all or part of a recognised asset or liability from an entity's statement of financial position. Derecognition normally occurs when that item no longer meets the definition of an asset or of a liability. Therefore, for an asset, derecognition normally occurs when the entity loses control of all or part of the recognised asset. For a liability, derecognition normally occurs when the entity no longer has a present obligation for all or part of the recognised liability. Events that lead to derecognition include the consumption of economic resources, the collection of receivables and obligations that have been fulfilled or transferred.

The assets and liabilities (or parts thereof) that are derecognised are referred to as the transferred component. In some cases, only a part of the asset or liability has been derecognised and thus a part is retained. The parts that are

retained are referred to as the retained component. For example, an entity owns an investment that consists of 100 shares. It sells 40 shares (transferred component), but retains 60 shares (retained component). (We cover contract modifications in more detail in [Chapter 17](#), *Leases*, and [Chapter 22](#), *Revenue from contracts with customers*.) Generally the transferred component results in recognising any resulting income and expenses, and no income or expenses are recognised on the retained component unless there is a change in the measurement requirements applicable to the retained component.

It is important to consider the substance of the transactions or events. In some cases, an entity might appear to transfer an asset or liability, but that asset or liability might still remain an asset or liability of the entity. Derecognition of that asset or liability is not appropriate in this instance. For example, if an entity has transferred an asset to another party that holds the asset as an agent for the entity, the entity still controls the asset.

Something to think about

Practical considerations relating to derecognition

Let us say that an entity has transferred an asset. At the same time, the entity entered into another transaction. This resulted in a present right or a present obligation to reacquire the asset. What are the implications for the entity?

Something to watch

Watch the Learn Accounting video *The Asset Life Cycle*.

6.8.4 Contract modifications

As outlined earlier, rights and obligations often arise from contracts. The terms of a contract may be changed or modified, which could result in derecognition. In deciding how to account for contract modifications, it is necessary to consider which unit of account provides users of financial statements with the most useful information about the assets and liabilities retained after the modification, as well as how the modification changed the entity's assets and liabilities:

- A contract modification may only eliminate existing rights or obligations, in which case the entity considers the derecognition principles in deciding to derecognise those rights or obligations.
- A contract modification may add new rights or obligations. In this case, it is necessary to decide whether to treat these new rights and obligations as separate assets or liabilities, or as part of the same unit of account as the existing rights and obligations.

- A contract modification may both eliminate existing rights or obligations and add new rights or obligations. In such a case, it is necessary to consider the separate and combined effects of those modifications. Suppose the contract has been modified to such an extent that, in substance, the modification replaces the old asset or liability with a new asset or liability. In that case, the entity may need to derecognise the original asset or liability and recognise the new asset or liability.

6.9 Measurement

Measurement is the process of determining the monetary amounts at which elements of the financial statements are to be recognised. Measurement is dependent on selecting an appropriate measurement basis.

The *Conceptual Framework* does not include specific concepts or principles for selecting which measurement basis should be used for particular elements of financial statements or in particular circumstances. Specific IFRS Accounting Standards describe how to implement the measurement basis selected in that standard by specifying techniques that may or must be used to estimate a particular measurement basis. The information provided on a measurement basis must be useful to the users of financial statements. As such, different measurement bases may exist for different elements to achieve the qualitative characteristics of financial reporting and consider the cost constraint of useful information:

- The relevance of the information provided by a measurement basis for an asset or liability and related income and expenses is affected by the characteristics of that asset or liability and how it contributes to future cash flows, since this affects users' judgements about the future cash flows and the associated risks.
- Applying different measurement bases to assets and liabilities that are related in some way can create measurement inconsistencies. This may result in financial statements that do not faithfully represent aspects of the financial position and financial performance of the entity.
- Consistently using the same measurement basis for the same items, either from period to period within a single reporting entity or in a single period across entities, makes financial statements more comparable.
 - Changes in measurement basis may make information less understandable but could still provide more relevant information. Therefore, measurement bases selected for particular assets and liabilities can change from period to period, provided doing so results in more relevant information.
- Using different measurement bases for different assets and liabilities may make information more complex and less understandable. However, doing so is appropriate if it provides useful information.
 - The verifiability of a measurement basis is enhanced by using measures that can be independently corroborated, either directly or indirectly.

The *Conceptual Framework* identifies measurement bases with reference to **historical cost** and **current value** (see [Figure 1.3](#)).

Figure 1.3 The measurement bases



The historical and current value measurement bases are as follows:

- Under the **historical cost** measurement basis, monetary information is largely based on the price of the transaction or event that resulted in the asset, liability, income or expense. This means that an asset is recorded at the value of the costs incurred in acquiring or creating the asset, comprising the consideration paid plus transaction costs given to acquire it at its acquisition date. Liabilities are recorded at the amount of the consideration received when the liability was incurred minus transaction costs. Historical cost is updated over time to reflect transactions or events such as depreciation, amortisation, payments received that extinguish parts or all the asset, accrual of interest to reflect financing and impairment. The historical cost of a liability is updated to reflect payments that settle part or all of the liability and the accrual of interest.
- By contrast, **current value** measures provide monetary information about assets and liabilities, as well as the related income and expenses, using information updated to reflect conditions at the measurement date. They are not derived from the price of the transaction or event that gave rise to the asset or liability. Current value measurement bases include fair value, value in use for assets or fulfilment value for liabilities and current cost:
 - **Fair value** is an exit price, as it is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value reflects the perspective of participants in a market to which the entity has access, using the same assumptions that the entity would use when pricing the asset or liability, assuming that those market participants act in their economic best interests. The fair value can be observed directly in the market or determined indirectly using measurement techniques, such as present valuing estimated cash flows. Fair value is not derived from the transaction or event that resulted in the asset or liability. Thus it is not increased or decreased by transaction costs incurred to acquire the asset or when the liability arose.
 - **Value in use** is the **present value** of estimated cash flows or other economic resources an entity expects to derive from using an asset and its ultimate disposal. **Fulfilment value** is the **present value** of cash or other economic resources that an entity expects to be obliged to transfer as it fulfils (or settles) a liability. Value-in-use and fulfilment value are entity-specific assumptions rather than assumptions used by market participants, and cannot be observed directly. Value-in-use and fulfilment value are based on future cash flows and thus do not include the transaction costs incurred to acquire an asset or when a liability is incurred. However, value-in-use and fulfilment value include the present value of any transaction costs an entity expects to incur on the ultimate disposal of an asset or the fulfilment of a liability.
 - **Current cost** is an entry value. For an asset, **current cost** represents the amount of cash or cash equivalents that would be paid if the same or an equivalent asset were acquired at the measurement date, plus transaction costs that would be incurred at that date. A liability is measured at the amount of cash or cash equivalents needed to settle the obligation at the measurement date, less the transaction costs that would be incurred at that date.



Something to think about

Practical considerations relating to the choice of an appropriate measurement basis

- Which measurement basis do you think most entities apply to items of machinery that they use in their operations? Why is this the case?
- If an entity invested in the shares of other entities, which measurement basis would provide the most useful information relating to the entity's investments?
- If an entity has a loan receivable, which measurement basis would provide the most useful information relating to the entity's loan receivable? Would it matter if the entity intended to collect the cash flows from the debtor or if the entity intended to sell the loan receivable?
- If a mining entity must rehabilitate the environment because of damage done when it started its operations, what measurement basis should the entity apply to this obligation?

6.10 Presentation and disclosure

A reporting entity communicates information about its assets, liabilities, equity, income and expenses by presenting and disclosing information in its financial statements. Thus, it is important how that information is communicated if it is to be useful to users and meet the qualitative characteristics of financial reporting (see [Figure 1.4](#)).

Figure 1.4 Principles for effective communication



6.10.1 Presentation and disclosure objectives and principles

Presentation and disclosure objectives help reporting entities identify useful information and decide how to communicate that information most effectively. This gives an entity the flexibility to provide relevant information that faithfully represents the entity's assets, liabilities, equity, income and expenses, as well as ensuring comparability, both from period to period for a reporting entity and in a single reporting period across entities.

Reporting entities communicate effectively in their financial statements when focusing on entity-specific information rather than standardised descriptions. Standardised descriptions that are not useful in supporting a user's understanding of that entity's financial position and financial performance are sometimes referred to as 'boilerplate' descriptions.

Preparers should also avoid unnecessary duplication of information in different parts of the financial statements, since this may make financial statements less easy to understand.

6.10.2 Classification

Classification is sorting the elements of financial statements on the basis of shared characteristics for presentation and disclosure purposes. This is done by considering the nature of the item, its role (or function) within the business activities conducted by the entity and how it is measured. Classifying dissimilar assets, liabilities, equity, income or expenses together can hide relevant information and reduce understandability and comparability. In addition, it may lead to the creation of financial statements that do not provide a faithful representation of what they purport to represent. This is why the *Conceptual Framework* provides guidance on classification.

Assets and liabilities

Classification of assets and liabilities is applied to the unit of account selected for an asset or liability. Sometimes it may be appropriate to separate an asset or liability into components with different characteristics and classify them separately. A common example involves separating an asset or liability into current and non-current components and classifying those components separately.

Offsetting occurs when an entity recognises and measures an asset and a liability as separate units of account but groups them into a single net amount in the statement of financial position. Offsetting classifies dissimilar items together and is generally not appropriate. This is why the IFRS Accounting Standards give specific guidance about when offsetting is allowed.

Equity

To provide useful information, it may be necessary to classify equity claims separately if they have different characteristics or if some of those components are subject to particular legal, regulatory or other requirements. In these instances, separate presentation or disclosure of those reserves may provide useful information.

Income and expenses

Income and expenses reflect the financial performance of the reporting entity. The issue is how and where to communicate that information.

Thus, the classification of income and expenses is applied to either of the following:

- Income and expenses resulting from the unit of account selected for an asset or liability
- Components of such income and expenses if those components have different characteristics and are identified separately. For example, a change in the current value of an asset can include the effects of value changes and the accrual of interest. It would be appropriate to classify those components separately if doing so would enhance the usefulness of the resulting financial information.

In addition, income and expenses are classified and included in either the statement of profit or loss or outside the statement of profit or loss, in other comprehensive income. The statement of profit or loss is the primary measure of financial performance. Thus, in principle, all items of income and expenses should be included in the statement of profit or loss. However, in exceptional circumstances, the Board may decide that including income and expenses in the statement of profit or loss would result in it providing less relevant information or not providing a faithful representation of the entity's financial performance. In these circumstances, the Board would require the income or expenses for that period to be included in other comprehensive income. This would relate to income or expenses arising from a change in the current value of an asset or liability, where a specific IFRS Accounting Standard includes the income and expense in other comprehensive income. For example, IFRS 9 allows an entity that invests

in shares to present the changes in the fair value of its investments in other comprehensive income if the entity does not trade in the shares.

In principle, income and expenses included in other comprehensive income in one period are reclassified or 'recycled' from other comprehensive income into the statement of profit or loss in a future period when doing so results in it providing more relevant information or a more faithful representation of the entity's financial performance for that future period. However, if, for example, there is no clear basis for identifying the period in which reclassification would have that result or the amount that should be reclassified, the Board may, in developing IFRS Accounting Standards, decide that income and expenses included in other comprehensive income are not to be reclassified subsequently.

6.10.3 Aggregation

Aggregation is the addition of assets, liabilities, equity, income or expenses that have shared characteristics and are included in the same classification. This enhances the usefulness of information summarising a large volume of detail, but too much aggregation can hide some of the detail. Preparers need to strike a balance; different aggregation levels may be required in different parts of the financial statements. A typical example is where the statement of financial position and the statement of profit or loss and other comprehensive income provide summarised information, and more detailed information is provided in the notes.

6.11 Concepts of capital

If you look at the business cycle of an entity, you will see that owners contribute money (capital) to the business. This is invested in assets, which, if managed effectively, increase in value. This increase in assets is retained in the business, used to repay debt or distributed to the owners (for example, as dividends). An entity has maintained its capital if it has as much capital at the end of the period as it had at the beginning of the period; any excess amount is profit.

Concepts of capital maintenance are important because only income earned in excess of amounts needed to maintain capital can be regarded as profit. The following concepts of capital maintenance are included in the *Conceptual Framework*:

- **Financial capital maintenance:** According to this concept, a profit is only earned if the financial (or money) amount of the net assets at the end of the period exceeds the financial (or money) amount of net assets at the beginning of the period, after excluding any distributions to and contributions from owners during the period. Financial capital maintenance can be measured in nominal monetary units or units of constant purchasing power.
- **Physical capital maintenance:** According to this concept, a profit is only earned if the physical productive capacity (or operating capacity) of the entity (or the resources or funds needed to achieve that capacity) at the end of the period exceeds the physical productive capacity at the beginning of the period, after excluding any distributions to and contributions from owners during the period.

Before an entity can determine its income for any period, it must adopt a measurement basis for assets and liabilities as well as a concept of capital.

- The purpose of financial reporting is to provide users of financial statements with information about the entity in accordance with an accounting framework.
- Several accounting frameworks have, as an underlying principle, the application of accrual accounting.
 - The International Accounting Standards Board is the standard-setting body responsible for the formation and implementation of the IFRS Accounting Standards and the *IFRS for SMEs* Accounting Standard.
- The *Companies Act, No. 71 of 2008*, requires all South African companies to prepare financial statements in compliance with 'financial reporting standards'. This means that public companies must prepare and present financial statements in accordance with the IFRS Accounting Standards. In contrast, companies with no public accountability may use the *IFRS for SMEs* Accounting Standard.
- South Africa's corporate governance codes and listing requirements require listed companies to prepare integrated reports.
- The IFRS 2018 *Conceptual Framework* was developed to clarify and update the previous versions of the *Conceptual Framework*, and to provide guidance regarding the preparation of general purpose financial statements that meet users' information needs.
 - The *Conceptual Framework* does not prescribe standards of measurement or disclosure. Rather, it is a set of guiding principles that the Board uses to develop future IFRS Accounting Standards.
- Financial information presented in financial statements is underpinned by important principles and concepts that support the relevance and decision usefulness of the information.
- Financial information should meet certain qualities to represent what it purports to represent faithfully. These qualities include completeness, neutrality and freedom from error.
- The presentation and measurement principles in the *Conceptual Framework* provide general principles to support how a reporting entity communicates information about its assets, liabilities, equity, income and expenses in its financial statements.

Discussion questions

1. Briefly discuss the key responsibilities and specific objectives of the International Accounting Standards Board (the Board).
2. The objective of the Board is to develop global accounting standards in the public interest. What are the benefits of a global set of accounting standards?

3. The King Reports on corporate governance set out certain reporting requirements that a company should comply with, including the requirement for 'integrated' reporting. What is the extent of this reporting requirement?
4. In addition to the requirement for entities to comply with the IFRS Accounting Standards, additional reporting frameworks include integrated reporting and sustainability reporting. Briefly discuss the key aspects of these reporting requirements.
5. What is the *IFRS for SMEs* Accounting Standard? Discuss why certain entities can apply the *IFRS for SMEs* Accounting Standard while others cannot. Please provide examples of entities that could not apply the *IFRS for SMEs* Accounting Standard when preparing their financial statements.
6. Explain the objective of general purpose financial reporting and financial statements.
7. Define the accrual basis of accounting. Illustrate your definition by using an example.
8. What is meant when we say that accounting information should be 'decision useful'? Discuss how this requirement is met in terms of the qualitative characteristics of financial statements.
9. List the types of users of financial statements and their respective information needs.
10. Discuss the fundamental and enhancing qualities of useful financial statements, and explain how they differ.
11. Discuss the cost constraint on useful financial reporting.
12. Describe what is meant by the term 'elements' of financial statements. Where are these elements presented in financial statements?
13. How do recognition and derecognition differ?
14. Describe what is meant by a measurement basis and give examples.
15. What guidance does the *Conceptual Framework* provide relating to presentation and disclosure?
16. How does the *Conceptual Framework* promote professional ethics?

Exercise questions

Question 1

ABC (Pty) Ltd has installed a specific plant, costing CU250 000, to manufacture certain sports equipment (for example, netballs and rugby balls). The plant was delivered on 10 January 20x7. After installation, the machine was ready for use on 1 March 20x7.

The directors of ABC (Pty) Ltd wanted to recognise the plant at its selling price on 31 December 20x7 and argued that they do not understand why an asset needs to be depreciated.

You are required to do the following:

Write a memorandum to the directors of the company explaining to them how and at what value the asset should be recognised on 31 December 20x7. Refer to the *Conceptual Framework* in your memorandum.

Question 2

Westville (Pty) Ltd recently completed refurbishing the company's front offices.

During the early part of 20x5, the company's customers started complaining about the state of its front offices. The customer experience officer suggested placing comment cards at the reception desk to understand the problem better. The comments indicated that the company's customers were so upset about the condition of the front offices that they would take their business to Westville (Pty) Ltd's main competitor unless the company improved its customer experience.

Westville (Pty) Ltd's management began refurbishing its front offices in August 20x5. The refurbishment was completed in November 20x5. The total cost of the refurbishment amounted to CU570 000.

The management of Westville (Pty) Ltd is unsure how to account for the CU570 000 in the company's financial statements for the year ended 31 December 20x5.

You are required to do the following:

Advise the management of Westville (Pty) Ltd on the appropriate accounting treatment of the refurbishment costs in the reporting period ended 31 December 20x5 in terms of the *Conceptual Framework*.

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Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

2

Presentation and disclosure in financial statements

IFRS references

IFRS 18: *Presentation and Disclosure in Financial Statements*

IAS 34: *Interim Financial Reporting*

IFRS 8: *Operating Segments*

When reading this chapter, you should also refer to the presentation and disclosure requirements included in the IFRS Accounting Standards that are covered in the rest of this publication, including the following:

IAS 7: *Statement of Cash Flows* (refer to [Chapter 5](#))

IAS 8: *Basis of Preparation of Financial Statements* (refer to [Chapter 3](#))

IAS 10: *Events After the Reporting Period* (refer to [Chapter 20](#))

IAS 33: *Earnings per Share* (refer to [Chapter 7](#))

In 2024 the International Accounting Standards Board published IFRS 18, *Presentation and Disclosure in Financial Statements*. This new standard replaces IAS 1, *Presentation of Financial Statements* for financial years beginning on or after 1 January 2027. The text in this chapter and the rest of the textbook is based on the new IFRS Accounting Standard.

The new IFRS Accounting Standard resulted in amendments to other standards, especially IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*.

When IFRS 18 becomes effective, the name of IAS 8 will change to '*Basis of Presentation of Financial Statements*'. References to the new IAS 8 in this textbook are clearly shown by the use of the new name. Almost all of these references relate to concepts that were originally in IAS 1 but were moved to IAS 8 instead of IFRS 18.

IFRS for SMEs Accounting Standard references

Section 3: *Financial Statement Presentation*

Section 4: *Statement of Financial Position*

Section 5: *Statement of Comprehensive Income and Income Statement*

Section 6: *Statement of Changes in Equity and Statement of Income and Retained Earnings*

Section 7: *Statement of Cash Flows*

Section 8: *Notes to the Financial Statements*

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7 Interim financial reporting

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7.2 [Preparing an interim report](#)

Key points to take from this chapter

Discussion questions

Exercise questions

References

Learning objectives

By the end of this chapter, you should be able to:

- Explain the purpose of financial statements.
- Comply with general requirements relating to the preparation of financial statements and have a detailed knowledge of IFRS 18, *Presentation and Disclosure in Financial Statements*.
 - Discuss how IAS 8, *Basis of Preparation of Financial Statements*, applies the requirements of the *Conceptual Framework* to the preparation of financial statements, and explain the requirements of fair presentation, offsetting, materiality and aggregation, and consistency and comparability.
- Apply the accrual basis for all assets and liabilities, income and expenses.
- Describe the purpose of each component of financial statements and outline the minimum disclosure requirements for each of these components:

- The statement of financial position
- The statement/s of financial performance
 - The statement of changes in equity
 - The statement of cash flows
- The notes to the financial statements.
- Explain the general principles for disclosure of information in financial statements and apply the specific disclosure requirements in terms of IFRS 18, *Presentation and Disclosure in Financial Statements*, including the classification of current and non-current assets and liabilities.
- Identify elements and transactions that are separately disclosable, either on the face of the statement of financial position or the statement of profit or loss and other comprehensive income, or in the notes to the financial statements.
- Distinguish between an operating segment and a reportable segment, and explain the need for segmental reporting in accordance with IFRS 8, *Operating Segments*.
- Define interim financial reporting and be able to disclose information in an interim financial report in accordance with IAS 34, *Interim Financial Reporting*.

Concept summary



Note regarding IFRS 18 and IAS 8

In 2024 the International Accounting Standards Board published IFRS 18, *Presentation and Disclosure in Financial Statements*. This new standard replaces IAS 1, *Presentation of Financial Statements* for financial years beginning on or after 1 January 2027. The text in this chapter and the rest of the textbook is based on the new IFRS Accounting Standard.

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1 Introduction

The purpose of this chapter is to provide you with an understanding of the general concepts underlying the **presentation of general purpose financial statements**. Reading about these overall requirements for the presentation of financial statements will prepare you for carrying out the most important function of an accountant: communicating relevant and decision-useful financial information about an entity to its various users. Your study of the overall requirements governing the preparation of financial statements will include reading about the current guidelines concerning the structure of the financial statements, as well as becoming familiar with the nature and type of information that is required to be contained in the financial statements.

A complete set of financial statements

... comprises statement/s of financial performance, a statement of financial position, a statement of changes in equity, a statement of cash flows, notes, comparative (prior year) information and additional comparative information, if required (IFRS 18, paragraph 10).

By the end of this chapter, you should have developed a sound knowledge of the minimum requirements for the content of financial statements as stated in IFRS 18, *Presentation and Disclosure in Financial Statements*. The recognition, measurement and disclosure of the specific transactions (such as those events occurring in respect of inventory; financial instruments; and property, plant and equipment) are addressed in other IFRS Accounting Standards, as well as their respective implementation guidelines and interpretation standards. These more specific accounting standards are discussed in the remaining chapters of this textbook.

For many users, financial statements are the only source of financial information about an entity. Existing and potential investors, lenders and other creditors would like to be able to understand and evaluate the information about a reporting entity's resources, claims against the entity, and changes in these resources and claims. A principal objective of financial reporting is therefore to provide investors with the information that they need to make informed decisions. Because of the significance of financial information to stakeholders' economic decisions, it is necessary to prescribe certain standards regarding the structure and content of financial statements. The objective of the accounting standards for the preparation of financial statements is to ensure that the financial statements provide users with **relevant** financial information that is a **faithful representation** of the transactions and events of the entity.

By prescribing certain accounting treatments, an accounting standard is also important in ensuring the **comparability, verifiability, timeliness** and **understandability** of the information presented in financial statements. These are all enhancing qualitative characteristics that determine the best way to depict a phenomenon if two characteristics are considered equally relevant and faithfully represented. The information included in financial reports is, to a large extent, based on estimates, judgements and models rather than exact depictions. The concepts that underlie these estimates, judgements and models are included in the *Conceptual Framework*, and are aimed at providing an essential framework within which financial reporting can evolve so as to improve its usefulness.

In certain circumstances, additional reporting requirements relating to the financial performance of an entity are required. These additional requirements are discussed briefly in this chapter. Entities that operate in a number of different areas of business or a number of different geographical areas are required to give additional disclosures relating to the different operating segments of their business. If an entity enters into transactions with a party that may be connected to it, those transactions are called **related party transactions** and require separate disclosure. For more information on additional accounting requirements for related party transactions, refer to [Chapter 8](#).

In addition to the preparation of annual financial statements, companies listed on the JSE Ltd are required to produce interim reports at the half year, while most local mining companies report quarterly. Other companies generally do not produce interim reports. In the last section of this chapter, you will learn the basic requirements for the preparation and presentation of **interim financial reports**.

2 Preparation and presentation of financial statements

In the first chapter, you read about the *Conceptual Framework* and the development of a unified set of accounting standards, called the International Financial Reporting Standards (IFRS Accounting Standards), which set out principles and practices for the recognition, measurement and reporting of transactions and events. You have spent some time looking at the fundamental qualitative characteristics of useful financial information, as well as the underlying assumptions and concepts governing the recognition and measurement of transactions.

Key principle:
What is the objective of IFRS 18?

IFRS 18 sets out requirements for the presentation and disclosure of information in **general purpose financial statements** (financial statements) to help ensure they provide relevant information that faithfully represents an entity's assets, liabilities, equity, income and expenses.

IFRS for SMEs
Accounting Standard application

There are several sections in the *IFRS for SMEs* Accounting Standard that refer to the presentation of financial statements. Sections 3 to 8 all deal with the different statements included in financial statements for small and medium-sized entities. Furthermore, the *IFRS for SMEs* handbook published in 2015 includes a set of illustrative financial statements as well as a presentation and disclosure checklist for small and medium-sized entities, which have significantly fewer reporting requirements than entities with public accountability.

2.1 General purpose financial statements

As you discovered in [Chapter 1](#), *The financial reporting environment and frameworks*, financial statements are a structured representation of the financial position and financial performance of an entity. The objective of general purpose financial statements is to provide information about the **financial position**, **financial performance** and **cash flows** of an entity in a structured format that is useful to a wide range of users in making economic decisions, ensuring **faithful representation of financial information that is comparable and verifiable**, both with the entity's own financial statements from previous periods as well as with the financial statements of other entities.

Key principle:
Useful structured summary (IFRS 18, Appendix A)

The primary financial statements provide a useful structured summary of the entity's recognised assets, liabilities, equity, income, expenses and cash flows if they are useful for:

- Obtaining an understandable overview of the entity's financial performance, financial position and cash flows
- Making comparisons between entities and between reporting periods
- Identifying items and areas about which users may wish to seek additional information in the notes.

This information, along with further information in the notes, assists the users of financial statements in predicting the entity's future cash flows, and, in particular, their timing and certainty.

A **complete set of financial statements** consists of the following (refer to IFRS 18, paragraph 10):

- Statement/s of financial performance for the period
- A statement of financial position as at the end of the period
- A statement of changes in equity for the period
- A statement of cash flows for the period
- Notes comprising a summary of the significant accounting policies and other explanatory information.

The components of the financial statements, excluding the notes, are referred to as the '**primary financial statements**'. The aim of these reports is to provide useful structured summaries of the financial performance, financial position and cash flows of the reporting entity. All the presentation choices in IFRS 18 are meant to be exercised in a way that enhances the usefulness of these structured summaries. The titles of some of the reports have been changed (for example, a 'balance sheet' has been renamed a 'statement of financial position') to reflect the functions of the report more clearly. Reporting entities may use other labels, such as 'balance sheet' when presenting these financial statements in accordance with IFRS 18. Other titles or terminology may be used to describe the totals within these reports as long as the meaning is clear. For example, an entity may use the term 'net income' to describe profit or loss.

Even though the minimum content of these statements is prescribed, the descriptions used and the ordering of items or aggregation of similar items may be amended according to the nature of the entity and its transactions. This is allowed as long as the information that is provided is relevant to an understanding of the entity's financial position.

2.2 Supplementary reports and disclosures

The IFRS Accounting Standards prescribe the minimum information that should be disclosed to ensure decision usefulness and relevance in an entity's financial reporting, thereby providing guidelines for the content and layout of financial statements. A number of entities also provide additional information to their stakeholders. These supplementary reports include financial reviews by management (often called management's discussion and analysis) and reports on non-financial objectives, such as environmental and employee reports.

Additional disclosures provided in conjunction with general purpose financial statements are essential to an investor's understanding and analysis of the economic activities underlying the information contained in the statements. These disclosures can take the form of footnotes in the financial statements, management's discussion and analysis of operations and financial position, information about the entity's competitive environment and so on. Such reports and additional disclosures are considered good corporate governance and are recommended by the King Reports (which were discussed in [Chapter 1](#)).

Reports and disclosures other than the financial statements prescribed by the Board are beyond the scope of the IFRS Accounting Standards, and as such are not addressed in these standards. While it is considered good practice to apply the concepts set out in the *Conceptual Framework* and IFRS 18 when compiling and presenting these additional reports, this is not a requirement of the IFRS Accounting Standards. Therefore, users should exercise a degree of caution when utilising the information contained in supplementary reports and schedules, as these have not been prepared in terms of recognised accounting standards and, in most cases, these schedules have also not been checked by an independent auditor.

In response to users' desire for non-financial information, there is likely to be an increase in the number of supplementary reports issued. The increased reliance of users on this kind of information then raises the question of whether the IFRS Accounting Standards should be extended to provide some guiding principles and practices for the preparation and presentation of these supplementary reports. Another question worth debating is whether these additional reports and statements should be audited by an independent auditor in order to protect users from unreliable information that could misinform their various decisions.

2.3 Financial reporting developments

Currently, financial statements include some items reported at historical cost, while other items are measured at fair value. Investors who rely on fair values for decision-making must then expend considerable effort and time trying to restate items measured at historical cost from that basis to fair value. Their success depends on the sufficiency of disclosure and on the relative reliability of the measurements in the disclosures.

The 2008 financial crisis, which had a significant impact on investors and entities in the developed world, highlighted the complexities of using fair value measures and resulted in many debates around the **relevance of fair value measurement bases**. Fair value measures reflect the most current and complete estimations of the value of an asset or obligation, including the amounts, timing and risk of the future cash flows attributable to the asset or obligation. There are currently several IFRS Accounting Standards that allow the use of fair values when measuring an asset or liability at the reporting date. For example, IAS 40, *Investment Property*, allows the use of either the cost model or the fair value model for investment properties. More specifically, IFRS 9, *Financial Instruments*, requires all investments to be measured at fair value, except for interest-bearing instruments, which may be measured at amortised cost because that reflects how the entity expects to derive value from those investments.

The opponents of fair value reporting argue that measuring and recognising assets and liabilities at fair value in the financial statements makes profits appear more volatile. This is because the fair value of certain instruments, such as shares, can fluctuate significantly from day to day, and the profits include items based on estimates that have not been validated by a transaction. Generally, entities do not like to report fluctuating profits, as investors perceive this as a risk factor owing to the expected changes in equity. However, standard setters are of the opinion that this volatility is a faithful representation of the risks and the true economic reality of the business.



Something to think about

Considerations relating to the classification of income and expenses

In the past, certain income and expenses were classified as extraordinary items. This classification was used when the change in financial position was caused by something that was beyond management's control (such as when a company lost assets because of a natural disaster). An extraordinary item was shown separately in profit or loss (after profit after taxation). The extraordinary item was also ignored when calculating headline earnings per share, which is basically the profit from operating activities attributable to each share, and is a financial indicator that is used extensively by shareholders. It was tempting for companies to classify losses as extraordinary items, as this meant higher headline earnings per share. This loss would then have a minimal impact on the shareholders' valuation of the company, as the item would be considered as non-recurring and would not be included in forecasts of future cash flows.

The Board has responded by eliminating extraordinary items, which are no longer permitted in terms of the IFRS Accounting Standards. The current approach is to regard most transactions as being the result of changes in net assets and to highlight those changes that were either beyond management's control or that are not expected to recur through good disclosure in the financial statements.

3 Overall considerations when preparing financial statements

In order to help preparers of financial statements develop a general framework of concepts and principles underlying the preparation of financial statements, IAS 8 describes various principles that the preparer should consider when reporting financial information. These principles are outlined below.

3.1 Qualitative characteristics of information contained in financial statements

The overall considerations regarding the presentation of financial statements prescribed by IAS 8 include ensuring that the information contained in the financial statements has two **qualitative characteristics: relevance and faithful representation. These qualities are fundamental for producing useful information.**

IAS 8 also requires financial statements to be prepared using qualities (see below), underlying assumptions (as discussed in Section 3.3) and accounting bases that are directly imported from the *Conceptual Framework*. Entities are therefore required to comply with the *Conceptual Framework* to the extent that its principles are prescribed by IAS 8. (Fair presentation, which is linked to faithful representation, is discussed below, together with offsetting and materiality and aggregation. Comparability is discussed in Section 3.2.)



Section 3, *Financial Statement Presentation*, explains the fair presentation of financial statements for small and medium-sized entities. This section provides seven overall considerations to be observed in the preparation and presentation of financial statements and any additional disclosure that may be required for small and medium-sized entities. These considerations include fair presentation, compliance with the *IFRS for SMEs* Accounting Standard, going concern, frequency of reporting, consistency of presentation, comparative information, and materiality and aggregation.

3.1.1 Fair presentation and compliance with the IFRS Accounting Standards

Preparers of financial statements must consider the principle that financial statements are required to present the financial position, financial performance and cash flows of an entity in a fair way. Faithful representation occurs when the information faithfully represents (in numbers and in words) the substance of the transactions and events that actually occurred.

Key principle: What is fair presentation?
(IAS 8, paragraphs 6A–6C)

Fair presentation requires the faithful representation of the effects of transactions, other events and conditions in accordance with the definitions and recognition criteria for assets, liabilities, income and expenses set out in the *Conceptual Framework*.

There is a general assumption that if an entity applies the IFRS Accounting Standards together with any additional disclosure that is needed, the financial statements will **represent** the entity's financial affairs **fairly**. This is a valid assumption as the standards have been developed in terms of the *Conceptual Framework*, which consists of practices and principles designed to produce relevant financial information that faithfully represents the transactions and events of the entity. Therefore, in the pursuit of fair presentation, preparers of financial statements should not only apply the accounting standards diligently but should also remain focused on presenting information that embodies the qualities recommended by the *Conceptual Framework* (faithful representation and relevance of financial information).

Fair presentation includes choosing, applying, describing and explaining the most appropriate **accounting policy** for the specific transaction or event (in accordance with IAS 8), thus presenting information in a manner that provides relevant, reliable, comparable and understandable information. It also involves providing additional disclosures, where necessary, to those specified by the IFRS Accounting Standards. IAS 8, *Basis of Preparation of Financial Statements*, provides various sources that accountants can refer to for guidance about developing an appropriate accounting policy. These sources include specific IFRS Accounting Standards, the *Conceptual Framework* and guidelines of other standard-setting bodies. (This hierarchy of references is discussed in more detail in [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*.) Thus, in order for information to represent faithfully the **substance** of a transaction or event that has actually occurred, the transaction has to be recognised and measured using an appropriate accounting policy.

Key principle:
How would you know that financial statements are prepared in compliance with IFRS?
(IAS 8, paragraph 6B)

IAS 8, *Basis of Preparation of Financial Statements*, requires an entity whose financial statements comply with the IFRS Accounting Standards to make an explicit and unreserved statement of such compliance in the notes. Financial statements should not be described as complying with the IFRS Accounting Standards unless they comply with all the requirements of the IFRS Accounting Standards. Inappropriate accounting policies are not rectified either by disclosure of the accounting policies used or by notes or explanatory material.

When preparing financial statements, preparers must not simply adhere to the IFRS Accounting Standards, but must actively apply their minds to assess whether this information is sufficient to enable users to understand the financial events of the entity.

As fair presentation in the financial statements is fundamental to stakeholders, preparers of financial statements are required to make a clear statement in the notes regarding the extent to which the financial statements are prepared in terms of the IFRS Accounting Standards. Financial statements can indicate compliance with the IFRS Accounting Standards only if they comply with all the requirements of the IFRS Accounting Standards, including the standards and related interpretations. (Refer to Section 5.5.1 of this chapter for a discussion of the presentation of accounting policies in the notes to the financial statements.)

Key principle:
What if compliance with IFRS will result in information that is misleading?
(IAS 8, paragraphs 6E–6F)

IAS 8 acknowledges that in extremely rare circumstances, management may conclude that compliance with a requirement of the IFRS Accounting Standards would be so misleading that it would conflict with the objective of financial statements set out in the *Conceptual Framework*. In such a case, the entity is required to depart from the requirement of the IFRS Accounting Standards, with detailed disclosure of the nature, reasons and impact of the departure.

3.1.2 Offsetting

The principle underlying **offsetting** is that assets, liabilities, income and expenses should not be offset unless required or permitted by the IFRS Accounting Standards. This principle simply means that elements have to be **reported separately**.

Key principle:
What is meant by offsetting?
(Conceptual Framework)

Offsetting is when an entity recognises and measures assets and liabilities separately, but then groups them into a single line item in the statement of financial position.

You are not allowed to deduct liabilities from assets with the net amount being reported unless it is required or permitted by the IFRS Accounting Standards. For example, a company cannot say that because it has debtors of CU100 000 and creditors of CU60 000, it needs only report a net debtor of CU40 000. This would amount to offsetting, which is not allowed because it makes the information difficult for users to understand and use when predicting future cash flows. If a debtor of CU40 000 were reported, the user would find it difficult to understand the nature of the transactions that resulted in the asset and would not be able to assess the related future cash flows in an accurate way.

In the above example, it is clear that it is inappropriate to offset the creditors against the debtors. But it is not so clear what is appropriate when there are amounts owing to and from the same third party (for example, where one company both supplies raw materials and purchases the finished goods).

Items of income and expense should only be offset in either of the following circumstances:

- An IFRS Accounting Standard requires or permits it.
- There are gains and losses as well as related expenses arising from the same or similar transactions and events (for example, the profit or loss when an item of property, plant and equipment is disposed of).

Something to think about

How should an entity present VAT account balances?

Assume that a company has a debit balance on its VAT account, which implies that SARS owes the company money. The company is owed money by SARS because it has overpaid VAT. On the other hand, the company owes SARS money as a result of the tax payable on the current profits that are being generated. Do you think that the amounts should be shown on a gross basis or a net basis? The answer depends entirely on whether a company is allowed to pay less tax on company profits when it has a debit balance on its VAT account. The answer to that question is 'No'. The two balances resulted from different taxes and therefore the two amounts cannot be offset against each other. The debit and credit balances should be shown separately.

Any material gains and losses should be disclosed separately.

The application of offsetting is an area of considerable judgement and subjectivity. Offsetting is permitted only if it reflects the **economic reality of the transaction**. Where the substance of the transaction is a sale of goods and discounts are allowed as part of the sale, the net amount is recognised as revenue. Where an asset is disposed of, the carrying amount of the asset is deducted from the proceeds, and the gain or loss is reported because the substance of

the transaction was the disposal of a non-current asset, which is not a part of the ordinary activities of the entity. Financial position elements (for example, inventory and accounts receivable) should be disclosed net of allowances, which is not offsetting. However, balances that result from different transactions should not be reported on a net basis. Trade creditors should not be offset against trade debtors, and expenses should not be offset against income.

3.1.3 Materiality and aggregation

Relevant information allows users to make financial decisions about an entity. One characteristic of relevant information is that it is **material** (capable of changing a user's financial decisions). Information is material if a user would make a different decision if this information were omitted from or misstated in the financial statements of an entity. To decide whether information is material, the **nature and size** of the item are evaluated together, and, if the non-disclosure thereof could influence the economic decisions of users taken on the basis of the financial statements, it is material.

Key principle:

When is an item or transaction material? (IFRS 18, Appendix A)

Omissions or misstatements of items are material if they could, individually or collectively, influence the economic decisions that users make based on the financial statements. Materiality depends on the size and nature of the omission or misstatement judged in the context of the surrounding circumstances. The size or nature of the item, or a combination of both, could be the determining factor.

A transaction can be material because it is significant in **amount** in relation to the entity's other transactions or because it is significant in **nature**. For example, if a company forgot to include a CU500 sale in the general ledger, this omission would not be material because it would not affect a user's financial decision if sales of CU9 million were understated by CU500. On the other hand, if an entity was required to pay a fine because it had not complied with labour legislation requirements, it would be material irrespective of the amount of the fine because of the nature of the payment.

One item that should always be shown separately, irrespective of how large it is, is the amount of **payments made to directors**. In a company making billions of rands' worth of profits, payments of a few million rand to directors may not be numerically material. On the other hand, as the directors decide for themselves how much they should be paid, the amount paid to directors is a sensitive issue and separate disclosure of the amount paid is therefore required.

An entity need not disclose an item that is not material, even if required by an IFRS Accounting Standard. An entity needs to disclose items that are material, even if they are not required by an IFRS Accounting Standard. When an entity does not present or disclose an item that is required by an IFRS Accounting Standard, it is important that it explains why it has not disclosed this item. This explanation is useful to users of primary financial statements as they would likely look for such an item. It is also important that some items or sub-totals that are necessary for the structural integrity of the primary financial statements cannot be immaterial because IFRS 18 requires these to allow comparability between entities.

The primary financial statements provide a useful structured summary of the entity's recognised assets, liabilities, equity, income, expenses and cash flows if they are useful for obtaining an understandable overview of the entity, making comparisons (between entities and between financial periods) and identifying items for which users may wish to seek additional information. The concept of a useful structured summary must drive how an entity presents

information in the primary financial statements. Other material information can be included in the notes if it does not contribute to providing a useful structured summary when presented on the face of the primary financial statements.

Financial statements result from the processing of large volumes of transactions and other events that result in incomes, expenses, equity, assets and liabilities. Groups of these elements are then aggregated into classes according to their shared characteristics. Examples of shared characteristics that an entity needs to consider when aggregating or disaggregating items include (IFRS 18, paragraph B78):

- Nature (for example, employee benefits or depreciation)
- Function (for example, cost of sales or distribution costs)
- Persistence (which refers to the frequency of the item, and whether it is recurring or non-recurring)
- The measurement basis (for example, assets measured using the historical cost method may be presented separately from assets that are measured at fair value)
- Size (if an item is large, it may be more appropriate to disclose it on its own, in other words, disaggregated)
- Geographical location or regulatory environment
- The tax effects of such an item
- Whether the income or expense results from a transaction or event, or results from a change in estimate.

These aggregated classes form the line items on the individual components of the financial statements presented. **Aggregation** refers to the process of combining different assets and disclosing the total amount in the statement of financial position. The different assets, liabilities, income, expenses and other equity items can be aggregated, and the total amount for each group of elements presented on the face of the statement of financial position. In some cases, an item may not be sufficiently material to warrant separate presentation in this way, but it may nevertheless be sufficiently material to be disclosed separately in the notes.

3.2 Comparability

When you refer to financial statements, you will note that they always include the balances of the **prior reporting period** as well as the current year's balances. These balances are referred to as the **comparative amounts**, and represent the amounts for the prior financial year for similar transactions and events. Comparative figures are required for all numbers disclosed in the financial statements. This implies that two sets of numbers will be presented on the statement of profit or loss and other comprehensive income: the amounts relating to the current year's operations as well as the amounts relating to the prior year. Similarly, the statement of financial position, the statement of cash flows, the statement of changes in equity and all the notes to the financial statements must include, as a minimum requirement, the amounts relating to the current year and the previous period. Comparative information should also be included for narrative and descriptive information when it is relevant to an understanding of the current year's financial statements.

Entities are exempt from the requirement to give comparative figures if it is specifically stated in an IFRS Accounting Standard that comparative figures do not need to be disclosed. For example, the standard dealing with

provisions (IAS 37) specifically states that comparative information does not need to be presented for the reconciliation of the carrying amount of the provision.

Comparative information in financial statements helps users to evaluate the entity's performance. Because these statements include a minimum of two years' results, a user is able to predict a trend from the results. (An entity can choose to disclose the results of more years if it wishes.) The comparison of the current year's sales with those of prior years is far more informative than a gross sales figure given in isolation.

Key principle:
When and where should comparative information be presented?
(IFRS 18, paragraph 31)

Comparative information should be disclosed in respect of the previous period for all amounts reported in the financial statements, both on the face of financial statements and in the notes, unless required otherwise by another IFRS Accounting Standard.

The **consistency and comparability** of information allow users to compare entities before they invest in them. Information is reported **consistently** when the same methods are used for the same items, either from period to period within a reporting period or in a single period across entities. Comparability is the goal; consistency helps to achieve that goal. Consistency is achieved by using **consistent accounting policies** from one year to the next or, when it is necessary to change, by providing sufficient disclosure of the effects of the change. When an entity changes to a new accounting policy, it should present, as a minimum, three statements of financial position, two of each of the other statements and related notes. (Changes in accounting policies are discussed in more detail in [Chapter 3, Accounting policies, changes in accounting estimates and errors](#).) Consistency is further achieved by requiring all items that are similar in substance to be **accounted for similarly**. For example, a company with machinery has the option of using either the cost model or the revaluation model to measure the machinery in subsequent periods. One model needs to be selected and applied to all machinery.

However, while the goal is comparability, this does not imply uniformity. In order for information to be **comparable**, similar transactions should be reported in a similar way, and different transactions may be reported in a different way. For example, an entity may choose to use the historical cost basis for measuring some of its assets (for example, tangible assets like machinery), whilst using the fair value basis for measuring others (for example, financial assets like investments in shares).

IFRS Accounting Standards give entities almost full discretion to choose accounting policies and measurement bases within the allowable options. Situations may exist where entities that are in the same industry or are domiciled in the same country make different accounting policy choices, including different assumptions and estimates. This can result in widely different financial statements and reported amounts. The current flexibility within the IFRS Accounting Standards results in a lack of comparability of financial information from one entity to the next and can result in different results of the simplest financial analysis (for example, return on equity or debt-equity ratio). Until such flexibility in the measurement and reporting of financial information is removed, users will require sufficient disclosure to enable them to reconcile and adjust the reported numbers in order to reach meaningful conclusions when making comparisons.

Key principle:
Are we allowed to make any changes to comparative information?
(IFRS 18, paragraphs 30 and 33)

The presentation and classification of items in the financial statements should be retained from one period to the next unless a change is justified, either by a change in circumstances or as a requirement of a new IFRS Accounting Standard. If comparative amounts are changed or reclassified, various disclosures are required.

3.2.1 Changes in presentation and classification

In some cases, items are classified differently in different years. For example, in the statement of profit or loss and other comprehensive income, certain items that may have been classified as other operating expenses in the analysis of operating costs in one reporting period may be reclassified as administrative costs in the next reporting period (for the reason that it is a more appropriate classification). Changes in the presentation or classification of items in financial statements have no effect on the reported profit or equity, but they do affect how useful the information is in extrapolating future amounts.

Accordingly, where items on the financial statements are reclassified or presented differently in the current year, the comparative figures must be reclassified in order to provide stakeholders with a reliable basis of comparison. The following should be disclosed (IFRS 18, paragraph 33):

- The nature of the reclassification
- The amount of each item or class of items that is reclassified
- The reason for the reclassification.

In some cases, it may be impractical to reclassify comparative amounts (for example, when the data for the prior period have not been collected in a way that allows reclassification). In such cases, the entity should disclose the reason for not reclassifying the amounts and the nature of the adjustments that would have been made if the amounts had been reclassified.

3.3 Assumptions underlying the preparation of financial statements

A number of the concepts in the *Conceptual Framework* in respect of the preparation of financial statements have been incorporated into IFRS 18 and IAS 8. These concepts are part of the IFRS Accounting Standards; as such, they must be applied by entities in the preparation of their financial statements.



Key principle:
What are the underlying assumptions when we prepare financial statements?

- Accrual basis (IAS 8, paragraph 6M): An entity prepares its financial statements, except for cash flow information, using the accrual basis of accounting.
- Going concern basis (IAS 8, paragraph 6K): An entity preparing financial statements that comply with the IFRS Accounting Standards is presumed to be a going concern. If management has significant concerns about the entity's ability to continue as a going

concern, the uncertainties must be disclosed. If management concludes that the entity is not a going concern, the financial statements should not be prepared on a going concern basis, in which case IAS 8 requires a series of disclosures.

3.3.1 Accrual basis of accounting

The accrual basis of accounting is simply a method for determining when transactions and events are recognised. In terms of the **accrual basis of accounting**, the effects of transactions and other events and circumstances on a reporting entity's economic resources and claims are recorded and reported in the periods in which those effects occur, even if the resulting cash receipts and payments occur in a different period. When using the accrual basis, the recognition of transactions is dependent on when the transaction meets the asset and liability definition. Provided that the recognition criteria have been satisfied, this means that transactions are reported when they occur, resulting in the financial statements being a true representation of underlying events. (The accrual basis of accounting is explained in Chapter 1 and in Jacqui Kew's 2024 book *Financial Accounting: An Introduction*.)

An alternative basis of accounting is the cash basis, where transactions are recorded when cash is received or paid by the company. However, the cash basis is not the prescribed basis of accounting in terms of the IFRS Accounting Standards because of its limitations in providing information that faithfully represents the actual state of an entity's financial affairs.

3.3.2 The entity as a going concern

IAS 8 states that financial statements must be prepared on a going concern basis unless management intends either to liquidate the entity or to cease trading, or has no realistic alternative but to do so. The term 'going concern' implies that an entity can continue to trade into the foreseeable future without significantly reducing the size of its operations and that there is no intention to liquidate the business. The assumption of an entity as a **going concern** is included in IAS 8, making this assumption part of the IFRS Accounting Standards.

It is necessary to assess whether or not an entity is a going concern before preparing that entity's financial statements. IAS 8 provides useful guidance about how management should assess whether an entity is a going concern. In order to do so, you need to evaluate the entity's ability to continue to trade in the future by using historical financial information to make predictions about the future as well as by using other information (financial and non-financial) to identify and assess any uncertainties surrounding the generation of future cash flows.

When making such an assessment, you should use all the information available, even if the information was obtained after year-end date but before the financial statements were published. You are required to disclose any uncertainties regarding events or circumstances that could impact significantly on whether the entity is a going concern.

For example, you may have just found out that a competitor has introduced a new product that is likely to capture 100% of the market, thereby making the entity's sole product obsolete. This information cannot be incorporated into the financial statements of your company, as there are still too many uncertainties, but the information should be disclosed in the notes, as it describes an uncertain situation that, if it were to happen, could impact on the entity's continued ability to trade.

The assessment of an entity as a going concern is important because it influences what measurement basis is selected for measuring assets and liabilities in the statement of financial position. Where management intends to liquidate the entity or to cease trading or has no realistic alternative but to do so, the entity should not prepare its financial statements on a going concern basis. The entity should disclose the fact that the financial statements have been prepared on a different basis (for example, by reference to liquidation or forced sales values), explain the basis on which they have been prepared and provide the reason or reasons that the entity is not regarded as a going concern.

Something to do

Go back to [Chapter 1](#), *The financial reporting environment and frameworks*, and make sure that you understand the appropriate measurement bases that are used for an entity that is a going concern. You should be able to explain how these bases differ from a break-up valuation and why a break-up valuation should be used for an entity that ceases to be a going concern.

ETHICAL DILEMMA

When preparing financial statements for an entity, there may be pressure from management or stakeholders to manipulate or misrepresent financial data to present a more favourable picture of a company's financial performance or position. This dilemma is often driven by various factors, such as meeting financial targets, securing funding or investments, or enhancing the company's reputation. Other misrepresentations may result from understating expenses or manipulating accounting estimates to present a more positive financial outcome. This can be driven by a desire to increase share prices, secure loans or attract potential investors.

There is an ethical responsibility for accountants to uphold the principles of integrity, objectivity and transparency when preparing financial statements. You have a duty to provide accurate and reliable information to shareholders, investors, lenders and other stakeholders who rely on these statements to make informed decisions.

4 Structure of financial statements

Each component of the financial statements should clearly **identify the entity that is being presented**, the **reporting period**, the **currency** used in the report and the **purpose** for which the report has been prepared.

The IFRS Accounting Standards apply only to the financial statements and not to the other information presented in the annual report; information that was prepared using the IFRS Accounting Standards must be distinguished from any other information that is presented. In their report, the **auditors** should also clearly identify the financial statements on which their audit opinion of fair representation is presented. (They normally do this by reference to the pages in the annual report that contain the financial statements.)

Key principle:

Important information that should be presented in the financial statements

IFRS 18, paragraph 27 calls for the following information to be displayed prominently, preferably on each page of the financial statements:

- The name of the reporting entity or other means of identification
- Whether the financial statements cover the individual entity or a group of entities
- The reporting date or the period covered by the financial statements
- The presentation currency
- The level of rounding (thousands, millions and so on) used in the presentation of figures in the financial statements.

4.1 Identification of the entity

Each statement of the financial statements should clearly identify the **name** and **legal form** of the reporting entity. The legal form depends on the legislation applicable in the country in which the entity is registered.

Other types of business entities, such as a partnership or sole proprietor, normally identify only the trade name used for the business.

In the case where an entity's name has changed during a specific reporting period, it is advisable for both the previous and the new name to be displayed in the year of the change, for example, 'Fresh Foods Ltd (formerly Good Foods Ltd)'. In this way, the user can clearly see that there was a change in name, and any confusion is limited.

If an entity is in liquidation (in other words, it is not a going concern), the name of the entity must include the words 'in liquidation'.

Example of identifying an entity

The entity's name and legal form should be presented as a heading for each statement included in the financial statements. For example, in South Africa, where the entity is a company, the name should clearly indicate this by including the term 'Limited' ('Ltd') or, in the case of a private company, it should include 'Proprietary Ltd' ('(Pty) Ltd'). Other examples include 'Public Limited Company' ('Plc'), which is normally used for British listed companies, and 'Corporation' ('Corp.') and 'Incorporated' ('Inc.'), which are normally used for corporations in the United States. This information immediately tells the user that these are the financial statements of a company.

4.2 Separate and group financial statements

When a parent company has a controlling interest in another entity, that parent company must prepare group financial statements. When group financial statements are prepared, specific requirements must be met, and specific elements must be identified. Most importantly, the financial statements of an entity should clearly identify whether the statements cover the group of entities (in group financial statements) or whether they cover only the individual entity (in separate financial statements). IFRS 12, *Disclosure of Interests in Other Entities* outlines the disclosures required in the consolidated financial statements for subsidiaries, and IAS 27, *Separate Financial Statements* sets out disclosures required in the separate financial statements of the parent (see [Chapter 27](#), *Consolidated financial statements*).

Key principle: What is the key objective of IFRS 12?

The objective of this IFRS Accounting Standard is to require an entity to disclose information that enables users of its financial statements to evaluate the following:

- The nature of and risks associated with its interest in other entities
- The effects of those interests on its financial position, financial performance and cash flows.

4.3 Reporting period

Financial statements should clearly identify the **reporting date** (for example, 'at 28 February 20x5'). The statement of financial position is reported **as at the year-end date**, which is why this statement should clearly state 'Statement of financial position as at 28 February 20x5', for example. All the other components of the financial statements report the performance of the entity from the prior reporting date to the current reporting date. This is why the statement of profit or loss and other comprehensive income, the statement of cash flows, the statement of changes in equity and the notes to the financial statements should all refer to the period that is reported (for example, 'Statement of profit or loss and other comprehensive income for the year ended 28 February 20x5').

Key principle: How often do we have to prepare financial statements? (IFRS 18, paragraph 28)

There is a presumption that financial statements must be prepared at least annually. If the annual reporting period changes and financial statements are prepared for a different period, the entity must disclose the reason for the change and supply a warning about problems of comparability. Financial statements should be presented annually (at least). They are then referred to as annual financial statements. However, an entity can have a reporting period that is longer or shorter than one year. This normally happens in the first year of operation or when an entity decides to change its reporting period. In this case, the financial statements should clearly indicate that the reporting period is not one year but for a specific period (for example, 'Statement of profit or loss and other comprehensive income for the nine months ended 28 February 20x5'). This information highlights to the user that the results of the entity should be considered for that period only and are, therefore, not entirely comparable with results that cover a full calendar year.

Example of a change in reporting date

Assume that an entity with a reporting date of 28 February 20x5 changes its reporting period to end on 31 December. The first financial statements that it prepares for the period ending 31 December 20x5 will only cover a ten-month period.

On the other hand, assume that an entity with a reporting date of 31 December 20x4 changes its reporting date to end on 28 February. The first financial statements that it prepares will not be for the two-month period ending on 28 February 20x5, as that period is too short (less than six months). It would then prepare financial statements for the 14-month period ending 28 February 20x6.

When this occurs, IFRS 18, paragraph 28 requires the entity to disclose the reason for the shorter (or longer) reporting period and the fact that the amounts presented in the financial statements are not entirely comparable.

In some cases, entities report their monthly and quarterly performance based on a specific number of weeks. For example, management accounts are reported at the end of every four weeks instead of every month. This may also result in a situation where the entity would prefer to report its annual results for a period of 52 weeks instead of a calendar year. This approach is acceptable in terms of the IFRS Accounting Standards, as it is unlikely that the difference between 52 weeks and a calendar year will be material.

Something to do

Some of the larger retailers in South Africa use the 52-week calendar mentioned above. This results in a 364-day financial reporting period, with each financial year ending a day earlier in the calendar month compared to the previous date (for example, 31 December 2022 year-end, followed by 30 December 2023 year-end, etc.) Furthermore, the financial year ends two days earlier in a leap year. To realign the reporting period with the targeted month end, the entity may need to present financial statements for a 53-week financial year (i.e. 371 days) every 5 or 6 years. Visit the websites of Pick n Pay Group, Shoprite Holdings and/or Woolworths Holdings. What reporting period is used in the financial statements? When last did they report on a 53-week year, and what extra disclosures were made to ensure the comparability of the information presented?

4.4 Interim reports

Interim financial reports are financial reports containing either a complete set of financial statements (as described in IFRS 18) or a set of condensed financial statements for an interim period. An interim period is a financial reporting period shorter than a full financial year. Entities that are listed on an exchange (for example, the JSE Ltd), or have issued publicly traded debt or equity, are often required by the legislature, securities exchanges or other regulators to publish interim financial reports. The frequency and timing of these reports are generally specified. For example, they may be published at six-monthly intervals or at quarterly intervals.

Interim reports are condensed financial statements that only include selected explanatory notes. Interim reports are not covered in IFRS 18 but are specifically dealt with in IAS 34, *Interim Financial Reporting*. Interim reports are often published in the press. They should include the comparative amounts that were presented in the most recent annual financial statements for each line item and amount presented.

Users refer to the information presented in interim reports to confirm the financial position and performance of the entity at intervals shorter than the annual reporting year. This information is extremely useful in their decision-making process. (Interim reports are discussed in more detail in Section 7 of this chapter.)

4.5 Reporting currency and denomination

An entity may present its financial statements in any currency (or currencies). The currency in which financial statements are prepared is referred to as the **presentation currency**. If this currency differs from the functional currency (that is, the currency of the primary economic environment in which the entity operates), the entity should translate its financial results and financial position into the presentation currency. This textbook does not use any specific currency and refers to a **currency unit** (CU) in order to avoid any reference to a specific currency.

The financial statements should clearly indicate the currency in which the results are reported as well as the denomination in which the currency is reported. For example, it should be indicated if the statements present the amounts in thousands (CU'000) or in millions (CU'm), and thus whether all the results in the financial statements should be translated into thousands or millions.

In order to interpret the information correctly, users should take care when identifying the presentation currency and noting the relationship between different currencies. International entities and entities that are listed on more than one stock exchange normally include a summary of the different exchange rates at the reporting date. They also usually present their key performance indicators in more than one currency, for example reporting earnings per share in US dollars, pounds sterling, Australian dollars and South African rands. (You can read more about the reporting currency of foreign entities in [Chapter 29](#), *Foreign operations*.)

5 Components of financial statements

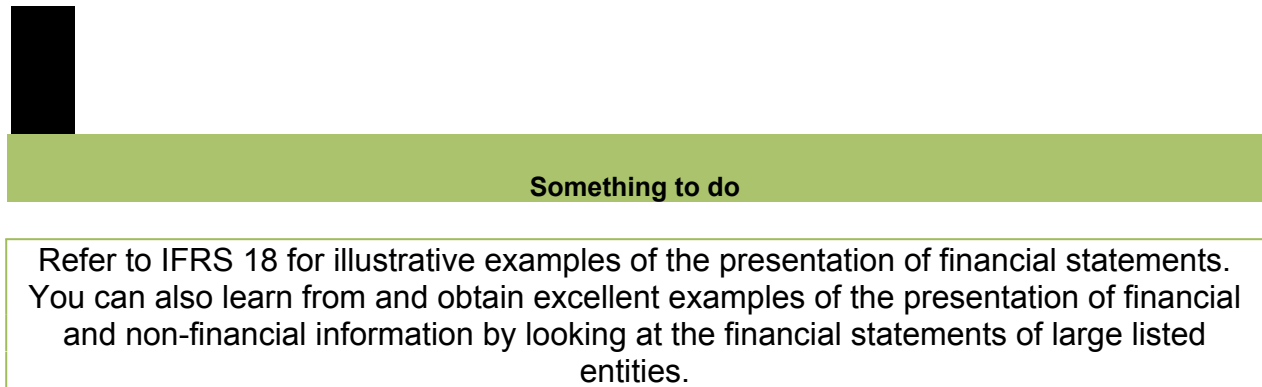
A **complete set of financial statements** consists of the following components (refer to IFRS 18, paragraph 10):

- Statement/s of financial performance
- A statement of financial position as at the end of the period
- A statement of changes in equity for the period
- A statement of cash flows for the period
- Notes comprising a summary of significant accounting policies and other explanatory information
- A statement of financial position as at the beginning of the earliest comparative period when an entity applies an accounting policy retrospectively or makes a retrospective restatement of items in its financial statements, or when it reclassifies items in its financial statements.

As per Section 3.2, comparative information is required in financial statements. Thus in each of the points below, ‘for the period’ needs to be presented together with amounts that were published for the prior period.

[Figure 2.1](#) is a diagram that represents a complete set of financial statements.

Figure 2.1 The components of a complete set of financial statements



In addition to the quantitative financial information presented in financial statements, the following other information should be supplied in the financial statements (as required by IFRS 18, paragraph 129):

- Domicile and legal form of the entity
- Country of incorporation
- Address of registered office or principal place of business
- Description of the entity’s operations and principal activities
- If it is part of a group, the name of its parent and the ultimate parent of the group
- If it is a limited life entity, information regarding the length of the life.

This information is usually presented in the notes to the financial statements.

Entities often present other information (for example, certain financial ratios or a narrative review of operations by management or directors) in the form of **other statements and reports**. These reports are sometimes referred to as ‘management discussion and analysis’. For example, some entities voluntarily prepare financial director’s reports, chairperson’s reports, sustainability reports or corporate social responsibility reports. These reports and the information that they contain are reported outside the financial statements and are not within the scope of the IFRS Accounting Standards. Where information contained in these reports (or other material) presents management’s view of performance and is similar but not the same as what is contained in the statement of financial performance, IFRS 18 requires the reporting entity to prepare further disclosures. For example, management could present an adjusted operating profit that excludes certain items. For more information of these management-defined performance measures refer to Section 5.3.

In many countries (for example, South Africa and Australia), entities are required to submit a directors’ report that covers, among other matters, commentary on the results of the operations and the financial position of the entity as

part of their annual financial statements. (In South Africa, this is a requirement in terms of Section 30 of the *Companies Act, No. 71 of 2008*.)

The directors' report includes information relating to the state of affairs, the business and the profit or loss of the company, as well as any matters material to the shareholders that are presented at the annual general meeting. In order to present the state of affairs of a company fairly, the directors' report should complement and explain the information contained in the other reports included in the financial statements of the company. The **directors' report** is a narrative report that should:

- Include a general review of the business and its operations during the reporting period, as well as the results for the period
- Deal with every fact or circumstance that is material for the understanding of the state of the company's affairs by its members, including any material fact or circumstance that occurred between the reporting date and the date of the report
- Include the nature of the business of the company and any major changes therein during the accounting period
 - Include the aggregate figures and particulars of any shares, convertible instruments and debentures issued during the reporting period, as well as the purposes for and circumstances in which such shares, instruments and debentures were issued
- Include any major change in the nature of the fixed assets (property, plant and equipment) of the company during the accounting period and any change in policy relating to their use
- Include any dividends already paid or declared, or proposed to be paid in respect of each class of shares during the reporting period, including those dividends declared after the reporting date but before the finalisation of the financial statements
- Include the fact that the business of the company or any part thereof has been managed by a third party under any agreement during the reporting period, including the name of this third party
- Include the names of the directors and the company secretary, the secretary's business and postal addresses, and any changes therein during the reporting period
- If the company is a subsidiary company, include the name of its holding company and its ultimate holding company, and if any such holding company has been incorporated in a foreign country, the name of that country.

The financial statements of public entities and companies with public interests are usually required to be audited (depending on the jurisdiction in the country of registration). The financial statements of these entities should include an **auditors' report** that contains essential information about the financial information reported and is issued and signed by a certified independent external auditor. It is important to note that the auditors' report is an **opinion** on whether the information presented in the financial statements is correct and free from material misstatements.

In South Africa, the *Companies Act, No. 71 of 2008*, requires the annual financial statements of companies that have public accountability (using a public interest score) to be audited.

5.1 Statement/s of financial performance

The statement/s of financial performance present the details of changes in an entity's net assets (assets and liabilities), in the form of income, expenses and other adjustments resulting from non-owner transactions. A reporting entity has the option to present a **single statement** of financial performance, which is called the **statement of profit or loss and other comprehensive income**. The statement of profit or loss and other comprehensive income is split into two sections:

- profit or loss
- other comprehensive income.

Alternatively, an entity may present the two above sections in **two separate statements**, one called the **statement of profit or loss**, and the other called the **statement presenting comprehensive income**. The contents of the statement/s of financial performance are the same irrespective of whether they are presented in a single statement or the two-statement approach is followed. The discussion of profit or loss below refers equally to the **profit or loss section** in a single statement and to the **statement of profit or loss** if the two-statement approach was followed.

Where the two-statements approach is followed, the other comprehensive income forms part of the **statement presenting comprehensive income**. This statement is named as such because it starts with profit or loss, and thus presents all comprehensive income, including the net result of the first statement (the statement of profit or loss).

The statement of financial performance reports on all **non-owner transactions** and other events, such as valuation adjustments affecting net assets during the period. The statement provides information on the type of activities that resulted in increases and decreases in the entity's assets and liabilities (in other words, income and expenses, gains and losses). Users rely on information about the entity's past financial performance presented in the statement of profit or loss and other comprehensive income to predict the ability of the entity to generate future cash flows using its existing asset base (without investment in additional assets). The statement of profit or loss and other comprehensive income is also useful to assess the performance and effectiveness with which an entity uses its resources.

Profit or loss is the primary measure of an entity's performance. It is used in the determination of other summary indicators, such as earnings per share and the return on equity. Where an entity is generating a loss from an existing asset base, there is no evidence that the entity will be able to use its resources effectively to make a profit, even with an additional investment. The statement of profit or loss and other comprehensive income provides information that is used to some extent to evaluate how effective the entity is in generating a return on its assets and to assess management's stewardship of the entity's resources.

A statement of profit or loss and other comprehensive income (or the two separate statements) summarises all the transactions recognised as income and expenses (which includes losses) during a financial year, starting on the first date after the prior reporting date and including all the results until the end of the current reporting period. For example, if an entity has a financial year end of 31 December, the statement of financial position would recognise the assets and liabilities of the entity at that specific date. The statement of profit or loss and other comprehensive income would include the income and expenses for the entity from 1 January to 31 December, which is the entity's reporting period. The heading/s on statement/s of financial performance should always refer to the reporting period by referring to either **'the period ended'** or **'the year ended'**.

For comparative purposes, prior year figures should be presented for all income and expense items listed on the face of the statement of profit or loss and other comprehensive income and in the notes. Prior year figures should be reclassified or restated where necessary to ensure they are comparable with current year figures.

IFRS for SMEs
Accounting Standard application

Section 5, *Statement of Comprehensive Income and Income Statement*, provides guidance for small and medium-sized entities regarding how they should present total comprehensive income (all income, expenses, gains and losses generated by the entity's activities). This section requires an entity to present its total comprehensive income for the reporting period (that is, its financial performance for the period) in either of the following forms:

- A single statement of profit or loss and other comprehensive income (in which case, the statement of profit or loss and other comprehensive income presents all items of income and expense recognised in the period)
- In two statements: an income statement and a statement of profit or loss and other comprehensive income (in which case, the income statement presents all items of income and expenses recognised in the period, except those that are recognised in total comprehensive income outside of profit or loss, as permitted by the *IFRS for SMEs* Accounting Standard).

5.1.1 Profit or loss

Profit or loss (P/L) is the total income less expenses, excluding the items of other comprehensive income (see Section 5.1.2 below). The income less expenses making up profit or loss is classified into **five separate categories** that an entity needs to present if earned or incurred income or expenses has certain characteristics. The five categories of profit or loss are:

- The operating category
- The investing category
- The financing category
- The income taxes category
- The discontinued operations category.

The **operating category** is the default category. If an item of income or expense does not meet the definition of one of the other categories, it is automatically classified under the operating category. As could be deduced from the name, the operating category should include all income and expenses from an entity's **main business activity**. However, due to the category being the default category, an entity is not required to define its main business activity or try to identify the income and expenses from the operating category directly.

The **investing category** includes all income and expenses from investments in associates, joint ventures and unconsolidated subsidiaries. Income and expenses from cash and cash equivalents are also included in this category. A catch-all definition is included for income and expenses from assets that generate returns individually and not in

combination with other assets of the entity. Examples include income and expenses relating to investment property (see [Chapter 11](#), *Investment properties*) and investments in financial assets such as shares (see [Chapter 14](#), *Financial instruments*). IFRS 18, paragraph B48 also lists assets that are unlikely to generate independent cash flows, such as property, plant and equipment. Therefore, all income (for example, profit on disposal) and expenses (for example, depreciation) from such property, plant and equipment must be included in the operating category.

For the purposes of the **financing category**, an entity needs to differentiate between liabilities that involve the raising of finance (for example, bank loans) and liabilities that do not involve the raising of finance (for example, lease liabilities). For liabilities that involve the raising of finance, the entity classifies all income and expenses in the financing category. The income and expenses extend beyond interest income and interest expenses. For example, an entity may renegotiate a loan, or exchange it for another asset or liability, resulting in a gain or loss on that loan.

That gain or loss must be recognised under the financing category in terms of IFRS 18.

Where liabilities do not relate to the raising of finance, only the interest income and interest expense or changes in interest should be included in the financing category. Therefore, if an entity buys on credit, and subsequently negotiates a reduction on what it should pay to the creditors, the resulting gain is included in the operating category even though it relates to a liability.

There are exceptions to the above classifications into categories for entities with **specified main business activities**. These are entities that invest in assets as a main business activity (for example, investment property) or entities that provide finance to customers as a main business activity. For such entities, income and expenses that would otherwise be classified within the investing or financing category above must be classified within the operating category.

In addition to the three categories discussed above (operating, investing and financing) there are two other categories of profit or loss, namely income taxes and discontinued operations. These are single line items brought into the statement of profit or loss by the IFRS Accounting Standard on tax (IAS 12, *Income Taxes*, see [Chapter 18](#)) and the IFRS Accounting Standard on discontinued operations (IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*, see [Chapter 21](#)).

Under IAS 1, the previous standard on the presentation of financial statements, there was less guidance regarding the sub-totals in the statement of profit or loss. For example, some entities would present operating profit as a sub-total and some would not. With the introduction of IFRS 18, entities are required to present specific sub-totals as a minimum. Reporting entities are allowed to present more sub-totals if the additional lines will help with creating a useful structured summary. For example, most retail companies will report a gross profit figure, even though this is not required by the IFRS Accounting Standards. This is still allowed. The three specific sub-totals required by IFRS 18 are:

- Operating profit
- Profit or loss before financing and income taxes
- Profit or loss.

The illustrative disclosure at the end of Section 5.1.3 demonstrates how the sub-totals and the sections above are combined together to create a useful structured summary as required by IFRS 18.

5.1.2 Other comprehensive income

All items of income, expenses, gains and losses should be included in the calculation of **profit or loss** unless a specific IFRS Accounting Standard requires or permits otherwise. This implies that you should include all income,

expenses, gains and losses in the calculation of profit or loss for the year, except for the following gains and losses, which should, in terms of the IFRS Accounting Standards, be recognised as **other comprehensive income**:

- Gains and losses arising on revaluation of assets (refer to IAS 16, *Property, Plant and Equipment*, and IAS 38, *Intangible Assets*)
- Actuarial gains and losses on defined benefit plans recognised in accordance with paragraph 93A of IAS 19, *Employee Benefits*
- Gains and losses arising from translating the financial statements of a foreign operation (refer to IAS 21, *The Effects of Changes in Foreign Exchange Rates*)
- Gains and losses on measuring investments in equity instruments at fair value (refer to IFRS 9, *Financial Instruments*)
- The effective portion of gains and losses on hedging instruments in a cash flow hedge (refer to IFRS 9, *Financial Instruments*).

Some income and expense items are initially required to be recognised in other comprehensive income and are subsequently **reclassified** to profit or loss. For example, gains and losses on cash flow hedges may initially be recognised in other comprehensive income and accumulated in equity, and then transferred to profit or loss when the hedged item affects profit or loss. The subsequent recognition in profit or loss of an item previously recognised in other comprehensive income is referred to as a **reclassification adjustment**. It is also commonly known as the **recycling** of gains and losses through profit or loss, as it results in the initial recognition of gains and losses in other comprehensive income and their subsequent recognition in profit or loss. The **other comprehensive income section** should include line items for amounts classified by nature and groups as follows:

- Items that will not be reclassified subsequently to profit or loss
- Items that will be reclassified subsequently to profit or loss when specific conditions are met.

Comprehensive income = Profit for the year + Other comprehensive income

Something to think about

What are the limitations of the statement of profit or loss and other comprehensive income?

The statement of profit or loss and other comprehensive income is the prime source of information about an entity's financial performance. It can be used to assist users in predicting an entity's future performance and future cash flows. However, some limitations can arise from the way in which this information is presented in the statement of profit or loss and other comprehensive income, for example:

- The mandatory expensing of intangible self-generated assets because of the recognition and measurement requirements of IAS 38, *Intangible Assets* (refer to [Chapter 12](#))
 - The objective of smoothing earnings or projecting an image of earnings growth may result in the deliberate making of biased judgements relating to the measurement of items of income or expense, such as an impairment loss or the expected residual value of an asset.
- The notes to the financial statements are an important source of information that can help to mitigate the effects of these limitations.

At the end of the statement of profit or loss and other comprehensive income for a **group of companies**, you should disclose the allocation of profit or loss attributable to the non-controlling interest and the owners of the parent. The profit or loss for the period is then allocated as follows:

- Profit or loss attributable to equity holders of the parent
- Profit or loss attributable to non-controlling interest.

The **total comprehensive income** for the period is also allocated in the same manner, as follows:

- Total comprehensive income attributable to equity holders of the parent
- Total comprehensive income attributable to non-controlling interest.

Refer to Part 3, *Accounting for groups*, for a discussion on the preparation of group accounts.

You can add additional line items, amend the descriptions used or use separate headings and sub-totals when such information is helpful in creating a useful structured summary.

5.1.3 Classification of expenses in profit or loss

IFRS 18, paragraph 78 allows for two methods of **classifying the expenses** in the statement of profit or loss and other comprehensive income. The expenses for the reporting period can be presented by classifying them either by their **nature** or by their **function** within the entity. You are also allowed to use a combination of the two methods. You should present and analyse the expenses in a manner that will result in the most useful structured summary.

Key principle: How should expenses be classified in the profit or loss section? (IFRS 18, paragraphs 78 and 83)

Expenses recognised in profit or loss should be analysed by nature (for example, raw materials, staffing costs or depreciation) or by function (for example, cost of sales, selling or administrative expenses), or both. The entity needs to apply judgement to determine which presentation produces a useful structured summary. This means an

entity that predominantly uses the function method may not arbitrarily allocate expenses to function. For example, impairment on goodwill may not fit in the normal classification by function. If an entity classifies expenses by function, then additional information on the nature of expenses – at a minimum, depreciation, amortisation and employee benefits expenses – must be disclosed.

The **nature** of the expense refers to the type of expense incurred (for example, the raw material used, depreciation or expenses related to employee benefits). The classification of expenses according to their **function** requires an expense to be allocated to the appropriate functions within the entity (for example, expenses related to employee benefits are split among the administrative function, the selling function and the distribution function).

Both of these methods of presentation have merits. Which of the two is used depends on historical and industry factors, the nature of the business and the sophistication of the accounting system. Both methods provide an indication of direct and indirect variances in the costs in relation to the level of sales and production. The gross profit of an entity is disclosed where expenses are classified on a function basis, as both sales and cost of sales are disclosed. Where costs are classified on a nature basis, the gross profit is not disclosed (gross profits can, however, be calculated, as both sales revenue and costs of sales are required to be disclosed in terms of the IFRS Accounting Standards), and expenses such as employment costs relating to the cost of goods sold as well as to distribution and administration costs are disclosed as a one-line item: 'employee benefits expenses'. An entity should choose the method that would provide the most useful structured summary of the entity's performance.

The classification of expenses according to their nature is useful in predicting the future cash flows of the entity. As a result, IFRS 18 requires additional disclosure where expenses are classified according to their function. Additional disclosure requirements refer to information relating to the depreciation, amortisation, employee benefits, impairment losses and reversals, and to the writedowns and reversals of writedowns of inventory. Further, IFRS 18 requires an entity to disclose whether each of these amounts was inside or outside the operating category.

Expense items should be allocated **consistently** to the same classifications. For example, the repairs to administration furniture should not be recorded as repairs in one financial year and as administration costs in the next. The recording of expense transactions should be applied consistently from one reporting period to the next and for similar types of expenditure.

Expenses are not usually listed on the face of the statement of profit or loss and other comprehensive income on an individual basis; different expenses (for example, employee costs and depreciation) that are incurred during the reporting period are reported in aggregate and disclosed according to an analysis of the different classes of expense. The analysis of expenses is based on the materiality of the amounts involved and the relevance of the classification to the entity's activities. The disclosure of the different classes of expenses should be applied consistently from one accounting period to the next to ensure that the information provided is comparable.

The IFRS Accounting Standards require certain expenses to be disclosed separately in order to provide information relating to the nature and extent of those expenses to the users of the financial statements. In addition to these disclosure requirements, the nature and amount of a **significant expense** should also be presented separately where the nature, size or incidence of the expense is relevant to an understanding of the entity's financial performance.

Classifying expenses by function

When expenses are classified according to their function, these expenses are grouped together as they relate to the cost of sales, distribution or administrative activities of the entity. The allocation of expenses according to their function (or according to the divisions within an entity) provides relevant information to the users of financial statements. However, the classifications can sometimes be arbitrary, and you should use your professional judgement in the allocation process. Alternatively, if a material expense cannot be classified into a function, it should be presented separately and outside the identified functions.

The statement of profit or loss and other comprehensive income below has been prepared according to the guidelines in IFRS 18. It illustrates the preparation of the **single** statement of profit or loss and other comprehensive income where the expenses are classified by their **function**. You will notice that the first part of the statement of profit or loss and other comprehensive income ends with the line item 'profit for the year' (or in the case of a loss, 'loss for the year'). This part is then followed by a summary of the components of other comprehensive income.

Statement of profit or loss and other comprehensive income for Company Ltd for the year ended 31 December 20x4



Classifying expenses by nature

The classification of expenses according to their **nature** is normally simpler than the classification of expenses according to their function. In this classification, expenses are combined according to the nature of the expense (for example, purchases of materials, transport costs, employee costs, depreciation and advertising costs). This method is easier to apply, as it is not necessary to allocate costs such as depreciation among the selling, administrative and manufacturing functions. It is also easier for the users of financial statements to understand.

Statements of comprehensive income in which operating costs are classified by nature are normally prepared by smaller entities because no allocations of operating expenses according to their function are required.

The presentation of comprehensive income where the expenses are classified by their nature is illustrated below in the format of **two separate statements**:

- A statement of profit or loss (an **income statement**)
- A statement that displays **components of other comprehensive income**, after giving the total profit or loss that is explained in the statement of profit and loss.

Total comprehensive income is then presented in a separate statement.

Statement of profit or loss for Company Ltd for the year ended 31 December 20x4



Statement presenting comprehensive income for Company Ltd for the year ended 31 December 20x4



When the method of producing two statements is used, the statement of profit or loss and other comprehensive income starts with the profit or loss for the year that appeared as the end balance on the statement of profit or loss. If this were a group, you would also provide further details of the allocation of profit for the year and total comprehensive income for the year to the parent equity holders and non-controlling interest. (See Part 3, *Accounting for groups*.)

5.1.4 Explaining realised and unrealised benefits

Typically, a **realised benefit** is one that has been received in cash or another asset. An example is the sale of inventory (cash is received or a debtor is raised) or the use of machinery in the production of inventory: the machine's benefits are realised as it is used because inventory is created (or improved), which is another asset. As the benefits of an asset are realised, the asset is expensed through profit and loss.

In the case where **benefits have not been realised**, the future economic benefits either remain in the carrying amount of the asset or will be reflected by probable profits when the asset is sold at a future date. Thus, where the expected future economic benefits of the asset are greater than its carrying amount (which is likely to be the case for an asset held on the cost model where no impairment has been required), these benefits are unrealised.

We can apply these concepts similarly to assets measured on the **fair value** or **revaluation** models. For the revaluation model, the asset is revalued to reflect (typically) an increase in its expected future economic benefits.

This benefit will then be realised as the asset is used (in other words, expensed in the form of depreciation or capitalised to the cost of inventory and expensed when this inventory is sold). This would represent the financial position and performance of the entity to the user more fairly than if the cost model had been used (although the cost model may represent the economic value of the transaction more fairly if a reliable estimate of the fair value of the asset cannot be made).

For the fair value model, the expected future economic benefits increase over time and are capitalised to the carrying amount of the asset as these increases occur. Thus a favourable fair value adjustment results in an increase in profit (given a fair value adjustment through profit and loss) and an increase in assets. The capitalised benefits are not yet realised; they will only be realised through the sale of the asset in the future. Since these unrealised benefits arose from an increase in profit that is unrealised, these fair value adjustments are disclosable when recognised in profit or loss.

Gains and losses recognised in profit or loss

IFRS 18 requires an entity to prepare a statement of profit or loss and other comprehensive income that includes the **profit or loss** for the reporting period. Total income less expenses (excluding the components of **other comprehensive income**) result in profit or loss for the period. This means that you should include all gains and losses (realised and unrealised) when determining profit for the year, **except for the components of other comprehensive income**, as discussed in Section 5.1.2 above.

Derecognising non-current assets

The derecognition of an asset occurs when the asset no longer meets the definition and recognition criteria of an asset and therefore should no longer be recognised as an asset. The most common reason why an asset is derecognised is because it is sold. A sale implies that the risks and rewards of ownership have been transferred to the buyer and the seller no longer controls the asset. Assets are also derecognised when they are scrapped. When an entity decides to scrap an asset, the entity no longer expects to receive future economic benefits from using the asset or the benefits are restricted to the scrapping value.

The gain or loss recognised as a result of derecognising an asset is the difference between the **net proceeds received** and the **carrying amount** of that asset. An entity has to disclose the aggregate amount of profits and losses from the disposal or the retirement of non-trading, fixed and other non-current assets because these are generally material amounts that do not occur regularly.

$$\text{Gain or loss} = \text{Net disposal proceeds received} - \text{Carrying amount}$$

Example of the recording of the disposal of a non-current asset

The asset is derecognised when the asset is sold or scrapped and the proceeds are either recognised as cash (when received) or as a debtor (receivable).

		CU	CU
Dr	Cash/receivable	100 000	
	Cr Machinery (cost)		120 000
Dr	Accumulated depreciation	80 000	
	Cr Profit on disposal of asset (P/L)		60 000

Derecognition of an asset owing to its disposal at a profit

In this example, the carrying amount of the asset amounted to CU40 000 (120 000 – 80 000). The profit realised is the difference between the proceeds received of CU100 000 and the carrying amount of CU40 000, amounting to CU60 000.

Fair value adjustments

The IFRS Accounting Standards require certain assets and liabilities to be recognised at their **fair value** at the reporting date. In other cases, this is given as an option. The intention is to provide a relevant measurement of the assets and liabilities that will assist the user of the financial statements in predicting the future cash flows of the entity. As discussed in [Chapter 11](#), *Investment Properties*, and [Chapter 14](#), *Financial Instruments*, assets recognised in terms of the fair value model should be remeasured at their fair value at each reporting date, and any fair value adjustments should be recognised in the current year's **profit or loss**, in the investing section. The use of the fair value model results in the recognition of gains and losses as part of profit or loss as the fair value changes, rather than in a lump sum when the asset is sold.

As a fair value adjustment results from the difference in the amount at which an asset or liability is recognised compared to any prior recognition amount, this adjustment has not yet been realised. Because of market-related fluctuations, unrealised gains and losses arising from fair value adjustments can result in significant fluctuations in the amount of profit or loss recognised for a period. (If the fair value adjustments were not recognised, this would only result in the recognition of the total movement when the asset was sold and, while this would result in a closer relationship between cash flows and profit or loss, it would bear little relationship to the movements in the values of the assets during the reporting period.)

Something to think about

As mentioned in Section 3.3.1 of this chapter, the accrual concept is applied when recording and recognising transactions in the financial statements. This means that transactions are recognised when they occur, and not necessarily when cash changes hands. Contrast this with your understanding of unrealised gains and losses in non-current assets. Should unrealised gains and losses be recognised when a transaction to sell the asset is concluded, or when the change in the value of the asset occurs? Note how all assets that are recognised are measured in terms of currency units. Thus all assets, apart from cash, are always evaluated against future economic benefits, mainly meaning future cash flows. Even in accounting principles, cash is still king.

It is important for the readers of the financial statements to be aware of the fact that these gains and losses arising from fair value adjustments have not yet been realised and that they have no cash flow implications until they are realised.

$$\text{Gain or loss} = \text{Fair value} - \text{Carrying amount}$$

Other gains and losses

In addition to gains and losses from the recognition of non-current assets as well as gains and losses relating to fair value adjustments of assets and liabilities, an entity may also incur other gains and losses that are recognised in profit or loss. [Table 2.1](#) gives other gains and losses that are commonly recognised in profit or loss.

Table 2.1 A summary of the more prevalent examples of other gains and losses

Government grants	An entity may receive a grant from the government that results in a certain economic benefit. This grant may be received as a result of the entity's past or future compliance with certain conditions. An entity receiving a government grant should recognise it as income, but should recognise the benefits received on a systematic and rational basis by matching them with the related costs for which they are intended to compensate. This is in compliance with the accrual basis of accounting. Grants that have been received but cannot yet be recognised as income should be recognised as deferred income (which is a type of liability) on the statement of financial position. Deferred income is classified as a liability, although it does not meet the definition in the <i>Conceptual Framework</i>, but is rather income received in advance. Government grants presented as income can either be disclosed under a separate heading or they can be included in the line item 'other income' in profit or loss. Detailed disclosure of the grant must be provided in the notes to the financial statements. If a government grant subsequently becomes repayable, the amount repayable should be treated as a change in an accounting estimate. The repayment of an income grant should be applied first to the unamortised deferred credit in respect of the grant, and then the remainder of the repayment should be recognised as an expense.
Donations	When an entity receives donations, these donations meet the definition of income and should be recognised as a gain (an increase in net assets). Reserve accounting (where the statement of profit or loss and other comprehensive income is bypassed and the items are taken directly to equity) is only allowed if it is specifically permitted in terms of an IFRS Accounting Standard. But as there is no IFRS Accounting Standard addressing donations, they must be recognised as a gain in profit or loss. Both the asset

	received and the gain recognised should be measured at the fair value of the consideration received .
Insurance proceeds	Where an entity that is insured suffers an insurable loss that leads to a payout from an insurance company, the amount received from the insurance company must be recognised in profit or loss as a gain . As this is a gain of an uncertain nature, the income (and asset) should not be recognised until receipt is virtually certain .
Foreign exchange gains and losses	An entity may be involved in foreign currency transactions by either buying or selling goods or services for payment in a foreign currency (direct business transactions), or by lending or borrowing money repayable in a foreign currency (finance transactions). These transactions need to be translated into the presentation currency (for example, South African rands) in order to be included in the financial statements of the entity. Transactions by South African entities in a foreign currency are subject to the regulations of the South African Reserve Bank. A foreign currency transaction is any transaction that is denominated in a currency other than the reporting currency (for example, the presentation currency is South African rands and the sale of goods is in US dollars). A transaction of this nature should be recorded at the spot rate on the date on which the transaction occurs (when the significant risks and rewards of an asset have been transferred or a service has been performed). The spot rate is the exchange rate at which the currencies are exchanged at that specific date. Where a transaction has been recorded at the spot rate at the transaction date and the amount due to the supplier is paid one month later, the amount paid may be at a different exchange rate. The difference between these two amounts represents an exchange rate difference, resulting in a gain or a loss that should be recognised in profit or loss in the period in which it arises. Instead of leaving themselves exposed to the risk of fluctuations in the exchange rate, entities often prefer to take out forward cover, fixing the rand amount of the foreign currency transaction by using a forward exchange contract. In these cases, both the fair value adjustment on the forward exchange contract and the underlying creditor should be recognised in profit or loss, where the amounts should be offset against each other. The amount of exchange differences included in the profit or loss for the period must be disclosed. The exchange gains and losses should include amounts arising from settling foreign currency monetary assets and liabilities at an amount that differs from the amount previously recognised, as well as from restating

	outstanding foreign currency amounts at the exchange rate at the reporting date. The statement of profit or loss and other comprehensive income therefore includes realised and unrealised gains and losses. Disclosure of the total amount is required, but not the split between realised and unrealised gains and losses (refer to Chapter 23, <i>Foreign exchange transactions</i>). Differences that result from the translation of the financial statements of a foreign operation should not be included in profit or loss for the period, but should be included in other comprehensive income. These differences are explained further in Chapter 29 of this publication and Chapter 13 of <i>Financial Accounting: Groups</i> (Lubbe, Modack, Herbert & Hyland, 2014).
Impairment losses and reversals of impairment losses	If the future economic benefits anticipated from an asset are less than the carrying amount of that asset, the asset has to be written down. The recoverable amount is the greater of the value in use and the fair value of an asset less costs to sell. If the recoverable amount of an asset is less than its carrying amount, the asset is impaired and has to be written down to this recoverable amount. The resulting impairment loss must be included in profit or loss unless it is a reversal of an amount that was recognised in a revaluation surplus. In this case, the gain or loss will be taken to other comprehensive income. If an entity has recognised an impairment loss, it is required to reverse that impairment loss if and when conditions improve. The general principle is that at each reporting date, the asset should be shown at the lower of the carrying amount and the recoverable amount, where the carrying amount is the amount that the entity would wish to recognise in terms of its accounting policy for that asset (the historical cost or revalued amount). The reversal of an impairment loss is a gain. It should only be included in profit or loss to the extent that it reverses an amount previously recognised in profit or loss. In the case of a revalued asset, any additional amount should be included in other comprehensive income (see Chapter 15, <i>Impairment of assets</i>).

5.1.5 Management-defined performance measures

Sometimes management communicates some financial information outside the annual financial statements that is different to the information presented in the primary financial statements. This may include information in management commentary, press releases, presentations and other public communication. Generally, this will result in that information not being audited. To enhance transparency, IFRS 18 requires disclosure of this information in the financial statements, if it meets the definition of management-defined performance measures (MPMs).

A management-defined performance measure is defined as a sub-total of income and expenses that an **entity uses in communications outside financial statements**, which the entity uses to communicate an aspect of **management's view of financial performance** of the entity as a whole, and is not specifically required to be presented or disclosed by IFRS Accounting Standards. The requirements for management-defined performance measures do not apply to social media posts, oral communications or the transcripts of oral communications.

The sub-total part of the definition means that sub-totals of income only, or expenses only, cannot meet the definition of management-defined performance measures. For example, in South Africa some retailers disclose like-for-like revenue, which is the revenue figure for stores that operated for the full financial period presented. This adjusted revenue figure cannot meet the definition of a management-defined performance measure because it is not a sub-total of income **and** expenses.

Some common sub-totals are also excluded from the definition of management-defined performance measures.

These are generally easy to recalculate because they are calculated using disclosable amounts in terms of IFRS Accounting Standards. The sub-totals that do not meet the definition of a management-defined performance measure are:

- Gross profit (sales minus cost of sales)
- Operating profit before depreciation, amortisation and impairment (also known as earnings before interest, taxes, depreciation and amortisation)
- Profit or loss before tax
- Profit or loss from continuing operations.

The requirement is that the management-defined performance measure communicates an aspect of management's view of the performance of the entity as a whole (as opposed to a segment of the entity). The requirement for the management-defined performance measure to relate to management's view of performance also means that any entity may not be required to treat a disclosure as a management-defined performance measure if it is required by law or regulation. Entities are not required to have management-defined performance measures, but if the entity makes a public communication that meets the definition of a management-defined performance measure, then the management-defined performance measure disclosures are required.

The disclosure required for management-defined performance measures include a label and description for each management-defined performance measure that is clear and understandable. In addition, the entity is required to disclose the following:

- A description of the aspect of financial performance that the management-defined performance measure communicates, including the reason why the management-defined performance measure is considered to provide useful information
- How the management-defined performance measure is calculated
- A reconciliation between the management-defined performance measure and the most directly comparable sub-total in the statement of financial performance
- The income tax and non-controlling interest effect of the above adjustments
- An explanation of how the tax above was estimated.

5.2 Statement of financial position

One of the financial reports that an entity has to prepare as part of its financial statements is the **statement of financial position**. This report used to be called the **balance sheet**, and IFRS still permits the use of this term, although it will likely become outdated over time. The statement of financial position presents information about the status of the entity's main financial indicators, thereby helping users to assess the financial position of the entity on a particular day, the reporting date. The financial indicators included in the statement of financial position are the entity's capital structure, its net asset value, the liquidity of the entity, the solvency of the entity and, to some extent, its financial risk.

The statement of financial position summarises the elements directly related to the measurement of the financial position of an entity: its assets, liabilities and equity.

The assets, liabilities and equity that are summarised on the **face of the statement of financial position** are referred to as the 'line items'. The statement of financial position should, as a minimum, include the following line items (refer to IFRS 18, paragraph 103–104):

- Property, plant and equipment
 - Investment property
 - Intangible assets
 - Goodwill
 - Financial assets
- Investments accounted for using the equity method
 - Biological assets
 - Inventory
- Trade and other receivables
- Cash and cash equivalents
- Total assets classified as held for sale, including those in disposal groups
 - Trade and other payables
 - Provisions
 - Financial liabilities
- Liabilities and assets for current tax
- Deferred tax liabilities and deferred tax assets

- Liabilities included in disposal groups classified as held for sale
- Non-controlling interest presented within equity
- Issued capital and reserves attributable to owners of the parent.

Any additional line items may be added to the statement of financial position. An entity should make use of headings and sub-totals in order to present the information in such a way that it is relevant to an understanding of the entity's financial position.

There is no prescribed format in which an entity has to present the assets and liabilities on the face of the statement of financial position. However, items should be presented separately when the size, nature or function of an item is such that a separate presentation is relevant to an understanding of the financial position of the entity. The entity is therefore required to use judgement about whether an item should be presented separately or should be aggregated with other similar items. This decision may be based on assessments relating to the nature and liquidity of assets, the function of assets within the entity, and the amounts, nature and timing of liabilities.

Something to think about

What are the limitations of the statement of financial position?

The statement of financial position summarises the elements directly related to the measurement of the financial position of the entity (in other words, assets, liabilities and equity). However, this is by no means perfect and is often criticised by some commentators as being of limited value.

Most assets are measured at historical cost or depreciated historical cost rather than at a current value, such as fair value (for example, investment property can be measured using the cost model or at fair value). This results in the use of multiple measurement bases within one statement of financial position and the use of different measurement bases by different entities, which makes it difficult for information to be comparable.

The omission of intangible self-generated assets from the statement of financial position (for example, brand names) is mandatory because of the recognition and measurement requirements of IAS 38, *Intangible Assets* (refer to [Chapter 12](#)).

The notes to the financial statements are an important source of information that can help mitigate the effects of these limitations.

It is important to remember that a statement of financial position is a reflection of the carrying amounts of assets and liabilities at a specific moment in time and that those values at that date may vary significantly from any other date, owing to factors such as the deterioration of the asset, the changes in markets or any other unforeseen event.

Each of the main line items required to be listed separately on the face of the statement of financial position (presented above) is dealt with specifically in one or more IFRS Accounting Standards. The recognition and

measurement criteria of the IFRS Accounting Standards for these items are discussed in more detail in Part 2 of this textbook.

IFRS for SMEs Accounting Standard application

Section 4, *Statement of Financial Position*, sets out the information that is to be presented in a statement of financial position for small and medium-sized entities. The statement of financial position represents an entity's assets, liabilities and equity as of a specific date (the end of the reporting period). The content and layout of the statement of financial position is, in all major aspects, similar to that set out in IFRS 18.

5.2.1 Distinction between current and non-current assets and liabilities

IFRS 18 requires the presentation of assets and liabilities as **current** or **non-current** on the statement of financial position or **in order of liquidity**. To understand this requirement, you first have to understand what is envisaged by the terms 'current' and 'non-current'. The standard sets out a number of criteria that can be applied to determine the classification of an asset or liability as current or non-current. Simply put, an item should be classified as current when the amount is expected to be recovered or settled within 12 months after the reporting date.

The distinction between **current** and **non-current** items provides useful information by distinguishing the assets and liabilities that are continuously circulating as working capital from those used in the entity's long-term operations. Alternatively, a presentation of assets and liabilities **in order of liquidity** may provide information that is more relevant than a current or non-current presentation (for example, in the case of a banking institution, where there is no supply of goods within a clearly identifiable operating cycle). In terms of IFRS 18, paragraph 96, an entity is also permitted to present some of its assets and liabilities using a current or non-current classification, and other assets and liabilities in order of liquidity (for example, in circumstances where the entity has diverse operations).

The classification of assets and liabilities as current or non-current is particularly important for calculating summary indicators to use in assessing an entity's liquidity and solvency. Users are interested in the **liquidity and solvency of the entity**. The principle is that assets and liabilities should be presented in such a way that they provide users with information that is relevant, thereby highlighting the expected dates for the realisation of these assets and liabilities.

This is enhanced by additional disclosures in the notes to the financial statements (for example, providing information relating to maturity dates of monetary assets and liabilities, the expected date/s of recovery of non-monetary assets such as inventory, and expected settlement dates for liabilities and provisions). The net current asset situation (current assets less current liabilities) is an important determinant of the liquidity risk of that entity, as a major risk for many entities is not being able to pay their creditors. The extent to which the current assets exceed the current liabilities gives an indication of how great that risk is.

Current assets

An asset should be classified as current in any of the following circumstances:

- It is expected to be realised within the entity's normal operating cycle (the time it takes to buy the goods, sell them and collect the cash from the customer).
- It is held primarily for the purpose of trading.

- The entity expects to realise the asset within 12 months after the reporting period.
- The asset is cash or a cash equivalent.

**Key principle:
What are current assets?
(IFRS 18, paragraph 99)**

Current assets are cash; cash equivalents; assets held for collection, sale or consumption within the entity's normal operating cycle; or assets held for trading within the next 12 months. All other assets are non-current.

Unless an asset satisfies one of the above conditions, it cannot be classified as a current asset and must therefore be classified as a non-current asset. Current assets include all amounts that are expected to be realised within the operating cycle of the business as well as the current portion of long-term receivables.

In some businesses, the operating cycle may be a number of years, but it is a relatively short period in most businesses. Where it is not possible to work out what the operating cycle is, it should be assumed to be 12 months.

Cash or cash equivalents are defined in IAS 7, *Statement of Cash Flows*, as short-term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of change in value (refer to [Chapter 5](#), *Statements of cash flows*). Items that are defined as cash and cash equivalents should be classified as current assets. However, where cash or a cash equivalent is restricted from being exchanged or used to settle a liability for at least 12 months after the reporting date, it should not be classified as current.

Additional disclosure is recommended where amounts included in current assets are not expected to be realised within 12 months. This includes disclosure of the amount of inventory that is expected to be recovered more than 12 months after the reporting date.

Current liabilities

A liability is classified as current in any of the following circumstances:

- It is expected to be settled in the entity's normal operating cycle (trade creditors).
- It is held primarily for the purpose of being traded (financial instruments).
- It is due to be settled within 12 months after the reporting date (the current portion of long-term liabilities).
- The entity does not have an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

Key principle:
What are current liabilities?
(IFRS 18, paragraphs 101–102)

Current liabilities are liabilities that are expected to be settled within the entity's normal operating cycle, are due within 12 months, are held for trading or are for obligations for which the entity does not have an unconditional right to defer payment beyond 12 months. All other liabilities are non-current.

All liabilities that do not meet one of the above criteria should be classified as non-current.

Liabilities that are part of the working capital of the entity (for example, trade payables and some accruals) form part of the entity's normal operating cycle. Such liabilities should be classified as current, even if they are held for longer than 12 months or are due to be settled more than 12 months after the reporting date. If you are unable to determine the normal operating cycle of the entity, its duration should be assumed to be 12 months.

Liabilities that are not settled as part of the normal operating activities of the entity and are held for trading should be classified as current liabilities. These include bank overdrafts and other financial liabilities held for trading. Other current liabilities include trade payables, income taxes, dividends payable and the current portion of long-term liabilities. Where financial liabilities provide finance on a long-term basis and are not due for settlement within 12 months after the reporting date, they should be classified as non-current liabilities.

Liabilities can either be an exact amount due to a third party, or they can be an estimated amount (in other words, a provision). When a liability exists at the reporting date, but there is a significant amount of uncertainty, recognition is not appropriate. Unrecognised liabilities are disclosed as contingent liabilities in the notes to the financial statements.

Many loan agreements do not have fixed terms of repayment, and there is therefore not an unconditional right to defer settlements for at least 12 months after the reporting date. Unless a loan agreement is put into place, including that unconditional right, the loan must be classified as a current liability. On the other hand, the party with the asset loan should not reflect the loan as a current asset unless it is probable that the cash will be received within 12 months of the reporting date.

Items held for sale

Items that are not normally classified as current assets, such as property, plant and equipment, should only be classified as current assets if they meet the criteria to be classified as 'held for sale' in terms of IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*. An item of property, plant and equipment can be classified as 'held for sale' only if it is available to be sold immediately and probably will be sold soon, in which case its classification as a **current asset** is appropriate. No other portion of that asset can be classified as a current asset. This implies that it would be incorrect to disclose as a current asset the portion of the property, plant and equipment that is expected to be consumed in the next 12 months. The amount expected to be consumed is the amount that will be depreciated.

5.2.2 Layout of the statement of financial position

IFRS 18 provides a guideline on the layout and classification of items on the face of the statement of financial position. Using headings, the statement of financial position should clearly identify the name of the reporting entity, whether the results are for the entity or for the group, the reporting date, the reporting currency and the level of precision used in the presentation of figures (for example, thousands or millions).

Additional line items, headings and sub-totals should be presented in the statement of financial position when their inclusion is relevant to an understanding of the entity's financial position. Judgement on whether additional items should be presented separately should be based on an assessment of the following:

- The nature and liquidity of assets
- The function of assets within the entity
- The amounts, nature and timing of liabilities.

The statement of financial position for a company on the next page uses the format proposed in IFRS 18. However, this format has been adjusted to include only the main categories that you should be able to measure, record and present in the statement of financial position at this stage of your studies.

This layout of the statement of financial position is just a guideline. Additional categories should be added when needed to ensure fair presentation. Most of the items listed on the statement of financial position should be supported by detailed notes that explain and illustrate the movements in the balances from the prior year to the current reporting date in more detail. Details included in the notes should also indicate a further breakdown of the different classifications within each item, depending on the specific disclosure requirements of the IFRS Accounting Standards (for example, providing further details of inventory and using the classifications provided in IAS 2, *Inventories*, such as merchandise, production supplies, materials, work-in-progress and finished goods).

For each figure presented in the statement of financial position, a comparable amount relating to the prior reporting date is included. The inclusion of comparatives is a requirement of both the *Conceptual Framework* (comparability of financial information) and IFRS 18 (disclosure requirements). The notes to the statement of financial position should also include comparable amounts for each amount presented. If the classifications have been changed from the prior year to the current reporting date, the comparative figures should also be reclassified to ensure that the balances remain comparable.

Where the carrying amounts of assets and liabilities presented in the statement of financial position are calculated by using different measurement bases, such items should be presented as different line items on the statement of financial position. For example, investment properties can be recognised either at cost or at fair value, according to IAS 40. (See [Chapter 11](#), *Investment properties*, for more detail.)

The statement of financial position illustrated below is for the company, as opposed to the group, which is clear because the heading does not refer to group or consolidated accounts. (See Part 3, *Accounting for groups*, for the preparation of group financial statements.)

Statement of financial position for Company Ltd as at 31 December 20x4



5.3 Statement of changes in equity

The statement of changes in equity provides the user with more information about the changes in the financial position of the entity. It provides detailed information explaining the movements in equity items between the current year's financial position and the previous year's financial position. This is represented by the increase or decrease in the net assets of the entity.

The *Conceptual Framework* defines equity as the ‘residual interest in the assets of the entity after deducting all its liabilities’ (IASB, 2018, paragraph 4.63). Users of financial statements are interested in the total amount of equity as well as the breakdown of this total into different types of equity. The total amount of equity represents the extent to which the assets recognised on the statement of financial position exceed the recognised liabilities (in other words, **Owners’ equity = Assets – Liabilities**). This is an indication of the extent to which owners are financing the assets of the business, either through the original introduction of capital or by retaining profits in the business.

Funds contributed by the owners, reacquisitions by the entity of its own equity instruments (for example, repurchase by the company of its own shares), retained earnings (accumulated profits) and distributions to owners all represent equity. The components of equity for a company include, for example, retained earnings, each class of share capital and reserves relating to each class of other comprehensive income.

The statement of changes in equity reflects increases and decreases in the net assets of the entity during the reporting period. These movements result from changes arising from **transactions with owners** in their capacity as owners and transaction costs directly related to these transactions, as well as the **total comprehensive income** for the period, which consists of all income, expenses, gains and losses generated by the entity’s activities during the reporting period.

IFRS 18 requires an entity to present a statement of changes in equity as a separate component of the financial statements. The following information should be **presented in the statement of changes in equity** (refer to IFRS 18, paragraph 107):

- Total comprehensive income for the period, showing separately:
 - Amounts attributable to owners of the parent
 - Amounts attributable to non-controlling interests (as discussed in Part 3, *Accounting for groups*)
 - The effects of retrospective application, when applicable, for each component
- Reconciliations between the carrying amounts at the beginning and the end of the period for each component of equity, separately disclosing:
 - Profit or loss
 - Each item of other comprehensive income
- Transactions with owners, showing contributions by and distributions to owners separately as well as changes in ownership interests in subsidiaries that do not result in a loss of control.

The following information should be disclosed regarding **issued share capital and reserves** (IFRS 18, paragraph 130):

- Numbers of shares authorised, issued and fully paid, and issued but not fully paid
- Par value, which is the face value given to shares when they are first issued (or it must be stated that shares have no par value)
- Reconciliation of shares outstanding at the beginning and the end of the period

- Description of rights, preferences and restrictions
- Treasury shares, including shares held by subsidiaries and associates
- Shares reserved for issuance under options and contracts
- A description of the nature and purpose of each reserve within equity.

Something to think about

What is the purpose of the statement of changes in equity?

The purpose of the statement of changes in equity is to report:

- Transactions with owners, for example:
 - The issue of new shares
 - Share buybacks
 - The payment of dividends
- Total comprehensive income for the period, attributed to different equity owners (the equity holders of the parent and the non-controlling interest)
- The effects of any retrospective adjustments to beginning-of-period components of equity.

The statement of changes in equity is usually presented in a tabular format. The opening balance, current period movements and closing balances are shown in different rows in the format of a reconciliation. Comparative amounts are required to be reported and are usually presented in a separate table from the current period figures, often in the format that the closing balances of the comparative period form the opening balances of the current period.

This information is usually presented in the notes to the financial statements.

As IFRS 18 requires all **movements** in each of the equity accounts to be disclosed, this statement is best presented by using columns in the statement of changes in equity, as illustrated on the next page. You must reconcile the opening and closing balances of each element of equity. Closing balances should correspond with the balances disclosed on the statement of financial position and the notes to the financial statements. Opening balances should correspond with the balances disclosed in the previous year's financial statements. However, IAS 8, *Basis of Preparation of Financial Statements*, requires you to make adjustments against the opening balance of retained earnings, referred to as **retrospective adjustments**, where there has been the correction of a prior period error or a

change in an accounting policy. These adjustments are disclosed for each prior period and the beginning of the current period. (Refer to Section 5.3.1.)

IFRS for SMEs Accounting Standard application

Section 6, *Statement of Changes in Equity and Statement of Income and Retained Earnings*, sets out the requirements for presenting the changes in the equity for the reporting period for small and medium-sized entities. This information can be presented either in a statement of changes in equity (which is similar to IFRS 18) or in a statement of income and retained earnings.

The statement of income and retained earnings presents the profit or loss of the entity as well as changes in retained earnings for the reporting period.

This format is permitted in place of a statement of profit or loss and other comprehensive income and a statement of changes in equity if the only changes to the equity of the entity during the periods for which financial statements are presented arise from profit or loss, payment of dividends, corrections of prior period errors and/or changes in accounting policy.

Dividends declared during the reporting period should be included in the statement of changes in equity because dividends are distributions to owners in their capacity as owners and the statement of changes in equity presents all owner changes in equity. Where an entity combines all dividends as a single line item on the face of the statement of changes in equity, details of the dividends, the shares to which they relate and their payment dates should be provided in the notes to the financial statements.

Dividends declared after the reporting date should not be included in the statement of changes in equity, as no obligation exists until the date of declaration. However, information relating to dividends declared after the reporting date is useful and should be included in the notes to the financial statements. These dividends represent a **non-adjusting event after the reporting date**. Refer to [Chapter 20](#), *Events after the reporting period*, for a detailed discussion.

The following information should be disclosed regarding **dividends**, either on the face of the statement of changes in equity or in the notes (IFRS 18, paragraph 110):

- The dividends recognised as distributions
- The related amount per share.

In addition to the distributions information in the statement of changes in equity (see above), the following information relating to **dividends** must be disclosed in the notes (refer to IFRS 18, paragraph 132):

- The amount of dividends proposed or declared before the financial statements were authorised for issue but not recognised as a distribution to owners during the period, as well as the related amount per share
- The amount of any cumulative preference dividends not recognised.

Where the financial statements are prepared for a **group**, the statement of changes in equity should clearly indicate the portion of the equity attributable to the **parent's equity holders** and to the **non-controlling equity holders**. (See Part 3 of this textbook for the preparation of group accounts.)

The table that follows demonstrates the presentation of a statement of changes in equity. This format provides a reconciliation of the opening balance to the closing balance for each item included in equity. Comparatives are also required, so two years' balances are reconciled, showing the prior year's movements for comparative purposes.

Statement of changes in equity for Company Ltd for the year ended 31 December 20x4



5.3.1 Reporting prior year adjustments to retained earnings

Comparative figures generally need to be disclosed in exactly the same way as they were disclosed in the prior year's approved financial statements. There are only two circumstances in which the opening retained earnings in the current year may differ from the closing retained earnings figure as disclosed in the prior year:

- Where an accounting policy has been changed
- Where the entity has made an error, which implies that a mistake was made in the prior year's reported figures (as opposed to a change in estimate, which may occur when new information comes to light).

Where an entity has changed an accounting policy or adjusted for an error, this may have an effect on both accumulated profit (retained earnings) and the amounts disclosed in the prior year's statement of profit or loss and other comprehensive income. The effect on the prior year's reported figures in this statement forms part of the amount adjusted to retained earnings. In other words, the adjustment to the retained earnings at the beginning of the prior year is the total adjustment for all the previous years. The adjustment to retained earnings is usually referred to as a 'prior year adjustment' as it is the amount recorded this year that relates to prior years and reflects the amount of adjustment required to correct the opening balance of retained earnings.

The effect of prior year adjustments on the retained earnings previously reported should be clearly disclosed in order to enable users of the financial statements to understand the cumulative effect of the adjustments. This is normally achieved by disclosing, for comparative purposes, the amount of

retained earnings previously reported and showing the effect of the prior year adjustment as a separate item, and then restating the retained earnings balance accordingly. Where accounting policies are changed retrospectively, the prior year adjustment must be disclosed as an adjustment to the earliest retained earnings figure disclosed.

IFRS 18 further requires that an entity should present a **statement of financial position as at the beginning of the earliest comparative period** when an accounting policy is applied retrospectively or a retrospective restatement is made of items in the financial statements, or when items are reclassified in the financial statements. This requirement implies that when comparatives have been restated resulting from changes in accounting policies or corrections of errors, you should include a full statement of financial position dated at the beginning of the prior reporting period.

The calculations, accounting treatments and disclosure of prior year adjustments are discussed in detail in [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*.

5.4 Statement of cash flows

Cash flows are all the inflows and outflows of cash and cash equivalents during a period. The statement of cash flows presents all the cash flows of an entity for that period.

Financial statements prepared in accordance with the IFRS Accounting Standards have to include a statement of cash flows. This is because of the importance of cash and cash management to an entity, as well as because of the users' need for information about cash management.

The objective of the statement of cash flows is to explain to users what has happened to the entity's cash (on hand and in the bank) during the year. The statement achieves this by listing all **cash received** by the entity during the year as well as all **cash paid out** during the year. It also groups the cash flows according to the type of management decision that resulted in the cash flow. For example, if cash is received from the selling of inventory, this is classified as 'cash received from operating activities', whereas if cash is paid for the purchase of land, this is classified as 'investing activities'. This classification is useful in establishing how the entity generates its cash and utilises this cash. This information is used by stakeholders to assess how sustainable the cash flow is in the future and whether or not cash is being utilised effectively. The classification of the cash flows also assists users to assess the entity's net cash inflows and the financial structure of the entity.

The preparation and presentation of a statement of cash flows is dealt with in IAS 7, *Statement of Cash Flows*. The **objective** of IAS 7 is to require the presentation of information about the historical changes in cash and cash equivalents of an entity by means of a statement of cash flows, which classifies cash flows during the period according to:

- **Operating activities**
- **Investing activities**
- **Financing activities.**

The preparation and presentation of the statement of cash flows is discussed in detail in [Chapter 5](#), *Statements of cash flows*.

Key principle:
What is the fundamental principle
in IAS 7, *Statement of Cash Flows*? (IAS 7, paragraphs 1 and 7–8)

All entities that prepare financial statements in conformity with the IFRS Accounting Standards are required to present a statement of cash flows.

The statement of cash flows analyses changes in cash and cash equivalents during a period. Cash and cash equivalents consist of cash on hand and demand deposits together with short-term, highly liquid investments that are readily convertible to a known amount of cash and that are subject to an insignificant risk of changes in value.

Guidance notes indicate that an investment normally meets the definition of a cash equivalent when it has a maturity of three months or less from the date of acquisition.

Equity investments are normally excluded, unless they are in substance a cash

equivalent (for example, preferred shares acquired within three months of their specified redemption date). Bank overdrafts that are repayable on demand and that form an integral part of an entity's cash management plan are also included as a component of cash and cash equivalents.

5.5 Notes to the financial statements

An essential part of the presentation of information in the financial statements of an entity is the disclosure of **additional information** in the notes to the financial statements, in which you should provide information that is relevant and material (in other words, information that is useful for understanding any item or transaction). This includes all the information that is required by specific IFRS Accounting Standards, but is not presented in the statement of financial position, the statement of profit or loss and other comprehensive income, the statement of changes in equity or the statement of cash flows.

Notes are an integral part of the financial statements. Their purpose is to enhance the understandability of the statement of financial position, the statement of profit or loss, the statement of changes in equity, and statement of cash flows. As far as practicable, each item in these statements should be **cross-referenced** to any related information in the notes.

The notes should include the following (refer to IFRS 18, paragraph 113):

- Information about the basis of preparation of the financial statements and the specific accounting policies used
- Disclosure of information that is required to be presented by a specific IFRS Accounting Standard, but that is not presented anywhere else in the financial statements
- Additional information that is relevant to the understanding of any item presented in the financial statements.

Where additional information is provided in the notes, it should be **cross-referenced** to the item presented on the face of the statement of financial position, the statement of profit or loss and other comprehensive income, the statement of changes in equity or the statement of cash flows.

IFRS 18, paragraph B112 provides the following guidance on the **order** that should be followed when presenting information in the notes in order to assist users in understanding the financial statements and in comparing them with the financial statements of other entities:

- Statement of compliance with the IFRS Accounting Standards
 - Summary of significant accounting policies applied
 - Supporting information for items presented in the statements of financial position and of comprehensive income, and in the statements of changes in equity and of cash flows, in the order in which each statement and each line item is presented
- Other disclosures, including contingent liabilities and non-financial disclosures.

5.5.1 Compliance with the IFRS Accounting Standards

The notes to the financial statements should include an explicit and unreserved statement of compliance with the IFRS Accounting Standards. However, this should only be made if the financial statements comply with the requirements of the IFRS Accounting Standards. The statement of compliance with the IFRS Accounting Standards is normally included in the statement about the basis of preparation of the financial statements.

In some countries and jurisdictions, it is a legal requirement that financial statements be prepared in compliance with the IFRS Accounting Standards. For example, all companies in South Africa are regulated by the ***Companies Act, No. 71 of 2008***. This act has a legal requirement for companies to comply with **International Financial Reporting Standards** ('**IFRS Accounting Standards**') when financial statements are prepared. However, small and medium-sized companies (not public companies) may choose to adopt the ***IFRS for SMEs Accounting Standard***. It is a legal offence to prepare, approve, publicise or supply any financial report of a company that is false or misleading in any material respect, and any person who is party thereto is guilty of an offence. This requirement spreads the responsibility beyond the management and directors of the company to its financial, tax, legal and other advisors.

However, in some jurisdictions, a departure from the requirements of an IFRS Accounting Standard may be permitted in rare circumstances (as referred to in IAS 8, paragraph 6E) where management believes that following the requirements would be misleading.

When an entity **departs from an IFRS Accounting Standard**, and such a departure is not prohibited by any local reporting requirements, the following disclosures are required (refer to IAS 8, paragraph 6F):

- That management has concluded that the financial statements present the entity's financial position, financial performance and cash flows fairly
- That the financial statements are in compliance with the IFRS Accounting Standards, except for the specific departure to achieve a fair presentation
- The title of the IFRS Accounting Standard from which the entity has departed, clearly stating:
 - The treatment required by the IFRS Accounting Standard
 - The nature of the departure
- Why the treatment would be so misleading, given the circumstances, that it would be in conflict with the objectives of financial statements specified in the *Conceptual Framework*
- The financial effect of the departure on each item in the financial statements for each period presented.

Key principle:
What if compliance with IFRS would be misleading?

In extremely rare circumstances, management may conclude that compliance with a requirement in an IFRS Accounting Standard would be so misleading that it would

conflict with the objective of financial statements. When assessing whether compliance would be misleading, management must consider why the objectives of financial statements would not be achieved in the current circumstances and how the entity's circumstances are different from those of other entities that do comply with the requirement.

5.5.2 Accounting policies

The significant accounting policies underlying the preparation of the financial statements should be listed individually in the financial statements. These are normally included as a separate component of the notes to the financial statements.

Disclosure of the accounting policies should include the following:

- The measurement bases used in preparing the financial statements
- Other accounting policies that are relevant to an understanding of the financial statements.

A detailed explanation of these policies, as well as the judgements that management has made in the process of applying the accounting policies, should be included in the notes to the financial statements. There must be an indication of whether these policies have changed and, if they have, the information with regard to the changes should be disclosed. (The disclosure requirements are discussed in [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*.)

As assets and liabilities are measured using various measurement bases (such as historical cost or fair value), each set of financial statements that is produced should list the accounting policies that were used in the preparation of those financial statements. When looking at a statement of financial position, a good starting point is to read the accounting policies in order to determine how each of the assets and liabilities recognised on the statement of financial position has been measured.

Selection and application of accounting policies

The accounting policy applied should be in compliance with the IFRS Accounting Standards. You should therefore apply the accounting policy or policies as prescribed in the IFRS Accounting Standard that specifically applies to that transaction, event or condition. In some cases, an IFRS Accounting Standard gives you the option of choosing between different accounting policies. For example, interchangeable inventory can be measured by applying either the first-in-first-out costing formula or the weighted average costing formula. In such cases, you should choose the accounting policy that best reflects the substance of the transaction or event. Accounting policies set out in the relevant IFRS Accounting Standards are those that the Board has concluded result in financial statements containing relevant and decision-useful information about the transactions, other events and conditions to which they apply, and are assumed to result in fair presentation.

In the absence of an IFRS Accounting Standard that specifically applies to a transaction, management must use its **judgement** to develop and apply an accounting policy that results in information that is **relevant** to the economic decision-making needs of users, resulting in financial statements that represent the financial position, financial performance and cash flows of the entity faithfully, and present financial information that meets the fundamental and enhancing qualitative characteristics set out in the *Conceptual Framework*. The application of these principles and guidance on further considerations is provided in IAS 8 and is discussed in detail in [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*.

Key assumptions and judgements made

When assumptions have a significant influence on the amounts recognised in the financial statements, management is required to disclose the judgements applied to reach these assumptions. What is being referred to here is not the various estimates that management makes when preparing the financial statements, as there are already sufficient disclosure requirements with respect to amounts that are based on estimates. The type of assumptions or judgements that must be disclosed are management's decisions concerning the nature of a transaction or event, as different types of transactions require a different **accounting policy** to be selected and applied.

Examples of judgements that must be disclosed include a decision by management on when to recognise a transaction in respect of financial assets and assets leased by a lessor based on management's assessment of when control transfers. Another example of a judgement that must be disclosed is a decision by management regarding whether the application of the fair value model for investment properties would result in a fairer presentation of the financial information (as opposed to the use of the cost model).

The requirement for management to disclose its key assumptions and judgements makes management accountable for deciding which accounting policies to apply in order to recognise and measure business transactions. This is important, as these accounting policies effectively determine the entity's reported financial position. This disclosure also helps users to understand the significance of the financial information contained in the financial statements more fully because it makes them aware of the assumptions and potential limitations underlying the reported transactions in respect of both recognition and measurement.

Something to think about

Disclosing key assumptions relating to an impairment test

Imagine that you are required to carry out an impairment test on assets reported in the statement of financial position. This is a calculation of the estimated future cash flows that the asset is expected to realise, performed with the intention of assessing whether the asset definition and recognition criteria are still met at the reporting date. An impairment test therefore requires management to project the future use of the asset, the length of use, the costs involved in using the asset and the expected revenue. Disclosure of these key assumptions regarding uncertainties that have impacted on the measurement of the entity's assets and liabilities is only required if changes in these assumptions could have a material impact on the carrying amounts reported.

5.5.3 Key sources of estimation uncertainty

The use of reasonable estimates is an essential part of the preparation of financial statements and does not undermine their reliability. IAS 8 requires a description in the notes to the financial statements of any key sources of estimation uncertainties that could affect the carrying amount of assets and liabilities.

In order to prepare a statement of financial position, the carrying amounts of the entity's assets and liabilities have to be determined. These amounts depend on the measurement basis that has been selected by management or prescribed by the IFRS Accounting Standards. Certain bases require management to **estimate** the effects of future events when measuring the carrying amounts of assets or liabilities.

It is important that you apply due care when making these estimates. You should base your estimates on the most reliable information available at the time, taking into account your past experiences, professional judgement and the opinion of experts, where necessary. For example, when you have to estimate the expected useful life of an asset,

you should be able to estimate it reliably at five years based on your past experience that similar machines have had a similar useful life when used in similar conditions.

The information to be disclosed in the notes to the financial statements should include a **description of the key assumptions made** about future events as well as a reference to those specific assets and liabilities whose carrying amount may be materially affected by adjustments because of the use of estimates. This requirement results in stakeholders being informed about all major sources of uncertainty surrounding the estimated future cash flows expected to flow into and out of the entity through assets and liabilities. This is obviously extremely relevant information for users when assessing the extent and uncertainty of the entity's future cash flows.

This disclosure requirement relates to estimates in measuring the current carrying amount of assets and liabilities. It does not refer to the uncertainties that exist because the amounts at which assets and liabilities are measured may change in future periods. For example, the fair value of an equity instrument can be determined accurately at the reporting date as it will be the ruling market price at the reporting date; there is no estimation uncertainty. But this does not imply that the fair value of the equity instrument will be the same at the end of the next reporting period.

Market forces and economic conditions could impact on share price movements. The purpose of the disclosure requirements is to draw attention to the risks relating to the current measurement, as opposed to risks in future price movements.

Key principle:
Disclosure of key sources of estimation uncertainty
(IAS 8, paragraph 31A)

An entity must disclose in the notes information about the key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. These disclosures do not involve disclosing budgets or forecasts.

5.5.4 Information about capital

Key principle:
Capital disclosures (IFRS 18, paragraphs 126 to 128)

An entity should disclose information about its objectives, policies and processes for managing capital. To comply with this, the disclosures should include the following:

- Qualitative information about the entity's objectives, policies and processes for managing capital, including a description of the capital it manages
 - The nature of external capital requirements, if any
 - How the entity is meeting its objectives

- Quantitative data about what the entity regards as capital
- Changes from one period to another
- Whether the entity has complied with any external capital requirements
- If it has not complied with any external capital requirements, the consequences of such non-compliance.

IFRS 18 requires certain disclosures relating to the management of the entity's capital. This includes qualitative information about objectives, policies and processes, including a description of what is managed as capital, the nature of any externally imposed capital requirements, whether the entity has complied with externally imposed requirements and, if the entity has not complied with external requirements, the implications of non-compliance.

These disclosure requirements focus on qualitative disclosures. There are also some quantitative disclosures that are required, such as a summary of the capital that is managed by the entity. This may differ from the reported equity of the entity. One example is where an entity includes some items that are classified as liabilities (and thus are not reported as equity), such as subordinated debt in its managed capital.

The requirement to supply additional information about the management of capital adopts a management perspective as it focuses on how capital is viewed by management, as opposed to prescribing specific definitions of capital for purposes of the disclosures. Thus, the entity is required to base its capital disclosures on the information provided internally to key management personnel.

6 Reporting financial information by segment

Where a large entity is involved in various activities or where activities are spread over a large geographical area, it is sometimes difficult for the users of financial statements to identify the risks and rewards of each significant part of the activities of the entity clearly in order to be able to make informed decisions about the financial results and performance of the entity as a whole. Where an entity conducts a variety of activities that are sometimes unrelated and therefore involve different risks and rewards, it is helpful to break the information into components to facilitate the assessment of the risks and rewards involved. The provision of disaggregated information that indicates the relative sizes, contributions and growth trends of the different industries and geographical areas in which an entity operates is useful to users of the financial statements and informs their decision-making. The objective of reporting divisional (or segmental) information is therefore to provide disaggregated information to users to assist them in assessing the nature and financial effects of the business activities in which the entity engages and the economic environments in which it operates.

The reporting of information in financial statements by segments is discussed in IFRS 8, *Operating Segments*. This standard, which is primarily a disclosure standard, is particularly relevant for **large organisations that operate in different geographic locations and/or in diverse businesses**. The objective of IFRS 8 is to help users of financial statements to understand the entity's past performance better, to assess the entity's risks and returns better and to make better-informed judgements about the entity as a whole.

IFRS 8 discusses the information that an entity should present relating to its operating segments. An **operating segment is defined** as follows (refer to IFRS 8, paragraph 5):

- A component of an entity that engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the entity)

- A component of an entity whose operating results are regularly reviewed by the entity's chief operating decision-maker in order to make decisions about resources to be allocated to the segment and to assess its performance
- A component of an entity for which discrete information is available.

IFRS 8 follows a management approach to identify the different operating segments. This means that the information that is reported externally is based on how information is reported internally to management and, more specifically, the **chief operating decision-maker**. This may not coincide with the way in which information is reported externally, and therefore may not agree with the entity's statement of profit or loss as well as its statement of financial position. Where this is the case, you should provide reconciliations between the segmental information, the statement of profit or loss and the statement of financial position.

Key principle:
What is the purpose of
segmental reporting?
(IFRS 8, paragraph 1)

An entity should disclose information to enable users of its financial statements to evaluate the nature and financial effects of the business activities in which it engages and the economic environments in which it operates. Thus, segmental information is regarded as necessary to help users of financial statements to do the following:

- Understand the entity's past performance better
- Assess the entity's risks and returns better
- Make more informed judgements about the entity as a whole.

Something to think about

What are the key decision points in identifying operating segments?

- Step 1: Identify the chief operating decision-maker. It is likely to be the group of individuals who regularly review the operating results of all business units and the entity as a whole (for example, the executive committee).
- Step 2: Can the component generate revenue and incur expenses from its business activities?
- Step 3: Does the chief operating decision-maker regularly review the component's operating results as a basis for resource allocation and performance assessment?

- Step 4: Is discrete financial information available for the component?

Operating segments exhibit similar long-term financial performance if they have similar economic characteristics relating to the nature of their products or services, the nature of the production processes, the type and class of customer, the methods used to distribute products and the nature of the regulatory environment (for example, in the banking and insurance industries). In such cases, two or more operating segments may be aggregated into a single operating segment.

6.1 Identifying reportable segments

IFRS 8, paragraph 11 requires an entity to report information separately about each operating segment that has been identified as an operating segment, and to provide financial and descriptive information about its reportable segments. You need to disclose an operating segment separately when that segment meets any one of the following **quantitative thresholds** (in which case, it is called a **reportable segment**):

- Its reported revenue (including external and intersegmental sales) is 10% or more of the combined revenue (internal and external) of all operating segments.
- The absolute amount of its reported profit or loss is 10% or more of the greater (in absolute terms) of the combined profit of all operating segments reporting a profit and the combined loss of all operating segments reporting a loss.
- Its assets are 10% or more of the combined assets of all operating segments.

Where an operating segment does not meet any of these thresholds, separate disclosure of such a segment may be provided if it will aid users' evaluation of the entity's financial statements. Two or more operating segments may be **aggregated** (combined) into a single operating segment, provided that the segments have similar economic characteristics and are similar in each of the following respects (refer to IFRS 8, paragraph 12):

- The nature of the products and services
- The nature of the production processes
- The type or class of customer for their products and services
- The methods used to distribute their products or provide their services
- If applicable, the nature of the regulatory environment (for example, banking or insurance).

Operating segments that do not meet the quantitative thresholds to produce a reportable segment may be combined, provided that the segments have similar economic characteristics and meet the aggregation criteria. The information that relates to business activities and operating segments that are not reportable are combined and disclosed as 'all other segments'.

In addition, the **75% threshold** criterion requires that an entity must identify operating segments until at least 75% of the entity's revenue is included in reportable segments. Where the external revenues of reportable segments do not exceed at least 75% of the entity's total revenue, additional operating segments may be identified as reportable even if they do not meet any of the above thresholds. This refers to **external** revenue as well as to the total revenue of the consolidated group.

6.2 Presenting segmental information

IFRS 8 sets out a general approach to disclosure and largely allows management to determine what is disclosed and how the amounts disclosed are measured.

IFRS 8 requires **disclosure** of the following **general information**:

- Factors used to identify the entity's reportable segments, including the basis of the organisation (for example, whether the entity is organised in terms of products and services offered, geographical areas or regulatory environments)
 - Types of products and services from which each reportable segment derives revenue
- Information of reported segmental profit or loss (including specified revenues and expenses included in reported segmental profit or loss), segmental assets, segmental liabilities and the basis of measurement (for example, the amount of each segmental item reported is based on how that information is presented to the chief operating decision-maker for the purposes of resource allocation and assessing performance)
- Reconciliations of the totals of segmental revenues, reported segmental profit or loss, segmental assets and segmental liabilities
 - Some entity-wide disclosures are required even when an entity has only one reportable segment, including information about each product and service or group of products and services
- Analyses of revenues and certain non-current assets by geographical area, with an expanded requirement to disclose revenues or assets by an individual foreign country (if material), irrespective of the identification of operating segments
 - Information about transactions with major customers.

An entity is required to disclose information to enable users of financial statements to evaluate the nature and financial effects of the business activities in which it engages and the economic environments in which it operates. When both separate and consolidated financial statements for the parent are presented in a single financial report, you only need to present segmental information relating to the consolidated financial statements.

In some cases, **comparative information** must be restated (for example, when an operating segment was a reportable segment in the prior period, but is not for the current period, or when an operating segment becomes a reportable segment for the current period, but did not meet the criteria for reportability in the prior period).

7 Interim financial reporting

The basic purpose of interim financial statements is to provide users with relevant and decision-useful information on a more regular basis than when financial statements are provided on an annual basis. Reporting financial information during an interim period (that is, for a period covering less than a full financial year) makes the information timely and relevant, thereby improving the ability of investors, creditors and others to understand the entity's capacity to generate earnings and cash flows, and to understand its financial condition and liquidity. The objective of IAS 34, *Interim Financial Reporting*, is to prescribe the minimum content of an interim financial report

and the principles that should be applied for the recognition and measurement of financial statements for an interim period.

Something to think about

What is the difference between annual and interim financial statements?

Annual financial statements are the financial statements dated as of the company's fiscal year-end. They report the results of the previous 12 months of activities.

Interim financial statements are the financial statements prepared for those periods of time (monthly, quarterly and so on) between the company's annual financial statements.

An **interim period** is defined in paragraph 4 of IAS 34 as 'a financial reporting period shorter than a full financial year'. An interim financial report means a financial report containing either a complete set of financial statements (as described in IFRS 18) or a set of condensed financial statements (as described in IAS 34) for an interim period.

7.1 Who needs to present interim financial statements?

IAS 34 does not contain any rules as to which entities should publish interim financial reports, how frequently they should do so or how soon after the end of an interim period. Governments, securities regulators, stock exchanges and accountancy bodies often require entities with **public accountability** to publish interim financial reports. Entities with publicly traded equity or debt are encouraged to provide interim financial reports at least as of the end of the first half of their financial year and to make their interim financial reports available no later than 60 days after the end of the interim period.

Example of interim financial information

Statements to be presented in the half-yearly interim financial report of an entity that reports quarterly, with a 31 December 20x8 year-end

Interim reports are normally prepared on a **half-yearly basis**: that is, for a period of six months. Thus, interim results are presented six months after their previous reporting date. When the next annual report is prepared, it includes the interim results, as it then covers the annual period of 12 months. Interim results normally include three columns of results, disclosing comparative amounts relating to the immediately preceding corresponding interim period and the audited amounts in respect of the most recently completed financial period. For example, a company with a financial year ending 31 December 20x5 should report its interim figures for the six months ending 30 June 20x5. When these interim figures are reported, the interim report should include the interim figures for the corresponding period to 30 June 20x4, as well as the audited figures for the year ended 31 December 20x4.

7.2 Preparing an interim report

Interim financial information can be presented either as a complete set of financial statements or as a set of **condensed financial statements**. The minimum content of an interim financial report consists of the following statements:

- A condensed statement of financial position
- A condensed statement of financial performance
 - A condensed statement of cash flows
- A condensed statement of changes in equity
 - Selected explanatory notes.

An entity should include, as a minimum, each of the headings and sub-totals that were included in its most recent annual financial statements and the selected explanatory notes as required by IAS 34. Additional line items or notes should be included if their omission would make the condensed interim financial statements misleading.

When you prepare interim financial reports, you should prepare them on a **consolidated basis** if the entity's most recent financial statements were consolidated statements. (Refer to [Chapter 25](#), *Business combinations*, and [Chapter 26](#), *Separate financial statements*, for a discussion on the preparation of consolidated financial statements.) Where the entity has disposed of all its subsidiaries during the interim period such that it has no subsidiaries at the end of the interim reporting period, it should prepare its interim financial report on a consolidated basis because it had subsidiaries at some point during the interim period. The statement of financial performance, the statement of changes in equity and the statement of cash flows should include the impact of the subsidiaries up to the date/s of their disposal and the effects of the disposal.

An entity should **recognise and measure** its assets and liabilities for the interim period in the same way as would apply if it were a full financial year. In other words, the usual recognition and measurement criteria must be applied at the interim reporting date as if this were a stand-alone period. For example, a cost that does not meet the definition of an asset at the end of an interim period is expensed at that time and not deferred to await further information as to whether or not it has met the definition of an asset or to smooth earnings over interim periods within a financial year. In addition, an income tax expense should be calculated and recognised at each interim period based on the best estimate of the weighted average annual tax rate expected for the year. Similarly, where revenues are received seasonally or cyclically, these revenues may not be anticipated or deferred at an interim date if anticipation or deferral would not be appropriate at the financial year-end.

Something to do

Refer to Appendix B in IAS 34 for detailed examples that illustrate the application of the recognition and measurement principles when interim financial results are reported.

An entity should apply the **same accounting policies** in its interim financial statements as are applied in its annual financial statements, except for accounting policy changes made after the most recent annual financial statements.

The **disclosure requirements** of IAS 34 are based on the assumption that anyone reading the interim financial report has access to the most recent annual financial statements. Therefore, not all the supplementary notes in the annual financial statements are required for interim reporting purposes because this would result in repetition or the

reporting of relatively insignificant changes. The explanatory notes included with the interim financial information are intended to provide an explanation of events and transactions that are significant to an understanding of the **changes in the financial position and the performance** of the entity since the end of the last annual reporting period. The information is generally presented on a financial year-to-date basis. However, the entity is also required to disclose any events or transactions that are material to an understanding of the current interim period.

Examples of information to be included in interim reports are:

- Disclosures about changes in accounting policies
- The nature and amount of any unusual items affecting assets, liabilities, equity, income or cash flows
- Issues, repurchases and repayments of debt and equity
- Dividends
- Revenue and results for each primary segment
- Changes in the composition of the business during the interim period
- Changes in contingent assets or contingent liabilities.

Key points to take from this chapter

- Financial statements are compliant with the IFRS Accounting Standards when transactions and events are accounted for in accordance with the respective requirements as set out in all IFRS Accounting Standards that apply to the entity.
- Information in the financial statements should be presented consistently from one period to the next to enhance comparability. It should include considerations of materiality, aggregation and offsetting.
- Financial statements should clearly identify the name of the entity, the reporting period, the currency used and the purpose for which the report has been presented.
- A complete set of financial statements consists of the following reports:
 - Statement of financial position at the reporting date
 - Statement of profit or loss and other comprehensive income for the reporting period
 - Statement of changes in equity for the reporting period
 - Statement of cash flows for the reporting period
 - Notes to the financial statements for the reporting period

- A statement of financial position as at the beginning of the earliest comparative period when an entity applies an accounting policy retrospectively or makes a retrospective restatement of items in its financial statements, or when it reclassifies items in its financial statements.
- Large organisations that operate in different geographic locations and/or in diverse businesses should disclose segmental information in accordance with IFRS 8.
- Depending on the jurisdiction in which they operate, entities with public accountability may be required to present interim financial statements (for interim periods) in accordance with IAS 34, *Interim Financial Reporting*.

Discussion questions

1. IAS 8, *Basis of Preparation of Financial Statements*, requires an entity to include a detailed explanation of the accounting policies used when preparing financial statements. Why is it important for entities to disclose the measurement bases used in preparing financial statements?
2. What is the general principle for disclosure of information in financial statements?
3. What factors need to be taken into account in deciding on an appropriate accounting policy where no specific IFRS Accounting Standard applies?
4. You have heard a rumour that assets and liabilities are no longer required to be classified as current or non-current. Comment on the validity of the rumour and, if you consider it appropriate to do so, discuss what is meant by the term 'current'.
5. Your client has included a loan repayable in six months' time under long-term liabilities (in other words, as a non-current liability). Under what circumstances would that be appropriate?
6. IAS 8, *Basis of Preparation of Financial Statements*, requires that entities include the balances of the prior reporting period when preparing financial statements. Why is the presentation of comparative amounts and information in financial statements important?
7. Briefly discuss how you would recognise and disclose the following items in the financial statements of an entity:
 - a) Profit on the sale of a machine classified as property, plant and equipment
 - b) Fair value adjustments relating to investment properties
 - c) Interest paid on a long-term loan from a finance company
 - d) Payments to non-executive directors for attending board meetings
 - e) Share issue costs

- f) Rent pre-paid for the following reporting period
 - g) Loss on the sale of shares classified as 'at fair value through profit or loss'
 - h) Legal costs relating to amounts to be settled at the reporting date
 - i) Bonuses paid at the reporting date relating to sales targets met during the reporting period
 - j) Depreciation of motor vehicles used to deliver inventory
 - k) Increases in the valuation of property, plant and equipment in terms of the application of the revaluation model
 - l) Depreciation of property, plant and equipment in terms of the application of the cost model.
8. The use of accounting estimates is an essential part of the preparation of financial statements and does not undermine their reliability. Discuss how you would determine the amount of an estimate and its disclosure requirements.
9. Discuss when and how an entity should recognise its obligations relating to unclaimed leave pay at the reporting date.
10. Briefly discuss the different formats for the preparation of the profit or loss section of the statement of profit or loss and other comprehensive income when the expenses are classified by the functions of the business and when they are classified by their nature.
11. IFRS 8, *Operating Segments*, requires that an entity provide information relating to its operating segments. What is meant by an operating segment and what information should be presented for an operating segment in financial statements?
12. What is an interim report and when should an entity prepare an interim financial report?

Exercise questions

Question 1

You are provided with the information that follows.

Statement of changes in equity of A Ltd for the year ended 31 December 20x5



You are required to do the following:

Prepare the equity section of the statement of financial position of A Ltd as at 31 December 20x5.

Question 2

The accountant of A Ltd requests your assistance with the presentation of the items that follow in the financial statements for the reporting period 30 June 20x2.

You are required to do the following:

Answer the accountant's questions that follow. In each case, provide a short motivation for your answer. Where appropriate, motivate your answer with reference to the relevant section/s in the IFRS Accounting Standards.

1. Should the income from the settlement of the lawsuit be included in revenue on the statement of profit or loss and other comprehensive income?
2. Should the excess wages paid in the current year be disclosed separately as an extraordinary item? If so, how?
3. Do you think that the profit on the sale of shares is realised or unrealised? Motivate your answer.
4. Should the dividend income be disclosed in the statement of cash flows?
5. How should the dividends declared and paid be presented in the statement of cash flows and the statement of profit or loss and other comprehensive income for the same amount?
6. The company paid a total of CU45 000 to the local tax authorities during the year as provisional tax payments. How should this amount be recognised in the statement of profit or loss and other comprehensive income?

Question 3

The balances that follow are provided for the year ended 31 December 20x9.

The summary of income and expenses allocated to divisions is as follows:

Inventory on hand at 31 December 20x9 amounted to CU125 000.

Ignore the taxation expense.

You are required to do the following:

Prepare the profit or loss section of the statement of profit or loss and other comprehensive income (including notes) in compliance with the *IFRS for SMEs* Accounting Standard for the year ended 31 December 20x9 for each of the following situations:

1. The expenses are classified according to their nature.

2. The expenses are classified according to the functions in the business.

Question 4

The information that follows is presented relating to B Ltd.

You are required to do the following:

Answer the questions that follow.

1. What is the quantitative threshold for profit or loss that must be met or exceeded to make the segment reportable?

2. Which segments are reportable?

3. If Segment E and Segment F are economically similar and meet all the aggregation criteria specified in IFRS 8, *Operating Segments*, paragraph 12, would your answer to the previous question change? Briefly explain why or why not.

4. If the segmental profit or loss above excluded depreciation expense, would depreciation need to be disclosed per segment?

5. If the segmental profit or loss above included an interest expense that qualified for capitalisation as specified in IAS 23, *Borrowing Costs*, what disclosure would be required in order to comply with IFRS 8, *Operating Segments*?

References

International Accounting Standards Board (IASB). 2018. *Conceptual Framework for Financial Reporting*. London: IFRS.

Kew, J. 2024. *Financial Accounting: An Introduction*. 6th ed. Cape Town: Oxford University Press.

Lubbe, I., Modack, G., Herbert, S. & Hyland, A. 2014. *Financial Accounting: Groups*. Cape Town: Oxford University Press.

Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

3

Accounting policies, changes in accounting estimates and errors

IFRS reference

IAS 8: *Basis of Preparation of Financial Statements*

Note: The new IFRS 18, *Presentation and Disclosure in Financial Statements*, identifies several amendments to other IFRS Accounting Standards. This includes the amendment of the title of IAS 8 from 'Accounting Policies, Changes in Accounting Estimates and Errors' to 'Basis of Preparation of Financial Statements'. This edition takes into account the amendments to IAS 8, including the amended title.

IFRS for SMEs Accounting Standard reference

Section 10: *Accounting Policies, Estimates and Errors*

1 Introduction

2 Requirement to present comparative information

2.1 [When can comparative figures in financial statements be changed?](#)

3 Selecting, applying and disclosing accounting policies

3.1 [How should an entity select an accounting policy?](#)

3.2 [What if an entity enters into a unique transaction or event for which there is no IFRS Accounting Standard?](#)

3.3 [May an entity change an accounting policy?](#)

3.4 [How should an entity record and report changes to an accounting policy?](#)

3.5 [What are the disclosure requirements of changes in accounting policies?](#)

3.6 [What types of change in accounting policy can occur?](#)

3.6.1 [Change in accounting policy for investment property](#)

3.6.2 [Change in accounting policy for inventory](#)

3.7 [What are transitional arrangements?](#)

4 Changes in accounting estimates

5 Errors

5.1 [What are prior period errors?](#)

5.1.1 [How should prior period errors be accounted for?](#)

5.1.2 [What are the disclosure requirements of prior period errors?](#)

5.1.3 [What about errors discovered after the reporting date?](#)

5.1.4 [What if it is impractical to correct a prior period error?](#)

Key points to take from this chapter

Discussion questions

Exercise questions

Learning objectives

By the end of this chapter, you should be able to:

- Define accounting policies and discuss the selection of an accounting policy in the absence of an IFRS Accounting Standard.
- Identify the circumstances under which an entity is allowed to change an accounting policy.
- Prepare the journal entries to account for a change in accounting policy and present proper disclosure of the effect of that change.

- Calculate the effect of a change in estimate correctly and present proper disclosure for changes in estimates.
- Prepare the journal entries to account for the correction of a prior period error, and present proper disclosure of an error of this nature and its effect.
- Identify circumstances in which the opening balance of retained earnings may be adjusted, record these adjustments and disclose the effect of these adjustments on opening retained earnings that were previously reported.
- Apply additional disclosures in specific circumstances and know what additional disclosure requirements apply to material items.

Concept summary



1 Introduction

In its financial statements an entity is required to prepare and faithfully present financial information that is relevant and informs users' decision-making. To support the consistent reporting of financial information and to enhance the comparability of financial information, an entity selects an accounting policy in accordance with IFRS and applies that policy consistently for similar transactions and events. For example, an entity should select either the first-in-first-out (FIFO) basis to measure inventory or the weighted average method (refer to [Chapter 13, Inventory](#)). The decision regarding which of these two methods to use represents an accounting policy choice that requires professional judgement and is entity specific.

Key principle:
Purpose of accounting policies

Accounting policies are essential for a proper understanding of the information contained in the financial statements of an entity.

IAS 8, *Basis of Preparation of Financial Statements*, prescribes the criteria for **selecting accounting policies** (see Section 3), together with associated disclosures. An entity is permitted to change an accounting policy if a change is required by an IFRS Accounting Standard or an interpretation of an IFRS Accounting Standard or if the change will result in a more relevant and faithful presentation of the transaction or item in the financial statements (see Section 3.3). In addition, IAS 8 deals with changes in accounting estimates and corrections of prior period errors. An **accounting estimate** is a judgement applied in determining the carrying amount of an item in the financial statements, and a change in an accounting estimate is not a correction of an error or a change in accounting policy. Changes in estimates do not result in changes to comparative figures, but the change will be accounted for at the time when new information that changes a previous accounting estimate is available (see Section 4). In addition, IAS 8 sets out the accounting treatment for the **correction of prior period errors** and describes changes in estimates and how they differ from prior period errors (see Section 5). Following the release of IFRS 18, *Presentation and Disclosure in Financial Statements*, some elements of the old IAS 1, *Presentation of Financial Statements*, have been moved to IAS 8, and IAS 8 will be renamed '*Basis of Preparation of Financial Statements*' to reflect these additions. This chapter will address the content of IAS 8 prior to these changes, and [Chapter 2, Presentation and disclosure in financial statements](#), discusses the sections that have been added to IAS 8 as a result of the issuing of IFRS 18.

Comparative figures should be included for all figures presented in the statement of profit or loss and other comprehensive income and in the notes to the financial statements. The comparative figures presented should be identical to those of the previous financial year, except in very specific circumstances, when **an error** in a prior period is corrected or when a company **changes an accounting policy** applied previously. Adjustments to comparative figures are discussed in Section 2.1.

Key principle:
Consistent application of accounting policies

Accounting policies should be applied consistently for similar transactions and events, and from one reporting period to the next.

Both IAS 8 and Section 10 of the *IFRS for SMEs* Accounting Standard contain detailed disclosure requirements for changes in accounting policies, corrections of prior period errors and changes in accounting estimates, where practical. As the requirements of Section 10 of the *IFRS for SMEs* Accounting Standard are similar in most respects to that of IAS 8, this chapter will only refer to IAS 8. Several sections in IAS 8 are expected to change with the issue of IFRS 18, *Presentation and Disclosure in Financial Statements*. However, at the time of publication of this edition, the proposed updates to IAS 8 have not yet been published. This chapter continues to refer to IAS 8, and updates would be considered after the publication of IAS 8, *Basis of Preparation of Financial Statements* (forthcoming).

IFRS for SMEs Accounting Standard application

Section 10 of the *IFRS for SMEs* Accounting Standard, *Accounting Policies, Estimates and Errors*, includes similar guidelines for selecting and applying the accounting policies used in preparing financial statements for small and medium-sized entities. It also covers changes in accounting estimates and corrections of errors in prior period financial statements, thereby emphasising the principle that comparative figures should be included for all figures reported in financial statements and that these should only be adjusted when a change in accounting policy or the correction of an error is done retrospectively.

2 Requirement to present comparative information

In [Chapter 2](#), you learnt that the disclosure of comparative figures is required for each item recognised in the financial statements (including the notes). To enhance the comparability of the information provided, you would normally include a comparative amount (either in a separate column or in brackets next to the current year's amount) for every amount presented in the financial statements. If there is no comparative amount, this fact should be indicated. The comparative figures in any year should be identical to the figures that were reported in the previous year's financial statements. There are, however, very specific circumstances that allow for exceptions.

2.1 When can comparative figures in financial statements be changed?

The circumstances in which it might be appropriate to **change comparative figures** can be divided into two categories:

- Changes to the classification of information presented in a prior period (where the changes to the way in which the information is presented do not change the total amount that is recognised)
- Changes to the profit or loss and net assets reported in a prior period (where changes to the total amount of profit or loss and net assets are recognised, which can be done only in very specific circumstances).

Where classifications of figures in the current year have changed, the comparative figures should be rearranged in a similar way so as to make the figures as comparable as possible. For example, where an entity has previously reported its marketing expenses as part of ‘marketing and distribution expenses’ but decides to show marketing expenses as a separate stand-alone function in the current statement of profit or loss and other comprehensive income (owing to the materiality of the amount and the fact that the separate disclosure of marketing expenses will result in a clearer presentation of the information), the comparative figures relating to marketing expenses need to be restated so as to make sense of the information.

Where an entity has amended the classification of items in the financial statements, comparative amounts should be reclassified accordingly unless the reclassification would require undue cost or effort. When an entity has reclassified some or all of its comparatives, the nature of and reason for the reclassification and the amount of each item or class of items that was reclassified should be disclosed (see IFRS 18, paragraphs 33 and 34).

Any change to the total **profit or loss of prior periods** will have an effect on the amount of retained earnings recognised. The circumstances in which the opening retained earnings in the current year can differ from the closing retained earnings as published in the prior period are extremely limited and specific. The total amount of profit (the opening retained earnings) or net assets recognised in the previous financial statements can **only** be adjusted **in the following two circumstances**:

- Where an entity made an **error** in preparing the previous year’s financial statements, in which case the financial statements should be restated to correct the error
- Where an entity has **changed its accounting policy**, and this change has had an effect on the amounts recognised in previous years (see Section 3).

Adjustments to the opening retained earnings are referred to as **prior period adjustments**. The prior period’s closing balance of retained earnings is adjusted to arrive at the current year’s opening balance of retained earnings. Once the general ledger in a prior period has been closed off and the financial statements are prepared, no further journal entries can be processed in the prior period’s general ledger. Therefore, adjustments to the prior period’s balances can only be made in the current year. This means that prior period adjustments must be recorded in the current year by way of a debit or credit entry to **retained earnings**.

Errors must be distinguished from changes made to estimates based on information that best reflected the conditions and circumstances that existed at the reporting date. An error implies that the entity did something wrong, either by not making an adequate effort to obtain information or by applying information incorrectly. As discussed in Section 4, many aspects of financial accounting necessitate the use of estimates (for example, allowance for expected credit losses, depreciation rates and provision for the cost of settling a court case). Where new information that enables better estimates to be made comes to light, that is a change in an estimate as opposed to an error. This distinction is important because changes in estimates are included in the financial statements when the estimate changes, whereas errors are adjusted retrospectively.



Something to think about

What is the difference between an error and an accounting estimate?

Table 3.1 The difference between an estimate and an accounting error

Error	Change in accounting estimates
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What is it?	An omission from or misstatement in prior period financial statements	A change in amount or pattern of usage
Example	An incorrect calculation of depreciation	A change in the amount of a legal provision based on development in a court case
What is the accounting treatment?	Retrospective adjustment	Prospective adjustment

3 Selecting, applying and disclosing accounting policies

An entity must select and apply an accounting policy that is appropriate to a transaction, event or condition, as is required by the specific IFRS Accounting Standard that addresses the specific group of transactions, events or conditions. Accounting policies should be applied consistently for similar transactions and from one financial reporting period to the next.

Paragraph 5 of IAS 8 defines **accounting policies** as ‘the specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements’. The IFRS Accounting Standards allow for the adoption of various accounting policies when recognising assets and liabilities, as well as income and expense items, in the financial statements of an entity.

Accounting policies are essential for a proper understanding of the information contained in the financial statements of an entity. IAS 8 requires an entity to disclose the specific accounting policies underlying the preparation of the financial statements individually. (Note that this requirement was previously part of IAS 1, *Presentation of Financial Statements*, and was moved to IAS 8 with the issue of IFRS 18.)

The term ‘accounting policy’

... refers to the principles or conventions applied in preparing the financial statements of an entity.

**Key principle:
Adoption of accounting policies**

Accounting policies are the specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements. The accounting policies that are adopted should be appropriate so that they will result in the presentation of information in the financial statements that is relevant, reliable, consistent and free from bias and that faithfully represents the financial position, financial performance and cash flows of an entity.

This list of accounting policies is normally included as a separate component or in the notes to the financial statements. Disclosure of the accounting policies should include the following information:

- The measurement bases used in preparing the financial statements
- Other accounting policies relevant to an understanding of the financial statements.

A detailed explanation of these policies should be included in the **accounting policies note** in the financial statements. Information about the specific accounting policies that have been applied is relevant, as it includes the respective measurement bases that are used for assets and liabilities and how transactions are recorded and reported.

In some cases, an IFRS Accounting Standard may allow for alternative treatments. It is important that an entity clearly states which accounting policy it has used.

In addition, if there is a change in the method of measurement of an asset or liability, the reason/s for and the effect of the change should be clearly communicated in the financial statements. There must be an indication of whether these policies have changed, and, if they have, the information with regard to the changes should be disclosed (see Section 3.5).

The following are examples of accounting policies:

- The valuation of inventory using the FIFO formula, average cost or another suitable basis as per IAS 2, *Inventories* (refer to [Chapter 13](#))
- The basis of measurement of non-current assets, for example the measurement of owner-occupied property using the cost method or revaluation method as per IAS 16, *Property, Plant and Equipment* (refer to [Chapter 10](#)) or investment properties using either the cost method or the fair value method as per IAS 40, *Investment Property* (refer to [Chapter 11](#))
- The classification, presentation and measurement of financial assets and liabilities based on the business model in terms of IFRS 9, *Financial Instruments*, for example at fair value through profit and loss (refer to [Chapter 14](#)).

3.1 How should an entity select an accounting policy?

The different IFRS Accounting Standards prescribe specific accounting policies for certain topics, transactions or events. Management is required to use judgement when **selecting an appropriate accounting policy**. Once selected, an accounting policy should be applied **consistently** for similar transactions and events and from one accounting period to the next. An entity is only permitted to **change its accounting policy** if it is required to do so in terms of an IFRS Accounting Standard or if it can demonstrate that the change will result in more reliable and more relevant information about the entity.

Key principle:
Selecting an accounting policy

Paragraph 10 of IAS 8 states that '[i]n the absence of a Standard or an Interpretation that specifically applies to a transaction, other event or condition, management shall use

its judgement in developing and applying an accounting policy that results in information that is:

- a) relevant to the economic decision-making needs of users
- b) reliable, in that the financial statements:
 - i) faithfully represent the financial position, financial performance and cash flows of the entity
 - ii) reflect the economic substance of transactions, other events and conditions, and not merely the legal form
 - iii) are neutral, that is, free from bias
 - iv) are prudent
 - v) are complete in all material respects'.

3.2 What if an entity enters into a unique transaction or event for which there is no IFRS Accounting Standard?

In some rare circumstances, an entity may enter into a transaction, or an event may occur for which there is no IFRS Accounting Standard that provides guidelines for the appropriate accounting policy to be applied. IAS 8 deals with areas where there is no specific guidance in an IFRS Accounting Standard. The principle mentioned above requires **management to use its judgement** when developing and applying an accounting policy. In making these judgements, management should apply the following sources in **descending order**:

- The requirements and guidance in IFRS Accounting Standards dealing with similar and related issues
- The definitions, recognition criteria and measurement concepts for assets, liabilities, income and expenses in the *Conceptual Framework* (IAS 8, paragraph 10).

In making these judgements, management may also consider the most recent pronouncements of other standard-setting bodies that use a similar conceptual framework to develop standards or refer to other accounting literature and accepted industry practices to the extent that these do not conflict with the primary reference sources.

As mentioned earlier, IAS 8 requires an entity to present a summary of **significant accounting policies** that clearly state the measurement bases used for transactions, events, assets and liabilities presented in the financial statements. In deciding whether to disclose particulars of an accounting policy, you must consider its relevance in assisting users in understanding how transactions and events have been reported in the financial statements. For example, an entity should disclose whether cost or fair value has been used in measuring investment properties. Information about the **judgements** that management has made in applying accounting standards must be presented. This requirement applies to those judgements that have the most significant effect on the amounts recognised in financial statements (for example, judgements about the measurement of costs to dismantle an asset at the end of its expected useful life).

In addition, an entity must disclose information about the assumptions made concerning the future as well as other major sources of **estimation uncertainty** at the end of the reporting period that have a significant risk of causing material adjustments to the carrying amounts of assets and liabilities within the next financial year (refer to [Chapter 2](#), *Presentation and disclosure in financial statements*, as well as 31A of IAS 8).

3.3 May an entity change an accounting policy?

To ensure that reported results are not changed excessively often or to manipulate results, restrictions are in place to limit the circumstances in which an entity is allowed to change an existing policy. Paragraph 14 of IAS 8 specifies only two circumstances in which an entity is permitted to change an accounting policy:

- If the change is required by an IFRS Accounting Standard or an interpretation of an IFRS Accounting Standard
- If the change results in a more relevant and more reliable presentation of the transaction or item in the financial statements (that is, if it presents the substance of the transaction more fairly).

Key principle:
Applying accounting policies consistently

An entity should select and apply its adopted accounting policies consistently for similar transactions and categories of items, and the same policies should be applied from one reporting period to the next.

Key principle:
Permitted changes in accounting policies

Changes in accounting policies are only permitted in the following two circumstances:

- If the change is required by an IFRS Accounting Standard or an interpretation of an IFRS Accounting Standard
- If the change results in a more relevant and more reliable presentation of the transaction or item in the financial statements.

Where an entity decides to change an accounting policy **voluntarily**, the accounting policy adopted should result in a more appropriate presentation of a transaction or event in the entity's financial statements. Voluntary changes in accounting policies should be applied **retrospectively**. This means that the effect of the change in the accounting policy should be applied as if the new policy had always been in use. Comparative figures should be restated where applicable, and the effect of the change in accounting policy should be applied to the **opening balance of retained earnings** for the earliest prior period presented in the financial statements.

Where an entity changes an accounting policy because it is required to do so, it must account for that change as set out in the specific **transitional provisions** for the relevant IFRS Accounting Standard requiring the change (see Section 3.7). If the IFRS Accounting Standard does not specify how to account for the change, then the change must be applied **retrospectively** (this means that amounts previously reported must be changed). The retrospective application of a change in accounting policy need not be made if it is impractical to determine either the period-specific effects or the cumulative effect of the change.

Retrospective application of a change in accounting policy may be exempted in the following circumstances:

- A change in accounting policy is required by a new IFRS Accounting Standard or a change to an existing IFRS Accounting Standard, and the transitional provisions of those standards allow or require the prospective application of a new accounting policy. The specific transitional guidance of the IFRS Accounting Standard must be followed in such circumstances.
- The application of a new accounting policy is in respect of transactions, events and circumstances that are substantially different from those that transpired in the past.
- The effect of the retrospective application of a change in accounting policy is immaterial.
- The retrospective application of a change in accounting policy is impracticable. This may, for example, be the case where an entity has not collected sufficient data to enable an objective assessment of the effect of a change in accounting estimate, and it would be unfeasible or impractical to reconstruct such data.

Where impracticability impairs an entity's ability to apply a change in accounting policy retrospectively from the earliest prior period presented, the new accounting policy must be applied prospectively from the beginning of the earliest period feasible, which may be the current period.

You should be careful not to confuse a change in an accounting policy with the adoption of an accounting policy for transactions or events that differ in substance from previous transactions or for transactions or events that did not occur previously. A change in accounting policy implies that you previously accounted for a particular group of transactions in one way and that you are now changing the way in which that group of transactions is accounted for. If you have never accounted for that type of transaction before, it is not a change in accounting policy.

Another area that often causes confusion is the difference between a change in circumstances and a change in policy. For example, an investment property may be accounted for using the fair value method, whereas an owner-occupied property is depreciated. If an entity previously rented out a property but has since started using it, that property must be depreciated because the classification will change to property, plant and equipment. This is an example of a change in circumstances and not a change in policy. The policy has remained unchanged; investment property is accounted for at fair value, and owner-occupied property is depreciated.



ETHICAL DILEMMA

As mentioned earlier, accounting policies should be applied consistently for similar transactions and events, and from one accounting period to the next. This enhances the comparability of financial statements. Changing an accounting policy may significantly affect the profits reported for a specific period. For example, changing the accounting treatment of investment property

from the cost model to the fair value model will result in the reversal of previously recognised depreciation and the recognition of fair value gains (see the example that follows). During a period of increases in the market value of properties, the application of the fair value model would be beneficial for reporting higher although unrealised profits. Would it be appropriate for an entity then to change its accounting policy to the cost model if there was a decline in the property market?

3.4 How should an entity record and report changes in accounting policy?

As mentioned above, accounting policies must be applied consistently to promote comparability between the financial statements prepared for different accounting periods. However, a change in accounting policy may be necessary to enhance the relevance and reliability of the information contained in an entity's financial statements. Such changes may be required because of changes in the IFRS Accounting Standards or may be applied voluntarily by the entity's management.

As a general rule, changes in accounting policies must be applied **retrospectively** in the financial statements. Retrospective application means that an entity implements the change in accounting policy as though it had always been applied. Consequently, the entity should adjust, for each prior period presented, all comparative amounts presented in the financial statements that are affected by the change in accounting policy.

The following journal entries illustrate the recording of retrospective adjustments resulting from a change in accounting policy:

When there is a decrease in net assets and prior period profits:

Dr		Retained earnings, net of tax
Dr		Deferred tax implications of change in accounting policy on prior period profits
	Cr	Asset (representing the effect of the change in accounting policy on the carrying amount of the asset at the beginning of the current year, which is a decrease)

Or:

When there is an increase in net assets and prior period profits:

Dr		Asset (representing the effect of the change in accounting policy on the carrying amount of the asset at the beginning of the current year, which is an increase)
	Cr	Retained earnings, net of tax
	Cr	Deferred tax implications of change in accounting policy on prior period profits

If an accounting standard requires a change in accounting policy but does not specify how to account for the change, then the change must be applied **retrospectively**. Retrospective application is also required for all **voluntary** changes in accounting policy.

3.5 What are the disclosure requirements for changes in accounting policies?

When an entity changes an accounting policy that has been applied previously, **proper disclosure** of the effect of the changes is required to assist users of the financial statements to understand the effect of the changes fully.

The following must be disclosed in the financial statements of the accounting period in which a change in accounting policy is implemented:

- The title of the IFRS Accounting Standard and the reasons for the change in accounting policy
 - The nature of the change in accounting policy and the reasons why applying the new accounting policy provides more reliable and more relevant information (in other words, state what has changed and why the change was necessary)
 - The amount of the adjustment for each financial statement line item affected in the current period and the prior period presented (to the extent practicable) as well as the impact on the calculations of basic and diluted earnings per share (refer to [Chapter 7](#), *Earnings per share and headline earnings per share*, and IAS 33)
 - The cumulative effect of the adjustment relating to periods prior to those presented (in other words, the adjustment to opening retained earnings)
 - Whether comparative information has been restated or not
- Where a retrospective application is impracticable, the conditions that caused the impracticability.

Retrospective application

... means applying a new accounting policy to transactions, other events and conditions as if that policy had always been applied. When an entity applies a change retrospectively, the opening balance of retained earnings (as reported in equity) for the earliest prior period presented is adjusted and the other comparative amounts must be adjusted accordingly for each prior period presented as if the new accounting policy had always been applied.

Something to think about

Disclosure requirements when an entity changes an accounting policy

Think about what information should be presented when an entity changes an accounting policy by considering these questions:

1 What changed?

2 Why was this change made?

3 What is the effect of the change?

The requirement that the effect on each line item is disclosed implies that disclosure of the effects on the tax charge and non-controlling interest is required where relevant.

If the retrospective application of a change in accounting policy is impracticable for a prior period or for periods before those presented, the circumstances that led to the existence of that condition, as well as a description of how and from when the change in accounting policy has been applied, should be disclosed. Additional disclosure may be required for changes that are specifically required by an IFRS Accounting Standard.

For each item presented in the financial statements, an entity is required to present a comparable amount relating to the prior reporting date. The inclusion of comparatives is a requirement of both the *Conceptual Framework* (comparability of financial information) and IFRS 18 (disclosure requirements) (refer to [Chapter 2](#), *Presentation and disclosure in financial statements*, for a discussion of the layout of financial statements). Paragraph 37 of IFRS 18 provides that where there has been a restatement because of a prior period error, a change in accounting policy or reclassification, an entity is required to present a **third statement of financial position**. The third statement of financial position is the opening position for the comparative period. In other words, if a company has a reporting date of 31 December 20x8, the comparative figures will be for the year ending 31 December 20x7. A statement of financial position for the 31 December 20x6 year-end will also be required if that has been adjusted as a result of any prior period error, policy change or reclassification.

The illustration that follows demonstrates the presentation of a **statement of changes in equity** for changes in accounting policy.

FGH Ltd Statement of changes in equity for the year ended 31 December 20x5



The disclosure of changes in accounting policies is illustrated further in the two examples in Section 3.6.

3.6 What types of change in accounting policy can occur?

There are various IFRS Accounting Standards that allow alternative treatments for specific items or transactions. The examples used in this chapter only illustrate the effect of changes in accounting policy relating to investment property (discussed in [Chapter 11](#)) and inventory (discussed in [Chapter 13](#)). This section includes discussions and explanations of changes in accounting policies relating to **investment property** (without tax implications) and **inventory** (including tax implications).

Note that the application of an accounting policy for the first time does not represent a change in accounting policy.

The initial application of a policy to revalue assets in accordance with IAS 16, *Property, Plant and Equipment* (discussed in [Chapter 10](#)), or IAS 38, *Intangible Assets* (discussed in [Chapter 12](#)), must be accounted for as a **revaluation in accordance with those standards** (in other words, by applying the principles of the revaluation model) and not as a change in accounting policy under IAS 8. This applies to the **initial** application of a revaluation policy (that is, when changing from the cost method to the revaluation method); if the entity initially chooses the revaluation method and then changes to the cost method at a later date, IAS 8 applies. IAS 16 also requires the change to be applied retrospectively and the information to be disclosed as if the new accounting policy had always been applied.

You are encouraged to think about and consider the possible effect of a change in accounting policy when studying the other chapters in this publication.

Something to think about

Relevance versus reliability of financial information

The key is whether the change in measurement basis will make the financial statements more useful to users. In particular, will the information be more relevant and/or more reliable? In general, a change from the cost method to the fair value method would increase the relevance of the information provided because more current information is being made available. However, the change may make the information less reliable, as the determination of fair value requires estimation to occur. The entity needs to assess the overall benefit of the change to justify it.

3.6.1 Change in accounting policy for investment property

In [Chapter 11](#), you will learn that an entity should apply either the cost method or the fair value method to all of its investment property (except in certain circumstances when the fair value of a property cannot be determined).

When an entity has applied the cost method to its investment property and then decides to change its accounting policy to the fair value method, this represents a **change in accounting policy**, and the requirements of IAS 8 should be followed.

A change from the cost method to the fair value method can result in significantly larger values being recognised in the statement of financial position (the market value of a property instead of the historical cost price less accumulated depreciation). The effect of the change in accounting policy is significant: the amount at which assets are reported increases, resulting in a similar change in equity.

Think about the accounting equation:

$$\text{Assets} - \text{Liabilities} = \text{Equity}$$

When the carrying amount of an asset is changed (in this case, by the change to applying the fair value method), consideration should be given to the effect of the change on any **deferred tax liability** previously reported. The difference in the accounting treatment and the tax treatment of investment property (in that fair value adjustments are recognised annually but will only be taxed when the property is sold) results in taxable temporary differences. In other words, when the fair value method is applied, it is likely that there will be a deferred tax implication in the form of future capital gains taxes payable on fair value adjustments. The deferred tax implication may result in a change in the liability for deferred tax, which is usually determined as the difference between the new carrying amount of the asset and its tax base.

The effect on the profit that is recognised in **profit or loss** will also be significant, as the asset was previously depreciated (an expense), and the fair value adjustment (hopefully a gain) will now be reflected in profit or loss after taking the tax implications into account. It is important to disclose the effect of the change in accounting policy in detail so that users of the financial statements can understand why the comparative figures have been adjusted.

Example of change in accounting policy for investment property

Ignore any tax implications in this example.

A company has always recognised its investment property using the cost method. A property was acquired on 1 January 20x3 at a cost of CU2 million, of which CU500 000 was attributable to the land. After the current year's depreciation was recorded, the details of the property were as shown below.

Investment property originally recognised at cost

At the acquisition date (1 January 20x3), the useful life of the building was estimated at 20 years and the residual value at CU1 000 000, resulting in an annual depreciation charge of CU25 000 (CU1 500 000 – CU1 000 000) = CU500 000 (depreciable amount depreciated over 20 years).

The useful life and residual value of the building were confirmed at each reporting date. The land was not depreciated, as it has an unlimited useful life.

The market value (the fair value) of the property was determined by an independent valuator as follows:

- At 31 December 20x3: CU2 200 000
- At 31 December 20x4: CU2 600 000
- At 31 December 20x5: CU2 900 000.

The carrying amount of investment property in the financial statements at 31 December 20x5 should now be presented as CU2 900 000 (it was previously stated at CU1 925 000). The effect of the change at 31 December 20x5 is an increase in the value of assets of CU975 000. In terms of the accounting equation, if assets increase, there should be a corresponding increase in liabilities or equity. In this case, there is no change in liabilities, but the change affects the previously reported profit. If the new accounting policy had always been applied, the fair value adjustments would have been included in profits, which are closed off to retained earnings.

The effect of the change in accounting policy from the cost method to the fair value method on the accounting equation at 31 December 20x5 is as follows:

Assets	Liabilities	Equity
Increase of CU975 000	No effect	Increase of CU975 000

When recognising the property using the fair value method, you now have to increase the cost price of the property from CU2 000 000 at 31 December 20x5 to CU2 900 000, resulting in an increase of CU900 000 in the value of the property. In addition, any accumulated depreciation (CU75 000) should be reversed. Thus, the net effect of the increase in the carrying amount of the investment property of CU900 000 plus the reversal of the accumulated depreciation results in the change in equity of CU975 000.

The journal entry required to record the change in accounting policy at 31 December 20x5 will therefore be as follows:

			CU	CU
Dr		Investment property	900 000	
Dr		Accumulated depreciation	75 000	
	Cr	Retained earnings (at 31 December 20x5)		975 000

Recording the effect of the change in accounting policy from the cost method to the fair value method for investment property

Similar journal entries would have been necessary to change the comparative amounts. However, as the prior year's general ledgers have all been closed off, prior year profits are now reported in retained earnings. It is therefore necessary to determine the effect of the change in accounting policy on the opening retained earnings at 1 January 20x5 (or the closing retained earnings at 31 December 20x4).

The table that follows summarises the effect of the change in accounting policy at each of the respective reporting periods.

Value of investment property



Notes

1 This difference represents the cumulative effect of the change in accounting policy on retained earnings at the end of the year. In other words, if the fair value method had always been applied, the accumulated profits of the company at the end of the current year would have been CU975 000 higher.

2 The effect on each year's profit is calculated as the movement between the opening and closing balances of retained earnings. This gives the net increase or decrease in retained earnings in the current year, being CU325 000 in 20x5 (CU975 000 – CU650 000) and CU425 000 in 20x4 (CU650 000 – CU225 000).

The effect of the change in accounting policy on the current year's profit amounts to CU325 000 (CU975 000 – CU650 000). This consists of a reversal of the depreciation charge of CU25 000 for the year as well as a fair value adjustment for the current year of CU300 000 (CU2 900 000 – CU2 600 000).

The cumulative effect of the change in accounting policy on each of the year's profits previously reported can be broken down as shown below.

Cumulative effect of change in accounting policy



Notes

3 20x5: CU2 900 000 – CU2 000 000 20x4: CU2 600 000 – CU2 000 000 20x3: CU2 200 000 – CU2 000 000.

To work out the effect on the current year and prior periods separately, the situation at 31 December 20x4 needs to be analysed further. From the table above, it can be seen that if the fair value method had always been applied, the asset would never have been depreciated (depreciation expenses of CU50 000 were recognised up to 31 December 20x4). It also implies that the fair value adjustments would have been recognised in profits each year, amounting to CU600 000 up to 31 December 20x4. As you cannot process journal entries of the prior periods in the general ledger and the prior periods' profit has been included in retained earnings, the cumulative effect of the change in accounting policy in the prior periods' profits is recognised as a prior period adjustment in the opening retained earnings balance.

The following journal entry records the effect of the change in accounting policy in the current year and the cumulative effect on prior periods (against retained earnings):

		CU	CU
Dr	Investment property	900 000	
Dr	Accumulated depreciation	75 000	
	Cr Depreciation (P/L)		25 000
	Cr Fair value adjustment (P/L)		300 000
	Cr Retained earnings (at 31 December 20x4)		650 000

Recording the effect of the change in accounting policy from the cost method to the fair value method for investment property

Let us compare this journal entry to the journal entry presented earlier. The earlier journal entry recorded the **cumulative effect of the change in accounting policy** in retained earnings at 31 December 20x5 (in other words, after all closing journal entries have been processed). The journal entry above correctly records the effect of the change in accounting policy on the respective profit or loss items in the current year (depreciation and fair value adjustments) as well as the effect on prior year profits in retained earnings.



Presentation of change in accounting policy in financial statements for the year ended 31 December 20x5

As mentioned earlier, the change in accounting policy should be recognised as if the new policy had always been applied. This means that you need to change all

comparative amounts by applying the new policy. The journal entry above recorded the cumulative effect of the change in accounting policy in the current year, with the resulting effect that all prior period reported amounts and results should be changed accordingly.

The application of the new policy would be disclosed in the financial statements of the company, as shown below.

Statement of financial position at 31 December 20x5

	31 December 20x5	31 December 20x4	31 December 20x3⁴
	CU	CU	CU
Investment property (Note 5)	2 900 000	2 600 000	2 200 000

Notes

4 When comparatives are changed, IFRS 18 requires the presentation of the statement of financial position as at the beginning of the earliest period for which comparative information is presented.

Statement of profit or loss for the year ended 31 December 20x5

	31 December 20x5	31 December 20x4
	CU	CU
Fair value adjustment gain	300 000	400 000

Notes to the financial statements for the year ended 31 December 20x5
Note 5: Investment property



Note 6: Change in accounting policy

The company changed its accounting policy for investment property from the cost model to the fair value model. This was done to reflect the effect of changing prices in the property market on the financial results of the company. The change in accounting policy has been accounted for retrospectively, and the comparative amounts for 20x4 have been restated. The opening balance of retained earnings previously reported has been increased by CU225 000, which is the amount of the adjustment relating to

periods prior to 20x4. The effect of the change in accounting policy is summarised as follows:



Statement of changes in equity for the year ended 31 December 20x5

There is not enough information in this example to illustrate the presentation of the change in accounting policy in the statement of changes in equity. Refer to the next example for an illustration of the presentation of the change in accounting policy for inventory.

Notes

5 The amount that would be recognised separately in the statement of changes in equity against opening retained earnings at 1 January 20x4 as the 'prior period adjustment' is CU225 000.

Taxation has been ignored in this example. However, the change in accounting policy may have deferred tax implications: the property is treated differently for accounting and tax purposes in that fair value adjustments are recognised annually. In some jurisdictions, the applicable tax rate may be the rate that applies to capital gains.

3.6.2 Change in accounting policy for inventory

You will learn in [Chapter 13, Inventory](#), that an entity should determine the cost of inventory on hand by using the specific identification formula, the FIFO formula or the weighted average costing formula. An entity should apply the same costing formula to similar inventories and from one accounting period to the next in order to achieve comparability of the financial information. However, where an entity is of the opinion that another accounting policy will result in a fairer representation of the cost of inventory, the entity is allowed to change its costing formula, provided that certain criteria are met. For example, if a decision is made to change from the FIFO formula to the weighted average formula (or vice versa), this change represents a change in accounting policy. This implies that inventory balances should be recalculated by applying the new method (as if the new method had always been applied) to determine the effect of the change in accounting policy on retained earnings and current-year profits.

A change from one measurement basis for inventory to another measurement basis may result in either an **increase** or a **decrease** in the carrying amount of a significant **asset**, inventory, as reported in the statement of financial position. The effect of such a change on **liabilities** (if any) and **equity** should be considered carefully.

Think about the accounting equation:

$$\text{Assets} = \text{Liabilities} - \text{Equity}$$

When the carrying amount of inventory (an asset) is changed, you should consider the effect of the change on the income tax obligations (liability) of the entity. An increase in the carrying amount of inventory resulting from the application of the new accounting policy will result in an **increase in the asset** and an **increase in profits** (a larger amount is recognised as closing inventory against cost of sales, resulting in a decrease in cost of sales and an increase in profits). This will result in an increase in the taxable income and tax obligation (**increase in liability**) of

the entity. The effect on equity will be an after-tax effect resulting from the increase or decrease in the carrying amount of inventory.

The tax implications of a change in accounting policy for inventory depend on the tax treatment allowed by the tax authority. For example, the tax authority may accept the new accounting policy for the measurement of inventory and allow for the prior year's tax assessment to be opened and reassessed (in this case, the tax effect relates to the current tax payable). However, the tax authority may accept the new accounting policy for the measurement of inventory but only accept its application in the current and future periods. Alternatively, the tax authority may not accept the new measurement of inventory, in which case there will be a temporary difference in the carrying amount and the tax base of inventory. This will give rise to deferred tax, resulting in a change in the liability for deferred tax, which is usually determined as the difference between the (new) carrying amount of the asset and its tax base (based on the old policy).

The effect on the profit that is recognised in **profit or loss** will be significant, as it will result in changes in the amount recognised for **cost of sales**. An increase in cost of sales will result in lower profits, while a decrease in cost of sales will result in higher profits. These changes will be reflected in profit or loss after taking any tax implications into account. It is important to disclose the effect of the change in accounting policy in detail so that users of the financial statements can understand why the comparative figures have been adjusted.

As the line items affected by this change in accounting policy are reported in the profit or loss section of the **statement of profit or loss and other comprehensive income**, the example that follows only illustrates the effect on the profit or loss.

Example of a voluntary change in accounting policy: Inventory

The statements of profit or loss that follow were prepared for ABC Ltd prior to a voluntary decision to change the accounting policy for the valuation of inventory from the FIFO formula to the weighted average formula.

Statement of profit or loss for the years ended 31 December 20x2 and 31 December 20x3



The retained earnings balance at 31 December 20x1 amounted to CU2 000 and no dividends were declared or paid. Assume that the normal tax rate applicable to all three years was 30% and that the tax authority allows the use of the new policy in the current year, but not for any changes to the tax assessments of prior years.

The summary of the closing inventory below was prepared according to the FIFO (old) formula and the weighted average (new) formula.

Inventory valuation



Effect on the accounting equation at 31 December 20x3

The carrying amount of inventory in the financial statements at 31 December 20x3 should now be presented as CU1 500 (stated at CU1 200 in the old policy). The effect of the change at 31 December

20x3 is an increase in the value of assets of CU300. In terms of the **accounting equation**, if assets increase, then there should be a corresponding increase in liabilities or equity. In this case, the increase in inventory results in an increase in taxable profits and hence an increase in the tax obligation of $30\% \times \text{CU}300 = \text{CU}90$. The effect on after-tax profits (equity) is thus $70\% \times \text{CU}300 = \text{CU}210$.

The effect of the change in accounting policy from FIFO to the new weighted average formula on the accounting equation at 31 December 20x5 is as follows:

Assets	Liabilities	Equity
Increase of CU300	Increase of CU90	Increase of CU210

Cost of sales reflects the cost of the inventory sold during the year. It is calculated by adding the opening inventory to purchases made during the year and deducting the closing inventory on hand. The effect of the change in accounting policy would result in the restated cost of sales balances shown below.

Effect of change in accounting policy on cost of sales



The effect of the change in accounting policy on the profit for each reporting period can be summarised as shown below.

Effect of change in accounting policy on profit after tax



Notes

1 The after-tax effect of the policy change is 70% (100% minus tax rate of 30%) of the adjustment to gross profit. The tax effect in 20x2 will be deferred tax (the carrying amount of inventory changed, but the tax base remained unchanged). The deferred tax recognised at 31 December 20x2 reverses when the inventory is sold in the following year. There is no deferred tax implication at 31 December 20x3, as the tax authority accepts the new accounting policy.

The effect of the change in accounting policy can be summarised as shown below.

Effect of change in accounting policy on the accounting equation



The effect of the change in accounting policy from the FIFO basis to the weighted average basis meant that an adjustment of CU300 needed to be made to the carrying amount of inventory and the cumulative **profits before income taxes** previously

reported until 31 December 20x3. However, the cumulative tax adjustment should also be deducted, resulting in a net cumulative effect on the reported retained earnings of $\text{CU}300 \times 70\% = \text{CU}210$.

In other words, the retained earnings (equity) balance at 31 December 20x3 would increase by CU210. This increase in retained earnings is represented by an increase of CU300 in the carrying amount of inventory (asset) in the statement of financial position less an increase of CU90 in the taxation payable (liability).

Further clarity on current and deferred tax implications

As the previous tax assessments are not reopened, it is only the current year tax that can be based on the new measurement basis (FIFO). The tax computation for the current financial year (20x3) is therefore adjusted as follows:



Changes in the carrying amount of inventory in the prior year with no change in the tax base of the inventory give rise to deferred tax as follows:



Refer to [Chapter 18](#), *Income taxes*, for further discussion on deferred tax.

Journal entries relating to the change in accounting policy

As the financial statements were prepared using the old policy (on the FIFO basis), the general ledger account balances would all have been prepared using the FIFO basis and need to be recalculated using the weighted average basis. You will need to record the effects of the change in policy as if the new policy had always been applied.

However, it is important to remember that you cannot process transactions in prior periods' general ledgers, so you have to process the effect of the change in policy in the current year by including the net effect of the change in prior periods' profits in the retained earnings balance.

Assuming that all the closing entries have been processed, the total effect on the current year's profit or loss and the cumulative effect on prior year results will all be reflected in retained earnings. In other words, where you have to increase the inventory in the statement of financial position by CU300 to recognise inventory based on the weighted average formula (the new policy), the effect of this increase will be reflected in the retained earnings balance in the statement of financial position. In that case, the journal entry required to record the change in accounting policy would be as follows:

			CU	CU
--	--	--	----	----

Dr		Inventory ¹	300	
	Cr	Taxation liability ²		90
	Cr	Retained earnings ³		210

Recording the effect of the change in accounting policy for inventory

Notes

1 The debit to inventory will increase the carrying amount of inventory from the CU1 200 calculated on the old basis to the CU1 500 required on the new basis. The CU300 increase in the carrying amount of inventory implies that CU300 less of the cost of purchased inventory has been expensed and therefore, in total, cumulative profits before tax are CU300 higher.

2 The total additional tax payable on the total increase in profits before tax of CU300 is recognised at a tax rate of 30%. As the accumulated profits are increased by CU300, the entity will have an increased tax liability, since the tax authority allows the new accounting method for tax purposes.

3 Retained earnings are therefore adjusted by the cumulative after-tax effect of CU210, calculated as $CU300 \times 70\%$ (or 100% less the tax rate of 30%).

However, if the closing entries have not yet been processed, the current year's profit or loss items (the cost of sales and income tax expense) need to be adjusted to arrive at the correct balance prior to passing the closing entries. In order to determine the effect on the current year's profit or loss, you need to consider the implications of changes in the carrying amount of inventory on the calculation of cost of sales.

$$\text{Cost of sales} = \text{Opening inventory} + \text{Purchases} - \text{Closing inventory}$$

The effect of the change in accounting policy on the cost of sales in the current year can be summarised as follows:



Purchases are amounts paid to the suppliers and are obviously not affected by the choice of policy. The current year's cost of sales decreases (by CU50) as a result of the change (increase) in the opening inventory (CU250) less the effect of the change (increase) in the closing inventory (CU300).

In other words, the opening inventory increased by CU250, which had the effect of increasing the cost of sales. The closing inventory increased by CU300, which had the effect of decreasing the cost of sales, giving rise to a net effect of a CU50 decrease in the cost of sales. As the CU250 was closing inventory in the prior period, the prior

period's cost of sales has been reduced, and profit (now retained earnings) has therefore increased by CU250.

The effect of the change in accounting policy from the FIFO basis to the weighted average basis meant that an adjustment of CU300 needed to be made to the carrying amount of inventory and the cumulative **profits before income taxes** previously reported until 31 December 20x3. However, the cumulative tax adjustment should also be deducted, resulting in a net cumulative effect on the reported retained earnings of $CU300 \times 70\% = CU210$.

In other words, the retained earnings (equity) balance at 31 December 20x3 would increase by CU210. This increase in retained earnings is represented by an increase of CU300 in the carrying amount of inventory (asset) in the statement of financial position less an increase of CU90 in the taxation payable (liability).

Further clarity on current and deferred tax implications

As the previous tax assessments are not reopened, it is only the current year tax that can be based on the new measurement basis (FIFO). The tax computation for the current financial year (20x3) is therefore adjusted as follows:



Changes in the carrying amount of inventory in the prior year with no change in the tax base of the inventory give rise to deferred tax as follows:



Refer to [Chapter 18](#), *Income taxes*, for further discussion on deferred tax.

Journal entries relating to the change in accounting policy

As the financial statements were prepared using the old policy (on the FIFO basis), the general ledger account balances would all have been prepared using the FIFO basis and need to be recalculated using the weighted average basis. You will need to record the effects of the change in policy as if the new policy had always been applied.

However, it is important to remember that you cannot process transactions in prior periods' general ledgers, so you have to process the effect of the change in policy in the current year by including the net effect of the change in prior periods' profits in the retained earnings balance.

The easiest way to process the journal entries is to do separate entries for opening and closing inventory as well as the tax implications of these changes, as shown below:

			CU	CU
Dr		Inventory	300	
	Cr	Cost of sales (closing inventory) (P/L)		300

Recording the effect of the change in accounting policy for closing inventory

			CU	CU
Dr		Current tax expense ¹ (P/L)	90	
	Cr	Taxation liability		90

Recording the tax implications resulting from the increase in closing inventory in terms of policy change

Notes

- 1 The net effect of the change in accounting policy on the tax expense for the year is an increase of CU300 × 30% = CU90. There is an increase in the tax payable to the tax authority of the same amount.

			CU	CU
Dr		Cost of sales (opening inventory) (P/L)	250	
	Cr	Deferred tax expense (P/L)		75
	Cr	Retained earnings ²		175

Recording the adjustment to opening inventory

Notes

- 2 The cumulative effect of the change in policy on the opening retained earnings should be recorded after taking any tax consequences into account (equity is reported net of tax). The tax effect on opening retained earnings gives rise to a deferred tax liability at that date of CU75; the carrying amount of inventory changed by CU250 while the tax base remained unchanged, thus there is a temporary difference of CU250, resulting in a deferred tax liability of CU75 (CU250 × 30%). The journal entry in the current year is a credit to deferred tax expense in profit or loss, which reverses the liability recognised on 31 December 20x2.

The adjustment to opening inventory increased the current year's cost of sales and decreased the prior period's cost of sales. Adjustments have been taken to retained earnings, as the prior period's profit or loss items have already been closed off against retained earnings.

From these journal entries, you should note the result of the cumulative effect of the following changes:

- An increase (debit) in the inventory (asset) of CU300
- The net credit to cost of sales of CU50 (credit to an expense results in an increase in profit before tax)
- The net debit to income tax expense of CU15 (consisting of the current tax of CU90 and a reversal of the prior year's deferred tax of CU75)
- The credit to retained earnings after tax (that is, the effect on prior year profits resulting from the increase in inventory at that date after taking any tax implications into account).

Note that the journal entries explained in both cases above (where the closing entries have not yet been processed and where the closing entries have been processed) will result in the same calculation of cost of sales in profit or loss.

Presentation in financial statements

The effect of the change in accounting policy for inventory should be presented in the financial statements as if the new policy had always been applied.

Statement of financial position at 31 December 20x3

	31 December 20x3	31 December 20x2	31 December 20x1 ³
	CU	CU	CU
Inventory	1 500	1 000	800

Notes

3 When comparatives are changed, IFRS 18 requires the presentation of the statement of financial position at the beginning of the earliest period for which comparative information is presented.

Statement of profit or loss for the year ended 31 December 20x3



Notes

4 Both the current year and the comparative year's cost of sales should be calculated using the new policy.

Extract from statement of changes in equity for the year ended 31 December 20x3

As the comparative figures have been adjusted owing to the effect of the change in accounting policy, the additional note disclosure below should be presented.

Notes to the financial statements for the year ended 31 December 20x3

Note 6: Change in accounting policy

During the current year, the company changed its accounting policy for the valuation of inventory from the FIFO formula to the weighted average formula. The reason for the change is ... (state the reason why the accounting policy was changed).

The change in accounting policy has been applied retrospectively by restating the comparatives accordingly. The effect of the change can be summarised as follows:

It is useful to check your calculations and to ensure that the cumulative effect on retained earnings was recorded and reported correctly. The retained earnings at 31 December 20x3 amounted to CU5 150 (2 000 + 1 400 + 1 750) prior to the change in accounting policy for inventory. The cumulative effect of the change in accounting policy on retained earnings (refer to the calculations above for the effect on the accounting equation) amounts to CU210. Thus, retained earnings calculated based on the new accounting policy should be **CU5 360** (5 150 – 210), which it is (refer to the extract from the statement of changes in equity presented in the example above).

3.7 What are transitional arrangements?

IAS 8 specifies how the effects of a change in accounting policy should be recognised and presented in the financial statements. These requirements apply unless an IFRS Accounting Standard specifies how the change from the old requirements to the new requirements should be handled. The requirements that deal with the transition from the old way of doing things to the new requirements of the IFRS Accounting Standards are referred to as 'transitional arrangements'. Where an IFRS Accounting Standard has transitional arrangements, the effect of the change in policy to meet the requirements of that standard must be handled in terms of the **transitional arrangements** and not IAS 8.

New IFRS Accounting Standards that require the adoption of new accounting policies should be implemented as soon as possible. Entities are encouraged to adopt new IFRS Accounting Standards when they are issued, rather than when they come into effect.

Where an entity is required to change its policy in the future but has not yet done so, it is required to give disclosure of that fact. This would happen when a new IFRS Accounting Standard had been issued, but it was not yet effective (when standards are issued, entities are always given about a year before they have to comply with the requirements of the new standard). If the requirements of a new standard will require a change in accounting policy, an entity is required to give disclosure in the notes of the possible impact that the requirements of the new standard are likely to

have on the reported results in the first year in which the new standard is implemented (refer to paragraphs 30 and 31 of IAS 8).

4 Changes in accounting estimates

Estimates are used when uncertainties exist in determining the present value at which certain transactions or events are recognised at the reporting date. An estimate is a judgement that is applied in determining the carrying amount of an item in the financial statements. Many items that are presented in the financial statements cannot be measured with exact precision, but the value of an item can be estimated reliably by applying professional judgement based on the latest available reliable information. The use of estimates does not undermine the reliability of the financial information presented. Examples of accounting estimates include the following:

- Expected credit losses relating to amounts receivable (outstanding debt)
- Inventory obsolescence
- Residual value and useful lives of assets
- Fair values of financial assets or financial liabilities
- Provisions for warranty obligations.

An accounting estimate

... is an approximation of the amount to be debited or credited on items for which no precise means of measurement are available. They are based on specialised knowledge and judgement derived from experience and training.

**Key principle:
Accounting estimates**

Accounting estimates are judgements or assumptions used in applying an accounting policy when, because of estimation uncertainty, an item in the financial statements cannot be measured with precision. When an item cannot be measured with precision, selecting an estimation technique or valuation technique to measure that item involves the use of judgement or assumptions in applying the accounting policy for that item. For this reason, selecting that estimation technique or valuation technique constitutes making an accounting estimate.

The preparation of financial statements may involve the use of accounting estimates in determining the carrying amounts of assets and liabilities as well as the associated expense or income for the period during which these amounts cannot be measured precisely. An estimate may need to be revised if changes occur in the circumstances on which it was based, or as a result of new information or more experience.

The revision of estimates must be distinguished from the correction of errors (see Section 5). An error results from not using information that was available at the time of the preparation of the financial statements. A change in estimate arises because of the availability of new information and not as a result of a mistake. Changes in estimates are recorded at the time when an estimate changes (in other words, prospectively). As discussed earlier in this chapter, **prior period adjustments** (applied retrospectively) can only arise where an entity has changed an accounting policy or made an error.

Something to think about

What is the difference between an accounting policy and an accounting estimate?

Table 3.2 The difference between an accounting policy and an accounting estimate

	Accounting policy	Accounting estimate
What is it?	Principle or measurement base	Amount or pattern of usage
Example of change	Change from cost method to fair value method	Change in amount of provision based on change in circumstances
What is the accounting treatment?	Retrospective adjustment	Prospective adjustment

When it is hard to differentiate between a change in accounting policy and a change in accounting estimate, the change is accounted for prospectively.

Key principle: Changes in accounting estimates

Accounting estimates must be revised when new information becomes available that indicates a change in the circumstances upon which the estimates were formed.

Changes in accounting estimates should be included in profit or loss in the period when the change occurs, as well as in future periods if the change affects both the current and future periods. Paragraph 36 of IAS 8 requires that 'the effect of a change in an accounting estimate shall be recognised prospectively by including it in the profit or loss:

- In the period of the change, if the change affects that period only, or
- In the period of the change and future periods, if the change affects both'.

Accounting estimates involve management's judgement of expected future benefits and obligations relating to assets and liabilities (and associated expense and income) based on information that best reflects the conditions and

circumstances that exist at the reporting date. By its nature, estimates are **subjective** and may require **frequent revisions in future**.

Estimates must be revised when new information becomes available that indicates a change in the circumstances upon which the estimates were formed. Changes in accounting estimates must be accounted for prospectively in the financial statements (in other words, the effects of the change must be incorporated in the accounting period in which the estimates are revised). Therefore, carrying amounts of assets and liabilities as well as any associated expenses and gains are adjusted in the **period of the change** in the estimate.

This implies that where the change in estimate is made at the reporting date, the change should **only** be applied **prospectively** (by adjusting the current and future profits as they are affected). Where a change in estimate has a material effect on the profit or loss for the current year, or on the profit or loss for future periods, the nature and amount of the change should be **disclosed**.

Example of a change in accounting estimate

A company acquired a new plant in July 20x1. The company has been depreciating its plant on a straight-line basis, with an estimated useful life of 15 years and a residual value of CU20 000. In July 20x4, the directors determined that the plant should be depreciated over a shorter period of ten years owing to technological developments and revised its residual value to CU17 500. The company has a year-end date of 30 June.

Example of a change in accounting estimate

At 30 June 20x4, the plant was recognised on the financial statements as follows:



Since the useful life of the plant has been reassessed as ten years and three years had already elapsed by 30 June 20x4, its remaining useful life is seven years from 1 July 20x4.

The changes in estimates are applied prospectively (in other words, in the current and future years). For the year ended 30 June 20x5, the depreciation expense amounts to



The machine's depreciation charges over its remaining useful life can be summarised as shown below.



Workings

1  years remaining useful life (based on the original estimate of 15 years, of which 3 years have already elapsed)

2 CU400 000 – CU33 333 or CU33 333 × 11 years remaining

3  remaining useful life (total useful life revised to 10 years, of which 3 years have already elapsed)

4 CU402 500 – CU57 500 or CU57 500 × 6 years remaining

You should notice that the cumulative effect of the changes in estimates (additional depreciation of CU2 500, calculated as CU24 167 less CU21 667) is equal to the change in the residual value of the plant. This makes sense, as the net effect of the change in the remaining useful life in the current and future years will be zero because the same total depreciation is recognised, but over a different number of years. However, when the residual value changes, the depreciable amount of the asset is revised, and the effect of the change in estimates in the current and future years is equal to the change in the residual value because the total depreciation will change by this amount.

Presentation in the financial statements

Apart from the note disclosure relating to property, plant and equipment, IAS 8 requires the disclosure of the nature of the change/s and the effect of these change/s in accounting estimates on the current and future years.

Extract from the notes to the financial statements for the year ended 30 June 20x5

Change in estimate: The company has previously depreciated its plant over a period of 15 years. The directors of the company have determined that the plant should be depreciated over a shorter period of ten years owing to technological developments. The directors have also revised the residual value of the plant from CU20 000 to CU17 500.

The effect of the change in accounting estimates in the current period is an increase in depreciation expense from CU33 333 to CU57 500, resulting in an increase in accumulated depreciation of CU24 167 and a decrease in profit before income taxes of the same amount. In future years, the annual depreciation expense for the plant will be CU57 500, resulting in a decrease in the future depreciation expense of CU21 667 and an increase in profit before income taxes of the same amount.



ETHICAL DILEMMA

Some entities identify and apply pre-determined materiality levels when recording transactions (for example, an asset acquired at a cost below CU5 000 is expensed instead of being recognised as an asset and subsequently depreciated). This approach is in line with the cost-

benefit characteristic of financial information. However, the application of such an approach may result in the inconsistent accounting treatment of similar assets, if, for example, an individual asset with a cost of CU5 000 is expensed, while a larger order of similar assets with a total cost of CU500 000 is capitalised (that is, recognised as assets). Do you think that the use of materiality levels for the recording of transactions is appropriate?

Something to think about

Auditing accounting estimates

The International Standards on Auditing (ISA) are professional standards for auditors produced by the International Federation of Accountants®. According to ISA 315, the auditor is required to assess the risks of material misstatement of amounts in the financial statements. This includes considering the extent to which the accounting estimate is subject to or affected by one or more of the following three factors:

- The level of complexity involved in making the accounting estimate
- The need for management to use judgement and the potential for management bias
- Estimation uncertainty.

These three factors determine the level of assessed risk and the reason for the assessment.

5 Errors

Information presented in financial statements should be free of errors and recognised **consistently** from one accounting reporting period to the next. Errors in financial statements reduce the reliability of the information presented. Errors must therefore be discovered and corrected on a timely basis to ensure that users can rely on the information contained in the financial statements.

IAS 8 refers to **errors** as ‘omissions from, and misstatements in, the prior financial statements of an entity that have already been issued’ (paragraphs 11 and 12).

ETHICAL DILEMMA

An entity is required to depreciate an asset over its estimated total useful life to its residual value. The total useful life and the residual value of the asset are both accounting estimates that are applied to determine the carrying amount of the asset at the reporting date. But what if an asset has been fully depreciated (in other words, it is at the end of its estimated useful life), but the entity is still using it? In this case, you need to consider the accounting estimates that have

been used to determine the carrying amount of the asset. The dilemma lies in the issue of whether this is a change in an accounting estimate or the correction of an error.

Something to think about

What are the most common accounting errors?

Common accounting errors include the following:

- The misapplication of accounting policies (for example, recognising revenue when the performance obligations of the customer have not yet been met)
- Arithmetical errors, composition errors (when two or more digits are transposed) or rounding errors
- The omission of transactions and events from the financial statements
- The misunderstanding of or failure to notice information at the time of preparation of financial statements (for example, not writing off a receivable where the debtor had been declared insolvent before the authorisation of the financial statements)
- Fraud (for example, overstating sales revenue by issuing fake invoices before the reporting date).

5.1 What are prior period errors?

Prior period errors are omissions from or misstatements in prior period financial statements. They result from the failure to use or the misuse of reliable information that was available or could reasonably be expected to have been obtained at the time of the preparation or authorisation of those statements.

Key principle: Correcting a prior period error

If an error is discovered in a subsequent period, the error should be corrected retrospectively. This means that the error should be corrected in the period during which it occurred, resulting in the presentation of the current financial statements as if the error had never occurred. This is done using either of the following methods:

- Restating the comparative amounts for the prior period or periods presented in which the error occurred

- Restating the opening balances of assets, liabilities and equity for the earliest prior period presented if the error occurred before the earliest prior period presented.

Prior period errors include any item that was subsequently found to be misinterpreted or misrepresented in any prior financial period, resulting in the requirement that all errors subsequently identified be corrected. This may lead to extensive correctional procedures relating to prior period figures, which is why IAS 8 further suggests that prior period information need not be restated if it requires undue cost or effort. In this case, only the restatement of the opening balance of retained earnings for the next period is required.

5.1.1 How should prior period errors be accounted for?

Errors affecting prior period profits should not be corrected in the financial statements of the year in which the error was discovered. Rather, they should be corrected in the financial statements of the year in which they occurred. In other words, a **retrospective restatement** of prior year balances is required. This means that the correction is made in the period during which it occurred, resulting in the presentation of the current financial statements as if the error had never occurred. The prior period comparative figures should be corrected and restated, as the current period amounts are not affected. If the error occurred before the earliest financial statements presented (in other words, earlier than the comparative period), the opening balance of retained earnings in the statement of changes in equity should be adjusted. This is referred to as a **prior period adjustment**.

Thus, comparative amounts of each prior period presented that contain errors must be restated. If, however, an error relates to a reporting period that is before the earliest prior period presented, then the opening balances of assets, liabilities and equity of the earliest prior period presented must be restated.

The following **journal entries** are usually recorded **in the current reporting period**, with retained earnings adjusted retrospectively, depending on if the correction of the error results in net assets decreasing or increasing:

Dr	Retained earnings (with after-tax effect of the prior period error on prior period profits)
Dr	Deferred tax effect of prior period error
Cr	Increase in liabilities or decrease in assets as a result of the prior period error

Or:

Dr	Increase in assets or decrease in liabilities as a result of the prior period error
Cr	Retained earnings (with after-tax effect of the prior period error on prior period profits)
Cr	Deferred tax effect of prior period error

In some cases, it is easier to correct a prior period error by reversing the incorrect journal entry or entries and replacing it with the correct journal entry. However, when a correction relates to a prior period, the correction should not be made against the current year's profit or loss, but against opening retained earnings.

5.1.2 What are the disclosure requirements of prior period errors?

The fact that comparative figures have been restated should be **disclosed** in the financial statements. The following information should be provided:

- The nature of the prior period error corrected during the period

- The amount of restatement made at the start of the earliest prior period presented
- For the comparative amounts restated, the amount of the correction for each financial statement line item affected
- If applicable, the circumstances that resulted in the impracticability of correcting an accounting error retrospectively, and an explanation of how and from when the error has been corrected
- Whether restatements have not been made as undue cost or effort would have been required.

Example of correcting a prior period error

The statements of profit or loss that follow were prepared for ABC Ltd prior to the identification of an understatement of CU500 in the operating expenses for the reporting period that ended on 31 December 20x7. This error resulted from expenses payable at 31 December 20x7 that should have been expensed during that year. The expenses were incorrectly recognised in the current (20x9) financial year (when they were paid), when in fact they related to the 20x7 financial year. The effect of the error is considered material.

Statement of profit or loss for the year ended 31 December 20x8 and 31 December 20x9



The error in the operating expenses should be corrected at the time when it occurred. If the error had been corrected at 31 December 20x7, the following journal entry should have been processed at that date:

			CU	CU
Dr		Operating expenses (in 20x7)	500	
	Cr	Expenses payable (liability)		500

Recording expenses accrued (in 20x7)

However, the error was detected during the current year when payment was made, resulting in the expenses being included in the current year. In order to correct this error during 20x9, the following journal entry is processed during 20x9, the current reporting year:

			CU	CU
Dr		Retained earnings	500	
	Cr	Operating expenses (in 20x9)		500

Recording the prior period error by adjusting opening retained earnings

The journal entry above reverses the incorrect allocation of operating expenses in 20x9 (previously debited to operating expenses), and correctly records the operating expenses relating to 20x7 by debiting retained earnings at 31 December 20x7 and carrying the amount forward to December 20x8. The profit or loss for the 20x7 reporting year has been closed off against the retained earnings.

As the profits and losses of the previous two financial periods have been closed off against the retained earnings account, you cannot process any entries to the 20x7 financial year. What you can do is make the necessary adjustments against the opening retained earnings account in the current period. The effect of the error can be summarised as follows:

Effect of the error on the profit reported in 20x7 (liability understated by CU500)	Overstated by CU500
Cumulative effect of the error on the reported retained earnings at 31 December 20x7	Overstated by CU500
Effect of the error on the profit reported in 20x9	Understated by CU500
Cumulative effect of the error on the reported retained earnings balance at 31 December 20x9	Zero

Assuming a tax rate of 30%, this error would have tax implications, as the expenses are claimed as a deduction in taxation payable. A special request may be submitted to the tax authorities asking that this expense be considered against the 20x7 taxable income.

Should the tax authority allow the reopening of the 20x7 tax return, the error would result in a tax saving of $\text{CU}500 \times 30\% = \text{CU}150$, 30% being the tax rate that applied in 20x7. The following journal entry would record the tax implication of the error, assuming that the expense was originally claimed as a deduction in the current year:

			CU	CU
Dr		Taxation expense (in 20x9)	150	
	Cr	Retained earnings		150

Recording the tax effect of the prior period error by adjusting opening retained earnings

The reversal of the deduction or expense of CU500 in 20x9 will have the effect of increasing taxable income or profit and will therefore increase the tax expense in the current period.

The after-tax effect of the error on the profit reported in 20x9 would be an increase of CU350 (calculated as $\text{CU}500 \times 70\%$ or $\text{CU}500 - \text{CU}150$). The opening retained earnings should be decreased by the after-tax effect of the error as a result of

recognising the expense. The error should be corrected in the reported financial statements as if it had never occurred, as shown below.

Statement of profit or loss for the year ended 31 December 20x9



The retained earnings opening balance at 1 January 20x8 should be restated. However, you should explain why this figure has changed. It is important that the user of the financial statements be able to compare the opening retained earnings balance with the prior reported results. You should therefore show the effect of the error as a separate line item in the statement of changes in equity, as shown below.

Statement of changes in equity for the year ended 31 December 20x9



When the statement of changes in equity is presented, the comparatives should also be presented. This is usually done by starting with the earliest comparative figure disclosed in the previous financial statements, which is the opening retained earnings balance.

The movements in the prior period's figures are then included by adding the prior period's profit (and deducting any dividends declared to equity holders). Changes in the prior period's profit figure should therefore also be reflected in the statement of changes in equity by highlighting the fact that the amount has been restated (although that is not the case in this example). Movements in the current period's equity are then included as usual. It is important that the statement of changes in equity show the opening retained earnings as previously stated. This provides a starting point for users comparing the current financial statements with the prior period's reported results.

The effect of the error should be disclosed in the notes to the financial statements as shown below.

Note to the financial statements for the year ended 31 December 20x9

Note 6: Correction of prior period error:

Operating expenses were omitted from the profit for the financial year that ended on 31 December 20x7. This error was corrected retrospectively, and comparatives have been restated. The effects of this error are summarised as follows:



The error has no effect in 20x8.

5.1.3 What about errors discovered after the reporting date?

Accounting errors discovered after the reporting date but before the date of authorisation of the financial statements are adjusting events after the reporting date as per IAS 10. They must therefore be corrected in the current period prior to the issuance of financial statements. Refer to [Chapter 20](#), *Events after the reporting period*.

5.1.4 What if it is impractical to correct a prior period error?

The retrospective correction of accounting errors may be impracticable (for example, where an entity has not collected sufficient data to enable it to determine the effect of the correction of an accounting error and it would be unfeasible or impractical to reconstruct such data).

Where impracticability impairs an entity's ability to correct an accounting error retrospectively from the earliest prior period presented, the correction must be applied prospectively from the beginning of the earliest period feasible (which may be the current period).

Key points to take from this chapter

- In accordance with the IFRS Accounting Standards, management is required to use judgement when selecting and applying accounting policies that would result in the presentation of financial statements containing decision-useful information that is faithfully presented and relevant.
- Accounting policies should be applied consistently for similar transactions and events, and from one reporting period to the next, to support the comparability of financial information.
- When the nature of a specific transaction or event is so unique that management is not sure which IFRS Accounting Standard and which accounting policy should be applied, the guidelines provided in paragraph 10 of IAS 8, *Basis of Preparation of Financial Statements*, should be followed.
- The selection and application of accounting policies may only be changed when such a change is required by the IFRS Accounting Standards (referred to as an involuntary change) or when management is of the opinion that the application of a different accounting policy would result in the presentation of more relevant information (that is, a voluntary change).
- Changes in accounting policies should be applied retrospectively, which means that comparative amounts should be changed as if the new accounting policy had always been applied. Changes in prior period profits should be recorded directly in retained earnings.
- As changing an accounting policy is usually a significant event (owing to the related changes in amounts previously reported), detailed disclosure is required of the reason

for and nature of the change, and the effect of the change on amounts previously reported.

- Management is required to use judgement when determining accounting estimates (such as the estimated useful life of a non-current asset or the collectability of an amount receivable).
- Accounting estimates should be based on the most recent and relevant information available at the time and should be revised when circumstances change or when there are indications that the estimates are no longer accurate.
- Changes in accounting estimates should be applied prospectively, which means that the new estimates should be applied at the time of the change. Thus, changes in estimates should not affect amounts previously reported.
- The nature and effect of changes in estimates on the current and future amounts are disclosable in the notes to the financial statements.
- Information presented in financial statements should be free of errors; when an error is discovered, it should be corrected, as errors reduce the reliability of financial information.
- Errors that have been discovered should be corrected when detected. Errors identified in the current period should be corrected in the current period and errors identified in prior periods should be corrected retrospectively, as if that error had never occurred.
 - Prior period errors should be corrected in the period when the error occurred, thus against prior period retained earnings.
 - The nature and effect of prior period errors should be disclosed in the notes to the financial statements.

Discussion questions

1. Accounting policies are the specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements. Discuss the following:

- If a specific IFRS Accounting Standard does not address a transaction, other event or condition, how should an entity's management develop and apply an accounting policy?
- Once an entity has applied a specific accounting policy, under which circumstances may this accounting policy be changed?

2. Briefly explain the differences between the requirements for making adjustments retrospectively as opposed to prospectively.

3. State whether the following changes should be accounted for and, if so, whether this should be done retrospectively or prospectively, in accordance with IAS 8:

- a) A change in accounting policy made voluntarily
- b) A change in accounting policy required by an accounting standard
- c) A change in an accounting estimate
- d) An immaterial error discovered in the current year relating to a transaction that was recorded incorrectly two years ago
- e) A material error discovered in the current year relating to a transaction that was recorded incorrectly four years ago.

Exercise questions

Question 1

Company B has always recognised its investment properties at depreciated cost. You explained to the accountant that the fair value model is an alternative model available for accounting for investment properties and obtained the following information relating to the investment properties:

The fair values are market-related and were obtained from an independent valuer. The tax authority has not allowed any depreciation of investment properties to be deducted for tax purposes and has also indicated that any fair value adjustments on investment property will not be taxable or tax deductible. At the board meeting held on 15 December 20x4, the directors of Company B decided to change the method for accounting for investment properties from depreciated cost to the fair value model, as the new policy will result in a more relevant and reliable presentation of the properties in the financial statements.

The accountant has already processed the current year's depreciation expense and has not yet made any adjustments for the change in accounting policy.

You are required to do the following:

1. Prepare the journal entries needed to record the change in the accounting policy at 31 December 20x4. You can assume that the closing journal entries have not yet been processed. Narrations are not required.
2. Prepare the note disclosure for the change in accounting policy in compliance with IAS 8, *Basis of Preparation of Financial Statements*.

Question 2

The following inventory valuations relate to Rylands Ltd for the years ending 30 June:

After the draft financial statements were prepared, the directors of Rylands Ltd decided to change the accounting policy for costing inventory from the FIFO method to the weighted average method. The tax rate remained unchanged at 30% for all three years, and the tax authority agreed to reopen the prior year's tax assessment.

You are required to do the following:

1. Prepare the journal entry or entries needed to record the change in the accounting policy at 30 June 20x9 on the assumption that closing journal entries have not yet been processed. Closing journal entries are not required.
2. Prepare the note disclosure for the change in accounting policy in compliance with IAS 8, *Basis of Preparation of Financial Statements*.

Question 3

Ignore tax.

The following extract was obtained from the fixed assets register of Mackay (Pty) Ltd, which is used to record annual depreciation entries:

The residual value and useful life of Plant A2 were confirmed at each of the respective reporting dates until 31 March 20x3.

While preparing the financial statements for the year ended 31 March 20x4, the accountant noticed a formula error that was made in this spreadsheet in the financial year that ended 31 March 20x1, which resulted in the depreciation being reported, as shown above.

At 31 March 20x4, the residual value of Plant A2 was revised at CU1 200 000, and the remaining useful life was estimated at 11 years.

You are required to do the following:

1. Identify the formula error that was made in this spreadsheet in the calculation of the annual depreciation.
2. Prepare the journal entry or entries in the records of Mackay (Pty) Ltd in the current reporting period (that is, 31 March 20x4) in order to correct the prior period error.
3. Prepare the note disclosure for the changes in the estimates (spread evenly over the current and future periods) relating to this asset as it should be presented in the financial statements of Mackay (Pty) Ltd for the year ended 31 March 20x4.

Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

4

Fair value measurement

IFRS references

IFRS 13: *Fair Value Measurement*

IFRS for SMEs Accounting Standard reference

The *IFRS for SMEs* Accounting Standard initially did not include a section on fair value measurement. The update to the standard that is being proposed includes a section on fair value measurement.

1 Introduction

2 Measurement

2.1 [What are market participants?](#)

2.2 [What is a market?](#)

2.3 [What characteristics of the asset or liability need consideration?](#)

2.4 [What is the highest and best use of a non-financial asset?](#)

2.5 [Valuation techniques](#)

2.6 [The fair value hierarchy](#)

3 Disclosures

Key points to take from this chapter

Discussion questions

Exercise questions

Learning objectives

By the end of this chapter, you should be able to:

- Define fair value.
- Measure fair value by considering the following:
 - Market participants
 - The market
- The highest and best use for a non-financial asset
 - Valuation techniques.
- Disclose the fair value measurement.

Concept summary



1 Introduction

Fair value measurement is a measurement basis that is pervasive throughout financial reporting, for example investment property can be accounted for on the fair value model. IFRS 13, *Fair Value Measurement*, is the IFRS Accounting Standard that defines fair value, sets out a framework for measuring fair value and requires disclosures about fair value measurements. IFRS 13 focuses on explaining **how** to measure fair value for financial reporting when fair value measurement is relevant.

Something to think about

What is fair value?

IFRS 13 defines fair value as the price that would be received if an asset were sold or the price that would be paid to transfer a liability in an orderly transaction between market participants at the measurement date. Basically, it is an exit price.

However, IFRS 13 does not indicate when fair value is relevant – the applicable IFRS Accounting Standards that require or allow fair value measurement for assets or liabilities provide guidance on that. For example, IAS 16, *Property, Plant and Equipment*, allows the revaluation model for owner-occupied land. In this instance, fair value measurement in accordance with IFRS 13 would be relevant to determine the fair value that the land is remeasured to using the revaluation model.

Key principle: What is fair value measurement?

Fair value is a market-based measurement, not an entity-specific measurement, as the standard considers fair value from the perspective of a market participant.

Within the context of IFRS 13, fair value measurement focuses on assets and liabilities because they are the subjects of accounting measurement. An entity can also apply the accounting standard to its own equity instruments measured at fair value, but covering this is not within the scope of this textbook. We will only look at the fair value measurement of assets and liabilities, which could be financial assets or liabilities (for example, a loan) or non-financial assets or liabilities (for example, a machine).

IFRS 13 applies when another IFRS Accounting Standard requires or permits fair value measurements, or when another IFRS Accounting Standard requires or permits disclosures about fair value measurements. It does not apply to:

- Share-based payment transactions in IFRS 2, *Share-based Payment*, as IFRS 2 gives guidance on determining the fair value of share-based payments
- Leasing transactions in IFRS 16, *Leases*, as IFRS 16 gives guidance on measuring leases
- Measurements that are similar to fair value but not fair value, such as net realisable value in IAS 2, *Inventories*, or value-in-use in IAS 36, *Impairment of Assets*.

Fair value measurement always relates to a market; it is **market-based**. This contrasts with value-in-use, which is not a market-based measurement but an entity-specific measurement, and which considers how the entity expects to derive cash flows from the entity's use and sale of a specific asset.

A starting point for applying IFRS 13 is identifying whether fair value measurement is relevant for the asset or liability being measured on initial recognition or subsequently. If fair value measurement is relevant, the next step is to identify the date at which the fair value measurement is relevant (this is known as the measurement date). For example, suppose an entity applies the revaluation model to owner-occupied land. In that case, the measurement date is the date on which the entity revalues the land in accordance with its accounting policy. The next step is for an entity to determine a price to measure that asset or liability at the measurement date – this price is the fair value.

2 Measurement

The objective of a fair value measurement is to estimate a price at which an asset or a liability can be recognised based on current market conditions. As mentioned above, fair value is the price that would be received if an asset were sold or paid if a liability were transferred in an orderly transaction (not a forced transaction) between market participants at the measurement date.

The entity is **not transferring** the asset or liability; it is still recognising the asset or liability on its statement of financial position at the measurement date. Because the asset or liability is measured at fair value, the entity needs to determine an amount at which to measure it. The price it could receive is the best estimate for that fair value measurement.

However, fair value measurement excludes the transaction costs that would be incurred to sell the asset. In other words, this is not a measurement of fair value that is determined after taking into account the costs to sell (also referred to as 'fair value less costs to sell').

When measuring fair value, entity-specific assumptions should not apply; an entity cannot argue that prices are too low relative to its own valuation of the asset and that it would be unwilling to sell at low prices. Fair value measurement uses the assumptions of the **marketplace**. This means that fair value is measured using the same assumptions used by market participants, including assumptions about risk. Fair value measurement considers the exact characteristics of the asset or liability: its condition, location and any restrictions on its sale or use.

The prices to be used are those that would be achieved in an orderly transaction, which assumes exposure to the market for a period to allow normal marketing activities to take place and ensure that it is not a forced transaction. If the transaction is not 'orderly', there will not be enough time to create competition, and potential buyers may reduce the price they are willing to pay. Similarly, if a seller is forced to accept a price in a short period of time, the price may not be representative. This does not mean that a market with few transactions is not orderly. If there has been competitive tension, sufficient time and information about the asset, this may result in an acceptable fair value.

2.1 What are market participants?

IFRS 13 requires that a fair value measurement considers the assumptions that a market participant, acting in their economic best interest, would use when pricing the asset or liability. The entity's intention to hold an asset or settle a liability is irrelevant when measuring fair value. You have to consider the assumptions that buyers and sellers in the market would use when measuring the fair value of the asset or liability.

Market participants

... are unrelated parties that know and use all available information, and are able and willing to enter into the transaction.

2.2 What is a market?

Fair value measurement is market-based. It assumes that the transaction to sell the asset or transfer the liability occurs in the **principal market** for the asset or liability or, in the absence of a principal market, in the **most advantageous market** for the asset or liability. The principal market has the greatest volume and activity level for the asset or liability that the entity can access. In contrast, the most advantageous market is the one that maximises the amount that would be received for the asset or paid to extinguish the liability, after transport and transaction costs. Often these markets would be the same. In the absence of evidence to the contrary, the market in which an entity would typically transact to sell the asset or to transfer the liability is presumed to be the principal market or, in the absence of a principal market, the most advantageous market. The entity must have access to the principal (or most advantageous) market at the measurement date.

A market

... is a place where transactions can happen, in other words, where an asset or liability could be bought or sold.

2.3 What characteristics of the asset or liability need consideration?

When measuring fair value, an entity shall consider the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date. This implies that the entity considers characteristics associated with the asset or liability rather than those characteristics that relate to the entity and how the entity may be using the asset or intending to settle the liability.

The relevant characteristics of the asset or liability

... that market participants would take into account are the condition, location and any restrictions relating to the sale or use of the asset or liability.

If an entity were determining the fair value of a machine, the age of the machine is a characteristic of the asset that market participants would consider as the age reflects the condition of the asset. If the location is a characteristic of the asset, the price in the relevant market is adjusted for transport costs. However, the price is not adjusted for transaction costs, because these are specific to a transaction.

Restrictions relating to an asset could relate to a property that has specific zoning rights, for example an office block that cannot be converted for residential use. Therefore, the restriction on the use of the property is considered in determining the property's fair value.

Example of determining the market

Entity A owns a machine that it accounts for using the revaluation model. The machine is sold in two different markets, the wholesale market and the retail market. Entity A can access both markets, and in both markets machinery identical to the machine owned by Entity A is bought and sold (for example, same make, age and level of past use).

Information on each market is as follows:



If we assume that the **retail market** is the market that has the greatest volume and level of activity, then the retail market is the principal market. Thus, the fair value is the price that the asset could be sold for in the retail market after deducting the transport costs, which is CU107 (CU111 – CU4).

Alternatively, if the **wholesale market** is the principal market, the fair value is the price that the asset could be sold for in the wholesale market after deducting the transport costs, which is CU102 (CU105 – CU3).

In both instances, we deduct the transport costs in determining the fair value of the machine. This is because transporting the asset relates to its location and is necessary to sell the asset in the market.

If neither the retail nor the wholesale market is the principal market, the entity will look to the most advantageous market. In this example, the **most advantageous market** would be the wholesale market, which maximises the net economic benefits that could be derived from selling the asset (CU100 compared to CU97 in the retail market). The price that is reflective of fair value in the wholesale market is CU102 (CU105 – CU3).

2.4 What is the highest and best use of a non-financial asset?

A fair value measurement of a non-financial asset considers a market participant's ability to generate economic benefits by either using the asset at its highest and best use, or by selling it to another market participant that would use the asset at its highest and best use. The **highest and best use of a non-financial asset** must be one that market participants would consider as:

- A physically possible use (for example, given the location or size of a property)
- A legally permissible use (for example, given the zoning regulations applicable to a property)
- A financially feasible use (for example, whether it would generate adequate income or cash flows).

An entity's current use of a non-financial asset is presumed to be its highest and best use unless market or other factors suggest that a different use by market participants would maximise the value of the asset.

If the highest and best use of a non-financial asset provides maximum value to market participants through its use in combination with other assets (and liabilities) as a group, the fair value of the asset would assume that the asset would be used with those other assets (and liabilities) and that those complementary assets (and liabilities) would be available to market participants. Assumptions about the highest and best use of a non-financial asset must be consistent for all the assets of the group of assets and liabilities within which the asset would be used.

The highest and best use premise applies only to non-financial assets. This is because financial assets do not have alternate uses – a financial asset has specific contractual terms. Financial liabilities also do not have alternate uses; they are settled or transferred.

Example of the highest and best use of a non-financial asset

Entity B owns a plot of land that it measures on the revaluation model. The land is currently used as a site for the entity's factory. Sites that are close by have been developed into residential apartments. There is no prohibition on the entity from redeveloping the land into a place for residential apartments.

Unless factors suggest otherwise, the entity's current use could be the highest and best use. Market participants would consider the potential to develop the land for residential accommodation. As such, the entity determines the highest and best use of the land by comparing the value of the land as a site for its factory and the value of the land as a site for residential use.



Link to the Sustainable Development Goals

Sustainable Development Goal 13 is 'Take urgent action to combat climate change and its impacts'. As the fair value of an asset is based on assumptions that market participants would use to price the asset, potential legislation to combat climate change could affect the fair value of an asset, particularly relating to the highest and best use of an asset. So, for example, in determining the fair value of a manufacturing building, these assumptions may include the effects relating to reducing carbon emissions.

2.5 Valuation techniques

When measuring the fair value of an asset or a liability, an entity might do so by determining the price of an identical asset or liability in the market. For example, if an entity owns shares in a listed company such as Woolworths Holdings Ltd, the fair value of each share can be determined by looking at the share price on the JSE on a particular date. However, a price for an identical asset or liability may not be observable. Then an entity measures fair value using an appropriate **valuation technique**. For this, the entity must also have sufficient data available to measure fair value by maximising the use of relevant observable inputs and minimising the use of unobservable inputs. Therefore, in deciding on an appropriate valuation technique, the entity considers the circumstances (for

example, the asset or liability), the availability of sufficient data, and the ability to maximise the use of observable inputs and minimise the use of unobservable inputs.

Three widely used valuation techniques are considered in IFRS 13, namely:

- The market approach valuation technique
- The cost approach valuation technique
- The income approach valuation technique.

A valuation technique

... is a method of determining or estimating the fair value.

The **market approach valuation technique** uses prices and other relevant information generated by market transactions involving identical or similar assets, liabilities or a group of assets and liabilities, such as an entity, in order to estimate the fair value of an asset or liability. For example, valuation techniques consistent with the market approach often use market multiples, which are ratios of a market price of an asset over a specific financial statement line item derived from a set of comparable assets. For example, a price-earnings multiple of a similar company can be used to value an entity, where the price-earnings multiple is calculated as the share price of a listed entity over the earnings per share as reported in the listed entity's financial statements.

The **cost approach valuation technique** estimates the fair value of an asset or liability by giving the amount required to replace an asset's service capacity (often referred to as the current replacement cost).

The **income approach valuation technique** estimates the fair value of an asset or liability by converting future amounts (for example, cash flows or income and expenses) to a single net current amount such as a single net present value figure. The most common example of the income approach valuation technique is a discounted cash flow model.

Something to think about

How could you use Microsoft Excel to calculate fair value using a discounted cash flow model?

IFRS 13 does not mandate the use of a particular valuation technique, but rather sets out the principle that requires an entity to determine a valuation technique that is **appropriate in the circumstances**, for which **sufficient data is available** and for which the **use of relevant observable inputs is maximised**. The valuation technique used to measure fair value results must be a reliable measure of fair value that uses the fair value hierarchy when prioritising inputs into the measurement process.

Something to do

Visit a website such as Property 24 at <https://www.property24.com/property-trends> to get a sense of factors that could impact the valuation of a property.

To be a **reliable measure of fair value**, a valuation technique must reflect how the market would price the asset. The inputs to the valuation technique must reasonably represent the market expectations and measures of the risk-return factors inherent in the asset.

Revisions resulting from a change in the valuation technique or its application are accounted for as a change in accounting estimates in accordance with IAS 8, *Basis of Preparation of Financial Statements* (refer to [Chapter 3, Accounting Policies, Changes in Accounting Estimates and Errors](#)). However, the disclosures in IAS 8 for a change in accounting estimates are not required for revisions resulting from a change in a valuation technique or its application.

Something to think about

When and how can you draw on the work of an expert?

Valuations can be subjective as they are estimates. They can also be intentionally manipulated. Valuations need to be performed by an expert with relevant qualifications and experience. As accountants prepare financial statements that present information that is reliable, accountants need to be able to assess that the valuations are appropriate. One way to do so is to use the International Standards on Auditing (ISA) that are professional standards for auditors produced by the International Federation of Accountants. ISA 620, *Using the Work of an Auditor's Expert*, sets out the responsibilities of an auditor when relying on the work of an expert.

2.6 The fair value hierarchy

To increase the consistency of fair value measurement, IFRS 13 provides a **fair value hierarchy**.

The fair value hierarchy

... is a tool for the classification of inputs into a valuation technique, so that the more important kind of inputs are given more influence on the result. Priority is given to observable prices in active markets for identical assets and liabilities, then to other observable prices, and then to unobservable inputs.

Table 4.1 The fair value hierarchy for fair value measurement

	Inputs	Discussion
Level 1	Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date	This level has the highest priority as a quoted price in an active market provides the most reliable evidence of fair value and shall generally be used without adjustment to measure fair value whenever available. Adjustments to quoted prices are not permitted.
Level 2	Directly or indirectly	Level 2 inputs consist of observable market-based

2	observable inputs for the asset or liability other than the quoted prices included within Level 1 Level 2 inputs include: • Quoted prices for similar assets or liabilities in active markets • Quoted prices for identical or similar assets or liabilities in markets that are not active • Market-corroborated inputs such as benchmark prices or interest rates.	data, but these inputs are less active or market-specific than Level 1 inputs.
Level 3	Unobservable inputs for the asset or liability, including financial forecasts.	Level 3 inputs require significant judgement. In developing unobservable inputs, an entity may begin with its own data. The entity can adjust this data if reasonably available information indicates that other market participants would use different data, but can also take account of an entity-specific benefit. An entity need not undertake exhaustive efforts to obtain information about market participant assumptions, but should consider all information about market participant assumptions that is reasonably available.

Source: Table created by author based on information from International Accounting Standards Board (IASB). 2024. IFRS 13 *Fair Value Measurement*.

An entity must maximise the use of Level 1 inputs and minimise the use of Level 3 inputs.

Judgement needs to be applied in categorising an input as a Level 2 input or a Level 3 input. This is because Level 2 inputs are typically Level 1 inputs that have been adjusted. Adjusting a Level 2 input in a manner that is significant to the entire fair value measurement might result in a fair value measurement categorised within Level 3 of the fair value hierarchy if the adjustment uses important unobservable inputs. Therefore the categorisation of the entire fair value measurement could change between Level 2 and Level 3 depending on the adjustments made to Level 2 inputs.



ETHICAL DILEMMA

Judgement and subjectivity are involved when measuring fair value, which can be challenging, especially for assets or liabilities that do not have readily observable market prices. An ethical dilemma arises when individuals responsible for measuring fair value face pressure or incentives to manipulate the valuation process to serve the entity's interests, or their own. This can include intentionally overstating or understating fair values to achieve certain financial objectives, such as inflating reported profits or influencing investment decisions.

Furthermore, conflicts of interest could arise if the individuals involved in the valuation process have personal or financial relationships with the entities being valued. This can create a bias in determining fair value, compromising the integrity and objectivity of the measurement. To address this ethical dilemma, adhering to established valuation standards and applying the guidance provided in IFRS 13 is essential.

Transparency and disclosure play a crucial role in addressing this ethical dilemma. Entities should communicate the methods, assumptions and significant judgements employed in the fair value measurement process. This enables stakeholders to evaluate the reasonableness of the valuations and make informed decisions. Maintaining ethical conduct in fair value measurement requires a commitment to integrity, objectivity and transparency. It also requires that the entity has robust internal controls.

3 Disclosures

The disclosure requirements for fair value measurement are detailed. The objective is to provide disclosures that help users of an entity's financial statements assess:

- For assets and liabilities that are measured at fair value, the valuation techniques and inputs used to develop those fair value measurements
- For recurring fair value measurements using significant unobservable inputs, the effect of the measurements on profit or loss or other comprehensive income for the period.

The disclosure requirements make sense as IFRS 13 deals with a measurement that can be subject to estimation and that can use information that is unobservable, as in the case of Level 3 inputs. The disclosure requirements are set out in paragraphs 91 to 99 of IFRS 13 and are not dealt with in this publication.

Something to do

Visit the website of Redefine Properties at <https://www.redefine.co.za> and find the group's latest published financial statements. See how this entity disclosed fair value measurement in the notes to its financial statements.

Key points to take from this chapter

- Fair value measurement aims to provide a realistic and transparent representation of the value of an asset or liability at a specified date.

- Fair value is defined as the price that would be received to sell an asset or be paid to transfer a liability in an orderly transaction between market participants at the measurement date. It is not necessarily the current market price but rather an estimate based on assumptions and available market information.
- The fair value hierarchy provides a framework for categorising the inputs used in fair value measurement. It consists of three levels:
 - Level 1 inputs are the most reliable and readily observable
 - Level 2 inputs are observable but less active or market-specific
 - Level 3 inputs are unobservable and require significant judgement.
- Fair value is a market-based measurement that relies on market-based inputs, which can include:
 - Quoted market prices for identical or similar assets or liabilities (Level 1 inputs)
 - Observable market data such as benchmark prices or interest rates (Level 2 inputs)
 - Unobservable inputs based on the entity's own assumptions (Level 3 inputs).
- Various valuation techniques can be employed to estimate fair value, including the market, income and cost approaches. The choice of valuation technique depends on the nature of the asset or liability being measured and the availability of relevant market data.
- Entities must disclose fair value measurements in their financial statements, including the level of inputs used, valuation techniques employed, and any significant assumptions made. This transparency promotes accountability and helps users of financial statements understand the reliability of fair value measurements.
 - Fair value measurement involves inherent challenges and requires significant judgements, especially when reliable market data is scarce or markets are illiquid. Entities must have robust internal controls, appropriate expertise and independent validation processes to ensure the reliability and integrity of fair value measurements.

Discussion questions

1. How would you know if IFRS 13 is relevant?
2. What is fair value?
3. Identify the different markets you need to consider when measuring fair value.

4. Explain how you would determine the highest and best use of a non-financial asset when measuring fair value.
5. Explain the different valuation techniques, their differences, and in which circumstances these could be appropriate to determine a fair value measurement.

Exercise questions

Question 1

A Ltd owns several properties that it occupies and uses, as well as properties that it leases to third parties. A Ltd leases one of its commercial buildings to B Ltd for five years. The lease contract was finalised in December 20x2, with the commencement date being 1 February 20x3.

Annual payments of CU345 000, which were lower than the fair value as B Ltd is struggling financially, were payable annually in advance. The interest rate implicit in the contract is 5% per annum, while the lessee's incremental borrowing rate is 7.5% per annum. On 1 February 20x3, the remaining useful life of the building is estimated as 18 years. A Ltd does not foresee B Ltd procuring a building for its operations in the foreseeable future and may extend an offer to B Ltd to renew the lease contract for another five years (this offer has not been included in the contract). B Ltd has indicated that it would assess the situation when its operations recover. Explain the impact that the future lease rentals will have on the carrying amount of the building leased to B Ltd in A Ltd's financial statements as at 28 February 20x3.

Question 2

TC owns a building that it has a legal obligation to decommission at the end of its useful life. Consequently, TC recognises a provision for the decommissioning costs. TC is acquired by AC and, as part of the purchase price allocation, AC determines the fair value of the provision for decommissioning costs at the acquisition date. Briefly explain how the fair value of the provision for the decommissioning costs at the acquisition date is likely to be determined, the impact that Sustainable Development Goal 13 could have on the fair value measurement, and at which level the inputs into determining the fair value of the provision for decommissioning costs would be classified in IFRS 13's fair value hierarchy.

Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

5

Statements of cash flows

IFRS reference

IAS 7: Statement of Cash Flows

IFRS for SMEs Accounting Standard reference

Section 7: Statement of Cash Flows

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3 Presentation of the statement of cash flows

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3.4 [Interest and dividends](#)

4 Preparation of the statement of cash flows

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[4.1.2 Calculating the cash received from customers](#)

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5 Specific accounting issues

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6 Group statements of cash flows

6.1 [Acquisitions of subsidiaries and businesses](#)

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6.3 [Preparation of a group statement of cash flows](#)

Key points to take from this chapter

Discussion questions

Exercise questions

Learning objectives

By the end of this chapter, you should be able to:

- Identify 'cash and cash equivalents' and report movements during the year in the statement of cash flows.
- Prepare and present a statement of cash flows using the direct and indirect methods.
- Calculate the cash received from customers and the cash paid to suppliers and employees using the direct method.

- Prepare the reconciliation of profit or loss before interest and taxation to cash generated from operations using the indirect method.
- Prepare a statement of cash flows where the entity has cash and non-cash items, including:
 - Costs absorbed in inventory in a manufacturing environment
 - Allowances for expected credit losses
- The acquisition, sale, depreciation, impairment and revaluation of property, plant and equipment
 - The acquisition of assets and liabilities as part of a business unit during the year
- The purchase, sale and fair value adjustments relating to assets such as investment properties and financial instruments
- Prepayments and leases, including right-of-use leased assets and lease liabilities
- Transactions affecting the equity of an entity, such as share buybacks, capitalisation issues, dividends and transfers between reserves, and the acquisition of a business.
- Outline the disclosure requirements of IAS 7, *Statement of Cash Flows*, including the disclosure of the operating, investing and financing activities.
 - Prepare a group statement of cash flows.

Concept summary



1 Introduction

In the current global market system, cash is the accepted method of settling transactions. Because of the importance of cash and cash management to a business and the stakeholders' need for information relating to cash, financial statements prepared according to the IFRS Accounting Standards have to include a statement of cash flows. This is a report that presents all the cash flows of an entity for a period. Cash flows are all the inflows and outflows of cash and cash equivalents during the period. Every cash transaction that happens during the year affects the cash or bank account in the general ledger. The statement of cash flows is a report of all the transactions recorded in the cash or bank account during the year.

The various cash flows in an entity are grouped according to how they have been generated or used by the entity according to the three main activities carried on by a business: **operating activities**, **investing activities** and **financing activities**. This classification helps the stakeholders assess the impact of these activities on the cash position of the entity and the sustainability of the cash flows. Classifying the cash flows also assists users in assessing the financial structure of the entity.

In addition, while the profit or loss of an entity reported in the statement of profit or loss and other comprehensive income is affected by accounting policies, the information presented in a statement of cash flows cannot be manipulated by implementing different accounting policies. Therefore the statement of cash flows allows users to compare the performance of a number of entities. It also helps users to assess the extent to which the profit or loss will generate future net cash inflows to the entity.

In this chapter, we focus on preparing and presenting the **statement of cash flows**, including the statement of cash flows of a group. The preparation and presentation of the statement of cash flows is the subject of IAS 7, *Statement of Cash Flows*. The objective of IAS 7 is to provide information about an entity's historical changes in cash and cash equivalents through a statement summarising its main cash flows. The general requirements of IFRS 18, *Presentation and Disclosure in Financial Statements*, apply to the presentation of the statement of cash flows as well.

This chapter ignores the impact of VAT on the statement of cash flows, as this would require a more detailed knowledge of VAT than is assumed for students at this level. VAT is relevant in practice, as receivables and payables include VAT, whereas revenue, expenses, plant and equipment, property and so on exclude VAT.

IFRS for SMEs Accounting Standard application

Section 7 of the *IFRS for SMEs* Accounting Standard, *Statement of Cash Flows*, deals with the presentation of changes in cash flows in the reporting period in order to provide an overview of the impact of the entity's activities on its cash resources. The presentation requirements set out in Section 7 of the *IFRS for SMEs* Accounting Standard are similar to the requirements in IAS 7.

Link to the Sustainable Development Goals

Consider all of the Sustainable Development Goals. In order to achieve any of the goals, there will be costs, to some degree or another. The ability of an entity to manage its cash flows effectively will affect its ability to achieve the Sustainable Development Goals. Entities that invest in sustainable practices, such as renewable energy sources, eco-friendly technologies and responsible supply chain management, may experience initial capital outflows. However, these investments can lead to long-term cost savings, operational efficiencies and improved profitability. For example, adopting sustainable and ethical practices in the supply chain, such as fair labour practices and environmentally friendly sourcing, may involve some restructuring costs. However, this can lead to long-term benefits, including reduced supply chain disruptions, better relationships with suppliers and enhanced brand reputation, ultimately impacting cash flows positively.

2 Cash and cash equivalents

The purpose of the statement of cash flows is to **reconcile the cash and cash equivalents** of the entity at the beginning of the reporting period to the balance on hand at the end of the period.

Cash

... includes all cash on hand and demand deposits.

Cash equivalents

... are all short-term, highly liquid investments that are readily convertible to known amounts of cash and that are subject to an insignificant risk of changes in value.

Entities normally use the ability to convert an investment into cash within a three-month period as a guideline to determine whether it should be classified as part of cash and cash equivalents. Even though you may be able to convert equity instruments (for example, shares in listed entities) to cash within a short period of time, these should not be classified as cash and cash equivalents, as the entity would need to make a transaction and sell the shares before receiving the cash. Equity instruments would also be subject to risk relating to changes in value and thus do not meet the definition of cash and cash equivalents.

Movements between bank accounts (or cash resources) should not be identified separately in the statement of cash flows, as they do not represent an inflow or outflow of cash from an external party to the entity. For example, when an entity has decided to invest CU100 000 excess cash in a high-interest 30-day call account, the debit would increase the call account, and the credit would decrease the bank account. The net movement in cash is zero.

The cash or cash equivalents balance should include a negative (overdrawn) bank balance. However, where the borrowings from the bank comprise a specific finance arrangement, this should be treated as a financing activity. This implies that **bank overdrafts** should only be included in cash and cash equivalents (in other words, netted off against positive balances) if they are payable on demand.

Example of the disclosure of cash and cash equivalents in the notes to the financial statements

Note 11: Cash and cash equivalents

Cash and cash equivalents include cash balances with banks and investments in money market instruments.

Cash and cash equivalents included in the statement of cash flows comprise the following statement of financial position amounts:



An entity should disclose the components of cash and cash equivalents in the notes to the financial statements. The aggregate amount is disclosed for cash and cash equivalents on the statement of financial position and normally equals the closing balance in the statement of cash flows. If this is not the case (for example, where the entity has debit and credit balances of cash and cash equivalents that have not been offset), you should provide a reconciliation between the cash and cash equivalent balances presented in the statement of financial position and the amount disclosed in the statement of cash flows. The entity should further disclose the policy adopted in determining the composition of cash and cash equivalents.

Banks may allow entities to arrange to offset positive and overdrawn balances (for example, where an entity has various branches, each with its own bank account at the same commercial bank). An entity should disclose positive (debit) and overdrawn (credit) bank balances separately on a statement of financial position unless offsetting arrangements are in place. However, when preparing the statement of cash flows, the balance of the cash and cash equivalents amount should be the aggregate of all these balances.

3 Presentation of the statement of cash flows

The statement of cash flows forms part of a complete set of financial statements, as outlined in IFRS 18, *Presentation and Disclosure in Financial Statements* (which is discussed in [Chapter 2](#)). The purpose of financial statements is to provide a structured representation of an entity's financial position and financial performance, with the objective of providing information about its financial position, financial performance and cash flows that are useful to the primary users in making economic decisions.

The purpose of the **statement of cash flows** is to provide meaningful information concerning cash generated (the source) and cash utilised (the use) during the period under review. Information to be presented in the statement of cash flows needs to be classified in a prescribed way.

The elements of cash flows to be presented in the statement of cash flows include the following:

- Net cash flows from operating activities
- Cash effects of investing activities
- Cash effects of financing activities
- Net change in cash and cash equivalents.

Cash flow information is useful in assessing the ability of the entity to generate cash and cash equivalents. It enables users to develop models to assess and compare the present value of the future cash flows of different entities. In addition, it enhances the comparability of the reporting of operating performances by different entities. When used in conjunction with the rest of the financial statements, a statement of cash flows provides information that enables users to evaluate the changes in the net assets of an entity, its financial structure and its ability to affect the amounts and timing of cash flows.

Something to do

Appendix A of IAS 7 provides examples for the presentation of a statement of cash flows in the financial statements of an entity. You are encouraged to work through these examples.

ETHICAL DILEMMA

Statements of cash flows are crucial for understanding an entity's liquidity, operating activities and financial health. However, unethical practices can occur when the entity intentionally manipulates information presented in the statement of cash flows with the aim of presenting a more favourable or misleading picture of its financial position. It is crucial for accountants to ensure that the entity adheres to the accounting principles and that it presents cash flows in accordance with IAS 7.

3.1 Operating activities

As a starting point, operating cash flows result from the transactions taken into account to determine the profit or loss for the reporting period. However, the *Conceptual Framework* requires the profit or loss to be determined according to the accrual basis instead of the cash basis. This means that certain non-cash items are also included in the profit or loss for the period. You need to identify these items in order to be able to determine the cash resulting from operating activities.

Operating activities

... are the principal revenue-producing activities of an entity as well as other activities that are not investing or financing activities.

The users of financial statements use the cash from operating activities as a key indicator of the extent to which the entity could raise sufficient cash from its day-to-day operations to repay its loans, pay dividends and make new investments without raising additional finance. Trends in the cash flows from operating activities are particularly useful for forecasting future operating cash flows.

Examples of cash flows from **operating activities** include the following:

- Cash received from the sale of goods and the rendering of services as well as other types of revenue
- Cash payments to suppliers for goods and services
- Cash payments to and on behalf of employees

- Cash payments and refunds of income tax and other taxes
- Any other cash received or paid resulting from dealing or trading activities.

Something to watch

Watch the Learn Accounting video *Cash to Accrual*.

3.1.1 Reporting cash flows from operating activities

The operating activities of an entity can be presented using either the direct or indirect methods. The two formats differ only in the way in which the cash generated from operations is presented on the face of the statement of cash flows. The remaining parts of the statement of cash flows are identical for both formats.

The following is an example of the presentation on the face of the statement of cash flows regarding cash generated from operations using the **direct method**.

Key principle: Direct method

Operating cash flows are disclosed according to the entity's major classes of gross receipts and gross cash payments.

Direct method

The direct method shows gross payments to suppliers and employees as well as gross receipts from customers. IAS 7 encourages the preparation of the statement of cash flows using the direct method because the cash flows are shown separately and not netted off. The gross cash flows help users of the financial statements to predict the amount and timing of future cash flows.

The following is an example of the disclosure on the face of the statement of cash flows in respect of cash generated from operations using the **indirect method**.

Indirect method

The indirect method nets off cash payments to suppliers and employees from cash receipts from customers, starting with a net operating profit and converting this to a net cash flow. The indirect method can only be used for operating cash flows, as gross cash flows must be disclosed for investing and financing activities, with limited exceptions.

**Key principle:
Indirect method**

Cash flow from operating activities is calculated by adjusting profit or loss for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing activities.

Depending on whether the direct or indirect method is used to report cash flows from operating activities, operating profit from the statement of profit or loss is reconciled differently to these cash flows. Where the **direct method** is used, information relating to this reconciliation needs to be presented in the statement of cash flows. Where the **indirect method** is used, information relating to the reconciliation is normally presented on the face of the statement of cash flows.

However, when the direct method is used, even though the IFRS Accounting Standards do not require it, it is good practice to provide, in a note to the statement of cash flows, a reconciliation between the profit or loss before taxation and interest and the cash generated from operations. This reconciliation should show all non-cash adjustments and each adjustment required in respect of inventory, payables and receivables. This allows the user to assess the quality of the operating profit (the ability of the entity to transform operating profit into cash). The adjustments to profit or loss help to explain to the user why the operating profit has yet to result in an equal amount of cash.

Whether the reconciliation is presented in the statement of cash flows or in the notes, it will show the same final cash generated from operations. Under both formats, the cash generated from operations is reduced by the tax paid as well as any interest and dividends received or paid, which are separately classified as operating activities (see Section 3.4), to get net cash from operating activities. These two methods are discussed in more detail in Section 4.

3.2 Investing activities

You should show cash flows relating to investing activities as a separate category on the statement of cash flows because these cash flows provide information about specific expenditures made to generate future income and cash flows.

**Key principle:
Classification of
investing activities**

Investing activities are the acquisition and disposal of long-term assets and other investments not included in cash equivalents.

Separate disclosure of investing activities to expand operations is encouraged, as that is an indication of management's growth plans.

Examples of cash flows from **investing activities** include the following:

- Cash payments to acquire non-current assets
- Cash receipts from the sale of non-current assets
- Cash payments to acquire other entities and other equity or debt instruments
- Cash receipts from the sale of investments in equity or debt instruments, or interests in other entities
- Cash advances and loans made to other parties, or cash receipts from the repayment of loans or advances.

3.3 Financing activities

The cash flows from financing activities provide information about the cash flows between the entity and its providers of capital. This is particularly useful to investors wishing to predict any future claims on the cash of the entity. Separate disclosure is required of cash flows from financing activities.

Examples of cash flows arising from **financing activities** include the following:

- Cash proceeds from the issue of shares or other equity instruments
- Cash payments arising from the entity acquiring or redeeming its own shares
- Cash proceeds from the issue of debentures, loans, bonds and other short- or long-term debt
- Cash repayments of amounts borrowed.

Key principle:
Classification of financing activities

Financing activities are activities that result in changes in the size and composition of the contributed equity and borrowings of the entity.

3.4 Interest and dividends

Cash flows from interest and dividends received and paid are disclosed separately. Each must be classified as operating, investing or financing activities, and the classification must be applied consistently from period to period.

The amounts presented as dividends and interest cash flows are the amounts actually paid or received in cash during the year, irrespective of how they have been treated for accounting purposes. Dividends and interest cash flows are classified in the statement of cash flows in line with the classifications in the statement of profit or loss (see IFRS 18). Dividends paid should be classified as cash flows from financing activities, while dividends received is classified as cash flows from investing activities. Where an entity invests in assets or providing finance to its customers forms part of its main business activities, dividends received, interest received and interest paid are reported in a single category, either as operating, investing or financing activities (see IAS 7, paragraphs 33A, 34A and 34B). Financial institutions such as banks generally treat dividends as operating cash flows, but other entities must decide which basis best reflects their main business activities. When dividends and interest received arise from investments, their disclosure as investing activities is considered appropriate. Similarly, interest and dividends paid relate to financing instruments, and therefore their disclosure as financing activities is appropriate. When dividend income, interest income and interest expenses are classified in more than one category in accordance with IFRS 18, the selection of an appropriate category as either cash flows from operating activities or cash flows from financing activities is an accounting policy decision (see IAS 7, paragraphs 34C and 34D).

4 Preparation of the statement of cash flows

When preparing a statement of cash flows, you should identify all the transactions debited and credited to the bank account in the general ledger during the year. You could do this by using any of the three methods discussed below.

The **first method** involves analysing the bank account in the general ledger. You could summarise all the transactions into the totals needed for the statement of cash flows per business activity (operating, financing and investing), but this is an inefficient method.

The **second method** is to analyse the general ledger accounts. Every transaction that occurs in an entity affects the assets and/or liabilities of the entity. Therefore, if you want to identify all transactions that have occurred in a business during the year, you can look at the balances reported in the statement of financial position and analyse the movements in the respective general ledger accounts, and then identify the cash flows for the year.

When preparing the statement of cash flows, you should only include those transactions that involve cash: **a debit or credit to the bank account**. The objective is to analyse the general ledger accounts to identify movements in each asset, liability and equity for the current year to identify entries where the contra account is **bank**. These transactions affect the bank account and must therefore be included in the statement of cash flows. When preparing a statement of cash flows on this basis, your starting point is the statement of financial position general ledger accounts. This approach is always used to calculate investing and financing cash flows and may also be used for operating cash flows.

The **third method** involves indirectly calculating the cash generated by operations from the profit or loss before interest and taxation. By adjusting the profit or loss for all non-cash flow transactions and converting profit or loss back from accrual to cash (by adjusting for working capital movements), you should arrive at the cash flow from operations. This is called the indirect method (see Section 4.2).

The second and third methods are discussed in more detail below.

4.1 Applying the direct method

The term 'direct method' relates to the way in which cash flows from operations are presented. It does not necessarily imply that the cash flows are calculated directly from the cash book. In order to determine these cash flows, the starting point is to analyse the information in the general ledger accounts where these transactions are recorded, which is best done by analysing these general ledger accounts.

4.1.1 Analysing the general ledger accounts

When analysing each general ledger account, you need to take each asset or liability included in the statement of financial position and review the transactions that occurred in that general ledger account during the year. A transaction that has the **bank account** as a contra account is a cash flow transaction. As part of this process, you need to think about where you would expect to find various bank entries for each type of transaction. For example, you may expect to find payment for suppliers on the debit side of the trade payables account.

4.1.2 Calculating the cash received from customers

Every item of sales or service revenue recognised in profit or loss has been earned by an entity in the year by providing goods or services in that year. The revenue is recognised whether or not cash payment has been received for the goods and services provided by the entity.

The cash received by an entity from customers is a result of one of the following events:

- Receipt of cash this year for sales previously recognised in the prior period (in which case, the credit goes to receivables/debtors)
- Receipt of cash when sales were recognised (in which case, the credit goes to sales)
- Receipt of cash in advance of sales that will take place in the following year (in which case, the credit goes to a liability)
- Interest received from customers, when providing finance forms part of the main business activities of the entity (as determined in applying IFRS 18, paragraphs B30–B41).

Profit or loss only includes sales recognised in the current year, whether received in cash or not. Cash received from customers includes cash receipts for all three of the above events.

The only other income transaction that can happen in a business is where an entity has earned the revenue but not yet received payment. This means that it would be shown in profit or loss as earned but would also appear on the statement of financial position as an asset.

Cash received in respect of goods and services can therefore be calculated by starting with revenue earned, deducting the amount that has not yet been received (assets), adding the amounts not yet earned (liabilities) and adding amounts received this year in respect of sales in prior periods.



ETHICAL DILEMMA

An entity may inflate its operating cash flows by engaging in aggressive revenue recognition practices, such as prematurely recognising revenue or accelerating the collection of receivables to artificially inflate its operating cash flows. This can give the impression of better financial performance than what actually exists, which may mislead investors and stakeholders. To address this ethical dilemma, it is crucial that the recognition and measurement principles of IFRS 15, *Revenue*, are applied, and that accountants and auditors ensure that actual cash receipts from customers are reported in the statement of cash flows.

4.1.3 Calculating the cash paid to suppliers and employees

The cash that an entity has paid to its suppliers and employees forms part of the expenses it has paid during the financial year. This amount is calculated from all the expenses recognised by the entity, including the cost of sales. As the cash paid to suppliers of inventory items is included in the cost of sales or closing inventory and the cash paid to suppliers of other items (for example, electricity) is included in the expense accounts, both can be derived by analysing the 'trade payables' (creditors) general ledger account. Salaries and other payments to employees are included in the salaries and wages general ledger account and can therefore be analysed separately.

Something to watch

Watch the Learn Accounting video *Statement of Cash Flows – Introduction*.

Example of analysing the financial information for JD Ltd for purposes of identifying the cash flows

JD Ltd buys and sells clothing. This entity declared dividends of CU1 000 000 during 20x5. Taxation and VAT implications have been ignored in this illustration.

Statement of financial position for JD Ltd as at 31 December 20x5

Statement of profit or loss for JD Ltd for the year ended 31 December 20x5

Example of analysing the accounts receivable account

Using the information for JD Ltd above, examine the accounts receivable general ledger account to work out how much cash was received from customers during the period. This is the account that is credited when cash is received.

Once you have analysed all the transactions that should be in the accounts receivable general ledger account, you can calculate the missing entry that must have been

processed in order to have ended up with a balance of CU11 000 000 at the end of the year.

In this case, the entity must have received CU75 800 000 in cash for the opening balance and transactions during the year to result in a closing balance of CU11 000 000.

It is possible that some of the sales were cash sales. These sales would be correctly reflected in the statement of cash flows using this method. Cash sales are obviously not part of the opening or closing balance on accounts receivable. The cash sales amount for the year is therefore only included on the debit side as part of sales and on the credit side as part of bank. (See Section 5.1.2 for the effect of expected credit losses on a statement of cash flows.)

Calculation of cash paid to suppliers for inventory

The amount of cash paid for inventory can be found by deriving the bank entry in the supplier accounts (accounts payable). Inventory and other operating items purchased during the year on credit are credited to the 'accounts payable' account. In order to reconstruct the accounts payable account, it is necessary to determine what was bought during the year by looking at total purchases of inventory as well as at all other operating items that were purchased during the year on credit (including items such as stationery). You need to analyse the inventory ledger account to calculate the inventory purchases figure. Similarly, you need to analyse the operating expense ledger account in order to calculate the purchases of the operating items. This can be done using the information available from the statement of financial position (inventory and consumables on hand) and profit or loss (the cost of sales and the operating expense).

Calculation of inventory purchased in the current year

In the calculation of cash paid to suppliers, the cost of sales mainly includes the cost of items purchased for resale, for example in a retail business. If an entity is a manufacturing business, the cost of sales includes raw material costs, labour costs, depreciation of manufacturing equipment, and any other expenses directly related to the manufacturing process. This means that you have to extract some of these other costs from the cost of sales and the opening and closing balance of inventory to establish the amount of inventory bought from suppliers during the year. In the case of manufactured inventory, the cash flow relating to some of these other costs (such as wages) are calculated separately, while other costs that do not involve a cash flow movement (such as depreciation) are identified and excluded from the cash flow calculations (see Section 5.1.1).

Example of analysing the inventory account

Using the information given previously for JD Ltd, you can reconstruct the inventory ledger account. After entering all the transactions that should be in this account, the next step is to calculate the missing entry that must have been processed. The purchases entry is missing; this must have been CU60 050 000 in order for the general ledger account to balance. As JD Ltd is a retail organisation, cost of sales consists only of purchased inventory.



Another way of calculating the purchases figure is to adjust the cost of sales figure for the increase or decrease in inventory during the year. The inventory increased by

CU1 500 000 (the closing inventory of CU10 000 000 was CU1 500 000 higher than the opening inventory of CU8 500 000). If goods with a cost of CU58 550 000 were sold and inventory increased by CU1 500 000, goods with a cost of CU60 050 000 must have been purchased. This is calculated using the same logic as for the ledger account, but it is explained differently.

Calculation of cash paid for items purchased other than inventory

During the year, an entity purchases and pays for goods and services other than inventory. These are referred to as 'other operating expenses' and include salaries, stationery, rental and utility costs, such as electricity and water. The starting point is to look at profit or loss and the statement of financial position to find out what goods and services other than inventory were used or consumed during the year.

As profit or loss is calculated on the accrual basis of accounting, goods and services are recognised as expenses to the extent that the entity has consumed them in the current year. Any purchases made during the year that have been paid for but not yet consumed are reported as 'payments in advance' in the statement of financial position. These purchases are not recognised as expenses yet, as they have not yet been used, for example, prepaid rent.

On the other hand, some operating items may have been purchased during the year on credit and are therefore included in 'accounts payable'. These items are payable when due, usually within the next month, and recorded as an accrued expense, for example stationery.

Thus, to calculate how much the entity paid for these other operating expenses during the year, you need to determine the total amount of the goods and services (other than inventory) consumed during the current year, less expenses not yet paid. Any expenses paid for but not yet consumed at the end of the year should be added to the operating expenses paid in the statement of cash flows.

Other operating expenses paid = Other operating expenses recognised in profit or loss, **less** accrued expenses (not yet paid), **plus** operating expenses paid in advance (not yet consumed)

Example of analysing the accounts payable account

In the extracts above from the statement of profit or loss and the statement of financial position of JD Ltd, the profit or loss of CU7 700 000 for 20x5 was derived after taking the following expenses into account:



The amounts relating to these expenses that were not paid at each of the respective reporting dates can be obtained from the following extract from the statement of financial position:



Assume that the accounts payable balance includes the unpaid portion of purchases as well as other operating expenses not separately accrued for.

As with inventory, the accounts payable account is credited with the amount purchased and not the amount of goods and services consumed. The other operating expenses of CU2 550 000 have to be converted into the total amount of operating goods and services purchased in the year, which will be used to derive the cash paid to suppliers of the operating expenses in the current year.

When deriving the cash payments made, you should only include expenses that would be recognised in accounts payable if unpaid. In this case, this would be the operating expenses of CU2 555 000.

The amount relating to the operating items bought in the current year is calculated as follows:



From the calculation above, it is clear that stationery with a cost of CU550 000 was purchased and used during the year ($300\,000 + 500\,000 - 250\,000$). That figure is included in the operating items purchase amount of CU3 100 000 in the accounts payable balances to calculate the amount paid in the year (which was done collectively with the purchases below, as the accounts payable amount is a combined figure).

Now that you know all the operating items purchased during the year, it is possible to reconstruct the accounts payable general ledger account in order to identify the cash paid to suppliers.



The bank payment to creditors for inventory and other operating items bought during the year must have been CU55 150 000.

It is possible that some of the operating purchases were cash purchases. These purchases would be reflected correctly in the statement of cash flows using this method. Cash purchases are obviously not part of the opening or closing balance on accounts payable. Therefore, the cash payments amount for the year is only included on the credit side as part of operating costs and on the debit side as part of bank.

Calculation of operating items bought in the current year

When operating items are purchased on credit, the accounts payable account is credited. The accounts payable account may also be credited with amounts that are not operating items (for example, the amount payable in respect of the purchase of a motor vehicle). If the accounts payable account is to be used to derive cash flow from operating items, amounts that do not relate to operating items must be excluded.

Follow these steps when calculating purchases of operating items:

1. Establish the total amount of operating items purchased and not consumed. (This involves looking at the statement of financial position for any operating costs that are still on hand, such as stationery on hand.)
2. Include only the operating costs that require payment. (Where items such as depreciation and impairment of assets are included in the operating costs amount as shown in profit or loss, these non-cash flow items have to be removed from the total operating cost used to credit accounts payable.)

Remember that where the statement of profit or loss shows 'net operating costs', both operating expenses and other income (such as the profit on the sale of assets) could have been included in this line item. Also, when calculating cash paid to creditors, the operating costs credited to accounts payable should not include other income earned. Therefore, both of these items need to be removed.

Calculation of accruals

As with accounts payable, you need to analyse the accrual account to establish the amount of cash paid out in the current year in respect of the accrued expense.

If the statement of financial position had not shown an accrued expense for electricity, you would then have known that there had been no amounts owing at the beginning and end of the year for the electricity that was bought during the year. This would mean that the entity must have paid for the electricity bought and consumed during the current year. The cash payment would then be equal to the amount consumed.

This concept is the same for all expenses. Once you have established how much of the item was bought during the current year (by looking at the opening and closing statement of financial position for the unused portion of the item of the asset and adjusting the expense accordingly), you will be able to see if there is a creditor or an accrual account shown on the statement of financial position in respect of this cost. If there is a liability account, an analysis of this creditor or accrual account would show how much the entity paid in cash for this cost during the year. Where there is no creditor or accrual account shown on the statement of financial position related to this cost, the entity must have paid out cash during the year equal to the cost of the items purchased, as there is no portion of the purchase price that is still outstanding at the beginning or end of the year.

The statement of financial position of JD Ltd also included a liability for interest accrued. This is not dealt with here, as interest is not included in the operating expenses of the entity. Interest is shown separately on the face of the statement of cash flows, usually after cash generated from operations. This makes sense, as the cash flow related to interest does not arise because of the day-to-day revenue-producing activities of the business, but rather because of how management has chosen to finance these activities.

Pre-payments

Pre-paid expenses recognised on the statement of financial position as an asset represent cash outflows that were paid for services still to be received. The opening pre-payment relates to operating costs that were paid for last year and consumed this year. As such, these costs should be included in the current year's expense in profit or loss. The closing pre-payment relates to operating costs paid this year and consumed next year. These costs should not be shown as an expense in the current year's statement of profit or loss. The current year's expense is adjusted to cash paid in the current year by removing the opening pre-payment (for which the related cash flow movement occurred in the previous year) and including the closing pre-payment (for which the cash flow movement occurred in the current year). The items are reflected in the statement of cash flows in the year of the cash flow, irrespective of the date of consumption, as we are examining the cash flows for the period.



ETHICAL DILEMMA

An entity may conceal its cash flow problems by delaying payments to suppliers or deferring payment terms to conceal its cash flow problems. This can provide a false sense of financial stability, which may mislead investors and stakeholders. To address this ethical dilemma, it is crucial that accountants and auditors review cash flow forecasts and ensure that 'window dressing' activities are prevented by reviewing payments after the reporting date.

Example of analysing the pre-payment of rent

JD Ltd's statement of financial position includes an asset general ledger account that relates to another item of goods and services received: rental. If we reconstruct this account, we are able to find the total amount of rental paid during the current year.



From an analysis of the pre-paid rental account, we can calculate that the amount paid for rental during the current year was CU9 000 000 (CU9 100 000 – CU100 000).

Therefore, in the example so far, the total cash paid for suppliers and employees includes the following amount:



You should check every expense in profit or loss to make sure that you have considered every 'potential' cash outflow.

Every expense in profit or loss refers to the portion of the goods and services used by the entity during the current year. Calculate the total amount of goods and services bought during the year to find out the cash paid associated with these goods and services during the year. Do this by looking at the statement of financial position to identify any of the purchases bought that has not been used by the entity. These unused purchases should be shown as assets.

Then calculate the amount of goods and services purchased in the year by including the used purchases (the expenses) as well as the unused portion of the purchases (the assets). Purchases of goods and services can only be recorded in one of two places: the statement of profit or loss, if these goods and services have been used (expenses), or the statement of financial position, if these goods and services are unused (assets).

Once you know the total goods and services purchased during the year, you can find out the portion of this cost that was paid in cash in the year, identifying any related liabilities on the statement of financial position. The portion of the purchase price still owed at the end of the year is adjusted to the purchase cost for the amount still owing in order to calculate the cash paid in the year.

Example of calculating cash generated by operations

For JD Ltd, the various balances of the cash generated by operations can be summarised as follows:

4.1.4 Calculating the interest paid

The interest recognised in profit or loss represents the expense for using borrowed money during the current period. The accrual-based interest expense in profit or loss must be adjusted by accruals and pre-payments to determine the cash amount paid (or received).

The cash flow relating to interest received and interest paid is classified as an operating activity when the entity classifies interest expense in the statement of profit or loss (see IFRS 18). When an entity classifies interest expense in the financing category of the statement of profit or loss, interest paid is classified as cash flows from financing activities in the statement of cash flows. Similarly, interest income classified in the operating category in the statement of profit or loss (for example, when the entity provides financing to customers) is classified as cash flows from operating activities (see IFRS 18). Otherwise, interest received is classified as cash flows from investing activities.

Example of analysing the interest expense

In the example, JD Ltd had an outstanding balance of CU8 000 000 owing to a lender. This means that JD Ltd had the use of CU8 000 000 from 1 January 20x5 to 31 December 20x5. The cost associated with the use of this capital was agreed at 10%. The use of these funds for the year cost the entity CU800 000. This is reflected as the interest expense in profit or loss, regardless of whether the interest has been paid in cash or is still owed.

The statement of financial position of JD Ltd shows the following liability in respect of interest:

As there is an increase of CU300 000 in accrued interest during the year, the amount of interest paid in cash must have been CU300 000 less than the amount accrued in profit or loss. Therefore, the interest paid in cash must have been $\text{CU800 000} - \text{CU300 000} = \text{CU500 000}$. If there had been accrued interest at the end of the prior period, this would have been included in the interest paid during the year.

Something to do

What if the statement of financial position showed an asset in respect of this interest cost?

If there were an asset on the statement of financial position for interest on a loan, this would mean that the entity had pre-paid the interest. Can you calculate the cash paid for interest to be included in the statement of cash flows, assuming there is the same interest expense (CU800 000) but pre-payments of CU500 000 at the end of 20x5 and CU200 000 at the end of 20x4 instead of the accrual as discussed above? The

CU800 000 shown in profit or loss is the interest expense that was incurred during 20x5. Of this interest expense, CU200 000 was paid for in 20x4, as shown by the asset on the 20x4 statement of financial position. In addition, CU500 000 of the following year's interest expense was paid in 20x5, as shown by the pre-payment on the statement of financial position. Therefore, the year's cash outflow is $CU800\ 000 - CU200\ 000 + CU500\ 000 = CU1\ 100\ 000$.

4.1.5 Calculating depreciation

Profit or loss for the year is calculated after charging depreciation. Depreciation is a non-cash flow item. This expense causes the cash flow from operating activities to differ from the accrual-based operating activities profit because depreciation does not give rise to cash flows in the current year or future.

A transaction should only be included in the statement of cash flows if the debit or the credit of the journal entry to record that transaction is 'bank'. The journal entry for depreciation is as follows:

		CU	CU
Dr	Depreciation (P/L)	2 300 000	
	Cr Accumulated depreciation		2 300 000

As neither entry affects the 'bank account' or any account that will in future give rise to bank (such as debtors and creditors), this transaction is a non-cash flow item and will never appear in the statement of cash flows.

The depreciation expense is relevant when preparing a statement of cash flows because cash flows are derived after adjusting for depreciation. Although this expense is a non-cash flow item, you need to identify the current year's depreciation when calculating cash receipts or payments from or for investing activities. If property, plant and equipment is recognised on the statement of financial position, you need to see if there was any cash paid or received in respect of buying or selling these non-current assets. These cash flows will be shown in the investing section of the statement of cash flows. In order to calculate the cash outflow or inflow, you need to analyse all the general ledger accounts in which the assets are recorded. This includes the cost, accumulated depreciation and accumulated impairment. When analysing the accumulated depreciation account, one of the credits is the current year's depreciation charge.

Depreciation can be shown separately on the face of the statement of profit or loss, or included in operating or net operating costs. Where the entity manufactures inventory, some depreciation may have been capitalised to the cost of inventory and included in the carrying amount of inventory on the statement of financial position. The capitalised depreciation should be removed from these balances and added to the depreciation shown as an expense in profit or loss in order to arrive at the total depreciation charge credited to accumulated depreciation during the year. (A more detailed example of dealing with cash flows in a manufacturing context can be seen in Section 5.1.1.)

This calculation can become more complex with transactions such as revaluations, impairments and acquisitions of subsidiary entities during the year (see Section 5.2).

Example of analysing the property, plant and equipment account

In the JD Ltd example above, the property, plant and equipment entries on the statement of financial position are as follows:



The reconstructed general ledger account showed that the entity purchased property, plant and equipment with a cost of CU3 300 000. In order to determine whether the payment was in cash, you should look at the statement of financial position and see if there is a related liability in respect of this purchase. As there is no related liability on the statement of financial position, you can conclude that cash of CU3 300 000 was paid when the asset was acquired. This acquisition is reflected as a cash flow from investing activities.

4.2 Applying the indirect method

The first stage of the indirect method starts with the profit from operating activities calculated on the accrual basis. This is then adjusted by eliminating amounts that affect neither the cash from operations nor the working capital (for example, depreciation, impairment and the profit from the sale of assets, which is an investing activity). This results in a profit figure that has given rise to either a cash flow or a movement in a working capital balance. The second stage adjusts for working capital movements to get the cash flow from operations after reversing the effect of any accruals.

This indirect approach is a more complicated way of getting to the cash flows, which could have been calculated using the cash receipts and payments journals. In order to prepare financial statements, a great deal of analysis of the transactions occurring during the year would have gone into the preparation of the accrual-based statement of profit or loss and the statement of financial position. This analysis correctly classifies all cash receipts, payments, accruals and pre-payments. In many cases, it is far easier to undo the effects of the accrual adjustments than to reclassify all the cash flows in order to calculate the cash generated from operations (using the direct method).

An even more important reason for using this method is the information it gives on the quality of the earnings recognised in profit or loss.

The quality of an entity's earnings

... refers to how close its accounting profit or loss is to its actual cash flow from operating activities. The ratio is calculated as outlined below:



The greater the percentage of the earnings received in cash, the greater the quality of the earnings. The adjustments made to operating profit to arrive at cash flows from operations indicate the extent to which amounts recognised in profit or loss have yet to be received in cash. The preparation of the operating activities section of the cash flow statement on the indirect method allows an entity to identify the reasons for changes in its quality of earnings more easily. A significant increase in receivables could indicate that management was extending credit facilities to close sales (a sign of a potential collectability risk in the future). This could indicate fictitious recordings of sales in order to meet profit targets. A significant increase in payables could indicate that management is experiencing cash flow problems or has managed to negotiate favourable settlement terms.

4.2.1 Adjustments to operating profit

When converting the operating profit of an entity to cash from operations, you need to follow these steps:

1. Use the operating profit before tax for the year (excluding other income not from operations, such as dividends and interest received).

2. Reverse any expense included in operating profit that does not involve a cash flow or working capital (for example, depreciation).
3. Remove transactions from operating profit that have associated cash flows that are a result of investing or financing activities (such as the profit on the sale of machinery).
4. Remove transactions from operating profit that are shown separately on the face of the statement of cash flows after cash from operations (such as dividends received).
5. Adjust operating profit for working capital movements, which will account for the following:
 - Cash that has been received, but has not been recognised as income as it has not yet been earned (income received in advance, which is presented as a liability)
 - Income that has been earned, but where the cash has not yet been received (accounts receivable and accrued income, which are presented as assets)
 - Cash that has been paid where the related purchases have not yet been consumed and is therefore not shown as an expense (pre-payments, which are presented as assets)
 - Purchases that have been consumed and recognised as an expense in the profit or loss, but where no cash has yet been paid (accounts payable and accrued expenses, which are presented as liabilities).

The adjusted profit or loss then represents cash flows from operations.

4.2.2 Non-cash flow items included in operating profit

Examples of typical non-cash flow items are explored below.

Depreciation

Depreciation is a non-cash flow item and should be removed from the operating profit when determining the cash flows from operations. Expenses initially reduce profit, and therefore, to eliminate the effect of this expense, the adjustment is added.

Impairment losses and fair value adjustments

When an asset is written down to its recoverable amount, an impairment loss is recognised in profit or loss. The impairment loss is a non-cash flow item because the journal entry debits impairment loss and credits accumulated impairment, and thus does not affect the bank account.

When the values of certain assets are adjusted to reflect their market value (for example, certain financial instruments held for trading), the fair value adjustment is recognised in the profit or loss as a loss or a gain. The fair value gain or loss is a non-cash flow item and, as such, should be adjusted against operating profit.

As with all non-cash flow items included in the operating profit calculation, these transactions must be eliminated when calculating cash generated by operations. The profit amount is increased by reversing the effect of these expenses on profit or loss. When reversing the effect of income on the profit, the profit amount is decreased.

Example of calculating cash from operations using the indirect method

Refer to the information about JD Ltd presented in the examples earlier in this chapter.

Because the cash flows relating to interest and taxation are shown separately on the face of the statement of cash flows after cash generated from operations, you should start with the operating profit before interest and taxation in order to calculate cash from operations. Remember that operating profit implies that all other income (such as interest received and dividends received) has been removed from the profit amount.

In the statement of profit or loss of JD Ltd, the operating profit before interest and taxation amounted to CU8 500 000, which was calculated as the profit or loss of CU7 700 000 plus the interest expense of CU800 000. (Ignore taxation at this stage.)



The adjustments relating to changes in working capital are discussed in detail below.



Notes

1 Increase in inventory: The inventory asset has increased from CU8 500 000 to CU10 000 000, an increase of CU1 500 000. Profit has been reduced by the cost of sales of CU58 550 000. The statement of cash flows needs to reflect the amount of inventory purchased during the year as opposed to the cost of inventory sold during the year, which is reflected in profit or loss. As inventory increased by CU1 500 000 during the year, the amount of inventory purchased during the year must have been CU1 500 000 greater than the cost of sales during the year. The operating profit, which includes the cost of sales, is therefore adjusted for this increase in inventory so that the adjusted operating profit reflects the inventory purchased during the year and not just the inventory sold. It does not matter whether these inventory purchases have been paid for or not because any unpaid portion of the inventory purchases will be adjusted for when the accounts payable adjustments are made to operating profit.

2 Increase in stationery on hand: The stationery on hand has increased by CU250 000. The adjustment for stationery is similar to that of inventory. Cash flows are affected by the amount of stationery purchased. As the operating profit only includes the cost of the stationery used, the cost of the unused stationery purchased during the year reduces the operating profit and is recognised as an asset. Once again, any unpaid portion of these purchases will be adjusted for as part of the accounts payable adjustment.

3 Increase in accounts payable (inventory and operating expenses): By adjusting profit or loss for the change in inventory, the profit or loss was converted to reflect the cost of the total amount of inventory purchased during the year. However, not all the inventory purchased in the current year would have been paid for in cash in the current year and part of the prior period's inventory purchases could have been paid for in the current year. The cash flow should reflect the amount paid in the current year, irrespective of whether it relates to the current or the prior period's purchases of inventory and operating expenses. In the previous adjustment, you reduced the profit or loss to reflect the total inventory purchased. As some of this increase in inventory did not have an associated cash flow, it is necessary to increase the operating profit again by the portion of the purchase cost not paid and included in the increase in the accounts payable year-end balance. Therefore, the increase in accounts payable is added to the profit or loss to account for the unpaid purchases previously used to reduce profit or loss. Accounts payable increased by CU8 000 000 during the current year (CU15 000 000 – CU7 000 000) and additional items purchased to the value of CU8 000 000 were still unpaid at the end of the current year. The operating profit is increased by CU8 000 000, as it was previously reduced by the full purchase amount (both cash and credit purchases). The amount paid to suppliers is as follows:



4 Decrease in accrued expenses (electricity): The accrued expense account decreased from an opening balance of CU525 000 to a closing balance of CU250 000, a total reduction of CU275 000 during the year. In this case, some of the cash paid during the year was for the current year's purchases as well as payment of a portion of the balance owed for electricity at the beginning of the year. The operating profit has already been reduced to include the effect of the total amount of electricity consumed during the year. However, as CU250 000 of this electricity was still owed at the end of the year, this portion of the expense was unpaid at the end of the year. In addition, CU525 000 in electricity was consumed last year and paid for in the current year. When converting the operating profit to cash, you need to include the payment of last year's consumption of CU525 000 and exclude this year's consumption of CU250 000, which remains outstanding at the reporting date. The result is an adjustment, which is a net decrease in operating profit of CU275 000. Cash payments exceeded the current year's consumption, as evidenced by the reduction in the balance of the accrual account from the beginning to the end of the year.

5 Increase in pre-payments: Rental pre-payments decreased by CU200 000 over the year, being the difference between the opening and the closing balances. The opening balance for the pre-payment refers to the rental that was paid for last year, but consumed in the current year, and is therefore reflected in the rental expense of CU8 800 000. The closing balance of the pre-payment refers to rental that has been paid in advance and will only be consumed the following year. As such, the closing balance of CU300 000 is not included in the current year's rental expense. In order to adjust the operating profit to cash from operations, you need to remove the portion of

the rental expense that was paid last year (CU100 000) by increasing the operating profit as well as including the additional pre-payment of CU300 000 by reducing the operating profit. The net effect is a reduction of operating profit by CU200 000.

6 Increase in accounts receivable: Accounts receivable has increased from CU5 500 000 to CU11 000 000, an increase of CU5 500 000. To calculate cash received from customers, you have to adjust sales by the movements in accounts receivable during the year. As the accounts receivable balance increased by CU5 500 000 during the year, the cash received from customers is CU5 500 000 less than the sales recognised during the year. Adjusting the operating profit to derive cash from operations decreases the operating profit by CU5 500 000. An increase reduces cash received from operating activities in receivables. (The effect of expected credit losses on the calculation of cash flows is discussed in Section 5.1.2.)

4.2.3 Transactions resulting from investing and financing activities

Where profit includes gains or losses on the disposal of assets, these transactions relate to investing activities and cannot be included in the calculation of cash generated by operations. You need to eliminate these investing transactions when converting operating profit to cash from operations. A profit on the sale of a non-current asset would originally have increased operating profit; thus, to reverse this profit, the profit for the period needs to be reduced. If the sale of a non-current asset resulted in a loss on its disposal, the operating profit amount needs to increase to reverse the previous impact on profit. Once you have adjusted the profit and you are later calculating the cash flows from the investing activities, you will need to take the gain or loss on the sale into account.

Key principle: Definition of working capital

Working capital is the capital of a business that is used in its day-to-day trading operations, calculated as the current assets minus the current liabilities.

Something to think about

Changes in working capital

This example about changes in working capital deals only with increases in inventory, payables and receivables. Think about how you would adjust the operating profit in the reconciliation of operating profit to cash generated from operations for the following changes in working capital:

- A decrease in inventory
- A decrease in payables

- A decrease in receivables.

If you started the conversion to cash generated from operations with profit after interest, you would also have to remove the interest expense from the profit or loss because the associated cash flow is shown separately on the face of the statement of cash flows after cash generated by operations. The profit would be increased to remove the effect of the interest expense. However, as cash flow usually starts with profit before interest, this adjustment is often not required. A similar process would need to be followed for all other income and expenses taken into account in your starting point (in other words, operating profit) that relate to investing and/or financing activities. If you did not adjust for these items, the statement of cash flows would double count the effects of these items.

4.2.4 Adjustments to operating profit for changes in working capital

The adjustment for changes in working capital is used to adjust the profit or loss from an accrual-based profit to a cash-based profit amount. Any current assets unrelated to the business operations should not be considered part of the working capital (for example, accrued interest).

5 Specific accounting issues

You should now be able to apply the principles from the previous section to the more complex transactions that are accounted for in the statement of cash flows.

5.1 Current assets and liabilities

Current assets recognised on the statement of financial position normally consist of amounts paid for these assets (for example, inventory and pre-payments) or cash amounts earned but not yet received (for example, accounts receivable).

5.1.1 Inventory and the implications of absorption costing

Section 4 dealt with calculating the cash paid to suppliers for inventory purchased during the year, when an entity is not a manufacturer. However, for a manufacturing entity, all the costs incurred to get the inventory into the condition and location for sale are included in the costs capitalised to inventory. To the extent that these relate to unsold inventory, a portion of these costs should be included in the inventory balance recognised on the statement of financial position. The remaining portion of these costs is included in the cost of sales as these relate to sold inventory.

When applying the direct method to calculate the cash paid to suppliers and employees, you need to analyse the inventory asset account. This process involves identifying all the 'other' costs that have been debited to the inventory account during the period. For example, separate the costs of conversion from the purchase cost of the raw materials to isolate the non-cash flow items.

When applying the indirect method, you need to analyse the components of the cost of inventory recorded in the cost of sales, as well as in the opening and closing inventory balances. This involves removing any non-cash flow items from these costs, including income and expenses related to investing and financing activities.

The following example illustrates the issues involved in preparing a statement of cash flows for a new business engaged in a manufacturing process with a low inventory turnover.

Example of calculating the cash paid by a manufacturing entity to suppliers and employees (where expenses are classified on the nature basis)

Assume that XYZ Ltd presented its analysis of operating expenses according to the nature basis. An extract from this information is presented below.

Notes to the statement of profit or loss of XYZ Ltd for the period ended 30 September 20x8



In an analysis of operating expenses classified according to their nature, the calculation of cash paid to suppliers and employees is more straightforward. This is because the total costs capitalised to inventory during the year are included in cost of sales in profit or loss, with the accrual adjustment effected by showing the change in the opening and closing inventory. Raw materials are the only manufacturing cost for which the total purchases made during the current year are not recognised separately in profit or loss. Only the amount of raw material that has been consumed is disclosed when the expenses are classified by nature. The other costs of manufactured inventory incurred during the year are included in other operating expenses, while the movement in the opening and closing inventory balances are adjusted to reflect the amount recognised as inventory on the statement of financial position. As the total purchases are transferred to creditors in order to calculate the cash paid to suppliers and employees, the nature basis is useful, because it shows total purchases and not just the resources consumed in the current year (as on the function basis).

Irrespective of how operating expenses are classified, a portion of the depreciation on manufacturing equipment is expensed through profit or loss (to the extent that the inventory has been sold). The remaining portion is included in the inventory closing balance on the statement of financial position. The adjustment arising from the movements in the carrying amount of inventory on the statement of financial position makes the necessary adjustment for any depreciation that is capitalised as part of inventory.

5.1.2 Non-cash adjustments to working capital items

Accounts receivable and inventory are assets recognised on the statement of financial position and should be tested for impairment.

An impairment of a receivable is recognised in the allowance for expected credit losses account and does not represent any cash flow. Similarly, when you write off a receivable as an expense in profit or loss (an expected credit loss), you do not expect to receive any cash from that asset.

An inventory impairment to net realisable value is credited directly to the inventory balance and does not represent a cash flow.

An expected credit loss expense and an inventory write-down are non-cash flow items and are not included in the statement of cash flows.

Although the expected credit loss expense and inventory write-down are not shown in the statement of cash flows, they are included in the analysis of the general ledger accounts to calculate the cash flows for the statement of cash flows. (For example, when calculating the cash that the entity received during the year from customers, in order to derive the correct cash receipts, you have to analyse the accounts receivable by including the current year's expected credit losses in this account.)

5.1.3 Tax payable

The cash flows arising from income taxes are disclosed separately on a statement of cash flows. These include the taxes paid during the current year (provisional tax payments) and refunds received from the tax authority. These

cash flows should be classified as operating cash flows unless they can be specifically identified with financing and investing activities. In practice, tax is levied on taxable income (a net amount that considers the effect of all operating, investing and financing activities) and is difficult to allocate specifically. Taxes paid are almost always disclosed as an operating activity. Capital gains tax payable on the sale of a piece of land can be shown in the investing activities section, where the proceeds on the sale of the land should be disclosed.

In calculating the tax paid for the period, remember that deferred tax does not give rise to a cash flow. Thus, the total tax expense recognised in profit or loss must be adjusted to exclude deferred tax so that the tax paid only reflects tax expenses that give rise to cash flows (that is, current tax and dividend tax).

5.2 Property, plant and equipment

Only the **cash** transactions of property, plant and equipment should be included in the statement of cash flows (in other words, transactions that are recorded in the property, plant and equipment account where the contra account is the bank account).

If an entity acquires an asset and pays for it by using cash resources, that payment should be included in the statement of cash flows as part of the **investing activities** of the entity.

The following journal entry records the cash purchase of an asset:

			CU	CU
Dr		Property, plant and equipment	500 000	
	Cr	Bank account		500 000

In cases where an entity does not pay cash for an asset, but payment is by way of the issue of shares or as a result of obtaining a loan, the relevant equity or liability account should be credited and no cash flow should be recognised in the statement of cash flows.

When an entity sells an asset, the difference between the carrying amount of the asset and the proceeds that the entity receives represents a gain or loss from that sale that is included in the profit or loss for the period. In this case, the profit or loss realised on the sale of the asset does not represent any cash flow and should be reversed from the profit or loss for the year when you calculate the cash flow from operating activities. However, the proceeds received represent a cash transaction, as that is the amount of cash that the entity received when selling the asset.

The following journal entry reflects the sale of an item of property, plant and equipment when cash is received:

			CU	CU
Dr		Bank account	800 000	
Dr		Accumulated depreciation	200 000	
	Cr	Property, plant and equipment		600 000
	Cr	Profit on sale of asset (P/L)		400 000

Conversely, if the entity sold the asset on credit and had yet to receive the cash, no amount would be recognised in the statement of cash flows. (The CU800 000 debit would be to accounts receivable and not bank. Unless accounts receivable had been credited and bank debited, there would be no cash flows.)

An item of property, plant and equipment should be depreciated over its expected useful life to its residual value. The adjustments that need to be made in respect of depreciation are dealt with in Section 4.1.5.

An asset can also be impaired or an entity can adopt a policy to apply the revaluation model to a certain group of assets. **Impairment losses** recognised in profit or loss should be reversed when you calculate the cash flows from the operating expenses. The **revaluation** of an asset is recognised in other comprehensive income, which is part of equity and does not affect profit or loss. None of these accounting entries represents any cash flows. However, you should record these impairment losses and revaluations of assets when analysing the property, plant and equipment general ledger accounts, as these transactions are included in the closing balance of the asset account as recognised in the statement of financial position. Where the property is an investment property, any fair value gain or loss will be recognised in profit or loss. That gain or loss also does not give rise to a cash flow and is therefore not recognised in the statement of cash flows.

In relation to property, plant and equipment transactions, the cash paid when an asset is acquired and the cash received when an asset is sold should be included in the statement of cash flows. This is best determined by reconstructing the general ledger accounts relating to property, plant and equipment.

Property, plant and equipment is discussed in detail in [Chapter 10](#), and the impairment of assets in [Chapter 15](#).

5.3 Financial instruments

The acquisition and disposal of financial instruments represent cash flows when payment is made for these instruments. Financial instruments are covered in detail in [Chapter 14](#).

The cash flows that result from acquiring or selling a financial asset should be included in the statement of cash flows in the section relating to **investing activities** unless the investment is a trading investment, in which case, cash flows should be operating cash flows. The cash flows resulting from the issue of a financial liability or when a financial liability is settled should be included in the financing activities section of the statement of cash flows.

The cash paid for a financial asset normally includes transaction costs. These costs should be added to the value at which the asset is initially recognised, except when the asset is classified as an asset held at fair value through profit or loss. When the transaction costs have been added to the value of the asset, the cash flow recognised in the statement of cash flows should include these transaction costs. However, when you have expensed the transaction costs, those costs are included in the profit or loss for the period and form part of the cash flows on the same basis as the treatment given to the cash flows relating to the investment. This implies that the costs will be treated as an investing activity related to non-trading investments and as operating cash flows related to trading investments.

When an entity acquires a financial asset at a price that includes a dividend or interest component (in other words, if the asset was acquired cum-interest or cum-dividend), the cash consideration paid includes the cost price paid for both the instrument and the interest or dividend that was acquired. You need to include the full cash consideration paid for an asset of this nature as a cash outflow in the statement of cash flows, as this represents the cash that was paid. However, the entity may choose whether to separate the portion paid for a dividend or interest and net it off against the dividend or interest received. Later, when the entity receives the dividend or interest that it has acquired, that amount should either be included as normal as a dividend or interest received, or it should be included in (that is, deducted from) the investing cash flow as a cash inflow.

Interest received is the income earned on financial assets and is recognised in profit or loss. This interest is recognised on an accrual basis and does not necessarily represent the cash amounts received for interest. You should only include the interest that was received in cash in the statement of cash flows.

The cost of obtaining finance from a third party is recognised as an interest expense. You should recognise an interest expense on an accrual basis in profit or loss. However, the interest expense recognised in profit or loss may not represent the cash payments of interest. In addition, in limited circumstances, interest paid may be capitalised as part of the cost of an asset and not expensed. Irrespective of how it is accounted for, the interest actually paid during the year is recognised in the statement of cash flows.

5.3.1 Fair value adjustments

Fair value adjustments relate to changes in the market value of assets and do not arise from cash flows. You should reverse fair value adjustments recognised in profit or loss when calculating the cash flows from operating activities. The cash proceeds should be disclosed as an investing activity only when the related shares are sold.

Investments held for trading or held at fair value through profit or loss

Trading investments and other investments that meet the criteria and are held at fair value through profit or loss are carried at fair value. Adjustments to fair value are taken to profit or loss. The indirect method adjusts operating profit by non-cash flow items to get cash flow from operations. One of the adjustments is the gain or loss resulting from the fair value adjustments. This fair value adjustment has yet to be received in cash and is therefore excluded from the statement of cash flows.

The journal entry reflecting the fair value adjustment could be either of the following:

			CU	CU
Dr		Fair value adjustment (loss) (P/L)	2 500	
	Cr	Investment (asset)		2 500

Recognition of a fair value gain of an investment

			CU	CU
Dr		Investment (asset)	2 500	
	Cr	Fair value adjustment (gain) (P/L)		2 500

Recognition of a fair value loss of an investment

Assuming that the fair value adjustment relating to the trading investment amounted to CU2 500 (a loss), the statement of financial position would show the following:

	20x5 CU	20x4 CU
Trading investments	22 000	24 500

When preparing the reconciliation of profit or loss before interest and tax to cash generated from operations, you need to remove this loss, as it is a non-cash flow item. In order to remove the loss, you must increase the profit or loss by CU2 500.

The profit or loss can be reconciled to cash generated by operations, as illustrated below:



Where the financial investment is held for trading purposes, the cash receipts and payments relating to the sales and purchases of financial instruments are included in the calculation of the cash generated from or used by operations.

When the entity is not trading in the financial investment, it is not part of the operating activities and thus should not be included as part of cash flows from operations. In this case, the acquisition, disposal and related transaction costs should all be included in the investing activity section of the cash flow statement.

Something to think about

Classification of cash flows relating to financial instruments held for trading

Should the proceeds on the sale of a trading investment be shown as an operating cash flow or as an investing cash flow? What about the purchase of a trading investment?

Cash flows included in operating activities are the result of the principal revenue-producing activities of the business, as well as any other activity that is not an investing or financing activity. If the main business of an entity is to sell clothing, then buying and selling investments for gain would not constitute operating activities. However, as investing activities include purchasing and selling long-term assets, the proceeds could not be included in investing activities. Financing activities are related to changing the business's capital structure and are therefore not applicable in this case. As the proceeds on the sale of a trading investment are neither investing nor financing, they must be included in operating activities. The same argument would be true of purchasing a trading investment. Although the cash flows for purchase and sale are included in the operating activities on the cash flow statement, they should be shown after cash from operations in order to assist users in forecasting future sustainable cash flows.

Investments held at fair value through other comprehensive income

An equity investment that is designated at fair value through other comprehensive income requires that any gain or loss arising from the change in market value and consequential adjustment to the investment asset account be recognised in other comprehensive income until the investment is sold.

Other comprehensive income should be adjusted when the investment is sold. The sale of an investment is an investing activity (since the entity is not trading). The operating profit should be adjusted to eliminate the effect of the gain or loss on the sale and the actual cash proceeds from the sale of the instruments is shown in the investing section of the statement of cash flows. No adjustment is required when fair value is taken to other comprehensive income, as those amounts have not been included in profit.

5.3.2 Financial instruments measured at amortised cost using the effective interest rate method

The interest income and expense recognised in profit or loss are based on the accrual concept. When you recognise a held-to-maturity financial asset or financial liability by using the amortised cost method, the difference between the cash consideration received and the cash consideration paid represents the finance component of that instrument. The finance component is recognised in profit or loss over the period for which the instrument is held by using the effective interest rate. If the instrument was issued or is redeemable at a discount or a premium, the interest charged or received in profit or loss is different from the amount of interest paid or received in cash. The difference between

the cash flows and the amount recognised in profit or loss is amortised to the carrying amount of the financial asset or liability at each reporting date.

The interest paid or received reflected in the statement of cash flows should be the actual amount paid or received during the period.

5.4 Changes in equity

Changes in the equity of an entity are summarised and disclosed in the statement of changes in equity (see [Chapter 4, Owners' equity](#)). This section will concentrate on the changes in the equity for a company only, but the same principles should be applied in the case of a close corporation, a partnership or a sole proprietorship.

Cash flows resulting from changes in the equity of an entity normally occur when the owners increase their interest in the business by contributing more capital or when repayments reduce the capital to the owners. In the case of a company, this happens when the entity issues more shares, or when the company decides to buy back some of its shares from existing shareholders or to redeem shares (in the case of redeemable shares recognised as equity).

Equity also includes the retained earnings of the entity and other reserves (for example, the revaluation surplus). Transfers between reserves do not represent any cash flows and should not affect the statement of cash flows at all.

5.4.1 The issue of share capital

An entity can issue share capital in exchange for cash during the year. This transaction has implications for the statement of cash flows because the bank account is debited with the cash received from a share issue.

In order to be able to calculate the cash received from the issue of shares for inclusion in the statement of cash flows, you need to refer to the share capital account. You can then analyse the share capital general ledger account and, by deriving the credit entry, determine the cash amount that was recorded in the bank account.

The following journal entry records an issue of shares:

			CU	CU
Dr		Bank account	250 000	
	Cr	Share capital		250 000

Example of calculating cash received from an issue of shares with voting rights

Statement of financial position of KM Ltd as at 31 December 20x7



On 1 October 20x7, the entity issued 250 000 Class A shares at CU0.75 per share. BM Bank underwrote this issue, and the parties agreed to an underwriting commission. The costs of issuing the shares amounted to CU2 500. All share issue costs were paid in cash. At what rate was the underwriter's commission charged and what was the net cash received for this share issue?

By reconstructing the Class A share capital general ledger account and entering all the information, you should be able to determine the missing bank entry:



Calculating the underwriting commission:

- Increase in share capital = CU173 750 (CU303 250 – CU129 500)
- Total proceeds from the share issue = 250 000 shares × CU0.75 = CU187 500
- Underwriter's commission = CU187 500 – CU173 750 – CU2 500 = CU11 250

- Underwriter's commission rate = 

What is the net amount of cash received from the issue of these shares?

$$\text{CU187 500} - \text{CU11 250} - \text{CU2 500} = \text{CU173 750}$$

This is shown on the statement of cash flows as follows:

Cash flows from financing activity	CU
Proceeds from share issue	173 750

The cash flow from the issue of shares is shown net of the cash paid for the share issue costs. If these share issue costs were still owed by the entity, the statement of cash flows would show proceeds of CU187 500 from the share issue. These costs are written off against the share capital account and not expensed in profit or loss, as the costs are directly related to the transaction.

Not all movements in the share capital account give rise to cash flows. Share capital can also be changed as a result of share buybacks, capitalisation issues, share dividends, shares issued in exchange for assets other than cash conversion of debt to equity (referred to here as 'convertible debentures'), redeemable shares or equity-settled share-based payments. Each of these is discussed below.

5.4.2 Share buybacks

An entity is allowed to buy back its shares from its shareholders, provided that the liquidity and solvency requirements are met (see [Chapter 6](#), *Owners' equity*). The journal entry for a share buyback is to debit share capital, possibly retained earnings, and to credit bank. This reduces the cash available to the entity and the number of issued shares of the entity. Where there was a cash outflow from the entity during the year as a result of a share buyback, this should be reflected on the statement of cash flows as a financing activity, as it is a cash flow relating to the financial structure of the business.

5.4.3 Capitalisation issues

The entry to record an entity's capitalisation issue of shares is a debit to retained earnings and a credit to share capital. As this does not give rise to any cash flows, it is not reflected in the statement of cash flows. The movement

in the share capital general ledger account helps to determine the capital issued for cash during the year. Further, you must include the capitalisation issue in the account before deriving the cash receipts from share issues for the year.

5.4.4 Share dividends

When an entity declares a dividend, it can give the shareholders the option of receiving shares instead of cash. The journal entry for shareholders who elected to receive their dividend in the form of shares is to debit the dividend and credit share capital. The dividend is debited with the full amount of the dividend that was declared, and the bank account would be credited with the balance or the portion paid in cash. Only the cash dividend would appear on the statement of cash flows. The details of this non-cash financing activity should be presented in the notes to the financial statements.

5.4.5 Shares issued in exchange for assets other than cash

An entity can settle the purchase price of an asset by issuing shares to the seller rather than by paying cash. This is known as a 'share exchange', as the previous shareholders exchange their shares in the investment for shares in the acquiring entity.

The journal entry required to record this acquisition is as follows:

			CU	CU
Dr		Investments	800 000	
	Cr	Share capital		800 000

The amount debited to investments and the corresponding credit to share capital is the fair value of the investment acquired. As it is clear from this journal entry that no cash flows have taken place, the transaction is not reflected in the statement of cash flows. However, this transaction is a non-cash investing and financing activity, so its details should be presented in the notes to the statement of cash flows as non-cash investing and financing activities.

5.4.6 Convertible debentures

Certain types of liabilities and equity (for example, debentures) may be convertible into shares instead of being settled in cash. In order to record this conversion, a journal entry must debit the instrument being converted and credit the share capital with the carrying amount of the instrument converted. As this conversion does not give rise to cash flows, it is not reflected on the statement of cash flows. In some cases, a portion of the debentures may be redeemed for cash, and the rest converted into shares. To the extent that debentures are redeemed for cash, this portion should be recognised as a financing cash flow.

5.4.7 Redeemable shares

Shares that are redeemable may be classified as equity, or they may be classified as a liability. Irrespective of the classification, if the shares are redeemed with cash, then this transaction should appear in the statement of cash flows. However, if an asset other than cash (for example, shares) is used to redeem the shares, this redemption should not appear in the statement of cash flows.

Example of convertible debentures

An entity issued 600 CU100 8% debentures on 1 January 20x2. Interest is payable annually in arrears on 31 December. The effective interest rate on the debentures is 9%.

On 31 December 20x5, CU50 000 of the debentures were redeemed at face value for cash. The remaining CU10 000 of debentures were redeemed on 31 December 20x5 by issuing 4 000 shares with voting rights at a value of CU2.50 each.

The journal entries required for the redemption on 31 December 20x5 are as follows:

			CU	CU
Dr		Debentures	60 000	
	Cr	Bank		50 000
	Cr	Share capital		10 000

The bank account is only affected by CU50 000. Only this amount should be included in the statement of cash flows in 20x5 as part of the financing activities.

5.4.8 Equity-settled share-based payments

Where an entity grants share options to its employees, it recognises an expense over the vesting period (where applicable). This expense does not give rise to a cash flow. However, in calculating cash generated from or used by operations, the profit number used should be adjusted to exclude the effects of the share-based payment. The directors' exercise of the share options could give rise to a cash flow at that stage. (Refer to [Chapter 24](#) for a detailed discussion of share-based payments.)

5.5 Prior period adjustments

Changes to prior reported balances can only be made when there is a change in an accounting policy or in order to correct a prior period error (as discussed in [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*). In both cases, you should change the comparative figures to the earliest reported balance, which is normally opening retained earnings at the beginning of the prior period. These changes to the comparative figures should also be reflected in the statement of cash flows (for example, where the prior period's profit before tax has been adjusted). This means that you should prepare the statement of cash flows as if the new accounting policy has always been applied and as if the error had never happened.

An entity can change its accounting policy when a new IFRS Accounting Standard is introduced or when the change will lead to fairer presentation for users. The entity should adjust its general ledger to reflect the impact of the new policy on its assets and liabilities. However, journal entries relating to a change in accounting policy cannot affect the bank account. Therefore transactions relating to a change in accounting policy should not appear in the statement of cash flows.

The accounting policies chosen by an entity do not affect the statement of cash flows because the receipt and payment of cash are recorded according to the economic reality and not according to a theoretical accounting policy. (You should ask the question 'Has the transaction affected the bank account or not?' when considering whether a transaction will affect the cash flow statement.) For this reason, a number of analysts prefer to look at the statement of cash flows rather than the statement of profit or loss and the statement of financial position when evaluating the

financial performance of an entity and making comparisons with competing entities. Prior period adjustments do not represent any cash flows, as the bank account is unaffected.

5.6 Leases

The statement of cash flows of an entity should include payments made and amounts received in respect of the entity's leasing arrangements. The accounting of leases in the records of the lessee is different from that of the lessor. The lessee recognises a right-of-use asset and lease liability at the commencement date of the lease, and lease payments are then amortised to the lease liability. The lessor must classify a lease as either an operating lease or a finance lease. Depending on this classification, lease payments received are either recognised as income in profit or loss (for operating leases) or amortised to the net investment in the lease (for finance leases). (Refer to [Chapter 17](#) for a detailed discussion of leases.)

The lease payments by **lessees** are classified in the statement of cash flows as follows:

- Financing activities: Cash payments for the principal portion of the lease liability
- Financing or operating activities: Interest paid (in other words, cash payments for the interest portion of the lease liability)
- Operating activities: Short-term lease payments, payments for leases of low-value assets and variable lease payments.

Lessors, on the other hand, classify operating lease payments received in operating activities, while cash receipts of finance lease transactions are classified as follows:

- Financing activities: Cash receipts for the principal portion of the net investment in the lease
- Financing or operating activities: Interest received (in other words, cash payments for the interest portion of the net investment in the lease).

5.7 Borrowing costs

The circumstances under which an entity must capitalise borrowing costs are discussed in [Chapter 19](#), *Borrowing costs*. If an entity has capitalised borrowing costs, the borrowing costs should be included in the cost of the asset, which in most cases will be as an item of property, plant and equipment. However, for presentation in the statement of cash flows, the entity should include the actual borrowing costs paid as part of the 'interest paid' line item classified as cash flows from financing activities in the statement of cash flows.

5.8 Foreign currency cash flows

Cash flows relating to transactions that are denominated in a currency other than the functional currency of the entity (foreign currency transactions) are included in the entity's statement of cash flows by applying the spot exchange rate on the date of the cash flow to the foreign currency amount. Foreign exchange transactions are discussed further in [Chapter 23](#).



Something to do

Work through the illustrative examples in IAS 7. These examples include the preparation of a statement of cash flows using the direct and indirect methods and some of the additional notes and disclosures required in terms of IAS 7.

6 Group statements of cash flows

The group cash flow statement forms part of a complete set of group financial statements. Similar to a statement of cash flows that is prepared for an entity's separate financial statements, the group statement of cash flows reflects the group's cash inflows (the cash that has entered the group) and outflows (the cash that has left the group).

When preparing a group statement of cash flows, it is vital to consider the nature of the parent's investment in all other entities that form part of the group. An entity includes all the cash flows it controls in its statement of cash flows. The line item cash and cash equivalents represents the cash assets that the group controls, so the cash inflows and outflows reported in the group statement of cash flows represent 100% of the parent and 100% of the subsidiary's cash flows, irrespective of the percentage interest in the subsidiary.

None of the cash flows of an associate or joint venture that are equity accounted are included. This is because equity accounting results in the investor recognising its share of the post-acquisition equity of the investee only; the group does not have control of the cash and cash equivalents of the associate.

The implication of this is that group statements of cash flows include:

- 100% of the cash flows of the parent entity (or investor)
- 100% of the cash flows of subsidiaries
- None of the cash flows of an associate entity or a jointly controlled entity that is equity accounted.

In its separate statement of cash flows, the parent or investor reports the effects of cash flows relating to transactions between itself and subsidiaries, associates and jointly controlled entities (for example, the effects of dividends or advances). However, group statements of cash flows must only reflect the cash flows arising from transactions with parties outside the group. Thus, where intra-group cash flows arise from transactions between the parent and a subsidiary, these cash flows should not be included in the group statement of cash flows.

As a subsidiary is consolidated, the group statement of cash flows should exclude 100% of the intra-group cash flows arising from transactions between the parent and the subsidiary.

As none of the equity-accounted associate's or jointly controlled entity's cash flows is reflected at a group level, the investor includes the cash flows in respect of its investments in these entities as well as distributions and payments or receipts between it and these entities in its group statement of cash flows.

Accounting for groups is discussed in Part 3 of this textbook.

Example of inclusion of cash flows in respect of investments in group entities

H Ltd owns 100% of S Ltd, and S Ltd declares a dividend of CU1 million on 31 December 20x5, the current reporting date:

- S Ltd's statement of cash flows for 20x5 should reflect dividends paid amounting to a CU1 million outflow.
- H Ltd's statement of cash flows for 20x5 should reflect dividends received amounting to a CU1 million inflow.

The group statement of cash flows for 20x5 should reflect no cash flow, as the inflow of CU1 million and the outflow of CU1 million are inter-entity and offset at a group level. In other words, these cash flows do not exist at a group level.

H Ltd owns 80% of S Ltd, and S Ltd declares a dividend of CU1 million on 31 December 20x5, the current reporting date:

- S Ltd's statement of cash flows for 20x5 should reflect dividends paid amounting to a CU1 million outflow.
- H Ltd's statement of cash flows for 20x5 should reflect dividends received amounting to $(\text{CU1 million} \times 80\%) = \text{CU800 000}$ inflow.

The group statement of cash flows for 20x5 should reflect no cash flow concerning the dividend received by H Ltd from S Ltd, as the inflow of CU800 000 and the outflow of CU800 000 are inter-entity and offset at a group level. However, the group statement of cash flows should reflect the dividends of CU200 000 paid by S Ltd to its non-controlling interest, as this cash flow is not inter-entity.

H Ltd owns 40% of A Ltd, which is an associate. A Ltd declares a dividend of CU1 million on 31 December 20x5, the current reporting date:

- H Ltd's statement of cash flows for 20x5 should reflect dividends received amounting to $(\text{CU1 million} \times 40\%) = \text{CU400 000}$ inflow.

As none of A Ltd's cash flows is included in the group statement of cash flows, the dividend receipt of CU400 000 is not an inter-entity cash flow. It should therefore be reflected in the group statement of cash flows of H Ltd.

6.1 Acquisitions of subsidiaries and businesses

Where the acquisition of a subsidiary has been settled partly or wholly in cash, this must be reflected as part of the group's cash flows from investing activities, as this cash flow arises from a transaction with a third party (that is, the seller of the shares in the subsidiary or the business acquired).

In addition, the subsidiary acquired may also have its own cash balance on the date of acquisition. When one of the assets acquired is a bank account, the group actually receives an asset called 'bank account', which will increase the group's cash resources.

Therefore, the net cash flow arising on the acquisition of the subsidiary will be the cash paid to acquire the subsidiary, less any cash held by the acquired subsidiary. The cash flow is described as the acquisition of a subsidiary, as opposed to the acquisition of individual assets and liabilities.

When an entity buys a subsidiary, the assets and liabilities of the subsidiary are not shown separately in the group statement of cash flows. The cash element of the cost of acquisition is shown in the group statement of cash flows, and the assets and liabilities, fairly valued, are presented in the notes to the financial statements.

These additional assets should be included in the relevant group general ledger accounts at their respective fair values at the date of acquisition before calculating any group operating, investing or financing cash flows. This should happen irrespective of whether the subsidiary was acquired for cash or by the issue of shares or other debt instruments.

Separate disclosure is required of the following information:

- The total cost of the acquisition
- The portion of the cost of the acquisition that was settled in cash and cash equivalents
- The amount of cash and cash equivalents in the acquired subsidiary at the date of acquisition
- The amount of assets and liabilities (other than cash and cash equivalents) in the acquired subsidiary (summarised by each major category) at the date of acquisition.

6.2 Disposals of subsidiaries and businesses

The cash flow effects arising from the disposal of a subsidiary are reported in the same manner as outlined in Section 6.1, although separately from acquisitions:

- The cash flow presented under investing activities relating to the disposal of a subsidiary is net of cash over which the parent has lost control as a result of disposing of the subsidiary.
- The disclosure requirements are the same as those outlined in Section 6.1.

6.3 Preparation of a group statement of cash flows

There are two different ways of tackling the preparation of a group statement of cash flows:

- The first approach is to start with statements of cash flows of all the group entities, aggregate them as deemed appropriate, and then eliminate all the inter-entity cash flows.
- The second approach is to start with the group annual financial statements prepared on the accrual basis and then adjust these financial statements for the effect of the accrual basis to get back to the group cash flows. In that case, the adjustments for inter-entity transactions would already have been done in preparing the group financial statements (the group statement of profit or loss and other comprehensive income and the statement of financial position).



Something to watch

Watch the Learn Accounting video *Cash Flow for Groups*.



Example of calculating group cash receipts from customers

When calculating cash receipts from customers, you should look at the group accounts receivable general ledger account:

- The increase in the group accounts receivable balance when the subsidiary is acquired is an investing activity (as the group paid for that asset by acquiring the subsidiary).
- The settlement of the accounts receivable balance post-acquisition is a post-acquisition group operating cash flow.

H Ltd acquired 100% of S Ltd on 1 January 20x5. At that date, S Ltd had an accounts receivable balance of CU300 000.

On 31 December 20x5, the group accounts receivable balance in the group statement of financial position of H Ltd was CU1 million, of which CU300 000 related to H Ltd and CU700 000 to S Ltd. As of 31 December 20x4, the group accounts receivable balance amounted to CU500 000.

H Ltd earned sales of CU1 million during the financial year ended 31 December 20x5. S Ltd earned sales of CU4 million for the same period.

H Ltd does not own any other subsidiaries.

Group cash received from customers



From the information given above, we can see that the cash receipts from customers amounted to CU4.8 million. This reflects the group operating cash flows for the financial year ended 31 December 20x5. The CU300 000 accounts receivable balance that existed in S Ltd on 1 January 20x5, when S Ltd was acquired, arose as a result of the investing activity, which was the acquisition of the subsidiary.

Separate disclosure of these amounts is useful in assisting users in distinguishing between the cash flows arising from the acquisition of a subsidiary and the cash flows arising from other operating, investing and financing activities.

We can prove that the operating cash flow in terms of receipts from customers is correct, as shown below.

100% of H Ltd's receipts from customers must be recognised at a group level:



100% of S Ltd's receipts from customers must be recognised at a group level, as S Ltd was a subsidiary for the 20x5 financial year:



Total cash receipts from customers at H Ltd group level therefore amount to CU4.8 million (CU1.2 million relating to H Ltd and CU3.6 million relating to S Ltd), which is what we expected to see.

Key points to take from this chapter

- The statement of cash flows forms part of the set of financial statements and provides a summary of the cash inflows and outflows of the entity over a specific period of time. The statement of cash flows is prepared in accordance with IFRS 18, *Presentation and Disclosure in Financial Statements*, and IAS 7, *Statement of Cash Flows*.
- The primary purpose of the statement of cash flows is to provide information about a company's cash generated and used in its operating, investing and financing activities.
 - The statement of cash flows is typically divided into three main sections:
 - Operating activities: cash flows from the core business operations
 - Investing activities: cash flows from the purchase and sale of long-term assets
 - Financing activities: cash flows from transactions with the company's owners and creditors.
- Cash flows from operating activities include transactions related to the main business operations, such as receipts from customers, payments to suppliers and operating expenses. Adjustments to reconcile profit or loss to net cash provided by operating activities are made under both direct and indirect methods.

- Cash flows from investing activities involve changes in long-term assets. This includes the purchase and sale of property, plant and equipment; investments; and other long-term assets.
- Cash flows from financing activities represent transactions with the entity's owners and creditors. This includes issuing or repurchasing shares, borrowing or repaying loans, and the payment of dividends.
- The statement of cash flows can be prepared using either the direct or indirect method for reporting cash flows from operating activities. The direct method reports actual cash transactions, while the indirect method adjusts profit or loss for changes in non-cash items to derive cash flows.
- Certain significant non-cash activities, such as the issue of shares for the acquisition of assets, should be disclosed in the financial statements or in accompanying notes.
 - Additional disclosures to provide relevant information about the entity's cash flows, including the amounts of cash and cash equivalents, a reconciliation of cash flows from operating activities, and the amount of interest and income taxes paid during the period, are required.
- Group statements of cash flows should only reflect the cash flows arising from transactions with parties outside the group.
- Consistency in the presentation of the statement of cash flows from one period to another enhances comparability. Changes in accounting policies and the impact of these changes should be disclosed.

Discussion questions

1. Why is it important for users that an entity include a statement of cash flows when preparing its financial statements?
2. What balances should be included in 'cash and cash equivalents' and why?
3. The cash flows in a statement of cash flows are presented as cash flows from operating activities, cash flows from investing activities and cash flows from financing activities. Briefly discuss the reasons for these classifications and their benefit for the user.
4. IAS 7 allows for two methods of presenting the cash flows from operating activities. What are these methods? Briefly explain the differences between these methods.
5. Briefly discuss the factors that you would consider when deciding how to present interest received and dividends received in the statement of cash flows.

6. Briefly discuss the appropriate treatment of the following items when preparing a statement of cash flows:

- a) Deferred taxation
- b) Transaction costs relating to financial instruments
- c) Lease payments made or received under a finance lease.

7. State whether you think each of the statements that follow is true or false. Give a reason or reasons for your answer if you believe a statement to be false.

- a) Even if you choose to present cash from operations using the direct method, you must present the reconciliation between operating profit and cash from operations in the notes to the financial statements.
- b) A capitalisation issue of shares is performed by Entity A. This should be reflected in the operating section of the cash flow statement for Entity A.
- c) A good measure of the quality of earnings can be achieved by comparing sales to profit.

Exercise questions

Question 1

Briefly explain why cash generated from operations may be significantly different from the net profit from operating activities (or operating profit) in the statement of profit or loss. Provide three examples of such differences.

Question 2

Complete the table that follows. Amounts are required where appropriate.

Transaction	Effect on statement of profit or loss	Effect on statement of cash flows (specify section)
A credit sale of CU100 is made. The invoice is issued on the same date. The customer has not settled this invoice by the reporting date, but is expected to settle within normal credit terms.		
Equipment was purchased and paid for in full on the first day of the reporting period. The total costs incurred were CU50 000. The equipment is expected to be used evenly over ten years, with no residual value.		
Dividends were declared. The total value of the		

dividend was CU100 000. Half of the shareholders elected to receive the dividend in the form of inventory, while the other half opted to receive cash. The inventory and cash were distributed before the reporting date.

Question 3

The following balances appeared in the statement of financial position of A Ltd at 31 March 20x7:

	20x7	20x6
	CU	CU
Investment in B Ltd	221 000	100 000

Investment in B Ltd

The original investment in B Ltd of 10 000 ordinary shares (representing less than 5% interest in B Ltd) was remeasured at CU10.00 per share on 31 March 20x6.

On 12 August 20x6, A Ltd purchased an additional 5 000 shares in B Ltd for cash at CU12.00.

On 12 February 20x7, B Ltd made a rights issue of one share for every five shares held, at CU9.00 per share. A Ltd exercised its rights and paid the amount due on 15 February 20x7.

A Ltd did not sell any shares in B Ltd. It received a dividend of CU0.85 per share on 30 March 20x5 on this investment.

Business combination

A Ltd acquired the business of CP Partnership on 31 March 20x7 for a cash consideration of CU750 000. The following assets and liabilities were acquired:

You are required to do the following:

Indicate how these transactions would appear in the statement of cash flows of A Ltd for the year ended 31 March 20x7. You should indicate the section (operating, investing or financing), cash flows (inflows or outflows) and amounts. Comparatives and notes are not required.

Question 4

A tax rate of 27% and an effective capital gains tax rate of 21.6% apply.

On 1 January 20x5, P Ltd acquired 80% of S Ltd for CU180 000 and 30% of A Ltd for cash.

P Ltd accounts for investments in subsidiaries and associates at cost in its separate financial statements.

The net assets of S Ltd amounted to CU200 000 on 1 January 20x5, and were considered fairly valued except for trademarks with a fair value of CU28 000, which was not recognised in the separate financial statements of S Ltd. S Ltd had a bank overdraft amounting to CU12 000 on 1 January 20x5. Non-controlling interest was measured at their proportionate share of the net assets, and goodwill of CU3 872 was recognised.

The following details were obtained from the separate financial statements of the entities in the group:

The following information was reflected in P Ltd's group financial statements for the year ending 31 December 20x5:

Group statement of financial position at 31 December 20x5

Extracts from the group statement of comprehensive income for the year ended 31 December 20x5

You are required to do the following:

Show the classification and amounts, if any, that will be reflected in the group statement of cash flows for the year ended 31 December 20x5 relating to the following:

1. Investment in associate
2. Acquisition of subsidiary
3. Dividends received
4. Dividends paid
5. Intangible assets acquired.

Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

6

Owners' equity

IFRS references

IFRS 18: *Presentation and Disclosure in Financial Statements*

IAS 32: *Financial Instruments: Presentation*

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2 Owners' equity

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5 Securities

5.1 [The classification of shares as equity or debt \(financial liabilities\)](#)

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6 Reserves

6.1 [Retained earnings](#)

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7 **Disclosing owners' equity**

7.1 [Authorised share capital](#)

7.2 [Issued share capital](#)

7.3 [Movements in reserves](#)

7.4 [Prior year adjustments](#)

7.5 [Dividends declared and/or paid](#)

Key points to take from this chapter

Discussion questions

Exercise questions

References

Learning objectives

By the end of this chapter, you should be able to:

- Identify transactions with members that should be included in the statement of changes in equity.
- Identify and record changes in equity.
- Explain the circumstances in which share capital could change, and how these changes should be recorded and reflected on a statement of changes in equity.

- Identify the nature of different classes of shares and their accounting implications.
- Distinguish equity from liabilities (debt) and apply the definition of equity correctly.
 - Prepare a statement of changes in equity for a company.
 - Explain what a dividend is and when it should be recognised.
 - Process journal entries in respect of dividends.
 - Disclose dividends in the financial statements of a company.
- Disclose share capital and reserves as well as related information and transactions in the financial statements of a company in order to comply with the IFRS Accounting Standards.

Concept summary



1 Introduction

The purpose of this chapter is to focus on the **equity component** of the statement of financial position. These equity accounts are presented and reconciled within the statement of changes in equity.

A mixture of equity and debt finances a company's operations. Equity consists of the capital contributed by the owners of the company as well as any reserves that have been accumulated by the entity. It is important to distinguish between equity and liabilities in order to be able to identify what should be treated as equity. Owners' equity is the net balance of **assets less liabilities** (the residual value).

Entities that apply the IFRS Accounting Standards (whether they are sole proprietors, close corporations, partnerships or companies) all apply the same accounting treatment for assets and liabilities. However, treatment of the element of **capital** differs depending on the nature of the business (for example, whether it is a sole proprietorship, a close corporation, a partnership or a company).

A **sole proprietor** has a single owner, therefore there is little reason to distinguish between capital initially invested in the business and profits retained in the business for investment purposes and other reserves. With **partnerships**, the rights and responsibilities of the partners are specified in a partnership agreement, which usually details how the profits or losses of the partnership are to be divided between the partners. The situation is different with **companies** because their formation is generally governed by legislation, and usually a clear distinction is made between contributed capital and profits retained in the entity.

In this chapter, we will focus on the owners' equity of a **company**. Most large businesses use the legal form of a company for their business activities, with the major capital account consisting of contributed equity in the form of share capital. However, the principles discussed in this chapter apply equally to sole proprietors and partnerships, except for some specific legal requirements and applications that apply only to companies.

In South Africa, the legal formalities of a company are regulated by the *Companies Act*. In terms of the *Companies Act, No. 71 of 2008*, all companies are required to comply with the IFRS Accounting Standards. However, small and medium-sized companies may comply with either the full IFRS Accounting Standards or the *IFRS for SMEs* Accounting Standard. (Refer to [Chapter 1](#), *The financial reporting environment and frameworks*, and [Chapter 2](#), *Presentation and disclosure in financial statements*, for a more detailed discussion of the legal requirements for companies to comply with the IFRS Accounting Standards.)

The presentation of the statement of changes in equity (which forms part of the financial statements of an entity) is set out in IFRS 18, *Presentation and Disclosure in Financial Statements*. Most of the remaining IFRS Accounting Standards deal mainly with recognising and measuring assets and liabilities, revenue and other specific recording and reporting issues, but not specifically with owners' equity. However, IAS 32, *Financial Instruments: Presentation*, includes a definition of an equity instrument and explains the distinction between equity and liabilities.

This chapter builds on your existing knowledge of companies by focusing on preparing an entity's **statement of changes in equity**. It explains the principles that are behind the amounts disclosed in this statement and shows the journal entries to process the adjustments.

This chapter assumes a basic knowledge of the following concepts relating to companies:

- The company as a separate legal entity
- Shareholders' limited liability and how this differs from unlimited liability

- The legal requirements when a company is formed and the legal powers of a company
- The rights of shareholders as well as the duties and responsibilities of directors.

If you need to revise these concepts you can do so by referring to Jacqui Kew's *Financial Accounting: An Introduction* (2024).

Something to think about

Equity for companies

The company is popular as a corporate form of organisational structure because shareholders have limited liability.

2 Owners' equity

The *Conceptual Framework* defines **equity** as 'the residual interest in the assets of the entity after deducting all of its liabilities' (IASB, 2018). An entity's equity (or net worth) is determined by the difference between the carrying amount of its assets and its liabilities.

Equity consists of:

- Funds contributed by the owners
- Retained earnings (accumulated profits)
- Reserves created from transfers from retained earnings
- Adjustments to the carrying amount of assets and liabilities recognised in other comprehensive income.

Equity

... is the residual interest in the assets of an entity after deducting all of its liabilities.

Owner contribution

... is the portion of equity contributed by the owners of an entity at incorporation, or subsequently. This is typically referred to as 'capital' for a sole proprietor or partnership, 'members' contributions' for a closed corporation, and 'share capital' for a company.

Reserves

... comprise the equity attributable to the owners of the entity other than amounts directly contributed by the owners.

The amount at which equity is recognised at the reporting date depends on the measurement of assets and liabilities. An entity can choose to revalue its property, plant and equipment, and, if this is done, both the assets and the equity will be increased by the amount of the revaluation.

Changes in equity can also arise from transactions with owners in their capacity as owners (for example, the issue of new shares and the declaration of dividends).

The statement of changes in equity forms an integral part of the financial statements of an entity. It acts as a source of information to the users of the financial statements about all changes in equity arising from transactions with owners in their capacity as owners as well as total comprehensive income for the reporting period.

Something to think about

Why is the equity of an entity rarely an indication of the market value of the business?

The equity represents the net asset value as reflected in the financial statements. The financial statements are primarily based on the historical cost of assets and liabilities, and there may be assets that cannot be recognised because they do not meet the asset definition and recognition criteria.

The market value of the equity of a business is a representation of what potential and current investors consider the value of the business to be. This value incorporates the market's perception of the value of the net assets, both those that are recognised at historical cost and those that have not been recognised in terms of IFRS.

IFRS for SMEs Accounting Standard application

Section 22 of the *IFRS for SMEs* Accounting Standard, *Liabilities and Equity*, describes equity as investments by the entity's owners, plus additions to those investments earned through profitable operations and retained for use in the entity's operations, minus reductions to owners' investments due to unprofitable operations and distributions to owners.

2.1 The distinction between equity and liabilities

Irrespective of their legal form, entities are financed from two sources: **investors' funds** (equity) and **borrowed funds** (liabilities). Equity is the capital contributed by the investors of a business (as well as the profits retained in the business), while liabilities are amounts that the entity has to repay at a future date. Thus, equity is not repayable,

but a liability is. Liabilities should not be disclosed as equity but separately under long-term and short-term liabilities.

An instrument

... is a method used to transfer, hold or accomplish something of value. Instruments can be categorised in various ways, including financial instruments, equity instruments and debt instruments. These instruments hold value and can typically be traded or negotiated, either publicly or privately.

The various types of equity contributed by the investors are referred to as 'equity instruments'. These are the long-term capital instruments of the entity that are used to finance part of the business activities over the period of time that the business exists. (For example, an investor in the equity instruments of a company generally holds shares in that company.) Furthermore, these equity instruments are issued with no legal obligation to repay the amount contributed. If there were a legal obligation for repayment these instruments would meet the definition of a liability, and could not be classified as equity.

The various types of debt contributed by funders are referred to as 'debt instruments'. An entity may take on liabilities in order to finance additional growth or to maintain its daily operations; these funds are repayable at a future date and are referred to as 'debt'. Liabilities are funds that have to be repaid at a future date and may be obtained for a long or short period. The most frequently encountered types of liabilities are payables and loans. The receiver of capital of this nature normally has a contractual agreement that requires the repurchase or settlement of the debt at a future date, either in cash or by issuing another financial instrument. Capital obtained in this way with an obligation of repayment is, in substance, a financial liability (a present obligation to pay out assets in the future).

Where the rights and obligations regarding how this capital should be repaid or settled are beyond the entity's control, the capital is, in substance, a debt obligation and should be classified as a financial liability. (Refer to [Chapter 14](#), *Financial instruments*, for a detailed discussion of financial liabilities.)

The distinction between equity and liabilities is not always obvious. However, the classification of an instrument as equity or debt should be based on the substance of the transaction rather than on its legal form. This will result in a faithful representation of the financial information. (Refer to Section 5.1 for a more detailed discussion of the distinction between liabilities and equity.)

2.2 Retained earnings and other reserves

In terms of the IFRS Accounting Standards, gains and losses are required to be recognised in the statement of **profit or loss** and other comprehensive income for the period. The profit or loss is closed off to the **retained earnings** account, which represents the cumulative profit or loss of the entity over its lifetime. Gains and losses recognised as **other comprehensive income** are closed off to a reserve other than retained earnings (for example, a revaluation surplus). Reserves can also be created by transferring amounts from retained earnings to a separate reserve, typically to set funds aside for future projects.

The description 'reserve' is sometimes confusing, and no well-defined meaning is attached to it. In general, a reserve is not directly represented by cash, and merely represents the (unrealised) gains and losses on revaluing various assets and on translating foreign operations. Reserves are increases or decreases in the net assets of an entity that do not result from transactions with owners. Reserves are also referred to as **surpluses**, and they accumulate from the gains and losses included in **other comprehensive income**. The following **reserves or surpluses** are recognised separately in terms of the IFRS Accounting Standards and are normally identified separately in the statement of changes in equity:

- Revaluation surpluses relating to property, plant and equipment (refer to IAS 16)

- Revaluation surpluses relating to investments in specified equity instruments (refer to IFRS 9)
 - Translation of foreign operations (refer to IAS 21)
 - Reserves relating to cash flow hedges (refer to IAS 39)
 - Share-based payment reserves (refer to IFRS 2).

2.3 Reporting equity

An entity should report details of its owners' equity in the **statement of changes in equity**, which forms part of the statements required in order to prepare a complete set of financial statements (refer to IFRS 18). As this statement normally summarises each equity component, it acts as a reconciliation between the carrying amount of each class of equity capital and each reserve at the beginning and end of the period, disclosing each movement separately.

IFRS 18 requires an entity to include the following in the statement of changes in equity:

- The amounts of transactions with owners in their capacity as owners, showing contributions by and distributions to owners separately
- Total comprehensive income for the period, showing the total amounts attributable to owners of the parent and non-controlling interest separately
 - For each component of equity, the effects of retrospective application or retrospective restatement of prior year balances
- For each component of equity, reconciliation between the carrying amount at the beginning and the end of the period, with each change disclosed separately.

2.3.1 Reporting equity for different legal entities

While shareholders provide a company with its capital, and changes in the capital and reserves of a company are disclosed in the statement of changes in equity, the capital of a close corporation is contributed by its members and the equity interest of the members is disclosed in the **members' interest statement**. These two statements are similar in that they both summarise changes in capital contributions by members (in the case of a **close corporation**) or shareholders (in the case of a **company**) and changes in the entity's reserves during a reporting period. The owners of a partnership are referred to as its partners, and movements in the partnership's equity are summarised in the **partners' capital and current accounts statements**.

As the types of capital, changes in capital and the distribution of the accumulated reserves differ significantly between the three types of legal entities, each statement of changes in equity is unique. (Refer to Section 7 for an example of the layout of a statement of changes in equity of a company.)

Watch Part 1 and Part 2 of the Learn Accounting video

The Accounting Equation.



3 The company as a corporate structure

A company differs from a sole proprietorship, a partnership or a close corporation in that it issues share capital to its shareholders under specific conditions and with specific rights and obligations, as set out in the *Companies Act, No. 71 of 2008*. A company is a **separate legal person** from its owners. All assets acquired belong to the company, and any liabilities that the company incurs are an obligation of the company.

3.1 Types of company

Generally, there are two types of company: a **for-profit company** and a **not-for-profit company**. The types of company are distinguished by the nature of ownership as well as the rights and responsibilities of the shareholders. A for-profit company is defined as a company incorporated for financial gain for its shareholders. In contrast, a non-profit company (for example, the International Committee of the Red Cross) is incorporated for public benefit. Its income and property are not distributable to its incorporators, as its principal objective is not profit generation.

Internationally, for-profit companies may take on a number of forms. For example, a **private or closed company** usually has limited membership and restrictions on obtaining funds from the public. A **public company**, or open corporation, generally has a large number of issued shares with widespread ownership. Public companies rely on the public for subscription to share offers as well as the provision of debt funding via secured loans, such as debentures, or through unsecured loans. Public companies are often **listed**, meaning their shares are traded on a stock exchange.

However, it is optional for a company to be classified as a public company, as public companies may also be unlisted, with their shares traded through brokers and financial institutions. Some for-profit companies may be classified as '**limited by guarantee**', where the members undertake to contribute a guaranteed amount in the event of the company going into liquidation. In contrast, other companies may be classified as '**no liability**', where members are not required to pay any calls on their shares if they do not wish to continue being shareholders in the company.

The choice of legal form of a company and its organisational structure (depending on the legislation in the country or countries in which it operates) usually includes the advantage of **limited liability** to shareholders. Limited liability implies that the maximum amount payable by each shareholder is set for all shares issued. This maximum amount is usually the amount the shareholder paid for those shares. Even if a company incurs losses or goes into liquidation, the company cannot require a shareholder to provide additional capital. In South Africa, a company is a **personal liability company** when its members do not enjoy limited liability in the same way that shareholders of a public or private company do. An example of a personal liability company is a company comprising a group of professional people such as accountants, lawyers or engineers.

The exact rights and responsibilities of shareholders in relation to the different forms of the company differ according to the relevant companies' legislation and other laws specific to the country or countries in which the company operates. Companies and their various operations are often subject to strict legislation and increasing government regulation, including the forced and detailed disclosure of information.

3.2 Share capital and shareholders

Share capital is the capital shareholders contribute to a company, which is then used as part of the financial resources to generate profits. Shares generally represent the **ownership rights** in a company, where shareholders (often also referred to as equity holders) are entitled to receive distributions (dividends) declared by the company. In addition, if the company is liquidated, they are entitled to their share of the net assets. Each share represents a proportional right to the net assets of the company. Within a class of shares, all shares have the same equal rights.

Shares are generally transferable between parties. Shareholders cannot force the company to repay their share capital. As the company has **no obligation to repay the capital**, the shares are classified as equity. If shareholders want their money back before the company liquidates, they need to find a buyer who wishes to purchase their shares.

Share markets allow investors (in shares) to trade in shares. Where an active market exists (for example, an organised stock exchange), the fair value of a company's shares at a point in time can be measured reliably. An advantage of transferability from the company's perspective is that a change in ownership by one shareholder selling shares to a new investor does not affect the company's continued existence and operation. (The accounting treatment for investments in shares is discussed in [Chapter 14, Financial instruments](#).)

The capitalisation of a profit company is usually determined in a document called a **memorandum of incorporation**. The **authorised capital** comprises the different classes of shares and the number of shares that the company is authorised to issue. The memorandum of incorporation must set out a distinguishing designation for each class of shares, including the general voting rights, preferences, rights, limitations and other terms associated with that class of share. The authorised shares of a company have rights associated with them once they have been issued. **Issued capital** (also referred to as 'subscribed capital') refers to the actual classes and number of shares that have been issued. The issued capital may not exceed the authorised capital. The authorisation and classification of shares, the number of authorised shares of each class, and the preferences, rights, limitations and other terms associated with each class of shares may be changed by an amendment to the memorandum of incorporation by way of a special resolution of the shareholders or the board of the company.

The maximum amount payable for each share is set when the shares are originally authorised (usually when the company is incorporated) or when the shares are issued. In some countries, shares are issued with a specific amount stated on the share certificate. This amount is referred to as the **par value** of the shares. Par value shares may be issued at a higher value than the par value, if the market considers the value to be higher. The amount above the par value is referred to as a 'premium'. Par value shares have been replaced in many countries (including South Africa) by the issue of shares with **no par value**; thus, shares are issued at a specified price at the issue date. However, there are several countries where the issue of both par value and no-par value shares is allowed.

As many existing companies have authorised and issued par value shares, par value and no-par value share classifications will be covered in the remainder of this chapter, emphasising the issue of no-par value shares.

3.2.1 Consideration for shares issued

Whenever the company issues new no-par value shares, the directors determine the price at which those new shares are issued, which must be for 'adequate consideration' in terms of the *Companies Act* (in other words, the amount is agreed between the parties and is reasonable). When the company has received the consideration approved by the board for the issue of those shares, the shares are fully paid and should be issued accordingly.

The consideration received from the issue of **no-par value shares** should be credited to a **share capital account**, where the whole amount of the proceeds forms part of the company's capital. Any share issue costs relating to the no-par value shares are written off against the share capital account, resulting in the net consideration received from the new no-par value shares being included in equity.

The following journal entry is required when cash is received for the issue of new shares at no par value:

Dr	Bank
Cr	Share capital (capital raised with the issue of shares at no par value)

(Refer to Section 4 for a detailed discussion of the issue of shares, including the issue of shares for a consideration other than cash.)

3.2.2 Forms of share capital

Authorised shares with different designations may result in shares being issued with specific preferences, rights, limitations or other terms. These include shares that confer special, conditional or limited voting rights, shares that may be redeemable or convertible, shares that entitle the shareholders to distributions, or shares with preference over any other class for distributions. At least one class of shares authorised and issued by a company must have voting rights on matters that may require a decision by the shareholders, and the holders of at least one class of shares must be entitled to receive the company's net assets upon its liquidation.

Authorised shares

... are shares an entity is authorised to issue to existing and potential shareholders, while the issued share capital represents the shares the entity has actually issued.

Shareholders usually acquire the following **rights** through the acquisition of shares:

- The right to share equally in the net assets and hence the profits or losses of the company
- The right to vote for directors of the company
- The right to share in the assets of the company on the winding-up or liquidation thereof
- The right to share proportionately in any new issues of shares of the same class.

Shares are issued with these specific rights attached and are given different names to signify the differences in these rights. The most common form of share capital is the **ordinary share** (or the common share). Another form of share capital is the **preference share**.

Ordinary shares

Ordinary shareholders are often referred to as the '**residual**' **equity holders** as they obtain what is left after the claims of all the other parties have been met. Ordinary shares usually have a voting right attached to them, which establishes the right of shareholders to have a say as owners in the company's strategic direction.

The shareholders are the **owners** of the company. In the case of small or private companies, the owners usually assume the responsibility of managing the company. The owner of a small or medium-sized entity is often also the director, who is actively responsible for the management of the business on a daily basis. In the case of large public entities and corporations with a large number of owners (shareholders), there is generally a separation between ownership and management. For these entities, the shareholders in fact '**employ**' professional managers (directors) to manage the business and its various operations. These managers have to '**report back**' to the shareholders by providing periodic reports on the financial performance and position of the company (in the form of annual financial statements).



Something to think about

Reporting to the investors of a company

The directors of a company have a responsibility to report to the investors; they are held accountable for their actions and decisions. The investors are certainly interested in the company's financial performance and their investment in the company. This can be seen through the financial statements. But what other information might the investors of a company be interested in?

Companies provide a variety of non-financial reports to provide this additional information. These reports include information about the governance of the company by the directors and their remuneration, as well as environmental and social aspects that affect the company or where the company has an impact. Refer to [Chapter 1](#) for a further discussion on the non-financial reporting by companies.

Directors of large public entities are usually classified as **executive** or **non-executive directors**:

- **Executive directors** are employed by the company, and they receive a salary. For example, the company's chief financial officer is usually the financial director.
- **Non-executive directors** are not full-time employees of the company. Retired and experienced professional accountants and managers often accept appointments as non-executive directors.

Directors are elected at the annual general meeting of the company. Shareholders exercise their **voting rights** to elect the directors. The shareholders may vote in person or by proxy, which means that the shareholder may authorise another party to vote on their behalf at the meeting. Refer to your notes on corporate governance and King IV (see [Chapter 1](#)) for the more detailed requirements relating to the appointment, roles and responsibilities of directors.

Ordinary shareholders usually have the **right to share in the net assets on the winding-up or liquidation** of the company. However, you should refer to the legislation specific to each country for the rights and responsibilities of shareholders in these cases, as well as the rights of creditors to receive payment in preference to shareholders.

Shares that are authorised and issued as ordinary shares have no specific rights to any distributions of profit by the company. The declaration (and subsequent payment) of an ordinary dividend depends on the decisions made by the directors of the company. The directors usually propose an ordinary dividend, and the shareholders then approve this proposal at the annual general meeting. In some countries, regulations stipulate from which equity accounts the dividends can be paid or whether the company has to meet solvency and liquidity tests before paying dividends.

Preference shares

Holders of preference shares generally have a preferential right to dividends over ordinary shareholders. This means that a preference dividend should be declared (and paid) before an ordinary dividend is declared (and paid).

Preference shares classified as redeemable or convertible may be redeemable or convertible at the option of the company, the shareholder or another person at any time, or upon the occurrence of a specified contingency. Such a redemption or conversion may be for cash, or in exchange for any other type of security or property, at prices and at amounts specified or determined by a formula. In addition, shares may have specific distribution entitlements (for example, dividends that are cumulative, non-cumulative or partially cumulative):

The holders of preference shares

... have the right to receive a preference dividend before a dividend is declared to ordinary shareholders.

The holders of ordinary shares

... have the right to share in the residual value of the entity upon liquidation.

- **Cumulative versus non-cumulative shares:** In the case of cumulative preference shares, the right to receive a dividend accrues even if the dividend is not declared in a particular year; the dividend is in arrears. This means that the dividend is carried over to a subsequent year. For non-cumulative shares, the right to that dividend is lost if a dividend is not declared and paid in a particular year.
- **Participating versus non-participating shares:** Participating preference shares give the shareholder the right to share in extra dividends, usually after the ordinary dividend has been declared.
- **Convertible versus non-convertible shares:** Convertible preference shares may give the holder the right to convert the preference shares into ordinary shares. The right to convert may be at the option of the holder of the shares or at the option of the company itself.
- **Converting preference shares:** These preference shares have to convert into ordinary shares at a specified point.
- **Redeemable versus non-redeemable preference shares:** After their issue, redeemable preference shares may be redeemed (settled or repurchased) from the shareholders by the company. This is generally done at a price established in terms of the market price of the shares at the date of redemption.

In the case of convertible, converting and redeemable preference shares, you may need to consider whether these shares should be classified as equity or debt. (Refer to Section 5 for a further discussion of securities. The distribution of dividends to shareholders is discussed in more detail in Section 6.3.)

Limited liability

Although shareholders may enjoy some or all of these rights, they are also protected against the losses of the entity.

Even if a company incurs losses or goes into liquidation, the company cannot require a shareholder to provide additional capital. This is referred to as the **limited liability** of shareholders, which protects shareholders by limiting the contribution required of them. This, in turn, places limitations on creditors' ability to access funds to repay company debts. In order to protect creditors, many countries have enacted legislation prohibiting companies from distributing capital to shareholders in the form of dividends, requiring that dividends only be paid from profits and not from capital, and that assets exceed liabilities immediately before a dividend is declared.

4 Accounting for share capital

Receiving assets in exchange for share capital is usually the first transaction for a newly incorporated company. The founding shareholders contribute capital (in the form of cash or other assets) and shares are issued to those first owners. Think about the **accounting equation**: $\text{assets} = \text{equity} + \text{liabilities}$. The issue of new shares increases equity and the payment for these shares gives rise to the recognition of (increase in) an asset.

Something to watch

Watch the Learn Accounting video

What is a Share?

The issued share capital of a company can change when additional shares are issued (an increase) or by the repurchase or redemption of issued shares (a decrease). A company can also convert its preference shares to ordinary shares, and so on.

Share capital can also increase when another form of equity is transferred to capital. This process is known as a 'capitalisation issue'. The issue of new shares in exchange for cash or other assets increases the net assets and therefore the equity of the company. In contrast, a capitalisation issue reclassifies amounts within the equity of the company, with no effect on the net assets.

This section examines the issue of new shares to obtain additional funds, the capitalisation issue of shares and a company's repurchasing of its own shares. The recording of the changes in share capital applies to all classes of shares issued.

4.1 The issue of shares

Once a new company is incorporated, the procedures necessary to issue shares will commence. Shares are usually offered to the founder shareholders (the first shareholders of a newly registered company) first. Once the company is established, a further offer is made to the public (in the case of a public company). The initial offering of shares to the public to invest in the new company is called an **initial public offering**. A public company invites members of the public to subscribe to shares by way of a document called a **prospectus**. If a private company issues any shares, the shares should first be offered to existing shareholders for subscription before being offered to any other potential shareholder.

A company raises additional capital by issuing shares, which are limited to the amount of authorised shares of the company. The company can decide to issue new shares to its **existing shareholders**, the public, or a particular shareholder in exchange for assets. The board of directors is authorised (by the shareholders) to resolve to issue the shares of the company at any time. The directors also determine the minimum consideration that must be received from a share issue. New shares can only be issued within the classes and to the extent to which the shares have been authorised in the memorandum of incorporation.

The cost of issuing new shares can be quite substantial. It includes the cost of preparing and distributing the relevant documentation and marketing the share issue, as well as the fees charged by the various consultants (accountants, lawyers and so on) for their services. Costs associated with issuing shares are usually referred to as **share issue costs** and are treated as a reduction in the share capital account.

Prospective shareholders who wish to apply for shares in a company must apply to the company (or its promoter) and pay the agreed amount. A shareholder can acquire shares either by paying cash to the company in which the shares are acquired (in which case, share capital is increased) or by buying the shares from an existing shareholder (which does not affect the share capital of the company).

4.1.1 The application and allotment account

When new shares are offered to prospective shareholders (applicants), and applications are received for those shares, the cash (or other assets) received from the applicants is credited to the **application and allotment account** until such time as the subscription to those shares is closed, and the shares are allotted. When the shares are actually issued, the application and allotment account is debited, and the share capital account for each class of share is credited. Excess cash receipts refunded to applicants are credited to the bank account (for payments made) and debited to the application and allotment account. The application and allotment account is a **temporary account** and should be cleared out to a zero balance once the share issue is finalised. A company may elect to return an oversubscription to the applicants. This is usually done in an orderly manner, where shares are allocated to all the applicants on a *pro-rata* basis.

Cash received from potential shareholders' subscriptions for new shares is kept in a separate bank account until the shares are allotted and issued. During this time, the company must either issue shares to these potential shareholders or refund the cash. Therefore the application and allotment account represents a liability until the shares are issued. When the shares are issued, the amount attributable to the shares issued is recognised as equity, while any excess amounts are refunded.

When shares are **undersubscribed**, the company can do one of two things: it can either accept the undersubscription (if the amount received is above the minimum consideration) and allot the shares applied for, or it can return the cash received to the prospective shareholders and cancel the share offer. If a company considers it a risk that the shares will not be fully subscribed for, it may ask a financial institution to underwrite the issue. The '**underwriter**' (the financial institution) undertakes to subscribe for all the shares not subscribed for by prospective shareholders. This means that the underwriter accepts the risk of an under-subscription, and the company is secured for the full value of the share offer. This is a form of insurance. The underwriter normally requests a fee for carrying the risk of a possible undersubscription. This fee is referred to as the '**underwriter's commission**'. The conditions and fees relating to the underwriting are normally stipulated in the underwriter's contract, where the underwriter's commission may be specified as a fixed amount or a percentage of the full value of the share issue (see Section 4.1.3).

An underwriter

... is a third party (usually a bank or a stockbroking company) that undertakes to take up any excess shares not subscribed to in terms of a public offer.

Example of recognising the offer of shares and subsequent oversubscription

Watson Ltd offered 1 000 000 shares with voting rights to the public at CU1 each. The company received applications (and cash) for 1 500 000 shares from nine different applicants. Watson Ltd has sufficient authorised shares for this issue but does not wish to accept any excess subscription. When the cash is received from the potential shareholders, Watson Ltd will record it as follows:

			CU	CU
Dr	Bank account		1 500 000	

	Cr	Application and allotment account		1 500 000
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Proceeds received from applicants for new shares offered

As Watson Ltd received applications for 1 500 000 shares while only 1 000 000 shares were on offer, the company needs to return the excess of CU500 000 received. (This is normally referred to as a 50% oversubscription.) The available shares on offer should be allocated to the applicants in an orderly manner.

Watson Ltd will record the allocation and refund of the excess subscription as follows:

			CU	CU
Dr		Application and allotment account	1 000 000	
	Cr	Share capital account		1 000 000

Allocation of new shares to applicants

			CU	CU
Dr		Application and allotment account	500 000	
	Cr	Bank account		500 000

Excess applications refunded to applicants

4.1.2 Recording the issue of new shares

The accounting treatment of shares issued at no par value is such that the proceeds are all recognised in the **share capital account**. New shares should only be issued within the classes and to the extent that the shares have been authorised, for example, Class A shares (or ordinary shares) with voting rights.

Excess applications refunded to applicants



ETHICAL DILEMMA

Ethical issues can arise when shares are issued without proper authorisation or in violation of regulatory requirements. For example, management might issue additional shares without obtaining the required approvals or without offering existing shareholders the opportunity to participate on equal terms. This can dilute the ownership of existing shareholders and undermine their rights and interests.

4.1.3 Share issue expenses

When new shares are offered to prospective shareholders, some share-related expenses are incurred (for example, the costs of preparing and distributing the prospectus). Share issue expenses should be written off (debited directly against equity) in the year in which they are incurred, as these costs relate to transactions with owners (issuing shares to raise capital). The cost should be shown separately in the statement of changes in equity or in the notes to this statement.

When shares are offered to prospective shareholders, the company may decide to have the offer underwritten by a financial institution, which will charge a commission. The **underwriter's commission** is normally quoted as a percentage of the total amount of capital to be raised by the issue. For example, when one million shares are offered for subscription at CU2 per share and the underwriter asks for a commission of 1%, the total commission will amount to $1\% \times \text{CU2 million} = \text{CU20 000}$, irrespective of the number of shares subscribed for by the public or the number of shares that the underwriter would be required to subscribe for.

Share issue expenses, including the underwriter's commission, should not be capitalised but should instead be written off against the **share capital account** directly in the statement of changes in equity so that the net consideration received for the new shares issued is included in equity.

IAS 32 requires that **share issue transaction costs** incurred in issuing new **equity instruments** or a company reacquiring its own equity instruments (as a share repurchase) be recognised as a **deduction from equity**. These costs should not be expensed in profit or loss or recognised as an asset. Transaction costs should only be netted against equity if the costs result from an increase or decrease in equity. If the net effect on equity is zero (for example, in the case of a capitalisation issue), the related costs should be expensed. Transaction costs do not include listing costs, as they have not been incurred for an increase or a decrease in equity. The fact that a company is listed does not affect the equity of the company. As the costs are not considered equity transaction costs, listing costs should be expensed in the statement of profit or loss and other comprehensive income.

If a new share issue has been undersubscribed and not underwritten, and the directors choose to refund the cash received to the applicants, the company's equity remains the same. Any share issue costs relating to an unsuccessful issue cannot be written off to the existing equity but should be expensed in profit or loss. This treatment confirms the principle that the net consideration for a new issue should increase equity. Where there is no increase in equity (as the subscription was unsuccessful), related costs should be expensed.

Example of recording an issue of new no-par value shares

Wilson Ltd was formed on 1 January 20x3 with an authorised share capital of 25 000 000 Class A (ordinary) shares with voting rights. The subscribers to the memorandum (the initial shareholders who started the company) subscribed for 10 000 000 Class A shares at CU2 each and paid for them in full.

Following the publication of a prospectus, Wilson offered a further 15 000 000 of its authorised Class A shares to the public, payable in full on application, at CU2.20 per share. Applications closed on 25 January, when applications for the full issue had been received. Share issue costs amounted to CU300 000. The shares were allotted on 1 February 20x3.

The company recorded the share issues as shown below.

At 25 January 20x3:

[illegible]

Dr	Bank	33 000 000	
	Cr Application and allotment account		33 000 000

Cash received from the public for subscription to shares (15 000 000 shares × CU2.20)

At 1 February 20x3:

		CU	CU
Dr	Application and allotment account	33 000 000	
	Cr Share capital account: Class A		33 000 000

15 000 000 shares at CU2.20 each allotted to the public

		CU	CU
Dr	Share capital account: Class A (share issue costs)	300 000	
	Cr Bank		300 000

Payment for share issue costs, debited to share capital account

Assuming a profit after tax of CU45 000 000 for the first six months of trading, the statement of changes in equity should be presented as shown below.

Statement of changes in equity for Wilson Ltd for the six months ended 30 June 20x3



4.1.4 Preliminary expenses

Promotional, legal, administrative and other expenses are incurred when a company is formed and initial financing is raised. Expenses of this nature that are incurred prior to the commencement of business are called '**preliminary expenses**' or 'formation costs' and should be expensed in profit or loss when incurred. These costs do not meet the definition of an asset, as there are no expected future economic benefits associated with these outlays that can be controlled by the company. These costs also do not relate to transactions with owners, so they should be expensed when incurred. This is consistent with the requirements of IAS 38, *Intangible Assets* (see [Chapter 12](#)).

4.2 Subsequent changes to shares resulting from an exchange for assets

Net assets may increase due to changes in equity resulting from a situation where shares are issued in any of the following ways:

- In exchange for cash to an existing shareholder, group of shareholders or the public

- In terms of a rights offer, where existing shareholders are given the right to acquire additional shares in a specific ratio at a specified price
- In terms of options held by an option holder, typically directors and senior employees
- In exchange for a non-monetary asset such as shares in another company (as part of a share exchange).

Something to think about

Pricing of shares

In the example above, the shares were originally issued at CU2 each, and then a second issue was made at CU2.20 each. A company should consider the market value of the existing shares before deciding on an offer price for the new shares, as potential shareholders will only be interested in subscribing to the new shares if the offer price is market-related.

A company can decide to issue new shares through any of the following means:

- An issue of new shares to the public
- An issue of new shares to existing shareholders, normally in the form of a rights issue
- A private placing, which involves the placing of the new shares with specific investors.

The decision to offer new shares is complex and may impact existing shareholders. For example, their interest in the company will be diluted when new shares are offered to the public or through a private placement. When a company issues additional shares, there is always the possibility that the existing **shareholding** (the percentage interest in the company) of particular shareholders may change. If shares are issued in proportion to existing shareholding, each shareholder will continue to hold the same percentage of the company. However, shareholders who did not take up their allocation of a new share offer would experience a decline in their percentage shareholding. The company's authorised share capital must be sufficient to include such a new share offer.

The issue of shares enables a company to receive assets (cash or otherwise) or services (of directors and employees) without using existing cash resources. Issuing shares is, therefore, a source of finance for the company. Share issues are often done when a company has expansion plans, as additional cash resources are received without the added risk of paying more interest charges (which would be payable if loan finance were raised). The downside of the issue of additional shares is that existing profits will have to be divided among more shareholders. This is mitigated by the fact that additional capital should lead to greater profits being earned, although there may be a lag in the timing of the additional profits being earned.

Any movements in share capital should be included in the statement of changes in equity or be shown in the notes to the financial statements.

4.2.1 The issue of new shares to the public

After the initial registration of a company and its initial share issues, the company is 'operational' and ready to commence with its business activities. After that, if an investor wishes to acquire an interest in the company, they must purchase shares from the existing shareholders. The transaction therefore takes place between the old and new shareholders and does not affect the company in which the shares are held. This happens, for example, when shares are traded on a regulated exchange. However, when **additional finance** is required, one of the options available to a company is the issue of additional shares, either to existing or new shareholders (for example, the public). A company may only offer shares to the public if it is authorised in its memorandum of incorporation. When new shares are issued, the shareholders pay the issuing company money for the shares. When new shares are offered to the public, the company wishing to issue the shares has to publish a **prospectus**. The purpose of a prospectus is to give prospective investors the information they need to make informed decisions regarding their proposed investment.

4.2.2 The issue of new shares to existing shareholders

Where new shares of an existing class of shares are offered to the existing shareholders, this is typically referred to as a **rights offer**, as the existing shareholders have the right to acquire additional shares in the company in a specific ratio to their existing shareholding at a specified price. The shareholders of a private company have a pre-emptive right to subscribe to shares in proportion to their shareholding before any shares can be offered to any other person.

If the shareholders choose not to exercise their rights, the directors may offer the shares to other potential shareholders. For a public company, there is no pre-emptive right for the shareholders; the directors decide whether a share issue will be offered to existing shareholders or straight to the public. For example, a company could offer its existing shareholders the right to subscribe to ten additional shares for every 100 shares held at a price of CU2 per share. The purpose of a rights offer is for the company to receive **additional assets** (normally cash resources) from existing shareholders. If all the existing shareholders exercise their rights, there will be no change in the percentage shareholding of each shareholder.

A rights offer

... is when new shares are offered to existing shareholders, giving them the right to acquire these additional shares in proportion to their existing shareholding at a specified price.

The directors of a company determine the number of shares to be offered in a rights offer, as well as the offer price per share based on the market conditions of existing shares and the amount of capital that the company wishes to raise. In order to attract support from the existing shareholders, the rights offer is usually pitched at a price below the current market price of the existing shares. Owing to the risk that not all shareholders may exercise their rights, rights offers are usually **underwritten**.

Any costs associated with the rights offer are written off against the **share capital account**.

Existing shareholders or potential investors who acquired the rights can only subscribe to the rights they are entitled to in terms of the nil-paid letters. Therefore, a rights offer must be unrestricted. (Nil-paid letters are referred to as 'securities', which can be traded for a value, but were originally issued to the existing shareholders at no cost.)

Example of the rights offer of shares to existing shareholders (no par value shares)

Williams Ltd's issued share capital consisted of 50 000 000 shares issued at CU1.10 each. In order to obtain additional funds, the company announced a rights offer to all existing shareholders of one new share for every four shares held, at CU48 per share.

The rights offer was announced on 31 January 20x5 and was offered to shareholders registered on 15 February 20x5. The closing date of the rights offer was 8 March 20x5, with a share certificate issue date of 13 March 20x5.

Underwriters Ltd undertook to take up any unsubscribed rights within seven days and underwrote the rights offer at a commission cost of 1%.

Williams Ltd received applications amounting to CU564 000 000 (for 11 750 000 shares). The share issue costs totalled CU500 000.

Before the rights offer, the issued share capital of Williams was as follows:

$$50\,000\,000 \text{ issued shares} \times \text{CU}1.10 = \text{CU}55\,000\,000.$$

The cash that Williams would raise from the rights offer can be calculated as follows:



The total value of the rights offer amounts to CU600 000 000 (12 500 000 rights × CU48). As applications were received to the value of only CU564 000 000 (11 750 000 rights, calculated as ) Underwriters Ltd would need to take up the remaining 750 000 rights to the value of CU36 000 000 (CU48 × 750 000).

The underwriter's commission payable to Underwriters Ltd is payable on the full value of the rights offer, amounting to 1% × CU600 000 000 = CU6 000 000.

Williams Ltd will process the journal entries below when the applications are received.

22 February 20x5 – 08 March 20x5:

			CU	CU
Dr		Bank	564 000 000	
	Cr	Application and allotment account		564 000 000

Cash received for rights offer

At 8 March 20x5:

			CU	CU
Dr		Bank	36 000 000	
	Cr	Underwriters Ltd		36 000 000

Underwriters pay for unsubscribed rights

Allotment of shares on 13 March 20x5:

		CU	CU
Dr	Application and allotment account	564 000 000	
Dr	Underwriters Ltd	36 000 000	
	Cr Share capital		600 000 000

Issue of shares (12 500 000 × CU48)

Share issue costs and underwriter's commission paid:

		CU	CU
Dr	Share issue costs	500 000	
Dr	Underwriter's commission	6 000 000	
	Cr Bank		6 500 000

Payment of share issue costs

The share issue costs and underwriter's commission should be written off against the share account:

		CU	CU
Dr	Share capital	6 500 000	
	Cr Share issue costs		6 500 000

Write-off of share issue costs

Williams Ltd Statement of changes in equity for the year ended 31 December 20x5



4.2.3 Share options

A share option is an instrument that gives the holder the right (but not the obligation) to buy a certain number of shares in a company by a specified date at a stated price. Share options are often offered to directors and senior employees of a company. The price is normally fixed when the option is granted, which then motivates the employee or director to maximise shareholders' wealth so that the equity value of the company will be much higher at the future date when the option can be exercised. An option holder will only exercise the option when the current market value of the shares is higher than the fixed price of the option (when the options are 'in the money'). When the current market value of the shares is lower than the exercise price of the option, it is unlikely that the option holder will exercise the option (the option is 'out of the money'). This method of remuneration effectively transfers equity value from existing shareholders to the person receiving the remuneration and dilutes the value held by the other shareholders.

The company issues new shares and increases its share capital when the option holder exercises the option. Share options (which may be a form of 'share-based payments') are discussed further in [Chapter 24](#), *Employee benefits and share-based payments*.

Example of the issue and exercise of share options

A company issues 100 options valued at CU1 each to a key executive director as a payment for past services. Each option entitles the director to acquire one share in the company at a price of CU5 when the current market price of the company shares is CU4.50.

If the share price reached a price higher than CU5 at the exercise date, the director would be likely to exercise the option.

If the share price failed to reach CU5 within the specified life of the option, then the director is not likely to exercise the option, which would lapse.

4.2.4 Share exchanges

As part of an expansion plan, a company may decide to increase its net assets by acquiring another business. As compensation for the net assets, the company may decide to offer some of its own new shares to the shareholders of the other company. This is normally referred to as an **exchange of shares**. For example, if Company A wishes to acquire the business of Company B, it can either acquire the net assets of Company B, or it can acquire shares in Company B. Should it acquire the net assets of Company B, it must have sufficient funds available to pay for the full value of the net assets. Alternatively, Company A could issue new shares to Company B in payment for its net assets. This would result in Company B having only one asset: the shares in Company A. Another option (in practice, this is more common) would be for Company A to acquire the shares in Company B from its existing shareholders. The existing shareholders in Company B would then give up their shares in this company in return for new shares in Company A.

The number of shares exchanged and the price per share would depend on the valuations of each of the two companies. In this case, the net assets of Company B remain unchanged, but the shareholders have changed. Refer to [Chapter 25](#), *Business combinations*, for a more detailed discussion of business acquisitions.

Where shares are exchanged, **no cash flows** between the two parties, except where the purchase price includes a portion payable in cash. In a share exchange, the general principles apply for no par value shares and the fair value of the consideration received is credited to share capital. The transaction is measured at the **fair value of the consideration received** (that is, the investment) unless the fair value of the consideration received cannot be measured reliably, in which case it is measured at the fair value of the equity instruments granted.

The journal entries required by the company issuing new additional shares in exchange for shares in another company would be as follows:

Dr		Investment in Company B (fair value of the shares acquired)
	Cr	Share capital (fair value of the shares acquired)

Example of a share exchange

In a business combination transaction, the original shareholder of Company A receives shares in Company B and Company B receives shares in Company A, which are then recognised as an investment. Company B would need to calculate the fair value of the shares acquired in Company A, and the cost of the investment would be debited with that amount.

Assuming that 100 000 shares were issued to acquire an investment with a fair value of CU500 000, the journal entry to record the transaction in the records of Company B would be as follows:

			CU	CU
Dr		Investment (in Company A)	500 000	
	Cr	Share capital		500 000

Acquisition of share investment in Company A by the issue of new shares

If share issue costs amounting to CU5 000 were incurred in the above transaction, these costs should be written off against the share capital account, resulting in only the net amount being recognised as share capital.

			CU	CU
Dr		Share capital	5 000	
	Cr	Share issue costs/bank		5 000

Share issue costs written off directly against the share capital account

4.2.5 Repurchase of own shares (reduction in equity)

Treasury shares, also known as treasury stock or reacquired shares, refer to the company's own shares that have been repurchased and are held in the company's treasury. In other words, treasury shares are issued shares that a company subsequently buys back from shareholders, resulting in those shares being held as assets by the company (or group). By doing this, the company returns some of its net assets to its shareholders in exchange for its own shares. As this involves buying back issued shares from shareholders, it is known as a '**share buyback**'. The motivation for repurchasing shares may include the prevention of a hostile takeover, the enhancement of the share value, the acquisition of shares from departing employees or the return of excess cash to shareholders.

The extent to which a company may buy back its own shares and the frequency with which it may do so are generally **governed by specific laws** within each country. A key feature of these regulations is the protection of creditors, as the company is reducing its equity by using cash that would otherwise have been available to repay debt. The repurchase of its own shares by a company is often seen as a 'distribution' of funds to shareholders. Note that the fact that the company pays cash to its shareholders (when the shares are repurchased) may have tax consequences in some jurisdictions, as this may be deemed to be a distribution of profits to shareholders.

As there are certain tax disadvantages when a company buys back its own shares, a popular alternative is for a subsidiary company to buy the shares in its parent company (refer to [Chapter 25, Business combinations](#), for an explanation of these terms). In this case, the shares are not cancelled but are held as an investment by the subsidiary company. As discussed further below, subsidiaries of a company are limited to a maximum of 10% of the parent's

shares in total. These shares are then classified as **treasury shares** in the group statement of financial position. IAS 32 requires that when an entity has treasury shares, those shares are deducted from equity (refer to Section 4.3 of this chapter and [Chapter 14](#), *Financial instruments*, for a more detailed discussion of treasury shares).

Treasury shares

... are shares in an entity that are repurchased by the issuing entity as an investment or, in the case of a parent, are purchased by the subsidiary entity. Thus, the entity (or group) has purchased its own shares. Depending on the legislative requirements of a country, these shares should either be cancelled or should be classified as 'treasury shares'.

As the earnings per share is a ratio calculated by dividing the earnings for the reporting period by the weighted number of ordinary shares in issue during the period, the reduction in the issued share capital of the company (with a subsequent reduction in the weighted number of ordinary shares in issue during the period) has a direct effect on the reported **earnings per share** (see [Chapter 7](#), *Earnings per share and headline earnings per share*). The reduction in share capital should result in an increase in the earnings per share reported during the period and a decrease in the cash outflow required to maintain a fixed dividend payment per share. In this context, an investment in its own shares is sometimes the best investment a company can make with the excess cash that it has available. The market generally approves of share buybacks.

According to Section 48 of the *Companies Act, No. 71 of 2008*, a company may acquire its own shares and a subsidiary may acquire up to 10% of the parent company's shares. After a repurchase of shares of this nature, the company must, however, be able to meet the solvency and liquidity maintenance requirements as set out in the *Companies Act*:

- The **liquidity** requirement can be summarised by saying that a company's purchase of its own shares may not result in the company being unable to pay its debts as they become due in the ordinary course of business.
- The **solvency requirement** can be summarised by saying that the consolidated fairly valued assets of the company may not be lower than the company's consolidated obligations after the company's purchase of its own shares.

A further requirement is that a company may not repurchase so many of its shares that the result is that it has no shares left in the class that has voting rights (for example, no ordinary shares left), or that the only shares left are held by one or more subsidiaries, or that only convertible or redeemable shares remain.

The IFRS Accounting Standards do not prescribe any accounting treatment for share buybacks, but, in essence, an entity uses its own assets to reduce its equity and the transaction should be recorded as such. Think about the accounting equation: when an entity buys back its own shares, it repurchases its own share capital by using its cash resources (or other assets). In other words, assets are reduced, resulting in an equal reduction in equity.

When a company purchases its own shares, it should **debit** its **share capital account** with the average value of the shares repurchased. Once cancelled, these shares are obviously no longer recognised as shares.

When **no par value** shares are acquired (bought back), you need to reduce total equity with the reduction resulting from the buyback. For this, you can do either of the following:

- Calculate the average value per share by dividing the total share capital by the issued share capital, resulting in a debit against the share capital account of the average value of the shares repurchased and a debit against retained earnings of the balance.
- On the assumption that the first shares issued were the repurchased shares (based on the first-in-first-out method), use the price of that issue to determine the debit against the share capital account.

Given the growth potential of a company and the subsequent increases in its share price, it is very likely that shares will be repurchased at amounts in excess of the amounts at which they were issued. If large increases in the repurchase value of shares are debited in total to the share capital account, it may result in the balance on this account becoming zero or a debit balance. It is therefore suggested that the amount debited against the share capital account be limited to the average value per share of the class of shares at the time of the repurchase (that is, based on the average issue price of the shares in issue immediately prior to the repurchase).

For example, if the share capital account of the company amounted to CU150 000 and the company had 100 000 shares in issue, the average value per share included in the share capital account would amount to $\frac{150\,000}{100\,000} = \text{CU}1.50$ at the time at which the shares were repurchased. The number of shares repurchased would then be debited to the share capital account to a maximum of CU1.50 per share. Should the company pay CU2 per share, the excess of CU0.50 per share should be written off against the retained earnings account.

		CU	CU
Dr	Investment in own shares (treasury shares)	200 000	
	Cr Bank (cash consideration paid)		200 000

Acquisition of share investment in own shares

		CU	CU
Dr	Share capital account	150 000	
Dr	Retained earnings	50 000	
	Cr Investment in own shares (treasury shares)		200 000

Cancellation of investment in own shares against share capital account and retained earnings

Example of accounting for a company's repurchase of its own shares

The statement of financial position below, which illustrates the effect of a repurchase of Class A shares with voting rights, is presented for Goodie Ltd at 30 June 20x2.

Statement of financial position for Goodie Ltd at 30 June 20x2



The directors passed a resolution (that is, a directors' decision) on 1 June 20x2 to repurchase 250 000 ordinary shares at a maximum price of CU3.50 per share.

As a result of the decision, the company placed an order in the market and managed to buy back 220 000 ordinary shares on 1 July 20x2 at an open market price of CU3.15 per share.

			CU	CU
Dr		Investment in own shares (220 000 × CU3.15)	693 000	
	Cr	Bank		693 000

Recording the purchase of own shares

The value of the repurchased shares cannot be debited in full against the share capital account; the debit is limited to the average value per share prior to the purchase. The average value per share in the share capital account prior to the repurchase of the

shares was XXXXXXXXXX

The excess of the purchase price above the average value per share of the ordinary shares is debited against the retained earnings account.

			CU	CU
Dr		Share capital: Class A shares (shares × CU0.496 = 220 000)	109 120	
Dr		Retained earnings	583 880	
	Cr	Investment in own shares		693 000

Cancellation of shares repurchased

Statement of financial position for Goodie Ltd at 30 June 20x2

(This is after the share buyback. Assume no other changes.)



Note that net assets are reduced by CU693 000 (the amount paid), and equity is reduced by the same amount.

After the repurchase, you should test if the solvency and liquidity requirements (as stipulated in the South African *Companies Act, No. 71 of 2008*) have been met:

- Solvency:** Do the assets still exceed the liabilities after the buyback? (Yes, total capital and reserves amount to CU1 247 000 after the repurchase.)

•**Liquidity:** Can the company still pay its debts in the ordinary course of business after the buyback? (Yes, the company has cash of CU807 000 available, which is sufficient to settle the liabilities of CU660 000.)

South African companies need to make a detailed computation of both of these requirements prior to any repurchase as the directors will be held personally liable if such a statement has been made in the financial statements and is untrue. This computation is kept simple for illustrative purposes.

4.3 Treasury shares

In some countries, when shares are repurchased, they are held as treasury shares for reissue at a future date. Therefore, the entity has a partial interest in its share capital, as it is not held by parties external to the reporting entity. Another form of treasury shares arises when a subsidiary company buys shares in its parent entity. From a group perspective, these shares are held internally. This could arise either due to a share buyback or because a group holds shares to meet its obligations to employees who may be entitled to shares in terms of an employee share-based payment scheme.

Any transaction involving treasury shares is a transaction with shareholders in their capacity as equity holders. This implies that no gain or loss can ever be recognised in profit or loss on the purchase, sale, issue or cancellation of the shares (refer to IAS 32, paragraph 33). Any difference between the change in net assets and the change in share capital should be recognised directly in equity and any tax related to that transaction.

The carrying amount of any treasury shares should be shown as a **debit balance** in equity, reflecting a net equity balance that equals the equity attributable to the shares held outside the group.

When calculating an earnings-per-share figure, the number of shares used to calculate the weighted average number of shares is the number of those shares issued outside the group. As treasury shares are held within the group, they are excluded from the number of shares utilised, and the net figure is used.

In terms of the **South African Companies Act, No. 71 of 2008**, a company has to cancel its shares when it reacquires them. The repurchase of shares by a company therefore does not give rise to treasury shares, unless the shares are purchased by a subsidiary. In that case, the shares will be treated as treasury shares, as described in this section.

Example of treasury shares

Subsidiary Ltd owns 100 000 shares of its parent entity, which were acquired at a cost of CU5 each. In other words, the parent has issued ordinary shares, of which 100 000 were acquired by a subsidiary. Of these, 20 000 shares were sold by the subsidiary in the current year for CU8 each and capital gains tax was paid on the difference at 21.6%.

The statement of changes in equity would have a credit balance equal to the share capital issued (including relating to those held by the group). A negative (or debit) column called 'Treasury shares' would be recognised, as shown below. (However, if the company was a South African registered company, the treasury shares would be cancelled and deducted from the issued share capital.)

Subsidiary Ltd
Statement of changes in equity for the year ended 31 December 20x5 (extract only)



Notes

1 The tax is recognised directly in equity, as it relates to a transaction taken directly to equity (refer to IAS 12, *Income Taxes*, paragraph 61A).

4.4 Changes in shares in issue without increases in net assets

In some cases, a company may decide to change its share capital without any actual increases or decreases in the equity of the company. This involves changing shares from one classification to another or transferring reserves to the share capital of the company. There are no changes to the net assets of the company in any of these situations and journal entries are only required when there is a specific transfer from one equity account to another. These entries will not affect the statement of cash flows of the company and the **net effect on the statement of changes in equity is zero**.



ETHICAL DILEMMA

Companies may face ethical dilemmas if they misrepresent or manipulate the capital contributions made by shareholders. This can involve inflating the value of contributed assets or making changes in the issued share capital without increases in net assets. This may result in an inaccurate representation of the shareholders' true ownership stake. Such misrepresentations can lead to unfair dilution or disadvantage for existing shareholders and can compromise transparency and trust.

In some jurisdictions, a capitalisation issue may be considered a 'distribution' to shareholders, which may result in tax obligations.

In other cases, a capitalisation offer may give shareholders the option to elect to take shares as a 'distribution' to shareholders, similar to a **share dividend**. This means that an entity declares a dividend, but instead of being paid the dividend in cash, shareholders receive additional shares in the company. In this case, any shareholder is entitled to elect to receive a cash payment at a value determined by the board instead of the new capitalisation shares.

4.4.1 Share splits

In some jurisdictions, a company may be allowed to authorise a share split. This is often considered when the market price per share has increased significantly, as it becomes too expensive to attract many investors. The result of a share split is that the company's shares are more accessible to the average investor after the split. With a share split, the company increases the number of its shares by sub-dividing the existing shares and proportionately decreasing the (par) value per share. No cash or other asset is transferred to the company, and there is no change in the total

owners' equity or its individual components. Therefore, no journal entry is required. However, the memorandum of incorporation needs to be amended to record the increase in the number of shares and the decrease in the par value per share (for par value shares), with the adjustments being posted to the share register.

The effect of a share split would not be noticeable on the statement of changes in equity, as there are no changes in the value of the share capital and **no change in equity**. However, it is important that you disclose the details of a share split in the notes to the financial statements, as users of the financial statements would find it valuable to know the number of shares in issue and the reason why there has been a significant decrease in the market price of the shares. To ensure comparability, any published **earnings-per-share** figures have to be recalculated in terms of the share split.

4.4.2 Capitalisation shares (bonus issues)

With a capitalisation issue (or a bonus issue), the company issues additional shares to existing shareholders in proportion to their current holdings at no cost to the shareholders. The effect of a capitalisation issue is that there is **no increase in the net asset value** of the company, as no payment is received from the shareholders. A capitalisation or bonus issue of this nature represents a transfer from one equity account to another, so there is **no increase or decrease in equity**. Instead, it increases share capital and decreases another equity account in the entity.

The following is an illustration of the basic entry relating to a capitalisation issue:

Dr		Other equity or reserves
	Cr	Share capital

Note that in the IFRS Accounting Standards there is no guidance for the accounting and reporting of such a capitalisation issue, so an entity may use (debit) any other equity account (for example, retained earnings or revaluation reserves).

Example of capitalisation shares

The equity of Company A consists of the following:

	CU
Share capital (800 000 Class A shares with voting rights)	1 000 000
Retained earnings	800 000

Company A resolved to make a capitalisation issue of 400 000 Class B shares with no voting rights to existing shareholders of Class A shares at CU1.25 each. You can assume that both classes are authorised. Shareholders may elect rather to receive a cash payment.

Shareholders who were entitled to receive 100 000 of the new Class B shares decided rather to accept a cash payment of the equivalent amount.

The following journal entries are required when new shares are issued without receiving any cash consideration:

			CU	CU
--	--	--	----	----

Dr	Retained earnings	500 000	
	Cr Other equity (or 'Capitalisation reserve')		500 000

Recognising capitalisation issue (400 000 × CU1.25)

		CU	CU
Dr	Capitalisation reserve	500 000	
	Cr Share capital: Class B shares (300 000 × CU1.25)		375 000
	Cr Bank		125 000

Issue of new shares and settlement of cash portion

Note that the payment of CU125 000 represents a 'distribution' to the shareholders, and results in a decrease in assets and a corresponding decrease in equity (retained earnings). The new shares issued in lieu of the capitalisation issue do not affect assets; the net effect on equity is also zero as the decrease in retained earnings (capitalisation issue) has resulted in an increase in share capital (issue of new Class B shares).

5 Securities

In addition to obtaining funds from the issue of shares, a company may also acquire funds from the issue of other forms of securities (for example, debt instruments). Securities include various forms of financial instruments, including shares held in a private or public company, stocks and depository receipts in public companies and other equivalent equities, derivative instruments, bonds, debentures and units in a collective investment scheme. The design of financial products has included various types of securities to limit the company's financial risks while still achieving maximum returns.

In various jurisdictions, the legislation allows for the designation of distinguishable preferences, rights and limitations of different classes of shares. One such designation is that shares may be redeemable or convertible at the option of the company, the shareholders or another person at any time, or upon the occurrence of any specified contingency, for cash, indebtedness, securities or other property, at prices and in amounts specified. Any security issued with an obligation to settle at a future date should be classified as a liability and not as equity.

Securities

... are financing or investment instruments bought and sold in financial markets, such as bonds, debentures, notes, options, shares (stocks) and warrants. When securities are issued, the main principle is whether they are equity or debt instruments.

5.1 The classification of shares as equity or debt (financial liabilities)

The accounting treatments for each classification of share are significantly influenced by the specific designations attributable to each class of shares. Share capital is part of the residual interest in the assets of a company after deducting its liabilities, and it is therefore classified as an **equity instrument**.

Share capital is the capital contributed by the shareholders to the company and forms part of the permanent capital

of the company. The company is not obligated to repay the capital or distribute the profits as a dividend. A shareholder of an equity instrument has no right to demand the payment of dividends or the repayment of any capital. A significant implication of the fact that shares are classified as equity is that dividends are treated as a distribution of profits and not as an expense. This implies that dividends are reflected in a company's statement of changes in equity and are not included in the profit or loss for the period.

The critical factor that differentiates a financial liability from an equity instrument is the existence of a contractual agreement, where the issuer of the shares has to repurchase, convert or redeem the shares at a set future date, either in cash or by issuing another financial instrument.

Shares issued with a **mandatory redemption**, or where the holder has the right to require redemption, are, **in substance, a liability**. According to the definition of a liability (in terms of the *Conceptual Framework*), a present obligation exists to redeem shares of this nature. The issuer (the company) has no control over or choice in the redemption decision. Shares classified as redeemable at the holder's option are recognised as a financial liability. In contrast, shares that are classified as redeemable at the option of the company represent an equity instrument. Therefore, where the rights and obligations regarding how shares should be redeemed or settled are beyond the control of the company that has issued them and will result in the outflow of economic resources, the shares should be classified as a **financial liability**. The accounting treatment, recognition and measurement of shares classified as a financial liability are discussed further in [Chapter 14](#), *Financial instruments*.

Even though shares that are classified as redeemable at the option of the holder are recognised as a financial liability, these shares are still equity in **legal terms**.

5.2 The issue of debt instruments

When securities are issued with the condition that they are redeemable at the option of the shareholders, they should be recognised as a **financial liability** when issued and measured at amortised cost (see [Chapter 14](#), *Financial instruments*). Where the redemption of the securities is at the option of the company, the securities should be recognised as an **equity instrument**. If and when the company commits to redeem or settle the securities, they should be derecognised as an equity instrument and recognised as debt.

5.3 Convertible shares

The issue of convertible shares provides the facility to convert these shares at a specified future date to another class of shares. Such a conversion can either be **fixed**, or at the **option** of the company or the shareholder. The option to convert is not fixed when the company or the shareholder can accept the conversion or retain the specific class of shares. The likelihood of conversion to another class of shares depends on the circumstances at the conversion date. If the option is 'in the money' and the shareholder would benefit from a conversion to another class of shares, then the conversion is probable. However, if the option is 'out of the money' and the shareholder would not benefit from a conversion to another class of shares, then it is unlikely that the conversion would happen.

The conversion from one class of shares to another class of shares does not affect the net assets of the company, as no additional cash flows are required. The conversion would result in no change in the shareholders' equity of the company, and the net effect on the statement of changes in equity should be zero.

Dr		Share capital: Class A
	Cr	Share capital: Class B

Convertible shares are recognised as an equity instrument, as they participate in the residual interest of the company's net assets and will only be repaid when the company liquidates. It is, however, important that the conversion details be **disclosed** in the financial statements. The users of the financial statements should be informed

of the conditions for and likelihood of a conversion. Where the conversion of shares to another class of shares that has voting rights and participates in the residual interest of the net assets is probable, the convertible shares should be considered in calculating a figure known as the ‘**diluted earnings per share**’. While the earnings per share are calculated as the factor of earnings for the period divided by the weighted average number of shares (with voting rights that participate in the residual interest of the net assets) in issue, the diluted earnings per share are the earnings per share that would have been earned had the convertible shares been participating shares during the course of the year. This figure is calculated by adding back the dividends attributable to the convertible shares to the profit of the company and dividing by the increased number of shares in the issue (in other words, after taking into account the additional shares that will be issued). (Refer to [Chapter 7](#), *Earnings per share and headline earnings per share*.)

Example of accounting for the conversion of shares

Wesley Ltd issued 30 000 Class A shares with voting rights. At the same time, it issued 20 000 Class B shares without voting rights, with 10% distribution payable annually on the issue price and convertible to Class A shares with voting rights. The Class B shares are convertible to Class A shares on 1 July 20x8 at CU1 per share, when each Class B shareholder will receive one Class A share for every five Class B shares held.

You can assume that Wesley has sufficient authorised shares.

Wesley Ltd should issue the following new Class A shares to the Class B shareholders:



Note that there is no change in the net assets (owners’ equity) of the entity and the following journal entry would record the conversion on 1 July 20x8:

		CU	CU
Dr	Share capital: Class B shares (20 000 shares)	20 000	
	Cr Share capital: Class A shares (4 000 shares)		20 000

Conversion of Class B shares to Class A shares

5.4 Redeemable shares

Earlier in this chapter, the issues of preference shares and redeemable preference shares were discussed. Shares can be issued as redeemable if so authorised in the memorandum of incorporation. The redemption of shares for cash or any other form of settlement (for example, the issue of another security) is often subject to liquidity and solvency requirements in the same way as a share buyback. Before the redemption, the directors must perform a detailed calculation to ensure that the company will be able to pay its debts in the short term after the payment to the shareholders and that its assets exceed the liabilities.

Shares issued as redeemable preference shares should be recognised as a debt instrument if the company has a present obligation to settle (or redeem) the shares at a future date. The mere fact that shares are issued with the title of being ‘redeemable’ does not necessarily classify them as a debt instrument, especially when there is no present obligation for the company to redeem the shares. Until such time as an obligation of this nature is established, the shares should be recognised as equity (refer to the discussion in Section 5.1 above). Only when the obligation of

redemption has been established (for example, a directors' resolution has established that the shares are redeemable at a future date) should the shares be derecognised as equity and a liability be recognised.

Example of redemption of shares

Wood Ltd had 10 000 Class B shares classified as redeemable and issued at CU1 each. The directors resolved on 12 April 20x2 to redeem these shares at CU1.20 each on 30 April 20x2. Dividends of CU1 500 were also due to Class B shareholders at the date of redemption.

The following journal entry on 12 April 20x2 would be used to derecognise the equity instrument and recognise the liability:

			CU	CU
Dr		Share capital: Class B shares	10 000	
Dr		Premium on redemption: Class B shares	2 000	
Dr		Dividends: Class B shares	1 500	
	Cr	Class B shareholders (liability)		13 500

Obligation to redeem Class B shares and pay annual dividend

The following journal entry would be required on 30 April 20x2 when the liability is settled:

			CU	CU
Dr		Class B shareholders (liability)	13 500	
	Cr	Bank		13 500

Payment to preference shareholders

The **premium on redemption** of the Class B shares relates to a settlement of equity.

The premium should therefore be closed off directly to an equity account, as it represents a transaction with the owners. The premium should be written off to retained earnings as follows:

			CU	CU
Dr		Retained earnings	2 000	
	Cr	Premium on redemption: Class B shares		2 000

Premium on redemption written off directly to retained earnings

6 Reserves

Reserves are increases or decreases in the net assets of a company that do not result from issue, redemption or buybacks of the share capital. In other words, reserves are all equity accounts other than contributed equity. Reserves accumulate from the profits of the company after any distributions to the shareholders and any changes in the carrying amount of assets that are not recognised in profit or loss.



ETHICAL DILEMMA

An ethical dilemma can arise when management misuses retained earnings for personal gain or non-business purposes, diverting funds that should be reinvested in the company or returned to shareholders. Such actions can be seen as a breach of fiduciary duty and can harm the interests of shareholders. In addition to meeting the legal requirements of capital maintenance, accountants should ensure that the IFRS principles relating to transfers between reserves are adhered to.

The different reserves recognisable in the statement of financial position of a company include the following:

- **Retained earnings** (or accumulated profits), which are reserves arising from the profits earned over all the accounting periods less any distributions in the form of dividends
- **Revaluation surpluses**, which are gains and losses that arise as a result of changes in the carrying amounts of assets recognised in other comprehensive income
- **Statutory reserves**, which are required by law within a specific jurisdiction.

6.1 Retained earnings

All the profits of a company are distributable and are accumulated in the retained earnings account. The **profit or loss** at the end of each period (normally the reporting period) is transferred to the retained earnings account. Dividends declared are an appropriation of the retained earnings to the shareholders of the company. The retained earnings account can only be changed by the following transfers or adjustments:

- Prior year adjustments, which are adjustments to the opening balance of the retained earnings as a result of a change in an accounting policy or a correction of an error in prior years (see [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*)
 - Transfer of the profit or loss for the period to the retained earnings account
 - Transfer of any item in other comprehensive income that is not taken to other reserves (for example, actuarial adjustments)
 - Declaration of dividends for the period from the retained earnings account (see Section 6.3)
 - Transfers to other reserves

- Release of other reserves, such as a revaluation surplus when it is realised (see [Chapter 10](#), *Property, plant and equipment*).

The adjustments listed above would result in either a **debit** or a **credit** to retained earnings. These transfers should be disclosed, either on the face of the statement of changes in equity or in the notes to the financial statements, with a clear explanation of the reason for the transfer.

6.2 Requirements of the IFRS Accounting Standards: Revaluation surpluses

Where so required by specific IFRS Accounting Standards, gains and losses resulting from changes in the carrying amount of certain assets should not be included in the calculation of profit or loss, but should be recognised as **other comprehensive income** and transferred to a **revaluation surplus** in equity. These include the following:

- Gains and losses arising from the revaluation of property, plant and equipment (refer to IAS 16)
- Gains and losses arising from the fair value measurement of equity instruments designated at fair value through other comprehensive income (refer to IFRS 9)
- Exchange differences that result from the conversion of the financial statements of a foreign entity (refer to IAS 21)
- Gains and losses resulting from cash flow hedges (refer to IAS 39).

Each of the IFRS Accounting Standards referred to above includes specific requirements for recognising a surplus of this nature in equity and transfers between these reserve accounts.

Apart from these gains and losses (which are not included in the calculation of profit or loss), IAS 32 requires that **transaction costs** incurred in issuing new or acquiring own equity instruments be recognised as a **deduction from equity**. These transaction costs therefore do not meet the definition of a loss (as they relate to transactions with shareholders in their capacity as owners). It is appropriate that the costs be matched with the proceeds received from the equity instruments to which they relate.

As discussed in Section 4.3, any gain or loss relating to treasury shares should be taken directly to equity.

6.3 Dividends

A dividend is a distribution of a portion of a company's profits to its owners (shareholders) **in proportion to their shareholdings**. Generally, dividends can only be paid from profits and not from capital. In some jurisdictions, companies must comply with a solvency test before paying dividends. This is to protect the creditors, as any money paid to shareholders is not available for paying creditors.

In South Africa, according to **Section 46 of the Companies Act, No. 71 of 2008**, the company must meet specified **solvency and liquidity requirements** when dividends are declared and paid. In other words, after the payment of the dividend, the company should still be able to pay its debts as they become due in the ordinary course of business (the liquidity requirement), and the assets of the company must be sufficient to cover the liabilities of the company (the solvency requirement). This implies that the company must have sufficient cash resources for the payment as well as sufficient reserves. If a payment to shareholders would result in the company being unable to meet these requirements, the shareholders would be liable to the company for any payment received.

Dividends are generally declared from the retained earnings account, while the remaining balance of the retained earnings account is held to fund internal growth. Dividends declared and paid to equity shareholders represent a distribution to the owners of the company and are not an expense. Dividends declared should not be included in the statement of profit or loss and other comprehensive income, but are disclosed in the statement of changes in equity or separately in a note to the financial statements. The reason is that in terms of IFRS 18, transactions with the owners of the company should be **reported separately in the statement of changes in equity** from non-owner transactions, which are presented in the statement of profit or loss and other comprehensive income.

Most shareholders purchase shares with the expectation of receiving dividends. The amount and regularity of the dividends are important factors that affect the market price of the shares. Many companies attempt to establish a stable dividend policy.

Most listed companies declare dividends to their shareholders twice during the year. An **interim dividend** is declared halfway through the financial year and a **final dividend** is declared at the end of the year. At times, a third **special dividend** can be declared (at any time of the year).

Shareholders do not have an automatic claim on the accumulated profits of the company. A liability to shareholders is only established when the directors **declare a dividend**, as the company has an obligation to pay the dividend once it has been declared. The declaration of a dividend gives rise to a present obligation that would result in the outflow of economic benefits from the company. Until such time as the dividend has been declared, the company has no obligation and no liability should be recognised. When a dividend has been declared after the reporting date but before the financial statements have been approved for publication, the declaration represents useful information to the user of the financial statements and should therefore be disclosed in the notes to the financial statements. However, the declaration should not be included in the statement of financial position, as the obligation to pay dividends did not exist at the date of the statement of financial position.

If the final dividend is declared before the date of the statement of financial position, but is only paid after that date, the liability for the dividend is reported in the statement of financial position as a current liability. The dividends declared during the reporting period should be included in the statement of changes in shareholders' equity and deducted from the retained earnings account.



ETHICAL DILEMMA

An ethical dilemma can arise when there is a deliberate misallocation of profits to manipulate the distribution of dividends or other financial benefits to shareholders. For example, management might allocate higher profits to certain shareholders or related parties, unfairly benefiting them at the expense of other shareholders. This can lead to conflicts of interest and breach the principles of fairness and equity among shareholders.

6.3.1 Shares with preferential distribution rights

The memorandum of incorporation may authorise the issue of classes of shares that have fixed distribution rights attached (a fixed distribution right is a preferential right to receive a dividend). The distribution of dividends attributable to these classes of shares should be declared before any profits are distributed to the shareholders of classes of shares without these rights. This means that ordinary dividends cannot be declared if no preferential dividends are declared. In other words, a liability should be recognised for dividends payable to preferential shareholders, according to their legal rights.

Preferential dividends are normally expressed as a percentage of the nominal value of the issued share capital (for example, 10% preferential dividends). These shareholders are only entitled to the dividend once it has been declared.

If no dividend is declared in any financial year, the preferential dividend for that year is forfeited, unless the distribution rights are cumulative. In this case, the preferential dividend is accumulated, and arrear dividends must be included in a subsequent dividend declaration before any other non-preferential dividend is declared. Preferential dividends are normally assumed to be cumulative, except when the contract of issue of the shares specifically states that the dividends are non-cumulative.

A preferential dividend should be recognised as an adjustment to retained earnings when it is declared and recognised unless the shares are classified as a liability. Where the shares are classified as redeemable at the option of the shareholder and are therefore recognised as a liability (see Section 5.1), it follows that dividends paid on those shares are in substance an interest payment. Dividends payable to shareholders of redeemable shares classified as a liability should be recognised as finance costs (similar to the interest payable on other debt instruments) and disclosed separately. This also implies that the dividend on redeemable shares should be accrued as an expense in profit or loss during the reporting period (in other words, recognised on a time-proportionate basis rather than periodically when the dividend is declared).

6.3.2 Shares without preferential distribution rights

Shareholders of classes of shares without preferential distribution rights can only share in the company's profits after the preferential dividends have been declared. Still, their entitlement is limited to the amount of dividends declared by the company. These shareholders have the right to receive a dividend once it has been declared. The amount of dividends declared is discretionary. This means that the directors of the company can decide on the amount of dividends to be declared, which can be zero.

The directors of the company usually have full power to declare a dividend, and it is optional for the declaration to be approved by the shareholders. As discussed above, however, the directors must perform certain liquidity and solvency exercises before declaring the dividend. When the directors declare the dividend, the dividend payment meets the liability definition, as there is an obligation to pay and it is probable that the payment will be made.

Dividends declared are an appropriation of the accumulated profits of the company and should be deducted from the retained earnings account. The dividends declared during the accounting period should be set off against the retained earnings account in the statement of changes in equity.

The calculation of the dividend per share (refer to IAS 33 and [Chapter 7](#), *Earnings per share and headline earnings per share*) is based on the total dividend declared (which encompasses the interim dividend as well as the final dividend), irrespective of whether the dividend is paid in cash or capitalisation shares are issued.

6.3.3 Cash dividends

Dividends can be paid either in cash or by transferring certain assets to the shareholders, or by the issue of additional shares to the existing shareholders. Where a company's cash resources are restricted, but it would still like to maintain a regular dividend declaration policy, it can either transfer some of its assets to the shareholders or declare share dividends. Generally, though, dividends are settled in cash. Cash dividends paid should be included in the **statement of cash flows**, and this reduces the company's available cash resources for future expansion. Cash dividends declared usually attract a tax liability, either as an expense of the company declaring the dividend or in the form of a withholding tax.

The journal entry to record cash dividends payable is as follows:

Dr		Dividends declared: Class A shares
	Cr	Shareholders for dividend (liability)

The dividend is debited (closed off) to the retained earnings account, and the liability is reversed when the cash is paid.

6.3.4 Share dividends

As an alternative to the payment of cash dividends, some companies offer to 'pay' the dividend in the form of the issue of new shares to the shareholders. Shareholders are usually given a choice of receiving the full dividend in cash, or a portion or the whole of the dividend in the form of new shares. The issue of new shares as dividends represents a transfer from the retained earnings account of the company to its share capital. This option is therefore referred to as a '**capitalisation issue**' (refer to Section 4.4.2). The substance of the transaction is that the dividend declared has been simultaneously reinvested by the shareholder in a new share issue. The cash flow savings can be used for growth and expansion. The issue of share dividends has some tax advantages, as the dividend definition in the *Income Tax Act* specifically excludes capitalisation shares.

The full dividend, based on its **cash equivalent**, should be reflected in the retained earnings account, and the notes should provide an analysis of how the dividend is divided between the cash portion and the portion reinvested in capitalisation shares. However, as the share dividend portion is not an obligation payable to the shareholders (a liability), but rather an issue of new shares, an equity account called the '**dividend reserve**' should be created to record the shares expected to be issued as share dividends. This entry is recorded when the dividend is declared before the new shares are issued:

Dr		Ordinary dividends
	Cr	Dividend reserve (equity account)

When the shares are issued, the dividend reserve is credited to the share capital account of the class of shares issued:

Dr		Dividend reserve (equity account)
	Cr	Share capital account: Class A shares

Where the dividend is declared and settled by the issue of new shares within the same financial year, there will be no balance on the dividend reserve account at the reporting date. However, suppose the dividends are declared close to the end of the financial year, and the dividend is only payable within the new financial year. In that case, the dividend should be included in the year in which it was declared. In this case, the credit balance on the dividend reserve should be recognised in the statement of changes in equity, as the new shares must still be issued. In some cases, the shareholders are given the choice whether to receive a cash dividend or a share dividend. The outcome of their decision is uncertain until such time as the shareholders have indicated their preferred choice.

Where a company declares a dividend giving shareholders the choice of receiving a cash or a share dividend, the shareholders are normally specifically required to request the receipt of the cash dividend, with the default being the issue of share dividends. This implies that all shareholders will receive share dividends unless they have communicated their preference to receive a cash dividend. The company normally estimates the portion of the dividend that will be represented in the form of a cash dividend and the portion that will be new shares issued. An estimate of this nature should be based on past experiences and should be a fair indication of the expected outcome of the election by the shareholders. Once the shareholders have indicated their preference, the previously estimated allocation between the cash dividend and the share dividend should be adjusted before issuing the new shares.

Example of the declaration and settlement of share dividends

Willow Ltd had 30 000 Class A shares in issue. On 20 June 20x5, the directors declared a dividend of CU0.50 per share, with an option to receive one new ordinary share for every three shares held. Based on past experience, the directors estimated that

shareholders holding 60% of the shares would elect the share dividend. At 30 June 20x5, the directors revised their estimate to 65% of shareholders who would elect the share dividend. On 15 July 20x5, the settlement date, Willow Ltd paid CU5 000 in cash dividends. The journal entries below would be recorded in the 20x5 financial year.

At 20 June 20x5:

			CU	CU
Dr		Dividends declared (30 000 shares × CU0.50)	15 000	
	Cr	Dividend reserve (equity account) (CU15 000 × 60%)		9 000
	Cr	Shareholders for dividends (liability)		6 000

Initial declaration of dividend, with estimate of share dividends

At 30 June 20x5:

			CU	CU
Dr		Shareholders for dividends (liability)	750	
	Cr	Dividend reserve (equity account) (CU15 000 × 5%)		750

Revision of estimate to include additional 5% of shareholders expected to elect share dividend

The statement of changes in equity for the year ended 30 June 20x5 would look as shown below.

Willow Ltd
Statement of changes in equity for the year ended 30 June 20x5



The journal entries below would be recorded in the 20x6 financial year.

At 15 July 20x5:

			CU	CU
Dr		Shareholders for dividends (liability)	250	
	Cr	Dividend reserve (equity account) (CU15 000 – CU5 000 – CU9 750)		250

Adjustment of capitalisation reserve to reflect final decision by shareholders

			CU	CU
Dr		Dividend reserve (equity account)	10 000	
	Cr	Share capital		10 000

Issue of share dividends

			CU	CU
Dr		Shareholders for dividends (liability)	5 000	
	Cr	Bank		5 000

Payment of cash dividends

The statement of changes in equity for the year ended 30 June 20x6 would look as shown below (excluding the effect of profit for the year).

Willow Ltd
Statement of changes in equity for the year ended 30 June 20x6



6.3.5 Distribution of non-cash assets to owners

Some companies offer to 'pay' the dividend in the form of the distribution of assets other than cash when they pay dividends to their shareholders. The dividend payable should be measured at the fair value of the net assets to be distributed to the shareholders (see IFRIC 17, *Distributions of Non-cash Assets to Owners*). When the declaration of a dividend is authorised, the dividend payable should be recognised, as it is no longer at the discretion of the entity.

The dividend payable will be equal to the fair value of the assets to be distributed.

Example of the distribution of non-cash assets as dividends

A company authorised the payment of a dividend to its shareholders in the form of a vacant plot of land. The land has a cost price of CU1 500 000 and a market value (fair value) of CU3 500 000. The dividend payable amounts to CU3 500 000, which is the fair value of the land.

			CU	CU
Dr		Dividends	3 500 000	
	Cr	Shareholders for dividends (liability)		3 500 000

Dividend declared, comprising fair value of land

This entry is recorded when the dividend is declared, before the dividend is 'paid' by way of a distribution of assets.

When the assets are distributed as payment for the dividend, the asset account is credited (and accumulated depreciation is debited, in the case of a non-current asset, similar to the disposal of the asset) and the difference between the fair value of the asset and its cost price is recognised in profit or loss:

			CU	CU
Dr		Shareholders for dividend (liability)	3 500 000	
	Cr	Land (at cost)		1 500 000
	Cr	Profit on the distribution of assets (P/L)		2 000 000

Settlement of dividend by derecognising and transferring land

The difference between the dividend paid and the carrying amount of the net assets distributed should be recognised in profit or loss.

7 Disclosing owners' equity

IFRS 18 requires an entity to present a **statement of changes in equity** that reflects all transactions with owners. All non-owner changes in equity are presented in the statement of profit or loss and other comprehensive income and the total comprehensive income is added as a single line to the equity of the company. IFRS 18 requires disclosure of the following on the face of the statement:

- The transactions with owners, showing distributions to owners separately
- A reconciliation between the carrying amounts of each class of equity, showing details of each change
 - The balance of retained earnings and any movements in this account
 - Total comprehensive income, allocated to the different equity reserves
- The cumulative effect of changes in accounting policy and the correction of errors.



ETHICAL DILEMMA

Transparency is crucial in reporting changes in equity. Ethical concerns may arise if a company fails to adequately disclose significant changes in equity, such as share repurchases, share option grants or changes in reserves. Inadequate disclosure can mislead shareholders and other stakeholders, compromising their ability to make informed decisions. To address these concerns, companies should adhere to principles of fairness, transparency and accountability in managing equity. Implementing strong corporate governance practices, ensuring appropriate oversight and internal controls, and providing clear and accurate disclosures can help mitigate ethical risks and maintain the integrity of equity.

The statement of changes in equity is normally a **reconciliation** starting off with opening balances at the beginning of the reporting period, then listing all material **transactions with the owners** of the company separately (new shares issued, shares repurchased and shares redeemed), resulting in the balances presented in the statement of financial position. In addition, **total comprehensive income** is allocated between the various reserves and equity accounts (for example, revaluation surplus and retained earnings), with profit or loss and other comprehensive

income disclosed separately. Like all other numerical information disclosed in the financial statements, disclosure of **comparatives** is required.

Movements in the equity balances of a company, which are summarised in the statement of changes in equity together with the related notes, include the following information:

- Changes in each class of share capital (new issues, redemptions or repurchases)
 - Costs related to the changes in the share capital
 - Transfers between reserves
- The total comprehensive income of the company for the period
- Dividends declared to its shareholders.

Separate disclosure is required for changes in equity resulting from profit or loss and each item of other comprehensive income. In other words, if retained earnings had adjustments in other comprehensive income and profit or loss, these must be shown separately, as explained in paragraph 106(d) of IFRS 18.

The illustration that follows demonstrates the presentation of a statement of changes in equity.

ABC Ltd
Statement of changes in equity for the year ended 31 December 20x5



In addition to the requirement of the IFRS Accounting Standards that a statement of changes in equity be prepared, most companies also present additional information about changes in equity in **the notes** to the financial statements and in the **directors' report**. (The directors' report is discussed in Section 5 of [Chapter 2](#).)

The rest of this section covers all the **note disclosures** required relating to the equity of a company. Listed companies prefer to disclose the relevant details in **both** the statement of changes in equity (as it provides a valuable summary and reconciliation of the equity of the company) **and** the notes to the financial statements (which then include the relevant details that could not be included in the statement of changes in equity).

7.1 Authorised share capital

The authorised share capital must be stated, specifying the following information:

- The classes of shares comprising the authorised share capital (for example, each class of shares as well as its specific preferences, rights and any other relevant details)
- The number of shares in each class.

Where an existing company has not yet converted its par value shares to shares with no par value, details of these shares, the number of shares authorised and issued, and the par value of the shares should be disclosed.

7.2 Issued share capital

The issue of new shares, the issue of rights and any other increases in share capital should be disclosed in the statement of changes in equity. At the same time, any decreases in share capital (for example, when shares are redeemed) should be disclosed in the statement of changes in equity. The movements in issued share capital are often also disclosed in the **notes** to the financial statements. The amounts and details of any shares issued during the accounting period as well as the purposes for and circumstances in which these shares have been issued should also be disclosed in the **directors' report**.

7.3 Movements in reserves

A company should disclose a description of the **nature and purpose of each reserve**. This implies that details relating to each type of reserve should be given (for example, a differentiation must be made between items such as the foreign currency translation reserves and the reserve for revaluation of property, plant and equipment).

The opening and closing balances, as well as any movements in each reserve, should be disclosed. Movements in reserves should be disclosed either in the statement of changes in equity or in the notes to the financial statements dealing with reserves.

The following movements during the current financial year should be disclosed:

- The source of and the amount of any transfers to reserves
- The amount and the application of any transfers from reserves.

7.4 Prior year adjustments

Prior year adjustments are rare and are limited to material adjustments of retained earnings arising from either the **correction of a prior period error** or a **change in an accounting policy** (refer to [Chapter 3, Accounting policies, changes in accounting estimates and errors](#)). You should account for prior year adjustments by adjusting the opening balance of retained earnings in the statement of changes in equity and restating the comparative figures for the previous year where necessary.

7.5 Dividends declared and/or paid

For each class of shares, the total amount of dividends paid or declared must be disclosed in the statement of changes in equity as a deduction from retained earnings.

Dividends proposed or declared **after the reporting date** but **before the financial statements were authorised for issue** should not be recorded in the statement of changes in equity (as no liability for dividends exists at the reporting date), but they should be disclosed by way of a **note**. IFRS 18 requires the following disclosures in the notes relating to dividends not recognised at the reporting date:

- The amount of dividends proposed and/or declared before the financial statements were authorised for issue but not recognised as a distribution to the owners during the period
- The amount of any cumulative dividends not recognised.

- The statement of changes in equity forms part of the set of financial statements that an entity prepares. It must be prepared in accordance with IFRS 18, *Presentation and Disclosure in Financial Statements*.
- Owners' equity is the residual interest of the shareholders in the assets of the entity, after having deducted the liabilities (in other words, Owners' equity = Assets – Liabilities).
 - An entity obtains its financing from its equity holders and from third parties. When funding is obtained from a third party, you should determine whether the funding should be classified as a liability (that is, when the definition of a liability has been met, for example, redeemable preference shares that can be redeemed at a fixed date in the future), otherwise the funding is classified as equity.
- Owners' equity consists of share capital and reserves.
- Changes in owners' equity resulting from transactions with owners comprise the new issue of shares, repurchase of shares, capitalisation issues, rights issues and distributions to equity holders.
- Changes in owners' equity that are not as a result of transactions with owners consist of profit or loss for the reporting period (accumulated in retained earnings) and other comprehensive income (accumulated in revaluation surpluses).

Discussion questions

1. The *Companies Act, No. 71 of 2008*, requires a company to register a memorandum of incorporation (its main governing document) setting out the rights, duties and responsibilities of shareholders, directors and others within the company. In addition, it introduces a less prescriptive capital structure for companies than previous legislation, thereby allowing a company to 'design' its own capital structure in accordance with its own requirements. Briefly explain how a company can design its capital structure in terms of this Act.
2. The equity contributed by the owners of a company is referred to as 'equity instruments'. Briefly discuss the difference between funding classified as equity and funding classified as liabilities and the respective accounting treatments for each.
3. All companies are required to provide financial statements that comply with the IFRS Accounting Standards. Briefly explain the requirements for these IFRS Accounting Standards, as set out in Section 29 of the *Companies Act, No. 71 of 2008*.
4. The *Companies Act, No. 71 of 2008*, refers to the solvency and liquidity test that should be complied with immediately after a distribution. Briefly explain what this solvency and liquidity test entails, how it should be applied and under which circumstances it is relevant.

Exercise questions

Question 1

Vuako (Pty) Ltd is an innovative start-up company that manufactures and sells technological devices.

On 1 January 20x7, when the company was incorporated, 10 000 Class A shares were issued, for cash, at CU7 per share. Vuako (Pty) Ltd paid CU5 000 on 1 January 20x7 in respect of share issue costs.

In order to raise further capital, as the business was growing rapidly, 100 000 Class B shares were issued, for cash, to Meshalyn Star (Pty) Ltd on 31 July 20x7. Meshalyn Star (Pty) Ltd paid Vuako (Pty) Ltd CU100 per share on this date.

Each share contractually entitles Meshalyn Star (Pty) Ltd to the following:

- A dividend per share of CU20 per annum payable on 31 July (commencing on 31 July 20x8)
- A payment of CU100 per share at their reception date, which is set at the end of three years.

On 31 December 20x7, Vuako (Pty) Ltd could not afford to pay a full cash dividend, as cash was needed to fund growth opportunities in the following financial year. Each shareholder was given the option of receiving either one new Class A share worth CU5 or the cash equivalent. On 31 December 20x7, the company estimated that 80% of the shareholders would elect the share option. The Class A shares and cash will be issued and paid respectively on 31 January 20x8.

You are required to do the following:

1. Briefly discuss whether the Class B shares issued by Vuako (Pty) Ltd to Meshalyn Star (Pty) Ltd on 31 July 20x7 would be classified as a debt or equity instrument by Vuako (Pty) Ltd in its financial statements for the financial year ended 31 December 20x7.
2. To the extent of the information provided, prepare the equity section of the statement of financial position of Vuako (Pty) Ltd as at 31 December 20x7. You may assume that the net profit after tax for the year ended 31 December 20x7 is CU120 000.

Question 2

Willows (Pty) Ltd is a private company with a 31 March year-end that prepares its financial statements in accordance with the *IFRS for SMEs* Accounting Standard.

The following balances appeared in the statement of financial position of Willows (Pty) Ltd as at 31 March 20x5:



On 25 March 20x5, Willows (Pty) Ltd declared a dividend of CU1.25 per ordinary share, with an option to receive a share dividend of one new ordinary share for every ten held. On 15 April 20x5, cash dividends of CU1 050 000 were paid.

On 1 May 20x5, Willows (Pty) Ltd issued 100 000 new ordinary shares for a consideration of CU3 per share. Red Bank underwrote the shares at a fee of 1%. The share issue was fully subscribed.

The profit for the year ended 31 March 20x6 amounted to CU1 750 000.

You are required to do the following:

1. Prepare the journal entries to record the declaration and settlement of the ordinary dividend declared on 25 March 20x5.
2. Prepare the journal entries for the new shares issued on 1 May 20x5.
3. Prepare the statement of changes in equity for the year ended 31 March 20x6.

Question 3

Part A

Tenflix Ltd is authorised to issue 100 000 Class A shares. Class A shares have voting rights and do not have the right to a fixed dividend. Tenflix Ltd has a year-end of 31 July. The following transactions took place in the current year:

- On 1 September 20x7, Tenflix Ltd announced a rights issue of one Class A share for every four shares held, at CU6.50 per share. All existing shareholders took up this rights offering.
- On 31 May 20x8, Tenflix Ltd offered 30 000 Class A shares at CU9 each to the public. The directors agreed to issue any oversubscribed shares. Applications for 25 000 Class A shares were received by 10 July 20x8, the closing date for share applications. The shares were issued on 25 July 20x8. Woodworm Bank had underwritten the share issue for an agreed commission of 4%.
- On 1 August 20x7, 29 500 Class A shares were issued for R236 000.
- Share issue costs amounted to R19 000.

You are required to do the following:

Show all journal entries required to record the transactions described above in the books of Tenflix Ltd for the year ended 31 July 20x8.

Part B

Answer the questions that follow.

1. There are five types of company. One type is a public company. Name the other four types.
2. Briefly explain what purchasing a share on the primary market means.
3. Are all public companies in South Africa listed on the JSE?

Question 4

Foggy Ltd has the following balances available at 31 December 20x1:

At a board meeting held on 3 January 20x2, the directors discussed that the Class A shares were deemed overvalued in the market. A decision was made to split each existing Class A share into two Class A shares.

A cash payment of CU180 000 was made on 15 January 20x2 to Class A shareholders for the dividend declared on 22 December 20x1. On the same date 120 000 Class A shares were issued as capitalisation shares, resulting from the election of shareholders to receive a share dividend.

Share issue costs related to the original issue of share capital were as follows:

- Class A share capital: CU50 000
- Class B share capital: CU30 000.

You are required to do the following:

Prepare all necessary journal entries to record the transactions described above in the books of Foggy Ltd for the month ended 31 January 20x2. Ignore taxation.

References

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https://www.gov.za/sites/default/files/gcis_document/201409/321214210.pdf [2023, 2 October].

International Accounting Standards Board (IASB). 2018. *Conceptual Framework for Financial Reporting*. Available: <https://www.ifrs.org/content/dam/ifrs/publications/pdf-standards/english/2023/issued/part-a/conceptual-framework-for-financial-reporting.pdf> [2023, 26 October].

Kew, J. 2024. *Financial Accounting: An Introduction*. 6th ed. Cape Town: Oxford University Press.

Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.

CHAPTER

7

Earnings per share and headline earnings per share

IFRS references

IAS 33: *Earnings per Share*

Circular 01/2021: *Headline Earnings*¹

1 Introduction

2 Basic earnings per share

2.1 [Basic earnings \(numerator\)](#)

2.1.1 [Why are preference dividends deducted from basic earnings?](#)

2.2 [Weighted average number of shares in issue \(denominator\)](#)

2.2.1 [What if new ordinary shares have been issued or repurchased during the reporting period?](#)

2.2.2 [What if there has been a share split or a share consolidation?](#)

2.2.3 [What if new ordinary shares have been issued for no value?](#)

2.2.4 [What if an entity declares an ordinary share dividend?](#)

2.2.5 [What if new shares are issued as a rights offer?](#)

2.2.6 [What if the issue of new shares is contingent on a specific event?](#)

2.3 [Retrospective adjustments](#)

3 Diluted earnings per share

3.1 [Earnings](#)

3.2 [Weighted average number of shares](#)

3.3 [Share options and warrants](#)

3.4 [Convertible instruments](#)

3.5 [Contingently issuable shares](#)

4 Disclosure requirements

5 Headline earnings per share

5.1 [What is headline earnings per share?](#)

Key points to take from this chapter

Discussion questions

Exercise questions

Reference

Learning objectives

By the end of this chapter, you should be able to:

- Distinguish between basic earnings per share, diluted earnings per share and headline earnings per share.
- Identify which adjustments are required to profit after tax to determine basic earnings and headline earnings.
- Identify how changes in ordinary shares in issue should be treated when determining the weighted average number of shares outstanding.
- Describe how the selection and application of a specific accounting policy may affect the calculation of earnings per share.
- Calculate basic earnings per share, diluted earnings per share and headline earnings per share.

- Disclose earnings per share in the statement of profit or loss and other comprehensive income and the notes to the financial statements.

Concept summary



1 Introduction

An ordinary share is an equity instrument that is subordinate to all other classes of equity instruments. The earnings per share ratio is calculated by comparing an entity's **profit** with the **number of ordinary shares** it has in issue. Earnings per share is a monetary value based on the after-tax profit available to ordinary shareholders of an entity on a **per-share basis**.

Something to think about

Why is earnings per share important?

Earnings per share is often used by analysts and investors to do the following:

- Compare the performance of an entity in different financial reporting periods
- Compare the performance of one entity with that of other entities
- Calculate a listed entity's price-earnings ratio (P/E ratio). This is calculated by dividing the market price of a share by the reported earnings per share.

Analysts of financial statements use the **earnings per share (EPS) ratio** as a key ratio for comparing entities and determining the profitability of an entity over time. As JSE-listed entities are required to calculate and present earnings per share, a reliable and consistent calculation of this ratio is vital to ensure some degree of reliability and comparability between entities.

To ensure consistency and to aid comparability, IAS 33, *Earnings per Share*, prescribes the principles for determining and presenting earnings per share. The standard applies to all entities whose **ordinary** shares are listed or are in the process of being listed. This means that IAS 33 applies to entities whose ordinary shares **are traded publicly** and to entities that are issuing ordinary shares or potential ordinary shares in public securities markets.

In paragraph 4 of IAS 33, where the listed entity comprises various other entities (in other words, it is a group), the earnings per share ratio is calculated and presented based only on the **consolidated information** (see [Chapter 27](#), *Consolidated financial statements*).

ETHICAL DILEMMA

Earnings per share information is considered material non-public information that can significantly impact a company's share price. Ethical dilemmas can arise if insiders, such as executives or employees, use their access to confidential information to engage in insider trading. Material information is information that a reasonable investor would consider important in making an investment decision. Insider trading involves trading securities based on material

non-public information that, if disclosed, could reasonably be expected to impact the price of those securities. Insider trading can be both legal and illegal:

- *Legal insider trading* occurs when insiders trade securities of their own company but comply with relevant regulations and disclose their trades as required. For example, executives may buy or sell shares in their company, but they must do so in accordance with specific rules and within defined windows of time.
- *Illegal insider trading*, on the other hand, occurs when insiders trade securities based on material non-public information in violation of securities laws and regulations.

Insider trading undermines the principles of fair and equal access to information in financial markets. It creates an unfair advantage for insiders and erodes investor confidence in the integrity of the market. Regulations against insider trading aim to promote transparency, protect investors and maintain a level playing field.

To address the ethical dilemma of insider trading, companies should prioritise transparency, accuracy and compliance with accounting standards and regulations. Implementing robust internal controls, conducting independent audits, and providing clear and balanced disclosures can help ensure the integrity of earnings per share figures and prevent unethical practices that may mislead investors and stakeholders.

In this chapter, we will refer to shares authorised and issued with voting rights and shares entitling their owners to receive the net assets of the company upon its liquidation as ordinary shares. We will refer to shares without voting rights with preferential rights to dividends as preference shares (refer to [Chapter 6](#), *Owners' equity*).

IFRS for SMEs Accounting Standard application

The *IFRS for SMEs* Accounting Standard does not require the calculation or disclosure of earnings per share for small and medium-sized entities.

2 Basic earnings per share

Basic earnings per share is a **ratio calculation** (not an accounting treatment) disclosed at the bottom of the statement of profit or loss and other comprehensive income. Basic earnings per share is calculated by dividing profit or loss (earnings) attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding (that is, in issue) during a reporting period. This ratio is often used to compare the after-tax profit available to ordinary shareholders of an entity on a per-share basis with that of other entities.

Something to think about

What are the limitations of the earnings per share ratio?

When comparing the earnings per share of one entity with that of another entity, investors should consider the effect of **different accounting policies** and **different accounting treatments** of some transactions and events. For example, one entity may apply the fair value model to account for investment properties while another entity uses the cost model. The accounting treatment of these two different policies significantly affects the amounts recognised in profit or loss, which impacts the earnings per share calculated.



This looks like a simple formula, but we need to look at what is meant by 'basic earnings' in more detail as well as how changes in the issued shares during the reporting period affect the calculation of the weighted average number of ordinary shares in issue during the reporting period.

In this formula, basic earnings is the **numerator** (top line) in the calculation, and the weighted number of ordinary shares in issue is the **denominator** (bottom line). The resultant ratio is known as '**basic earnings per share**', and the objective of calculating this ratio and providing this information is to show the interest of an ordinary shareholder in the performance (profit) of an entity across a reporting period.

2.1 Basic earnings (numerator)

The profit or loss for the reporting period is the starting point of basic earnings and must be from **continuing** operations. This means that all income or expense items included in profit or loss and attributable to ordinary shareholders that have been recognised in the reporting period are included when calculating the basic earnings. You should not make any adjustments to the profit or loss for the period for any item.

As basic earnings per share is calculated for ordinary shareholders, you need to deduct any **preference dividends** because ordinary shareholders do not share in this portion of the profit. Basic earnings are determined as the profit or loss of an entity for the reporting period, less any dividends declared or accrued to shares issued with preferential rights to dividends.

In a group, the earnings amount used to calculate the earnings per share of ordinary shareholders is the **share of profit that is attributable to ordinary shareholders of the parent** (after deducting any profits that are attributable to any other group of shareholders, including non-controlling interest, in accordance with their rights). Profit or loss for the reporting period must be apportioned between amounts attributable to equity holders of the parent and non-controlling interest. The amount attributable to the equity holders of the parent at a group level is what is used, as this excludes any profits of a subsidiary attributable to the other investors in a subsidiary (in other words, the non-controlling interest).

Basic earnings

... represent those profits of the entity for the reporting period that are attributable to ordinary equity holders.

To calculate basic earnings, you should start with the profit or loss for the year (as per the statement of profit or loss) from continued operations and deduct the profits attributable to preference shareholders. This means that basic earnings are calculated as follows:

Basic earnings = Profit or loss for the period (in other words, after tax, after non-controlling

interest) – Preference dividends

Note that any items included in other comprehensive income are excluded from basic earnings and thus from the earnings per share ratio.



ETHICAL DILEMMA

While basic earnings and earnings per share provide useful information to investors and stakeholders, ethical dilemmas can arise, such as earnings management practices to manipulate earnings. For example, actions such as inflating revenues, understating expenses or applying accounting policies incorrectly may result in the overstatement of basic earnings and earnings per share.

2.1.1 Why are preference dividends deducted from basic earnings?

Basic earnings are the profits attributable to ordinary equity holders of the entity. Thus, you should **exclude all preference dividends** from the earnings per share calculation because preference dividends are payable prior to ordinary dividends, and preference dividends are paid to preference shareholders. For this purpose, it is important to determine the rights of preference shareholders to receive a dividend:

- For **non-cumulative** preference dividends, you should deduct any amounts declared during the current period.
- For **cumulative** preference dividends, you should deduct the after-tax amount, irrespective of whether the dividend is declared during the current period. As the preference shares are cumulative, this implies that even if the dividend is not declared now, when the entity eventually declares a preference dividend, it will also have to declare the arrear dividends. Any cumulative dividends paid during the period that relate to prior periods are not part of the calculation.
- For **redeemable** preference shares classified as a liability (see [Chapter 14](#), *Financial instruments*), the preference dividend is recognised in profit or loss as a finance cost. It was already deducted when the profit or loss for the period was calculated, so no further adjustment is necessary. The preference dividend should be on an after-tax basis.
- For **participating** preference shares (preference shareholders that participate beyond their fixed dividend), their interest is similar to that of ordinary shareholders. The substance of these preference shares is that of equity shares. In this case, a separate earnings per share ratio should be calculated for these shares by apportioning the earnings for the period over the different classes of shares in accordance with the preference shareholders' rights to participate in the distribution of the earnings.

Example of basic earnings, cumulative and non-cumulative preference dividends

The following extract was obtained from the statement of profit or loss of H Ltd for the financial year ended 31 December 20x1 (ignore comparatives):



H Ltd has 100 000 5% **non-cumulative** preference shares in issue. This means that these preference shares carry a right to receive a dividend of 5% of the CU1 par value per share and that the dividends are only payable when declared. The non-cumulative dividend was declared during the reporting period.

H Ltd also has 200 000 4% **cumulative** preference shares in issue. Dividends for these preference shares were not declared during 20x1. The shares carry a cumulative dividend right of 4% per share based on the par value of CU1 per share and the dividend accrues on an annual basis, irrespective of whether it has been declared or not. Therefore the basic earnings are adjusted for the dividend, even though the dividends were not declared in the current reporting period.

Basic earnings (that is, profit after tax, attributable to ordinary shareholders of the parent) to be used in the calculation of basic earnings per share is calculated as shown below.



Note that both the non-cumulative and the cumulative preference dividends are deducted to determine the profit attributable to the ordinary equity holders of the parent.

The non-cumulative preference dividend is deducted when it is declared. The cumulative dividend is deducted even though it was not declared in the current reporting period.

2.2 Weighted average number of shares in issue (denominator)

As mentioned earlier, the earnings per share calculation focuses on the **ordinary equity** of the entity, so the denominator in the calculation only includes ordinary share capital. IAS 33 refers to '**outstanding**' shares, which means that the shares were in issue during the reporting period. The ordinary share capital needs to be adjusted for changes in the number of shares issued.

The following transactions may result in **changes in the number of shares** in issue during the reporting period:

- New share issues during the reporting period (the number of shares in issue may increase)
- The repurchase or cancellations of shares by the entity (the number of shares in issue will decrease)

- A share split or consolidation (this will result in either an increase or a decrease in the number of shares in issue)
- The conversion of convertible preference shares or convertible debentures into ordinary shares.

Something to do

Look at how the allocation of basic earnings to both ordinary and participating preference shareholders is illustrated in IAS 33, Illustrative Example 11. You should also refer to the worked examples on the OUPSA EduZone website for a comprehensive example of the calculation of basic earnings per share.

The immediate effect of the issue of new shares is that earnings per share decrease (as the denominator – number of shares – increases). However, for an issue of shares at fair (or market) value, the net assets (or resources) of the entity have increased, and thus it would be expected that profits (earnings) would also increase. Where new shares have been issued (or repurchased) at fair value, a straightforward **time-weighted average number of ordinary shares** is calculated and used as the denominator. Thus, the number of ordinary shares used in the calculation of basic earnings per share is adjusted by a **time-weighting factor**, which is the number of days in the reporting period that the shares are in issue as a proportion of the total number of days in the reporting period. This means that shares are included in the calculation from when the consideration for the shares is receivable. This makes sense, as the equity of the entity will either increase or decrease because of these changes in the shares in issue, resulting in a similar change in the assets and liabilities of the entity, which the entity was able to use to generate its earnings. For example, when ordinary shares are issued in exchange for the settlement of a liability, then they are included from the settlement date, resulting in an increase in equity and a decrease in liabilities. Alternatively, shares issued for a cash consideration give rise to an increase in equity and an increase in assets (cash) for the same amount.

Thus, the **weighted average number of ordinary shares** (WANOS) refers to shares that were in issue (outstanding) during the reporting period, weighted for the part of the reporting period in which the shares were in issue. These are shares that have voting rights and that entitle their owners to receive the net assets of the entity upon its liquidation.

The weighted average number of ordinary shares outstanding during a period

... is the number of ordinary shares outstanding at the beginning of the period, adjusted by the number of ordinary shares bought back or issued during the period multiplied by a time-weighting factor.

The time-weighting factor

... is the number of days for which the shares are outstanding as a proportion of the total number of days in the period.

Example of basic earnings per share where additional shares have been issued at fair value

The group statement of profit and loss and other comprehensive income of H Ltd reflected profit from continuing operations of CU2.5 million for the financial year ended

31 December 20x4, of which CU2 million was attributable to the equity holders of H Ltd and CU500 000 to the non-controlling interest.

H Ltd had 500 000 ordinary shares in issue on 1 January 20x4 (issued at CU1 each). On 30 June 20x4, H Ltd issued 200 000 new ordinary shares at their fair value of CU3 per share.

Refer to [Chapter 6](#), *Owners' equity*, for discussions of movements in an entity's ordinary shares.

ETHICAL DILEMMA

An ethical concern may arise when a company delays the issuance of new shares strategically to impact earnings per share calculations. For example, a company might issue a large number of additional shares immediately after the end of a reporting period to mislead investors who rely on earnings per share as an important performance indicator.

2.2.1 What if new ordinary shares have been issued or repurchased during the reporting period?

As illustrated in the example above, where new shares have been issued (or repurchased) **at fair (market) value**, you should calculate the weighted average number of ordinary shares using a straightforward time-proportion basis. Using a time factor reflects that share capital and, therefore, that the shareholders' interest in earnings varied during the period, depending on the number of shares in issue at that point.

Shares are considered to be issued when the economic transaction related to the issue has occurred. In addition to a cash issue of shares, the following examples illustrate when the share issue is considered complete:

- Where ordinary shares are issued in exchange for income-producing assets or shares in another entity, you should assume that the claims were issued on the date from which the income from the assets or investment is included in earnings.
- Where ordinary shares are issued as settlement of a liability of the entity, the shares are included from the settlement date.
- Where ordinary shares are issued for rendering services to the entity, the shares are included as the services are rendered.

Example of time weighting of shares issued during the reporting period

Shares issued four months into the current reporting period should be time weighted by , which is the portion of the reporting period during which they were in issue.

Shares repurchased nine months into the current reporting period should be time weighted by , which is the portion of the reporting period during which they were in issue.

2.2.2 What if there has been a share split or a share consolidation?

While consolidation of shares (for example, 1 000 shares are consolidated into one share) decreases the number of shares in issue, there is no corresponding reduction in the entity's resources. The same applies to a share split (for example, when one share is split into two shares). As there is no change in the entity's equity, assets and liabilities, no **time weighting** is applicable for share splits or share consolidations. The number of ordinary shares outstanding before the event must be adjusted for the proportionate change in the number of ordinary shares outstanding as if the change had occurred at the beginning of the earliest period presented in the financial statements.

2.2.3 What if new ordinary shares have been issued for no value?

Capitalisation issues (also referred to as bonus issues) are new shares that are issued for no value. As the number of shares in issue has increased without any resulting cash flow benefit, the total capital of the entity has remained the same. **Therefore, no time weighting is applied to capitalisation shares and the comparative earnings per share ratio is adjusted for these shares to make it comparable with previous periods.**

Example of share splits

An entity splits its 1 000 ordinary shares, resulting in the number of issued shares increasing to 2 000 without any change in the net assets of the entity. No weighting is applied for these shares, but each period presented is adjusted to reflect 2 000 shares in issue.

2.2.4 What if an entity declares an ordinary share dividend?

When an entity declares a dividend and shareholders are given the option of receiving cash or additional shares, there is a benefit to the entity in the form of the cash saving that would otherwise have been paid out as a dividend. Therefore, shares issued in terms of a dividend reinvestment programme are treated similarly to a share issue for cash and are **weighted** from the date on which the cash would otherwise have been paid out.

Example of issue of shares at no value

An entity issued 1 000 new capitalisation shares to existing shareholders for no value. This means that the ordinary shares in issue increased by 1 000 without any change in the net assets of the entity. No weighting is applied to these shares.

2.2.5 What if new shares are issued as a rights offer?

Where new shares are offered to ordinary shareholders at an exercise price lower than the fair value of the shares, the new shares issued include a **bonus element**. Such an offer is usually referred to as a rights issue and is made to existing shareholders at a reduced price in some proportion to their existing shareholding. You can think about this as a combination of two elements: an offer of shares at full market price (fair value) plus a bonus element. This requires you to determine the bonus element and adjust for it.

Example of issue of share dividends

An entity has 100 000 shares in issue and declares a dividend of 50c per share on 1 March 20x5. Shareholders have the option to receive the cash dividend or 1 additional share for every 20 shares held. A total of 60% of shareholders elect the share dividend. The current reporting period ended on 31 December 20x5.



The bonus element is calculated by taking the total proceeds received for the shares and dividing this amount by the fair value of the shares at the date of the issue. This calculation gives you the number of shares for which the entity received value. The remainder of the shares issued were essentially given away free (hence the bonus issue).

Example of issue of shares at value below fair value

An entity issued 1 000 new shares at CU5 per share when the fair value of the shares was CU8 per share. In this case, some of the 1 000 shares were issued at fair value, while the remainder of the new shares were issued at no value (that is, as bonus shares). Refer to 'Example of calculation of basic earnings per share, including the effects of a rights issue' for the calculation of the bonus element.

2.2.6 What if the issue of new shares is contingent on a specific event?

The entity can issue ordinary shares for little or no cash or other consideration once a specified condition or event has been satisfied. If an entity has contingently issuable shares, they must be treated as outstanding (in other words, as if they are issued), and they should be included in the calculation of the earnings per share ratio from the date on which all the necessary conditions were satisfied.

2.3 Retrospective adjustments

Reporting of information in financial statements requires that comparative information be provided to inform users' decisions. This requirement applies equally to the calculation and presentation of earnings per share. The items relating to the earnings per share calculation should be adjusted retrospectively to restate the values of relevant items so that valid comparisons can be made across time. IAS 33 requires that if the number of ordinary shares or potential ordinary shares outstanding increases because of a capitalisation, bonus issue, share split or consolidation, you should adjust the calculation of earnings per share and diluted earnings per share (refer to Section 3) retrospectively for all periods that are presented in the financial statements. This implies that any increase in the number of ordinary shares (or potential ordinary shares) that results from changes in the number of shares without any change in equity should be applied equally to all prior periods presented. For example, where the number of issued shares increases during a reporting period as a result of a bonus issue for no consideration, then the operating profit for the whole period in which the bonus issue occurred will be attributable to the increased number of shares and not to the lesser number of shares outstanding at the beginning of the reporting period.

The following examples illustrate the calculation of the weighted average number of ordinary shares and the earnings per share ratio for various scenarios, as well as the retrospective application of changes in the average number of ordinary shares.

Example of calculation of basic earnings per share, including the effects of a capitalisation issue

An entity had the following capital structure at 30 June 20x7, its prior reporting date:

- Issued shares:
 - 1 000 000 ordinary shares (issued at CU1 each)
 - 400 000 preference shares, with the cumulative right to receive dividends of 10% per annum (issued at CU0.50 each).

During the current period, the entity issued 300 000 new ordinary shares to the existing shareholders as capitalisation shares on 1 January 20x8 and a further 200 000 ordinary shares at their fair value of CU2 each on 1 April 20x8.

The statement of changes in shareholders' equity included the following information relating to retained earnings:



Calculation of basic earnings for the period



Calculation of weighted average number of shares



Notes

1 As no benefit was received for the capitalisation shares, the share issue is not weighted and the number of shares in the prior period is also adjusted accordingly.

2 This represents the cash issue of shares weighted for the portion of the year for which the shares are in issue. The comparatives are not adjusted.

Earnings per share



The earnings per share ratio for the prior period (30 June 20x7) was previously reported as CU1.38, calculated as  but was adjusted in the current period owing to the capitalisation issue.

Example of calculation of basic earnings per share, including the effects of a rights issue

If we assumed that instead of a capitalisation share issue on 1 January 20x8 (see example above), the entity had a rights issue whereby it issued 300 000 ordinary shares to existing shareholders at CU1.20 each when the market price of each of the entity's ordinary shares was CU1.80, the earnings per share would be as set out below.

Calculation of basic earnings

This is the same as the previous example, as the rights issue does not affect the entity's earnings:



Calculation of the weighted average number of shares

As the shares were issued at a price lower than the market price of CU1.80 per share, the rights issue includes a bonus element. The rights issue, therefore, consists of the following:

- 1 Shares issued for fair value (in other words, the number of shares that would have been issued if the rights issue had been priced at CU1.80 per share)
- 2 A bonus element, which comprises the shares for which no cash was received.

In terms of IAS 33, the number of ordinary shares is multiplied by an adjustment factor, which takes into account that there has been a dilution in the value per share of each shareholder's interest in the entity. This adjustment factor is calculated as follows:



The fair value is the share price at the close of the last day on which the shares are traded immediately prior to the rights issue (that is, cum rights, or the share price including the value of the rights). The theoretical ex-rights fair value per share is the weighted combined price of the shares immediately after the rights issue has happened (shares with voting rights and shares entitling their owners to receive the net assets of the company upon its liquidation) used in the calculation of basic earnings per share for all periods (including the comparative periods). This is calculated as the aggregate of the total market value of the shares immediately prior to the rights issue plus the proceeds arising from the rights issue, divided by the total number of shares outstanding after the rights issue.

Fair value per share immediately before rights issue:

1 000 000 shares × CU1.80 = CU1 800 000 (total market value)

Determining the theoretical ex-rights value per share:



Thus, the theoretical ex-rights fair value per share is ( = shares).

From this calculation, you will notice that there has been a dilution in the value per share of the ordinary equity holders' interest in the entity from CU1.80 to CU1.66 as a result of the exercise price of the new shares which were issued at lower than the market price at the time. This makes sense because the number of shares in issue has increased disproportionately with the increase in the net asset value.

Adjustment factor



Calculation of weighted average number of shares



Note 1

Alternative calculation



Earnings per share



Something to do

Refer to IAS 33, Illustrative Example 3, for an illustration of the calculation of earnings per share when there is a bonus issue, and IAS 33, Illustrative Example 4, for a rights issue and a demonstration of determining the adjustment factor.

3 Diluted earnings per share

In addition to calculating basic earnings per share, an entity has to determine the effect of **potential dilution** to its earnings per share ratio that may stem from the issue of potential ordinary shares at a future date (for example, options that are exercised or convertible securities that are converted into ordinary shares). These shares are referred to as **potential shares** and usually consist of the following:

- Share options and warrants (forming part of employee remuneration packages) offered as an incentive to directors and senior employees, allowing them to acquire shares in the entity at a specific price in the future
- Convertible debentures, bonds or preference shares, which are convertible to ordinary shares at a future date.

Thus, potential ordinary shares are other instruments that have been issued and that have the potential of being converted into ordinary shares in the future. The potential dilutive effect of potential shares should be taken into account when determining the diluted earnings per share. Dilution would occur where the same earnings have to be shared among more shareholders than is currently the case. The diluted earnings per share shows the **lowest** earnings per share possible, assuming that these potential ordinary shares are issued.



The calculation of diluted earnings per share uses the calculations of basic earnings per share (profit after tax attributable to the ordinary equity holders of the parent over weighted average number of shares) as the **starting point**. Adjustments are made to increase the basic earnings (numerator) relating to dividends, interest and other income or expenses recognised in the reporting period in respect of the dilutive securities that would no longer arise if they were indeed converted into ordinary shares. Adjustments to increase the weighted average number of shares (denominator) are required for any potential ordinary shares in the case of their conversion into ordinary shares. Thus, the diluted earnings per share ratio is calculated separately from the basic earnings per share ratio by adjusting the basic earnings and the weighted average number of shares, as shown below.

Where **potential ordinary shares** will dilute earnings attributable to existing ordinary shareholders, disclosure of the earnings per share figure is required after the maximum possible dilution resulting from potential ordinary shares has been quantified. **Disclosure of the diluted earnings per share** figure is therefore important, as it aids users in identifying and understanding the effect that potential ordinary shares will have on basic earnings per share in the future when, for example, options are exercised or debentures are converted into ordinary shares (see Section 4).

3.1 Earnings

To calculate the diluted earnings per share, you should **increase** the profit after tax attributable to ordinary equity holders of the parent in order to remove the impact of any dividends, interest or other items that would otherwise have been payable, or other charges such as transaction costs that are related to the potential ordinary shares and that have been included in profit.

Thus, basic earnings are adjusted by the after-tax effects of adjustments recognised in profit or loss relating to the **potential ordinary shares that are dilutive** (in other words, if the potential ordinary shares were converted into ordinary shares, the amounts that would no longer be included in profit or loss). For example, if the potential ordinary shares are convertible debentures, the interest expense (after tax) would be saved when the debentures are converted into ordinary shares, and would therefore be added back.

Example of calculating dilutive earnings

An entity issued preference shares that are convertible to ordinary shares in the future. When you calculated the basic earnings per share, you would have deducted the preference dividend. When calculating the diluted earnings per share, starting with basic earnings, you would add the preference dividend back.

3.2 Weighted average number of shares

For the purposes of calculating the diluted earnings per share, you need to **increase** the weighted average number of ordinary shares that would be outstanding (that is, in issue) if all the dilutive securities were converted into ordinary shares. Thus, the diluted number of shares incorporates an assumed number of shares from the conversion of dilutive potential equity shares from debt instruments and the exercise of options and warrants. Potential ordinary shares are dilutive when (and only when) their conversion to ordinary shares would **decrease** earnings per share from continuing operations.

Dilution

... is a reduction in earnings per share (or an increase in loss per share) resulting from the assumption that convertible instruments are converted, that options or warrants are exercised, or that ordinary shares are issued upon the satisfaction of specified conditions.

Potential ordinary shares are deemed to have been converted into ordinary shares at the beginning of the period or, if later, the date of the issue of the potential ordinary shares. The potential ordinary shares should be weighted for the period for which they are outstanding. This means that if any of the dilutive securities lapse or are cancelled, these securities are only included in the calculation for the portion of time during which they are outstanding. Thus, you need to adjust the weighted average number of shares in issue according to any increases in ordinary shares that would arise from, for example, the conversion of the debentures or the exercise of share options.

IAS 33 gives the following guidelines to use in determining whether the potential ordinary shares are dilutive or anti-dilutive:

- Firstly, the entity must use only **profit or loss from continuing operations** (any items included in profit or loss related to discontinued operations are excluded, as discussed in [Chapter 21](#), *Non-current assets held for sale and discontinued operations*). This makes sense because, as stated earlier, the diluted earnings per share ratio is meant to be an indicator of the effect that the conversion of potential ordinary shares (shares with voting rights and shares entitling their owners to receive the net assets of the entity upon its liquidation) will have on the basic earnings per share ratio in future. The profit or loss from continuing operations is referred to as the 'control number'.
- Each issue or series of potential ordinary shares (shares with voting rights and shares entitling their owners to receive the net assets of the entity upon its liquidation) is **assessed separately**. The sequence in which they are assessed is important, as it may affect whether they are **dilutive** or not. Therefore, in order to maximise the dilution of the basic earnings per share ratio, the potential ordinary shares are tested in sequence from the most dilutive to the least dilutive. In other words, potential ordinary shares with no earnings per incremental share are considered first

(as these are the most dilutive), and then those with the lowest earnings per incremental share are considered next.

IAS 33 only regards potential ordinary shares as dilutive if their conversion to ordinary shares would **decrease** earnings per share from the continuing operations of an entity. Where potential ordinary shares have an **anti-dilutive** effect, which means that the conversion of potential ordinary shares would increase earnings per share, it should not be taken into account for the calculation of diluted earnings per share.

Key principle: The dilutive effect

The dilutive effect (ability to dilute) of all potential ordinary shares on the profit attributable to the ordinary shareholders for the period and on the weighted average number of ordinary shares outstanding should be taken into account when the diluted earnings per share ratio is calculated. Potential ordinary shares are only dilutive if their conversion into ordinary shares would decrease earnings (or increase loss) per share.

3.3 Share options and warrants

Share options and warrants are financial instruments that give the holder the right to purchase shares at some point in the future at a pre-determined price. When this right is exercised, the entity will receive some resources (payment). The options will be dilutive when the exercise price is lower than the fair value (market value) of the shares (in other words, the option is 'in the money'). In this case, you need to calculate the nominal amount of the options that will be issued at no consideration (the bonus element). This is done with reference to the average market value of the shares during the year.

Example of share options

An entity issued 200 000 options to its directors. These options entitled directors to 200 000 ordinary shares in the entity at an exercise price of CU2 per share. The average market price of the entity's shares was CU3 per share during the year. These options have been outstanding for the entire reporting period. The shares that are effectively being issued for no consideration are dilutive, as these are bonus shares.

If the options were exercised, the entity would receive CU400 000 ($200\,000 \times \text{CU}2$). However, based on current estimates of the entity's share price, CU400 000 would only

entitle shareholders to 133 333 shares

Thus, 66 667 shares ($200\,000 - 133\,333$) are effectively issued at no consideration, representing the bonus element.

When calculating the diluted weighted average number of shares, you should include the 66 667 potential shares.

3.4 Convertible instruments

Debt instruments (for example, bonds or debentures) that are convertible to equity instruments (for example, ordinary shares) may be potentially dilutive. You need to determine the following, based on the assumption that the debt instruments are converted:

- The after-tax interest expense that would no longer be recognised in profit or loss
- The number of additional ordinary shares that would be issued.

Something to do

Refer to IAS 33, Illustrative Example 5, for comprehensive calculations of diluted earnings per share when the entity has issued share options.

When the conversion of the debt instruments results in a lower earnings per share ratio, the convertible instrument is dilutive. However, when the conversion results in a higher earnings per share ratio, the convertible instrument is anti-dilutive and should not be included in the diluted earnings per share calculation.

Something to do

Refer to IAS 33, Illustrative Example 6, for an illustration of the calculation of diluted earnings per share when the entity has convertible bonds.

Example of convertible debentures

An entity issued convertible debentures on 1 July 20x8 (six months into the current reporting period). These debentures can be converted (at the option of the holders) into 100 000 ordinary shares in the entity on 30 June 20x9. Interest of CU20 000 was recognised on these debentures during the 20x8 financial year.

Conversion of the debentures will result in the following:

- An increase in the profit of the entity by CU14 600, being the saving of interest on the debenture of CU20 000 after tax of 27% (assuming that a tax rate of 27% applies)
- An increase in the share capital of the entity of 50 000 ordinary shares, being 100 000 ordinary shares weighted for the six months that the debentures were outstanding during 20x8.

3.5 Contingently issuable shares

In some cases, contingently issuable shares are issuable only when certain conditions have been fulfilled. These conditions are usually stipulated in a contingent share agreement (for example, a certain level of revenue or profit must be reached, a certain number of new retail stores must be opened, or a certain market price for the shares has to be achieved).

When the conditions that have been specified have been met, the shares are issued and included in both the basic and the diluted earnings per share. For the diluted earnings per share, the shares are treated as if they had been issued from the beginning of the period (or the date of the contingent share agreement, if later). However, if the conditions are not met, the number of contingently issuable shares is included in the diluted earnings per share calculation based on the number of shares that would be issuable if the reporting date were the end of the contingency period.

Something to do

Refer to IAS 33, Illustrative Example 7, for an example of the calculation of basic earnings per share and dilutive earnings per share where the entity has contingently issuable shares.

Example of contingently issuable shares

An entity has one million issued ordinary shares. An agreement stipulates that 10 000 new ordinary shares will be issued for each new retail store opened during 20x6. A new retail store was opened on 1 July 20x6. The 10 000 new ordinary shares were issued when this new store was opened.

Thus, when calculating the basic earnings per share, the 10 000 new ordinary shares should be included in the weighted average number of shares calculation on a time-proportion basis. When calculating the diluted earnings per share, the 10 000 new ordinary shares should be included in the weighted average number of shares calculation from the beginning of the period.

4 Disclosure requirements

While other entities can choose whether or not to disclose earnings per share, a listed entity or an entity in the process of listing should present the basic earnings per share as well as the diluted earnings per share on the face of the **statement of profit or loss** for each different class of shares (shares with voting rights and shares entitling their owners to receive the net assets of the entity upon its liquidation). This should also be done for the comparative figures. Basic and diluted earnings per share should be presented, even if the amounts are negative (in other words, a loss per share).

Disclosure is required of the basic earnings per share and the diluted earnings per share for profit or loss from **continuing operations** attributable to the ordinary equity holders of the parent entity and for each class of shares that has a different right to share in profit for the period. An entity that reports a **discontinued operation** should disclose the basic and diluted amounts per share for the discontinued operation in the statement of profit or loss and other comprehensive income, or in the notes.

An entity should disclose the following information (normally in the **notes** to the financial statements):

- The amounts used in calculating the basic and the diluted earnings per share, and a reconciliation between these amounts and the profit or loss for the period
- The weighted average number of ordinary shares used to calculate the basic and the diluted earnings per share and a reconciliation of these figures to each other.
- Where the financial statements are prepared for a period other than 12 months, the earnings per share should not be adjusted to a yearly basis. The earnings per share for the prior reporting period should be shown as originally reported. Where the comparative figures have been restated (because of a change in accounting policy or the correction of an error) or where a capitalisation issue has taken place, the comparative earnings per share figure should be recalculated to consider those adjustments.

As stated earlier, if the number of ordinary shares or potential ordinary shares outstanding increases because of a capitalisation, bonus issue, share split or consolidation, you should adjust the calculation of the basic and the diluted earnings per share for all periods presented **retrospectively**. If these changes occur after the reporting period, but before the financial statements are authorised for issue, the per share calculations for these and any prior period financial statements presented should be based on the new number of shares. The fact that the per share calculations reflect changes in the number of shares must be **disclosed**. In addition, the basic and the diluted earnings per share of all periods presented should be adjusted for the effect of errors and adjustments resulting from changes in accounting policies accounted for retrospectively.

Example of presentation of earnings and diluted earnings per share

Statement of profit or loss and other comprehensive income for the year ended 31 December 20x5

Notes to the financial statements for the year ended 31 December 20x5



5 Headline earnings per share

IAS 33 requires earnings per share to be calculated on the profit or loss for the period after taking into account all items of income and expenses recognised in the profit or loss for the reporting period, including items that relate to changes in the value of an asset or liability after initial recognition (referred to as 'remeasurements').

IAS 33 acknowledges that no one number captures the performance of an entity. In a 2006 survey, the South African Institute of Chartered Accountants (SAICA) found that several users of financial statements were interested in a clearly defined reference number that could be used for reporting and comparative purposes. Consequently, SAICA released Circular 08/07, *Headline Earnings* (which superseded Circular 07/02, also dealing with headline earnings). SAICA has since replaced Circular 08/07 with various updates, the most recent being Circular 01/2021.

These new issues resulted from amendments and revisions to the IFRS Accounting Standards and reconsiderations of some of the detailed rules. The objective of the circular is to define clear rules for creating a single earnings number that is calculated consistently.

Headline earnings are calculated in the same way as the earnings determined in IAS 33, **excluding** separately identifiable remeasurements (net of tax and non-controlling interests), other than remeasurements included explicitly in headline earnings.

Something to do

Circular 01/2021, *Headline Earnings*, was issued by SAICA in March 2021 and was the most recent circular at the time of publishing. Visit the SAICA website at <https://www.saica.co.za/> to view the most recent circular.

5.1 What is headline earnings per share?

Headline earnings per share is a **ratio calculation** that starts with the calculation of basic earnings used to determine earnings per share. The basic earnings (profit or loss after tax attributable to ordinary shareholders) is then adjusted according to the gains and losses included in profit or loss that are of a capital nature (for example, profits on the disposal of assets). Note that gains and losses recognised in other comprehensive income are ignored, as the starting point when determining basic earnings is profit or loss.

Headline earnings falls under the category of management-defined performance measures under IFRS 18, *Presentation and Disclosure in Financial Statements*. IFRS 18 and the listing conditions of the Johannesburg Stock Exchange (JSE) require the calculation of headline earnings and the disclosure of a detailed reconciliation of headline earnings to the earnings numbers used in the calculation of basic earnings per share in accordance with the requirements of IAS 33. Thus, listed entities in South Africa are required to present a figure showing **headline earnings per share** calculated in accordance with **Circular 01/2021, Headline Earnings**, as well as the weighted average number of shares used in the calculation of basic earnings per share. The amount of diluted headline earnings per share is calculated similarly to diluted earnings per share: starting with headline earnings, then making the same adjustments as when you calculated the diluted earnings per share. (Note that disclosure of headline earnings is not a requirement of the IFRS Accounting Standards, necessitating a reconciliation to be presented in terms of IFRS 18, paragraph 123.)

One of the main uses of a single earnings number in South Africa is in calculating a consistent price-earnings (P/E) ratio. This ratio is a valuable analysis tool for comparing the market ratings of companies and for performing a trend analysis of the valuations of companies and sectors over time, even though the earnings of the various companies are not necessarily calculated using the same accounting policies. The linking of the share price to earnings can be difficult to apply to the remeasurement of assets and liabilities, as the markets that drive these remeasurements fluctuate, removing the element of consistency.

Some investors and analysts believe that headline earnings and a meaningful price-earnings ratio should use the earnings items that relate to the **operating activities** of an entity and not items (such as the revaluation of certain assets) that relate to the remeasurement of its asset (such as fair value adjustments). Items relating to the operating activities are those that reflect performance in the current period (sales, salaries and so on) and that can be extrapolated (modified or not) into the future. However, you should not ignore all remeasurements. Those relating to working capital are of an operating nature (for example, any impairment of the carrying value of inventory or fair value adjustments relating to a portfolio of held-for-trading securities). These remeasurements are part of an entity's operating activities and should legitimately be included in an earnings number used to calculate a price-earnings ratio. As stated above, headline earnings focus on remeasurements (changes in the value of assets and liabilities after initial recognition). More importantly, they seek to exclude remeasurements that do not relate to an entity's operating or trading performance. Therefore, certain remeasurements are included explicitly in headline earnings, including the following:

- Remeasurements that have been determined as typically relating to the operating or trading performance of the entity
- Remeasurements that relate to the usage (that is, the depreciation) of a non-current asset, which is an operating or trading activity of the entity
 - In most cases, remeasurements that relate to current assets and liabilities
- Foreign exchange movements on monetary assets and liabilities, except those that relate to foreign operations included in other comprehensive income
- Remeasurements relating to financial instruments, except for amounts relating to financial instruments included in other comprehensive income.

The **starting point** for headline earnings is the earnings number used to calculate basic earnings per share in accordance with IAS 33. Accordingly, if items were excluded from basic earnings, they would also be excluded from headline earnings. For this reason, accounting policy choices that affect basic earnings would also impact headline earnings. Similarly, the starting point for **diluted headline earnings** is the diluted earnings per share calculation, as explained in Section 3.



The circular details the rules for amounts that are included in or excluded from the calculation of headline earnings, such as the following (refer to Circular 01/2021 for the complete list of inclusions and exclusions).

Table 7.1 Amounts included in or excluded from the calculation of headline earnings

	In	Out
Gains or losses arising from the sale of property, plant and equipment, intangible assets, subsidiaries and joint ventures (including impairment losses)		
Gains or losses arising from the sale or fair value adjustments of investment property (including impairment losses)		
Gains and losses arising from fair value adjustments to biological assets and agricultural produce		
Impairment of goodwill, property, plant and equipment as well as intangible assets		
Depreciation and amortisation		
Expenses relating to provisions		

‘Headline Earnings’ from Circular 01/2021 © South African Institute of Chartered Accountants (SAICA). Reprinted with permission of Publisher.

- Earnings per share is a key ratio equity investors use to measure an entity's performance. It enables them to compare the performance of the entity from one year to the next and to compare the performance of one entity with that of another entity.
- Earnings per share calculates the profit (or loss) available to the equity shareholders on a per-share basis.
- Diluted earnings per share calculates the lowest potential earnings per share ratio after considering any potential ordinary shares.
- Headline earnings per share calculates the earnings per share of an entity, excluding separately identifiable remeasurements of assets and liabilities.
- Consistency in calculating earnings per share and headline earnings per share is essential, mainly as these ratios determine the price-earnings ratio. The requirements for the calculation are set out in IAS 33, *Earnings per Share*, and the remeasurement amounts to be excluded when calculating headline earnings are listed in *Headline Earnings* (currently Circular 01/2021).
- The significance of earnings per share is emphasised by the requirement for listed companies to disclose basic earnings, dilutive earnings and headline earnings per share on the face of the statement of profit or loss and other comprehensive income.
- The following formulae are used to calculate the different earnings per share (EPS):

Discussion questions

1. Which entities are required to comply with IAS 33, *Earnings per Share*, and Circular 01/2021, *Headline Earnings*?
2. Explain the term 'basic earnings' and the term 'weighted average number of shares'.
3. Discuss the difference between basic earnings per share, diluted earnings per share and headline earnings per share.
4. Explain the effects of issuing shares at fair value compared to issuing shares at below fair value.
5. Explain what potential ordinary shares (shares with voting rights and shares entitling their owners to receive the net assets of the entity upon its liquidation) are and give examples.
6. In calculating basic earnings per share, explain from which date the following share issues should be weighted:

- a) Shares issued to acquire a subsidiary
- b) Shares issued instead of paying dividends in cash
- c) Shares issued to acquire an asset.

Exercise questions

Question 1

A company had 10 000 ordinary shares in issue at the beginning of the current year, 1 January 20x2. On 1 April 20x2, 200 new ordinary shares were issued at the market value of CU12 per share. On 1 June 20x2, there was a share split whereby every two ordinary shares held were converted into five new ordinary shares. The basic earnings were CU150 000 in 20x1 and CU165 000 in 20x2.

You are required to do the following:

Calculate the basic earnings per share for the years ended 31 December 20x2 and 20x1.

Question 2

A company had 10 000 ordinary shares in issue at the beginning of the current year. Three months before the current year-end, the company had a rights issue of one share for every five shares held at CU4 per share. The market price, cum rights, was CU5.20. One month later, the company had a capitalisation issue of one new ordinary share for every 20 shares held.

You are required to do the following:

Calculate the actual and weighted average number of shares to calculate earnings per share.

Question 3

A company had 200 000 ordinary shares in issue at the beginning and end of the current year. The company also had 100 000 cumulative, convertible 12% preference shares in issue (issued at CU2 each). The preference shares are convertible at the option of the company into ordinary shares at a rate of one ordinary share for every two convertible preference shares.

Profit after tax for the current year amounted to CU405 000.

You are required to do the following:

1. Calculate earnings per share.
2. Calculate diluted earnings per share.

Question 4

Entity A has issued 25 000 4% debentures with a nominal value of CU10 each. The debentures are convertible to ordinary shares at a rate of 1:1 at any time until 20x9. Entity A's results for 20x2 showed a profit before tax of

CU800 000 and a profit after tax of CU576 000 (assuming a tax rate of 27%). The entity has 500 000 ordinary shares outstanding, at CU1 each.

You are required to do the following:

Calculate the diluted earnings per share ratio.

Reference

South African Institute of Chartered Accountants (SAICA). 2021. *Headline Earnings*. Circular 01/2021. Available: <https://saicawebprstorage.blob.core.windows.net/uploads/resources/Circular-1-2021-Headline-Earnings.pdf> [2022, September 13].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.

- 1 This circular was issued by the South African Institute of Chartered Accountants (SAICA) and applies to entities listed on the JSE. It was updated in 2021 to consider new amendments to IFRS Accounting Standards issued between July 2017 and August 2020.



CHAPTER

8

Related party disclosures

IFRS reference

IAS 24: *Related Party Disclosures*

IFRS for SMEs Accounting Standard reference

Section 33: *Related Party Disclosures*

1 Introduction

2 Related parties and related party transactions

3 Presentation of related party transactions and relationships

3.1 [Disclosure of group relationships](#)

3.2 [Disclosure of related party transactions and related party relationships](#)

3.3 [Government-related entities](#)

Key points to take from this chapter

Discussion questions

Exercise questions

Reference

Learning objectives

By the end of this chapter, you should be able to:

- Identify and describe a related party relationship.
- Explain the potential effects of related party relationships and transactions with related parties.
- Determine if and what disclosure should be provided for related party relationships and transactions.

Concept summary



1 Introduction

An entity enters into various transactions during a reporting period. These transactions are recorded, and the results are presented in the financial statements for that period. Most of these transactions are conducted with independent third parties at arm's length and typically represent the market conditions at that time. However, in some instances, an entity may enter into a transaction with a related party (one that is connected in some way with the entity) that might not be in terms of the free-market conditions at that time. An example would be if a parent company occupied a building owned by its subsidiary and paid a rent that was below the market rate. If an entity enters into transactions with a party that is connected to it, those transactions are called **related party transactions** and require separate disclosure. IAS 24, *Related Party Disclosures*, requires an entity to disclose the results of transactions with related parties even if those transactions are at market rates.

IFRS for SMEs Accounting Standard application

Section 33 of the *IFRS for SMEs* Accounting Standard, *Related Party Disclosures*, contains similar disclosure requirements for transactions with related parties.

IAS 24 is primarily a disclosure standard. It defines related party relationships and prescribes the events, transactions, balances and commitments that must be disclosed in the financial statements and reports of disclosing entities. It is particularly relevant for entities that have established relationships with related parties and have transacted with those parties. It requires the entity to **identify** and **disclose** related party relationships, transactions, outstanding balances and commitments with related parties. These disclosures should occur in the separate and consolidated financial statements. Following routine consolidation procedures, where related party transactions or balances are intra-group transactions or balances, these would be eliminated in the preparation of the consolidated financial statements.

Related party relationships can lead to transactions that would not have happened if the relationship did not exist. This can lead to differences in the profit or loss or the financial position of the entity as a result. Understanding related party transactions is crucial for assessing potential conflicts of interest, ensuring transparency and safeguarding the interests of shareholders and other stakeholders. For example, an entity may have engaged in transactions to buy services from a company owned by the chief operating officer (a key executive member), and it is important that such a transaction be disclosed as a related party transaction so that users of financial statements can scrutinise whether the amounts paid were appropriate. Implementing appropriate policies, disclosures and internal controls helps mitigate the risks and maintain integrity in related party transactions. Users of financial statements need to know about these relationships – and any resulting transactions, balances or commitments – to properly assess the entity's operations and the risks and opportunities facing the entity.

The **main features of IAS 24** are as follows:

- It considers key management personnel and their close family members to be related parties.
- It considers compensation benefits for key management personnel to be transactions with related parties.

Entities should have internal controls and monitoring mechanisms to identify and manage potential risks associated with related party transactions. This includes implementing processes for reviewing and approving related party transactions, monitoring compliance, and conducting regular assessments of the fairness and reasonableness of the transactions (checking whether there are policies that need to be looked at).

2 Related parties and related party transactions

Related party transactions should ideally be conducted on an arm's length basis, meaning they should be priced and structured as if the parties were independent and dealing at fair market values. This helps ensure the transaction is fair and reflects the true economic substance. Strong corporate governance practices are essential to manage related party transactions effectively. Entities should establish policies and procedures to identify, monitor and control related party transactions, including:

- review processes
- independent oversight
- the involvement of external experts, when necessary.

Entities are expected to comply with applicable laws, regulations and accounting standards regarding related party transactions. This includes obtaining the necessary approvals or authorisations, maintaining proper documentation and adhering to specific disclosure requirements. It is important to ensure the independence and objectivity of individuals involved in related party transactions, particularly in the decision-making process. Transparency in reporting and disclosure is critical to enable shareholders and other stakeholders to understand and assess the potential impact of related party transactions.

A related party

... is a person or entity related to the reporting entity (IAS 24, paragraph 9).

Related parties can be divided into **two groups**.

Group A: A person or a close member of the person's family is related to a reporting entity if that person:

- Has control or joint control of the reporting entity
- Has significant influence over the reporting entity
- Is a member of the key management personnel of the reporting entity or a parent of the reporting entity.

Group B: An entity is related to a reporting entity if any of the following conditions apply:

- The entity and the reporting entity are members of the same group.
- The entity is an associate or joint venture of the reporting entity.
- Both the entity and the reporting entity are joint ventures of the same third party.

- An entity is a joint venture of a third entity, and the other entity is an associate of the third entity.
- The entity is a post-employment benefit plan for employees of either the reporting entity or an entity related to the reporting entity.
- The entity is controlled or jointly controlled by a person identified in Group A above who has significant influence over the entity or is a member of the entity's key management personnel or a parent of the entity.

The definition of **related parties** includes the following:

- Entities in relationships affected by control, significant influence or joint ventures
- Key management personnel and their close family members (who are family members who may be expected to influence or be influenced by these key management personnel).

Something to think about

How do related party disclosures benefit the users of the financial statements?

A related party relationship may affect the profit or loss of an entity or its financial position. Disclosures about related party relationships benefit investors, lenders and other users when evaluating and assessing entities' risks and opportunities.

Determining when related party relationships exist and identifying the circumstances in which disclosures about such relations must be made involves a certain amount of judgement. The substance of the relationship should also be considered over and above the legal form of the relationship.

Parties are considered **related** if one party has the ability to **control** the other party or exercise **significant influence** over the other party when it is making financial and operating decisions. Examples of related party relationships include the following associations:

- Parent companies, subsidiaries and fellow subsidiaries, associates and joint ventures
- Individuals or close family members who own an interest in an entity that gives them control or significant influence over the entity
- Key management personnel, including directors of companies and their close family members. These personnel are responsible for planning, directing and controlling the entity's activities, either directly or indirectly.

A **related party relationship** may be sufficient to affect the transactions of the reporting entity, as the entity's operating results and financial position could be affected by the occurrence or non-occurrence of a transaction between the two parties. Related parties may enter transactions they would not typically enter if unrelated. In addition, related party transactions may not be on the same terms as arm's length transactions. In some instances,

transactions may take place at no charge, or a significant portion of an entity's business may be sold, which would not occur if such a relationship did not exist.

The following are not related parties:

- Two entities that have a director or other member of key management personnel in common
 - Two venturers that share joint control over a joint venture
- Parties that perform everyday dealings with an entity (for example, providers of finance, trade unions, public utilities and so on)
- Parties with whom an entity transacts a significant volume of business.

Examples of related party relationships and transactions

Related party transactions can occur when an entity acquires or sells equity investments in entities that are considered related parties, for example:

- Entity A has control over both Entity B and Entity C. In this case, Entities A, B and C are all related parties to each other.
- Entity D has control over Entity E and significant influence over Entity F. In this case, Entities D, E and F are all related parties to each other.
- Entity G has significant influence over both Entity H and Entity I. In this case, Entity G is related to both Entities H and I, but Entities H and I are unrelated.

Related party transactions can involve **leasing arrangements** between an entity and a related party. For example, an entity might lease office space from a property owned by one of its directors.

Related party transactions can involve the **sale or purchase of assets** between an entity and a related party, for example, selling equipment to or buying equipment from a related party.

An entity may issue **guarantees** or provide collateral for loans or obligations of a related party. For instance, an entity might guarantee a loan taken by the family member of one of its key personnel. **Compensation** arrangements for executives and key management personnel are considered related party transactions. This includes salaries, bonuses, share options and other forms of compensation provided to individuals who hold significant positions in the entity.

Furthermore, an entity may provide **loans or advances** to a related party, such as a director or a major shareholder. This can include financial assistance given to a family member of a key executive for personal or business purposes.

Related party transactions can involve the distribution of **dividends** or other distributions to related parties. For example, an entity may distribute dividends to its major shareholders or to key executives.

An entity may license **intellectual property**, such as patents or trademarks, to a related party. This can occur when an entity licenses its technology to another entity in which a director or major shareholder has a significant interest.

Related party transactions can involve payments to related parties for **services** rendered, **consulting** agreements or other **professional services**. For instance, an entity might engage a law firm owned by a director to provide legal services.

The nature and extent of related party transactions can **vary significantly** depending on the specific circumstances and the applicable regulatory framework. Proper disclosure, adherence to arm's length principles and transparency in reporting related party transactions are critical to maintaining the integrity and fairness of these transactions.



ETHICAL DILEMMA

Related party transactions should be conducted on an arm's length basis, meaning they should be carried out as if the parties involved were independent and negotiating in a fair and competitive market. Ethical dilemmas arise when related party transactions are not conducted at arm's length, potentially leading to unfair pricing, terms or outcomes that harm the company or other stakeholders. Individuals with control or influence over the company may exploit related party transactions to abuse their power or influence. This can involve using related party transactions to control decision-making, manipulate financial results or perpetrate fraudulent activities, leading to significant harm to other shareholders or stakeholders.



Link to the Sustainable Development Goals

The United Nations' Sustainable Development Goal 16 is 'Promote peaceful and inclusive societies for sustainable development, provide access to justice for all and build effective, accountable and inclusive institutions at all levels' (2015:14). How would disclosing related party transactions and relationships lead to these kinds of institutions?

3 Presentation of related party transactions and relationships

The presentation of related party transactions and relationships helps the users of financial statements to form a view of the effects of those related party relationships on the entity, which is why the nature of the relationship and information relating to transactions with related parties must be disclosed. Disclosure is required for any related party relationships, regardless of whether the transactions occurred between the related parties in the current or comparative reporting periods.



Key principle:
Disclosure of related party transactions

As dealings and transactions with related parties may have a significant impact on the financial position and results of the reporting entity, the objective of disclosing related party transactions is to ensure that an entity's financial statements contain the disclosures necessary to draw attention to the possibility that its financial position and profit or loss may have been affected by the existence of related parties as well as by transactions and outstanding balances with such parties.

3.1 Disclosure of group relationships

The disclosure requirements of IFRS 12, *Disclosure of Interests in Other Entities*; IAS 27, *Separate Financial Statements*; and IAS 28, *Investments in Associates and Joint Ventures*, all apply in the case of a parent relationship with subsidiaries, associates and joint ventures. If the parent entity or the ultimate controlling entity does not make financial statements publicly available, the name of the closest parent that does so must be disclosed (refer to IAS 24, paragraph 13). Part 3 of this textbook covers the preparation of group financial statements.

Examples of related party transactions and arrangements in a group

The existence of a related party relationship has the potential to affect transactions with other parties and can present challenges and potential conflicts of interest. For example, within a group, a subsidiary may operate on the instructions of its parent entity. The following are examples of transactions and arrangements between related parties that may lead to disclosures by the reporting entity in the period that they affect:

- Purchases or sales of goods
- Purchases or sales of property and other assets
- Rendering or receiving of services
 - Agency arrangements
 - Leasing arrangements
- Finance (including loans and equity contributions in cash or in kind)
 - Guarantees and collaterals
 - Management contracts.

3.2 Disclosure of related party transactions and related party relationships

An entity should **disclose related party relationships** irrespective of whether there have been transactions between the related parties. A range of information must be disclosed relating to related party relationships to assist users of financial statements in forming their views about the potential effects of those relationships and transactions on the entity. The following is the minimum information that should be disclosed separately **by each entity with related party relationships** (as required by IAS 24, paragraph 18):

- The amount of the transactions
- The value of outstanding balances and commitments, including the nature of the settlement consideration and details of any guarantees provided or received
- Allowances for expected credit losses related to outstanding balances
- The expense recognised during the period regarding impairment losses from related parties.

This fact may be stated as part of the disclosure where transactions occur at a market-related rate. However, this claim can only be made if it can be substantiated. Items of a similar nature may be added together, except when separate disclosure is necessary to understand the effects of related party transactions on the financial statements of the reporting entity.

Another primary focus of the disclosure requirements of IAS 24 is to reveal the **remuneration arrangements made for key management personnel**. These requirements are intended to improve the transparency of related party relationships with directors and influential senior executives. The following disclosures are required (refer to IAS 24, paragraph 17):

- Short-term employee benefits
- Post-employment benefits
- Other long-term benefits
- Termination benefits
- Share-based payments.

These disclosures are required in total and for each of the categories mentioned.



ETHICAL DILEMMA

Ethical concerns arise when related party transactions result in favouritism or unfair advantages for certain individuals or entities. Providing preferential treatment to related parties can undermine fair competition and the principles of equal opportunity and fairness in business dealings.

For example, an entity purchased inventory from the daughter of the chief financial officer at inflated prices. IAS 24 would classify this as a related party relationship and transaction. However, the entity does not want its shareholders to know about the inflated prices. The directors wish to remain silent on the fact that the cost of inventory was inflated, although they are willing to disclose the relationship. Do you think that withholding this information is appropriate?

3.3 Government-related entities

IAS 24 does not require related party transactions with government-related entities to be disclosed. This exemption applies when the entity has related party transactions or outstanding balances with a government that has control, joint control or significant influence over that entity and another entity.

Disclosure is required of the name of the government and the nature of the relationship between the entity and the government. Additional disclosure is required to allow users to understand the effect of the related party transactions on the financial statements of the entity.



ETHICAL DILEMMA

Related party transactions can create ethical dilemmas if they lack transparency and are not adequately disclosed. Entities should establish robust governance frameworks and implement clear policies and procedures for related party transactions. This includes disclosing related party transactions in financial statements, conducting independent reviews, obtaining approval from independent directors or shareholders when necessary, and implementing controls to prevent conflicts of interest and abuse of power. Non-disclosure or incomplete disclosure of related party transactions can mislead investors and stakeholders, preventing them from fully understanding the potential conflicts of interest and the impact on the company's financial position. Transparency, accountability and adherence to legal and regulatory requirements are crucial in ensuring the integrity and fairness of related party transactions.



Something to do

Access the latest set of financial statements of a large group, such as Naspers. See how the related party transactions and relationships have been disclosed. Think about how this disclosure is decision useful for the users of the financial statements.

Key points to take from this chapter

- Related party transactions occur between an entity and its related parties, which can be individuals or entities that can control or significantly influence the entity's financial and operating policies.
- Related parties can include directors, officers, key management personnel, major shareholders and their immediate family members.
- Related party transactions can encompass various transactions, such as sales or purchases of goods, services, assets, loans or advances, guarantees, leases and equity investments. It includes both financial and non-financial transactions.

- Related party transactions can give rise to conflicts of interest because the related parties involved may have personal or financial interests that could influence the terms or outcome of the transaction. This can create challenges in ensuring fairness, objectivity and transparency.
- Entities are required to disclose related party transactions in their financial statements. This includes details of the nature of the transactions, the relationship between the parties, the terms and conditions, and any significant impact on the financial statements.

Discussion questions

1. Describe a related party.
2. What are the risks and conflicts of interest that can arise from related party transactions?
3. What examples of related party transactions can be particularly susceptible to abuse or manipulation? How can companies identify and address these potential risks?
4. Why is the disclosure of related party transactions necessary? How can reporting of related parties and related party transactions inform the users of financial information?
5. How can related party transactions impact a company's financial performance and position? How should investors and stakeholders evaluate the impact of related party transactions on a company's financial health?
6. How can the board of directors ensure transparency and accountability in related party transactions? What steps can be taken to prevent or address potential abuses or unethical practices?
7. How can investors and shareholders effectively monitor and evaluate related party transactions to protect their interests? What information and disclosures should they seek to make informed decisions?

Exercise questions

Question 1

Consider the following group structure:

A Ltd owns 80% of B Ltd and 40% of C Ltd. B Ltd owns 30% of D Ltd. The 20% of shares in B Ltd not held by A Ltd are owned by E Ltd. None of the entities are joint ventures. The following diagram represents the group structure:



Mr X is the majority shareholder in A Ltd and controls A Ltd. Mr X is happily married to Mrs X.

You are required to do the following:

Indicate (with reasons) which reporting entity/entities must provide disclosure in terms of IAS 24 for the following transactions:

1. A Ltd sold inventory to D Ltd during the year.
2. C Ltd advanced a loan to B Ltd.
3. D Ltd sold an item of property, plant and equipment to C Ltd.
4. C Ltd paid Mrs X for consulting work.
5. A Ltd subscribed to debentures issued by E Ltd.
6. A Ltd sold an investment property to B Ltd.

Question 2

Sandy Lane Trading Ltd is a diversified retail group operating 534 speciality stores. The group is a niche clothing, accessories, homewares and jewellery retailer, and its retail operations are conducted in five retail chains. Sandy Lane Trading Ltd has a wholly owned subsidiary, X Ltd, which has a 75% owned subsidiary, Y Ltd. In addition, Sandy Lane Trading Ltd has a 30% stake in Z Ltd, which in turn has a 40% stake in Q Ltd.

For its year-end, 31 July 20x7, Sandy Lane Trading Ltd wishes to comply with the requirements of IAS 24, *Related Party Disclosures*. The following independent sets of circumstances have been drawn to your attention, and you have been asked whether each constitutes a related party transaction.

1. The Western Life Association Ltd is responsible for certain administrative and investment services of Sandy Lane Trading Ltd. Mr M.R. Farmer, a non-executive director of Sandy Lane Trading Ltd, is also a Western Life Association Ltd director.
2. Sandy Lane Trading Ltd provides a range of administrative, technical advisory and other services to its associate in accordance with their needs and subject to various agreements drawn up under normal commercial terms and conditions. In return, the associate pays a fee and reimburses Sandy Lane Trading Ltd for the costs it incurs. During the year, fees were R560 000, and an amount of R49 000 was reimbursed.
3. Mr N. Otism, the managing director of Sandy Lane Trading Ltd, engaged the services of his daughter (a design student at a university of technology) to select and hang new curtains in the executive suite at the company's Rondebosch head office. An amount of R12 000 was paid to Miss Otism and R170 000 to Curtains Are We C.C. There is no connection between Curtains Are We C.C. and Sandy Lane Trading Ltd.
4. Ms A.P. Christie, the marketing director of Sandy Lane Trading Ltd, shares a Sea Point apartment with Mr N. Bedford. They have had a serious relationship for the last five years. Mr N. Bedford is a director of a fashion accessory manufacturer that supplies goods to several Sandy Lane Trading Ltd outlets. During the year, sales of R5.6 million were made by the manufacturer,

of which Mr Bedford is a director, to Sandy Lane Trading Ltd. All amounts were settled at year end.

5. During the year, Sandy Lane Trading Ltd made sales in the ordinary course of business of R56 000 to Y Ltd; of this, R23 000 was outstanding at the year end.

6. Mrs Jackson, who has a 25% shareholding in Sandy Lane Trading Ltd, made a loan on the first day of the year of R350 000 to Sandy Lane Trading Ltd, on which interest is payable at 20% per annum.

7. Sandy Lane Trading Ltd purchases its entire range of summer clothing from Fig Clothing Manufacturers. During the current year, purchases from Fig Clothing Manufacturers amounted to R102 million.

8. During the year, Q Ltd sold a building to Sandy Lane Trading Ltd at its market value of R1 890 000.

9. Mr O. Lakonishak has a controlling interest in The Kilimanjaro Trust, which has a 25% interest in Y Ltd. Mr Lakonishak received a loan of R67 000 from Sandy Lane Trading Ltd at a commercial interest rate towards purchasing a car, which was fully repaid during the year. Interest amounted to R5 000.

10. The same scenario as in 9 above, except that Mr Lakonishak's sister, a junior employee of Sandy Lane Trading Ltd, received the loan.

You are required to do the following:

In each case, state whether or not the parties are related (as per IAS 24), whether a related party transaction exists, and, if so, the disclosure required.

Reference

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

9

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7 In conclusion

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Learning objectives

By the end of this chapter, you should be able to:

- Calculate and interpret key financial analysis ratios.

- Explain how the selection of different accounting policies impacts on key financial analysis ratios.
- Use financial statements to formulate good questions to ask the preparers.

Concept summary



1 Introduction

In the first eight chapters of Part 1, *Financial Reporting*, you learnt about the financial reporting environment as well as the preparation and presentation of financial statements in accordance with IFRS. The focus of this chapter is to support your understanding, interpretation and evaluation of financial information presented in the financial statements. The preparation of financial statements is important, but so is the ability to use the information to make informed decisions.

Throughout the chapter, references will be made to different listed companies and events. The business world is full of fascinating examples that can easily be accessed via a good search engine on the internet. Take the initiative: type in a few key words mentioned in this chapter and conduct more research into those business stories that interest you.

Warren Buffett, one of the most successful investors in the world, spends most of his day reading the financial statements of companies that show investment potential. He is an expert in the material covered in this chapter. In a letter to the shareholders of Berkshire Hathaway, his investment holding company, he pointed out that it is the job of accountants to record rather than evaluate (Buffet, 1986). He maintained that, when making business decisions, investors and managers should use their own judgement and experience as well as the information available in the financial reports.

Although this point was made in 1986, the authors of this textbook maintain that these principles still stand. We propose that Buffet's perspective that accounting is an aid to business thinking and never a substitute for it (1986) is still valuable today.

This chapter does not introduce any new accounting standards. It is designed to pull together everything that is presented in this textbook. After reading each subsequent chapter, refer back to this chapter to remind yourself of the financial analysis implications for that chapter.



Link to the Sustainable Development Goals

Sustainable Development Goal 8 is 'Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all' (UN, 2015:14). The analysis of financial information facilitates economic growth by allowing appropriate investment decisions to be made. These investment decisions include both investment from outside parties into an entity, by either investing equity or lending money, as well as enabling the management of an entity to appropriately allocate monetary and other resources to projects and priorities within the entity.

2 Ratio analysis

The starting point for evaluating financial information is often the use of ratio analysis. Ratio analysis involves analysing financial statements and other financial information using a variety of ratios. You may already have a working knowledge of the important ratios. *Financial Accounting: An Introduction* by Jacqui Kew (2024) includes a

chapter on financial analysis and the most important ratios. You are encouraged to review your understanding of fundamental financial analysis, including the Du Pont analysis, which is briefly discussed below.

Something to think about

How can financial statement analysis provide understanding and insight?

When analysing an organisation through the use of financial statements and ratios, there is a tendency to focus on the calculations and the numerical results of the ratios. In order to analyse financial statements for understanding and insight, it is necessary to consider the context of the organisation and how that context impacts the financial statements, as well as the results of the ratio calculations. In addition, understanding the impact of accounting transactions on the various elements of the financial statements permits greater insight into ratio analysis.

2.1 Du Pont analysis

The Du Pont tool for analysis was developed by **Donaldson Brown** within the Du Pont Chemical Corporation during the early twentieth century (Dale, R.S. Greenwood & R.G. Greenwood, 1980). The company used it in order to help make better sense of financial statements. It provides a valuable tool to use when trying to gain a 'big picture' view of the performance of an entity for a reporting year. It is best used for comparing performance to the prior year and against competitors operating in the same industry. The Du Pont equation is as follows.

The Du Pont analysis pays careful attention to an entity's return on equity (ROE). This is regarded as the key ratio because it represents the return that equity holders of the entity have earned for the year as a percentage of the net assets of the entity. This return on equity is broken down into its constituent parts: **efficiency**, **profitability** and **leverage**. Efficiency relates to how efficiently the assets of the entity have been used to generate revenue. Profitability shows what proportion of revenue is retained as profit for the entity. Leverage indicates the proportion of debt compared to equity used by the entity. This equation holds true because fractions can be cancelled when multiplied, as shown below.

Something to think about

Which profit figure should you use when doing the Du Pont analysis?

You would normally use the profit for the year, which is the amount calculated in the statement of profit or loss.

However, if an entity uses the revaluation model for its property, plant and equipment, the depreciation expense (included in profit or loss) is based on the revalued amount and any revaluation gain or loss is included in other comprehensive income. In such cases, it may be more appropriate to use total comprehensive income. The total assets will also include the assets at its revalued amount (refer to Section 4.1).

Example of the application of the Du Pont analysis

This example refers to two entities with which you should be familiar:

- Shoprite Holdings (the analysis was based on amounts from the 2022 integrated annual report)
- Pick n Pay Stores (the analysis was based on amounts from the 2022 integrated annual report).

Shoprite operates as a general retailer across Africa. Its financial statements can be analysed using the Du Pont equation, as follows.



Source: Compiled using the information of Shoprite Holdings Limited. 2022. *Annual Financial Statements 2022*. Available <https://www.shopriteholdings.co.za/content/dam/shp/docs/shp-afs-2022.pdf> [2022, December 12], pp. 18–19.

It is easy to convert the return on equity and the profitability figures into percentages by multiplying them by 100. The formula is still mathematically accurate since this is done on both sides of the equation. This makes it easier to relate to, as can be seen below.



The 'big picture' perspective gained is that Shoprite saw a slight decrease in return on equity, with a decrease in both efficiency and leverage, while profitability increased slightly. Further analysis would show that Shoprite adopts a low margin–high volume approach to business. The profitability per sale is low, but the high sales volume drives a solid profit. In 2022, the economy was under pressure because of higher costs and customers not having much disposable income, which made Shoprite's performance impressive, despite the decrease in return on equity. Shoprite competes with many other entities, so it makes sense to compare its results with those of Pick n Pay to see how it performed in comparison with that entity.



Source: Compiled using the information of Pick n Pay Stores Limited. 2022. *Integrated Annual Report 2022*. Available: <https://www.picknpayinvestor.co.za/downloads/annual-report/2022/picknpay-iar-2022-interactive-spreads.pdf> [2022, December 12], pp. 71–72.

The comparison of Shoprite and Pick n Pay reveals some interesting differences. Pick n Pay achieved a higher return on equity for 2021, which increased further in 2022. What was the cause of this change? Pick n Pay saw an increase in profitability. A further comparison reveals that Pick n Pay has much higher leverage and efficiency than Shoprite. What were the reasons for its greater efficiency? What are the risks associated with higher leverage?

The Du Pont analysis provides the analyst with a good starting point for further investigations. It does not provide ‘the answer’ but launches the investigation by giving the ‘big picture’ view. We will take a closer look at this example later in the chapter, but first we must explore how the various accounting policies and treatments prescribed by the IFRS Accounting Standards impact the analysis of financial statements.

You will notice that the structure of this chapter follows the order in which the content is presented in this textbook, making it easy for you to come back to the appropriate sections in this chapter after completing the other chapters.

Something to think about

When analysing the financial statements of an entity, would you use the figures given in the group financial statements or the figures given in the entity’s separate financial statements?

The purpose of preparing group financial statements is to include the assets and liabilities controlled by the entity, including the subsidiary’s assets and liabilities. It is, therefore, appropriate to use the group financial statements when analysing the financial statements of a parent with subsidiaries (refer to Section 5).

Something to do

Choose a company that you are familiar with. Access their latest financial statements online and perform a Du Pont analysis on the current year and prior year’s financial results. Analyse the results to determine what caused the changes that occurred (the drivers of change).

3 Analysing elements presented in the financial statements

In [Chapter 2](#), *Presentation and disclosure in financial statements*, we discussed the presentation of financial statements in accordance with IFRS 18. Key information is presented on the face of the statement of financial position, statement of profit or loss and other comprehensive income, statement of cash flows and statement of changes in equity. Additional information is presented in the notes to the financial statements, including those judgements and estimates that management has used when preparing and presenting the financial statements.



ETHICAL DILEMMA

Analysts should diligently verify the accuracy and reliability of the financial information they analyse. Relying on inaccurate or incomplete data can result in flawed analyses and incorrect conclusions, potentially leading to poor decisions.

The following subsections mention, for each of the financial statements, some of the key indicators that are used in financial information analysis. The analysis of earnings per share and other market-related ratios are discussed in a separate section.

3.1 Analysing the statement of financial position

Key indicators presented in the statement of financial position that are used in the analysis of financial information include the following:

- Total assets
- Total liabilities or debt
- Total equity.

The **statement of financial position** is presented at a specific point in time (the reporting date) and provides valuable information about the financing and investing decisions taken by management.

Analysts are usually interested in the following main ratios calculated from elements of the statement of financial position:

- The return on equity ratio
- The working capital management ratios
- The debt–equity ratio.

These ratios are discussed in more detail in Section 4.

3.2 Analysing the statement of profit or loss and other comprehensive income

The statement of profit or loss and other comprehensive income includes the following information, which is used in the analysis of the financial performance of an entity:

- Total sales (revenue)
- Total expenses (including cost of sales)
- Gross profit
- Profit.

The sales, cost of sales and gross profit are useful for measuring the profitability ratios:

- The gross margin (or gross margin on sales) is also sometimes referred to as the ‘mark-up percentage on goods sold’.



- Another way in which mark-up is determined is to measure the mark-up percentage on the cost of goods sold, by calculating the gross mark-up on cost.



- The net margin on sales (or profit margin) measures how much profit is generated from sales.



The **net margin** examines the relationship between sales and profit. This ratio is affected by many more factors than the cost of sales and the gross margin (for example, impairments, foreign exchange gains or losses and finance income or expense). You should consider the different types of expenses affecting the profit or loss of the entity for the reporting period and identify the major types of expenses. The major types of expenses can be classified according to the nature of the expense (for example, depreciation and staff costs) or expenses relating to the different functions (activities) of the entity (for example, production costs, selling and marketing costs, research and development expenses and administration costs).

An effective breakdown of the expenses provides valuable information about the entity’s profitability and which of its major expenses need strict control. The different sources of expenses may also provide useful information about specific growth areas in the entity. For example, increased advertising and marketing costs in the current period may result in higher sales in future years, and expenses relating to research and development of new products (expensed in the current year) may result in the development of prototype products in the future.



Something to think about

Which profit figure should you use when doing ratio analyses?

The statement of profit or loss and other comprehensive income presents the total comprehensive income for the reporting period. The total comprehensive income consists of the following amounts:

- Profit or loss for the period
- Other comprehensive income.

The total comprehensive income is then allocated between the amount attributable to the non-controlling interest and the amount attributable to the parent equity holders.

There is no specific rule as to which profit figure to use. However, you should not use the amount indicated as 'profit for the year' without considering how this amount was determined. In some cases, using the profit (excluding the amount attributable to non-controlling interest) is appropriate (for example, when calculating the return on equity).

In other cases, you need to use total profit or even total comprehensive income (for example, when some of the assets are measured at fair value and the fair value adjustments are included in other comprehensive income, as is the case with some investments in equity instruments).

3.3 Analysing the statement of cash flows

Key information used in the analysis of financial information that is presented in the statement of cash flows (see [Chapter 5](#), *Statements of cash flows*) includes the following:

- Cash flows from operating activities
- Cash flows from investing activities
- Cash flows from financing activities.

The value of a business is the value of the discounted future cash flows it will generate. For a business to succeed and have a positive value, cash must flow into the business more than it flows out of the business.

Accurately determining the future cash flows of an entity is crucial for determining its value, and the **statement of cash flows** assists with this assessment. Information in the statement of cash flows is usually presented in three sections: operating activities, financing activities and investing activities.

The section on **cash flows from operating activities** is arguably the most important part to analyse. This section reflects the ability of an entity to turn an idea into positive operating cash flows. An increase in operating cash flows can demonstrate that an entity has a good product or service for which people are prepared to pay cash. If an entity shows a profit, but there is a cash outflow from operations, the user of the financial statements must consider the reasons for this carefully. Possible causes include:

- A large increase in credit sales (accounts receivable)
- A large increase in inventory on hand (not yet sold)

- A large increase in amounts settled to suppliers (decrease in accounts payable)
- Amounts included in profit or loss that do not involve cash flows (for example, unrealised fair value gains or the reversal of impairments).

The note disclosures relating to information supplied in the statement of cash flows is an excellent place to identify non-cash items included in profit or loss. The reconciliation of cash flows from operating activities to profit for the year is particularly useful for doing this. The 'quality' of the earnings of an entity (and its earnings per share) is often evaluated by considering the following ratio:



The section on **cash flows from investing activities** collates all the cash transactions relating to the acquisition or disposal of: property, plant and equipment; intangible assets; equity and debt instruments in other entities; and loans to long-term debtors. A useful distinction is often made between acquisitions that maintain current operations and acquisitions that expand operations. This information is decision useful because investments to maintain operations can be expected to result in lower future cash flows than investments that expand operations. For example, replacing a machine merely maintains the current cash flow from operations, while investing in a new machine could give rise to greater cash flow from operations because the entity now has two machines in operation.

A decrease in the cash flows in investing activities in the current year compared to the prior year is not necessarily good. To keep growing, an entity needs to invest. At a bare minimum, it needs to replace existing infrastructure. It is, therefore, useful to compare the depreciation expense with the investment in property, plant and equipment.

During tough economic times, many entities cut investment in this area. However, to sustain their current operations, an entity should replace its existing assets continuously, as and when required.

The section on **cash flows from financing activities** provides information about cash increases and decreases related to equity and long-term debt financing. For example, it shows whether or not the entity is issuing or repurchasing its own shares or raising or repaying long-term debt. Leverage is a powerful multiplier of performance, but the entity must be able to meet regular interest payments and repay the capital portion at the end of the debt period.

Overall, the statement of cash flows contains valuable information about the cash flows of the entity. It is often used to predict the future performance and sustainability of the entity. It makes comparing entities easier, as the application of different accounting policies is irrelevant.

3.4 Analysing the statement of changes in equity

Key elements used in the financial analysis of information presented in the statement of changes in equity (see [Chapter 6](#), *Owners' equity*) include the following:

- Transactions with owners (for example, new shares issued)
- Distributions to shareholders (for example, ordinary dividends).

It is always important to consider what exactly is included in the owners' equity of an entity. The Du Pont analysis places a large amount of emphasis on the return on equity, as do equity holders themselves. Changes in equity result from:

- Cash flow transactions with owners (for example, the issue of more shares, dividends declared and paid, or the buyback of shares by the entity)
- Non-cash flow transactions (for example, changes in the valuation of net assets resulting from the application of the revaluation model)
 - Increases or decreases in profits.

If an entity has achieved growth in equity, that is not necessarily a good thing, as the following table highlights.

Table 9.1 Understanding movements in equity

Reason for increase	Is this a good thing?
Shares have been issued to purchase another entity	• Yes, if the other entity was reasonably priced and can be expected to perform well • No, if the other entity was overvalued and will add little value compared to its purchase price
Shares have been issued to provide management with funds for future projects	• Yes, if the projects have a return that is greater than the cost of capital • No, if the projects have a return that is less than the cost of capital
The entity has repurchased shares of the entity	• Yes, if the entity has been able to repurchase its shares by using excess cash resources, resulting in a lower equity amount and increased return on equity • No, if the entity has to repurchase its own shares at too high a cost (for example, to avoid a hostile takeover)
Increase in revaluation surpluses	• Yes, because it shows an increase in the value of assets (More details of the reasons for the revaluation will help to determine whether or not the gain can be expected to be realised or not; see Section 3.1 and Section 3.5 for more discussion.)

It must also be remembered that in a group setting, **non-controlling interest** (sometimes also called **minority interest**) must not be included in equity when calculating ratios such as the return on equity. Although it is classified as equity in the statement of financial position, it does not represent the equity of the parent equity holders. The profit figure must be adjusted to include only the amount attributable to parent equity holders.

Something to do

Revise the return on equity ratio, which determines the financial leverage of the entity:

This calculation excludes dividends and share capital of shareholders with preferential rights to dividends and settlement (for example, preference shares).

Something to think about

Should you compare total profit with total equity?

From an investor's (or shareholder's) perspective, using 'equity attributable to the parent equity holders' when calculating equity ratios is more appropriate (for example, in the return on equity ratio). However, when calculating the return on assets ratio, it may be more appropriate to use 100% of the profit (including non-controlling interest) to determine the return on 100% of the assets.

3.5 Analysing earnings per share, headline earnings per share and market ratios

Earnings per share (EPS) is a figure that analysts watch closely. It provides a quick measure of an entity's performance and can easily be compared to the share price. Remembering the distinction between basic, diluted and headline earnings per share is important (see [Chapter 7](#), *Earnings per share and headline earnings per share*). The different names given to these indicators highlight the importance of the different formulae used to calculate each indicator. **Basic earnings per share** is the profit or loss for the period, adjusted only for preference dividends.

Diluted earnings per share takes into account the impact of dilutive potential ordinary shares. There can be a significant difference between basic earnings per share and diluted earnings per share (for example, where an entity has a large number of share options that are 'in the money', as discussed in [Chapter 24](#), *Employee benefits and share-based payments*). This means that the entity will most likely issue those shares in the future, and the current equity holders will have their shares diluted by this issue.

Something to do

Revise your knowledge of the earnings and market ratios that follow:

- The earnings per share calculation is set out in IAS 33:

- Headline earnings per share is calculated as follows:

• It is useful to compare the information presented in the financial statements with information from the market, particularly the market price of the share (this applies to shares listed on an active market, for example, the JSE Ltd). The earnings yield measures the relationship between the entity's earnings per share and the share price and indicates the accounting return on the investment made in the share:

• The dividend yield ratio indicates the percentage of the share price distributed as a dividend:

• The price–earnings ratio (P/E ratio) compares the current share price with earnings per share to determine whether the share is overvalued or undervalued:

Although this is one of the most commonly used ratios in analysis, its use varies widely between entities and industries. In South Africa, many analysts prefer to determine the price–earnings ratio based on headline earnings per share (instead of earnings per share). If the price–earnings ratio is calculated at 3, the market is prepared to pay three times more for the share than the earnings for the year. This indicates that investors expect the entity's future performance to improve and earnings to rise.

In South Africa, the market tends to place more value on **headline earnings per share**, which constitutes a management-defined performance measure, in terms of IFRS 18. This figure is calculated using the profit or loss for the reporting period after taking into account all items of income and expenses recognised in the profit or loss for that period, including items that relate to changes in the value of an asset or liability after initial recognition (referred to as 'remeasurements'). This calculation focuses on removing remeasurements unrelated to an entity's operating or trading performance. Disclosure of headline earnings per share is required in terms of SAICA Circular 01/2021 (refer to [Chapter 7](#), *Earnings per share and headline earnings per share*). The headline earnings per share figure is commonly used to calculate the **price–earnings ratio** (a frequently used indicator of the performance of an entity within a specific sector). It must be remembered, however, that no figure can be used in isolation as a summary of the performance of an entity. You are warned not to rely too heavily on the headline earnings per share figure. The performance of an entity cannot be simplified to such a great extent.

4 Elements in the financial statements

In [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*, you learnt that similar transactions and events should be accounted for and reported in the financial statements consistently from one reporting date to the next to enhance the comparability of financial information. We also discussed selecting specific accounting policies for specific transactions and events. This is covered in more detail in Part 2, *Elements of financial*

statements, where you will learn more about the different accounting policies that should be applied to the recognition and presentation of specific elements in financial statements.

The choice of a specific accounting policy could result in a significantly different amount being presented for assets, liabilities, income or expenses. For example, recognising an asset using the cost model requires an annual depreciation expense; however, the asset is not depreciated when the fair value model is used. Therefore, when comparing the financial information of two entities, you should take cognisance of the accounting policies the individual entities apply.

Let us explore the particular line items on the financial statements and their impact on financial analysis.

IFRS for SMEs Accounting Standard application

The management and owners of small and medium-sized entities are also extremely interested in the entity's performance and will use similar ratios to obtain a better understanding of the effects of their operational, financial and investing decisions. However, caution needs to be exercised when analysing the financial statements of an entity applying the *IFRS for SMEs* Accounting Standard. In some cases, the *IFRS for SMEs* Accounting Standard does not allow for different measurement bases (see [Chapters 10–24](#) in Part 2, *Elements of financial statements*), such as there being no option to revalue property, plant and equipment. This can lead to ratios that have slightly different meanings from what is normally seen for entities applying IFRS. To be able to compare the ratios of different entities they need to use the same accounting policies, or the results must be adjusted to reflect the same accounting policies.

4.1 Property, plant and equipment

For some industries, property, plant and equipment (discussed in [Chapter 10](#), *Property, plant and equipment*) is a large contributor to the total assets of an entity. For instance, the industrial manufacturing sector needs a large infrastructure to produce its inventory, while the advertising industry does not. Efficiency ratios can differ widely between industries, as the use of property, plant and equipment varies. It is always important to compare these ratios to those of other entities in the same sector in order to get a better idea of performance.

Although depreciation (the cost of using an asset) is not a cash flow, it reduces the profit yearly. This can have a substantial effect on profitability ratios. Thus, it is necessary to consider the impact of depreciation on the **total assets**. For example, when an entity does not replace property, plant and equipment, depreciation will reduce total assets yearly. This improves efficiency ratios (assuming that sales remain constant), but this improvement is not sustainable in the long term. The entity needs to replace property, plant and equipment at some stage to continue operating, and the efficiency gains from continuing to use old equipment are, therefore, short-term in nature. The property, plant and equipment disclosure note contains the necessary information. An improvement in efficiency ratios should ideally be a result of a growth in sales and not because of a reduction in total assets.

Entities can choose between the cost model and the revaluation model for subsequent measurement of property, plant and equipment. Most entities still decide to use the cost model. One reason for this may be the impact that revaluation adjustments would have on some key ratios. If the property, plant and equipment have increased in value, the increase would be recognised in other comprehensive income, and total assets would be increased. Simultaneously, the depreciation charge would increase, compounding the negative impact on return on equity.

Efficiency ratios would decrease, and so would the return on equity ratio. The effect can be enormous if one is analysing an entity that measures property, plant and equipment at historical cost, which is worth considerably more if revalued appropriately.

The table below demonstrates the effect of revaluing property, plant and equipment on the Du Pont analysis.

Example of how the cost and revaluation models can impact on key ratios

To illustrate how the cost and revaluation models can impact on some key ratios, consider this example of PPC Company Ltd. In 2012, PPC Company Ltd reported property, plant and equipment at R4 483 million on its statement of financial position.

Still, the notes revealed that the property's insured value, plant and equipment was R37 795 million (PPC, 2013). Recording the property, plant and equipment at the higher insured value would have greatly impacted the company's key ratios. Firstly, the depreciation expense for the year would have been much higher if it had been based on the insured value, thereby reducing profit. Furthermore, the revaluation surplus of the property, plant and equipment would have been included in equity. The overall impact on the return on equity would have been considerable, as both a reduction in profit and an increase in equity would have significantly reduced the ratio.

The return on equity for PPC Company Ltd in 2012 was 71.9%, an outstanding result.

However, using the insured value for property, plant and equipment would have increased equity resulting from the revaluation and decreased profit by a much higher depreciation expense. If these adjustments had been made, the calculated return on equity would have been closer to 0.18%. This highlights that the choice between the cost and revaluation models can make a significant difference. It also indicates a weakness in the model. When PPC replaces its property, plant and equipment, the cost will approximate the insured value, giving rise to an increased depreciation charge. To some extent, the return on equity in an inflationary environment depends on how old the property, plant and equipment are.

Something to do

Revise the asset management ratios that follow:

- The ability of assets to generate profit for the business is measured by the return on equity ratio.

- The efficiency of all assets to generate sales is measured by the total asset turnover ratio.



- The efficiency of production assets to generate sales is measured by the fixed asset turnover ratio (or asset utilisation ratio).



ETHICAL DILEMMA

Analysing financial statements is crucial in assessing a company's financial performance and making informed decisions. Applying different accounting policies for recognising and measuring assets may result in different amounts being reported in the financial statements. Analysts should know the impact of the timing of property revaluations on the ratios used in the property analysis. For example, the directors may want to avoid revaluing the property when the market prices in the area are increasing dramatically.

4.2 Investment properties

As discussed in [Chapter 11](#), *Investment properties*, entities that own investment properties have a choice in the subsequent measurement basis. If the historical cost model is applied, the comments related to property, plant and equipment in Section 4.1 apply equally.

Should the **fair value model** be applied, however, the effects on the ratios would be considerable because the fair value adjustment would be included in the profit or loss section of the statement of profit or loss and other comprehensive income. Remember that these adjustments do not represent cash flows and are unrealised.

4.3 Intangible assets

Intangible assets vary widely in terms of quality (as discussed further in [Chapter 12](#), *Intangible assets*). Imagine what would happen if an entity purchased a brand name from a competitor, but that brand was severely damaged by a public relations disaster a few months later. The brand's value was previously recognised in the statement of financial position. Now, as it is not expected to lead to future economic benefits, it will be impaired, giving rise to a charge against profit (impairment loss).

In addition to the historical cost model, the revaluation model can be used for subsequent measurement. However, it is rarely used in practice (and IAS 38, *Intangible Assets*, has limitations on when revaluation is allowed). The revaluation model would decrease efficiency ratios and the return on equity. This explains why one rarely sees the revaluation of intangibles, even when permitted.

The important issue for ratio analysis is that entities should not recognise internally generated brands as assets, although they can be incredibly valuable. An acquired intangible asset should, however, be recognised as an asset.

All other factors being equal, an entity that has purchased an intangible asset will have a greater asset base, resulting in its ratios appearing weaker when compared to an entity with internally generated intangible assets.

4.4 Inventory and the working capital management cycle

Inventory forms part of the working capital management cycle of an entity (as discussed in [Chapter 13, Inventory](#)). Working capital management refers to the management of inventory, accounts payable and accounts receivable. Appropriate working capital management means holding inventory for shorter periods, taking longer to pay suppliers and receiving cash faster from customers. The shorter the time for which an entity holds inventory, the better. This is because inventory would have been purchased, and suppliers need to be paid. The cash spent on inventory should be realised as soon as possible in a sale (and then in cash) so that the entity can enjoy a swift return on capital.

In some industries, entities carry high levels of inventory. When analysing the retail sector, for instance, you will notice that the inventory levels of retail entities are often the largest assets on the statement of financial position. If buyers for the retailers have bought poorly, inventory will stay on the shelf longer and may eventually become impaired as it loses freshness or goes out of style. If, however, retailers have too little inventory, it could be to their detriment as they might lose sales if customers are not able to find what they want in the store. Therefore, inventory management is very closely monitored in the retail sector. The most useful way of maintaining inventory is to consider how often inventory turns over in a year.

Something to do

Revise the working capital management ratios that follow:

- The efficiency of inventory management is measured by the number of times the existing inventory was sold during the year:

- The inverse of this ratio calculates the days for which inventory is on hand, expressed for a year:

- The efficiency of the collection period of outstanding trade receivables (also referred to as 'debtors' or 'customers') is calculated as the debtor's collection period (in days):

- The working capital cycle should be kept as short as possible. The time taken to settle accounts payable (also referred to as 'creditors' or 'suppliers') is calculated as follows:

• As current assets are usually easily convertible into cash and this cash is used to settle short-term debts (current liabilities), the current ratio gives insight into the liquidity of the entity. It is calculated as follows:

• The inventory amount included in current assets (in the current ratio above) may not be easily convertible into cash. Inventory is often the least liquid asset because it takes a long time to convert into cash. It is sometimes useful to exclude inventory from the evaluation of liquidity by calculating the quick ratio:

Entities need to keep control over their costs. Runaway costs have a negative impact on many profitability ratios. It is normally expected that costs will increase as a business grows, as there may be more staff to pay, more office space to rent, and other similar considerations. The comparison of expenses in the current year to those of prior years is very important. Although expenses are expected to increase as an entity grows, the expenses (when expressed as a percentage of income) should be controlled to ensure that the growth does not result in poor cost management. However, the key is that these expenses must help to generate greater revenue. The profitability ratios can be used to check if this is the case.

The relationship between sales and cost of sales determines the **gross margin**. A high gross margin indicates a product that can be sold for a price significantly higher than its cost. A product with a low gross margin sells for slightly more than its cost, but hopefully, the volume of products sold will be high. An entity that can maintain a high gross margin can normally pass on any cost increases to its customers because customers are willing to pay higher prices. If the gross margin drops, this could be for a number of reasons. For example, the cost might have increased, but the selling price has stayed the same because of tight market conditions. Another possible explanation is that competition might have forced the entity to use a lower selling price, but costs have remained the same. The gross margin of an entity is also adversely affected by slow-moving or obsolete inventory items. Inventory is measured at the lower of cost and net realisable value, so any write-downs required in the cost of inventory are included in cost of sales at the time of the write-down. The result of inventory impairments is that cost of sales is increased, resulting in a lower gross margin. The difference between the gross margin (gross profit as a percentage of sales) and the **mark-up on cost** is also very important. In some cases, an entity may maintain a constant mark-up on cost, but this mark-up is not reflected in the cost of sales amount as a result of inventory write-offs. This is illustrated in the example that follows.

Example of gross margins

An entity applies a mark-up on cost of 100%. This means that an item of inventory with a cost of CU100 is sold for CU200, resulting in a gross profit of CU100. In this case, this entity has a gross margin of 50%

If the mark-up of 100% is applied to all inventory items sold, the gross margin at the end of the period will then be 50% as well. Assume that the entity sold 50 items. Ten items

were damaged and need to be written off in full. Five items were stolen during the period.

	Per item	50 items sold	Write-down of items damaged and stolen	Amounts included in financial statements
Sales	CU200	CU10 000		CU10 000
Cost of sales	(CU100)	(CU5 000)	(CU1 500) ¹	(CU6 500)
Gross profit	CU100	CU5 000		CU3 500
Gross margin	50%	50%		35%

Notes

1 15 items × CU100 cost each = CU1 500

Even though the entity maintained its mark-up on cost of 100%, its gross margin was only 35%, not 50%, as a result of the write-off of inventory items that were damaged and stolen.

4.5 Financial instruments and debt management

Financial instruments (which are discussed in [Chapter 14](#), *Financial instruments*) include monetary assets and debt instruments in the financial statements of an entity. An entity that issues shares reflects these as equity, but an entity that has purchased the shares should recognise them as an investment in an equity instrument (financial asset).

The reader must always remember this, or mistakes in analysis may occur.

The statement of financial position is presented at a point in time (the reporting date), and most financial instruments are measured at their fair value at the reporting date. Daily movements in the fair value (market value) of financial instruments may result in significantly different measurement values at different dates. The analysts of financial statements should read the accounting policy and disclosure notes relating to financial instruments to find out exactly what the business model, classification and measurement bases are for financial instruments. The amounts at which financial assets are measured may move a great deal after the reporting date and must be monitored constantly, especially if they form a large part of the balance of the total assets.

The financial instruments held by financial institutions lost considerable value during the 2008/2009 economic crisis. Many of these institutions had to file for bankruptcy or receive government assistance. The importance of understanding the risks associated with financial instruments is now clear, and fuller disclosure of these risks is required in order to help users of financial statements understand the risks to which entities are exposed.

4.5.1 Financial assets

The classification and subsequent measurement bases applied to financial assets are very important. Where an investment in an equity instrument is measured at fair value and fair value adjustments are included in other comprehensive income (which is transferred to a separate revaluation surplus), that amount is not included in profit or loss for the period. Therefore, it is necessary for you to consider total comprehensive income. However, where fair value adjustments are recognised in profit or loss, the impact on profit or loss and the profitability ratios of the

entity is huge. Fluctuations in the fair values of financial assets are mostly market-related, and fair value adjustments recognised in profit or loss add to the volatility of reported profits.

Increases in the fair values of financial assets result in an increase in reported profits as well as an increase in total assets. On the other hand, a decrease in the fair value of financial assets will reduce the asset base, and these fluctuations must be remembered when considering efficiency ratios. The decrease in assets will result in the entity appearing more efficient, even though all that has happened is that assets have lost value.

The effect of increasing or decreasing the fair value of financial instruments (with fair value adjustments recognised in profit or loss) on the Du Pont analysis is shown in the table below.



4.5.2 Financial liabilities

Financial liabilities represent funding (or debt) obtained from third parties. They are reported as non-current and current liabilities in the statement of financial position. The classification between debt and equity is particularly important, as the debt–equity ratio is often used to consider future cash flow considerations. This is because equity instruments (which are part of the owners’ capital) are not repayable, whereas debt instruments (classified as liabilities) have contractual cash flow obligations. The financial risk is that the entity will not be able to pay its debts. The amount of debt an entity uses influences the **financial risk** of the entity: the more debt used to finance operations, the greater the financial risk is.

Financial liabilities are usually measured at **amortised cost**, the present value of future cash flows associated with each instrument. Where an entity has issued long-term debt instruments to the public that are measured at amortised cost, any subsequent changes in the fair value (or market value) of these debt instruments will not affect the amounts reported in the statement of financial position and may not be all that material from an analysis point of view.

In cases where an entity classifies financial liabilities at fair value (for example, derivatives), fair value adjustments are included in profit or loss. This measurement basis has a more significant impact on the performance analysis of the entity, as the profit or loss for the reporting is affected by increases or decreases in fair values, and the reported amounts of financial liabilities increase or decrease accordingly. These changes may improve the return on equity and the debt–equity ratio, but only because the entity is not considered creditworthy, which is not an indicator of good performance. IFRS 9, *Financial Instruments*, requires adjustments in financial liabilities measured at fair value resulting from own credit risks to be included in other comprehensive income.



Something to do

Revise the debt management ratios that follow:

- The debt ratio is used to measure the degree to which debt (current and non-current liabilities) has been used to finance assets:



- The debt–equity ratio of an entity illustrates the ratio of debt used (third party funding) to owners' funding:



- If an entity has too much debt, there may be difficulty in repaying loans and interest. This will affect profit and therefore the return on equity. Because debt finance carries a fixed interest cost, it is important to measure how well this interest obligation is covered by the profit from operations. The interest cover ratio calculates how many times the profit covers the interest cost:



The higher this ratio is, the greater the ability of the business to meet the interest payments. (See Section 4.10.)

You should carefully consider the appropriate treatment of redeemable preference shares, either as equity or as a debt instrument. Where redeemable preference shares have been issued with a fixed date of settlement in the future, they meet the definition and recognition criteria of a liability. Therefore, they should be classified and recognised as a debt instrument. The present value of the future obligation should be classified as debt, and the cost of this debt instrument (that is, the preference dividend) should be included as finance costs in profit or loss. This treatment is correct and in accordance with the IFRS Accounting Standards, and analysts should be aware of this classification when calculating the debt management ratios of the entity.

4.6 Impairment of assets

Assets may need to be recognised at a lower value if the benefits attached to the asset are reduced for any reason. The reduction in the value is recorded by recognising an impairment expense (see [Chapter 15](#), *Impairment of non-current assets*). Often entities that operate in cyclical industries experience large asset impairments. Cyclical industries are those that tend to experience significant fluctuations in results depending on the economic environment. For instance, the demand for steel is high during periods of economic growth (it is used for construction, the production of cars and so on), but then it drops dramatically as the economy slows down (construction stops and cars are not manufactured in large numbers). Steel producers might have expanded operations during the good times, but now their assets may be impaired as the economy slows down. However, when the cycle reverses, a reversal of the impairment could occur.

Similarly, during the Covid-19 pandemic, many businesses recognised impairments, which later reversed as the economic situation stabilised.

On the other hand, the impairment may have resulted from an entity overpaying for an asset that will never be able to realise the future economic benefits originally intended. For instance, third generation (3G) licences were issued at an auction in the United Kingdom (UK). All the telecommunications companies were required to bid against each other for these licences. The final amount received by the authorities for the five licences was £22.47 billion, well in excess of the £5 billion that they had originally expected to receive. After several years of trying to grow the 3G market, many entities that had bought the 3G licences at the auction had to recognise an impairment of the asset (licence), as it became clear that they had paid too much for it. For example, Vodafone, an entity based in the UK, had an impairment loss of over £23.5 billion, which included many 3G licences that it had purchased in various countries worldwide (Binmore & Klemperer, 2002; Percy, 2010).

Users of financial statements pay close attention to impairments, which is why the disclosures required are decision useful. Impairing an asset impacts ratios, with the asset base being reduced and depreciation or amortisation also being reduced. Impairment losses are included in profit and loss, decreasing the profit or loss in a specific reporting period. However, users of financial statements should also keep in mind that an impairment is not a cash flow. Although it will reduce profit, this may be temporary.

The table below illustrates the effect of the impairment of assets on the Du Pont analysis.



Conversely, reversals of prior impairments result in increases in profit or loss without any cash flow implications.

4.7 Provisions, contingent assets and contingent liabilities

Provisions are recognised when the entity has a present obligation to settle an amount in the future, with some uncertainty relating to the date and amount of the future payment. Because of the **uncertainties of provisions**, the information included in the note disclosure should be analysed carefully. Details relating to contingent assets and liabilities are only included in the notes (owing to their recognition criteria uncertainties) and should not be included in the calculation of ratios. They are, however, crucial, because they can provide valuable information about possible future cash flows of the entity. ([Chapter 16, Provisions, contingent liabilities and contingent assets](#), gives further detail.)

Imagine what would happen if a large fire were to destroy an entity's property, plant and equipment just before its financial year-end. The damage to the assets would be reflected in an impairment loss, which would result in lower profitability ratios. Any insurance claim would not be completed until after the year-end, so the possible reimbursement would not be recognised as an asset (its receipt would not be certain). If the receipt of future benefits were probable, it would be disclosed as a **contingent asset**. The fact that the entity was insured would not be reflected in the amount of total assets. Still, its impact on total assets has to be taken into account when the ratio analyses are performed. This highlights the importance of reading the detail in the notes to the financial statements.

Contingent liabilities can be an important warning sign to users of financial statements. Details relating to an ongoing court case against an entity could be disclosed as a **contingent liability**. A large cash payment might be required if the entity loses the case. For example, users reading the financial statements of a tobacco entity would pay close attention to the contingent liability note because the entity might lose some of those cases and be required to pay out large amounts. Furthermore, many South African companies (especially construction companies) have contingency notes about Competition Commission cases.

Another useful source of information discussed in [Chapter 16, Provisions, contingent liabilities and contingent assets](#), is the note referring to **commitments**. This note provides important information about the **expansion plans** of an entity. Remember that commitments are disclosed in the notes to the financial statements and are not included in the statement of financial position because they refer to future events that may or may not happen. The commitments note shows the amounts the entity has committed to spend in the future. This provides decision-useful information because it gives an idea of future cash outflows.



Something to think about

Analysing commitments

Commitments that have already been contracted for are disclosed separately from those that have yet to be contracted. Why is this the case?

The answer is that commitments contracted for are more likely to occur in the future because a contract has been signed.

4.8 Leases

Accounting for leases by **lessees**, in accordance with IFRS 16, *Leases*, is an excellent example of recognising assets that are controlled by the entity, together with the related liability. This results in the reporting of the lease liability as well as the underlying asset that the lessee has the right to control and from which it has the right to receive the benefits of use (see [Chapter 17, Leases](#)). A lease reduces the **efficiency ratios** of the lessee, as the leased asset is recognised on the statement of financial position. The **leverage ratios** increase simultaneously because the lease liability increases debt.

For the **lessor**, leases are classified as either financing or operating leases, based on the economic substance of the transaction. For example, a **finance lease** is where the entity no longer has control of the asset and the settlement for the asset is in the form of deferred payments. As the lessor replaces the underlying asset with the net investment in the lease (a financial asset), the net assets of the entity have not changed much. The lessor recognises interest earned in profit or loss over the period of the lease. Income for lessors relating to **operating leases** is straight-lined over the period of the lease, resulting in the recognition of the lease income in profit or loss, while the cash flow receipts is recognised in the statement of cash flows.

4.9 Income taxes

The tax expense of an entity includes current tax paid to the tax authority, as well as deferred tax (see [Chapter 18, Income taxes](#)). The statement of profit or loss and other comprehensive income includes information for calculating the effective tax rate.



If the company tax rate in South Africa is 27%, the effective tax rate should be expected to be close to that. If the ratio is much lower, you should investigate why the entity has a lower tax expense. This lower tax rate could have arisen for a number of reasons:

- The entity may have received income exempt from tax (for example, dividend income or government grants).
- The entity may generate taxable profits at the effective capital gains tax rate of 21.6%.
- The entity may operate in countries with less than a 27% tax rate.

Alternatively, the effective tax rate may be higher than 27%. Again, there are various possible reasons for this:

- The entity may have incurred expenses not deductible for tax purposes.

- The entity may operate in countries with a tax rate greater than 27%.

There is considerable debate on how to treat **deferred tax balances** for financial analysis. **Some analysts treat deferred tax liabilities as equity** because they believe that entities will use the differences between accounting depreciation and tax allowances for as long as they operate. Others argue that deferred tax is not relevant and remove it for the purpose of analysis. **Deferred tax assets** resulting from assessed losses that are recognised are also sometimes removed from calculations by some analysts. It is beyond the scope of this textbook to enter into the debate relating to the different approaches, but it is important to be aware of different interpretations.

4.10 Borrowing costs

The treatment of borrowing costs (discussed in [Chapter 19](#), *Borrowing costs*) impacts many important ratios. If borrowing costs are capitalised to qualifying assets, total assets increase, and the finance cost recognised in profit or loss decreases, thereby increasing profit. The capitalisation of borrowing costs thus leads to improved profitability ratios in the year that the borrowing costs are incurred (compared to if the borrowing costs had been expensed). For example, if borrowing costs of CU50 were incurred, the difference would be as follows:



As discussed in Section 4.5.2, some analysts calculate the **interest cover ratio (or times interest earned ratio)** to assess how many times the interest expense could have been covered by the profit before the deduction of interest.



This is used as a measure of the entity's ability to sustain current debt levels. However, if the borrowing costs are capitalised, the interest cover ratio will be higher, as the capitalised borrowing cost will not be included in profit or loss. Then again, as assets increase when borrowing costs are capitalised, the depreciation expense will also increase, the effect of which is spread over the useful life of the asset. This means that profitability ratios may increase in the first year but decrease in the following years.

No borrowing costs are incurred when a new asset is financed by equity rather than debt. This means that the entity is able to use existing cash (and equity) to fund the expenditure relating to the qualifying asset. The carrying amount of the asset will not include any borrowing cost component. From this discussion, it should be clear to you that the incurrence of borrowing costs and the capitalisation of these borrowing costs may have a significant impact on the profit of the entity and the carrying amount of assets. It also affects the debt management ratios as well as the profitability ratios of the entity.

4.11 Events after the reporting period

As discussed in [Chapter 20](#), *Events after the reporting period*, adjusting events occurring after the reporting period should be considered when the financial statements are presented. The entity has already adjusted the financial statements, and there is no need to make further adjustments when conducting financial analysis.

Details of non-adjusting events incurred after the reporting period should only be disclosed in the notes to the financial statements if they are considered material. An astute reader of financial statements will want to read this note for clues about major events between the reporting date and the publication of the financial statements. Both good and bad news may be contained in this note, and it is well worth a read (in much the same way as the notes for contingent assets and contingent liabilities are worth reading). If you use financial statements to make predictions of future performance and cash flows, these notes might contain valuable information. For instance, the events after the

reporting period note could include the details of dividends declared after the reporting period but before the publication of the financial statements.

4.12 Non-current assets held for sale and discontinued operations

An entity that intends to sell non-current assets or discontinue some of its operations must reclassify these assets and provide detailed information to the users of financial statements (which is discussed in [Chapter 21](#), *Non-current assets held for sale and discontinued operations*). This information will be useful to users seeking to make projections about the entity's future performance.

The statement of profit or loss and other comprehensive income discloses the results from discontinued operations separately precisely so that users of financial statements can exclude them from projections. If discontinued operations have resulted in losses, excluding these losses will no longer affect future performance adversely. For example, in 2017, when Grindrod decided to unbundle its shipping division and exit its rail division, an expense of R1 229 million was recognised as a loss from discontinued operations, which was not considered when projecting Grindrod's performance for the subsequent years (Grindrod, 2017).

In the case that discontinued operations have been generating profits, you may ask why an entity would discontinue profitable operations. It may be that the operations are being sold to a third party, as the entity has changed the focus of its main business activities. Another reason could be that the operation is being unbundled from the group. (In an unbundling transaction, the parent distributes the shares in the underlying companies to the parent's shareholders.)

This was the case when PPC Company Ltd was unbundled from Barloworld in 2007 (Barloworld, 2007). PPC Company Ltd was a subsidiary of Barloworld. During the unbundling, PPC Company Ltd was listed, and Barloworld shareholders then held shares in both Barloworld and PPC Company Ltd. Barloworld disclosed a profit from discontinued operations of R976 million in 2007, which would not be included when projecting Barloworld's performance for the subsequent years. Other interesting unbundlings include Adcock Ingram's unbundling from Tiger Brands (Tiger Brands, 2008).

4.13 Revenue from contracts with customers

The amount of **sales** (also referred to as 'revenue' or 'turnover') is an important amount used in most ratios to measure the performance and profitability of the entity. (Revenue is discussed in detail in [Chapter 22](#), *Revenue from contracts with customers*.) The growth of an entity is often framed in terms of changes in revenue. When financial statements are analysed and interpreted, many ratios use revenue in their calculation (for example, gross margin and asset turnover). **Sales growth**, or increases in sales from one year to the next, is also important. It is usually compared to the inflation rate as a benchmark for the minimum growth expected in revenue. In South Africa, inflation has been between 4% and 8% in the last few decades, so sales growth should be above that level to show real growth. You need to bear in mind that an entity growing rapidly may increase sales purely because it has opened more stores. A good figure to look for is **like-for-like sales (or same-store sales)**, which compares the sales figures for stores that have been open for both years for which the financial statements are presented. The example that follows explains this clearly.

Example of adjusting for like-for-like sales

The following information relates to sales and number of stores in an entity:



The growth in sales of [REDACTED] may seem impressive at first glance. However, it is important to consider whether the growth resulted from several new stores being opened or whether existing stores also sold more than in the previous period. Like-for-like sales compare the sales made by the 30 stores that were open in 20x3 and the sales made by the same stores in 20x4.



The table above reveals that like-for-like sales only increased by [REDACTED]

This is not impressive, especially when taking inflation into account. Most of the growth has therefore resulted from new stores opening, not because the existing stores are performing well. This could indicate a business that struggles to generate repeat business from customers.

The IFRS Accounting Standards do not require disclosure of like-for-like figures, but these are often provided because this is decision-useful financial information.

Misstatements in revenue have a significant impact on profit or loss. Several international studies have shown that financial statement fraud and restatements of previously published financial statements are often related to revenue manipulation. It is, therefore, important that the revenue recognition and measurement principles be applied consistently for financial statements to represent the actual economic activities of the entity fairly. IFRS 15, *Revenue from Contracts with Customers*, provides a set of principles to apply in recognising revenue from all contracts with customers, whether for goods or services or short- or long-term contracts.

If an entity purchases a subsidiary, revenue from the subsidiary should be included in the group figure for revenue. This will increase revenue, but it must be remembered that the increase was because of the acquisition. Entities that can grow organically (without acquisitions) are viewed as more sustainable than entities that rely on acquisitions to grow revenue.

Where an entity **discloses operating segment information** (refer to [Chapter 2, Presentation and disclosure in financial statements](#)), this indicates the sources of revenue for the entity. These disclosures must be analysed carefully to determine where an entity generates revenue. This may be across multiple trading platforms or geographic areas. For instance, consider the MTN Group (previously called Mobile Telephone Networks). As shown by the company's annual results for 2010, MTN cellular operations performed differently in various geographic regions in that year (MTN, 2010):

- MTN's revenue figure was large in Southern Africa, but it was not growing particularly quickly because most people already had cellular contracts.
- MTN's revenue figure was lower in West Africa than in Southern Africa, but its growth was higher as MTN was gaining more customers.
- MTN's revenue was very low in the Middle East, but its growth was much higher than in other regions because cellular technology was being rolled out.

As the market matured in the following years, revenue growth slowed in the Middle East and West Africa. However, the operations in Nigeria have grown so much that it is now managed separately from the other West African countries (MTN, 2017).

Something to think about

The following changes in sales (when compared to prior reporting periods) are all useful comparisons when analysing sales performance:

- Volume increases
- Price increases
- Organic growth versus acquired growth.

4.14 Foreign exchange transactions

South African entities almost always prepare their financial statements in rands. Where a local entity enters into transactions with foreign entities, these transactions potentially impact its results. If an entity borrows, lends, sells or buys in a transaction that is fixed in US dollars, euros or some other foreign currency, a user of the financial statements will need to understand the **foreign exchange adjustments** that have been included in profit or loss (or other comprehensive income, where there is a foreign subsidiary) as well as the impact on the comparability of items such as sales and cost of sales (see [Chapter 23](#), *Foreign exchange transactions*).

An entity exposed to foreign exchange movements may decide to enter into forward exchange contracts to minimise the risk. As a financial analyst, you need to pay careful attention to the details disclosed in the notes to the financial statements to establish whether the entity has been exposed to foreign exchange movements and whether or not it chooses to enter into forward exchange contracts.

Further information relating to foreign exchange operations is normally included in the **disclosure of operating segments**, which may provide a breakdown of the operations of the entity by geographic region. If a large portion of operations is conducted in Europe, you would expect revenue for that segment to be earned in euros. Using this information, you could start hypothesising about the impact of a movement in the rand/euro exchange rate and the entity's foreign exchange risk exposure.

4.15 Share-based payments

Share-based transactions and payments are usually closely scrutinised by financial analysts. Share-based payments can be settled in cash, in which case the issues are the same as for a provision (where there is uncertainty and volatility about the amount and timing of settlement) or in equity (see [Chapter 24](#), *Employee benefits and share-based payments*). Equity-settled share-based payments must be considered carefully, as there is usually a charge against profit or loss that will never be a cash outflow, which may lead to current or future increases in the number of issued shares. The combination of a decrease in profit or loss and an increase in the number of issued shares will have a negative impact on earnings per share.

During phases of high growth in earnings, it is essential to check the calculations of the earnings per share figures. This is because a popular tactic to show growth has been to buy other entities using share-based payments. On

consolidation, the results of the purchased entity are included in the financial statements and the profit is expected to be a lot higher because of this. However, checking the earnings per share figures will reveal that the share-based payment comes at the cost of more shares being issued and that the earnings per share may have dropped, despite a large increase in the profit.

Equity-settled share-based payments do not impact the statement of cash flows. This explains why entities sometimes show a cash inflow to purchase another entity. This counter-intuitive result is explained by the fact that the purchasing entity may have issued shares to purchase the new entity and received control of the cash balance of the entity on that date. The purchasing entity has therefore had an increase in cash even though it has invested in another entity.

In the South African context, the treatment of Broad-Based Black Economic Empowerment (B-BBEE) transactions (which often take the form of a share-based payment) has resulted in some entities showing large expenses in the year in which the transactions were concluded. These expenses can distort results in the short term and must be taken into account when assessing the value of the business.

5 Accounting for groups

Group financial statements report the total assets and liabilities controlled by an entity. The group financial statements usually include subsidiaries, joint ventures, associates and other investments, enabling the analyst to find a large amount of information in one place.

There are some areas in group financial statements that deserve closer attention. The first of these is **goodwill**. If a parent has paid more for a subsidiary than the fair value of its net assets, that difference is recognised as goodwill. Goodwill is tested annually for impairment. This is a difficult test to conduct, and users of financial statements need to understand that it requires a great deal of estimation on the side of the preparers based on difficult-to-predict future events. This is an important issue when goodwill represents an amount in the statement of financial position and potentially represents an impairment loss. In fact, the largest ever impairment loss recorded for a single year was related to goodwill impairment. In 2002, AOL Time Warner recorded a loss of \$98.7 billion. The main cause of the loss was an impairment charge of \$99 billion, resulting from the impairment of goodwill recognised as a result of the purchase of AOL, which had previously been called America Online (Securities and Exchange Commission, 2003).

The second issue to consider in group financial statements is the inclusion of **foreign operations**. A group that conducts operations worldwide has a far different risk profile from that of a group operating within one country. Matters to consider include the impact of political changes, foreign exchange rate movements, economic growth, population growth, new legislation and local competition. Analysts need to seek further information in the **disclosures of operating segments** and look for evidence of management risk assessment and control policies.

In group financial statements, a third area to review is investments in **associates** and **joint ventures**. Here, the analysis consists of finding out the reason for the investment (for example, for strategic purposes, for synergies or other reasons), what the underlying performance of the associate or joint venture is and its long-term potential. If the associate or joint venture has contributed significantly to the group's performance, it could mask poor performance from other entities in the group. Ideally, if there have been significant movements, the underlying financial statements of the associate or joint venture should be obtained and reviewed using the tools described in this chapter.



Something to think about

In 2017, the story about Steinhoff International Holdings and the allegations of accounting irregularities (particularly relating to its complex group structures and the measurement of goodwill) broke out locally and internationally. Think about the impact that these accounting irregularities had on the financial statements. How would this have affected your analysis of Steinhoff?

6 Helpful questions to ask and factors to take into consideration when conducting financial analysis

We started the chapter with a Du Pont analysis of Shoprite and Pick n Pay. While this was a good starting point, more detailed analysis is needed for informed decisions. The financial statements only reflect the two most recent years' financial information so reviewing older data would help identify trends. The goal is to ask the right questions, not just find all the answers. Below is a guide to start with, but you can adapt it as you gain experience:

1. Perform a Du Pont analysis for the two years presented. Discuss significant changes. If one area has changed significantly (for example, profitability), conduct further ratio analysis (calculate more profitability ratios) and formulate some possible causes for the changes.
2. Give reasons for the improvement or the deterioration of the cash flow statement. What could be done to improve the cash flow situation?
3. Compare the difference between the entity and group results, and try to come up with possible causes for these differences.
4. Explain the journal entries that were recorded for all the amounts in the statement of changes in equity.
5. Review the statement of financial position on a line-by-line basis. What could have caused the changes? Look at the notes for more detailed information.
6. Look at the statement of profit or loss and other comprehensive income on a line-by-line basis. What could have caused the changes? Are these gains realised or unrealised? Are these items sustainable? Look at the notes for more detailed information.
7. Understand the statement of cash flows on a line-by-line basis. What could have caused the changes? Look at the notes for more detailed information.
8. Obtain an overall understanding of the important ratios for entities in this industry. How has this entity performed in those key areas compared to its competitors?
9. Consider the impact of oil prices, interest rates, currency changes, high prices of raw materials, environmental and social impacts, and other similar issues. How would changes in the general economic environment impact the performance of this entity? Do you see evidence of this in the financial statements?

10. Analyse the decisions made by management. Was it wise to pay out a dividend, for example? Is the entity expanding too fast? Is the debt level becoming too high? Are increases in inventory going to result in write-downs? Is the entity hedging against foreign currency risk or not?

11. Is there information available to suggest that the entity will be sustainable (economically, environmentally and socially)?



ETHICAL DILEMMA

Accountants should ensure that the financial statements adhere to the qualitative characteristics included in the IFRS *Conceptual Framework*. They should maintain objectivity and independence and should prioritise the financial information's accuracy, transparency and comparability. It is essential to consider multiple perspectives, seek corroborating evidence and disclose any potential conflicts of interest or biases that could impact the analysis of the financial information. Collaboration and peer review can ensure the integrity of the financial analysis and mitigate ethical risks.

7 In conclusion

This chapter purposely does not end with the answer to the question of who performed better, Pick n Pay or Shoprite. The financial statements of both companies are freely available to be analysed.

Many investors, analysts, lenders and other users buy and sell shares daily and make different investment decisions based partly on their financial analysis of the financial statements of an entity. You are reminded that while the IFRS Accounting Standards guide the preparation of financial statements, the analysis and evaluation of financial statements require more than knowledge of these standards; it also involves investigation and common sense. Remember Buffett's perspective mentioned at the beginning of this chapter, that accounting is an aid to business thinking and never a substitute for it (1986).

Key points to take from this chapter

- The Du Pont analysis is a useful basis for an overall analysis of an entity.
- The various elements of financial statements affect your analysis. You need to know how financial statements were prepared and what accounting policies were used to analyse them effectively.
- The calculation of ratios is an important first step. Still, it is essential to critically analyse and interpret these ratios and other information relating to the entity and its industry.

Discussion questions

1. The Du Pont analysis is a useful tool for financial analysis. Outline the elements of the analysis, including how each element is calculated, and discuss how this measure assists you in analysing the performance of an entity.
2. Discuss how the revaluation of a property will impact the financial statements and what the impact will be on the Du Pont analysis.
3. Which profit figure is used when calculating the Du Pont analysis? Explain why this profit figure is the appropriate one to use.

Exercise question

Access the latest financial statements of Shoprite Holdings and Pick n Pay Holdings online.

You are required to do the following:

1. Perform a Du Pont analysis on the results of Shoprite Holdings and Pick n Pay Holdings for the current and prior year.
2. Compare the results of the Du Pont analysis for Shoprite Holdings to the results of the Du Pont analysis for Pick n Pay Holdings for the current and prior year. Which company has better performance overall? Which company performed better in the various elements of the analysis?

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Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



Financial statements report the financial position at a reporting date and the performance of an entity for a reporting period. The preparation of financial statements requires the identification, classification, recognition and measurement of assets and liabilities at the reporting date. It also requires the presentation of the income, expenses and other changes in the equity of the entity for the reporting period.

In the chapters that follow, you will learn how to classify the different **assets and liabilities** into categories based on type, as well as the entity's intention to hold an asset or the settlement conditions of a liability. You will be introduced to the IFRS Accounting Standards that deal specifically with the accounting treatment of each category (for example, property, plant and equipment), and we will look at the methods of recognition and the implications on measurement when applying the requirements of each IFRS Accounting Standard.

The current IFRS Accounting Standards require that some assets and liabilities be recognised at their fair values in the statement of financial position (for example, financial instruments). However, for other assets, the entity has a choice of using the cost model, the revaluation model (for example, for property, plant and equipment) or the fair value model (for example, for investment properties). Inventory should not be recognised at fair value but at the lower of cost or net realisable value. Therefore it is important for the users of the financial statements to be informed of the specific accounting policy that an entity has adopted for each type of asset or liability.

Practical examples in the chapters that follow illustrate how each classification should be recorded, measured and presented in the statement of financial position and the notes to the financial statements. Changes in use may result in changes in the classification of assets, which is dealt with in the chapters that follow.

Within each classification, there may be accounting policy choices to be made. Refer to [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*, for information about the recording and reporting requirements when there is a change in accounting policy.

Measurements of changes in the assets and liabilities of an entity from one reporting period to the next are reported in the statement of profit or loss and other comprehensive income. The statement is intended to summarise the **income and expenses** of an entity that are **non-owner-related** for the reporting period. Total comprehensive income is the net effect of all recognisable events and transactions that change owners' equity during the reporting period, other than investments by or distributions to owners. The net effect of **revenues or gains** and **expenses or losses** therefore gives comprehensive income. Total comprehensive income results from the recognition and measurement of assets and liabilities using the accrual basis of accounting.

In the chapters that follow, you will discover how to apply the respective IFRS Accounting Standards for the recording of specific transactions and events of an entity, resulting in the appropriate **recognition, measurement and disclosure** of the elements of financial statements.



CHAPTER

10

Property, plant and equipment

IFRS references

IAS 16: *Property, Plant and Equipment*

IAS 36: *Impairment of Assets* (covered in more detail in [Chapter 15](#))

IAS 12: *Income Taxes* (covered in more detail in [Chapter 18](#))

IFRS for SMEs Accounting Standard references

Section 17: *Property, Plant and Equipment*

Section 27: *Impairment of Assets*

1 Introduction

2 Recognising property, plant and equipment

3 Initial recognition of property, plant and equipment

3.1 [Acquisition date](#)

3.2 [Acquisition cost](#)

3.2.1 [Elements of cost](#)

3.2.2 [Delayed purchase price](#)

3.2.3 [Non-monetary exchange](#)

3.2.4 [Self-constructed assets](#)

3.2.5 [Imported items of plant and equipment](#)

3.2.6 [Costs of dismantling and removing an asset and restoring its site](#)

4 The component approach

4.1 [Land and buildings](#)

5 Subsequent costs

6 Subsequent measurement of property, plant and equipment

6.1 [Depreciation](#)

6.1.1 [Why depreciate?](#)

6.1.2 [Depreciation methods](#)

6.1.3 [Estimated useful life of an asset](#)

6.1.4 [Residual value](#)

6.1.5 [When to begin depreciating](#)

6.1.6 [When to stop depreciating](#)

6.2 [The cost model](#)

6.3 [The revaluation model](#)

6.3.1 [Determining fair value for the purposes of revaluation](#)

6.3.2 [Recognition of the revaluation amount](#)

6.3.3 [Treatment of accumulated depreciation at revaluation](#)

6.3.4 [Depreciating a revalued asset](#)

6.3.5 [Subsequent treatment of a revaluation surplus and deferred tax implications](#)

6.3.6 [Significant decreases in the carrying amount of a revalued asset](#)

7 Impairments

7.1 [Determining the recoverable amount](#)

7.2 [Recognising impairment losses](#)

7.3 [Compensation for impairments](#)

8 Derecognition of property, plant and equipment

8.1 [Sale of property, plant and equipment](#)

8.2 [Classification as held for sale](#)

8.3 [Derecognition and the component approach](#)

9 Disclosure

9.1 [The accounting policy note](#)

9.2 [Presentation of the statement of financial position](#)

9.3 [Presentation of the statement of profit or loss and other comprehensive income](#)

Key points to take from this chapter

Discussion questions

Exercise questions

References

Learning objectives

By the end of this chapter, you should be able to:

- Classify an asset as property, plant and equipment in accordance with IAS 16, *Property, Plant and Equipment*.
- Determine the acquisition cost of an item of property, plant and equipment, and know when and how to determine the components of an asset.

- Explain when and how subsequent costs incurred by using, dismantling or restoring items of property, plant and equipment should be capitalised to the cost of the asset or expensed.
- Determine the expected usage of an asset classified as property, plant and equipment, and depreciate the asset over its expected useful life to its residual value.
- Apply the cost model and the revaluation model when measuring property, plant and equipment in subsequent years.
- Identify, record and disclose an impairment loss when an item of property, plant and equipment has been impaired at the reporting date.
- Calculate, record and disclose the gain or loss when an item of property, plant and equipment is derecognised.
- Apply the disclosure requirements in IAS 16, *Property, Plant and Equipment*.

Concept summary



1 Introduction

An entity's property, plant and equipment are (usually) non-current assets that it controls and holds over a period of time (longer than one reporting period) for its own use in order to produce or supply goods or services. Machinery used in the production process, motor vehicles driven by staff, buildings occupied by the entity and administration equipment (for example, computers) are all typical examples of property, plant and equipment. Items that are not used in the production or supply of goods and services, but are rented out to earn rental income, are also included in this category (unless it is a piece of land and a building, in which case, the item is classified as investment property; see [Chapter 11](#), *Investment properties*). Property, plant and equipment are tangible assets because they have a physical substance; they can be seen and touched.

The main accounting issues relating to property, plant and equipment that will be covered in this chapter are:

- The initial recognition of the asset
- The determination of the carrying amounts on the statement of financial position (SFP)
- The calculation and recognition of the depreciation charges relating to the use of the asset, which are recognised in the statement of profit or loss and other comprehensive income
- Derecognition of property, plant and equipment
- Disclosure issues.

Basic information concerning property, plant and equipment appears in Jacqui Kew's *Financial Accounting: An Introduction* (2024).

2 Recognising property, plant and equipment

Property, plant and equipment are assets on the statement of financial position that are held in order to be used by the entity over an extended period. Paragraph 6 of IAS 16, *Property, Plant and Equipment*, defines property, plant and equipment as tangible items that are:

- Held for use in the production or supply of goods or services, for rental to others or for administrative purposes
- Expected to be used during more than one period.

Note that the above definition refers to property, plant and equipment as tangible items. **Tangible items** are assets that you can touch and feel, and that can clearly be seen to exist, as opposed to intangible assets, which are non-physical assets, such as patents and trademarks (and which are discussed in detail in [Chapter 12](#), *Intangible assets*). The expectation is that these assets will be used for more than one reporting period and are likely non-current assets.



ETHICAL DILEMMA

The use of property, plant and equipment can have environmental consequences. Ethical dilemmas may occur when an entity faces choices between environmentally sustainable practices and cost-saving measures that may harm the environment or communities. Balancing environmental responsibility with financial considerations can be ethically challenging.

Consider the Sustainable Development Goals. In order to achieve any of the goals, there will be costs, to some degree or another. Policies, training programs and a culture of integrity are crucial in promoting the sustainable development goals and ethical behaviour throughout the lifecycle of property, plant and equipment.

IAS 16, *Property, Plant and Equipment*, deals with the financial reporting implications of tangible assets used by an entity over an extended period. This standard applies when accounting for property, plant and equipment, except where another standard requires or permits a different accounting treatment.

IAS 16 does not apply to property, plant and equipment classified as follows:

- Held for sale in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* (refer to [Chapter 21](#))
- Biological assets related to agricultural activity (IAS 41, *Agriculture*)
- Mineral rights and mineral reserves such as oil, gas and similar non-regenerative resources.



Link to the Sustainable Development Goals

Property, plant and equipment is a catch-all term for a variety of long-term physical assets that are used for a variety of reasons. This is relevant to Sustainable Development Goal 9, which is 'Build resilient infrastructure, promote inclusive and sustainable industrialization and foster innovation' (UN, 2015:14). The declining share of manufacturing employment to total employment is concerning. Business leaders need to consider the involvement of a broad group of people in value creation, and in the process contribute to re-industrialisation.

3 Initial recognition of property, plant and equipment

An item of property, plant and equipment cannot be recognised on the statement of financial position unless it meets the definition of an asset as well as the recognition criteria of IAS 16, paragraph 2. This implies the following:

- The item is a resource controlled by the entity as a result of a past event.
- It is probable that economic benefits associated with the item will flow to the entity.

- The cost of the item can be measured reliably.

In other words, an item of property, plant and equipment should be recognised when it is probable that economic benefits associated with the asset will flow to the entity and when the cost of the asset can be measured reliably. The first recognition criterion is normally met when control of the asset has passed to the entity. When you are able to determine the cost of an asset, the second recognition criterion has also been met and the asset can be recognised.

However, if you cannot reliably measure the cost of an item you cannot recognise it as an asset, even if you can measure the initial fair value reliably.

3.1 Acquisition date

The acquisition date is the date on which control of the asset is transferred from the seller to the buyer. It is the date on which the past event aspect of the asset definition is satisfied. In almost all cases, it is the date on which the buyer recognises the asset.

When payment is deferred, but control has already passed from the seller to the buyer, the asset should be recognised, together with the corresponding liability. For example, if an asset was acquired on credit, it does not mean that the asset should not be recognised.

The timing of the payment does, however, affect the cost at which the asset is recognised (see Section 3.2.2).

Key principle:
Recording transactions
according to the accrual
basis of accounting

The accrual basis of accounting requires a transaction to be recorded on the date on which the transaction occurred, not when payment was made.

The date on which an asset is available for use is not necessarily the same date as the acquisition date. For example, a machine can be received and all the risks and rewards of ownership can pass to the entity, but if modifications need to be made to enable it to be utilised, the date on which the asset is available for use can be a later date. The asset is available for use only when the modifications have been completed. The date when an asset is available for use is important because the asset's estimated useful life commences on that date, which implies that the depreciation is recorded from that date (see Section 6.1.5).

3.2 Acquisition cost

An item of property, plant and equipment should initially be recorded at cost, which is its purchase price, including import duties, but excluding any amounts that are recoverable, such as VAT. The cost excludes VAT for registered VAT vendors, but includes VAT where it is not recoverable. Cost is calculated after taking into account any trade discounts or volume rebates that may apply. The cost is the amount at which an item of property, plant and equipment should be measured at the acquisition date.

3.2.1 Elements of cost

The cost price of an item of property, plant and equipment consists of its purchase price and any directly attributable costs that were incurred in order to bring the asset to the location and the working condition necessary for it to be capable of operating in the manner intended by management. The **transport costs** incurred to receive the asset and the **installation costs** incurred to get the machine ready for use should all be capitalised (included in the cost of the asset). Any **professional fees** incurred (for example, architects' fees and engineers' fees) should also be added to the initial cost price of the asset if such costs were incurred in order to bring the asset to its exact location and into working condition, and were incurred before the asset was brought into use.

Cost = Acquisition price + Cost of site preparation + Initial delivery and handling costs + Installation costs + Costs to test whether the asset is functioning properly + Professional fees

Costs incurred after the asset is ready to be brought into use (for example, the subsequent repair of the asset) are called subsequent costs (see Section 5). These costs are generally expensed unless certain criteria are met.

Other costs may be incurred in relation to an asset before it is ready for use, but do not form part of the purchase price of an asset, and are not incurred in the process of bringing the asset to its location and to the condition necessary for it to operate effectively. For example, a staff party to celebrate the launch of a new production process, or training costs incurred before a new machine is brought into use, cannot be capitalised to the cost of the asset.

These costs should be expensed when incurred.

In certain circumstances, the **borrowing costs** (for example, interest charges) incurred in financing the asset during the period in which it was being prepared for its intended use can be included in the asset's cost. This can be done only if there is a necessary time lag between incurring the costs and being able to use the asset. In that case, the borrowing costs are part of the costs incurred in getting the asset ready for its intended use and may therefore be capitalised. IAS 23, *Borrowing Costs*, deals with the requirements for the capitalisation of borrowing costs (see

[Chapter 19](#)).

**Key principle:
Inclusion of costs in the
cost of an asset**

The key principle when deciding on the inclusion of costs in the initial recognition of an asset is whether or not the costs 'are necessary to bring the asset into the location and condition necessary for it to be capable of operating in the manner intended by management' (IAS 16, paragraph 16).

Note that the capitalisation of borrowing costs is not permitted when applying the *IFRS for SMEs* Accounting Standard.

In some cases, the preparation and use of an asset creates an obligation to incur expenditure when operations cease. For example, activating a nuclear reactor creates an obligation to deactivate the nuclear reactor when activities cease. Similarly, when an entity starts mining, it causes damage to the environment, which generally has to be rehabilitated at the end of the mining period. In terms of IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*, a provision should be recognised if there is an obligation as a result of a past event. The cost of property, plant and equipment also includes any debit arising from the recognition of the credit to a provision directly relating to that asset (see Section 3.2.6 and [Chapter 16](#), *Provisions, contingent liabilities and contingent assets*).

The incidental use of an asset is the use of the asset prior to bringing it to its intended new location or into its intended working condition. Costs or gains resulting from the incidental use of an asset should be recognised in profit or loss for the period. For example, if an entity has acquired land with the intention of building a factory on the site, but the site is used as a car park until building work commences, the costs incurred and proceeds received from the use of the site as a car park should be expensed in profit or loss. These amounts do not form part of the costs incurred in bringing the asset to its location or into its working condition.

To be recognised as part of the cost of an asset, the expenditure must give rise to probable future economic benefits.

It is not essential for the expenditure in isolation to give rise to future economic benefits. Expenditure that is incurred in order to allow other assets to generate future economic benefits may also be included in the cost of an asset. For example, if a law is passed that requires a chemical business to purify the water used in its production process prior to that water flowing into a river, expenditure on that process does not give rise directly to future economic benefits, but it does enable the factory to continue operating, and in that way gives rise to future economic benefits. The carrying amount of the factory, including the water purification expenditure, is recognised as part of the cost of the asset.

Spare parts and stand-by equipment qualify as property, plant and equipment if an entity expects to use them in more than one reporting period. If they are expected to be used within one reporting period, they should be accounted for as inventory and expensed when consumed.

3.2.2 Delayed purchase price

If the payment date differs significantly from the acquisition date (in other words, payment is deferred beyond normal credit terms), the amount paid at a later date includes an adjustment for the cost of financing the acquisition of the asset. The cost of the asset is equal to the cash price equivalent at the transaction date, which is the present value of the future payments. Interest should be recognised as an expense in profit or loss for the period between the transaction date and the payment date. This treatment reflects the substance of the two transactions, namely the acquisition of the asset at the date on which the risks and rewards were transferred and the financing costs related to the finance provided by the seller.

Example of recognising cost when payment is deferred

An asset was purchased on 1 January 20x1. Assume a market rate of 10%. The two scenarios that follow apply.

Scenario 1

The cash price of the asset was CU2 million, payment was due at the end of 12 months and interest was charged on the outstanding amount at 10% per annum.

The asset was recognised at its cash price equivalent of CU2 million on 1 January 20x1. Interest of CU200 000 accrued over the period of 12 months and the liability of CU2.2 million was paid at the end of the 12-month period.

Scenario 2

An amount of CU2 million was payable at the end of 12 months for the asset and the interest rate used in the market for similar debt was 10% per annum.

In this scenario, the cash price was not given and it appeared that no interest was charged on the outstanding debt. When comparing this scenario with the first scenario, it is apparent that the asset was actually purchased at a discount, as interest of 10% per annum was charged on similar transactions. Therefore, the cash price equivalent of the future amount payable was the present value of CU2 million, payable at the end of 12 months. Simple interest rate calculations were used to work out the present value of

CU2 million at 10%, which amounted to

The cash price equivalent at which the asset should initially be recognised is
CU1 818 182.

The difference of CU181 818 (CU2 million – CU1 818 182 or 10% of CU1 818 182) represented the finance charge and was recognised as an interest expense over the period of 12 months.

3.2.3 Non-monetary exchange

When an asset is acquired in exchange for another non-monetary asset, the transaction needs to be measured at the fair value of the consideration given up. The substance of the transaction is that one asset has been sold in exchange for another. The acquired asset is recognised at the fair value of the asset exchanged, as this amount represents the sacrifice made when the new asset was acquired. This principle is inherent in the definition of cost as discussed above. The process of determining the fair value (defined as the price that would be received if an asset were sold in an orderly transaction between market participants) of such assets necessarily involves judgement and estimation.

If it is not possible to work out the fair value of the asset given up, the transaction should be measured at the fair value of the asset received. This amount is likely to approximate the fair value of the asset given up in an orderly transaction between market participants.

Where the fair value of neither of the exchanged assets can be determined reliably, the cost of the asset acquired is measured at the carrying amount of the asset given up.

Where the carrying amount of the asset given up differs from the amount recognised for the new asset, a profit or loss on sale is recognised.

In a situation where an exchange of assets **lacks commercial substance**, the asset acquired is measured at the carrying amount of the asset given up. To determine whether an exchange transaction has commercial substance, you have to determine whether:

- The risk, timing and amount of the cash flows of the asset received differ from the risk, timing and amount of the asset transferred
- There is any change in the expected cash flows to the entity as a result of the exchange
- The change in cash flows or configuration is material.

Where an entity exchanges similar assets (for example, commodities such as oil or milk) to fulfil demand in various locations on a timely basis, the transaction has no commercial substance. In fact, no transaction has taken place

effectively, as two similar assets have been exchanged. The entity should not recognise any profit or loss (P/L). The new asset received should be measured at the carrying amount of the asset given up.

Example of recognising cost when assets are exchanged

An entity acquires an aeroplane and gives the seller a property in exchange for the aeroplane. The cost of the aeroplane to the entity that acquires it is the fair value of the property, assuming that it can be measured reliably. If the fair value of the property was CU10 million and the property had a carrying amount of CU7 million (original cost CU12 million, accumulated depreciation CU5 million), the entry relating to the acquisition of the aeroplane would be as follows:

		CU (million)	CU (million)
Dr	Aeroplane (SFP)	10	
Dr	Property – Accumulated depreciation (SFP)	5	
	CrProperty – Cost account (SFP)		12
	CrProfit on sale of property (P/L)		3

The letters in brackets next to each account indicate where that account is presented (separately, or in aggregate with similar items) in a set of financial statements. 'SFP' means the aeroplane is presented in the statement of financial position, whilst 'P/L' indicates that the profit on sale is presented in the statement of profit or loss.

If the fair value of the property could not be determined and the fair value of the aeroplane was known, the aeroplane asset would be measured at its fair value.

3.2.4 Self-constructed assets

As mentioned earlier, the cost of an item of property, plant and equipment consists of its purchase price (at the date of acquisition) and any directly attributable costs incurred in bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended. When an entity constructs its own assets (for example, a manufacturing entity builds a machine to be used in its production process), we refer to such an asset as a self-constructed asset. The key principle still applies, meaning the costs to be capitalised to the self-constructed asset are all the costs incurred to get it into a location and condition for it to be capable of being operated in the manner intended by management. It is more difficult to determine the cost of a self-constructed asset because of the difficulty in identifying and allocating the appropriate costs for capitalisation.

Where an entity manufactures items for sale in the ordinary course of business (inventory items) and keeps one of the manufactured units to use in its production process, the cost of the asset that is to be used is usually the same as the cost of the produced inventory items.

But where this is not the case, you have to follow the principles of determining the cost of manufactured inventory (refer to [Chapter 13, Inventory](#)) in order to determine the cost of a self-constructed asset. These principles state that the cost of manufactured inventory should be determined by taking into account the cost of the raw materials used, the variable production costs and an appropriate portion of the fixed overhead production costs, excluding any abnormal wastage. This gives a cost of a self-constructed asset that includes labour costs and overhead costs (such as

depreciation and rent) that were applied directly or indirectly in the production process of the asset. The cost must not include any profit or mark-up, as profit cannot be earned by transacting with oneself.

3.2.5 Imported items of plant and equipment

An imported item of plant and equipment should be measured at its cost, which is determined as the cost in the foreign currency, translated into the presentation currency (for example, rands) at the exchange rate applicable at the acquisition date. This rate is referred to as the 'spot rate'. The acquisition date is the date on which the significant risks and rewards of ownership were transferred. For example, where a machine is imported at a cost of \$50 000, and the spot rate on the date on which the machine was received and the risks and rewards of ownership were transferred was CU15.00 to \$1, the cost of the imported machine amounts to CU750 000. This cost is not changed if there are subsequent movements in exchange rates (refer to [Chapter 23](#), *Foreign exchange transactions*).

3.2.6 Costs of dismantling and removing an asset and restoring its site

At the transaction date on which an asset is initially recognised, the entity is required to estimate any costs necessary to dismantle and remove the asset, and eventually restore the site on which it was located. In some instances, an entity may incur costs when the asset is dismantled at the end of its estimated useful life before it can be sold or scrapped. The entity may also incur costs when removing the asset and restoring the site on which that asset was located. For example, where an offshore oil platform is constructed, costs may be incurred in future to dismantle and remove the platform in such a manner that the environment is not unduly damaged. The construction of the platform gives rise to a **liability for restoration**. There is a present obligation (either owing to existing legislation requiring the entity to remove the platform and restore the environment or owing to the entity creating a valid expectation that it will indeed incur these costs in future, perhaps by announcing its intentions) from a past event, which is the damage done to the environment by the construction of the platform. This type of liability is called a **provision**, as the amount and/or timing of the costs are uncertain (see [Chapter 16](#), *Provisions, contingent liabilities and contingent assets*). It is important to note that a provision can only be recognised to the extent to which the damage has already been done. A provision is never recognised for something that is going to happen in the future.

A provision is therefore credited and the cost of the platform (property, plant and equipment) must include the costs of the asset's future dismantlement and removal as well as the costs of the restoration of the environment. The expected costs, measured on a present value basis using a market-related interest rate, are capitalised into the cost of the platform, as the construction of the platform brings with it the responsibility of disposing of it. Acceptance and recognition of the responsibility (and therefore the liability) for dismantling and removing the asset are essential to bringing the asset to its location and condition of intended use (see Section 3.2.1).

Example of restoration of land

An entity is currently using a site for mining operations. The entity has an obligation to repair the site at the end of the usage period. The cost to restore this specific site is expected to amount to CU1 000 000 at the end of ten years. All the damage to the site has already occurred.

The present value of the future costs to repair the site in ten years' time should be recognised in the current year's statement of financial position as a provision, with a corresponding debit forming part of the cost of the mining asset.

The present value of CU1 000 000, payable in ten years' time, discounted back at a market interest rate of 8%, amounts to

The journal entry would be as follows:

		CU	CU
Dr	Mining asset	463 200	
	Cr Provision for repair of environmental damage		463 200

The difference between the present value of the future cost and the amount paid is a finance charge, which is recognised over the intervening period by debiting the finance expense and crediting the provision for repair of the environmental damage. The change in the provision relating to the finance charge has no impact on the carrying value of the mine.



Link to the Sustainable Development Goals

Sustainable Development Goal 15 is 'Protect, restore and promote sustainable use of terrestrial ecosystems, sustainably manage forests, combat desertification, and halt and reverse land degradation and halt biodiversity loss' (UN, 2015:14). In addition to climate change and pollution, biodiversity loss is a crisis faced by the modern world. The protection of forests, mountains and river systems is important for the future of the planet, and especially the organisms that live on it.

4 The component approach

The cost of an item of property, plant and equipment should be allocated to its different component parts. Each part should be depreciated separately when the components have different useful lives or provide benefits to the entity in a different pattern (refer to Section 6.1 for more information on depreciation). For example, where an entity acquires a printing machine, the cartridges may have a different expected useful life from some of the other components of the machine and therefore represent a separate component of the machine.

Using the component approach, the cost of using each component of the asset is allocated over its respective expected useful life and matched with the related income. Separate allocation is obviously only necessary for material items.

The cost of the entire asset should be allocated to the different components of the asset in a way that reasonably represents the cost related to each component. Identifying appropriate components depends on the type of asset as well as the estimated period and pattern of benefits expected from each component. Costs incurred for the **replacement** or refurbishment of a component of an asset should be accounted for as the acquisition of a **separate component** and the carrying amount (if any) of the replaced or renewed component should be derecognised.

For some assets, the cost of a major inspection is material. For example, aircraft must be inspected regularly, otherwise they are not allowed to be flown. Where inspection costs are incurred as a condition of the continued operation of an asset, the inspection costs may meet the definition and recognition criteria of a property, plant and equipment asset, in which case, this expenditure should be capitalised rather than expensed. These costs form a

separate component of the aircraft and should therefore be depreciated over the period until the next inspection is due.

Where inspection costs are incurred at the time of acquiring or constructing an asset, it may be difficult to distinguish the cost of the inspection from the total cost of the asset. For example, the initial cost of acquiring a machine includes the testing and inspection thereof, and perhaps the issue of a safety certificate that is valid for a certain period of time. If this period of time is much less than the estimated useful life of the asset, it can reasonably be assumed that the entity will incur the cost of a future inspection when required. If the cost of the inspection is material, the amount relating to the inspection that is included in the initial cost of the machine should be identified as a separate component. The estimated cost of a future similar inspection may be used as an indication of the cost of the existing inspection component within the carrying amount of the acquired or constructed asset.

In your assessment of whether certain costs should be identified as separate components, you should apply the cost–benefit constraint included in the *Conceptual Framework*. Components should be identified separately, based only on their materiality as well as the difference in their estimated useful lives and depreciation method.

Key principle: Cost of significant components

The cost of significant components should be identified separately so that they can be depreciated over the appropriate useful life.

The amounts not allocated to separate components should be identified as one component, which is then depreciated over the average remaining useful lives of these unallocated components.

4.1 Land and buildings

Sometimes a piece of land is acquired with a building on it. The acquisition of such a property is generally made as one transaction, but to comply with IAS 16, the two assets must be separated. This is because the building has a limited useful life and should be depreciated over that useful life to its residual value. Still, the land has an unlimited useful life and should not be depreciated. However, in some exceptional cases, land does have a limited useful life and should be depreciated (for example, quarries and sites used for landfill).

5 Subsequent costs

Costs incurred after the asset is ready for its intended use are referred to as ‘subsequent costs’. These costs are not necessary to get the asset into the location and condition necessary for it to operate, and cannot be accounted for using the same key principles as the initial costs.

Subsequent costs can be incurred either to increase the capacity or output of the asset, or to ensure the asset’s continued use and the continued flow of economic benefits to the entity. For example, an improvement cost can be incurred that results in the increase in the capacity of a machine, therefore increasing the economic benefits that will flow to the entity from these improvement costs. Similarly, a modification cost is incurred when an asset is converted from being powered by battery to being powered by electricity. In both these examples, the cost of the asset can be measured and increased economic benefits associated with the asset would probably flow to the entity, resulting in the capitalisation of these costs. Other examples of subsequent costs on property, plant and equipment that may result in an increase in future economic benefits include the upgrading of certain parts of the asset to

achieve a substantial improvement in the quality, time span or quantity of output, and the development of a new production system that results in a substantial reduction in operating costs.

The decision tree in [Figure 10.1](#) is useful in determining whether subsequent costs should be capitalised or expensed.

Figure 10.1 Determining the accounting treatment of subsequent costs



An entity should not capitalise subsequent costs that have been incurred relating to the day-to-day servicing of an asset. This includes repairs and maintenance costs, which should be expensed when incurred, as it is not sufficiently certain that these costs actually meet the general recognition principle. Costs relating to immaterial replacements and renewals of an asset should be treated as repairs and recognised as an expense when incurred. This is in line with the pervasive cost-benefit constraint included in the *Conceptual Framework*.



Key principle: Dealing with subsequent expenditure

Subsequent expenditure incurred relating to an item of property, plant and equipment should only be capitalised (added to the carrying amount of the asset) if the item meets the definition of property, plant and equipment and the recognition criteria of an asset, being that it is probable that the expenditure incurred will result in the inflow of future economic benefits embodied in the asset and that the cost of the asset can be measured reliably.

Where subsequent costs result in the reversal of a previous impairment, you should capitalise such costs to the extent that the previous impairment is reversed. You should then recognise any excess costs as an expense in the period in which they were incurred, unless they meet the normal capitalisation requirements for improvements.

In some cases, the cost price of an asset includes a payment for future service contracts (for example, a motor vehicle acquired with a five-year service plan). The service contract then represents a separate asset, being a pre-payment for future services. If it is material, the service contract component of the cost price should be identified separately and recognised as a separate asset. That asset (the pre-payment) is written off as an expense when the services are performed.

Example of subsequent expenditure

When a delivery van is serviced and the annual service costs have been incurred as part of the day-to-day usage of the delivery van, these service costs should be expensed in profit or loss when incurred.

However, suppose the delivery van's tyres are replaced. In that case, the old tyres (representing a separate component of the original cost price) should be derecognised when removed and traded in, and the cost of new tyres should be recognised as a

separate component of the carrying amount of the vehicle. The cost of new tyres is an example of subsequent expenditure that should be capitalised as a separate component and depreciated over its estimated useful life, which is different from that of the vehicle.

Suppose the delivery van is converted to a cooler truck, and it can now be used to deliver perishable goods. In that case, the usage has, however, changed, and the costs incurred to convert the delivery van to a cooler truck have improved the future benefits that can be obtained from this asset. Therefore the costs incurred to convert the van should be capitalised (added to its carrying amount). The conversion expenditure should be accounted for as a separate component of the original asset if the part of the van that was converted into a cooler truck has an estimated useful life that is different from that of the original asset, which is the delivery van.

Remember that subsequent expenditure can only be capitalised if the additional expenditure incurred also meets the definition and recognition criteria of an asset in terms of IAS 16, paragraph 2. For the conversion expenditure to be an asset, the conversion costs should be measured reliably, and the converted delivery van should result in the inflow of future economic benefits to the entity.



ETHICAL DILEMMA

Ethical dilemmas can arise when individuals within an entity misuse or misappropriate property, plant and equipment assets for personal gain. This can involve actions such as unauthorised use, theft or fraudulent reporting of assets.

Ensuring the physical security of vital assets, or safeguarding them, is an important measure that every business should take. Losing a key business asset can cripple a business or cause it to fail, and waiting until an asset is damaged before taking measures to protect it is likely to result in unnecessary repair or replacement costs. The following are examples of ways in which an entity can prolong the use of an asset:

- Ensuring that the asset is used as intended by authorised and trained employees
- Keeping a close eye on aspects such as electrical wiring, plumbing, heating and air conditioning, roofing and security
- Having a regular inspection and maintenance plan.

These controls will also assist the business in identifying when there is an indication of the impairment of an asset.

Furthermore, to ensure that damages to a key asset do not disrupt operations, the entity may consider insuring it so that it can be repaired or replaced if necessary. From an accounting perspective, the cost of insurance is recognised as an expense in profit or loss when incurred.

Any reimbursements from insurance claims are treated as a separate transaction, as discussed in Section 7.3.

6 Subsequent measurement of property, plant and equipment

An item of property, plant and equipment should be measured at cost at the transaction date. After the asset has been brought into use, the carrying amount of the asset should be determined at each subsequent reporting date, after taking into account the past usage of the asset (the accumulated depreciation) and any impairment of the asset.

IAS 16 allows for two measurement models to determine the carrying amount of property, plant and equipment at each subsequent reporting date:

- The cost model
- The revaluation model.

If the cost model is used, assets are subsequently measured at cost less accumulated depreciation and accumulated impairment losses. If the revaluation model is used, assets are subsequently measured at a revalued amount, which is its fair value at the revaluation date, less accumulated depreciation and impairment losses. The increase in the carrying amount is recognised as a gain in 'other comprehensive income' (which results in a revaluation surplus).

A particular item of property, plant and equipment cannot be measured using the revaluation model while other items of the same class are measured using the cost model. For example, all machinery should be carried at a revalued amount if the revaluation model is applied. The following are examples of groupings of assets that are of a similar nature (in other words, of the same class) and therefore must be accounted for using the same model:

- Land
- Buildings
- Machinery
- Ships
- Aircraft
- Motor vehicles
- Furniture and fittings
- Office equipment.



**Key principle:
Application of cost or
revaluation model**

An entity must choose either the cost model or the revaluation model for each class of property, plant and equipment, and that model must be applied consistently to all assets within the same class.

The selection of the measurement model forms part of the accounting policy and, as with all other policies, should be applied consistently. It should only be changed when it is required to be changed in terms of an IFRS Accounting Standard or where the new policy presents the substance of the transaction more fairly. The accounting policy chosen should be applied consistently from one period to the other and to all assets with the same classification and nature.

For both the cost model and the revaluation model, an item of property, plant and equipment should be depreciated over its useful life to its residual value. The depreciation expense is recognised in profit or loss and represents the cost of using the asset. This section will first discuss the methods of calculating depreciation as well as the methods of determining the estimated useful life and residual value of an asset. The application of the cost model and the revaluation model is discussed thereafter, when some of the more complex issues relating to the application of the revaluation model are addressed.

6.1 Depreciation

Depreciation is the expense that is recognised in profit or loss as a result of using property, plant and equipment. As explained in IAS 16, depreciation is the systematic allocation of the depreciable amount of an asset over its useful life. The depreciable amount is the cost (or other amount substituted for the cost) of an asset less its residual value.

The **residual value** is the estimated amount that an entity would obtain from selling the asset if the asset were already of the age and in the condition expected at the end of its useful life.

Depreciation

... is the systematic allocation of the depreciable amount of an asset over its useful life.

In some cases, an asset can be used to produce another asset. For example, when a machine is used in the production process, producing finished goods from raw materials, a portion of the depreciation cost of the machine is included in the production costs and capitalised in the cost of the finished goods. In this way, the depreciation cost is ultimately expensed as part of 'cost of sales' when the inventory is sold. (The allocation of depreciation expenses to the value of inventory items is discussed in [Chapter 13, Inventory](#).) All other depreciation is recognised as a direct expense in profit or loss.

The cumulative amount relating to the depreciation of an asset is reflected as 'accumulated depreciation', a credit balance that is set off against the cost of the asset to reflect the carrying amount of the asset on the statement of financial position. All depreciation, including that which is capitalised as part of the cost of inventory, is included as part of accumulated depreciation. The debit from the depreciation is either to a depreciation expense or to an asset (such as inventory), and the credit is to accumulated depreciation.

Carrying amount = Cost – Accumulated depreciation

6.1.1 Why depreciate?

Depreciation reflects the pattern in which an asset's future economic benefits are expected to be consumed through its use by the entity. Depreciation reduces the carrying amount of an asset that is recognised in the statement of financial position, representing the cost of its consumption. Depreciation should be recognised even if the fair value of the asset exceeds its carrying amount. The depreciation of an asset arises from the consumption of the asset and does not necessarily imply that the value of the asset has declined. If an asset has a limited useful life and has been used by the entity during this period, profits would be overstated if no depreciation charge were recognised.

However, land generally has an unlimited life and cannot be 'consumed' by the entity; therefore land is generally not depreciated (although where, for example, land is being mined, the useful life of the land for mining purposes could be limited).

Depreciation of certain assets can only be determined by using a substantial degree of estimation.

The depreciation expense is determined annually, based on certain estimates, including the following:

- The estimated usage pattern of the asset
- The estimated residual value of the asset
- The estimated remaining useful life of the asset
- In some cases, the estimated total production capacity of the asset.

These estimates should be revised when the circumstances on which the estimate was based have changed, or when there is new information available or more experience obtained. Changes in these estimates represent a change in an accounting estimate.

A change in an accounting estimate should not be corrected by changing any prior year's reported balances. Adjustments to comparatives are only allowed when there are errors in prior years or a change in an accounting policy. A change in an accounting estimate is not the result of an error made in prior years; it is a change in an estimate that is a result of changed circumstances and conditions. Refer to IAS 8, *Basis of Preparation of Financial Statements* (covered in [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*), which specifically addresses the disclosure requirements for changes in estimates.

The effect of a change in an estimate should be recognised when the change is identified. Adjustments are made prospectively in the period in which the estimate is amended and, if relevant, to future periods if they are also affected.



ETHICAL DILEMMA

Determining the fair value and useful life of individual assets involves subjective judgement. Ethical dilemmas may arise if there is pressure to overstate or understate the value or useful life of assets, which can impact financial statements and mislead stakeholders. A reasonable estimate requires the preparers of the financial statements to use their judgement based on the best information available at the time. The use of reasonable estimates is an essential part of the preparation of financial statements and does not undermine their reliability. An amount should not be omitted from the financial statements because it cannot be calculated accurately.

Something to think about

Allocating depreciation to inventory

Production costs can be divided into fixed and variable costs. Do you think that depreciation is a fixed or a variable cost? Where depreciation is allocated on the basis of time, it is a fixed cost. Where depreciation is allocated on the basis of the number of units produced, it is a variable cost because it would vary according to the number of units produced.

6.1.2 Depreciation methods

You can use a variety of methods to depreciate an asset. The straight-line method, the diminishing-balance method, the sum-of-the-digits method and the units-of-production method are all permissible. The method that you apply should reflect the pattern in which the entity uses the asset. If an asset is used evenly and consistently over its expected useful life, the straight-line method of depreciation, which reflects that usage pattern, is the appropriate depreciation method.

The diminishing-balance method of depreciation results in a decreasing depreciation expense each year and is appropriate if an entity derives more benefit from the use of an asset in the earlier periods.

The sum-of-the-digits method is a specific form of the diminishing-balance method. For example, if depreciation is provided for over four years, according to the sum-of-the-digits method, the sum of the digits is $4 + 3 + 2 + 1 = 10$.

In that case, $\frac{4}{10}$ of the cost of the depreciable amount of the asset is allocated in the first year, $\frac{3}{10}$ in the second year and so on. If the useful life were five years, the sum of the digits would be $5 + 4 + 3 + 2 + 1 = 15$ and $\frac{4}{15}$ would be recognised as the depreciation in the first year.

In some cases, the useful life of an asset is based on the number of units that the asset is expected to produce rather than the time period over which the asset is expected to be used. In such cases, depreciation should be based on the number of units produced during the period as a percentage of the total expected usage. This method is called the units-of-production method.

Something to watch

Watch the Learn Accounting video *Depreciation*.

Example of a change in depreciation method

A machine was acquired on 1 January 20x3 for CU300 000. It is estimated that the machine will be used over a period of five years to produce products that are similar in nature and quantity. It is also estimated that it will have a zero value at the end of the five years. The assumption is therefore that the machine will be used on a consistent basis over the five-year period, so the straight-line method of depreciation is appropriate.

At the end of the first financial year (31 December 20x3), ■■■ of the asset has been 'used', resulting in a depreciation charge of CU60 000.

The following journal entry records the usage of the machine in the first year:

			CU	CU
Dr		Depreciation (P/L)	60 000	
	Cr	Accumulated depreciation		60 000

Depreciation expense recognised

(In reality, the depreciation should ultimately be allocated to the cost of inventory, but a depreciation expense is used here as an interim account to illustrate the relevant principles more clearly.)

When the depreciation method is confirmed at the end of the second year, the journal entry listed above would be repeated, resulting in the carrying amount of the machine at 31 December 20x4 being CU300 000 – (CU60 000 × 2 years) = CU180 000.

At the end of the third financial year (31 December 20x5), when the depreciation method is reviewed, it is noted that the quantities produced by the machine vary significantly and that the total useful life is limited to the number of units that can be produced (as opposed to being limited by the time period). The application of the straight-line method of depreciation no longer reflects the consumption of the machine. At this date, the following future production levels are estimated for the machine:



Based on these estimates, the depreciation charge for the financial year that ended at

31 December 20x5 amounts to CU36 000 ■■■

The following journal entry records the depreciation charge for the 20x5 reporting year:

			CU	CU
Dr		Depreciation (P/L)	36 000	

	Cr	Accumulated depreciation		36 000
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Depreciation expense recognised

The annual depreciation expense of CU60 000 recognised in prior years has now been reduced to CU36 000 for the 20x5 year as a result of the change in the depreciation method applied. The effect of the change in estimate resulted in a reduction in the annual depreciation charge of CU24 000 (CU60 000 – CU36 000). In other words, there was an increase in the profit or loss for the year and separate disclosure of this is required by IAS 8, *Basis of Preparation of Financial Statements*. (See [Chapter 3](#), *Accounting Policies, Changes in Accounting Estimates and Errors*.)

You should not change any depreciation charges previously recorded, but the effect of the change should be recorded in the current and future years.

The effect of the change in the asset's pattern of use can be summarised as follows:



The effect of the change in estimate in the current year is a decrease in the depreciation expense amounting to CU24 000 (an increase in profits). The effect on future years is an increase in the future depreciation expense of CU24 000 (a decrease in profits).

The appropriate depreciation method as well as the production levels anticipated in the future use of the machine should be reviewed at each reporting date.

As required by IAS 8, *Basis of Preparation of Financial Statements*, the change in estimate should be disclosed as shown below.

Notes to the financial statements for the year ended 31 December 20x5



Change in estimate

The straight-line method of depreciation used in prior years to charge the usage of the machine over its expected useful life was changed during the current year, as the production levels of the machine are considered to reflect the usage pattern of the machine more accurately over its remaining useful life. The effect of the change in the depreciation method resulted in a decrease in the current year's depreciation expense of CU24 000. It is estimated that the future effect of the change will result in an increase in the depreciation expense (a decrease in profits) amounting to CU24 000 over the next two years.

6.1.3 Estimated useful life of an asset

The estimated useful life of an asset is either the **period** over which an asset is expected to be available for use by an entity or the **number of production or similar units** expected to be obtained from the asset by an entity. If it is expected that a machine will be used for ten years, then its useful life is ten years and it should be depreciated over this period to its residual value. If the straight-line depreciation method is used, then the depreciation rate will amount to 10% of the depreciable amount.

Because the useful life of an asset needs to be estimated at the time that the asset is acquired and the entity starts to use it, it is sometimes difficult to determine what the useful life of the asset will be. However, as in the case of other accounting estimates, the fact that some judgement is applied does not make the information unreliable, provided that the estimation is the best estimate at the time and takes into account all the relevant factors. The useful life (sometimes called the depreciation period) is determined according to the expected utility of the asset to the entity.

You should consider the following factors when estimating the useful life of an asset:

- The expected capacity or output of an asset, as well as whether it will be used continuously and for how long it will be used
 - The expected physical wear and tear on the asset, based on the number of shifts it will be operating and how regularly it will be repaired
 - The expected usage of the asset, based on the existence of a market for the products being produced by the asset (changes in fashion or demand may make it obsolete)
- Changes in design or improvements in the technical capabilities of new assets (new machines may be quicker and more efficient, and may make the use of an older machine obsolete)
- Whether an asset has a time limit (assets acquired under lease contracts need to be replaced or returned at the end of these contracts).

Something to think about

Useful life versus economic life

What is the difference between the useful life and the economic life of an asset? The useful life is the period that the entity expects to use the asset, while the economic life is the total lifespan of the asset. At the end of the useful life, the asset may still have some remaining economic life, which is represented by its residual value (see Section 6.1.4).

Reviewing useful life

IAS 16 requires the estimated useful life of an asset to be reviewed at least at each financial year end. If, when doing this review, you find that circumstances have changed, you should revise the estimate to take the new circumstances into account. The depreciation charge should reflect the effect of the change in the asset's estimated useful life.

Again, this represents a change in accounting estimate (refer to the earlier discussion).

Changes in accounting estimates should not affect the reported results of prior years. Changes in accounting estimates can result in an increase or decrease in the current and future depreciation expenses. This can happen when there is a change in the estimated useful life of an asset or when there is a change in the method used to depreciate an asset.

When the estimated useful life is revised, the depreciation rates for the current and future periods should be adjusted. The effect of the change in estimate should be accounted for evenly over the current and future years.

Example of a change in the estimated useful life of an asset

A machine with a cost price of CU80 000 is expected to be used for eight years, with no residual value. Using the straight-line method to calculate the depreciation, the depreciation cost per annum is CU10 000. The depreciation rate of the machine is therefore 12.5%.

At the end of the third year, it turns out that the machine has become outdated and it is expected that it can only be used for another two years (rather than another five years, as was originally estimated). Because the remaining useful life is two years, this results in a new depreciation rate of 33% if the asset is depreciated according to the straight-line basis over the current year and the two future years. (This example assumes that the asset is not impaired despite its reduced useful life.)

As the remaining useful life has been revised before the third year's financial statements have been completed, the effect of the change in the remaining useful life should be spread evenly over the remaining three years (including the current year). The carrying amount at the beginning of the current year was CU60 000, resulting in a revised depreciation charge of CU20 000 per annum for the remaining three years

Thus, the profit or loss must show a depreciation charge of CU20 000 in the current year. The depreciation charge for the current year will have increased from CU10 000 to CU20 000. The difference of CU10 000 is the effect of the change in the estimated useful life of the machine.

The journal entry in the current year would be as follows:

			CU	CU
Dr		Depreciation (P/L)	20 000	
	Cr	Accumulated depreciation		20 000

The effect of the change in the remaining useful life of the machine is summarised as follows:



The effect of the change in estimate in the current year is an increase in the depreciation expense amounting to CU10 000 (a decrease in profits). The effect on future years is a decrease in the future depreciation expense of CU10 000 (an increase in profits).

The effect of the change in estimate should be disclosed in a similar way to that illustrated in the previous example.

6.1.4 Residual value

An item of property, plant and equipment that is used by an entity should be depreciated over its expected useful life to its residual value. But what is the residual value of an asset and how is it determined? IAS 16 stipulates that the residual value is an estimation of the amount that the entity would currently obtain from the disposal of the asset less the estimated costs of disposal if the asset were already of the age and in the condition expected at the end of its useful life. This implies that the estimated **residual value** of an asset is based on the current value of the amount that the entity would recover from the asset's disposal (determined by taking into account the net proceeds achieved by similar assets that have operated under similar conditions to those in which the asset will be used). For example, if you sell a used machine and replace it with a similar, new machine, the net proceeds of the old machine that is sold, which was used under similar conditions to those under which the new machine will be used, can be used as a benchmark in estimating the residual value of the new machine. The difference between the cost price of the asset and the residual value represents the amount that would be depreciated over the estimated useful life of the asset.

This is referred to as the **depreciable amount**:

$$\text{Cost price} - \text{Residual value} = \text{Depreciable amount}$$

Normally, the residual value of an asset is insignificant and can be ignored. This is the case when the asset is expected to be **scrapped** at the end of its useful life. However, some assets may have a resale value at the end of their useful life, even if they have become obsolete for the entity's purposes. For example, if the entity can no longer use a photocopier as it has become too slow, it may still be useful to another entity and be sold at some value, called its residual value. In many cases, the scrap metal value of machinery is significant and should therefore be included in estimating the residual value.

The residual value should be estimated at the date of acquisition and should be reviewed at each subsequent reporting date, **along with the useful life and depreciation method estimates**. Determining the residual value of an asset is a matter of judgement and the best information available at the time should be used. Any changes in the residual value should be applied prospectively, which implies adjusting only the current and future periods as a change in accounting estimate.

Do not confuse changes in the residual value of an asset with impairment of an asset. Impairment losses occur when the recoverable amount of the asset is lower than its carrying amount and they are recognised when they are identified (refer to [Chapter 15](#), *Impairment of assets*, for more information on impairments). However, adjustments to the residual value of an asset affect the current and future depreciation charges of the asset.

Example of depreciation where the asset has a constant residual value

An entity acquires a machine in year 1 at a cost price of CU80 000. Management estimates that the entity will use this machine for eight years, and that it will be able to sell the machine at the end of the eighth year for a present value of CU15 000 and incur disposal costs of CU5 000. The residual value is therefore expected to be CU10 000.

The value of the machine that you will 'use' over the eight-year period is CU70 000 (CU80 000 – CU10 000). This is the depreciable amount and it represents the cost of using the machine.

Thus, to depreciate the machine over the eight years on the straight-line basis, the annual depreciation cost is ■■■■

This must be recognised as an expense in profit or loss.

At the end of the eight years, the carrying amount of the asset should equal the residual value of CU10 000, which should theoretically equal the net amount from the sale. If the amount is higher or lower, that will give rise to a profit or a loss.

Example of a change in the estimated useful life and residual value of an asset

A machine has a cost price of CU80 000 at the beginning of 20x3. At the acquisition date, you estimated that this machine had a useful life of eight years with a residual value of CU10 000 at the end of this period.

The depreciable amount is therefore CU70 000 (CU80 000 – CU10 000). The annual depreciation amounted to ■■■■ and the carrying amount at the end of the second year (20x4) amounted to CU62 500 (CU80 000 – [8 750 × 2 years]).

But at the beginning of the third year (20x5), owing to unforeseen wear and tear on the machine, you estimate that it has a remaining useful life of only three years. In addition, you estimate that the machine no longer has a residual value of CU10 000 at the end of the next three years, as the wear and tear has been too intense. You estimate that the machine will now have a residual value of only CU2 000.

The accumulated depreciation for the first two years would be CU17 500. Therefore, the carrying amount of the asset at the beginning of the third year would be CU62 500 (CU80 000 – CU17 500). The carrying amount of CU62 500 less the adjusted residual value of CU2 000 should be depreciated over the remaining useful life of three years. If the effect of this change is recognised in the current and future years, the annual depreciation charge in the current and future years will be ■■■■ leaving a residual value of CU2 000 at the end of three years.

The journal entry for 20x5 depreciation would be as follows:

			CU	CU
Dr		Depreciation (P/L)	20 167	
	Cr	Accumulated depreciation		20 167

The annual depreciation expense has therefore increased from CU8 750 to CU20 167 owing to a change in the expected remaining useful life of the asset as well as the residual value of the asset. The change in the residual value of the asset resulted in an increase in the depreciable amount of the asset of CU8 000 (CU10 000 – CU2 000). This means that the cumulative effect of the change in both estimates over the current and future years is that an additional CU8 000 depreciation will be expensed.

The effect of the change in the remaining useful life of the machine is summarised as follows:



The effect of the change in estimate in the current year is an increase in the depreciation expense amounting to CU11 417 (a decrease in profits). The effect on future years is a decrease in the future depreciation expense of CU3 417 (an increase in profits). Note that the net effect in current and future years is equal to the change in the residual value (and therefore the depreciable amount) of CU8 000 (CU11 417 – CU3 417).

The effect of the change in estimate should be disclosed in a similar way as that illustrated in the previous example.

The machine will be disclosed as follows in the notes to the financial statements:



6.1.5 When to begin depreciating

Depreciation of an asset should begin when the asset is available for use (when it is in the location and condition necessary for it to operate in the way in which management intends it to operate), which may possibly be before the asset is actually brought into use. However, if the depreciation method is based on the output of the asset, depreciation will only commence when production starts and units are being produced.

6.1.6 When to stop depreciating

Unless an item of property, plant and equipment has already been fully depreciated, depreciation on that item should continue even if it becomes temporarily idle or is retired from active use (unless, of course, the depreciation method is based on units produced). If an asset is not being used, this may be an indication that it is impaired. Such an asset should be tested for impairment at the reporting date (see [Chapter 15](#), *Impairment of assets*, for more information).

Depreciation should continue until the asset is fully depreciated or sold, except if an asset is classified as being held for sale, in which case depreciation will stop. An asset should be classified as being held for sale if its carrying amount will be recovered principally through a sale transaction rather than continuing use. This will apply only if it is available for sale in its present condition and the sale is highly probable (refer to [Chapter 21](#), *Non-current assets held for sale and discontinued operations*, for more information).

As mentioned earlier, the entity has a choice on the measurement basis to be adopted when determining the carrying amounts at each subsequent reporting date. The two measurement models prescribed in IAS 16 are the cost model and the revaluation model. These measurement models are covered in Sections 6.2 and 6.3.

6.2 The cost model

The cost model requires assets to be recognised at cost less accumulated depreciation and accumulated impairment. This approach is also sometimes referred to as the historical cost basis, as the assets are recognised at their historical cost at subsequent reporting dates less the portion of that cost that is written off over the expected useful life of the asset to its residual value. No adjustments are made for any increase in the value of the asset.

The residual value, the estimated useful life and the depreciation method must be reassessed at least once a year, and any changes must be made prospectively (that is, in the current and future reporting periods).

Example of the application of the cost model

The cost price minus accumulated depreciation gives the carrying amount of the asset.



Thus, the machine will be recognised at the carrying amount of CU100 000 at 31 December 20x1, the first reporting date since acquisition. The table that follows summarises the carrying amount for each subsequent year of the useful life of the asset, assuming that there are no impairment losses.



The depreciation expense in the last year (31 December 20x6) was for only six months, as the useful life of the machine ended on 30 June 20x6. At this date, the residual value of the machine was CU10 000. The carrying value is therefore equal to the anticipated residual value at the end of its useful life.

A machine was acquired on 1 July 20x1 at an original cost price of CU110 000. The expected useful life of the machine is five years. It is expected that at the end of this period, the machine will have a residual value of CU10 000. As is required, the residual value and estimated remaining useful life were reconsidered annually. No changes were required.

The presentation in the financial statements for the year ended 31 December 20x5 is shown below.

Statement of financial position as at 31 December 20x5



6.3 The revaluation model

Property, plant and equipment may be reported at a revalued amount that is its fair value at the date of the revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses. When a policy of revaluation is applied, you should revalue an asset to its fair value at regular intervals so that the carrying amount closely approximates the fair value. Revaluations every three to five years may be sufficient for some assets, while assets that fluctuate significantly in value need to be revalued annually. The recognition of an asset at its fair value is in line with the principle of recognising assets and liabilities at a market-related value. This also results in a depreciation expense that reflects the usage of the asset based on current asset prices, rather than on outdated, historical cost prices.

When an asset is revalued, the entire class of assets must be revalued. You cannot apply the revaluation model only to some assets while other similar assets are recognised using the cost model. In other words, you cannot mix the measurement bases within similar classes of assets. You must apply the same measurement basis to all assets within a class. However, you can use different measurement bases for different classes of assets, where appropriate. For example, it may be more appropriate to use the revaluation model for land and buildings, but the cost model for plant and machinery.

When using the revaluation model, it is important to keep a record of the original cost of the item of property, plant and equipment, and to calculate what the annual depreciation would have been if the revaluation had not occurred. IAS 16 requires the carrying amount that would have been recognised under the cost model to be disclosed in the notes to the financial statements (refer to Section 9.2 for a more detailed discussion of the disclosure requirements).

6.3.1 Determining fair value for the purposes of revaluation

The fair value of land and buildings is normally the market value. It can be obtained by getting a professional appraiser to determine the market value. The fair value of other items of property, plant and equipment (which is the price that would be received when selling the asset in an orderly transaction between market participants at the revaluation date) should also be the market value of these items. Information on the determination of fair value, and related disclosure requirements, can be found in [Chapter 4](#), *Fair value measurement*.

In cases where the market value is not readily available, it would not be correct to base the fair value of the item being revalued on the cost of a new asset, as the owned asset is not new. The cost of a new asset (referred to as the 'gross replacement cost' of an asset) should be adjusted to take into account the fact that the asset being revalued has been used for a certain period of time.

Gross replacement cost = Fair value of a brand new unused asset

**Proportionally restated depreciation = Depreciation on the above asset calculated
as if it is as old as the asset the entity actually owns**

**Depreciated replacement cost = New carrying amount that will represent the values
of the asset after revaluation**

The gross replacement cost of a new asset should therefore be adjusted to the depreciated (or net) replacement cost based on the age of the existing asset. As a guideline, it is appropriate to determine the fair value by applying the remaining useful life of the existing asset as a proportion of the total useful life to the gross replacement cost of a

new asset. When determining the depreciated replacement cost, you must also consider the estimated residual value and the manner in which it would be used.

$$\text{Gross replacement cost} - \text{Proportionately restated accumulated depreciation} = \text{Depreciated replacement cost}$$

Example of determining the fair value of a specialised asset

A highly technical machine with a cost price of CU100 000 was acquired on 1 January 20x3. The machine had an estimated useful life of ten years with no residual value, and the entity has always applied a policy of revaluation every three years.

At the end of the third year, the carrying amount of the machine was CU70 000 and its estimated remaining useful life was seven years. The cost of a similar, new machine was determined at CU140 000.

It would be incorrect to revalue the machine to CU140 000, as this is the cost of a new, unused machine. The fair value of the machine is the depreciated replacement cost of a new machine, which is calculated by applying the remaining useful life of seven years to the cost of a new machine. The fair value of the machine (the depreciated replacement cost) is estimated at [REDACTED]

6.3.2 Recognition of the revaluation amount

Every time an asset is revalued, the fair value is compared to the carrying amount and the difference (revaluation gain or loss) is included in **other comprehensive income** (OCI), which is then closed off to a separate reserve, referred to as a revaluation surplus, in the statement of changes in equity. Therefore, movements in the revaluation surplus result from movements in other comprehensive income.

If the fair value of the asset is below the historical cost carrying amount, the asset is impaired. The historical cost carrying amount is the carrying amount calculated using the cost model described in Section 6.2. (The effect of an impaired asset is addressed in Section 7.2.)

The revaluation surplus may be transferred when it is realised (when the asset is used or sold), in which case a transfer must be made directly to retained earnings (in the statement of changes in equity). (See Section 6.3.5 for the subsequent treatment of the revaluation surplus.)

The revaluation surplus is recognised net of deferred tax (see [Chapter 18](#), *Income taxes*).

6.3.3 Treatment of accumulated depreciation at revaluation

When you revalue an asset, it should be valued at the fair value of that asset at the revaluation date. As mentioned earlier, you should determine the **fair value** as either the market value of the asset determined in an orderly transaction between market participants or, where this cannot be determined owing to a limited market, as the cost of a new, similar asset adjusted for appropriate depreciation to its current (depreciated) replacement cost. The revaluation model requires you to restate the carrying amount of the asset (cost less accumulated depreciation) to its fair value.

When you are revaluing an asset, IAS 16 gives you two options for recording the cost and accumulated depreciation in the financial statements, and then disclosing this information in the notes to the financial statements:

- Restate the **gross carrying amount** (in other words, the original cost) proportionately in a manner that is consistent with the revaluation of the carrying amount. The accumulated depreciation is adjusted to equal the difference between the gross carrying amount and the carrying amount.
- **Eliminate** the accumulated depreciation against the cost account of the asset.

The option of proportionately restating the gross carrying amount is normally chosen when an entity revalues to a depreciated replacement cost (in other words, when a fair value is not available), whereas the option to eliminate the accumulated depreciation against the carrying amount of the asset is normally used for an asset that is revalued to its market value (for example, a building).

The difference between these two options is the journal entries that are processed when the asset is revalued, and the way in which you disclose revalued cost and accumulated depreciation. If you decide to restate the gross carrying amount proportionately, the asset's cost would be the replacement cost of a new asset (gross replacement cost) and the accumulated depreciation would be restated accordingly. This option provides a clearer indication of the age of an asset compared to the second option, which requires you first to reverse any accumulated depreciation of the asset against its carrying amount; this results in the 'cost' account of the asset being equal to its carrying amount, which would then be revalued to its fair value.

The following journal entry restates the **gross carrying amount** proportionately at the revaluation date:

Dr	Asset (increasing the balance to gross replacement cost)
	Cr Accumulated depreciation (increasing the balance proportionate to accumulated depreciation)
	Cr Revaluation gain (OCI) (difference between the depreciated replacement cost and the carrying amount of the asset)

The following journal entries are used when **eliminating accumulated depreciation** at the revaluation date:

Dr	Accumulated depreciation (balance prior to revaluation)
	Cr Asset (reducing cost of the asset to its carrying amount)

And:

Dr	Asset (with difference between the depreciated replacement cost and carrying amount of asset)
	Cr Revaluation gain (OCI) (difference between the depreciated replacement cost and the carrying amount of asset)

The net effect of both of these sets of journal entries is that the revaluation gain recognised in other comprehensive income is the same. These journal entries are explained further in the example that follows.

How the accumulated depreciation is treated at the revaluation date has no effect on the revaluation surplus that is ultimately recognised. However, the information supplied in the notes to the financial statements relating to the revalued cost and the accumulated depreciation of the asset is substantially different. Application of the option to

eliminate the accumulated depreciation prior to revaluation could give the misleading impression that the asset was new, as there is no balance for accumulated depreciation, but this would not be the impression if both the cost price and accumulated depreciation were proportionately restated. Users of the financial statements would therefore be likely to find the restatement of the cost price and accumulated depreciation more meaningful when they are attempting to determine the average age of the assets of the entity. This distortion is also slightly mediated by the fact that IAS 16 requires historical cost carrying amounts to be disclosed in the notes where the revaluation method is used.

Example of treatment of accumulated depreciation when revaluing an asset (ignoring any tax implications)

Machinery with a cost price of CU500 000 and accumulated depreciation of CU100 000 is revalued when the replacement cost of a similar new machine is CU750 000. The machinery was acquired two years ago. Its estimated useful life was determined at ten years. Assume that the machinery has no residual value.

The remaining useful life of the machinery is therefore eight years and the carrying amount of the asset prior to the revaluation is [REDACTED]

The fair value (the depreciated replacement value) of the asset is [REDACTED]

The revaluation gain is the fair value minus the carrying amount, amounting to

$$\text{CU}600\,000 - \text{CU}400\,000 = \text{CU}200\,000.$$

The following is a summary of the historical carrying amount (based on the cost model), the revalued carrying amount and the revaluation surplus at the revaluation date:



Using the option of restating the gross carrying amount proportionately

The machinery would be revalued to the fair value of CU600 000 by increasing the cost account of the machinery to CU750 000 and the accumulated depreciation to CU150 000. The gross carrying amount would be restated proportionately, resulting in both the cost account and accumulated depreciation being restated by 50%. The following journal entry would record the revaluation:

			CU	CU
Dr		Machinery	250 000	
	Cr	Accumulated depreciation		50 000
	Cr	Revaluation gain (OCI)		200 000

Revaluation of machine by proportionately restating the gross carrying amount of the asset and accumulated depreciation

This journal entry shows an increase in the cost of the machinery from CU500 000 to CU750 000 and an increase in the accumulated depreciation from CU100 000 to CU150 000, and it records the revaluation gain of CU200 000. The revaluation gain is equal to the increase in the carrying amount from CU400 000 to the fair value of CU600 000.

Using the option of eliminating the accumulated depreciation

When using this option, you should eliminate the accumulated depreciation against the cost account prior to the revaluation.

			CU	CU
Dr		Accumulated depreciation	100 000	
	Cr	Machinery		100 000

Revaluation of machine by eliminating the accumulated depreciation against the cost of the asset

The effect of this journal entry is to reverse the accumulated depreciation of the machinery prior to the revaluation against the cost account, resulting in the machinery being recorded at the carrying amount of CU400 000.

The carrying amount is then increased to the fair value and the revaluation gain in other comprehensive income is adjusted accordingly. The fair value at the date of revaluation is now the gross amount of the machinery.

			CU	CU
Dr		Machinery	200 000	
	Cr	Revaluation gain (OCI)		200 000

Revaluation of machine by increasing the carrying amount of the asset

This journal entry records the increase in the carrying amount of the machinery from CU400 000 to CU600 000 by the revaluation gain of CU200 000.

Closing journal entry

In both cases, the following closing journal entry transfers the revaluation gain in other comprehensive income to the revaluation surplus (in the statement of changes in equity):

			CU	CU
Dr		Revaluation gain (OCI)	200 000	
	Cr	Revaluation surplus		200 000

Comparing the two bases

The difference between the two bases can be summarised as follows:



Notes

1 The balance of accumulated depreciation is zero, as the accumulated depreciation has first been eliminated against the cost account prior to the revaluation. When the asset is depreciated after the revaluation, this account should be credited again (see Section 6.3.4). As the balance of accumulated depreciation is zero, the user of the financial statements may incorrectly assume that this is a new asset, whereas the option of proportionate restatement of the gross carrying amount results in a fairer indication of the age of the asset.

The carrying amount of the machinery is the same under both bases, as is the revaluation gain in other comprehensive income and therefore the revaluation surplus of CU200 000.

6.3.4 Depreciating a revalued asset

A revalued item of property, plant and equipment should be depreciated in a similar way to an asset recognised at cost. The revalued amount of the asset should be depreciated over the asset's estimated remaining useful life to its residual value, resulting in a systematic allocation of the fair value of the asset over the period that economic benefits are expected to be received from the asset. You should continue to accumulate the depreciation charge in the accumulated depreciation account.

Example of depreciating a revalued asset

The machinery in the previous example had a remaining useful life of eight years after being revalued to the fair value of CU600 000. If we assume that the revaluation was made at the beginning of the current year, the depreciation expense recognised in the

profit or loss in the current year (under both options) would amount to 

The following journal entry would record the depreciation charge in the current financial year:

			CU	CU
Dr		Depreciation expense (P/L)	75 000	
	Cr	Accumulated depreciation		75 000

Depreciation should be included in the statement of profit or loss and other comprehensive income as follows:

	CUrrent year	Prior year
	CU	CU
Depreciation	75 000	50 000

Applying the proportionate restatement of accumulated depreciation, disclosure in the notes to the financial statements at the end of the current year would be as follows:



6.3.5 Subsequent treatment of a revaluation surplus and deferred tax implications

When the revaluation model is used, the increase in the carrying amount is recognised as a revaluation gain after any deferred tax implications (both recognised in other comprehensive income) and taken to the revaluation surplus (net of any deferred tax adjustments). The revaluation surplus is shown as a separate credit balance in equity and can never be a debit balance.

A specific requirement relating to the subsequent treatment of the revaluation surplus is that any direct transfer from the revaluation surplus to retained earnings cannot be recognised as profit or loss, or other comprehensive income. In other words, the transfer is reflected only in the statement of changes in equity. The **revaluation surplus** may be transferred to retained earnings as and when it is realised. Realisation occurs only when the asset is sold or when the reserve is realised through use. This transfer is optional and forms part of the accounting policy decision relating to the revaluation model.

You have the following options regarding the subsequent treatment of the revaluation surplus:

- Maintain the revaluation surplus as an equity item without any changes to the balance (irrespective of the fact that the entity is using the asset or has sold the asset).
- Transfer a portion of the revaluation surplus to retained earnings as the entity uses the asset (each year transferring an amount that is equal to the revaluation portion of the depreciation).
- Transfer the entire revaluation surplus when the asset is sold (assuming no impairment losses arise, the revaluation surplus will be credited each time the asset is revalued and debited in full when the asset is sold, with the corresponding credit being taken directly to retained earnings).

Example of transferring a portion of the revaluation surplus (ignoring any tax implications)

In the previous example, the machine with a carrying amount of CU400 000 was revalued to a fair value of CU600 000, resulting in a credit to the revaluation surplus of CU200 000 (CU600 000 – CU400 000).

When a revalued asset is depreciated in the current year, it is acceptable to transfer some of the revaluation surplus to retained earnings. If the entity's policy is to transfer

the revaluation surplus as the asset is depreciated, the following additional journal entry would be required:

			CU	CU
Dr		Revaluation surplus	25 000	
	Cr	Retained earnings		25 000

The realised portion of the revaluation surplus was transferred to retained earnings

The CU25 000 was calculated as the difference in depreciation using the revaluation model as opposed to the cost model (CU75 000 – CU50 000). This implies that the revaluation surplus is transferred to retained earnings as the asset is used, and would result in the systematic transfer of the revaluation surplus to retained earnings over the asset's eight years of remaining useful life.

Assume that the profit or loss in the statement of profit or loss and other comprehensive income amounted to CU480 000 for the current year, resulting in the total comprehensive income for the current year of CU680 000 (CU200 000 [other comprehensive income] + CU480 000 [profit or loss]). Disclosure in the statement of changes in equity will then be as shown below.

Statement of changes in equity



If the asset had not been revalued, the historical carrying amount at the end of year 3 would have been . The revalued carrying amount is CU525 000 (which is).

The difference between the revalued carrying amount and the historical carrying amount is equal to the revaluation surplus of CU525 000 – CU350 000 = CU175 000, as the portion realised as a result of the revaluation portion of the depreciation has been transferred. These calculations can be summarised as follows:



Deferred tax implications

IAS 16 requires the increase in the carrying amount of a revalued asset to be credited to other comprehensive income rather than through profit or loss. The effect of any taxes on income must be accounted for in accordance with IAS 12, *Income Taxes* (refer to [Chapter 18](#)). When an item of property, plant and equipment is revalued and the revaluation causes a change between the tax base and the carrying amount of the asset, giving rise to a **temporary difference**, a **deferred tax liability** should be recognised. As the underlying transaction is recognised in other comprehensive income (as a revaluation gain), the tax effect is also recognised in other comprehensive income.

This principle is illustrated further in the more comprehensive example that follows, where the asset is revalued at two intervals.

Example of the subsequent treatment of the revaluation surplus and deferred tax implications

An entity bought a machine for CU100 000 on 1 January 20x0. The machine is expected to have a total useful life of ten years and no residual value. In terms of the entity's policy, the asset is revalued every three years to its fair value, based on the depreciated (or net) replacement cost of an identical asset at that date. Assume a normal tax rate of 27% and that the depreciation rates applied for this machine are equal to its wear and tear allowance.

The gross replacement cost of a similar new asset was CU120 000 on 1 January 20x3 and CU150 000 on 1 January 20x6.

The depreciated replacement cost (the fair value) can be calculated by multiplying the gross replacement cost at the date of revaluation by the remaining useful life of the asset:



The revaluation surplus at the date of revaluation would be the difference between the carrying amount at that date and the revalued amount (the fair value). When the second revaluation takes place, the carrying amount would be the revalued carrying amount prior to the second revaluation and not the historical carrying amount.

The easiest way to keep track of the calculations is to draw up a table with the carrying amount as recognised in the financial statements (based on the revalued carrying amount), the historical carrying amount (which has to be disclosed) and the revaluation surplus. Up to the date of the first revaluation, the carrying amount and the historical carrying amount will be the same.



When the revaluation surplus is transferred as the asset is depreciated, the amount transferred is the difference between the historical depreciation and the depreciation actually provided. This is known as the revaluation depreciation, which is the additional depreciation arising from the revaluation.

If the revaluation surplus is transferred as the asset is depreciated, the balance on the revaluation surplus is equal to the difference between the revalued carrying amount and the historical carrying amount (less any deferred tax that has been provided). If the asset were kept until it was fully depreciated, the carrying amount and the historical carrying amount would both be zero at that point. The revaluation surplus is also zero. This illustrates why it is acceptable to transfer a portion of the revaluation surplus as the asset is depreciated.

When the second revaluation took place, the credit to the revaluation surplus (CU12 000 × 73%) was the after-tax difference between the carrying amount prior to the

revaluation (CU48 000) and the revalued amount (CU60 000). The amount transferred to the revaluation surplus is obviously the same irrespective of the accounting policy relating to the transfer of the revaluation surplus.

If the asset were sold at 31 December 20x6, the profit on the sale would be the difference between the proceeds on the sale and the carrying amount of CU45 000. This profit should be recognised in profit or loss.

The revaluation surplus balance at that date may be transferred to retained earnings. The amount transferred would obviously depend on what had already been transferred. Theoretically, it is possible to keep a revaluation surplus even once an asset has been sold. In practice, the revaluation surplus is likely to be transferred either to retained earnings or to some other type of reserve. The transfer to retained earnings from the revaluation surplus may not be done through profit or loss (IAS 16, paragraph 41).

As the entity has a choice of policy, it is important to find out what policy has been selected and to apply that particular policy consistently for similar assets.

The journal entries required to record the revaluation (assuming that the carrying amount is increased to the gross replacement value of the asset) are shown below.

When revalued on 1 January 20x3:

			CU	CU
Dr		Machine (120 000 – 100 000)	20 000	
	Cr	Accumulated depreciation		6 000
	Cr	Revaluation gain (OCI)		14 000
			CU	CU
Dr		Deferred tax (OCI)	3 780	
	Cr	Deferred tax (SFP)		3 780

When revalued on 1 January 20x6:

			CU	CU
Dr		Machine (150 000 – 120 000)	30 000	
	Cr	Accumulated depreciation		18 000
	Cr	Revaluation gain (OCI)		12 000
			CU	CU
Dr		Deferred tax (OCI)	3 240	
	Cr	Deferred tax (SFP)		3 240

In addition, the following journal entry is recorded for the year ended 31 December 20x6:

			CU	CU
Dr		Depreciation (P/L)	15 000	
	Cr	Accumulated depreciation		15 000

The following closing journal entries are recorded at 31 December 20x6:

			CU	CU
Dr		Revaluation gain (OCI)	12 000	
	Cr	Deferred tax (OCI)		3 240
	Cr	Revaluation surplus		8 760

Closing balances in other comprehensive income (CU12 000 × 73%) to revaluation surplus

And:

			CU	CU
Dr		Revaluation surplus	3 650	
	Cr	Retained earnings		3 650

Transferring portion of revaluation surplus after tax (CU5 000 × 73%) to retained earnings

The above should be disclosed as follows, assuming that the entity applied the policy to transfer a portion of the revaluation surplus as the asset is depreciated.

Statement of financial position as at 31 December 20x6



Notes to the financial statements

Note 2: Accounting policy: Property, plant and equipment

Machinery is shown at revaluation less accumulated depreciation. Machinery is depreciated over its expected useful life of ten years on the straight-line basis. An appropriate portion of the revaluation surplus arising from the revaluation of machinery is transferred to retained earnings as the asset is depreciated.

Note 2: Property, plant and equipment (using the option to restate accumulated depreciation proportionately)



Note 3: Revaluation surplus

6.3.6 Significant decreases in the carrying amount of a revalued asset

When items of property, plant and equipment are accounted for using the **revaluation model**, resulting in the recognition of a revaluation surplus at the reporting date, the revaluation surplus will be a net credit balance (the revaluation surplus less transfers to retained earnings, if any).

The revaluation surplus recognised in equity cannot have a net debit balance. If, in subsequent years, there is a decrease in the fair value of an asset, the decrease should first be debited to other comprehensive income to the extent of any balance in the revaluation surplus account, and any excess should be recognised as an expense in profit or loss. The same principle applies again when, thereafter, the revaluation adjustment results in an increase in the carrying amount. The credit should first be recognised in profit or loss to the extent that it reverses the previous expense. The excess should be taken to other comprehensive income and accumulated in the revaluation surplus.

Example of the revaluation of an asset and the subsequent decrease in its fair value (ignoring tax implications)

A Ltd applies the policy of revaluation to all items of property, plant and equipment.
Ignore any tax implications.

The entity owns a piece of land that was originally bought at a cost price of CU500 000 and revalued to its fair value of CU800 000. The following journal entry records the revaluation of CU800 000 – CU500 000 = CU300 000:

			CU	CU
Dr		Land	300 000	
	Cr	Revaluation gain (OCI)		300 000

Revaluation of land to its fair value of CU800 000

Three years after the previous revaluation, the land was written down to its fair value of CU450 000. The following journal entry records the subsequent revaluation adjustment of CU350 000 (CU800 000 – CU450 000):

			CU	CU
Dr		Revaluation loss (OCI)	300 000	
Dr		Impairment loss (P/L)	50 000	
	Cr	Accumulated impairment		350 000

Revaluation of land to its fair value of CU450 000

The revaluation surplus **cannot have a debit balance**. The balance on the revaluation surplus is reduced to zero by debiting other comprehensive income with the impairment of the land and recognising the balance (which reflects an impairment of the land below its original cost price) as an impairment loss in the profit or loss section.

Statement of changes in equity

At the beginning of year 7 (another three years after the previous revaluation), the fair value of the same land is determined at CU650 000. The following journal entry records the new revaluation adjustment of CU650 000 – CU450 000 = CU200 000:

			CU	CU
Dr		Accumulated impairment	200 000	
	Cr	Reversal of impairment (P/L)		50 000
	Cr	Revaluation gain (OCI)		150 000

The impairment loss (the expense) previously recognised in the profit or loss section is first reversed. The balance is then recognised in other comprehensive income. The difference between the fair value of the land (CU650 000) and its original cost (CU500 000) is correctly recognised as the balance of the revaluation surplus of CU150 000.

It is unlikely that the value of a piece of land would fluctuate to this extent, but this example illustrates how the revaluation surplus should be treated. Remember that the frequency of revaluations should depend on the volatility in the market value or the fair value of the asset. If the fair value has fluctuated significantly since the previous valuation, it may be an indication that the asset needs to be revalued at more frequent intervals.

7 Impairments

In accordance with IAS 36, *Impairment of Assets*, every asset recognised on the statement of financial position at the reporting date should be considered for any possible impairment. (Refer to the discussion in [Chapter 15](#), *Impairment of non-current assets*.)

7.1 Determining the recoverable amount

The **recoverable amount** of an asset is the greater of its **value in use** and its **fair value less costs to sell**. The value in use of an asset is the net present value of the estimated future cash flows that are expected to arise from the continued use of the asset and from its disposal at the end of its useful life. The fair value less costs to sell is the amount obtainable from the sale of the asset less the costs of disposal. You should measure the recoverable amount for each item of property, plant and equipment every time an impairment loss test needs to be done. Generally speaking, this is when there is an indication that the carrying amount of an asset may be impaired. (See [Chapter 15](#), *Impairment of assets*, for more details.)

**Key principle:
Valuing an asset**

An asset cannot be recognised at an amount that is greater than the maximum future economic benefits expected to be received. The maximum value of the expected future economic benefit is called the recoverable amount.



ETHICAL DILEMMA

Assessing whether there is impairment in the value of an asset requires judgement and estimation. Ethical dilemmas can arise if there is pressure to delay or manipulate impairment recognition to maintain higher asset values, potentially misleading investors and stakeholders.

7.2 Recognising impairment losses

When the recoverable amount of an asset is lower than its carrying amount, you should reduce its carrying amount to this recoverable amount. The difference between the recoverable amount of the asset and its carrying amount represents an impairment loss that must be recognised in the statement of profit or loss and other comprehensive income. When you recognise an impairment loss, you should recognise a credit for accumulated impairment.

Accumulated impairment can either be recorded in a separate general ledger account, or it can be added to the accumulated depreciation account. These accounts will be disclosed together in the property, plant and equipment note to the statement of financial position, as the carrying amount of the asset is reduced by the impairment loss.

The journal entry to record an impairment loss is as follows:

Dr		Impairment loss (P/L)
	Cr	Accumulated impairment

If the recoverable amount of the asset subsequently increases above its carrying value, the previous impairment loss recognised should be reversed. However, in the case of property, plant and equipment accounted for using the cost model, the reversal is limited in that the carrying value of the asset cannot exceed what it would have been had the asset never been impaired, but depreciation had continued as before. (Refer to the discussion in [Chapter 15](#), *Impairment of non-current assets*, for a more detailed explanation of the treatment of reversals of impairment.)

7.3 Compensation for impairments

Circumstances may arise where an entity receives compensation for the impairment of an asset. For example, a machine was impaired as a result of a fire in a factory, but the machine was insured and the insurer subsequently compensated the entity for the loss of the machine. Where an item of property, plant and equipment has been impaired and the entity receives compensation from a third party, you should treat this as a separate economic event from the impairment or loss of the item of property, plant and equipment. This implies that you should not combine the recording of an impairment of an asset with the related compensation received from a third party. An impairment of an item of property, plant and equipment should be recognised when the impairment is identified at each reporting date, irrespective of the fact that compensation is expected. The compensation received from a third party should be included in the profit or loss for the period in which it is received.

Example of impairment of property, plant and equipment

A machine was acquired on 1 July 20x1 at a cost price of CU100 000. At that stage, the total useful life of the machine was estimated at ten years, resulting in an annual depreciation expense of CU10 000 (assuming no residual value) and a carrying amount of the machine of CU55 000 at 31 December 20x5 (four and a half years later).

An impairment test was done at 31 December 20x5. It was established that the machine had a fair value less costs to sell of CU30 000 and a value in use of CU48 000.

Therefore, the recoverable amount of the machine was CU48 000.

The impairment loss at 31 December 20x5 amounts to CU7 000 (CU55 000 – CU48 000) and should be credited to the accumulated impairment account, which is disclosed together with the accumulated depreciation account at that date. The impairment loss should be recognised in the profit or loss section, as the asset has not been revalued previously.

			CU	CU
Dr		Impairment loss (P/L)	7 000	
	Cr	Accumulated impairment		7 000

At 31 December 20x5, the machine was recognised at its carrying amount of CU48 000.

Where an impaired asset has subsequently been retired or disposed of, you should record this retirement or disposal as a separate economic event at the time when the asset is retired or disposed of, irrespective of any compensation that is expected relating to the asset. Similarly, the restoration, acquisition or construction of a new asset to replace an impaired asset should be recorded as a separate asset at the time of the transaction. It should not be combined with the impaired asset. (Refer to the discussion and example in [Chapter 15](#), *Impairment of non-current assets*.)

8 Derecognition of property, plant and equipment

When an item of property, plant and equipment no longer meets the definition and recognition criteria of an asset, it should no longer be recognised as an asset. This should occur when the item is permanently withdrawn from use or it is disposed of and no future economic benefits are expected from it.

8.1 Sale of property, plant and equipment

When an asset is sold, the carrying amount at the date of the sale should be calculated. This implies that the asset should be depreciated for the period up to the date of sale. The difference between proceeds received from the sale of the asset and the carrying amount of the asset is the profit or loss on the disposal of the asset, which should be recognised in profit or loss in the statement of profit or loss and other comprehensive income.

Net proceeds received – Carrying amount = Gain or loss on disposal of asset

The disposal of an asset should be recognised when the sale occurred, which is when control of the asset was transferred to the buyer and the entity has no further managerial involvement in the asset. However, in order to recognise the disposal proceeds, the consideration receivable should be measurable and the receipt of the amount should be probable. The net disposal proceeds are made up of the amount receivable from the sale of the asset less any costs incurred by the entity when selling the asset. The consideration receivable is initially recognised at fair value. When payment is deferred, the consideration received is recognised as the cash price equivalent. This implies that you should determine the present value of the consideration received, and the difference between the cash price equivalent and the nominal amount of the consideration received should be recognised evenly over the period as interest income. (This principle is illustrated in Section 3.2 with regard to the acquisition of an asset.)

When a revalued asset is sold, the profit on the sale of the asset is calculated as discussed above and is also recognised in profit or loss. At the same time, the balance of the revaluation surplus relating to that asset may be transferred to retained earnings. This transfer represents an equity transfer and should not be included in profit or loss.

When an asset is sold at a loss, this often means that there was an impairment loss at the previous reporting date.

Example of the disposal of an asset measured using the cost model

A machine acquired on 1 July 20x1 at a cost price of CU100 000 had an estimated useful life of ten years with no residual value. The annual depreciation cost of this machine was therefore CU10 000.

At 31 December 20x8, the machine had a carrying amount of CU25 000 (CU100 000 – [10 000 × 7.5 years]).

The machine was sold for CU50 000 on 31 March 20x9, when the carrying amount was calculated at CU22 500, calculated as follows: (CU100 000 – [20 000 × 7.5 years + 3 months]) or [REDACTED]

The profit realised from the sale of the machine amounts to CU27 500 (CU50 000 – CU22 500) and the following journal entry is a record of the sale:

			CU	CU
Dr		Bank/accounts receivable	50 000	
Dr		Accumulated depreciation	77 500	
	Cr	Machine (cost price)		100 000
	Cr	Profit on sale of machine (P/L)		27 500

The profit of CU27 500 should be recognised in profit or loss in the statement of profit or loss and other comprehensive income when the asset is sold.

Note that depreciation was provided up until the date of sale. This reduces the carrying amount and increases the profit on the sale. The carrying amount used to calculate the profit is the carrying amount at the date of sale (the cost or revalued amount less accumulated depreciation). This applies irrespective of whether the cost model or the revaluation model has been applied.

Note: You can also make use of an 'asset disposal account' in the above journal entries.

8.2 Classification as held for sale

A non-current asset (such as property, plant and equipment) should be classified as 'held for sale' if its carrying amount will be recovered principally through a sale transaction rather than through continuing use. Classification as 'held for sale' is appropriate only if the asset is available for immediate sale in its present condition, subject only to terms that are usual for that type of sale, and its sale must be highly probable. (Non-current assets held for sale and discontinued operations are discussed in [Chapter 21](#), *Non-current assets held for sale and discontinued operations*.)

8.3 Derecognition and the component approach

When the original cost of an asset is apportioned into different components as a result of different useful lives or depreciation methods, the replacement of one of those components makes it necessary to derecognise the portion of the original cost of the asset attributable to that component.

9 Disclosure

Property, plant and equipment represent major assets for most entities and separate disclosure is required. IAS 16 includes detailed requirements for the disclosure of property, plant and equipment. Additional disclosure is required where the revaluation model has been selected.

9.1 The accounting policy note

The accounting policy note should inform users of the financial statements about which measurement models (for example, the cost model or the revaluation model) have been used by the entity to determine the carrying amount of each class of assets. Where the revaluation model is used, the accounting policy should also specify how the revaluation surplus is treated.

9.2 Presentation of the statement of financial position

The total carrying amount of property, plant and equipment should be listed separately on the face of the statement of financial position, under non-current assets.

For each class of property, plant and equipment, IAS 16 requires the following information to be disclosed:

- The gross carrying amount (in other words, cost) as well as accumulated depreciation and accumulated impairment losses at the beginning and end of the period (accumulated impairment is usually added to the balance of accumulated depreciation in the note disclosure)
- A reconciliation of the carrying amount at the beginning and end of the period, showing:
 - Additions and disposals separately
 - Increases or decreases during the year resulting from revaluations

- Impairment losses
- Impairment losses reversed
- Depreciation
- Any other movements.

These details are normally presented in a table included in the notes to the financial statements.

Where there are restrictions on the title of property, plant and equipment (for example, where a property is pledged as security), you should disclose this fact as well as the amounts of such restrictions. You should also disclose the amount of costs capitalised in respect of property, plant and equipment constructed by the entity, as well as the amount of any contractual commitments for the acquisition of property, plant and equipment.

Where property, plant and equipment items have been revalued, the following additional information must be supplied:

- The most recent year in which the assets were revalued
- The fact that an independent valuer was used (if applicable)
- The historical carrying amount of each class of revalued assets.

The revaluation surplus and the movements during the reporting period should be disclosed in the statement of changes in equity. The policy for the treatment of the revaluation surplus must be disclosed.

Example of accounting policy note where the revaluation model has been used for property, plant and equipment

The following extract is from the section on property, plant and equipment in the annual report of Redefine Properties Ltd for the year ended 31 August 2023:

Owner-occupied properties and hotel

Owner-occupied properties and hotel are initially recognised at cost. After initial recognition, these properties are measured at fair value less accumulated depreciation using the revaluation model under IAS 16: *Property, Plant and Equipment*. The assets are depreciated on a straight-line basis to the residual value. Gains arising from changes in the fair values are recognised in other comprehensive income as a revaluation surplus in the period in which they arise. Any increase is, however, recognised in profit or loss to the extent that it reverses a revaluation decrease of the same asset in the period in which it arises. Any loss is recognised in other comprehensive income against the revaluation surplus of the same asset, to the extent that a balance exists in the revaluation reserve in respect of the asset.

Source: Redefine Properties Limited. 2024. *Redefine Limited 2021 Audited Consolidated Financial Statements*. Available: <https://www.redefine.co.za/view-file/Media-1730659056-annual-financial-statements-afs.pdf> [2024, January 22], p. 19.

Something to do

Visit the website of Redefine Properties Ltd at <http://www.redefine.co.za> and find the company's latest published financial statements. See how this entity disclosed property, plant and equipment in the notes to its financial statements.

9.3 Presentation of the statement of profit or loss and other comprehensive income

The depreciation expense can be disclosed separately on the face of the statement of profit or loss and other comprehensive income or in the notes to the financial statements. When showing the depreciation expense, you should indicate whether any depreciation has been allocated as part of the cost of other assets. For example, the depreciation charge relating to production machinery would be included in the cost of manufactured products. You are not required to show the revaluation portion of the depreciation separately, although this is often done.

Other items relating to property, plant and equipment that should be disclosed separately in the statement of profit or loss and other comprehensive income or in the notes to the financial statements include the following:

- Impairment losses that have been charged against the current year's profit or loss
- Gains and losses resulting from the disposal, scrapping or retirement of property, plant and equipment (these are normally disclosed in a note)
- The nature of changes in estimates (such as the changes in the estimated useful life of an asset, the estimated residual value of an asset, the depreciation method applied to an asset, or the estimated costs of dismantling, removing or restoring an asset) and the effect of these changes in estimates on the current reporting period (see [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*).

Key points to take from this chapter

- Property, plant and equipment are tangible assets that are held in order to be used by an entity over an extended period for the production or supply of goods or services, for rental to others or for administrative purposes, and are expected to be used during more than one reporting period.
- Examples of property, plant and equipment assets and their classifications are land, buildings, plant, machinery, vehicles, equipment, furniture and fittings.
- An item of property, plant and equipment should initially be recognised at the transaction date at cost. This is its purchase price, including import duties, but excluding any amounts that are recoverable, such as VAT.

- An item of property, plant and equipment should be depreciated over its expected useful life to its residual value.
- Depreciation of an asset should commence when the asset is ready for use as intended by management. However, land is not depreciated, as it is not considered to have a limited useful life (with a few exceptions).
- Subsequent costs are costs incurred after an asset is ready for use. Subsequent costs that are incurred by using, dismantling or restoring items of property, plant and equipment should only be capitalised to the cost of the asset if the item meets the definition of property, plant and equipment and the recognition criteria of an asset, being that it is probable that the expenditure incurred will result in the inflow of economic benefits and that the cost of the asset can be measured reliably.
- Property, plant and equipment are subsequently measured by using either the cost model or the revaluation model.
- The cost model requires items of property, plant and equipment to be measured at each reporting date at cost less accumulated depreciation and accumulated impairment.
- The revaluation model requires items of property, plant and equipment to be revalued at regular intervals, and to be measured at each reporting date at their fair value at the date of revaluation less accumulated depreciation and accumulated impairment.
- At each revaluation date, the carrying amount of the asset should be increased (or decreased) to its fair value at that date. You should either proportionately restate the gross carrying amount and then adjust the accumulated depreciation by the difference or eliminate the accumulated depreciation against the cost of the asset prior to revaluation.
- At each reporting date, an item of property, plant and equipment should be considered for possible impairment. When there is an indication that an asset is impaired, the recoverable amount of the asset should be determined. If it is lower than the carrying amount, the asset should be impaired.
- Depreciation and impairments should be recognised in profit or loss and are closed off to retained earnings, net of taxation.
- Revaluation gains and losses are recognised in other comprehensive income and are closed off to a revaluation surplus, net of taxation.
- The revaluation surplus may be transferred to retained earnings based on the usage of the asset or when the asset is sold. Alternatively, the revaluation surplus may be kept in the revaluation surplus account indefinitely.

- Items of property, plant and equipment are derecognised when they are no longer used or when they are sold. The profit or loss on disposal of an asset is recognised in profit or loss.
- Property, plant and equipment assets that have been identified to be sold within the immediate future are classified as held-for-sale assets in the statement of financial position.
- Property, plant and equipment should be recognised on the face of the statement of financial position as a non-current asset, and details of the classification and movements in property, plant and equipment should be disclosed in the notes to the financial statements.

Discussion questions

1. A Ltd acquired a new building. Which of the following items should be included in the cost of the building?

- Estate agent's fees
- Interest on the bank loan used to acquire the building and payment of an application fee to the bank for this loan
- The cost of changing the name on the building
- The cost of refurbishing the lobby of the building to attract customers and make it more user-friendly

2. The IFRS Accounting Standards require you to determine depreciation in relation to assets such as machinery. Explain why and how depreciation of such assets is required. When there is no decline in the value of an asset, is depreciation still necessary?

3. Discuss the role of surpluses in the financial reporting structure. In particular, consider why and how asset revaluation surpluses are used and recognised when accounting for the revaluation of assets and the subsequent disposal of assets.

4. Subsequent costs include costs incurred after the asset has been used for some time. Discuss how subsequent costs should be accounted for and why.

Exercise questions

Question 1

Ignore VAT and other tax implications.

A machine that was purchased on 30 June 20x3 was expected to be used for four years and have no residual value. The original cost of the machine was CU500 000. A further amount of CU150 000 was spent on the machine during January 20x4 in order to convert it from a battery-powered machine to an electricity-powered machine, following the installation of electricity to the area where the factory was situated. This did not extend the machine's useful life, but the running costs of the machine will be lower in future.

The machine functioned well for about 18 months, but has not functioned well in the last six months of 20x5. At the end of the year, it was functioning at only about 40% of its capacity. As a result, management considered that the asset might be impaired. It has determined that it would receive CU75 000 if it sold the machine and that the present value of future net cash flows that will be generated by the machine is CU240 000.

You are required to do the following:

1. Discuss whether the CU150 000 expenditure in January 20x4 should have been expensed or capitalised when it was incurred.
2. Discuss the basis of calculating the carrying amount at 31 December 20x5.
3. Based on the conclusions that you reached in the previous question, prepare the journal entries for the machine in 20x4 and 20x5.
4. Show how machinery should be disclosed in the notes to the financial statements for the years ended 31 December 20x4 and 31 December 20x5.

Question 2

Answer the questions that follow. Show all of your workings.

1. Entity A has always applied the revaluation model for machinery. Machine A was acquired on 1 January 20x2 for CU250 000 and has an expected useful life of 20 years with no residual value. The revaluation date is 1 January 20x5. At this date, the cost of a new similar machine is CU300 000. To what amount should the machine be revalued at 1 January 20x5?
2. Prepare the journal entry or entries at 1 January 20x5 relating to the revaluation of Machine A in the previous question, assuming that the entity has elected to eliminate accumulated depreciation. Ignore taxation.
3. Calculate the depreciation charge relating to Machine A for the year ended 31 December 20x5, assuming that the expected useful life and residual value were confirmed.
4. The entity applies the policy of transferring the revaluation surplus to retained earnings as the asset is used. Prepare the journal entry to record this transaction for Machine A at 31 December 20x5.

Question 3

Oxford Ltd bought a property on 1 January 20x2 for CU2 million. At the date of acquisition, 40% of the cost was allocated to the land and the balance to the building. At the acquisition date, the estimated useful life of the building was determined at 30 years and the residual value was estimated at CU300 000.

At 1 January 20x5, the market value of the property was estimated at CU2.4 million, of which 40% related to the value of the land. At that date, the remaining useful life of the building was confirmed and the residual value of the building was estimated at CU441 000.

The entity has always applied the revaluation model to property, plant and equipment. Properties are revalued every three years and are disclosed at the revalued amount. The revaluation surplus is transferred as the assets are depreciated. Accumulated depreciation is eliminated at each revaluation date.

You are required to do the following:

1. Prepare the journal entries relating to the property for the financial year ended 31 December 20x5 on the assumption that the entity occupies the building as its head office.
2. Prepare the note disclosure for land and buildings in the financial statements of Oxford Ltd for the year ended 31 December 20x5.

References

Kew, J. 2024. *Financial Accounting: An Introduction*. 6th ed. Cape Town: Oxford University Press.

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].

Redefine Properties Limited. 2024. *Redefine Limited 2021 Audited Consolidated Financial Statements*. Available: <https://www.redefine.co.za/view-file/Media-1730659056-annual-financial-statements-afs.pdf> [2024, January 22].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.

CHAPTER

11

Investment properties

IFRS references

IAS 16: *Property, Plant and Equipment*

IAS 40: *Investment Property*

IFRS for SMEs Accounting Standard references

Section 16: *Investment Property*

Section 17: *Property, Plant and Equipment*

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Key points to take from this chapter

Discussion question

Exercise questions

References

Learning objectives

By the end of this chapter, you should be able to:

- Identify an investment property asset.
- Differentiate between an investment property and an owner-occupied property.
- Determine the cost of an investment property at the transaction date.
- Measure investment properties at subsequent reporting dates by using either the cost model or the fair value model.
- Apply either the cost model or the fair value model in calculating the carrying amount of investment property, including determining the deferred tax implications.
- Identify when and at what value an investment property is reclassified as property, plant and equipment or inventory.
- Prepare the disclosure requirements as specified in IAS 40, *Investment Property*.

Concept summary



1 Introduction

Investment properties are (usually) non-current assets that an entity controls and holds over a period (normally longer than one reporting period) to earn rental income and gain from capital appreciation. IAS 40, *Investment Property*, deals with the financial reporting implications of investment properties. Section 16 of the *IFRS for SMEs* Accounting Standard, *Investment Property*, provides guidance for investment properties for small and medium-sized entities.

The principal accounting issues relating to investment properties that will be covered in this chapter are:

- The timing of the recognition of the property as an asset
- The measurement of investment properties in the statement of financial position
- For those properties recognised at cost, the depreciation charges relating to the property, which are recognised in profit or loss
- For those properties recognised at fair value, the fair value adjustments recognised in profit or loss
- Disclosure issues.

Key principle: Definition of an investment property

An investment property is a property (land or a building – or part of a building – or both) held (by the owner or by the lessee as a right-of-use asset) to earn rentals or for capital appreciation or both rather than for:

- Use in the production or supply of goods or services or for administrative purposes
- Sale in the ordinary course of business.

2 Recognising investment properties

Investment property is, in substance, an investment of surplus resources in properties (also referred to as ‘real estate’), in a largely passive manner, as opposed to other assets where effort goes into ‘working’ the asset to earn a return. The definition, classification and accounting treatment of investment properties are set out in IAS 40, *Investment Property*.

2.1 Controlled ownership versus legal ownership

As is the case with all other assets, the substance and not the legal form should be considered. An entity is not required to legally own property to recognise it as an asset; it is sufficient for it to control the asset. When a property is leased, the owner of an investment property receives rental income from that property. The owner normally signs a **lease agreement (or rental agreement)** with the tenant, which is a contract whereby the owner (normally referred to as the 'landlord', 'landlady' or 'lessor') agrees to the occupation and usage of the property by the tenant for a specified period in return for monthly or annual rental payments.

**Key principle:
When should a property be
recognised as investment property?**

First, the property is recognised as an asset (in the statement of financial position) when it meets the definition of an asset in accordance with the *Conceptual Framework*: that is, the property is a present economic resource that is controlled by the entity as a result of past events.

Then, such an asset is classified as an investment property when the definition of investment property is met, namely that the entity holds it for capital appreciation and rental rather than for owner occupation or as inventory.

***IFRS for SMEs*
Accounting Standard application**

Section 16 of the *IFRS for SMEs* Accounting Standard, *Investment Property*, identifies investment property as 'property held by the owner or by the lessee under a finance lease, to earn rentals or for capital appreciation or both'. (The topic of leases is covered in more detail in [Chapter 17](#).)

If an entity (known as the 'lessor') leases a property for a period of time, the entity using the property (known as the 'lessee') has the right to control the use of the asset for the period of the lease. Legal ownership of the property remains with the lessor, but the lessee has the right to use the asset. The lessee recognises a 'right-of-use asset' and a lease liability at the commencement date of the lease (see [Chapter 17](#), *Leases*).

The lessee may decide to sub-lease the property, provided that the lease agreement allows for sub-leasing. In such a case, the lessee is also a lessor and has additional accounting considerations similar to the owner-lessor's. The lessor (in other words, the owner-lessor and/or the lessee that has sub-let the property) should consider the conditions stipulated in the lease agreement, and then classify the lease as either a finance lease or an operating lease.

A lease is classified as a **finance lease** if it transfers substantially all the risks and rewards incidental to ownership of the underlying asset to the lessee (for example, when the lease transfers ownership of the underlying asset to the lessee at the end of the lease term or when the present value of the lease payments amounts to substantially all the fair value of the underlying asset). In this case, the lessor will derecognise the asset and will thus not have an investment property.

More often, however, the substance of a lease agreement of a property is to allow the tenant to occupy or use the property for the stipulated period of time, but the risks and rewards of ownership remain with the owner. This is referred to as an **operating lease** agreement (see [Chapter 17, Leases](#)). In this case, the property remains on the statement of financial position of the owner (in other words, the owner-lessor or the lessee that has sub-let the property), as control of the property remains with the owner and may be classified as investment property.

2.2 Owner-occupied property versus investment property

You should distinguish between owner-occupied properties and investment properties. Owner-occupied properties should be recognised as property, plant and equipment, and accounted for in terms of IAS 16 (see [Chapter 10, Property, plant and equipment](#)). This implies that these buildings will be depreciated, with the depreciation based on either the cost or the revalued carrying amount.

[Figure 11.1](#) illustrates a useful decision tree for determining the appropriate treatment of a property.

Figure 11.1 Decision tree: Is it an investment property?



The entity itself does not occupy investment property. In some cases, a property may have a dual purpose. For example, a portion of the property may be held to earn rentals or for capital appreciation. Another portion may be held for use in the production or supply of goods or services, or for administrative purposes. If the entity can identify these portions separately (in other words, these portions could be sold separately or leased out separately under finance leases), the entity should account for these portions separately. This implies that the portion held to earn rentals or for capital appreciation should be recognised as an investment property. The portion not used in one of those two ways should be recognised as property, plant and equipment. If a split is not possible, the property should only be recognised as an investment property if an insignificant portion is owner-occupied.

Investment property includes land held for a currently undetermined use and vacant property held to be rented out, as well as property being constructed or developed to be a future investment property. Properties held for sale in the ordinary course of business should be recognised as inventory and these properties should be accounted for in terms of IAS 2, *Inventories*.

The summary in [Table 11.1](#) should assist you with classifying properties.

Table 11.1 Possible classifications of 'property'

Management's reason for holding a property asset	Applicable IFRS standard	Possible types of accounting recognition and measurement at the reporting date
Owner-occupied property	Property, Plant and Equipment (IAS 16)	Measured at cost less accumulated depreciation less impairment (cost model)
		Revalued and then depreciated (revaluation model)
Property held as an investment	Investment Property (IAS 40)	Fair value model
		Measured at cost less accumulated depreciation less impairment, as

		described in IAS 16 (cost model)
Property held for sale in the ordinary course of business	Inventories (IAS 2)	Measured at lower of cost and net realisable value
Investment property where the intention is to sell the property (see Chapter 21)	Non-current Assets Held For Sale and Discontinued Operations (IFRS 5)	Fair value or lower of carrying amount and fair value less costs to sell at the date on which the intention to sell the property was established

2.2.1 Ancillary services

Where a property owner provides ancillary services, such as cleaning, maintenance or security services, the property owner effectively occupies the property to the extent that the owner or the owner's staff has a presence on the property.

Should such properties be classified as owner-occupied or as investment properties? The answer is based on whether these ancillary services are significant or not. If they are insignificant to the arrangement as a whole, the property is an investment property. For example, in the case of a large shopping centre where various shops are let to tenants, and the owner of the shopping centre is responsible for the cleaning, maintenance and security of the centre, these services are likely to be insignificant to the arrangement as a whole, as the purpose of the arrangement (the letting of the shops to the tenants) is to provide space for the tenants to transact with customers. The services provided by the owner are incidental to this purpose.

Some of the costs of ancillary services are recovered from the tenants (for example, advertising costs). Costs for such services should be expensed by the property owner at the same time as income from the lease is recognised.

Example of the classification of property

A company owns a large, well-positioned building. If the owner signs a rental agreement with an independent third party that will use the building as a hotel, the building will not be occupied by the owner. The owner would receive rental income from the third party and benefit from the capital growth in the value of the building. Accordingly, the building would be an investment property for the owner. The owner might supply insignificant services to the hotel (for example, security services), but the building would still be classified as an investment property by the owner.

However, suppose the owner operates the building as a hotel, which would entail providing hotel management services. In that case, the building should be classified as property, plant and equipment (even though it is a property being held to earn rental income) owing to the significance of the services provided by the owner.

If the owner uses five of the 100 rooms as a private residence and rents out the other 95 rooms to a tenant to run as a hotel, 95% of the building should be accounted for as an investment property, provided that it is possible to sell these two portions separately. If it would not be possible to sell them separately, the entire hotel should be classified as an investment property, as the 5% that is owner-occupied would typically be regarded as an insignificant portion.



ETHICAL DILEMMA

Ethical dilemmas may arise regarding the accurate classification and disclosure of information related to investment property. Providing transparent and comprehensive information to potential investors, tenants and stakeholders is essential. Failure to disclose material information or misrepresent property-related data can harm the trust and confidence of stakeholders.

3 Measurement of investment property

When an item of investment property is recognised for the first time, its reflected amount is called the ‘initial measurement’. In subsequent reporting periods, this amount will be adjusted to an amount that depends on the accounting policy adopted for investment properties. This process is referred to as ‘subsequent measurement’.

3.1 Initial measurement

IAS 40 requires an investment property to be measured at cost initially, including transaction costs. Any other directly attributable expenditure (for example, professional fees for legal services or property transfer taxes) should be included in the initial cost of the property. If you have already read [Chapter 10, Property, plant and equipment](#), this initial measurement principle should be familiar.

The journal entry that is recorded at the acquisition date is as follows:

Dr		Investment property (including transaction costs)
	Cr	Bank/liability

3.1.1 Deferred payment

When payment for an investment property is deferred but control has transferred, the property should still be recognised, with a corresponding liability being recognised as well. For example, if a property was acquired on credit, it does not mean that the property should not be recognised. The accrual basis of accounting requires a transaction to be recorded when it occurred, not when payment was made.

If the payment date differs significantly from the acquisition date (in other words, payment is deferred beyond normal credit terms), the amount paid at a later (or earlier) date includes an adjustment for the cost of financing the acquisition of the asset. The cost of the asset is equal to the cash price equivalent at the transaction date, which is the present value of the future payment. Interest for the period between the transaction date and the payment date should be recognised as an expense in profit or loss. This treatment will reflect the substance of the two transactions: the acquisition of the asset at the date on which control of the property was transferred and the financing costs related to the finance provided by the seller. (Refer to the example in Section 3.2.2 of [Chapter 10, Property, plant and equipment](#).)

3.1.2 Non-monetary exchange

When a property is exchanged for another non-monetary asset, the transaction should be measured at the fair value of the consideration given up. The substance is that one asset has been sold in exchange for another; the acquired asset is recognised at the fair value of the asset exchanged. If it is not possible to work out the fair value of the asset given up, the transaction should be measured at the fair value of the asset received.

Where the carrying amount of the asset given up differs from the fair value when exchanged, a profit or loss on the sale will be recognised. (The example in Section 3.2.3 of [Chapter 10](#), *Property, plant and equipment*, deals with such an exchange from the perspective of the other entity.)

The principles relating to the initial measurement of investment property are very similar to those of property, plant and equipment (discussed in [Chapter 10](#)).

3.2 Subsequent measurement

Subsequent measurement is the process of adjusting the initial measurement amount according to the accounting policy adopted for investment properties. Two different measurement models are available for investment property:

- The cost model
- The fair value model.

The selected measurement model must be applied to the entire investment property portfolio. If the **cost model** is used, all properties are subsequently measured at cost less accumulated depreciation and accumulated impairment losses, where applicable. If the **fair value model** is used, all properties are subsequently measured at fair value. The adjustment recognised to reflect the investment property at fair value is recognised as a gain or loss in the profit or loss section of the statement of profit or loss and other comprehensive income for the period.

The selection of the measurement model forms part of the entity's accounting policies and, as with all other policies, should be applied consistently. It should be changed only when it is required to be changed in terms of an IFRS Accounting Standard or where the new policy presents the substance of the transaction more fairly.

Key principle: Measuring investment property

IAS 40 allows an entity to choose between the cost model and the fair value model when measuring investment property at subsequent reporting periods. Investment properties cannot be accounted for using the revaluation model.

IFRS for SMEs Accounting Standard application

Section 16 of the *IFRS for SMEs* Accounting Standard, *Investment Property*, requires investment property whose fair value can be measured reliably without undue cost or effort to be measured at fair value at each reporting date, with changes in fair value

recognised in profit or loss. All other investment property (where the fair value cannot be measured) is accounted for using the cost-depreciation-impairment model given in Section 17, *Property, Plant and Equipment*.

Note that the *IFRS for SMEs* Accounting Standard differs from IAS 40 in that the subsequent measurement of the investment property depends on whether the fair value can reasonably be obtained or calculated. In contrast, IAS 40 requires that either the cost model or the fair value model be selected and applied to the entire portfolio. When the fair value model is selected, there are very limited situations in which individual properties whose fair value is not reliably measurable on a continuing basis can be accounted for using the cost model.

The accounting policy chosen should be applied consistently from one period to another, and to all assets of the same classification and nature. [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*, covers changes in accounting policies and refers specifically to a change in accounting policy relating to investment properties.

Where the cost model is applied to investment property, the fair value must be disclosed so that users of the financial statements can work out what the results would have been had the fair value model been used. This is necessary in order to ensure comparability. IAS 40 clarifies that the fair value model is the preferred method of accounting for investment property.

The following sections discuss the application of the cost model and the fair value model for investment properties.

3.2.1 Cost model

The cost model requires properties to be recorded at cost less accumulated depreciation and accumulated impairment. This approach is also sometimes referred to as the ‘historical cost basis’, as the assets are recognised at their historical carrying amount at subsequent reporting dates, and the historical (initial) cost is expensed over the asset’s expected useful life to its residual value. No adjustments are made for any increase in the value of the asset.

IAS 16, *Property, Plant and Equipment*, sets out the requirements for the cost model. Investment property accounted for using the cost model is treated in the same way as all other land and buildings accounted for using the cost model in accordance with IAS 16. A full discussion of the cost model can be found in [Chapter 10](#), *Property, plant and equipment*.)

When a property is acquired, the purchase price paid is for the land and the building. Land and buildings are separate classes of assets. It is, therefore, necessary to split the cost of the property between the **land** and the **building** portion in order to calculate the depreciable amount of the building. The building element of the property should be depreciated over its expected useful life to its residual value. Land generally has an unlimited life and should not be depreciated.

**Carrying amount at the reporting date = Cost of investment property less
accumulated depreciation and accumulated impairment**

Depreciation and impairment are recognised in profit or loss.

The journal entry recorded at the acquisition date is as follows:

Dr		Land (plus transaction costs)
Dr		Building (plus transaction costs)
	Cr	Bank/liability

The journal entry to record the depreciation charge is as follows:

Dr		Depreciation: Building (P/L)
	Cr	Accumulated depreciation: Buildings

The **residual value** is an estimation of the amount that the entity would currently obtain from the disposal of the building, less the estimated costs of disposal, if the building were already of the age and in the condition expected at the end of its useful life. This implies that the estimated residual value of a building is based on the current value of the amount that the entity would recover from the property's disposal at the end of its useful life, less the current value of the land.

The residual value should be estimated at the acquisition date and reviewed at each subsequent reporting date, as should the depreciation method and estimated useful life.

Determining these estimates is a matter of judgement, using the best information available at the time. If, when doing this review, you find that circumstances have changed, you should revise the estimate to consider the new circumstances. The depreciation charge in the statement of profit or loss and other comprehensive income should reflect the effect of the change in the asset's estimated useful life. Changes in accounting estimates should not affect the reported results of prior years, but they can increase or decrease the current and future depreciation expenses.

The effect of the change in estimate should be accounted for in the current and future years. Changes in estimates are the subject of IAS 8, *Basis of Preparation of Financial Statements* (and are discussed in more detail in [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*).

Something to watch

Watch the Learn Accounting videos *Identifying a Change in Accounting Policy* and *Reporting a Change in Accounting Policy*.

Example of applying the cost model to investment property

An entity owns a property that is classified as an investment property. The property was acquired for CU6 million, of which CU1 million was related to the land and CU5 million to the building. The building is expected to have an estimated useful life of 25 years and a residual value of CU1 million. The land will not be depreciated and will be carried at its cost of CU1 million.

The depreciable amount of the building is CU4 million, and it should be depreciated over the estimated useful life of 25 years. Therefore, annual depreciation (on a straight-line basis) would amount to CU160 000.

At each subsequent reporting date, the property should be considered for any possible impairment or any change in depreciation method, residual value or estimated useful life.

3.2.2 Fair value model

The fair value of a property is usually the market value of the property. The best way to determine the fair value of a property is to refer to the current market value in an active market for a similar property in the same location and condition, and subject to the same lease and other contracts. The market value is normally the best price reasonably obtainable by the seller and the most advantageous price reasonably obtainable by the buyer, both being independent. The rental income earned also normally reflects the market's view of what market participants would agree to pay for a similar property and can be used to determine the value of the property. Refer to [Chapter 4, Fair value measurement](#), for the principles to follow when determining the fair value of an investment property.

Carrying amount = Fair value of investment property at the reporting date

Key principle:
Definition of fair value

Fair value is the price that would be received when selling an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (see [Chapter 4](#) and IFRS 13, *Fair value measurement*).

Fair value adjustments (gains and losses) are recognised in profit or loss within the investing category.

When you adopt the fair value model to measure investment properties, you should apply this model to all investment properties with similar use and nature. However, in rare instances, you may not be able to determine the fair value of a property reliably on a continuing basis. When you cannot determine the fair value of a property reliably (when comparable market transactions are infrequent and alternative estimates of the fair value are not available), you should use the depreciated cost model for that property.

Fair value adjustments

An investment property is either used by third parties and generates income for the business or is held so that the entity can benefit from the capital appreciation (or both). Any adjustments to its fair value should be recognised as part of the profits or losses of the business for the period.

When applying the fair value model, you must determine the fair value of each entity's properties at every reporting date, except in exceptional circumstances. Any increase in the carrying amount of the investment property is a **gain**, and any decrease is a **loss**, both of which will be recognised in profit or loss. No depreciation is recognised. To the extent that the value of an asset has diminished, this gives rise to a decrease in the fair value of the property and a loss in the profit or loss section of the statement of profit or loss and other comprehensive income.

The journal entry to record a fair value adjustment is as follows:

Dr		Investment property
	Cr	Gain on fair value adjustments (P/L)

In the case of a decrease in the fair value of the property, the journal entry is as follows:

Dr		Loss on fair value adjustments (P/L)
	Cr	Investment property

If there are major fluctuations in the property market, fair value adjustments could result in significant fluctuations in the profit or loss reported for a period. However, once you have chosen to apply the fair value model to recognise investment properties, you should continue to apply the model, even if there are significant movements in the market. (Refer to [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*, for a brief discussion of when an entity can change its accounting policies.)

Key principle:
Treatment of fair value
adjustments arising from investment property

A gain or loss arising from a change in the fair value of investment property shall be recognised in profit or loss within the investing category for the period in which it occurs.

Example of applying the fair value model

An investment property was acquired with an original cost price of CU500 000 on 1 April 20x5. The fair value of the property is determined at CU650 000 on 31 December 20x5, the subsequent reporting date of the owner. The following journal entry records the fair value adjustment:

			CU	CU
Dr		Investment property	150 000	
	Cr	Fair value adjustment (P/L)		150 000

At each subsequent date, you should determine the fair value of the property and adjust the carrying amount accordingly. This should be done by either increasing or decreasing the profit for the year by the amount of the gain or loss resulting from restating the property at its fair value.

3.3 Deferred tax implications

If the accounting treatment of the investment property differs from its tax treatment, this results in recognition of deferred tax unless the related temporary difference is exempt from deferred tax. (Deferred tax is discussed in more detail in Section 5 of [Chapter 18](#), *Income taxes*.)

As shown below, differences between the accounting and tax treatments of investment property can arise.

3.3.1 Cost model

Depreciation is recognised on the investment property, but usually, no capital allowances are granted for tax purposes, or the capital allowances granted for tax purposes differ from the accounting depreciation. Where no capital allowances are granted, the temporary difference is exempt from deferred tax recognition because it arises on initial recognition and does not affect accounting or tax profit (see [Chapter 18](#), *Income taxes*).

3.3.2 Fair value model

The entity recognises fair value adjustments, but these will only be taxed in the future when the investment property is sold. The entity does not depreciate the investment property. Still, capital allowances may be granted on the property (these allowances are recouped at the time of sale if the property is sold for more than its tax base).

The deferred tax implications relating to investment property (particularly a building classified as investment property) on the fair value model have been controversial and are beyond the scope of this textbook. Essentially, the debate centres around whether the future economic benefits embodied in the fair value of the investment property are expected to be realised:

- When the investment property is sold
- Through the rentals earned from that property, or
- Through a combination of the two.

Each of the above options/events have different tax consequences. The option chosen will affect the deferred tax liability balance that is calculated. IAS 12, *Income Taxes*, was revised to bring clarity to this issue (although not everyone is satisfied with the revision). It now requires that the deferred tax implications relating to investment properties accounted for using the fair value model reflect the **tax consequences of recovering the asset through sale** unless the investment property is depreciable (for example, a building), and there is evidence that management intends to extract (practically) all the value from the property by using it rather than selling it. Consequently, in most instances, the measurement of the deferred tax balance includes the capital gains tax payable (or recoverable) for selling the property and the normal tax payable on the recoupment of any previous allowances granted.

Example of deferred tax on investment property

An entity acquired a plot of land for CU1 million on 1 January 20x8. The land was immediately classified as an investment property. On 31 December 20x8, the land had a fair value of CU1.3 million.

The company does not trade in the land but hopes to benefit from the long-term capital appreciation in the value of the land.

A corporate tax rate of 27% applies. Capital gains tax applies at an inclusive rate of 80%, resulting in an effective tax rate of 21.6%.

Scenario 1: The company applies the cost model

Therefore, it would process only the journal entry relating to the land acquisition, as shown below.

1 January 20x8

			CU	CU
Dr		Investment property	1 000 000	
	Cr	Bank		1 000 000

Acquisition of the investment property

Deferred tax implications

No deferred tax will be recognised relating to the investment property as on 31 December 20x8. There is no difference between the investment property's accounting and tax treatment. For accounting purposes, the investment property will be recognised at its cost of CU1 million. The South African Revenue Service (SARS) does not grant any tax allowances on land. However, as land is a non-depreciable asset, the future economic benefits inherent in the land will only be realised when the land is sold. As SARS will only tax the company on the gain above the original cost of the land, the land's tax base is also CU1 million. In other words, the land will be recognised at CU1 million on a tax balance sheet.

Think about why this makes sense. Deferred tax generally arises because there are differences between the accounting and tax treatments of assets and liabilities. In this case:

- No depreciation is recognised for accounting purposes, and no capital allowances are granted for tax purposes.
- No fair value adjustments are recognised for accounting or tax purposes (as SARS generally does not recognise revaluations).

Scenario 2: The company applies the fair value model

Therefore, as shown below, it processes journal entries relating to the land acquisition and the fair value adjustment at the reporting date (31 December 20x8).

1 January 20x8

			CU	CU
Dr		Investment property	1 000 000	
	Cr	Bank		1 000 000

Acquisition of the investment property

31 December 20x8

			CU	CU
Dr		Investment property	300 000	
	Cr	Fair value adjustment (P/L)		300 000

Fair value adjustment at the reporting date

Deferred tax implications

As at 31 December 20x8:

- For accounting purposes, the investment property will be recognised at its fair value of CU1.3 million.
 - IAS 12, *Income Taxes*, requires that the deferred tax implications relating to investment properties accounted for using the fair value model reflect the tax consequences of recovering the asset through sale. The land's tax base is CU1 million, which means that on a tax balance sheet, the land will be recognised at CU1 million (as in Scenario 1).
- Therefore, there is a difference between the accounting and the tax treatment: at the reporting date, a temporary difference of CU300 000 arises. This temporary difference will reverse when the investment property is sold. At that point, SARS will tax the company on the gain of CU300 000, which has already been recognised for accounting purposes.
- The company expects to pay more tax in the future when the gain is taxed. The temporary difference is taxable, giving rise to a deferred tax liability as at 31 December 20x8.

The company does not trade in land. Thus, it is more likely than not that SARS will tax the company at the prevailing capital gains tax rate when the land is sold. Therefore, as at 31 December 20x8, the company will recognise a deferred tax liability of CU64 800 ($\text{CU}300\,000 \times 21.6\%$) in its statement of financial position. In terms of the double-entry system, there has to be a balancing debit. This will be recognised as part of the company's deferred tax expense in profit or loss, as the company recognised the fair value adjustment, which gave rise to the difference between the accounting and tax treatments in profit or loss.

The company will therefore process the journal entry that follows.

31 December 20x8

			CU	CU
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Dr		Deferred tax (P/L)	64 800	
	Cr	Deferred tax (SFP)		64 800

Deferred tax adjustment

3.4 Subsequent transfers between investment property and inventory or property, plant and equipment

When the intended use of a property changes, the property should be reclassified. For example, properties previously occupied by the owner but then rented to a third party should no longer be recognised as property, plant and equipment, but should be reclassified as investment property and accounted for accordingly.

The reclassification of a property in subsequent years is referred to as a ‘transfer’ or ‘reclassification’ from one classification to another. If the usage of a property had changed from the initial intention when it was acquired, the property should subsequently be transferred and classified on the statement of financial position according to the new usage and recognised according to the accounting policy applicable to that classification.

However, a transfer from one class of asset to another requires more than just a change in intention: it requires a change in use. IAS 40 requires certain conditions to be met before an asset can be transferred. These conditions are different for each scenario. For example, a property should be transferred from owner-occupied to investment property when owner-occupation ceases. That means the property may be classified as investment property before a lessee is found. However, a property should only be transferred from inventory to investment property at the inception of an operating lease, meaning only after the lessee has been found.

When you reclassify an item, you have to decide what value should be recognised for the property on that date. For example, suppose the owner has occupied a building and this has been depreciated over the period of occupation. In that case, the property’s carrying amount at the date its usage changed may be significantly different from its fair value. If you have chosen the fair value model for all of your other investment properties, this property should be revalued to its fair value at the date of the transfer. Where the carrying amount immediately before classification differs from the initial carrying amount after reclassification, deferred tax implications may arise.

Key principle:
Treatment when a change in
intention arises regarding
the use of a property

For a transfer from investment property carried at fair value to owner-occupied property or inventory, the property’s deemed cost for subsequent accounting in accordance with IAS 16, *Property, Plant and Equipment*; IFRS 16, *Leases*; or IAS 2, *Inventories*, shall be its fair value at the date of the change in use.

3.4.1 When an owner-occupied property is transferred to investment property

When an owner-occupied property is reclassified as an investment property, the property should no longer be recognised in terms of IAS 16, but should be classified as an investment property in terms of IAS 40. The date on

which the owner's occupation ended should be the transfer date. When you use the **cost model** to measure investment property, you should use the carrying amount of the owner-occupied property at the transfer date as the carrying amount of the investment property at the transfer date. However, when you measure investment property using the **fair value model**, the property should be revalued to its fair value at the transfer date and the revaluation should be recognised in terms of the requirements of IAS 16.

In other words, the adjustment should then be recognised as a revaluation gain in other comprehensive income and not through profit or loss. This requirement is necessary even when the entity has no other assets that are accounted for under the revaluation model. (See the example on the next page.)

3.4.2 When an investment property is transferred to property, plant and equipment

If an investment property becomes occupied by an owner (or when the entity starts to develop it for owner-occupation), you should transfer the property from an investment property classification to a property, plant and equipment classification at the transfer date. You should apply IAS 16 from the date of the transfer. The **fair value** of the property at the date of transfer is treated as the **cost** of the property in terms of IAS 16 if the fair value model was used. If the cost model was used, no adjustment to the carrying amount is required.

3.4.3 When an investment property is transferred to inventory

Inventory is defined so as to include assets held for sale in the ordinary course of business. For property currently classified as investment property, an intention to sell does not automatically result in a transfer to inventory. IAS 40 requires a transfer to occur at the commencement of development for such sale. If the property is to be sold without redevelopment, it will not be transferred to inventory.

If the requirement for transfer is met, the **fair value** of the property at the date of transfer should be recognised as the **cost** of the inventory. If the property was carried under the cost model, the carrying amount of the investment property at the date of transfer will become the new inventory carrying amount.

3.4.4 When inventory is transferred to investment property

Situations may occur where a property that is held for trading purposes is occupied by a third party in terms of a rental agreement. For example, the entity may not have been able to sell the property and may have decided to rent it out instead. Where the reason for holding the property has changed in this way, the property should be reclassified from inventory to investment property at the commencement date of the rental agreement with the third party. The property should be valued at its fair value (if the fair value model is chosen), and the difference between the fair value at the date of the transfer and the inventory carrying amount should be recognised in profit or loss. When the cost model is used for investment property, no adjustment to the carrying amount is required.

Example of transfer from owner-occupied property to investment property

An entity has recognised the amounts that follow in respect of a property occupied by the owner which is now reclassified as an investment property.



If the fair value at the date of reclassification was CU3 500 000 and the entity uses the fair value model, the entry resulting from the transfer would be as follows:

		CU	CU
Dr	Investment property (at fair value at transfer date)	3 500 000	
Dr	Accumulated depreciation – building	400 000	
	Cr Land (cost)		1 000 000
	Cr Building (cost)		2 000 000
	Cr Revaluation gain (OCI) (fair value – carrying amount)		900 000

Reclassifying land and building as investment property

If the policy is to account for the investment property by using the cost model, no adjustment to its carrying amount is required. However, the asset would be classified as investment property at the transfer date, as follows:

		CU	CU
Dr	Investment property	2 600 000	
Dr	Building: Accumulated depreciation	400 000	
	Cr Land: Cost		1 000 000
	Cr Building: Cost		2 000 000

Reclassifying land and building as investment property

3.5 Impairment of investment property

Every asset recognised on the statement of financial position at the reporting date should be considered for any possible impairment, as required in terms of IAS 36, *Impairment of Assets* (refer to [Chapter 15](#)). An impairment loss should be recognised where the carrying amount of an asset is higher than the recoverable amount. This is applicable only where investment properties are measured in accordance with the cost model. Where investment properties are measured in accordance with the fair value model, the investment property is not required to be tested for impairment in terms of the scope of the requirements of IAS 36, *Impairment of Assets*. The reason for this is that any decrease in the value of the property is reflected in the fair value adjustments.

The **recoverable amount** of a property is the greater of its value-in-use or its fair value less costs to sell, with each explained below:

- The value-in-use of a property is the net present value of the estimated future cash flows expected to arise from its continued use and disposal at the end of its useful life.
- The fair value less costs to sell is the amount obtainable currently from the sale of the property less the costs of disposal.

When the recoverable amount of a property is lower than its carrying amount, you should reduce its carrying amount to this recoverable amount. The difference between the recoverable amount of an asset and its carrying amount represents an impairment loss that must be recognised in profit or loss. When you recognise an impairment loss, you should recognise a credit to the **accumulated impairment account**, which is disclosed together with the accumulated depreciation. In effect, the impairment loss reduces the carrying amount of the asset.

3.6 Subsequent expenditure, including repairs and improvements

An entity may decide to carry out renovations to repair or improve the impaired asset to continue receiving future cash flows (rental income) from the use of the property by a third party and to increase its market value.

Normal repairs and maintenance of the building (such as painting or damp treatments) should be expensed when incurred. These costs are normally incurred to ensure that the building is in good order and can be used for the intended purpose. Such expenditure is common, as an operating lease contract may require the lessor to regularly maintain the building and the gardens.

However, where repairs are made to restore a property to its previous condition and an impairment loss had previously been recognised for the deterioration of the property, the costs relating to the restoration should be capitalised. For example, when a property has been damaged by a previous tenant, resulting in the recognition of an impairment loss, then the costs to repair this damage should be capitalised to the extent that they reverse the previously recognised impairment loss. Any excess costs should be expensed in the period when they were incurred. Reimbursements from the existing tenant or the insurance company should be recorded separately (as income) from the costs incurred.

When improvements cause additional economic benefits through the enhancement of an asset, these improvement costs should be capitalised. For example, when a building is renovated, the renovation costs should be capitalised and may increase the rental income that can be charged for the property.

Example of subsequent expenditure incurred

An investment property was acquired with an original cost price of CU1 500 000 on 1 April 20x2. The property required some maintenance when the previous tenant vacated the property. The owner incurred the following expenditure during its current reporting period ending 30 June 20x5:

- Cleaning of the interior walls and floors
- Repainting of the exterior of the property (it is expected that the exterior paint will have an estimated life of five years before the property needs to be repainted)
- Replacement of the elevator of the property, as the previous elevator was severely damaged (the new elevator has an estimated useful life of eight years).

The property is insured, and the insurance contract covers the replacement of the lift; however, the repainting of the property is not covered by insurance.

The table that follows sets out the accounting treatment of these expenditures.

Table 11.2 Accounting treatment of the expenditures in this example

Expenditure	Accounting treatment
Cleaning of the interior walls and	This cost should be expensed when incurred, as these costs were incurred to get the property ready for the next tenant.

floors	
Repainting of the exterior of the property	The costs to repaint the exterior of the property (the cost of paint, labour and other costs) should be capitalised as a separate component of the asset and depreciated over its estimated useful life of five years.
Replacement of the elevator of the property	The costs, including installation costs, should be capitalised as a separate component of the asset and depreciated over its estimated useful life of eight years.

Note the following important points:

1 The comments in the table above assume the application of the **cost model** for the subsequent measurement of investment property. In the second and third instances, the owner would have considered an impairment to the property prior to incurring these expenditures.

2 Where the **fair value model** is applied, it is appropriate to capitalise these expenditures. The improvements will form part of the property's fair value (or market value) at the next reporting date.

3 Any insurance claim settled by the insurance company relating to the replacement of the elevator should be recognised as a separate transaction at the time when the receipt of the settlement is almost certain. When the insurance claim is settled, the credit should be recognised in income in the profit or loss section of the statement of profit or loss and other comprehensive income.



ETHICAL DILEMMA

A variety of ethical dilemmas can arise concerning investment property, which refers to real estate or property acquired to generate rental income.

When dealing with tenant selection and property management, challenges could include ensuring fair housing practices and avoiding discrimination based on factors such as race, ethnicity, gender, religion or disability. It is important to adhere to anti-discrimination laws and treat all potential tenants fairly and equally.

Determining rental rates and managing rent increases can also present ethical dilemmas. Balancing the need for profitability by ensuring affordable and fair housing for tenants can be challenging, particularly when rental increases may disproportionately affect vulnerable or low-income individuals.

Investing in property development or redevelopment projects can create ethical dilemmas when it involves displacing existing residents or negatively impacting the surrounding community.

Balancing economic interests with the well-being and stability of affected individuals and communities requires careful consideration and responsible decision-making.

Furthermore, ethical dilemmas can emerge when making property maintenance and safety decisions. Prioritising repairs, ensuring habitable living conditions and addressing safety concerns are crucial. Failure to maintain the property appropriately can jeopardise the well-being and safety of tenants.

Lastly, investing in or managing investment property may involve environmental considerations. Ethical dilemmas can arise when decisions involve choices between sustainable practices, energy efficiency, the preservation of natural resources and potential cost-saving measures that may harm the environment or contribute to climate change. For example, entities that develop large properties such as retirement villages or malls significantly influence land surrounding those properties, including road, water and energy usage.

Link to the Sustainable Development Goals

South African JSE-listed companies that develop large properties are becoming sensitive to issues of sustainability, as indicated in these examples:

- Hyprop Investments Ltd, which has a role in running shopping malls such as Canal Walk and Hyde Park Corner, has trialled Propelair toilets in one large mall and has made a decision to expand their use in their properties. These toilets incorporate jet air into their systems to reduce the needs for flushing water (Hyprop Investments, 2024). (See <https://www.hyprop.co.za/index.php> for more information.) This helps towards the achievement of Sustainable Development Goal 6, which is 'Ensure availability and sustainable management of water and sanitation for all' (UN, 2015:14).
- Growthpoint Properties Ltd, which has a role in running shopping malls such as the V&A Waterfront and Woodmead Retail Park, invests in renewable energy using rooftop solar photovoltaic plants (Growthpoint Properties, 2021). (See <https://growthpoint.co.za/> for more information.) This helps towards the achievement of Sustainable Development Goal 7, which is 'Ensure access to affordable, reliable, sustainable and modern energy for all' (UN, 2015:14).

4 Disclosure

This section highlights some of the main disclosure requirements for investment properties.

4.1 The accounting policy note

The accounting policy note should inform users of the financial statements which measurement models have been used by the entity to determine the carrying amount of each class of assets. It should state clearly which of the following two models was applied to measure investment properties:

- The cost model (assets are measured at cost less accumulated depreciation and less accumulated impairment)
- The fair value model (investment property is measured at fair value at each reporting date).

The accounting policy should include a description of the significant assumptions applied in determining the fair value of investment property, as well as whether it is based on a valuation by an independent valuer (and their professional qualifications, if this is the case). If there was no such valuation, the fact should be disclosed.

Example of accounting policy note where the fair value model has been used for investment property

The company holds investment properties to earn rental income or for capital appreciation over the medium- or long-term period. Investment properties are recognised at fair value at the reporting date. Fair value is determined based on the market value of similar properties in the same location and condition, and subject to similar rental or other contracts. For properties where the market value is not available, the fair value is determined as the present value of the future rental income expected to be received from fixed operating leases relating to those properties. Adjustments to the fair values of investment property are recognised in profit and loss.

4.2 Presentation in the statement of financial position

Investment properties should be classified as non-current assets and presented separately on the face of the statement of financial position. The following information should be disclosed for all investment properties in a **note** to the financial statements:

- A reconciliation of the opening and closing balances of investment properties, indicating all the movements and adjustments to the carrying amount of investment properties at the reporting date and clearly showing:
 - Additions (including capitalised subsequent expenditure)
 - Disposals
- Transfers to and from investment properties that have resulted from a reclassification of these properties
- Net gains and losses arising from fair value adjustments (where the fair value model is applied)
- Annual depreciation and impairment losses recognised and reversed (where the cost model is used)
- Material contractual obligations to purchase or develop an investment property relating to repairs and maintenance or renovations and enhancements
- Whether investment properties are mortgaged as security for liabilities

- Whether an investment property has any restriction on it (for example, a restriction on the entity's ability to sell that property)
- Whether or not you have based the fair value of the investment property on valuations by independent valuers (if not, you should state why)
- The criteria used to distinguish investment property from owner-occupied property when it is difficult to classify it.

Where investment properties are recognised using the **cost model**, the following information should be disclosed in addition to the information listed above:

- The gross carrying amount and the accumulated depreciation of investment property at the beginning and the end of the reporting date
 - The fair value of the investment property or, where this is not possible:
 - A description of the particular property
 - An explanation of why you were not able to determine the fair value of the property
- If possible, the range of estimates within which the fair value of the property is most likely to lie.

4.3 Presentation in the statement of profit or loss

The following information relating to investment properties should be included in the calculation of profit or loss and presented in the notes to the financial statements:

- Any direct operating expenses arising from investment properties (showing which expenses relate to investment properties that generated rental income and which relate to investment properties that did not)
- Net gains and losses arising from fair value adjustments (where the fair value model is applied) or depreciation and impairment losses recognised and reversed (where the cost model is applied)
 - Profits or losses resulting from the disposal of investment properties.

Something to do

Visit the websites of Growthpoint Properties Ltd (<https://growthpoint.co.za/>) and Hyprop Investments Ltd (<https://www.hyprop.co.za/index.php>) and find their latest set of annual financial statements. What accounting policies do they apply for their investment

property? Can you relate their annual financial statement disclosures to what you learned in this chapter?

Where rental income forms part of the main business activities of an entity, you should disclose the rental income that is earned from investment property as part of the revenue recognised for the period. You can disclose this rental income on the face of the statement of profit or loss and other comprehensive income, or as part of the revenue note.

Key points to take from this chapter

- Property held by the owner to earn rental or for capital appreciation or land with an undetermined use is classified as an investment property.
- Investment property is recognised on the statement of financial position as a non-current asset when the definition of investment property is met, the economic benefits associated with the investment property will probably flow to the entity, and the cost of the property can be measured reliably.
- Investment property is initially recognised at cost, including transaction costs. Any other directly attributable expenditure (for example, professional fees for legal services or property transfer taxes) is included in the initial cost of the property.
- An entity should elect an appropriate accounting policy to measure investment properties. This policy should be applied consistently from one reporting period to the next and for similar properties.
- IAS 40, *Investment Property*, allows an entity to choose between the cost model and the fair value model when measuring investment property at subsequent reporting periods.
- The application of the cost model requires that investment property be depreciated over its estimated useful life to its residual value. When this model is applied, the cost of the property should be allocated between land and buildings. It is important to note that land is not depreciated, as its useful life cannot be determined (and is usually unlimited).
- Investment property measured using the cost model should be considered for impairment regularly. If there is an indication that the property is impaired, the recoverable amount of the property should be determined. If this amount is lower than the carrying amount of the property, an impairment loss should be recognised in profit or loss. Thus, investment property recognised in terms of the cost model is measured at cost less accumulated depreciation and accumulated impairment at each reporting date.
- The application of the fair value model requires that the property (land and buildings) be measured annually at its fair value at the reporting date. Fair value adjustments should be recognised in profit or loss.
- When the intended use of a property changes, the property should be reclassified. For example, properties previously occupied by the owner but then rented to a third party

should no longer be recognised as property, plant and equipment, but should be reclassified as investment property.

- An entity should present information about its investment property in its financial statements that meets the information needs of the users.

Discussion question

IAS 40, *Investment Property*, allows the application of either the cost model or the fair value model for properties. Is it necessary to undertake impairment tests for properties measured according to the fair value model? If so, how would you do this?

Exercise questions

Ignore VAT and other forms of tax in both questions.

Question 1

A company owns a large property used exclusively to earn rentals from other companies. The rental income for the year ended 31 December 20x9 amounted to CU800 000. In addition, the fair value of the property decreased from CU10.3 million to CU9.6 million in the current financial year. The property was bought on 1 January 20x8 for CU8 million and had a useful life of 25 years with no residual value. The fair value model has always been applied to investment property.

You are required to do the following:

Prepare the journal entries to record all the transactions relating to the property for the financial years that ended on 31 December 20x8 and 31 December 20x9.

Question 2

Entity A acquired a property on 1 January 20x7 for CU2 500 000, of which CU700 000 is related to the cost of the land.

At the acquisition date, it was determined that the warehouse:

- Had an estimated useful life of 25 years
- Would be used evenly over the period
- Had an estimated residual value of CU300 000.

The estimated useful life, residual value and depreciation method were confirmed at each subsequent reporting date.

The market value (fair value) of the property was determined as follows:

Entity A used the property to earn rentals for the 20x7 financial year. It was then decided to use the property for administrative purposes as of 1 January 20x8. The company has chosen the fair value model for investment property and the cost model for owner-occupied property.

You are required to do the following:

Prepare the journal entries to record all the transactions relating to the property for the financial years that ended on 31 December 20x7 and 31 December 20x8.

References

Growthpoint Properties. 2021. *Sustainability*. Available: <https://growthpoint.co.za/sustainability/> [2024, February 7].

Hyprop Investments. 2024. *About us*. Available: <https://www.hyprop.co.za/about-us.php> [2024, February 7].

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

12

Intangible assets

IFRS reference

IAS 38: *Intangible Assets*

IFRS for SMEs Accounting Standard reference

Section 18: *Intangible Assets Other Than Goodwill*

SIC Interpretations reference

SIC-32: *Intangible Assets – Web Site Costs*

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5 Derecognition of intangible assets

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Key points to take from this chapter

Discussion questions

Exercise questions

Reference

Learning objectives

By the end of this chapter, you should be able to:

- Identify an intangible asset.
- Apply the definition and recognition criteria of an asset to an intangible asset.
- Differentiate between internally generated and purchased (or acquired) intangible assets.
- Know when an intangible asset may be recognised.
- Determine the initial amount at which an intangible asset should be recognised.
- Calculate the amortisation of an intangible asset over its expected useful life to its residual value.
- Identify when an intangible asset may be revalued.
- Apply the disclosure requirements for intangible assets as set out in IAS 38, *Intangible Assets*.

Concept summary



1 Introduction

Intangible assets are assets without **physical substance**. Brand names, advertisements and client bases are all types of intangible assets. They may not have physical substance, but they have a value: they can be sold or used to generate revenue. However, this leads to the question of how to value such an asset and whether an intangible asset should be recognised on the statement of financial position.

The specific requirements for recognising and measuring intangible assets are set out in IAS 38, *Intangible Assets*. However, goodwill is an asset that gives rise to future benefits but lacks physical substance, and is thus similar in substance to an intangible asset, but is not accounted for in terms of IAS 38. You should refer to IFRS 3, *Business Combinations* (see [Chapter 25](#)) for a discussion of the measurement and recognition of goodwill.

In this chapter, you will learn to identify an intangible asset by referring to the definitions set out in IAS 38. In addition, you will determine the initial cost of an intangible asset and consider the capitalisation of subsequent costs. Most intangible assets used by an entity have a limited life, so they need to be amortised over their expected useful life to their residual values. You will also discover when you can capitalise intangible assets that are **generated internally**. Lastly, you will find out what information relating to intangible assets needs to be disclosed in the financial statements.

Section 18 in the *IFRS for SMEs* Accounting Standard, *Intangible Assets Other Than Goodwill*, provides less guidance on identifying intangible assets than IAS 38 and includes several requirements for intangible assets that are different from those in IAS 38. Some of the main differences are that small and medium-sized entities should not capitalise development costs but must rather expense these costs. In addition, all intangible assets are regarded as having a finite useful life and must be amortised. The useful life of an intangible asset is presumed to be ten years if a reliable estimate cannot be made. The differences between Section 18 in the *IFRS for SMEs* Accounting Standard and IAS 38 are highlighted in each section in this chapter.

An intangible asset

... is an asset that lacks physical substance and is thus usually very hard to evaluate. Patents, copyrights, franchises, trademarks, trade names and goodwill are all intangible assets. The general interpretation also includes software and other intangible computer-based assets such as websites.

2 The nature of intangible assets

An intangible asset can be neither seen nor touched, but it can be used by the owner to generate economic benefits (for example, a design that is used in the production process or knowledge of employees that is used in supplying a service). Examples of other intangible items are:

- Advertising
- Motion picture films
- Customer loyalty
- Intellectual property

- Market knowledge
- Development costs on new products.

But not all the intangible items listed above meet the definition and recognition criteria of an asset in terms of the *Conceptual Framework*. To do so, an intangible asset must be identifiable, and the entity needs to control the future economic benefits. These benefits must be probable, and the cost of the intangible asset should be reliably measurable.

Thus, these are key issues in the recognition of intangible assets:

- They are identifiable.
- The entity has the right to control the assets.
- The assets have the potential to produce future economic benefits.
- They lack physical substance.

2.1 An identifiable item

Developed software is an intangible asset that can be sold separately from the rest of the business. A patent can also be sold separately and is therefore identifiable.

Key principle: Recognition of intangible assets

The first requirement for an item to be recognised as an intangible asset is that it must be identifiable. An asset is identifiable if it meets either of the following criteria:

- It arises from a contractual or other legal right.
- It is separable, which means that it can be traded separately from the rest of the business.

Internally generated goodwill is an asset that gives rise to future benefits but lacks physical substance. It is, therefore, similar to an intangible asset. However, internally generated goodwill (e.g. a business's good name or assembled workforce) cannot be sold separately from the business. It is thus not separately identifiable and does not meet the definition of an intangible asset. Internally generated goodwill represents the difference between the value of the business as a whole and the fair value of the attributable assets less the liabilities of that business. If a group of assets is acquired and each individual asset's fair value is determined, but the group of assets together is worth more than the sum of the individual fair values, the excess is called goodwill. That goodwill is recognised as an asset (acquired goodwill) by the entity that bought those assets in a single transaction. (This is discussed in more detail in

[Chapter 25](#), *Business combinations*.)

2.2 The right to control the asset

The second requirement for an item to be recognised as an intangible asset is that the entity wishing to do so should control the asset. In accounting, ‘control of an asset’ means ‘the power to benefit from the asset’. This normally stems from some legal right (such as the registration of a patent, a copyright or a franchise, or the possession of a licence). Control is necessary to ensure that the entity can benefit from the item and others cannot. For example, if you developed a new product and published the manufacturing specifications in the newspaper so that anyone could manufacture it, you would not control the design of the product as it would be possible for everyone who has the design to manufacture the product. However, the recipe for Coca-Cola is a closely guarded secret, which implies that control exists.

An intangible asset lacks physical substance, so control is sometimes difficult to prove. In some cases, ownership or control can only be established by a certificate that signifies legal control. However, a lack of proof of ownership should not prevent you from concluding that an entity controls an intangible asset if you can establish that this is the case.

Some intangible items can never be controlled. For example, an entity cannot control its employees or its customers.

Skilled and experienced employees, no matter how well they are remunerated, can resign or pass away. Loyal customers can change their minds. These intangible items (the relationship with customers and the expertise of employees) should not be recognised as intangible assets as they are not controlled by the entity. However, when an employer pays a large capital sum upfront to recruit a skilled employee, the definition and recognition criteria of an intangible asset may be met. If the employee is required by way of a contract to work for the employer for a fixed period after receiving the capital amount, the amount paid should be capitalised and amortised over the period for which future benefits are expected from the payment.

Example of identifying intangible assets

An entity acquires a group of items at a total cost of CU250 000 from a wholesale supplier. *For the purposes of this example, when combined, these items meet the definition of a business.* The intention is to make wooden pencil cases from the items.

The items acquired are valued as follows at their acquisition date:

- Raw materials: CU150 000
- Design of the product: CU50 000
- Labels and packaging for the completed product: CU20 000.

The items acquired consist of tangible inventory (raw materials, labels and packaging) and an intangible item (the design to make the product). Although the design will be located on something physical (for example, in an electronic format on a computer hard drive or a paper document), the value of the design is the information that is available in the electronic format or on the paper document. This is why it is described as an intangible item. The entity recognised this value in the amount it was prepared to pay for the design.

However, for the entity to be able to make and sell the product successfully, it needs all three assets, which is why it was prepared to pay an excess amount of CU30 000

(CU250 000 – [CU150 000 + CU50 000 + CU20 000]) for the combined assets. This excess is referred to as 'goodwill'.

Because you are able to identify the value of the design separately from the goodwill, the design and the goodwill should be recognised as two different assets. The entity has paid for the goodwill, and you can therefore measure it. Thus, the goodwill should be recognised at CU30 000. Goodwill is not an identifiable item and it is therefore not an intangible asset in terms of IAS 38 but it is accounted for in accordance with IFRS 3, *Business Combinations* (see [Chapter 25](#)).

2.3 The potential to produce future economic benefits

The third requirement for an item to be recognised as an intangible asset is that the asset has the potential to produce economic benefits such as the following:

- The potential to produce contractual cash flows or another economic resource
- The potential to exchange economic resources with another party on favourable terms
- The potential to produce cash inflows or avoid cash outflows, or receive cash or other economic resources by selling an economic resource
- The potential to be used to settle liabilities.

The future economic benefits generated by the intangible asset may be a result of the profits generated from the manufacture and sale of a product derived from the intangible asset (for example, a patent) or from the resale value of the intangible asset itself. The potential for inflows of benefits is related to the intended use of the intangible asset. You must be able to identify a market for the derived product or for the intangible asset itself or demonstrate that revenue will flow from its use. Future economic benefits can also arise from future cost savings from a new manufacturing process or design. You should not recognise a patent as an asset if it is no longer being used, as the patent no longer has the potential to produce economic benefits.

2.4 A lack of physical substance

A key characteristic in the definition of an intangible asset is its lack of physical substance. Sometimes, an intangible asset may be contained on or in a tangible item (for example, computer software and licensing agreements). Where there are such 'combined' assets, you should use your judgement in determining if the most significant element is tangible or intangible. For example, the software that is loaded onto a compact disc is likely to be a more significant element than the tangible disc, and so the entire disc and its contents would be classified as an intangible asset.

However, if you cannot decide whether an asset is tangible or intangible, the whole asset is treated as a tangible asset. For example, neither the operating system (intangible component) nor the physical components (tangible component) of a computer may be the more significant component, thus the entire computer and operating system should be classified as property, plant and equipment.



Something to think about

Classification as intangible assets

[Table 12.1](#) lists examples of some types of intangible assets. For each type of asset listed, think about why the examples may be classified as intangible assets.

Table 12.1 Examples of intangible assets

Contract-based intangible assets	• Licensing agreements • Service contracts • Lease agreements • Franchise agreements • Broadcast rights • Sport employment contracts • Use rights (such as drilling rights or water rights)
Technology-based intangible assets	• Patented technology • Computer software • Applications
Operation-related intangible assets	• Labels, designs and patterns • Trade secrets (such as secret formulae and recipes)
Consumer-related intangible assets	• Customer lists and contact details • Order books • Customer relationships
Artistic-related intangible assets	• Performance events • Literary works • Musical works • Pictures and artefacts • Motion pictures and television programmes

Marketing-related intangible assets	• Trademarks • Newspaper mastheads • Internet domain names • Non-competition agreements
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ETHICAL DILEMMA

Ethical dilemmas can arise in various aspects of intangible assets. Here are some examples of ethical dilemmas related to intangible assets:

- **Intellectual property infringement:** Entities (and individuals) may be tempted to use or exploit another entity's intellectual property without proper authorisation. This can involve copying copyrighted material, misappropriating trade secrets or infringing upon patented inventions. Balancing the desire for innovation and competition with respect for intellectual property rights can be an ethical challenge.
- **Patent trolling:** Some entities acquire patents not for the purpose of innovation or development but solely to assert legal claims and demand licensing fees or settlements. This practice, known as patent trolling, can raise ethical concerns as it can stifle innovation, create unnecessary legal battles and burden businesses with unjust financial obligations.
- **Open-source compliance:** Many software applications and technologies rely on open-source components with specific licensing requirements. Ethical dilemmas can arise when entities fail to comply with these requirements, either by not providing proper attribution or by not releasing their modifications or enhancements to the open-source community. Violating open-source licences can harm the community's trust and undermine the principles of collaborative development.
- **Data privacy and security:** Intangible assets such as customer data, user information and proprietary algorithms carry ethical responsibilities for their custodians. Entities must balance collecting and using data for legitimate purposes while ensuring privacy, data protection and security. Ethical dilemmas can arise when entities fail to obtain informed consent, sell or mishandle personal data, or engage in unauthorised surveillance practices.
- **Misleading advertising and branding:** Entities may engage in deceptive practices by misrepresenting their products or services' capabilities, qualities or benefits. This can include false advertising claims, exaggerated marketing statements or the manipulation of consumer perceptions. Ethical dilemmas emerge when businesses prioritise short-term gains over long-term trust and customer transparency.

Addressing these ethical dilemmas requires an entity to develop robust policies and practices that promote integrity, transparency, and respect for intellectual property rights, privacy and fairness. It is essential to prioritise responsible and ethical behaviour to foster trust and maintain a sustainable and equitable marketplace for intangible assets.

3 Initial recognition and measurement

Something to do

Refer to the illustrative examples accompanying IAS 38 for more examples relating to identifying an intangible asset.

Accountants experience a number of problems when determining whether an intangible asset should be recognised and at what value the asset should be measured, including the following:

- Should the asset be recognised when it is discovered, when an amount is paid or later when the benefits (if any) materialise?
- What benefits are expected, and can the benefits be isolated?
- How do we determine the cost of the intangible asset?

If the cost of an asset cannot be reliably measured (even though the fair value is determinable) the asset cannot be recognised, because a specific requirement of IAS 38 is that the asset should be measured at cost. This has particular consequences for the recognition of intangible assets that are generated internally rather than acquired. It also causes differences in the statements of financial position of entities that generate assets internally and those that acquire assets.

The cost of an intangible asset is the cash consideration paid for the asset (or, if another form of consideration is given, the fair value of that other consideration), which is determined at the time of its acquisition. The cost of an intangible asset can easily be determined when the asset is acquired from a third party. But when the item is generated internally (such as knowledge that is developed within the entity), IAS 38 requires specific conditions to be met before you can recognise and measure the costs of obtaining this knowledge as an intangible asset.

3.1 Acquired intangible assets

Acquired intangible assets normally have a measurable cost price, which was the purchase consideration. When an intangible asset is acquired separately, the cash paid for that asset could represent its full cost, but this cost could also include any expenses that were incurred when preparing the asset for its intended use (for example, registration fees).

The cost of a separately acquired intangible asset is made up of the following:

- Its purchase price, including any import duties and non-refundable purchase taxes, less discounts and rebates
- Any directly attributable costs (for example, staff costs, professional fees, cost of testing and other similar costs).

If payment for an intangible asset is deferred beyond normal credit terms, then the cost is the cash price equivalent. The balance is treated as a finance charge over the financing period.

Where an intangible asset is acquired in exchange for another asset (in a transaction that has commercial substance), the acquired asset is measured at the fair value of the asset given up unless the fair value cannot be reliably measured, in which case the acquired asset should be measured at the fair value of the asset received or, if that is unknown, the carrying amount of the asset given up. (Refer to Section 3.2.3. in [Chapter 10](#), *Property, plant and equipment*.)

The cost price of an intangible asset that is acquired as part of a business combination (as defined in IFRS 3, *Business Combinations*) is its fair value at the acquisition date (see [Chapter 25](#)). The acquirer must recognise the identifiable assets and liabilities arising from a business combination separately at the date of acquisition. These assets must be recognised irrespective of whether the subsidiary has previously recognised them. For example, an entity may acquire a subsidiary for an amount that includes a value for trademarks, brand names, customer lists, customer contracts and other similar intangible assets inherent in the subsidiary. Such intangible assets acquired should be recognised separately from goodwill in the group financial statements and measured at their fair values.

An entity could also obtain an intangible asset (an import licence) free of charge or at a nominal consideration through a government grant. (Refer to IAS 20, *Accounting for Government Grants and Disclosure of Government Assistance*.) In such a case, you would normally recognise the intangible asset at its fair value at the date on which the entity received it, but you are also allowed to recognise such an asset at the nominal cost plus any costs directly attributable to preparing the asset for its intended use.

IFRS for SMEs Accounting Standard application

Section 18 stipulates that the cost of an intangible asset acquired in a government grant is its fair value.

3.2 Internally generated intangible items

During normal day-to-day operations, a business constantly generates intangible items (for example, it trains its staff, accumulates good customer relationships and builds its brand). But the costs of generating these intangible items often cannot be differentiated from the daily costs of running and developing the business as a whole. If the cost of an **internally generated intangible item** cannot be identified or measured separately, it should not be recognised as an intangible asset.

An **internally generated intangible asset** is one that both results from the activities of an entity over a period of time and has a cost that can be measured. IAS 38 provides some guidelines relating to the measurement of internally generated intangible assets.

While an internally generated intangible item may seem similar to an acquired intangible asset, the accounting treatment may be different. For example, when a customer database is created by the entity during the ordinary course of business it will not be possible to recognise this as an intangible asset, but when an entity buys a customer database this purchase may be recognised as an intangible asset.

Critics argue that owing to this discrepancy, significant assets are omitted from large entities' statements of financial position, making their financial information irrelevant and incomparable.

Sections 3.2.1–3.2.3 discuss which internally generated intangible items can be recognised as an intangible asset and which cannot.

3.2.1 Internally generated research and development

Research is an intangible item that cannot be recognised as an intangible asset when it is generated internally, while development is an intangible item that can be recognised as an intangible asset when it is generated internally under certain circumstances.

IAS 38, paragraph 8, defines **research** as ‘original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding’. Research takes place before any indication that a feasible product will be developed, so research costs must always be expensed. At the research stage, it cannot be demonstrated that the costs will give rise to a probable future benefit, so the recognition criteria for an asset have not been satisfied. (The accounting principles are different when the entity buys existing research as an asset.)

In order to be an intangible asset, an item should no longer be at its research stage. You should differentiate between items that are still at the research stage and those that have reached the development stage.

Development is when research findings or other knowledge are applied to plan the production of new or substantially improved materials, products or processes before these are commercially produced or used. Development can be recognised as an internally generated intangible asset if the development costs are measurable and have a probable future benefit. In order for development costs to have a probable future benefit, management must intend to manufacture the product, the product must be feasible, sufficient resources must be available and a market must exist.

IAS 38, paragraph 57, lists the following six criteria that must **all** be demonstrated before you can capitalise an internally generated intangible asset in its development stage:

1. The technical feasibility of completing the intangible asset so that it will be available for use or sale
2. The intention of the developer to complete the intangible asset and use or sell it
3. The ability of the developer to use or sell the intangible asset
4. The way in which the intangible asset will generate probable future economic benefits
5. The availability of adequate technical, financial and other resources for the developer to complete the development of the asset, and to use or sell the intangible asset
6. The ability to measure the costs attributable to the intangible asset reliably during its development stage.

IFRS for SMEs
Accounting Standard application

Section 18 requires all internally generated intangibles to be expensed. Therefore, the six criteria listed here that must all be demonstrated before you can capitalise an internally generated intangible asset do not apply to entities complying with the *IFRS for*

SMEs Accounting Standard. In terms of Section 18, development costs may not be capitalised and should be expensed.

Where you cannot distinguish between the costs incurred during the research stage and the costs relating to the development stage, all the costs should be expensed when incurred.

Costs that were previously written off should not be reversed and capitalised in subsequent periods. If development costs were incurred at the initial stage of a product's development and you were unable to determine if a market existed, you would have concluded correctly that the costs incurred at the reporting date should be expensed. However, if the development stage continued in the following reporting period, more costs were incurred and you determined that a market did exist, you would conclude that the intangible asset should now be capitalised. You should not, however, reverse expenses that were previously written off or capitalise these in the current year, as you can only capitalise expenses incurred during the current reporting period from the date on which all the six criteria listed above are satisfied.

Key principle: Website development costs

Most entities have their own website, which serves to introduce the entity, its products and its services. With virtually every entity incurring costs on setting up a website, a real need arose to examine this issue from an accounting perspective. An interpretation standard, SIC-32, *Intangible Assets – Web Site Costs*, addresses these costs.

SIC-32 provides guidance on the treatment of website costs consistent with the criteria for the capitalisation of costs as set out in IAS 38. According to SIC-32, a website that has been developed for internal and external access is an internally generated intangible asset. Costs arising from the development of a website should be recognised as an intangible asset if (and only if) they comply with the following criteria:

- The general requirements for recognition and initial measurement are met.
- The entity can satisfy the six requirements relating to an internally generated intangible asset in its development stage.

A practical way to demonstrate this is in the form of a business plan that signals the feasibility of the development project, the availability of resources and the future cash flows that can reasonably be expected to be derived from it. In particular, the entity should demonstrate how its website is capable of generating revenue by enabling orders to be placed.

Where a website is developed to promote and advertise an entity's products and services, it does not meet the criteria for capitalisation of costs under IAS 38. Consequently, all costs of developing the website should be recognised as an expense when incurred.

Example of recognising research and development costs

An entity decided to design a new website for its business, hoping to benefit by selling some products via e-commerce. During the 20x4 reporting year, it researched how to design the website and what security systems would be required for the e-commerce transactions. At the end of the 20x4 reporting year, the full costs of the research amounted to CU60 000, which was expensed in profit or loss as the project was still at the research stage.

During 20x5, management obtained the help of a consultant and decided that sufficient research had been done on this website to go ahead with its development. The consultant charged CU50 000 for the development of the website, and management agreed to pay half of this when the development commenced. This amount was capitalised when it was paid by debiting an account called 'Website asset' by CU25 000. But there were many difficulties during the development, mainly resulting from the firewalls and security that needed to be added. At the end of the 20x5 reporting date, the entity was unsure whether this website would be feasible and whether the entity would be able to use it successfully. As a result, the entity correctly concluded that the CU25 000 charged by the consultant should be written off as an expense in profit or loss.

In the following year, 20x6, everything started to fall into place. New software programs became available that the entity could acquire and add to the website for security, and it was possible to test-run the website at the end of the financial year, with very good prospects. Management paid the consultant the second half of the CU50 000 and also incurred a further CU30 000 to pay for the new security software. At the 20x6 reporting date, the entity could prove the feasibility of the website and the availability of a market, and management planned to launch the website early in the new year. The entity concluded that the website met the definition and recognition criteria of an intangible asset, and decided to capitalise the costs incurred in the current year: CU25 000 + CU30 000 = CU55 000.

It is not permissible to reverse the CU25 000 previously written off.

Something to think about

IAS 38 was originally issued in 1998, and SIC-32 was first issued in 2002. At this time, Google was in its infancy, and Facebook, Twitter, LinkedIn and several modern web-based technology entities had not been founded. It is reasonable to say that web technology has progressed in ways that could not have been foreseen in 2002. The same can be said about business models and assets used to generate value, but to a lesser extent than web technology. For this and other reasons, the IASB has decided to undertake a comprehensive research project, including the possibility of a new accounting standard (IASB, 2022). For more information, go to the current projects page on [IFRS.org](https://www.iasb.org/).

3.2.2 Internally generated brands

As you are not able to measure a brand name that has been generated internally and has grown over the years owing to customer confidence and good advertising, you cannot recognise the brand name as an intangible asset. The value of a brand name can only be measured reliably when a willing buyer transacts with a willing seller in an arms-length transaction and the reasonable market value of the asset is determined through negotiation. This implies that you can only recognise an acquired brand name.

3.2.3 Internally generated goodwill

Internally generated goodwill is accumulated over time. It represents the loyalty of employees and customers, the ethos of a business, its team spirit and various other 'intangible' factors that make it successful. However, internally generated goodwill cannot be identified or measured, and therefore it does not meet the definition and recognition criteria of an intangible asset. (The only time that goodwill is measured is when a willing, informed buyer offers to purchase the business.) IAS 38 explicitly states that internally generated goodwill should not be recognised as an asset.

3.3 Costs that can never be capitalised as an intangible asset

IAS 38 requires all costs incurred on an intangible item to be written off as an expense unless they form part of the cost of an intangible asset that meets the recognition criteria. For example, when an entity incurs an expense to train its staff members, neither the staff nor the training costs meet the recognition criteria. These costs should therefore be expensed when incurred.

IAS 38 lists a number of costs that should always be expensed, either because they will not meet the definition criteria of intangible assets or because they will not meet the recognition criteria of intangible assets (or both):

- Start-up costs, such as legal and secretarial costs in starting a new business, pre-opening costs and launching costs (because there is no identifiable asset attached to them)
- Costs of training activities (because employees cannot be controlled and there is no identifiable asset)
 - Costs on advertising and promotional activities (because it is difficult to prove the future economic benefits of advertising and promotions, and there is no identifiable asset)
 - Costs of relocating or reorganising part or all of an entity (because it is difficult to prove the future economic benefits and there is no identifiable asset)
- Internally generated brands, such as newspaper mastheads, publishing titles, customer lists and other items similar in substance (because they have no cost; refer to Section 3.2.2).

Is advertising an asset or an expense?

Entities sometimes incur expenditure that may arguably be classified as an asset, as the amount incurred is measurable and the expenditure has the potential to produce future economic benefits, such as the expenditure incurred on a large advertising campaign. Accountants are often criticised when such costs are expensed when incurred, but the reason advertising is recorded as an expense and not an asset is the problem of measuring the future value of an advertising campaign.

The only time advertising costs can be recognised as an asset is when an amount has been pre-paid before the advertisement is screened or published.

The same principles apply to online advertising. Advertising may be valuable – even crucial for some businesses – and will lead to additional assets, but as we are unable to quantify the future economic value necessary for reporting it as an asset, advertising expenditures are reported as expenses in the reporting period in which the advertisements are run.

When an entity has decided to expense an amount spent on an intangible asset, that expense should not be recognised as part of the intangible asset's cost at a later date. Refer to the example above, where the entity expensed website development costs when it was unsure whether the website would be feasible. Those expensed costs could not be reversed and capitalised in the following year.



Link to the Sustainable Development Goals

Part of intangible assets relates to ideas, and encouraging the people or companies with ideas to benefit from their generation. Sustainable Development Goal 3 is 'Ensure healthy lives and promote well-being for all at all ages' (UN, 2015:14), which includes the aim of supporting the development of medicines and vaccines. With patent protections, scientists and other researchers can put time into these processes knowing that their ideas will be protected. These patents are then capitalised as intangible assets and this encourages the capital market to invest in such research.



Something to think about

B-BBEE credentials

In South Africa, several entities are incurring costs to acquire B-BBEE (Broad-Based Black Economic Empowerment) credentials. These costs must always be expensed, as it is impossible to prove they will create future economic benefits. In addition, the

benefits are not controlled, as the value depends on what competitors do. The first bank that gets B-BBEE credentials may benefit; however, once all the banks have B-BBEE credentials there is no benefit because B-BBEE will no longer work as a differentiator.

4 Subsequent measurement of intangible assets

Intangible assets should initially be recognised at cost, which is the sum of the costs incurred when the asset first met the recognition criteria of an intangible asset. Costs incurred after an asset's initial recognition are referred to as 'subsequent costs' (see Section 4.2).

Where an intangible asset is subsequently exchanged for another asset, the same principles should be applied as discussed in [Chapter 11](#), *Investment properties*. The new asset should be measured at the fair value of the asset given up, making adjustments for any cash amounts that were transferred.

4.1 Measurement bases

IAS 38 permits that intangible assets be measured using either the cost model or the revaluation model in subsequent periods. The same model should be used for all intangible assets in the same class, where a class of intangible assets refers to groupings of similar items, such as patents and trademarks, concession rights or brands. You should treat all assets in each class alike in order to avoid mixes of costs and fair values.

IFRS for SMEs Accounting Standard application

Section 18, *Intangible Assets Other Than Goodwill*, requires an entity to use only the cost model for intangible assets.

4.1.1 Cost model

When the cost model is used for the subsequent measurement of intangible assets, an intangible asset should be recognised at each subsequent reporting date at its carrying amount, which is determined as its cost less accumulated amortisation and impairment losses (as with property, plant and equipment). For an acquired intangible asset, the cost is the net cash consideration. For an internally generated intangible asset, the cost is the sum of the costs capitalised since the date on which it met the recognition criteria of an intangible asset. At each reporting date, the carrying amount is determined by deducting the accumulated amortisation from the cost of the asset (see Section 4.3).

At the same time, an intangible asset should be considered for any impairment. An impairment loss should be recognised if the carrying amount of the asset is higher than the recoverable amount of the asset (the higher of the value in use or the net selling price). (Refer to Section 4.4 for a discussion of the impairment test.)

Amortisation and impairment are recognised in **profit or loss**.

Carrying amount at the reporting date = Cost of intangible asset less accumulated amortisation and accumulated impairment

Something to think about

Patents

Pharmaceutical entities spend millions developing new products that are then patented, which means that only they can produce that type of medication for the period that the patent runs. However, patents only last for a certain number of years. At the end of that period, any entity can produce similar products. These products are known as 'generic products', as they have the same function as the original product, but not the same trade name. Generic products are usually cheaper than the original product, as they are made by entities that have not incurred the significant development costs that the original company incurred. Because the company developing the product and obtaining the patent only controls the knowledge of how to produce the product for the period for which it has a patent, this is a significant factor in determining the amortisation period of the intangible asset (being the patent or capitalised development costs).

4.1.2 Revaluation model

As an alternative, IAS 38 allows the use of the revaluation model for the subsequent measurement of intangible assets. In this case, the carrying amount of an intangible asset is determined by measuring the asset at its fair value at the revaluation date. This fair value is based on the age and future prospects of the intangible asset at the revaluation date. After the revaluation date, the carrying amount of the intangible asset is determined at its fair value less subsequent accumulated amortisation and impairment losses.

Where the revaluation model is used, all the intangible assets within a specific class should be carried at their revalued carrying amounts, although, in the case where the fair value of one specific intangible asset cannot be determined owing to the lack of an active market (or for any other valid reason), such an asset should be carried at cost less any accumulated amortisation and impairment losses.

Fair value can only be determined when an **active market exists** for the asset. An active market exists when transactions occur with sufficient frequency and volume to provide pricing information on an ongoing basis. In the absence of an active market, an asset cannot be revalued and the cost model should be applied. Suppose it is no longer possible to determine a revalued intangible asset's fair value (with reference to an active market). In that case, the asset should be measured at its value at the date of its last revaluation less any subsequent accumulated amortisation and impairment losses. It is important to note that fair value is to be determined only by reference to an active market, so the use of valuation models and other techniques to determine fair value is not permitted (as discussed in [Chapter 4](#), *Fair value measurement*).

IAS 38 makes it clear that it is not common for an active market to exist for most intangible assets, as most of them are unique, and are bought and sold infrequently. The exception is for intangible assets such as taxi licences and fishing licences, which are bought and sold fairly frequently for publicly available prices.

Revaluations should be done at regular intervals; the intervals should be such that the carrying amount does not differ significantly from the fair value of the asset at the reporting date.

In those rare instances where it is appropriate to revalue an intangible asset, the same general principles that apply to the revaluation of property, plant and equipment also apply:

- The revaluation adjustment is included in other comprehensive income and the related revaluation surplus in the statement of changes in equity may be released to retained earnings (through the statement of changes in equity) when realised through sale or consumption (but the release may not be taken to profit or loss).

- The revaluation may be presented in either of the following ways:

- By eliminating the accumulated amortisation and impairment losses against the cost of the asset, and then increasing the net amount to the revalued amount
- By stating the asset at its gross replacement cost and restating the accumulated amortisation accordingly.
- If a revalued intangible is impaired, the impairment loss is first taken to other comprehensive income and the balance to profit or loss.

Revaluation gains and losses are recognised in **other comprehensive income**. (See [Chapter 10](#), *Property, plant and equipment*, for a more comprehensive discussion of these issues.)

Carrying amount = Revalued carrying amount less accumulated amortisation and accumulated impairment

4.2 Subsequent costs

Subsequent costs refer to costs incurred after the initial recognition date. Because of the unique nature of intangible assets, subsequent costs usually do not improve an asset or replace part of it. It is more likely that subsequent costs will maintain the expected future economic benefits embodied in an existing intangible asset rather than enhancing the expected future economic benefits. It is also difficult to attribute subsequent costs to a specific intangible asset as opposed to the business as a whole. It is therefore argued that owing to the unique nature of intangible assets, subsequent costs are most likely not to meet the recognition criteria and should thus be expensed.

Subsequent research costs as well as subsequent development costs that do not meet the definition and recognition criteria of an intangible asset should be recognised as an expense in profit or loss, as discussed in Section 3.

Example of subsequent costs

In the previous example, the entity developed a website that had a capitalised cost of CU55 000 at the 20x6 reporting date. At the beginning of the next reporting period, the company introduced new, imported products and upgraded the website at a cost of CU15 000 to facilitate the sale of these new products. The subsequent costs of CU15 000 should be tested against an asset's definition and recognition criteria. Suppose you concluded that the company could measure these costs and that the receipt of future economic benefits from these additional costs is probable. In that case, you should capitalise the costs to the website asset.

4.3 Amortisation of intangible assets

Amortisation occurs when the initial cost of an intangible asset is systematically written off over its expected useful life. The amortisation of an intangible asset is conceptually the same as the depreciation of property, plant and equipment.

An intangible asset should be amortised over its expected useful life (the amortisation period) to its expected residual value on a systematic basis (the amortisation method). Amortisation should commence on the date on which the asset is available for use.

4.3.1 The amortisation period

IAS 38 suggests that you assess the useful life of an intangible asset on initial recognition as either indefinite or finite. If your assessment determines the life of an intangible asset as finite, you should be able to determine the length of life of that asset or the number of units to be produced through the usage of the asset. When determining the estimated useful life of an intangible asset, you will need to consider various factors, such as the period for which the entity will control the asset (in the case of a patent) or the legal limits on the use of the asset (in the case of a permit with an expiry date).

You should consider the following factors when determining the estimated **useful life** of an intangible asset:

- For what purpose will this asset be used and how long will the usage last?
- With a change in management teams (for example, when a brand is acquired), will the new management team be able to manage the asset effectively?
- What is the typical life cycle of the asset or of similar assets that are used in similar ways?
 - When will this asset become technically outdated or obsolete?
- What is the expected demand in the market for the product produced by the asset and how long is this market expected to last?
 - Will the ability of competitors to enter the market have an impact on the estimated future demand for the products or the asset?
- What are the maintenance requirements of the asset and will regular maintenance extend the expected useful life of the asset?
- Is the useful life of the asset dependent on the useful life of another asset? If so, what will the impact of this be?

Answering these questions is a cumbersome task that needs to be done at each reporting date in order to determine whether the remaining estimated useful life of each intangible asset is still valid. When a significant change in the remaining estimated useful life of an intangible asset is identified, the change should be recognised as a change in estimate and adjusted accordingly. (The accounting treatment for changes in estimates is discussed in [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*.)

Example of estimating the useful life of an intangible asset

An entity has purchased an exclusive right to generate hydroelectric power for 60 years. The costs of generating hydroelectric power are much lower than the costs of obtaining energy from alternative sources. The geographical area surrounding the power station is expected to demand a significant amount of energy from the power station for at least 60 years.

You should amortise the entity's right to generate power over 60 years.

4.3.2 The amortisation method

Intangible assets with a finite useful life should be amortised according to the same principles for depreciating property, plant and equipment. In both cases, the process involves the allocation of the depreciable amount on a systematic basis over the useful life of the asset. The amortisation method that you adopt should reflect the pattern in which the economic benefits from the asset are consumed over the asset's expected useful life. If you are unable to determine the pattern reliably, the straight-line method should be used. The amortisation period and the amortisation method should be reviewed at least at each reporting date.

The amortisation cost per annum should be recognised as an expense in profit or loss.

In some cases, an intangible asset is used in the production process (for example, a recipe). These intangible assets should have a portion of their amortisation costs allocated to the cost of the inventory on hand at the reporting date and these costs should not be expensed. However, to the extent that these items of inventory have been sold, any allocated amortisation costs should be recognised in profit or loss as part of the cost of sales. This treatment is identical to the treatment for the depreciation of manufacturing machinery.

4.3.3 Residual value

You should assume that the residual value of an intangible asset is **zero** unless you have a commitment from a third party to purchase the intangible asset at the end of its useful life at an agreed amount or unless an active market exists for the specific intangible asset. When you think that an **active market** exists for the intangible asset, you should determine the residual value with reference to that market by considering the probability that the market will still exist at the end of the asset's expected useful life. This implies that the residual value of an asset should be determined as the current amount receivable on disposal of the asset (less any estimated disposal costs) if the asset were of the age and in the condition expected at the end of its estimated useful life.

As is done with property, plant and equipment, residual values are required to be reassessed at each reporting date. All resulting changes should be adjusted prospectively, not retrospectively (in other words, no adjustments should be made to previous years).

4.3.4 Intangible assets with indefinite useful lives

An indefinite useful life implies that you are not able to place a foreseeable limit to the period over which the entity will continue to receive economic benefits from the asset. The term 'indefinite' does not mean that the asset has an infinite life, which means that the asset will last forever. An indefinite life means that with the proper maintenance, there is no foreseeable end to the life of the asset. In that case, the intangible asset will not be amortised (as that requires a useful life), but will instead be tested for impairment at each reporting date. A trademark such as Coca-Cola is an intangible asset that does not have a limited useful life and therefore should not be amortised.

In order for an intangible asset to have an indefinite life, it may be necessary for the entity to incur costs on a regular basis to maintain the asset. For example, the value of the Coca-Cola trademark is maintained through the regular outlay of funds by the owners in the form of sponsorships, advertising and so on. As these costs are expensed when

incurred, the annual profits of the entity are affected by these maintenance outlays. To require annual amortisation charges to be levied as well would result in a double charge in calculating profit or loss. Therefore, the trademark is not amortised.

IFRS for SMEs Accounting Standard application

Section 18 requires all intangible assets (including goodwill) to be regarded as having a finite useful life and states that they must be amortised. The useful life is presumed to be ten years if a reliable estimate cannot be made. When the useful life of an intangible asset arises from contractual or other legal rights, this useful life is limited to the period of the contractual or other legal rights, but may be reduced if the period of expected usage is shorter. The default residual value of an intangible asset is zero and is determined in the same way as prescribed in IAS 38. However, the reassessment of these estimates is required only when there is an indicator of a change in the residual value, the amortisation method or the useful life of the intangible asset.

4.4 Impairment of intangible assets

An asset is impaired if the carrying amount of the asset is higher than its recoverable amount (which is the higher of the asset's value in use or its fair value less costs to sell). You should determine the recoverable amount for an intangible asset with reference to IAS 36, *Impairment of Assets* (refer to [Chapter 15](#)).

Where an intangible asset has a finite useful life, an impairment test should only be performed if evidence exists to indicate that it has been impaired. Where the intangible asset has an indefinite useful life, an impairment test must be done annually, even if there is no indication of impairment.

As an intangible asset lacks a physical form that could show evidence of excessive usage, breakage or wear and tear, it is sometimes extremely difficult to notice whether an intangible asset is impaired or obsolete. You must be aware of this fact when considering whether a possible impairment does exist and when estimating the recoverable amount of an intangible asset. The fact that you have not been able to use the asset during the period or that you have deferred the starting date of using the asset is a good indication of impairment. Other factors to consider are the anticipated selling price of the product that would be produced as a result of the development costs. A decrease in this price is an indication that the asset may be impaired.

Example of calculating an amortisation period and an impairment loss

An entity purchased an exclusive right to operate a toll motorway for 30 years. At the time of buying the right, there was no plan to construct alternative routes in the area served by the motorway. It was expected that this motorway would be in use for at least 30 years. However, ten years later, an alternative route is being built. It is therefore anticipated that usage of the toll motorway will reduce substantially.

Initially, the entity amortised the right to operate the motorway over 30 years. This applied until such time as it became apparent that an alternative route was planned.

The fact that usage of the motorway is expected to drop is a typical factor that would indicate that the asset might be impaired. Accordingly, an asset impairment test should be done, which would involve discounting the future proceeds from the motorway (after taking into account the reduction in usage) in order to calculate the value in use of the motorway. It is unlikely that the fair value less costs to sell would be higher than the value in use. Therefore, if necessary, the carrying amount of the right to operate the toll road should be written down to its value in use and an impairment loss should be recognised in profit or loss.

5 Derecognition of intangible assets

You should remove any intangible assets that have been sold or are no longer used from the statement of financial position. When no future economic benefits are expected to flow from an intangible item, the item should no longer be recognised as an asset (in other words, it should be derecognised). The carrying amount should be reversed and a loss should be recognised in profit or loss.

When an intangible asset is sold, the difference between the fair value of the consideration received and the carrying amount of the asset should be recognised in profit or loss at the date of the sale. Where the consideration receivable is deferred, you should recognise the cash price equivalent of the consideration receivable as a debtor at the date of the sale. The difference between the nominal amount receivable and the cash price equivalent represents interest revenue, and should be recognised over the period until the settlement date.

6 Disclosure of intangible assets

The presentation issues relating to intangible assets are similar to those for property, plant and equipment. In both cases, disclosure of the estimates that were used in determining the annual expense (amortisation and/or impairment) and details of the subsequent measurement model selected are required.

6.1 Accounting policy

IAS 38 allows two methods for recognising intangible assets at the reporting date: the cost model and the revaluation model. In the accounting policy note, you should indicate to the reader of the financial statements which treatment has been applied to determine the carrying amount of intangible assets. You should also indicate in the accounting policy note whether the assets are estimated to have indefinite or finite useful lives and what the finite useful life is. In addition, you should mention the amortisation method applied.

Example of an accounting policy note

Intangible assets are initially recognised at cost. Intangible assets with a finite useful life are amortised over their expected useful lives (which range from 5 to 25 years) on the straight-line basis. Intangible assets that have indefinite useful lives are tested for impairment on an annual basis.

6.2 Disclosure in the statement of financial position

Intangible assets are normally disclosed as non-current assets on the face of the statement of financial position. In the notes to the financial statements, you should distinguish between internally generated intangible assets and

acquired intangible assets, and indicate their gross carrying amount and accumulated amortisation at the beginning and end of the reporting period.

You should also supply a summary that reconciles the opening and closing carrying amounts of the intangible assets on hand per class. The reconciliation should indicate the following information:

- Assets added during the year
- Increases and decreases during the year resulting from revaluations
- Assets derecognised during the year
- Impairment losses recognised in the statement of profit or loss and other comprehensive income, as well as reversals of impairment losses, if any
- Amortisation recognised for the period
- Any other changes to the carrying amount of assets during the period.

In addition, for each class of intangible assets, you should disclose the following information:

- Whether useful lives are indefinite or finite and, if finite, the useful lives or amortisation rates used
- The amortisation methods used.

For intangible assets with **indefinite useful lives**, the carrying amount and the reasons that support this assessment need to be provided.

For intangible assets that are stated at the revalued amount, you should disclose the following information for each class of intangible asset:

- The effective date of revaluation
- The carrying amount
- The carrying amount that would have been recognised had the cost model been used.

Material intangible assets should be listed separately. For material intangible assets, you should list the gross carrying amount, the remaining amortisation period and the carrying amount separately.

Where an intangible asset resulting from a **government grant** was initially recognised at its fair value, you should disclose the following information separately:

- The fair value of the asset
- The carrying amount

- Whether it is subsequently measured at cost or revalued.

An intangible asset with a restriction on its title or one that has been pledged as security should be listed separately. Where commitments exist for the acquisition of intangible assets in the future, these commitments should be noted. (Refer to [Chapter 16](#), *Provisions, contingent liabilities and contingent assets*, for a discussion on commitments.)

The following disclosures are encouraged, but are not required:

- A description of any fully amortised intangible asset that is still in use
- A brief description of significant intangible assets that are controlled by the entity, but are not recognised as assets because they did not meet the recognition criteria of IAS 38.

6.3 Disclosure in the statement of profit or loss and other comprehensive income

Profits or losses realised from the sale or derecognition of intangible assets during the period are disclosable items, as are amortisation and impairment losses relating to intangible assets. Profits are normally included as part of 'other income' in profit or loss on the face of the statement of profit or loss and other comprehensive income, while losses on the derecognition of an intangible asset, amortisation and impairment losses are classified depending on the nature or function of the expense.

You should list the aggregate amount of research and development costs recognised as an expense during the reporting period separately.

Key points to take from this chapter

- Intangible assets are assets without physical substance. The specific requirements relating to the recognition and measurement of intangible assets are set out in IAS 38, *Intangible Assets*.
- The cost of an intangible asset is the cash consideration paid for the asset (or the fair value of other consideration given) at the transaction date, which is determined at the time of its acquisition.
- An intangible asset is initially measured at cost, which is the amount at which the asset is acquired from a third party.
 - The cost of an internally generated intangible asset (such as knowledge that is developed within the entity) is not recognised as an asset unless specific conditions are met (for example, the reliable measurement of the cost of the asset and its potential to produce economic benefits).
- Research costs incurred on a research project conducted by the reporting entity are expensed when incurred. Development costs may be capitalised, provided that they are measurable, management has the intention to manufacture the product, the product is

feasible, sufficient resources are available for production and a market exists for the product.

- At subsequent reporting dates, intangible assets are measured using either the cost model or the revaluation model.

- The cost model requires that the carrying amount be determined as the cost less accumulated amortisation and accumulated impairment.

- An intangible asset is amortised over its estimated useful life to its residual value. However, the residual value of an intangible asset is assumed to be zero unless there is a commitment from a third party to purchase the intangible asset at the end of its useful life at an agreed amount or unless an active market exists for the specific intangible asset.

- The revaluation model is an alternative subsequent measurement for intangible assets. Revaluations should be done at regular intervals, and the intervals should be such that the carrying amount does not differ significantly from the fair value of the assets at the reporting date.

- The fair value of an intangible asset can only be determined when an active market exists for the asset. In the absence of an active market, an asset cannot be revalued and the cost model should be applied. IAS 38 makes it clear that it is not common for an active market to exist for most intangible assets, as most of them are unique, and they are bought and sold infrequently.

- Relevant information relating to intangible assets should be presented in the financial statements in such a way as to inform the decisions of users.

Discussion questions

Identify whether you would classify each of the items listed below as an intangible asset under IAS 38, *Intangible Assets*. Give reasons for your answers.

1. Registered logo

2. Copyrights that are protected

3. Computer software

4. Website developed by a third party

5. Website developed by the entity

6. University tuition fees paid by an employer on behalf of employees

7. Legal costs paid to intellectual property lawyers to register a patent

8. Advertising and promotion on the launch of a new product

9. Research into suitable medicine for HIV/Aids patients

10. Operating and broadcast rights

Exercise questions

A Ltd owns a freely transferable taxi operator's licence, which was acquired on 1 January 20x1 at an initial cost of CU100 000. Based on the period for which the licence is valid, its useful life is estimated at five years. Licences of this nature are frequently traded between existing operators or with aspiring operators.

At 31 December 20x2, the current reporting date, a similar licence traded at CU120 000.

You are required to do the following:

Prepare the journal entries for the year ended 31 December 20x2 under each of the following assumptions:

- Assumption 1: A Ltd has always applied the cost model for this class of intangible assets.
- Assumption 2: A Ltd has always applied the revaluation model for this class of intangible assets and accumulated amortisation is eliminated when the asset is revalued.

Ignore any tax implications.

Reference

International Accounting Standards Board (IASB). 2022. *IFRS Staff Paper, April 2022*. London: IFRS.

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available

https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

13

Inventory

IFRS reference

IAS 2: *Inventories*

IFRS for SMEs Accounting Standard reference

Section 13: *Inventories*

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Key points to take from this chapter

Discussion questions

Exercise questions

Reference

Learning objectives

By the end of this chapter, you should be able to:

- Apply the definition and recognition criteria of an asset (according to the *Conceptual Framework*) to inventory.
 - Apply the accrual concept in the context of inventory.
- Explain the term 'inventory' and why inventory is recognised as a current asset at the reporting date.
- Record inventory transactions using the perpetual or the periodic recording method.
- Calculate the cost of inventory (including manufactured inventory) with reference to purchased and manufactured inventory.
- Calculate the cost of inventory in accordance with IAS 2, *Inventories*, by applying the most appropriate costing method or formula (specific identification, first-in-first-out or weighted average cost).
- Calculate the cost of interchangeable inventory items using either the first-in-first-out formula or the weighted average costing formula.
- Distinguish between direct and indirect costs, and determine the appropriate portion of these costs to be included in the cost of manufactured inventory.
- Understand that inventory transferred to branches or other divisions at a transfer price (including a mark-up) should be recognised at cost in the financial statements of the entity.
- Recognise inventory on hand at the reporting date at the lower of cost or net realisable value.
 - Calculate the net realisable value for inventory on hand at the reporting date, and record and report any adjustments required to the carrying amount of inventory.
- Recognise the cost of inventory sold during the reporting period, as well as any other costs not included in the carrying amount of inventory on hand, in cost of sales.

- Identify the different classifications of inventory, draft an appropriate accounting policy note for inventory and present inventory in the financial statements of an entity to meet the disclosure requirements of IAS 2, *Inventories*.

Concept summary



1 Introduction

If you look at the current asset section of the statement of financial position of a retail or manufacturing business, you will generally find a significant balance for inventory or stock (as it was previously known). This chapter deals with determining the amount of inventory at the reporting date and the implications for profit or loss (P/L) for the year. IAS 2, *Inventories*, and Section 13 of the *IFRS for SMEs Accounting Standard, Inventories*, give the requirements for the recognition, measurement and presentation of inventory on hand at the reporting date.

An entity's inventory consists of assets held by the entity for sale in the ordinary course of business. Classification of assets as inventory, therefore, depends on the intention of management rather than the nature of the asset. Property may be classified as inventory if the entity buys and sells property and the property is intended to be sold in the ordinary course of business. However, if the same entity has a property that is used for administration purposes, that property would not be classified as inventory, as it is not being held for resale in the ordinary course of business.

The control of inventory represents a significant activity in an entity and lost inventory can result in large losses. Internal monitoring of inventory levels, costs of new purchases and production costs are important in the daily operations of an entity. Much thought goes into recording these activities to present valid, accurate and up-to-date information for inventory management purposes. You should refer to the discipline of cost and management accounting for these recording techniques and the decision-making process of management relating to inventory. In addition, you should refer to the discipline of auditing for internal controls implemented to safeguard inventory.

2 Accounting for inventory

To recognise an item as **inventory**, the definition of an asset must be met (refer to [Chapter 1](#), *The financial reporting environment and frameworks*). An asset is defined as a present economic resource controlled by the entity as a result of past events. Inventory has the potential to produce economic benefits when goods or services are sold to customers in exchange for cash, therefore inventory can be recognised as an asset.

2.1 Definition of inventory

According to IAS 2, inventory can be defined in any of the following three ways:

- Assets that are **held for sale** in the ordinary course of business
- Assets that are used in the process of **production for sale** in the ordinary course of business
- Assets that are in the form of materials or supplies to be **consumed** in the production process or in the rendering of services.

The recognition of inventory as an asset is dependent on whether the definition of an asset is met, and recognition is appropriate if it results in the presentation and disclosure of information that is relevant and a faithful representation of the inventory on hand at the reporting date.

Inventory is **initially recognised** when the buyer (or purchaser) obtains control of the inventory as a result of a past event and the inventory acquired is a resource that has the potential to produce economic benefits.

Inventory

... refers to assets that are held for sale in the ordinary course of business, assets that are used in the process of production for sale in the ordinary course of business, or assets in the form of materials or supplies to be consumed in the production process or in the rendering of services.

Thus, to identify whether the purchase of an item should be recognised as an inventory asset, you should consider whether the definition of an asset (according to the *Conceptual Framework*) has been met by asking three questions:

- Does the entity have control of the asset?
- What are the rights associated with the asset?
- Does the asset have the potential to produce economic benefits?

These questions are discussed below.

2.1.1 Does the entity have control of the asset?

To be defined as an asset, the entity must **control** an item. The control of the item purchased results from a past event, which is the transaction date. This is usually when the item was delivered to the entity. For example, an asset is recognised if an entity purchased an item this year and can sell it next year.

Control of inventory is obtained when the risks and rewards of ownership have passed to the entity:

- The risk of owning inventory is the risk of loss if the inventory becomes obsolete or is damaged.
- The rewards of owning inventory are that the goods can be sold at a profit.

Sometimes inventory is imported, in which case you must determine when the buyer obtained control of the inventory. When the buyer receives inventory, control generally passes, and the buyer has the risks and rewards of ownership. In this case, the buyer recognises the inventory. But what if there are delays in the delivery or the delivery of inventory takes time? Purchase contracts or agreements may stipulate when control transfers from the seller to the buyer.

Something to watch

Watch the Learn Accounting video *Control*.

Example of determining the recognition date for inventory

Consider the scenarios that follow:

- A shipping contract stipulates 'free on board' shipment: When the conditions of the purchase stipulate that the imported inventory will be delivered to the customer 'free on board' (FOB) shipment, control is obtained when inventory is loaded on the ship. This is when the risks associated with ownership are transferred from the seller to the buyer. The buyer is responsible for the insurance of the inventory in transport, as control passed at the time of loading. If inventory has been acquired FOB shipment and it is still in transit at the reporting date, the buyer should recognise it as an inventory asset.
- The contract stipulates 'free on board' destination: When inventory is purchased FOB destination, control and the associated risks of ownership only pass from the supplier to the buyer when the inventory reaches its destination (for example, Cape Town harbour). For the time that the inventory is on board the ship, it remains the property of the supplier. If the inventory is still in transit at the reporting date, the buyer cannot recognise the inventory as an asset, as control has not yet passed. If the buyer has already paid for the inventory (or a portion thereof), this payment should be recognised as a deposit (current asset), which can be claimed from the supplier should the inventory not be delivered.
- Payment is deferred: Control passes irrespective of whether or not payment has been made for the asset. In accordance with the accrual basis of accounting, an asset is recognised when the buyer acquires control of the asset, not when payment is made.

These scenarios emphasise the principle that the recognition of inventory is dependent on control of the asset, as evidenced by the risks and rewards of ownership, rather than physical possession of the inventory.

Something to think about

What about inventory held by an agent?

Sometimes one party (a principal) engages another party (an agent) to act on behalf of, and for the benefit of, the principal. For example, a principal may engage an agent to arrange sales of goods controlled by the principal. If an agent has custody of inventory that the principal controls, that inventory is not an asset of the agent.

This is so because the principal controls the rights associated with the asset, as is evidenced by the risks (that the inventory will not be sold and returned to the principal) and rewards (the principal receives the economic benefits when the inventory is sold). The agent receives commission for its services as custodian of the inventory.

2.1.2 What are the rights associated with the asset?

An item that is purchased meets the definition of an asset when the entity that has obtained control of the item has the **right to receive economic benefits** from its sale. The present ability to direct the use of an economic resource exists if an entity has the right to use that economic resource in its activities or the entity is able to prevent other

parties from directing the use of the economic resource and from obtaining the economic benefits that may flow from it. For inventory, the entity that controls the inventory has the right to sell the inventory or use the inventory to produce other assets.

2.1.3 Does the asset have the potential to produce economic benefits?

An economic resource has the potential to **produce economic benefits** for an entity because it enables or entitles the entity to do, for example, one or more of the following:

- Receive contractual cash flows or another economic resource
- Exchange economic resources with another party on favourable terms
- Produce cash inflows or avoid cash outflows
- Receive cash or other economic resources by selling the economic resource
- Use the resource to settle liabilities.

Inventory on hand (the asset) has the potential to produce economic benefits when sold to a third party (for cash or on credit) or when used in the production of other assets.

2.2 Classification as a current asset

When inventory is on hand at the end of a financial year, it is reported as a **current asset** in the statement of financial position, as the inventory will be sold within the entity's operating cycle and is not held as an investment. The consumption of this current asset is an expense. When inventory is sold, it is no longer an asset and should be expensed in cost of sales.

Something to watch

Watch the Learn Accounting video The Asset Life Cycle, which explains the financial reporting process from initial recognition until derecognition.

2.3 Purchases, cost of sales and gross profit

When control of inventory items has been transferred, the seller should recognise the sale of inventory and the buyer should recognise the acquisition of inventory, because:

- Entity selling inventory = Supplier or seller of inventory
- Entity acquiring inventory = Purchaser or buyer.

Thus, purchased inventory is recognised as an asset. Inventory that has been sold is no longer recognised as an asset, but is expensed as cost of sales (refer to the life cycle of inventory in [Figure 13.1](#)).

Figure 13.1 Illustration of the life cycle of inventory



The **cost of sales** is normally the result of the movement between inventory recognised at the end of the reporting period less inventory recognised at the beginning of the reporting period, plus the cost of inventory acquired during the period as well as other costs and losses relating to inventory, such as inventory losses and damage to inventory items.

$$\text{Cost of sales} = \text{Opening inventory} + \text{Purchases} - \text{Purchase returns} + \text{Other costs} + \text{Losses relating to inventory} - \text{Closing inventory}$$

The cost of sales amount calculated for a manufacturing entity should include all conversion costs (refer to Section 4.6).

When inventory is sold, the sale is recognised as **revenue** (refer to [Chapter 22](#), *Revenue from contracts with customers*) and the cost of the inventory sold is recognised as **cost of sales**. Together with the actual cost of goods and services sold, cost of sales also includes the costs of inventory write-downs resulting from inventory that was lost, scrapped or written down to its net realisable value. Any **reversals** of previous write-downs of inventory arising from an increase in the net realisable value should be included as a reduction of cost of sales in the period when the reversal occurs (refer to Section 5). The difference between the revenue and cost of sales recognised is referred to as **gross profit**.

$$\text{Gross profit} = \text{Revenue (sales)} - \text{Cost of sales}$$

An entity should present **cost of sales**, either on the face of the statement of profit or loss and other comprehensive income (when the expenses are classified according to the functions of the entity; refer to Section 3.1.1) or in the notes. In addition to the disclosure of cost of sales, you should disclose the following amounts included when determining cost of sales separately (in the notes to the financial statements):

- The amount of any write-downs of inventory
- The amount of any reversal of any previous write-down
- The circumstances or events that led to the reversal of a write-down of inventory.

Thus, inventory acquired during the year that has not yet been sold at the reporting date is recognised as an asset. The main focus of this chapter is to determine the measurement of inventory that has not yet been sold at the reporting date, and that is recognised as a current asset in the statement of financial position.



ETHICAL DILEMMA

Inventories may contain counterfeit or unauthorised products unknowingly acquired from suppliers. Selling such products not only harms the business's reputation but also poses potential legal issues and risks to consumers. Identifying and addressing such items in the inventory requires ethical decision-making.

The origins of inventory items and their production methods can present ethical challenges. Ensuring supply chain transparency, promoting fair labour practices, and avoiding sourcing from suppliers involved in unethical activities such as child labour or environmental exploitation can be complex dilemmas when managing inventories.

In situations where there is limited supply or high demand, determining how to allocate and distribute inventory can raise ethical concerns. Ensuring fairness, avoiding favouritism and considering the needs of diverse stakeholders can present challenging ethical dilemmas.

2.4 Categorisation of inventory

Financial statements cannot include a full list of all inventory items on hand. Inventory is not grouped together in similar sections, for example, 'men's clothes' and 'women's clothes'. This classification is too detailed and irrelevant, and may confuse users of the financial statements. However, IAS 2 requires that a type of classification be made between the **major inventory categories** (as appropriate to the entity). This information shows the user of the financial statements whether the inventory is manufactured, held as merchandise or still in the process of being completed.

Possible categories of inventory include:

- Raw materials
- Work in progress
- Finished goods
- Merchandise
- Consumables.

These classifications identify the major types of inventory that are found in most businesses. Within these categories, some specialised entities have their own, specific types of inventory that are classified differently.

The **type of operations** in which an entity is involved determines the classifications of inventory. For example, a food manufacturer such as Tiger Brands, which sells sandwich spreads such as peanut butter, will have peanuts and glass jars as inventory. The peanuts are classified as raw materials that have to be processed to make peanut butter (final product), while the glass jars have been bought as finished products and are resold together with the peanut butter. On the other hand, Foschini is a retail business, so inventory is primarily merchandise, specifically clothes bought for resale. For this reason, there is limited work in progress or raw materials, as would be associated with a manufacturing business such as Tiger Brands. Service industries may also have inventory: that is, either consumables that will be used in rendering services, or the cost of services already provided for which an entity has not yet recognised the revenue.

In some businesses, vehicles and machinery may be classified as inventory rather than the usual classification as property, plant and equipment, depending on the intentions of management. If, at the reporting date, a motor

manufacturer or dealer has vehicles on hand that have not yet been sold, those vehicles represent inventory, as they are held for trading purposes and will be sold in the near future. Vehicles on hand at a dealership at the reporting date may be classified as merchandise, while vehicles produced during the year and not yet completed are classified as work in progress. Vehicles and machinery held or manufactured for trading purposes should not be confused with long-term assets (for example, property, plant and equipment) that are owned by an entity and that are part of the capital assets used to produce revenue.

Owing to the diverse nature of inventory, you need to ensure that the information presented in the financial statements is comparable. Similar categories of inventory must be disclosed together with comparatives, and changes relating to the classification of inventory categories must be indicated to the users of the financial statements.

[Table 13.1](#) gives an overview of the various inventory classes, with a description of each and references to the relevant IFRS Standard or the *IFRS for SMEs* Accounting Standard.

Table 13.1 The most common major types of inventory

Classification	Description	Type of business	IAS 2 reference	Section 13 reference
Merchandise inventory	The cost of goods purchased for resale and still on hand at the reporting date	Retail	Paragraph 6 (a)	Paragraph 13.1 (a)
Raw materials inventory	The cost of goods purchased for use in manufacture and not yet introduced into production at the reporting date	Manufacturing	Paragraph 6 (b) and (c)	Paragraph 13.1 (b) and (c)
Work-in-progress inventory	The cost of the raw material on which work has been started, but not yet finished, plus the direct labour cost applied to this material plus a share of fixed production overhead costs and any other directly attributable costs	Manufacturing	Paragraph 6 (b)	Paragraph 13 (b)
Finished goods inventory	The cost of the completed but unsold goods on hand at the end of the year	Manufacturing	Paragraph 6 (a)	Paragraph 13 (a)
Consumables inventory	The cost of incidental materials consumable in the production process not yet incorporated into the end product, including items such as oil and cleaning materials	Retail, manufacturing or service	Paragraph 6 (c)	Paragraph 13 (c)

3 The recording and reporting of inventory

Accounting transactions are recorded when inventory is acquired and when it is sold. Accounting systems record inventory by applying one of the following two different methods for similar inventory items:

- The **periodic** recording method reflects inventory on hand at the end of each period (for example, at the end of every month).
- The **perpetual** recording method records inventory in real time. This means that the inventory on hand is always up to date.

The recording system chosen by an entity may depend on the following factors:

- The size of the business
- The sophistication of the entity's computerised accounting system
- The importance of having information on inventory levels that is always up to date.

The acquisition of inventory can be recorded either in a **purchases** account (if the periodic method is used) or in the **inventory asset** account (if the perpetual method is used). The choice between the two methods is a recording issue. The two methods result in identical reporting; the same amount is recognised and reported for inventory on hand and for cost of sales.

IAS 2 outlines the reporting requirements, which are the same regardless of the recording method used. Practical implementation issues determine whether recording is done using the periodic method or the perpetual method.

3.1 Recording inventory

Either the periodic recording method or the perpetual recording method must be applied when recording the purchase of inventory.

3.1.1 The periodic recording method

The periodic recording method accumulates all purchases during the year in a **purchases account**. The inventory asset account is only used at the end of the financial year, when the inventory on hand is counted and valued. When this method is applied, the inventory asset balance of the previous year, which is the inventory on hand at the beginning of the year, is added to the purchases (net of returns) during the year to determine the total amount of inventory available for sale during the year. When the inventory on hand at the end of the year is deducted from the inventory that is available for sale, the result is the cost of the inventory sold during the year. Similar to the discussion in Section 2.3, this cost of sales calculation can be summarised as follows:

$$\text{Cost of sales} = \text{Opening inventory} + \text{Purchases} - \text{Returns} - \text{Closing inventory}$$

When a trial balance that includes amounts for opening inventory on hand and purchases for the year is presented to you, the cost of sales balance has not yet been calculated. The closing inventory should then be counted in a physical stock-take and valued (at the lower of cost price or net realisable value). Then the cost of sales is determined by deducting the closing inventory on hand from the inventory that was available for sale during the period (opening inventory plus purchases less returns), as discussed above.

When the closing inventory is calculated correctly as the **quantity** of inventory on hand multiplied by the **cost price** (or net realisable value, if lower), it is correct to exclude any inventory losses from the value of inventory on hand at the end of the period. If the inventory is not on hand at the reporting date or has a net realisable value that is less than the cost price, the asset definition is not satisfied and the amount can therefore not be recognised as an asset.

The result is that these inventory losses are included in the cost of sales.

The periodic recording method is normally used when inventory consists of a few large items that can be identified and counted.

Example of recording inventory using the periodic recording method

Assume that a company has 100 units of inventory on hand at the beginning of its financial year at a cost price of CU5 each (excluding VAT). All purchases and sales of inventory are on credit. The transactions that have occurred during the year are illustrated below through journal entries.

The following journal entry is required when 900 units with a cost of CU5 each are received from the supplier:

			CU	CU
Dr		Purchases (900 units @ CU5 each)	4 500	
Dr		Input VAT (@15%)	675	
	Cr	Accounts payable		5 175

The following journal entry is required when 100 units received from the supplier are returned because of damage:

			CU	CU
Dr		Accounts payable	575	
	Cr	Input VAT (@15%)		75
	Cr	Goods returned (100 units @ CU5 each)		500

The following journal entry is required when 600 units are sold at a VAT-exclusive selling price of CU12 each:

			CU	CU
Dr		Accounts receivable	8 280	
	Cr	Output VAT (@15%)		1 080
	Cr	Sales (P/L) (600 units @ CU12 each)		7 200

With this method, when a sale occurs, there is no adjustment to inventory. This indicates that the accounting system cannot be used as a basis for determining how much inventory is still on hand at any particular point in time.

At the end of the period, the inventory on hand is counted at 290 units and valued at CU5 each, which shows that 10 units have been lost.

When using the periodic inventory system, the only way to determine how much inventory has been lost is to monitor the number of units available for sale and the number of units sold during the year in order to determine how many units should be on hand at the end of the year.

This figure can be compared with the physical number of units on hand: 100 (opening balance) + 900 (purchases) – 100 (returns) = 900 available for sale less 600 sold = 300 units should be on hand at the end of the period.

However, only 290 units were physically counted, meaning that 10 units were lost.

The following closing journal entry is recorded at the end of the period:

		CU	CU
Dr	Goods returned	500	
	Cr Inventory (opening balance)		500
	Cr Purchases		4 500
Dr	Inventory (closing balance) (290 units @ CU5 cost price)	1 450	
Dr	Cost of sales (P/L)	3 050	

The inventory on hand of CU1 450 represents the closing inventory not yet sold at the reporting date. This amount should be reported as a current asset. In the following year, the previous year's closing inventory represents the opening balance of inventory on hand and forms part of the inventory available for sale in that year.

The cost of sales is only calculated at the **end of the period** after a physical inventory count is done. At this stage, it is the balancing figure in the ledger account, as reflected below. The cost of sales includes the cost price of units sold during the year as well as the cost of any inventory losses during the year. If the entity has not kept track of what units should be on hand at the year-end, it cannot accurately determine the extent of inventory losses during the year.

The cost of sales is calculated in the cost of sales ledger account, applying the same information as used in the journal entry above.



The CU3 050 is the cost of the 600 units sold at CU5 each (CU3 000) and the cost of the 10 units lost (CU50). The gross profit for the period (CU4 150) is calculated as sales (CU7 200) less the cost of sales (CU3 050).

The actual mark-up on the cost price per unit (CU7) is the selling price per unit (CU12), less the cost price per unit (CU5). This should result in a gross profit of CU4 200 (600 units at a profit of CU7 per unit), but owing to the loss in inventory of 10 units, the gross profit is decreased by the cost of the 10 units lost (CU50), resulting in the actual gross profit of CU4 150 (CU4 200 – CU50).

3.1.2 The perpetual recording method

With modern computerised systems, real-time recording of inventory is easy. Barcodes are used to identify inventory items. Items can be located quickly, and units sold can be identified and matched to the inventory records individually. As a result, the perpetual recording method has become the more common method of recording inventory.

Inventory is recorded in an inventory asset account when acquired, and removed from the inventory asset account when sold. The result is that the **inventory asset account is continuously updated** with each inventory transaction, whether a purchase or a sale occurs. This means that there is no purchases account.

The inventory asset account is normally represented by a separate sub-ledger in a computerised accounting package.

In the perpetual inventory system, the inventory purchases are recorded directly in the inventory asset account, inventory items are identified when sold and the cost price of these inventory items is removed from the inventory asset account. In theory, this means that the balance in the inventory asset account always reflects the quantity and value of inventory on hand at any specific time.

Inventory sold is matched with inventory on hand to determine the quantity of inventory available for sale. Where volumes on hand are running low, items can be flagged for reordering. Large retailers may have vast quantities of inventory on hand at any point in time. Retailers cannot afford to close their doors to customers to conduct an inventory count, so inventory is counted on a regular basis (perpetual method) and compared to the inventory balance reflected in the inventory ledger.

When deciding between the two methods of recording inventory, a business should consider the advantages of modern technology and should take into account the controls that are implemented to secure its inventory. If the periodic recording method is used, inventory that has been lost will only be identified when the inventory is counted.

Periodic inventory counts at the reporting date may highlight inventory security problems when it is too late.

Regular inventory counts may show up specific problem areas much earlier.

Another advantage of an integrated computerised inventory system is the additional information that can be obtained from the system regarding low stock levels, slow-moving inventory, high-volume sales, and the effect discount sales have had on other inventory movements.

Example of recording inventory on the perpetual recording method

Assume that a company has 100 units of inventory on hand at the beginning of its financial year at a cost price of CU5 each (excluding VAT). All purchases and sales of inventory are on credit.

The transactions that have occurred during the year are illustrated below through journal entries. The journal entry for each transaction is given.

The following journal entry is required when inventory is received from the supplier:

			CU	CU
Dr		Inventory (900 units @ CU5 each)	4 500	
Dr		Input VAT (@15%)	675	
	Cr	Accounts payable		5 175

The following journal entry is required when 100 units received from the supplier are returned because of damage:

			CU	CU
Dr		Accounts payable	575	
	Cr	Input VAT (@15%)		75
	Cr	Inventory (100 units @ CU5 each)		500

When 600 units are sold at a selling price of CU12 each (excluding VAT), two entries are processed. One relates to the sale of goods, and the other to the cost of the goods sold:

			CU	CU
Dr		Accounts receivable	8 280	
	Cr	Output VAT (15%)		1 080
	Cr	Sales (P/L) (600 units @ CU12 each)		7 200

At the date of the sale, the cost of the inventory is credited against the inventory asset account:

			CU	CU
Dr		Cost of sales (P/L)	3 000	
	Cr	Inventory (600 units @ CU5 each)		3 000

Crediting inventory every time a sale takes place means that the balance of the inventory account in the ledger theoretically equates to the inventory available for sale at that date. When the perpetual method is used, inventory losses can be identified at any point by comparing the value of inventory on hand with the theoretical value of that inventory. As inventory records are maintained separately for each type of inventory, random testing on different inventory lines can be used to identify inventory control problems prior to the year end. If the value of inventory on hand is less than the carrying amount of that category of inventory in the ledger, the loss of inventory needs to be recognised as an adjustment to cost of sales.

The adjustment for inventory lost is recorded as follows:

			CU	CU
Dr		Cost of sales (P/L)	50	

Cr	Inventory (10 units @ CU5 cost price)	50
----	---------------------------------------	----

The closing balance on the inventory asset account of CU1 450 (CU500 opening balance + CU4 500 – CU500 – CU3 000 – CU50) (which is the same for the periodic method) represents the inventory on hand at the end of the period and is recognised in the statement of financial position as a current asset.

The cost of sales expense for the period (CU3 000 + CU50 = CU3 050) is recognised in profit or loss. The sales (CU7 200) less the cost of sales (CU3 050) gives the gross profit for the period (CU4 150).

Note that the two examples above give exactly the same results: inventory on hand at the end of the period amounts to CU1 450, sales amount to CU7 200 and the cost of sales amounts to CU3 050.

3.2 Reporting issues

The most significant issue relating to inventory is determining how much of the expenditure on inventory during the year should be recognised as the current asset **inventory** in the statement of financial position. It should, therefore, be carried forward to be recognised as an expense in future years. IAS 2 provides practical guidance on how to measure the inventory asset.

4 Measurement of inventory

Inventory controlled by the entity at the reporting date is measured by taking into account the number of units on hand and the cost or (if lower) the net realisable value of each unit.

Cost of inventory

... comprises all costs of purchases, costs of conversion and other costs incurred to bring the inventory to its current condition and location ready for sale (IAS 2).

4.1 How to determine cost

When inventory is purchased from the supplier, the purchaser normally receives an invoice that stipulates the **amount paid or payable to acquire the inventory**. The amount paid or payable to a supplier includes VAT, payable to the tax authority. The net difference between what is paid to the supplier and the VAT represents the cost price of the inventory. Therefore, cost excludes VAT, provided the entity is a registered VAT vendor. If it is not a registered vendor, the paid VAT is not recoverable and, as with any other expense, should be included in the inventory cost.

When inventory is **imported** and the cost price is payable in a foreign currency, the general principle is that the inventory should be measured at the spot rate (the exchange rate between the foreign currency and the local currency) on the transaction date. In other words, costs of inventory denominated in a foreign currency are determined at the exchange rate when ownership passes. Additional costs incurred (such as import duties, landing costs, handling costs and insurance costs) should be included in the cost of inventory.

$$\text{Cost of purchase} = \text{Purchase price} + \text{Import duties} + \text{Other direct costs}$$

In some instances, **extra work** needs to be done on inventory before it can be sold. Some items need to be modified, while others need to be cleaned or assembled. For example, when a second-hand car dealership purchases a vehicle, it may first need to incur costs to service the vehicle before selling it. Any costs that are incurred to get inventory into a saleable condition before it is ready for sale should be added to the cost of the inventory. The cost of inventory includes additional costs for modification, servicing, cleaning or assembly to the extent to which these are incurred to get the asset into a saleable condition.

The cost of inventory also includes all conversion costs to produce a finished product. For example, a manufacturing entity acquires raw materials, which are then used to produce furniture. During the production process, various other costs are incurred (for example, the labour cost paid to workers making furniture, the depreciation of the machinery used in the manufacturing process, the water and electricity used, and the cost of screws and hinges). These costs must be incurred in order to make the finished product and are all referred to as **conversion costs**. (The allocation of conversion costs to the cost of manufactured inventory is discussed in Section 4.6.)

$$\text{Cost of inventory} = \text{Purchase price} + \text{Conversion costs} + \text{Costs to get inventory to its place of sale} + \text{Costs to get inventory into a saleable condition}$$

Example of calculating the cost of inventory

An importer recorded the following transactions relating to a shipment of inventory that was received on 15 January 20x5:



The import duties and commission paid to the import agent were all costs incurred to get the inventory to its location of sale and should therefore be included in the cost price

of the inventory. The cost price per unit is therefore



Assuming that the importer has to pay for inventory in a foreign currency (the exporter's local currency), the spot rate at the transaction date (the date on which the risks and rewards of ownership are transferred) should be used to determine the cost price of the inventory purchased.

4.1.1 Storage costs

Storage costs should only be added to the cost of inventory if these costs are necessary to get the inventory into a saleable condition. Inventory on hand bought or produced in bulk is normally stored in large warehouses, ready and available for sale or transport to customers or retail outlets. Storage costs represent the rental of a large storeroom or warehouse and the insurance paid. At the same time, labour costs are paid to the employees controlling the inventory in storage. If inventory is stored just to keep items in a safe place and no additional costs are incurred to get the inventory to its existing condition and location, these costs should not be included in the cost of the inventory, but should rather be expensed when incurred. However, in some circumstances, the storage of inventory is necessary to add to the production process. If the storage costs are incurred as part of the production cost of the inventory in order to get the completed product to a ready-for-sale condition, these costs should be added to the cost of the inventory. On the other hand, costs incurred for the storage of raw materials (before being used in the production process) or the storage of completed, ready-for-sale inventory should not be added to the cost of inventory.

Example of storage costs included in the cost of inventory

Maturing wine over a period adds to its current condition. Wine cannot be sold if it has not been allowed to mature for a period under specific conditions. The cost of storing the wine until the necessary maturity time and condition have been reached should therefore be included in the cost of the final product.

4.1.2 Transport costs

Cost of inventory includes all **transport costs** incurred to get the inventory to a location where it can be sold. When inventory is transported to retail outlets, transport costs are incurred. This includes petrol costs and the depreciation of delivery vehicles. If the delivery of inventory from the warehouse to the place where it is sold is outsourced, a fixed transport fee is payable. The cost incurred to transport inventory from the supplier or from the warehouse to the place where it is available for sale represents costs incurred to get the inventory to a location where it can be sold.

In some instances, delivery of inventory to the buyer is a significant component of the sale. In such cases, the delivery fee is added to the cost price of inventory, as it is a necessary part of getting the inventory into a saleable condition.

Example of storage costs included in the cost of inventory

When inventory is produced in Cape Town and sold at outlets in Cape Town as well as in Knysna, transport costs are incurred to get the inventory to the Knysna branch. The result is that an item of inventory on hand in Cape Town has a lower cost price than a similar item of inventory on hand in Knysna.

4.1.3 Distribution costs

For some entities, the **distribution of inventory** from warehouses to various outlets represents a large cost. Distribution may be optimised by creating a separate distribution division, with employees responsible for carefully monitoring and controlling costs. Some entities do not include the distribution costs in the cost price of the inventory, but prefer to recognise all distribution costs as an expense, often so that the cost price and the selling price of inventory at various outlets throughout the country are standardised. When distribution costs are centralised as a separate division, the result is that the transport costs to get inventory to its location ready for sale are not included in the cost of the specific inventory items. This is a policy choice of the entity. From an accounting perspective, this policy is acceptable if it is applied consistently to all inventory items acquired over the period and from one period to the next in order to ensure that information included in the financial statements is comparable.



Link to the Sustainable Development Goals

Sustainable Development Goal 10 is 'Reduce inequality within and among countries' (UN, 2015:14). Where businesses distribute costs evenly across their operations, like the example above, they contribute towards this goal. In the example, all customers are charged the same

price, regardless of the different distribution costs to their locations, which reduces the inequalities that may exist between urban and rural customers.

4.1.4 Selling and marketing costs

Selling and marketing costs are not included in the cost of inventory. They are costs that are incurred after the transaction date, when the inventory is already in a saleable condition and at the place of sale, and additional costs are incurred to motivate the customer to buy the product (for example, advertising costs) or to motivate employees to sell the product (for example, sales commission costs). Selling costs include the costs incurred to deliver sold inventory items to the customer.

Instead of being added to the cost of inventory, selling and marketing costs should be recognised as an expense when incurred.

4.1.5 Inventory held on behalf of third parties

Some entities make use of **agents** to sell inventory on their behalf. An agent is normally an independent third party (not an employee of the business) who sells the inventory on behalf of the owner and receives a commission fee based on the number of units sold. Inventory on hand at an agent is sometimes also referred to as '**consignment inventory**', which is inventory that has been sent to the agent and is still on hand at the agent's premises at the reporting date. Ownership of consignment inventory only passes when the agent sells the inventory to a customer, and not when the inventory is delivered to the agent's premises. Agents do not assume the risks of ownership, even though agents can be held responsible for any inventory loss owing to negligence on their part. If an entity supplies goods to an agent, it should ensure that its insurance covers the inventory on hand at the agent's premises. Inventory on hand at the reporting date is still an asset of the original owner who supplied the agent and should be recognised as part of inventory on hand in the owner's statement of financial position. The commission paid to the agent is neither a cost incurred to get the inventory to a saleable condition nor a cost incurred to get the inventory to its place of sale; rather, it is a selling expense paid to the agent, who acts as a sales agent on behalf of the entity. Cost of inventory excludes any commission paid to agents, which should be treated as a selling expense.

4.1.6 Discounts and rebates

The cost of inventory is determined **after deducting any discounts or rebates received**. A standard condition of sale of some manufacturers or wholesale entities is that inventory is offered to retailers at a trade discount. A trade discount is a discount on the normal selling price and represents the price that the buyer will pay for the inventory. When a supplier offers a reduced price for prompt payment (an early settlement discount), the cost of the inventory is the amount net of the settlement discount if it is expected that the buyer will take advantage of the discount. The cost of the inventory is the amount that is expected to be paid, and not the amount on the invoice.

Example of inventory acquired at a discount

An entity purchased goods at the cost of CU20 450 and was offered a settlement discount of 2.5% if payment was made within 15 days of delivery. The company has a history of paying this supplier within one week of amounts falling due. As the buyer expects to receive the early settlement discount, the cost of the inventory is $\text{CU20 450} \times 97.5\% = \text{CU19 938.75}$.

Volume discounts are also offered when inventory is ordered in bulk. Retailers often utilise volume discounts when they can store the inventory, as volume discounts assist in optimising profit by reducing costs.

Rebates are cash payments made by the supplier to the customer once certain purchase thresholds have been reached. The cost price of the inventory must be reduced by an appropriate portion of the rebate. The cost price of inventory is the net price paid to the supplier for the inventory after any discounts are received and rebates granted.

Discounts and early settlements are discussed further in [Chapter 22](#), *Revenue from contracts with customers*.

4.1.7 Administration costs

Administration costs are incurred to administer the entity effectively and are not included in the cost of inventory. Examples of administrative costs are the cost of an effective accounting system, the cost of paying suppliers on time or the cost of collecting payments from customers on due dates. These costs (often called ‘non-manufacturing overheads’) do not add any value to the inventory on hand or the fact that the inventory is available for sale at the right place or in an acceptable condition. Administration costs should be expensed when incurred.

4.1.8 Deferred settlement terms

The arrangement contains a **financing component** where inventory is acquired on **deferred settlement terms** (where payment for the inventory is deferred beyond the normal credit terms for the entity). In this case, you should determine the present value of the deferred payment with reference to the prevailing interest rate applicable to similar debt. The difference between the present value of the deferred payment and the amount payable should then be recognised as a finance cost over the period of financing.

Example of measuring inventory acquired on deferred settlement terms

An entity acquires inventory at a price of CU120 000, payable in 16 months. The normal credit terms of the supplier are 30 days. This implies that credit has been granted to the entity beyond the normal credit terms. The supplier is therefore providing a financial benefit to the entity.

Suppose you assume that the prevailing interest rate on similar debt is 10%. In that case, you have to determine the present value of the deferred payment, taking into account that the entity effectively received a finance benefit for 15 months.

The present value factor (calculated on a monthly basis) of 10% over 15 months is equal to 0.88295.

Thus, the present value of CU120 000 amounts to approximately CU105 954.50, calculated as $CU120\,000 \times 0.88295$. The cost price of the inventory amounts to CU105 954.50, and the difference of CU14 045.50 should be recognised as an interest expense over the next 15 months, until payment is made.

The following journal entry is required at the transaction date (when control transfers to the buyer):

			CU	CU
Dr		Inventory	105 954.50	
	Cr	Accounts payable		105 954.50

The interest expense is recognised over the next 15 months. The interest expense for the following month should be accrued as follows:

			CU	CU
Dr		Interest expense (P/L)	882.95	
	Cr	Accounts payable		882.95

The interest expense is calculated as  (In this example, the interest is accrued on a monthly basis using compound interest principles.)

This entry will be repeated in a similar way for the remaining 14 months, resulting in the carrying amount of accounts payable at the end of the 15 months amounting to CU120 000.

At the settlement date, the outstanding amount of CU120 000 is settled as follows:

			CU	CU
Dr		Accounts payable	120 000	
	Cr	Bank		120 000

Example of inventory purchased on extended credit terms

In some cases, inventory is advertised with a 'cash selling price' and a 'credit selling price' (for example, 'Buy this television set today for CU15 000 or over 24 months at CU976 per month'). This advertisement does not say that the 24 monthly payments of CU976 per month add up to a total payment of CU23 424 (CU976 × 24 months) for the same television set. The supplier is charging an interest rate of 3.92% per month or 25% per annum on the credit transaction. Should you decide to buy the television on the credit terms, the cost price of the television is CU15 000 and the difference (CU23 424 – CU15 000 = CU8 424) represents finance costs, which should be recognised monthly over the credit period.

[Table 13.2](#) summarises the potential types of expenditure incurred that may influence the cost of inventory.

Table 13.2 What is included in the cost of inventory and what is excluded

The cost of inventory includes:	The cost of inventory excludes:
• The cost of purchases • Import duties and handling fees • The exchange rate when ownership passes	• VAT (if the entity is a VAT vendor) • Storage costs • Agents' commissions

• Transport costs to the place of sale • Conversion costs.	• Selling and marketing costs • Administration costs • Settlement discounts • Rebates • Finance costs for deferred payments or extended credit purchases.
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4.2 Abnormal wastage

Abnormal wastage relates to **significant misuse of resources** utilised during the inventory production process. When abnormal wastage occurs or wastage costs have to be paid, these costs should not be included in the cost of inventory. Still, they should be expensed as part of the cost of sales when incurred, as they cannot be carried forward in the statement of financial position as part of the cost of inventory. The amount reported as inventory must meet the definition and recognition criteria of an asset. If the amount written off is material, separate disclosure is required. Abnormal wastage distorts the gross profit percentage, so you need to disclose the effect of this write-off; the gross profit would not be a fair basis on which to predict the future profitability of the business.

Thus, any abnormal wastage of material, labour and production costs must be excluded from the cost of inventory and recognised immediately as part of the entity's cost of sales.

Example of damaged inventory

If a shipment of inventory is received, of which 25% is damaged with no claim against the supplier, that portion should be expensed, and the total cost of the shipment should not be allocated to the inventory that can be sold. The unit cost per inventory item should still relate to the cost at which it was acquired. If the total shipment cost amounted to CU100 000 for 1 000 items, of which 250 items are damaged, the remaining 750 should be valued at CU100 each (a total of CU75 000) and the cost relating to the damaged inventory of CU25 000 should be expensed in the statement of profit or loss and other comprehensive income as part of the cost of sales.

Something to think about

Determining the cost of inventory

Adding abnormal costs to the cost of manufactured inventory is not correct, as it would result in an overstatement of the actual cost of the inventory. For example, when a water pipe bursts in a factory where inventory is produced, the cost to repair the water pipe and any other cleaning-up costs should not be added to the inventory being produced at that time in the factory. Such costs are normally once-off costs that are the

result of exceptional circumstances, and they should be expensed when incurred. The wasted water does not have the potential to produce economic benefit in relation to the asset produced. Thus, including this cost as part of the inventory cost would not be appropriate.

This principle also refers to labour costs. For example, the wages paid to employees while on strike should not be added to production costs.



ETHICAL DILEMMA

Maintaining excessively high inventory levels can result in waste, as products may become obsolete, damaged or expire before being sold. This overstocking can be wasteful in terms of resources, finances and environmental impact.

This could apply to clothing retailers that stock seasonal styles of clothes that may go out of fashion, or food retailers who sell ready-prepared food that needs to be consumed the same day it is prepared. Deciding between reducing waste by ordering or preparing less inventory and ensuring sufficient stock to meet customer demand may result in an ethical dilemma.

4.3 Costs for a service provider

An entity providing a service to its clients does not have tangible inventory. Its inventory is actually the **time and service that have been provided** to clients by its employees, for which the related revenue has not yet been recognised. For example, service providers such as cleaners normally measure any inventory at the cost of providing that service. This cost would consist primarily of the labour, other costs of personnel directly engaged in the provision of the service, and the cost of materials used, such as cleaning products. Paragraph 19 of IAS 2 prohibits the inclusion of other costs relating to sales, general administration or profit margins in the value of inventory. Thus, the inventory cost of a service provider only includes the labour and other related costs of the personnel who provide the service and materials used.

A service provider's work-in-progress inventory is similar to that of a manufacturer and should be recognised as inventory, provided that the cost of the service offered can be measured reliably; it will give rise to a future benefit and payment for the services rendered is probable. In all respects, the deferred costs must meet an asset's definition and recognition criteria.

Therefore, the inventory cost of a service provider consists of the production cost that is still 'in progress' at the end of the reporting period, for which the service provider has not yet recognised any revenue.

Example of recognising the cost of inventory for a service provider

A lawyer who assists a client in a legal case has spent hours obtaining the necessary background information and evidence relating to the case, but has not charged her client for the time that has been spent so far. The lawyer keeps a record of the time that can be allocated to the specific legal case. The cost of this time is determined by the lawyer's salary, not the hourly rate that the client will be charged.

The client will pay the lawyer a charge-out rate (for example, CU1 000 per hour). That means the lawyer will invoice the client a fee based on the number of hours worked, at CU1 000 an hour. This would amount to CU50 000 for 50 hours of work done. The CU50 000 represents the revenue receivable by the lawyer, which must be recognised based on the revenue recognition principles discussed in [Chapter 22, Revenue from contracts with customers](#). If the case has not yet been finalised, the lawyer can recognise a portion of the revenue based on the stage of completion of the contract. The lawyer should base the stage of completion on the hours that they have spent so far compared to the total number of estimated hours.

The lawyer may have incurred certain costs in advance, for example, by getting an assistant to perform certain research prior to the court hearing date. These costs should be recorded as work-in-progress (an inventory asset), as economic benefits are expected from these costs. Such work-in-progress, which includes costs incurred in advance of work done by the firm, should be recognised as an asset on the statement of financial position and should be measured at the cost incurred.

When the related revenue of a service provider is recognised as a credit to profit or loss, the costs related to that revenue must simultaneously be recognised as an expense (see [Chapter 22, Revenue from contracts with customers](#)). Revenue should be recognised for work completed (in terms of the percentage-of-completion method), provided that the transaction's outcome is known.

You will likely find an insignificant balance for inventory in a service provider, as it is usually expensed when the work is done.

4.4 Costing formulae

The cost of the inventory carried forward as an asset should be the actual costs of the specific units on hand at the reporting date. In some entities, specific identification of the cost per unit is possible. For example, a motor dealership knows the actual cost of each vehicle on the shop floor. The dealership can accurately determine the cost price for each item on hand at the reporting date. If it is not possible to identify the cost of each item on hand specifically, then inventory should be measured at the aggregation of the individual costs of each item on hand at the reporting date. In reality, many entities have large quantities of interchangeable inventory items where it is impossible to link specific costs to specific units on hand.

When inventory is acquired during a period (for example, during a financial year), the inventory is all acquired at different dates. Inventory is constantly bought and sold during the year. Every time that inventory is bought, the cost price may be different. For example, suppose the prices charged by various suppliers differ, but the items are exactly the same.

In that case, the buyer will be motivated to acquire the inventory items at the best available price. Inventory bought in bulk may also result in cheaper unit prices than when small quantities are bought.

The following question then arises: when some of the inventory has been on hand since the prior year and additional inventory has been bought during the year, which of those items has been sold and which items are still on hand at the reporting date? If the items bought at a higher price are still on hand, that would be the cost price at which that inventory will be measured at the reporting date, but if the more expensive items have been sold, the inventory on

hand will be the cheaper items. This is very easy to track if each item is clearly marked with the date on which it was bought and the price at which it was bought, but it is not always practical to do so.

IAS 2 allows for the following **costing formulae** to allocate costs to inventory sold during the year and to measure the cost of inventory on hand at the end of the year:

- The specific identification formula
- For interchangeable items:
- The first-in-first-out (FIFO) formula
- The weighted average costing formula.

Something to watch

Watch the Learn Accounting video *Understanding Inventory Cost Allocation – FIFO and Weighted Average*, which explains two of the cost allocation methods: the first-in-first-out formula and the weighted average costing formula.

In some cases, an entity may use other techniques for determining the cost of inventory (for example, the **standard cost method** or the **retail method**) if the use of these methods is more convenient and the resulting values approximate cost. These methods are often referred to as techniques or **formulae to estimate the cost of inventory**, and are accepted formulae in cost and management accounting.

The allocation of costs incurred during the year between the units sold (which would constitute the cost of inventory expensed) and the inventory unsold at the year-end (the inventory reported on the statement of financial position) is dependent on which costing formula the entity chose to apply. You are required to apply the costing formula most applicable to your entity and your type of inventory. For example, the specific identification formula must be applied if goods are individually identifiable. IAS 2 requires you to apply the chosen cost formula consistently to similar items and also to apply it consistently from one period to another.

The costing formula applied to allocate costs to inventory should be stated in the inventory accounting policy note in the financial statements.

ETHICAL DILEMMA

Ethical dilemmas can arise in inventory valuation, as different valuation methods may lead to different financial results. Choosing a method that best represents the true value of inventory without intentionally manipulating financial statements requires ethical decision-making.

Example of using different costing formulae for different types of inventory

If an entity sells both clothing and sports equipment, the clothing and sports equipment are dissimilar; therefore, clothing can be valued according to the first-in-first-out formula and sports equipment according to the weighted average costing formula. However, the entity cannot value some clothing using the first-in-first-out formula and other clothing using the weighted average costing formula. Inventory must be measured using the same set of costing principles for similar items of inventory (creating **consistency**) and for every financial year presented (creating **comparability**).

The **specific identification formula** should be used where the inventory items are not ordinarily interchangeable and where goods and services are produced for specific products that can be determined through specific identification. For example, in the case of a large production plant that produces items based on the specifications of a client as set out in a contract, the production plant and all the costs related to the production can be identified, and so the specific identification formula should be applied.

The cost of other inventory should be calculated using the first-in-first-out formula or the weighted average costing formula. However, these formulae can only be used when inventory items are similar, irrespective of whether they are acquired from different suppliers or at different times during the year. For example, when raw flour is acquired from various suppliers and used in the bread-making process, the flour can be allocated to the cost of production according to either the first-in-first-out formula or the weighted average costing formula.

The application of the different costing methods is discussed in detail in [Chapter 6](#) of *Financial Accounting: An Introduction* (Kew, 2024), but the specific applications of the most common methods can be summarised as shown in [Figure 13.2](#).

Figure 13.2 Inventory costing formulae



4.4.1 The specific identification formula

The **specific identification formula** applies where each item of inventory can be identified and recognised at its actual cost. This gives the most accurate result and should be used wherever possible. The specific identification formula cannot be used where items are interchangeable.

4.4.2 The first-in-first-out formula

When inventory is valued on the **first-in-first-out formula**, the cost of inventory is calculated on the assumption that the inventory on hand at the beginning of the period will be sold first, and the latest inventory received will be the inventory on hand at the end of the period. Within a normal price-increase scenario, the cost of inventory on hand at the end of the period will be higher than the cost of inventory on hand at the beginning of the period.

When the cost of inventory on hand at the reporting date is determined according to the first-in-first-out formula, the cost of the last inventory acquired is allocated to the inventory on hand first, and then the cost of the inventory received before that.

Example of allocating costs according to the first-in-first-out costing formula

Inventory received during a period



If 225 units are on hand at 30 June 20x2, the cost of these units will be calculated as follows when the first-in-first-out formula is applied:



Assume that the inventory listed below was acquired during July 20x2.

Inventory acquired during July



To determine the cost of 290 units on hand at 31 July 20x2, you must apply the first-in-first-out formula:



Using the first-in-first-out cost formula, the inventory on hand at the end of June was assumed to be sold first in July, followed by the inventory purchased on 12 July 20x2, so that the latest purchases are still on hand at the end of July 20x2. As the units are interchangeable, it is impossible to determine exactly which units are on hand, and so an assumption must be made.

4.4.3 The weighted average costing formula

When the cost of inventory is determined according to the **weighted average costing formula**, the cost of all the inventory available for sale is divided by the number of units of all inventory available for sale for the period. The following formula can illustrate this:



Example of allocating costs according to the weighted average costing formula

If the weighted average costing formula is applied to the example in Section 4.4.2, it results in the following calculation of the cost per unit at 30 June 20x2:



$$\text{Inventory on hand} = \text{CU}11\,062.50 \text{ (225 units} \times \text{CU}49.17)$$

The cost of inventory on hand at 30 June 20x2 calculated on the weighted average costing formula amounts to CU11 062.50. This differs from the cost of inventory on hand calculated according to the first-in-first-out formula, which amounted to CU11 625.

In this example, the weighted average cost has been calculated for the interval period of one month, June. Suppose more inventory was received during July and the weighted average cost is calculated monthly. In that case, the inventory on hand at 30 June, valued at CU11 062.50, should be added to the July purchases to determine the weighted average cost of inventory on hand at the end of July 20x2.

In July, you could apply the weighted average costing formula as follows:



$$\text{Inventory on hand} = 290 \text{ units} \times \text{CU}53.07 = \text{CU}15\,390.30$$

There is a noticeable difference in the cost of inventory on hand at 31 July when the weighted average costing formula is applied compared to the cost of inventory when the first-in-first-out formula is applied.

In calculating the weighted average cost per unit above, the cost of the inventory on hand at the beginning of the month was added to the cost of the inventory acquired during the month to determine the cost per unit of all inventory on hand at the end of the period. In this case, the weighted average cost was determined every month or at monthly intervals.

Suppose the weighted average cost is calculated for a different interval (for example, for a year and not for a month or every time additional inventory is acquired). In that case, the cost per unit will differ. The recording method the entity uses may dictate the method by which the weighted average cost per unit is calculated. For example, where the entity records inventory transactions on the perpetual basis, the cost of sales must be calculated every time a sale is made. In this case, it may be more appropriate to calculate the weighted average cost per unit every time new inventory is acquired.

4.4.4 The retail formula

The **retail method** is used to measure inventory of large numbers of rapidly changing items with similar margins, for which it is impractical to use other costing methods. Entities with branches or divisions, such as supermarket and department store chains, often use this method of approximating cost. (Refer to Section 4.8 for a discussion of inventory held at branches.)

Inventory is initially measured at the retail price (which includes a percentage mark-up). When an inventory count is done, the inventory is valued at the retail price. When the inventory is valued at the reporting date, the unrealised mark-up included in the retail price should be **eliminated**, and the inventory should be valued at its approximate cost

price. This should be done per unit or product unless the gross profit percentage is consistent for a category of inventory, in which case the cost can be determined at the reporting date. In applying this method, care must be taken to ensure that gross margins are adjusted for inventory items discounted below their original selling price or recorded at a transfer price.

In some cases, an entity may also transfer its inventory to its branches at a mark-up that is determined between cost price and selling price (retail price). This is normally referred to as a transfer price. (Refer to Section 4.8 for a discussion of inventory at transfer price held at branches.)

The retail formula for valuing inventory may be used, provided that it consistently approximates the results that would be obtained by applying the first-in-first-out formula or the weighted average costing formula.

4.4.5 The standard costing formula

When applying the **standard costing formula** for inventory, manufacturing entities determine the 'standard' value of materials, direct and indirect labour, as well as overheads for each product, based on normal efficiency and capacity utilisation levels. A standard price (a fixed price) approximating the cost price is allocated to each inventory item. Inventory is then recorded at this standard cost price and variances between the standard and actual cost are recorded each time the standard price differs from the actual cost incurred. The variances are analysed and adjusted, either to the cost price of the inventory on hand or to the cost of goods sold, depending on the origin and reasons for the variances.

The standard costing method is usually studied in detail in the discipline of cost and management accounting. The standard costing formula for valuing inventory may be used, provided that it consistently approximates the results obtained by applying the first-in-first-out formula or the weighted average costing formula.

Something to think about

The last-in-first-out formula

Historically, the last-in-first-out (LIFO) costing formula was also allowed to be used to allocate costs. According to this formula, the costs of the latest units acquired were expensed, and the costs of the earlier units acquired were reported as inventory. Applying the last-in-first-out method is not allowed in terms of IAS 2.

The last-in-first-out formula is seen as inappropriate as the carrying amount of the inventory is based on the cost of the first units of that line of inventory ever acquired. In reality, an entity is likely to sell the oldest units of inventory and keep the newest units. The carrying amount of inventory calculated using the last-in-first-out basis would considerably understate the cost of inventory, even in times of moderate price increases.

4.5 Changes in the accounting policy for measuring costs

You have learnt that an entity should apply the same costing formula to similar inventories and from one accounting period to the next to achieve comparability of financial information. However, where an entity is of the opinion that another accounting policy will result in a fairer representation of the cost of inventory, the entity is allowed to

change its costing formula, provided that certain criteria are met. IAS 8, *Basis of Preparation of Financial Statements*, deals with changes in accounting policies and requires comparative information to be recalculated as if the new policy had always applied. A decision to change from the first-in-first-out formula to the weighted average formula (or vice versa) is a change in accounting policy. This implies that inventory balances should be recalculated by applying the new method to determine the effect of the change in the accounting policy on the retained earnings and current-year profits. (Refer to [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*, for a discussion and example of when an accounting policy is changed for inventory.)

4.6 Conversion costs

Converting inventory from a raw material condition to a finished product condition is normally a lengthy and expensive process. Conversion costs are included in the cost of manufactured inventory because the basic principle underlying the measurement of the cost of inventory is that the cost should include all costs incurred in getting the inventory to the condition in which it can be sold. IAS 2 deals with how to include the costs of conversion in calculating the cost of inventory.

In manufacturing, costs are incurred to convert raw material inventory into a condition in which the inventory can be sold. These costs include labour costs paid to the manufacturing staff, utility costs such as water and electricity, the cost of materials used in the production process, the cost of rent or depreciation on the factory building and the depreciation costs of the machinery used in the production process. These incurred costs are called ‘conversion costs’ or ‘production costs’. Conversion costs should be allocated to each unit produced during the period fairly and consistently to ensure that the cost of a completed unit or a unit still in the process of completion at the reporting date includes the cost of the raw materials used plus an appropriate portion of the conversion costs.

The basis on which costs are allocated depends on the type of cost. You must be able to identify the different categories of costs.

4.6.1 Classification of conversion costs

Conversion costs are divided into direct and indirect costs.

Direct costs are those costs that can be allocated directly to the production process and are directly attributable to each unit or group of units produced. Examples of direct costs are direct labour and the materials used. When an item of inventory is produced, a direct cost can be allocated (for example, one hour of labour at a cost of CU20 per hour or 15 kg of raw materials at a cost of CU2.50 per kg per unit produced). The result is that the direct costs incurred vary in direct relation to the number of units produced and are therefore all variable costs.

Indirect costs are costs that cannot be allocated to the production of a specific unit, but rather to the production process in general. They are also referred to as ‘production overheads’, ‘production overhead costs’ or just ‘overhead costs’. For example, a factory’s electricity costs, water costs, building maintenance costs and depreciation costs for the production machinery are all indirect costs. Indirect costs are divided into **variable costs and fixed costs**.

Variable costs (variable overhead production costs) vary depending on the number of units produced. A direct correlation exists between the variable overhead production cost incurred and the number of units produced. For example, the cost of electricity and water may increase when more units are produced, even though they will not increase in direct relation to the increased production.

Fixed costs (fixed overhead production costs) do not vary depending on the number of units produced. They stay constant, irrespective of the level of production. An example of fixed overhead production costs are the depreciation recognised on a factory building and the maintenance of that factory building, which generally remain fairly constant irrespective of the production volume. Fixed overhead production costs cannot be allocated to each unit that

is produced without taking into account the reasonableness of the number of units produced for the period or the number of hours worked during the period. This means that the fixed costs can only be allocated to the units produced for a period by considering the number of units produced or hours worked in relation to the factory's capacity (referred to as 'normal capacity'). Section 4.6.3 examines in more detail how fixed production overheads are allocated to the units produced during a period.

[Figure 13.3](#) gives an overview of conversion costs and their classification.

Figure 13.3 Classification of conversion costs



Cost of conversion = Direct costs + Indirect costs (including allocated production overheads)

Example of a variable expense

If water and electricity normally amount to CU5 000 per month when 5 000 units are produced, the cost may increase to CU6 000 when 8 000 units are produced. Thus, the cost increases when production increases, but not necessarily in the same ratio.

4.6.2 Classification and measurement of raw materials, work in progress and finished goods

Raw materials are the materials purchased for use in the production process to manufacture finished goods. Raw materials on hand at the reporting date should be recorded and measured separately. They should be measured at cost and their costs should be determined by applying one of the costing formulae (such as the first-in-first-out formula) to the quantity on hand.

As a production process is continuous, it is unlikely that the entity will complete all products before the year end. This may result in products that are incomplete at the end of the reporting date. We refer to the incomplete products as '**work in progress**'. When incomplete products are still on hand at the reporting date, some costs have been incurred to get them to their stage of completion and additional costs must still be incurred to complete them. It is therefore important that the costs incurred up to the reporting date be allocated to the products on hand based on their stage of completion. This should include a portion of direct labour and material costs as well as a portion of variable and fixed production overhead costs. Some production processes are extremely technical and sophisticated, where materials are added during the production process depending on the stage of completion. For example, some parts may be added at the initial stage of the production process, while further parts are added once the product is 80% complete. Costs must be allocated to each product systematically, including an appropriate portion of the production overhead costs (see Section 4.6.3).

Products on hand at the reporting date that are complete and have passed the quality control tests are available and ready for sale. These products are classified as '**finished goods**'. Costs incurred to get the completed products to the final ready-for-sale condition and location should all be included in the cost of the completed inventory. Finished goods on hand at the reporting date are measured at cost, where cost includes all direct and indirect production costs as well as an appropriate portion of the fixed production overheads.

4.6.3 Allocating fixed production overhead costs

IAS 2 requires the entity to allocate fixed production overheads to the costs of conversion for financial accounting purposes. This is normally referred to as the **absorption costing method**. According to the absorption costing method, direct costs, indirect costs and an appropriate portion of the fixed production overhead costs are allocated (or absorbed) to the cost of inventory on hand at the reporting date.

When applying a variable costing method (sometimes used for management accounting purposes), only direct costs are allocated to the cost of inventory on hand; no portion of production overhead costs (indirect costs) is allocated to the cost of inventory. Management may use a variable costing method for its own decision-making purposes, but the carrying amount of inventory on hand should then be adjusted to include a portion of the fixed production overhead costs when these are recognised in the statement of financial position. A variable costing method may not be used to measure inventory for financial accounting purposes but may be used for management accounting purposes.

When fixed production overhead costs are allocated among a number of units produced during a period, the cost per unit can vary significantly depending on the number of units produced. An entity should allocate fixed production overheads to the costs of conversion on the basis of the normal capacity of the production facilities. **Normal capacity** is the production expected to be achieved on average over a number of periods or seasons under normal circumstances, taking into account the loss of capacity resulting from planned maintenance. You may use the actual level of production if it approximates normal capacity.

However, when the actual level of production is below normal capacity as a result of low production or an idle plant, you should not increase the amount of fixed overhead costs allocated to each unit of production. For example, when the actual number of units produced is lower than the number of units the factory would normally produce during a similar period as a result of power shortages or labour strikes, the fixed production overheads should be allocated based on normal capacity.

Unallocated overheads should be recognised as a cost of sales expense in the period in which they are incurred. In periods of abnormally high production, the amount of fixed overhead costs allocated to each unit of production is decreased so that inventory is not measured at above cost. Variable production overheads are allocated to each unit of production on the basis of the actual use of the production facilities.

Non-production-related overheads (for example, overheads relating to the administrative activities or the storage of completed products) do not form part of production overheads (and are thus also not conversion costs) and are accounted for as an expense in the period in which they are incurred.

**Allocated production overheads = Fixed production overheads + Variable
production overheads**

An overview of direct and indirect costs in manufacturing inventory is presented in [Figure 13.4](#).

Figure 13.4 The flow of costs in a manufacturing environment



Example of allocating fixed overhead costs when production fluctuates

If the rent per month for a factory building amounts to CU25 000 and 5 000 units are produced per month, the fixed overhead cost per unit is 

However, suppose the number of units produced for a specific month decreases significantly as a result of a two-week labour strike. In that case, the fixed production overhead cost allocated to each unit will increase if the same method is used. If 2 000 units were produced during the month of the strike, the fixed overhead cost per unit for

the units produced during that month will increase to ■■■■

In this case, the fixed overhead costs allocated to the number of units have increased significantly owing to an abnormal event.

In order to ensure that the cost of inventory includes only amounts that actually relate to the production of those items and excludes costs that relate to abnormal events or underutilised capacity, you should allocate the fixed production overheads to the costs of conversion based on the normal capacity of the production facility.

The first step is to calculate the average level of production in a month (that is, the factory's normal capacity). The actual units produced can then be compared to the normal production per month. Fixed production overheads are then allocated based on normal capacity if the actual number of units produced during a month is fewer than the normal capacity.

If the same entity considers 5 000 units per month to be its normal production capacity per month, then, in the strike month, the fixed overhead cost per unit will still be CU5. The actual units produced ($\text{CU}5 \times 2\,000$) will give an allocation of CU10 000 of the total overheads cost of CU25 000 to the cost of conversion during the strike month. The difference between the overheads allocated to conversion costs (CU10 000) and the actual cost (CU25 000) arises because production levels were lower than normal. This CU15 000 should not be allocated to the cost of conversion during the strike month but should be expensed as part of the cost of sales expense, as it still relates to the production process.

The following journal entry is required for the allocation of fixed overhead costs when 2 000 units are produced (assuming that the periodic recording method is used):

			CU	CU
Dr		Production account ($2\,000 \times \text{CU}5$)	10 000	
Dr		Cost of sales (P/L)	15 000	
	Cr	Fixed overhead costs		25 000

If the amount is considered exceptional, it should be disclosed separately in the notes to the financial statements, along with its tax effect.

However, if, in the following month, the same production entity increases its production to 6 000 units, it cannot apply the fixed overhead cost of CU5 per unit to the 6 000 units produced, as this would result in a fixed overhead cost allocation of $\text{CU}5 \times 6\,000 =$

CU30 000 for the month, which is higher than the actual cost of CU25 000. The costs allocated to the units produced during a period cannot exceed the total overhead costs incurred. Therefore, in this situation, the cost per unit should be calculated on the actual

number of units produced, resulting in a cost of $\blacksquare = \text{CU}4.167$ per unit.

The following journal entry is required for the allocation of fixed overhead costs when 6 000 units are produced (assuming that the periodic recording method is used):

		CU	CU
Dr	Production account (6 000 × CU4.167)	25 000	
	Cr Fixed overhead costs		25 000

Example of calculation of conversion costs

Company A, which produces wooden chairs, has supplied you with the following information:



At the current reporting date, the company had raw materials on hand, costing CU8 000. There were no incomplete wooden chairs (work in progress). You have established that the workers usually work 2 000 hours per annum (the normal capacity).

You are required to determine the carrying amount of the completed wooden chairs on hand at the reporting date.

The fixed overhead costs should be allocated to the units produced during the period based on the normal capacity labour hours. The normal capacity labour hours amount to 2 000 and the total fixed overhead costs amount to CU80 000. The overhead allocation rate based on normal capacity labour hours amounts to $\blacksquare = \text{CU}40$ per hour.

However, the actual labour hours worked during the year were only 1 800. This implies that there was some idle time, which should not be allocated to the cost of the completed units. The fixed overhead costs that should be allocated to the units produced during the period amount to $\text{CU}40 \times 1\,800 \text{ hours} = \text{CU}72\,000$. The balance of CU8 000 should be expensed as part of the cost of sales (see the general ledger account below for the cost of sales). The total production costs of completed units amount to the following:



Example of calculation of conversion costs

By reconstructing the finished goods inventory account (using the perpetual recording method), you can determine the closing balance of the finished goods inventory as follows:

Assuming that the weighted average costing formula was applied, the closing finished goods on hand will be valued at CU182 per unit, calculated as (total costs divided by units available for sale during the period).

Notes

1 Cost of sales amounts to 900 units sold at CU182 = CU163 800.

2 Closing inventory units on hand amounts to $100 + 1\,000 - 900$ (sold) = 200 units. The carrying amount of the finished goods equals $CU182 \times 200$ units = CU36 400.

By reconstructing the cost of sales account, you can determine the amount to be recognised in profit or loss:

Key principle: Fixed production overhead costs

Fixed production overhead costs should be allocated to the units produced during a period based on the normal production capacity for the period, except when the number of actual units produced is greater than the normal capacity for the period. In this case, the actual capacity should be used to calculate the fixed overhead cost per unit produced.

[Table 13.3](#) explains the allocation of fixed overhead costs to the cost of inventory.

Table 13.3 How to calculate the fixed overhead cost per unit

If actual units produced > normal capacity:	Allocate fixed overhead costs based on actual units produced.
If actual units produced < normal capacity:	Allocate fixed overhead costs based on normal capacity.

Fixed overhead costs should be allocated to the inventory produced during a period on a systematic basis. Therefore, if some of the inventory produced during the period is still

on hand at the reporting date, a portion of the fixed overhead costs incurred during the period will be deferred and included in the carrying amount of inventory recognised in the statement of financial position. When allocating an appropriate portion of the fixed overhead production costs to the costs of conversion (that is, applying the absorption costing method), the cost at which inventory is recognised at the reporting date includes all direct and indirect costs incurred to produce those units as well as a portion of the fixed production overhead costs for the period.

Example of an accounting policy for manufactured inventory

Inventory on hand at the reporting date is measured at the lower of cost or net realisable value. Cost is determined by using the first-in-first-out cost formula.

Work in progress and finished goods are measured at direct manufacturing cost and an appropriate portion of fixed production overhead costs.

4.7 By-products and joint products

Sometimes in a production process, there are leftover materials that may be used to produce **by-products** that do not form part of the normal production process of the entity. A by-product is a secondary product resulting from the production of another item. For example, when leather is used to make leather jackets, the off-cut pieces of leather can be used to cover buttons that can be sold. If the off-cut pieces were not used, they would be discarded, but using them to cover buttons creates a new product item.

The only costs incurred to produce the by-product are the leftover materials, the button's cost, and a small amount of labour to assemble the button. It might be difficult to calculate the cost of making each button owing to these costs' insignificance. Generally, no costs are allocated to the by-products of a production process and any proceeds received when the by-products are sold should be credited to (deducted from) the production costs of the main product.

IAS 2 provides some guidelines to use in determining the cost of by-products on hand at the reporting date. Immaterial by-products are measured at net realisable value and deducted from the cost of the main products on hand, where the net realisable value is determined as the value for which the products can be sold.

Example of by-products

If the buttons are sold at CU0.50 each, the proceeds of 10 000 buttons sold during a period (equal to CU5 000) should be deducted from the total production costs of leather jackets during the period. If the total production cost of the leather jackets for the month amounted to CU280 000, the production cost to be allocated to the number of leather jackets produced during the month is $\text{CU280 000} - \text{CU5 000} = \text{CU275 000}$. This will result in a marginally lower production cost per unit for the leather jackets.

If each button can be sold for CU0.50, this amount represents its net realisable value, provided that no selling costs are incurred. When the entity has 100 leather buttons on hand at the reporting date, the net realisable value of the buttons on hand amounts to CU50. This should be deducted from the cost of the main products on hand at the reporting date. Where the total production costs for the period amount to CU280 000

when 1 000 leather jackets are produced, the production cost per jacket amounts to CU280. If 50 jackets are on hand at the reporting date, their cost price would amount to CU14 000 ($50 \times \text{CU}280$), but the leather jackets should be measured at the reporting date at their cost less the net realisable value of immaterial by-products.

Inventory on hand at the reporting date consists of the following:



In other instances, two separate but jointly produced products can result from one production process. We refer to these products as **joint products**. For example, when full-cream milk has been acquired, the milk is often separated into low-fat milk and cream. Both products result from the same raw material (full-cream milk) but are sold separately. IAS 2 provides no specific guideline regarding the allocation of conversion costs to joint products, except that it requires conversion costs to be allocated between the products on a rational and consistent basis. The relative selling prices of the products is a commonly used basis for the allocation of these costs.

4.8 Inventory held at branches

An entity may use separate **branches (or divisions)** for expansion into different geographical areas or production lines. A branch office operates separately from the entity's head office but is not a separate legal entity. Entities can have various branches and the decision to split the activities of an entity into branches is normally made based on different locations (for example, there could be a branch in Cape Town and a branch in Durban) or different product lines (for example, there could be a branch selling shoes and a branch selling stationery). These branches may operate as independent businesses (normally referred to as 'decentralised branches') or be controlled by the head office, with all the record-keeping centralised at the head office (centralised branches).

Although the degree of autonomy given to branches varies, it is common practice in larger organisations to have a **centralised system** of buying inventory for resale. This is usually done by the head office (or warehouse), thereby achieving economies of scale and better control. Supermarket and department store chains often use the **retail method** (refer to Section 4.4.4 for a discussion of the retail formula) for transferring inventory to their branches or other divisions when large numbers of rapidly changing items with similar margins are involved. Inventory is then transferred to a branch or division (often at a different location) at a price different from the cost price.

When a head office transfers inventory to a branch, it can transfer the inventory either at the cost price (the price that the head office was charged) or at the cost price plus a percentage mark-up. The amount at which the head office sends inventory to a branch is referred to as the 'transfer price', which constitutes the original cost price of the inventory plus the mark-up, and which is the price at which the transfer of inventory to the branch is recorded. The head office records the 'internal sale' (the transfer out) of inventory at the transfer price, thereby recording the mark-up on inventory transferred to the branch.

$$\text{Transfer price} = \text{Cost price} + \text{Mark-up}$$

$$\text{Selling price} = \text{Transfer price} + \text{Branch gross profit}$$



ETHICAL DILEMMA

Transfer pricing refers to the pricing of goods or services transferred between sections of the same entity or related entities within the same multinational group. Determining transfer prices across different tax jurisdictions can lead to a conflict between jurisdictions that may result in either double taxation or double non-taxation. Balancing the interests of different jurisdictions and ensuring fairness in allocating taxable profits can be a challenging ethical dilemma. For example, ethical dilemmas arise when transfer pricing strategies are used to artificially shift profits away from higher-tax jurisdictions, depriving governments of tax revenues that could be used for public welfare and development. Setting transfer prices solely to reduce taxes, without considering the fair allocation of profits across jurisdictions, can raise concerns about tax avoidance and potentially result in unfair taxation. The arm's length principle is a key guideline in transfer pricing, which states that related entities should transact as if they were unrelated entities in a similar market. Lack of disclosure or misrepresentation of transfer pricing arrangements can mislead stakeholders, including investors, tax authorities and the public, leading to a loss of trust and potential reputational damage.

Example of a centralised and a decentralised recording system

A head office transfers inventory to a branch with a cost price of CU500. A mark-up of 20% on cost is applied, which results in a transfer price of CU600. The difference between the sales to the branch and the cost of the inventory to the branch is the mark-up on the inventory transferred to the branch. The following journal entries illustrate the recording process in both a centralised and a decentralised recording system.

Journal entries in a centralised recording system

			CU	CU
Dr		Branch inventory control account	600	
	Cr	Sales to branch (trading account)		600
Dr		Cost of inventory sold to branch (trading account)	500	
	Cr	Inventory		500

The branch inventory control account records the inventory held at the branch at the transfer price, while inventory at the head office has been reduced accordingly. The difference between the 'sales to branch' account and the 'cost of inventory sold to branch' account represents the mark-up by head office and is normally recorded in the branch trading account. The branch trading account records the unrealised profit on the sale of the inventory by head office to the branch.

The above transaction is recorded slightly differently in a decentralised recording system, as two separate ledgers are used. The internal transaction between the head office and the branch is recorded via a current account, as shown below.

Head office general ledger

			CU	CU
Dr		Branch current account	600	

	Cr	Sales to branch account (trading account)		600
Dr		Cost of inventory sold to branch account (trading account)	500	
	Cr	Inventory		500

Branch general ledger

			CU	CU
Dr		Inventory (received from head office)	600	
	Cr	Head office current account		600

The overall effect is exactly the same as in the centralised accounting system. However, the 'linking transaction', which represents the amount due to the head office by the branch, is recorded in the current account. The inventory received from head office is recorded in the general ledger of the branch at the transfer price. From the branch's perspective, CU600 represents the 'cost price' of the inventory; when the branch sells the inventory, the difference between the selling price of the inventory and the transfer price (the cost to the branch) would be recorded as the branch's gross profit.

In a **decentralised system**, it is usual for the branch to maintain two separate inventory accounts: one for inventory purchased from the head office and the other for purchases from external suppliers. Separate recording is appropriate, as adjustments will need to be made at the reporting date to the carrying amount of inventory still on hand that was transferred to the branch at a mark-up.

The cost of the inventory transferred to the branch may be calculated by using an agreed percentage mark-up on cost or an agreed gross margin on sales.

The following example illustrates how the mark-up of inventory transferred to a branch is calculated:



Assume that inventory with a cost price of CU1 000 is sold at CU1 250.

When the mark-up is calculated based on the cost of inventory, the cost price in the table on the previous page is stated at 100%. The selling price is therefore 125% of CU1 000 and the mark-up is 25% of CU1 000 = CU250.

In the **gross margin** calculation, however, the selling price is stated at 100% (think about the gross margin ratio, which is determined as).

As the gross margin is calculated based on the selling price of an inventory item, the cost price is determined as 80% of CU1 250 and the gross margin is 20% of CU1 250 = CU250.

Key principle:
Elimination of internal mark-ups

When an entity's financial statements are prepared, the accounts of all the branches are added to those of the head office to produce the financial statements, but these financial statements must only reflect the results of the entity's transactions with outside parties. The effect of transactions between the head office and its branches should be eliminated when the entity's financial statements are prepared.

Something to watch

Watch the Learn Accounting video *Understanding Mark-Ups*, which explains the difference between a mark-up stated as a percentage of the cost price and a mark-up stated as a percentage of the selling price.

4.8.1 Recording inventory in transit (and cut-off procedures)

All inventory on hand at the end of a financial year must be included in the entity's statement of financial position, irrespective of whether the inventory is at the head office or a branch and what accounting system is used. However, it could happen that inventory was sent to a branch close to the end of a financial year but that this inventory had not yet been received by the branch when inventory was counted (using the periodic recording method) or recorded in the ledger (using the perpetual recording method). In this case, it is easy to make a mistake and not record this inventory in the total amount of inventory on hand at the reporting date, but the inventory in transit at the end of the financial year does belong to the entity. The **inventory in transit** at the reporting date, which is not recorded in any of the respective ledgers, will be reflected in the reconciliation of the current accounts between the head office and the branch. To complete a transaction where inventory has been sent to a branch but was not received by the branch by the year-end, this inventory should be recorded in an account called the 'inventory in transit' account and added to inventory on hand at the year end. This means that the balance of inventory reported at the end of the financial year would be complete.

It could be argued that it is unnecessary to include the inventory not yet received in an 'inventory in transit' account and that the branch should just record the inventory as inventory received from head office. In principle, these two accounts are similar. However, in practice, entities prefer to keep the inventory not yet received separate for two reasons: to ensure that the inventory is received after the reporting date and to ensure that the account for inventory received from head office reflects the actual inventory received from the head office.

The information presented in the financial statements of an entity should be complete and accurate in order to meet the quality requirements of **faithful representation** and **relevance**. This is extremely important, especially for inventory, as it often represents a large current asset for retail and manufacturing entities. The physical verification of inventory on hand is usually confirmed when a physical count is conducted. Under both the periodic and the perpetual methods, there is a need to ensure that there is a proper cut-off of the record keeping so that the accounting records reflect the results of the physical count and include all transactions relevant to the accounting period. You need to ensure that all inventory movements are properly recorded in the correct reporting period so that a valid comparison is made between inventory counted and the recorded inventory. **Cut-off procedures** include the confirmation of the recording of transactions in the correct period: that is, either before the reporting date (when the risks and rewards of ownership of the inventory have transferred to the entity) or in the next reporting period (when the risks and rewards of ownership have not yet transferred to the entity). The following errors may arise if proper cut-off verification is not performed:

- Items have been received into inventory, but the purchase has not yet been processed
- Items have been sold to a customer or transferred to a branch, but the invoice has not yet been raised or the items have not yet been received at the branch
- Items have been returned to a supplier or head office and removed from the inventory balance, but the credit note has not yet been processed or the items have not yet been received at head office
- Items have been returned by a customer, but the credit note has not yet been issued.

Where inventory movements and transfers have been processed but have not yet been received by the branch or head office, adjusting entries are needed to bring both sides of the transaction into the same accounting period.

Example of inventory in transit at the reporting date

An entity has sent inventory with a cost price of CU10 000 to its branch in Durban. No mark-up was added to the cost of inventory sent to the branch. The head office has recorded the inventory sent to the branch, but the branch has not yet received the inventory and has, therefore, not recorded its receipt.

Assuming that the records are decentralised, the head office would record the following journal entry when sending the inventory to the Durban branch:

			CU	CU
Dr		Durban branch current account	10 000	
	Cr	Sales to branch account (trading account)		10 000

and:

			CU	CU
Dr		Cost of inventory sold to branch account (trading account)	10 000	
	Cr	Inventory		10 000

As the inventory is an asset of the entity, the branch should record the inventory as inventory in transit at the reporting date. Otherwise, the inventory recognised at the reporting date would be understated by the cost price of the inventory (CU10 000).

The branch should record the following entry to complete the internal transaction and to ensure that the current accounts between the head office and the branch balance:

			CU	CU
Dr		Inventory in transit (inventory)	10 000	
	Cr	Head office current account		10 000

The current accounts between the branch and the head office must be equal and opposite, and they should be eliminated at the reporting date, as they relate to internal transactions only.

The credit to the inventory account records the fact that the inventory is no longer on hand at the head office, while the inventory in transit account records the inventory to be received by the branch. The inventory in transit should be included at cost in the inventory recognised in the entity's statement of financial position.

The sales to the branch of CU10 000 and the cost of inventory sold to the branch of CU10 000 should be eliminated when entity accounts are prepared, as these are internal transactions between the head office and its branch, and do not include any outside parties.

4.8.2 Determining cost of sales for the entity

When the head office of an entity transfers inventory to a branch, the internal 'sales to branch' account is credited and the 'cost of inventory sold to branch' account is debited. These accounts are normally combined in the 'branch trading account' in the head office general ledger. The balance in this account reflects the gross profit that the head office records when it transfers inventory to the branch at a mark-up. This balance does not represent an actual profit at the time when the inventory is transferred; at this stage, it arises from an internal transfer. An entity cannot profit by moving inventory items around from one part of the entity to another. When the branch sells the inventory to a third party and the sale is recognised, the price at which the inventory was transferred to the branch will be recognised as the cost of sales to the branch.

The cost of sales recorded by the branch is not the correct cost of sales, as this represents the cost to the branch and not the cost to the entity. The difference is the mark-up the head office recognises when the branch sells the inventory. This mark-up should be recognised when the inventory is sold outside the entity, which is done by reducing the cost of sales to the entity cost, thereby increasing the profit.

Example of calculating the gross profit for the entity

An item is purchased by the head office for CU80 and sold to the branch for CU100 (in other words, this is the transfer price).

When the branch sells the item for CU130, it will recognise a profit of $CU130 - CU100 = CU30$. The mark-up of $CU100 - CU80 = CU20$ realised by the head office should be recognised simultaneously, as this profit is now realised when the inventory is sold to a third party.

This is done by reducing the transfer price (cost of sales at the branch) by CU20 to the entity cost of CU80.

- $\text{Cost to entity (CU80)} + \text{Mark-up at head office (CU20)} = \text{Transfer price (CU100)} = \text{Branch cost}$
- $\text{Cost at branch (CU100)} + \text{Gross profit at branch (CU30)} = \text{Selling price (CU130)}$
- Thus, gross profit for entity: $CU20 + CU30 = CU50$.

The total profit of CU50 is the difference between the cost to the entity of CU80 and the selling price of CU130.

When the branch sells inventory that the head office has transferred, the transfer price is recorded by the branch as the cost of the inventory sold. The branch records the sale at the selling price and the cost of sale at the transfer price, with the difference being the branch's gross profit. When the branch sells inventory that was transferred to it by the head office, the head office should recognise the mark-up on this inventory as gross profit because the inventory has been sold to a third party. The sum of the two gross profits represents the gross profit of the entity at the date of the sale of the inventory.

The same principle applies when the branch adds a further mark-up to the transfer price of the inventory. In such a case, the branch would earn its own gross profit, the difference between the transfer and selling prices. The branch can only recognise a profit when the inventory is sold by the branch (when the sale is recognised as revenue).

Branch gross profit = Sales to customers by branch – Cost of sales at branch (that is, at transfer price)

From the branch's perspective, the head office mark-up will increase the branch's cost of sales and therefore reduce the branch's profit. It follows that the branch's gross profit and the head office's gross profit on the transfer of inventory to the branch represents the entity's gross profit (for all inventory sold).

4.8.3 When the branch has not yet sold the inventory

Irrespective of the mark-up recognised by the head office at the time of the transfer, no profit will be recognised before the entity sells the inventory to outside parties. Assume that inventory is transferred from the head office to a branch at the selling price (the retail price of the inventory). The head office would record the mark-up, which equals the gross profit of the inventory, when the inventory is transferred to the branch. However, the head office cannot recognise the gross profit until the branch has sold the inventory to outside parties. The gross profit of the branch will be zero when the inventory is sold, as the selling price will equal the cost of sales for the branch. The head office can only recognise the gross profit on the inventory transferred to the branch when the inventory is sold by the branch to outside parties. We refer to the gross profit recorded by the head office when the inventory is transferred to the branch as 'unrealised profit', which implies that the profit is not earned and should not be included in profit or loss.

If a statement of financial position is prepared at this stage, the unrealised profit will be netted off against the carrying amount of the inventory recorded at the branch because the inventory in the entity should be recognised at its cost price to the entity. This is necessary, as the inventory will be reflected in the branch's ledger at its transfer price (selling price). In terms of IAS 2, inventory must be recognised at the lower of cost and net realisable value. It is unacceptable to recognise inventory at an amount in excess of cost. The mark-up on transfer must be eliminated to reduce the inventory from the amount at which it was transferred to the asset's original cost. Only when the inventory is sold by the branch to outside parties is the gross profit realised and recognised in profit or loss.

5 Net realisable value

Inventory must be recognised at the reporting date at the **lower of cost or net realisable value**. IAS 2 defines net realisable value as 'the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale' (IAS 2, paragraph 6). The net realisable value is the maximum future economic benefit an entity can expect when the inventory is sold. To the extent that the cost of inventory is greater than the net realisable value, the 'future economic benefit' aspect of the definition has not been satisfied and that portion of the cost cannot be recognised as an asset.

The inventory on hand at the reporting date should be measured at cost, but if the cost is higher than the net realisable value of the inventory, the inventory should be written down to its net realisable value. The difference between the cost and the net realisable value of an inventory item must be written off as a cost of sales expense.

Inventory is the only asset that cannot be valued above cost. This is because the increase in value is part of the gross profit, which should only be recognised when the asset is sold and when the revenue is earned. The cost of the inventory is then recognised in profit or loss at the same time as the revenue and the gross profit are recognised.

The net realisable value of inventory on hand must be measured at each reporting date. This should take into account any damage, obsolescence, declines in selling prices or increases in the estimated costs of completion necessary to sell an item (see Section 5.1).

If the cost price of inventory is **lower** than the net realisable value, there is no impairment and the inventory item will result in an inflow of economic benefits that is in excess of its carrying amount at the reporting date. For example, if an inventory item with a cost price of CU100 is for sale at a price of CU150, and if, based on similar items being in demand and being sold at CU150, it is probable that it will be sold for more than cost, this inventory item will be measured at its cost price of CU100 at the reporting date.

However, if the cost price is **higher** than the net realisable value for an inventory item, it is an indication that the inventory item will not be able to realise its carrying amount when it is subsequently sold, implying that the asset's inflow of future economic benefits is no longer probable. In this case, the net realisable value of the inventory item must be determined.

In order to determine the net realisable value of an inventory item, you should take into account any costs that still need to be incurred to get the inventory item into a saleable condition or location. For example, suppose an inventory item has been damaged and it is estimated that it will only be saleable once it has been repaired. In that case, the estimated future repair costs should be deducted from the future selling price to determine the net future value that the item may realise.

Net realisable value = Selling price – Costs to get the inventory into a saleable location or condition

The value you have determined as the net realisable value for an inventory item should then be the value at which the inventory item is measured at the reporting date. When the net realisable value is lower than the cost price, the difference between the net realisable value and the cost price should be expensed in profit or loss. The write-downs

to net realisable value in the statement of profit or loss and other comprehensive income should be recognised as part of the cost of sales.

5.1 Calculating net realisable value

The net realisable value of an asset represents the **future economic benefits that are expected to be generated** by that asset. Thus, it is the maximum amount at which the asset can be reflected at the reporting date. Net realisable value should be calculated on an item-for-item basis, but if items are similar, a group of items or products should be evaluated to determine the net realisable value of that group.

Net realisable value is the estimated value at which the inventory can be sold in the future. In other words, it is the future selling price after discounts. If the inventory item is damaged, the net realisable value is the future selling price less any costs still to be incurred to repair the inventory item and get it back to a saleable condition, less any other selling expenses. Estimates of net realisable value should be based on the most reliable evidence available when the estimate is made, which is usually at the reporting date, when the financial statements are prepared.

Reliable estimates must be made of the following information:

- The expected selling price
- The estimated costs of completion (if any)
- The estimated selling costs.

Net realisable value is estimated using the most reliable information available when the estimates are made. You must look for evidence that substantiates the estimates of net realisable value of inventory on hand at the reporting date. Such evidence may be, for example, the price at which the inventory was sold after the reporting date, after any discounts. Changes in selling prices after the reporting date should be taken into account to the extent that they confirm conditions existing at the reporting date.

If an entity has signed a contract prior to the year end that stipulates that it will supply inventory to a customer at an agreed price, the contract will provide the evidence of the net realisable value of the inventory on hand at the reporting date. Where inventory on hand at the reporting date has been produced specifically for the contract and it will be delivered in the following year in terms of the contract, you should use the agreed selling price to determine the net realisable value of the inventory. You should do this even if there has been a general increase in the selling price in the market for similar inventory.

Another indication of a possible impairment of the inventory is the length of time that the inventory has been held by an entity. If inventory was acquired a while ago and has been on hand for a substantial period of time, it may be an indication that the market has changed, that the inventory is not in demand and that the inventory may not realise the estimated selling price. If the entity is able to sell most of the inventory on hand within a 30-day cycle, the inventory that has been on hand for a much longer period could act as evidence of a possible impairment. You should consider all such evidence in the estimation of the net realisable value of inventory items.

If a range of fashion products is outdated and is offered to customers as part of a sale at a 40% discount, the net realisable value of that fashion range will then be 60% of the normal selling price. If commission is payable to the employee who sells the item, the net realisable value will be calculated after deducting commission and any other costs directly related to the sale. The net selling price should then be compared to the cost price per item. Each item should be valued at the lower of its cost or net realisable value at the reporting date.

The net realisable value of an inventory item does not normally require any recording. It is a calculation performed at the reporting date in which the cost price of an inventory item is compared to its net realisable value. If you

determine that the net realisable value is lower than the cost price of the inventory item, the difference would require a journal entry adjustment. If the net realisable value is higher, no journal entry is required.

ETHICAL DILEMMA

When a product becomes outdated or obsolete, a dilemma arises regarding what to do with the inventory. Continuing to sell obsolete products may lead to customer dissatisfaction or potential harm if the product is no longer safe or effective. Disposing of the inventory can have environmental consequences, especially if the products are not recyclable. Furthermore, managing perishable goods is crucial in industries such as food or pharmaceuticals. Selling expired or near-expired goods without disclosing the information to customers raises concerns about consumer safety and trust.

Link to the Sustainable Development Goals

Sustainable Development Goal 12 is 'Ensure sustainable consumption and production patterns' (UN, 2015:14), which entails reducing waste. As businesses consider the disposal of obsolete inventory, they should consider ways to recycle or reuse the inventory. This could be done by the business itself, or through partnering with other entities that can recycle or reuse the inventory in their operations.

IAS 2 gives some guidelines for the measurement of net realisable value based on how the inventory on hand is classified at the reporting date:

- Consumable inventory on hand (merchandise) is not manufactured by the entity but purchased from a third party. Its net realisable value is the estimated net selling price of the item. The inclusion of the word 'net' implies that the selling price will be reduced by all the costs incurred in selling the item.
- For raw materials used in production, the net realisable value is affected by whether the finished product of which they form a part may be sold at a profit. If the entity can sell the finished product at a price greater than the accumulated costs, which will include the cost of the raw materials, then the raw materials need not be written down. But if the entity could only sell the finished product at a price lower than its cost price, it is an indication that the raw materials used in the production of the finished goods may also be subject to a possible impairment. You should then make an estimation of net realisable value for the raw materials. This will have to be done by referring to the selling price of the finished goods less production costs, as that may result in a value lower than the net realisable value of the raw materials. It may be more accurate to determine the net realisable value of the raw materials (if there is not an active market for such raw materials) based on the replacement cost of the materials. In the end, the appropriate value will be influenced by the best alternative usage of the raw materials. For example, suppose

management has decided to stop producing a product because of a market price decrease. In that case, they should evaluate the carrying amount of the raw materials on hand that were acquired specifically for the production of that product. If the entity can use the raw materials for another product, they should be measured accordingly. If the entity can sell them, the net selling price would be an indication of their net realisable value.

- Work in progress is the collection of products that are incomplete at the reporting date. To calculate the net realisable value of work in progress, you should apply the same principles as with raw materials. This implies that the anticipated future selling price of the completed products should be reduced by all the anticipated future costs, including future conversion costs, in order to get a net realisable value of the incomplete products. A write-down is required if the net realisable value is less than the carrying amount. If it is greater than the carrying amount, no write-down is required.

- For finished products, the net realisable value should be measured with reference to the estimated selling price of the completed products in the ordinary course of business, less costs of completion and costs necessary to make the sale.

Example of calculating and recording net realisable value

One of the wooden desks of a furniture manufacturer, with a cost price of CU2 500, has been damaged in the storeroom. The damage is so extensive that the desk can no longer be offered for sale. However, if the desk were taken back into the factory and the damage were repaired, it would be similar to all the other desks currently sold at CU3 800 per desk.

The cost to repair the desk is estimated at CU1 500. The net realisable value of the damaged desk can therefore be calculated as the selling price of CU3 800 less the estimated cost of repair of CU1 500, so the **net realisable value equals CU2 300**.

This net realisable value is lower than the cost price of CU2 500, so the desk should be measured at CU2 300, even if the repairs have not yet been made. An impairment of CU200 (CU2 500 – CU2 300) should be recognised in cost of sales.

The following journal entry will be required:

			CU	CU
Dr		Cost of sales (P/L) (inventory written down to net realisable value)	200	
	Cr	Inventory		200

All write-downs to net realisable value as well as write-backs up to cost (refer to Section 5.3) are included under cost of sales, thus recording a decrease in the carrying amount of the asset item (that is, inventory).



ETHICAL DILEMMA

The measurement of damaged inventory can lead to an ethical dilemma. This is because the carrying amount of damaged inventory should be reduced to the value the entity can reasonably expect from that inventory (its net realisable value) but this may not be what management wants.

Assume, for example, management identified, during a stock-take, that inventory items with a cost price of CU750 000 were damaged. Management estimated that this damaged inventory had a net realisable value of CU250 000. Suppose management decided not to write down the inventory as they feared that shareholders would be disappointed in the lower profit figure arising from the adjustment to cost of sales. In this case, management did not apply the IFRS principle 'inventory shall be measured at the lower of cost and net realisable value' in the preparation of the financial statements. The fundamental qualitative characteristics of useful information (in other words, relevance and faithful representation) were not appropriately applied because the failure to write down the inventory to net realisable value may impact the decision-making ability of the users and their capacity to make a fair judgement on the inventory balance.

5.2 Recording net realisable value adjustments

IAS 2 requires the inventory to be recognised at the lower of cost and net realisable value, and the calculations shown in the example above indicate the adjustments that are needed at the reporting date to meet these requirements. Where your calculations have highlighted the need for such an adjustment, the carrying amount of inventory needs to be **adjusted for any write-downs** (and reversals thereof, as discussed in Section 5.3) in the value of the inventory.

Some accountants prefer to recognise an 'allowance for inventory' account, which is, in essence, a negative asset account. The adjustments are then accumulated in this account, and the net balance between the cost price of the inventory and the allowance account represents the carrying amount of inventory at the reporting date. The net amount will be disclosed in the statement of financial position. In most cases, the write-down is made to the inventory itself instead of an allowance account. The write-down is debited (added) to the cost of sales expense, and, in this instance, it is credited directly to inventory. (The effect of write-offs on the financial statements is illustrated in Section 5.4.)

5.3 Subsequent recovery of inventory previously recognised at net realisable value

The net realisable value for inventory is measured at **each reporting date**. Situations may arise where inventory written down in one year may be written up or **reversed** in the following year if the goods are still in inventory and the net realisable value has increased. This may happen, for example, if there is a recovery in the market and an item that was considered out of fashion has become popular again.

Any reversal of a past adjustment to net realisable value must be limited to the value of this adjustment. The inventory can only be remeasured at the following reporting date at the lower of cost or net realisable value. If the market recovers to such an extent that the net realisable value is above the original cost price, the inventory on hand should only be measured at cost.

Example of reversal of prior write-down to net realisable value

The net realisable value of the furniture item from the previous example has now recovered and can be determined as CU4 500 (CU5 000 less modification costs of CU500).

Suppose the net realisable value of CU4 500 is compared to the carrying amount of the item in the previous year's financial statements (CU2 500). In that case, there has been a significant recovery in the price of the furniture item.

However, the furniture item should still be measured at the **lower of cost or net realisable value** at the reporting date. At this reporting date, the cost price of the furniture item is still the original cost of CU3 000, compared to the net realisable value of CU4 500. This item should therefore be measured at CU3 000, and the previous write-down in cost of CU500 should be reversed.

Using the perpetual recording method, the following journal entry would reverse the prior write-down to net realisable value:

			CU	CU
Dr		Inventory	500	
	Cr	Cost of sales (P/L)		500

Note that the credit to **cost of sales** is correct, as it represents an increase in the carrying amount of inventory, reversing the previous write-down to the original cost of the furniture item.

5.4 Disclosure of write-downs to net realisable value and reversals in subsequent years

IAS 2 requires the **disclosure** of the amount of any **write-downs** of inventory (recognised as an expense) and the amount of any **reversals** of any previous write-downs to inventory (the amounts included in the cost of sales). This disclosure requirement highlights the extent to which profits have been 'shifted' from one year to the next by using inventory allowances. Writing inventory down to net realisable value reduces profits and writing it back up again increases profits. Determining net realisable value can be subjective, particularly in a manufacturing environment. Writing inventory down in good years and writing it back up again in lean years is a technique that can be used to smooth profits. The requirement to disclose the reversal of any write-down is intended to highlight the extent to which this has been done.

Disclosure is required of the amount of the reversal of the write-down and the reasons for the reversal. The reversal of the write-down should be recognised as a credit to the cost of sales.

6 Disclosure requirements for inventory

Inventory consists of assets held by the entity for sale in the ordinary course of business. The reporting of the recognition and measurement of inventory should occur as a separate line item in the current assets section of the statement of financial position.

6.1 Accounting policy

An entity should adopt and disclose an **accounting policy** that will result in the fair presentation of inventory in the statement of financial position, given the specific circumstances, market and industry in which the entity operates.

6.2 Disclosure in the statement of financial position

Inventory should be disclosed separately on the face of the statement of financial position and the classification of the inventory should be presented in the notes to the financial statements.

6.2.1 Classification

Inventory should be presented at a carrying amount equal to the **lower** of the cost incurred in acquiring or manufacturing inventory and the net realisable value of the inventory. You should disclose inventory separately as a current asset on the face of the statement of financial position. In the notes to the financial statements, you should show the inventory in terms of its **different categories**, where appropriate, and highlight the carrying amount of inventory that you have valued at its net realisable value. (See Section 5 for a discussion on how to determine the net realisable value of inventory.)

Determining the cost of inventory can be a simple exercise in the case of a retail business, where each item of inventory is separately identifiable. At the other end of the scale, an entity may manufacture a large number of interchangeable items. In that case, determining which costs should be allocated to which items of inventory is a subjective exercise and will be done in terms of the policy selected by the entity (either on the first-in-first-out basis or on the weighted average basis).

The other issue relating to the determination of the cost of inventory is which basis to use when allocating both fixed and variable overhead production costs to the cost of the manufactured inventory. (This issue is discussed fully in Section 4.6.)

6.2.2 Inventory note

IAS 2 requires the following to be disclosed relating to inventory on hand in the notes to the financial statements:

- The total carrying amount of inventory, which must be listed separately for each classification of inventory (for example, raw materials, work in progress, finished goods, consumables and merchandise)
- The carrying amount of inventory pledged as securities for liabilities, if any.

Inventory for a service provider is usually classified as work in progress. These disclosures are generally given in the notes to the financial statements and cross-referenced to the amount on the face of the statement of financial position.

6.3 Disclosure in the statement of profit or loss and other comprehensive income

The statement of profit or loss and other comprehensive income should include an expense for the costs of acquiring and manufacturing inventory that is not carried forward as an asset (inventory) at the reporting date, which should be included in the profit or loss section of this statement.

The expense, known as cost of sales, includes the following information:

- The cost of goods that were sold during the year
- The cost of inventory that was lost or damaged during the year
- The cost of writing inventory down to net realisable value
- Any manufacturing costs that cannot be included in the cost of inventory (for example, unallocated overheads and excessive wastage).

Cost of sales is a disclosable item for all entities. This amount should be disclosed either on the face of the statement of profit or loss and other comprehensive income or in the notes to the financial statements. Irrespective of how operating costs are disclosed, disclosure is required of the following, either on the face of the statement or in the notes thereto (refer to IAS 2, paragraph 34):

- The cost of inventory expensed during the year (cost of sales)
- The extent of inventory write-downs (that is, impairments) during the current year
- The reversal of any write-down and the reasons for this reversal.

Example of inventory disclosure

The required disclosures for inventory are set out in IAS 2, paragraph 36. The following is an illustration of these disclosure requirements, with references to the respective IAS 2 paragraphs:



Key points to take from this chapter

- Inventory is a significant current asset, especially for entities that are retail and manufacturing businesses.
- IAS 2, *Inventories*, deals with the recognition, measurement and presentation of inventory. The most significant issue relating to inventory is how to determine the cost of inventory presented in the financial statements.
- The key principle in IAS 2 underpinning this issue is that the cost of inventory must include all costs of purchase, costs of conversion and other costs incurred in bringing inventory to its present location and condition.

- Inventory that has been sold during the reporting period is recognised as cost of sales in profit or loss, while inventory that is on hand (in other words, not sold) is recognised as a current asset in the statement of financial position.
- From a measurement perspective, inventory cannot be recognised at an amount that is greater than the potential economic benefit expected to be realised from the asset. Given this, another important key principle relates to the measurement of inventory: inventory is recognised at the lower of cost and net realisable value.
- The type of inventory on hand at businesses depends on management's intention and how potential economic benefit will be realised. For instance, a manufacturer may have various types of inventory (for example, raw materials, work in progress and finished goods) whereas a service entity will probably have a small inventory balance owing to the nature of its business.

Discussion questions

1. What is meant by the term 'net realisable value'? Is this the same as fair value?
2. Explain the difference between the different methods of determining the cost of inventory and outline the circumstances in which each of them should be used.
3. Why is the lower of cost and net realisable value a requirement for the measurement of inventory in IAS 2, *Inventories*? Is it permissible to revalue inventory upwards? If so, when?

Exercise questions

Question 1

Select the correct answer and write a short motivation explaining your choice.

An overstatement of closing inventory at the reporting date (31 December 20x8) will result in the following effects on profits:

- a) The profits for both 20x8 and 20x9 will be overstated.
- b) The profits for 20x8 will be understated, but there will be no effect on the profits for 20x9.
- c) The profits for 20x8 will not be affected, but the profits for 20x9 will be understated.
- d) The profits for 20x8 will be overstated and the profits for 20x9 will be understated.
- e) Neither the profits for 20x8 nor the profits for 20x9 will be affected.

Question 2

M Ltd's inventory transactions for March 20x5 are summarised in the following spreadsheet:



Notes

1. These units were returned after the boxes received on 9 March were opened and the units inside were found to be damaged.

You are required to do the following:

Ignore VAT. Fill in the missing information in the table above for each of the following independent scenarios:

1. M Ltd uses the perpetual inventory system with the first-in-first-out costing method. What would the cost of sales for March 20x5 be?
2. M Ltd uses the periodic inventory system with the weighted average costing method (calculated at the end of the month). What would the closing inventory at 31 March 20x5 be?
3. M Ltd performed a physical inventory count on 31 March 20x5 and determined that there were 70 units on hand. Prepare the journal entry required at 31 March 20x5 for the inventory shortage, assuming that M Ltd uses the perpetual inventory system with the first-in-first-out costing method.

Question 3

The main business activity of Mario (Pty) Ltd is the production of pool pumps from imported materials. Mario (Pty) Ltd uses the perpetual recording method for inventory transactions. The cost of raw materials is determined on the weighted average costing method and completed pool pumps are measured based on the first-in-first-out formula. The entity's current reporting date is 28 February 20x5.

Mario (Pty) Ltd recorded the following costs to produce the last batch of 1 000 pool pumps:

	CU
Raw materials used	35 000
Salaries of supervisors in production plant	125 000
Direct labour (415 hours)	17 625
Consumables used	4 375
Depreciation of equipment used in production plant	85 000
Other variable costs	5 000

You are required to do the following:

1. Identify the fixed overhead costs incurred in the production of the last batch of pool pumps.

2. Assuming that normal production hours per batch are 420 hours, determine the cost per unit for this batch of pool pumps.

3. Mario (Pty) Ltd conducted a physical stock-count of completed products on hand at 28 February 20x5 and found 260 pool pumps on hand. An investigation of discrepancies between the inventory control account (showing 275 units on hand) and the physical count showed a shortage of 15 pool pumps. Prepare the journal entry to correct the inventory control account. The narration is not required.

4. On 28 February 2013, Mario (Pty) Ltd determined that owing to the cheaper cost of imported pool pumps, its pool pumps can only be sold at CU250 each. Determine the carrying amount of finished goods in the statement of financial position of Mario (Pty) Ltd at 28 February 2013 after taking all the information in points 1 to 3 above into account.

Question 4

C (Pty) Ltd is a retail company that sells household consumables.

You have been given the following extracts from the trial balance of the head office (located in Johannesburg) and a retail outlet (branch) in Durban for the year ending 31 December 20x3:

	Head office (Johannesburg)	Branch (Durban)
	CU	CU
Sales		
Customers (credit)	450 000	1 750 000
Customers (cash)	150 000	275 000
Branches (internal)	1 485 000	
Inventory (merchandise) as at 31 December 20x3		
Head office (cost)	950 000	
Branches (transfer price)		675 000

The retail selling price for C (Pty) Ltd is calculated as cost plus 50%. Goods are transferred from the head office to the branch monthly based on demand forecasts. The head office applies a discount of 10% on the retail selling price to calculate the transfer price of goods sent to the branch. All goods are sold to third parties at the retail selling price.

C (Pty) Ltd applies the first-in-first-out method to identify the cost of inventory and uses the perpetual system to record inventory transactions.

Assume that margins have been applied consistently and that no inventory losses were noted for the year.

You are required to do the following:

1. Calculate the 'total sales' for C (Pty) Ltd for the year ended 31 December 20x3.

2. Calculate the 'total cost of sales' for C (Pty) Ltd for the year ended 31 December 20x3.
3. Calculate the closing balance of inventory for C (Pty) Ltd as at 31 December 20x3.
4. Prepare the inventory note disclosure for C (Pty) Ltd for the year ended 31 December 20x3.

Reference

Kew, J. 2024. *Financial Accounting: An Introduction*. 6th ed. Cape Town: Oxford University Press.

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.

CHAPTER

14

Financial instruments

IFRS references

IFRS 7: *Financial Instruments: Disclosures*

IFRS 9: *Financial Instruments*

IFRS 13: *Fair Value Measurement*

IAS 32: *Financial Instruments: Presentation*

IFRS for SMEs Accounting Standard references

Section 11: *Basic Financial Instruments*

Section 12: *Other Financial Instrument Issues*

Section 22: *Liabilities and Equity*

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5 Derivatives

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7 Presentation and disclosure of financial instruments

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Key points to take from this chapter

Discussion questions

Exercise questions

Reference

Learning objectives

By the end of this chapter, you should be able to:

- Identify and explain what a financial instrument is and describe the different types of financial instruments.
 - Identify and define a financial asset.
- Classify a financial asset based on the cash flows of the instrument and the business model of the entity.
- Determine, recognise and measure the fair value of a financial asset at the acquisition date.
- Measure financial assets at each subsequent reporting date, at fair value or amortised cost.
 - Explain when adjustments to the carrying amount of financial assets should be recognised in profit or loss and when they should be recognised in other comprehensive income.
- Identify if the financial asset is impaired and correctly recognise any impairment losses, depending on the classification of the financial asset.
 - Recognise any impairment gains if an impairment loss is reversed.

- Identify and define a financial liability, and distinguish between a financial liability and an equity instrument.
 - Determine, recognise and measure the fair value of a financial liability at the acquisition date.
 - Measure financial liabilities at each subsequent reporting date, at fair value or amortised cost.
 - Explain when adjustments to the carrying amount of financial liabilities should be recognised in profit or loss and when they should be recognised in other comprehensive income.
- Present and disclose financial assets and liabilities in an entity's financial statements.

Concept summary



1 Introduction

Financial instruments comprise **financial assets** and **financial liabilities**. Financial assets include cash, bank, accounts and loans receivable, and investments in equities and bonds. Common types of financial liabilities include bank overdrafts, accounts and loans payable, and third-party funds raised.

Something to do

The measurement of financial instruments requires financial skills, such as being able to calculate compound interest and present values. You should be able to calculate these using present value formulae or a financial calculator.

Refer to the following appendices to this chapter, which are included on EduZone:

- Appendix A: Interest calculations (including using present value formulae)
- Appendix B: How to measure a bond.

Something to watch

Watch these Learn Accounting videos:

- ***Using a Financial Calculator: Time Value of Money (TVM) – Part 1***
- ***Using a Financial Calculator – Part 2.***

The accounting treatment of financial instruments has been the topic of much discussion, even more so after the global financial crises in 2008/2009. IFRS 9, *Financial Instruments*, replaced the previous standard that dealt with the recognition and measurement of financial instruments, IAS 39, and aims to simplify the classifications of financial assets and liabilities as well as sections dealing with derecognition. This project was divided into three main phases and is now complete. The first phase focused on the classification and measurement options. The second phase addressed impairment methodology (and is covered briefly in this chapter). The third phase focused on hedge accounting (which is not covered in this textbook).

These IFRS Accounting Standards deal with investments in both primary and derivative instruments. Primary instruments are shares, government stock and bonds, and debentures. These financial assets are referred to as ‘**primary instruments**’ because the investor has invested in the specific instrument. Investors in these instruments receive either interest or dividends as a return on their investments. Investors can also acquire an interest in a

derivative instrument, which can be either financial assets or financial liabilities, depending on whether they are expected to result in an inflow or an outflow of economic benefits in the future. A derivative instrument is normally linked to a primary instrument and transfers the financial risks inherent in the underlying primary instrument to the holder of the derivative. Examples of derivatives are share options or futures, which can be linked to an interest rate, a share price, a commodity price, an exchange rate, or even an index of prices or rates. This chapter focuses mainly on financial assets and financial liabilities as primary instruments. A short section towards the end of the chapter deals briefly with derivatives.

Something to do

After an IFRS Accounting Standard has been effective for a few years, the IASB conducts outreach and research as to how the standard has been applied. This is known as the Post Implementation Review (PIR). You can visit the relevant section of the IASB's website (<https://www.ifrs.org/projects/post-implementation-reviews/>) to read up more about PIRs and, more specifically, to catch up on the progress relating to financial instruments.

2 Description and classification of financial instruments

IAS 32, *Financial Instruments: Presentation*, defines a **financial instrument** as 'any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity' (paragraph 11). This definition emphasises the contractual relationship that needs to exist in the sense of an agreement between parties with clear economic consequences that the parties cannot avoid. The separate definitions of a financial asset and a financial liability are discussed below.

2.1 Financial assets

Financial assets refer to assets with **monetary substance**. As with all other assets, financial assets are held by an entity to receive economic benefits, but these assets are neither tangible nor intangible. They represent assets that can be converted into cash or cash equivalents. Typical financial assets are investments in shares or bonds, where the income earned by the entity is received as dividends or interest.

A financial asset is defined in IAS 32 as any asset that matches any one of the following descriptions:

- Cash
- An equity instrument of another entity
- A contractual right to receive cash or another financial asset from another entity
- A contractual right to exchange financial instruments with another entity under potentially favourable conditions
- A contract that will or may be settled in the entity's own equity instruments.

The definition of a financial asset requires that, in order for an asset to be classified as a financial asset, cash or a contractual right to receive cash or another financial asset should exist. Cash in itself constitutes a financial asset, but any other type of asset that can be interchanged for cash or a cash equivalent should be classified as a financial asset if a contractual right to receive cash (or any other financial instrument) exists.

There does not need to be a signed contract between the buyer of the financial asset and the seller. Normally, a verbal agreement is sufficient to conclude a transaction at the agreed purchase price. In practice, transactions are often concluded by recorded telephone conversations, where the voice recordings are kept as confirmation of the deal.

2.1.1 Classification and recognition of financial assets

For our purposes, we will assume that investments in primary financial assets are either an investment in an equity instrument (that is, an investment in the equity of another entity) or an investment in a debt instrument (that is, an investment in a debt instrument of another entity). This division is illustrated in [Figure 14.1](#).

Figure 14.1 Investments in primary financial assets



Section 11 of the *IFRS for SMEs* Accounting Standard, *Basic Financial Instruments*, provides useful descriptions and examples of equity instruments and debt instruments.

In order to record and measure a financial asset that has been acquired, IFRS 9 requires an entity to consider two aspects:

- The entity's business model for managing the financial assets (in other words, how the entity expects to derive value from the financial asset: by selling it, by collecting the cash flows from it or through a combination thereof)
- The contractual cash flow characteristics of the financial asset.



Government bonds explained

Government institutions and large companies normally issue bonds. A bond is a financial contract in which the issuer (for example, Eskom) undertakes to repay the capital amount raised at the maturity date (that is, the end of the life period of the bond). The capital amount of the bond is also referred to as the 'face value' of the bond and

interest is paid on regular, stipulated dates as a percentage of the capital amount of the bond. The interest rate stipulated is referred to as the 'coupon rate' of the bond, which can either be a fixed interest rate (for example, 10%) or can be linked to another interest rate (for example, 2% below the prime interest rate). The bond can be issued at a premium (which means that the investor would pay the capital sum plus a premium when the bond is issued) or at a discount (less than the capital sum). The bond is usually settled at its maturity date at its face value. The trading in bonds between a willing buyer and a willing seller will be at a market-related price, which is influenced by the prevailing market interest rates, the payment dates of the interest (how much interest has accrued before the trading date), the settlement date/s of the bond, the settlement price of the bond, the credit rating of the bond issuer and many other factors.

The asset must be classified correctly based on the entity's **business model** for managing its financial assets. For example, is the entity's business model to make a short-term profit from excess cash on hand, with the intention of selling investments soon after acquisition, or to acquire instruments as part of its long-term investment strategy, to be held until the instrument matures (a debenture) and to collect contractual cash flows from its investments? The classification of financial assets is therefore determined by looking at the entity's business model for managing its financial assets as well as the **contractual cash flow characteristics** of the financial asset. Depending on the business reasons for acquiring financial assets, two measurement bases are used for subsequent recognition of investments in debt instruments: amortised cost and the fair value model.

Investments in **equity instruments** are measured at fair value, with fair value adjustments included in profit or loss (P/L) or other comprehensive income (if so elected). Investments in debt instruments are measured at fair value, with fair value adjustments recognised in profit or loss, unless the debt instrument is measured at amortised cost or fair value through other comprehensive income. The subsequent measurement options for financial assets are discussed in Section 3.2.

As we see from the above, different types of financial instruments exist, particularly financial assets that an entity can purchase or originate. These financial assets have different terms and conditions and may be accounted for, measured and reported differently. It is important to identify the different types of financial assets (see [Table 14.1](#)).

Table 14.1 Description of different financial instruments

Equity instrument	Debt instrument
An investment in another entity's equity instruments, other than: • non-convertible preference shares • ordinary and preference shares that do not give the holder the option to sell the instrument back to the company at a predetermined price	An investment in an instrument where returns to the holder are a fixed amount, there is a fixed (or variable) rate of return over the life of the instrument and contractual provisions stipulate the repayment conditions of the principal amount
Examples:	Examples:
Investments in listed and/or unlisted shares, options and forward	Trade accounts and loans receivable, and investments in bonds and in preference shares that

contracts, and investments in convertible debt	have a fixed date of redemption
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2.2 Financial liabilities

IAS 32, *Financial Instruments: Presentation*, defines a financial liability as ‘any liability that is a contractual obligation to deliver cash or another financial asset to another entity; or to exchange financial instruments with another entity, under conditions that are potentially unfavourable; or a contract that will or may be settled in the entity’s own equity instruments’ (paragraph 11). The **obligation** to deliver is stipulated in the agreement, which also stipulates the agreed date and price of settlement.

Contractual obligations are only recognised as liabilities where there is also a past event. If you have borrowed money, the past event is the cash receipt. Ordering an asset gives rise to an obligation, but the liability is only recognised when control of the asset is transferred, as that is the past event. The receipt of the funds or goods is the past event that gives rise to the settlement obligation; the repayment of the debt, with costs, represents the outflow of resources from the entity. Liabilities that are not contractual and created as a result of statutory requirements (for example, the obligation to pay income taxes) are, therefore, not financial liabilities.

2.2.1 Long-term interest-bearing debt

Funds raised as long-term interest-bearing debt are generally in the form of **debentures** or **bonds**. These are debt instruments issued either to the public or by way of a private placing, which consists of a contractual obligation by the issuer to repay the funds at a fixed future date and at an agreed future price. In substance, a debenture is a liability broken into units to borrow money from a group of lenders instead of only one lender. Debentures, bonds, notes and gilts are very similar. Entities normally issue debentures and notes, while bonds and gilts are normally issued by local or national governments or parastatal entities (for example, Transnet or Eskom). Large, listed companies and financial institutions also issue bonds in order to raise funds.

When an entity wishes to borrow money and so offers bonds or debentures, certain terms and conditions should be stipulated to indicate to the potential investor how much money will be borrowed, what interest will be paid, when the interest payments will be made and when the funds will be repaid. These terms and conditions have their own definitions, explained in an offer contract. The offer contract stipulates the issue amount, which is the initial capital to be raised with the issue of debentures or bonds. The denomination of the debenture or bond is normally the currency in which the debt will be raised (for example, ZAR), and the face value of a debenture or bond is the minimum principal or nominal amount (for example, ZAR25 000). When 1 000 debentures are issued at ZAR25 000 each, the issuer will raise a debt with a face value of ZAR25 000 000. However, this is not necessarily the cash consideration received, as the debentures may be issued at a discount or at a premium.

The interest rate quoted in the offer contract is referred to as the ‘**coupon rate**’ of the debenture or bond. This is the rate at which interest will be paid, calculated on the face value of the bond. The interest is normally payable at intervals (for example, semi-annually in arrears on 15 March and 15 September each year until the redemption date).

The redemption date, which is the date on which the debenture or bond will be repaid, is also referred to as its ‘settlement date’ or ‘maturity date’. The redemption value is the value at which the debenture or bond will be settled at maturity. A debenture or bond can be settled at its principal value (face value) or at a premium or a discount. The offer contract should also stipulate the terms and conditions relating to the guarantee of the debt as well as the registration and trading conditions for the debentures or bonds.

Long-term interest-bearing debts such as debentures or bonds are often traded on the Interest Rate Market of the JSE Ltd, which is an active market where the instruments are priced on a daily basis.

The issuer of the bonds or debentures must recognise the bonds or debentures as a financial liability in its statement of financial position.

ETHICAL DILEMMA

Ethical dilemmas can arise in various aspects of loans and mortgages. For example, short-term loans with high interest rates marketed to low-income individuals or those facing financial difficulties can trap borrowers in cycles of debt. Furthermore, loans or mortgages with exploitative terms, excessive fees or hidden clauses take advantage of vulnerable borrowers. This practice can result in financial hardship and harm to individuals or communities.

Entities should ensure adherence to the lending and secured finance laws and regulations in the jurisdiction where they operate, for example, the *National Credit Act in South Africa, No. 34 of 2005*.

Link to the Sustainable Development Goals

The Sustainable Development Goals are a call to action to end poverty and inequality, protect the planet, and ensure that everyone enjoys health, justice and prosperity. Faithful representation by an entity of its financial instruments, such as loans, is important in the achievement of the Sustainable Development Goals. It is particularly important in the achievement of Sustainable Development Goal 17, which is 'Strengthen the means of implementation and revitalize the Global Partnership for Sustainable Development' (UN, 2015:14), and specifically Target 17.4, which aims to assist developing countries in attaining long-term debt sustainability, including aspects related to debt financing, debt relief and debt restructuring.

2.2.2 Currency of the debt instrument

When funds are raised in another currency, these loans should be recognised in the currency used by the entity to prepare its financial statements. The **foreign debt** should be recognised in the statement of financial position by using the exchange rate between the two currencies at the reporting date (the spot rate). Fluctuations between the exchange rates may result in changes in the interest payments as well as in the capital amounts to be settled on the due date. For example, if an entity borrowed US\$100 000, the liability would be recognised at R1,9 million if the exchange rate were ZAR19:US\$1 and at R1,85 million if the exchange rate were ZAR18,50:US\$1 at the reporting date. The difference is known as an exchange gain or loss and is usually recognised in profit or loss. It is a gain where the carrying amount of the liability is reduced for fluctuations in exchange rates and vice versa. There are certain circumstances in which the exchange gain or loss relating to a loan should be included in other comprehensive income, but covering these is beyond the scope of this textbook.

2.2.3 Other financial liabilities

Other financial liabilities (for example, **loans and interest-bearing debts**) are funds obtained from a third party that may be used for either short-term or long-term financing of the business activities of an entity. The terms and conditions of these financial liabilities are normally stipulated in a loan agreement or contract, which provides the

details of the funds raised, the settlement dates, the interest rate/s and payment dates, and any collateral given as security. The terms and conditions of an agreement may also include certain restraints, such as that the entity cannot incur any additional borrowings or pay dividends until an agreed amount of the loan has been repaid.

An entity has the obligation to settle these debts in terms of the agreement, at an agreed future amount, while the interest charged relates to the expense of obtaining this debt. Repayments can be made at regular intervals in instalments (for example, when assets are leased under operational lease contracts or a mortgage bond), in a lump sum payment at the end of the period (normally when a long-term loan is obtained) or at an undetermined future date (for example, a bank overdraft facility).

When an entity has an obligation to deliver securities that it does not yet own (normally referred to as a ‘short-sell’), such an obligation should always be classified as a current liability. For example, when an entity sells shares in a listed company because it expects the share price to decrease, it must deliver the shares on the settlement date. But until it acquires the shares (hopefully at a reduced price), it must recognise an obligation to deliver a financial liability held for trading. When the entity acquires and delivers the shares, the two transactions are netted off and the obligation no longer exists. Assuming that the share price did decrease, the decrease in the share price between the date of the entity’s sale of the shares and the date of the entity’s acquisition of the shares represents a gain to be recognised in profit or loss.

2.3 Equity instruments

According to Section 22 of the *IFRS for SMEs* Accounting Standard, an equity instrument is ‘any contract that evidences a residual interest in an entity’s assets after deducting all of its liabilities’ (paragraph 3). This definition is dependent on the correct application of the definition of a financial liability, as described above, as well as the definition of a liability in terms of the *Conceptual Framework*. In other words, **an equity instrument does not constitute a present obligation for settlement**. Typical examples of equity instruments are shares issued by a company, where the shareholders share in the residual value of the company’s net assets. The holder of equity instruments participates in the residual interest of the assets of the entity after deducting all of its liabilities. Equity instruments are included in the statement of changes in equity in the financial statements of an entity and are discussed in more detail in [Chapter 6](#), *Owners’ equity*.

You must be able to differentiate between a financial liability and an equity instrument. When funds are received, either a credit to equity or a liability needs to be recognised for an amount equal to the cash that has been received. The credit is a financial liability (where the substance is that the entity has an obligation to repay the amount). The distinction between debt and equity can be complex in practice. The International Accounting Standards Board recognises this and released a *Discussion Paper on Financial Instruments with Characteristics of Equity* in June 2018 to provide preparers and users with the opportunity to comment on the Board’s views on how to make the distinction. This project is still a work in progress, giving you some insight into the challenges and complexities relating to distinguishing between debt and equity for financial reporting purposes.

IFRS for SMEs Accounting Standard application

Section 22, *Liabilities and Equity*, provides a useful description of the classification of an instrument as liability or equity (see [Table 14.2](#)).

Table 14.2 Description of different financial instruments

Equity instrument

Financial liability

An instrument where: • There is no unconditional right of redemption at a future date • Redemption is prohibited by local law, by regulation or by the entity's memorandum of incorporation.	An instrument where: • The issuer is obliged to make payments to the holder before liquidation • Provision is made for mandatory redemption by the issuer for a fixed or determinable amount at a fixed or determinable future date (for example, debentures).
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2.3.1 Raising funds: Liability versus equity

In order to determine whether funds obtained should be recognised as a liability or as equity, you need to refer to the conditions agreed on when the finance was obtained. An example of an instrument that may be debt or equity is shares issued with a mandatory redemption (for example, Class B shares with no voting rights redeemable at a fixed future date; in some cases, these are referred to as '**redeemable preference shares**'). When shares are issued with the condition that they are redeemable at the option of the holder or redeemable at a pre-determined (fixed) date, at an agreed cash or cash equivalent amount and under potentially unfavourable conditions for the entity, these shares should be recognised as a **financial liability**.

The substance of the expense of shares recognised as a financial liability is a finance cost. In its legal form, dividends are paid on shares. (For the purposes of both the *Companies Act, No. 71 of 2008*, and the *Income Tax Act, No. 58 of 1962*, the expense should be treated as dividends with some exceptions.) For accounting purposes, the expense should be recognised as a finance cost (similar to an interest expense) in profit or loss. This implies that the expense should be accrued on a time-proportion basis in the same way that interest on a loan account is accrued.

However, when shares are issued without any mandatory redemption (even though they are classified as redeemable) and the issuer has the choice of when and how to redeem the shares, there is no obligation to redeem them. These shares should not be classified as a liability, but rather as an equity instrument.

The distinguishing feature here is that the issuer, rather than the holder, decides whether the shares will be redeemed. Equity instrument dividends declared and paid are included in the statement of changes in equity (see [Chapter 6, Owners' equity](#)).

2.4 Derivative instruments

A derivative instrument (or just 'derivative') is a financial instrument that has a value that changes in response to a change in another variable (such as an interest rate), requires no more than a small initial investment (often none at all) and is settled at a future date. An example of a derivative is an interest rate swap.

A derivative can be either a financial asset or a financial liability. Derivatives are complex financial contracts and are only covered briefly in this chapter (refer to Section 5).

2.5 Compound financial instruments

A compound financial instrument consists of two elements (refer to IAS 32):

- A liability element (a contractual obligation to deliver cash or another financial asset)

- An equity element (a call option giving the holder the right to convert the debt into shares at a pre-determined time in the future).

IAS 32 requires an issuer of a non-derivative financial instrument to determine whether it contains both a liability component and an equity component. If this is the case, these components should be classified separately as financial liabilities or equity instruments. A typical example of a compound financial instrument is a convertible debenture, where debt is raised in the form of a liability (the debenture), but the debenture holder has the option to convert the debenture into ordinary shares at a pre-determined future date (this is a call option).

The best way to classify compound financial instruments is to follow the substance of the arrangements made when the instrument was issued. A financial liability should be recognised for amounts the entity must settle. Equity is the residual (in other words, the difference between the amount received and the amount classified as a financial liability).



ETHICAL DILEMMA

Financial instruments, such as shares or bonds, can be misrepresented or falsely marketed to investors, leading to financial losses. This unethical behaviour involves providing false or misleading information to manipulate the value or risk associated with the instrument.

3 Primary financial assets

Primary financial assets are amounts held as cash, investments in equity instruments (shares of another entity), investments in debt instruments, loans and other amounts receivable. This section deals mainly with the recognition and measurement of primary financial assets. You can read more about the recognition and measurement of other, more complex financial assets below, such as derivatives, which are discussed in Section 5.



Key principle:
Initial recognition and measurement of a financial asset

When acquired, each financial asset should be recognised at **fair value**, which is the price that would be received to sell an asset in an orderly transaction between market participants at the measurement date (in other words, the transaction price at the initial date determined in an arm's-length exchange motivated by normal business considerations). On initial recognition, this is normally evidenced by the amount of cash or cash equivalents that the holder paid for the asset.

3.1 Initial recognition and measurement

After classifying a financial asset based on the business model of the entity and the contractual cash flow characteristics of the asset (see the discussion in Section 3.2.1), the asset should be recorded and measured accordingly. Financial assets are **initially recognised at fair value**. Where an instrument is listed, its price is quoted in an active market, therefore the fair value at the acquisition date is normally the quoted price.

3.1.1 Regular way purchase (or sale) of a financial asset

A regular way purchase (or sale) is the purchase of a financial asset under a contract whose terms require delivery of the asset within the time frame established generally by regulation or convention in the marketplace concerned. For example, if you buy an equity instrument (shares) on the JSE Ltd, the shares are normally delivered to you within five working days and you have five working days to settle the purchase. The day the order is placed is normally referred to as the 'trade date' and the day you have to settle the purchase is referred to as the 'settlement date'. The initial recognition of a financial asset may occur at either its trade date or its settlement date.

If it is recognised at its trade date, the investment in the financial asset is recorded on the date on which the investor commits to the asset's purchase. Trade date accounting results in the following journal entries:

Dr		Financial asset (to be received)
	Cr	Liability for acquisition of financial asset

And, when settled:

Dr		Liability for acquisition of financial asset
	Cr	Bank

If it is recognised at its settlement date, this means that the investment in the financial asset is recorded on the date on which the asset is delivered to the investor (in other words, when payment is made and transfer takes place).

Settlement date accounting results in the following journal entries:

Dr		Financial asset (delivered)
	Cr	Bank

Payment is normally affected on the settlement date. Interest does not start to accrue on the asset and corresponding liability until the settlement date, when title passes. When settlement date accounting is applied, the fair value adjustment between the trade date and the settlement date should be recognised in profit or loss if the investment is designated at fair value through profit or loss, or in other comprehensive income for assets classified as such. When the subsequent measurement is at amortised cost, the asset is initially recognised at its fair value at the trade date.

3.1.2 Transaction costs

Transaction costs are incremental costs that are directly attributable to the acquisition or disposal of a financial asset.

Costs that are included in transaction costs are the fees and commissions paid to agents, advisors, brokers and dealers, the levies of regulatory services and security exchanges, and transfer taxes and duties. Debt premiums or discounts, financing costs and allocations of internal administrative or holding costs are not included in transaction costs.

The accounting treatment for transaction costs depends on the classification of the financial asset at the acquisition date. Transaction costs are included in the amount at which the instrument is initially recognised, except for financial assets that are measured at fair value through profit or loss, in which case the transaction costs are expensed.

When an entity incurs transaction costs, there is generally a credit to bank. The contra debit can be recognised differently depending on how the financial instruments are classified and measured. [Table 14.3](#) summarises the different accounting treatments.

Table 14.3 Summary of accounting treatment for transaction costs

Classification of the financial asset at the acquisition date	Accounting treatment
For financial assets measured at fair value through profit or loss	Recognise as an expense in profit or loss when incurred
For financial assets measured at fair value through other comprehensive income	Add transaction costs to the amount at which the instrument is initially recognised
For financial assets measured at amortised cost	Add transaction costs to the amount at which the instrument is initially recognised

3.1.3 Recognising an interest-free loan

Recognising and measuring a financial asset at fair value implies that the time value of money is considered when the asset is initially recognised. For example, if a company provides an interest-free loan to an employee, there is likely to be a difference between the cash given to the employee and the fair value of the financial asset recognised by the entity, because part of the consideration is given in the form of recognition of the employee's services or loyalty.

Example of recognising an interest-free loan

BB Ltd lends R100 000 interest-free to an employee, to be repaid at the end of two years. A market interest rate for a similar two-year loan is 5% per annum. The present value of this receivable, being the future cash flows discounted at 5%, is approximately

CU90 703

BB Ltd should record the following journal entries when the interest-free loan is granted:

			CU	CU
Dr		Loan receivable	90 703	
Dr		Salaries expense (P/L)	9 297	
	Cr	Bank		100 000

Recording of loan to employee

3.2 Subsequent measurement

At each subsequent reporting date (that is, each of the reporting dates following the initial recognition date), the carrying amount of all financial assets must be reconsidered and any adjustments recognised appropriately. The basis for subsequent measurement depends on how the asset was classified at acquisition.

Investments in primary financial assets are either an investment in an equity instrument (that is, an investment in the equity of another entity) or an investment in a debt instrument (that is, an investment in a debt instrument of another entity, as discussed in Section 2.1). In Section 3.1.2, you learnt that investments in financial assets should initially be measured at fair value plus transaction costs (in the case of a financial asset, not at fair value through profit or loss)

and when the asset is measured subsequently at fair value through profit or loss, the transaction costs should be expensed.

**Key principle:
Subsequent measurement of
financial assets**

Financial assets should be measured subsequently in accordance with the entity's business model for managing financial assets and the contractual cash flow characteristics of financial assets. The two measurement categories for financial assets are fair value and amortised cost. For financial assets that are measured at fair value, fair value adjustments are recognised in profit or loss, except for investments in equity instruments designated at fair value with fair value adjustments in other comprehensive income.

3.2.1 The entity's business model for managing financial assets

An entity should consider its **business model** for managing financial assets and the contractual cash flow characteristics of the instrument. The business model is determined by the entity's key management personnel and does not depend on management's intentions for an individual instrument. The business model determines the objectives for holding a portfolio of investments that it manages and not on an instrument-by-instrument basis. For example, one portfolio of investments is held to collect contractual cash flows. In contrast, another portfolio is held to trade to realise fair value changes and another portfolio may be for a combination of the two.

If an entity has a business model that manages a portfolio of financial assets to realise cash flows through the sale of the assets, this results in the active buying and selling of financial assets. These instruments are managed in such a way as to realise fair value gains rather than to collect the contractual cash flows. A portfolio of financial assets that is held for trading purposes must be measured at fair value through profit or loss.

When the entity's business model is to hold financial assets in order to collect contractual cash flows, it does not mean that the entity should hold all these instruments until maturity. Occasional sales of these instruments do not mean that the entity has changed its business model. For example, suppose the entity considers it necessary to sell a specific financial asset in order to fund capital expenditures or when the financial asset no longer meets the entity's investment policy. In that case, such a sale is consistent with the objective of collecting contractual cash flows.

[Figure 14.2](#) illustrates the process for determining measurement based on the entity's business model.

Figure 14.2 Process for determining measurement based on the business model of the entity

Where the business model of the entity has the objective that a financial asset is held in order **to collect contractual cash flows**, and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, the financial asset should be measured at amortised cost. This implies that the financial asset should have the characteristic of making interest payments and pay the principal amount outstanding (which is normal in the case of a debt instrument). This makes sense, as when

the financial asset is measured at amortised cost the entity recognises interest in profit or loss using the effective interest method. The accounting and the business model are thus aligned.

Where the business model of the entity has the objective that a financial asset is held in order **to collect contractual cash flows**, and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, **and to sell**, the financial asset should be measured at fair value through other comprehensive income (refer to Section 3.2.4). This classification is a hybrid of amortised cost and fair value. The instrument is presented in the statement of financial position at fair value (reflecting the fact that value could be derived from sales) and in profit or loss on the amortised cost basis (reflecting the hold-to-collect business model objective). Fair value gains or losses are presented in other comprehensive income (to distinguish them from financial instruments measured at fair value through profit or loss).

An investment in a debt instrument asset that is not measured at amortised cost or at fair value through other comprehensive income is measured at fair value through profit or loss.

An entity may also, at initial recognition, designate a financial asset as measured at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise from the gains and losses on financial instruments on different bases. This applies to investments in either equity instruments or debt instruments not measured at amortised cost. Furthermore, at initial recognition, an entity may make an irrevocable election to recognise subsequent changes in the fair value for investments in equity instruments through other comprehensive income. It is important to note that the presentation of gains or losses relating to investments in equity instruments in other comprehensive income differs from that of investments in debt instruments.

When the entity changes the objective of its business model for managing its financial assets, the entity needs to reclassify the financial assets in that portfolio. The reclassification of financial assets is discussed further in Section 3.3.

[Figure 14.3](#) illustrates the subsequent measurement of financial assets.



IFRS for SMEs
Accounting Standard application

Section 11 requires the entity to measure debt instruments (in other words, instruments that have the characteristic of making payments of interest and the principal amount outstanding) at amortised cost. Investments in equity instruments should be measured at fair value and changes in fair value should be recognised in profit or loss.

Section 11 of the *IFRS for SMEs* Accounting Standard therefore does not allow for changes in equity instruments to be recognised in other comprehensive income.



ETHICAL DILEMMA

An ethical dilemma can arise from investing in financial instruments with adverse environmental or social impacts. For instance, investing in companies involved in activities such as human rights abuses, weapons production or fossil fuel extraction can raise ethical concerns.

Something to do

Environmental, social and governance (ESG) investing is used to screen investments based on corporate policies and to encourage companies to act responsibly. An interesting debate in practice at the moment is the classification of investments in debt instruments that are linked to ESG matters. These could be bonds where the proceeds can only be used to fund sustainable activities or bonds where the cash flows are linked to achieving sustainability targets.

Identify a few large JSE-listed companies and find their respective annual financial statements online. Then, see if you can identify whether any of these companies have issued bonds that are linked to ESG matters and how the companies have accounted for these bonds.

Figure 14.3 Subsequent measurement of financial assets

3.2.2 Measured at fair value

Fair value is defined in IFRS 13, *Fair Value Measurement*, as ‘the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date’ (paragraph 9). Fair value is established with reference to a transaction price or a market price as quoted in an active market. In the absence of reliable market prices, you should estimate the fair value by using an appropriate valuation technique, such as one of the following:

- Using recent, similar arm’s length market transactions
- Referring to the current fair value of another, similar instrument
- Using the sum of future cash payments or receipts, discounted using prevailing market rates for similar instruments of an issuer with a similar credit rating.

When applying a valuation technique to determine the fair value of an instrument, you must incorporate all the factors that market participants would consider. In addition, you must apply these factors consistently with accepted economic pricing methodologies. It may be necessary to obtain the services of an expert.

Fair value adjustments recognised in profit or loss

At each subsequent reporting date, designated investments are recognised at fair value. Any fair value adjustments resulting from changes in the fair value from the previous carrying amount of the investment are recognised in profit

or loss. This option of recognising investments at fair value at each reporting date supports the principle of the improved IFRS 9 of recognising assets and liabilities at market-related prices and adjusting for changes in market prices in profit or loss. The result is that reported profit is much more volatile. When market prices increase, the effect of these increases will result in improved reported earnings. However, adverse market changes can also significantly reduce profits for a specific period.

Assets held for trading are speculative investments acquired to generate a profit from the short-term fluctuations in the instrument's price. Trading investments are valued at fair value at the reporting date, and the resulting adjustment is recognised in profit or loss. As the intention is to make a quick profit out of these investments, the profit is recognised when it is earned in the form of increases or decreases in the instrument's fair value. Any transaction costs relating to these investments should be expensed when incurred.

If an investment is intended to be held for the long term, but is part of a portfolio monitored at fair value, designation at fair value through profit and loss is appropriate. Listed shares, bonds and preference shares where the fair value can be determined with reference to an active market or by using valuation techniques could be designated as measured at fair value through profit or loss.

**Key principle:
Unrealised gains and losses
recognised in profit or loss**

If a financial asset is designated as held at fair value through profit or loss, the effect of measuring this asset at a subsequent period should be recognised as a gain or loss resulting from the fair value adjustments. IFRS 9 requires gains or losses on the fair value adjustment of a financial asset to be recognised in profit or loss. They should also be disclosed separately to indicate the effect of the adjustments on the reported profit to the users of the financial statement. This is in line with the business model of the entity for a specific investment portfolio.

Fair value measurement can easily result in large movements in profit or loss resulting from the subsequent measurement of these financial instruments, without these gains or losses being realised. Unrealised gains and losses result from changes in the fair value of these assets from one period to the next, without the assets actually being sold.

When the asset is sold, the gains and losses are realised (that is, realised from an actual transaction that occurred).

The profit or loss includes realised fair value adjustments (profits on sold investments) and unrealised fair value adjustments. The statement of cash flows provides information on the extent to which the gains are realised (as the unrealised gains are not cash flows).

You should consider the deferred tax implications relating to fair value adjustments recognised in profit or loss, as the gains or losses may become taxable only when the financial asset is sold and the profit is realised. The tax payable on these gains or losses may be either at the normal tax rate or at the capital gains tax rate. (Refer to

[Chapter 18](#) for a further discussion of deferred tax.)

Example of subsequent measurement of an investment, measured at fair value through profit and loss

Investor Ltd acquired 1 000 shares in A Ltd on 1 January 20x1 at the fair value of CU1.50 per share and incurred total transaction costs amounting to CU20. The shares were classified as held at fair value through profit or loss at the acquisition date. Consequently, the adjustment to fair value was recognised in profit or loss at each subsequent reporting date. On 31 December 20x1, the market value of A Ltd's shares was CU1.80; on 31 December 20x2, the market value was CU1.40. Ignore any tax implications.

When the shares were initially purchased, the journal entries set out on the next page were required.

At 1 January 20x1:

			CU	CU
Dr		Investment	1 500	
Dr		Transaction costs (P/L)	20	
	Cr	Creditors/bank		1 520

Initial recognition of investment at cost, and transaction costs expensed

The transaction costs of CU20 incurred at the acquisition date are not included in the amount at which the investment is initially recorded, but should be expensed when incurred, as fair value adjustments are recognised in profit and loss.

At the first reporting date after the initial recognition of the investment, the investment was remeasured to its fair value of CU1 800 (CU1.80 per share) and the adjustment was recognised in profit or loss.

At 31 December 20x1:

			CU	CU
Dr		Investment	300	
	Cr	Fair value gain (P/L)		300

Investment carrying amount adjusted to its fair value (CU1 800 – CU1 500)

At the next reporting date, the investment was recognised at the fair value of CU1 400 (CU1.40 per share).

At 31 December 20x2:

			CU	CU
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Dr		Fair value loss (P/L)	400	
	Cr	Investment		400

Investment carrying amount adjusted to its fair value (CU1 400 – CU1 800)

The investment in the shares general ledger account can be summarised as follows:



The fair value adjustments in the carrying amount of the investments are recognised in profit or loss and the transaction costs are expensed when incurred. The effect of these transactions can be summarised as follows:



Where any of the shares were sold at any time during the year, the shares should first be adjusted to fair value, and a fair value adjustment should be recognised in profit or loss before the sale is recognised. The result will be that the shares were sold at their fair value and that no profit or loss was recognised at the date of the sale. The remaining shares should be adjusted to their fair value at the next reporting date.

Fair value adjustments relating to an investment in equity instruments that are recognised in other comprehensive income

Investments in equity instruments (shares) that are held to earn a return (in the form of interest and dividends) and to earn a capital profit over the longer term are subsequently measured at fair value, and the entity may irrevocably choose to recognise gains and losses resulting from fair value adjustments in other comprehensive income.

These investments normally present non-current assets on the statement of financial position, as they are expected to be held for more than one operating cycle.

Gains or losses resulting from the fair value adjustments of these assets should be accounted for in other comprehensive income. The gain or loss included in other comprehensive income may be included in a separate reserve in the statement of changes in equity, typically a revaluation reserve. When the related shares are sold, the entity may choose to transfer the cumulative gain or loss within equity (in other words, to release the realised portion of the gains and losses relating to those shares sold from the revaluation reserve to retained earnings directly in equity). This treatment is similar to the release from the revaluation surplus for property, plant and equipment (refer to [Chapter 10, Property, plant and equipment](#)), where the revaluation surplus may be released to retained earnings through usage or sale. In the case of investments in equity instruments where gains or losses are presented in other comprehensive income, the gains and losses realised through sale may be transferred to retained earnings.

Example of subsequent measurement of an investment in an equity instrument measured at fair value, with fair value adjustments recognised in other comprehensive income

Investor Ltd acquired 1 000 shares in A Ltd on 1 January 20x1 at the fair value of CU1.50 per share. Transaction costs amounted to CU20. At the acquisition date, the entity elected to recognise subsequent changes in the fair value of this investment in other comprehensive income. The company's policy is to release any gains or losses from these fair value adjustments to retained earnings when the shares are sold.

On 31 December 20x1, the market value of A Ltd's shares was CU1.80.

On 30 June 20x2, 200 shares were sold for CU1.95. The market value of the shares on 31 December 20x2 was CU1.40.

Initial recognition

A journal entry was recorded when the shares were purchased initially.

At 1 January 20x1:

			CU	CU
Dr		Investment	1 520	
	Cr	Creditors/bank		1 520

Initial recognition of investment at cost, including transaction costs

$$(1\,000 \times \text{CU}1.50 = \text{CU}1\,500 + \text{CU}20 = \text{CU}1\,520)$$

The transaction costs were included in the cost of the investment at acquisition.

Subsequent recognition

At the end of the first reporting period, the investment should be recognised at its fair value, and the fair value adjustment should be recognised in other comprehensive income (OCI).

At 31 December 20x1:

			CU	CU
Dr		Investment	280	
	Cr	Gain on fair value adjustments (OCI)		280

Recognising the investment at fair value at subsequent reporting date ($[1\,000 \times 1.80] = \text{CU}1\,800 - \text{CU}1\,520$)

When 200 of the shares were sold on 30 June of the following year, the carrying amount had to be adjusted to the fair value at the date of the sale (in other words, $1\,000 \times \text{CU}1.95 = \text{CU}1\,950$).

At 30 June 20x2:

			CU	CU
Dr		Investment	150	
	Cr	Gain on fair value adjustments (OCI)		150

Recognising the investment at fair value prior to sale ($1\,000 \times \text{CU}1.95 = \text{CU}1\,950 - \text{CU}1\,800$) at the date of the sale

As the carrying amount of the shares at the date of the sale equals the market value of the shares, the carrying amount of the shares sold amounts to CU390, which is 200 shares at CU1.95 each.

At 30 June 20x2:

			CU	CU
Dr		Bank	390	
	Cr	Investment		390

Sold 200 shares at CU1.95 each

Gains and losses on fair value adjustments are recognised in other comprehensive income and closed off (as part of the closing journal entries) to a **revaluation reserve** (for financial assets). As the company's policy is to release the profit to retained earnings when the shares are sold, this transfer forms part of the closing entries as a direct transfer between revaluation surplus and retained earnings, as shown below.

At 30 June 20x2:

			CU	CU
Dr		Revaluation reserve	86	
	Cr	Retained earnings		86

Profit realised when the 200 shares were sold, released to retained earnings

Proceeds: CU390; cost: ■■■■; realised profit = CU86 (CU390 – CU304)

At the next reporting date, the remaining shares were measured at their fair value and the fair value adjustment was again recognised in other comprehensive income.

At 31 December 20x2:

			CU	CU
Dr		Loss on fair value adjustments (OCI)	440	

	Cr	Investment		440
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Fair value adjustment recognised in other comprehensive income ($800 \times \text{CU}1.40 = \text{CU}1\,120 - [800 \times \text{CU}1.95]$)

These journal entries have been made by measuring **all the shares** to their market value at 30 June 20x2 (the date when some shares were sold), and then measuring all the remaining shares again at the year end. Thus, the remaining shares were written down from CU1.95 to CU1.40 per share at the reporting date.

The calculations are illustrated in the following table:



(Another approach to that illustrated above would have been to measure only the 200 shares sold at CU1.95 per share at 30 June 20x2. The remaining 800 shares would then have had a carrying amount of CU1.80 and the fair value adjustment in the last journal entry would differ. The overall effect is the same: $\text{CU}150 - \text{CU}440 = -\text{CU}290$ and $\text{CU}30 - \text{CU}320 = -\text{CU}290$.)

When posting the journal entries above, the general ledger account for the investment in shares should be as shown below.



The gains or losses on fair value adjustments are recorded in a separate general ledger account, as shown below.



Notes

1 These are closing journal entries.

The fair value adjustments are presented in other comprehensive income. Other comprehensive income should show the following:



This disclosure should be made on the face of or in the notes to the financial statements and should include a deduction for taxation relating to these components, where

applicable. These fair value adjustments are presented as a component of other comprehensive income not reclassified to profit or loss.

Other comprehensive income is closed off against the revaluation reserve (financial assets) in the statement of changes in equity, as shown below.

Extract from statement of changes in equity for the year ended 31 December 20x2



The closing balance on the revaluation reserve account is represented by the difference between the original cost price of the shares, including transaction costs (CU1.52) and their fair value at the reporting date (CU1.40) for all the remaining shares: $800 \times (CU1.40 - CU1.52) = CU96$ debit balance (as the fair value is below the original cost price). In the example above, the original investment was made on the same day (the shares purchased all had the same original cost price). In some cases, an entity may acquire similar instruments in different batches (for example, buying shares in the same company at different times and at different prices). In order to determine the correct amount to be released from the revaluation surplus to retained earnings in the statement of equity when some of the shares are sold, the entity should apply an accounting policy similar to those described in IAS 2, *Inventories*. This implies that the entity should apply the specific identification costing formula, the first-in-first-out costing formula or the weighted average costing formula when determining the cost price of the shares sold. The entity should apply the accounting policy that is appropriate given the circumstances of the transactions. Once a policy has been adopted, that policy should be applied to all similar transactions as well as from one period to the next. (Refer to [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*.)

3.2.3 Measured at amortised cost

When an entity's business model is to hold financial assets in order to collect contractual cash flows, and the contractual cash flows of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, you should recognise this investment subsequently at amortised cost, using the effective interest rate method.

Only investments with the contractual terms of making cash payments in the form of interest over the period of the instrument and settling the principal amount, either in annuity payments or as a lump sum payment at the maturity date, can be measured using the amortised cost basis. Equity instruments (for example, investments in shares) do not carry contractual terms relating to cash flows on specified dates of interest (dividends) and principal (capital), so you cannot measure investments in equity instruments in terms of the amortised cost basis.

Investments in financial assets that have contractual cash flow terms (for example, an investment in a debt instrument) and where the business model of the entity has as its objective that these investments are acquired for trading purposes (when the investment is for a short term to benefit from market trading conditions), or the objective is to realise cash flows through the sale of the financial assets, amortised cost is not appropriate. These investments should be measured at fair value.

Amortised cost is a way of measuring the value of a financial instrument by discounting all future receipts and payments relating to that instrument at an appropriate interest rate. The interest rate used to determine this value is called an effective interest rate or yield to maturity.

**Key principle:
Measurement at amortised cost**

When a financial asset has the characteristic of making cash flow payments (such as the interest or dividends payable at nominated dates and the redemption of the investment together with any agreed premium) and it is the entity's **business model objective** to hold financial assets in order to collect contractual cash flows, the subsequent measurement of the instrument at amortised cost is appropriate. As the investor's return is known and will apply irrespective of the changes in the market rates of interest, restatement to fair value (as is required for other investments) is neither necessary nor appropriate. Typical investments with these contractual terms are investments in bonds, debentures and redeemable preference shares with a fixed date of redemption.

The effective interest rate is the rate that exactly discounts the expected stream of future benefits receivable (future anticipated cash flows) over the full period of the investment to the gross carrying amount of the financial asset.

The calculation should include all fees paid or discounts received between the parties. The effective interest rate is the internal interest rate of that financial asset for the length of the investment period. This implies that the investment is initially recorded at the fair value when the instrument was acquired. The investment is increased each year by the interest earned (calculated by applying the effective interest rate to the balance on the investment) and reduced by the cash received (the cash interest received, which is the coupon rate applied to the face value of the instrument).

Example of relationship between coupon and market rates

A Ltd acquired a bond on 1 January 20x1. The objective of its business model is to collect contractual cash flows from investments of this nature. The bond has a face value of CU100 000 and will be settled at 31 December 20x5 (in five years' time). The coupon rate of the bond is 10% per annum and interest is payable per annum, on 31 December.

If the market interest rate for similar investments is also 10%, A Ltd will pay CU100 000 for the bond, earn interest of CU10 000 per annum, and receive CU100 000 at the maturity date.

However, market rates change and an investor may be able to receive a higher interest rate on similar investments. Should this be the case, it follows logically that an investor would not be prepared to pay as much as CU100 000 for a bond with a coupon of 10% if the current market rate was 12% per annum. The inverse is also true: if the current

market rate is only 8% per annum for similar investments, a potential buyer will be willing to pay more than CU100 000 for a bond owing to its higher coupon rate.

The spread of the difference between the coupon rate and the market rate determines the spread between the trading value of a bond and its face value. Although you are recording a bond that will be held until maturity date at amortised cost, the bond will be acquired at a market-related price and the bond should earn a market-related interest rate. If the market price is paid for the bond and the market interest rate is applied to the bond, the value of the bond at the end of the period will amount to the face value of the bond.

Debt instruments (a bond, gilt, debenture or preference share) with a fixed interest rate (coupon rate) and a fixed date of redemption are normally quoted on the market at a price that takes into account the interest rate of the bond (the coupon rate) in relation to the current market rate for similar investments as well as the settlement period and any premium payable at the settlement date. Other factors, such as market sentiments and the risk profile of the bond issuer, may also impact the asset's trading price.

The application of amortised cost is in fact a mathematical amortisation (allocation) of the difference in the cash flows over the period for which the instrument is held until its maturity date. The difference between the net cash consideration paid for the instrument (at the acquisition date) and the future cash flows (in the form of interest payments and principal settlements) represents the interest income, which is amortised over the period for which the investment is held.

Example of recognising an investment at amortised cost

If we follow the details given in the example above but determine that the market rate on similar investments is 12% per annum, the price that A Ltd would be willing to pay for this bond would amount to the present value of the capital amount payable at the end of the period, discounted at an interest rate of 12% per annum, plus the present value of the interest payments that would be received on this bond over the period, discounted at an interest rate of 12% per annum. This can be calculated as follows:

Present value of capital	CU100 000 discounted over five years to its present value, using an interest rate of 12%	$CU100\,000 \times 0.56742 = CU56\,742$
Present value of annual interest payments	CU10 000 interest receivable per annum, discounted over five years to its present value, using an interest rate of 12%	$CU10\,000 \times 3.6048 = CU36\,048$
Present value of the bond (acquisition price)		$CU56\,742 + CU36\,048 = CU92\,790$

Based on the calculation of the present value and the acquisition price of the bond, A Ltd paid CU92 790 for this bond. The present value of the investment in the bond, which represents the fair value at the acquisition date, should be the initial carrying amount of the bond.

			CU	CU
Dr		Investment (bond)	92 790	

	Cr	Bank		92 790
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Acquisition of bond, recognised at acquisition date, measured at the present value of the future cash flows expected

Interest is received annually, and the cash value of the interest amounts to CU10 000 per annum. However, this is not the interest earned by A Ltd. To calculate interest earned by A Ltd, in this example you must apply the market-related interest rate on the acquisition date to the investment, as this is the effective interest rate that A Ltd will earn on its investment.

The following interest journal entries are required at the end of the first financial year:

			CU	CU
Dr		Bank	10 000	
	Cr	Investment (bond)		10 000

Interest received (cash) on investment in bond (CU100 000 × 10% = CU10 000)

			CU	CU
Dr		Investment (bond)	11 135	
	Cr	Interest income (P/L)		11 135

Interest earned on investment (CU92 790 × 12% = CU11 135)

The above interest is calculated using the effective interest rate of 12% applied to the carrying amount of the investment (the initial cost of CU92 790). Interest earned is capitalised to the carrying amount of the investment, while the interest payment is deducted. You can also combine these two journal entries into one entry, as follows:

			CU	CU
Dr		Bank	10 000	
Dr		Investment (bond)	1 135	
	Cr	Interest income (P/L)		11 135

Interest received (cash) and interest earned on investment

The carrying amount of the bond has increased by the net amount of CU11 135 – CU10 000 = CU1 135.

The CU10 000 interest per annum represents the cash flow portion of the interest, while the effective interest is the interest earned that will be recognised as revenue.

The difference between the interest earned (calculated using the effective interest rate) and the cash received from the bond issuer is included in the carrying amount of the investment and represents an **amortisation** of the discount received at the initial acquisition of the bond. The value at which the bond will be recognised at the end of the first subsequent reporting date is $\text{CU}92\,790 - \text{CU}11\,135 + \text{CU}10\,000 = \text{CU}93\,925$. The interest earned in the second year is calculated on the increased carrying amount of the bond, being $12\% \times \text{CU}93\,925 = \text{CU}11\,271$. If this calculation is repeated for the next four years, the value of the bond will be $\text{CU}100\,000$ at the end of the fifth year. This is illustrated by the table that follows.

Amortisation of CU100 000 at 12% over five years



The total interest earned recognised in profit or loss over the five years that the bond is held is the amount calculated using the nominal interest rate based on the face value for the five years ($\text{CU}100\,000 \times 10\% \times 5 \text{ years} = \text{CU}50\,000$) plus the discount at which the bond was acquired ($\text{CU}100\,000 - \text{CU}92\,790 = \text{CU}7\,210$). Therefore, the total interest earned recognised in profit or loss is $\text{CU}50\,000 + \text{CU}7\,210 = \text{CU}57\,210$. The amount of $\text{CU}57\,210$ is the difference between the cash received and the cash paid ($\text{CU}50\,000$ interest received + $\text{CU}100\,000$ capital repaid – $\text{CU}92\,790$ paid).

3.2.4 Investment in debt instrument measured at fair value through other comprehensive income

When an entity's business model objective is equally achieved through holding the financial assets in order to collect contractual cash flows, which are solely payments of principal and interest, and through selling the instrument, the entity should recognise this investment subsequently in the debt instrument at fair value through other comprehensive income. This measurement basis is a combination of amortised cost (reflecting the hold-to-collect business model objective) and fair value (reflecting the hold-to-sell business model objective). Gains and losses that are recognised in other comprehensive income are reclassified to profit or loss when the instrument is sold.



Key principle:
Measurement of an investment
in a debt instrument measured at fair value through other comprehensive income

When a financial asset has the characteristic of making cash flow payments (such as the interest or dividends payable at nominated dates and the redemption of the investment together with any agreed premium) and it is the entity's business model objective to hold financial assets in order to collect contractual cash flows and to sell those assets, the subsequent measurement of the investment in the debt instrument is at fair value through other comprehensive income.

Refer to the two-part example in Section 3.2.3. At the reporting date, the investment has a carrying amount on the amortised cost basis of CU93 925, being the CU92 790 fair value at acquisition plus the interest of CU11 135 less the coupon receipt of CU10 000. If the fair value of the instrument were CU95 000 at the reporting date, an additional journal entry would be required as follows:

			CU	CU
Dr		Investment (CU95 000 – CU93 925)	1 075	
	Cr	Gain on fair value adjustments (OCI)		1 075

3.2.5 Income from financial assets

The return on an investment is usually received in the form of interest or dividends.

Interest is earned from debt instruments and should be recognised on a time basis, taking the effective interest rate into account (as explained in Section 3.2.3).

Dividends are earned from investments in equity instruments and are recognised when the shareholder's right to payment is established. Determining when a right to receive payment has been established varies from one jurisdiction to another. However, the accounting for the receipt of dividends usually mirrors the accounting entries in the entity declaring and paying the dividend. Dividends are payable to holders of equity instruments when declared; this is usually when the declaration of the dividend is authorised by the issuing entity, thereby establishing the investor's right to payment.

3.3 Reclassifications

Financial asset investments should be classified according to the entity's business model. Should an entity change the objective of its business model for management of financial assets, all the affected assets should be reclassified in terms of the new objectives for holding financial assets. The rules for identifying whether there is a reclassification are strict to prevent entities from manipulating financial statements. Reclassifications should be done prospectively, which means that you should not restate any previously recognised financial assets. The reclassification date is the start of the next reporting period.

3.4 Subsequent changes in financial assets not related to cash flows

This section deals with changes in the quantity of a specific financial asset held where a change is not represented by any acquisitions or disposals of this financial asset. For example, changes in the number of shares held in a company can be caused by changes to the share capital of the company, where a company could decide to split shares, to issue capitalisation shares, to offer additional shares to existing shareholders by way of a rights offer or to offer additional shares by way of a dividend reinvestment programme. None of these changes represents any cash flow transaction.

3.4.1 Share splits and capitalisation issues

When a company first issues shares, they are issued at a value that is unrelated to the current market price of the shares. If the market price of shares gets too high, the marketability of the shares can be affected. To reduce the

market price per share, companies can split each existing share into two or more shares or issue additional shares out of existing reserves.

A share split does not result in cash flow to the share-issuing company or the investor. With a share split, the company splits each existing share into an increased number of shares, proportionately decreasing the value per share and proportionately increasing the number of shares in issue (for example, 1 000 shares originally issued at CU10 each are split into 5 000 shares at CU2 each).

No accounting entry is required if an investor owns shares in a company that announces a share split. A nominal entry should, however, be made to record the increase in the number of shares held. It is important that the increase in the nominal quantity of shares held be recorded correctly, not only so that future dividends received are recorded correctly, but also so that the fair value per share at each subsequent reporting period can be calculated correctly. The market value of the investment is not likely to change materially after a share split, although the market price will be reduced on a per-share basis according to the terms of the share split.

A share consolidation can also occur. A share consolidation is the opposite of a share split (for example, 100 shares are consolidated into one share). This is usually done only where the market value of the shares has been reduced to extremely low amounts.

With a capitalisation issue, the company issues additional shares to shareholders in proportion to their current holdings by converting (capitalising) existing reserves into issued share capital. A capitalisation issue does not affect the value of the shares, as new shares are issued to existing shareholders. For example, if a company has large amounts of other reserves (see [Chapter 6](#), *Owners' equity*), it may decide to capitalise its reserves by announcing a capitalisation issue. The reserve is then converted to capital and the corresponding number of additional shares is issued, with no cash flow effect. The investor receives additional shares in the company in proportion to their original investment without any cash payment. Normally the market adjusts the trading price per share automatically, as no value has been added to the company, although the number of shares has increased. Again, the investor must not record any accounting journal entry for a capitalisation issue, as no cash payment was required. A nominal recording of the increase in the number of shares should be made in order to account correctly for the future dividends received and the fair value at subsequent reporting dates.

As neither a capitalisation issue nor a share split requires an additional cash investment from the investor, no change is made to the recorded fair value of the investment at the date of the share split or capitalisation issue. However, a note must be made to record the change in the number of shares held.

At the subsequent reporting date, when the carrying amount of the asset is measured at fair value, the gains and losses resulting from the increase or decrease in the fair value are recognised in profit or loss (or other comprehensive income).

Example of an increase in the number of shares as a result of a capitalisation issue and a share split

B Ltd bought 1 000 shares in Travis Ltd at a market price of CU0.60 per share on 1 January 20x6. Travis Ltd announced the following changes to its share capital structure during 20x6:

- 30 June 20x6: Capitalisation issue in the ratio of one share for every two shares held on 2 June 20x6
- 1 August 20x6: Share split of 10 000 × CU1 shares split into 20 000 × CU0.50 shares.

The journal entries that follow will be required for the financial year.

At 1 January 20x6:

			CU	CU
Dr		Investment in Travis Ltd	600	
	Cr	Bank		600

Purchased 1 000 shares at CU0.60 each

At 30 June 20x6:

No entry required.

At 1 August 20x6:

No entry required.

The nominal number of shares held in Travis Ltd increased. Initially an investment was made of 1 000 shares and a further 500 shares were received from the capitalisation issue, resulting in a shareholding of 1 500 shares in Travis Ltd. When the shares were split on 1 August 20x6, the number of shares held was doubled from 1 500 to 3 000. The investment in Travis Ltd's shares remained at CU600, but as there were now 3 000 shares, each share had a cost of CU0.20 per share.

If the fair value of Travis Ltd's shares was CU0.25 per share at 31 August 20x6 (the reporting date of B Ltd), the fair value adjustment at that date can be calculated as follows:



3.4.2 Dividends received in shares

Shareholders of a company are sometimes given a choice between receiving cash or shares as a return on their investment. The issue of a share dividend (as opposed to a cash dividend) has become popular in recent years, mainly owing to the limited cash flow impact that a share dividend has on the company. When a dividend is announced, shareholders are normally given the choice of receiving shares or cash as a dividend.

When a cash dividend is receivable, the dividend is recognised as income when the holder becomes entitled to the dividend, as follows:

Dr		Dividends receivable (asset)
	Cr	Dividend income (P/L)

The following journal entry is required when the cash is received:

Dr		Bank
----	--	------

	Cr	Dividends receivable (asset)
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When a company elects to receive a share dividend instead of a cash dividend, shares are received to the value of the cash dividend declared. Where the substance of the shares received is a dividend, the dividend should be recognised as follows:

Dr		Dividends receivable (asset)
	Cr	Dividend income (P/L)

The following journal entry is required when the new shares are issued:

Dr		Investment
	Cr	Dividends receivable (asset)

The receipt of shares as dividends is known as a dividend reinvestment programme, as the substance is that the investor has elected to reinvest their dividends into additional shares in the company. The overall effect is the same as if the investor had received the cash from the dividends and used it to buy additional shares. As always, the accounting treatment reflects the substance of the transaction.

3.5 Impairment

Investments in debt instruments where amortised cost is a measurement basis must be assessed for **impairment** (in other words, whether the debtor, who is the issuer of the instrument, will settle the amount owing). IFRS 9 refers to these as **credit losses** (the loss associated with the debtor's credit risk). Unlike the previous standard, IFRS 9 no longer requires a credit event to have occurred before credit losses are recognised. An entity always accounts for expected credit losses and changes in those expected credit losses. This means that the financial statements reflect changes in credit risk since the initial recognition of the investment, and thus reflect more timely information about the debtor and its ability to settle the amount owing.

Key principle:
Impairment of investments
in debt instruments

An entity must always account for expected credit losses and changes in those expected credit losses. This means that the financial statements reflect changes in credit risk since the initial recognition of the investment, and thus reflect more timely information about the debtor and its ability to settle the amount owing.

The amortised cost measurement basis stipulates that the carrying amount of a receivable is determined by discounting the future cash flows at the effective rate. Changes in the market rate do not lead to impairments. However, an impairment loss should be recognised when the expected future cash flows decrease (for example, if a debtor is no longer expected to settle a loan in full).

An impairment loss exists if the carrying amount of the receivable is higher than the present value of the expected future cash flows discounted at the effective interest rate applicable to the instrument. The carrying amount of the

asset is usually reduced through an allowance account. The impairment loss (or gain) is recognised in profit or loss. Gains or losses may arise depending on how the opening and closing loss allowance account balances compare.

3.5.1 Measurement of the loss allowance

The **loss allowance** thus reflects the amount of cash the entity does not expect to receive at the measurement date, either at initial recognition or subsequently. The measurement of the loss allowance takes into account the amount that is expected to be received and the time value of money based on the effective interest rate, and is supported by evidence such as historical data or projected economic conditions.

When an entity recognises an investment or a debtor for the first time, it must assess the credit risk associated with that instrument. If the credit risk increases subsequently, the loss allowance is measured at an amount equal to the lifetime expected credit losses (in other words, the expected credit losses resulting from all possible default events over the expected life of the instrument). If there has been no significant increase in the credit risk, the loss allowance is measured at an amount equal to the 12-month expected credit losses (in other words, the expected credit losses resulting from default events that are possible within the next 12 months).

3.5.2 Recognition of the loss allowance

The loss allowance is recognised where amortised cost is the measurement basis. This makes sense, as amortised cost reflects that the entity is holding the instrument to collect the contractual cash flows and the loss allowance represents the cash shortfalls. There are two instances where the loss allowance is thus relevant: where the entity's business model objective is achieved through collecting the contractual cash flows (so the investment in the debt instrument is measured at amortised cost) or where the entity's business model objective is achieved through collecting the contractual cash flows and when it is sold (so the investment in the debt instrument is measured at fair value through other comprehensive income).

Where the entity's business model objective is achieved through collecting the contractual cash flows, the loss allowance is presented in the statement of financial position (SFP) as a reduction to the gross carrying amount of the investment.

Refer to the second box of the two-part example in Section 3.2.3. If, at the end of year 1, you calculated the loss allowance to equal CU2 000, the following journal entry would be processed to recognise this loss allowance:

			CU	CU
Dr		Impairment loss (P/L)	2 000	
	Cr	Loss allowance (SFP)		2 000

The amortised cost at the end of year 1 is thus:



Where the entity's business model objective is achieved through collecting the contractual cash flows and through selling, the loss allowance is presented in other comprehensive income. In this case, the loss allowance does not reduce the carrying amount of the investment in the statement of financial position, as it is already reflected at fair value.

Refer to the 'Key principle' box in Section 3.2.4. If, at the end of year 1, you calculated the loss allowance to equal CU2 000, the following journal entry would be processed to recognise this loss allowance:

			CU	CU
Dr		Impairment loss (P/L)	2 000	
	Cr	Loss allowance (Other comprehensive income)		2 000

The investment in the debt instrument would continue to be recognised in the statement of financial position at the end of year 1 at its fair value of CU95 000.

3.5.3 Simplified approach for trade receivables, contract assets and lease receivables

You will notice from many of the newer IFRS Accounting Standards that the Board makes use of ‘practical expedients’. These are where the accounting is simplified so as not to burden preparers with undue costs. Accordingly, the approach is simplified for trade receivables, contract assets and lease receivables as follows:

- For trade receivables and contract assets, an entity is allowed to recognise lifetime credit losses where the contract does not contain a significant financing component in accordance with IFRS 15, *Revenue from Contracts with Customers*. Alternatively, where the contract does include a significant financing component, an entity may choose as its accounting policy to measure the loss allowance at an amount equal to lifetime expected credit losses. A company may apply one policy to trade receivables and a different policy to contract assets, but the policy must be applied consistently to all trade receivables and all contract assets.
- For lease receivables recognised in accordance with IFRS 16, *Leases*, an entity may choose as its accounting policy to measure the loss allowance at an amount equal to lifetime expected credit losses. This policy choice must be applied consistently to all lease receivables, but may be applied separately for finance and operating lease receivables.

3.6 Derecognising financial assets

When an entity transfers the risks and rewards of ownership or the control of an asset to another party, that asset is removed from the statement of financial position. The technical term used for this process is ‘derecognition’, as the asset will no longer be recognised. Derecognition usually happens when an asset is sold, in which case the carrying amount of the investment sold should be removed from the statement of financial position.

4 Primary financial liabilities

A financial liability should only be recognised when the definition and recognition criteria of a liability have been met. When you are determining how financial liabilities should be recognised on the statement of financial position, you will first need to determine whether to recognise the liability, and then, if appropriate, you will need to decide at what amount the liability should be measured.

Financial liabilities should be recognised when the issuer has the obligation to pay cash at a future date, provided that there is also a past event. For example, signing a loan agreement does not give rise to a liability, but the receipt of the cash does. It is not necessary to have a fixed (pre-determined) repayment date in order to recognise a liability.

4.1 Raising capital

An entity should recognise a financial liability when it raises capital from a third party to use the funds and, in terms of a contract with the lender, agrees that the funds are repayable at a future date. For example, an entity raised funds through a loan of CU1 000 000 from a commercial bank. The loan terms stipulated that the loan was repayable in full at the end of five years and that interest would be charged at prime on an annual basis. The entity has a present obligation to repay the loan at a future date resulting from a past event (the receipt of the funds from the commercial bank). The loan amount is measurable and payment is probable, therefore the entity should recognise a liability at the date when the loan was received and continue to recognise a liability at each subsequent reporting date until the loan is repaid. The interest is an expense and should be recognised over the period of the loan on a time basis.

Where an overdraft facility is obtained, the facility does not give rise to the obligation of a future settlement, as there is no past event of receiving the funds; however, when cash is drawn against the facility, the cash consideration received represents the present value of the obligation and should be recognised at the time when the entity becomes a party to the transaction.

When an entity plans to borrow from the public, it normally describes the terms of borrowing in a prospectus or similar document in which the details of the offer are explained and the conditions are stipulated. An instrument can be offered for subscription to investors or the public, so the offer can be either a private placing (an invitation for subscription limited to some investors) or a public placing (an open invitation to all possible investors). As in the case when a company offers shares to potential shareholders, funds raised through an offer to subscribe are accumulated in an application and allotment account in order that the funds received between the initial date of the offer and the closing date be recorded and monitored. After the closing date, the financial instrument is allocated to the investors according to the stipulations of the prospectus and excess funds are repaid. Typical types of financial liabilities offered in this way are redeemable preference shares, debentures and bonds.

The liability should initially be recognised at the date the investor receives the cash, as that gives rise to an obligation to repay the cash at some future date/s. At that stage, the issuer of the debt has the present obligation to repay the cash at a future date and the cash receipt is the past event. The liability should initially be measured at the net cash consideration received.

Debentures or notes and bonds or gilts are issued according to a contract that stipulates the coupon rate, the redemption or settlement date and the settlement value (which could be at the principal value, or at principal plus a premium or less a discount). These details will all be spelt out in the prospectus inviting investors to participate.

Example of raising funds in practice

iNguza Investments (Pty) Ltd offered senior secured interest-bearing notes to the public at a floating interest rate calculated at a three-month ZAR-JIBAR-SAFEX rate plus a margin of 1.90%. The notes (also referred to as 'bonds') were issued in a denomination of ZAR1 000 000, and the principal value raised at the issue date, 21 May of year 1, amounted to ZAR200 000 000.

Payment dates (for coupon interest) are 21 August, 21 November, 21 February and 21 May of each year until the final maturity date, 21 May of year 3, and the last dates on which to register for these respective payments are 15 May, 15 August, 15 November and 15 February.

The bonds are secured by the senior, unsecured loan agreement entered into between Banking Ltd and the company.

4.2 Initial measurement at fair value

Financial liabilities should initially be recognised when the entity becomes a party to the contractual provisions of the instrument. When a financial liability is recognised initially, the liability should be measured at fair value.

In the case where a financial liability is classified as at fair value through profit or loss, transaction costs should be expensed. For all other financial liabilities (measured at amortised cost), transaction costs could be included in the fair value of the instrument at the transaction date, provided that the transaction costs were directly attributable to the issue of the financial liability and would be included in the amount initially recognised in relation to the financial instrument.

Transaction costs should be deducted from the cash consideration received at the initial measurement of a financial liability (unless it is measured as held at fair value through profit or loss). Transaction costs include registration and other regulatory fees, brokers' or agents' commissions, stamp duties, underwriters' commissions, and legal and professional fees that can be attributed directly to the financial instrument when the funds were raised. Subsequent transaction costs (for example, bank charges) should be expensed when incurred as they relate to the cost of using a facility.

**Key principle:
Initial recognition of
financial liability**

A financial liability should initially be measured at its fair value, which is the price the entity would pay a market participant to assume the obligation (in other words, the transaction price at the initial date determined in an arm's length exchange motivated by normal business considerations). This is usually the net cash consideration received when funds are raised.

Example of the initial recognition of a financial liability

A company acquired a large machine to use in its production process. The machine, which had a cost price of CU500 000, was acquired on credit as the company did not have sufficient cash resources to pay for it immediately. The conditions of the credit agreement stipulated that the capital amount of CU500 000 and interest that would accrue at 12% per annum be paid at the end of the third year.

The machine had a cost price of CU500 000, but at the end of the third year, the company would repay a total amount of CU500 000 plus annual interest of 12% per annum for three years, making a total amount payable of CU702 464.

This is illustrated in the following calculations:

- Due at the end of year 1: $\text{CU}500\,000 + (12\% \times \text{CU}500\,000) = \text{CU}560\,000$
- Due at the end of year 2: $\text{CU}560\,000 + (12\% \times \text{CU}560\,000) = \text{CU}627\,200$
- Due at the end of year 3: $\text{CU}627\,200 + (12\% \times \text{CU}627\,200) = \text{CU}702\,464.$

(This calculation has been done by compounding interest annually; the interest is charged on the amount due at the beginning of the next year and the carrying amount is not changed for interest on a daily or monthly basis.)

Assuming that the interest rate of 12% per annum charged on this loan was market-related, the fair value of the loan at the initial date is the present value of the future payments (that is, CU500 000), which equals the fair value of the machine purchased. The difference of CU202 464 (CU702 464 – CU500 000) is finance costs, which should be recognised as an expense over the three years.

The following journal entry is required to record the acquisition of the machine initially and the corresponding debt at the time when the machine was received:

			CU	CU
Dr		Machine	500 000	
	Cr	Loan/creditor		500 000

Machine acquired on credit

Since the date on which the machine was received and the loan was incurred, the interest expense has accrued on a time basis so that at the end of the first year, CU60 000 interest has accrued (CU500 000 × 12%). The interest accrued should be recorded as follows:

			CU	CU
Dr		Interest expense (P/L)	60 000	
	Cr	Loan/creditor		60 000

Interest accrued for the first reporting period

As the interest is not paid annually, it is added to the loan account. The interest is only payable with the capital at the end of the third year, so the interest for the next period accrues on the capital and the interest payable for that period (interest is payable on interest). The balance of the liability at the end of the first year amounts to CU500 000 + CU60 000 = CU560 000 and the interest in the second year amounts to CU560 000 × 12% = CU67 200.

			CU	CU
Dr		Interest expense (P/L)	67 200	
	Cr	Loan/creditor		67 200

Interest accrued for the second reporting period (compound interest)

The interest for the third year is calculated in a similar way ($\text{CU}560\,000 + \text{CU}67\,200 = \text{CU}627\,200$ and $\text{CU}627\,200 \times 12\% = \text{CU}75\,264$). This results in a total debt outstanding at the end of the third year of $\text{CU}627\,200 + \text{CU}75\,264 = \text{CU}702\,464$. The interest accrued during the third year should be recorded as follows:

			CU	CU
Dr		Interest expense (P/L)	75 264	
	Cr	Loan/creditor		75 264

Interest accrued for the third reporting period (compound interest)

The liability payable at the end of the third year would amount to CU702 464 and the following journal entry would record the payment:

			CU	CU
Dr		Loan/creditor	702 464	
	Cr	Bank		702 464

Settlement of liability, including interest accrued

The debt is initially recognised at the amount equal to the present value of the future payments, using a market-related interest rate of 12% per annum. The fact that the debt will be repaid over a period of time results in the accrual of interest over this period, but the initial value of the asset is not affected by the deferred repayment terms of the debt.

As it will be used in production, the machine should be depreciated over its expected useful life to its residual value. This should be done in terms of IAS 16, *Leases*, and has no impact on the recognition and measurement of the debt. Even if the machine is impaired or destroyed, the debt is still payable and the liability should be recognised until the company is no longer obligated to settle the debt.

Something to do

Find out the current prime interest rate and the inter-bank lending rate, and how these are determined with reference to the repo rate (set by the South African Reserve Bank).

Key principle:
Accrual basis versus cash basis

Interest expense is recognised over the relevant period (on the accrual basis) by using the effective interest rate method. Cash interest payments (also referred to as 'coupon payments') are normally paid on the specified coupon payment dates. Interest expense is recognised in profit or loss when incurred, not when cash payments are made.

4.3 Interest or dividends payable

Interest is the expense of using third-party funds. The entity obtaining the funds should recognise the interest expense over the usage period of the funds on a systematic basis. Interest expense accrues evenly over the period of the debt, essentially on a daily basis. However, for ease of calculation, it may be calculated on a weekly, monthly or annual basis and be payable on the same or different bases.

The cost of debt is referred to as a 'finance cost' or 'interest expense'. Interest accrues on a time basis and the interest rate quoted in a debt contract is normally an annual rate, payable monthly or annually. In practice, the annual interest payable is accrued on a monthly or even a daily basis. Interest payable for the year is then divided by 12 months or 365 days. In order to keep calculations simple, this chapter mainly uses interest accrued on an annual basis.

The interest rates quoted on loans and interest-bearing debt can either be fixed for the period of the loan or may fluctuate according to a market indicator (for example, the prime rate). The prime interest rate is the interest rate used by commercial banks when lending funds to businesses and the public. It is a benchmark rate and interest rates linked to the prime rate are normally quoted as a few points below or above prime. When a rate quoted is, for example, 'prime minus two', this is an indication that the borrower is considered a low-risk creditor. In such a case, if prime were 10%, the interest rate applicable to the debt would be 8%. When a rate is quoted as 'prime plus three', this is an indication that the creditor is considered as a high risk. In such a case, if prime were 10%, the interest rate applicable to the debt would be 13%.

4.3.1 Interest expense versus cash payments

You should distinguish clearly between the interest expense (the expense of using third-party funds) that should be recognised in profit or loss and the interest payments (the cash flow of annual payments). The interest expense to be recognised in profit or loss is calculated by applying the effective interest rate for the liability to the outstanding carrying amount of the obligation. The interest payments are calculated by applying the coupon rate to the capital sum of the underlying instrument.

Example of interest expense versus interest payments

An entity issued 100 5% debentures with a principal value of CU10 000 each on 1 January 20x3. The interest is payable annually in arrears, starting on 31 December 20x3. The debentures are redeemable at the end of the fifth year (on 31 December 20x7). The current market interest rate for a similar debt is 10% per annum.

The market interest rate of 10% per annum is used to determine the issue price of the debentures (CU810 461). The respective cash flows over the period of the instrument are discounted back to the issue price, using an **effective interest rate**. In this case, the **effective interest rate** (also referred to as the 'internal rate of return') applicable to this instrument remains at 10% for the full period until final settlement. The issue price was calculated as the sum of the present values of all future cash payments (the future payment of the lump sum of CU1 million at the end of the period plus the five annual

interest payments of CU50 000). Note that if any **transaction costs** were incurred when the debentures were issued, those transaction costs should be deducted from the capital raised and the effective interest rate should be recalculated accordingly.

Interest expense

The interest expense at 31 December 20x3 (the first date when interest accrued) amounts to $10\% \times \text{CU}810\,461 = \text{CU}81\,046$. The interest expense is calculated by applying the market-related interest rate for similar debt to the carrying amount of the debt. CU81 046 represents the interest expense that should be recognised in profit or loss.

The following journal entry was required at 31 December 20x3:

			CU	CU
Dr		Interest expense (P/L)	81 046	
	Cr	Debentures		81 046

Interest expense accrued (Carrying amount of debt $\times$ Effective interest rate)

Interest payments

The interest payments were calculated as $5\% \times \text{CU}1\text{ million}$ (the coupon rate was applied to the capital sum of the debentures). CU50 000 represents the cash flow of interest payments every year over the five-year period of the debentures.

The following journal entry was required at 31 December 20x3:

			CU	CU
Dr		Debentures	50 000	
	Cr	Bank		50 000

Coupon interest paid (Principal value $\times$ Coupon rate)

There is a difference between the interest payment (CU50 000) and the interest expense (CU81 046). This difference relates to the fact that the coupon rate quoted for these debentures is lower than the market-related interest rate on similar debt. The discount allowed when the debentures were issued ($\text{CU}1\text{ million} - \text{CU}810\,461$) is amortised over the period of the debentures. (The amortisation of the difference is illustrated in Section 4.4.2.) These two journal entries can also be combined into one, where the difference (discount allowed) is amortised over the period to the debentures account.

4.3.2 Dividends recognised as an interest expense

Where shares with preferential settlement conditions are classified as a financial liability (see Sections 2.2 and 2.3.1), the cost of the funds obtained should be recognised as a finance cost (expense). As the substance of the instrument is a liability, the substance of the expense is interest (and not dividends). In this instance, the company that has issued the instrument recognises the dividend expense in profit or loss as part of finance costs, not as dividends declared in the statement of changes in equity. This implies that the expense should be recognised on the accrual basis, as is done for loan finance, as opposed to recognising dividends only when declared, as is done for equity. However, the classification of the dividend expense as an expense on shares of this nature does not affect their legal classification as shares. The dividend expense relating to the shares will not be allowed as an income tax expense, as it maintains its legal form of dividends. The accounting treatment of dividends paid on shares of this nature is similar to the illustration below (see Section 4.4.2) relating to debentures (the dividend expense is recognised as a finance cost).

An expense is a decrease in net assets other than a distribution to equity holders. This implies that if shares are classified as equity, the dividend is a distribution of profit and not an expense (in other words, the dividend is included in the statement of changes in equity).

Something to think about

Dividends and share prices

Many listed companies pay dividends. Some companies pay dividends twice a year (an interim and final dividend), while others pay only a final dividend. Some investors watch the dates on which listed companies are expected to declare dividends closely and then benefit from buying shares just before the company announces its dividend. In this way, the shares are bought before the dividend is declared, and the full dividend is received (and earned) by the buyer. For example, suppose a listed company has a reporting date of 30 April. On 24 June, when it issues its financial results, the company declares a final dividend of 5% of the ruling share price, payable on 23 August. To ensure that the right shareholders receive the dividend, the company stipulates that all shareholders who held shares at the close of business on 13 August (the last date to register) will receive the dividend. Investors will then aim to buy shares just before 13 August, in which case they would receive a dividend of 5% on the purchase price for the short period for which they actually held the shares. This action is known as dividend farming.

The short-term dividend farmer buys the shares just before 13 August, cum-dividend. In a normal market environment, the company's share price will fall by the value of the dividend after the last date of registration (after which it will trade ex-dividend again).

However, when things are going well in the markets, the share price may not fall between the cum-dividend day and the ex-dividend day, and then the dividend farmer will smile broadly when selling the shares.

4.4 Subsequent measurement

A financial liability should initially be measured at its fair value at the transaction date and should be calculated with reference to the transaction price or other market prices. A financial liability is derecognised when the obligation owing to the settlement or replacement of the debt expires.

At each subsequent reporting date, the carrying amount of a financial instrument should be considered, based on the classification of the instrument. IFRS 9 allows for two measurement bases: amortised cost and fair value. Almost all financial liabilities are measured at amortised cost. However, if the entity has financial liabilities held for trading (typically derivative instruments) or has specifically designated a financial liability as held at fair value through profit or loss, these liabilities should be measured at fair value. While IFRS 9 permits an entity to designate and measure a financial liability at fair value through profit or loss, it requires the portion of the fair value adjustment relating to the entity's own credit risk to be recognised in other comprehensive income (with some exceptions).

When a financial liability is measured at amortised cost, subsequent changes in the market rate will not affect how the issuing entity records the liability.

4.4.1 Subsequent measurement at fair value

Fluctuations in interest rates, the risk profiles of an issuer and general market conditions are all factors that cause changes in quoted market prices and interest rates for a financial liability. Where the issuer of an instrument has designated that instrument as held at fair value through profit or loss, the instrument is recognised at its fair value at each subsequent reporting date and fair value adjustments are recognised in **profit or loss**. This policy exposes the issuer's reported earnings to the risks that are inherent to the market and may result in large fluctuations in the reported earnings from one year to the next.

The following journal entries are required at the initial recognition date:

Dr		Bank
	Cr	Financial liability

Even though an entity has designated and measured financial liability at fair value through profit or loss, IFRS 9 requires (with some exceptions) that the portion of the fair value adjustment relating to the entity's own credit risk associated with the liability be recognised in other comprehensive income. Changes in a financial liability's credit risk affect the fair value of that financial liability. This means that when an entity's creditworthiness deteriorates, the fair value of its issued debt decreases (and vice versa), which results in the recognition of a gain (or loss) owing to changes in the entity's own credit risk that is recognised in other comprehensive income. This amount is not subsequently reclassified to profit or loss.

The following journal entry is required at each subsequent reporting date (decrease in fair value resulting from the entity's own credit risk):

Dr		Financial liability
	Cr	Gain on fair value adjustment (OCI)

If the fair value of the financial liability has increased in the subsequent period, the journal entry will be the opposite:

Dr		Loss on fair value adjustments (OCI)
	Cr	Financial liability

(Note that transaction costs should be expensed.)

The following journal entry is required at each subsequent reporting date resulting from a decrease in the fair value of the financial liability that does not relate to the entity's own credit risk associated with the liability:

Dr		Financial liability
	Cr	Gain on fair value adjustment (P/L)

Suppose the fair value of the financial liability has increased in the subsequent period. In that case, the journal entry will be the opposite for changes that do not relate to the entity's own credit risk associated with the liability:

Dr		Loss on fair value adjustments (P/L)
	Cr	Financial liability

Where financial liabilities are held for trading purposes with the intention of buying and selling these instruments to generate short-term profits, recognising these liabilities at fair value represents an appropriate reflection of the entity's exposure to the market.

4.4.2 Subsequent measurement at amortised cost

All financial liabilities not designated at fair value are measured at amortised cost (for example, a liability that is issued and will be settled at its maturity date by the entity and recognised at amortised cost). This includes trade payables and loan liabilities.

Amortised cost is the amount at which the financial liability is measured at the initial recognition date minus principal (capital) repayments plus or minus the cumulative amortisation of any difference between the initial and maturity amounts using the effective interest rate method.

The initial amount at which a financial liability is recognised is also referred to as its 'present value' (PV) and represents the cash consideration received when the debt was issued. The capital amount to be settled at the end of the period is referred to as the 'maturity amount' or the 'future value' (FV) of the instrument. The future value also includes interest payments made during the period that the liability was outstanding. The difference between the present value and the future value represents the cost of obtaining the funds.

The effective interest rate

The effective interest rate is also referred to as the 'internal rate of return' on the instrument.

This is usually calculated on a financial calculator, where:

- PV = The present value, being the net cash flow when the instrument is issued (this is given a minus sign as it is a cash receipt; all other cash flows are payments)
- PMT = The payment, being the amount of equal interest payments made
- n = The number of interest payments made
- FV = The future value, being the redemption cash flow at the end of the life of the instrument.

Key principle:
What is the effective interest rate?

The effective interest rate is the rate that **exactly discounts** the expected stream of future cash payments through the expected life of the financial liability until the maturity date to the net cash consideration received when the debt was raised.

From this, you can calculate the internal rate of return (*i*).

Example of determining the effective interest rate

Alpha Ltd issued 1 000 5% debentures with a principal value of CU100 each on 1 January 20x3, to be settled at the end of five years at a premium of CU25 each. Interest is payable annually on 31 December. Transaction costs amounted to CU15 000. The conditions of the debentures can be summarised as follows:

The difference between the future cash payments (CU150 000) and the initial net cash consideration received (CU85 000) represents the finance cost of the debt (amounting to CU65 000). It should be amortised over the period by using the effective interest rate.

The net cash consideration received (the initial value at which the debentures should be recognised) is CU100 000 – CU15 000 transaction costs = CU85 000.

			CU	CU
Dr		Bank	100 000	
	Cr	Debenture liability		100 000

Initial recognition of debentures at the fair value of the future cash flows

			CU	CU
Dr		Debenture liability	15 000	
	Cr	Bank		15 000

Transaction costs included in the initial amount of debentures (in other words, net of transaction costs)

You need to calculate the effective interest rate (or internal rate of return) specific to this instrument. The present value of the instrument at the initial recognition date is CU85 000. The future value of the instrument at the maturity date (at the end of five years) is CU125 000. Five equal annual payments of CU5 000 must be made (the annuity payments). The effective interest rate that discounts the future cash payment of CU125 000 at the end of the fifth year plus the five annual payments of CU5 000 to the present value of CU85 000 is 13.126% per annum.

How was the effective interest rate calculated?

Using a financial calculator, you will find that:

- $PV = (-) \text{ CU}85\,000$
- $FV = \text{CU}125\,000$
- Period of the instrument (n) = 5
- Annual payments (PMT) = CU5 000.

In this formula, the result of i is calculated at 13.126%. (Answer: $i = 13.126$)

You can also use the following formulae simultaneously and resolve i :



By substituting these parameters into the formula and using your maths knowledge, resolve i :

- $PV = \text{CU}85\,000$
- $FV = \text{CU}125\,000$
- $n = 5$
- Cash flow = CU5 000.

To test this calculated effective interest rate, you will need to calculate the present value of the future cash flows by applying this interest rate:

- PV of capital settlement = $\text{CU}125\,000 \times 0.5397$ (present value factor of lump sum at 13.126% over five years) = CU67 470
- PVA of interest payments = $\text{CU}5\,000 \times 3.506$ (present value factor for an annuity at 13.126% over five years) = CU17 530.

$\therefore$ The sum of the present values = CU67 470 + CU17 530 = CU85 000.

Where the coupon rate and the settlement value of a financial instrument issued to maturity have been agreed as part of the terms and conditions of the instrument, and the cash consideration received at the initial date of recognition (including transaction costs) has been fixed, the rate to discount the sum of the future cash flows (which is the present value of the settlement amount plus the present values of the interest payments) to the present value represents the effective interest rate.

The effective interest rate will equal the coupon rate where the present value of the financial instrument (the cash consideration received at the initial stage, net of transaction costs) is equal to the future settlement value (at the

maturity date). When debentures or bonds are issued and the coupon rate stated is market-related at the date of issue, the issuer receives the capital sum that will be repaid to the investors at the settlement date.

Something to do

Having used a financial calculator to calculate the effective interest rate, see whether you can use Microsoft Excel to:

- Calculate the effective interest rate.
- Prepare an amortisation schedule.

Example of a debt instrument issued at a market-related interest rate

Cross-Country Ltd raised funds by issuing a debt instrument with a face value of CU2 000 000 on 1 July 20x1. This instrument carries a fixed interest payment of 10% per annum (the coupon rate) and is redeemable at par value (CU2 000 000) in five years.

As the current market interest rate for similar debt instruments is also 10%, the capital raised for this debt instrument will be equal to its settlement value. The interest rate that will exactly discount the future cash flows to the present value should be equal to the interest rate paid for the instrument (that is, the coupon rate).

Cross-Country Ltd will receive CU2 000 000 at the initial date. It will pay interest of CU200 000 per annum and will repay the face value of CU2 000 000 on the settlement date. This is because the present value of the capital repayment of CU2 000 000 discounted at an effective interest rate of 10% plus the present value of the CU200 000 annual interest payments discounted at the same rate equals CU2 000 000 (because the coupon rate equals the effective interest rate and there are no transaction costs, discounts or premiums).

Where the coupon rate is different from the market interest rate at the issue date, the debentures will not be issued at face value (refer to the example in the section on lump-sum redemption below for the issue of a zero-coupon instrument). In this case, the financial instrument will be issued or redeemed at either a premium or a discount, depending on the difference between the market interest rate and the coupon rate. The issue price will be calculated by discounting future cash receipts at the market interest rate. The issue price should be reduced by transaction costs. The effective interest rate is then the exact rate that will discount all the future cash flows back to the present value of the instrument (which is the issue price less transaction costs).

Lump-sum redemption

The following example illustrates the subsequent measurement of a debenture by applying the amortised cost method and using an effective interest rate.

The general principles to apply are the following:

- Determine the net cash consideration received when the debentures are issued (initial amount less transaction costs), the date and amount at which the debentures will be settled (settlement amount), the coupon payments and the intervals of the coupon payments (these are normally stipulated when the debentures are issued).
- Calculate the total finance costs (the interest expense) of the debentures, which is the difference between the issue price (the cash consideration received) and the settlement price (the cash consideration payable). Therefore, any premiums and discounts are recognised as adjustments to the interest expense over the debt period.
- Calculate the effective interest rate applicable to the debentures by discounting future cash flows to the cash flows at the contract's inception.
- Calculate the interest expense in the profit or loss by applying the effective interest rate to the carrying amount of the debentures.
- Add the interest expense to the carrying amount and deduct the interest paid from the carrying amount. (The interest payments do not affect the statement/s of financial performance but do affect the carrying amount of the debt. It is increased or decreased by the net difference between the interest expense and the interest payment.)

Total finance costs over the period of the debt = Cash received – Cash paid
 Closing carrying amount of debt = Opening carrying amount + Interest expense – Interest paid

Example of amortisation of a zero-rate debenture

A zero rate means a 0% coupon rate. No interest payments are made; the issuer receives a lesser amount initially and settles the principal amount at the end of the period.

Zero-rate debentures with a principal value of CU100 000 that are redeemable in five years' time at par will be issued at CU62 092 if the current market interest rate for similar debt is 10% per annum. The future value is the same as the maturity amount (CU100 000). $PV = FV \times 0.6209$ (present value factor for 10% over five years).

The following journal entry is required at the initial recognition stage (beginning of year 1):

			CU	CU
Dr		Bank	62 092	
	Cr	Debenture liability		62 092

Initial recognition of debentures (liability) at present value of future cash flows

An amount of CU62 092 is received when the debentures are issued initially and CU100 000 should be repaid at the end of the five-year period. The difference between the present value and the future value (CU100 000 – CU62 092 = CU37 908) represents the interest expense for the debentures over the five-year period.

This interest expense should be amortised over the five-year period as the cost of the debt. No interest payments will be made (zero-rate debentures), but the interest expense should be amortised and accrued to the carrying amount, resulting in a debt to the value of CU100 000 at the end of the fifth year.

The interest expense at the end of the first year is calculated as $10\% \times \text{CU}62\,092 = \text{CU}6\,209.20$. This is amortised to the carrying amount of the debt and recognised in profit or loss. The balance carried forward (c/f) at the end of year 1 is $\text{CU}62\,092 + \text{CU}6\,209 = \text{CU}68\,301$, which at the start of year 2 is the balance brought forward (b/f) from year 1.

The following journal entry is required at the end of the first year:

			CU	CU
Dr		Interest expense (P/L)	6 209	
	Cr	Debenture liability		6 209

Interest accrued for first reporting period

These entries are repeated at the end of each following year. At the end of the fifth year, the debentures will have a carrying amount of CU100 000. Effectively, you have amortised the interest over the five-year period to the carrying amount of the debt by crediting the interest expense to the carrying amount of the debt.

At the end of the fifth year, when the debentures are redeemed, the following journal entry will record the settlement:

			CU	CU
Dr		Debentures	100 000	
	Cr	Bank		100 000

Settlement of debentures on maturity date

The following **amortisation table** illustrates the annual amortisation of the interest expense of CU37 908 over the period of five years using the effective interest rate of 10%:

Date	Interest paid	Interest expense	Capital	Workings
		CU	CU	

Initial capital raised	0%	10%	62 092	
Year 1	—	6 209	68 301	(CU62 092 + 6 209)
Year 2	—	6 830	75 131	(CU68 301 + 6 830)
Year 3	—	7 513	82 644	(CU75 131 + 7 513)
Year 4	—	8 265	90 909	(CU82 644 + 8 265)
Year 5	—	9 091	100 000	(CU90 909 + 9 091)
	—	37 908		

The **zero-rate debentures account** will be recorded as shown on the next page in the general ledger of the issuer, illustrating the initial capital raised of CU62 092, the annual amortisation (accrual) of the interest expense over the five years and the settlement of the principal amount of CU100 000 at the end of year 5.



This general ledger account illustrates how the zero-rated debentures' carrying amount increases every year when interest is accrued up until the maturity date, when the carrying amount is equal to the maturity amount at the point at which the debentures are settled.

Current versus non-current liabilities

Financial liabilities can be either current or non-current financial liabilities. The classification between current and non-current financial liabilities depends on the settlement conditions. Financial liabilities that must be settled within the current period, normally within the next financial year, should be classified as current liabilities.

A financial liability should be recognised as a current liability when the entity has no unconditional right to defer settlement for at least 12 months after the reporting date. IFRS 18 requires that where the entity does not have an unconditional right to defer the settlement of a liability for at least 12 months after the reporting date, that liability be classified as current. This implies that liabilities should be classified as non-current only where there is a fixed repayment date or an agreement that the amount is not repayable within the next 12 months.

The following liabilities are normally recognised as current:

- Where it is expected that the liability will be settled within the entity's normal operating cycle
- Where the liability is primarily held for the purpose of being traded
- Where the liability is due to be settled within 12 months after the reporting date.

Cash amounts to be settled on demand (for example, a bank overdraft balance) should always be classified as current liabilities.

When a liability is raised to fund operating activities, this does not necessarily imply that the obligation is short term; the obligation could be longer term (for example, a five-year loan obtained to finance the acquisition of a new product line for inventory) and should therefore be disclosed as a non-current liability. A loan of this nature should

be classified according to its settlement conditions and not according to the purpose for which the funds have been used.

The classification between current and non-current liabilities should be based on the conditions existing at the reporting date. For example, if a loan is repayable within 12 months at the reporting date, but is renegotiated after the reporting date and is then only repayable in 36 months, it should still be classified as a current liability at the reporting date, as that condition existed at that date.

4.5 Foreign liabilities

A liability may be denominated in a foreign currency as opposed to the reporting currency, which would be rands for a South African entity. The foreign liability must be correctly measured in the reporting currency at the reporting date. If a trade creditor is valued at US\$500, the rand equivalent should be measured using the exchange rate at the reporting date, which is known as the 'closing rate'. Any difference between the amount recognised at the reporting date and the amount previously recorded relating to how exchange rates have moved should be recognised in the profit or loss as a foreign exchange gain or loss.

4.6 Derecognising financial liabilities

When a present obligation no longer exists (for example, when the issuer settles a debt), the liability no longer exists and it is derecognised as a liability. The obligation can be discharged either by settlement in cash, or by payment by way of other financial assets, goods or services. The obligation can only be discharged if the entity is legally released from the primary responsibility for the liability. Typical examples of when a financial liability is discharged are when debentures have been settled on their maturity date, or when a current or non-current debt has been settled. Any gain or loss in settlement is recognised in profit or loss.

5 Derivatives

Derivatives are financial instruments that derive value from an underlying item, such as an interest rate or a share price. They are complex financial contracts that can be bought and sold by entities to reduce a variety of risks. In simple terms, parties to derivative financial instruments are taking bets on what will happen to the underlying financial instrument in the future. As mentioned in Section 2.4, a derivative can be either a financial asset or a financial liability.

Typical examples of derivatives include contracts that reduce the risk of losses caused by changes in:

- Interest rates (for example, interest rate swaps)
- Exchange rates (for example, forward exchange contracts)
- Share prices (for example, options)
- Commodity prices (for example, gold futures).

A derivative usually has a notional amount, which is an amount of currency, or a number of shares or other units specified in a contract.

Whilst there are many examples of derivatives in practice, forward exchange contracts and options are discussed in more detail below to illustrate what derivatives are, and also because they are often used in practice. Embedded

derivatives are complex, but the concept is briefly discussed below to raise awareness of instruments that could be encountered in practice.

A derivative instrument

... is defined in IFRS 9 (Appendix A) as a financial instrument or other contract where all three of the following characteristics are present:

- Its value changes in response to the change in a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or another variable, provided that in the case of a non-financial variable, the variable is not specific to a party to the contract.***
- It requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to respond similarly to changes in market factors.***
- It is settled at a future date.***

5.1 Forward exchange contracts

An entity can enter into a forward exchange contract to buy or sell foreign currency at a pre-determined future date at a specific exchange rate, known as the 'forward rate'. Entities can do this to protect themselves against foreign exchange risk (as discussed in [Chapter 23](#), *Foreign exchange transactions*).

Example of a forward foreign exchange contract

Company A ordered goods from a supplier in the USA for US\$100 000 when the exchange rate (spot rate) was US\$1 = ZAR14 (that is, R14 to the US dollar). Payment is due in three months' time. When Company A ordered the goods, it expected to pay ZAR1 400 000 (US\$100 000 × R14). If the rand-dollar exchange rate changes to US\$1 = ZAR15 when payment is due, Company A will have to pay ZAR1 500 000 to the supplier.

As Company A is transacting in a foreign currency, Company A is exposed to fluctuations in the ZAR/US\$ exchange rate which create risk (uncertainty). A forward exchange contract can protect Company A against this risk and create more certainty and assist with future planning, particularly relating to cash flows. Company A enters into a forward foreign exchange contract with BR Bank to buy US\$100 000 in three months' time (exercise date) at a rate of US\$1 = ZAR14.5 (the forward rate). Financial institutions such as banks are typically the counterparty in the contract as banks can earn fees from the transaction. On the exercise date, Company A will buy US\$100 000 for ZAR1 450 000 from the bank in order to pay the supplier. Company A will purchase the US\$100 000 from the bank at the agreed forward rate, irrespective of what happens to the exchange rate at that date. Company A has effectively been locked into an exchange rate of ZAR14.5. In doing so, it has eliminated any risk that may be caused by

exchange rate movements and has managed to mitigate some of the risk associated with changes in the price of imported goods as a result of exchange rate movements.

5.2 Options

Options are derivative contracts between two parties, the issuer and the holder, whereby the holder has the right to buy or sell shares at a predetermined price on a specific future date. As the name suggests, the holder has the option or right to buy or sell the shares but is not obligated to do so. Option contracts are either call options, where the holder has the right to buy shares (in other words, to 'call' the shares from the counterparty) or put options, where the holder has the right to sell the shares (in other words, to 'put' the shares to the counterparty). The holder will only exercise the right if the option is favourable to the holder.

Example of an option contract

Entity A buys an option that entitles it to purchase 1 000 shares (the notional amount) in Company X at CU300 per share at any time in the next six months. The shares in Company X are the underlying financial instrument from which the option derives its value. The option is therefore the derivative financial instrument. The amount of CU300 per share is called the option's exercise price.

Entity B sells the option to Entity A. Entity A is called the holder of the option and Entity B is called the writer of the option. Entity A usually pays an amount called a premium to purchase the option. The premium amount is less than what Entity A would have to pay for the shares in Company X. At the date on which the option contract was entered, the shares in Company X had a market value of CU260 each.

This transaction created a financial asset for Entity A, being a contractual right to purchase 1 000 shares in Company X at CU300 a share, while Entity B obtained a contractual obligation (in other words, a financial liability) to sell the shares in Company X at CU300 per share. If the share price of Company X rises above CU300, Entity A will exercise its option and require Entity B to deliver the shares at CU300 per share. Entity A will have benefited from this transaction by acquiring the shares in Company X at less than the market price. If the shares in Company X rise to CU320 per share, Entity A will purchase the shares from Entity B for CU30 000. If Entity A had had to purchase the shares in the market, it would have paid CU32 000. Entity B would make a loss from this transaction, depending on whether it already held the shares in Company X or had to go out and buy them for CU32 000 and sell them to Entity A for CU30 000.

Alternatively, Entity B may have entered into another derivative contract with other parties enabling it to purchase the shares at less than CU30 000. Entity B's obligation is a financial liability because it has the obligation to exchange cash or another financial asset (shares of Company X) under potentially unfavourable conditions.

However, if the share price of Company X never exceeds CU300 over the six-month period of the option, Entity A will not exercise the option and it will lapse. The option is termed 'out of the money' from Entity A's perspective, as it has no value to Entity A because the exercise price is higher than the market price. Once the share price of Company X rises above CU300, the option is termed 'in the money'.

Entity A is not compelled to exercise its option, even if it is an 'in the money' option. From Entity A's perspective, it has the right to exercise the option should it so choose. However, if Entity A exercises its option, Entity B is compelled to deliver the shares under its contractual obligation.

5.3 Embedded derivatives

Derivatives may exist on a stand-alone basis. Alternatively, a contract that is not a derivative, for example a loan, may include features that result in cash flows in the contract varying in a way that are like a stand-alone derivative, and then the contract is said to include an 'embedded derivative'. Embedded derivatives are beyond the scope of this publication.

6 Hedge accounting

Entities enter into hedge arrangements for economic reasons: to protect themselves from risks such as currency risk, market price risk and interest rate risk. Hedging involves offsetting gains and losses on two transactions whose values move in opposite directions in relation to a given risk, such as a change in share prices or exchange rates. One of these transactions creates the original exposure to the risk; the other transaction is directed at reducing or offsetting this risk.

The choice of using a derivative to minimise risk is an example of hedging. IFRS 9 sets out specific hedge accounting principles that attempt to have the financial reporting reflect the economic substance of these transactions. Hedge accounting is extremely technical and is not covered in this textbook.

7 Presentation and disclosure of financial instruments

Users of financial statements need information relating to financial instruments in order to interpret the entity's exposure to markets, interest rates and counterparties correctly. The disclosure requirements for financial instruments are substantial and are set out in IFRS 7, *Financial Instruments: Disclosures*, and IAS 32, *Financial Instruments: Presentation*. Because of the nature and extent of risks arising from financial instruments to which the entity is exposed during the reporting period and at the end of the reporting period, IFRS 7 requires entities to provide detailed disclosures to enable users to evaluate the significance of financial assets and liabilities on the financial position and performance of the entity. These include the disclosure of financial assets and liabilities by category in the statement of financial position or in the notes, and specific disclosure relating to instruments that have been reclassified and derecognised as well as financial assets pledged as collateral. This section summarises the requirements that relate to the primary instruments covered in this chapter.

7.1 Accounting policy note

An accounting policy note should be presented in the financial statements. It should provide details of the extent and nature of the financial assets, including the criteria that you applied to determine when to recognise an asset (at the trade or settlement date), the basis of measurement (cost or fair value), and the basis of income and expense recognition and measurement. You should disclose the business model of the entity and the subsequent measurement basis applied for each classification of financial assets.

An entity should further disclose the accounting policy that it has adopted relating to financial liabilities. In the accounting policy note, details should be provided of the criteria applied to determine when to recognise an

instrument, the basis of measurement, and the basis of calculating those gains and losses that have been recognised and measured.

You should also state the methods and significant assumptions that you applied when estimating the fair value of financial instruments carried at fair value, as well as the fact that gains and losses arising from fair value adjustments are included in the profit or loss for the period.

7.2 Presentation of the statement of financial position and notes

The disclosure requirements for financial instruments are onerous. A summary of the specific information that should be presented in the statement of financial position is provided below.

7.2.1 Financial assets

Each classification of financial assets should be disclosed separately on the face of the statement of financial position, and should be recognised and measured appropriately in terms of the accounting policy and IFRS 9. Investments held for a period longer than the normal trading cycle of the entity should be classified as non-current assets, while assets held for trading purposes should be classified as current assets. Accounts receivable from trading activities as well as cash and cash equivalents should be classified as current assets. Loans and other accounts receivable generated by the entity but not receivable within the next 12 months should be classified as non-current assets.

The notes to the financial statements should disclose the full details of all investments, and listed and unlisted investments should be analysed separately. In respect of each investment, the name of each company invested in, the number of shares currently held (or the percentage of issued shares held) and the carrying amount of the shares as well as the market valuation or directors' valuation should be listed. These details should also be disclosed for the previous financial year. For unlisted shares, the frequency of revaluations, the basis of these valuations and the date of the latest valuation should be listed.

For each significant financial asset, details must be given of the following information:

- The principal amount
- The date of maturity or expiry (if applicable)
- Early settlement options and dates
- The future receipt of principal amounts, if known
- Rates and amounts of dividends and interest, if known
- The recognition and measurement basis applied
- Impairment losses recognised, if any.

Where an entity has offered a financial asset as collateral to a creditor and the creditor is allowed to sell or repledge the collateral without constraints, you should disclose the collateral separately from other assets not used as collateral.

7.2.2 Financial liabilities

An entity should recognise the total of the carrying amounts of financial liabilities on the face of the statement of financial position. In addition, it should distinguish between the current and non-current portions of the obligations.

Financial liabilities held for trading purposes should be classified and recognised as current. All other financial liabilities should be recognised as non-current, unless the carrying amount or any portion thereof is payable within the 12-month period following the reporting date. In this case, the amount payable in this period should be recognised as current.

The terms and conditions of financial liabilities that create a potentially significant exposure to risks should be presented in the notes to the financial statements. The following minimum details are required:

- A description of the liability
- The principal amount
- The carrying amount of each liability
- A reconciliation of the carrying amount at the beginning of the reporting period plus and minus any adjustments (increases or repayments) to get to the carrying amount at the reporting date
- The interest rate applicable to the liability, whether it is fixed or variable and the intervals of payment
- The settlement conditions and the date of settlement, maturity or expiry
- The conversion options, if any
- The fact that the liability is secured and the asset that is used as security
- The current portion of the liability payable within the following 12 months.

The implication of offsetting a financial liability against a financial asset is that both the asset and the liability are not recognised in the financial statements, but only the net amount (if any) is reported in the statement of financial position. However, offsetting is only allowed when an entity has a legally enforceable right to offset the recognised amounts and when it intends to settle on a net basis or to settle the liability at the same time that the asset is realised.

Where an asset has been provided as collateral for a financial liability, that fact plus a description of the asset and its carrying amount should be disclosed in the notes to the statement of financial position.

7.2.3 Risk management policies

Information should be provided about the entity's risk management policies, including the instruments used to manage risk (which are not discussed in this chapter). The entity's exposure to various types of risk, such as movements in share prices, interest rates, values of instruments, cash flow and credit risks, should be disclosed in a note. These risks are briefly summarised in [Table 14.4](#).

Table 14.4 Types of risk to which an entity can be exposed

Price risk	Price risk is the exposure to price variations for a specific asset. It comprises currency risk, interest rate risk and market risk: • Currency risk is the risk that the value of a financial asset will fluctuate as a result of changes in foreign exchange rates. • Interest rate risk is the risk that the value of a financial asset will fluctuate as a result of changes in market interest rates. • Market risk is the risk that the fair value of a financial asset will fluctuate as a result of changes in the market.
Credit risk	Credit risk is the risk that one of the parties to a financial instrument will fail to meet an obligation.
Liquidity risk	Also referred to as ‘funding risk’, this is the risk that investors will not meet their own liquidity obligations when they are due.
Cash flow risk	Cash flow risk is the risk that cash flow associated with a financial asset will fluctuate because the interest rate is not fixed; it floats and affects the amount of cash to be received from an investment.

Table created by author based on information from: International Accounting Standards Board (IASB). 2024. IFRS 7 *Financial Instruments: Disclosures*.

7.3 Profit or loss

Irrespective of which format an entity uses to present its financial performance, an entity presents line items in profit or loss for the following:

- Interest revenue
- Impairment losses (including reversals)
- Gains and losses arising from the derecognition of financial assets measured at amortised cost
- Gains or losses relating to items that have been reclassified from amortised cost measurement to measurement at fair value through profit or loss or reclassification of a financial asset from measurement at fair value through other comprehensive income to measurement at fair value through profit or loss.

An entity will need to assess whether it is investing in assets or providing financing to customers as a specified main business activity. This will determine whether the income and expenses presented in profit or loss relating to its financial assets and financial liabilities are classified in the operating category, the investing category or the financing category.

In addition, for financial liabilities an entity will need to consider whether these relate solely to the raising of finance or not, and recognise the related interest and other expenses in the operating category or the finance category accordingly.

Refer to [Chapter 2](#), *Presentation and disclosure in financial statements*, for detailed presentation guidelines.

Key points to take from this chapter

- Financial instruments comprise financial assets and financial liabilities. Financial assets are investments in either an equity instrument or a debt instrument. Financial liabilities are debt instruments. Thus, a financial asset in one entity is either a financial liability or an equity instrument in another entity.
- An equity instrument is a residual interest in the assets of an entity after deducting all of its liabilities (for example, share capital). An equity instrument is not a financial liability, as it does not constitute a present obligation for settlement.
- Primary instruments are investments in shares, government stock and bonds, and debentures. A derivative instrument is normally linked to a primary instrument and transfers the financial risks inherent in the underlying primary instrument to the holder of the derivative.
- Financial assets are classified based on the entity's business model for managing its financial assets and the contractual cash flow characteristics of the financial asset.
- Financial assets are initially recognised at fair value, which is the amount for which the asset is exchanged between a knowledgeable, willing buyer and a willing seller in an arm's length transaction.
- Transaction costs are included in the cost of a financial asset at the acquisition date unless the financial asset is classified at fair value through profit or loss, in which case transaction costs are expensed.
- Investments in equity instruments are measured at fair value, with fair value adjustments included in profit or loss, or in other comprehensive income (if so elected).
- Depending on the business reasons for acquiring financial assets, two measurement bases are used for subsequent recognition of investments in debt instruments: amortised cost and the fair value model:
- Debt instruments are long-term funding consisting of a contractual obligation by the issuer to repay the funds at a fixed future date and at an agreed future price.
- Investments in debt instruments are measured at fair value, with fair value adjustments recognised in profit or loss, unless the debt instrument is measured at amortised cost or fair value through other comprehensive income.
- Investments in debt instruments where amortised cost is a measurement basis must be assessed for impairment. This is referred to as 'credit risk', meaning the risk that the issuer will not be able to settle the interest and capital on the due dates.

- A financial liability should initially be measured at its fair value at the transaction date, including transaction costs, and should be calculated with reference to the transaction price or other market prices.
- At each subsequent reporting date, financial liabilities are measured at amortised cost or fair value. Almost all financial liabilities are measured at amortised cost. However, if the entity has financial liabilities held for trading (typically derivative instruments) or has specifically designated a financial liability as held at fair value through profit or loss, these liabilities should be measured at fair value.
- A financial liability is derecognised when the obligation owing to the settlement or replacement of the debt expires.
- The disclosure requirements for financial instruments are quite onerous, as users of financial statements need information relating to financial instruments in order to interpret the entity's exposure to markets, interest rates and counterparties correctly.

Discussion questions

1. Discuss the aspects that you would consider when deciding whether to classify a financial instrument as a financial liability or an equity instrument. Give an example of each of the classifications.
2. IFRS 7, *Financial Instruments: Disclosures*, requires an entity to disclose information that enables the users of its financial statements to evaluate the nature and extent of risks arising from financial instruments to which the entity is exposed at the reporting period. Describe the main risks that pertain to financial instruments.
3. IFRS Accounting Standards require most financial instruments to be recognised in the statement of financial position at fair value.
 - a) Discuss how you would determine fair value and the accounting treatment of any fair value adjustments.
 - b) Which classification of financial instruments should not be recognised at fair value? Give reasons for your answer. Describe the appropriate accounting treatment for financial instruments of this nature.
 - c) How would changes in the fair value of a financial instrument after the reporting date affect the valuation at the reporting date?

Exercise questions

Question 1

Lucas Ltd bought 100 000 shares in Sylvester Ltd for cash at CU13 per share cum-dividend on 1 January 20x6. The purchase price included broker's fees of CU0.50 per share. Lucas Ltd received the cash dividend of CU30 000 on 12 January 20x6.

Sylvester Ltd declared share dividends of one share for every 100 shares held at 31 July 20x6 at an issue price of CU12 per share. The shares were issued on 15 August 20x6. Lucas Ltd sold half of its shares held in Sylvester Ltd on 15 September 20x6 for cash at the market price at that date of CU20 per share.

The shares in Sylvester Ltd traded at CU15 per share on 30 June 20x7 (30 June 20x6: CU12.80 per share).

In accordance with the business model of Lucas Ltd, the shares were measured at fair value, with fair value adjustments recognised in other comprehensive income.

You are required to do the following:

1. Prepare the journal entry or entries relating to this investment in the general ledger of Lucas Ltd in January 20x6.
2. Prepare the journal entry or entries (if any) in the general ledger of Lucas Ltd on 30 June 20x6.
3. Prepare the journal entry or entries (if any) required in the general ledger of Lucas Ltd on 15 September 20x6.

Question 2

Cypress Ltd acquired a debt instrument with a five-year term at its market value (fair value) on 1 January 20x5, when the market interest rate on similar debt instruments was 5.5% per annum. The instrument has a face value (principal amount) of CU125 000 and carries fixed interest of 4.5% per annum, paid annually on 31 December.

The maturity date of this debt instrument is 31 December 20x8, when it will be settled at face value. The debt instrument traded at 97.2% at 31 December 20x6. Investments in debt instruments are measured at amortised cost in accordance with Cypress Ltd's business model.

You are required to do the following:

1. Prepare the journal entries relating to the investment in the debt instrument in the records of Cypress Ltd for the financial years that ended on 31 December 20x5 and 31 December 20x6.
2. Show how the investment in the debt instrument should be disclosed in the financial statements for the years ended 31 December 20x5 and 31 December 20x6.

Question 3

Obama Ltd issued a debt instrument on 1 July 20x3, raising CU5 million (the principal value of the instrument). A coupon rate of 5% per annum is payable annually on 30 June and the instrument will be settled on 30 June 20x8 at a premium of 10%. Transaction costs amounted to CU12 693.

You are required to do the following:

1. Calculate the effective interest rate applicable to this instrument.

2. Prepare all the journal entries relating to the debt instrument for the financial year ending 31 December 20x6. Dates are required.
3. Prepare the note disclosure for the debt instrument to be included in the financial statements of Obama Ltd for the year ended 31 December 20x6, including comparatives.

Reference

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available

https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

15

Impairment of non-current assets

IFRS reference

IAS 36: *Impairment of Assets*

IFRS for SMEs Accounting Standard reference

Section 27: *Impairment of Assets*

SIC Interpretations reference

SIC-32: *Intangible Assets – Web Site Costs*

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8 Disclosure

Key points to take from this chapter

Discussion questions

Exercise questions

Reference

Learning objectives

By the end of this chapter, you should be able to:

- Explain the purpose of the impairment of assets.
- Determine when to undertake an impairment test.
 - Identify when an asset is impaired.
- Calculate the carrying amount at which an impaired asset should be recognised at the reporting date.
- Recognise impairment losses in profit or loss or other comprehensive income.

- Discuss the accounting treatment of impairment losses and the reversal of impairment losses.
- Apply the disclosure requirements of IAS 36, *Impairment of Assets*.

Concept summary



1 Introduction

The *Conceptual Framework* defines an asset as a present economic resource that is controlled by the entity as a result of past events. Before an asset is recognised in the statement of financial position, it must meet this definition as well as the recognition criteria: that the asset must be reliably measurable and that the inflow of economic benefits should be probable. (See [Chapter 1](#), *The financial reporting environment and frameworks*, for a more detailed discussion on the definition and recognition criteria of assets. See [Chapter 2](#), *Presentation and disclosure in financial statements*, regarding the presentation and disclosure of impairment losses in the statement of financial performance to conform with IFRS 18.)

Once an asset's definition and recognition criteria have been met, the asset is recognised at the transaction date at its cost, which is the amount of cash (or equivalent) or the fair value of any other consideration given up to acquire the asset. Property, plant and equipment and intangible assets are measured at cost or revalued amount, and, for each asset, the cost or revalued amount is allocated systematically over its useful life, where appropriate. The assets are reported at the cost or revalued amount, net of accumulated depreciation or amortisation, in the statement of financial position. The depreciation or amortisation process requires the use of many forms of judgement: estimates of useful life, residual values and the pattern of benefits. (See [Chapter 10](#), *Property, plant and equipment*, and [Chapter 12](#), *Intangible assets*, for more detail.)

However, how do we know if the carrying amount of an asset, as determined by using these estimates, is in excess of the future economic benefits the entity expects to receive from this asset? In other words, can the entity expect to recover the full carrying amount of an asset in future periods? The carrying amount can be recovered in one of two ways: from future **use of the asset** or from the **disposal of the asset**. If the entity does not expect to recover the carrying amount of an asset (in other words, the combined value of using the asset and the expected proceeds from its disposal are not expected to cover the carrying amount), **an impairment loss** should be recognised.

At the reporting date, an asset should be recognised at its carrying amount, determined in accordance with the appropriate measurement model (based on the accounting policy elected by the entity). However, if the carrying amount is greater than the future economic benefits that are expected to be recovered from this asset, the asset is impaired.

IAS 36, *Impairment of Assets*, provides guidance on the impairment of assets. Section 27 of the *IFRS for SMEs* Accounting Standard provides guidelines for the impairment of assets reported for small and medium-sized entities.

The purpose of this chapter is to examine the impairment test for non-current assets. (Impaired inventory is measured at net realisable value, as discussed in [Chapter 13](#), *Inventory*. The impairment of financial assets is discussed in [Chapter 14](#), *Financial instruments*.)

2 Concepts of impairment

IAS 36 includes several definitions and concepts that are useful when considering the impairment of assets. Some of these concepts are listed below:

- The **carrying amount** of an asset is the amount at which the asset is recognised after deducting any accumulated depreciation (amortisation for intangible assets) and accumulated impairment losses.

Carrying amount = Cost – Accumulated depreciation (or amortisation) –
Accumulated impairment losses

- **Fair value less costs of disposal** is the amount obtainable from the sale of an asset or cash-generating unit in an orderly transaction between market participants at the measurement date less the costs of disposal. Costs of disposal are incremental costs directly attributable to the disposal of an asset or cash-generating unit, but they do not include interest or income tax.
- **Value in use** is the present value of the future cash flows expected to be derived from using and ultimately selling an asset or cash-generating unit (group of assets).
- **The recoverable amount** of an asset or cash-generating unit is the higher of:
 - Its fair value less costs of disposal
 - Its value in use.
- An **impairment loss** is defined in paragraph 6 of IAS 36 as ‘the amount by which the carrying amount of an asset or a cash-generating unit exceeds its recoverable amount’. An impairment loss is therefore recognised when an asset’s carrying amount is greater than its recoverable amount.

Impairment loss = Carrying amount – Recoverable amount

- A **cash-generating unit** is the smallest identifiable group of assets that generate cash inflows that are largely independent of cash inflows from other assets or groups of assets. Some assets do not generate cash flows individually because the cash flows generated are the result of a combination of several assets. For example, a single machine in a factory’s production line cannot generate cash flows by itself. However, inventory produced in the factory can be sold to generate cash flows. The various machines that make up the production line will therefore be a cash-generating unit.

The recognition of an impairment loss is determined irrespective of whether an entity applies the cost model or the revaluation model. For the cost model, impairment losses are recognised in profit or loss. For the revaluation model, the impairment loss is first deducted from the existing revaluation surplus (in other comprehensive income), and after that (to the extent that it exceeds the revaluation surplus) the loss is recognised in profit or loss. Where the total impairment loss (which is a credit to the asset) is bigger than the carrying amount, the loss should be limited to the carrying amount of the asset (that is, limited to a net value of zero). A liability may only be recognised if another IFRS Accounting Standard requires it.

IFRS for SMEs Accounting Standard application

IFRS for SMEs provides simplified and streamlined accounting principles specifically designed for smaller entities that do not have public accountability. The descriptions and

principles are similar to those provided in this chapter. Guidance on the impairment of non-current assets is included in Section 27 of the *IFRS for SMEs Accounting Standard, Impairment of Assets*.

Something to think about

Why is it necessary to impair an asset?

The carrying amount of an asset should not be higher than the future economic benefits that are expected to be received from that asset. The future economic benefits an entity expects to receive from an asset are either through its usage or sale. Thus, the recoverable amount is the higher of the future economic benefits expected from using the asset (value in use) or should the asset be sold (fair value less costs of disposal).

Link to the Sustainable Development Goals

Impairment is related to a decrease in the value of an asset, and therefore could affect the economic sustainability of a business, potentially leading to job losses. However, the impairment of non-current assets might be associated with the reduction of unsustainable practices in production or consumption, which are making way for new practices in line with Sustainable Development Goal 8, which is 'Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all' (UN, 2015:14). The new sustainable business practices can contribute to the responsible use of resources.

ETHICAL DILEMMA

Determining the fair value of impaired assets can be ethically challenging. The dilemma arises when there are differing opinions on the appropriate valuation method, leading to potential biases or conflicts of interest. For example, management may have incentives to delay or downplay impairments to maintain the entity's reputation, while shareholders or creditors seek accurate and timely information to make informed decisions. Balancing these conflicting interests requires ethical decision-making and prioritising the long-term well-being of the entity to maintain integrity in financial reporting.

3 Identifying an asset that may be impaired

An entity is required to conduct impairment tests for its assets to see whether it has incurred any impairment losses. The purpose of the impairment test is to ensure that assets are not carried at amounts that exceed their recoverable amount or, more simply, that assets are not overstated.

Impairment

... is when an asset is damaged or is no longer usable, resulting in the amount that the entity expects to recover from the asset being lower than its carrying amount.

An entity needs to assess the assets on its books at each reporting date and decide whether any of these assets may have been impaired. This is not always easy, as assets do not all give rise directly to future economic benefits. In the case of debtors or inventory, it is easy to decide if an asset is impaired, but it is less easy to work out what benefits you will get from plant and machinery.

Most of the discussion in this chapter considers whether a specific asset is impaired. But in some cases, where an asset does not have independent cash flows, the test is done for a group of assets. This group of assets is referred to as a 'cash generating unit'. All the principles that apply to testing an individual asset apply equally to testing a group of assets, with the added complexity of deciding to which assets any resulting impairment loss should be allocated.

Take the case of gold-mining equipment. The cash flows this equipment generates are the proceeds from selling the mined gold. The value of the machinery to the business is directly dependent on production costs, the gold price, and the exchange rate between the rand and the US dollar (as gold prices are quoted in US dollars). If the gold price drops substantially, the gold-mining equipment is worth less and may need to be written down.

Key principle: Assets recognised on the statement of financial position

The financial position of an entity is represented by various assets. These assets are recognised using different valuation models. Here are some examples:

- Property, plant and equipment may be measured at cost less accumulated depreciation and impairment.
- Inventory is measured at the lower of cost and net realisable value.
- Trade receivables are measured at the present value of the expected future cash flows.
- Investments classified as held 'at fair value through profit or loss' are measured at fair value.

It therefore follows that an asset that is classified as inventory or property, plant and equipment can be recognised at a carrying amount that is lower than what the asset is worth, while an asset that is classified as a trade receivable or an investment will always be carried at its worth if it is recognised at fair value.

Irrespective of which model is used to measure an asset, assets should not be recognised at an amount greater than what they are worth. In order to meet this requirement, you should review assets for signs of impairment. No further action is required if there are no signs of impairment. If there is a sign of impairment, you need to calculate the asset's recoverable amount and recognise any impairment loss, if appropriate. Impaired assets are therefore not necessarily reflected at the amount for which they could be sold, but at an amount that reflects their economic potential within the business.

3.1 When to undertake an impairment test

IAS 36 requires an entity to assess, at least at every reporting date, whether there is any indication that an asset may be impaired. However, it is not necessary for an entity to test each asset for impairment at each reporting date. The only assets that need to be tested are those assets with an indication that the asset may be impaired or where the standard requires an impairment test to be undertaken (discussed below). In the absence of a mandatory requirement to perform an impairment test, an entity must determine whether there is sufficient evidence to indicate that an asset may be impaired by looking at various sources of information. If there is no evidence of this nature, then the entity can assume that impairment has not occurred.

In most cases, the recoverable amount of an asset needs to be calculated only where there is some factor that indicates that the asset could be impaired.

Circumstances that indicate that an asset may be impaired include the following:

- A motor vehicle is damaged in an accident.
- A debtor is in financial difficulty.
- Machinery is not functioning properly and is producing at a lower rate than expected.
- Fashion trends have changed, and the sales prices of inventory have been reduced so that goods will have to be sold at a much lower price, if at all.
- The inventory manufactured by specialised machinery is no longer in demand, and production levels and selling prices will have to be reduced.
- Cost prices of raw materials used in production have increased.

If one of the above factors or a similar factor exists, then you will need to test the asset for impairment by calculating the recoverable amount of the asset. If the recoverable amount is less than the carrying amount of the asset, the asset must be written down to the recoverable amount, and the impairment loss must be recognised. This ensures that an asset is only recognised on the statement of financial position if it gives rise to future economic benefits.

However, there are some assets for which an impairment test must be undertaken **every year** (refer to IAS 36, paragraph 10). These include the following:

- Intangible assets with indefinite useful lives

- Intangible assets that are not yet available for use
- Goodwill acquired in a business combination.

Due to the uncertainty of the future economic benefits that are expected to be derived from intangible assets (including goodwill), annual impairment tests are required. The impairment test for these assets need not be performed at the reporting date. In addition, tests do not have to be performed simultaneously for all assets of this nature; the only requirement is that a test is performed at least annually.



ETHICAL DILEMMA

Disagreements among professionals involved in assessing asset impairments can raise ethical dilemmas. For example, performance evaluations based on increases in earnings may result in an ethical dilemma where management is motivated to reflect the entity's performance in maximising earnings instead of measuring an asset at the correct (and truthful) calculation of the recoverable amount. The impairment of an asset results in a decrease in the profits reported for an entity because an impairment loss is recognised against the profit for the year. When a lower profit is reported, the earnings per share (see [Chapter 7](#), *Earnings per share and headline earnings per share*) will also be lower.

3.2 Collecting evidence

In order to determine whether an impairment loss exists, the entity should look for evidence of impairment by referring to variables that may support the belief that the asset under investigation is not worth as much as its carrying amount. Management should consider the nature and use of a specific asset, and determine the factors that may indicate deterioration in the asset's worth.

IAS 36 requires an entity to consider certain external and internal sources of information (as a minimum) when testing an asset for impairment. These sources are not discussed in this chapter, as they mainly refer to the collection of forensic evidence and not to accounting entries.

4 Measurement of the recoverable amount of an asset

If an entity owns an asset, there are two things that it can do with that asset: use it or sell it. The value of an asset is the greater of what the entity could get by using the asset or selling it. The technical term given in IAS 36 for the greater of these two figures is the **recoverable amount**. From the definition of recoverable amount (see Section 2), there are two possible amounts against which the carrying amount can be tested for impairment:

- Fair value less costs of disposal
- Value in use.

The recoverable amount

... is the amount that an entity expects to recover from an asset, which is determined by the economic benefits expected to be derived from the higher of its future use (value in use) or its sale (fair value less costs of disposal).

If either of these values exceeds the asset's carrying amount, there is no need for impairment. The entity only needs to calculate one of the values. If that value exceeds the carrying amount, no further testing is required. Even if the second calculation returns a value below the carrying amount, the higher of the two values is the recoverable amount.

Unless an impairment test is mandatory, the entity only needs to determine the recoverable amount of an asset after it has made the assessment that there is an indication that the asset may be impaired (refer to Section 3). In the event that such an indication exists, the asset's recoverable amount has to be measured to determine if it is below the carrying amount of the asset.

Something to think about

What is determined first: depreciation or impairment?

The comparison between the carrying amount and the recoverable amount happens at the reporting date. The depreciation (or amortisation), if appropriate, for that reporting period is determined first and deducted from the carrying amount. After deducting the current period depreciation, the carrying amount is then compared to the recoverable amount of the same asset. If the carrying amount is higher than the asset's recoverable amount, the asset is impaired, and an impairment loss is recognised.

Example of calculating the recoverable amount of an asset, and whether an asset is impaired

An asset with a carrying amount of CU120 000 at the reporting date shows indications of impairment resulting from a decrease in the demand for products that it produces. The value expected if the entity continues to use the asset (value in use) is CU80 000, while the same asset can be sold for CU125 000 (fair value less costs of disposal).

Certain questions can be asked to work out whether an asset is impaired:

- What is the recoverable amount of this asset?

The recoverable amount is CU125 000, determined as the higher of its value in use (CU80 000) and fair value less costs of disposal (CU125 000).

- What is the carrying amount of this asset?

The carrying amount of the asset is given as CU120 000.

- Is there an impairment?

No, as the recoverable amount (CU125 000) is in excess of the carrying amount (CU120 000) of the asset, there is no impairment.

- What accounting entry is required?
- As there is no impairment, no accounting entry is required.

The calculation of the recoverable amount, the fair value less costs of disposal and the value in use of an asset is discussed in more detail below.

4.1 Calculating fair value less costs of disposal

When determining an asset's fair value less the costs incurred to sell that asset, you should refer to the best evidence that is available at the time. The fair value should be based on the price at which the asset would sell in an arm's length transaction, adjusted for incremental costs that would be directly attributable to the disposal of the asset (such as transfer duty and the salesperson's commission), thereby determining its net selling price. In other words, the fair value less costs of disposal reflects the market's expectation of the future cash flows for an asset, which includes the market's consideration and adjustment of the time value of money as well as the risks inherent in receiving those cash flows less disposal costs.

Costs of disposal include the costs of completing or altering an asset to bring it into a condition in which it can be sold, the legal costs related to transferring ownership of the asset, the costs of removing the asset and any other liability that would exist in the disposing of the asset. The costs must be directly associated with either the sale of the asset or getting the asset ready for sale. Any costs arising after the sale of the asset, even if arising as a result of the sale, are not regarded as costs of disposal.

Remember that if an asset is measured at fair value, fair value as a measure does not include a consideration of any disposal costs (see [Chapter 4](#)). In other words, the fair value is the value before the disposal costs have been deducted. Therefore, if an asset's fair value is equal to its market value, the difference between fair value (or market value) and fair value less costs of disposal is the disposal costs of the asset.

If the disposal costs are immaterial, and there is no significant difference between fair value and fair value less costs of disposal, the asset is measured at its fair value. If the disposal costs are material, fair value less costs of disposal must be calculated and compared to the carrying amount of the asset. If the fair value less costs of disposal is less than the asset's carrying amount, you should consider whether the asset's value in use is lower than the fair value less costs of disposal. If so, the asset is impaired and must be written down to its recoverable amount, which is the higher of its fair value less costs of disposal and value in use. (Note that, in reality, many assets measured at fair value, such as investment properties, are exempt from the scope of IAS 36.)

4.2 Calculating value in use

An asset's value in use is the present value of the future cash flows that the entity expects to receive from that asset. In order to determine an asset's value in use, you need to estimate the future cash inflows and outflows expected from the continuing use of the asset and apply the appropriate discount rate to those future cash flows. (The use of estimates is essential when calculating an asset's value in use.) IAS 36 requires the following five elements to be reflected when calculating the value in use of an asset:

- An estimate of the future cash flows that are expected to be derived from the asset
- The amount and timing of those future cash flows as well as any possible variations thereof
- The time value of money, represented by the current market risk-free rate of interest
- The price for bearing the uncertainty inherent in the asset

- Any other factors, such as illiquidity in the market or pricing by other market participants.

The basic calculation to ascertain the value in use of an asset is as follows:

- Determine the future cash flows expected from the asset.
- Discount these future cash flows back to present value by using the appropriate discount rate.

The cash flow projections should be based on the most recent budgets and forecasts of the entity, considering management's best estimate of the range of economic conditions that will exist over the remaining useful life of the asset, and should preferably not exceed a period of five years. The expected cash flows should not include any future expenditure to enhance the asset's performance because the projections should only reflect cash flows expected from the asset in its current condition.

The discount rate should be a pre-tax rate that reflects the current market assessment of the time value of money and the risks specific to the asset for which the future cash flow estimates have not been adjusted.

Example of calculating the value in use of an asset

An asset, with a carrying amount of CU120 000 at the reporting date, shows indications of impairment. Management estimates the recoverable amount of the asset on the basis of a value in use calculation. Management's approved budgets reflect the estimated cash flows necessary to maintain the level of economic benefit expected to arise from using the asset in its current condition at CU90 000. Management plans to incur CU30 000 in the next financial year, to enhance the asset's performance. What is the recoverable amount of the asset at the reporting date?

The recoverable amount of the asset at the reporting date is CU90 000. This is because the future cash flows that are used to determine the value in use should include estimated costs necessary to maintain the level of economic benefits expected to arise from using the asset in its current condition. Any estimated costs to enhance the asset's performance and the estimated benefits anticipated for the enhancement of its performance should not be included when determining the recoverable amount at the reporting date.

Note that the plan to incur CU30 000 is a future cost and should not be considered when determining the recoverable amount of the asset.

Example of calculating the recoverable amount

A manufacturing plant that is accounted for on the cost model has a cost of CU200 000 and accumulated depreciation of CU80 000 at the end of year 2. The fair value less costs of disposal of the plant is CU100 000. A pre-tax rate that reflects the current market assessment of the time value of money and the risks specific to the asset is 15%. The following figures show the expected cash flows from the use of the plant and the discounting thereof:

The carrying amount of the plant is CU120 000 (CU200 000 – CU80 000). The recoverable amount is the higher of the value in use and the fair value less costs of disposal (CU100 000). Therefore, the recoverable amount is CU162 398.

The plant is thus not impaired, as the recoverable amount (CU162 398) is greater than the carrying amount. It would not be correct to write the plant up to CU162 398, as that amount represents the future profits that should only be recognised when earned.

If, however, the value in use of this plant is considered to be zero because the plant is no longer used by the entity, the recoverable amount is the fair value less costs of disposal (CU100 000) because this is higher than the value in use (zero). The future economic benefits that could be expected from this plant would therefore be CU100 000 if the plant were sold.

In this case, the plant would be impaired, as the recoverable amount (CU100 000) would be lower than the carrying amount (CU120 000). The following journal entry records the impairment loss in profit or loss (P/L) and decreases the carrying amount of the plant (accumulated impairment):

			CU	CU
Dr		Impairment loss (P/L)	20 000	
	Cr	Accumulated impairment		20 000

Recognition of impairment loss

ETHICAL DILEMMA

Impairment of assets can have far-reaching consequences, including potential layoffs, reduced investments and negative impacts on local communities. Ethical considerations arise when deciding how to handle these effects. Leadership plays a vital role in addressing ethical dilemmas related to asset impairment while balancing the well-being of the entity, its employees and communities affected by the impairment. Fostering a culture of ethical conduct and responsible decision-making is essential in navigating these dilemmas effectively.

5 Recognising an impairment loss

An impairment loss is the amount by which the carrying amount of an asset exceeds its recoverable amount. An impairment loss is an expense, calculated as the amount by which an asset needs to be written down to ensure that its carrying amount is not above the anticipated future economic benefits.

The impairment loss is expensed in **profit or loss** except if it relates to the reversal of an asset's revaluation, in which case it should be recognised in other comprehensive income. Suppose the impairment loss relates to the reversal of an asset's revaluation. In that case, the adjustment is made to **other comprehensive income** to the extent that there is a revaluation surplus relating to that specific asset. The amount recognised in profit or loss is the amount of the total impairment loss that is not recognised in other comprehensive income. When you recognise an impairment loss, you should recognise a credit to accumulated impairment loss, which, for accounting purposes, is treated in exactly the same manner as accumulated depreciation. In effect, the impairment loss reduces the carrying amount of the asset.

Example of the recognition of an impairment loss on a revalued asset

Assume that the asset in the previous example is recognised in accordance with the revaluation model. The asset was revalued to CU220 000 at the end of year 1. At the end of year 2, the asset has the following values at the reporting date:



The asset will have to be written down by CU65 000 (the difference between the carrying amount of CU165 000 and the recoverable amount of CU100 000). Of this, CU60 000 of the impairment loss arose because the asset was previously revalued through other comprehensive income (OCI). The remaining CU5 000 of the CU65 000 impairment loss should be expensed in profit or loss.

The resulting adjustment would be as follows:

			CU	CU
Dr		Impairment loss (P/L)	5 000	
Dr		Revaluation loss (OCI)	60 000	
	Cr	Accumulated impairment		65 000

Recognition of impairment of a revalued asset

Once the impairment loss has been recognised, the amount at which the asset will be recognised on the statement of financial position is its impaired carrying amount (its recoverable amount) of CU100 000. Depreciation in the following year should be based on the impaired carrying amount of CU100 000. As there are only three years of the asset's useful life left, depreciation of CU33 333 will be recognised for each of the three remaining years if there are no subsequent impairments, reversals of impairments or revaluations.

6 Reversal of an impairment loss

An entity must assess annually whether there is an indication that an impairment loss recognised in a previous period may no longer exist or may have decreased. If such an indication exists, you should calculate the recoverable amount of the asset to assess whether the carrying amount of that asset should be increased. Where the value of an

asset is subsequently adjusted upwards, the adjustment becomes a reversal of an impairment loss, which is a gain included in profit or loss, unless it was initially recognised in the revaluation surplus.

A reversal of a previous impairment loss should be recognised at the time when the reversal is identified. In other words, a reversal of a previous impairment is not a correction of an error relating to prior years. Determining that an asset is impaired requires the use of estimates and a future reversal of this impairment results from new evidence available at the time of the reversal, which represents an adjustment to a previous estimate and not a correction of an error.

The reversal of an impairment loss is limited to the value of the original impairment loss that was recognised. This reversal also may not result in an asset with a carrying amount greater than its carrying amount would have been had the asset not been impaired (cost less accumulated depreciation). In other words, the increased carrying amount of the asset (that is, after reversal of the previous impairment) may not exceed the carrying amount that would have been recognised if no impairment had been recognised. You should therefore do a separate calculation based only on historical cost and depreciation of the carrying amount of each asset that has been impaired. This applies to assets accounted for using the cost model.

Example of the limitation on the reversal of impairment

Assume that an impairment loss of CU10 000 was recognised in year 1 when the carrying amount of an asset (which had a remaining useful life of four years) was CU200 000, and the recoverable amount for the same asset was CU190 000. If the recoverable amount in the following year was estimated at CU220 000, only CU7 500 should be recognised as a reversal of the impairment loss.



At the end of the next reporting period, the carrying amount of the impaired asset would be 

In the absence of an impairment, the carrying amount would have been 

The potential reversal of the original impairment loss of CU10 000 would therefore be limited to CU7 500.

Where assets are accounted for on the revaluation model, any increase in the carrying amount that is greater than what the carrying amount would have been if no impairment had been recognised will be treated as a revaluation. For example, if an asset such as property has been revalued upwards and the impairment is a reversal of that revaluation, then the adjustment goes to the revaluation surplus (through other comprehensive income) and not to profit or loss. If, however, the total impairment loss is greater than the aggregate of previous revaluation surpluses recognised, the balance of the impairment will be expensed through profit and loss.

The subsequent reversal of a previously impaired asset carried at its revalued amount should be treated as follows:

- If the asset is revalued to a value higher than its previous carrying amount, this represents a revaluation (through other comprehensive income) and not a reversal of a prior impairment.
- The portion of the reversal (of the impairment loss) that was processed through profit and loss should be credited to profit and loss.
- The portion of the reversal (of the impairment loss) that previously reduced the revaluation surplus should be credited to the revaluation surplus (through other comprehensive income).

Example of reversing an impairment loss

The asset in an earlier example ('Example of the recognition of an impairment loss on a revalued asset') had a **recoverable amount** of CU190 000 at the end of the following financial year (the end of year 3). The recoverable amount does not differ materially from the fair value of the asset, and the policy is to revalue the asset annually.

At the end of year 3, the asset's carrying amount is [REDACTED]

The asset should be recognised at a revalued amount of CU190 000, an increase of CU123 333. The credit arising from the increase would be handled as follows:

- CU5 000 credited to profit or loss (this is the reversal of the impairment loss recognised in profit or loss)
- CU60 000 reversal of revaluation loss recognised in other comprehensive income and taken to the revaluation surplus
- CU25 000 revaluation of an asset through other comprehensive income.

This can be presented in the form of a journal entry:

		CU	CU
Dr	Asset (CU190 000 – CU66 667)	123 333	
	Cr Reversed impairment loss (P/L)		5 000
	Cr Revaluation gain (reversal of impairment loss) (OCI)		60 000
	Cr Revaluation gain (OCI)		58 333

Revaluation of asset and reversal of impairment loss

Because this is a depreciable asset, depreciation is calculable on the latest carrying amount (in other words, after reducing the carrying amount for the impairment at the end of year 2, and after reversing the previous impairment and processing the

revaluation at the end of year 3). Depreciation for the remaining two years will therefore be CU95 000 per year

Asset impairment is not about recognising assets at their fair value. It is about ensuring that the amounts reflected on the statement of financial position are, in fact, assets (in other words, that they represent the economic benefits that the entity expects to receive from these assets).

6.1 Compensation for impairments

Circumstances may arise where an entity receives compensation for the impairment of an asset. For example, a machine has been impaired as a result of a fire in a factory, but the machine was insured, and the insurer has subsequently compensated the entity for the loss of the machine. Where an asset has been impaired, and the entity receives compensation from a third party or has submitted a related claim and payment of the claim is probable, you should treat this as a **separate economic event** from the impairment loss. This implies that you should not combine the recording of an impairment of an asset with the related claims or compensations received from third parties:

- An impairment loss should be recognised when impairment is identified at each reporting date, irrespective of the fact that compensation may be expected.
- The compensation received from a third party should be included in the profit for the period in which it is received or in which receipt is probable.

Compensation

... is the amount that an entity expects to receive from a third party (usually an insurance company) as a result of damage to an asset.

Where an impaired asset has subsequently been retired or disposed of, you should record this retirement or disposal as a separate economic event at the time when the asset is retired or disposed of, irrespective of any compensation that may be expected relating to the asset.

Similarly, the restoration, acquisition or construction of a new asset to replace an impaired asset should be recorded as a separate asset at the time of the transaction. It should not be combined with the impaired asset.

Example of receiving compensation for an impaired asset

Assume the manufacturing plant in the first example in this chapter ('Example of calculating the recoverable amount of an asset, and whether an asset is impaired') was destroyed as a result of an exceptionally high-voltage electrical surge during the last week of year 2 (31/12/20x5) (cost of CU200 000, accumulated depreciation of CU80 000). This resulted in the equipment being of no further use to the entity. The net selling price of the scrap value of the asset was estimated at CU15 000 at the end of year 2. The equipment was insured, and the entity submitted a claim to the insurance company for the replacement of the damaged equipment.

The impairment of the equipment should be recognised as a separate transaction at the reporting date.

			CU	CU
Dr		Impairment loss (P/L) (CU120 000 – CU15 000)	105 000	
	Cr	Accumulated impairment		105 000

Recognition of impairment loss

Once the damaged machine is sold for scrap, it is derecognised by crediting the asset account and debiting the accumulated depreciation and accumulated impairment.

A total claim of CU135 000 was approved by the insurance company on 25 February 20x6, at which stage the insurance company confirmed that it would replace a part of the plant (with a cost price of CU115 000) and settle the remainder of the claim with the cash amount of CU20 000 for the reconstruction of some of the specialised networks and cables connecting the plant to the rest of the manufacturing line.

You must record each asset that the entity receives in terms of the claim separately. The following journal entry illustrates the summarised journal for all the replaced assets:

			CU	CU
Dr		Manufacturing plant	115 000	
	Cr	Gain on settlement of claim by insurance company (P/L)		115 000

Recognition of new asset received and the resulting gain

			CU	CU
Dr		Bank (compensation received in cash)	20 000	
	Cr	Gain on settlement of claim by insurance company (P/L)		20 000

Recognition of compensation received and the resulting gain

Assuming that the company incurred costs amounting to CU50 000 to reconstruct the networks and install the cables relating to the equipment, the following separate journal entry could record this event:

			CU	CU
Dr		Manufacturing plant	50 000	
	Cr	Bank (costs incurred)		50 000

Recognition of subsequent improvements to the asset

The total effect on the profit or loss amounts to $\text{CU}115\,000 + \text{CU}20\,000 - \text{CU}105\,000 = \text{CU}30\,000$.

However, the impairment loss of CU105 000 was recognised at the time when the impairment was incurred, which was in the prior reporting period, so the amount to be included as a gain on the settlement by the insurance company is CU135 000.

The entity should disclose the compensation received from the insurance company for the impaired assets separately in the period in which this is received, on the face of the statement of profit or loss and in the notes.

7 Cash-generating units and goodwill

Identifying a cash-generating unit (CGU) facilitates the testing of the impairment of assets for which the recoverable amount cannot be determined individually, including goodwill. Thus, identifying the cash-generating unit is a critical step in the impairment review of a group of assets. Where there is an indication that an asset or group of assets is impaired, and it is not possible for an entity to estimate the recoverable amount of an individual asset, the entity should estimate the recoverable amount of the cash-generating unit to which that asset belongs. In some cases, it may be impossible to determine the value in use of an asset, as that asset does not generate income on its own. For example, a machine in a factory works in conjunction with the rest of the assets in the factory to produce inventory that, when sold, creates cash inflows for the entity. You may be able to determine the fair value less costs of disposal of the machine, as the asset is separable, and a market may exist for such machines, but it is impossible to determine the value in use of the machine in isolation. Value in use requires determining the expected cash flows to be received from an asset.

A cash-generating unit

... is the smallest identifiable group of assets and liabilities (for example, a department or division) that operates and generates cash flows independently of other assets or groups of assets.

A **cash-generating unit** is the smallest identifiable group of assets that generates cash inflows that are largely independent of cash inflows from other assets or groups of assets. The process of identifying a cash-generating unit involves the use of judgement, which requires the identification of the smallest group of assets that generates largely independent cash flows. An asset or group of assets is defined as a cash-generating unit if an active market exists for the output produced by the asset or group of assets, even if some, or all, of that output is used internally. The identified cash-generating units may also change due to changes in an entity's operations and the way it conducts them.

The objective of identifying cash-generating units is to identify the **smallest identifiable group of assets** that generates largely independent cash inflows. Thus, cash-generating units are identified at the lowest level to minimise the possibility that impairments of one asset or group will be masked by a high-performing asset. To identify a cash-generating unit, an entity asks two questions:

- Does a group of assets generate largely independent cash inflows?
- Is there an active market for the output?

Depending on the circumstances, a cash-generating unit might correspond to a legal entity, a division, a product line, a geographic region, a physical location (such as a hotel or retail store) or a collection of assets. An alternative to the cash-generating unit approach is the segment concept as in IFRS 8, *Operating Segments*. This accounting standard covers the identification of segments and requires separate disclosure of the performance of each segment. IAS 36 only allows a segment to be used as a cash-generating unit if the segment equates to the smallest identifiable group of assets that generates independent cash flows.

Example of identifying a cash-generating unit

Entity A has a head office in Observatory and owns several coffee shops across the Cape Town and Stellenbosch area. It has recently opened a mobile coffee station located on the upper campus of the University of Cape Town. Pricing, marketing, advertising, procurement and human resource policies are centralised for all the entity's coffee shops as well as the mobile coffee station. Is the mobile coffee station a cash-generating unit?

Even though the mobile coffee station is managed at a corporate level, it has its own (student and lecturer) customer base, which generates cash inflows that are independent of the cash inflows generated by the other coffee shops owned by Entity A. The mobile coffee station is therefore a cash-generating unit. The value in use will consequently be calculable if an impairment test is required.

7.1 Calculating the recoverable amount and carrying amount of cash-generating units

The principles for determining the recoverable amount of a cash-generating unit are the same as those described for an individual asset in Section 4. As mentioned above, the cash-generating unit is the smallest identifiable **group of assets** that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets. The recoverable amount of a cash-generating unit is the higher of:

- The fair value, less costs of disposal, of the cash-generating unit comprising the combined assets
- The value in use of the cash-generating unit, which is an estimate of the future cash flows that the entity expects to receive from the continued use of the combined assets.

You should calculate the **carrying amount** of a cash-generating unit on a basis that is consistent with the way in which the recoverable amount of the cash-generating unit is determined. In order to calculate the carrying amount of the cash-generating unit, you should include all of those assets that are directly attributable to the cash-generating unit and that contribute to generating the cash flows used in measuring the recoverable amount. In some cases, the 'combined' carrying amount of the cash-generating unit should only include liabilities that are directly linked with the assets in the cash-generating unit. For example, if the recoverable amount is determined as the value in use of the group of assets, which is determined as the present value of future cash flows associated with the group of assets, future payment of liabilities directly related to the assets (for example, lease liabilities) should be included. The reason for this is that the calculation of the future cash flows of the cash-generating unit includes cash outflows that relate to obligations that have been recognised as liabilities.



Something to do

Example 5 in the illustrative examples accompanying IAS 36 explains how a restructuring affects the value in use calculation for a cash-generating unit. It shows the effects of the restructuring (costs and benefits) being excluded from the cash flow estimates prior to the entity being committed to it. Once the entity is committed, which is itself a potential indicator of impairment reversal, the benefits expected from the restructuring are considered in forecasting future cash flows. A provision is also recognised for any costs attributable to the restructuring.

7.2 Accounting for an impairment loss in a cash-generating unit

Impairment of a cash-generating unit occurs when the combined carrying amount of the assets of the cash-generating unit exceeds its recoverable amount. You should then reduce the carrying amount of the assets of the unit by allocating the impairment loss on a *pro rata* basis to each asset in the cash-generating unit, based on the carrying amount of each asset. The reduction in the carrying amount of each specific asset should be treated as an impairment of each asset, even though the impairment loss was based on an analysis of the cash-generating unit. The impairment loss is accounted for in the same way as for an individual asset, with losses relating to an asset measured at cost being recognised immediately in profit or loss, and the reversal of the revaluation being recognised as an adjustment to the revaluation surplus.

IAS 36 places some restrictions on an entity's ability to write down assets as a result of the allocation of the impairment loss across the carrying amounts of the assets of the cash-generating unit. For each asset, the carrying amount should not be reduced below the highest of the following:

- Its fair value less costs of disposal (if determinable)
- Its value in use (if determinable)
- Zero.

If there is an amount of impairment loss allocated to an asset, but a part of it would reduce the asset to below the highest of its fair value less costs of disposal or value in use, then that part is allocated across the other assets in the cash-generating unit on a *pro rata* basis.

Example of the allocation of impairment of a cash-generating unit

B Ltd has identified a cash-generating unit that has been assessed for impairment. It has been determined that the unit has incurred an impairment loss of CU12 million. The carrying amounts of the assets included in the cash-generating unit and the allocation of the impairment loss on a *pro rata* basis to each of the assets were determined as follows:



You have determined that the fair value less costs of disposal of the machinery amounts to CU8 000 000. This is the maximum to which the machinery could therefore be reduced. The amount at which the machinery has been written down to below CU8 000 000 (that is, CU1 000 000) should therefore be reallocated to the other assets as follows:



Note that the *pro rata* basis on which the CU1 000 000 is allocated is based on the new carrying amounts of the remaining assets.

The journal entry to record the impairment loss would be as follows:

		CU	CU
Dr	Impairment loss (P/L)	12 000 000	
	Cr Accumulated impairment (factory building)		7 000 000
	Cr Accumulated impairment (machinery)		2 000 000
	Cr Accumulated impairment (equipment)		3 000 000

Recognition of impairments against the assets in the cash-generating unit

7.3 Testing goodwill for impairment

When a business is acquired, the difference between the cost of the business and the fair value of the net assets acquired is called goodwill. Goodwill is an asset that is intangible in nature and is recognised on the statement of financial position of the entity acquiring the business. (This is usually done in the group financial statements, as an entity normally acquires another business by buying a controlling interest in a subsidiary company; see [Chapter 23](#), *Business combinations*.)

If goodwill is recognised, it is required to be tested for impairment every year. In other words, there is a **mandatory impairment test for goodwill**. Goodwill does not generate cash flows that are independent from those of the rest of the group and so it cannot be tested separately for impairment. Goodwill needs to be tested for impairment by identifying the cash-generating units to which it is attributable, which are those cash-generating units that benefit from the purchase of the business that included goodwill (see Section 7.3.1). The carrying amount of the goodwill recognised should be allocated to the carrying amount of the assets in the cash-generating units that benefited from the goodwill.

The carrying amount of the cash-generating unit assets (which are the assets within the cash-generating unit, including goodwill) should then be compared to the recoverable amount of that cash-generating unit. If the recoverable amount of the cash-generating unit is less than the carrying amount of the assets, then some of those assets are impaired and an impairment loss equal to that difference should be recognised. That impairment loss needs to be allocated to the different assets in the cash-generating unit, as the carrying amount of those assets will then be reduced by the attributable portion of the impairment. To the extent that goodwill is included in the carrying amount of the cash-generating unit, the **impairment loss should be allocated to goodwill first**, until its balance is reduced to zero, at which point impairment losses can be allocated to other categories of assets within the cash-generating unit using the principles explained above.

Any impairment loss that is allocated to goodwill can never be reversed. If the recoverable amount of the cash-generating unit subsequently increases above the carrying amount, the impairment loss allocated to other assets can be reversed, but not the amount relating to goodwill.

Something to do

Read through Example 2 in the illustrative examples accompanying IAS 36, which shows how to calculate the value in use of an entity's cash-generating unit, including the allocation of goodwill.

IFRS for SMEs Accounting Standard application

Section 27 does not include a mandatory requirement that goodwill be assessed for impairment every year. Goodwill is only assessed for impairment if indicators exist that suggest that the goodwill is impaired.

7.3.1 Choices in the calculation of goodwill

Goodwill is calculated as the difference between the consideration given to acquire a business and the fair value of its net assets. Thus, goodwill is that excess that an acquirer pays when acquiring a business combination (see [Chapter 25](#)). In many cases, the business is acquired when an entity buys a subsidiary company. In order to acquire a subsidiary company, it is necessary to obtain control of the business (which is then a subsidiary). Control can be acquired without taking possession of all the shares, and in this case the other shareholders are referred to as the 'non-controlling interest' (also known as outside or minority shareholders). The IFRS Accounting Standards give accountants a choice of how to measure goodwill when a business is bought without acquiring all the shares. One basis is to calculate goodwill relating to 100% of the shareholding (in other words, the shares acquired plus the shares held by the non-controlling interest). This is referred to as the '**full goodwill method**'.

The other method is to recognise only the goodwill relating to the shares that are purchased. For example, the goodwill recognised as an asset could only be for 60% of the shares purchased by the group. This is an important factor to remember when doing an impairment test, as it clearly cannot be correct to compare the recoverable amount of a business (which represents the value of 100% of the business) with a carrying amount that only includes 60% of the goodwill. Unless the full goodwill method is used, an adjustment is required to '**gross up**' the goodwill **to reflect 100%** of the goodwill for the purposes of the impairment test. This is not necessary if the full goodwill method is used, as the goodwill recognised already represents 100% of the business.

7.3.2 Allocating goodwill to different entities

Although goodwill is calculated in relation to the acquisition of a business, when you are doing an asset impairment test, goodwill should be allocated to the different businesses that benefited from the acquisition of a business. A parent company may acquire a subsidiary company in order to derive benefits from it itself (that is, it will also benefit from the synergies of the business combination). In that case, the goodwill of the subsidiary company should be allocated to the net assets of both the parent and the subsidiary (as well as any other entities that benefit) for the

purpose of doing the impairment test. The impairment testing of goodwill in the subsidiary should only include the amounts that are allocated to the subsidiary.

7.3.3 Allocating goodwill to different cash-generating units within the business

Once the goodwill has been allocated to the entities that are expected to benefit from the synergies of the acquisition of the business, further consideration has to be given to the cash-generating units within those entities. The general principle is that goodwill should be tested as part of the smallest cash-generating unit to which it relates.

It is often difficult to allocate goodwill to different cash-generating units. IAS 36 indicates that goodwill can only be allocated to cash-generating units if there is a rational basis for doing so. If there is not a rational basis, goodwill is not allocated to the cash-generating units, and additional impairment tests will need to be done.

For example, if a business with three separate operating divisions were acquired, it would have three separate cash-generating units. The goodwill arising from buying the business could be rationally allocated to the three different operating divisions, while this may not be possible in other cases. If it can be allocated, goodwill should be tested for impairment as part of the three divisions, where the carrying amount of the net assets in each division should be increased by the allocation of the goodwill acquired.

If the three divisions do not include an allocation of goodwill, there is no automatic requirement to do an impairment test. In that case, an impairment test should only be done if there is an indication that the cash-generating unit may be impaired.

If the goodwill has not been tested for impairment as part of the cash-generating unit, it should be tested for impairment as part of a larger unit. In most cases, this is the business as a whole, since the entire business gave rise to the goodwill. The same principle applies; in other words, the recoverable amount should be calculated for the entire business and compared to the carrying amount of all the net assets of the business, including goodwill. Any resulting impairment should be recognised and allocated to goodwill until goodwill is fully written off, with the balance allocated among the other assets. In some cases, the acquired business may be so integrated with other existing businesses that the test for goodwill must be done as part of an even larger unit.



ETHICAL DILEMMA

Impaired assets can impact an entity's long-term sustainability and viability. Ethical dilemmas emerge when deciding whether to continue investing in impaired assets to recover their value or divest and pursue alternative strategies. Balancing short-term financial pressures with long-term sustainability and ethical responsibility requires careful evaluation and consideration of the business's overall mission and values.

8 Disclosure

Impairment of assets should be disclosed in financial statements, as it is considered to be important information that informs the decision-making process of the user. Impairment disclosure is normally included in the notes to the financial statements. Refer to IFRS 18, *Presentation and Disclosure in Financial Statements*, for guidelines regarding the classification and disclosure of impairment losses in the statement of financial performance.

IAS 36 requires the following disclosures for each class of assets:

- The amount of impairment losses recognised in profit or loss for the period and the line item in which they are included
- The amount of reversals of impairment losses recognised in profit or loss during the period and the line item in which they are included
- The amount of impairment losses on revalued assets that was included in other comprehensive income during the period
- The amount of reversals of impairment losses on revalued assets that was included in other comprehensive income during the period.

For impairment losses recognised and reversed that are not considered to be individually material, an entity should disclose the following information in aggregate:

- The main class of assets affected by impairment losses or the reversal of impairment losses
- The main events and circumstances that led to the recognition of these impairment losses.

In addition, an entity should disclose the following information for each material impairment loss recognised or reversed during the period for an individual asset, including goodwill or a cash-generating unit:

- The event and circumstances that led to the recognition or the reversal of the impairment loss
 - The amount of the impairment loss recognised or reversed
- Whether the recoverable amount of the asset (cash-generating unit) is its fair value less costs of disposal or its value in use
- If the recoverable amount is fair value less costs of disposal, the basis used to determine fair value less costs of disposal
- If the recoverable amount is value in use, the discount rates used in the current estimate and previous estimate (if any) of value in use.

The following information must be disclosed in the case of an individual asset:

- The nature of the asset
- If the entity reports segment information in accordance with IFRS 8, the reportable segment to which the asset belongs based on the entity's primary reporting format.

The following information must be disclosed in the case of a cash-generating unit:

- A description of the cash-generating unit (for example, whether it is a product line, plant, business operation, geographical area or reportable segment)
- The amount of the impairment loss recognised or reversed by the class of assets and based on the entity's primary reporting format
- If the aggregation of assets for the identification of the cash-generating unit has changed since the previous estimate of the cash-generating unit's recoverable amount, a description of the current and former way of aggregating assets and the reason for the change.

Key points to take from this chapter

- The purpose of the impairment test is to ensure that assets are not recognised in the financial statements at amounts that exceed their recoverable amount (in other words, that assets are not overstated).
- Assets should be assessed at each reporting date to determine whether any assets may have been impaired. This is done with reference to:
 - Internal factors
 - External factors.
- Some types of assets (for example, goodwill) need to be tested for impairment every year.
- An asset is impaired when its recoverable amount is lower than its carrying amount, where the recoverable amount is determined as the lower of the following:
 - Value in use of the asset
 - Fair value less costs of disposal.
- An impairment loss is recognised in profit or loss when an asset is impaired. However, where the impaired asset is recognised in accordance with the revaluation model, the impairment loss is first recognised in other comprehensive income; any excess is recognised in profit or loss.
 - If, in subsequent periods, the recoverable amount changes and it is higher than the carrying amount, a reversal of the impairment loss must be recognised. However, the reversal of an impairment should not result in the carrying amount of the asset being in excess of its carrying amount had the asset not been impaired.
- A cash-generating unit is the smallest identifiable group of assets that generates cash inflows that are largely independent of cash inflows from other assets or groups of assets.

- Impairment of a cash-generating unit occurs when the carrying amount of the assets of the cash-generating unit exceeds their recoverable amount. The impairment loss is allocated on a *pro rata* basis, based on the carrying amount of each asset in the cash-generating unit.
- Goodwill is determined as the difference between the cost of the business and the fair value of its net assets. Goodwill should be tested for impairment every year. Impairment of goodwill is tested with reference to the cash-generating units to which it is attributable, which are those cash-generating units that benefit from the purchase of the business as a result of synergies, the expertise of management acquired or other factors.

Discussion questions

1. When should an entity undertake an impairment test? List five circumstances that indicate that an asset may be impaired.
2. Why do you think it is necessary to test certain assets (as indicated in IAS 36, *Impairment of Assets*, paragraph 10) annually?
3. IAS 36, *Impairment of Assets*, provides guidelines on how to determine the recoverable amount of an asset. Briefly discuss how the recoverable amount should be calculated and list some of the practical problems experienced by entities when determining the recoverable amount of an asset.
4. What is meant by a cash-generating unit and how would you perform an impairment test for a cash-generating unit that includes goodwill?

Exercise questions

Question 1

A specialised machine that was purchased on 30 June 20x3 was expected to be used for five years and have no residual value. The original cost of the machine was CU500 000. The high demand for the specialised product manufactured by this machine resulted in the machine operating at full capacity for the first 12 months after acquisition. At the end of 20x4, due to a decrease in market demand, the machine was operating at only about 40% of its capacity. As a result, management considered that the asset might be impaired. Management determined on 31 December 20x4 that it would receive CU125 000 if it sold the machine and that the present value of future net cash flows that will be generated by the machine is CU192 500.

Due to the entity's only competitor going bankrupt in 20x5, its market share grew. On 31 December 20x5, the recoverable amount was CU275 000. (Ignore VAT.)

You are required to do the following:

1. Calculate the carrying amount of the machine on the statement of financial position as at 31 December 20x4 and 20x5, and motivate the basis for your calculation.

2. Based on the conclusions that you reached above, prepare the journal entries for the machine in 20x4 and 20x5. Closing entries are not required.
3. Show how machinery should be disclosed in the statement of financial position for the years ended 31 December 20x4 and 20x5.

Question 2

The production line of Company A includes a machine that was damaged during production. The machine still functions, but at a level significantly below its capacity. The machine produces goods that cannot be sold independently, in other words the machine's operations are a constituent part of the manufacturing process and do not produce a saleable product but rather add to work in progress. The fair value less costs of disposal related to the machine is determined as below its carrying amount. The recoverable amount of the production line as a whole, however, is greater than the carrying value of the sum of the machines. Management is considering replacing the machine.

You are required to do the following:

Explain the basis on which impairment losses relating to the damaged machine should be calculated. You should specifically address the potential implications for the measurement of impairment losses of replacing or keeping the machine.

Reference

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

16

Provisions, contingent liabilities and contingent assets

IFRS references

IAS 20: *Accounting for Government Grants and Disclosure of Government Assistance*

IAS 37: *Provisions, Contingent Liabilities and Contingent Assets*

IFRIC Interpretations references

IFRIC 1: *Changes in Existing Decommissioning, Restoration and Similar Liabilities*

IFRIC 5: *Rights to Interests Arising from Decommissioning, Restoration and Environmental Rehabilitation Funds*

IFRIC 21: *Levies*

IFRS for SMEs Accounting Standard references

Section 21: *Provisions and Contingencies*

Section 24: *Government Grants*

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7 Government grants

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Key points to take from this chapter

Discussion questions

Exercise questions

References

Learning objectives

By the end of this chapter, you should be able to:

- Apply the definition and recognition criteria of a liability to accounting transactions and balances to decide whether a provision should be recognised.
- Explain what a provision is, and based on the conditions and circumstances, decide whether to recognise the provision in the financial statements at the reporting date.
- Calculate the value at which a provision should be recorded (the credit) and motivate whether the debit should be included in the cost of an asset or expensed.
 - Give appropriate disclosure of a provision in the financial statements.
- Explain the difference between a provision, a contingency and a commitment.
- Identify a contingent liability and a contingent asset, and be able to give appropriate disclosure in the notes to the financial statements.

Concept summary



1 Introduction

In accordance with the accrual basis of accounting, an entity must recognise a provision when it has a liability with uncertain timing and amount. This means that the exact amount of the liability and when it will be settled cannot be accurately determined. In some cases, a liability exists, but the amount cannot be determined; in other cases, the existence of a liability is remote (in other words, it is very unlikely that an entity would be required to settle an obligation), which is classified as a contingent liability.

This chapter examines the basic requirements of IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*, and Section 21 of the *IFRS for SMEs Accounting Standard, Provisions and Contingencies*, and then expands into more complex areas of liability recognition and measurement. It also covers contingent assets and contingent liabilities, and how these differ from commitments at the reporting date.

You will also need to consider events that happened after the reporting date and determine if these events affect the balances presented at the reporting date. This is the subject of IAS 10, *Events After the Reporting Period*, which is covered in [Chapter 20](#).

The objective of IAS 37 is to ensure that appropriate recognition criteria and measurement bases are applied to provisions, contingent liabilities and contingent assets, and that sufficient information is disclosed in the notes to the financial statements to enable users to understand their nature, timing and amount. The key principle established by this IFRS Accounting Standard is that a **provision** should only be recognised when there is a **liability** (that is, a present obligation that the entity has no practical ability to avoid; see [Chapter 1](#), in which the *Conceptual Framework* is discussed). The aim is to ensure that only genuine obligations are dealt with in the financial statements. Even when authorised by an entity's board of directors or equivalent governing body, planned future expenditure is excluded from recognition.

The International Accounting Standards Board is currently considering amendments to IAS 37 following the issue of the 2018 *Conceptual Framework*. Challenges include the interpretation of guidelines given in IAS 37 on identifying liabilities as well as on recognition thresholds. In addition, the existing measurement requirements are unclear. The recognition criteria outlined in IAS 37 have been the subject of debate focusing on the 'probable outflows' criterion. The Board has proposed removing that criterion from IAS 37 to make the standard consistent with the *Conceptual Framework* and other standards (IASB, 2023). However, recognition requirements vary between standards.

The International Accounting Standards Board (IASB) has published an amendment to IAS 37, *Onerous Contracts — Cost of Fulfilling a Contract (Amendments to IAS 37)*, regarding costs a company should include as the cost of fulfilling a contract when assessing whether a contract is onerous (see Section 3.5 below). This is applicable to annual reporting periods beginning on or after 1 January 2022. At the time of publication, IAS 37 had not yet been updated to reflect the directives given in the 2018 *Conceptual Framework* for the identification, recognition, measurement and derecognition of a liability. This chapter refers to the recognition and measurement principles currently in IAS 37.

2 Liabilities in terms of the *Conceptual Framework*

The definition of a **liability** (as set out in the 2018 *Conceptual Framework*) has the following three criteria:

- The entity has an obligation.
- The obligation is to transfer an economic resource.

- The obligation is a present obligation that exists as a result of past events.

When a liability is recognised, this means that it appears on the statement of financial position and a corresponding debit is recognised, usually as an expense. As with an asset, liability recognition is appropriate if it results in both relevant information and faithful representation of that item. Refer to [Chapter 1](#), *The financial reporting environment and frameworks*, for further information regarding the definition.

By contrast, however, the previous definition of a **liability**, based on the 2010 *Conceptual Framework*, included the following three aspects:

- There is a present obligation.
- That present obligation arises from a past event.
- The settlement of the present obligation will result in an outflow of economic benefits.

The old and new definitions are very similar. The wording changes relate to ‘economic benefits’ changing to ‘economic resource’, and the change from ‘past event’ to ‘past events’.

Note that IAS 37 as it currently stands is based on this old definition of a liability, and not on the new definition given in the 2018 *Conceptual Framework*.

Something to watch

**Watch the Learn Accounting video
What are Liabilities – According to IAS 37?**

2.1 What is a present obligation?

The term ‘present obligation’ is not defined in any accounting standard, so you should follow its common meaning.

‘Present’ means existing now and ‘obligation’ means a duty to perform an onerous act. Therefore, a present obligation must be a duty of the entity, whether imposed by law, contract or the entity’s prior practices, to perform something onerous or burdensome. IAS 37 refers to the legal obligation or constructive obligation that should exist.

If there is no duty, there is no liability.

A present obligation does not mean that the date to make payment or perform the act has already passed. It means the duty exists, even if the act only has to be performed in the future. If the duty will only arise in the future, then no present obligation exists as yet.

2.1.1 A legal obligation

A present obligation can be a **legal obligation** if it arises from a law or a legal contract. Entities that earn taxable profits have a legal obligation to pay a certain percentage (currently 27%) of their taxable income in the form of taxes. That obligation exists in terms of the *Income Tax Act, No. 58 of 1962*.

An obligation could also arise **in terms of a contract**, such as an employment contract according to which the employer is obliged to pay an employee certain benefits, provided that the employee performs as required.

The mere fact that a law states that certain actions need to be taken or that certain obligations exist does not create a legal obligation for accounting purposes. For example, people must pay taxes, but must first make profits that will be taxable before they have an obligation to pay the taxes. If it is a legal requirement to meet certain safety requirements, such as installing fire extinguishers, the entity has no obligation to pay for fire extinguishers until it has incurred the costs and recognised the asset. In other words, you should not recognise a provision for fire extinguishers because the law requires it, but only when the fire extinguishers are installed (on credit).

However, if the entity does not meet the safety requirements (for example, it does not install the fire extinguishers), it may be liable for penalties and other legal action resulting from the fact that the requirements of the law have not been met. The penalties and other legal action that may result from non-compliance with the law should then be considered against the definition and recognition criteria of a provision. An obligation may exist for the fine or the penalty. Still, the outflow of future economic benefits may only be a possibility until the entity has been fined or legal action has been taken. At this stage it is probable (more likely than not) that it will result in an outflow of economic benefits.



ETHICAL DILEMMA

Ethical dilemmas arise when determining the appropriate recognition of liabilities. Identifying potential obligations resulting from non-compliance with legal, regulatory and accounting standards is crucial in ensuring ethical reporting of liabilities. An entity that is guilty of non-compliance with the law (for example, not complying with safety requirements) may not be identified and fined for non-compliance. However, the entity should consider its ethical responsibilities when acting in such a way. Management may argue that if the entity is not found guilty and fined, it has no obligation that is reportable in terms of the IFRS Accounting Standards. However, balancing the need for maintenance of machinery, costs of safety equipment, and the safety of its workers is essential in addressing these dilemmas.

2.1.2 A constructive obligation

A present obligation can also be as a result of a **constructive obligation**. A constructive obligation arises when an entity is obligated to do something because its past actions have raised a valid expectation that the entity will make a payment. If a well-known entity says publicly that it is going to spend CU2 million cleaning up the environment in which it operates, that raises a valid expectation that the entity will spend the money. Having made the statement that it is going to make the payment, the damage to the entity's reputation that would arise if it did not make the payment is so large that it has no option but to make the payment.

An obligating event

... is an event that creates a legal or constructive obligation that results in an entity having no realistic alternative to settling that obligation (IAS 37, paragraph 10).



Something to think about

Flying the aeroplane versus doing the maintenance

An entity that owns an aeroplane needs to do expensive maintenance on that aeroplane after a certain number of flying hours. Should a provision for maintenance be recognised when the flying hours occur?

No, because doing the maintenance is the past event that gives rise to a constructive obligation to pay for the maintenance. Even though management probably intends to continue flying the aeroplane and doing the maintenance, there is only an obligating event once the maintenance has occurred. Before the maintenance is done, management could choose to ground or sell the aeroplane, meaning that the entity would not have to pay for the maintenance. A liability should only be recognised at such time as the maintenance costs have been incurred.

Another example that often arises in practice is where an entity has paid bonuses to staff in December year after year, even though it is not legally required to do so in terms of employment contracts. If this has been the practice for a number of years with no indication that the practice would be discontinued, employees have a reasonable expectation that the entity will continue to make the payment. In that case, the entity has a constructive obligation and the 'present obligation' aspect of the definition of a liability is satisfied.

Constructive obligations typically arise as a result of either a **past practice** of management or a **public announcement** made by management that it intends to do something.

A liability only arises if there is a legal or constructive obligation. A liability should not be recognised based on management's intentions or moral obligations.

However, the dividing line between a constructive obligation and a moral obligation is not always clear cut. If an entity has damaged the environment, it has a moral obligation to repair the damages. Even if it intends to repair the damages, however, a liability will only exist if it has either a legal obligation or a constructive obligation to do the repairs. A legal obligation would arise if the law required it to do the repairs or if it were required to do so in terms of some form of contract, both resulting in penalties or damages if not met. A constructive obligation would arise if the entity had publicly made an announcement that it would do the repairs or if it has a track record of always repairing the environment and has not indicated that it intends changing its practice.

2.2 What is a past event?

Liabilities should only be recognised if a future payment is required for something that has happened prior to the reporting date. A statement of financial position should not include liabilities relating to future costs, even if those costs will definitely occur (see [Chapter 20](#), *Events after the reporting period*, for the effects of events after the reporting date). The accrual basis of accounting requires an entity to record a transaction or event when it occurs. If there is both an obligation and a past event, an **obligating event** has occurred.

The 'past event' aspect of the definition is satisfied if the event that gives rise to the future outflow of economic benefits has already happened. Once the past event has occurred, management has no option but to make the payment if there is an obligation to do so. If there is any course of action that management can take that would prevent it from having to make the payment, the past event has not occurred.

Liabilities should not be recognised for costs that will be incurred in the future to enable the entity to continue operating. Those costs should be recognised correctly in the future. Liabilities only exist if a payment will be required in the future for something that has happened in the past.

2.3 What is an outflow of economic benefits?

An economic benefit is cash or something that could be converted into cash in some form. The outflow of economic benefits from an entity will most likely represent the settlement of an obligation in the form of a payment by cash or a cash equivalent. In some instances, however, settlement can also occur when an asset is transferred to the third party, where the asset represents the economic outflow from the entity.

If no economic benefit will flow from the entity (for example, if no payment is due at the end of a contract), there is no liability.

2.4 Recognition criteria

Recognition of a liability is appropriate if it results in the presentation of relevant information that faithfully represents the obligations of an entity. An obligation exists when the entity has no practical ability to avoid the transfer of economic resources. IAS 37 still refers to the previous recognition criteria of a liability, stating that an obligation should be recognised based on the probability of an outflow.

Example of deciding whether or not to recognise a liability

An entity is involved in a court case in which it is sued for damages caused to a third party. The damages have been reliably assessed at CU50 000. In terms of the law, the entity is obligated to pay someone for the damages it has caused. However, the obligating event is not the fact that the entity is being sued; rather, it is the fact that the entity caused the damages that allowed it to be sued.

For example, being sued after the reporting date for damages that occurred before the reporting date may be an adjusting event after the reporting period (see [Chapter 20](#), *Events after the reporting period*). The fact that a third party was damaged (the accident) is the past event that gave rise to an obligation. The liability arises as soon as there is an obligating event. If the entity has made a mistake, but there were no grounds on which it could be sued, no obligating event exists.

Legal proceedings will indicate how likely it is that the entity will have to pay the CU50 000 (and, in reality, the legal proceedings are also likely to determine the amount that the entity will have to pay). Once the court case has been finalised, you will know exactly how much the entity will have to pay and recognise a liability for that amount until the payment is settled. Suppose you are producing financial statements between the date of the legal action by the third party and the finalisation of the court case. In that case, you must decide to recognise a liability at the reporting date. If all the legal teams agree that it is probable that the entity will have to pay and as measurement is assumed reliable, the liability should be recognised. On the other hand, if the legal advice is that the entity may have to pay, but it is unlikely (it is possible, but not probable), then you would not recognise a liability. If circumstances change and it becomes probable that the entity will have to pay, you need to recognise the liability as soon as that happens.

To summarise, the liability arises when the obligating event occurs, but the liability is only recognised when payment is both measurable and probable.

Example of recognising a liability

A construction business built a house last year that has now collapsed. Unsurprisingly, the business is being sued by the homeowner. The court case is still pending. Should the construction business recognise a liability?

The purchaser of the house is entitled to expect that the house should not collapse after one year, and the builder should have some form of legal obligation to repair the house if the collapse was caused by negligent building. The past event is the building of the house, which connects the builder to this potential court case. If the house had not collapsed, there would be no obligating event.

A liability should be recognised if payment is probable and measurable. When preparing financial statements, three questions need to be answered with the help of professionals:

- Did the house collapse because of the negligence of the builder?
- Assuming that the house collapsed because of the builder's negligence, is it probable that the builder would lose the case if the case went to court?
- Is there any basis for estimating how much the judge would award in damages if the case went to court?

If the answer to the first two questions is 'yes', then the outflow of economic benefits is probable. If the answer to the third question is 'yes', then the amount of the future economic benefits that will flow is measurable. If the answer to all three questions is 'yes', the recognition criteria have been satisfied, and a liability should be recognised in the financial statements. However, if the answer to any of the questions is 'no', a liability should not be recognised, as the recognition criteria have not been satisfied.

3 Provisions

When the amount of a liability is based on an **estimate**, as opposed to being a definite amount, this is called a 'provision'. The amount of the provision recognised at the reporting date should be the best estimate of the amount required to settle the present obligation at the time that the provision is recognised. The basis could be the average of estimates by a number of different people or the average of a possible range of outcomes.

This is common, as financial statements are not only based on exact facts; they are also based on informed estimates that are related to the circumstances that exist when the financial statements are being prepared. For example, a depreciation rate is based on the best estimate of the useful life of the asset, and the collectability of accounts receivable and the net realisable value of inventory are both estimates based on the most reliable information available at the time.

Using estimates adds more risk to the equation but is better than ignoring the problem altogether. To illustrate, if an entity expects to pay between CU80 000 and CU120 000 to settle a claim, it is better to recognise the average amount of CU100 000 than to ignore the liability altogether. It is better to be vaguely accurate than precisely wrong. The use of the term 'provision' draws attention to the fact that an estimate has been used and may change in light of subsequent information.

Something to think about

Appropriate use of the word 'provision'

Watch out for the word 'provision' as it is used in different contexts. The term 'allowance for expected credit losses' is sometimes used and certainly does not imply that the entity has an obligation to make a payment to anyone. What it does imply is that some of the debtors are not expected to pay the full amount owed and that the amount has therefore been written down in the form of an impairment provision. An expected credit loss allowance is an adjustment to the carrying amount of an asset and is not a type of liability; it should therefore be referred to as an 'allowance for expected credit losses'.

People often also refer to a 'provision for depreciation', which is the accumulation amount by the entity of the allocation of the cost of using a non-current asset. Once again, this is an adjustment to the carrying amount of an asset, and it is not a type of liability. In order to avoid any confusion, you should rather refer to 'accumulated depreciation'.

ETHICAL DILEMMA

Ethical considerations arise when measuring provisions, particularly when uncertainty or subjectivity is involved. The dilemma involves choosing the most appropriate estimation methods and assumptions to avoid understating or overstating the liabilities. Balancing prudence with the need for accurate financial reporting is essential.

3.1 Definition of a provision

In order for there to be a provision, there must be a liability (an obligation as a result of a past event). If there is uncertainty with regard to the amount or the date of payment, then the liability should be referred to as a 'provision' to draw attention to the fact that there is uncertainty. The payment date is relevant because a provision is measured at the present value of the amount expected to be paid. Changing the payment date changes the present value factor and the amount recognised at the reporting date.

Although a provision implies an element of uncertainty, it does not imply so much uncertainty that the recognition criteria have not been satisfied. All amounts recognised on a statement of financial position have to be probable and measurable; the only difference between other liabilities and a provision is the degree of certainty.

**Key principle:
When should a provision
be recognised?**

A provision is defined in IAS 37 and Section 21 of the *IFRS for SMEs* Accounting Standard as a liability of uncertain timing or amount. A provision should only be recognised when:

- The entity has an obligation at the reporting date as a result of a past event
- It is probable that the entity will be required to transfer economic benefits in the settlement
- The amount of the obligation can be estimated reliably.

**Key principle:
Recognition of a liability in terms of the 2010 *Conceptual Framework***

A liability is only recognised on the statement of financial position if there is an obligating event (an obligation as a result of a past event) that will give rise to a future outflow of economic benefits. The outflow of economic benefits should be both probable and measurable (payment must be both probable and measurable).

A provision

... is a liability of uncertain timing or amount.

Something to think about

Applying the IAS 37 recognition criteria for a provision

Refer to the 'Key principle' box above.

IAS 37 still refers to the previous recognition criteria of a liability (in accordance with the 'old' 2010 *Conceptual Framework*), stating that an obligation should be recognised based on the probability of an outflow. This means that there must be some certainty around the fact that payment will be made, compared to when there is a possible outflow that may happen but where there is uncertainty about whether or not payment

will occur. Remember, if you cannot measure the amount of the future economic outflow, raising an accounting entry is impossible, as the amount is unknown.

The recognition criteria of a liability in accordance with IAS 37 are discussed below.

Probable outflow of future economic benefits

If there is an obligating event, the recognition criteria need to be considered to determine if a liability should be recognised. Assuming that measurability is not a problem at this stage, the provision should be recognised, provided that the outflow of future economic benefits is probable, where 'probable' means more likely than not. To express this differently, the liability should be recognised if there is a greater than 50% chance that payment will have to be made.

If an obligating event could give rise to a future payment but is not likely to, that amount should not be recognised as a liability. In other words, if payment is possible but not probable, the liability should not be recorded, as the recognition criterion of probability has not been satisfied. If the liability is not recognised, an expense will not be recognised in profit or loss either. An example of this is a person speeding on a highway. That person has broken the law by driving above the speed limit. Still, if no cameras or traffic officers catch them doing it, it is not probable that there will be any outflow of future economic benefits.

The measurable outflow of future economic benefits

As well as being probable, a payment must be measurable before it can be recognised as a liability. You must be able to make a reasonable estimate of the amount that the entity is going to have to pay.

Suppose you know that an obligation to pay something exists and that it is probable that the entity is going to have to make a payment. Still, there is no possible basis for estimating how much the entity will have to pay. In that case, you will not be able to recognise a liability. Recognising an arbitrary amount with no basis for its calculation would give rise to misleading information. Such an amount should not be recognised because the amount would be meaningless and would not faithfully represent the financial position of the entity at the reporting date.

However, it is not necessary to know exactly how much the payment will be to recognise a liability. If there is some basis for making a reasonable estimate, then that estimated amount should be used to recognise the liability. Various techniques can be used to make reasonable estimates (for example, averages of a number of expert opinions or use of the probability theory).

In terms of the double-entry system, if a liability is not recognised, no corresponding debit is recognised. This usually implies that an expense will not be recognised. (An

expense is a decrease in net assets, and if a liability is not recognised, net assets have not decreased, so there is no expense.)

Obligations are classified as liabilities, provisions or contingent liabilities according to the following guidelines:

- If the amount and timing of payment are certain, a **liability** is recognised on the statement of financial position.
- If there is uncertainty regarding the amount or timing, but payment is probable and measurable, a provision is recognised on the statement of financial position.
 - If you cannot measure the amount reliably, even using estimates, or if the payment is not probable, the amount should not be recognised. Still, there should be a **note disclosure of a contingency**.

In practice, provisions are made by entities for many purposes, including the following:

- Provision for post-employment medical aid (in terms of some employment contracts, employers will continue to pay employees' medical aid costs when they retire, and provision is made for this as the employees' work)
- Provision for leave pay (employees are entitled to a certain number of days leave per year and will be paid out for leave not taken, so a provision is recognised for accumulated leave over the period during which the leave accumulates)
- Provision for environmental rehabilitation (mining entities that have damaged the environment and have an obligation to restore it when the mining is completed will have a provision for this)
- Provision for a pending court case (if an entity is being sued in a case that it does not expect to win, it will provide for the amount that it expects to pay out)
 - Provision for warranties for goods sold (see [Chapter 22](#), *Revenue from contracts with customers*, Section 4.4.2)
- Provision for sales refunds, because goods could be returned whether or not they are defective (see [Chapter 22](#), *Revenue from contracts with customers*, Section 3.3.1).

3.1.1 Uncertainty

Most liabilities are known with certainty. For example, when there is an obligation to repay a loan on a certain date, there is no argument about what is owed and when it is payable. A provision is raised when there is **uncertainty** about the timing of the payment or the amount at which the obligation will be settled.

The amount of a provision should be the **best estimate available** at the reporting date. The estimate should be based on past experience and other related factors, indicating what a reasonable amount of such a provision should be. IAS 37 and Section 21 of the *IFRS for SMEs* Accounting Standard state that the use of estimates is an essential part of preparing financial statements and does not undermine their reliability. Estimates are used when you cannot determine a liability's value or outcome with certainty. Still, you may be able to estimate the value or outcome with

a certain degree of reasonableness. When a reasonable estimate is made, all the risks of uncertainty should be taken into account, including the weighting of all possible outcomes and their probable possibilities. We refer to such an estimated amount as the '**expected value**' of a provision (see the example in Section 3.2.1).

The accrual basis of accounting requires you to recognise a transaction when it happens, not when the money is received or paid or when the final outcome is known. Using estimates in the preparation of financial statements is therefore necessary if you do not have all the facts available at the reporting date.

A provision should not be recognised unless it is probable and measurable. In deciding if the amount is probable and measurable, similar items should be looked at collectively.

Example of recognising a provision when the amount payable is uncertain

An entity sells goods with a warranty. Customers may return a faulty product for repairs or replacement within a prescribed period. The obligating event is the sale of goods under warranty. The liability arises when the sale occurs and should be recognised, provided it is probable and measurable.

The accrual basis requires expenses to be recognised in the financial year to which they relate. This implies that when revenue is recognised, all expenses directly related to that revenue must be provided for against that revenue, including the cost of sales and the anticipated future costs of repairing or replacing defective goods.

However, when an entity sells products with a warranty, the problem is that management does not know if and when customers will return those products for possible repairs or replacement. Hence, the entity's current obligation to repair or replace those products sold exists until the end of the warranty period. Nonetheless, the fact that you do not know when the entity may have to settle an obligation, with whom it may need to settle the obligation or exactly how much it will have to pay should not stop you from recognising the provision at the reporting date. If an entity has an obligation to its customers, you should recognise the provision (refer to Section 4.4 of [Chapter 22](#), *Revenue from contracts with customers*).

Example of a warranty provision

Mr Cool Ltd sells fridges. It is not probable that a fridge that Mr Cool Ltd sold will be returned for repairs because it is defective and so, when a sale is looked at individually, it would not be appropriate to recognise a provision.

However, if the entity has kept records of all goods returned for repairs in the past, you may notice a pattern of three fridges being returned for repairs for every hundred fridges sold. Based on this evidence, you would be able to estimate that approximately 3% of current sales of fridges under warranty may be returned for repairs. As your estimation is based on reasonable information, a provision of 3% of all items still under warranty should be recognised at the reporting date.



Recognition of provision and related inventory repair expense

The debit expense account is an inventory repairs account, as the expense account relates to the repair of damaged inventory and is included in the cost of sales calculation. This account should be closed off against cost of sales in profit or loss.

3.1.2 Changes in estimates

At every reporting date, a provision should be measured at the **best estimate** of the amount the entity can expect to pay to settle the obligation. Provisions should be reviewed at each reporting date, and adjustments should be made to reflect the best estimate at each reporting date. When preparing financial statements at subsequent reporting dates, the latest estimate should be used to decide if payment is still probable and how much is likely to be paid.

A **change in estimate** from one reporting date to another implies that the adjustment required in order to restate the provision to the current estimate will give rise to a debit or credit in the profit or loss in the year in which the estimate is changed. (Changes in estimates are covered in [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*.)

3.2 Measurement of provisions

You should only recognise a provision if a **reasonable estimate** of the obligation amount can be made. In principle, the reasonable estimate is the amount that would be needed to settle an obligation at the reporting date. (The use of estimates to measure a provision is discussed in Sections 3.1.1 and 3.1.2.)

3.2.1 Expected value

The measurement of the value of an obligation for a large population of items is derived by weighting all possible outcomes by their estimated probabilities. This could involve some **statistical method** of determining an estimate. The value of an estimate arrived at by the use of this method is called the '**expected value**' of the obligation.

Example of measuring the warranty provision

Mr Cool Ltd sells fridges under warranty. It has been estimated that if minor defects were detected in all products sold, repair costs of CU1 million would result. If major defects were detected in all products sold, repair costs of CU4 million would result.

Based on your past experience and future expectations, you estimate that for the coming year, 75% of the goods sold will have no defects, 20% of the goods sold will have minor defects, and 5% of the goods sold will have major defects.

The expected value of the cost of repairs is as follows: (75% of zero) + (20% of CU1 million) + (5% of CU4 million) = CU400 000.

A provision for repairs of inventory sold under a warranty of CU400 000 should be recognised.

		CU	CU
Dr	Inventory repairs (P/L)	400 000	

Cr	Provision for repairs of inventory sold under warranty	400 000
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Recognition of provision and related inventory repair expense

The inventory repairs expense should be closed off against cost of sales in profit or loss, as it is an inventory expense.

3.2.2 Long-term provisions

The amount recognised for a provision should be the estimated amount needed to settle an obligation at the reporting date. The amount must be based on both the expected amount of the payment and the date of payment. In other words, the amount of the provision should be the **present value at the reporting date** of the estimated amount that will be payable in the future.

If the provision is only likely to be settled in the future, it would be excessively prudent and misleading to recognise the full amount at the reporting date. A liability payable in the future is not as onerous as the equivalent amount payable now. This is because of the effect of the **time value of money**. The **discount rate** that you use to determine the present value of the amount expected to be required to settle the obligation should be a pre-tax rate that reflects current market assessments of the time value of money. The unwinding discount over time represents a finance cost that should be recognised in profit or loss.

In some cases, it may take many years before a provision is settled. For example, in the case of a mining operation, environmental damage will only be repaired once a project has been completed. Still, in most cases, the obligating event occurs when the environment is damaged, which is usually when the mining process starts. Provided that payment is probable and measurable, a provision should be recognised as soon as there is an obligating event. The provision that should be recognised should be the present value at the reporting date of the amount that is expected to flow from the entity to repair the environment. The amount recognised should be measured at each subsequent reporting date after considering any new evidence.

The debit arising from the initial recognition of the provision should be taken to the **cost of the mining asset** that will be depreciated as mining occurs, provided that it meets the definition and recognition criteria of an asset. The Interpretation Standard IFRIC 1, *Changes in Existing Decommissioning, Restoration and Similar Liabilities*, deals with the accounting treatment where the provision was originally recognised as part of the cost of an item of property, plant and equipment. If the estimated amount, the timing or the discount rates change, the adjustment should be taken to the **cost of the asset**. Increases in the provision arising from unwinding the discount factor are recognised as **finance charges** in profit or loss.

Something to think about

What is the debit entry?

When a provision (liability) is recognised, the debit entry for a provision is not always an expense. Sometimes the provision may form part of the asset's cost (for example, an obligation to rehabilitate a landfill site or dismantle an asset at the end of its useful life).

Example of measuring the present value of a provision

The cost of repairing a specific site currently being used is expected to amount to CU1 000 000 at the end of ten years. As the site is currently being used, the entity has an obligation to repair the site at the end of the usage period. The entity has a constructive obligation, as a valid expectation exists that the entity will repair the site.

The present value of the future costs to repair the site in ten years should be recognised as a provision. The obligation exists at the time at which the damage was done to the environment. The present value of the damage at the beginning of the first financial year is estimated at CU1 000 000, payable in ten years. This amount should be discounted at an interest rate of 8%, which is the discount rate that reflects current market assessments of the time value of money.

Thus, the present value of the obligation amounts to $\text{CU1 000 000} \times 0.4632 = \text{CU463 200}$. This is the present value factor of 8% in ten years, calculated as $(1.08)^{-10}$.

The provision should be recognised as follows when the obligating event occurs:

		CU	CU
Dr	Mining asset ¹	463 200	
Cr	Provision for repair of environmental damage		463 200

Recognition of provision and related increase in the mining asset

Notes

1 You should apply the principles applicable to property, plant and equipment when recognising this asset. This means the asset should be depreciated over its expected useful life to its residual value (refer to [Chapter 10](#), *Property, plant and equipment*).

The above provision is made in the first year of mining at the new site. At each subsequent reporting date, you should determine the present value of the provision based on the remaining time before the expected cash outflow. The future value is therefore discounted back to its present value at each reporting date, and the effect of the unwinding of the discount is recognised as a financing cost expense.

The present value at the end of the first year should be the present value of CU1 000 000 payable in nine years. Again, the present value should be calculated using the interest rate (discount rate) of 8%. The present value factor of 8% in nine years ($\text{CU1 000 000} \times 0.5002$) can be calculated as $(1.08)^{-9}$ and amounts to CU500 200. This less the carrying amount of the provision of CU463 200 amounts to CU37 000.

A simpler way of calculating the interest expense is to apply the discount rate (8%) to the provision balance:

$$\text{CU463 200} \times 8\% = \text{CU37 056 (CU56 rounding difference)}.$$

			CU	CU
Dr		Interest expense (P/L)	37 000	
	Cr	Provision for repair of environmental damage		37 000

Recognition of increase in provision related to the unwinding of the discount recognised as an interest expense

Assuming that the interest rate (discount rate) decreased from 8% to 7.5% in the following year, you should calculate the present value at the end of the second year by using the prevailing interest rate at that date. The provision is first adjusted to take into account the effect of the change in the interest rate, which is recognised as a debit to the asset, as this represents a change in estimate. Then the effect of the unwinding of the discount is taken into account using the new interest rate. The total change is calculated as the difference in the carrying amount of the liability between the current period and the prior period. The present value of the liability at the end of the second year is $\text{CU}1\,000\,000 \times 0.5607 = \text{CU}560\,700$, being the present value of CU1 000 000 payable in eight years, discounted to its present value and using an interest rate of 7.5%.

The change in the carrying amount of the provision in year 2 resulted from the following adjustments:



The decrease in the discount rate in year 2 should be adjusted to the asset as follows:

			CU	CU
Dr		Mining asset	21 400	
	Cr	Provision for repair of environmental damage		21 400

Recognition of adjustment to provision and the mining asset resulting from change in estimate

In terms of IFRIC 1, the adjustment arising from the change in the discount rate is taken to the asset as a change in estimate of the amount originally included in the mining asset (in other words, prior periods are not restated).

The provision in year 2 (assuming an interest rate of 7.5%) is as follows:

			CU	CU
Dr		Interest expense (P/L)	39 100	
	Cr	Provision for repair of environmental damage		39 100

Recognition of increase in provision related to the unwinding of the discount recognised as an interest expense

At each of the following subsequent reporting dates, the present value of the future estimated cost to repair the site should be recognised, until the tenth year, when the amount recognised as a provision should be equal to the estimated costs to repair the site at that time.

This is illustrated in the general ledger account below.



The balance of the provision account will slowly increase over the period of ten years as the discount is unwound. The carrying amount at the end of each year will be the present value of the provision at that time, taking into account the prevailing interest rate. When the repairs are due at the end of the ten years, all costs should be debited against the provision account.

3.2.3 Writing off of expenses against the provision account

A provision must be recognised on the date the obligating event occurred, and the entity will probably be required to transfer economic benefits in settlement of an amount that can be estimated reliably. This will result in a faithful representation of financial information in terms of the **accrual basis** of accounting. As with all other accruals, the expense is recognised when the obligation arises, not when the amount is paid. When the amount is actually paid, there will not be an adjustment to the profit or loss unless the estimated provision amount is inaccurate. In that case, the difference between the estimated amount and the amount actually paid will be recognised in the profit or loss resulting from a change in the estimate.

Example of recognising a provision expense in profit or loss

An entity is involved in litigation relating to environmental damage and is being sued for damages amounting to CU500 000. A provision's definition and recognition criteria are met, so a provision is recognised for this amount when the obligation exists. Assume that legal costs are estimated at CU50 000, and the costs are accrued in profit or loss.

		CU	CU
Dr	Legal fees (P/L)	50 000	
Dr	Environmental repair costs (P/L)	500 000	
	Cr Provision for environmental repairs and legal fees		550 000

Recognition of provision and related expenses

When payments are made relating to the legal costs prior to the finalisation of the case, the payments should be recorded against the provision account. The payments should not be recorded as a further expense in profit or loss. However, should the entity pay legal costs for a different, unrelated case, those costs should not be recorded against the provision account. In summary, only the payment of costs already provided for

should be recorded against that provision. All other costs should be expensed when incurred unless provided for in another provision.

Assuming that in the following financial year, the actual costs to repair the environment amounted to CU525 000 and the legal fees were CU50 000 as expected, the journal entry recognising the payment would be as follows:

		CU	CU
Dr	Provision for environmental repairs and legal fees	550 000	
Dr	Environmental repair costs (P/L)	25 000	
	Cr Bank		575 000

Payment for the rehabilitation costs and the legal fees and derecognition of provision

The additional CU25 000 expense for the environmental repair is expensed when the higher cost is identified, which represents a change in an accounting estimate. The amount expensed is the amount spent in excess of the provision. If the amount spent were less than the provision, a gain would be recognised in profit or loss.

3.3 Reimbursements

In some cases when a provision is raised, you might expect to recover some of the costs from a third party. For example, an entity involved in a legal dispute relating to an employee being injured while operating a machine might also consider a counterclaim against the manufacturer of the machine for a technical defect. Where some or all of a provision is expected to be reimbursed or settled by another party, you should only recognise this reimbursement when the receipt of the amount is virtually certain. The claim against the third party should only be recognised if it meets the definition and the recognition criteria of an asset (see [Chapter 1](#), *The financial reporting environment and frameworks*).

According to IAS 37, if the receipt of a reimbursement is **virtually certain** and the definition and recognition criteria of an asset have been met, the anticipated recovery should be recognised as a **separate asset** and should not be netted off against the provision account. It is **not permissible** to offset the two balances (the asset and liability) in the statement of financial position. An asset of an uncertain nature can only be recognised if the receipt is virtually certain (the recognition is more onerous than the normal criterion of probability because of the nature of the item) (see Section 5.2). For example, in a situation in which your geyser bursts and this type of event is covered by your insurance policy, when the insurer sends you confirmation of the reimbursement due to you, it would then be considered virtually certain.

When a reimbursement is virtually certain, and an asset is recognised, the amount recognised should not exceed the amount of the provision. It should be limited to the amount of the provision, and no gain should be recognised. A **possible (or even probable) reimbursement** should not be recognised as an asset, as the inflow of an economic benefit is not virtually certain (see Section 5.2).

Although IAS 37 and Section 21 of the *IFRS for SMEs* Accounting Standard do not allow an asset and a provision on the statement of financial position to be offset, the amount recognised in profit or loss for the reimbursement may be netted off against the expense relating to the provision recognised in profit or loss. This would result in a net amount being recognised in profit or loss.

Example of reimbursements

An entity is involved in a legal dispute resulting from an injury one of its employees sustained while operating a machine. The injury was sustained owing to the incorrect installation of the machine, which the supplier guaranteed.

The legal claim received from the employee amounts to CU400 000, and the entity has received confirmation from the supplier that it will be reimbursed to the value of CU1 million due to the incorrect installation and the fact that the machine can no longer be used safely. This amount has not yet been received from the supplier.

The entity needs to recognise a provision of CU400 000 because the entity has a present obligation to settle with the employee, as the employee has been injured during employment (a past event). The settlement amount is certain, but the timing of the payment is still uncertain, so a provision should be raised.

			CU	CU
Dr		Costs relating to claim by employee (P/L)	400 000	
	Cr	Provision for legal claim from employee		400 000

Recognition of provision and related expenses

The reimbursement is virtually certain, as the supplier has acknowledged its responsibility and agreed to the settlement. The definition and recognition criteria of an asset have been met. The amount receivable from the supplier is CU1 million, of which CU400 000 relates to a reimbursement of the costs associated with the claim by the employee. The balance of CU600 000 relates to the fact that the machine can no longer be used safely; it is a settlement for lost production and the write-off of the machine.

An asset should be recognised separately. The portion relating to the reimbursement of the provision should be limited to the value of the provision, which is CU400 000. In terms of IAS 37, the amount of the reimbursement cannot exceed the amount recognised as a provision. In this case, a portion of the reimbursement relates to the employee's claim and a portion to the fact that the machine was faulty.

			CU	CU
Dr		Amount received from supplier (asset)	400 000	
	Cr	Reimbursement of claim (P/L)		400 000

Recognition of asset (claim confirmed by insurance company) and related income

The reimbursement of the claim (income) should be netted off against the costs relating to the claim (expense), resulting in a zero effect on profit or loss.

The balance of the amount receivable from the supplier (CU600 000) should be recognised as a separate asset, as the receipt of the amount is virtually certain. This asset relates to expenses incurred or other losses because the machine can no longer

be used (for example, loss in production, impairment of the machine and obsolete inventory items). The credit should be recognised as a gain in profit or loss. In addition, impairment losses may also be recognised in profit or loss, reflecting the fact that the asset may no longer be used.

		CU	CU
Dr	Amount received from supplier (asset)	600 000	
Cr	Gain from settlement of claim by supplier (P/L)		600 000

Recognition of asset (supplier confirmed that claim would be paid) and related income

The amount receivable from the supplier should be recognised as an asset of CU1 000 000 and should form part of the current assets if the amount is expected to be received within the next financial year. The provision for the legal claim from the employee should be recognised separately as a liability of CU400 000. The two balances should not be offset on the statement of financial position.

3.4 Future operating losses

In order for a provision to be recognised, the obligation to settle a liability should exist **at the reporting date**. A provision should not be made for a **future obligation**. You should also not provide for any expected losses in the future, as the event has not yet happened. Future operating losses do not meet the definition of a liability and should not be recognised. Where future losses are expected, this may indicate that assets are **impaired** (as the present value of future cash flows is likely to be less than the carrying amount of the asset). As discussed in [Chapter 10](#), *Property, plant and equipment*, impairment losses should be recognised when they arise, but that is not the same as recognising future losses.

3.5 Onerous contracts

An onerous contract is a contract in which the entity expects to incur some **unavoidable costs** to meet the contract's obligations, and those costs exceed the economic benefits that it expects to receive from the contract. Essentially, it means that the entity has entered into a contract that will not result in a profit. IAS 37 states that 'The cost of fulfilling a contract comprises the costs that relate directly to the contract' (paragraph 68A). Costs that relate directly to a contract can either be incremental costs of fulfilling that contract (examples would be direct labour and materials) or an allocation of other costs that relate directly to fulfilling contracts (an example would be the allocation of the depreciation charge for an item of property, plant and equipment used in fulfilling the contract). As the costs incurred relating to the contract are expected to be more than the income stipulated in the contract, the entity will incur a loss.

Key principle:
Recognising a provision for an
onerous contract

If an entity has an onerous contract, the entity should recognise and measure the present obligation under the contract as a provision.

An onerous contract could arise if an entity entered into a contract to provide a service to a client and, once committed, realised that the costs of completing the contract were greater than the revenue to be earned. In that case, a **provision for an onerous contract** should be recognised as equal to the expected shortfall or the penalty on contract cancellation, whichever is lower.

If specific assets are used in this onerous contract, you have to consider the **possible impairment** of those assets because the amount that the entity expects to recover from those assets may be lower than their carrying amount. (The recoverable amount is the higher of the value in use or the fair value less costs to sell.)

The fact that the contract has become onerous and the entity expects to receive less of an economic benefit from it should also be considered when determining whether a provision is necessary. When the obligations set out in the contract are unavoidable, a provision should be made. For example, a contract stipulates that the entity needs to deliver the completed product at a specific date and penalty clauses could apply if it does not meet that specific date.

If the entity does not meet the deadline and has an obligation to settle penalty amounts, you need to provide for those penalties once they become an unavoidable obligation.

An example of a contract that becomes an onerous contract is when an entity signs a 12-month lease on a property, but stops using the property after two months. Based on the assumption that the lessee has elected the recognition exemption criteria in IFRS 16 for this short-term lease, the contract may be onerous. A provision that should be recognised is the least cost that will be incurred to withdraw from the contract, which could be the penalty payable on cancellation of the contract or the rental for the remaining ten months less the rental receivable in a sub-letting agreement.

Something to think about

Can a lease result in an onerous contract liability?

Operating leases have often been used as an example to demonstrate an onerous contract, especially when the lessee no longer uses the asset (thus, there are no future benefits) but still has to meet the payment obligations in terms of the contract. However, IFRS 16, *Leases* (refer to [Chapter 17](#)) requires that the lessee recognise the right-of-use asset and lease liability when the lease commences. The lease liability is measured as the present value of the future lease payments and amortised over the lease period. As the lessee recognises a lease liability in accordance with IFRS 16, *Leases*, there is no further liability that should be recognised. This is because the cost of fulfilling the contract has already been recognised as the lease liability. Instead, the right-of-use asset must be tested for impairment and written down in accordance with IAS 36, *Impairments*. (See [Chapter 15](#), *Impairment of non-current assets*.)

3.6 Restructuring

Restructurings are common when the economy is in a recession, when entities merge or as entities focus on their core operations and divest from businesses that are underperforming or are non-core businesses. Examples of events that fall under a restructuring include the following:

- The sale or closure of a line of business

- The closure or relocation of business locations in a region or a country
- Changes in the management structure.

Paragraph 10 of IAS 37 defines a restructuring as a programme ‘that is planned and controlled by management, and materially changes either the scope of a business undertaken by the entity or the manner in which that business is conducted’.

Most entities that embark on restructuring programmes have existing agreements with suppliers of goods and services (for example, contracts with employees and leasing arrangements). The entity may also incur other costs, such as marketing costs or staff retraining. The issue is how the entity accounts for its obligations relating to these agreements and costs.

In addition to the general recognition criteria for provisions (as discussed in Sections 3.1 and 3.2), specific criteria must be met before an entity can recognise a provision for the restructuring.

An entity only has a **constructive obligation** arising from the restructuring if it has:

- A detailed formal plan for the restructuring, identifying at least:
 - The business (or part thereof) concerned
 - The principal locations affected
- The location, function and approximate number of employees who will be compensated for the termination of their services
- The expenditures to be undertaken (for example, retrenchment packages)
- When the plan will be implemented.
- Raised a valid expectation to those affected that it will carry out the plan by starting to implement the plan or announcing its main features to those concerned (examples of how this can be demonstrated are publicly announcing the plan to restructure, selling assets of the affected business, or meeting with employee representatives or potential buyers of the assets of the affected business).

Key principle: Recognising a provision for restructuring costs

An entity should only recognise a provision for restructuring costs when it has a legal or constructive obligation to carry out the restructuring at the reporting date.

The amount recognised as the restructuring provision can only include costs directly related to the restructuring (in other words, costs that are necessarily entailed by the restructuring and are not associated with the ongoing activities of the entity). Therefore, a restructuring provision for costs that relate to the future activities of the restructured

entity (such as retraining or relocating continuing staff or marketing the restructured entity) cannot be recognised (see Section 3.4 for a discussion on future operating losses and Section 3.5 for the treatment of onerous contracts).

Where the restructuring involves the sale of a business (or its assets), no obligation arises until the entity has committed itself to the sale, as demonstrated by entering into a binding sales agreement. In addition, the restructuring provision does not include any gains or losses expected from the sale of the business (or its assets). However, the expected sale of the business (or its assets) triggers an impairment test in terms of IAS 36, *Impairment of Assets* (see [Chapter 15](#)). Further, the sale of the business may meet the requirements to be classified as held for sale in terms of IFRS 5, *Non-Current Assets Held for Sale and Discontinued Operations* (see [Chapter 21](#)).

Example of restructuring costs

An entity decides to close down manufacturing in one of its geographic locations. The employees in the location to be shut down are given a choice between moving to another existing location at the entity's cost or accepting a cash payment covering 12 months worth of salary payments after the shutdown of operations. If we assume that this must be accounted for as a restructuring event, the entity will need to consider how it accounts for the costs to be incurred.

The employees that accept the cash option are considered part of the restructuring, and the entity will have to raise a provision and recognise an expense in profit or loss.

The employees that choose to move to a different manufacturing location remain employees before and after the restructuring. It makes sense that no cost incurred concerning them will be included in the restructuring provision. The cost to move them will be recognised when incurred.

3.7 Environmental rehabilitation funds

The example in Section 3.2.2 dealt with environmental provisions. Most entities with obligations of this nature contribute to funds (either the entity's own fund or an industry-specific fund) generally administered by separate trustees, whereby the contributions are invested in a range of debt and equity instruments. These funds are then used to help pay the contributors' costs to rehabilitate the environment and deal with related issues.

IFRIC 5, *Rights to Interests Arising from Decommissioning, Restoration and Environmental Rehabilitation Funds*, sets out the accounting treatment of a contributor's interest in the fund. The interpretation standard deals only with **funds that are administered separately and where the contributor's right to access the assets of the fund is restricted**.

In terms of IFRIC 5, environmental rehabilitation funds are accounted for as follows:

- The contributor recognises its obligation to pay the costs to rehabilitate the environment in terms of IAS 37 and recognises a separate asset for its interest in the rehabilitation fund (that is, its right to receive reimbursements from the fund). The asset and liability may only be offset if the contributor is not liable to pay the costs of rehabilitating the environment or making good any other damage if the fund fails to pay.

- The contributor must determine the nature of its interest in the fund (control, significant influence or joint control) and account for the fund accordingly (see [Chapter 24](#), *Employee benefits and share-based payments*; [Chapter 26](#), *Separate financial statements*; and [Chapter 27](#), *Consolidated financial statements*).
- If the contributor does not have control, significant influence or joint control over the fund, it must recognise the right to receive reimbursement from the fund in accordance with IAS 37 (see Section 3.3) at the lower of the amount recognised as a provision for the environmental costs and the contributor's share of the fair value of the net assets of the fund attributable to the contributors. Changes in the carrying amount of the right to receive reimbursements other than contributions to and payments from the funds should be recognised as income or expenses.
- Any additional contributions that the contributor may have to make if the fund cannot meet its obligations are accounted for in terms of IAS 37, either being recognised as a liability or disclosed as a contingent liability (see Section 5).

Something to do

Appendix A and Appendix C of IAS 37 provide further clarity regarding the appropriate treatment of provisions, contingent liabilities and contingent assets in the form of tables and examples.

ETHICAL DILEMMA

Ethical dilemmas arise when an entity faces environmental provisions related to its past or ongoing activities. Liabilities, such as employee-related obligations or environmental remediation costs, can significantly impact employees and local communities. Ethical dilemmas arise when deciding how to address these obligations while safeguarding the interests and well-being of those affected. Balancing financial responsibilities with the long-term impact on the environment requires careful consideration of the potential harm caused and the ethical obligations to mitigate and remediate the environmental damage. Furthermore, establishing robust internal controls and compliance mechanisms is essential to address ethical dilemmas related to environmental provisions. An entity must ensure that employees and stakeholders adhere to environmental regulations, accurately report provisions, and prevent potentially fraudulent activities or misrepresentations. Seeking external verification and assurance of environmental provisions can enhance transparency and credibility and validate the entity's provision estimations. Ensuring the independence and integrity of the verification process is vital for ethical reporting and stakeholder confidence.

3.8 Disclosure of provisions

Owing to the uncertainties around provisions recognised in the statement of financial position and the corresponding effect on profit or loss, the users of financial statements must be informed of the nature and circumstances that gave rise to each provision. IAS 37 contains detailed requirements of information that you need to present in the financial statements with regard to provisions that should be recognised. The disclosure requirements in Section 21 of the *IFRS for SMEs* Accounting Standard are exactly the same as in IAS 37.

The carrying amount of provisions should be included on the face of the statement of financial position, normally as part of current liabilities or non-current liabilities, depending on when payment is expected. If it is not clear that the payment would be required more than 12 months after the reporting date, then IFRS 18, *Presentation and Disclosure in Financial Statements*, dictates that the amounts be disclosed as a current liability.

In addition, an entity should disclose the following information for **each class of provision**:

- The carrying amount at the beginning of the period
- Additional provisions made during the period (including increases to existing provisions)
 - Amounts charged against the provision
 - Unused amounts reversed during the period
- The increase in the discounted amount arising from the passage of time
- The closing balance of each class of provision.

These details are normally provided in the notes to the financial statements.

A brief description of the nature of the obligation that gave rise to each class of provision and the expected timing and resulting outflows of economic benefits is required. Separate disclosure of the amount of provisions recognised as a result of the element of uncertainty and (where necessary) the major assumptions made concerning future events is required. In cases where reimbursement is expected, the amount of any asset recognised should be stated.

Example of accounting policy note for provisions

Provisions accounting policy note

Provisions for asset retirement obligations, environmental remediation obligations, onerous contracts, restructuring costs, legal claims and similar obligations are recognised when the following criteria have been met:

- A present legal or constructive obligation exists due to past events.
- It is probable that an outflow of resources will be required to settle the obligation.
- The amount has been estimated reliably.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks that are specific to the obligation.

The increase in the provision owing to the passage of time is recognised as accretion expenses within finance charges. Changes in the discount rate are recognised as finance charges, except for asset retirement obligations, which are capitalised to property, plant and equipment.



Link to the Sustainable Development Goals

Sustainable Development Goal 14 is 'Conserve and sustainably use the oceans, seas and marine resources for sustainable development', while Sustainable Development Goal 15 is 'Protect, restore and promote sustainable use of terrestrial ecosystems, sustainably manage forests, combat desertification, and halt and reverse land degradation and halt biodiversity loss' (UN, 2015:14). These require entities to be careful how they use their resources both below water and on land. IAS 37 has an important impact on how financial systems and capital markets can take into account environmental costs when deciding whether to start a project or not. With the costs being capitalised to the asset at initial measurement, management can ensure that only projects that cover rehabilitation costs are undertaken.

However, it does not include income taxes (which are covered in IAS 12, *Income Taxes*), fines and other penalties, liabilities arising from emissions trading schemes and outflows within the scope of other standards.

IFRIC 21 does not address whether the liability to pay a levy gives rise to an **asset** or an **expense**. Entities will need to apply other standards to determine the accounting for the debit (expense or asset). However, a provision (credit) should be recognised in the following circumstances:

- An entity has a present obligation (legal or constructive) as a result of a past event.
- It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation.
- A reliable estimate can be made of the amount of the obligation.

4 Levies

IFRIC 21, *Levies*, provides guidance on when to recognise a liability for a levy imposed by a government, both for levies that are accounted for in accordance with IAS 37 and those where the timing and amount of the levy is certain. Similar to IAS 37, at the time of writing this chapter, IFRIC 21 had not yet been updated to reflect the 2018 *Conceptual Framework*.

IFRIC 21 covers the accounting for **outflows** imposed on entities by governments, government agencies and similar bodies in accordance with laws and/or regulations. Examples of levies that could be in the scope of IFRIC 21 include:

- Non-refundable import duties

- Oil-pollution tax
- Bank levies
- Levies on receipts
- Property taxes.

4.1 Obligating event

IFRIC 21 identifies the obligating event for the recognition of a liability as the activity that triggers the payment of the levy in accordance with the relevant legislation.

Key principle:
What obligating event gives rise to a liability to pay a levy?

The obligating event that gives rise to a liability to pay a levy is the event identified by the legislation that triggers the obligation to pay the levy.

Key principle:
When is a liability to pay a levy recognised?

A liability to pay a levy is recognised when the obligating event occurs. This might arise at a point in time or progressively over time.

Something to think about

Does the continued operation of the business in the future create a constructive obligation?

The fact that an entity is economically compelled to continue operating in a future period or prepares its financial statements under the going concern principle does not create an obligation to pay a levy that will arise from operating in the future.

4.2 Recognition

IFRIC 21 provides the following guidance on recognition of a liability to pay levies: the liability is recognised progressively as and when the obligating event occurs over a period of time. If an obligation is triggered on reaching a minimum threshold, the liability is recognised when that minimum threshold is reached.

The illustrative examples accompanying IFRIC 21 provide examples of how to account for various types of levy. These are briefly summarised in [Table 16.1](#).

Table 16.1 Types of levy and their corresponding obligating events

Type	Obligating event and recognition of the provision
The levy is triggered progressively as the entity generates revenue in the current period.	Generation of revenue (recognise progressively during the current period); at any point in the current period, the entity has a present obligation to pay a levy on revenue generated to date.
The levy is triggered in full as soon as revenue is generated in one period, based on revenues from a previous period.	Generation of revenue in the subsequent period (recognise when the entity first generates revenue in the subsequent period).
The levy is triggered in full if the entity operates as a bank at the end of the reporting period.	Operating as a bank at the end of the reporting period (recognise in full at the end of the reporting period).
The levy is triggered if revenues are above a minimum threshold.	Reaching the minimum threshold (recognise an amount consistent with the obligation at that time – that is, the amount of the liability is based on the revenue generated to date that exceeds the threshold revenue).

5 Contingent liabilities and contingent assets

A provision is a liability of uncertain timing or amount. However, there are times when great levels of uncertainty exist, and it is not appropriate to recognise a liability or a provision. In these circumstances, it may be appropriate to disclose a contingent liability.

Where there is uncertainty relating to the recognition of an asset, it may be necessary to disclose a contingent asset, rather than recognising an asset in the usual way.

5.1 Contingent liabilities

A provision is a liability of uncertain timing and amount. You should only recognise a provision if you are able to estimate the amount and timing of future payments reliably, and if the future payments are probable. If you cannot estimate the amount of the obligation reliably or if payment is not probable, a provision should not be recognised. Instead, you should disclose a **contingent liability** in the notes to the financial statements. A contingent liability is not recognised in the statement of financial position owing to the uncertainties of the timing, amounts or probability of the obligations; it is presented in the notes to the financial statements as additional information to provide more detail about the potential but unrecognised obligations of the entity.



Something to do

Refer to Appendix B of IAS 37, which includes a decision tree summarising the main recognition requirements for provisions and contingent liabilities.

5.1.1 Definition of a contingent liability

A contingent liability can be defined in either of the following ways:

- A present obligation arising from a past event that cannot be recognised for either of the following reasons:
 - It is not probable that an outflow of economic benefits will take place
 - The amount of the outflow cannot be estimated with sufficient reliability
- A liability that is not recognised because its existence will only be confirmed by the occurrence or non-occurrence of one or more **uncertain future events** not wholly within the control of the entity (a possible obligation rather than a probable obligation).

If you have not yet confirmed that an entity has a probable present obligation that could lead to an outflow of resources embodying economic benefits, a provision should not be recognised; this would apply if there is a less than 50% chance that a present obligation exists at the reporting date (in that case, payment is possible, but not probable; **possible obligations** often relate to litigation, where the legal team may be able to give some indication of the probability or possibility of a future payment having to be made). (Refer to IAS 37, paragraph 10, and Section 21.12 of the *IFRS for SMEs* Accounting Standard.)

Key principle: Definition of a contingent liability

A contingent liability is an unrecognised liability where the obligation is possible but not probable, or the definition of a liability has been satisfied at the reporting date, but one or both of the recognition criteria (probability and measurability) have not been satisfied.

Example of a possible obligation

An entity is involved in a legal dispute over the damage caused to the environment. The entity is being sued for an amount of CU1 million by the residents of a local community, as they argue that the nearby river has been contaminated due to environmental damage by the entity.

A present obligation resulting from a past event exists as the water may have been contaminated, possibly due to actions by the entity, which may give rise to the entity having to make a payment. Note that there are a number of potential areas of dispute:

- Was the river contaminated?
- Was it the company's fault?
- Will the company have to pay as a result?

No provision should be recognised if the answer to all these questions is not 'probably yes'. However, at this stage, the outcome of the dispute appears uncertain, and the legal advisors are of the opinion that the ruling is more likely to be for the entity than against the entity (it will probably not have to pay). Therefore, the entity should disclose a contingent liability at its reporting date, giving details of the legal action against it and the uncertain outcome.

Example of a situation where the outflow of economic benefits is not probable

Entity A is acting as guarantor for Entity B's bank overdraft, meaning that if Entity B does not settle its overdraft, Entity A will have an obligation to settle the amount on its behalf. (This frequently happens in a group situation, where the parent entity signs surety to enable a subsidiary entity to borrow money from a bank.)

Provided that Entity B is doing well, it is not probable that Entity A will have to make a payment (or incur any loss). As Entity B has an obligation to settle its own overdraft and appears to have the resources to do so, a provision is not recognised in the financial statements of Entity A.

However, Entity A does have a contingent liability resulting from the present obligation of signing as guarantor. Entity A should disclose a contingent liability because the outflow of economic benefits is possible.

5.1.2 Disclosure of a contingent liability

A contingent liability is **disclosed** in the **notes** of the financial statements unless the possibility of an outflow of economic resources or benefits is remote. The following information needs to be disclosed in the notes to the financial statements relating to a **contingent liability**:

- A brief description of the nature of the contingent liability
- The uncertain factors that could affect the timing or amount of any outflow
- An estimation of the financial effect, preferably before and after taxation
- The possibility of any reimbursements.

If it is impossible to disclose some or any of the information listed above, that fact should be stated.

IAS 37 gives one situation where an entity may be **exempt** from disclosing a contingent liability. That is when the disclosure of the information listed above may seriously jeopardise the entity's position in a dispute with other parties. In this case, the dispute's general nature and the reasons for not disclosing the information should be disclosed.

The uncertainties relating to a contingent liability should be **reviewed at each reporting date**. If, owing to changes in the circumstances, a possible obligation is considered likely to change to a probable obligation at the following reporting date, resulting in the definition and recognition criteria of a provision being met, then a provision should be recognised at the following reporting date.

Where changes in the circumstances cause an obligation previously disclosed as a contingent liability to be recognised as a provision, this change represents a change in estimate. The change should not affect the amounts previously disclosed and should be recorded correctly at the current reporting date.

If the possibility of an outflow of economic benefits is remote, no disclosure is required. The term '**remote**' implies that it is very unlikely that an entity would be required to settle an obligation and that including an obligation under these circumstances would therefore be misleading.

Example of disclosure of contingent liabilities by XYZ Ltd

Notes to the financial statements:	20x9	20x8
	CU'000	CU'000
Contingent liabilities at the statement of financial position date, not recognised in these financial statements, are:	800	720
• Face value of financial guarantee contracts issued in the normal course of business from which it is anticipated that no material liabilities will arise.		

5.2 Contingent assets

In the same way that there may be uncertainties regarding the recognition criteria of a liability, an entity may also have an asset where there is uncertainty regarding whether or how much economic benefit may be received. In many situations, recognising an asset implies that a gain is recognised in the statement of profit or loss and other comprehensive income. Where information is not certain, prudence needs to be exercised. **Prudence** implies that you should not recognise a gain (and therefore the corresponding asset) until you are virtually certain that you will benefit, as that may result in the overstatement of an asset. Therefore, the rules for recognising uncertain assets are different from those for liabilities due to the requirement to exercise prudence.

5.2.1 Definition of a contingent asset

If the receipt of an amount is 'virtually certain', this means the inflow of the economic benefits are almost certain. A contingent asset is an asset that is **not recognised** on the statement of financial position, because the receipt of the amount is **not virtually certain**.

If an asset is not recognised because the receipt is not certain, note disclosure should be given if the receipt is **probable**. A contingent asset should not be referred to at all (in other words, not recognised or disclosed) in the financial statements if the receipt of the payment is not probable. (By contrast, a liability must be recognised if it is probable and note disclosure must be given if possible.)

**Key principle:
Definition of a contingent asset**

A contingent asset is a possible asset that arises from past events and whose existence will only be confirmed by the occurrence or non-occurrence of one or more uncertain future events that are not wholly within the control of the entity.

Example of a contingent asset

If Entity C were suing Entity D and could therefore possibly receive a payment, the accounting treatments described below could apply.

Situation 1: If payment is virtually certain

This would only happen if:

- The court case had been completed before the financial statements were authorised for issue
 - The ruling stated that Entity D had to settle the amount claimed by Entity C
 - Entity D had not been granted the right to appeal
 - Entity D had the resources to make the payment.

In this case, you could be virtually certain that Entity C would receive the amount decided in its favour. Therefore, the definition and recognition criteria of an asset have been met, and you will recognise an asset in the financial statements at the reporting date and the corresponding credit in profit or loss.

Situation 2: Payment is probable, but not virtually certain

Given the same legal case above, Entity C has received reliable legal opinion indicating that it has a better-than-even chance that the ruling will be in its favour.

In this case, receipt of the amount is probable, but you are not virtually certain that Entity C will receive the amount claimed. You need confirmation from the occurrence or non-occurrence of one or more future events that are not wholly within the entity's control, which in this case would be the conclusion from the court.

Here you would disclose the contingent asset in the notes to the financial statements but would recognise neither an asset nor a gain at the reporting date.

Situation 3: It is not probable that the ruling will be in the entity's favour

Given the same legal case above, Entity C has received the legal opinion at the reporting date that the ruling could go either way.

It would be imprudent to raise any asset or disclose any contingent asset. In order to avoid raising false hope, no mention should be made of this situation in the financial statements.

5.2.2 Faithful representation of financial information

The *Conceptual Framework* (the new one as well as the old one) requires that for financial information to be useful, it must be relevant and faithfully represent the information and events it purports to represent. Faithful representation is one of the fundamental qualitative characteristics of financial information, and this quality includes the complete and neutral representation of information that is free from bias. For information to be free from bias, your reflection should not deliberately prioritise conservative estimates of assets and liabilities, as understating assets or overstating liabilities in one period may lead to overstating financial performance in later periods. This treatment cannot be described as neutral and will not result in faithful representation of the information.

Information about the entity's financial performance helps users to understand the return that the entity has produced on its economic resources. This is important, as it provides a better basis for users when assessing the entity's past and future performance, which should not be based solely on the cash receipts and payments during that period. Transactions, events and circumstances that affect the economic resources and claims should therefore be recorded in the **periods in which those events or circumstances occur (accrual accounting)**.

Key principle: Accrual accounting

The underlying assumption of the accrual basis of accounting requires income and expenses, and therefore assets and liabilities, to be recognised in the year in which they occur. If a gain or loss and/or asset or liability is certain, then the amounts must be recognised in the year in which they arise, as the definition and recognition criteria of assets or liabilities have been met.

5.2.3 Disclosure of contingent assets

A contingent asset should only be disclosed in the notes to the financial statements where the inflow of economic benefits is probable. The following information should be disclosed:

- The nature of the contingent asset
- Where practical, an estimate of the financial effect of the contingent asset.

IAS 37 and Section 21 of the *IFRS for SMEs* Accounting Standard emphasise that disclosures of contingent assets should avoid giving misleading indications of the likelihood of income arising.

5.2.4 Changes in circumstances

Uncertainties relating to contingent assets should be **assessed at each reporting date**. Where a receipt is probable, disclosure should be given in the notes; where receipt is virtually certain, the asset should be recognised. Where an item has not previously been disclosed as the receipt of the amount was not probable, but the **circumstances have changed** to the extent that receipt of the amount is now probable, a contingent asset should be disclosed in the current financial statements. Similarly, if an asset has been disclosed as a contingent asset at the prior reporting date and you are now virtually certain that the amount will be received, the asset should be recognised in the current period's statement of financial position. The changed circumstances resulting in an asset being recognised in the current year's financial statements should not affect the disclosure in the prior year's financial statements or the disclosure of prior year amounts as comparative figures in the current year, as it was a change in an estimate.

6 Commitments

Commitments are **future obligations** that exist at each reporting date that will result in the outflow of economic benefits from the entity. Commitments are amounts **payable at a future date** resulting from a contract, an agreement or a commitment to acquire an asset, without a past event. A commitment does not meet the definition of a liability, as there is no past event.

Commitments and **contingent liabilities** are often confused because they are both not recognised on the statement of financial position and are only disclosed in the notes to the financial statements. A contingent liability is an obligation that exists at the reporting date, resulting from a past event, where the timing or the amount is still uncertain, or you cannot determine the probability of payment. On the other hand, a commitment relates to a future event.

6.1 Definition of a commitment

A commitment is a future liability. We often refer to a '**capital commitment**', which is a commitment to buy a capital asset in the future. As commitments have implications for future cash flows, they are disclosable in the notes to the financial statements.

Entities often enter into the following types of commitments:

- Capital asset commitments
- Raw material commitments
- Future expenditure commitments
- Financial commitments.

A **capital asset commitment** is the commitment to buy a non-current asset in the future. This could be a commitment to acquire a large plant being built to the entity's specifications, to which ownership will pass on completion of the project. The entity has signed a contract to approve and confirm the project specifications and has a fixed commitment to pay for the project once it has been completed and ownership passes. The asset and liability will only be recognised once the contract is complete and the risks and rewards of ownership have been passed to the buyer.

Raw material commitments (or **trading commitments**) are agreements where specific inventory items have been ordered in advance to be produced according to the buyer's specifications. For example, an entity has agreed with a supplier to produce a product used in the production process. That product needs to meet the buyer's specifications and will be acquired by the buyer once produced. The seller then has the security of a fixed contract and price, and

the buyer has the security that the product is being produced according to the agreed-upon specifications and qualities.

Future expenditure commitments are payments required at certain future dates in accordance with a contract with a third party. A typical example of future expenditure is a contractual obligation to pay for services to be rendered in the future (for example, outsourced accounting services).

Financial commitments are commitments to buy, sell or exchange financial assets at a future date. A common example in practice is the commitment to buy (or sell) a certain amount of foreign currency at a specified rate on a specified date. This commitment is known as a forward exchange contract. (Many financial transactions involve the option to do something in the future, which is very different from a commitment that must be fulfilled. You will only choose to exercise an option if it is to your advantage to do so.)

6.2 Contracted commitments

Contracted commitments are commitments resulting from a **contract** that the entity has signed with a third party, which stipulates the dates at which certain obligations need to be settled. Typical contractual obligations are contracts signed to order capital items or contractual obligations regarding future expenditure.

6.3 Approved but not yet contracted commitments

In some cases, an entity may have approved future commitments but may still need to sign the relevant contract. This can happen when the board of directors of an entity has already approved the acquisition of a new plant for expansion purposes. Still, the contract specifications have not yet been finalised, and the approval of the contract is subject to a tendering process. The source of the approval is normally the minutes of the directors' meetings approving the capital expenditure prior to the reporting date. These commitments are usually disclosed separately, as they are expected to happen, but that could be changed if circumstances changed, as no contract has been signed yet. Separate disclosure is given of commitments where contracts have not been signed because the risks differ from cases where a contract has already been signed.

Something to think about

Onerous contracts

What happens if an entity is committed to paying rent for the next few years on premises that it no longer needs and is unable to sub-let or can only sub-let at a loss? In this case, the entity has an onerous contract, which is a contract where the unavoidable costs (the present value of future rentals) are less than the future benefits (which are zero or the present value of the amounts receivable from sub-letting). As discussed in Section 3.5 of this chapter, a provision has to be recognised where an entity has entered into an onerous contract.

6.4 Disclosure of commitments

IFRS 18 requires contingencies, unrecognised contractual commitments and other non-financial information to be disclosed in the **notes to the financial statements**. The disclosure of commitments is important to users of financial

statements who wish to predict an entity's future cash flows and related risks. The disclosed commitments indicate the future requirements of the entity to settle its commitments (or the financing required relating to these commitments) as well as the expansion plans of the entity.

Example of disclosure of commitments by XYZ Ltd



These commitments will be financed from available cash resources, funds generated from operations and available borrowing capacity. The items listed represent the future capital commitments already approved by the group at the reporting date.

Note that a user of the financial statements can compare the extent of these commitments with the cash retained from operations, shown in the statement of cash flows, and could then determine whether the group has generated sufficient funds in the current financial year to cover these future capital commitments.

[Figure 16.1](#) shows how you can answer various questions in order to determine whether to recognise an obligation as a provision or a contingent liability or to disclose it as a commitment.

Figure 16.1 A decision tree to determine whether an obligation is recognised as a provision or a contingent liability or disclosed as a commitment



Source: Adapted from a diagram in: International Accounting Standards Board (IASB). (2022). *IAS 37 Provisions, Contingent Liabilities and Contingent Assets*, Appendix B.

7 Government grants

The government often supports entities or businesses by providing grants or other assistance. This is a clear benefit and advantage that an entity receives and usually comprises a transfer of resources such as a monetary resource (cash) or an asset (for example, receiving an import licence free of charge or at a nominal consideration; see [Chapter 12](#), *Intangible assets*). Thus, **government grants** are the actual monetary or non-monetary resources transferred to an entity by a government, in most cases upon fulfilment of some conditions. An entity may also receive **government assistance**, which refers to other actions of the government designed to provide some economic benefit to an entity (for example, free marketing or business advice).

IAS 20, *Accounting for Government Grants and Disclosure of Government Assistance*, describes government grants as transfers of resources by the government to an entity in return for compliance with certain conditions relating to the operating activities of the entity. In order to receive such government assistance, entities need to qualify under certain criteria. A government grant frequently has conditions attached to it (for example, the grant must be used to employ people from the local community). If the entity does not comply with the conditions, the grant must be returned to the government. Therefore, the grant is recognised as a **liability** until the conditions are met, at which stage it can be recognised as income in profit or loss.

The accounting treatment of government grants depends on the purpose of the grant received. An entity can receive a grant for either of the following:

- The acquisition of an asset
- Reimbursement of costs.

7.1 Grants related to assets

If an entity receives a grant for acquisition of an asset or assets, the grant is either presented as deferred income or deducted from the carrying amount of the asset acquired.

7.2 Grants related to income (reimbursement of expenditures)

In this case, you need to differentiate between grants for past costs (already incurred) and grants for current or future costs. If a grant is provided as reimbursement of costs incurred in the past, then it is recognised immediately in profit or loss. If a grant is provided as reimbursement of costs incurred at the present time or to be incurred in the future, then the grant is recognised as a liability until the costs are incurred, at which point it is recognised in profit or loss.

An entity should only recognise a government grant when there is reasonable assurance that the entity will comply with the conditions attached to it and the grant will be received. A government grant with conditions is recognised as a **liability** until the conditions have been met, at which point it is recognised as income in **profit or loss**.

Key points to take from this chapter

- Recognise liabilities or provisions and disclose contingent liabilities as outlined below:
 - When there is a present obligation from a past event where the outflow of economic benefits is probable and the amount is reliably measurable, recognise a liability.
 - When the liability is of uncertain timing or amount, recognise a provision.
 - When there is a potential obligation that will possibly lead to an outflow of resources, when there is a present obligation where an outflow is not probable or when there is a present obligation where the amount is not reliably measurable, disclose a contingent liability.
 - When there is a present obligation or a possible obligation where the likelihood of an outflow of resources is remote, do not recognise a provision or disclose a contingent liability.
 - Recognise assets or disclose contingent assets as outlined below:
 - When there is a potential asset, the existence of which will only be confirmed by the occurrence or non-occurrence of uncertain future events, and the inflow of economic benefits is virtually certain, recognise an asset.

- When there is a potential asset, the existence of which will only be confirmed by the occurrence or non-occurrence of uncertain future events, and the inflow of economic benefits is probable but not virtually certain, disclose a contingent asset.
- When there is a potential asset, the existence of which will only be confirmed by the occurrence or non-occurrence of uncertain future events, and the inflow of economic benefits is not probable, do not recognise an asset and do not disclose a contingent asset.
- Commitments are not recognised as they do not meet the definition and recognition criteria of a liability or a contingent liability. Commitments are disclosed in the notes to financial statements when the entity has contracted and/or approved a future obligation for settlement of amounts at a future date, but has not yet commenced with the contract. This is useful information for predicting future cash flows of the entity.
- Refer to the appendices to IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*, which illustrate the main requirements of the standard.

Discussion questions

1. Define a provision and explain briefly when a provision should be recognised in financial statements. Under which circumstances would you not recognise a provision but rather disclose a contingent liability?
2. A dividend is declared after the reporting date but before the financial statements are authorised for issue. Should the dividend be recognised at the reporting date? Give reasons for your answer.
3. An entity has recognised a provision for an audit fee of CU500 000 for the year-end audit. No material audit work was done prior to the reporting date. Discuss if this provision is in accordance with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*.
4. What is an onerous contract, and when and how would you recognise one?
5. What is a contingent asset, and how should it be disclosed in the annual financial statements?
6. What is a commitment, and how does it differ from a provision and a contingent liability? Give an example of a commitment.

Exercise questions

Question 1

AG Ltd is a mining company that has always been aware of the environmental damage caused by mining. As a result, AG Ltd has previously rehabilitated its mining operations when the process was completed. The reporting date for the entity is 31 December.

On 2 December 20x5, AG Ltd obtained mining rights to start a new mining operation. At 31 December 20x5, it was estimated that it would cost CU12 million to rehabilitate the new mining operation after 25 years of mining.

At 31 December 20x5, the relevant market-related interest rate was 11% per annum. AG Ltd spent CU60 million setting up the mine. The damage to the land that requires rehabilitation (CU12 million) was all done during this process, which was completed on 30 June 20x6, the date AG Ltd started mining operations at the new mine.

You are required to do the following:

Explain how and when AG Ltd should initially recognise the rehabilitation costs, if at all, in its financial statements for the years ended 31 December 20x5 and 20x6.

Question 2

A company announced a restructuring plan in terms of which its factory will be closed and the staff retrenched. Staff retrenchments will cost CU4 million. Retraining some staff and relocating them to another factory will cost another CU500 000.

The land and buildings in which the factory is situated, which have a market value of CU5 million and a carrying amount of CU2.5 million, will be sold. The plant in the factory has a carrying value of CU3.6 million and will be scrapped for an estimated CU1 million.

You are required to do the following:

Prepare the journal entries to record the effects of the restructuring plan that has been announced, assuming that the entity has met the requirements set out in IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*, paragraph 72, for recognising the restructuring. Ignore the time value of money.

References

International Accounting Standards Board (IASB). 2023. *Provisions—Targeted Improvements*. Retrieved from: <https://www.ifrs.org/projects/work-plan/provisions/> [2024, February 18].

South Africa. 1962. *Income Tax Act 58 of 1962*. Retrieved from https://www.gov.za/sites/default/files/gcis_document/201505/act-58-1962s.pdf [2023, November 27].

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

17

Leases

IFRS reference

IFRS 16: *Leases*

IFRS for SMEs Accounting Standard reference

Section 20: *Leases*

Reference to the SAICA circular

Circular 05/2018: *Recognition of Lease Income and Expense on a Basis Other Than the Straight-line Basis Under IFRS 16, Leases*

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Key points to take from this chapter

Discussion questions

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Reference

Learning objectives

By the end of this chapter, you should be able to:

- Identify whether or not a contract contains a lease.
- Recognise and measure the right-of-use asset, the lease liability and the finance costs that arise from lease payments by the lessee.
- Classify a lease as either a finance or an operating lease from the perspective of the lessor.
- Recognise and measure assets, liabilities, income and expenses resulting from lease transactions in the records of the lessor.
 - Recognise and measure the relevant assets, liabilities, income and expenses that arise from sale and leaseback transactions.
- Prepare the relevant note disclosure for lease transactions from the perspectives of both the lessee and the lessor.

Concept summary



1 Introduction

The assets that are used by an entity comprise those assets that have been purchased (where legal ownership of the assets has been transferred to the company) as well as those assets that the entity has leased (in other words, assets that are used by the entity but are not legally owned by it). This chapter addresses the accounting principles for leased assets. The legal form of lease transactions can vary considerably from their economic substance; the accounting treatment for a transaction should always reflect the **economic substance of that transaction**.

A **lease** is an agreement in terms of which the owner of an asset transfers the right to control the use of the asset to another party in exchange for a payment or a series of payments. The legal owner of the asset is known as the ‘**lessor**’, and the entity that has control of the use of the asset is known as the ‘**lessee**’.

A lease

... is an agreement whereby the lessor conveys to the lessee the right to use an asset for an agreed period of time in return for a payment or a series of payments.

Example of the identification of the lessor and the lessee

A restaurant owner needs premises from which to operate her restaurant. She has no capital to buy new premises and decides to lease suitable premises. The legal owners of the premises do not want to sell their premises but are eager to earn income from a third party who is occupying the premises. The two parties (restaurant owner and owners of the premises) sign a lease contract.

In this example, the owners of the premises are the **lessors**, and the restaurant owner is the **lessee**. The owners of the premises are the suppliers, and the restaurant owner is the customer.

The accounting and reporting of leases is dealt with in IFRS 16, *Leases*. IFRS 16 establishes principles for the recognition, measurement, presentation and disclosure of leases, with the objective of ensuring that lessees and lessors provide relevant information that faithfully represents those transactions. The scope of IFRS 16 includes all leases and sub-leases, but excludes leases of certain assets, such as rights held under licensing agreements for items such as films, videos and plays, as well as leases of biological assets. (Refer to IFRS 16, paragraph 3, for the full list of exceptions.)

IFRS 16 replaced IAS 17, *Leases*, as well as the following interpretation standards: IFRIC 4, *Determining Whether an Arrangement Contains a Lease*; SIC-15, *Operating Leases – Incentives*; and SIC-27, *Evaluating the Substance of Transactions Involving the Legal Form of a Lease*. Previously, several long-term lease liabilities – those that related to a lease that was classified as an ‘operating lease’ in accordance with IAS 17 – were not recognised in the statement of financial position of the lessee.

In order to help users have a complete and understandable picture of the leasing activities of an entity, IFRS 16 applies a **lessee accounting model** that requires all leased assets to be recognised according to the right-of-use approach, and also requires that the liability representing the entity’s obligation to make lease payments be recognised. However, IFRS 16 has not changed the essential requirements of the IAS 17 **lessor accounting model**, because this already provided users with the necessary information.

When accounting for a lease transaction, it is important that you **identify whether the reporting entity is a lessee or the lessor**. This is because there are significant differences in the way a lessor and a lessee should account for the same lease.

IFRS for SMEs Accounting Standard application

Section 20 of the *IFRS for SMEs* Accounting Standard, *Leases*, provides guidance on accounting for leases for small and medium-sized entities. Even though the definition of a lease is similar, there are notable differences between Section 20 and IFRS 16. Section 20 does not require lessees to recognise lease liabilities and right-of-use assets for operating leases, and operating lease payments are recognised in profit or loss on a straight-line basis over the lease term.

In the next section, you will learn how to identify a lease by determining whether a contract is a lease or contains a lease. The two sections that follow deal with the accounting for lessees and for lessors separately. This separation is necessary in order to explain the most notable aspects of IFRS 16: that is, **the lessee and lessor accounting models are asymmetrical**. While the IAS 17 distinction between finance leases and operating leases has been retained for lessors, the distinction is no longer relevant for lessees.

Something to think about

In accordance with IFRS 16, lessees are required to recognise an asset and a liability relating to all leases in its statement of financial position (except for short-term leases and leases of low-value assets). Compared to the previous IFRS Accounting Standard on leases, IFRS 16 may have significant implications for the financial reporting of lessees, as it will result in the following:

- An increase in recognised assets and liabilities
- More lease expenses recognised in the early periods
- A shift in lease expense classification from operating expenses to financing costs and amortisation.

Link to the Sustainable Development Goals

Leasing activities can help entities work towards the Sustainable Development Goals. For example, energy-efficient technologies in lease assets can reduce energy consumption, and arrangements that offer solar or wind energy to customers who cannot afford the set-up costs of their own renewable energy systems promote clean energy. This supports Sustainable Development Goal 7, which is 'Ensure access to affordable, reliable, sustainable and modern energy for all' (UN, 2015:14). Furthermore, the leasing of assets with a low-carbon footprint that mitigates greenhouse gas emissions supports Sustainable Development Goal 13, which is 'Take urgent action to combat climate change and its impacts'.

2 Identifying a lease

A contract is a lease when it conveys the right to control the use of an identified asset for an agreed period of time in return for a payment or a series of payments. **Control** is conveyed where the customer has the right to direct the identified asset's use as well as the right to obtain substantially all the associated economic benefits. Thus, the key aspects to look for include the following:

- The asset that is the subject of the lease must be specifically identified
- The contract must convey the right to control the use of that identified asset for a period of time.

A number of aspects of the application of IFRS 16 require the exercise of **judgement**, particularly in identifying a lease and assessing the lease term.

You should consider various aspects when determining whether a contract contains a lease. These aspects are discussed below.

2.1 Is there an identified asset?

The asset that is the subject of the lease must be specifically identified. This is often referred to as the 'underlying asset'. An **asset is usually explicitly specified** in a contract (for example, a specific machine with a particular serial number). Alternatively, an asset may be **implicitly specified** (for example, a specific type of machine that is capable of being used to meet the contract terms). In terms of the lease, the lessee has the right to use the identified asset for a stipulated period, referred to as the 'period of use', which is the total period of time an asset is used to fulfil the contract.

The aspects that provide evidence that a contract contains a lease are discussed below.

2.1.1 Elements of control

The contract conveys the right to control the use of an identified asset for a period of time. Thus the customer should have both of the following throughout the period of use:

- The right to obtain substantially all the economic benefits from the use of the identified asset (in other words, to have exclusive use of the asset throughout the period)
- The right to direct the use of the identified asset (that is, holding, using or sub-leasing).

The lease contract should allow the customer the right to direct how and for what purpose the asset is used. In making this assessment, the focus is on whether the customer has decision-making rights that affect the economic benefits derived from using the asset. For example, when leasing premises, the customer decides when and how the premises are used to operate its business activities effectively.

2.1.2 Protective rights

A contract may include terms and conditions designed to protect the supplier's interest in the asset or other assets, to protect its personnel or to ensure the supplier's compliance with laws or regulations (such as specifying the maximum amount of use of an asset, or limiting where or when the customer may use the asset). For example, the owner of premises that are leased to a customer has the right to stipulate that the premises may not be used for activities that are not suitable, such as an office building that may not be used as a factory because the property zoning rights do not allow for factories in that area.

2.1.3 Separating components of a contract

A contract may contain a lease component and additional non-lease components, such as the lease of an asset and the provision of a maintenance service. For example, a contract for a car may combine a lease with maintenance services.

Other lease contracts may contain two or more lease components. For example, a single contract may include leases of land, buildings and equipment.

As a practical expedient, a lessee may elect, by class of underlying asset, not to separate non-lease components from lease components and instead account for all components as a single lease.

Something to do

Refer to the flowchart in IFRS 16, paragraph B31, which is intended to help you determine whether a contract contains a lease. Look at the illustrative examples accompanying IFRS 16 for more examples relating to the identification of a lease.

Example of determining if the contract is a lease

This is a continuation of the earlier example ('Example of the identification of the lessor and the lessee').

The following terms are stipulated in the lease agreement signed by the restaurant owner for the right to use premises owned by a third party:

- The lessor is responsible for the maintenance and insurance of the premises (building).
- The right to use the premises is for a period of five years, after which period the premises will be 'returned' to the owners.

- The lessee has to pay the lessor monthly payments of CU10 000, payable at the end of each month.
- The lessee determines the interior design, kitchen layout, menu, operating hours and so on of the restaurant. However, the lessee is not allowed to reside on the premises (in other words, she may not live or sleep there for extended periods).
- The lessee is allowed to place the restaurant's logo (signage) on the outside of the building.

Who has the right to control the use of the asset?

The restaurant owner (lessee) has the right to control the use of the premises throughout the five years because she has the right to direct the use of the premises and the potential to receive economic benefits. The restriction that she is not allowed to reside there (in other words, she may not live there or sleep there for extended periods of time) is a protective right of the lessor, as these are commercial premises that are not for domestic use. Within the scope of its right of use, the lessee makes the relevant decisions about how the premises are used as well as how the restaurant operates.

Does this right allow for substantially all the economic benefits from use?

The restaurant owner has the right to obtain substantially all the economic benefits from using the premises, as she has exclusive use of the premises throughout the period. This use (operating as a restaurant) can potentially produce economic benefits for the lessee. The responsibilities of the owners of the premises (for example, maintenance and insurance) do not give them the right to direct how the premises are used.

However, the owners of the premises (the lessors) also receive potential economic benefits from the premises when there is an increase in the building's fair value (or market value). The lessee does not share in this economic benefit, as this is the right of the legal owners.

In conclusion, the contract contains the lease of the premises by the restaurant owner for five years in return for monthly payments of CU10 000.

Something to think about

What is a protective right?

A protective right for the lessor refers to a provision or mechanism that safeguards the lessor's interests in certain situations, particularly those that may pose a risk to the lessor's ability to recover the value of the leased asset or lease payments. For example,

the lessor may stipulate insurance requirements in the lease agreement, such as requiring the lessee to maintain insurance coverage on the leased asset. This helps protect the lessor's interests in the event of damage or loss to the asset.

2.2 What is the period of the lease?

As part of its assessment of the **lease term**, an entity should consider the definition of a contract and determine the period for which the contract is enforceable. The lease term includes any rent-free periods provided for in the contract.

The lease term begins on the **commencement date** of the lease, which is the date the lessor makes the underlying asset available for use by the lessee. This is the date the **lessee** initially recognises and measures right-of-use assets and lease liabilities. This is also the date on which the **lessor** recognises assets held under a finance lease in its statement of financial position.

The lease term

... is the non-cancellable period for which a lessee has the right to use an underlying asset plus the following:

- *Periods covered by an extension option if the exercise of that option by the lessee is reasonably certain*
- *Periods covered by a termination option if the lessee is reasonably certain not to exercise that option.*

(Refer to IFRS 16, Appendix A.)

It is important to distinguish between the commencement date and the **inception date** of a lease. The **inception date** of the lease is the earlier of the date of the lease agreement and the date of commitment by the parties to the principal provisions of the lease. This is the date on which an entity evaluates a contract to determine whether it is a lease or contains a lease. For lessors, it is also the date on which the classification of a lease is determined.

However, although important assessments are made at the inception date, the assets, liabilities, income and expenses resulting from a lease are not recognised in the financial statements or measured until the commencement date.

Example of identifying the inception date and the commencement date of a lease

This is a continuation of the earlier example ('Example of the identification of the lessor and the lessee').

The lease contract was signed on 15 November 20x1. The contract stipulates that the restaurant owner will have access to the premises on 1 January 20x2.

The **inception date** is the date on which the contract was signed (15 November 20x1) and the **commencement date** of the lease is 1 January 20x2.

As noted above, the lease contract conveys the right to control the use of the identified asset to the lessee for a period of time. A **period of time** refers to the time and frequency of using the identified asset (for example, the number of production units that an item of equipment is expected to produce). Furthermore, should the period of the lease be renegotiated and extended, you should determine whether this is a modification of the existing lease or a new lease. (Modifications of leases are discussed in Section 3.5.)

IFRS for SMEs Accounting Standard application

Section 20 of the *IFRS for SMEs* Accounting Standard, *Leases*, requires different accounting treatment by lessees for finance and operating leases.

A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership, while an operating lease does not transfer substantially all the risks and rewards incidental to ownership (Section 20, paragraph 4).

A lessee recognises its rights of use and obligations under a finance lease as assets and liabilities at an amount equal to the fair value of the leased property, or, if lower, the present value of the minimum lease payments determined at the inception of the lease (Section 20, paragraph 9).

A lessee recognises lease payments under an operating lease as an expense over the lease term on a straight-line basis, unless either of the following situations exists (Section 20, paragraph 15):

- Another systematic basis is representative of the time pattern of the user's benefit, even if the payments are not on that basis
- The payments to the lessor are structured to increase in line with expected general inflation to compensate for the lessor's expected inflationary cost increases.

3 Accounting by lessees

From a lessee's perspective, the substance of a lease transaction is that the lessee has acquired the right of use of the asset and will pay for that right to control the use of the asset over the period for which the lease payments are made.

Even though, legally, ownership of the asset is retained by the lessor, the right to control the use of the asset has been transferred to the lessee.

The definition of an asset in the *Conceptual Framework* does not refer to legal ownership of the asset but to **control** of the asset. If the lessee has the right to use the asset for the bulk of its economic life and is essentially paying for the asset at its fair value, the lessee has acquired control of the use of that asset. Acquiring the right to use the asset is the past event, and the potential profits generated by using that asset are the future economic benefits. As the

definition of an asset is satisfied, a fair presentation of relevant financial information would only be achieved if the asset were recognised.

**Key principle:
The accrual basis of accounting**

IFRS 16 requires a lessee to recognise a right-of-use asset and the lease liability at the commencement of the lease. The right-of-use asset represents a present economic resource that is controlled by the entity as a result of a past event (acquiring the right to use the asset in terms of the lease contract), and the right has the potential to produce economic benefits. The lease liability represents a present obligation of the entity to transfer an economic resource (in other words, lease payments) as a result of the past event (the lease contract). This obligation is a duty or responsibility that the entity has no practical ability to avoid. It is appropriate for the lessee to recognise an asset and a liability, as doing so results in relevant information that faithfully represents the substance of the lease transaction and is useful to investors, lenders and other creditors.

ETHICAL DILEMMA

Lessees have the right to use an asset that a third party owns. Lessees should consider these ethical dilemmas in their leasing arrangements:

- **Maintenance and care:** Lessees are responsible for maintaining the asset that they are leasing and reporting any maintenance or repair needs to the owner if needed. Ethical dilemmas can arise when lessees fail to fulfil their obligations, potentially causing damage or safety hazards for themselves or others. Balancing convenience, cost and the duty to care for the asset requires lessees to act responsibly and communicate openly with the lessor.
- **Payment and financial obligations:** Ethical dilemmas can emerge when lessees encounter financial difficulties and struggle to meet payment obligations. Lessees must decide whether to prioritise other essential expenses, potentially compromising their right to use the asset. While it may be tempting to withhold payment or engage in deceptive practices, lessees need to explore alternative solutions, such as communicating with the lessor, seeking financial assistance or negotiating payment plans in an ethical manner.
- **Ethical use of the asset:** Lessees may face ethical dilemmas concerning the use of the asset, for example, engaging in activities that may cause harm, disturbance or illegal actions. Lessees should adhere to lease terms, laws and standards to ensure their actions do not infringe on the rights stipulated in the lease agreement.
- **Environmental responsibility:** Ethical dilemmas may arise for lessees regarding their environmental impact. This can include energy consumption, waste management and

sustainable practices. Lessees can face conflicts between convenience and their ethical responsibility to reduce their ecological footprint. By making conscious choices and adopting environmentally friendly habits, lessees can align their actions with their moral values.

Navigating these ethical dilemmas requires lessees to be aware of their responsibilities, to communicate openly with lessors and to make choices in line with the lease agreement and intended use of the asset.

3.1 Recognition exemptions

A lessee may elect not to apply the recognition requirements of IFRS 16 described above when a contract contains a short-term lease or a low-value asset. A lessee may elect to account for lease payments as an **expense on a straight-line basis over the lease term** or another systematic basis for the following two types of leases:

- Leases with a lease term of 12 months or less and containing no purchase options (this election is made by class of underlying asset)
- Leases where the underlying asset has a low value when new (for example, personal computers or small office furniture items) (this election can be made on a lease-by-lease basis).

These recognition exemptions support the requirement for recognition in the *Conceptual Framework* that relevant information about assets and liabilities be supplied in financial statements. Items of low value and short-term periods may, for example, have a low level of relevance and information value for users of financial statements.

When applying another systematic basis for recognising the lease expense, the pattern of the user's benefit is only affected by factors that impact the physical usage of the underlying asset. Circular 05/2018, *Recognition of Lease Income and Expense on a Basis Other Than the Straight-line Basis under IFRS 16, Leases*, confirms the previous treatment of operating lease payments under IAS 17 (refer to the previous circular, 12/2006) when the lessee has elected the recognition exemption.

Example of applying the recognition exemption to a low-value asset

Entity A has leased certain items of office equipment for five years. The total value of the equipment when new is CU5 000 (determined by Entity A to be 'low value'). Entity A elects to apply for the low-value exemption.

The lease payments are payable as follows: Year 1: CU500; years 2–3: CU1 500 per year; years 4–5: CU1 250 per year.

As Entity A has elected to apply for the low-value exemption, it would not recognise a right-of-use asset but would recognise the lease payments on a straight-line basis over the full lease term.

The total lease payments can be determined as follows:

$$\text{CU500} + (2 \times \text{CU1 500}) + (2 \times \text{CU1 250}) = \text{CU6 000}$$

Spread evenly over the term of the lease: [REDACTED] per year

The journal entry in year 1 should be as follows (similar journal entries will be recorded for years 2–5):

			CU	CU
Dr		Lease expense (P/L)	1 200	
	Cr	Bank		500
	Cr	Lease payable		700

Recognising the lease expense and payable and amount paid

The lease payable is recognised as a current liability in the statement of financial position.

Note that IFRS 16 does not provide an explicit definition for what is meant by ‘low-value’ assets, but the section headed ‘Basis of Conclusions’ states that the IASB had in mind leases of underlying assets with a value, when new, in the order of magnitude of US\$5 000 or less (IFRS 16: BC100).

3.2 How are the right-of-use asset and the lease liability measured?

At the commencement date (in other words, the initial recognition date), the lessee should recognise a **non-current right-of-use asset** and the **lease liability**. You would measure the lease liability first, as follows:

Lease liability = Present value of lease payments + Present value of expected payments at the end of the lease

Once you have determined the initial value of the lease liability, you will then measure the right-of-use asset, as follows:

Right-of-use asset = Lease liability (as determined above) + Initial direct costs + Payments before commencement date + Estimated cost for removing, dismantling or restoring the asset – Lease incentives received

Refer to [Table 17.1](#) for a summary of the accounting model for lessees.

Table 17.1 Lessee accounting model

Initial measurement at the commencement date of the lease	
Right-of-use asset	Lease liability
Right-of-use asset = Lease liability (as determined above) + Initial direct costs + Payments before	Lease liability = Present value of lease payments + Present

commencement date + Estimated cost for removing, dismantling or restoring the asset – Lease incentives received	value of expected payments at the end of the lease
Subsequent measurement (see Section 3.2.4)	
Depreciate the right-of-use asset.	Accrue interest on the outstanding amount of the liability (in other words, using the effective interest rate method).

Once the right-of-use asset and the lease liability have been recognised, the subsequent treatment of these two elements is similar to the accounting treatment of the use of a non-current asset (that is, depreciated over its expected useful life to its residual value, if any) and the outstanding amount of a liability (in other words, accruing interest using the effective interest rate method).

3.2.1 Initial measurement of the lease liability

The **lease liability** is initially measured as the present value of the lease payments plus the present value of the expected payments at the end of the lease. The liability is a present obligation (in terms of the lease agreement) to transfer economic resources (the cash used to pay the lease payments) as a result of a past event (gaining control of the asset in terms of the lease contract), and the entity has no practical ability to avoid this obligation (it has a contractual obligation).

The following **lease payments** are usually unavoidable (depending on the stipulations of the lease agreement):

- All fixed payments
- Variable payments that are based on an index or rate
- Amounts expected to be payable under residual value guarantees
- The price of a purchase option that the lessee is reasonably certain to exercise in terms of the agreement.

Variable lease payments usually depend on one of the following:

- An index (such as a consumer price index)
- A rate (such as a benchmark interest rate)
- Performance (such as percentage of revenue or kilometres driven).

Variable payments **linked to an index or a rate** are included in the initial measurement of the lease liability. They are initially measured using the index or rate at the commencement date.

Variable lease payments that are **linked to performance** are not included in the initial measurement of the liability, as these amounts cannot be measured at the start of the lease. The performance is unknown at that stage, therefore the obligation to pay the variable payment does not exist. Variable payments not included in the initial measurement

of the lease liability are recognised in **profit or loss** in the period in which the event or condition that triggers payment occurs, unless the costs are included in the carrying amount of another asset under another reporting standard.

Example of fixed and variable lease payments

This is a continuation of the earlier example ('Example of the identification of the lessor and the lessee').

The lease agreement signed by the restaurant owner for the right to use premises owned by a third party stipulated several terms, including that the lessee has to pay the lessor monthly payments of CU10 000, payable at the end of each month. These monthly payments are **fixed payments**. The lessee has to make these payments in accordance with the lease agreement, irrespective of whether the restaurant is operating or not.

Assume that the lease agreement stipulated an additional payment based on the restaurant's annual revenue. For example, the lessee must pay an annual amount equal to 2% of the restaurant's revenue in the previous financial year. This payment represents a **variable payment**, which is based on the restaurant's performance over a period. At the lease's commencement date, it is impossible to measure this variable payment accurately. The obligation to pay this amount only arises once the revenue is recognised.

In terms of the lease agreement, the lessee may guarantee that the asset will have a certain value at the end of the lease. This is a guaranteed residual value. Amounts expected to be payable by the lessee under **residual value guarantees** are included in lease payments. The lessee should estimate the amount that it expects to pay to the lessor under a residual value guarantee and include that amount in the measurement of its lease liability. This treatment reflects the fact that the lessee cannot avoid payments resulting from a residual value guarantee; the lessee has an obligation to pay this amount at the end of the lease period.

Similarly, the lease agreement may give the lessee the **option to acquire the asset at the end of the lease period**. When measuring the lease liability at the commencement date, the lessee should consider whether it is reasonably certain to exercise that option (refer to IFRS 16, paragraphs B37–B40 for the factors to consider in this regard). This makes sense, as the lease liability is measured at the present value of the minimum lease payments (that is, payments over the lease term that the lessee is required to make) at the inception of the lease. Thus, once you have identified the amounts that the lessee is obligated to pay and has no practical ability to avoid, you should determine the present value of these payments.

The **present value** of the minimum lease payments is calculated as the sum of the payments that the lessee is required to make (including any amount that the lessee is required to pay at the end of the lease term to assume legal ownership of the asset), discounted back to the inception date of the lease.

The lessee uses the **interest rate implicit in the lease** to discount the payments to its present value, unless the lessee cannot determine the implicit interest rate, in which case it uses its **incremental borrowing rate**.

The interest rate implicit in a lease

... is 'the interest rate that yields a present value of

- (a) the lease payments and (b) the unguaranteed residual value equal to the sum of*
- (i) the fair value of the underlying asset and*
- (ii) any initial direct costs of the lessor' (IFRS 16, Appendix A).*

The lessee's incremental borrowing rate

... is the rate of interest that a lessee would have to pay to borrow the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment over a similar term and with similar security (refer to IFRS 16, Appendix A).

The **implicit interest rate** refers to the discount rate that the lessor usually uses to determine the lease payments in accordance with the agreement, which is the interest rate that equates to the following:

- The present value of the minimum lease payments and any additional payments that the lessee may need to make at the end of the lease term, including unguaranteed residual value
- The sum of the fair value of the underlying asset and any initial direct costs incurred by the lessee.

3.2.2 Initial measurement of the right-of-use asset

The initial measurement of the **right-of-use asset** starts with the initial measurement of the lease liability. It is then adjusted by any lease payments made at or before the commencement date, less any lease incentives received and any initial direct costs incurred by the lessee, as well as an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease. The lessee incurs the related obligation for those costs either at the commencement date or as a consequence of using the asset during a particular period. In other words, the right-of-use asset is initially measured at the present value of several outflows resulting from the lease contract.

The **non-current right-of-use asset** is initially measured at cost. For this purpose, the cost comprises the following (IFRS 16, paragraph 24):

- The amount of the initial measurement of the lease liability
- Any lease payments made at or before the commencement date, less any lease incentives received
- Any initial direct costs incurred by the lessee
- An estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease unless those costs are incurred to produce inventory.

Lease incentives are payments that the lessor makes to the lessee relating to reimbursing costs incurred by the lessee (for example, the lessor pays the lessee for relocation costs or refurbishments). Such payments are offset

against lease payments made by the lessee to the lessor. Any incentives paid to the lessee, even if they are not part of the formal lease agreement, should be offset against lease payments.

The lessee may incur **initial direct costs** relating to the lease (for example, costs incurred in negotiating and securing the lease agreement). Initial direct costs do not include any costs incurred by the lessee relating to the construction or design of the underlying asset. Initial direct costs incurred by the lessee should be included in the initial measurement of the right-of-use asset. This is consistent with the requirement in IAS 16, *Property, Plant and Equipment*, to include all those costs directly attributable to bringing the asset into the condition and location ready for its intended use by the entity (as discussed in [Chapter 10](#)).

Costs to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease should be included in the initial cost of the right-of-use asset. At initial recognition, the lessee estimates the liability for such restoration costs and recognises a **provision**, in accordance with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*. The obligation for these costs is incurred either at the commencement date or as a consequence of using the underlying asset. Any change in the entity's estimate of such costs after initial recognition should be accounted for in accordance with IFRIC 1, *Changes in Existing Decommissioning, Restoration and Similar Liabilities* (as discussed in [Chapter 16](#), *Provisions, contingent liabilities and contingent assets*). This implies that the measurement of right-of-use assets in subsequent periods may change as the cost of the obligation will be added to or deducted from the cost of the right-of-use asset.

3.2.3 Initial recognition at the commencement date

Following the discussion above, the lessee would process the following journal entry to recognise the right-of-use asset and related liability at the commencement of the lease:

Dr		Right-of-use asset (non-current asset)
	Cr	Bank (upfront payments)
	Cr	Bank (initial direct costs)
	Cr	Provision for removal and so on
	Cr	Lease liability

Example of the initial recognition of a lease by a lessee

This is a continuation of the earlier example ('Example of the identification of the lessor and the lessee').

The lease agreement signed by the restaurant owner for the right to use premises owned by a third party stipulated the following terms:

- The right to use the premises is for a period of five years, after which period the premises will be 'returned' to the owners.
- The lessee has to pay the lessor monthly payments of CU10 000, payable at the end of each month.
- The lessee incurred initial direct costs relating to the lease agreement amounting to CU3 631.

- The lessee is not able to determine the interest rate implicit in the lease, but determines that the incremental borrowing rate that it would have to pay to borrow over a similar term for using an asset with a similar value is 6.5% per annum.

What is the initial measurement of the lease liability?

The lease agreement stipulates fixed payments of CU10 000 per month (payable at the end of each month), for a period of five years. This means that the lessee will be required to make 60 payments of CU10 000 over the period of the lease.

The incremental borrowing rate of the lessee is 6.5% per annum. As the lease payments are made on a monthly basis, the effective monthly interest rate is determined at 0.52617% per month.

Thus, the present value of the lease payments = CU513 369.

$[n = 60; i = 0.52617\%; PMT = 10\,000]$

What is the initial measurement of the right-of-use asset?

The lessee would initially measure the right-of-use asset as follows:



The journal entry in the records of the lessee at the commencement of the lease (that is, at initial recognition) is as follows:

			CU	CU
Dr		Right-of-use asset	517 000	
	Cr	Lease liability		513 369
	Cr	Bank (initial direct costs)		3 631

Recognising the right-of-use asset and lease liability at commencement of the lease

3.2.4 Subsequent measurement

The subsequent measurement period refers to financial reporting periods since the commencement of the lease. For example, a lease commenced on 1 March 20x1 and the financial reporting date of the lessee is 30 June 20x1. In this case, 30 June 20x1 is the subsequent reporting date.

This section deals with measuring the right-of-use asset and the lease liability at the subsequent reporting date. The treatment of these two elements is similar to the accounting treatment for the use of a non-current asset (that is, depreciation over its expected useful life to its residual value, if any) and accruing interest on the outstanding amount of the liability (in other words, using the effective interest rate method).

The lessee should recognise and measure the right-of-use asset and the lease liability over the lease term as outlined below.

Right-of-use asset

After the commencement date, the lessee should measure the right-of-use asset using a **cost model**, unless it applies either of the measurement models referred to in IFRS 16, paragraph 29. This means that if the right-of-use asset meets the definition of investment property and the lessee applies the **fair value model** in IAS 40, *Investment Property*, it is also required to apply that fair value model to such right-of-use assets. If the right-of-use asset relates to a class of property, plant and equipment to which the lessee applies the **revaluation model** in IAS 16, *Property, Plant and Equipment*, the lessee may elect to apply that revaluation model to all the right-of-use assets that relate to that class of property, plant and equipment.

Under the **cost model**, the right-of-use asset is measured at **cost less any accumulated depreciation and any accumulated impairment losses**. It is adjusted for any remeasurement of the lease liability. The right-of-use asset is **depreciated** in accordance with the depreciation requirements of IAS 16, subject to the following:

- If the lease transfers ownership of the underlying asset to the lessee at the end of the lease term or if the cost of the right-of-use asset reflects the fact that the lessee will exercise a purchase option, the right-of-use asset should be depreciated from the commencement date to the end of the useful life of the underlying asset.
- Otherwise, the right-of-use asset should be depreciated from the commencement date to the earlier of the end of the useful life of the right-of-use asset and the end of the lease term.

Example of identifying the depreciation period of the right-of-use asset

This is a continuation of the earlier example ('Example of the identification of the lessor and the lessee').

The lease agreement signed by the restaurant owner for the right to use premises owned by a third party stipulated several terms, including that the lessee has to pay the lessor monthly payments of CU10 000, payable at the end of each month, for a period of five years.

The remaining useful life of the underlying asset (the premises) may be 20 or even 25 years. However, the restaurant owner only has the right to use the premises for five years (the period of the lease). Thus, the restaurant owner (lessee) should **depreciate the right-of-use asset over the period of the lease of five years**.

You will recall that [Chapter 10, Property, plant and equipment](#), explained 'useful life' as the period for which the entity can use an asset (or the units of output that are expected to be produced). The lease term is unlikely to be longer than the useful life of the underlying asset. Thus, most of the time, the asset will be depreciated over the lease term, as that is the period during which the entity will derive economic benefits from the asset. However, suppose the lessee will acquire ownership of the asset at the end of the lease period. In that case, the asset should be depreciated over its useful life, as in such situations, economic benefits will be obtained over a longer period than the lease term.

Apart from determining the correct depreciation period, you also need to identify an appropriate **depreciation method** (including separating the asset into its significant components, if appropriate) and residual value (which, by

definition, will only exist if the lessee becomes the legal owner and is therefore entitled to any proceeds from the sale of the asset at the end of its useful life).

The lessee will process the following journal entry at subsequent reporting periods where the right-of-use asset is classified as **property, plant and equipment** or **investment property** and measured in accordance with the **cost model**:

Dr		Depreciation (P/L) ¹
	Cr	Right-of-use asset

Notes

¹ IFRS 16 refers to the 'depreciation' of the right-of-use asset. However, the illustrative examples of IFRS 16 refer to an 'amortisation expense'. Furthermore, the credit is not to accumulated depreciation but to the non-current right-of-use asset.

The lessee will process the following journal entry at subsequent reporting periods where the right-of-use asset is classified as an **investment property** and measured in accordance with the **fair value model**:

Dr		Right-of-use asset (investment property)
	Cr	Fair value adjustment (P/L)

Lease liability

The lease liability is initially measured at the present value of the minimum lease payments. It is not appropriate to recognise the sum of all the lease payments as a liability, as the difference between the present value amount and the total payment is the **financing cost**. The financing cost relates to the period for which the financing is provided.

Since there is no past event until the financing has been provided, there is no liability for this component.



Something to think about

Correct allocation of the depreciation expense relating to the right-of-use asset

The depreciation expense represents a systematic allocation of the depreciable amount of an asset over its useful life. This is also the case for a right-of-use asset, as the cost of using the asset is expensed in profit or loss over the period of the lease. Remember, when the right-of-use asset is used in manufacturing inventory (for example, a machine used in the factory), depreciation is absorbed as a fixed overhead cost when determining the cost of manufactured inventories. (See [Chapter 13, Inventory](#).)

The lease liability should be measured by **increasing** the carrying amount to reflect interest on the lease liability and **reducing** the carrying amount to reflect the lease payments made. Thus, the lease payments should be allocated between the interest component and the capital component. With every payment, a portion of the capital amount is repaid; the interest component (calculated based on the outstanding capital amount) will decrease with each payment, increasing the capital component of each payment.

The interest component should be recognised as a **financing cost** in profit or loss, whereas the capital component should be treated as a reduction of the liability. The interest rate used to calculate the interest component must be the rate used to determine the present value of the minimum lease payments.

The lessee will process the following journal entry to record the interest expense relating to its lease obligation:

Dr		Interest expense (P/L) (Carrying amount of the lease liability × Effective interest rate)
	Cr	Lease liability

Settlement of the lease payments will result in the following journal entry:

Dr		Lease liability (lease payment)
	Cr	Bank

Alternatively, these two journal entries could be combined as follows:

Dr		Interest expense (P/L) (Carrying amount of the lease liability × Effective interest rate)
Dr		Lease liability (difference between lease payment and interest expense: that is, capital amount repaid)
	Cr	Bank (lease payment)

Something to do

The journal entry at the end of the example below is only for the first month. It should be repeated every month when the lease payment is made. The allocation of the payment between interest and the lease liability (repayment of the capital) is usually reflected in a lease repayment schedule.

The lease repayment schedule for this example has been prepared using Excel. Refer to Worked Example 17.1, available on EduZone, for this schedule, with disclosures.

Example of subsequent measurement of a lease by the lessee

This is a continuation of the earlier example ('Example of the identification of the lessor and the lessee').

The restaurant owner initially recognised the right-of-use asset at the commencement date at CU517 000 and the lease liability at CU513 369. The difference between these amounts is the initial direct costs that were paid and included in the initial measurement of the right-of-use asset.

The right-of-use asset is depreciated over the period of the lease (five years) using the straight-line basis, amounting to ■■■■■

The journal entry to record the depreciation expense is as follows:

			CU	CU
Dr		Depreciation (P/L)	103 400	
	Cr	Right-of-use asset		103 400

Recognising the depreciation over the period of the lease

As the lease payments are made every month, the interest is also accrued on a monthly basis, using the effective interest rate method. The interest expense for the first month is determined at CU2 701 ($CU513\,369 \times 0.52617\%$).

The journal entry recorded when the first lease payment was made is as follows:

			CU	CU
Dr		Interest expense (P/L)	2 701	
Dr		Lease liability	7 299	
	Cr	Bank		10 000

Recognising the monthly lease payment and interest expense

3.3 What are the disclosure requirements for lessees?

The disclosure requirements relating to lessees are set out in IFRS 16, paragraphs 52–60. These disclosure requirements aim to provide sufficient information in the notes to the financial statements. Taken together with the information provided in the statement of financial position, statement of profit or loss and statement of cash flows, this note should provide a basis with which users of financial statements can assess the effect that leases have on the financial position, financial performance and cash flows of the lessee.

The lessee should present interest expense on the lease liability separately from the depreciation charge for the right-of-use asset. Interest expense on the lease liability should be classified in the financing category of the statement of profit or loss (see IFRS 18, paragraph 61). A lessee should disclose information about its leases in a single note or a separate section in its financial statements.

[Table 17.2](#) summarises the relevant disclosure of lease transactions in the lessee's financial statements.

Table 17.2 Disclosure in financial statements of lessee

Financial report	Presentation and disclosure
Statement of financial position (and details in notes)	Property, plant and equipment: Right-of-use assets (separately from other assets)

	• Investment property (can include right-of-use assets) • Lease liabilities (separately from other liabilities)
Statement of profit or loss	• Income from sub-leasing right-of-use assets • Finance cost or interest expense (relating to lease liability) • Depreciation expense (relating to right-of-use asset) • Lease expense (relating to short-term leases or leases of low-value assets) • Gains and losses arising from sale and leaseback transactions
Statement of cash flows	• Financing activities: Cash payments for principal portion of lease liability • Financing or operating activities: Interest paid (in other words, cash payments for the interest portion of the lease liability) • Operating activities: Short-term lease payments, payments for leases of low-value assets and variable lease payments
Notes to the financial statements	• Commitments for short-term leases (refer to IFRS 16, paragraph 55) • Investment property (in accordance with IAS 40) • Right-of-use assets at revalued amounts (in accordance with IAS 16) • Lease liabilities: Maturity analysis (in accordance with IFRS 7)

Source: Adapted from International Accounting Standards Board (IASB). 2024. IFRS 16 *Leases*.

The notes detailed in the last row of [Table 17.2](#) and other specified disclosures (refer to IFRS 16, paragraph 53) should be reported in a tabular format unless another format is more appropriate.

Additional qualitative and quantitative information about leasing activities that are necessary to meet the disclosure objective set out above includes the nature of the lessee's leasing activities, future cash outflows to which the lessee is potentially exposed, restrictions or covenants imposed by leases, and sale and leaseback transactions.



Something to do

Refer to the presentation and disclosure of the lease in the financial statements of the restaurant owner (lessee) in Worked Example 17.1 on EduZone.

3.4 What if there are subsequent changes in the lease payments?

As mentioned earlier, several aspects of the application of IFRS 16 require the exercise of **judgement**, particularly when the lease payments are variable to an index or where the lessee has the option to purchase the asset at the end of the period. The initial measurement of the right-of-use asset and the lease liability is based on the best estimates of the circumstances relating to the lease at the inception date of the lease. Subsequent changes in the lease payments require that you reassess the lease liability (refer to IFRS 16, paragraphs 39–43). The **reassessment** of the lease liability after the commencement date may result from changes to any of the following:

- The fixed lease payments
- The lease term
- The rate used to discount the payments
- The index or rate used in determining the variable lease payments
- The assessment of an option to purchase the underlying asset
- The amounts expected to be paid under a residual value guarantee.

According to IFRS 16, a reassessment of the lease liability takes place if the cash flows change based on the **original terms and conditions of the lease**. Changes that were not part of the lease's original terms and conditions would be considered lease modifications (see Section 3.5 below).

Reassessment of variable and optional payments does not have to be carried out at each reporting date. The measurement of inflation-linked payments is only reassessed **when cash payments change**, while the measurement of optional payments is only reassessed on the **occurrence of a significant event that is within the control of the lessee**.

Any change (debit or credit) to the lease liability is an adjustment (credit or debit) to the **right-of-use asset** and, ultimately, subsequent depreciation. Where the adjustment is a reduction in the liability (debit), and the amount (credit) exceeds the carrying amount of the right-of-use asset, the carrying amount of the right-of-use asset is reduced to zero, and the remaining amount is recognised in profit or loss.

Something to do

Refer to IFRS 16, Illustrative Example 14A, for the accounting treatment of a reassessment of the lease liability.

3.5 What if there are modifications to the lease agreement?

The reassessment of a lease should be distinguished from the modification of the lease. A modification of the lease agreement is when there are **changes in its scope, conditions or terms**. Lease modifications are prevalent. For example, a lessee with a struggling business may seek to negotiate lower lease payments or terminate some leases early. Or a lessor may wish to end a lease early so that it can redevelop or redeploy the underlying asset. In some cases, a lease term might be shortened or extended (without that option being included in the original conditions), or the asset leased may change (for example, instead of leasing only two floors of a building, the parties agree to add a third floor).

The accounting for the modification can be complicated and depends on how the lease agreement is modified. IFRS 16 distinguishes between lease modifications that, in substance, represent:

- The creation of a new lease that is separate from the original lease
- A change in the scope of the existing lease or consideration paid.

A modification should be accounted for **as a separate lease** if the modification increases the scope of the lease by adding the right to use one or more additional underlying assets and the change to the payments is commensurate with the stand-alone price for the increased lease (refer to IFRS 16, paragraph 44). However, when the change in payments is not commensurate with the stand-alone price for the increased lease, this is considered a reassessment rather than a modification. In this case, the accounting should remeasure the lease liability and adjust the right-of-use asset, as discussed in Section 3.4.

Something to do

Refer to IFRS 16, Illustrative Examples 15–19, for the accounting treatment of lease modifications.

Something to think about

During the COVID-19 pandemic, lessors were providing lessees with rent concessions. These included rent reductions or, in some cases, rent holidays for an agreed period. In response to this, the IASB added a practical expedient that provided relief for lessees from lease modification accounting for rent concessions provided as a direct result of the COVID-19 pandemic. The practical expedient avoided the need for lessees to assess whether a COVID-19-related rent concession received was a lease modification. It stipulated that the lessee accounted for the rent concession as if the change was not a lease modification. However, there were no changes for lessors.

Modifications may also reduce **the lease** by terminating the lease of part of an asset (for example, a lease agreement that previously stipulated two floors of a building being leased is reduced to cover only one floor of the building). In

this case, part of the right-of-use asset is derecognised, so a gain or loss on the asset's disposal must be accounted for. The lease liability is remeasured (based on the reduced lease payments), and the resulting difference between the remeasured and adjusted lease liability is accounted for as a reassessment. The gain or loss is determined by proportionately reducing both the carrying values of the right-of-use asset and the lease liability, with the net difference recognised in profit and loss.

4 Accounting by lessors

When accounting for leases, lessors are required to **classify** a lease as either a finance lease or an operating lease. As the accounting treatments for finance leases and for operating leases by lessors are very different, the correct classification is essential.

A lease is classified as a **finance lease** if it transfers substantially all the risks and rewards incidental to ownership of an underlying asset. Note that it is not a requirement for legal ownership of the asset to be transferred to the lessee.

However, as the substance of a finance lease is that the risks and rewards of ownership of the asset have been transferred, the lessor will treat the lease as a sale of the asset. Thus, for the lessor, the lease transaction is recognised as a sale transaction where the purchase price is financed over an extended period (in the form of lease payments).

A lease is classified as an **operating lease** if it does not transfer substantially all the risks and rewards of ownership (in other words, leasing transactions that do not give rise to finance leases are accounted for as operating leases).

Refer to [Table 17.3](#) for the lessor's accounting treatment of a lease.

Table 17.3 Lessor accounting model

Classify lease as finance lease or operating lease	
Finance lease	Operating lease
The nature of the arrangement is to finance the acquisition of an asset.	This is a simple short-term hire arrangement.
Accounting treatment	
• Derecognise the underlying asset. • Recognise the net investment in the lease. • Accrue interest on the outstanding amount of the net investment in the lease (using the effective interest rate method).	• Recognise the lease income over the period of the lease. • Depreciate the leased asset.

A lease should be classified as either an operating lease or a finance lease at the **inception** of the lease, where the inception of the lease is the earlier of the date of the lease agreement and the date of commitment by the parties to the agreement. The classification of the lease will only change if the terms of the lease agreement are changed. If circumstances change (for example, if there are changes in the estimated useful life of the asset or the residual value of the asset), this will not give rise to a reclassification of the lease.

4.1 Indicators of a finance lease

The overriding criterion for a lease to be classified as a finance lease is that the risks and rewards of ownership of that asset must have been transferred to the lessee.

If one or more of the following factors apply to the lease agreement, this would normally result in a lease being classified as a finance lease (IFRS 16, paragraph 63):

- The lease transfers ownership of the asset to the lessee at the end of the lease term (which implies that the lessee will ultimately be the legal owner of the asset – and, as stated above, even if this is not the case, the lease could still be classified as a finance lease).
- The lessee has the option to purchase the asset at a bargain price, which is substantially less than the fair value of the asset when the option becomes exercisable (which implies that the lessee will probably purchase the asset and thereby obtain legal ownership).
- The lease term is for the major part of the economic life of the asset even if the title is not transferred (which means that the lessee has the right to use the asset until the end of its life, after which it would probably be scrapped).
- At the inception of the lease period, the present value of the lease payments (referred to as the ‘minimum lease payments’) amounts, at least substantially, to the fair value of the leased asset (which means that the lessee has, in substance, borrowed the purchase price of the asset from the lessor and is repaying the loan over the lease period).
- The leased assets are of such a specialised nature that only the lessee can use them without major modification (therefore, no other user is likely to be found).
- The lessor’s losses associated with the cancellation of the lease are borne by the lessee (because if the lessee is liable for the losses on the lease, this implies that the lessee has assumed the risks of ownership).
- Gains or losses in the fluctuation of the asset’s residual value accrue to the lessee (as the lessee then has the risks and rewards of ownership of that asset).
- The lessee has the right to continue with the lease of the asset for a secondary period at a rent substantially lower than the market rent (because, in all likelihood, the lessee will exercise that right and use the asset for most of its economic life).

Consider all these factors, along with any other relevant factors, when determining whether, on balance, the risks and rewards of ownership of an asset have been transferred. If the answer is ‘yes’, the lease is classified as a finance lease. If the answer is ‘no’, the lease is classified as an operating lease. Remember that all these indicators do not need to be present for classification as a finance lease.

4.2 Lease of property

The **treatment of leased property** (land and buildings) has to be determined by considering the land and building components separately.

Leases of **land** are assessed in the same way as all other leases. As land has an unlimited useful life, it is highly unlikely that a lease agreement relating to land will be classified as a finance lease unless legal ownership of the land is expected to be transferred to the lessee at the end of the lease.

The different methods of accounting for the building component and the land component that constitute leased property imply that the cost of the lease (in other words, the lease payments) must be apportioned between the building and the land at the inception of the lease. This should be done by allocating the lease payments between the building and the land in proportion to the relative **fair values** of the leasehold interest in the property at the inception of the lease agreement. If the lease payments cannot be allocated reliably between the two components, the lease of the entire property is accounted for as a finance lease unless it is clear that the leases of both components are clearly operating leases. In such a case, the lease of the entire property should be accounted for as an operating lease.

Something to think about

Long-term lease of land and building

An entity leases a property comprising a plot of land and an office block built on that land to another party. Given the substance of the arrangement and the terms of the lease, the following is valid:

- The lease of the land element is an operating lease
- The lease of the building element is a finance lease.

The lessor will therefore do the following:

- Classify the land element as an investment property, as it is property held to earn rental under an operating lease (see [Chapter 11](#), *Investment properties*).
- Derecognise the building element, as the risks and rewards associated with ownership have been transferred to the lessee.

ETHICAL DILEMMA

Leasing property may give rise to various ethical dilemmas for the property owners (landlords). Here are a few examples:

- Discrimination in lease application: Landlords may face ethical challenges when deciding whom to rent to. Discrimination against potential tenants based on race, gender, religion or disability is unethical and illegal in many jurisdictions. The dilemma arises when landlords must balance their rights to select tenants with the responsibility to treat all applicants fairly and without prejudice.
- Rent increases and affordable housing: Landlords may be tempted to increase rents significantly in areas with limited affordable housing options, making it difficult for low-income tenants to afford a suitable place to live. This creates an ethical dilemma where landlords must

weigh their desire for financial gain against the potential harm caused to vulnerable individuals or families.

- **Maintenance and repairs:** Landlords have a legal and ethical responsibility to provide tenants with safe and habitable living conditions. However, some landlords may neglect necessary repairs or maintenance, potentially putting tenants' health and safety at risk. This situation presents an ethical dilemma where landlords must balance their financial interests with the well-being of their tenants.
- **Privacy and surveillance:** With the advancement of technology, landlords may be able to monitor tenants through surveillance cameras or other intrusive means. Balancing the need for security and property protection with tenants' right to privacy poses an ethical challenge. Landlords must establish clear guidelines and boundaries to ensure tenant privacy while maintaining a safe living environment.
- **Evictions and tenant rights:** Landlords may consider eviction when tenants fall behind on rent payments or violate lease terms. However, ethical dilemmas may arise when evicting vulnerable tenants, such as families with children, elderly individuals or those facing financial hardships. Landlords must weigh their legal rights and their social responsibility to provide housing stability and support.

Landlords, property managers and policymakers must navigate these ethical dilemmas carefully, promoting fair and responsible leasing practices that prioritise the well-being of tenants and the community.



Link to the Sustainable Development Goals

Sustainable Development Goal 11 is 'Make cities and human settlements inclusive, safe, resilient and sustainable.' Entities engaged in property leasing can enhance their alignment with this goal by offering properties that meet affordable housing needs through fair leasing agreements and which contribute to community development, especially in urban areas where housing affordability is a challenge. In addition, the entities can improve the properties by implementing resource-efficient measures, as discussed in [Chapter 11](#), *Investment properties*.

4.3 Lessor accounting: Finance leases

Section 4.1 highlighted that the substance of a finance lease involves transferring the risks and rewards of ownership of an asset from the lessor to the lessee. The lessor should derecognise the underlying asset and replace it with a receivable asset, referred to as the 'net investment in the lease'.



**Key principle:
Lessor accounting of
a finance lease**

A lessor derecognises the underlying asset held under a finance lease and replaces it with a financial asset, namely a net investment in the lease.

4.3.1 Net investment in the lease

By transferring the risks and rewards associated with the leased asset to the lessee in return for a series of payments in the future, the lessor has effectively replaced one asset (for example, inventory or property, plant and equipment) with another asset: **net investment in the lease** (lease receivable).

The net investment in the lease represents the lessor's exposure and financial involvement in the lease agreement. It is measured at the present value of the expected future receipts from the lessee. The **lease payments** receivable from the lessee included in the measurement of the net investment in the lease comprise the following payments for the right to use the underlying asset during the lease term (refer to IFRS 16, paragraph 70):

- Fixed payments less any lease incentives payable
- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date
- Any residual value guarantees provided to the lessor by the lessee, a party related to the lessee or a third party unrelated to the lessor that is financially capable of discharging the obligations under the guarantee
- The exercise price of a purchase option if the lessee is reasonably certain to exercise that option
- Payments of penalties for terminating the lease if the lease term reflects the lessee exercising an option to terminate the lease.

Initial direct costs should be included in the initial measurement of the investment in the lease and reduce the amount of income recognised over the lease term.

When a finance lease is entered into, the underlying asset is derecognised and removed from the lessor's statement of financial position, as the right to use the underlying asset has been transferred to the lessee. The asset is replaced with a receivable (net investment in the lease), representing the present value of the amounts receivable in terms of the lease agreement.

The lessor records the following transactions at the **commencement date** of the lease:

Dr		Net investment in lease (receivable)
	Cr	Bank (initial direct costs)
	Cr	Property, plant and equipment (cost of asset derecognised)
Dr		Accumulated depreciation/impairment (of asset derecognised)
Dr/Cr		Profit or loss on 'disposal' of asset (P/L)

The **net investment in the lease** is the gross investment in the lease discounted at the interest rate implicit in the lease:

- The **gross investment in the lease** is the sum of all the lease payments receivable plus unguaranteed residual value.
- The **unearned finance income** represents the finance income not yet recognised as income and is determined as the gross investment in the lease less the net investment in the lease. The implicit interest rate is the interest rate that causes the present value of the sum of the lease payments and the unguaranteed residual value to equal the fair value of the leased asset plus any initial direct costs of the lessor.
- Thus, the **net investment in the lease** is the gross investment in the lease less unearned finance income.

When the leased asset is derecognised (for example, a machine previously recognised as an item of property, plant and equipment), the cost of the asset, as well as any accumulated depreciation, is derecognised. This may result in a profit or loss on disposal of the leased asset, recognised in profit or loss.

The lease payments received should be allocated between the interest component and the capital component. The interest component should be recognised as financing income in profit or loss, whereas the capital component should be treated as a reduction of the lease receivable. The interest rate used to calculate the interest component must be the rate used to determine the lease receivable.

In **subsequent reporting periods**, the lessor would amortise the lease payments received between the capital and interest portions by recording the following transaction:

Dr		Bank (lease payment received)
	Cr	Net investment in the lease
	Cr	Finance or interest received (P/L)

As mentioned above, the finance income is determined using the same interest rate used to determine the lease receivable.

At each subsequent reporting date, the lease receivable (the net investment in the lease) included in the statement of financial position will be at amortised cost.

4.3.2 What happens if the lease period differs from the financial period?

If the financial year differed from the lease payment dates, the same general principles would apply, except that the interest income recognised (and the interest expense, in the case of the lessee) should be based on the financial year end and not the lease payment date.

In addition, finance income should be recognised over the period the lessor provides the financing (over the lease period). This is consistent with the **accrual basis of accounting**, which requires transactions to be recognised in the financial period to which they relate. Profit on selling the asset should be recognised in the year in which the risks and rewards of ownership are transferred. Finance income should be recognised in the year the financing is provided because payment is deferred (the lessee is making payments over the lease term). Where the lease payment dates do not coincide with the reporting date, the finance income recognised in profit or loss must be the amount relating to the financial year, not the lease payment dates.

4.3.3 What if the lessor is a manufacturer or a dealer?

Manufacturers or dealers (for example, motor vehicle dealers) often offer customers the choice of either buying or leasing an inventory asset. A finance lease of an inventory asset by a manufacturer or dealer gives rise to profit or loss equivalent to the profit or loss resulting from an outright sale of the underlying asset at normal selling prices, reflecting any applicable value or trade discounts.

At the commencement date, a manufacturer/dealer-lessor recognises **selling profit or loss** in accordance with its policy for outright sales, to which IFRS 15, *Revenue from Contracts with Customers*, applies (refer to IFRS 16, paragraph 71 [c]).

When a manufacturer or dealer offers an artificially low interest rate to attract customers, such a rate results in a lessor recognising an excessive portion of the total income from the transaction at the commencement date, thus, where an artificially low interest rate is quoted, the selling profit should be restricted to that which would apply if a market rate of interest were charged.

When the lessor is a manufacturer or dealer, there will be a sale and cost of sale, resulting in a **selling profit or loss** in addition to finance income. The following journal entries will be necessary relating to the sales revenue and cost of sales expense at the commencement date:

Dr		Net investment in lease
	Cr	Revenue (P/L)

The **revenue** is measured at the fair value of the underlying asset or, if lower, the present value of the lease payments accruing to the lessor.

Dr		Cost of sales (P/L)
	Cr	Inventory

The **cost of sales** is the cost or carrying amount of the underlying asset (inventory item/s) sold less the present value of the unguaranteed residual value (refer to Section 4.3.4).

The difference between the revenue and the cost of sales represents the **selling profit or loss**, in accordance with IFRS 15, *Revenue from Contracts with Customers*, representing an outright sale. The selling profit or loss in the finance lease should be recognised at the commencement date, regardless of whether the lessor transfers the underlying asset as described in IFRS 15.

Any costs incurred in connection with obtaining a finance lease at the commencement date should be expensed. This makes sense, as such costs relate to the manufacturer or dealer earning a selling profit. Thus, costs incurred by a manufacturer/dealer-lessor in connection with obtaining a finance lease are excluded from the definition of initial direct costs and are therefore excluded from the net investment in the lease.

The journal entries for the subsequent reporting periods, allocating the lease payments received between the interest component and the capital component, are similar to those given above.

Something to do

Refer to Worked Example 17.2 on EduZone for the complete example, including the journal entries to record the receipt of the lease payments.

Example of a finance lease when the lessor is a dealer

Assume that Lessor Ltd (a dealer) leased an asset (a machine) to Lessee Ltd. The lease agreement stipulates that the machine is leased for a period of five years in exchange for five annual lease payments of CU69 600, payable in arrears. In addition, Lessee Ltd will pay CU20 000 at the end of year 5 to take ownership of the machine. The fair value of the machine (the underlying asset) is CU250 450. The interest rate implicit in the lease of 13.82% per annum is market-related. This rate discounts the future minimum lease payments of CU69 600 for five years and the guaranteed payment of CU20 000 at the end of year 5 to equal the value of the machine of CU250 450. The machine originally cost Lessor Ltd CU180 000.

The journal entries on a net (direct) basis would be as follows:

			CU	CU
Dr		Lease receivable (net investment in lease)	250 450	
	Cr	Revenue (P/L)		250 450

Recognition of sale

			CU	CU
Dr		Cost of sales (P/L)	180 000	
	Cr	Inventory		180 000

Recognition of related cost of sale

This would result in recognition of the gross profit of CU70 450 (in other words, CU250 450 – CU180 000) in year 1.

4.3.4 What about variable lease payments and residual values?

As described above, the lessee is required to make payments, referred to as '**lease payments**', to the lessor for the right to use an underlying asset during the lease term. Such lease payments can comprise the following:

- Fixed payments less any lease incentives
- Variable lease payments that depend on an index or a rate
- The exercise price of a purchase option if the lessee is reasonably certain to exercise that option
- Payments of penalties for terminating the lease if the lease term reflects the lessee exercising an option to terminate the lease

- Residual value guarantees.

Variable lease payments vary because of changes in facts or circumstances occurring after the commencement date, other than the passage of time. Variability arises if lease payments are linked to **price changes due to changes in a market rate** (for example, lease payments might be adjusted for changes in a benchmark interest rate or a consumer price index). When measuring a lessee's lease liability or a lessor's net investment in the lease, such payments should initially be measured using the index or rate at the commencement date. It makes sense to include lease payments that depend on an index or a rate in the lease payments, as they meet the definition of liabilities for the lessee: they are unavoidable. They do not depend on any future activity of the lessee. The uncertainty relates to the liability's measurement and not the liability's existence.

In other cases, the variability is linked to the lessee's **performance derived from or use of the underlying asset** (for example, a retail property lease may specify that lease payments are based on the specified percentage of sales made from that property). Variable lease payments linked to the future performance or use of an underlying asset are excluded from the measurement of lease liabilities. Such payments are recognised in profit or loss in the period in which the event or condition that triggers those payments occurs.

The **residual value** of an asset is the amount for which the asset could be sold at the end of its useful life if the end of its useful life were now. In the context of leasing transactions, a residual value quoted in a lease agreement represents the expected value of the asset at the end of the lease term. It is either **guaranteed** by the lessee (in other words, the lessee is required to make this payment) or **unguaranteed**, in that the lessor is not assured of receiving this amount.

The lessor includes both guaranteed and unguaranteed residual values when calculating the lease payments receivable. Even though the unguaranteed residual value may never be realised, it is considered when the lease is settled and in calculating the lease payment receivable.

4.4 Lessor accounting: Operating leases

A lessor is required to classify a lease as either an operating lease or a finance lease. The substance of an operating lease is that the lessee is renting the asset for a short period. The lessor recognises the lease rentals received in profit or loss over the period for which the lessee has the right to use the asset. The lease income may form part of revenue if it relates to the usage of an asset by a third party during the entity's ordinary activities.

The leased asset remains the lessor's asset, as the risks and rewards incidental to ownership remain with the lessor. The lessor should continue accounting for the asset as it normally would by depreciating the asset and impairing it if necessary. Because there is no past event transferring the risks and rewards of ownership of the asset, the lessor has no lease receivable. No journal entries are recorded at the inception of the lease, as there is no transaction.

Key principle: Definition of an operating lease

An operating lease is a lease where the risks and rewards of ownership are not transferred from the lessor to the lessee.

The amount recognised in profit or loss (as income) reflects the cost relating to the usage of that asset by the lessee during that financial period. The lease income should generally be recognised on a **straight-line basis** over the lease term unless another systematic basis is more representative of the pattern in which the benefit from using the asset is absorbed. Refer to Circular 05/2018, *Recognition of Lease Income and Expense on a Basis Other Than the Straight-*

line Basis Under IFRS 16, Leases, which confirms the previous treatment of operating lease payments under IAS 17 (refer to the previous circular, 12/2006). The recognition of the amount in profit or loss should reflect the value of the asset usage during the period, irrespective of the cash flows during the period. When the benefit derived from using the asset is the same in each lease period, the straight-line basis is appropriate for recognising the amounts.



ETHICAL DILEMMA

Leasing commercial or residential properties can raise ethical dilemmas related to environmental impact. Landlords may face conflicts when deciding whether to invest in energy-efficient upgrades or sustainable practices, as they balance the financial implications against the long-term environmental benefits. It is essential for landlords, property managers and policymakers to navigate these ethical dilemmas carefully, promoting fair and responsible leasing practices that prioritise the well-being of both tenants and the community at large.

4.4.1 Rentals subject to fixed escalation clauses

Often rental agreements require that the rentals paid by the lessee increase by a fixed amount on, say, the anniversary date of the commencement of the lease. As the lease payments are not made on an equal basis over the lease period, adjustments may need to be made to ensure that the lessor's income reflects the asset's usage and not the payments made. This is done by aggregating the cash flows over the lease term and recognising those cash flows on a **straight-line basis** for each period the lessee has the right to use the asset.

Any amounts accrued for at the reporting date but not settled in cash must be recognised as an asset or a liability.

4.4.2 Contingent rents

Sometimes the lessee may be required to make additional payments to the lessor based on variables such as the turnover derived from using the asset. These are referred to as '**contingent rents**'. As it would be difficult to estimate the additional amounts that need to be paid reliably, recognition of these additional payments on a straight-line basis would not be appropriate. In this instance, recognising the additional payments as an expense (or income) would only be appropriate when the cash flows occur.

4.4.3 Incentives

The lessor may provide the lessee with incentives to enter into the leasing arrangement (for example, an upfront cash payment may be made to the lessee, or the initial period of the lease term may be rent-free or at a reduced amount). These incentives should adjust the amount recognised as income by the lessor over the lease term on a straight-line basis. Effectively, the incentives will reduce the income that the lessor recognises over the lease term.



Something to do

Work through Worked Example 17.3 on EduZone, which includes the journal entries in the records of the lessor.

Example of an operating lease (accounting by the lessor)

Lessee Ltd leases a machine from Lessor Ltd for 24 months. The lease agreement is classified as an operating lease. Since Lessee Ltd is experiencing temporary cash flow problems as a result of its rapid expansion, Lessor Ltd has agreed to the following basis of lease payments per month:

- Months 1–6: CU0 per month
- Months 7–12: CU5 000 per month
- Months 13–18: CU10 000 per month
- Months 19–24: CU25 000 per month.

As there is no indication that the benefits derived from using the asset differ in different months, the straight-line basis of recognition is appropriate. The total lease payments over the 24 months are $(CU5\,000 \times 6) + (CU10\,000 \times 6) + (CU25\,000 \times 6) = CU240\,000$. Therefore, the appropriate income by Lessor Ltd should be **CU10 000 per month**

4.5 Presentation and disclosure by the lessor

The objective of the disclosure requirements for lessors is that the information provided in the statement of financial position, statement of profit or loss and statement of cash flows gives a basis for users of financial statements to assess the effect that leases have on the financial position, financial performance and cash flows of the lessor. The disclosure requirements relating to lessors are set out in IFRS 16, paragraphs 90–97.

The lessor disclosure requirements in IFRS 16 are extensive to enable users of financial statements to evaluate the amount, timing and uncertainty of cash flows arising from a lessor's leasing activities. The lessor should consider whether finance income from leases should be included in the investing category in the statement of profit or loss, or in the operating category. Where the leasing of assets forms part of the main business activities of the entity, it makes sense to include the finance income in the operating category (see IFRS 18).

[Table 17.4](#) summarises the relevant disclosure of finance lease transactions in the lessor's financial statements.

Table 17.4 Disclosure of finance lease by the lessor

Financial report	Presentation and disclosure
Statement of financial position (and details in notes)	• Receivable: Net investment in lease
Statement of profit or loss	• Selling profit or loss • Finance income or interest received (on the net investment

	in the lease) • Income relating to variable lease payments received, not included in the measurement of the net investment in the lease
Statement of cash flows	• Financing activities: Cash receipts for the principal portion of the net investment in the lease • Financing or operating activities: Interest received (that is, cash payments for the interest portion of the net investment in the lease)
Notes to the financial statements	• Quantitative and qualitative information about leasing activities (refer to IFRS 16, paragraphs 93–94), including the following: • The nature of the lessor's leasing activities and how the lessor manages risk associated with any rights it retains in the underlying assets • Significant changes in the carrying amount of the net investment in finance leases A maturity analysis (refer to IFRS 16, paragraph 94)

Source: Adapted from International Accounting Standards Board (IASB). 2024. IFRS 16 *Leases*.

[Table 17.5](#) summarises the relevant disclosure of operating lease transactions in the lessor's financial statements.

Table 17.5 Disclosure of operating lease by the lessor

Financial report	Presentation and disclosure
Statement of financial position	• PPE (in other words, underlying asset recognised at carrying amount in accordance with IAS 16) • Investment property (in accordance with IAS 40) • Intangible assets (in accordance with IAS 38) • Lease receivable or payable (difference between lease income and lease receipt)
Statement of profit or loss	• Lease income (straight-line basis, separately showing income relating to variable lease payments that do not depend on an index or a rate)
Statement of cash flows	• Operating activities: Lease payments received
Notes to the financial statements	• Additional qualitative and quantitative information (refer to IFRS

	16, paragraph 92) • A maturity analysis (refer to IFRS 16, paragraph 97)
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Source: Adapted from International Accounting Standards Board (IASB). 2024. IFRS 16 *Leases*.

5 Sub-leases

A lessee may decide to sub-lease an asset, provided the lease contract allows for sub-leasing. Sub-leasing usually happens when the lessee decides that it no longer requires the use of the underlying asset and that it is feasible to enter into a sub-lease transaction with a third party. This means that the lessee has, in fact, **given up** the right to use the asset and has transferred this right to the third party. The lessee (in the head lease) is now the lessor (in the sub-lease). The lessee, as the lessor in the sub-lease agreement, applies the principles discussed above (that is, it determines whether the sub-lease is a finance lease or an operating lease).

Refer to [Table 17.6](#) for a summary of the accounting treatment for a head lease and sub-lease by the lessee and lessor, respectively.

Something to do

Refer to Worked Example 17.4 on EduZone and Illustrative Examples 20–21 in IFRS 16 for the accounting treatment of sub-leases.

Table 17.6 Head leases and sub-leases

Head lease	
The lessee	The lessor
• Recognises a right-of-use asset and lease liability.	• Classifies the lease as a finance lease or an operating lease.
Sub-lease	
The lessee is now the intermediate lessor.	
• For the sub-lease: It classifies the lease as either a finance lease or an operating lease.	

ETHICAL DILEMMA

Tenants may face ethical dilemmas when deciding whether to sublease (or sublet) their rented property. Subleasing can provide financial relief for tenants, but it may also involve breaching the original lease agreement or causing potential disruptions to the landlord or other tenants. Tenants must consider the ethical implications of subleasing and ensure they follow legal and contractual obligations while respecting the rights and expectations of all parties involved.

6 Sale and leaseback transactions

A **sale and leaseback transaction** involves the sale of an asset and the subsequent leaseback of the same asset. It is often a means of raising finance for the original owner of the asset, who will then receive the proceeds from the sale of the asset, but continue to have the right to use the asset in exchange for lease payments. Because the lease payments and the sale price are usually interdependent as a result of being negotiated as a package, you need to be careful when accounting for the results of a sale and leaseback transaction.

As is always the case in accounting, the **substance** of the transaction needs to be reflected when the transaction is reported. You must consider the nature of the leaseback arrangement (for example, for the lessor, whether it is a finance lease or an operating lease) as well as the overall substance of the sale and leaseback arrangement.

6.1 Where the transfer of an asset is a sale

IFRS 16, *Leases*, does not provide any additional application guidance regarding the determination of whether there is a sale in a sale and leaseback transaction. To determine whether an asset transfer is accounted for as a sale, an entity must apply the requirements of IFRS 15, *Revenue from Contracts with Customers* (refer to [Chapter 22](#)).

If the transfer of an asset by the seller-lessee satisfies the requirement of IFRS 15 to be accounted for as a **sale of the asset**, the accounting treatment should be as follows:

- The seller-lessee should measure the right-of-use asset arising from the leaseback at the proportion of the previous carrying amount of the asset that relates to the right of use retained by the seller-lessee. Accordingly, the seller-lessee should recognise only the amount of any gain or loss that relates to the rights transferred to the buyer-lessor.
- The buyer-lessor should account for the purchase of the asset by applying the applicable IFRS Accounting Standards and for the lease by applying the lessor accounting requirements set out in IFRS 16.

These requirements are summarised in [Table 17.7](#).

Table 17.7 Accounting treatment of sale of an asset and subsequent leaseback of the same asset

Seller-lessee	Buyer-lessor
• Derecognise underlying asset. • Recognise right-of-use asset (portion of previous carrying amount). • Recognise lease liability. • Recognise a gain or loss on the sale of rights transferred.	• Recognise the purchase of the asset. • Apply lessor accounting.

The seller-lessee measures the right-of-use asset at the proportion of the previous carrying amount related to the retained right of use. Accordingly, the seller only recognises the amount of gain or loss related to the rights transferred to the buyer.

The buyer-lessor accounts for the purchase of an asset by applying the applicable IFRS Accounting Standards and the lease by applying the lessor accounting requirements set out in IFRS 16.

6.2 Where the transfer of an asset is not a sale

If the transfer of an asset by the seller-lessee does not satisfy the requirements of IFRS 15 (in other words, it is not a sale), the seller-lessee continues to recognise the asset and recognises the financial liability in accordance with IFRS 9, *Financial Instruments*.

The buyer-lessor should not recognise the transferred asset and should recognise a financial asset equal to the transfer proceeds. The buyer-lessor recognises a financial asset in accordance with IFRS 9, *Financial Instruments*.

Thus, there is no sale in this case. The seller-lessee recognises no sale and the buyer-lessor recognises no purchase. Instead, the seller-lessee and the buyer-lessor are required to account for any amounts received or paid relating to the leaseback as a financial asset or a financial liability by applying IFRS 9. This is because the transaction represents, in essence, a financing arrangement.

Refer to [Table 17.8](#) for the accounting treatment of a sale and leaseback transaction where the transfer of the asset is not a sale.



Something to do

Refer to Worked Example 17.4 on EduZone and Illustrative Examples 20–21 in IFRS 16 for the accounting treatment of sub-leases.

Table 17.8 Accounting treatment where there is no sale of an asset

Seller-lessee	Buyer-lessor
• Continue to recognise the asset. • Recognise the financial liability.	Refer to Worked Example 17.5 on EduZone and Illustrative Example 24 in IFRS 16 for the accounting treatment of a sale and leaseback transaction.

7 Deferred tax implications

As you will have noticed throughout this chapter, leasing focuses on identifying the substance of transactions. What are the deferred tax consequences of lease transactions? We have seen that the entity that controls the asset recognises the asset. Yet, the legal owner of the asset is the entity that claims the permitted deductions for tax purposes. Furthermore, the lessee can usually claim the full lease payment as a deduction (and the lessor is taxed on

the full amount), but this is not usually the same amount expensed in profit or loss. We have also seen that sale transactions may not be sales in substance, so there are many differences between the tax treatment and the accounting treatment of lease transactions. In terms of IAS 12, *Income Taxes*, deferred tax must be recognised for all temporary differences that are not exempt. Accountants need to determine whether any differences between the carrying amounts and tax bases of assets and liabilities are temporary or whether they are, in fact, permanent differences that should be exempt from deferred tax. Refer to [Chapter 18](#), *Income taxes*, for more information on deferred tax.

Something to do

Visit EduZone and refer to Worked Example 17.1 for the deferred tax implications for the lessee and Worked Example 17.4 for the deferred tax implications for the lessor.

Key points to take from this chapter

- The accounting and reporting of leases is dealt with in IFRS 16, *Leases*.
- IFRS 16 establishes principles for the recognition, measurement, presentation and disclosure of leases, to ensure that lessees and lessors provide relevant information that faithfully represents those transactions (also refer to IFRS 18).
- A contract is a lease when it conveys the right to control the use of an identified asset for an agreed period in return for a payment or a series of payments.
- The lessee and the lessor have different guidelines when recognising and measuring leases. When recording a lease transaction, you should first identify whether the entity is the lessee or the lessor.
- At the commencement date of the lease, the lessee recognises a right-of-use asset and a lease liability. The lessee has, in substance, acquired the right of use of the asset and will pay for that right to control the use of the asset over the period for which the lease payments are made. The lessee subsequently depreciates the right-of-use asset with reference to the lease period. The lease liability is amortised over the period of the lease.
- At the commencement date of the lease, the lessor classifies the lease as either a finance lease or an operating lease.
- In the case of a finance lease, the lessor derecognises the underlying asset and replaces it with the net investment in the lease, which is a financial asset.
- In the case of an operating lease, the lease payments are recognised over the period of the lease on a straight-line basis.

- When a lessee subleases an asset to another entity, the lessee is also a lessor of the sub-lease. In this case, you need to follow the same principles as for lessor accounting for the sub-lease transaction.
- Sale and leaseback transactions should be analysed to determine whether the transaction contains a sale:
 - When there is no sale, the transactions are merely financing arrangements.
 - When there is a sale (refer to [Chapter 22](#), *Revenue from contracts with customers*), the seller-lessee derecognises the underlying asset and replaces it with a right-of-use asset.
- Changes in the lease contract should be analysed to determine whether the change is a modification of an existing lease or a new lease.
 - Information relating to leases should be presented in the financial statements in a relevant way that faithfully presents the assets, liabilities, income and expenses relating to these transactions.

Discussion questions

1. What is the conceptual reason that allows an entity to recognise an asset that it does not own as a right-of-use asset on the statement of financial position?
2. Is the lessee required to recognise a lease liability for all lease transactions?
3. In the case of accounting by a lessor, explain what distinguishes an operating lease from a finance lease.
4. Explain whether lease payments subject to fixed escalation clauses always have to be straight-lined.
5. Explain how a lessor accounts for initial direct costs.
6. Explain what is meant by a sale and leaseback transaction.

Exercise questions

Question 1

Entity A (the lessee) enters into a six-year lease contract with Entity B (the lessor) to lease a property. The details of the lease contract are as follows:

- Lease payments: CU50 000 per year over six years, payable at the beginning of each year

- Initial direct costs: CU20 000
- Period of lease: Six years.

Entity A's incremental borrowing rate is 5% per annum, which reflects the fixed rate at which Entity A could borrow an amount similar to the value of the right-of-use asset.

You are required to do the following:

1. Determine the initial amount of the lease liability.
2. Determine the initial amount of the right-of-use asset.
3. Prepare the journal entries on the commencement date of the lease.

Question 2

Assume that Entity C (the lessor) leases an item of machinery to another entity in terms of a finance lease on 1 January 20x7. The lease payments are CU10 000 annually, paid in arrears on 31 December for three years, and the effective interest rate is 15% per annum. The asset has an expected useful life of four years.

You are required to do the following:

1. Show the net investment in the lease (receivable) that will be reflected on the statement of financial position of Entity C at 31 December 20x7.
2. Show the carrying amount of the machine that would be reflected on the statement of financial position of Entity C at 31 December 20x7.
3. Show what would appear in the statement of profit or loss of Entity C for the financial year ended 31 December 20x7, assuming that the lessor is a dealer who has purchased this machine for CU10 000 and that there is no residual value.

Reference

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available

https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

18

Income taxes

IFRS reference

IAS 12: *Income Taxes*

IFRS for SMEs Accounting Standard reference

Section 29: *Income Tax*

South African Financial Guidelines reference

FRG 1: *Substantively Enacted Tax Rates and ax Laws*

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Key points to take from this chapter

Discussion questions

Exercise questions

Reference

Learning objectives

By the end of this chapter, you should be able to:

- Identify and distinguish between income tax and other types of tax.
- Apply the basic principles relating to the calculation of dividends tax.
 - Apply the income tax requirements to a company.
- Distinguish between current income tax and deferred tax.
 - Explain the purpose of recognising deferred tax.

- Apply basic principles for recognising and measuring deferred tax.
- Present and disclose the effects of income taxes in the entity's annual financial statements.

Concept summary



1 Introduction

Taxation represents a major expense for most entities, and the administration of collecting certain taxes adds to the risks and obligations of operating as a business. The South African government department responsible for the administration and collection of taxes is the **South African Revenue Service (SARS)**; it is responsible for enforcing the tax laws and policies prescribed by the National Treasury, which is under the authority of the Minister of Finance.

Entities are required to collect certain taxes on behalf of SARS: **value-added tax (VAT)** and **employee tax (PAYE)**. Employers are also required to collect **unemployment insurance fund (UIF) contributions** on behalf of this fund, and employment contracts may entitle the employer to collect contributions such as **pension fund contributions** and **medical aid fund contributions** on behalf of third parties. Where amounts are deducted from the salary payable to an employee, the entity acts as an agent of the tax authority (for example, SARS) or a third party. Consequently, these payments do not give rise to an expense for the entity.

The IFRS Accounting Standards require an entity to provide detailed summaries of the various taxes charged against the statement of profit or loss and other comprehensive income. The current tax expense of an entity is calculated according to the requirements of the *Income Tax Act, No. 58 of 1962* (referred to as the '*Tax Act*'). The equivalent of accounting profit or loss calculated according to the *Tax Act* is known as '**taxable income**'. The taxable income can either be calculated by adjusting accounting profit for the differences between the IFRS Accounting Standards and the *Tax Act* or by calculating the gross income and allowable deductions to work out the taxable income. Tax is then levied at the appropriate tax rate, currently at 27%, on the entity's taxable income.

In some cases, equivalent deductions are allowed for accounting and tax purposes, but in different financial years. In terms of the accrual basis, expenses (including taxation) should be recognised in the year to which they relate and should be matched against profits. The current tax expense should include all the tax implications relating to amounts recognised in profit. Where the tax implications arise in different financial years, an adjustment is made in the form of **deferred tax**, which is dealt with later in this chapter.

2 The obligation to pay tax

The obligation to pay tax is placed on an entity by the government and is enforced and administered by the tax authority, SARS. Income tax and capital gains tax are taxes levied on entities in terms of the *Tax Act*. At the end of its reporting period, an entity has an **obligation to pay SARS** the amounts relating to income tax for that year.

An entity can reasonably estimate its tax obligation at the reporting date once the results for the year are known because the tax obligation is calculated based on these results. The amount calculated as the tax obligation will be based on estimates, as the entity will be uncertain of the exact amount of taxation payable until the amount is confirmed by SARS. However, as the obligation exists at the reporting date, a **provision for taxation payable** should be recognised as a liability at the reporting date. The corresponding taxation expense should be included in the statement of profit or loss and other comprehensive income.

Where an entity has recognised a transaction in the current reporting period in terms of the IFRS Accounting Standards, but the results of the transaction will only be taxable (or deductible) for tax purposes in a future reporting year, the entity has to recognise the consequent tax obligation at the same time as the underlying transaction is recognised in the statement of profit or loss and other comprehensive income. Items recognised in the statement of profit or loss and other comprehensive income that are not yet taxable (or tax-deductible) will give rise to an obligation to pay tax at a future date (or a deduction from the tax obligation at a future date). As the timing and amount of the obligation are uncertain, the entity should recognise a **deferred tax liability** for the probable tax payable (see Section 5).

ETHICAL DILEMMA

A company may face an ethical dilemma when engaging in tax planning activities with the aim to reduce its current tax liabilities. While tax planning is legitimate, an ethical dilemma arises when a company pushes the boundaries of tax laws or exploits loopholes solely to minimise its tax obligations without considering the broader societal impact. Striking a balance between optimising tax efficiency and fulfilling ethical responsibilities can be challenging.

Link to the Sustainable Development Goals

The payment of taxes by citizens of a country provides funding for governments to operate and provide services. This funding has a direct impact on their ability to work towards achieving all of the Sustainable Development Goals. For example, state funding allows millions of school-age children to attend school at no-fee paying schools. This promotes Sustainable Development Goal 4, which is 'Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all' (UN, 2015:14). Without the payment of taxes, the state would not be able to provide this service, and many others.

3 Direct taxes

Income tax is a **direct tax** that is levied on all registered taxpayers. The South African government collects direct taxes according to the type of tax levied. A company or other registered business that is a separate legal entity is regarded as a taxpayer in its own right. As a result, it has to register as a tax-paying entity. A direct tax is borne entirely by the entity that pays it and cannot be passed on to another entity. Income tax is an example of a direct tax.

The income tax levied on entities in South Africa is termed '**South African normal tax**' (or 'SA normal tax') and is levied on the entity's **taxable income**. (An entity's taxable income often differs from its accounting profit or loss before tax.) Normal tax includes capital gains tax.

3.1 Current tax

Currently, income tax is levied by SARS at the prescribed flat rate of 27% on the entity's **taxable income**. Every year, an entity must submit an income tax return (Form IT14) that includes a calculation of its taxable income to SARS. The tax return includes information from the annual financial statements and any other detailed information requested by SARS.

After reviewing the income tax return submitted by the entity, SARS issues a **tax assessment form**, which is a confirmation of the actual taxable amount and the tax payable for the period. Until a tax assessment form has been received, the entity is not certain of the amount of tax to be paid and is only able to make a reliable **estimate** of the tax payable. Owing to the uncertainty regarding the amount of tax payable, a provision should be raised for the tax liability until the amount is confirmed by SARS.

The returns are submitted electronically online using a system called e-filing. The assessment of these returns is automated, enabling entities and individuals to receive their tax assessments shortly after submitting their returns.

Financial statements should be prepared to comply with the requirements of the *Companies Act, No. 71 of 2008*, and the **IFRS Accounting Standards**. The tax treatment of a specific expense may not be the same as the accounting treatment, resulting in differences in the amounts of accounting profit or loss for the period when compared to the taxable income for the same period. Income tax is payable on the computed taxable income for the period. The current tax expense should be recognised as an expense in the profit or loss, unless the tax relates to an item recognised in other comprehensive income or directly in equity. In that case, the current tax expense should be recognised in other comprehensive income or directly in equity respectively.

3.1.1 Calculating current tax

In general, the **taxable income** of an entity is calculated by starting with the gross income and then subtracting exempt income and any deductions to which the entity is entitled. Most expenses an entity incurred are deductible for income tax purposes. If an entity recovers or recoups an amount that was previously allowed as a deduction in any way, the amount recovered should be added to its taxable income.

$$\text{Income} = \text{Gross income} - \text{Exempt income}$$

$$\text{Taxable income} = \text{Income} - \text{Deductions} + \text{Recoupments}$$

Differences between an entity's accounting profit or loss and its taxable income result from certain items that are treated differently in terms of the IFRS Accounting Standards and the *Tax Act*. Examples of differences of this nature include the following:

- The entity's accounting depreciation expense may differ from the tax depreciation (capital allowances) allowed by the *Tax Act*.
- Certain expenses may not be allowed as deductions for tax purposes (for example, traffic fines, donations and the impairment or amortisation of goodwill).
- Certain expenses may be allowed for tax purposes and yet may not be included as an expense in determining accounting profit (for example, pre-payments).
- Certain kinds of income (for example, most dividends received) are excluded from taxable income, as they are exempt.
- Certain special allowances are given for tax purposes (for example, export allowances).

[Table 18.1](#) lists items treated differently in profit or loss, compared to the taxable income.

Table 18.1 Items with differing tax and accounting treatments

Item	Included in profit or loss	Included in taxable income
Depreciation	■	■
Wear and tear allowance	■	■

Traffic fines		
Goodwill impairment		
Pre-paid expenses		
Dividends received		

Refer to the example that follows for an illustration of how to calculate the income tax for an entity.

Example of how to calculate the income tax for an entity



As an alternative, the same calculation can be made by starting with the profit before taxation as per the statement of profit or loss, and deducting the income not taxable and additional tax allowances, and then adding back the expenses that are not deductible.



In this example, the entity's profit for the year as disclosed in the statement of profit or loss and other comprehensive income amounted to CU120 000. However, as some of the income received during the year is exempt from income tax (the dividends), as additional tax allowances were granted relating to the machinery, and as expenses were incurred that were not deductible for income tax purposes, the taxable income for the entity amounted to only CU73 180. The current tax expense to be recognised in profit or loss is calculated as taxable income multiplied by the corporate tax rate of 27%, which amounts to CU19 759.

3.1.2 Tax losses

In some instances, the entity may have greater tax deductions (expenses) than gross income, in which case the entity will have a tax loss for the year. No current taxation is payable when an entity has a tax loss for the year. The tax authority (SARS) usually confirms the entity's calculation of the loss by issuing an assessment. After being confirmed by SARS, it is called an '**assessed loss**'. SARS does not refund the entity for the assessed loss but allows it to carry the assessed loss forward to future years and to offset it against taxable income (when it arises in those future years), at which point tax is only payable on the net amount.

The amount of the tax loss carried forward to offset the entity's taxable income in future years is **disclosed in a note** to the annual financial statements in which the amount of the tax loss and its taxation effects are disclosed (see Section 7). The distinction between an estimated tax loss and an assessed loss is important when these amounts are disclosed in the annual financial statements, as it gives users some certainty about the accuracy of the calculation and the potential impact on the future cash flows of the entity.

3.1.3 The period of assessment

An entity's year of assessment coincides with its financial year so if an entity prepares financial statements for the year ended 30 June each year, its **year of assessment for income tax purposes** will run from 1 July to 30 June of the following year. For example, when an entity has a year end of 30 June, the information presented below (see [Table 18.2](#)) is relevant to understanding the tax periods.

Table 18.2 Tax year periods

Year	Tax year	Period covered
Last year	20x7	1 July 20x6 to 30 June 20x7
This year	20x8	1 July 20x7 to 30 June 20x8
Next year	20x9	1 July 20x8 to 30 June 20x9

3.1.4 Provisional tax payments

The total tax liability of an entity for a reporting period can only be determined once the taxable income or computed loss for the period is known (in other words, after the entity's financial year end).

Preparing an income tax return (Form IT14) and the subsequent issue of a tax assessment form often occurs months after the reporting date. The delay negatively impacts SARS and therefore every entity is required to make at least two advance payments in respect of the entity's estimated tax liability for the reporting period. These progress payments are known as '**provisional tax payments**'.

Entities must make their **first provisional payment** within six months of the first day of their financial year and their second payment on or before the last day of their financial year. They may also make **further voluntary payments** of provisional tax on or before a date six months after the end of the financial year (seven months if the entity's year end is 28 February) in order to avoid the payment of interest.

Assuming that the tax year ended on 30 June 20x5, an entity would make the provisional tax payments set out in [Table 18.3](#) in respect of each tax year.

Table 18.3 Provisional tax payments

Payment	Payable	Date	Amount
First provisional tax payment, called '1st 20x5'	Six months after the start of the tax year	31 December 20x4	Based on estimated taxable income for the year, subject to a minimum of half of previous assessed amount
Second provisional tax payment, called '2nd 20x5'	At year end	30 June 20x5	Based on estimated taxable income for the year
Third provisional tax payment, called '3rd 20x5'	Usually six months after the end of the tax year	31 December 20x5	'Topping up' payments to settle full tax liability

Provisional tax payments are recorded when they are paid by recognising the amount paid to SARS as an asset and crediting the bank with the payment. Provisional tax payments are cash payments in advance. The amounts paid in advance either represent an asset that the tax authority will repay if the payment is in excess of the assessed taxable

income or a payment for a future expense to be matched with future income when recognised. The result of this entry is that an asset is recognised when the provisional tax payments are made during the financial year.

3.1.5 Recording the direct tax expense

The final amount estimated as income tax payable for the reporting year gives rise to the **liability** to SARS and should be recognised as a **current tax expense** in profit or loss (P/L). When the final tax payable (the liability) is calculated at the reporting date, the income tax payable for the year should be recognised as a liability (credited to SARS's account), and the current tax expense account should be debited.

The general ledger account that follows is an example of the account for the liability to SARS. If the balance on SARS's account is a credit (a liability, as illustrated below), taxes have been underpaid. This implies that the estimated current tax expense was more than the provisional payments made, and the balance is due as the third provisional payment. If the balance on SARS's account is a debit (an asset), taxes have been overpaid. This implies that the provisional tax payments were in excess of the estimated tax expense for the year. The asset should be recognised separately, as it represents future benefits that will flow to the entity, either in the form of a refund by SARS or by offsetting the overpayment against future taxes payable (with the permission of SARS).



As outlined in Section 3.1, SARS makes a final assessment of the tax payable by an entity after reviewing and evaluating the income tax return submitted by that entity and issues a **tax assessment form**. This indicates to the entity the calculations and adjustments made by SARS in determining the taxable income, and reflects the tax payable. The amount owing to SARS is the tax payable minus any provisional tax payments plus the interest and penalties due.

Where the final tax assessment differs from that calculated by the entity, the entity needs to adjust its previous estimated amount of tax payable and then record the confirmed tax payable. This difference is as a result of a **changed estimate** (as defined in IAS 8), and adjustments should be recorded in the current reporting year (the year in which the estimate changes). Adjustments to the tax expense are recorded as an **over- or underprovision** of the tax liability in prior years, made in the current reporting period. The comparative figures should not be adjusted as a result of this change in estimate. (See [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*.)

Example of recording tax expenses

An entity made the following provisional tax payments during its current financial year, which ended on 31 December 20x5:

- At 30 June 20x5: CU23 000
- At 31 December 20x5: CU30 000.

The balance due to SARS at the beginning of this financial year was zero, resulting in a debit balance on SARS's account after these payments of $\text{CU23 000} + \text{CU30 000} = \text{CU53 000}$.

On finalisation of the profit or loss for the year, the taxable income was estimated at CU200 000, resulting in the following journal entry at 31 December 20x5, assuming a tax rate of 27%:

		CU	CU
Dr	Tax expense (P/L) (27% × CU200 000)	54 000	
	Cr Taxation payable (SARS)		54 000

Recording of tax expense and liability for the reporting period

The amount of CU54 000 should be recognised as the current tax expense in profit or loss for the year ended 31 December 20x5. The balance recognised as a SARS liability in the statement of financial position amounted to CU54 000 – CU53 000 = CU1 000.

The entity completed and submitted its income tax return for its 31 December 20x5 financial year end and received the tax assessment during October 20x6. The assessment showed a taxable income for the 20x5 tax year of CU210 000 and a final amount of tax payable of CU4 150. This implies that a further amount of CU3 700 is due to SARS in respect of the income tax for the 20x5 financial year as well as an interest amount of CU450. The additional amount of CU3 700 that is due to SARS consists of an underpayment of CU1 000 (the liability due to SARS at 31 December) and an underprovision of the current tax expense of $(\text{CU}210\,000 - 200\,000) \times 27\% = \text{CU}2\,700$.

The amount payable of CU4 150 was calculated as follows:



The final payment to the tax authority (SARS) in November 20x6 should be recorded as follows:

		CU	CU
Dr	Tax expense (P/L) (underprovision of tax in 20x5)	2 700	
Dr	Interest expense (P/L)	450	
Dr	Tax payable (SARS)	1 000	
	Cr Bank		4 150

Recording of final payment to tax authority relating to prior year tax, now assessed

The underprovision of current tax of CU2 700 relating to the 20x5 financial year should be recognised in the 20x6 profit or loss as an adjustment to the current tax expense in the current year, as it represents a change in an estimate. The interest expense of CU450 should be recognised in the current year's profit or loss as part of finance costs. SARS's account in the general ledger would be as follows:



3.1.6 Note on taxation not provided for

Where an entity estimates a **computed tax loss** for the reporting year resulting from a reliable estimate that no tax is payable for the year, no tax liability exists at the reporting date, and no current tax expense should be recorded. The fact that the entity has an **estimated taxable loss** should be disclosed in the taxation note to the financial statements, together with the estimated tax effect of any assessed losses available for offset against future profits.

3.2 Capital gains tax

Capital gains tax is not a separate tax but rather the inclusion of a portion of capital gains in the calculation of income tax.

Capital gains tax (CGT) was first introduced in South Africa with effect from 1 October 2001. From this date, the owner of an asset became liable for tax on the capital gain when a capital asset is sold. Capital gains are taxed at different rates, depending on the legal status of the taxpayer. Currently, corporate tax entities in South Africa have a capital gains inclusive rate of 80%, which means that 80% of the aggregate capital gain is included in the taxable income. Thus, corporate entities pay **capital gains tax** at an **effective rate of 21.6%**, resulting from the 80% inclusion rate taxed at a statutory income tax rate of 27% ($80\% \times 27\% = 21.6\%$).

Capital gains tax is calculated when the asset is sold. The **capital gain**, which is the difference between the proceeds from the disposal and the base cost of the asset, is included in the taxable income. The base cost of the asset is generally the expenditure actually incurred when the asset was acquired, together with expenditure directly related to its improvement, the direct costs in respect of its acquisition and disposal, and certain holding costs:

$$\text{Capital gain} = \text{Proceeds from the disposal} - \text{Base cost of the asset}$$

The base cost of assets held **prior to 1 October 2001** should be determined separately because only gains relating to the period since 1 October 2001 are subject to capital gains tax.

Once the asset is disposed of, the amount that is received by or accrues to the asset's seller constitutes the **proceeds** from the disposal. An entity must add the capital gains and losses on individual assets together and apply the inclusion rate of 80% to arrive at the taxable capital gain. Assessed capital losses from prior years may be deducted to arrive at the **net capital gain or loss** for the current period. Capital losses may not be offset against normal taxable income, which means that capital losses are only offset against capital gains.

Capital gains tax is included in the current income tax payable by an entity. The liability for capital gains tax should be included in the tax payable to SARS at the reporting date. Capital gains tax incurred during the reporting year should be included in the current tax expense recognised in the profit or loss unless it relates to items recognised in other comprehensive income or directly in equity. In that case, the tax should be recognised in other comprehensive income or directly in equity.

Example of determining and recognising capital gains tax

An entity has disposed of some of its capital assets during the current financial year, realising a capital gain or loss on these assets as follows:



The entity has an assessed capital loss of CU20 000 from the previous year and a taxable income of CU200 000 for the current year. An assessed capital loss may only be deducted from capital gains and added to capital losses; it may not reduce ordinary taxable income.

The tax payable by the entity for the current year is calculated as follows:



As only 80% of the net capital gain is included in the taxable income, an effective rate of 21.6% is payable on the net capital gain.

4 Indirect taxes

Indirect taxes, sometimes referred to as ‘withholding taxes’, are taxes charged by the tax authority on a transaction that is ultimately paid for by another person. The entity that collects the tax will then remit it to the government. Thus, it is a tax collected on behalf of the tax authority and then paid to that authority within a specific period. There are several types of indirect taxes. The indirect taxes discussed in this chapter include value-added tax, dividends tax and employee tax.



Something to watch

Watch the Learn Accounting video
Value-Added Tax.



Note that this video refers to a VAT rate of 14%, but the same principles apply irrespective of the VAT rate.

4.1 Value-added tax

Value-added tax (VAT) is an **indirect tax** charged on the supply of goods and services.

In South Africa, there are currently three types of VAT supplies:

- Standard-rated supplies, being the supply of goods and services at the applicable VAT rate (currently 15%)
- Exempt supplies, being the supply of certain services not subject to VAT (entities making exempt supplies are not entitled to claim input VAT)

- Zero-rated supplies, being the supply of certain goods and services subject to VAT at zero per cent (0%).

All businesses with taxable supplies (sales or service income) of more than R1 million per annum must register with SARS as a **VAT vendor**, and **businesses with a turnover of more than R50 000 may register voluntarily**. This means that entities that are registered as vendors have to charge VAT at 15% on the goods that they sell and the services that they render. This amount is included in the sales price charged to the customer.

VAT paid on purchases by a non-VAT vendor should be recognised as part of the related expense. For example, when a small entity that is not a VAT vendor purchases inventory costing CU2 500 and VAT is charged on the purchase price, resulting in a total amount of CU2 875 payable for the inventory, the non-VAT vendor cannot claim the VAT paid from SARS. The inventory should be recognised at CU2 875, which is the cost price to the entity and which includes the non-claimable VAT.

			CU	CU
Dr		Purchases or inventory	2 875	
	Cr	Accounts payable		2 875

Recording of inventory purchased from supplier

In the case of a VAT vendor, the VAT element of CU2 875 ×  = CU375 represents input VAT that can be claimed from SARS.

This is offset against the output VAT payable on sales and is not a cost to the entity.

			CU	CU
Dr		Purchases or inventory	2 500	
Dr		Input VAT receivable	375	
	Cr	Accounts payable		2 875

Recording of inventory purchased from supplier, including VAT

A vendor acts as a **collecting agent** for SARS by collecting VAT from customers (output VAT on sales) and paying it over to SARS. However, an entity is allowed to claim VAT (input VAT) charged on purchase invoices and deduct it from the VAT collected from customers. In effect, a VAT vendor nets the two VAT amounts off and only has to pay the difference.

Output VAT – Input VAT = Amount to be paid over to or to be refunded by tax authority

Entities have to apply the invoice basis for VAT (in comparison to the cash basis used by sole proprietors in certain cases). The **invoice basis** requires output VAT to be charged on goods sold to customers when invoiced. Input VAT is claimed when a tax invoice from suppliers is received, resulting in a situation where an entity may have to pay VAT at the end of the VAT period (normally every two months) without yet having received some of the cash from the customers. Significant VAT amounts that are due but not yet received from customers may put short-term strain on the entity's cash flow. If such a customer is then unable to pay its debt, the entity is subsequently allowed to deduct the VAT paid to SARS relating to this customer's debt (this is termed a 'bad debt claim').

For accounting purposes, where an entity is a VAT vendor, you should remember the following:

- Revenue excludes amounts collected on behalf of SARS, therefore revenue excludes VAT (output VAT).
- Purchases or expenses are recorded net of VAT (input VAT) and the input VAT is offset against the output VAT.
- Debtors and creditors are recorded inclusive of VAT, as this is the total amount receivable from customers or payable to suppliers (in other words, the cash received from customers includes the VAT-related element).
- The net amount of VAT due to SARS is recognised as either a liability (when output VAT is greater than input VAT) or an asset (when input VAT is greater than output VAT).

These principles are illustrated by the journal entries that follow.

			CU	CU
Dr		Accounts receivable	1 380	
	Cr	Sales (P/L)		1 200
	Cr	Output VAT payable		180

Recognition of the sale of goods where VAT is charged

			CU	CU
Dr		Purchases/expense (P/L)	500	
Dr		Input VAT receivable	75	
	Cr	Accounts payable		575

Recognition of the purchase of inventory where VAT is charged

			CU	CU
Dr		Output VAT payable	180	
	Cr	Input VAT receivable		75
	Cr	Bank (net VAT paid to SARS)		105

Payment of net VAT at the end of the period

In the journal entry above, the balances on the input VAT and output VAT accounts are netted off, and only the net amount (CU105) is payable to SARS.

Compliance with VAT requirements does not affect the accounting treatment of a transaction. For accounting purposes, you must refer to the **substance of the transaction** rather than when the cash was received or legal ownership passed. The following points illustrate the VAT treatment of certain revenue transactions, which may be different from the accounting treatment:

- In the case of a **sale of fixed property**, VAT is accounted for to the extent that payment of the purchase price is received.
- In the case of a **rental agreement**, or where goods or services are supplied under an agreement that provides for **periodic payment**, the VAT is accounted for at the earlier date on which payment becomes due and the date on which payment is received.
- In the case of a **suspensive sale agreement** or an **instalment credit agreement**, VAT is accounted for on the full cash sale amount at the earlier of the delivery date and the first payment date.
- In the case of **lay-by sales**, VAT is accounted for when the goods are delivered, or, in the case of a cancelled sale, when the agreement is cancelled. (Where the agreement is cancelled and the seller retains the deposit or recovers any amount owing, the seller shall be deemed to have rendered a service, and VAT must be accounted for on the amount retained or recovered.)
- Where **goods are supplied progressively or periodically** under any agreement that provides for the consideration to be paid periodically, the VAT is accounted for at the earliest of the payment due date, the invoice date and the payment date.
- In the case of **consignment inventory**, VAT is accounted for at the earliest of the payment due date, the payment receipt date and the issue date of the progress invoice for payment.

Refer to Jacqui Kew's 2024 book *Financial Accounting: An Introduction*, for a detailed discussion of the accounting for VAT.



ETHICAL DILEMMA

Value added tax (VAT) can give rise to ethical dilemmas, for example:

- **VAT evasion:** VAT evasion occurs when a company intentionally manipulates transactions or falsifies records to avoid paying the appropriate VAT amount. Engaging in VAT evasion is illegal and unethical as it undermines the fairness and integrity of the tax system.
- **VAT avoidance:** VAT avoidance refers to using legal means to reduce or minimise VAT liability. While VAT avoidance is technically legal, ethical dilemmas can arise when companies exploit loopholes or engage in aggressive tax planning to minimise their VAT obligations without considering the broader societal impact. Decisions related to VAT avoidance should be carefully considered in terms of fairness, transparency and the company's ethical responsibilities.
- **False VAT claims:** Ethical dilemmas arise when companies make false VAT claims to obtain refunds or credits they are not entitled to. This can include inflating expenses, fabricating invoices or misrepresenting the nature of transactions. False VAT claims violate legal requirements and erode trust in the tax system, and can lead to economic losses for governments and honest taxpayers.

VAT regulations can be complex and subject to frequent changes. Engaging in VAT evasion unfairly burdens compliant taxpayers and deprives governments of revenue that could be used for public services and infrastructure development. Addressing ethical dilemmas related to VAT requires governments, policymakers and businesses to prioritise fairness, transparency and accountability. Effective enforcement, simplified regulations, public education and a commitment to ethical tax practices can help mitigate ethical concerns and promote a VAT system that balances revenue generation with fairness and social responsibility.

4.2 Dividends tax

Dividends tax is tax imposed **on shareholders on the receipt of dividends** from companies. Under normal circumstances, it is withheld from their dividend payment. Dividends tax is an **indirect or withholding tax** that is deducted from dividend payments and paid over to SARS by the company paying the dividend rather than by the beneficial owner (the recipient). Some companies paying dividends may use a regulated intermediary, such as a broker, to perform the same function (normally with listed companies).

Dividends tax applies to any dividend declared and paid from 1 April 2012 onwards. It is referred to as an ‘**indirect tax**’, as the **withholding agent** (either the company or the regulated intermediary) should pay the dividends tax withheld to SARS on or before the last day of the month following the month in which the dividend was paid.

Dividends received by **individuals** from South African companies are generally exempt from income tax, but **dividends tax at a rate of 20% is withheld** by entities prior to paying the dividends to the individuals concerned. However, if the dividend consists of a distribution of an asset *in specie*, the company itself has to pay the tax and may not withhold it from the dividend payment.

When a dividend is declared, the entity must create a liability for the dividends tax owed to SARS. The entity effectively acts as an agent collecting tax on behalf of SARS. The obligation to pay the dividends tax arises when the dividend is declared.

Because the tax is an expense of the shareholder, dividends tax does not form part of the tax expense of the entity and should not be disclosed in its financial statements – in the same way that VAT paid to SARS is not disclosed.

If an entity declares a dividend of CU1 million on 31 December 20x5 (its reporting date), a liability will be created for the payment of the after-tax portion (80%) to the shareholders, as well as a liability for the payment of the dividends tax to SARS.

		CU	CU
Dr	Dividend declared (retained earnings)	1 000 000	
	CrDividend withholding tax payable (SARS)		200 000
	CrDividends payable (80%)		800 000

Dividend payable to shareholders, net of dividend withholding tax

If a dividend is declared after the reporting date, it will be a non-adjusting event after the end of the reporting period. No liability will be recognised for the dividend payable to shareholders or the dividends tax payable to SARS at the reporting date.

4.3 Employee tax and contributions

An employer acts as an agent on behalf of the tax authority (SARS) and other third parties, collecting employee tax and other contributions from employee salaries and wages and paying them to the relevant authorities or third parties. Collections of this nature are deducted from the salary or wage of each employee after being authorised by the employee, and may be payable to trade unions, medical aids, pension funds, the unemployment insurance fund (UIF) and other organisations. In addition to the **contributions by employees** that are deducted from their salaries, the employer may also be required to contribute a further amount to these funds (for example, an employer adds a further contribution per employee to the pension fund). **Employer contributions** form part of the **employment costs** of the business (see [Chapter 22](#), *Employee benefits and share-based payments*).

4.3.1 Pay-as-you-earn tax

In terms of Schedule 4 of the *Tax Act*, an employer must deduct an amount of **employee tax** from the remuneration paid to an employee and pay the tax over to the revenue authorities within a specified period.

Income tax is deducted for each employee every month based on tables provided by SARS. Individual tax is levied on a **sliding scale** based on the quantum of income. The marginal rates range from 18% to 45% on annual taxable income.

When an employer deducts pay-as-you-earn (PAYE) tax from its payroll at the end of each month, it has an **obligation** to pay this deduction over to SARS within the following month. The deduction is therefore recorded as a liability until paid.

The following journal entry should be recorded (amounts have been included for illustrative purposes):

			CU	CU
Dr		Salaries and wages (P/L)	13 800	
	Cr	Bank		12 323
	Cr	PAYE payable		1 477

Salaries paid, net of employee tax

4.3.2 Other contributions

Apart from acting as an agent on behalf of the tax authority (SARS) to deduct pay-as-you-earn tax from salaries paid to employees, an employer may be required to make other deductions on behalf of third parties. These deductions can either be **statutory** (for example, contributions to the unemployment insurance fund) or can be stipulated in the **employment contract** (for example, all employees must contribute to the employer's pension fund or an employees' life policy fund).

Deductions stipulated in the employment contract can only be deducted from an employee's remuneration if the employee has agreed to these deductions. **Pension fund contributions** normally consist of a portion deducted from an employee's remuneration and a portion paid by the employer (referred to as 'employer's contributions'). **Medical aid contributions** vary according to the nature of the fund and the extent of the benefits granted by the fund. Other deductions may include union fees and other voluntary amounts.

Apart from the deductions made from the remuneration of an employee, an employer has, in some cases, to incur specific costs based on its employment costs. These costs are not deducted from the employee, but form part of the employer's total employment cost. **Occupational health and safety insurance**, formerly Workmen's Compensation Act (WCA) insurance, provides compensation for injuries from accidents in the workplace. This levy is payable by employers involved in an industry where there is a risk of injury in the workplace (for example, a factory).

The employer has an obligation to pay deductions from the remuneration of employees to the relevant third parties when the deduction is made. The deduction should therefore be recognised as a liability until paid. Levies paid by the employer based on the cost of employment should be paid when due. The obligation for payment exists when the cost of employment was incurred (theoretically when the services were rendered, but, in practice, the expense is only recognised when the payroll calculations are done). The levies should therefore be recognised as a liability when they become due and recognised as an expense in the statement of profit or loss and other comprehensive income as part of employment costs.

The following journal entry illustrates this point:

			CU	CU
Dr		Employment costs (P/L)	12 800	
	Cr	Pension fund liability		3 000
	Cr	UIF payable		128
	Cr	PAYE payable		1 297
	Cr	Bank (net salaries paid)		8 375

Recording employment costs paid less amounts payable to third parties

5 Deferred tax

Up to now, you have looked at the tax that an entity is obligated to pay to the tax authority (SARS) in respect of **taxable income** for the period. However, you will often find that an entity's taxable income does not equal its accounting profit. Differences can, for example, arise when certain receipts are exempt from tax, when some expenses are not deductible in calculating taxable income or when certain expenses are recognised when incurred in terms of the accrual concept, but are only allowed as a deduction for tax purposes when paid.

The most common difference relates to how certain types of non-current assets are treated. The *Tax Act* specifies the rates used to calculate the tax write-off of those assets (capital allowances), whereas the IFRS Accounting Standards give guidance as to how the assets should be depreciated for accounting purposes, taking into account judgements of useful lives, residual values and so on. Although the total amount deducted for accounting and tax purposes over the life of the asset is usually the same, there may be differences between the two from one year to the next.

The calculation of taxable income is dealt with in the *Tax Act* and tax-related publications. The reporting of tax in the financial statements is an accounting issue and is addressed in IAS 12, *Income Taxes*. The tax payable (liability) recognised in the financial statements must be based on the assets and liabilities as well as the revenue and expenses recognised in the financial statements. If the amount due for taxation is calculated in terms of a different set of rules (the *Tax Act*) from the principles used to prepare the financial statements (the IFRS Accounting Standards), this should be addressed in the preparation of the financial statements. The purpose of this section is to address the basis on which that is done, giving rise to deferred tax adjustments.

The actual income tax payable by an entity is computed in accordance with the requirements of the *Tax Act*. The liability for taxation recognised in the financial statements should reflect the **tax consequences** of the amounts recognised in the financial statements, even if they are dealt with differently for tax purposes. Where the differences arise because amounts are recognised in different financial periods for tax and accounting purposes, the total income tax liability should be adjusted to take those differences into account. The total income tax liability will therefore consist of the following:

- Current income tax payable, calculated in terms of the *Tax Act* and giving rise to actual income tax payments to SARS

- Deferred tax liability (or asset), related to adjustments for the differences between accounting and tax requirements recognised in order to reflect the tax consequences associated with how and when transactions are recognised from an accounting perspective.

IFRS for SMEs Accounting Standard application

Section 29 of the *IFRS for SMEs* Accounting Standard, *Income Tax*, includes similar principles, with the requirement to calculate and recognise deferred tax assets and liabilities. There are, however, some differences between the requirements as set out in Section 29 and those given in IAS 12.

Deferred tax

... refers to adjustments recognised to take into account the current and future tax consequences of assets and liabilities that are recognised in the statement of financial position.

5.1 Deferred tax and the accrual basis of accounting

In circumstances where the *Tax Act* requires amounts to be deducted in earlier or later years than the IFRS Accounting Standards require their inclusion in accounting profit, an accounting entry is required to adjust for those differences. That accounting entry is known as deferred tax, as the intention is to **defer** the impact of the amounts included in the determination of income tax payable to the financial year in which the amounts are included in the financial statements computed in terms of the IFRS Accounting Standards.

The total income tax expense, therefore, consists of a current tax expense calculated in terms of the *Tax Act* and a deferred tax expense or benefit (income) that adjusts for the differences between accounting and tax requirements. The overall effect is that the combined tax charge reflects the income tax consequences of the amount recognised for accounting purposes, as required in terms of the accrual basis of accounting.

There are **no cash flows arising from deferred tax**. In its simplest form, deferred tax gives rise to a deferred tax charge in profit or loss when the tax deductions are greater than the accounting expenses (for example, depreciation on machinery purchased) and a deferred tax liability on the statement of financial position. In subsequent years, when the accounting deduction for depreciation is greater than the tax allowances granted, the deferred tax provided in earlier years is reversed by recognising a credit for deferred tax in profit or loss and a debit to deferred tax on the statement of financial position. By the time an asset is sold or fully depreciated, there should be no deferred tax balance relating to that asset, as the amount recognised in respect of that asset should have been fully reversed.

The deferred tax balance on the statement of financial position is calculated by comparing the assets and liabilities on the statement of financial position with the equivalent tax value for those assets and liabilities. The deferred tax balance reflects the **future tax consequences** of the amounts recognised on the statement of financial position.

Deferred tax is not about providing for all future tax implications. It relates only to the future tax implications of amounts that have already been taken into account for accounting purposes. If the recognition and measurement of assets and liabilities will give rise to tax consequences in future years, they will in turn give rise to a deferred tax balance.

Key principle:
Treatment of tax expense

As the accrual basis of accounting requires the effect of transactions to be recognised when they occur, the tax expense in the financial statements should reflect the income tax consequences of the amounts recognised in that financial year, irrespective of whether that amount is included in taxable income in the current year.

Something to watch

Watch the Learn Accounting video
Deferred Tax – Introduction.

Example of current tax and deferred tax

A Ltd earned accounting profit of CU100 000 in year 1 after deducting pension expenses accrued of CU20 000 (that is, no cash payments were made, but expenses are recognised in terms of the accrual basis of accounting). A deduction is only granted for tax purposes when the actual payment is made. The CU20 000 is paid in year 2 (and therefore, a tax deduction is granted), and there are no differences between the accounting profit in year 1 and year 2 other than the fact that CU20 000 is deducted from accounting profit in year 1 and from taxable income in year 2. The accounting profit in year 2 is CU100 000. Assume a tax rate of 27%.

The first table below shows the current income tax computation for years 1 and 2, and the second table shows the accounting profit after tax for years 1 and 2.

Statement of profit or loss without deferred tax

As reflected above, the tax rate relating to A Ltd's profit or loss is greater than the tax rate of 27% in year 1 and lower in year 2. This arises as the accounting deduction for an expense of CU20 000 recognised in year 1 is only allowed as a tax deduction in year 2. As a result, both the year 1 and the year 2 after-tax profit figures are incorrect from an

accounting perspective, as they do not reflect a tax expense that reflects the full consequences of the amounts recognised in profit or loss. If the tax rate is 27%, we would expect the current income tax expense to be 27% of the accounting profit. In total, there are no differences between accounting and taxable income. The difference only arises because of the timing of the deductions. (In this case, the accounting deduction is based on the accrual basis, whereas the tax deduction is based on the cash basis.)

The income tax expense recognised in profit or loss in year 1 should reflect the income tax expense relating to the accounting profit of CU100 000 and not the taxable income of CU120 000. Similarly, the income tax expense in year 2 should reflect the tax consequences of the accounting profit of CU100 000 and not the taxable income of CU80 000. An adjustment needs to be made to decrease the tax in year 1 for the CU20 000 not deducted against taxable income, and to increase the tax in year 2 for the CU20 000 deducted against taxable income in year 2 and expensed in year 1. Assuming a tax rate of 27%, the tax effect of the deduction of CU20 000 is CU5 400. This adjustment of CU5 400 is a book entry only and is known as 'deferred tax'. It has no effect on the calculation of taxable income or the payment of the tax obligations.

The table below illustrates how this book entry adjustment is done for years 1 and 2. Note that the tax expense is now equal for both years because of this deferred tax adjustment.

Statement of profit or loss with deferred tax



The deferred tax adjustment results in the recognition of the income tax implications in the correct financial year for accounting purposes (in other words, the year in which the expense was incurred for accounting purposes and not when the payment was made). A corresponding adjustment is made to the deferred tax asset or liability recognised in the statement of financial position (SFP).

The following journal entry is recognised in year 1:

			CU	CU
Dr		Deferred tax (SFP)	5 400	
	Cr	Deferred tax (P/L)		5 400

The following journal entry is recognised in year 2:

			CU	CU
Dr		Deferred tax (P/L)	5 400	
	Cr	Deferred tax (SFP)		5 400

From the journal entries in the example above, the following is evident:

- The purpose of these journal entries is to recognise the income tax consequences of the amounts recognised in profit or loss fully:
 - In year 1, this results in a credit to profit or loss to reduce the actual tax expense for the effect of the amount that was recognised as an expense and has not yet been deducted for tax purposes. In terms of double entry, a balancing debit is required. At the end of year 1, the tax deduction of CU5 400 represents an asset that can be recognised by A Ltd, as it is an economic resource controlled by A Ltd (only A Ltd will get the tax deduction in future) as a result of a past event (the fact that there is a difference between the accounting treatment and the tax treatment of the accrued pension expense) and has the potential to produce economic benefits (paying less tax in the future when the pension accrual is settled and the expense is deducted for tax purposes). The amount at which the asset is recognised is clearly measurable and the potential to produce future economic benefits is probable if the entity is expected to earn taxable income in future. (Section 5.4 of this chapter looks at deferred tax assets in more detail.)
 - In year 2, the debit to profit or loss increases the tax expense to offset the advantage of the tax deduction that was not recognised as an expense (as it had been recognised in the previous year). As the economic benefits inherent in the deferred tax asset have arisen by means of the entity receiving the tax deduction in year 2, the asset no longer exists, and a credit is required to the statement of financial position.
- The entry in year 2 is the exact opposite of the entry in year 1, effectively reversing it. This is appropriate, as at the end of year 2, there is no cumulative difference between the tax and the accounting treatment since the amount has been deducted in both instances.
- The entry is made to deferred tax in the statement of financial position as well as in profit or loss or other comprehensive income, or directly to equity. It is therefore important to distinguish clearly between the statement of financial position (by indicating whether you have a deferred tax asset or liability) and the contra to profit or loss (P/L), other comprehensive income (OCI) or directly to equity (equity). There are no cash implications in either year, as the adjustment is only a book entry.

The fact that the pension expense was deducted in year 1 and paid in year 2 implies that there must have been a creditor (in the form of an accrual) at the end of year 1. The explanation of the deferred tax above was focused on the profit or loss difference, as that more easily demonstrates the overall impact and the reversal of the amounts. In the IFRS Accounting Standard dealing with deferred tax (IAS 12), deferred tax is explained by focusing on the carrying amounts of assets and liabilities recognised in the **statement of financial position** and not on the profit or loss differences. The differences are referred to as '**temporary differences**'.

Deferred tax liabilities

... are the income tax amounts payable in future periods in respect of taxable temporary differences.

Deferred tax assets

... are defined as the amounts of income taxes recoverable in future periods in respect of the following:

- *Deductible temporary differences*
- *The carry forward of unused tax losses*
- *The carry forward of unused tax credits.*

5.2 Approach when calculating deferred tax

The general approach when calculating deferred tax is to focus on the statement of financial position. A deferred tax asset or liability is recognised if there are temporary differences between the **carrying amount** of an asset or a liability on the statement of financial position and its **tax base**.

Key principle: Calculating a deferred tax asset or liability

The steps required in the calculation of a deferred tax asset or liability can be summarised as follows:

1. The deferred tax calculation is based on amounts recognised in the statement of financial position, and should be done only once the carrying amount of all other assets and liabilities has been calculated correctly in terms of the accounting policies selected by the entity.
2. Calculate the tax base of each asset and liability on the statement of financial position as well as those assets and liabilities that have a tax base, but are not included on the statement of financial position (Sections 5.2.2 and 5.2.3).
3. Calculate the temporary difference (carrying amount less tax base) for each asset and liability in the statement of financial position (Section 5.2.4).
4. Identify those temporary differences that are exempt from deferred tax (Section 5.2.5). If the balance is a debit balance, ensure that the resulting deferred tax balance satisfies the recognition criteria of probability (Section 5.4).

5. Identify the appropriate tax rate to use and calculate the deferred tax balance (Section 5.2.6).

6. Identify where the movement between the opening and closing balances for deferred tax arose and recognise the adjustment in profit or loss or other comprehensive income, directly in equity or goodwill, as is appropriate (Section 5.3).

5.2.1 What are temporary differences?

As the terminology indicates, deferred tax is calculated by looking at differences between accounting and tax that are temporary; the differences are not expected to last forever. These temporary differences originate in one accounting period and are reversed in another period.

The carrying amount of an asset or liability is calculated in terms of IFRS. The tax base is calculated in terms of the requirements of the *Tax Act*.

Temporary differences

... are differences between the carrying amount of assets and liabilities and the tax base of those assets and liabilities that will reverse in due course.

$$\text{Temporary difference} = \text{Carrying amount} - \text{Tax base}$$

Essentially, temporary differences are calculated by comparing the statement of financial position of the entity from an accounting perspective to the amount that would be recognised if a statement of financial position were created using tax law as the basis for accounting. The emphasis is therefore on the statement of financial position, as deferred tax is essentially the future tax consequences associated with assets and liabilities recognised in the statement of financial position. (The statement of financial position could be seen as predominantly forward looking.)

This principle is illustrated in the previous example dealing with deferred tax. At the end of year 1, there was a difference between the accounting treatment and the tax treatment of the pension obligation, which resulted in the recognition of a deferred tax balance at the end of year 1. At the end of year 2, when the obligation was settled, the difference between the accounting treatment and the tax treatment no longer existed, and the temporary difference (and the related deferred tax) was reversed.

Temporary differences are **taxable** or **deductible**. Taxable temporary differences give rise to an increase in future tax payable and deductible temporary differences give rise to a reduction in future taxes.

5.2.2 What is the tax base of assets?

An asset can only be recognised when the entity controls the asset and has the right to economic benefits. These economic benefits may be either taxable or not taxable. Consequently, the tax base of an asset is dependent on whether or not its economic benefits are taxable in the future.

If the future economic benefits are taxable, the tax base of the asset is the amount that will be deductible for tax purposes against any taxable economic benefits that will flow to an enterprise when it recovers the carrying amount of the asset. Taxable economic benefits could take the form of profits generated by using an asset (for example, sales made from inventory produced from manufacturing activities) or they could take the form of proceeds on the disposal of an asset. The tax base refers to the amounts that will be deducted in future when the asset is recovered (in

other words, any deductions linked to the asset that you can use to reduce amounts included in taxable income: that is, sales revenue or proceeds on disposal).

If the future economic benefits are not taxable, the tax base of the asset is equal to the carrying amount. An example of assets in this category would be amounts receivable from debtors. The amounts to be received in the future were taxed when the receivable was recognised in the form of sales. When the amount is received it will not be taxed again, and therefore the tax base should be equal to the carrying amount of the amount expected to be received.

Example of calculating the tax base of an asset where the future economic benefits are taxable

B Ltd purchased an asset for CU2 million. For accounting purposes, the asset is depreciated over five years. For tax purposes, 40% of the cost of the asset is deductible in the year in which it is brought into use, with the balance being deductible equally over the next three years (that is, 20% per annum).

Assume that the intention is to use the asset to produce inventory. The carrying amount of the asset at any point will be the cost of the asset that has not yet been depreciated: CU1.6 million (80% of CU2 million) at the end of year 1, CU1.2 million at the end of year 2, CU800 000 at the end of year 3, CU400 000 at the end of year 4 and zero at the end of year 5.

The future economic benefits inherent in the asset are taxable (the sales from the inventory produced by the machine). The tax base of the asset at any point will be the cost of the asset that is still available to be deducted against future taxable profits: CU1.2 million (60% of CU2 million) at the end of year 1, CU800 000 at the end of year 2, CU400 000 at the end of year 3, and zero at the end of year 4 and year 5.

The effect of the above is that the carrying amount of the asset will differ from its tax base at the end of years 1 to 4, which will give rise to deferred tax. We would expect this, as the rate at which the asset is depreciated differs for accounting and tax purposes.

Example of calculating the tax base of an asset where the future economic benefits are not taxable

C Ltd sells inventory on credit for CU2 million. As of the reporting date, the debtor has not yet settled the amount owing. Therefore, at the financial year end, C Ltd has a trade receivables balance of CU2 million. For tax purposes, C Ltd is taxed on the sale on the earlier of receipt or accrual date. In this instance, C Ltd has not yet received the cash but has accrued for the sales.

The future economic benefits of the trade receivables balance are the receipt of CU2 million. As C Ltd has already been taxed on the CU2 million, C Ltd will not be taxed when the customer settles the amount owing. The future economic benefits are not taxable, and the tax base of the accounts receivable is its carrying amount of CU2 million. This makes sense, as the income (the sales) has already been taxed but has not yet been received. A statement of financial position prepared using tax rules would have a 'receivable' with a carrying amount of CU2 million.

The effect of this is that no deferred tax will be recognised in the statement of financial position of C Ltd at the end of its financial year. This is because there is no difference between the accounting treatment and the tax treatment of the transaction that gave rise to the accounts receivable balance. Deferred tax only arises where there is a difference between the tax and the accounting treatment (in other words, where there are temporary differences). In this case, there are none and so no deferred tax is provided for.

5.2.3 What is the tax base of liabilities?

Similar to the discussions above, the calculation of the tax base of a liability depends on whether the liability arose from the accrual of expenditure or from receiving revenue in advance.

The tax base of an asset or liability

... is defined as 'the amount attributed to that asset or liability for tax purposes'. The tax base is the amount at which the asset would have been measured had it been presented as an asset or liability in terms of the tax rules.

Tax base of a liability resulting from accruing expenditure

The tax base of a liability resulting from accrued expenditure is its carrying amount less any amount that will be deductible for tax purposes in respect of that liability in future periods.

Where tax expenses are deductible in the year in which they are accrued for accounting purposes, the statement of financial position amount and the tax base are the same, and so no deferred tax will be provided for. Where expenses are deductible only when paid in cash, the tax base of the liability will differ from its amount for accounting purposes, giving rise to a deferred tax balance. This issue is illustrated in the earlier example dealing with deferred tax, using accrued pension obligations deductible for tax purposes on payment. At the end of year 1, as the entity has a pension liability, it must mean that that amount has not yet been paid, and consequently, no tax deduction has been received as yet. Therefore, the tax base of the accrued pension obligation at the end of year 1 is zero, being the carrying amount of CU20 000 less the CU20 000 deductible in future when settled. At the end of year 1, the creditor has a value of zero for tax purposes, as the expense has not yet arisen (for tax purposes).

If the liability recognised for accounting purposes is in respect of amounts that are not deductible for tax purposes (for example, fines payable), the tax base of the liability will equal the carrying amount, as none of the carrying amount is deductible in the future. As a result, no deferred tax will be recognised for the difference between the accounting treatment and the tax treatment, as that difference is of a permanent nature and, therefore, will give rise to a reconciling item in the tax rate reconciliation (see Section 6).

Tax base of a liability resulting from income received in advance

The tax base of a liability resulting from revenue that is received in advance is its carrying amount less any amount of the revenue that will **not be taxable** in future periods. Where the tax treatment and the accounting treatment are the same (in other words, the amount is included in profit when the profit is earned and not when it is received), the tax base is equal to the carrying amount (the carrying amount is not reduced, as all profits will be taxable in the future). This transaction will not give rise to temporary differences (and there will therefore be no deferred tax), which is what one would expect since the tax treatment and the accounting treatment are the same.

If the tax treatment were to include the receipt in taxable income when received in cash, the tax base of the liability would be the carrying amount reduced by the income that had already been taxed, as it would not be taxable in the future. The income has already been recognised for tax purposes, so the tax base of the liability would be zero. This would give rise to deferred tax, as there is a difference between the accounting treatment and the tax treatment of the liability in that, from an accounting point of view, the income would only be recognised when earned, irrespective of the fact that the cash had been received. However, for tax purposes, the receipt of the cash (even though the income had not yet been earned) would be the trigger that results in the entity being taxed on that amount.

5.2.4 When is a temporary difference a taxable or deductible temporary difference?

Temporary differences may be either **taxable** temporary differences or **deductible** temporary differences.

Taxable temporary differences are temporary differences that will result in **an increase in tax payable** in the future and a credit balance on the statement of financial position. These are temporary differences that will result in future taxable income being higher than future accounting income when the carrying amount of the asset or liability is recovered or settled. They will therefore result in a larger current income tax expense in future than should be the case for the accounting income that will be recognised. Taxable temporary differences give rise to a **liability** on the statement of financial position that reflects the relative increase in the future tax expense as a result of the past tax treatment.

Deductible temporary differences give rise to a debit balance on the statement of financial position, as they result from circumstances where amounts that are deductible in calculating taxable income are greater than the equivalent amounts that will be expensed for future accounting purposes or where amounts that will be taxable are less than equivalent amounts that will be recognised as accounting income in the future. An increase in future tax deductions implies a reduced tax obligation and a future income tax benefit. A reduction in taxable amounts also implies less tax payable and, therefore, a future benefit. This future benefit is reflected as a **deferred tax asset**. The earlier example dealing with pension costs gave rise to a debit balance, as the accounting expense gave rise to future cash saving in the current year since the amount had not yet been settled. Settlement of the amount owing in year 2 gave rise to a deduction for tax purposes. This had the effect of reducing taxable income in year 2 and also resulting in taxable income in year 2 being less than accounting profit.

Example of calculating temporary differences and deferred tax balances

A machine with a cost of CU100 000 was acquired at the start of year 1, with an estimated useful life of ten years. Depreciation is determined at 10% per annum on a straight-line basis. Tax allowances of 40% of the cost are granted in the first year and 20% in each of the subsequent years. A tax rate of 27% is assumed.

As the depreciation of the asset (for accounting purposes) is based on its useful life of ten years, but the capital allowances are granted over four years, there is a difference between the accounting treatment and the tax treatment of the machine.

The machine will be used to generate future economic benefits, which are taxable. Consequently, the tax base of the machine at each year-end will be the amount relating to the machine that will still be allowed as a deduction in future for tax purposes (in other words, the future capital allowances). We would therefore expect to see deferred tax as follows:

The deferred tax recognised in the statement of financial position as of the end of year 1 is a liability of CU8 100. As the opening balance is zero, the following journal entry is required:

			CU	CU
Dr		Deferred tax (P/L)	8 100	
	Cr	Deferred tax (SFP)		8 100

Recognising deferred tax liability relating to machinery

In year 2, a further provision is recognised for the temporary difference of CU2 700, resulting in the amount recognised in the statement of financial position as deferred tax being CU10 800.

			CU	CU
Dr		Deferred tax (P/L)	2 700	
	Cr	Deferred tax (SFP)		2 700

Recognising deferred tax liability relating to machinery

From the above, it is evident that the temporary difference and therefore the deferred tax liability at any point is a cumulative amount because it includes all the differences between the accounting treatment and the tax treatment at that point in time. Therefore, once the closing balance for deferred tax has been determined, all that is needed is a journal entry to record the adjustment required to move from the opening balance to the closing balance.

The journal entries will be similar in the years that follow, in every year recording the amount of deferred tax as an expense in profit or loss and increasing the provision for deferred tax. At the end of year 4, the deferred tax liability would amount to CU8 100 + (3 × CU2 700) = CU16 200. The deferred tax balance should always be the tax provision relating to the difference in the carrying amount and the tax base of the asset multiplied by the prevailing tax rate. At the end of year 4, the carrying amount of the asset amounts to CU60 000, while the tax base of the asset is zero. This represents a temporary difference of CU60 000, which, multiplied by the tax rate of 27%, amounts to CU16 200. The liability for deferred tax of CU16 200 is recognised in the statement of financial position at the end of the fourth year, as these temporary differences are available for reversal against future profits.

In year 5, when the machine has been written off for tax purposes (the tax base of the machine is zero), the deferred tax previously provided should now begin to be reversed (in other words, released as a reversal of deferred taxation in profit or loss).

This journal entry would be recorded in each of the following six years (years 5 to 10):

			CU	CU
Dr		Deferred tax (SFP)	2 700	
	Cr	Deferred tax (P/L)		2 700

Recognising deferred tax liability relating to machinery

At the end of year 10, the deferred taxation liability in the statement of financial position will be zero.

Assuming that before tax and depreciation, the company had a profit of CU300 000 in year 1 and CU360 000 in year 2, the profit before tax and the taxable income for these two years would be calculated as follows:



Notes

1 Depreciation is calculated in accordance with the IFRS Accounting Standards (over the expected useful life of the machine).



Notes

2 Current income tax is calculated according to the *Tax Act* (a deduction of 40% of the cost in year 1 and 20% in year 2):

- Year 1: $\text{CU}260\,000 \times 27\% = \text{CU}70\,200$

- Year 2: $\text{CU}340\,000 \times 27\% = \text{CU}91\,800$.

3 Deferred tax expense recognised in **profit** or **loss** is the difference between the opening balance of deferred tax and the amount of deferred tax recognised at the current reporting date. In this example, the balance of deferred tax at the end of year 1 amounted to CU8 100 (being the difference between the carrying amount of the asset of CU90 000 and its tax base of CU60 000, amounting to $\text{CU}30\,000 \times$ the current income tax rate of 27%).

4 The income tax expense is the total income tax charge for the year, and includes current and deferred tax. The tax charge is equal to the profit before tax multiplied by

the tax rate of 27% (in year 2: CU350 000 × 27% = CU94 500). By recognising the deferred tax liability of CU10 800 at the end of year 2, the application of the accrual basis has resulted in the matching of the appropriate tax charge to the profit in the same reporting period.

The deferred tax balance at the end of year 2 is CU10 800. The movement between these two balances (at the end of years 1 and 2, respectively) is recognised in profit or loss as either an increase or a decrease in deferred tax. CU10 800 – CU8 100 = an increase of CU2 700 in the deferred tax balance from year 1 to year 2.

This principle is illustrated in the general ledger account of deferred tax that follows.



This example gave rise to a taxable temporary difference and, therefore, a credit balance on the statement of financial position. In the first few years, the tax deductions were greater than the accounting deductions, and so the tax base was lower than the accounting carrying amount. This implies that future tax payments would be greater as a result of the premature (relative to accounting) recognition of the write-offs relating to the machine. The **deferred tax liability** reflects the increased tax expense as a result of the prior excessive deductions.

The examples dealing with deferred tax that we have looked at so far have shown the calculation of temporary differences and deferred tax balances and have dealt with only one item that gave rise to deferred tax. In reality, an entity will have many assets and liabilities that are treated differently for accounting and tax purposes. The principles above (relating to tax bases and temporary differences) will be applied to each of these items. These temporary differences may then be offset (see Section 7.3 of this chapter) in calculating the net deferred tax asset or liability to be reflected in the statement of financial position of the company.

5.2.5 What about differences that are exempt from deferred tax?

Temporary differences are the differences between the carrying amounts and the tax bases of assets and liabilities. In some cases, those differences will not result in future taxable income or deductions. In these cases, it would not be appropriate to recognise deferred tax.

Accounting profit may include amounts that will never be included in taxable income, such as dividend income. Some amounts are deducted when calculating accounting profit but will never be deductible in calculating taxable income (for example, fines). Other amounts are deductible when calculating taxable income but will never be deductible in determining accounting profit (for example, incentive allowances that permit an entity to deduct more than 100% of the cost of an asset). Deferred tax adjustments will not be done for those items, as the differences that will arise will never be reversed. The difference will be reflected in profit or loss in the year in which it arises and will result in a total tax rate (total tax charge over pre-tax profit) of greater or less than the prevailing company tax rate.

Deferred tax is only appropriate where a difference arises in one year that will be reversed in a future year or years (in other words, the difference is temporary). [Table 18.4](#) illustrates this point.

Table 18.4 Differences in tax and accounting treatment

Item	Included in profit or loss	Included in taxable income	Will the difference between profit or loss and taxable income be reversed in the future?
Depreciation	☒	☒	Yes
Wear and tear allowance	☒	☒	Yes
Traffic fines	☒	☒	No
Goodwill impairment	☒	☒	No
Pre-paid expense	☒	☒	Yes
Dividends received	☒	☒	No

The general principle in IAS 12 is that a deferred tax liability is recognised for all taxable temporary differences. There are three exceptions to the requirement to recognise a deferred tax liability, which are often referred to as the ‘**IAS 12, paragraph 15 exemptions**’:

- Liabilities arising from initial recognition of goodwill (IAS 12, paragraph 15[a])
- Liabilities arising from the initial recognition of an asset or liability other than in a business combination that, at the time of the transaction, does not affect either the accounting or the taxable profit (IAS 12, paragraph 15[b])
- Liabilities arising from temporary differences associated with investments in subsidiaries, branches and associates, as well as interests in joint arrangements – but only to the extent that the entity is able to control the timing of the reversal of the differences and it is probable that the reversal will not occur in the foreseeable future (IAS 12, paragraphs 15 & 39).

The following categories of temporary differences that are potentially exempt from deferred tax are discussed below:

- Goodwill
- Differences arising from the initial recognition of an asset or liability.

Goodwill

Taxable temporary differences arising from the initial recognition of goodwill are specifically exempt from the requirement to provide deferred tax. **No tax deductions are granted on goodwill and therefore the tax base of goodwill is zero.** When a business is acquired, goodwill is recognised as an asset and therefore has a carrying amount. As the tax base is always zero, recognition of deferred tax implies that a temporary difference arises equal to the amount of the goodwill recognised. Recognition of deferred tax on goodwill is inappropriate for two reasons. Firstly, the temporary difference on goodwill will never reverse, as tax allowances will never be granted. Secondly, goodwill is a residual amount, as it is calculated as the difference between the cost of the investment plus non-controlling interest at acquisition and the net asset value (at fair value) (see [Chapter 25, Business combinations](#)).

Recognition of any deferred tax liability would reduce the net asset value and therefore increase the goodwill balance. As the goodwill balance has increased, the related deferred tax liability would have to increase, and so forth.

If goodwill is impaired, the taxable temporary differences relating to that goodwill will be reduced. As no deferred tax liability is recognised in relation to the initial recognition of goodwill, no deferred tax adjustments should be recognised because the taxable temporary differences relating to the goodwill change as a result of either the impairment or the disposal of the goodwill.

Initial recognition of an asset or a liability

Temporary differences may arise on the initial recognition of an asset or liability in a transaction that is not a business combination. However, there may have been no adjustment to tax profit and accounting profit. The standard does not permit the entity to recognise deferred tax on these temporary differences, either on initial recognition or subsequently.

Where an asset is acquired for which no tax allowances are granted, a temporary difference equal to the cost of the acquired asset arises. This is similar in principle to goodwill (discussed above), but is a more general provision that could relate to either assets or liabilities. Where the tax treatment and the accounting treatment differ for an asset or a liability, this could give rise to a temporary difference when the asset or liability is first recognised (this is known as initial recognition). In most cases, this temporary difference arises as the cost of the asset is deductible in full immediately for tax purposes but is capitalised for accounting purposes or because a liability arises in relation to an expense that is deductible for accounting purposes but not for tax purposes. These temporary differences are **not exempt** from deferred tax, as they arise from recognising amounts in profit or loss and taxable income in different periods.

Only temporary differences that do not arise as a result of the recognition in profit or loss and the taxable income computation are exempt. For many years, tax allowances were only granted for buildings used in a manufacturing process. If an entity owned a building that was not used in a manufacturing process and expected that the carrying amount of the building would be recovered through use, the building would have had a tax base of zero (as no capital allowances are granted since the building is used). In this instance, a temporary difference arises when the building is initially recognised. The temporary difference arises because there are no capital allowances on the asset, rather than because the capital allowances have already been granted. That 'temporary difference' is not temporary and will never reverse. Exemption from deferred tax is therefore appropriate, as every deferred tax balance must reverse at some future point.

Example of an asset with a tax base of zero

D Ltd acquired an office block for CU10 million on 1 January 20x1. No tax allowances are granted on the building. The building is depreciated as it is owner-occupied. Depreciation of CU500 000 was provided in each of the financial years ending 31 December 20x1 and 20x2.

Initial recognition

The carrying amount of the building is CU10 million. The tax base is zero, as no capital allowances are granted on the building for tax purposes. A taxable temporary difference arises on the initial recognition and is exempt from deferred tax in terms of paragraph 15(b) of IAS 12.

31 December 20x1

The carrying amount of the building is decreased to CU9.5 million and the tax base remains at zero. Taxable temporary differences have been reduced by CU500 000 to CU9.5 million. In most cases, the reduction in taxable temporary differences would give rise to a debit to deferred tax on the statement of financial position and a credit to deferred tax in profit or loss. In this case, the reduction of temporary differences is specifically exempt in terms of paragraph 22 of IAS 12 and no deferred tax adjustment will be recognised. This makes sense because even though the temporary difference is being reduced, there is no deferred tax to reverse, as the original temporary difference (on initial recognition) was exempt from deferred tax.

31 December 20x2

The same principle applies as for 31 December 20x1, except that taxable temporary differences have declined further to CU9 million. The depreciation in 20x2 that caused the decline in the taxable temporary difference is also exempt from deferred tax.

5.2.6 At what tax rate should deferred tax be recognised?

A deferred tax balance is calculated by multiplying the temporary differences that are not exempt from deferred tax by the **appropriate tax rate**. It is therefore evident that the tax rate is an important part of the deferred tax balance.

The deferred tax balance should be calculated using the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on the tax rates that have been enacted or passed as law by the reporting date. The measurement of the deferred tax liabilities and deferred tax assets should reflect the tax consequences that would follow from the manner in which the entity expects to recover or settle the carrying amount of assets and liabilities at the reporting date.

Key principle: Deciding which tax rate to use

An entity must decide which tax rate to use to measure the deferred tax balance. In South Africa, the issue is whether the corporate tax rate or the capital gains tax rate should be used. This is driven by which tax rate best reflects the future tax consequences of how management expects to realise the asset and settle the liability (at the reporting date).

In addition, in South Africa only 80% of capital gains are currently included in taxable income.

The decision will be influenced by any changes in the tax rate, and the entity must decide how to handle the effects and the timing of the change, based on when they have been passed as law.

Something to watch

Watch the Learn Accounting video *Deferred Tax: What Rate to Use*.



The deferred tax balance reflects the tax consequences of the amounts recognised on the statement of financial position based on the way in which management expects to recover the carrying amount of that asset. Put simply, 'recovering the carrying amount' means that management expects to credit the carrying amount of the asset.

If an asset is a depreciable asset and management expects to use the asset, the carrying amount will be reduced (credited) because the asset is depreciated as it is used. The tax consequences will reflect the tax implications of using the asset (that is, the capital allowances remaining for deduction). In most cases, this will be the normal tax rate, as this is the rate at which the benefits to be derived from using the asset will be taxed. This rate would also apply for any tax saving benefits expected.

As capital gains tax is only payable if an asset is sold for more than its cost, a deferred tax liability at the capital gains tax rate will arise if the asset is expected to be recovered through sale, the tax consequences associated with selling the asset are capital gains tax and the asset has been recognised at an amount greater than its original cost (for example, revalued). This is important, as a deferred tax balance reflects the expected amount of future tax. If the asset is not reflected at higher than its original cost it would be inappropriate to recognise deferred tax, in terms of the accrual basis of accounting. The deferred tax would not satisfy the definition of either an asset or a liability, as there is no past event because there has been no recognition of a higher value. If the increase in carrying amount has been recognised on the statement of financial position, the future tax consequences should be recognised. If the amount has not been recognised on the statement of financial position, the future tax consequences should not be recognised.

Example of selection of tax rates used for calculating deferred income tax

The assets of Kasteel Ltd include the following:

Description	Carrying amount	Tax base	Temporary difference	Rate to use
	CU	CU	CU	
Machine	500 000	300 000	200 000	The carrying amount of the machine will be written off (recovered) by depreciating the asset. In other words, the asset will generate future economic benefits, as it is used to produce inventory, for example, which will be sold to its customers. Recovery of the carrying amount of the machine is thus expected to give rise to profits that are taxable at the company tax rate. Deferred tax should be measured at 27%.
Inventory	100 000	80 000	20 000	The carrying amount of inventory is

				expected to be recovered or reduced when the inventory is sold. Revenue from sale of inventory is taxed at 27%, therefore deferred tax is measured at 27%.
Investments	800 000	540 000	260 000	The investments are expected to be recovered when they are sold. The tax rate must be the rate to be used when those investments are sold. If the entity does not trade in shares, the tax consequences associated with selling the investments are capital gains tax (80% inclusion, taxed at 27%). If the entity were a share dealer for tax purposes, it would be taxed at the corporate tax rate (27%). The entity's deferred tax balance relating to these investments will reflect the appropriate tax consequences.
Land	1 500 000	1 000 000	500 000	Land is only expected to be credited when the land is sold. The carrying amount is therefore expected to be recovered through the sale of the land. Deferred tax should be recognised on the resulting temporary differences at the rate that best reflects the tax consequences associated with selling the land.

5.2.7 What if a tax rate changes?

The deferred tax balance should be calculated using the tax rate that is expected to apply when the **asset is realised**, or the **liability is settled**. If a reduction in a tax rate is announced and passed as law, the deferred tax balance should be recalculated using the new tax rate. The resulting adjustment should be recognised in profit or loss or other comprehensive income, as applicable (see Section 5.3), in the year in which the tax rate change is announced.

This is consistent with the treatment of changes in estimates. Changes in estimates are adjusted prospectively in the current and future periods (that is, comparatives are not restated). The deferred tax balance is an estimate of the future tax consequences associated with assets and liabilities recognised in the statement of financial position. As discussed earlier, the tax rate is an important component of the measurement of a deferred tax balance. If the tax rate changes, this affects the deferred tax balance. The easiest approach to adjust for the change in the tax rate is to adjust the opening deferred tax balance in the year in which the tax rate change is announced.

Substantive enactment

It should always be clear whether or not a law has actually been enacted (passed as law) by the reporting date, but it is not as clear when 'substantive enactment' has occurred. In South Africa, the minister of finance announces any change in tax rates and tax laws during the annual budget statement, which is presented in February. Changes in tax

rates may be effective for years starting on or after 1 March of a given year, a date that in some cases is before the Act that will revise the *Tax Act* is actually passed.

The question of when the changes in tax rates and tax laws announced in the annual budget speech should be regarded as substantively enacted has been interpreted in FRG 1, *Substantively Enacted Tax Rates and Tax Laws*, issued by SAICA in February 2006. The consensus in the South African-specific interpretation is that changes in tax rates should be regarded as substantively enacted from the time that they are announced during the minister of finance's budget statement. However, this only applies where the change in tax rate is not inextricably linked to other changes in the tax laws (FRG 1, paragraph 4). It is therefore important to distinguish between a change in tax law (for example, capital allowances being granted on assets that were not previously entitled to such allowances) and a change in the tax rate (for example, reducing the company tax rate to below 27%).

5.3 Recognising deferred tax

Having calculated the deferred tax balance, we now need to decide where the changes in the deferred tax balance are recognised from one reporting period to the next.

Key principle: Recognition of deferred tax

Deferred tax adjustments must be recognised where the underlying transaction was recognised. Thus:

- Where a transaction or event is recognised in profit or loss, the deferred tax adjustment is in profit or loss.
- Where a transaction or event is recognised in other comprehensive income, the deferred tax is recognised in other comprehensive income.
- Where a transaction or event is recognised directly in equity, the amount is recognised net of deferred tax (in other words, the deferred tax adjustment is in equity).

Something to watch

Watch the Learn Accounting video *Deferred Tax: Where to Recognise Deferred Tax Adjustments*.

Recognition of a deferred tax balance or any adjustment to that balance gives rise to both a debit and a credit. One side is recognised in the deferred tax balance on the statement of financial position. The other side of the journal entry should be recognised where the temporary difference arose, which usually implies profit or loss.

Most deferred tax liabilities and deferred tax assets arise where income or an expense is included in accounting profit in a different period from the one in which the amount is included in the taxable profit. Temporary differences relating to these types of transactions should be recognised in profit or loss, as that is where the temporary difference arose. The examples illustrated above all related to temporary differences that arose because the amounts were deducted in a different period for tax and accounting purposes. They arose as a result of transactions that affected profit or loss.

In the first example dealing with deferred tax, concerning the difference between the accounting treatment and the tax treatment of the pension obligation, the debit to the liability was recognised as an expense. In the example that followed, the different rates were used to depreciate the asset for accounting and tax purposes. In both of these examples, the other side of the deferred tax entry is recognised in profit or loss.

However, the deferred tax adjustment could be recognised elsewhere (that is, outside of profit or loss).

The following circumstances are the most common ones in which temporary differences are recognised in other comprehensive income or taken directly to equity, and therefore the deferred tax implications will also be included in other comprehensive income or taken directly to equity:

- An item of property, plant and equipment is revalued, in which case the increase in carrying amount is credited to other comprehensive income (see the example that follows).
- Equity investments are restated to fair value at each reporting date and the effect of restatement is recognised in other comprehensive income.
- An adjustment to the opening balance of retained earnings (directly to equity) is made as a result of a change in accounting policy or a prior period error as permitted in terms of IAS 8, *Basis of Preparation of Financial Statements*. (The adjustment to retained earnings will be net of the deferred tax arising from changing the carrying amount of the assets or liabilities that were restated without a change to the related tax base.)

5.3.1 Revaluations

When an asset is revalued, the change in the carrying amount does not change the tax base of the asset. If an asset is revalued upwards, the carrying amount of the asset is increased but the tax base stays the same, so a change in the temporary differences arises and deferred tax must be provided for. If the increase in carrying amount is recognised in other comprehensive income – as in the revaluation of property, plant and equipment – the deferred tax relating to the changes in temporary differences must also be recognised in other comprehensive income (OCI). The overall effect is to recognise the revaluation gain in other comprehensive income, net of tax, and an equity balance (revaluation surplus), which is net of the deferred tax balances relating to the revaluation, in the statement of changes in equity.

Example of recognising temporary differences: Revalued depreciable asset

A machine with a cost of CU100 000 was acquired on 1 January 20x6. At that date, the machine had an estimated useful life of ten years and no residual value. Capital allowances of 40% of the cost were granted in the first year and 20% in each of the three subsequent years. A tax rate of 27% applies.

The entity revalued the machine by CU50 000 on 1 January 20x5. Assuming that any existing accumulated depreciation is eliminated when the asset is revalued (see

[Chapter 10](#), *Property, plant and equipment*), the resulting adjustments would be as follows:

			CU	CU
Dr		Accumulated depreciation	20 000	
	Cr	Machine (CU100 000 × )		20 000

Elimination of accumulated depreciation at the revaluation of machine

As the machine is an item of property, plant and equipment, the revaluation is recognised in other comprehensive income, as required.

			CU	CU
Dr		Machine	50 000	
	Cr	Revaluation gain (OCI)		50 000

Recognition of machine at fair value, using the revaluation model

As the machine is used to generate future economic benefits, depreciation will be recognised during 20x5 as follows:



Recognising depreciation on carrying amount of machine

As at 1 January 20x5 and 31 December 20x5, the position of the machine can be reflected as follows:



Notes

- 1 The revalued carrying amount represents the amount at which the asset would appear on the company's statement of financial position on the revaluation model.
- 2 The historical carrying amount is the amount at which the asset would be recognised had it never been revalued.
- 3 As the machine will be used to generate future economic benefits that are taxable, the tax base represents future capital allowances to be granted on the asset.

4 The temporary difference is the difference between the revalued carrying amount and the tax base. This amount can effectively be split into the following two components:

- The revalued portion, net of depreciation, is the difference between the revalued carrying amount and the historical carrying amount. This represents the additional temporary difference that arises as a result of revaluing the asset.
- The accelerated capital allowances are the difference between the historical carrying amount and the tax base. This represents the temporary difference that we would expect, irrespective of whether the asset is revalued or not.

5 As the asset's carrying amount is expected to be recovered through use, deferred tax has been provided for at 27%.

When the machine is revalued, the carrying amount of the asset on the statement of financial position is increased and a revaluation surplus is recognised, accumulating the amounts recognised in other comprehensive income relating to the machine. Revaluing the machine does not affect the tax allowances granted on that machine and therefore has no effect on the tax base of that machine. The difference between the carrying amount on the statement of financial position and the tax base will therefore change, resulting in a temporary difference changing, which changes the deferred tax balance. This change in the temporary difference has arisen as a result of the revaluation of the asset, the effect of which is recognised in other comprehensive income. The other side of the deferred tax entry to the statement of financial position must therefore be recognised in other comprehensive income. Deferred tax is recognised in other comprehensive income, as the revaluation that caused the temporary difference was recognised in other comprehensive income. A tax rate of 27% is used, as this is the tax rate that best reflects the fact that the carrying amount of the machine will be recovered through use.

			CU	CU
Dr		Deferred tax (OCI)	13 500	
	Cr	Deferred tax (SFP) (50 000 × 27%)		13 500

Recognising deferred tax liability relating to machine

The deferred tax adjustment arising from the difference between the accounting depreciation and the tax depreciation is recognised in profit or loss, as this is where the depreciation relating to the machine is recognised. In other words, even though the depreciation is higher because the asset has been revalued, the depreciation is still recognised in profit or loss. The additional temporary difference arising on the revaluation of the asset is therefore recognised in other comprehensive income, but is reversed through profit or loss, as that is where the asset is recovered (through depreciation). The journal entry to record this movement is as follows:

			CU	CU
Dr		Deferred tax expense (P/L)	1 013	
	Cr	Deferred tax (SFP)		1 013

Recognising deferred tax liability relating to machine

Changes in the tax rate

If the tax rate changed to 26% on 1 January 20x6, the deferred tax liability relating to this asset would reduce to CU24 375, being the temporary difference as of 31 December 20x5 of CU93 750 multiplied by 26%. The deferred tax liability needs to be debited with CU938. The contra credit will be recognised where the deferred tax was originally adjusted for. This means that the adjustment relating to the difference between the revalued carrying amount and the historical carrying amount will be recognised in other comprehensive income, and the adjustment relating to the difference between the historical carrying amount and the tax base will be recognised in profit or loss, as follows:

			CU	CU
Dr		Deferred tax (SFP)	938	
	Cr	Deferred tax (OCI) $([CU113\ 750 - CU70\ 000] \times 1\%)$		438
	Cr	Deferred tax (P/L) $([CU70\ 000 - CU20\ 000] \times 1\%)$		500

Recognising the change in the tax rate

Changes in the manner of recovering the asset

The above example assumes that the machine's carrying amount was at all times expected to be recovered through use. If the entity had decided on 31 December 20x5 to sell the machine early in the 20x6 financial year, the entity would have expected to recover the asset through sale. The deferred tax balance as of 31 December 20x5 should also reflect recovery through sale.

The existing deferred tax balance of CU25 313 as of 31 December 20x5 (as calculated above) reflects recovery through use. If the deferred tax balance is to reflect recovery through sale, it must reflect the future tax consequences associated with selling the asset. In other words, what is the tax that would be paid if the machine were sold at the reporting date for its carrying amount? These tax effects are as follows:

- Capital gains on the portion above the original cost of the asset
- Recouping by SARS of the previous capital allowances granted on the asset (that is, the difference between the original cost of the asset and its tax value [tax base] on 31 December 20x5); this is essentially the tax profit on disposal of the asset, but limited to the asset's original cost.

Based on recovery through sale, the deferred tax balance should be as follows (assuming a tax rate of 27%):



The following journal entry is required to adjust the deferred tax balance as of 31 December 20x5:

			CU	CU
Dr		Deferred tax (SFP)	743	
	Cr	Deferred tax (OCI) (CU25 313 – CU24 570)		743

Recognising movement in deferred tax liability

The adjustment to other comprehensive income is appropriate, as this is where the excess above the original cost of the asset was recognised when the machine was revalued. Deferred tax was previously recognised at 27% when the asset was expected to be recovered through use. As a result of the decision to sell the asset, the tax consequences are capital gains tax at an inclusion rate of 80% (or an effective capital gains tax rate of 21.6%).

The deferred tax income or expense recognised in profit or loss is often best calculated using a general ledger account. This allows you to compare the opening and closing deferred tax balances and to adjust for items recognised outside of profit or loss (for example, other comprehensive income).

5.3.2 Business combinations

Temporary differences may arise in a business combination as a result of allocating the cost of the acquisition to the fair value of the assets and liabilities acquired. Restatement of the carrying amount of an asset or liability to fair value without a corresponding adjustment to the tax base will give rise to a temporary difference. The resulting deferred tax is required to be recognised as an identifiable asset or liability at the date of acquisition and will therefore affect the amount of goodwill arising from the acquisition (refer to [Chapter 25](#), *Business combinations*).

Example of recognising deferred tax in a business combination

H Ltd acquires 100% of S Ltd for CU3 million, making S Ltd a subsidiary of H Ltd. At the date of acquisition, the net assets as recognised by S Ltd amount to CU1 million. H Ltd considers S Ltd's machinery (used in production) to be undervalued by CU1 million (that is, the fair value of the net assets is CU2 million, which is also the cost of those net assets to H Ltd).

Without deferred tax

The goodwill arising on the acquisition of S Ltd is CU1 million, calculated as follows:

With deferred tax

As the carrying amount of S Ltd's net assets has increased by CU1 million for accounting purposes but not for tax purposes, an additional temporary difference arises on the acquisition of S Ltd. This temporary difference is not exempt from tax, even though it arises on the initial recognition of S Ltd's net assets at a group level, as it relates to a business combination. Therefore, deferred tax must be provided on the fair value adjustment of CU1 million at a tax rate of 27%.

The machinery is recovered through use and a deferred tax liability of CU270 000 (CU1 million $\times$ 27%) is required. Increasing the carrying amount of the machinery (for accounting purposes) at acquisition will result in a larger taxable temporary difference (or a smaller deductible temporary difference). In other words, a credit is required to the statement of financial position.

The goodwill arising on the acquisition of S Ltd is CU1.27 million, calculated as follows:

By comparing the two scenarios above, you can see that the goodwill has increased. The net assets acquired are reduced as a result of recognising a deferred tax liability. This has the effect of increasing goodwill.

5.4 Recognition of debit balances

As discussed earlier, deductible temporary differences are amounts that will result in the entity having to pay less tax in the future when included in future taxable income. Deferred tax debit balances can arise from **deductible temporary differences** or **from tax losses carried forward**. Deferred tax assets should be recognised for all deductible temporary differences (with certain exceptions) and tax losses should be carried forward, but only to the extent that their recognition results in relevant information that faithfully represents the transaction or event.

The deferred tax implications relating to deductible temporary differences and tax losses are similar, as they both give rise to deferred tax assets on the statement of financial position when they are recognised. In both instances, you need to determine whether it is acceptable to recognise a deferred tax asset. In the case of a debit (asset) balance of deferred tax, this means that you should consider any uncertainties associated with the existence and flow of economic benefits to the entity.

Deductible temporary differences differ from tax losses in that the deductible temporary differences arise from differences between the carrying amounts of assets and liabilities and their respective tax bases. A tax loss does not affect the tax base of assets and liabilities, but does give rise to deferred tax due to the future tax savings that will arise when taxable profits are earned. Where an entity incurs a tax loss (tax deductions exceed taxable income), that loss may be carried forward and offset against future taxable income. There is no current income tax benefit relating to the tax loss, but there is a future benefit in the form of reduced tax payable, assuming that the entity earns taxable income in the future. As with any other asset, in order for a deferred tax asset to be recognised in the statement of financial position, it must meet the definition and recognition criteria of an asset. A future tax deduction will only

give rise to economic benefits (necessary for recognition as an asset) if it reduces the amount of tax that would be payable, which only applies if the entity will have sufficient future taxable profit against which the deduction can be offset.

In addition, as no asset can be recognised at an amount greater than the expected economic benefits inherent in that asset, recognising the deductible temporary difference or the tax loss is only appropriate when future taxable income is expected. If future taxable income is not expected, it is not acceptable to recognise the asset, as there is a low probability of a flow of economic benefits. There are different ways in which this can be assessed:

- If an entity has sufficient taxable temporary differences, which by definition implies that the entity expects to pay more tax in the future
- If the entity can demonstrate by looking at forecast profits and cash flows that it expects to earn taxable income in the future.

The recognition of a debit balance (deductible) must be reconsidered annually; this may result in the recognition of a debit balance that arose in a previous year or the reversal of a previously recognised debit balance that is no longer considered as satisfying the recognition criteria.

The income tax expense in profit or loss must reflect the income tax consequences of the amounts recognised in profit or loss. Deductible temporary differences will be recognised in one year as a result of the differences between accounting profit and taxable income, and will reverse in due course as a result of increased tax allowances in the future as the temporary differences reverse.

If a difference in accounting and tax rules results in an accounting profit and a tax loss, the benefits of that tax loss should be recognised in the year in which they arise and should be reversed in the year in which they are utilised in future (when the entity earns taxable income and obtains the benefit of paying less tax). This has the effect of recognising an asset and a credit to profit or loss in the year in which the tax loss arises (and can be recognised), and derecognising the asset and a debit to profit or loss in the year in which the tax loss is utilised (as the benefit is no longer expected in the future; the entity has derived the benefit by using up the tax loss and paying less income tax).

The principle is very similar to the accounting treatment of an item of machinery. An entity recognises the machinery as an asset, as it expects to receive economic benefits from using the machine. As the machine is used, the economic benefits are diminished and the entity recognises depreciation. To extend the analogy to a tax loss, an entity recognises a deferred tax asset if it is probable that the entity will earn taxable income in the future. When the entity earns taxable income and obtains the benefit of paying less tax by utilising the tax loss, the economic benefits inherent in the deferred tax asset have diminished and a deferred tax expense is recognised in profit or loss.

Deferred tax asset = Unused tax loss or unused tax credits × Tax rate

Something to watch

Watch the Learn Accounting video *Deferred Tax Assets – According to IAS 12.*

Example of tax losses

The following information applies to E Ltd for the financial year ending 31 December 20x6:



At 31 December 20x4, machinery had a carrying amount of CU100 000 and a tax base of CU97 143. The machinery was the only item on the statement of financial position giving rise to deferred tax at that date. At 31 December 20x5, the machinery had a carrying amount of CU80 000 and a tax base of CU67 143 (CU97 143 – CU30 000).

Taxable income calculations



E Ltd does not have to pay current income tax in respect of 20x5. The entity has a tax loss of CU20 000 at the end of 20x5, which will be offset against future taxable income, saving tax equal to CU20 000 multiplied by the prevailing tax rate when the tax loss is used.



As E Ltd has earned taxable income in 20x6, the entity can utilise the tax loss brought forward from 20x5 to pay less tax in 20x6.

i) If it is probable that E Ltd will have available future taxable profits:



As it is probable that E Ltd will earn taxable income in future, E Ltd can recognise a net deferred tax asset of CU1 929 (that is, CU5 400 asset relating to the tax loss less CU3 471 liability relating to the temporary differences associated with its machinery) as at 31 December 20x5.

Journal entries

At 31 December 20x5:

1				CU	CU
	Dr		Deferred tax (P/L)	2 700	
		Cr	Deferred tax (SFP)		2 700

Taxable temporary difference for 20x5 relating to the machinery

2				CU	CU
	Dr		Deferred tax (SFP)	5 400	
		Cr	Deferred tax (P/L)		5 400

Recognition of deferred tax asset in respect of tax loss

At 31 December 20x6:

3				CU	CU
	Dr		Deferred tax (P/L)	5 400	
		Cr	Deferred tax (SFP)		5 400

Utilisation of tax loss as benefit has been used up in 20x6 by paying less current income tax to SARS. The deferred tax asset must, therefore, be reversed.

4				CU	CU
	Dr		Deferred tax (P/L)	1 350	
		Cr	Deferred tax (SFP)		1 350

Taxable temporary difference 20x6 relating to machinery

ii) If it is not probable that E Ltd will earn future taxable profits:



Irrespective of the assessment regarding the recognition of a deferred tax asset for the tax loss, the deferred tax account relating to the other taxable temporary differences will be exactly the same.



As at 31 December 20x6, it was not probable that the entity would earn taxable profits in the future. This has the following implications:

- The entity cannot recognise a net deferred tax asset.
- The entity can only recognise a deferred tax asset to the extent that it is probable that the tax loss will be utilised in future. In this case, this is to the extent of other net taxable temporary differences.

Therefore, a deferred tax asset is only recognised for CU12 856 of the tax loss



No asset has been recognised for the remaining CU7 144 (CU20 000 – R12 856). The effect is the recognition of a deferred tax asset of CU3 471.

Journal entries

At 31 December 20x5:

1				CU	CU
	Dr		Deferred tax (P/L)	2 700	
		Cr	Deferred tax (SFP)		2 700

Taxable temporary difference for 20x5 relating to the machinery

2				CU	CU
	Dr		Deferred tax (SFP)	3 471	
		Cr	Deferred tax (P/L)		3 471

Recognition of a deferred tax asset in respect of tax loss to the extent that the asset is recoverable (in other words, to the extent that it is probable that the entity will earn taxable profits in the future). In this case, this is only demonstrated through the existence of other taxable temporary differences. It is therefore not probable that E Ltd will earn taxable profits over and above the other taxable temporary differences.

At 31 December 20x6:

3				CU	CU
	Dr		Deferred tax (SFP)	1 929	
		Cr	Deferred tax (P/L)		1 929

Recognition of prior years' tax loss, as the entity has in fact earned sufficient taxable profits in 20x6

4				CU	CU
	Dr		Deferred tax (P/L)	5 400	
		Cr	Deferred tax (SFP)		5 400

Utilisation of tax loss, as benefit has been used up in 20x6 by paying less current income tax to SARS. The deferred tax asset must, therefore, be reversed.

5				CU	CU
	Dr		Deferred tax (P/L)	1 350	
		Cr	Deferred tax (SFP)		1 350

6 Tax rate reconciliations

One would anticipate that the tax expense recognised by the entity would be 27% of the profit before tax. However, this seldom happens due to differences in the tax treatment of some income and expense items in comparison with their accounting treatment in terms of the IFRS Accounting Standards. As discussed earlier, deferred tax allows for the recognition and reporting of the income tax consequences in the period in which the accounting income or expense is recognised. Deferred tax is only recognised for **differences** between accounting carrying amounts and the tax bases of assets and liabilities that will be **reversed** in the future. There are various differences between accounting profit and taxable profit for which deferred tax is not provided, including the following:

- The effect of temporary differences that are exempt from deferred tax, such as impairment losses relating to goodwill
- Items that are exempt from tax, such as dividends received, which are included in accounting profit but will never be included in taxable income
- Expenses that are not deductible for tax purposes, such as traffic fines and certain charitable donations.

In addition, the tax charge may include amounts that are not directly related to amounts recognised in accounting profit, such as the following:

- The effect of changing the deferred tax balance (when the tax rate is reduced, the amount of the adjustment is recognised as part of the current income tax expense in profit or loss – unless it originated in other comprehensive income or in equity; assuming a credit balance on the deferred tax account, a 1% reduction in the company tax rate implies a credit to profit or loss as part of the tax expense)
- The impact of different tax rates (for example, capital gains are taxed at the effective capital gains tax rate and foreign profits are taxed at a foreign tax rate).

The combination of these factors makes it unlikely that the tax expense recognised in profit or loss will ever be what users to the financial statements would expect it to be. As a result, an entity has to disclose a reconciliation between the actual tax expense in profit or loss and the accounting profit before tax multiplied by the applicable tax rate (27%). This can be done in either of the following ways:

- A numerical reconciliation between the actual tax expense and the accounting profit $\times$ the tax rate
- A numerical reconciliation between the average effective tax rate (total tax expense divided by the profit before tax) and the applicable tax rate.

Without disclosure of a tax rate reconciliation, it would be very difficult to understand the relationship between the tax expense recognised in profit or loss and the profit before tax. The effect of the tax rate reconciliation is that the entity is able to explain the differences that exist between the rate at which users of the annual financial statements would **expect** the entity to be taxed ('the standard' tax rate of 27%) and the **actual** rate at which the entity has paid tax (the 'effective tax rate', which is the total tax expense divided by the accounting profit before tax).

Something to watch

Watch the Learn Accounting video *Tax Rate Reconciliation*.

Example of reconciling the accounting profit to the entity's taxable income

Assume a tax rate of 27%.

An entity earns an accounting profit (before tax) of CU500 000. This accounting profit can be reconciled to the entity's taxable income of CU550 000 as follows:

The taxable income and the accounting profit are different, as certain items (the machine, dividends and fines) have been treated differently for accounting and tax purposes.

As discussed earlier, we only recognise deferred tax on temporary differences. Deferred tax will only be recognised on the difference between the accounting treatment and the tax treatment of the machine. In the current financial year, accounting profit is lower than taxable income by CU100 000 (being the depreciation of CU200 000 compared to the wear and tear allowances of CU100 000). The tax effect of this difference is CU27 000, which is brought to account by recognising a deferred tax credit of CU27 000 to profit or loss. In other words, if accounting profit is lower, this must mean that taxable income is higher, which further means that the current income tax expense is too high.

A deferred tax adjustment reducing the total expense in profit or loss is required.

The current income tax expense will be CU148 500, being the taxable income of CU550 000 multiplied by 27%.

The total tax expense is CU148 500 (current income tax expense) less CU27 000 (deferred tax credit to the statement of profit or loss and other comprehensive income), which equals CU121 500.

If there were no differences between the accounting treatment and the tax treatment of the above-mentioned items, we would have expected a total tax expense in profit or loss of CU135 000, being the accounting profit before tax of CU500 000 multiplied by 27%.

The following tax rate reconciliation explaining the difference between the actual tax expense and our expectation thereof is required:



The dividends were recognised as income in accounting profit and we would have expected to pay tax on the dividend income. However, as the dividends are exempt from tax, they have no tax consequences. The entity did not pay any current income tax on the dividends and also did not recognise any deferred tax. Consequently, the expectation of the income tax expense is too high (the theoretical tax expense based on accounting profit before tax). A reconciling item reducing the effective tax (the actual income tax expense recognised in profit or loss) is required.

The fines were recognised as an expense for accounting purposes. The entity would have expected to derive a benefit for tax purposes, which would be to pay less tax (as the fines are deducted). However, as the fines are not deductible for tax purposes, the entity does in fact not pay less current income tax. The entity's expectation of the income tax expense is too low. Consequently, a reconciling item increasing the effective (actual) tax is required.

7 Presentation and disclosure

The **tax expense** for the entity recognised in profit or loss should be disclosed on the face of the statement of profit or loss and other comprehensive income.

The **taxes payable** are included in current liabilities in the statement of financial position. **Deferred tax liabilities** and **deferred tax assets** are also required to be recognised on the face of the statement of financial position. Entities are required to classify assets and liabilities as current and non-current, unless a classification based on liquidity provides information that is more relevant and reliable. Entities that classify assets and liabilities as current and non-current are not permitted to classify deferred tax assets and liabilities as current.

Amounts collected on behalf of third parties do not represent an expense for the entity. Where these amounts are still due at the reporting date, they should be recognised as **current liabilities** because they are payable within the next 12 months.



ETHICAL DILEMMA

Ethical dilemmas can emerge when entities decide how much tax-related information to disclose to stakeholders. While there may not be a legal obligation to disclose certain tax information, stakeholders increasingly expect transparency in tax matters. Entities face dilemmas regarding the extent of information to disclose and how to communicate it, because they must balance the interests of stakeholders, compliance with legal requirements and the maintenance of their reputation.

7.1 Recognising amounts payable to SARS

Tax amounts payable to SARS resulting from **income tax payable** (including capital gains tax) should be recognised as a liability at the reporting date. Amounts payable to SARS resulting from different taxes can be grouped together, resulting in the total amount of tax payable being recognised as a **current liability**. As the amounts payable to SARS are based on estimated taxable income and capital gains, uncertainty exists about the timing and amounts until a final assessment has been received from SARS. As a result of this uncertainty, a **provision** should be recognised for taxation, which should be disclosed separately on the face of the statement of financial position or in the notes to the statement of financial position. Amounts paid to SARS during the year should be netted off against the tax payable provision. The liability or asset for current tax (that is, the net amount of the expense less payments made) must be disclosed separately on the statement of financial position.

VAT, dividends tax and employee tax are also amounts payable to SARS, and unpaid amounts should be recognised as a **liability** at the reporting date, as the timing and measurement of the amounts are known. Net VAT payable (output VAT less input VAT) and PAYE deductions are normally payable within the following month. These amounts should be recognised as **current liabilities** and can be included with other amounts payable on the face of the statement of financial position. Separate disclosure is not required.

7.2 Disclosure on the statement of profit or loss and other comprehensive income

The tax expense presented in the statement of profit or loss and other comprehensive income should include current tax and deferred tax. The **tax expense** is a disclosable item in profit or loss. All taxes charged during the accounting period should be included in this amount, and details of the different taxes and the periods to which they relate should be disclosed by way of a note to the financial statements. As discussed above, the tax expense relating to components of other comprehensive income may be disclosed on the face of the statement of profit or loss and other comprehensive income or the notes to this.

7.2.1 Presentation of amounts in profit or loss

The income tax expense recognised in profit or loss is required to be included on the face of the statement of profit or loss, or in the profit or loss section of the statement of profit or loss and other comprehensive income.

7.2.2 Presentation of amounts in other comprehensive income

This is dependent on whether the entity presents each component of other comprehensive income gross of the related income tax effects (and the income tax effects aggregated in one separate line item) or net of the related income tax effects.

7.3 Offsetting

An entity may only offset current assets and current income tax liabilities if that entity has a legally enforceable right to offset the recognised amounts, and intends either to settle the liability on a net basis or to realise the asset and settle the liability simultaneously. As an example, overpayment of VAT (an excess of input VAT) cannot be used to justify non-payment of current income tax obligations, and therefore a tax asset for VAT and a tax liability for current income tax can generally not be offset on the statement of financial position of an individual entity.

In terms of paragraph 74 of IAS 12, deferred tax assets and deferred tax liabilities can only be offset in the following circumstances:

- The entity has a legally enforceable right to offset current income tax assets against current income tax liabilities.
- The deferred tax assets and the deferred tax liabilities relate to income taxes levied by the same taxation authority on either of the following:
 - The same taxable entity
- Different taxable entities that intend either to settle current income tax liabilities and assets on a net basis or to realise the assets and settle the liabilities simultaneously in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

However, regarding the last point above, as there is no group tax relief in South Africa and as each legal entity is viewed as a separate tax entity, income tax assets (current income tax receivable or deferred tax assets) of one group entity cannot be offset against income tax liabilities (current income tax payable or deferred tax liabilities) of another group entity.

7.4 Disclosure in the notes to the financial statements

The IFRS Accounting Standards require an entity to disclose additional information about income taxes that would enable users of the entity's financial statements to evaluate the impact of the recognition of income taxes on the financial position and performance of the entity.

7.4.1 Disclosure of amounts recognised in profit or loss

The major components of tax expense (income) should be disclosed separately. The total tax expense (income) should be presented on the face of the statement of profit or loss, whereas the analysis of the major components is probably disclosed more meaningfully in the notes to the financial statements.

Components of the income tax expense (income) may include the following:

- Current income tax expense (income)
- Any adjustments recognised in the period for current income tax of prior periods
- The amount of deferred tax expense (income) relating to the origination and reversal of temporary differences
- The amount of deferred tax expense (income) relating to changes in the tax rate or the imposition of new taxes
- The amount of the benefit arising from a previously unrecognised tax loss or temporary difference of a prior period that is used to reduce current income tax expense
- The amount of the benefit from a previously unrecognised tax loss, tax credit or temporary difference of a prior period that is used to reduce deferred tax expense

- Deferred tax expense arising from the write-down, or the reversal of a previous write-down, of a deferred tax asset.

(This last adjustment could arise as a result of the requirement of paragraph 37 of IAS 12 that the recoverability of a deferred tax asset be reviewed at every reporting date and the balance written down or reinstated as appropriate.)

Note that disclosure is also required of the aggregate current tax, as well as the deferred tax relating to items that are charged or credited to equity and the amount of income tax relating to each component of other comprehensive income.

An explanation of the relationship between tax expense (income) and accounting profit must be provided. This may be done in either or both of the following forms:

- A numerical reconciliation between tax expense (income) and the product of accounting profit multiplied by the applicable tax rate
- A numerical reconciliation between the average effective tax rate and the applicable tax rate.

Whichever form the reconciliation takes, the basis on which the applicable tax rate is computed should be disclosed. An explanation of changes in the average effective tax rate compared to the previous accounting period should also be disclosed.

7.4.2 Disclosure of amounts recognised in other comprehensive income

Irrespective of how components of other comprehensive income are presented on the face of the statement of profit or loss and other comprehensive income, separate disclosure is required of the income tax effect relating to each component of other comprehensive income.

7.4.3 Disclosure of deferred tax balance and temporary differences

The IFRS Accounting Standards require disclosure of amounts presented in the statement of financial position as well as disclosures relating specifically to deferred tax assets.

Disclosure of deferred tax balances

For each type of temporary difference, including tax losses, disclosure is required of the amount of the deferred tax asset and liability recognised in the statement of financial position for each period presented.

Disclosure when deductible temporary differences and tax losses exceed taxable temporary differences

When deductible temporary differences and tax losses exceed taxable temporary differences, the recognition of a debit balance has to be considered. If a debit balance is created, specific disclosure relating to that balance may be required. If a debit balance is not created, disclosure of the deferred tax asset that has not been recognised is required.

Debit balance created

An enterprise should disclose the amount of a deferred tax asset and the nature of the evidence supporting its recognition, if the utilisation of the deferred tax asset is dependent on future taxable profits in excess of the profits arising from the reversal of existing taxable temporary differences.

Disclosure of the evidence supporting the recognition of a deferred tax asset is also required where the enterprise has suffered a loss in either the current or a preceding period. Where an enterprise has suffered a recent loss, financial statement analysts will want assurance that the asset will probably give rise to a future benefit.

Debit balance not created

Disclosure is required of the amount (and expiry date, if any) of deductible temporary differences, unused tax losses and unused tax credits for which no deferred tax asset is recognised in the statement of financial position. This disclosure is relevant, as it gives an indication of the extent to which future income tax payments could be reduced by amounts that have not been recognised in the statement of financial position.

Key points to take from this chapter

- Taxation represents a major expense for most entities, and the administration of collecting taxes adds to the risks and obligations of operating a business.
- The accounting and reporting of income tax is dealt with in IAS 12, *Income Taxes*.
- Taxation recognised in an entity's financial statements comprises current tax and deferred tax.
- Current tax is a direct tax that is payable in the current year and is based on the taxable income of the entity for the year. Entities are usually required to make provisional tax payments during the year for current tax payable.
- Where an entity does not have a taxable income for the year, but has made a loss for tax purposes that has been acknowledged by the tax authority, this is referred to as an 'assessed loss'. An entity with an assessed loss is not required to pay any taxes in that year and may, under certain circumstances, use an assessed loss as a deduction from future profits.
- An entity may also be required to collect and pay indirect taxes, which are taxes that are collected on behalf of the tax authority (for example, VAT and employee taxes).
 - Deferred tax is recognised in accordance with the accrual basis and is not paid. Deferred tax is recognised based on taxable or deductible temporary differences between the carrying amount of an entity's assets and liabilities and their respective tax bases.
- Taxable temporary differences are temporary differences that will result in an increase in tax payable in the future and are recognised as a deferred tax liability.
- Deductible temporary differences result from circumstances where amounts that are deductible in calculating taxable income are greater than the equivalent amounts that

will be expensed for future accounting purposes or where amounts that will be taxable are less than the equivalent amounts that will be recognised as accounting income in the future.

- Deductible temporary differences give rise to the recognition of a deferred tax asset. However, a deferred tax asset should not be recognised if there is a low probability that it will give rise to economic benefits in the future.
- Deferred tax should be recognised at the appropriate rate applicable to the transaction based on the economic benefits that are expected from the use of that asset.
- The deferred tax expense (debit or credit) should be recognised in profit or loss, other comprehensive income or equity in line with the underlying transaction or event.
- There are several disclosure requirements for current and deferred tax.

Discussion questions

1. Explain the difference between accounting profit or loss and taxable income.
2. Explain when the tax expense and related liability should be recognised in terms of the *Conceptual Framework*.
3. Explain how capital gains tax is calculated and included in taxable income.
4. Discuss how VAT, dividends tax and employee tax affect the accounting records of an entity.
5. Explain the difference between current income tax and value-added tax (VAT).
6. Explain the difference between current income tax and deferred tax.
7. Explain why and when deferred tax adjustments are recognised.
8. Explain what is meant by a temporary difference.
9. Explain the circumstances under which we would not recognise deferred tax even though a temporary difference exists.
10. Explain the difference between taxable and deductible temporary differences.
11. In terms of the *Conceptual Framework*, discuss how taxable and deductible temporary differences give rise to deferred tax liabilities and assets respectively.
12. Explain how we decide which tax rate to use in measuring a deferred tax balance.

13. Describe where the deferred tax contra adjustment to the deferred tax recognised in the statement of financial position should be recognised.

14. Explain what is meant by a tax rate reconciliation.

Exercise questions

Question 1

The following information applies to Kenmain Ltd, a fashion retailer, for its current financial year, which ended on 28 February 20x0:

- The entity has a policy of making three provisional tax payments in respect of each year of assessment.
- Amounts due to SARS at 28 February 20x9 amounted to CU5 500. The third provisional payment for the 20x9 financial year was made on 31 August 20x9.
- Two provisional tax payments totalling CU61 000 were made during the current financial year.
 - The tax assessment for the financial year ended 28 February 20x9 was received during November 20x9, showing a taxable income of CU198 000, as opposed to the estimate made by the entity of CU204 000. An amount of CU2 000 (including any interest owing to Kenmain) was received from SARS together with the assessment.
- Profit before tax was correctly calculated at CU247 000 for the year.
- Profit before tax included depreciation on machinery amounting to CU45 000 and expenses not deductible for income tax purposes amounting to CU5 000.
 - SARS allows a deduction for wear and tear on machinery of CU62 000.
- Rental income received in advance at 28 February 20x0 (that is, for the period from March to June 20x0) amounting to CU30 000 is considered to be 'received amounts' in terms of the *Tax Act* and is therefore taxable at 28 February 20x0.
- Kenmain declared a dividend of CU60 000 on 20 February 20x0, payable on 5 March 20x0.

Assume a normal tax rate of 27% and a dividends tax rate of 20%.

You are required to do the following:

1. Calculate the taxable income for Kenmain Ltd for the year ended 28 February 20x0.
2. Prepare the SARS general ledger account for the year ended 28 February 20x0.

3. Provide the note disclosure relating to the taxation expense to be included in the financial statements of Kenmain Ltd for the year ended 28 February 20x0. Comparatives are not required.

4. Calculate the amount of the third provisional payment due to SARS for the financial year ended 28 February 20x0.

Question 2

Part 1

QW Ltd has prepared its deferred tax calculation. Its partial workings for this calculation include the following:

	Carrying amount	Tax base	Temporary difference	Rate	Deferred tax balance
	CU	CU	CU		CU
Pre-paid expenses	50 000	0	50 000	27%	13 500

You are required to do the following:

1. Explain why the tax base is zero.
2. State the type of temporary difference.
3. Prepare the journal entry that will be processed to recognise the deferred tax consequences.

Part 2

QW Ltd purchased a motor vehicle on 01 January 20x6 for CU150 000. It has been depreciated over five years and the wear and tear allowance is 33⅓%.

You are required to do the following:

Determine what the deferred tax balance would be with respect to this asset at 31 December 20x6. Assume that a tax rate of 27% has always applied.

Question 3

The carrying amount of a liability is CU400 000 and the tax base is CU300 000.

You are required to do the following:

Briefly explain whether this would give rise to a deferred tax asset or a liability.

Question 4

A Ltd had net taxable temporary differences at 28 February 20x6 of CU300 000 (28 February 20x5: CU500 000). A Ltd made a profit (before tax) of CU600 000 during the 20x6 financial year. Depreciation of CU400 000 is included in the profit before tax amount for the 20x6 financial year. SARS granted a wear and tear allowance of CU200 000 in the calculation of taxable income for the 20x6 financial year. A Ltd also recognised dividends received of CU50 000 as income in the 20x6 financial year. A Ltd's financial year end is 28 February and the tax rate changed from 28% to 25% during the 20x6 financial year.

You are required to do the following:

1. Calculate the opening deferred tax balance of A Ltd as at 01 March 20x5, using a tax rate of 28%.
2. Calculate the opening deferred tax balance of A Ltd as at 01 March 20x5, using a tax rate of 25%.
3. Prepare the journal entry required to reflect the change in tax rate in the 20x6 financial statements of A Ltd.
4. Calculate the current income tax expense of A Ltd for the 20x6 financial year and process the related journal entry.
5. Calculate the deferred tax expense or benefit that A Ltd will recognise in profit or loss for the 20x6 financial year.

Reference

Kew, J. 2024. *Financial Accounting: An Introduction*. (6th ed.). Cape Town: Oxford University Press.

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.

CHAPTER

19

Borrowing costs

IFRS reference

IAS 23: *Borrowing Costs*

IFRS for SMEs Accounting Standard reference

Section 25: *Borrowing Costs*

1 Introduction

2 When borrowing costs can be capitalised

2.1 [Identifying a qualifying asset](#)

2.2 [Requirements for capitalising borrowing costs](#)

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3.1 [Capitalisation of specific borrowing costs](#)

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4 The capitalisation period

4.1 [Excess of carrying amount of the qualifying asset over its recoverable amount](#)

5 Disclosure

Key points to take from this chapter

Discussion questions

Exercise question

Reference

Learning objectives

By the end of this chapter, you should be able to:

- Identify when borrowing costs should be capitalised.
- Distinguish between general and specific borrowing costs.
 - Calculate borrowing costs to be capitalised.
- Identify if and when capitalisation of borrowing costs should be suspended and/or resumed.
 - Disclose capitalised borrowing costs.

Concept summary



1 Introduction

In some cases, an entity needs to invest in an asset that takes a substantial period of time before it is ready for use or sale. The cost of an asset includes all the costs incurred in getting the asset into the location and condition in which it can be used for the purpose for which it was acquired or constructed. Therefore, any borrowing costs incurred related to such an asset should form part of the cost of that asset.

Example of interest incurred by borrowing funds to build a factory

An entity that wished to build a factory acquired a piece of land. It employed architects, engineers and other professionals, and then incurred building costs over an extended period before it was able to use that factory to produce future benefits. Assuming that the entity borrowed money to finance the construction of the building, it would incur interest on the money borrowed.

The interest expense incurred while the entity was constructing the factory forms part of the cost of the property. Economic benefits will flow to the entity from using the factory.

The interest incurred is therefore not an expense, as it forms part of the cost of the asset and was incurred as part of the costs to get the asset to a condition in which it can be used. The interest was incurred as part of the acquisition cost of the factory. Even if the entity does not use the factory but decides to sell the property when the factory is complete, the property will presumably be worth more than the original cost of the land and factory, so the entity will still derive economic benefits that exceed the cost of building and financing the property.

The interest incurred by the entity is a **borrowing cost** (costs incurred by an entity in connection with the borrowing of funds). Under certain circumstances, these borrowing costs should be capitalised as part of the cost of an asset. In other words, the borrowing costs are treated as part of the cost of an asset rather than being charged against profit or loss when incurred. It is only appropriate to capitalise borrowing costs where they arise as a direct consequence of developing an asset to a point at which it can produce future benefits. The accounting treatment of borrowing costs is the subject of IAS 23, *Borrowing Costs*.

Borrowing costs

... that are directly attributable to the acquisition, construction or production of a qualifying asset form part of the cost of that asset. Other borrowing costs are recognised as an expense.

Something to think about

The construction of power stations

Eskom has been building two new large coal-powered power stations, Medupi and Kusile, and has borrowed substantial amounts of money to fund their construction. Since power stations take a substantial period of time before becoming ready for their intended use, the borrowing costs incurred form part of the cost of these power stations. In the 2022 financial year, Eskom incurred interest charges in total of R43.6 billion, of which R8.2 billion was capitalised to property, plant and equipment. The proportion of interest capitalised over time has reduced as more units of the power stations are ready to operate as intended.

IFRS for SMEs Accounting Standard application

Small and medium-sized entities that do not have public accountability and that publish general purpose financial statements for external users may apply the *IFRS for SMEs* Accounting Standard when preparing financial statements. Section 25 of the *IFRS for SMEs* Accounting Standard, *Borrowing Costs*, requires an entity to recognise all borrowing costs as an expense in profit or loss in the period in which they are incurred. Interest expensed in profit or loss should be disclosed as finance costs. An entity that applies the *IFRS for SMEs* Accounting Standard when preparing financial statements will, therefore, not follow the capitalisation requirements set out in the rest of this chapter.

2 When borrowing costs can be capitalised

Borrowing costs consist of interest as well as other costs incurred by an entity in connection with the borrowing of funds. These include interest in respect of lease liabilities and the exchange differences arising from foreign currency borrowings.

Borrowing costs are capitalised when the entity has incurred interest relating to the financing of construction expenditure on a 'qualifying asset'.

Key principle: Capitalising borrowing costs

In order for borrowing costs to be capitalised, the following criteria must all be satisfied:

- The asset must be a qualifying asset, meaning there must be a necessary substantial time lag between the entity incurring expenditure and being able to benefit from this expenditure.
- Expenditures for the asset must have been incurred.

- Borrowing costs must have been incurred.
- Activities that are necessary to prepare the asset for its intended use or sale must be in progress.

2.1 Identifying a qualifying asset

In terms of IAS 23, an entity can only capitalise borrowing costs where the entity has a '**qualifying asset**', which is defined as an asset that necessarily takes a **substantial period of time to get ready for its intended use or sale**. IAS 23 does not define what 'substantial' means. The management of an entity must therefore exercise judgement in deciding whether a substantial period of time has elapsed in getting the asset ready for its intended use or sale. Typically, qualifying assets are those assets that are constructed over months (if not years), such as manufacturing plants, facilities for power generation and buildings. Assets classified as inventory can be qualifying assets if they take a substantial period of time to get ready for sale. For example, a property developer who is developing houses for sale would classify the houses as inventory, and they would be qualifying assets.

Where an asset is a qualifying asset, the implication is that the entity will incur costs, including borrowing costs if financed by debt, before the asset could possibly give rise to benefits. Borrowing costs that are **directly attributable to the acquisition or construction of an asset** should then be included in the cost of the asset.

Example of subsequent measurement of borrowing costs

This is a continuation of the earlier example ('Example of interest incurred by borrowing funds to build a factory').

Including the borrowing costs as part of the cost of the factory means that the borrowing costs will not be expensed initially but will rather be expensed, as part of the depreciation expense, over the estimated useful life of the factory.

Because there is a significant time lag between when the borrowing costs are incurred and when the economic benefits inherent in the asset that is being constructed can be produced, capitalising borrowing costs makes sense. If an asset is not a qualifying asset, borrowing costs are not a necessary part of the costs incurred in getting the asset ready for its intended use. They should, therefore, not be capitalised as part of the cost of the asset. If an asset is acquired and is ready for use or sale, even if the acquisition is financed through borrowed funds and the entity incurs interest, those borrowing costs should not be capitalised as part of the cost of the asset because it is ready for use or sale.

However, note that there are some **exceptions**. Certain assets, including the following, may take a substantial period of time before they are ready for use or sale, but IAS 23 does not allow borrowing costs to be capitalised as part of the cost of these assets:

- A qualifying asset that is measured at fair value (for example, a biological asset)
- Inventory that is manufactured or otherwise produced over a short period of time
- Financial assets.

2.2 Requirements for capitalising borrowing costs

In order for borrowing costs to form part of the cost of a qualifying asset, firstly, the entity must have **incurred expenditure** in relation to the asset. This expenditure may have resulted in payments of cash, transfers of other assets or the assumption of interest-bearing liabilities. Incurring these costs implies that the entity has had to use its financial resources in order to finance the expenditure, which it may have done either by taking on additional borrowings or by diverting existing financial resources from other projects to this project. In most cases, the expenditure incurred will be the construction costs of the assets.

Secondly, borrowing costs can only be capitalised as part of the cost of the asset **if borrowing costs have actually been incurred**. Some entities do not borrow money to finance the costs of the qualifying asset, as they have raised sufficient capital from their owners (shareholders) in the form of an initial capital injection or through the retention of profits. In either case, borrowing costs were not incurred and would not be capitalised. It is not acceptable to calculate a theoretical financing cost and to capitalise it.

Example of when borrowing costs can be capitalised

This is a continuation of the earlier example ('Example of interest incurred by borrowing funds to build a factory').

Consider the following scenarios:

- Scenario 1: The entity paid for the construction of the factory using its own funds. As the entity did not require any financing, no borrowing costs were incurred. Thus, no borrowing costs can be capitalised.
- Scenario 2: The entity used third-party financing to pay for the construction of the factory. Any borrowing costs incurred after the commencement of the activities should be capitalised (see the example that follows).

Finally, borrowing costs can only be capitalised **where activities that are necessary to prepare the asset for its intended use or sale are in progress**. This restriction is in place to ensure that the only borrowing costs that are capitalised are those costs that are actually being used to get the asset ready for its intended use. This implies that the entity should **begin** to capitalise borrowing costs when **all the criteria** are in place and that the entity should only continue to capitalise these costs while progress is being made in getting the asset ready for its intended use (see Section 4). In terms of

IAS 23, the **activities** necessary to prepare the asset for its intended use or sale encompass more than the physical construction of the asset. They include technical and administrative work prior to the commencement of physical construction, such as designing the asset (for example, the architect's fees incurred in designing a factory) or the acquisition of permits prior to starting the physical construction. However, borrowing costs incurred while land acquired for building purposes is held without any associated development activity does not qualify for capitalisation.

Example of interest incurred prior to the commencement of building activities

This is a continuation of the earlier example ('Example of interest incurred by borrowing funds to build a factory').

The entity purchased a plot of land with the intention of constructing a factory on it. Any borrowing costs incurred prior to the commencement of building activities may not be capitalised. Thus, when no activities (physical, technical or administrative) relating to the factory's construction have as yet occurred, the borrowing costs may not be capitalised.

When development begins, however, the interest incurred from that point on may be capitalised.

3 Identifying borrowing costs for capitalisation

The borrowing costs that should be capitalised are the borrowing costs that are directly attributable to the construction or acquisition of a qualifying asset (in other words, borrowing costs that would not have been incurred had the asset not been constructed or acquired). Where the entity borrows specifically for the purpose of acquiring a particular asset (such as a mortgage bond against a specific acquisition of land), the borrowing costs relating to that acquisition can be identified easily. This type of borrowing cost is referred to as a '**specific borrowing cost**' because the qualifying asset is the specific reason for borrowing the money.

In some cases, there is no direct link between the borrowing costs incurred and the acquisition of the asset, but that does not imply that the acquisition of the asset did not give rise to borrowing costs. In some cases, entities or groups co-ordinate their borrowings centrally; they borrow generally for a number of different purposes. There is therefore no direct link between a borrowing and a specific project, but if the acquisition or construction of the asset had not taken place, the entity would have borrowed less and would therefore have incurred lower borrowing costs. Even though there are no specific borrowings linked to the acquisition of the asset, the general level of borrowings is higher than it would have been had the asset not been acquired. In the case of general borrowings, it is still appropriate to capitalise borrowing costs, as additional borrowing costs have been incurred as a result of the construction or acquisition. This type of borrowing cost is known as a **general borrowing cost**.

3.1 Capitalisation of specific borrowing costs

Where funds are borrowed for a specific project, the borrowing costs relating directly to the qualifying asset can be identified readily. The amount of borrowing costs eligible for capitalisation on that asset is the actual amount of borrowing costs incurred less any investment income on the temporary investment of those borrowings.

When an entity borrows an amount, it may receive the cash, and then spend it on the asset in stages. In other words, the entity may borrow an amount up front, but only use the cash at various intervals during the construction period. The excess cash would presumably be invested in an income-earning investment until it is required for the asset. The total amount that is capitalised is therefore the **net interest expense** (the interest expense on the specific loan less the interest income on the surplus cash).

3.2 Capitalisation of general borrowing costs

Where an entity has borrowings, but not specific borrowings, as a result of a qualifying asset, the amount of interest incurred on the entity's borrowings cannot be linked directly to the expenditure incurred on the qualifying asset. Therefore, the borrowing costs that should be capitalised are determined by calculating the average borrowing rate of the entity and applying that to the expenditures incurred on the qualifying asset.

The average borrowing rate (the capitalisation rate) is the **weighted average** of the borrowing costs applicable to the borrowings of the entity that are outstanding during the period, other than specific borrowings made specifically for the purpose of obtaining a qualifying asset.

The amount of general borrowing costs that can be capitalised is limited to the actual amount of borrowing costs incurred by the entity during the period. While IAS 23 is not clear on this point, the actual interest incurred presumably excludes the interest incurred on specific borrowings. This limitation is necessary, as a rate is calculated and then applied to the expenditure incurred, which implies that all the expenditure has been financed by general borrowings. Remember that with general borrowings, there is no direct link between the borrowings and the qualifying asset. All that is known is that the level of general borrowings is higher than it would have been had there

been no costs incurred on the qualifying asset, but there is no way of knowing the extent to which general borrowings have financed the qualifying asset. If part of the expenditure was actually financed by own equity (for example, shareholders) or even available cash resources and not lenders, the amount calculated for capitalisation could exceed the amount of borrowing costs incurred. Therefore, limiting the amount to the actual borrowing costs incurred is a necessary final check.

When general borrowing costs are capitalised, the amount that is capitalised is based on the expenditure incurred and the general borrowing rate as calculated above. Note that this differs from the borrowing costs that are incurred on specific borrowings (the amount capitalised to the qualifying asset is the actual borrowing costs incurred less any interest income on the reinvestment of surplus funds).

When you calculate what borrowing costs are to be capitalised, you must consider when the expenditure was incurred. Put simply, some expenditure is incurred at a specific point in time (for example, when a piece of land is bought). In other cases, expenditure is incurred over a period of time and appropriate weightings therefore need to be applied in order to calculate the amount that the entity has to capitalise. Assume that an entity incurs construction costs of CU12 million over 12 months on a qualifying asset. This implies that no construction costs were incurred at the beginning of the 12-month period and that by the end of 12 months, CU12 million in costs had been incurred.

The entity therefore did not have to finance CU12 million for the entire 12-month period. Assuming that the expenditure was incurred evenly throughout the 12-month period, the average expenditure was CU1 million a

month. The average over the year was CU6 million, being 

This amount takes into account the fact that the expenditure was incurred evenly over the period, as opposed to in full at the beginning or end of the period. Interest will be capitalised on the average of CU6 million.

Expenditure incurred may also include borrowing costs that have been capitalised in previous periods (for example, if the construction of a building spans a number of years). If the building is a qualifying asset in each of those years, then at the end of year 1, borrowing costs would have been capitalised to the cost of the building. Therefore, in year 2, the expenditure that has been incurred will be the expenditure incurred in year 1 (including the capitalised borrowing costs) as well as any expenditure incurred during year 2.

Example of general borrowing costs

Assume that the capitalisation rate for an entity's general borrowings amounts to 10.45% per annum. If CU12 million (incurred evenly over the 12 months) is required for the construction of a qualifying asset and the full CU12 million is funded by general borrowings, then during the financial year, the entity could capitalise borrowing costs of CU627 000, which is CU6 million (the average expenditure incurred) multiplied by 10.45%. However, if the actual borrowing costs incurred were only CU107 540, the entity would not be able to capitalise the full CU627 000 (which exceeds the actual borrowing costs), but would be limited to CU107 540.

4 The capitalisation period

The capitalisation period is the period over which the borrowing costs can be capitalised to the qualifying asset. Capitalisation can only begin when all the criteria necessary for capitalisation have been satisfied. This implies that the entity must have **incurred expenditure as well as borrowing costs** and must be **undertaking activities** that are necessary to prepare the asset for its intended use. Activities of this nature may include drawing up plans, getting council approval and so on. These activities may not all include expenditure, but would give rise to capitalisation of borrowing costs where there was previous expenditure that had to be financed.

Typically, an entity would buy a property, and then start the process of drawing up plans and so on. The acquisition of the property would give rise to expenditure and borrowing costs. It would only be appropriate to capitalise the borrowing costs if some form of activity were being undertaken in order to get the property ready for its intended use. If the entity was unsure of what to do with the property at the date of acquisition, capitalisation would be inappropriate, as no activities would be undertaken to get the asset ready for its intended use.

Capitalisation should be **suspended** when active development is interrupted for extended periods. The borrowing costs should be expensed during these periods. For example, if the workforce goes on a protracted strike, causing construction to be suspended, the borrowing costs incurred during this period should be expensed, as the strike is not a necessary delay in the construction process. Presumably management could have negotiated with its employees and avoided the strike. However, in some cases, delays are a necessary part of the construction process. For example, it may be necessary to carry out substantial technical and administrative activities. Inevitable delays may also occur from allowing the construction to settle or there may be heavy rains during winter that halt construction. These contingencies have nothing to do with management's decision to suspend activities. In such cases, capitalisation should continue.

Capitalisation of borrowing costs should cease when all the activities necessary to prepare the qualifying asset for its intended use are **substantially complete**. Once capitalisation ceases, further borrowing costs should be recognised as an expense, as opposed to being included in the cost of the asset. An asset is normally ready for its intended use or sale when the physical construction is complete, even though minor construction work (such as small modifications or painting of the building) may still need to be completed. The term 'substantially complete' is used to prevent entities from manipulating the recognition of borrowing costs (for example, an entity cannot leave off the last coat of paint in order to continue capitalising the borrowing costs as an asset, as opposed to treating them as an expense).

Where an asset is being constructed in parts and each part is capable of being used while construction continues on other parts, the entity ceases to capitalise borrowing costs when it completes substantially all activities necessary to prepare that part for its intended use or sale, even though construction is still continuing on the other parts. For example, an office park may comprise several buildings, where each building is a qualifying asset and is capable of being used while construction on the rest of the office park continues. On the other hand, where an asset is, for example, a complex piece of machinery that comprises many different components that cannot be used in isolation, but that can only be used when assembled, the capitalisation of borrowing costs would cease only when the entire machine has been substantially completed and assembled, even though the manufacture of its component parts may have been completed previously.

Example of calculating a capitalisation rate

An entity started a project on 1 January 20x7. On that date, the entity raised a loan of CU1 million at 10% per annum to finance the project. In addition, the entity also had access to the following borrowings:

- An overdraft facility; the overdraft was CU300 000 as at 1 January 20x7 and CU800 000 as at 31 December 20x7 (the entity's financial year end). Interest incurred on the overdraft for the 20x7 financial year was CU50 000.
- The entity issued debentures at an issue price of CU959 000 on 1 July 20x7. The effective interest rate was 12% per annum.

Firstly, identify the nature of the borrowings:

- The CU1 million borrowed on 1 January 20x7 was specifically borrowed for this project and is therefore a specific borrowing.

- The overdraft facility and the debentures are general borrowings.
- The general borrowing rate is calculated by comparing finance costs incurred on all borrowings other than specific borrowings (that is, all general borrowings) over the average amount of general borrowings, as follows:



The capitalisation rate therefore equals 

Notes

1 The overdraft facility increased from CU300 000 as at 1 January 20x7 to CU800 000 as at 31 December 20x7. The increase of CU500 000 is assumed to have arisen evenly throughout the 20x7 financial year, which implies that the full CU500 000 increase did not occur at the beginning or at the end of the 20x7 financial year. The average

overdraft facility for the 20x7 financial year is therefore 

The interest of CU50 000 was incurred during the 20x7 financial year.

By calculating the average overdraft facility, we have an amount outstanding that is comparable with the period over which the interest was incurred.

2 The debentures were issued at CU959 000 on 1 July 20x7. They were outstanding for only six months. Thus, the weighted general borrowings outstanding for the 20x7

financial year relating to the debentures is CU479 500 

Interest incurred for the 20x7 financial year amounts to 

(the half year being the six months from 1 July 20x7 to 31 December 20x7).

Weighting the debentures for six months makes sense, as we know that the effective interest rate is 12%. If we did not weight the debentures for six months, this would result in the calculation of the capitalisation rate including an interest rate on the debentures of

 which would distort the capitalisation rate.

Example of the capitalisation of borrowing costs

Construction Ltd purchased a piece of land on 30 September 20x6 for CU10 million. Of the purchase cost, 80% was financed by a mortgage bond with a fixed interest rate of 16% per annum. On 30 September 20x6, an architect was employed to design a factory

and to get the necessary council approvals. Construction commenced on 1 January 20x7 and took 24 months to complete. Total construction costs of CU24 million were incurred evenly over that period (CU1 million per month). At 1 January 20x7, CU5 million was borrowed at a fixed borrowing rate of 13% per annum specifically to fund the construction activities. As not all the money was required immediately, the surplus amount was invested and earned interest of CU125 000. The average borrowing rate of all the general borrowings is 15% per annum (excluding the effect of the two specific borrowings referred to above). Total general borrowing costs incurred are in excess of the amount to be capitalised. Construction Ltd has a 31 December year end and capitalises borrowing costs annually.

Capitalisation period

Expenditure is incurred on the land on 30 September 20x6 and borrowing costs are incurred from that point. Activities are being undertaken to get the asset ready for its intended use (as evidenced by the employment of an architect to design the factory).

The asset (the land) is a qualifying asset, as there is a necessary time lag between buying the land and being able to use it as intended (that is, to house the factory).

Capitalisation should cease at the end of the construction period of 24 months, as at that stage the asset is substantially ready for its intended use. The capitalisation period is therefore from 30 September 20x6 to 31 December 20x8.

The factory building is also a qualifying asset and capitalisation will commence on 1 January 20x7, as expenditure and borrowing costs have been incurred and activities to construct the factory have begun from that date. Technically, the entity would have incurred costs on the architect's fees (employed on 30 September 20x6). However, the scenario does not state when the architect was paid and the first expenditure to be incurred is therefore assumed to take place on 1 January 20x7. As with the land, capitalisation will cease on 31 December 20x8.

Expenditure incurred on a date

The acquisition of the land on 30 September 20x6 is funded by both specific and general borrowings. The mortgage bond is clearly a specific borrowing, as the loan was taken out specifically to finance the acquisition of the land. The balance of the 20% purchase of the land is financed out of general borrowings. (Construction Ltd would have to utilise general borrowings to pay the remaining 20% since there is no indication of existing surplus cash resources being utilised.) All the borrowing costs relating to the mortgage bond until 31 December 20x8 (when the asset is ready for its intended use) should be capitalised as part of the costs of the land.

Expenditure incurred over a period: Specific borrowings

The construction costs are partially financed by specific borrowings (the CU5 million borrowed on 1 January 20x7), with the balance being financed by general borrowings. All the borrowing costs on the CU5 million should be capitalised as part of the property

cost. The property cost should be reduced by the interest earned on the temporary investment of the specific borrowings.

Expenditure incurred over a period: General borrowings

The balance of the construction costs is CU19 million (CU24 million – CU5 million), which is financed by general borrowings. This implies that the general borrowing rate of 15% should only be applied to the construction costs incurred after the specific borrowings were fully utilised. General borrowings are therefore only utilised to finance expenditure incurred from 1 June 20x7, as, for the first five months (from 1 January 20x7 to 31 May 20x7), the CU1 million expenditure incurred per month was financed by the specific borrowings of CU5 million.

Borrowing costs on borrowing costs

As the entity has incurred borrowing costs during the construction period, these borrowing costs form part of the expenditure necessarily incurred in order to get the asset ready for its intended use. The carrying amount of the asset (which comprises incurred expenditure as well as borrowing costs capitalised in prior periods) represents the expenditure incurred previously and is used to calculate borrowing costs in subsequent periods. The calculation of these amounts depends on how frequently borrowing costs are capitalised. In this case, borrowing costs are only capitalised annually. The total borrowing costs incurred during the first year of construction (and therefore also the borrowing costs financed during the second year) will be based on all the construction costs plus the borrowing costs from the first year.

Borrowing costs 20x6 Land



Factory

Zero, as no expenditure has been incurred on constructing the factory as yet.

Borrowing costs 20x7 Land



Factory



Borrowing costs 20x8
Land



Factory



Carrying amount on 31 December 20x8:
Land



Factory



The carrying amount of property (assuming that it is not impaired) is CU41 475 326 (CU13 919 388 + CU27 555 938).

Notes

1 Of the cost of the land, 80% was financed by specific borrowings (being a mortgage bond), weighted for the period of the year that it was outstanding. Actual borrowing costs incurred (at a 16% per annum fixed mortgage rate) have been capitalised.

2 The balance of the cost of land was financed by the general borrowing rate. A rate of 15% per annum has been used (in practice, this is likely to differ for each of the three years).

3 The prior year's borrowing costs have to be financed and therefore form part of the expenditure on the asset. In terms of the information, capitalisation is done annually. The general borrowing rate is used in this calculation, as it is a good approximation of the average cost of financing for the entity.

4 Capitalisation of borrowing costs on specific borrowings for 20x7 and 20x8 is shown as borrowings outstanding for that period. Note that the amount that has been capitalised is based on the actual borrowing costs incurred, as opposed to the amount of the expenditure incurred.

5 Surplus specific borrowings were temporarily invested and earned investment income, which reduces the specific borrowing costs to be capitalised. As all specific borrowings were utilised in 20x7, there is no investment income in 20x8.

6 Of CU12 million expenditure in 20x7, the first CU5 million was financed by specific borrowings and the remaining CU7 million by general borrowings. General borrowings are therefore only utilised from 1 June 20x7 and are only utilised for seven months of the year. The average expenditure over the seven-month period is half of the total CU7 million financed by general borrowings.

7 Prior year construction costs have to be financed until the asset is ready for its intended use. The costs are financed for the full year, as they were all incurred by the beginning of the year.

8 The current year's construction costs are all financed by general borrowings and are incurred evenly over the construction period.

Check your answer

Once all the calculations are complete, there are two additional checks that need to be done:

- Firstly, the amount of general borrowing costs capitalised in any year cannot be in excess of the actual borrowing costs incurred. If the amounts for general borrowing costs exceed the amount actually incurred, the excess cannot be capitalised. This does not apply in this example, as the scenario indicated that the actual general borrowing costs incurred exceeded the amount to be capitalised at all times.
- Secondly, the carrying amount of the asset, including the capitalised borrowing costs, cannot exceed the recoverable amount relating to that asset. If that happens, the asset is said to be impaired and the impairment loss must be recognised.

4.1 Excess of carrying amount of the qualifying asset over its recoverable amount

When the carrying amount of the qualifying asset exceeds its recoverable amount or net realisable value, the asset is impaired in accordance with IAS 36, *Impairment of Assets*, or IAS 2, *Inventories*. This does not, however, mean that the entity ceases to capitalise borrowing costs. These will continue to be capitalised if the requirements are met. In other words, if the asset is impaired, any impairment loss should be expensed as and when necessary.



ETHICAL DILEMMA

The capitalisation of borrowing costs can present some ethical dilemmas, for example:

- Capitalising excessive borrowing costs: Ethical dilemmas arise when entities capitalise

borrowing costs that are deemed excessive or unnecessary. Capitalising excessive borrowing costs may artificially inflate the value of assets or projects, potentially misleading stakeholders and distorting financial statements. Entities must exercise ethical judgement in determining what constitutes reasonable and justifiable borrowing costs for capitalisation.

- Differential treatment of borrowing costs: Ethical dilemmas can emerge when entities apply inconsistent treatment to borrowing costs across different projects or assets. Differential treatment may arise due to biases or subjective judgment, potentially leading to unfair treatment of stakeholders or misallocation of costs. Entities should ensure consistent and equitable treatment of borrowing costs to maintain ethical standards and fairness.
- Lack of transparency: Ethical dilemmas emerge when entities fail to provide transparent and accurate information regarding the capitalisation of borrowing costs. Lack of transparency can mislead stakeholders, including investors and creditors, about the true financial position and performance of the entity. Ethical considerations require entities to ensure proper disclosure and communication regarding the capitalisation of borrowing costs.

Addressing ethical dilemmas in the capitalisation of borrowing costs requires entities to adhere to ethical principles of transparency, accountability and fairness. Sound judgement, adherence to accounting standards and proper disclosure are essential to ensure that borrowing costs are appropriately capitalised and accurately reported. Ethical decision-making should consider the interests and impacts on stakeholders, as well as the long-term sustainability and integrity of the organisation.



Link to the Sustainable Development Goals

Management of an entity may be reluctant to make investments in future productive capacity if that means having to record losses upfront whilst the returns take time. Sustainable Development Goal 9 is 'Build resilient infrastructure, promote inclusive and sustainable industrialization and foster innovation' (UN, 2015:14). Standards such as IAS 23 assist by allowing management to accumulate the initial expenditure to an asset account instead of an expense in profit or loss. The other standard that encourages innovation by allowing the costs incurred upfront to be recorded as assets (capitalised) rather than be expensed through profit or loss is IAS 38, *Intangible Assets* (see [Chapter 12](#)).

5 Disclosure

In terms of IAS 23, an entity must disclose the following:

- The amount of borrowing costs capitalised during a period

- The capitalisation rate used to determine the amount of borrowing costs eligible for capitalisation.

Something to think about

Deferred tax implications

What would the deferred tax consequences be for capitalising borrowing costs? If the tax treatment differs from the accounting treatment in that interest is deducted for tax purposes when incurred, but capitalised for accounting purposes (and expensed in future periods as part of depreciation), then this will give rise to a temporary difference for which deferred tax must be recognised. Note that the interest incurred will affect taxable income on initial recognition, meaning that the exemption in paragraph 15 of IAS 12, *Income Taxes*, does not apply. (For more on deferred tax and temporary differences refer to Section 5.2 of [Chapter 18, Income taxes.](#))

Key points to take from this chapter

- In the case where an entity constructs or acquires an asset over a substantial period of time (a 'qualifying asset'), the borrowing costs incurred should be capitalised until the asset is ready for use or sale.
 - Borrowing costs should be capitalised when expenditures for the asset have been incurred. Borrowing costs must have been incurred and activities that are necessary to prepare the asset for its intended use or sale must be in progress.
- Where the borrowings were specific to the asset, then the actual borrowing costs less any investment income are capitalised to the asset ('specific borrowing costs').
 - Where the borrowings form part of the general borrowings of the entity, the entity should apply a capitalisation rate to the expenditures on the asset ('general borrowing costs').

Discussion questions

1. Discuss, in terms of the *Conceptual Framework*, why it is appropriate to capitalise borrowing costs under certain circumstances.
2. Discuss which Sustainable Development Goals are advanced by the expansion of productive capacity.

Exercise question

A Ltd's trial balance (before any capitalisation of borrowing costs) appeared as follows at 31 December 20x4:

Notes

1. This amount relates to interest incurred on both the mortgage bond and the long-term loans.
2. The mortgage bond was raised on 80% of the purchase price of the land (see note 3) on 1 February 20x4 at 15% per annum.
3. Land was purchased on 1 February 20x4 in order to erect a warehouse thereon. Architects were approached on 1 March 20x4 to design the warehouse.
4. The costs of CU122 000 were incurred evenly from 1 April to 30 September 20x4. The warehouse was completed and ready for use on 30 September 20x4.
5. Entity A's weighted average borrowing rate has been calculated as 20.61% per annum.

Both the land and the warehouse are qualifying assets.

You are required to do the following:

1. Identify the capitalisation periods for the land and the warehouse.
2. Calculate the specific borrowing costs to be capitalised in 20x4.
3. Calculate the general borrowings to be capitalised in 20x4 relating to the warehouse.

Reference

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].

Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

20

Events after the reporting period

IFRS reference

IAS 10: *Events After the Reporting Period*

IFRS for SMEs Accounting Standard reference

Section 32: *Events After the End
of the Reporting Period*

1 Introduction

2 Identifying an event occurring after the reporting date

2.1 [Adjusting events](#)

2.2 [Non-adjusting events](#)

2.3 [Use of estimates](#)

2.4 [Dividends declared after the reporting date](#)

2.5 [The assumption that the entity is a going concern](#)

2.6 [Contingencies versus commitments](#)

3 Disclosure

- 3.1 [Date of authorisation for issue of financial statements](#)
- 3.2 [Updating disclosure about conditions at the reporting date](#)
- 3.3 [Disclosure of non-adjusting events after the reporting date](#)
- 3.4 [Changes in going concern assumption](#)

Key points to take from this chapter

Discussion question

Exercise question

Learning objectives

By the end of this chapter, you should be able to:

- Identify the period after the reporting date and the date on which the financial statements are authorised for issue.
- Identify events that happened after the reporting date.
- Explain and distinguish the difference between events after the reporting date and contingencies.
- Identify which events occurring after the reporting date require an adjustment at the reporting date.
- Disclose events after the reporting date.

Concept summary



1 Introduction

In practice, there is usually anything between a six-week and a six-month delay between the year-end date of an entity and the date on which the financial statements are finally prepared and authorised for issue. During this period, the entity continues to operate. Information about events that become known in this period, both favourable and unfavourable, provides information about **events after the reporting period**. It is necessary to consider how an entity should deal with important issues between the year end and the date the financial statements are authorised for issue.

An entity

... prepares and presents financial statements for a specified reporting period, ending at its reporting date. A reporting period is usually 1 year (or 12 months). However, when an entity changes its reporting date, the reporting period may be longer or shorter than 12 months. Usually, legislation stipulates that the reporting period may not be shorter than 6 months or longer than 18 months.

The reporting date is the year-end date of the current financial statements. It is not practicable for preparers to finalise financial statements without a period of time elapsing between the **reporting date** and the date on which the financial statements are **authorised for issue**. Finalising the financial statements after the year-end date depends on the statutory requirements and procedures followed by management in preparing and finalising the financial statements. The financial statements are **authorised for issue** on the date management approved the financial statements for issue, not on the date on which the shareholders approve the financial statements.

For example, an entity has a 31 December 20x5 year end and the financial statements are completed on 10 February 20x6. The board of directors reviews the financial statements and authorises them for issue on 18 February 20x6. This can be illustrated by the timeline that follows.



Assets and liabilities are recognised in the financial statements when they meet the definition of an asset or liability (refer to the *Conceptual Framework*) and when their recognition results in both relevant information and a faithful representation of these items. You should consider all the information obtained during the period after the reporting date until the date on which the financial statements are authorised for issue to help you determine whether recognition is appropriate for the assets and liabilities that existed at the reporting date. You need to consider events that happened after the reporting date and determine if these events have any effect on the information and amounts presented in the statement of financial position. The adjustments and disclosure requirements for events that happened after the reporting date are the subject of IAS 10, *Events After the Reporting Period*.



IFRS for SMEs
Accounting Standard application

Section 32, *Events After the End of the Reporting Period*, clarifies the principles for recognising, measuring and disclosing events after the reporting date in the financial

statements of small and medium-sized entities. These are similar to the principles dealt with in IAS 10, as discussed in this chapter.

2 Identifying an event occurring after the reporting date

While finalising the financial statements of an entity, you may become aware of an incident, issue or event that occurred between the year-end date and the date when the financial statements were finalised and authorised for issue. Once you have identified an incident, issue or event of this nature, what do you do with this information? Should you make any adjustments to the financial statements because of this information? If not, what should you do? In this section, we will identify what constitutes an event of this nature, how you classify the event and what actions you should take once you have identified the event.

IAS 10 defines events after the reporting date as ‘those events, both favourable and unfavourable, that occur between the reporting date and the date on which the financial statements are authorised for issue’ (paragraph 3).

IAS 10 distinguished between two categories of events:

- Events that provide further evidence of conditions that existed at the reporting date (referred to as ‘**adjusting events**’ after the reporting period)
- Events that are indicative of conditions that arose after the reporting date (referred to as ‘**non-adjusting events**’ after the reporting period). These include transactions such as purchases and sales after the reporting date.

These two categories are discussed in more detail below.

2.1 Adjusting events

Adjusting events are pieces of information discovered **after** the reporting date that relate to conditions that existed **at** the reporting date. When preparing the financial statements, the information that becomes available from these events should be taken into account, and the necessary adjustments should be made.

An adjusting event after the reporting period

... refers to information relating to an incident, issue or event that only becomes available after the reporting period, but provides evidence of conditions that existed at the reporting date.

This category relates to both assets and liabilities that existed at the reporting date. The events are referred to as ‘**adjusting events**’ **after the reporting period**, and you should take them into account when deciding whether an asset or a liability should be recognised and at what amount (for example, if you are calculating the amount of a provision and additional information is obtained after the reporting date that informs the calculation of that provision). All information relating to provisions at the reporting date that became available before the financial statements were issued must be taken into account to decide the amounts of the provisions required.

An adjusting event will give rise to a **journal entry**, as the additional information will be used to make adjustments, if necessary, to the amount at which an asset or liability was originally recognised.

Paragraph 9 of IAS 10 lists the following examples of **adjusting events** after the reporting period that require an entity to adjust the amounts recognised in its financial statements or to recognise items that were not previously recognised:

- Settlement after the reporting date of a court case that confirms that the entity had a present obligation at the reporting date
- Receipt of information after the reporting date indicating that an asset was impaired at the reporting date or that the amount of a previously recognised impairment loss for that asset needs to be adjusted
- Determining after the reporting date the cost of assets purchased or the proceeds from assets sold before the reporting date
- Determining after the reporting date the amount of profit-sharing or bonus payments, if the entity had a present legal or constructive obligation at the reporting date to make these payments as a result of events before that date (refer to IAS 19, *Employee Benefits*)
- The discovery of fraud or material errors that show that the financial statements are incorrect.

Information obtained after the reporting date may also be used to decide the amount of a **provision** required in relation to a court case. If a court case was settled after the reporting date, but before the financial statements were authorised for issue, that information should be used to measure the provision recognised, provided that the definition of a liability had been satisfied (there being a past event and obligation) at the reporting date (refer to

[Chapter 16](#), *Provisions, contingent liabilities and contingent assets*).

Example of information obtained after the reporting date

After a wedding in 20x1, ten people fell ill, possibly as a result of food poisoning from food served at the wedding. Legal proceedings were started, seeking damages from the caterer, but up until the date on which the financial statements for the year ended 31 December 20x1 were approved, the caterer's lawyers advised that there was a low probability of an outflow of economic benefits, as the caterer would not be found liable.

Situation at 31 December 20x1

While preparing the financial statements for this reporting date, the caterer had to decide whether to recognise a provision resulting from the legal case or if a contingent liability should be disclosed. A present obligation existed as a result of a past obligating event, but on the basis of the evidence available when the financial statements were approved, legal advice was that the existence of an obligation was uncertain and that it was not probable that a payment would have to be made. Thus, no provision was recognised as the recognition criteria had not been satisfied. The matter was disclosed as a contingent liability.

Situation at 31 December 20x2

When the caterer prepared the financial statements for the year ended 31 December 20x2, the caterer's lawyers advised that, owing to developments in the case, the existence of an obligation was no longer uncertain, and it was probable that the entity would be found liable.

While finalising the financial statements for this reporting date, the caterer decided that, based on the evidence available, an obligation existed that the entity had no practical ability to avoid. Therefore, a provision was recognised for the best estimate of the amount to settle the obligation and a corresponding expense was recognised in the 20x2 statement of profit or loss.

Although the obligation arose in the 20x1 financial year, the expense was not recognised in that year, as the recognition criteria had not been satisfied prior to the finalisation of the financial statements. The expense was recognised in the 20x2 financial year, as it related to a change in estimate and not an error. The 20x1 financial statements were produced correctly using the information available in 20x1.

2.2 Non-adjusting events

The term 'non-adjusting events' refers to conditions arising after the reporting date. Unlike adjusting events, non-adjusting events do not confirm or change estimates that existed at the reporting date; the information relates to new conditions or events that have happened since the reporting date (subsequent events).

'**Non-adjusting events**' are referred to as such because the financial statements will not be adjusted for these transactions. The entity must disclose the nature of the event and an estimate of its financial effect.

These transactions should be recognised in the next financial year's financial statements (for example, announcing a plan to discontinue an operation after the year end, changes in tax rates or tax laws enacted or announced after the reporting date).

Entering into a transaction to buy or sell an asset after the reporting date is a clear example of a non-adjusting event that would not be taken into account in the financial statements. Movements in exchange rates after the reporting period would also not be taken into account since they arose from circumstances after the reporting date, as opposed to giving additional information about the situation at the reporting date.

Similarly, determining whether an asset is current or non-current must be based on circumstances at the reporting date. For example, suppose a loan is repayable within 12 months of the reporting date and is renegotiated and extended to 24 months after the reporting date. In that case, it must still be classified as a current liability. Significant non-adjusting events (such as the issue of shares, major business combinations, the destruction of a major production plant by fire or abnormally large changes in asset prices or foreign exchange rates after the reporting period) are disclosed.

Examples of non-adjusting events listed in IAS 10 include the following:

- Abnormally large changes in the value of assets recognised in the statement of financial position resulting from subsequent price changes
- Major litigation arising solely out of events that occurred after the reporting date

- The destruction of a major production plant by fire after the reporting date.

A non-adjusting event

... is an event that is indicative of conditions that arose after the reporting date before the financial statements were issued.

Something to think about

Fire after the reporting period

Assume that a fire after the reporting date destroyed a large part of an entity's inventory. As the fire happened after the reporting date, you should not recognise an impairment loss at the reporting date. However, if the amount of the loss incurred by the damages is significant, disclosure of the non-adjusting event that occurred after the reporting date should be considered.

**Key principle:
Recognising an asset or liability
in the statement of financial position**

The principle is that an asset or liability should be recognised on the statement of financial position at an amount that reflects the circumstances that existed at the reporting date. If information relating to those circumstances came to light after the reporting date, that information should be taken into account when measuring the asset. If the information is related to circumstances that changed after the reporting date, that information should not be taken into account.

In all these cases, no adjustments will be made to assets and liabilities recognised at the reporting date, which means that no journal entry is required. If the financial effects of a non-adjusting event are **material**, the event should be disclosed in the financial statements (refer to Section 3).

2.3 Use of estimates

The preparation of financial statements is characterised by uncertainty. For example, you may not be certain of the amount that will be recovered from accounts receivable, so make use of estimates to determine the amount to be recognised as an expected loss allowance. The use of reasonable estimates is an essential part of the accounting process of determining the reasonable amount at which each element should be recognised at the reporting date and what the profit or loss for the period amounts to.

In some cases, it may be extremely difficult to make these estimates at the reporting date, with the result that any attempt to make an adjustment to the financial statements will be confusing rather than helpful. In other cases, events occurring after the reporting date but before the release of the financial statements may assist in assessing the

situation that prevailed at the reporting date. You are required to consider all significant information and events that happened or that you became aware of after the reporting date, and to assess if this information should be taken into account when determining the financial position of the entity at the reporting date.

The use of estimates does not undermine the reliability of financial statements. IAS 8, *Basis of Preparation of Financial Statements*, requires a description in the notes to the financial statements of any key sources of estimation uncertainties that could affect the carrying amount of assets and liabilities.

2.4 Dividends declared after the reporting date

The application of IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*, has had an important effect on the treatment of dividends. If an entity declares dividends after the reporting date, the obligation to pay dividends did not exist at the reporting date and no provision should be recognised for dividends payable, as no obligation existed at that time (refer to [Chapter 16](#), *Provisions, contingent liabilities and contingent assets*).

Key principle:
Dividends declared after
the reporting date

When dividends are declared after the reporting date, no liability should be recognised at the reporting date. This is a non-adjusting event that should be disclosed in the notes to the financial statements.

2.5 The assumption that the entity is a going concern

In extreme cases, an event may occur after the reporting date that is of such importance that it casts doubt on the entity's ability to continue as a going concern. Where non-adjusting events that occurred after the reporting date indicate that the entity may not be a going concern (for example, a deterioration in the operating results and financial position of an entity after the reporting date to the extent that the entity needs to consider whether the going concern assumption is still appropriate), the event is considered **material** and should be disclosed in the notes to the financial statements. For instance, if a disaster such as a fire destroyed a significant part of an entity, possibly to the extent that the entity could no longer meet its obligations, then the entity might need to consider its ability to continue operating in the future.

In most cases, when an entity goes into liquidation after the reporting date, this implies that the entity was already in financial difficulty at the reporting date. If the going concern assumption is no longer appropriate, the effect is so pervasive that IAS 10 requires a **fundamental change in the basis of accounting**, rather than an adjustment to the amounts recognised within the original basis of accounting. IAS 10 requires that an entity shall not prepare its financial statements on a going concern basis if management determines any of the following after the reporting date:

- It intends to liquidate the entity.
- It intends to cease trading.
- It has no realistic alternative but to liquidate the entity.

If the financial statements are not prepared on a going concern basis, this should be disclosed in the notes to the financial statements. Management should then disclose these significant and material circumstances that might cast some doubt upon the entity's ability to continue as a going concern in the notes to the financial statements.



ETHICAL DILEMMA

If significant events occur after the reporting date that affect future performance, the entity may face ethical dilemmas in revising its forecasts and projections. An entity must consider the potential impact on investors, analysts and other stakeholders who rely on this information for decision-making. Balancing the obligation to provide accurate and reliable forecasts with the potential consequences of revising projections can be ethically challenging.

2.6 Contingencies versus commitments

Contingencies and commitments are often confused, as neither of them is recognised in the statement of financial position. However, disclosure of relevant details may be given in the notes to the financial statements.

A contingency relates to an event that has happened prior to the reporting date. A liability is not recognised because its recognition will not result in relevant and reliable financial information that fairly presents the financial position of the entity. Generally speaking, information that comes to light after the reporting date in relation to a contingency would be an adjusting event, as it gives additional information about a liability that existed at the reporting date. For example, if a court case is held and what was considered to be a possible loss (and not recognised, but disclosed as a contingency) is found to be a definite loss in the adjusting period, the liability should be recognised.

A commitment, on the other hand, is an agreement to do something after the reporting date. At the reporting date, the past event giving rise to an asset or liability has not occurred, and the transaction cannot be recognised. This is a non-adjusting event. Disclosure is required because details of the commitment are relevant in predicting future cash flows.



ETHICAL DILEMMA

An entity must communicate effectively and ethically about events occurring after the reporting date. Ethical dilemmas can arise when deciding what information to disclose, how to frame it, and ensuring it is disseminated promptly and fairly. For example, the directors of an entity are concerned about providing disclosure about a significant debtor that declared bankruptcy after the reporting date but before the financial statements are authorised. Their concern centres around a concern that the market will lose trust in the entity and its ability to continue operations successfully. The directors should strive for transparency, consistency and accuracy in their communications to maintain stakeholder trust and integrity.

3 Disclosure

The specific information that IAS 10 requires entities to disclose relating to events after the reporting date is outlined below.

3.1 Date of authorisation for issue of financial statements

Financial statements should always indicate the reporting period clearly (for example, 'Financial statements for the year ended 31 December 20x5'). In addition, an entity should disclose the date on which the financial statements were **authorised for issue** and who gave that authorisation. If the entity's owners or others have the power to amend the financial statements after issue, the entity must disclose that fact. The authorisation date is important for users to know, as the financial statements only reflect events up to this date.

3.2 Updating disclosure about conditions at the reporting date

An entity should update the disclosure in its financial statements when it receives new information after the reporting date about conditions that existed at the reporting date. When preparing the statement of financial position, **adjusting events** should be adjusted for and disclosed to the extent required by the IFRS Accounting Standards. For example, an adjustment to the measurement of a provision at the reporting date should be included as part of the normal disclosure of provisions at the reporting date.

3.3 Disclosure of non-adjusting events after the reporting date

An entity should disclose the following for each **material category of non-adjusting event** after the reporting date:

- The nature of the event
- An estimate of its financial effect (both before and after taxation) or a statement that an estimate of this nature cannot be made.

Non-adjusting events after the reporting period should be disclosed if they are of such importance that their non-disclosure would affect the ability of the users of the financial statements to evaluate the information presented properly and to make informed decisions relating to this information. Items of this nature are called **material** or **significant** non-adjusting post-reporting date items, as their non-disclosure could have a significant influence on the faithful representation of the financial information at the reporting date. If non-adjusting events after the reporting date are material, non-disclosure could influence the economic decisions that users take based on the financial statements.

The note dealing with non-adjusting events after the reporting date is usually found in the directors' report.

3.4 Changes in going concern assumption

IFRS 18, *Presentation and Disclosure in Financial Statements*, specifies disclosures in either of the following circumstances:

- The financial statements are not prepared on a going concern basis.

- Management is aware of material uncertainties related to events or conditions that may cast significant doubt upon the entity's ability to continue as a going concern.

Something to do

Access the financial statements of a listed company and see if they included any events after the reporting period in their disclosure (for example, you can look at the 2022 financial statements of Caxton & CTP Publishers & Printers Ltd). Think about if these events are adjusting or non-adjusting events. How do you know?

The events or conditions requiring disclosure may arise after the reporting date.

Key points to take from this chapter

- IAS 10, *Events After the Reporting Period*, deals with the accounting for events that occur after the reporting date. Events occurring between the reporting date and the date on which the financial statements are authorised for issue should be classified as either adjusting or non-adjusting events.
- Adjusting events provide further evidence of conditions that existed at the reporting date and resulted in an adjustment to the financial statements.
- Non-adjusting events are indicative of a condition that arose after the end of the reporting period and do not result in an adjustment to the financial statements. They should be disclosed if they are of such importance that non-disclosure would affect the ability of the users to make proper evaluations and decisions.
- Where events after the reporting period indicate that the going concern assumption is not appropriate, these are adjusting events.
- A dividend declared after the reporting period is a non-adjusting event.

Discussion question

It is not always clear whether an event occurring after the reporting period is an adjusting event or a non-adjusting event. Explain the difference between an adjusting and a non-adjusting event, and give an example of each.

Exercise question

Tuareg Ltd's financial year ends on 31 December. Its financial statements for the year ended 31 December 20x3 were completed by 25 January 20x4 and were authorised for issue by the directors on 12 February 20x4.

You are required to do the following:

State, for each of the following situations, whether the event represents an adjusting or a non-adjusting event after the reporting date, and how you would record or recognise each event in the financial statements for the year ended 31 December 20x3, if at all:

- Situation 1: On 20 December 20x3, Tuareg Ltd was involved in a court case with a customer who sued the entity for delivering products that did not meet the agreed quality standard. These products were delivered to the customer in October 20x3. The case details were heard by 22 December, but the judge decided to reserve judgement until 8 January 20x4. On 8 January 20x4, the judge ruled in favour of the customer, awarding the customer damages of CU100 000.
- Situation 2: Tuareg Ltd has an investment worth CU1 000 000 in its financial statements at 31 December 20x3. Due to the continuing recession, the investment had reduced in value to CU900 000 by 15 January 20x4.
- Situation 3: On 8 January 20x4, one of Tuareg Ltd's accountants left suddenly. On further investigation, the entity realised that this employee had been paying himself for false rental invoices from the bank account. The amount of the overpayment was found to be CU86 000. With the help of the police, the accountant was tracked down. He repaid all the money on 18 January 20x4.
- Situation 4: On 10 January 20x4, Tuareg Ltd sold some inventory for CU80 000. This inventory had been included in the year-end inventory count at the cost of CU100 000.
- Situation 5: Tuareg Ltd sold a truck on 31 December 20x3 for CU20 000. This truck was purchased on 1 January 20x1. On 31 December, a non-refundable deposit of CU15 000 was paid towards a new truck, and the balance of CU50 000 was paid on 4 January 20x4.
- Situation 6: A customer (trade receivable) who owed Tuareg Ltd CU15 000 at the year end was declared bankrupt on 5 January 20x4. Tuareg Ltd has no prospect of recovering any money from this bankrupt customer.
- Situation 7: A dividend of CU400 000 in relation to the financial year ending 31 December 20x3 was declared in January 20x4 and paid on 12 February 20x4. The accountant included the dividend in the financial statements for the year ended 31 December 20x3.



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

21

Non-current assets held for sale and discontinued operations

IFRS reference

IFRS 5: *Non-current Assets Held for Sale and Discontinued Operations*

IFRIC Interpretations reference

IFRIC 17: *Distributions of Non-cash Assets to Owners*

1 Introduction

2 Non-current assets and disposal groups

2.1 [Non-current assets](#)

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4 Disclosure of non-current assets and disposal groups held for sale

5 Discontinued operations

5.1 [Disclosure of discontinued operations](#)

Key points to take from this chapter

Discussion questions

Exercise questions

Learning objectives

By the end of this chapter, you should be able to:

- Identify non-current assets and disposal groups that meet the criteria to be classified as held for sale.
- Measure non-current assets held for sale at various points in time (for example, immediately prior to being classified as such, at the date of classification as held for sale and thereafter).
- Present non-current assets that are held for sale separately in the statement of financial position and determine the related profit or loss implications.
- Identify and present information regarding discontinued operations.

Concept summary



1 Introduction

Financial reporting aims to provide users of financial statements with decision-useful information. In other words, it allows users to evaluate the future cash flows of an entity (and their associated risks). An asset is recognised as such since it is expected to give rise to future economic benefits, which could arise from using the asset, selling the asset or a combination of the two. However, the cash flows and the risks associated with those cash flows can differ depending on **how future economic benefits are expected to be derived from the asset**, especially when an asset that was previously expected to derive future economic benefits through use is now expected to have economic benefits derived through the sale of that asset.

Therefore, to provide users of financial statements with more information about assets to be sold, the International Accounting Standards Board introduced a classification of 'held for sale' in the statement of financial position. The accounting treatment of assets held for sale and the presentation and disclosure of discontinued operations are covered under IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*.

The main requirements of the accounting standard are as follows (refer to IFRS 5, paragraph 1):

- Assets that meet the criteria of held for sale are to be measured at the lower of their carrying amount (immediately before being classified as held for sale) and fair value less costs to sell.
- Depreciation on assets of this nature ceases when they are classified as held for sale.
- Assets that meet the criteria for classification as held for sale are to be presented separately in the statement of financial position.
- Separate presentation for the results of discontinued operations (essentially a significant disposal group) is required in profit or loss and the statement of cash flows, as well as in the notes for both of these statements.

IFRS for SMEs Accounting Standard application

The *IFRS for SMEs* Accounting Standard does not include a separate section on assets held for sale and discontinued operations. However, if an entity is preparing its financial statements in compliance with the *IFRS for SMEs* Accounting Standard, and if it has entered into a binding sale agreement for the disposal of its major assets (or its assets and liabilities), Section 4, *Statement of Financial Position*, requires the entity to disclose the following information:

- A description of the asset or group of assets and liabilities
- A description of the facts and circumstances of the sale or plan

- The carrying amount of the assets or, if the disposal involves a group of assets and liabilities, the carrying amounts of those assets and liabilities.

2 Non-current assets and disposal groups

IFRS 5 deals with the measurement, presentation and disclosure requirements of an entity's non-current assets (with exceptions) and disposal groups.

2.1 Non-current assets

According to IFRS 18, *Presentation and Disclosure in Financial Statements*, **current assets** are assets that satisfy any of the following criteria:

- They are expected to be realised in or are intended for sale or consumption in the entity's normal operating cycle.
- They are held primarily for trading.
- They are expected to be realised within a period of 12 months after the reporting date.
- They are cash or cash equivalents (unless they are restricted from being exchanged or used to settle a liability for at least 12 months after the reporting date).

Non-current assets are all assets other than current assets. Refer to [Chapter 2](#), *Presentation and disclosure in financial statements*, for a discussion of assets classified as current and non-current.

Assets that are normally classified as non-current assets can be reclassified as current assets, but only if they meet the criteria for classification as held for sale in accordance with IFRS 5. For example, machinery used in the manufacturing process is generally a non-current asset. However, if it is expected to be sold within the following 12 months and meets the criteria to be held for sale (see Section 3.1), it is classified as held for sale, and presented as a current asset in the statement of financial position.

In addition, assets that would normally be regarded as non-current assets but are exclusively acquired with a view to resale can be classified as current, but only if they meet the IFRS 5 criteria for classification as held for sale. For example, a property company that leases space to tenants on a short-term basis would normally classify the property as a non-current asset (as, in most cases, the property does not meet the definition of a current asset). However, if that company acquires a property that it intends to sell, it can classify it as a current asset if it meets the criteria for classification as held for sale.

2.2 Disposal groups

Disposal groups are groups of assets that are disposed of together with their associated liabilities. Where a disposal group is classified as held for sale, the assets and liabilities in that group should be measured in terms of the relevant

IFRS Accounting Standards applicable to those assets and liabilities immediately before the date when they are classified as held for sale. After the assets and liabilities have been measured in accordance with these standards, they are transferred to held for sale accounts, and presented as current assets and current liabilities, respectively. The entire group of net assets is remeasured to the lower of the group's carrying amount and the group's fair value less costs to sell. In other words, the fair value less costs to sell of the disposal group is determined and compared to the total carrying amounts of all assets and liabilities in the disposal group.

An example of a disposal group is a division of a textile company that produces men's shoes that will be sold. The division will likely be a disposal group, as the entity sells the factory that produces the men's shoes, the related land, inventory (raw materials and finished goods) and the related receivables from customers. In addition, the entity is transferring the obligation to suppliers and other creditors to the purchaser. The presentation requirements for disposal groups held for sale are outlined in Section 4.

Certain non-current assets are excluded from the measurement scope of IFRS 5, meaning they cannot be measured in terms of IFRS 5. However, they must still be presented as held for sale if they meet the criteria (individually or as part of a disposal group). They have been excluded from the measurement criteria as they may already have been measured at fair value, or it may be difficult to determine their fair value. These non-current assets include the following:

- Deferred tax assets
- Financial assets within the scope of IFRS 9
- Investment property accounted for on the fair value model.

Furthermore, if the entity has committed to distributing any non-current assets to the owners of the entity (in terms of IFRIC 17), those assets must also be accounted for in terms of IFRS 5. Therefore, even though these assets are not being 'sold' in the familiar sense, by requiring that these assets be accounted for in the same way as non-current assets held for sale, the entity is providing useful information relating to all non-current assets that are not expected to be used in future.

3 Classification and measurement of non-current assets classified as held for sale

An intention to sell an asset (as opposed to using it) is insufficient to change its classification to held for sale in terms of IFRS 5. Particular requirements must be met before an asset (or disposal group) can be classified and measured in terms of this standard.

3.1 Criteria for classification as held for sale

An entity classifies a non-current asset as held for sale if its carrying amount is expected to be recovered principally through **sale** (including barter transactions, which are exchanges of non-monetary assets with commercial substance) rather than through continuing use (refer to IFRS 5, paragraph 6).

An abandoned non-current asset is not classified as held for sale, as abandoned non-current assets are expected to be recovered principally through continuing use (refer to IFRS 5, paragraph 13).

The non-current asset is expected to be recovered through sale if it meets the following criteria:

- It is **available for immediate sale in its present condition**, subject only to usual and customary terms for the sales of such assets.
- The sale is **highly probable** (that is, significantly more likely than merely probable). As management intention is not sufficient, the standard gives the following guidance on when the sale is highly probable:

- The appropriate management level must be committed to selling the asset.
- An active programme to locate a buyer and complete the plan to sell must have been initiated.
- The asset must be actively marketed for sale at a reasonable price in line with its fair value.
- The sale must be expected to be completed within one year from the date of classification, except in those instances where the cause of the delay in sale beyond one year is the result of events beyond the entity's control and there is sufficient evidence that the entity remains committed to its plan to sell the asset.

If the above-mentioned criteria are only met after the reporting date but before the financial statements are authorised for issue, this results in a **non-adjusting event after the reporting period** (see [Chapter 20](#), *Events after the reporting period*).

Something to do

Refer to IFRS 5, Appendix B, which contains more information regarding the extension of the period required to complete a sale.

Example of identifying an asset as held for sale

An entity intends to sell a nuclear plant and has negotiated with a potential buyer. The purchaser will perform a due diligence (that is, a check of the condition and other important aspects of the nuclear plant). The due diligence is customary for purchases and sales of nuclear plants, given the risks associated with assets of this nature. Even though the asset is not sold immediately as a result of the time taken to complete the due diligence, it is still available for immediate sale, as the sale is subject to the completion of the due diligence. Therefore, the nuclear plant will be classified as held for sale even if completion of the sale is expected to take more than 12 months.

However, suppose an entity wishes to sell a building, but the sale will only be concluded once its new building is complete. In that case, the existing building will not be available for immediate sale. In this scenario, the old building does not meet the criteria to be classified as held for sale.

ETHICAL DILEMMA

Non-current assets held for sale can give rise to ethical dilemmas, for example:

- **Misrepresentation of asset value:** Ethical dilemmas arise when entities intentionally misrepresent the value of non-current assets held for sale. This can involve overstating the assets' value to attract potential buyers or understating their value to reduce tax liabilities or other financial obligations.
- **Manipulation of sale timeline:** Ethical dilemmas can emerge when entities manipulate the timeline for selling non-current assets held for sale. This can involve delaying the sale to artificially inflate the asset's value or rushing the sale to meet financial targets or reporting deadlines.
- **Impact on employees and communities:** Ethical dilemmas can emerge when non-current assets held for sale significantly impact employees and local communities. For example, selling a business unit or property may result in employee layoffs, job insecurity, or adverse effects on the community's economic well-being. Entities must balance their financial interests with their ethical responsibility to mitigate the negative impacts and consider the welfare of affected stakeholders.
- **Conflict of interest:** Ethical dilemmas can arise when there are conflicts of interest related to non-current assets held for sale. For example, key decision-makers or executives may have personal interests or relationships influencing the sale process, potentially compromising transparency, fairness or value optimisation. Entities must establish mechanisms to identify and manage conflicts of interest to ensure ethical decision-making.
- **Disclosures and transparency:** Ethical dilemmas arise when entities fail to provide accurate and comprehensive disclosures about non-current assets held for sale. Lack of transparency regarding the assets' condition, sale process, potential risks or contingent liabilities can mislead potential buyers, investors and other stakeholders. Entities have an ethical responsibility to ensure transparent and timely disclosures to enable informed decision-making.

Addressing ethical dilemmas related to non-current assets held for sale requires entities to uphold ethical principles of transparency, accountability and fairness. Entities should ensure accurate valuation, transparent disclosures and responsible decision-making that considers the interests of stakeholders, including employees, communities and the environment. Ethical considerations should guide the sale process to maintain integrity and foster stakeholder trust.

3.2 Measurement of a non-current asset classified as held for sale

When measuring an asset (or disposal group) classified as held for sale, it is important to separate the measurement process into three different time intervals: the time period prior to the asset being classified as held for sale, the point in time at which the asset is classified as held for sale and, finally, the period of time until the asset is actually sold, during which it is classified as held for sale.

3.2.1 Measurement immediately before classification as held for sale

Immediately before classification as held for sale, the non-current asset must be accounted for according to the applicable IFRS Accounting Standard/s or IAS Standard/s that govern that non-current asset. For example, if an item of machinery is to be classified as held for sale, it must be depreciated in accordance with IAS 16 (see [Chapter 10, Property, plant and equipment](#)) immediately prior to the classification and revalued in accordance with IAS 16 (if

the entity has selected the revaluation model and its policy is to revalue at that time). It must also be tested for impairment with reference to its recoverable amount in accordance with IAS 36 (see [Chapter 15](#), *Impairment of non-current assets*).

**Key principle:
Measurement of assets**

Assets that meet the criteria of held for sale should be measured at the lower of their carrying amount and fair value less costs to sell. Depreciation on these assets should cease.

3.2.2 Measurement on classification as held for sale

On classification as held for sale, the non-current asset is remeasured to the lower of its carrying amount (as explained in Section 3.2.1) and its **fair value less costs to sell**, which is the amount for which the asset could be exchanged in an arm's-length transaction between knowledgeable and willing parties, less those incremental costs directly attributable to the disposal of the non-current asset, excluding finance costs and income taxes. Where the sale is expected to be concluded more than one year later the costs to sell are measured at their present value. Any increase in the present value of the costs to sell as a result of the unwinding of the discount factor is recognised in profit or loss as a finance expense.

Any loss on the remeasurement of the non-current asset to its fair value less cost to sell (if lower than its carrying amount immediately prior to classification as held for sale) is recognised in the profit or loss from continuing operations (unless it relates to a discontinued operation; see Section 5).

This implies that even if the asset was previously revalued, any loss on its remeasurement on classification as held for sale is recognised in profit or loss. This differs from the impairment loss associated with an item of machinery that is not classified as held for sale and has been revalued in that the impairment loss is recognised in other comprehensive income and, in some cases, in profit or loss. IFRS 5 tries to emulate the accounting implications that would arise if the non-current asset were sold at a loss (that is, the loss would be recognised in profit or loss and not in other comprehensive income).

A non-current asset could be classified as held for sale at acquisition (see Section 2.1). This means that an entity has acquired an asset that meets the criteria of being held for sale and could incur a loss on the initial recognition of that asset. For example, an entity acquired an asset at a cost of CU700 (being the fair value of the consideration paid or payable). If it is classified as held for sale, the asset must be remeasured immediately to its fair value less costs to sell (say, of CU550). This will result in a loss at acquisition of CU150 (CU700 – CU550) unless the cost of the asset (CU700) is below its fair value less costs to sell of CU550.

3.2.3 Treatment of a non-current asset subsequent to classification as held for sale

Subsequent to classification as held for sale, one of three events can occur. The measurement of the non-current asset held for sale is dependent on any one of the following events:

- The non-current asset is sold.
- The non-current asset is not yet sold, but classification as held for sale is still appropriate.

- The decision to sell the non-current asset is reversed.

When the non-current asset is sold

Any gain or loss not yet recognised by the date of sale is recognised in profit or loss (P/L) when the non-current asset is derecognised.

When the non-current asset is not yet sold, but classification as held for sale is still appropriate

Depreciation ceases when a non-current asset is classified as held for sale. This makes sense, as depreciation is the expense recognised as a result of the continued usage of an asset.

If the non-current asset has not yet been sold at the reporting date, IFRS 5 requires the fair value less costs to sell to be re-evaluated. This implies either of the following:

- Additional impairment losses may arise if the fair value less costs to sell has reduced.
- Impairment losses could be reversed if the fair value less costs to sell improves (see [Chapter 15](#), *Impairment of non-current assets*).

When the decision to sell the non-current asset is reversed

If the non-current asset no longer meets the criteria to be classified as held for sale, its classification as such ceases. The non-current asset that ceases to be classified as held for sale is remeasured to the lower of the following two values:

- Its recoverable amount on the date that classification as held for sale is no longer appropriate
- Its carrying amount before classification as held for sale, adjusted by any depreciation, amortisation or revaluations that would have been recognised had the asset not been classified as held for sale.

Any gain or loss arising from this remeasurement is recognised in profit or loss from continuing operations unless it relates to an item of property, plant and equipment or an intangible asset that was revalued prior to classification as held for sale. In that case, the adjustment is treated as an increase or decrease in other comprehensive income, bearing in mind that this adjustment cannot result in a debit balance in the revaluation surplus account.

Example of measuring and recording non-current assets held for sale

A Ltd acquires an item of machinery on 1 January 20x8 at a cost of CU1 million. The machine is expected to have a useful life of ten years and no residual value. On 1 July 20x9, the machine met the criteria necessary in order to be classified as held for sale. At that date, the machine had a fair value less costs to sell of CU750 000 (there were no costs to sell). This amount also reflected the machine's recoverable amount immediately before classification as held for sale. A Ltd accounts for machinery using the cost method.

The journal entries for the **financial year ended 31 December 20x9** are as follows:

1 The machine will be depreciated prior to classification as held for sale. As depreciation ceases once the machine is classified as held for sale, depreciation is only recognised for six months during the 20x9 financial year. The depreciation is therefore

CU100 000 for the period 1 January 20x9 to 30 June 20x9.

2 The machine will be tested for impairment immediately prior to classification as held for sale by comparing its

carrying amount of CU1 000 000 on 30 June 20x9 to its recoverable amount of CU750 000.

As the recoverable amount is less than the carrying amount, the machine is impaired by CU100 000.

3 The machine will be reclassified as a non-current asset held for sale. As the machine's fair value less costs to sell is CU750 000, no remeasurement is required on classification as held for sale.

30 June 20x9

			CU	CU
Dr		Depreciation (P/L)	50 000	
	Cr	Machine: Accumulated depreciation		50 000

Depreciation for six months to 30 June 20x9 (see Section 3.2.3)

			CU	CU
Dr		Impairment loss (P/L)	100 000	
	Cr	Machine: Accumulated depreciation and impairment		100 000

Impairment to recoverable amount immediately prior to classification as held for sale

			CU	CU
Dr		Non-current asset held for sale	750 000	
Dr		Machine: Accumulated depreciation and impairment	250 000	
	Cr	Machine: Cost		1 000 000

Reclassification as held for sale

Example of subsequent classification of an asset that was held for sale

Using the same information as in the previous example, prepare the additional journal entry or entries required as at 31 December 20x9, assuming that on that date, each of the following independent scenarios applied:

1. The machine is sold for CU700 000.
2. The machine is still classified as held for sale, but its fair value less costs to sell amounts to CU700 000.
3. The machine is still classified as held for sale, but its fair value less costs to sell amounts to CU900 000.
4. Classification as held for sale is no longer appropriate. The recoverable amount of the machine is CU700 000.

Scenario 1

The following journal entry is processed on the sale of the asset:

			CU	CU
Dr		Bank	700 000	
Dr		Loss on sale of asset (P/L)	50 000	
	Cr	Non-current asset held for sale		750 000

Non-current asset sold at a loss

Scenario 2

The fair value less costs to sell is re-evaluated on 31 December 20x9. As the fair value less costs to sell has decreased by CU50 000 to CU700 000, an additional impairment loss of CU50 000 is recognised:

			CU	CU
Dr		Impairment loss (P/L)	50 000	
	Cr	Non-current asset held for sale		50 000

Scenario 3

The fair value less costs to sell is re-evaluated on 31 December 20x9. As the fair value less costs to sell has increased, the previous impairment loss is reversed. Note that the reversal of the impairment loss is limited to what was previously recognised. Therefore, even though the fair value less costs to sell has increased to CU900 000, the carrying amount of the machine can only be increased to CU850 000, being the carrying amount prior to impairing the asset.

			CU	CU
Dr		Non-current asset held for sale	100 000	
	Cr	Reversal of impairment loss (P/L)		100 000

Scenario 4

The asset is remeasured to the lower of its recoverable amount (CU700 000) and CU800 000 (which is the carrying amount that the asset would have had on 31

December 20x9, if it had never been classified as held for sale) (CU1 000 000 × ).

			CU	CU
Dr		Impairment loss (P/L)	50 000	
	Cr	Non-current asset held for sale		50 000

As classification as held for sale is no longer appropriate, the asset needs to be reclassified as property, plant and equipment.

			CU	CU
Dr		Machine: Cost	1 000 000	
	Cr	Machine: Accumulated depreciation and impairment		300 000
	Cr	Non-current asset held for sale		700 000



Something to think about

Tax consequences of assets held for sale

What are the deferred tax consequences when an asset is classified as held for sale? Deferred tax must reflect the tax consequences of how management intends to recover the carrying amount of the asset, which in this case is through sale. The balance of deferred tax must therefore reflect the tax payable (or recoverable) if the asset were sold for its carrying amount. Depending on the nature of the asset for tax purposes, this may result in a recoupment of previous allowances granted, capital gains tax or other consequences for taxable income. Refer to [Chapter 18](#) for more information on calculating deferred tax.

4 Disclosure of non-current assets and disposal groups held for sale

Information relating to assets held for sale that an entity will no longer use is important and informs the decision-making process of users. For this reason, an entity needs to meet the following **disclosure requirements** relating to non-current assets classified as held for sale and disposal groups:

- Non-current assets classified as held for sale and the assets of a disposal group classified as held for sale must be presented separately from other assets in the statement of financial position.
- Liabilities of a disposal group classified as held for sale must be presented separately from other liabilities in the statement of financial position.
- Assets and liabilities of a disposal group cannot be offset in the statement of financial position.
- The major classes of assets and liabilities classified as held for sale should be presented separately in the statement of financial position or in the notes.
- Any amounts recognised directly in other comprehensive income relating to a non-current asset (or disposal group) classified as held for sale must be presented separately from other classes of equity. For example, in the statement of changes in equity, the revaluation surplus relating to an item of machinery previously revalued and now classified as held for sale is presented separately from the revaluation surplus relating to the remaining items of machinery not classified as held for sale.
- Comparatives should not be restated or represented for non-current assets (or disposal groups) classified as held for sale in the current reporting period.

An entity should also disclose the following information in the notes to the financial statements in the period in which a non-current asset (or disposal group) is classified as held for sale:

- A description of the non-current asset (or disposal group)
- A description of the facts and circumstances of the sale or leading to the expected sale, as well as the expected manner and timing of that disposal
- The gain or loss recognised in profit or loss relating to the non-current asset (or disposal group) classified as held for sale
- If there is a change in the plan and the classification as held for sale is no longer appropriate, a description of the facts and circumstances leading to the decision, as well as the effect of the decision on the results of operations for the period and any prior periods presented.

Key principle:
Disclosure of assets held for sale
and discontinued operations

Assets that meet the criteria of held for sale should be presented separately in the statement of financial position and the results of discontinued operations should be presented separately in the statement of profit or loss and other comprehensive income.

5 Discontinued operations

You learnt earlier that a disposal group is a group of assets that are disposed of together with their associated liabilities. The result of identifying a disposal group is that an entity will no longer continue with the operations linked to that group of assets and therefore decides to discontinue the associated operations.

A discontinued operation is defined as a **component** of an entity which has either been disposed of or is classified as held for sale and meets one of the following criteria:

- It represents a separate major line of business or geographical area of operations.
- It is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations.
- It is a subsidiary acquired exclusively with a view to resale.

A component of an entity

... comprises operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity.

Note that the results of an abandoned group of assets should be classified as a discontinued operation if that group meets the criteria above (see paragraph 13). This is true despite not meeting the criteria to be classified as held for sale. Further, disposal groups that do not meet the definition of a discontinued operation are not presented as a discontinued operation. The classification as held for sale affects how the assets and liabilities are presented in the statement of financial position, whilst discontinued operations affect the structure of the statement of profit or loss and other comprehensive income, and the statement of cash flows.

Example of identifying a discontinued operation

Refer to the example discussed in Section 2.2 regarding the sale by a textile company of its men's shoe division. In all likelihood, this division would meet the definition of a discontinued operation if it has been classified as held for sale, as it is a component of the entity and represents a major separate line of business. However, suppose the textile company only sold its loss-making men's shoe brands. In that case, this is unlikely to meet the definition of a discontinued operation, as the loss-making brands would not be a separate major line of business. If the company had already disposed of the textile division during the reporting period, this would meet the definition of a discontinued operation.

5.1 Disclosure of discontinued operations

IFRS 5 requires additional disclosures relating to discontinued operations. This enables users of an entity's financial statements to evaluate the financial effects of discontinued operations and disposals of non-current assets (or disposal groups) (refer to IFRS 5, paragraph 30).

The requirements in IFRS 5 with regard to discontinued operations focus solely on the disclosure implications in profit or loss and the statement of cash flows (and related notes). Following on from the definition of a discontinued

operation, if the discontinued operation has already been sold, its assets and liabilities would have been derecognised. Alternatively, if it has not been sold, its assets and liabilities should be disclosed separately as held for sale at the reporting date.

The disclosure requirements for **discontinued operations** (that is, items no longer included in other line items in the statement of profit or loss and other comprehensive income) are as follows:

a) A single amount in profit or loss comprising the total of the following:

- The post-tax profit or loss of discontinued operations
- The post-tax gain or loss recognised on the measurement to fair value less costs to sell, or on the disposal of the assets or disposal group/s constituting the discontinued operation.

b) An analysis of the single amount in a) into the following:

- The revenue, expenses and pre-tax profit or loss of discontinued operations
- The gain or loss recognised on the measurement to fair value less costs to sell, or on the disposal of the assets or disposal group/s constituting the discontinued operation
- The related income tax expense.

The analysis may be presented in the notes or separately in the statement of profit or loss and other comprehensive income (profit or loss section). If it is presented in profit or loss, it must be presented in a section identified as relating to discontinued operations (that is, separately from continuing operations).

c) The net cash flows attributable to the operating, investing and financing activities of discontinued operations. These disclosures may be presented either in the notes or separately in the statement of cash flows.

d) Comparatives must be restated to represent the disclosures outlined in a) to c) above for prior periods presented in the financial statements so that the disclosures relate to all operations discontinued by the reporting date for the latest period presented.

e) Adjustments in the current period to amounts previously presented in discontinued operations directly related to the disposal of a discontinued operation in a prior period should be classified separately in discontinued operations. The nature and amount of these adjustments should be disclosed. Examples of circumstances in which these adjustments may arise include the following:

- The resolution of uncertainties that arise from the terms of the disposal transaction (such as the resolution of purchase price adjustments and indemnification issues with the purchaser)

- The resolution of uncertainties that arise from and are directly related to the operations of the component before its disposal (such as environmental and product warranty obligations retained by the seller)

- The settlement of employee benefit plan obligations, provided that the settlement is directly related to the disposal transaction.

f) If an entity ceases to classify a component of an entity as held for sale, the results of operations of the component previously presented in discontinued operations in accordance with paragraphs a) to c) should be reclassified and included in income from continuing operations for all periods presented. The amounts for prior periods should be described as having been represented.

Something to do

In the financial year ending 3 July 2022, Shoprite Holdings finalised the disposal of a subsidiary in Nigeria. Go to [Shopriteholdings.co.za](https://www.shopriteholdings.co.za) and find the 2022 financial statements, and see how continuing operations are presented in the financial statements and the notes.

Key points to take from this chapter

- An entity classifies a non-current asset as held for sale if its carrying amount is expected to be recovered principally through sale rather than through continuing use. Thus, a non-current asset is classified as held for sale if it is available for immediate sale in its present condition and the sale is highly probable.

- Disposal groups are groups of assets that are disposed of together with their associated liabilities. Where a disposal group is classified as held for sale, the assets and liabilities in that group should be measured in terms of the relevant standards applicable to those assets and liabilities immediately before the date on which they are classified as held for sale.

- Assets that meet the criteria of held for sale should be measured at the lower of their carrying amount and fair value less costs to sell, and depreciation on these assets should cease.

- A discontinued operation is defined as a component of an entity that has either been disposed of or is classified as held for sale.

- A discontinued operation should be one of the following:

- A separate, major line of business or geographical area of operations

- Part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations
 - A subsidiary that is acquired exclusively with a view to resale.
- Entities are required to identify and disclose non-current assets held for sale (with exceptions) and disposal groups separately when presenting financial statements.
- IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*, requires additional disclosures relating to discontinued operations, including the separate disclosure of the post-tax profit or loss of discontinued operations.

Discussion questions

1. Explain the difference between non-current assets and current assets.
2. Explain the circumstances under which it is appropriate to classify a non-current asset as held for sale.
3. Explain the circumstances under which a non-current asset could still be classified as held for sale even though the sale is only expected to take place more than one year after the classification of that asset as held for sale.
4. Explain why it is not appropriate to depreciate a non-current asset that has been classified as held for sale.
5. Explain what is meant by a disposal group.
6. Explain what is meant by a discontinued operation.
7. Explain why separate disclosures of the loss and cash flows of a discontinued operation are required.
8. Discuss whether it is appropriate to classify the following assets as non-current assets held for sale at the reporting date:
 - a) Inventory that an entity expects to sell within six months after the reporting date
 - b) A building that has been abandoned in the current reporting period
 - c) A building that an entity intends to sell three months after the reporting date (Management has approved the sale, a buyer has been located and identified, and the selling price is closely related to the fair value of the asset.)
 - d) Assume the same information as Scenario c) above, but the sale will only be concluded after all the inventory stored in the building has been sold by the entity.

e) Assume the same information as Scenario c) above, but the sale will only be concluded after the entity has completed renovations on the building.

Exercise questions

Question 1

In October 20x1, an entity decides to abandon all of its cotton mills, which constitute a major line of business. All work stops at the cotton mills during the year ended 31 December 20x2.

You are required to do the following:

Explain the treatment of the results and cash flows of the cotton mills for the financial years ended 31 December 20x1 and 20x2.

Question 2

Green Ltd is a pharmaceutical company with a 31 December reporting date. Green Ltd has a team of scientists currently working on the Purple Project. It is expected to result in the production of a serum that will be sold to pharmaceutical stores nationally. The timeline for expenditure incurred to date is presented in the table on the next page.

1 January 20x6 – 28 February 20x6	A proposal was submitted to the head of the science division to initiate development of the serum. Surveys were conducted to ascertain if a target market would exist for the serum. The results proved fruitful and it was decided to produce the serum. The total costs incurred during this phase amounted to CU20 000. The science team submitted a report to management showing that it would be technically feasible to produce the serum.
1 March 20x6 – 31 August 20x6	A formula for the serum was finalised during this period. The scientists began developing and testing the formula and the costs incurred were as follows: • Salaries and wages of science team: CU1 200 000 • Raw materials used: CU800 000 • Electricity bill for entire Green building: CU50 000. You may assume that adequate resources were available at all times.
September 20x6	Sale of the serum was rolled out to various pharmaceutical stores.
1 October 20x6 – 30 November	The plant used to manufacture the serum was considered too small to continue using and the board of directors agreed that it would be sold

20x6	within the next 12 months. The plant was shut down on 1 November 20x4, when the carrying value amounted to CU1 600 000. The original cost of the plant was CU2 200 000. A sales agent has been actively marketing the plant for sale and has indicated that there are several buyers interested in purchasing the plant at the market price of CU1 800 000. The agent will charge a 5% commission on the sale.
31 December 20x6	The plant had not been sold by this date. Market conditions have since deteriorated and the sales agent has indicated that the plant would only be sold if the price was dropped to CU1 650 000.

You are required to do the following:

Prepare all journal entries to account for the information provided at each time interval. Narrations are not required, but you should clearly indicate to which time period each journal entry relates. Ignore taxation.



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

22

Revenue from contracts with customers

IFRS reference

IFRS 15: *Revenue from Contracts with Customers*

IFRS for SMEs Accounting Standard reference

Section 23: *Revenue (including Construction Contracts)*

1 Introduction

2 Definition of revenue

2.1 [What are the recognition principles?](#)

3 The five-step approach of accounting for revenue

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3.3.1 [Variable consideration and refund liabilities](#)

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3.4.1 [Allocating a discount](#)

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4 Other considerations

4.1 [Contract modifications](#)

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4.7.3 [Any assets recognised from the costs to obtain or fulfil a contract](#)

Key points to take from this chapter

Discussion questions

Exercise questions

Reference

Learning objectives

By the end of this chapter, you should be able to:

- Apply the core principle embodied in IFRS 15, *Revenue from Contracts with Customers*, using the five-step approach in accounting for revenue in accordance with this standard.
- Apply the presentation and disclosure requirements in relation to revenue from contracts with customers in the financial statements.
- Identify some of the areas where judgement will need to be applied and critically address practical revenue recognition issues.
- Explain the differences between the financial reporting implications for revenue in accordance with IFRS 15, *Revenue from Contracts with Customers*, and the *IFRS for SMEs Accounting Standard*.

Concept summary



1 Introduction

Business entities earn revenue from various business activities, including sales, fees, commissions and services rendered. Revenue is a key figure in an entity's financial statements and in the assessment of its performance. Because an entity is required to report periodically, it is important to be able to identify the period in which the revenue is generated. At each reporting date, you need to consider what revenue should be recognised for that specific period. This evaluation and the allocation process of recognising revenue is based on the underlying assumption of the accrual basis of accounting, applied in an unbiased and consistent manner.

IFRS 18, *Presentation and Disclosure in Financial Statements*, requires an entity to prepare its financial statements using the accrual basis of accounting. The **accrual basis** of accounting requires transactions and events to be recognised in the accounting records when they occur, and reported in the financial statements in the periods to which they relate. Revenue is a sub-set of income. Income is recognised in the income statement when an increase in an asset or a decrease in a liability has resulted in the inflow of economic benefits to the entity other than transactions with owners. The recognition requirements of **assets and liabilities** should first be tested and met before the other side of the double entry of a transaction can be considered for recognition as either income or as an expense.

IFRS 15, *Revenue from Contracts with Customers*, provides a set of principles to apply in recognising revenue from all contracts with customers, whether short-term or long-term, and whether for goods or services. This standard replaced IAS 18, *Revenue*, and IAS 11, *Construction Contracts*. This chapter discusses the accounting requirements of IFRS 15.

Section 23 of the *IFRS for SMEs* Accounting Standard has similar recognition and measurement criteria for revenue earned to those described in IAS 18 and IAS 11. The new principles for revenue recognition according to IFRS 15 are part of an exposure draft that is not effective at the time of writing, so the requirements for small and medium-sized entities in Section 23 differ from those in IFRS 15. We have highlighted key and specific differences between IFRS 15 and Section 23 of the *IFRS for SMEs* Accounting Standard throughout this chapter.

IFRS 15 applies to all contracts with customers except those dealt with by other standards, such as leases, insurance contracts and contracts within the scope of financial instruments (that is, interest and dividend income).

Something to think about

Which entities apply IFRS 15?

It is important to note that IFRS 15 applies to the supplying entity (in other words, the entity that supplies goods or services to the customer). The objective of IFRS 15 is to establish principles about the nature, timing, amount and uncertainty of when to recognise revenue and its related cash flows in the records of the supplier.

Something to think about

Why is revenue important?

Revenue, often also referred to as 'sales', is usually one of the most crucial numbers used to assess an entity and its financial performance. The growth of an entity is often framed in terms of changes in revenue, and numerous ratios for analysing and interpreting financial statements use revenue in their calculations (for example, gross margin, asset turnover and so on). (Refer to [Chapter 9, Analysis and evaluation of financial statements](#).)

Misstatements in revenue have a significant impact on profit or loss (P/L). Several international studies have shown that financial statement fraud and restatements of previously published financial statements are often related to revenue manipulation. It is, therefore, important that the revenue recognition and measurement principles be applied consistently in order for financial statements to represent the true economic activities of the entity fairly.

2 Definition of revenue

The *Conceptual Framework* defines income as 'increases in assets, or decreases in liabilities, that result in increases in equity, other than those relating to contributions from holders of equity claims' (paragraph 4.68).

Revenue is income that arises from a transaction with a customer in which the entity transfers goods or services that are an output of the entity's ordinary activities. Revenue can include items such as sales, fees and royalties.

When considering whether or not an item should be defined as revenue, remember that revenue refers to income arising from the **entity's ordinary activities** during the reporting period.

2.1 What are the recognition principles?

In accordance with the accrual basis of accounting, revenue should be recognised in the period in which the transaction gives rise to the revenue. In other words, the revenue must have been earned before it is recognised.

Previously, revenue was recognised when the risks and rewards of ownership had passed (this concept is still applied in the *IFRS for SMEs* Accounting Standard). IFRS 15 clarified this by stating that goods and services are transferred when the customer has **control** of them. This timing of when revenue should be recognised requires you to consider the various performance obligations of the transaction. The measurement of revenue should reflect the consideration that the entity expects to be entitled to from the customer (that is, the consideration receivable).

IFRS 15 deals specifically with revenue from **contracts with customers**. If we analyse this further, then the following becomes evident:

- There must be a **contract**. Remember that, by law, a contract need not be written. It is sufficient for two parties to have made an agreement.
- There must also be a **customer**, who is defined in Appendix A of IFRS 15 as 'a party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration'.

Revenue is recognised when

... an entity has transferred the promised goods and services to a customer at an amount of the consideration that the entity expects to be entitled to in terms of the contract.

3 The five-step approach of accounting for revenue

The core principle of IFRS 15 is that an entity recognises revenue to depict the transfer of promised goods or services to customers at an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. This core principle is delivered in a five-step approach, as shown in [Figure 22.1](#).

Figure 22.1 The five-step approach for accounting for revenue



Steps 1, 2 and 5 deal with the **recognition of revenue**, while steps 3 and 4 provide for the **measurement of revenue**. The five steps of this approach are discussed in more detail below.

3.1 Step 1: Identify the contract with the customer

A contract with a customer is within the scope of IFRS 15 if all the following conditions are met at inception of the contract:

- The contract has been approved by the parties to the contract.
- Each party's rights in relation to the goods or services to be transferred can be identified.
- The payment terms for transferring goods or services can be identified.
- The contract has commercial substance.
- It is probable that the consideration to which the entity is entitled in exchange for the goods or services will be collected.



Key principle:
Is there an agreement?

For revenue to be recognised, an agreement should exist between two (or more) parties that creates enforceable rights and obligations.

From the discussion above, it is evident that the contract terms should be defined clearly and agreed to, and that the contract must have commercial substance (in other words, the parties' circumstances must change due to the

fulfilment of this contract). For the contract to have commercial substance, the risk, timing or amount of the entity's cash flows must be expected to change.

Another key criteria is the probability that the customer will be able to pay, or the consideration will be collected. This is also referred to as the '**collectability threshold**', which means that it must be probable (more likely than not) that the entity will collect the payment or other consideration from the customer. If cash is received, the economic benefits have been received and this criterion is satisfied, even if the customer has a dubious payment history. Thus, where a contract stipulates that the customer pays upfront (which means that the collectability threshold has been met), **all** the recognition and measurement steps should be met for the revenue to be recognised. In practice, entities are likely to have done credit checks prior to selling goods and would not have entered into the transaction unless certainty existed about the collectability of the future economic benefits.

If all these criteria are not met, then IFRS 15 does not apply to the particular contract at that point in time. The entity must assess the situation. In the event that these criteria are subsequently met, then the principles in IFRS 15 must be applied. If the customer pays any consideration during the time that IFRS 15 cannot be applied, this amount should be recognised as a **liability** (revenue received in advance). If the amount is non-refundable and the contract has been terminated or fulfilled by the entity and the customer, the consideration should be recognised as revenue.

Example where receipt of consideration is not probable

An entity sells a building to a customer for CU1 million and the customer obtains control over the building. The customer intends to open a coffee shop in the building, but has limited experience in managing coffee shops. There is major competition among coffee shops in this location. The terms of the contract include a non-refundable deposit of CU50 000. The remainder will be repaid in monthly instalments over the next five years, including interest at a fair rate. The customer intends to use the cash inflows from the coffee shop to pay the instalments and has no further assets available. If the customer defaults, the entity is not entitled to pursue further consideration from the customer, but can repossess the building. This creates doubt and uncertainty as to whether the customer can pay the amounts as they fall due.

This contract does not appear to meet the collectability threshold of IFRS 15. Accordingly, revenue from the sale of the building should not be recognised, as there is a low probability of a flow of economic benefits. The deposit should be recognised as a liability by the entity, as the contract has not been terminated, and the customer has not performed substantially in terms of the contract.

It is important to note that where a contract gives both parties the right to terminate the contract and neither party has yet performed, no assets or liabilities are recognised (for example, when the customer has not paid and is not yet required to pay any consideration, and the supplying entity has not yet transferred the good or service to the customer). In other words, for cancellable contracts, a journal entry will only be processed once either the customer or the supplier (or both) have satisfied an obligation and therefore performed (to some extent) in respect of the contract.

It is usually easy to identify the customer. However, where a transaction involves more than one customer (for example, when there is a sub-contractor), it is less clear which party is the customer and judgement needs to be exercised. In this case, you need to consider which party is the principal and which party is the agent. The combination of contracts, principal versus agent considerations, the modification of contracts and other considerations are discussed in Section 4.

3.2 Step 2: Identify the performance obligations in the contract

Some contracts with customers include more than one obligation that the entity needs to fulfil. In these circumstances, it is important to separate the contract into these separate obligations, called **performance obligations**. This results in revenue being attributed to and recognised for each obligation at an appropriate time and amount. In determining whether an obligation to deliver two or more goods, perform two or more services, or separate a bundle of goods and services into different performance obligations, it needs to be established whether or not those goods or services are **distinct**.

A performance obligation

... is a separate element in a contract that promises to transfer a good or a service to a customer. Revenue is recognised when a performance obligation is satisfied.

A good or service is distinct if both of the following criteria are met:

- The customer can benefit from the good or service on its own or in conjunction with other readily available resources.
- The entity's promise to transfer the good or service to the customer is separately identifiable from other promises in the contract.

A contract may also include promises (such as warranties) and customer options for additional goods and services. These are discussed in Section 4.

Example of identifying separate performance obligations

A contract stipulates that an entity (the seller) agrees to sell a new vehicle to a customer and provide a future maintenance service. Thus, the contract contains two performance obligations:

- The sale of the car
- The subsequent servicing of the vehicle.

The vehicle can be used without being serviced (initially), or another third party can competently perform the services, and the two aspects of the contract can be distinguished from each other.

However, if a contract stipulates that an entity (the seller) agrees to sell a new vehicle to a customer and to install a sophisticated loading system (ignore servicing), which the customer requires so that the vehicle can meet its intended purpose and for which the vehicle must be modified extensively so that the system can operate successfully, this contract has one performance obligation. Essentially, the entity uses two inputs (the vehicle and the loading system) to provide a combined output, a vehicle with a functional loading system device. Therefore, the promise to deliver the vehicle is not

separately identifiable from the promise to instal the loading system. Furthermore, the customer is unable to benefit from the vehicle initially until such time as the loading system has been installed and integrated successfully.

3.3 Step 3: Determine the transaction price

The **transaction price** is the amount an entity expects to be entitled to in exchange for the transfer of goods and services. It excludes amounts that are collected on behalf of third parties, such as value added tax (VAT). An entity should consider both the terms of the contract and its customary business practices in order to determine the transaction price. Step 3 refers to the amount an entity expects to be 'entitled' to, while step 1 considers the probability of 'collection'. Therefore, once the requirements in step 1 are satisfied, any future deterioration in the customers' ability to pay will not affect the measurement of revenue but may affect impairment losses and allowances for expected credit losses.

The consideration promised in a contract with a customer may include fixed amounts, variable amounts or both.

In determining the transaction price, an entity considers the following issues:

- Variable consideration and refund liabilities
- Whether the variable consideration is constrained
- The existence of a significant financing component
 - Non-cash considerations.

These issues are discussed below.

Key principle:
How should revenue be measured?

Revenue should be measured at the transaction price, which is the consideration that the supplying entity expects to be entitled to in exchange for the transfer of the goods and services.

3.3.1 Variable consideration and refund liabilities

Where a contract contains elements of variable consideration, the entity must estimate the amount of variable consideration to which it will be entitled under the contract. Variable consideration includes a range of items (for example, discounts, rebates, refunds, credits, price concessions, incentives, performance bonuses and penalties).

The variable component may be explicitly noted in the contract or it may arise simply because of customary business practices adopted by the entity. For example, if the entity's business practice is to allow customers to obtain a discount on the invoiced amount if they settle their account within 30 days of the transaction, then this gives rise to a variable amount in respect of the transaction price. The likely discount taken up needs to be estimated, and the transaction price needs to be adjusted for this in order to reflect the amount that the entity expects to be entitled to.

When estimating the variable consideration, an entity uses one of the following two methods:

- The expected value approach, which requires the calculation of the expected value from a range of possible alternative amounts
- The ‘most likely’ amount, which is the most likely single outcome.

IFRS for SMEs Accounting Standard application

There is a big difference between the new (IFRS 15) and old (IAS 18) standards. Section 23 in the *IFRS for SMEs* Accounting Standard is very similar to IAS 18. In terms of IAS 18, revenue was only recognised if a reliable estimate of the amount could be made (and it was probable that the amount would be received). With IFRS 15, the approach is different: every variable transaction price must be estimated. Once this amount has been calculated, it must be constrained (or limited) to ensure that only amounts highly likely to be received by the entity are recognised. The differences in approach could change the amount and the timing of revenue that is recognised under the two standards.

Entities need to choose the method that provides the best prediction of the transaction price and apply this method consistently throughout the contract.

A contract may stipulate that an entity has a right to a variable consideration contingent on **a future event**. Some or all the variable consideration can be included in the measurement of revenue when it is highly probable that there will not be a significant reversal of cumulative revenue recognised when the uncertainties surrounding the variability of the revenue have been resolved.

At what value should revenue be recognised when a customer has the right to return the good or service?

A contract may allow customers the right to return the goods if they are dissatisfied with the product. Alternatively, the customer may have the right to return the goods due to customer protection legislation. This implies that the entity is entitled to a variable amount of consideration because the entity’s right to that consideration is dependent on whether or not customer/s return the goods. In this case, revenue is recognised when a reliable estimate of the expected value can be made (using one of the two methods listed on the previous page). This is done by measuring the revenue based on the expected consideration receivable, and then recognising a refund liability (provision for sales returns) for the estimated portion of the consideration to be refunded to the customer.

Example of estimating the transaction price when the customer has a right to return the goods

A retail business has a policy that any goods may be returned within three months of the purchase, provided that the goods are unused and an invoice is produced. Revenue is recognised at the time of the sale, excluding an estimate of the revenue expected to be refunded to customers should they return the goods. A provision for returns is recognised at the time of the sale based on this estimate, which is calculated in

accordance with the **expected value approach**. This approach uses the probability-weighted expected values.

Cash sales of 100 products worth CU1 000 each and costing CU800 each took place during the month. The customers obtain control over the products at the date of sale. Based on experience, the entity estimates the following expected returns (and their associated probabilities):



Using an expected value calculation, 3% of products sold are expected to be returned. Accordingly, the entity will measure revenue equal to $(100 \text{ products} - 3\%) \times \text{CU}1\,000 = \text{CU}97\,000$. Furthermore, the entity judges that based on its past experience, it is highly probable that this amount of revenue (CU97 000) will not result in a reversal in future when the uncertainty over the amount receivable has been resolved (in other words, once the three-month period has ended). The following journal entry would be recognised at the date of sale:

			CU	CU
Dr		Bank	100 000	
	Cr	Revenue (sales) (P/L)		97 000
	Cr	Provision for sales returns (or refund liability)		3 000

Recognition of sale and provision for sales returns at the transaction date

In addition, the related cost of sales would be recognised as follows:

			CU	CU
Dr		Right of return asset ($3\% \times \text{CU}80\,000$)	2 400	
Dr		Cost of sales (P/L) ($97\% \times \text{CU}80\,000$)	77 600	
	Cr	Inventory ($100 \times \text{CU}800$)		80 000

Recognition of cost of sale and right to return the inventory at the transaction date

When the goods are returned, the resulting increase in inventory and the decrease in cash or receivables are written off against the provision for sales returns and the right of return asset. The profit or loss section of the statement of profit or loss and other comprehensive income is only affected by any change in the amount of estimated returns, which must be recognised as adjustments (increases or decreases) to revenue and cost of sales.

At what value should revenue be recognised when a contract allows the customer to receive a discount when the consideration is paid?

Trade discounts are normally available when a wholesaler transacts with another wholesale business, and both trade and volume discounts are normally negotiated by customers prior to receipt of the goods. Settlement discounts exist if the entity's business practice allows a discount on the invoiced amount if the transaction price is settled within a specified period. These settlement conditions result in a consideration payable by the customer that is variable and, in some cases, difficult to determine due to the uncertainty of the existence of a discount. Revenue should be measured at an amount that **excludes any trade and settlement discounts and volume rebates** expected to be taken up by the customer.

Example of recognising revenue when discounts are allowed

An entity has advertised a summer sale where all merchandise is offered at a discount of 20%. Sales during the summer sale are as follows:



The entity has a policy of granting a 5% early settlement discount to customers paying within 30 days as well as to customers who paid cash at the time of the transaction. Credit customers with a sales value of CU480 000 were expected to take advantage of the discount. In coming to this conclusion, the entity concluded that, based on its excellent prior experience with sales of this nature, it was highly probable that a significant reversal of the cumulative amount of revenue recognised would not occur when the uncertainty was resolved.



It is important to note that the customer acquiring the inventory will also recognise the cost of the inventory at the amount paid after taking into account any trade and settlement discount/s as well as any volume rebates. The amount recognised as cost of inventory by the customer or purchaser should be the same as the revenue recognised by the seller or supplier.

What if there are subsequent changes in the estimated variable consideration?

If any differences arise between the estimated variable consideration and the amount actually received from the customer, this difference will be recognised as an adjustment to revenue in the period in which the transaction price changes. Such changes may result from the resolution of uncertain events (for example, the period allowed for goods to be returned has expired) or other changes in circumstances. Such changes should be accounted for in the same way as contract modifications (see Section 4.1).

3.3.2 Constraining variable consideration

There can be a fair amount of uncertainty when estimating the variable consideration. The amount of variable consideration should be limited (or **constrained**) to the extent that it is highly probable that the inclusion of the variable consideration will not result in a significant revenue reversal in the future when the uncertainty has subsequently been resolved. In other words, the entity needs to conclude that the variable consideration is highly likely to be received before it can be included in the transaction price.

In coming to this conclusion, the entity needs to consider the extent to which the amount of the consideration is susceptible to events beyond its control (such as market volatility, the length of time until the consideration will be finalised, the entity's experience with contracts of this type, and the extent and range of possible amounts for the consideration).

Something to think about

Royalty revenue from the use of licences by customers

The constraint on the variable consideration must be applied more strictly in respect of sales or usage-based royalty revenue arising from licences of intellectual property. Revenue of this nature is only recognised when the underlying sales or usage occur. The reason for this difference in treatment is that applying the usual constraint would probably result in a superficial minimum level of revenue being recognised, which would not provide relevant information. So, in order to avoid this happening, entities earning revenue of this nature must delay the recognition of revenue until the sales or usage occurs, at which point the transaction price is known.

3.3.3 Significant financing components

Where consideration is paid in advance or in arrears, the entity needs to consider whether the contract includes a significant financing arrangement. If so, the entity must adjust for the **time value of money**. The idea here is that revenue must be reflected at the amount that the customer would have paid in cash (that is, the cash selling price) had the date of payment coincided with the date that control over the good or service passed to the customer.

Assessing whether a contract contains a significant financing component is a matter of judgement. As a practical expedient, you may conclude that no adjustment for the significant financing component is required where the interval between transfer of the promised goods or services and payment by the customer is expected to be 12 months or less.

A contract is considered not to include a significant financing component if the customer paid for the goods or services in advance and the delivery of these is at the customer's discretion, or where the difference in the timing of delivery of the goods and services and the payment arises for reasons other than financing. When you determine that a contract contains a significant financing component, you need to calculate the financing component by using an appropriate **discount rate**. This financing component may be explicit, because an interest rate is quoted in the contract, or implicit, which is when no interest rate is quoted. In the latter instance, a long period of time between performance and payment, as well as the prevailing market interest rates, may imply that a significant financing component exists. The discount rate that you use is the rate that would have applied had the entity and the customer entered into a separate financing agreement at the inception of the contract. Thus, the cash selling price of the good or service must be calculated using a fair rate of interest that reflects the credit risk of the party receiving the financing and any security provided.

Key principle:
Is there a financing component?

Where goods or services are supplied to a customer with payment by the customer at a time that provides either the entity (supplier) or the customer a significant benefit of financing, the financing element should be determined and presented separately as either interest income or interest expense in profit or loss.

Example of estimating the transaction price when payment is received in arrears

An entity enters into a contract with a customer to buy some books. Control over the books transfers to the customer when the contract is signed. The price stated in the contract is CU1 million plus a 3% per annum contractual rate of interest, payable in 60 monthly instalments of CU17 969. This rate is significantly lower than the 12% per annum interest rate that would have been used in a separate financing transaction between the entity and its customer at contract inception, owing to the particular credit characteristics of the customer.

The cash selling price is less than CU1 million. The transaction price is calculated by adjusting the promised amount of consideration to reflect the contractual payments using the 12% per annum interest rate, being CU807 783 (60 monthly payments of CU17 696 discounted at 12% per annum). The journal entries processed would be as follows:

			CU	CU
Dr		Receivable	807 783	
	Cr	Revenue (sales) (P/L)		807 783

Recognition of revenue and receivable at the transaction date

			CU	CU
Dr		Bank	17 696	
	Cr	Receivable		9 891
	Cr	Interest income (P/L) $(807\,783 \times 12\% \times \frac{1}{12})$		8 078

Recognition of interest income and reduction of receivable when the first cash instalment is received after one month

The journal entry above would be repeated each month, with interest income calculated on the debtor balance outstanding.

This principle of identifying significant financing components was always well applied for delayed payment, but not necessarily when a customer payment was received in advance. The *IFRS for SMEs* Accounting Standard only refers to transactions where payment is delayed. The principle has been made clearer in IFRS 15 and applies irrespective of whether performance or payment occurs first. This principle could therefore apply regardless of whether the entity applies IFRS 15 or the *IFRS for SMEs* Accounting Standard.

Something to think about

What would have changed in the journal entry above if 3% per annum had been assessed as a fair interest rate between the entity and the customer?

Revenue (and a debtor) to the value of CU1 million would have been recognised, and interest income at 3% per annum would have accrued until the customer settled the outstanding balance.

Example of estimating the transaction price when payment is received in advance

An entity sells books to a customer for CU1 million for immediate payment, but control over the books only transfers to the customer in two years. A fair rate of interest is considered to be 12% per annum. The substance of this contract is that the entity has received a loan, which it will settle at the end of two years by transferring books to the lender or customer. The journal entry when the cash is received reflects the substance of the transaction, as follows:

			CU	CU
Dr		Bank	1 000 000	
	Cr	Contract liability (L)		1 000 000

Recognition of receipt of cash at the date on which the contract was signed

Interest at 12% accrues on the contract liability over the two years until the contract conditions are met (in other words, control of the books is transferred to the customer). At that date, the revenue is recognised as equal to the balance of the contract liability and the books (inventory) are derecognised and recognised as cost of sales.

Something to think about

Progress or performance payments

Many construction companies require payments from their customers as and when they reach certain milestones throughout the construction project. These payments are reflective of the performance of the construction company to date. Do these contracts include a significant financing component? Not likely, as performance by the company and payment by the customer largely coincide. Would your answer change if the terms of the agreement were that 5% of each of these payments was to be withheld by the customer at the scheduled dates (called a retainer) and only paid over to the entity at the end of the project? The answer remains the same, as the likely reason for the customer retaining the 5% portion until the end would not be in order to achieve a particular financing position but rather to ensure that the construction company continues to satisfy its remaining obligations.

3.3.4 Non-cash considerations

A ‘**barter-style transaction**’ is when goods and services are exchanged for a **non-cash consideration** (for example, services are rendered in return for a new asset). In such a case, where the goods or services exchanged are **dissimilar in nature or value**, the transaction price is measured at the fair value of the non-cash consideration received.

If a service is performed for a combination of cash and non-monetary assets, then the revenue comprises both cash and non-monetary assets. For example, suppose a legal practice provides someone with legal services in return for a new piece of furniture with a fair value of CU12 000 plus a cash consideration of CU5 000. In that case, the revenue of CU17 000 (CU12 000 + CU5 000) will be recognised for the legal services.

Key principle: Revenue from non-cash transactions

Where payment by the customer is in a form other than cash (for example, transfer of a machine), the revenue is measured at the fair value of the asset received (that is, the fair value of the machine). If the fair value of the asset received cannot reasonably be estimated, then revenue is measured at the stand-alone selling price of the goods or services supplied.

The stand-alone selling price

... is the price at which the entity would sell the good or service separately to the customer. If a stand-alone selling price is not directly observable, the entity will need to estimate it. This could be done by using any of the following methods:

- ***Adjusting a market-observed price***
- ***Adding a reasonable margin to the cost of the item***

• **Deriving the price as the amount remaining once all the stand-alone selling prices of the other performance obligations have been deducted from the transaction price (called the 'residual approach').**

Where you are not able to measure the fair value of the non-cash consideration received reliably, it is appropriate to measure the revenue indirectly based on the stand-alone selling price of the goods or services promised to the customer.

However, where there is an exchange of **similar goods and services**, this is not regarded as a transaction that generates revenue. We refer to this kind of transaction as 'lacking commercial substance'. For example, an exchange of milk between two dairies does not constitute a transaction; an exchange of this nature is normally done to fulfil demand in a particular location on a timely basis. Neither sales nor cost of sales should be recognised as a result of the exchange; only the inventory details should be updated. The earnings process is incomplete, and it would therefore be inappropriate to recognise amounts in profit or loss.

3.4 Step 4: Allocate the transaction price to the performance obligations in the contract

Where a contract has multiple performance obligations, an entity must allocate the transaction price to the performance obligations in the contract by reference to their relative **stand-alone selling prices**. This results in the recognition of revenue for each performance obligation at the amount of consideration the entity expects to be entitled to for that good or service.

If there is only one performance obligation, then no allocation of the transaction price is required.

Key principle: How should the transaction price be allocated to several performance obligations?

Once you have determined the transaction price, this price should be allocated to each separate performance obligation on the basis that reflects the amount that the entity would expect to be entitled to in exchange for satisfying each separate performance obligation. This is done as follows:

- Determine the stand-alone selling price of goods and services in each separate performance obligation.
- Establish the total stand-alone selling price of all goods and services included in the contract.
- Allocate the total consideration to the performance obligations in proportion to their relative stand-alone selling prices.

3.4.1 Allocating a discount

An entity may offer a contract to customers with a discount when goods or services are bought as a bundle, as opposed to when the individual goods and services are bought separately. In this case, the discount should be

deducted from the total consideration before this is allocated in proportion to the relative stand-alone prices of the distinct goods and services.

However, when there is observable evidence that the entire discount is attributable to one or more performance obligations, the discount should be allocated to the identifiable performance obligations.

Example of allocating the transaction price to the separate performance obligations

An entity enters into a contract to sell products A, B and C to a customer. The entity sells the three products together for a total consideration of CU180. This is a contract that contains three performance obligations, as each product is considered to be discrete.

Control over each product passes to the customer at different times. The entity regularly sells product A separately; its stand-alone selling price is CU50. However, product B and product C are not regularly sold separately, and so the entity needs to estimate their stand-alone selling prices. It estimates these to be CU100 for product B and CU25 for product C.

Example of allocating the transaction price to the separate performance obligations when an entity sells a bundle of products at a discount

This is a continuation of the earlier example ('Example of allocating the transaction price to the separate performance obligations').

If the entity sold the bundle of products (A, B and C) for CU150, the transaction price would be less than the sum of the products' stand-alone selling prices (in other words, the contract attaches a discount). Each product's allocation of the transaction price based on its relative stand-alone selling price would be as follows:

When control over each product passes to the customer, its calculated proportion of the transaction price is recognised as revenue.

What if the entity sold the bundle of products for CU150, and the discount was attributable to product B and product C?

If the transaction price is at a discount to the sum of the products' stand-alone selling prices, and it is observed that product B and product C are usually sold together for CU100 (in other words, at a CU25 discount to the sum of product B and product C's stand-alone selling prices), the entire discount of CU25 in the contract

can only be attributed to product B and product C. The allocation of the transaction price in this scenario would be calculated as follows:



Notes

1 This is the usual selling price of product B and product C when sold together.

3.5 Step 5: Recognise revenue when (or as) the entity satisfies a performance obligation

Revenue is recognised as **control** is passed, either over time or at a point in time. If an entity does not satisfy its performance obligation over time, it satisfies it at a point in time. Revenue will therefore be recognised when control is passed at a certain point in time. Factors that may indicate the **point in time** at which control passes include, but are not limited to, the following:

- The entity has a present right to payment for the asset.
- The customer has legal title to the asset.
- The entity has transferred physical possession of the asset.
- The customer has significant risks and rewards related to the ownership of the asset.
- The customer has accepted the asset.

Control of an asset is defined as the ability to direct the use of and obtain substantially all the remaining benefits from the asset. This includes the ability to prevent others from directing the use of the asset and obtaining benefits from it. The benefits related to the asset are the potential cash flows that may be obtained, either directly or indirectly. These include, but are not limited to, the cash flows from using, selling or simply holding the asset.

An entity recognises revenue **over time** if one of the following criteria is met:

- The customer simultaneously receives and consumes all the benefits provided by the entity as the entity performs (for example, a training service provided by an entity to a customer).
- The entity's performance creates or enhances an asset that the customer controls as the asset is created (for example, an entity performing a renovation service on a customer's owned building).
- The entity's performance does not create an asset with an alternative use to the entity, **and** the entity has an enforceable right to payment for performance completed to date. For example, suppose an entity has constructed an asset on behalf of a customer that cannot be sold to another customer owing to the unique customised characteristics of the asset. In that case, that asset has no alternative use to the entity. In a situation of this nature, if the contract were to be terminated,

the entity would have a right to demand payment for performance to date since the revenue arising from such a contract is recognised over time rather than at a particular point in time.

Revenue is recognised

... when the transfer of control of a promised asset or service takes place.



Something to think about

When does control over goods pass to a customer if the customer orders those goods via the internet?

When someone orders goods via the internet, the supplier asks for his or her delivery address and credit card details. In effect, the customer pays for the goods prior to delivery. However, the risks and rewards of ownership only pass to the customer once the goods have been delivered. Until such time as the goods have been delivered and the customer has signed acceptance of those goods when received, the supplier still has an obligation to deliver the goods. In most cases, the supplier can only recognise the revenue once the goods have been delivered to the customer.

Example of identifying whether a performance obligation is satisfied over time or at a point in time

A property developer builds a multi-unit residential complex and offers the units for sale. Each unit is similar in layout and size. Upon entering the contract, a customer agrees to buy a unit and pays a deposit. This deposit is only refundable if the entity fails to complete the construction of the unit in accordance with the contract.

Scenario A: Control passes on completion, and the balance of the transaction price becomes payable on completion

The terms of the contract state that the remainder of the contract price is only payable on completion of the contract when the customer obtains physical possession and legal title of the unit.

The entity's obligation to provide a completed residential unit is considered one performance obligation, as the individual obligations that comprise producing this unit are not separately identifiable and, therefore, not distinct.

The customer does not receive and consume the benefits of the good simultaneously, as the benefit of the residential unit is enduring for the customer. Furthermore, the customer does not obtain control over the residential building as it is created; the customer only obtains control of the unit once the contract is completed. Finally, the entity does not have an enforceable right to payment for performance completed to date

because, until the construction of the unit is complete, the entity only has a right to the deposit paid by the customer. Consequently, the performance obligation is judged not to be satisfied over time. Instead, the entity accounts for the sale of the unit as a performance obligation satisfied at a point in time.

Scenario B: Control passes on completion, but the entity has a right to payment for performance completed, and there is no alternate use of the asset for the entity

The terms of the contract state that progress payments must be made during the construction of the unit and the unit cannot be sold to another customer. If the customer defaults on its obligations by failing to make the promised progress payments as and when they are due, the entity has a right to all the consideration promised in the contract if it completes the construction of the unit.

At contract inception, the entity determines that the unit does not have an alternative use to the entity because the contract precludes the entity from transferring the specified unit to another customer. Furthermore, the entity has a right to payment for performance completed to date in the event that the customer defaults. In this case, the performance obligation is satisfied over time, and revenue will be recognised based on an appropriate measure of progress that depicts the performance of the entity.

3.5.1 Licensing agreements

A licensing agreement exists when an entity contracts with a customer to allow the customer to use the entity's intellectual property (for example, the use of a patent). These agreements can vary significantly in their terms and economic characteristics. As with any contract, the separate performance obligations in the contract need to be identified. The entity needs to assess the following:

- Whether the customer can benefit from the licence on its own or together with other readily available resources
- Whether the licence is separately identifiable from other goods or services in the contract.

A single performance obligation is identified where the licence is not distinct from other obligations. The terms of the agreement should be examined to determine when control of the licence passes to the customer, and revenue should be recognised to depict this.

However, if the licence is a separate performance obligation, the entity needs to assess the rights conveyed by the licence:

- If the licence conveys a right to access the entity's intellectual property **as it exists throughout the licence period** (for example, the intellectual property is likely to change throughout the period of the licence, and the customer has access to these changes as they are made), revenue is recognised over a period of time.

- If the licence conveys a right to use the entity's intellectual property **as it exists at that point in time**, revenue will be recognised at a point in time. The promise by the entity means that the customer can direct the use of the remaining benefits from the licence at the point in time at which the licence is transferred and obtain substantially all of those benefits.

A final check that needs to be made is that revenue for a sales-based or usage-based royalty promised in exchange for a licence of intellectual property may only be recognised when (or as) the later of the following events occurs:

- The subsequent sale or usage occurs
- The performance obligation to which some or all the sales-based or usage-based royalty has been allocated has been satisfied (or partially satisfied).

This ensures that no revenue is recognised before the uncertainty associated with the variable consideration (based on sales or usage) has been resolved.

3.5.2 Measuring progress towards satisfaction of performance obligations

As mentioned above, the transfer of control of goods or services may happen over time (for example, in the case of the construction of assets). When performance obligations are satisfied over time, you should determine the most appropriate way to measure the progress that reflects the entity's performance in transferring control of the good or service to the customer. This measure needs to be applied consistently to similar performance obligations. The method of estimating progress must faithfully depict the extent to which the entity has transferred the promised goods or services. It can be calculated using either of the following methods:

- **Output methods**, whereby progress is measured based on the value of goods or services transferred to the customer to date as a proportion of the total goods or services required to be transferred. This could be based on surveys of work performed, time spent or units produced.
- **Input methods**, whereby progress is measured based on the extent of the entity's efforts in satisfying the obligations in the contract. This could be based on costs, labour hours or time spent on the contract. The extent of these inputs must, however, be directly related to the extent to which control over the promised goods or services has transferred to the customer in order to result in a faithful depiction of progress made.

Example of measuring progress when a customer simultaneously receives and consumes the benefits over a period of time

A tennis club enters into a contract of membership with a customer who agrees to pay CU100 per month for one year's membership. This contract comprises one performance obligation: the provision of the service of offering the tennis court facilities throughout the year to the particular customer. This performance obligation is judged to be satisfied over a period of time, as the customer receives and consumes the benefit of the tennis court facilities at the same time.

This conclusion is supported by the fact that if another entity were to take over the contract with the customer at some point, the other entity would only need to provide the

customer with access to the tennis court facilities for what remains of the period stipulated in the original contract. In other words, the other entity would not need to reperform the service already provided by the first entity.

Furthermore, a faithful measure of progress would be made evenly over the duration of the contract, as the customer will benefit from having access to the facilities evenly over the period, whether or not the customer uses the facilities. Consequently, CU100 would be recognised as revenue each month.

Revenue is measured over time when the entity's performance creates or enhances an asset (in other words, work in progress) that the customer controls. The progress made, as calculated according to this measure, is accounted for on a cumulative basis, and any change in accounting estimate is recognised according to IAS 8, *Basis of Preparation of Financial Statements* (as discussed in [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*). This means that where the circumstances change over time, an entity should update its measure of progress to reflect the entity's performance completed to date.

If a reliable measure of progress cannot be made, revenue is recognised to the extent of costs incurred if those costs are expected to be recovered from the customer.

Example of measuring revenue as and when the asset is created over time

Entity A agreed to design a software system for a customer at a price of CU10 million. At the outset of the transaction, it was estimated that the total costs of the design and development would be CU6 million. The contract represents a single performance obligation that has been satisfied over time, as the customer obtains control over the software system as it is created. Progress is measured based on costs incurred as a proportion of total estimated costs.

At the end of year 1, 60% of the estimated costs had been incurred. These costs are directly related to how much control over the software system has transferred to the customer. Entity A recognises revenue of CU6 million and costs of CU3.6 million (60% of the total estimated costs).

By the end of the second year, the total estimated costs were expected to be CU5.4 million (less than the original estimate of CU6 million), and 90% of total costs had been incurred by the end of year 2. At the end of year 2, the total cumulative revenue that should have been recognised was CU9 million, and the total costs that had been incurred amounted to CU4.86 million (90% × CU5.4 million). At the end of the second year, 90% of the estimated profit of CU4.6 million (CU10 million – CU5.4 million) would be recognised, amounting to CU4.14 million.

The difference between the cumulative amounts to be recognised and the amounts recognised in prior years should be recorded as follows:



(This example assumes that there is no significant financing component.)

Something to think about

Which method is used in this example?

In the example above, is the method used in accordance with the output method or the input method?

IFRS for SMEs Accounting Standard application

This concept of estimating an appropriate measure of progress when recognising revenue over time is similar to the 'stage of completion' method referred to in Section 23 of the *IFRS for SMEs* Accounting Standard. The *IFRS for SMEs* Accounting Standard requires this method to be used whenever there is a contract for rendering services (as long as various criteria are met). However, IFRS 15 has done away with the distinction between sales and services, and allows this method for the recognition of revenue where the performance obligation is satisfied over time. This is one of the main positive features of IFRS 15 that should result in economically similar transactions being reported in the same way, no matter what industry the entity is operating in.

4 Other considerations

Having dealt with the main principles of recognising revenue, we will now address some of the other aspects that may need to be considered when applying the five-step approach of IFRS 15.

4.1 Contract modifications

It is common business practice for a contract to be modified or amended at some point during its term. For example, a contract might be amended such that the entity is required to transfer additional goods or services to the customer for an agreed amount. The question is whether the modification should be treated as a separate contract or as an extension of the initial contract. As a guideline, you should consider it to be a **separate contract** when the following criteria are met:

- The additional goods or services are distinct.
- The additional consideration reflects the stand-alone selling price of the additional goods or services.

If these criteria are not met, but the additional goods or services are still distinct, the treatment is that the initial contract is considered terminated, and the remaining unrecognised transaction price and remaining performance obligations are accounted for according to the five-step approach.

If the additional goods or services are not distinct and therefore form part of a single performance obligation that is partially satisfied at the date of modification, the initial contract is **extended or modified**. The amount of revenue that should have been recognised at this point in time is remeasured based on all the terms of the initial contract and the modification. The revenue account is then adjusted (either increased or decreased) to reflect the correct cumulative amount of revenue that should have been recognised at this point.

Example of contract modification

An entity promises to sell 100 toy cars to a customer for CU10 000 (CU100 per product). The toy cars are transferred to the customer over a six-month period. The entity transfers control of each product at a point in time. After the entity has transferred control of 50 toy cars to the customer, the contract is modified to require the delivery of an additional 30 toy cars (a total of 130 identical toy cars) to the customer.

Scenario A: The additional goods are distinct, and the consideration reflects the stand-alone selling price of the additional goods

When the contract is modified, the price of the additional 30 toy cars is an additional CU95 per product. The pricing for the additional toy cars reflects the stand-alone selling price of the toy cars at the time of the contract modification, and the additional toy cars are distinct from the original toy cars. The contract modification for the additional 30 toy cars is in effect a new and separate contract for future toy cars that does not affect the accounting for the existing contract. The entity recognises revenue of CU100 per product for the 100 toy cars in the original contract and CU95 per product for the 30 toy cars in the new contract.

Scenario B: The additional goods are distinct, and the consideration does not reflect the stand-alone selling price of the additional goods

The entity agrees to a price of CU80 per toy car for the additional toy cars (which is less than the stand-alone selling price of CU95 per car) in order to maintain a good relationship with the customer. Accordingly, the contract modification does not meet the conditions to be accounted for as a separate contract. However, since the remaining toy cars to be delivered are distinct from those already transferred, the entity accounts for the modification as a termination of the original contract and the creation of a new contract. Consequently, the amount recognised as revenue for each of the remaining products is a blended price of CU92.50 ($\{CU100 \times 50 \text{ products not yet transferred under the original contract}\} + \{CU80 \times 30 \text{ products to be transferred under the contract modification}\} \div 80 \text{ remaining products}$).

Scenario C: The additional goods are not distinct

Assume that the contract was modified such that the customer required 100 remote controls for the toy cars (and not an additional 30 toy cars) at CU10 each. Assume that

the 100 toy cars could not be used without the remote controls. Consequently, the remote controls would not be distinct from the toy cars, and the obligation to deliver the toy cars and the remote controls should be accounted for as one performance obligation. The entire transaction price would amount to $100 \text{ toy cars} \times \text{CU}100 + 100 \text{ remote controls} \times \text{CU}10 = \text{CU}11\,000$. If, at the time of modification of the contract, the entity reliably measured its progress on the contract as being 40% complete, revenue of $40\% \times \text{CU}11\,000 = \text{CU}4\,400$ should have been recognised thus far. In fact, revenue of CU5 000 (50 toy cars delivered $\times$ CU100) has already been recognised. Therefore, a journal entry to reduce revenue by CU600 (CU5 000 – CU4 400) would be required.

4.2 Customer options for additional goods or services

A contract with a customer may include an option for the customer to obtain further goods or services at a discounted amount or perhaps even for free. This option or right may be in the form of a sale incentive, a customer loyalty award, an option to renew the contract, or a discount voucher to purchase future goods or services. These options incentivise customers to buy more goods or consume more services in the future.

These options are treated as **separate performance obligations** if they give the customer a **material right** that the customer would not have had had they not entered into the contract.

Follow these guidelines when determining whether or not a customer has a material right:

- A contract that allows the customer to accumulate points and use the value of those points to reduce the cost of future purchases (thereby paying **less than** the stand-alone selling price of the good) creates a material right for that customer.
- If the contract incorporates marketing a particular good to the customer at an amount that reflects the good's stand-alone selling price, the customer does not have a material right because anyone can purchase the good in future at that same price.

Something to think about

What is a loyalty programme?

Loyalty programmes include schemes such as an airline's miles or retail entities' points awards, where a certain number of miles or points are awarded each time a customer pays for a flight or spends at the retailer. Once an agreed number of miles or points has been earned, the customer is entitled to a free flight or a discount on future purchases at the retailer.

When a material right exists, the substance of the contract is that the customer has, in effect, pre-paid for future goods or services. Based on the principles we have already covered, it makes sense that the transaction price allocated to this performance obligation only be recognised as revenue when the future goods or services have been delivered or when the option expires.

The transaction price for this separate performance obligation is determined according to the usual principles. In other words, it is based on the relative stand-alone selling prices of the various performance obligations. It must be estimated if there is no observable stand-alone selling price for the option. The estimate is calculated as the discount that the customer would obtain when exercising the option, adjusted for any discount that the customer could receive without exercising the option (so that the amount is truly reflective of the customer's material right) as well as for the likelihood that the option will be exercised. With regard to the latter adjustment, this is necessary because if the entity does not expect that the customer will use the discount in future, there is no reason to delay the recognition of a portion of the transaction price. The transaction price is then allocated between the amount of revenue recognised and a contract liability (in other words, the obligation arising from the option to buy additional goods or services in the future).

Example of a loyalty award

A customer pays CU11 000 for a ticket on a scheduled flight. In terms of the airline's customer loyalty programme, once a customer has purchased ten flights, they are entitled to a free flight. In other words, the customer pays for ten flights and receives 11.

In this case, the payment of CU11 000 has two components: one relating to the purchased flight and the other relating to the option to obtain a future 'free' flight.

The cash received for the flights should be recognised as revenue to depict the transfer of promised goods and services to a customer at an amount of the consideration to which the airline expects to be entitled. The amount received in respect of the free flight should only be recognised as revenue when the passenger exercises their right to a free flight. The revenue relating to the flight paid for should be recognised when the passenger flies.

The airline estimates that the stand-alone selling price of the 'free flight' portion is CU1 000, which takes into account the expectation of whether or not the customer will redeem the discount (that is, book and utilise the 'free' flight). The stand-alone selling price of the ticket for the current scheduled price is CU11 000.



Assuming that the cash is received at the date on which the passenger flies, the journal entry would be as follows:

			CU	CU
Dr		Bank (cash received)	11 000	
	Cr	Revenue (P/L)		10 000
	Cr	Contract liability		1 000

That entry will occur ten times (assuming the stand-alone selling prices remain unchanged), once for each flight paid for. Once the passenger has paid for their tenth flight, the customer is eligible for a 'free' flight. At the date on which the customer exercises their right to a free flight, the following journal entry would be processed:

			CU	CU
Dr		Contract liability	10 000	
	Cr	Revenue (P/L)		10 000

In some circumstances, a customer may not exercise all of their contractual rights (in other words, the customer allows these rights to lapse). IFRS 15 gives the term '**breakage**' to unexercised rights. If an entity expects a breakage amount (for example, based on the previous pattern of customer behaviour), it expects that some customers will not exercise their contractual rights. This should be considered when calculating the revenue recognised and the contract liability.

4.3 Principal versus agent considerations

You will recall that the transaction price is the amount of consideration the entity expects to be entitled to. If the entity is not entitled to an amount of consideration that is received (in other words, the entity is collecting the consideration on behalf of a third party), the amount cannot be recognised as revenue. The amount collected on behalf of the third party represents a liability for the entity and should be recognised as such.

Where VAT is levied on a sale, the resulting journal entry is as follows:

Dr		Trade receivable/bank	115%	
	Cr	Revenue (sales) (P/L)		100%
	Cr	VAT payable		15%

The total liability to pay VAT (calculated as the net amount due between output VAT and input VAT) is discussed further in [Chapter 18](#), *Income taxes*.

Transfer duty is a tax levied by the South African Revenue Service (SARS) on property sales. It is collected (on behalf of SARS) by the legal firms responsible for the registration of a property in the buyer's name. The legal firm charges the client for the transfer duty as well as other legal costs payable.

When an entity collects VAT or transfer duty on behalf of SARS, it acts as an **agent** for SARS. Whenever an entity acts as an agent, it cannot recognise the consideration it receives on the third party's behalf as revenue.

Example of identifying agent and principal

Entity A displays goods on behalf of Entity B. The terms of the arrangement reflect that Entity B has control over the goods until they are sold by Entity A (on behalf of Entity B).

Entity B should recognise the inventory on its statement of financial position until the goods are sold. Entity B must recognise the amount to which it is entitled from the customer as revenue when sold. The cost of inventory sold should be recognised as 'cost of sales', and a separate expense should be recognised for the agreed amount of commission retained by Entity A.

Entity A receives the cash from the customer. It pays the cash, less the agreed commission for displaying the goods and collecting the cash, over to Entity B. Entity A has only earned the commission, and that is all that should be recognised in revenue.

In some cases, it is not easy to determine whether an entity acts as an **agent** or a **principal**. The principal is the entity that **controls** the goods or services until they are transferred to the customer. In other words, the entity itself is obligated to provide the promised goods or services to the customer. An agent does not obtain control over the goods or services prior to the customer. In other words, the agent is responsible for **arranging** for the principal to transfer the goods or services to the customer.

In order to determine whether an entity is acting as the principal or as an agent, the nature of the entity's promise needs to be examined for any evidence of the existence of a performance obligation. If any of the following circumstances exist, there is a strong likelihood that the entity is acting as an agent:

- The entity itself is not responsible for fulfilling the contract.
- The entity does not carry the risk associated with the inventory or the credit risk of the amount receivable from the customer.
- The entity does not have discretion in establishing the good's selling price.
- Commission is quoted in the agreement.

Example of agency commission

A letting agency collects rent on behalf of a landlord. The rent is revenue for the landlord, while the commission is his expense. The agent will only recognise the commission as revenue. Assuming that a commission of 5% is earned, the entry in the records of the agency would be as follows:

Dr		Bank	100%	
	Cr	Revenue (commissions earned) (P/L)		5%
	Cr	Accounts payable		95%

The landlord, not the letting agent, controls the property he is renting out. The letting agent should, therefore, only recognise agency commission (as opposed to rental income and the costs incurred in generating that revenue). The landlord should recognise rental revenue of 100% and a collection expense of 5%.

4.4 Warranties

Warranties relate to promises made by the entity, usually to repair or replace a defective good that a customer has purchased within a stipulated time. The question arises as to whether a warranty of this nature should be treated as a separate performance obligation.

4.4.1 When the warranty is a distinct service (service-type warranty)

If the customer has the option to purchase the warranty separately, the warranty is distinct and should be accounted for as a separate performance obligation. Consequently, the transaction price will be allocated to the different performance obligations, including the warranty, based on their relative stand-alone selling prices, and revenue will be recognised to depict the transfer of control over that good and service to the customer. Indicators that a warranty provides a customer with a service in addition to the assurance that the product will perform as expected include the following:

- Whether the warranty is required by law
- The length of the warranty coverage period
- The nature of the tasks that the entity promises to perform.

For example, suppose a ten-year warranty is provided for a product for which other retailers usually supply a two-year warranty. In that case, the customer is likely obtaining a service that is additional to the assurance that the product will function properly. The warranty should be treated as a separate performance obligation in this situation.

4.4.2 When the warranty is not a distinct service (assurance-type warranty)

When the warranty simply assures the customer that the product will function as the parties intended, then there is no separate performance obligation, and the warranty should be accounted for as a provision. In this case, IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*, applies to the warranty, which means that a provision should be recognised for the best estimate of the costs expected to be incurred to settle the obligation and the corresponding debit will be an expense that is closed off to cost of sales.

Dr		Repairs expense (cost of sales)
	Cr	Provision for repairs in terms of warranties



Something to think about

Changes in accounting treatment of warranties

According to the old standard (IAS 18), if it was not possible to estimate the repair costs associated with a warranty reliably, the recognition of revenue had to be deferred until the warranty conditions had lapsed. With IFRS 15, when the warranty is not a separate performance obligation, it does not affect the timing or amount of revenue recognised. In other words, revenue will still be recognised to depict the transfer of promised goods and services to a customer at an amount of the consideration to which the entity expects to be entitled. The costs of satisfying the warranty will have no effect when determining the transaction price for the purpose of recognising revenue. If the costs relating to the warranty cannot be measured reliably, the provision cannot be recognised according to the recognition criteria in IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*.

4.5 Contract costs

Contract costs are the costs incurred by an entity to obtain a contract (such as sales commission) and to fulfil it (for example, the cost of goods transferred).

The **costs that are incurred to fulfil the contract** may meet the definition of inventory (according to IAS 2, *Inventories*), depreciation relating to the use of property, plant and equipment (according to IAS 16, *Property, Plant and Equipment*) or amortisation relating to the use of an intangible asset (according to IAS 38, *Intangible Assets*). In these instances, the relevant standard must be applied. Most costs associated with obtaining a contract are expensed when incurred, as they would have been incurred regardless of whether the contract was obtained (for example, the salaries of key personnel). On the other hand, some **costs will be incremental to the performance** in terms of the contract. These are costs that the entity would not have incurred if the contract had not been obtained (for example, sales commissions), or they are costs that are explicitly chargeable to the customer (for example, the cost of labour for a service provided).

Key principle: How should incremental costs be recognised?

The incremental costs of obtaining a contract plus the costs of fulfilling a contract are recognised as an asset (a contract asset) if the entity expects to recover the costs.

Costs recognised as an asset are expensed (as cost of sales) on a systematic basis consistent with the pattern of transfer of the goods or services to which the asset relates.

This means that costs are recognised in profit or loss either over time or at a point in time, in accordance with the method used for recognising the related revenue.

Incremental costs incurred to obtain a contract must be recognised as an asset and amortised systematically, consistent with the transfer to the customer of the goods or services to which the incremental costs incurred relate. These costs may be expensed immediately if the amortisation period is less than one year for practical purposes.

Something to think about

Different classifications of costs

In other studies (for example, Cost and Management Accounting), you have learnt that costs are classified as fixed costs and variable costs, or direct costs and indirect costs.

How would these principles apply to the identification of costs for contracts in accordance with IFRS 15?

Identifiable costs must be recognised as an asset (that is, inventory) until the service performance obligation has been met if these costs:

- Relate directly to a contract (for example, direct labour, direct materials and an allocation of other costs directly attributable to the contract)
- Generate or enhance existing resources used to satisfy performance obligations (and therefore meet the definition of an asset, being a controlled resource)
- Are recoverable (in other words, the consideration from the customer will exceed the costs incurred).

General administrative costs and costs associated with satisfied performance obligations (past performance) cannot be recognised as assets. In other words, only identifiable costs that are recoverable and relate directly to satisfying future performance obligations should be recognised as an asset.

As with incremental costs to obtain a contract, the costs incurred to fulfil the contract that has been recognised as an asset must be amortised on a systematic basis consistent with the transfer to the customer of the goods or services to which the asset relates. As with all other assets, these contract costs need to be impaired if their carrying amount exceeds their recoverable amount. The recoverable amount is equal to the future consideration from the customer for that specific asset, less the additional costs to be incurred to satisfy that performance obligation.

Example of contract costs

An entity enters into a contract with a customer to offer a service of safeguarding an offsite backup of the customer's confidential data for a period of three years. In order to fulfil the contract, the entity needs to obtain a new server and some software. The costs incurred are as follows:



The commission paid will be capitalised as a contract asset and amortised evenly over the three-year period, as that is the period over which the service is performed according to the contract.

The cost of the new server (CU200 000) will be accounted for according to IAS 16, *Property, Plant and Equipment*, and the cost of the software will be accounted for according to IAS 38, *Intangible Assets*. The set-up costs do not meet the definition of: property, plant and equipment; inventory or intangible assets. Consequently, they are accounted for according to IFRS 15. However, they are identifiable, relate specifically to the contract, and enhance the entity's assets (server and software) used to satisfy its performance obligation. As long as these costs are recoverable, they will be recognised as an asset and amortised over the three-year period.

4.6 Contract assets and liabilities

IFRS 15 includes specific definitions for terms such as ‘contract liabilities’, ‘contract assets’ and ‘receivables’. Although entities are not obligated to refer to these items by the names used in the standard, it is important to understand what these descriptions refer to. [Table 22.1](#) supplies definitions for these terms.

Table 22.1 Specific definitions given in IFRS 15

Term	Definition
Contract asset	An entity’s right to consideration in exchange for goods or services that the entity has transferred to a customer when that right is conditioned on something other than the passage of time (for example, the entity’s future performance)
Receivable	An entity’s unconditional right to consideration
Contract liability	An entity’s obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer

Source: Adapted from International Accounting Standards Board (IASB). 2024. IFRS 15 *Revenue from Contracts with Customers*.

The requirements state that when either party to a contract has performed as required in a contract, an entity must present a **contract asset** or a **contract liability**, depending on the relationship between the entity’s performance and the customer’s payment. Any unconditional rights to consideration are presented as a receivable rather than a contract asset. The scenarios that follow demonstrate this requirement.

Scenario A: Cash is received from the customer, but the entity has not performed as yet

Dr		Bank
	Cr	Contract liability

Scenario B: The entity is unconditionally entitled to payment, but it has not been received, and the entity has not performed as yet

Dr		Receivable
	Cr	Contract liability

Scenario C: The entity is unconditionally entitled to payment, but it has not been received, although the entity has performed

Dr		Receivable
	Cr	Revenue (P/L)

Scenario D: The entity has performed, but is not yet unconditionally entitled to payment

Dr		Contract asset
	Cr	Revenue (P/L)

It is interesting to note from the journal entries above that there is an instance when a contract will give rise to both an asset and a liability **before** the entity has performed or the customer has paid (refer to Scenario B). For non-cancellable contracts, this is the only instance where a journal entry will be processed before either party has substantially performed (refer to Section 3.1 for more on this point). This is because the entity has an unconditional right to payment (a receivable) for which an appropriate credit must be recognised (a contract liability).

IFRS 9, *Financial Instruments*, must be applied to account for changes in the contract asset and receivables. If the asset is assessed as impaired (for example, if a debtor has still not settled an outstanding debt at the reporting date, and further investigation reveals that the debtor is experiencing severe financial difficulties and it does not seem likely that the full balance due will be paid), the revenue originally recognised should not be reversed, but an expense must be recognised. The expense is calculated as the difference between the recoverable amount of the debt (the amount of any payment expected to be received) and the carrying amount of the asset. This impairment loss is usually referred to as an 'expected credit loss', and the contra credit is recognised directly to the receivable or an allowance account (the 'allowance for expected credit losses' account).

An expected credit loss allowance arises where the anticipated future benefits in the form of cash flows are less than the carrying amount of the receivables. This balance is netted off against the receivables, called a 'contra account' or 'negative asset'. The expected credit loss (impairment loss) should be recognised in the year in which the anticipated recovery from the asset declines, which is the year in which the allowance is recognised. IFRS 7, *Financial Instruments: Disclosures*, requires that the impairment loss is recognised in profit or loss and disclosed.

The journal entry required to recognise an expected credit loss would be as follows:

Dr		Expected credit loss (P/L)
	Cr	Allowance for expected credit losses (negative asset)



ETHICAL DILEMMA

Revenue recognition can give rise to ethical dilemmas, for example:

- **Premature revenue recognition:** Ethical dilemmas arise when entities recognise revenue before it is earned or when there are uncertainties about its collectability. Premature revenue recognition can mislead stakeholders, inflate financial performance and misrepresent the true financial performance of the entity. Entities have an ethical responsibility to ensure that revenue recognition aligns with the completion of performance obligations and the collection of payment.
- **Manipulation of revenue figures:** Ethical dilemmas can emerge when entities manipulate revenue figures to meet financial targets or deceive stakeholders. This can involve inflating sales numbers, recognising fictitious or unearned revenue, or artificially boosting sales at the end of a reporting period. Manipulating revenue figures undermines transparency, fairness and the trust of stakeholders.
- **Customer contracts and performance obligations:** Ethical dilemmas can emerge when entities negotiate customer contracts or performance obligations with the intent of manipulating revenue recognition. For example, including side agreements, not disclosing contingencies or altering contract terms to accelerate or defer revenue recognition can compromise the integrity and fairness of financial reporting. Entities must ensure that contract negotiations and performance obligations reflect the true nature of the revenue transaction.

- **Revenue shifting through related entities:** Ethical dilemmas can emerge when entities use revenue-shifting practices to manipulate revenue recognition. This can involve redirecting sales through intermediaries or subsidiaries to recognise revenue in more favourable accounting periods or jurisdictions. Such practices distort the true revenue picture, mislead stakeholders and undermine the fairness and integrity of financial reporting.

- **Misleading disclosures:** Ethical dilemmas arise when entities provide misleading or inadequate disclosures related to revenue recognition. Incomplete or unclear disclosures can mislead stakeholders and prevent them from fully understanding the nature of the revenue transactions, associated risks or revenue recognition policies. Entities must provide accurate, comprehensive and transparent information to enable informed decision-making by stakeholders.

Addressing ethical dilemmas in revenue recognition requires entities to uphold ethical principles of transparency, integrity and fairness. Entities should follow the steps in IFRS 15, provide accurate and transparent disclosures, avoid aggressive practices and consider the long-term interests of stakeholders. Robust internal controls, independent audits and a strong ethical culture can help mitigate ethical concerns related to revenue recognition.



Link to the Sustainable Development Goals

Sustainable Development Goal 8 is 'Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all' (UN, 2015:14). Revenue growth is important because all entity costs are funded from it. Operating costs, including employee benefits, are funded from revenue, and what is left after funding these costs is called the 'bottom line'. However entities should aim for responsible growth, which is important for financial sustainability and the availability of good jobs.

4.7 Disclosure

The objective of disclosure requirements is always to ensure that sufficient information is available to enable users of financial statements to understand the nature, amount, timing and uncertainty of a particular group of transactions (in this case, revenue and cash flows arising from contracts with customers). Disclosure comprises a mixture of qualitative and quantitative information about the following:

- Revenue recognised from customers
- Contract assets, liabilities and receivable amounts
- Performance obligations
- The significant estimates and judgements, as well as changes in judgements made.

It should disclose when an entity has applied a practical expedient (for example, identifying transactions with significant financing components or expensing incremental costs of obtaining a contract). The disclosure requirements are summarised below.

4.7.1 Contracts with customers

The specific disclosure requirements relating to contracts with customers are as follows:

- Revenue from contracts with customers is recognised separately from other sources of revenue.
 - Impairment losses on contract assets and receivables are recognised separately from other impairment losses.
- There should be a meaningful disaggregation of revenue (including reconciliation with segment revenue according to IFRS 8, *Operating Segments*).
- There should be a reconciliation of contract asset and contract liability balances, showing the major reasons for the changes in these balances separately.
 - Disclosure of opening and closing balances for receivables is required.
- There should be information about the typical terms of contracts and how performance obligations are typically satisfied.
- There should be information about the existence of warranties, refunds and so on.
 - There should be information about remaining performance obligations.

4.7.2 Significant judgements and changes in judgements

An entity must disclose the significant judgements (and changes therein) that have been made in accounting for revenue from contracts with a customer, particularly in determining the transaction price and identifying and measuring when performance obligations are satisfied.

4.7.3 Any assets recognised from the costs to obtain or fulfil a contract

An entity is required to disclose the following:

- Judgements used in determining contract costs and the amortisation period
- Opening and closing balances of contract costs per main category of asset
 - Amortisation and impairments of contract costs for the period.



As indicated at the start of the chapter, the *IFRS for SMEs Accounting Standard* is still based on the requirements of the old IAS 18 and IAS 11:

- According to Section 23, *Revenue*, of the *IFRS for SMEs Accounting Standard*, revenue is earned from any of the following:
 - The sale of goods
 - The rendering of services
 - The use of an entity's assets by a third party.
- Revenue from the sale of goods should be recognised when all the following criteria have been satisfied:
 - The entity has transferred the significant risks and rewards of ownership of the goods to the buyer.
 - The entity retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold.
 - The amount of revenue can be measured reliably.
 - It is probable that the economic benefits associated with the transaction will flow to the entity.
 - The costs incurred or to be incurred in respect of the transaction can be measured reliably.
- Revenue from the rendering of services is recognised according to the stage of completion if the outcome of the transaction can be estimated reliably. This income recognition method results in revenue recognition when the work is performed and is, therefore, consistent with the accrual basis of accounting.
- In order for the outcome of a transaction to be estimated reliably, the following conditions must exist:
 - The amount of revenue can be measured reliably.
 - It is probable that the economic benefits associated with the transaction will flow to the entity.
- The transaction's stage of completion at the reporting date can be measured reliably.

- The costs incurred for the transaction and the costs to complete the transaction can be measured reliably.
- When others use an entity's resources, this produces revenue in the form of interest (on cash and other financial assets), dividends (distributions from investments) and royalties (receipts for use of the entity's intangible assets). The related revenue should be recognised on the following bases:
 - Interest income using the effective interest rate method
- Dividends earned when the entity's right to payment as a shareholder is established, which is generally the last day to register
 - Royalties on an accrual basis according to the terms of the agreement. (A royalty agreement is normally signed between the owner of the asset and the user, stipulating the terms and conditions of the usage of the asset and related royalty payments. The basis for determining the royalty payments should be used as the basis for recognising royalty income. For example, where royalty fees are payable by a third party based on sales, royalty revenue should be recognised as sales take place. Royalties based on the passage of time should be recognised as time elapses.)
- Although you may think that interest or dividend income is not part of the ordinary activities of a retail entity, the *IFRS for SMEs* Accounting Standard specifically classifies these income items received from the use of the entity's assets as revenue.

Key points to take from this chapter

- According to IFRS 15, *Revenue from Contracts with Customers*, revenue is income that arises in the course of the ordinary activities of the entity.
 - The main issues in accounting for revenue are determining when it should be recognised and at what value. The following five-step approach is recommended:
 1. Identify a contract with a customer that has commercial substance (recognition).
 2. Identify the different performance obligations (there may be more than one) (recognition).
 3. Determine the transaction price, which is the total amount the seller expects to be entitled to as consideration (measurement).
 4. Allocate the transaction price to the performance obligations (measurement).
 5. Recognise revenue when the performance obligation has been met (recognition).

- Specific issues that you should consider regarding the recognition of revenue from contracts with customers include the following:
 - The consideration can be variable (for example, discounts may be given and payments may be deferred).
 - More than one performance obligation may exist.
 - It may be complex to allocate the transaction price to the different performance obligations based on the stand-alone prices of goods or services.
 - Performance obligations may be met at a specific point in time or may be satisfied over time.
 - Changes and modifications may be made to the contract.
- Revenue arising from contracts with customers should be recognised on delivering goods or services to the customer. When the customer pays at a time different from the date on which the revenue is recognised, the entity recognises a contract receivable (asset) or a contract payable (liability).
- Costs incurred to obtain and to fulfil a contract are recognised as an asset (contract cost asset) and expensed (as cost of sales) on a systematic basis consistent with the pattern of transfer of goods or services to which the asset relates.
- Disclosure of revenue recognised from contracts with customers, contract assets and liabilities, performance obligations and significant judgements and estimates is required to help users of financial statements understand the nature, timing, amounts and uncertainties associated with revenue and cash flows arising from contracts with customers.

Discussion questions

1. Briefly discuss how and at what value you would recognise the following transactions:
 - a) Cash received when a customer places an order for an inventory item that must still be manufactured
 - b) The management fee charged by head office for management services to a branch
 - c) Advertising income received from a customer for the design and development of an advertisement that will be placed in local newspapers in the next two months
 - d) The insurance fee income received from a customer for insurance coverage on their factory for the next 12 months

- e) Audit fees invoiced to a client for work performed
 - f) Tuition fees received by a training entity when students register for a three-month course that commences in two months' time
 - g) Airline tickets paid for by customers when tickets were booked via the internet.
2. A Ltd sold inventory to B Ltd at a selling price of CU50 000. Discuss how and at what value the revenue should be recognised in each of the following scenarios:
- a) A Ltd allows a discount of 2% on all cash sales, and B Ltd pays in cash at the selling date.
 - b) A Ltd allows a discount of 5% for amounts settled within 30 days. A Ltd expected B Ltd to take advantage of the discount, and B Ltd settled in time.
 - c) A Ltd allows a discount of 5% for amounts settled within 30 days. A Ltd expected B Ltd to take advantage of the discount, but B Ltd only settled at 31 days.
 - d) A Ltd received a computer with a fair value of CU55 000 from B Ltd as a consideration.
 - e) A Ltd agreed that B Ltd could settle at the end of 12 months after the selling date.

Exercise questions

Question 1

Entity A made a large sale with a cash selling price of CU42 000 on 31 August 20x1 to ABC Sound, which has an excellent credit rating. The customer requested extended credit terms, and Entity A agreed that the customer could settle the full amount plus interest on 28 February 20x3. Entity A would charge interest at a rate of 5% per annum on the amount owing for the extended credit period. The market rate of interest for a similar transaction was 10% per annum. Assume that interest is not compounded.

You are required to do the following:

Prepare the journal entries necessary to process the transactions above for the year ended 31 December 20x1:

1. In accordance with the *IFRS for SMEs* Accounting Standard

2. In accordance with IFRS 15.

Question 2

Entity B offers its customers a one-year warranty on the equipment within the warranty period. The warranty is not considered to be a separate performance obligation. At 31 December 20x5, the provision for warranties account had a balance of CU143 000. During 20x6, machines to the value of CU131 500 sold during 20x5 were returned and had to be replaced or repaired. At December 20x6, the entity estimated that machines with a total sales value of CU2 834 500 were still under warranty and a claim rate of 5% was expected.

You are required to do the following:

Prepare the journal entries necessary to process the above transactions for the year ended 31 December 20x6.

Question 3

Entity C offers all of its customers 30 days' credit with a 3% settlement discount for invoices settled within seven days of the invoice date. During January 20x8, Entity C issued invoices totalling CU550 000 to its customers (who have obtained control over the goods) and expected that all these customers would pay within seven days. Of these sales, 80% of the customers took advantage of the early settlement discount and the balance paid within the normal 30-day credit period.

You are required to do the following:

Prepare the journal entries necessary to process the transactions described above for the year ended 31 December 20x8.

Question 4

Entity D has recently entered the field of software development. On 4 July 20x5, Entity D acquired its first and only client for the year with regard to software development. Entity D entered into an agreement with E-Tronics to design a software program for it. At 31 December 20x5, Entity D was still in the process of designing the software for E-Tronics. It was estimated that total costs to Entity D of designing the system would amount to CU700 000, of which CU150 000 had been incurred by the reporting date. The CU700 000 should not be considered reliable, as unanticipated problems often arise at the testing stage. E-Tronics had agreed to pay a purchase price of CU1 450 000, which would cover all the costs incurred by Entity D.

At 31 December 20x6, Entity D completed the software program for E-Tronics. By 31 December 20x6, Entity D had incurred total costs of CU1 000 000 relating to the development of the software. It was probable that E-Tronics would pay the full price due.

Ignore VAT.

You are required to do the following:

1. List the criteria that must be met in order for revenue from the software development services to be recognised in the financial statements of Entity D.
2. Calculate the revenue and costs to be included in the 20x5 and 20x6 financial years relating to the software development contract entered into by Entity D with E-Tronics in accordance with IFRS 15, *Revenue from Contracts with Customers*.
3. Draft a suitable revenue recognition accounting policy for Entity D for the 20x5 financial year in respect of the scenario discussed above.

Question 5

Entity E made total cash sales of CU100 000 during January 20x4. The cost of the inventory sold amounted to CU60 000. Entity E allows customers to return items that are still in good working condition within 30 days of the date of the sale. It was expected at the date of the sale that 5% of goods would be returned.

You are required to do the following:

1. Prepare the journal entries to record the sales in January 20x4 in the books of Entity E.
2. Prepare the journal entries required in February 20x4 assuming that:
 - a) 5% of goods are returned
 - b) 7% of goods are returned
 - c) 2% of goods are returned.

Reference

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

23

Foreign exchange transactions IFRS reference

IFRS reference

IAS 21: *The Effects of Changes in Foreign Exchange Rates*

IFRS for SMEs Accounting Standard reference

Section 30: *Foreign Currency Translation*

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5 Forward exchange contracts

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5.2 [Forward exchange transactions](#)

5.3 [Accounting for forward exchange contracts](#)

5.4 [Hedge accounting](#)

Key points to take from this chapter

Discussion questions

Exercise questions

Reference

Learning objectives

By the end of this chapter, you should be able to:

- Identify an entity's functional currency.
- Identify transactions in a foreign currency.
- Account for foreign currency transactions using appropriate exchange rates.
- Account for forward exchange contracts.

Concept summary



1 Introduction

All the transactions we have looked at so far have been denominated in currency units (CU), the assumed domestic currency of an entity. The domestic currency of South Africa is the rand (abbreviated as 'ZAR' with the currency symbol 'R'). We live in a globalised society, with many South African entities carrying on **foreign activities and transactions**. Foreign activities can be direct (such as importing or exporting goods and services) or indirect (for example, investing in businesses in other countries). These transactions are often denominated in currencies other than the rand (foreign currencies). Examples of foreign currencies are the US dollar (abbreviated as 'USD' with the currency symbol 'US\$'), the pound sterling (abbreviated as 'GBP' with the currency symbol '£'), the Japanese yen (abbreviated as 'JPY' with the currency symbol '¥') and the euro (abbreviated as 'EUR' with the currency symbol '€'), which is the currency of nearly all the countries within the European Union.

Most South African entities present their annual financial statements in rands. However, an entity can choose to present its annual financial statements in any currency it wishes. This is known as the **presentation currency**. If a South African entity with a presentation and functional currency (see Section 4.1) of rands transacts in another currency, it must record those transactions in rands. This requires deciding what exchange rate to use for the translation and recording of the transaction and any amounts receivable or payable at the reporting date. Further, exposure to currency risks associated with foreign currency transactions should be disclosed in its annual financial statements so that users can understand the entity's exposure to these risks. These accounting and disclosure requirements are set out in IAS 21, *The Effects of Changes in Foreign Exchange Rates*, and are explored in this chapter.



IFRS for SMEs Accounting Standard application

Section 30 of the *IFRS for SMEs* Accounting Standard, *Foreign Currency Translation*, deals with transactions in foreign currencies and operations in small and medium-sized entities. The guidance that is provided for the translation of foreign currency transactions and balances is similar to the guidelines outlined in IAS 21.

2 Foreign currency markets

Foreign currency is traded in a foreign currency market, essentially a network of banks, financial institutions, traders and dealers that buy and sell foreign currency using electronic platforms and networks. This network brings together buyers and sellers (of foreign currency, in this case). It permits the transfer of purchasing power denominated in one currency into that of another currency.

2.1 Exchange rates

The **exchange rate** is an integral component of the foreign exchange market. The exchange rate is the ratio of exchange for two currencies, as it indicates how many units of one currency are equivalent to a unit of another currency. It is the price at which foreign currency can be bought and sold and is impacted by demand and supply forces.

Exchange rates are quoted directly or indirectly. A direct exchange rate is the amount of domestic currency per unit of foreign currency. For example, an exchange rate of R17:US\$1 shows that the rand, South Africa’s domestic currency, is being quoted relative to one foreign currency unit, namely the US dollar. This implies that 1 US dollar will purchase 17 rands.

Alternatively, exchange rates can be quoted indirectly as the amount of foreign currency unit per unit of domestic currency. For example, an exchange rate of US\$0.0588:R1 implies that one rand will purchase 0.0588 US dollars (which is equivalent to saying that US\$1 = R17).

In these two examples, one exchange rate is the inverse of the other.

Assuming that a South African entity imports goods from the United States, the entity will be exposed to exchange rate movements in terms of how the rand compares to the US dollar. [Table 23.1](#) lists the rand:US dollar exchange rate over a one-year period, showing the average, the highest and the lowest rates for that period.

Table 23.1 Example of the average, high and low exchange rates between the South African rand and the US dollar

Average	1 US\$ = R15.0799
High	1 US\$ = R17.2499
Low	1 US\$ = R13.5641

By undertaking foreign activities, an entity is exposed to foreign currency risk as exchange rates fluctuate. The decision to undertake foreign activities is a **business decision** that may impact the entity’s profits (bottom line) and the cash that the entity may receive or have to pay when foreign transactions are settled. For example, if a South African entity imported goods from the United States for US\$100 000 when the exchange rate was R17.08210:US\$1, the transaction would initially be measured at R1 708 210. However, when the foreign supplier was paid at a later date when the exchange rate was R18.71960:US\$1, the amount that the South African entity would have paid in rand terms would have amounted to R1 871 960. Thus, the amount paid to the foreign supplier would be more than the cost of the imported goods. This is because the US dollar amount remained constant at US\$100 000, but the rand:US dollar exchange rate had changed by the time the debt was settled. This introduces volatility and exposes the entity to foreign currency risk. In the example given above, the rand had weakened against the US dollar so that the South African entity required more rands to settle the US dollar amount when it had to pay the US supplier. The obvious solution for reducing this risk would be for the South African entity to settle the amount immediately, but this is not always feasible in terms of the entity’s cash management system or in terms of South Africa’s foreign exchange control regulations.

2.2 Spot and forward markets

There are two types of foreign exchange markets: the **spot market** and the **forward market**. In the spot market, currencies trade for immediate delivery. The **spot exchange rate** is the exchange rate at which currencies will trade on that day. In the forward market, as the name suggests, contracts are entered into to buy or sell foreign currency for delivery at a future date. The **forward rate** is the exchange rate at which one can contract to transact in the future, and it is an integral component of forward exchange contracts. (The forward rate is dealt with in more detail in Section 5.)



The spot rate is the current exchange rate at which a currency can be bought or sold for immediate delivery on the spot date. The spot rate can be determined from various sources:

- Central banks play a significant role in the foreign exchange market, and many of them publish official exchange rates. The rates provided by central banks are often used as reference points for spot rates.
 - Commercial banks engage in currency trading and provide spot rates to their customers. Banks may also offer online platforms or financial services that display real-time exchange rates.
- Forex trading platforms and online brokers offer real-time spot rates as part of their trading services.
- Some governments publish official exchange rates through their central banks or financial authorities. These rates can be used as benchmarks for determining spot rates.
- Financial news websites, such as Bloomberg, Reuters, CNBC and others, often display spot rates for major currency pairs and additional information on market trends and analysis.

Visit these websites to identify exchange rates between different currencies on specific dates:

- South African Reserve Bank: <https://www.resbank.co.za/en/home/what-we-do/statistics/key-statistics/selected-historical-rates>
- The World Bank: <https://data.worldbank.org/indicator/PA.NUS.FCRF?locations=ZA>

2.3 Bid–ask spreads

Foreign currency is typically bought and sold through banks or foreign exchange brokers. Any exchange rate is quoted from the bank's perspective. A bank usually quotes two exchange rates: a buy ('bid') rate and a sell ('ask') rate. The buy rate represents the exchange rate the bank is willing to buy or bid for foreign currency. The sell rate is the rate at which the bank is willing to sell foreign currency. The difference between these two rates is the 'bid–ask' spread, which is essentially how the bank makes a profit on trading in foreign currency. If exchange rates are quoted directly, we would expect the sell rate to be higher than the buy rate, as the bank will sell foreign currency at a rate

higher than the rate at which it is willing to buy foreign currency. Essentially, the foreign currency represents inventory to the bank, with the sell rate being the selling price and the buy rate being the cost price. An example of a ZAR to US\$ **bid–ask spread** is R17.32 to R17.62, with R17.32 being the buy rate and R17.62 being the sell rate.



Ethical dilemmas can emerge when entities engage in unfair practices related to foreign exchange rates. This can include front-running, manipulating bid–ask spreads or engaging in other deceptive practices to exploit market participants. Front-running involves the trader placing personal trades ahead of a large order from a client, taking advantage of the anticipated impact the client’s order will have on the currency’s price. Such practices undermine fairness and transparency in foreign exchange transactions and erode trust in the market.

Link to the Sustainable Development Goals

The alignment of foreign exchange transactions with the Sustainable Development Goals is often indirect and depends on the transactions within the broader economic and social context. The impact can vary based on factors such as the purpose of the transactions, the countries involved, and the overall economic and political environment. Foreign exchange transactions play a crucial role in facilitating international trade and investment, contributing to economic growth and job creation. This supports Sustainable Development Goal 8, which is ‘Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all’ (UN, 2015:14). In addition, foreign exchange transactions can facilitate inclusive international trade relationships. This supports Sustainable Development Goal 10, which is ‘Reduce inequality within and among countries’ (UN, 2015:14).

3 Presentation currency

An entity may present its financial statements in any currency it chooses. This is known as the **presentation currency**. The presentation currency need not be the same as the functional currency (see Section 4.1). Translating the entity’s results from the functional currency to the presentation currency is discussed further in [Chapter 29, Foreign Operations](#). However, for the remainder of this chapter, we will assume that the functional currency and the presentation currency are the same (in both cases, rands).

4 Accounting for foreign currency transactions

Now that you understand the basic concept of foreign exchange, we will consider recording and reporting foreign currency transactions.

4.1 Functional currency

In order to account for transactions denominated in another currency, an entity first needs to identify its functional currency. The functional currency is the currency of the primary economic environment in which the entity operates (in other words, the currency in which the entity normally generates and spends cash). Typically, in deciding on its **functional currency**, an entity looks at the currency in which the sales price of its goods and services is denominated and settled, the currency that mainly influences the cost of providing goods and services, and the currency in which it retains cash from its main operations. The implication is that you could have a South African entity where the selling price of all or most of its goods is denominated in US dollars. In that case, the entity’s functional currency could be US dollars, even though its domestic currency is rands. This is typical of mining entities, where resources such as gold, platinum and other minerals are routinely priced and sold on the international

market at prices determined in US dollars. For the rest of the chapter, we will assume that the functional currency of the entities we consider is local currency (LC) units. The functional currency is not always the same as the presentation currency, which is the currency in which the entity presents its financial statements.

Key principle: Identifying the functional currency

The functional currency is the currency of the primary economic environment in which the entity operates. This is the currency that mainly influences the sales prices for goods and services, the currency of the country whose competitive forces and regulations mainly determine the sales prices of its goods and services, and the currency that mainly influences labour, material and other costs of providing goods and services.

Something to think about

Presentation currency versus functional currency

Sappi Ltd, a South African company, reported its financial statements for 30 September 2021 in US dollars. Therefore, the presentation currency of the group is US dollars. Each of Sappi's subsidiaries has its own functional currency, depending on the primary economic environment of that subsidiary. The functional currency of the holding company is rands. Thus, if the holding company transacts with another entity in US dollars, this will be a foreign currency transaction despite the group financial statements being presented in US dollars.

4.2 Foreign currency

The functional currency (see Section 4.1 above) is the currency of the primary economic environment in which the entity operates. Identifying a functional currency is important, as any other currency is a foreign currency for accounting purposes. Therefore, any transaction (buying or selling of goods and services or borrowings) denominated in a foreign currency other than the functional currency is a **foreign currency transaction**.

Key principle: Recording foreign currency transactions

Foreign currency transactions are recorded at initial recognition at the spot rate (between the functional currency and the foreign currency) at the date of the transaction, where the transaction date is the date on which the transaction would be

recognised in accordance with the applicable standard (for example, IFRS 15, *Revenue from Contracts with Customers*, or IAS 16, *Property, Plant and Equipment*).

4.3 Initial recognition

The foreign currency transaction is translated into the functional currency of the reporting entity by applying the spot exchange rate on the transaction date.

Spot (or average rate) × Foreign currency amount = Recognised amount in local currency

Example of recording a transaction denominated in a foreign currency

A Ltd ordered a machine from a foreign supplier on 1 January 20x1 for FC100 000 (100 000 foreign currency units). The machine was shipped on 1 February 20x1 and arrived at A Ltd's premises on 28 February 20x1. A Ltd paid the foreign supplier on that date. The following exchange rates applied:



A Ltd's functional currency is the LC. As the transaction is denominated in foreign currency units, it is a foreign currency transaction. The transaction date is 28 February 20x1, as this is the date on which the risks and rewards associated with ownership of the machine transfer to A Ltd. The following journal entry was processed on 28 February 20x1:

			CU	CU
Dr		Machine	528 000	
	Cr	Bank		528 000

Recording the acquisition of machine at the spot rate at the acquisition date

The LC amount of the transaction has been determined by applying the spot exchange rate on 28 February 20x1 to the foreign currency amount (FC100 000). The 'sell' exchange rate (of LC5.28:FC) has been used, as A Ltd will have to buy foreign currency units from the bank to pay the foreign supplier. The bank will therefore have to sell the foreign currency units to A Ltd. As discussed earlier, the exchange rates are quoted from the bank's perspective, so using the 'sell' exchange rate is appropriate. The exchange rate has been quoted directly (that is, the number of local currency units equivalent to one foreign currency unit). Therefore, the LC amount of the transaction is $FC100\,000 \times LC5.28 = LC528\,000$.

In the example above, the transaction took place on a specific date. This may not always be the case. For example, a transaction may take place over a period of time, in which case we may need to use the average exchange rate. An

example of where an average rate would be appropriate is interest income earned over six months, as demonstrated in the next example.

Example of interest income in a foreign currency

B Ltd lends FC100 000 to a foreign entity on 1 January 20x3. The loan bears interest at 10% per annum. Interest is payable semi-annually in arrears on 30 June and 31 December. The following spot exchange rates applied:



B Ltd earns interest of  over the period 1 January 20x8 to 30 June 20x8. This interest is received on 30 June 20x8.

In recording the interest income, B Ltd cannot use the spot rate on 1 January 20x8 (as no interest has yet been earned) or the spot rate on 30 June 20x8 (as the interest was merely received in cash on this date). In terms of the accrual basis, the interest is recognised as it is earned, irrespective of when the cash flows occur. The interest is earned over the six-month period to 30 June 20x8. We need an exchange rate that reflects how exchange rates have moved over this period. We have been given the average spot exchange rate for the period from 1 January 20x8 to 30 June 20x8, which we can use to record the interest income in the local currency over the six-month period in profit or loss.

B Ltd will therefore recognise interest income for the first six months of the loan of $FC5\,000 \times LC5.45 = LC27\,250$ as follows:

			CU	CU
Dr		Interest receivable	27 250	
	Cr	Interest income (P/L)		27 250

At the reporting date (in other words, the subsequent measurement date), the entity may still need to settle the debt (for example, the foreign loan payable). If the monetary item is still outstanding at the reporting date, it is translated at (restated to) the closing rate, which is the spot rate at the reporting date. Thus, even though the payable will be settled after the reporting date, the closing rate reflects the exchange rate that would be used if the cash flows were to occur at the reporting date (that is, if the reporting date were the date on which the monetary item was to be settled).

The subsequent measurement date is discussed below.

4.4 Subsequent measurement

The subsequent treatment of foreign currency transactions depends on whether the transaction gives rise to the recognition of monetary or **non-monetary items**. Monetary items are units of currency held (for example, cash) and assets and liabilities to be received or paid in a fixed or determinable number of units of currency (for example, foreign receivables and payables that will be settled in cash). Essentially, monetary items represent the right to

receive or the obligation to deliver a fixed or determinable number of units of currency (in other words, they will be settled in cash).

Inventory does not represent a monetary item, as the amount that is reflected on the statement of financial position does not represent the amount that will be received when the inventory is sold. A pre-payment of a rental expense is also not a monetary item, as it does not represent the right to receive a fixed number of units of currency but rather the right to use the asset for the rent already paid. Similarly, provisions that will not be settled in cash do not represent monetary items.

[Table 23.2](#) lists assets and liabilities you may be familiar with and specifies whether they are examples of monetary or non-monetary items.

Table 23.2 Examples of monetary and non-monetary items

Monetary items	Non-monetary items
Cash and bank accounts	Property, plant and equipment
Long-term receivables or payables	Inventory
Trade and other receivables	Pre-payments
Trade and other payables	Intangible assets
Deferred tax	
Provisions to be settled in cash	

4.4.1 Monetary items

One of two things can happen to a monetary item (for example, a foreign creditor) after initial recognition: it can either be settled (in cash) or still be outstanding at the reporting date.

When a monetary item is settled, the settlement of the monetary item is recorded at the **spot rate on the settlement date**, as that is the amount (in rand terms) required to settle the obligation.

If the monetary item is still outstanding at the reporting date, it is translated at (restated to) the **closing rate**, which is the **spot rate at the reporting date**. Translation at the closing rate for amounts still outstanding at the reporting date is appropriate, as the statement of financial position represents the financial position of the entity at a point in time.

For example, if an entity has a foreign receivable, the best estimate of that foreign receivable in LC units at the reporting date is the foreign currency amount translated at the closing rate. Even though the debtor will only settle after the reporting date, the closing rate reflects the exchange rate that would be used if the cash flows were to occur at the reporting date (that is, if the reporting date were the date on which the monetary item was to be settled).

4.4.2 Non-monetary items

A non-monetary item (such as property, plant and equipment or inventory) is initially measured at cost. The cost of an asset is the fair value of the consideration given for the asset as measured at the transaction date. The exchange rate movements that arise relate to the payable (creditor or loan) arising from the acquisition of the asset rather than from the asset itself. The cost of an asset should be the same, irrespective of whether the payment was settled on the transaction date or a few months later.

Depreciation is based on the spot exchange rate on the date the machine was initially recognised and not the spot exchange rate that applies to the period during which the machine was used. The machine is recognised at cost at the date of acquisition, which is an amount determined in the local currency, using the spot exchange rate at the date of acquisition. Depreciation is an allocation of that cost. The cost of the machine (and consequently the depreciation) is not affected by how exchange rates have moved.

If an asset is measured at fair value, and if that fair value is measured in a foreign currency, the amount at which the fair value is presented in the entity's financial statements in the entity's functional currency should be calculated by translating the fair value using the exchange rate when the fair value is measured.

Key principle: Recording the cost of non-monetary items acquired in foreign currency transactions

A non-monetary item (such as an item of property, plant and equipment or inventory) is initially measured at cost. The cost of an asset is the fair value of the consideration given for the asset as measured at the transaction date. Thus, the cost of an asset should be the same, irrespective of whether the payment was settled on the transaction date or a few months later.

Example of monetary items

In the previous example, the interest receivable represents a monetary item as it is determined with reference to a fixed number of units of currency (FC5 000), which will be settled in cash on 30 June 20x3. In this example, the foreign receivable is settled on 30 June 20x3 (the settlement date). B Ltd will therefore receive FC5 000 on 30 June 20x3, translated into LC27 000 ($FC5\,000 \times LC5.40$). Note that the interest income is recognised over the six-month period to 30 June 20x3, but the settlement of the amount owing is recognised at the spot rate on the settlement date.

If we assume instead that B Ltd has a 31 March reporting date, the foreign receivable would not yet have been settled at the reporting date. Consequently, at the reporting date (31 March 20x3), the receivable will owe B Ltd FC2 500, being . The monetary item that is still outstanding at the reporting date will be recognised in B Ltd's statement of financial position at the closing exchange rate (the spot rate on 31 March 20x3). If we assume that the spot exchange rate on that date is LC5.46:1FC, B Ltd will recognise a foreign receivable of LC13 650 ($FC2\,500 \times LC5.46$).

Example of non-monetary items

In the first example in Section 4.3, the cost of the machine is measured at the transaction date. A non-monetary item, the machine, is recognised at cost at the date of acquisition. Subsequent to initial recognition, the machine will be depreciated over its useful life. Let's assume that the useful life is five years with a residual value of zero.

Therefore, A Ltd will recognise depreciation of [REDACTED] for the financial year ended 31 December 20x1.

Key principle:
Translating an asset measured in a foreign currency

The overriding principle is that an asset measured in a foreign currency should be translated using the exchange rate when the asset is measured, which is the acquisition date when the asset is measured at cost and the remeasurement date if and when the asset is remeasured to fair value.

Example of recognising a non-monetary asset at fair value

Think about an entity that owns and occupies a plot of land in a foreign country. The land was acquired on 1 January 20x8 for FC1 million. The land has a fair value (or market value) of FC1.2 million on 31 December 20x0.

Assume that the following spot exchange rates applied:

On 1 January 20x8, the following journal entry is processed to record the acquisition of the land:

		CU	CU
Dr	Land (FC1 million × LC5.30)	5 300 000	
	Cr Bank		5 300 000

Recording the acquisition of land at the spot rate at the acquisition date

As the land is owner-occupied, the entity would have classified the land as property, plant and equipment (see [Chapter 10, Property, plant and equipment](#)). The entity can choose between accounting for the land using the cost model or the revaluation model. If the entity applies the cost model, the land will remain measured at LC5.3 million, as it will not be revalued subsequent to acquisition.

Suppose the land is accounted for on the revaluation model. In that case, the entity will revalue the land to its fair value (in functional currency terms) of LC7.2 million on 31 December 20x0, being the fair value of FC1.2 million multiplied by the spot exchange rate of LC6.00 on 31 December 20x0, the date on which the land is revalued. The

following journal entry is processed on 31 December 20x0 to record the revaluation:

		CU	CU
Dr	Land (LC7.2 million – LC5.3 million)	1 900 000	
	Cr Revaluation gain (OCI)		1 900 000

Recognising the revaluation gain relating to land

The land will be measured at LC7.2 million at the reporting date.

4.5 Exchange differences

Exchange differences arise when an amount is subsequently recognised or settled in a currency (say a payable of US\$100) that differs from the currency that is used to initially measure the amount payable or receivable (the functional currency). Exchange differences only arise in relation to monetary items (amounts that are payable or receivable). A monetary item denominated in a foreign currency (for example, USD) will give rise to a different local currency (for example, ZAR) equivalent amount as the exchange rate moves. This difference is a **foreign exchange gain or loss** and reflects a change in the entity's net assets (for example, more local currency might be received when a receivable is settled than was expected when the receivable was originally recognised).

4.5.1 Treatment of exchange differences

Monetary items that are directly influenced by how exchange rates have moved (that is, items that are denominated in a foreign currency) give rise to exchange differences as a result of different exchange rates used on initial recognition and subsequent measurement (if settled or still outstanding at the reporting date).

In most instances, these foreign exchange gains or losses are recognised in profit or loss (P/L), as that is where changes in net assets that are non-owner related are recognised, unless the IFRS Accounting Standards allow or require recognition in other comprehensive income (OCI).

Key principle:
Recognising exchange differences

Exchange differences are recognised in the statement of profit or loss and other comprehensive income as foreign exchange gains or losses reflecting the increase or decrease in the entity's net assets.

Example of treatment of exchange differences

Think back to the second example in Section 4.3. An exchange difference arises when the foreign debtor settles the interest owing to B Ltd, as the settlement is recorded at the spot exchange rate on 30 June 20x3. In contrast, the interest accrued over the six-month period to 30 June 20x3 and was consequently recorded at the average for that period. The interest receivable balance that is settled at 30 June 20x3 amounts to

LC27 000 (that is, the rand equivalent $\text{FC}100\ 000 \times 10\%$ translated at the rate of LC5.40:1FC = LC27 000).

The debit balance of LC27 250 recognised as interest receivable needs to be reduced to LC27 000, the actual amount received. The reduction of LC250 is a foreign exchange loss, reflecting that the entity has received a smaller amount of local currency units than was originally expected because the local currency has strengthened against the foreign currency.

The effects can be summarised as follows:



The following journal entry is processed to record the foreign exchange loss:

			CU	CU
Dr		Foreign exchange loss (P/L)	250	
	Cr	Interest receivable		250

Foreign exchange loss recognised

As the spot exchange rates have moved against B Ltd, B Ltd will receive fewer rands when the foreign debtor settles the amount owing. Consequently, a foreign exchange loss of LC250 (LC27 250 recognised when the interest accrues less LC27 000 received when the amount is settled) is recognised to reflect the decrease in the net assets of B Ltd.

			CU	CU
Dr		Bank	27 000	
	Cr	Interest receivable		27 000

Cash interest received

As the debtor has settled the interest owing, the receivable is derecognised on the settlement date (30 June 20x3).

31 March financial year end

If the year end is 31 March 20x3, an exchange difference also arises when the foreign receivable is restated to the closing exchange rate, but the interest of FC100 000 × 10%

× $\text{FC}100\ 000 \times 10\%$ = FC2 500 accrues over the three-month period to 31 March 20x3.

The effects can be summarised as follows:



B Ltd would therefore process the following journal entries relating to the interest for the three-month period ended 31 March 20x3:

			CU	CU
Dr		Interest receivable	13 700	
	Cr	Interest income (P/L)		13 700

Interest accrued for the three months until the reporting date

This entry records the accrual of the interest over the three-month period to 31 March 20x3 of FC2 500, recognised at the average spot exchange rate for the same period LC5.48:1FC:

			CU	CU
Dr		Foreign exchange loss (P/L)	50	
	Cr	Interest receivable		50

Recognising foreign exchange loss at reporting date

As the spot exchange rates have moved against B Ltd, B Ltd would only receive LC13 650 if the foreign debtor were to settle the FC2 500 owing to B Ltd at the reporting date. The difference of LC50 (LC13 700 – LC13 650) represents the exchange loss recognised in the 20x5 financial year.

In the 31 March 20x4 financial year, when the foreign debtor settles the interest owing for the six-month period ended 30 June 20x3, B Ltd will receive FC5 000 ($\text{FC100 000} \times 10\% \times \blacksquare$), translated at the spot exchange rate of LC5.40 on the settlement date.

During the period 1 April 20x3 to 30 June 20x3, B Ltd will earn interest of $\text{FC100 000} \times 10\% \times \blacksquare = \text{FC2 500}$. This will be recorded in LC using the average exchange rate of LC5.42:1FC, which applied during the period 1 April 20x5 to 30 June 20x3.

The effect can be summarised as follows:



B Ltd will process the following journal entries relating to the first interest receipt and accrual for the 20x4 financial year:

			CU	CU
Dr		Interest receivable	13 550	
	Cr	Interest income (P/L)		13 550

Interest income and receivable for three months

This entry records the accrual of the interest over the three-month period to 30 June 20x3 of FC2 500, recognised at the average spot exchange rate for the same period (LC5.42):

			CU	CU
Dr		Foreign exchange loss (P/L)	200	
	Cr	Interest receivable		200

Recognising foreign exchange loss when interest is received

As the spot exchange rates have moved against B Ltd, B Ltd only receives LC27 000 on 30 June 20x3. Up to that date, B Ltd has an interest receivable account with a balance of LC27 200, which is LC13 650 recognised as at 31 March 20x3 (restated to the closing rate) plus the LC13 550 accrued during the 20x4 financial year for the period 1 April 20x3 to 30 June 20x3. The difference of LC200, being LC27 200 – LC27 000, represents the exchange loss recognised in the 20x4 financial year.

You will notice that the total exchange loss recognised in both scenarios is LC250, but in the second scenario (where B Ltd has a 31 March financial year end), this amount is split into LC50 and LC200, and recognised in two separate financial years. This is because there is a year end between the initial recognition of the accrued interest and the settlement of the amount owing.

A summary of the exchange rates to use when translating assets and liabilities subsequently appears in [Table 23.3](#).

Table 23.3 Applicable translation rates for assets and liabilities at the subsequent reporting date

Monetary items	Non-monetary items at cost	Non-monetary items at fair value
Use foreign exchange rate at the reporting date	Use foreign exchange rate at the transaction date	Use foreign exchange rate at the date of remeasurement

5 Forward exchange contracts

Up to this point, this chapter has focused on spot exchange rates. This is appropriate, as the spot exchange rate is the exchange rate that is used to record transactions for accounting purposes. Sometimes, however, an entity may enter into forward exchange contracts and so may need to use forward rates. The primary advantage of a forward exchange contract is that it assists the parties involved in risk management. The certainty provided by the contract helps an entity to project cash flow and other aspects of business planning.

5.1 Hedging

As we have seen, an entity is exposed to foreign exchange risk when entering foreign currency transactions. Exchange rates fluctuate, which results in foreign exchange gains and losses. These, in turn, introduce added volatility to the entity's profit or loss.

Forward exchange contracts (FECs) protect (hedge) against exchange risks. Typically, entities enter into forward exchange contracts with a bank to protect themselves against the possible foreign exchange gains and losses in order to reduce or negate the effects of the underlying foreign currency transaction. This is known as **hedging**. Thus, forward exchange contracts protect both parties in a transaction from unexpected or adverse movements in the currencies' future spot rates when payment in a foreign currency is due.

Entities enter into forward exchange contracts in order to buy or sell foreign currency at a pre-determined future date at a specific exchange rate, known as the forward rate. A forward exchange contract is an example of a **derivative**.



ETHICAL DILEMMA

Ethical dilemmas can emerge when entities use hedging practices to mitigate foreign exchange risks. Decisions about the timing and magnitude of hedging activities can create ethical challenges. Entities must balance the need to protect themselves from the financial risks associated with currency fluctuations against the potential impact on other stakeholders, such as suppliers, customers or local communities.

5.2 Forward exchange transactions

The entity enters into two different transactions: (1) the foreign currency transaction with a supplier or customer to buy or sell goods and services, and (2) the forward exchange contract, which is a transaction between the entity and the bank. These two transactions are therefore accounted for separately. The foreign currency transaction is accounted for as discussed in Section 4, and the forward exchange contract is accounted for as discussed below.

Even though an entity has committed itself to buying or selling foreign currency, when the forward exchange contract is settled (or closed out) on the specified future date, the entity does not actually buy or sell the foreign currency. All that is settled is the entity's **net position**, which reflects how exchange rates have moved in relation to the forward rate at which the entity has committed itself to buying or selling the foreign currency.

For example, an entity imports an item of machinery. The transaction is denominated in a foreign currency and will be settled at a future date. In order to protect itself from exchange rate fluctuations between the transaction date and the settlement date, the entity also enters into a forward exchange contract. When the settlement date arrives, the entity settles the foreign currency transaction (paying the amount owing as per the contractual arrangements with the supplier) as well as the forward exchange contract (with the bank). As discussed earlier, all that is settled with the bank with respect to the forward exchange contract is the net position. This net position is the difference between the prevailing spot rate on the date of settlement and the forward rate at the inception of the forward exchange contract.

If the spot rate has moved favourably in relation to the forward rate agreed at the inception of the foreign exchange contract, then the bank will pay the net amount owing to the entity. However, if the spot rate has moved adversely in relation to the forward rate, the net amount owing is paid to the bank.

5.3 Accounting for forward exchange contracts

Three dates are important in the life cycle of a forward exchange contract:

1. The date on which the forward exchange contract is entered into. No transaction is recorded for accounting purposes, as all that has happened is that the entity has entered into a contract. Entering into a contract does not on its own give rise to an obligation (so no liability can be recognised) or future economic benefits (so no asset can be recognised). If all that is being settled is the net position with regard to how spot exchange rates have moved in relation to the forward rate, there has not yet been any change in the exchange rates on the date on which the contract is entered into, so no past event has taken place.

2. The reporting date (usually the entity's financial year end), if this falls between the date on which the contract is entered into and the date on which it is settled. As the forward exchange contract is a derivative, IFRS 9, *Financial Instruments*, applies; this standard designates derivatives as held for trading (refer to [Chapter 14](#)). Forward exchange contracts are therefore accounted for at **fair value through profit or loss**. If the forward exchange contract is still outstanding at the reporting date (that is, it has not yet been settled), it needs to be recognised at fair value. This fair value is determined by looking at a market-related forward exchange contract with a similar maturity profile at the reporting date (in other words, a market-related forward exchange contract that will be settled on the same future date). Depending on how the entity's forward exchange contract compares to the market-related forward exchange contract, the entity may recognise a forward exchange contract receivable (an asset) or a forward exchange contract payable (a liability). Essentially, what has happened is that exchange rates have fluctuated between the date on which the entity entered into its forward exchange contract and the reporting date. Differences between the forward rate at the inception of the forward exchange contract and the spot rate at the reporting date will give rise to a benefit (a receivable) or an obligation (a payable). Consequently, in terms of the accrual basis, the entity must recognise a related asset or liability, even though the forward exchange contract will only be settled at a later date.

3. The date on which the contract is closed out or settled. This is the specified date in the future on which the entity has committed itself to settling the net difference with the bank. Any exchange differences between the forward rate at inception (or the financial year end, if this fell between the inception date and the settlement date) and the spot rate on the settlement date will be recognised in **profit or loss**. If any asset or liability was recognised at the reporting date, then this will be derecognised on settlement of the forward exchange contract with the bank.

Example of making a foreign sale and entering into a forward exchange contract

On 1 May 20x5, C Ltd sold inventory to a foreign customer for FC100 000 and entered into a three-month forward exchange contract to sell FC100 000 on 31 July 20x5, the date the customer is to settle its debt. The following exchange rates applied:

Spot rates



Forward rates



Scenario 1: C Ltd has a financial year end of 31 December

On 1 May 20x5, C Ltd entered into two separate transactions: the foreign sale (the underlying foreign currency transaction) and the forward exchange contract to sell foreign currency at a forward rate of LC13.15:1FC. In addition, both transactions are settled on 31 July 20x5.

C Ltd will process the following journal entries during the 20x5 financial year.

Foreign sale

The following entry will be processed on 1 May 20x5:

			CU	CU
Dr		Trade receivable	1 310 000	
	Cr	Sales (P/L)		1 310 000

Recorded at the spot rate on the transaction date (that is, $FC100\ 000 \times LC13.10$)

As both transactions were settled on 31 July 20x5, the journal entries on the respective dates are as follows:

			CU	CU
Dr		Trade receivable	30 000	
	Cr	Foreign exchange gain (P/L)		30 000

Restating trade receivable balance to spot rate on the settlement date (that is, $FC100\ 000 \times LC13.40 = LC1\ 340\ 000 - LC1\ 310\ 000 = LC30\ 000$)

			CU	CU
Dr		Bank	1 340 000	
	Cr	Trade receivable		1 340 000

Settlement of the amount owing

Forward exchange contract

The following entry will be processed on 31 May 20x5:

			CU	CU
Dr		Foreign exchange loss (P/L)	25 000	
	Cr	Bank		25 000

Settlement of forward exchange contract

In this instance, C Ltd has committed itself to selling the foreign currency at LC1 315 000 (at the forward rate of LC13.15:1FC). When the forward exchange contract is settled, C Ltd will settle its net position of LC25 000 (the purchase of the foreign currency at the spot rate on 1 July 20x5 of LC13.40:1FC and the sale thereof at the forward rate). With regard to the forward exchange contract, spot exchange rates have moved adversely. C Ltd is paying

LC1 340 000 ($FC100\,000 \times LC13.40$) for foreign currency that it can sell for only LC1 315 000 ($FC100\,000 \times LC13.15$). The net position is that C Ltd has to pay the bank LC25 000 ($LC1\,340\,000 - LC1\,315\,000$). This LC25 000 is reflected as an exchange loss in C Ltd's profit or loss, reflecting the reduction in its net assets.

Had C Ltd not entered the forward exchange contract, its profit or loss would have reflected an exchange gain of LC30 000. However, as discussed earlier, foreign currency transactions introduce added volatility to the profit or loss. To negate the effects thereof, C Ltd has entered into the forward exchange contract. By doing so, C Ltd has recognised a net exchange gain of LC5 000 (LC30 000 exchange gain on the settlement by the foreign debtor less the LC25 000 exchange loss on the settlement of the forward exchange contract). The effect of the forward exchange contract has therefore been to reduce the effect that the underlying foreign currency transaction has had on C Ltd's profit or loss.

The overall effect is that the net cash flow is LC1 315 000, the amount determined using the forward (or contracted) rate. This illustrates the benefit of a forward exchange contract: future cash flows are fixed, irrespective of what exchange rates apply. (Assume different exchange rates at the settlement date, and you will notice that the net cash flows will always be LC1 315 000. This has to be the case as the customer pays at the spot rate, and the difference between the spot rate and the forward rate is the amount that the entity settles with the bank.)

Scenario 2: C Ltd has a financial year end of 30 June

C Ltd will process the following journal entries for the 20x5 financial year.

Foreign sale

The journal entry on 1 May 20x5 will be the same as for Scenario 1. The following entry will be processed on 30 June 20x5:

			CU	CU
Dr		Trade receivable	20 000	
	Cr	Foreign exchange gain (P/L)		20 000

Restating foreign monetary item to closing rate: $FC100\ 000 \times LC13.30 = LC1\ 330\ 000 - LC1\ 310\ 000 = LC20\ 000$

Forward exchange contract

The following entry will be processed on 30 June 20x5:

			CU	CU
Dr		Foreign exchange loss (P/L)	10 000	
	Cr	Forward exchange contract payable		10 000

Restating forward exchange contracts to fair value at the reporting date

At the reporting date, C Ltd's forward exchange contract has one month to mature (one month before the forward exchange contract is to be settled). Two months have passed since C Ltd entered the forward exchange contract. A market-related forward exchange contract with a similar maturity profile as C Ltd's forward exchange contract at the reporting date is the one-month forward exchange contract with a forward rate of LC13.25:1FC. If C Ltd had not entered into the forward exchange contract on 1 May 20x5, but had waited until 30 June 20x5, it could have committed itself to selling foreign currency at LC13.25:1FC instead of at LC13.15:1FC. C Ltd is worse off for entering into the forward exchange contract on 1 May 20x5. As a result, it must recognise an exchange loss of LC10 000, being $FC10\ 000 \times (LC13.25 - LC13.15)$, in the 20x5 financial year. The contra credit is to the forward exchange contract payable account, a liability reflecting that at the reporting date, C Ltd expects that it will have to pay the bank when the forward exchange contract is settled. At the reporting date, C Ltd's most accurate estimate for the obligation that has arisen is best represented by the movement in the forward foreign exchange rates between 1 May 20x5 and 30 June 20x5.

C Ltd will process the following journal entries for the 20x6 financial year.

Foreign sale

The following entry will be processed on 31 July 20x5:

			CU	CU
--	--	--	-----------	-----------

Dr		Trade receivable	10 000	
	Cr	Foreign exchange gain (P/L)		10 000

Restating trade receivable balance to spot rate on the settlement date: $FC100\ 000 \times LC13.40 = LC1\ 340\ 000 - LC1\ 330\ 000 = LC30\ 000$

			CU	CU
Dr		Bank	1 340 000	
	Cr	Trade receivable		1 340 000

Settlement of the amount owing

Forward exchange contract

The following entry will be processed on 31 July 20x5:

			CU	CU
Dr		Forward exchange contract payable	10 000	
Dr		Foreign exchange loss (P/L)	15 000	
	Cr	Bank		25 000

Settlement of forward exchange contract

From Scenario 1, we know that when the forward exchange contract is settled, C Ltd has to pay the bank LC25 000, which is why there is a credit to the bank of LC25 000. However, we also know that in Scenario 2, C Ltd had previously restated the forward exchange contract to its fair value at its 30 June 20x5 reporting date. At that date, it recognised a forward exchange contract payable of LC10 000. Since the forward exchange contract has been settled, the forward exchange contract payable must be derecognised, as the obligation no longer exists. The balancing LC15 000 reflects the exchange loss arising in the 20x6 financial year. It is the difference between how the spot rate on 31 July 20x5 compares to the market-related forward exchange contract on 30 June 20x5. Think about why this makes sense. Even though C Ltd had committed itself to selling the foreign currency at LC13.15:1FC, it had previously restated the forward exchange contract to a forward rate of LC13.25.

The principle illustrated in this scenario is the same as that in Scenario 1. The total exchange gain or loss recognised over the life of the foreign currency transaction and the forward exchange contract is the same as in Scenario 1. In Scenario 2, the amounts are recognised in two different financial years. This makes sense. The financial year end falls between the date on which the machinery was purchased and the forward exchange contract was entered into, and the date on which the foreign currency transaction and the forward exchange contract are settled.

5.4 Hedge accounting

When the set of rules specified in IFRS 9, *Financial Instruments*, are complied with, the entity can apply hedge accounting and recognise the exchange gains or losses in **other comprehensive income**. The hedge accounting requirements in IFRS 9 are optional. Hedge accounting allows an entity to reflect risk management activities in the financial statements by matching gains or losses on financial hedging instruments with losses or gains on the risk exposures they hedge. Hedge accounting is dealt with in IFRS 9, *Financial Instruments*, and is briefly discussed in [Chapter 14](#).

Key points to take from this chapter

- Transactions in a different currency from the entity's functional currency are foreign currency transactions, in accordance with IAS 21, *The Effects of Changes in Foreign Exchange Rates*.
 - Foreign currency transactions are initially recognised at the spot rate on the transaction date.
- Exchange rate differences (gains and losses) result from moving from foreign currency to functional currency.
- Monetary items are subsequently remeasured using the spot rate at the reporting date. Non-monetary items are not remeasured at the reporting date.
 - Gains or losses on exchange differences are recognised in profit or loss.

Discussion questions

1. Explain the concept of a foreign currency, why it is important and how it is determined.
2. Describe the difference between spot exchange rates and forward exchange rates.
3. Suggest reasons why an entity in the United Kingdom might have a functional currency of rands.
4. Explain why foreign exchange differences arise.
5. Discuss why it is appropriate to recognise foreign exchange differences in the statement of profit or loss and other comprehensive income. Indicate where these differences are presented in the statement of profit or loss and other comprehensive income.
6. Explain the impact foreign exchange rates may have on the recoverable amount of a machine used solely to produce inventory for export purposes.

Exercise questions

Question 1

A Ltd is a South African entity with a 30 September year end. The entity has a functional currency and a presentation currency of South African rands (ZAR). On 1 January 20x5, A Ltd acquired a machine from the United Kingdom at a cost of £10 million (GBP). The machine was installed and was ready for use on 1 January 20x5. The machine produces aeroplane parts, which are exported to Japan. The machine was expected to have a useful life of ten years and no residual value. The machine had a recoverable amount of £8 000 000 on 30 September 20x5. The amount due to the supplier was paid in cash on 28 February 20x5.

The entity sold parts to the value of ¥24 million (JPY) to Japanese customers from 1 June 20x5 to 30 September 20x5. At year end, customers had paid for half of the sales made by A Ltd, for which A Ltd had received R1 400 000 into its South African rand bank account.

The following spot exchange rates apply:

You are required to do the following:

Calculate the following amounts as they should appear in the financial statements of A Ltd for the financial year ended 30 September 20x5:

1. The carrying amount of the trade receivables account as at 30 September 20x5
2. The carrying amount of the machine as at 30 September 20x5 (Your answer must clearly show the cost, accumulated depreciation and accumulated impairment components, if applicable, separately.)
3. The foreign exchange gains or losses recognised in the 20x5 financial year (Your solution must clearly indicate whether the exchange difference results in an exchange gain or loss, and in which component of comprehensive income it is presented.)

Reference

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].

Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

24

Employee benefits and share-based payments

IFRS references

IFRS 2: *Share-based Payment*

IAS 19: *Employee Benefits*

IFRS for SMEs Accounting Standard reference

Section 26: *Share-Based Payment*

South African Financial Reporting Guidelines reference

Pronouncement 2: *Accounting for Black Economic Empowerment Transactions*

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Key points to take from this chapter

Discussion questions

Exercise questions

Reference

Learning objectives

By the end of this chapter, you should be able to:

- Identify employment costs and other benefits, and know how to record short-term, long-term and termination payments to employees.
- For pension fund contributions, know the difference between a defined benefit and a defined contribution plan.
 - Record and report basic transactions relating to defined benefit and defined contribution plans in the financial statements of an entity.
 - Identify a share-based payment transaction.
- Distinguish between an account for an equity-settled and a cash-settled share-based payment transaction.
- Present and disclose the effect of employee benefits and a share-based payment transaction in the annual financial statements of an entity.

Concept summary



1 Introduction

An entity's business operations and performance include the economic benefits that the entity receives from using or selling assets and the services of the people employed by the entity. The management of its human resources forms a significant part of the business operations of an entity, and even though employees are not recognised as an asset (because there is no control), a loyal and motivated workforce is a huge contributor to the success of a business.

Thus it is no wonder that the cost of employees is often one of the largest annual expenses of an entity.

The remuneration of employees happens in different forms, including regular cash payments of salaries and wages, longer-term motivational incentives (such as bonuses and share incentives) and post-employment benefits (such as retirement benefits). The accounting for employee benefits (for pensions in particular) is complex. The liabilities in defined benefit pension plans are frequently material. They are long-term and difficult to measure, leading to difficulties in measuring the cost attributable to each year.

This chapter deals with different forms of considerations and obligations relating to services rendered by **employees and employment benefits**. Acquisition of goods or services settled through the issue of shares in the entity, or options to acquire shares, are referred to as '**share-based payment transactions**', which are dealt with under IFRS 2, *Share-based Payment*. Section 26 of the *IFRS for SMEs Accounting Standard, Share-Based Payment*, provides similar guidelines for all share-based payment transactions for small and medium-sized entities. IAS 19, *Employee Benefits*, prescribes the accounting for all types of employee benefits except share-based payments, to which IFRS 2 applies, or the reporting by employee benefit plans (see IAS 26, *Accounting and Reporting by Retirement Benefit Plans*).

In South Africa, entities acquire **Broad-Based Black Economic Empowerment (B-BBEE)** credentials to access certain business transactions, facilitating socio-economic redress through that process. B-BBEE transactions normally include conditions where an entity receives an amount less than the fair value of the equity instruments it issues in return for receiving **B-BBEE credentials**. FRP 2, *Accounting for Black Economic Empowerment Transactions*, deals with B-BBEE transactions. As these transactions are normally unique to South Africa, they are not specifically included in the IFRS Accounting Standards or the *IFRS for SMEs Accounting Standard*. South African entities are required to apply FRP 2.

Note that share-based payment transactions where the parties to the transaction have a choice as to how the transaction is settled, share-based payment transactions among group entities, modifications of the terms of share-based payment transactions and estimating the fair value of the equity instruments are all beyond the scope of this textbook.

2 Employee benefits and costs

Employee benefits are all forms of consideration given by an entity in exchange for service rendered by employees or for the termination of employment. The objective of IAS 19 is to prescribe the accounting and disclosure for employee benefits, requiring an entity to recognise a liability where an employee has provided service and an expense when the entity consumes the economic benefits of employee service. IAS 19 requires an entity to recognise:

- A **liability** when an employee has provided service in exchange for employee benefits to be paid in the future
- An **expense** when the entity consumes the economic benefit arising from the service provided by an employee in exchange for employee benefits.

**Key principle:
What are employment benefits?**

Employee benefits are all forms of consideration given by an entity in exchange for service rendered by employees or for the termination of employment (refer to IAS 19, paragraph 8). Employment benefits include the following benefits, among others:

- Salaries and wages
- Paid vacation and sick leave
- Profit sharing and bonuses
- Medical and life insurance benefits during employment
- Non-monetary benefits, such as houses, cars and free or subsidised goods or services
 - Retirement benefits, including pensions and lump sum payments
 - Post-employment medical and life insurance benefits
 - Long-service or sabbatical leave 'jubilee' benefits
- Deferred compensation programmes and termination benefits.

ETHICAL DILEMMA

Employee benefits can give rise to ethical dilemmas, for example:

- Fairness and equality: Ethical dilemmas arise when entities face challenges in providing

all employees fair and equal benefits. Disparities in benefits packages, such as variations based on employee hierarchy, tenure or personal relationships, can lead to perceptions of favouritism, inequality and employee dissatisfaction. Entities must strive to ensure fairness, equity and transparency in the design and distribution of employee benefits.

- Adequacy of benefits: Ethical dilemmas can emerge when entities offer inadequate employee benefits that do not meet employees' basic needs or well-being. Inadequate benefits, such as insufficient leave days, healthcare coverage, retirement plans or work-life balance initiatives, can result in employee hardship, reduced motivation and decreased job satisfaction. Entities should consider the ethical responsibility to provide benefits that promote the overall well-being of their workforce.

- **Discrimination in benefits:** Ethical dilemmas arise when entities discriminate against certain employees in providing benefits based on factors such as gender, race, age or disability. Denying or limiting benefits to specific groups or offering different benefit packages based on discriminatory practices is unethical and may lead to legal consequences. Entities must ensure equal access to benefits for all employees, promoting diversity and inclusion.

- **Transparency in benefits communication:** Ethical dilemmas arise when entities fail to communicate employee benefits clearly and transparently. Lack of transparency can lead to misunderstandings, misinterpretations or unmet expectations, undermining trust and employee satisfaction. Entities have an ethical obligation to provide accurate and comprehensive information about benefits, including eligibility criteria, coverage limitations and changes in benefit offerings.

- **Sustainability of benefit programs:** Ethical dilemmas emerge when entities face financial constraints that may impact the sustainability of employee benefit programs. Balancing the long-term viability of benefit programs with employees' immediate needs and expectations can be challenging. Entities must consider the ethical implications of benefit program design, funding and communication to ensure the ongoing well-being of employees.

Addressing ethical dilemmas in employee benefits requires that an entity prioritise fairness, equality, transparency and well-being. An employer should regularly review benefit programs, consider employee feedback, engage in fair and inclusive decision-making processes, and communicate benefits effectively to foster trust and create a positive work environment. Ethical considerations should guide benefit design and delivery, ensuring that employees are treated equitably and their overall well-being is prioritised.

Link to the Sustainable Development Goals

Sustainable Development Goal 8 is 'Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all' (UN, 2015:14). By providing jobs, entities create employment, and this allows the economy to grow as the employees become economically active. However, entities have a responsibility to ensure that the employment they provide can be classified as 'decent work'; employees should have dignity and a safe and secure environment. Where entities provide opportunities for their employees to develop their knowledge and skills, they are further promoting this Sustainable Development Goal by enhancing their employees' future opportunities.

2.1 What are employment costs?

The employment costs incurred by an entity include the total current and future costs to be incurred by the entity due to **services rendered by employees in the current period**. Employee benefits are usually paid to employees, their dependents or other parties. An entity should include as part of its **employment costs** all amounts payable to employees and other entities to the extent that they relate to the cost of employing staff.

The amount paid to an employee is generally considerably less than the employee's negotiated **salary** due to the deductions made by the entity on behalf of the employee. For example, an employer has to deduct taxation in the form of PAYE from the salary payable to the employee. This represents a pre-payment of the employee's tax obligation and not an expense of the employer. In some cases, the employer and the employee contribute to employee benefits. For example, assume that an employee's monthly medical aid contribution is CU2 000, and the employer pays 60% of the cost while the employee pays 40%. The entity (the employer) will pay the CU2 000 to the medical aid company and deduct CU800 ($40\% \times \text{CU}2\,000$) from the cash paid to the employee. The difference of CU1 200 ($60\% \times \text{CU}2\,000$) represents the employer's contribution and should be recognised as an expense. The other CU800 is not an expense, as the employee essentially pays it.

Example of employment costs

The following payslip was prepared for an employee:



The employer contributes:

- Amounts equal to the employee deductions for the Unemployment Insurance Fund (UIF) contributions
- Amounts equal to half of what the employee pays to the medical aid (so that what the employer pays to the medical aid is a third of the total amount paid to the medical aid).

For this specific employee, the staff expense to be recognised in the statement of profit or loss amounts to the following:



The employer will record the salary expense and related deductions in its records as follows:

			CU	CU
Dr		Salary expense	9 845	
	Cr	Bank (net pay)		6 905
	Cr	PAYE payable		2 000
	Cr	Medical aid payable		750
	Cr	UIF payable		190

Recording of staff payroll expenses and amounts payable

Employee costs include wages, salaries and other employee benefits and are usually recognised as an expense in profit or loss (P/L). Amounts payable to employees as bonuses relating to services rendered (for example, bonuses payable based on the sales figures for the reporting period) should be matched with the period when the

service was provided. At the reporting date, an entity should therefore recognise as a liability (an obligation) any bonuses payable that relate to the reporting period, provided that the definition and recognition criteria of a liability are met. The entity has a present obligation (either legal or constructive) to pay the bonuses. The past event is the work done, so the definition of a liability has been satisfied.

The following is an example of a journal entry to record bonuses payable:

			CU	CU
Dr		Bonus expense (P/L)	50 000	
	Cr	Provision for bonuses		50 000

Provision for bonuses payable

2.2 Recognition of employment benefits

Irrespective of the form in which a benefit is paid or when it is paid, employment costs should be recognised in the reporting year in which the employee does the work. This will result in the recognition of the expense when the benefit is derived by the employer (through the services rendered by the employee). Recognition of long-term and post-employment benefits can give rise to some complex accounting issues. These are dealt with in IAS 19, *Employee Benefits*, which identifies four main categories of employee benefits:

- Short-term employee benefits, for example, wages, salaries, holiday benefits, sick pay, profit sharing or bonus plans paid within 12 months of the end of the period as well as non-monetary benefits (often referred to as ‘fringe benefits’), such as medical care and car allowances, among others, for current employees
- Post-employment benefits, such as pensions, post-employment medical benefits and post-employment life insurance, which are categorised as either of the following:
 - Defined contribution plans
 - Defined benefit plans
 - Benefits such as severance pay
- Other long-term employee benefits, such as long-service leave or sabbatical leave.

Key principle:
Recognising employee benefits

Employee benefit costs are recognised when the service is rendered and not when the amounts are paid.

For **short-term employee benefits**, an entity must recognise the undiscounted amount of employee benefits expected to be paid in exchange for services as **an expense when the service is rendered** and as a liability (after deducting any amount already paid). This includes payments from the payroll (cash salaries and bonuses) and payments made on behalf of the employee (for example, union membership fees or taxation). This implies that the amount that should be recognised as an expense for employees is the gross amount that accrues to employees for their services, including any payments made on behalf of employees.

Obligations to employees for services rendered (in other words, a legal or constructive obligation that arises) can give rise to a combination of these benefits described in IAS 19, which should be recognised as a liability when the definition and recognition criteria are met. The general principle underlying IAS 19 is that **costs should be expensed when the service is rendered**, irrespective of when the payment is made. Where there is a significant time lag between the employee's rendering of the service and the employee receiving the benefits (such as a pension), the expense is recognised at the present value of the future payments measured at the date when the work is done.

IFRS 18 requires an entity to disclose **employee benefits expenses** (staff costs) on the face of the statement of profit or loss and other comprehensive income or in the notes to the financial statements, regardless of whether expenses have been classified according to their nature or function. The employee benefits expenses that should be disclosed include the gross amounts paid to employees plus employee benefits paid to other entities.

Something to think about

Accruals for annual and sick leave

Employees are entitled to be paid during certain leave periods (absences), such as annual leave or short periods of illness. There are also other forms of paid leave, such as maternity leave, parental leave and compassionate leave.

Short-term absences may be either accumulating or non-accumulating, whereas leave entitlements for non-accumulating absences may not be carried to a future period. For example, an employee may be entitled (in terms of their employment agreement) to five days of paid, non-cumulative sick leave. The unused leave lapses if the employee does not take sick leave during the year. On the other hand, an employee may be entitled to 20 days cumulative annual leave. If not taken during a specific year, these entitlements may be carried forward to a future period to a maximum entitlement of 30 days accrued leave at any one time. Furthermore, leave entitlements may be vesting or non-vesting.

A vesting entitlement means that an employee is entitled to a cash settlement of any unused leave upon termination of employment. A non-vesting entitlement means the employee has no vested right to the leave or its payment.

These leave entitlements are usually expected to be settled within 12 months after the reporting date. If vesting leave entitlements have yet to be paid at the reporting date, the obligation for leave pay should be recognised. From these examples, it is clear that the employer (the entity) has a present obligation (when the service is rendered), resulting from the employment agreement (a legal, contractual obligation) to pay the employee the amounts due at a future date. The entity should therefore recognise an obligation for accumulative, vested leave entitlements yet to be taken or paid at the reporting date.

			CU	CU
Dr		Salaries and wages (P/L) (leave pay)	40 000	
	Cr	Provision of accrued leave		40 000

Provision for accrued leave payable

The benefits paid to employees can only be included in the cost of an asset when permitted by an IFRS Accounting Standard (for example, staff costs included in the cost of inventory produced; refer to [Chapter 13](#), *Inventory*). The obligation for employee costs and benefits should be recognised in accordance with IAS 19, *Employee Benefits*.

Refer to [Chapter 16](#), *Provisions, contingent liabilities and contingent assets*, for a further discussion of the recognition of liabilities and provisions.



ETHICAL DILEMMA

Employees have a responsibility to report leave time accurately. Misreporting or manipulating their leave time, such as taking unauthorised or excessive leave or misrepresenting the reasons for their absence, undermines trust, fairness and integrity in the workplace. For example, assume employees are entitled to 15 days of annual leave and 10 days of sick leave each year. Employees who are absent for either type of leave receive full pay. An employee uses ten days of annual leave and only has five days remaining for the year. Annual leave is cumulative, and any days that have not been used will be carried forward to the following year.

Employee X would like to take an extended holiday in the following year and would need 20 days of leave for the holiday period. In the last month of the current year, they realise they need to take a day off work to renew their driver's licence. Usually, they would need to use annual leave for an absence of this type. However, they are concerned about what will be carried forward and available for their holiday next year. A fellow employee suggested calling in sick and using a day off sick when they need to renew their licence so that their annual leave is unaffected. How should this employee handle this situation?

Employees are ethically obligated to report and adhere to leave policies and procedures accurately.

2.3 Remuneration of directors and key management personnel

Employment costs include payments to employees as well as payments to executive directors and key management personnel. The cost of employment for these key employees is required to be disclosed separately.

2.3.1 Directors' earnings

The *Companies Act, No. 71 of 2008*, and the corporate governance requirements of the fourth King Report require detailed disclosure of the remuneration paid to companies' directors. The *Companies Act* requires that in the financial statements of a company, there should be a disclosure of the earnings received by each director in respect of services rendered as a director of the company, as a director of any companies within the group, and otherwise in

connection with the carrying on of the affairs of the company and any of its subsidiaries. The *Companies Act* encourages good corporate governance by requiring the details of all payments to company directors and all benefits received to be presented on an individual basis, including shares and share options. This creates more transparency relating to the remunerations received by each director. Companies listed on the JSE Ltd have been required to give disclosure of individual directors' benefits since 2002.

Directors' earnings include directors' emoluments paid for services rendered (fees paid for accepting the position of director, basic salaries paid, bonuses and performance bonuses), expenses reimbursed, the estimated monetary value of material benefits received, contributions paid under any pension scheme and gains made on the exercise of share options. In addition, amounts paid to directors or past directors as compensation for loss of office should also be disclosed. Amounts paid to directors are all subject to PAYE, which should be deducted from the amounts paid to directors and paid to the tax authority on their behalf.

Payments to directors include both **executive** and **non-executive directors**. An executive director is employed by the company and is involved in the daily management of the business, while a non-executive director is generally independent and not employed by the company.

The requirements of the *Companies Act* are similar to those of the IFRS Accounting Standards, but there are differences. The *Companies Act* requires disclosure of the amounts paid to individual directors (both executive and non-executive), while IAS 24, *Related Party Disclosures*, only requires disclosure of the total compensation given to key management personnel, which includes directors (refer to [Chapter 8](#) and Section 2.3.2).

2.3.2 Key management personnel

IAS 24, *Related Party Disclosures*, identifies key management personnel as those persons who have the authority and responsibility for planning, directing and controlling the activities of the entity, including any director. Compensations to key management personnel include the following:

- Benefits such as salaries, annual and sick leave payments, and non-monetary benefits for current employees
- Post-retirement benefits such as pensions and post-employment medical care
- Other long-term benefits, such as long-service leave, long-term disability benefits or any other benefits not payable within 12 months after the end of the financial period
 - Termination benefits
 - Share-based payments.

Compensations of this nature should be disclosed in the notes to the financial statements, including the total for each of the categories of compensations listed above, as these are considered to be related party transactions.

2.4 Post-employment benefits

Employment benefit plans are defined in IAS 19 as 'formal or informal arrangements under which an entity provides post-employment benefits for one or more employees' (paragraph 9). Post-employment plans are often referred to as '**employee retirement plans**' and '**pension plans**'. The employer (entity) makes payments to a fund, which is usually a separate entity (for example, another entity or trust). The fund invests the contributions and provides post-

employment benefits to the employees who are members of the fund. The two types of post-employment benefit plans are **defined benefit plans** and **defined contribution plans**:

- A **defined contribution plan** is where an entity pays fixed contributions into a separate entity, where the contributions are normally based on the wages and salaries paid to employees. The contributing entity has no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to the employee's service in the current and prior periods. Thus, the amount received by employees on retirement is dependent upon the level of contributions and the return earned by the fund on its investments.
- A **defined benefit plan** is a post-employment plan other than a defined contribution plan. Normally, with a defined benefit post-retirement plan, the employer has some obligation to pay further contributions to enable the fund to pay members' benefits when they are retired. In a defined benefit plan, the benefit received by members on retirement is determined by a formula reflecting their years of service and level of remuneration; it is not dependent upon the performance of the fund.

Most of the recently established retirement funds are classified as defined contribution funds, which are often preferred by employers as there is no risk of liability for further contributions if the fund fails to earn an adequate return.

2.4.1 Defined contribution plans

Accounting for defined contribution plans is straightforward, as the reporting entity's obligation for each period is determined by the **amounts to be contributed for that period**. Consequently, no actuarial assumptions are required to measure the obligation or the expense, and there is no possibility of any actuarial gain or loss. Thus, the obligations are measured on an undiscounted basis, except where they are not expected to be settled wholly before 12 months after the end of the annual reporting period in which the employees render the related services. When an employee has rendered service to an entity during a period, the entity recognises the contribution payable to a defined contribution plan in exchange for that service as both a liability and an expense:

- A **liability** (accrued expense) is recognised after deducting any contribution already paid. If the contribution already paid exceeds the contribution due for service before the end of the reporting period, an entity shall recognise that excess as an asset (prepaid expense) to the extent that the pre-payment will lead to, for example, a reduction in future payments or a cash refund.
- A corresponding **expense is recognised**, unless another IFRS Accounting Standard requires or permits the inclusion of the contribution in the cost of an asset (see, for example, IAS 2, *Inventories*, and IAS 16, *Property, Plant and Equipment*).

Example of accounting for a defined contribution plan

An employee makes monthly contributions of CU8 000 to a defined contribution pension fund. Their total monthly salary is CU40 000, with PAYE tax deductions of CU12 000. The employer contributes an additional CU5 000 to the pension fund. The employees receive their salaries on the 25th of each month, and amounts due to SARS and the pension fund are settled on the 7th of the following month.

The following journal entry would be recorded on 25 January:

			CU	CU
Dr		Salaries and wages (P/L)	40 000	
Dr		Salaries and wages (Employer contribution to pension fund) (P/L)	5 000	
	Cr	PAYE payable to SARS		12 000
	Cr	Defined contribution plan liability (CU8 000 + CU5 000)		13 000
	Cr	Bank		20 000

Recognition of payment of net salary, as well as recognition of amounts payable to SARS and pension fund

The following journal entry would be recorded on 7 February:

			CU	CU
Dr		PAYE payable to SARS	12 000	
Dr		Defined contribution plan liability	13 000	
	Cr	Bank		25 000

Recognition of settlement of amounts due to SARS and pension fund

A liability is recognised by the entity for contributions payable for the period in excess of the contributions already paid. Alternatively, an asset is recognised if contributions paid exceed the contributions payable to the extent that the entity expects to be refunded for excess contributions paid (or to be able to deduct these excess contributions paid from future payments).

Contributions payable to **defined contribution plans** are usually determined as a percentage of remuneration paid to employees who are members of the fund. These **contributions** are recognised as an expense in the **period during which the employee renders the services**. The entity has a present obligation to pay contributions in relation to services rendered during the accounting period. If the amount paid to the defined contribution fund by the entity during the period is less than the amount that is payable, a liability for unpaid contributions must be recognised at the reporting date.

2.4.2 Defined benefit plans

Accounting for defined benefit plans is complex because actuarial assumptions and valuation methods are required to measure the obligation and the expense. The expense recognised generally differs from the contributions made in the period.

To calculate the **defined benefit obligation**, estimates (actuarial assumptions) regarding demographic variables (such as employee turnover and mortality) and financial variables (such as future increases in salaries and medical costs) are made and included in a valuation model.

The resulting benefit obligation is then discounted to a present value. This normally requires the expertise of an actuary.

Where defined benefit plans are **funded**, the plan assets are measured at fair value. Where no market price is available, the fair value of plan assets is estimated (for example, by discounting expected future cash flows using a

discount rate that reflects both the risk associated with the plan assets and the maturity of those assets). Plan assets are tightly defined, and only assets that meet a strict definition may be offset against the plan's defined benefit obligations, resulting in a net surplus or net deficit that is shown on the statement of financial position.

Defined benefit obligation – Plan assets = Net defined benefit liability

At each reporting date, the plan assets and the defined benefit obligation are remeasured. Changes in the surplus or deficit of the plan are recognised in profit or loss, while remeasurements are recognised in other comprehensive income. Remeasurement gains and losses comprise actuarial gains and losses, return on plan assets (excluding amounts included in net interest on the net defined benefit liability or asset) and any change in the effect of the asset ceiling (excluding amounts included in net interest on the net defined benefit liability or asset). The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

An employer should perform the steps outlined below in order to account for the defined benefit plan.

Step 1: Determine the deficit or surplus

A deficit or surplus is the difference between the present value of a defined benefit obligation and the fair value of plan assets as at the end of the reporting period. In order to determine it, the entity must do the following:

- **Estimate the ultimate cost of a benefit.** Use the projected unit credit method to estimate how much employees have earned for their work in the current and prior periods in order to attribute the benefit to the periods of service as well as to incorporate estimates about demographic and financial variables ('actuarial assumptions') into the calculations.
- **Discount the benefit** in order to determine the present value of the defined benefit obligation and the current service cost.
- **Deduct the fair value of any plan assets** from the present value of the defined benefit obligation.

Step 2: Determine the amount in the statement of financial position

IAS 19 requires the presentation of a single amount in the statement of financial position: the **net defined benefit liability (asset)**, which is the deficit or surplus calculated in the first step, adjusted for the effect of the asset ceiling.

Step 3: Determine the amount in the profit or loss

The entity should include and present the following amounts in profit or loss:

- The current service cost, which is the increase in the present value of the defined benefit obligation resulting from employee service in the current period
- Any past service cost (this is the change in the present value of the defined benefit obligation for employee service in prior periods resulting from a plan amendment or a curtailment)
- Any gain or loss on settlement

- Net interest on the net defined benefit liability (or asset), which is the change in the net defined benefit liability (or asset) during the period due to the passage of time (referred to as ‘unwinding the discount’).

Step 4: Determine remeasurements in other comprehensive income

The entity should include and present the following remeasurements to other comprehensive income:

- Actuarial gains and losses (these are the changes in the present value of the defined benefit obligation resulting from experience adjustments or the effects of changes in actuarial assumptions)
- The return on plan assets, excluding amounts included in net interest on the net defined benefit liability (or asset)
- Any change in the effect of the asset ceiling.

In the case of a **defined benefit fund**, the employer may have an obligation to make additional contributions to the fund if there is a shortfall in the fund’s capacity to pay benefits to its members. As mentioned earlier, retirement funds of this nature are usually kept in a **separate entity** from the employer. The fund accumulates assets through contributions and returns on its investments consisting of dividend and interest income as well as changes in the fair value of investments. The returns and accumulated assets are used to pay post-employment benefits to members once they retire. When the assets of the defined benefit plan are less than its obligation to pay post-employment benefits to members, the plan has a **deficit** to the extent that the present value of the defined benefit obligation exceeds the fair value of its assets and the trustees of the fund may call on the employer entity to make additional contributions. The issue of whether the employer entity has an obligation (liability) when the fund has a deficit, or an asset when the fund has a surplus, is debatable. An entity’s **net exposure** to a defined benefit post-employment plan is measured at the present value of the defined benefit obligations less the fair value of plan assets. If the defined benefit fund has a surplus, the net defined benefit asset is recognised by the entity subject to an asset ceiling. The measurement of a liability for termination benefits depends on whether they are expected to be settled wholly within 12 months of the annual reporting period in which they were first recognised.

Example of recognising a post-retirement benefit obligation

The following information relates to the post-retirement benefit obligation of Goodies Ltd:



The following amounts should be included in the statement of profit or loss and other comprehensive income relating to the post-retirement benefit obligation of Goodies Ltd for the year ended 31 December 20x1:



2.4.3 Other long-term employee benefits

Other long-term employee benefits include items such as the following:

- Long-term paid absences (such as long-service or sabbatical leave)
 - Jubilee or other long-service benefits
 - Long-term disability benefits
 - Profit sharing and bonuses
 - Deferred remuneration.

These benefits are classified as long-term when they are not expected to be settled wholly before 12 months after the end of the reporting period in which the employees render the related service.

The measurement of other long-term employee benefits is not usually subject to the same degree of uncertainty as the measurement of post-employment benefits. Thus, the accounting treatment of other long-term benefits is similar to that described above for defined benefit plans. The only difference is that all items, such as current service cost, net interest on the net defined benefit liability (or asset), and remeasurements of the net defined benefit liability (or asset), are presented in the **profit or loss**. Unlike the accounting required for post-employment benefits, this method does not recognise remeasurements in other comprehensive income.

2.4.4 Termination benefits

Termination benefits are employee benefits provided in exchange for the termination of an employee's employment. An entity recognises a liability and expense for termination benefits at the earlier of the following two dates:

- When the entity can no longer withdraw the offer of those benefits
- When the entity recognises costs for a restructuring that is within the scope of IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*, and involves the payment of termination benefits.

An entity measures termination benefits on initial recognition. Any subsequent changes in the measurement of such a benefit should be recognised in accordance with the nature of the employee benefit as follows:

- If the termination benefits are expected to be settled wholly before 12 months after the end of the annual reporting period in which the termination benefit is recognised, the entity should apply the requirements for short-term employee benefits.
- If the termination benefits are not expected to be settled wholly before 12 months after the end of the annual reporting period, the entity should apply the requirements for other long-term employee benefits.

However, where the termination benefits are an enhancement to post-employment benefits, the entity should apply the requirements for post-employment benefits.

Example of termination benefits

An entity closes one of its production plants and offers a bonus of CU100 000 to all employees whose services will be terminated. However, as the entity requires some of its employees to perform the closure, it offers a bonus of CU300 000 to each employee who stays with the entity until the closure is completed.

The bonus of CU100 000 per employee represents the termination benefit, while the additional CU200 000 paid to employees who stay until the closure is completed represents the benefit for the employee's service, classified as other long-term benefits in line with IAS 19.

2.4.5 Employee loans

A loan provided to anybody meets the definition of a financial instrument under IFRS 9, *Financial Instruments*. The classification and recognition principles for the initial and subsequent measurement of financial instruments when recognising a loan are covered in [Chapter 14](#), *Financial instruments*.

However, loans to employees are often made at below-market interest rates, and sometimes employees even receive interest-free loans. Loans at below-market interest rates may be offered at such advantageous conditions for one of the following reasons:

- They are provided by an employer to its employees as one form of employee benefits.
- They are provided by a government to support some activities (such as the construction of some assets, creation of employment and reimbursement of operating expenses).
- They are provided by a parent to its subsidiary (or vice versa) in order to support global business.

Where employee loans are provided to an entity's employees, and there is some employee benefit involved, you have to determine whether it is within the scope of IAS 19, *Employee Benefits*, or IFRS 2, *Share-based Payments*.

Loans to employees that do not bear an interest rate reflecting market conditions should be classified as either an employee benefit loan or a share-based payment loan:

- An employee benefit loan is a loan made to an employee under favourable loan conditions. Upon termination of employment, either of the following circumstances applies:
 - The favourable loan conditions are retained by the ex-employee.
 - The favourable loan conditions are cancelled, and market-related conditions apply.
- A share-based payment loan is a loan that is linked to the employer's shares, involving favourable loan conditions allowing the employee to acquire shares in the entity (refer to Section 3).

Example of a loan to an employee at a low interest rate

An entity provided a loan to its employee, amounting to CU100 000, at an interest rate of 2%, on 1 January 20x1. The loan is repayable in five annual instalments of CU21 216, commencing 31 December 20x1. The market interest rate for similar loans is 8%.

Initial recognition of the loan

This loan is a financial asset (refer to IFRS 9) and is initially recognised at fair value. The fair value of the loan is determined by discounting the instalments over the period of the loan to its present value, using the market interest rate of 8%.

Use a financial calculator to perform this calculation:

$$\text{PMTS} = \text{CU}21\,216$$

$$\text{Period } (n) = 5$$

$$\text{Interest rate } (i) = 8\%$$

$$\text{PV} = \text{CU}84\,709$$

The fair value of the employee loan (initial recognition) is CU84 709.

The difference between the fair value of the loan and the actual amount of the loan of CU100 000, of CU15 291, represents a benefit for the employee.

The accounting treatment of the difference depends on the conditions of the loan.

Option 1

The loan conditions will not change should the employee leave. In other words, the employee can continue to benefit from the loan under the same favourable conditions even after terminating employment with the entity. In this case, the employee benefit has already been earned, and the difference is recognised in profit or loss as follows:

			CU	CU
Dr		Loan to employee (financial asset)	84 709	
Dr		Employee benefits (P/L)	15 291	
	Cr	Bank		100 000

Recognising the employee benefit as the loan does not revert to a market interest rate after the employee leaves and the benefit has been earned

Option 2

The loan will revert to a market interest rate after the employee leaves. In this case, the benefit has not been fully earned and is only available while the employee provides services to the entity. As the benefit is obtained when the employee provides its services, the difference is deferred and recognised as an expense in the periods when the employee provides services, as follows:

		CU	CU
Dr	Loan to employee (financial asset)	84 709	
Dr	Pre-payment of employee benefits (asset)	15 291	
	Cr Bank		100 000

Recognising the employee benefit as a pre-payment, as the loan will revert to a market interest rate if the employee leaves; the benefit has not yet been earned

In the subsequent reporting periods, the pre-payment of the employee benefit asset would be amortised and recognised in profit or loss, using the 8% interest rate over the period of five years.

2.5 Share options

The IFRS Accounting Standards require an entity to expense the cost of **options to acquire shares or shares issued at a discount** to employees (including directors). The total expense is equal to the fair value of the options at the date on which an agreement is reached regarding the terms of the options to be granted. If employees are immediately entitled to the options, the expense should be recognised immediately; if employees have to work over an extended period to benefit from the options, the expense should be spread over this extended period. However, the value of the options is only calculated once, at the date on which they are granted, and the expense is not adjusted for subsequent movements in the share price (see Section 3).

3 Share-based payments

There are many ways an entity can settle the purchase of goods or services. Where an entity receives goods or services as consideration for issuing equity (shares in the entity or options to acquire shares in the entity) or incurs liabilities for the acquisition of goods or services for amounts that are based on the price of the entity's shares, these are **share-based payment transactions**, which are dealt with under IFRS 2, *Share-based Payment*. Section 26 of the *IFRS for SMEs* Accounting Standard, *Share-Based Payment*, provides similar guidelines for all share-based payment transactions for small and medium-sized entities.

IFRS 2 encompasses three types of transactions:

- **Equity-settled share-based payment transactions**, in which the entity receives goods or services as consideration for its own equity instruments or those of another entity in the same group or a shareholder of any group entity
- **Cash-settled share-based payment transactions**, also referred to as 'liability awards', in which the entity receives goods or services and incurs a liability based on the value of the entity's shares or other equity instruments of the entity or another group entity (for example, the

grant of share appreciation rights to employees, which entitle the employees to future cash payments based on the increase in the entity's share price)

- **Share-based payment transactions with cash alternatives**, in which the entity receives goods or services, and either the entity (or another group entity) or the supplier of the goods or services (the counterparty) has a choice of the entity settling the transaction in cash, in other assets or by issuing equity instruments.

Once you have identified that the transaction is a share-based payment, refer to [Figure 24.1](#) for a summary of the recognition and measurement principles you should apply. These are discussed in more detail in the sections that follow.

Figure 24.1 The recognition and measurement of share-based payments



In many instances, share-based payment transactions are accompanied by terms and conditions. [Figure 24.2](#) is a summary of the impact of these conditions on the accounting treatment.

Figure 24.2 Impact of share-based payments



ETHICAL DILEMMAS

Share-based payments can give rise to ethical dilemmas, for example:

- **Excessive executive compensation:** Ethical dilemmas arise when entities provide excessively generous share-based payments to executives or key personnel. Disproportionate compensation packages can be seen as unjust and create a sense of inequity among employees. Entities must balance rewarding executives for their contributions and ensuring fairness and transparency in compensation practices.
- **Unequal distribution of share-based payments:** Ethical dilemmas can emerge when entities distribute share-based payments unequally among employees. Certain employees or groups receiving disproportionately higher or lower share-based payments can create perceptions of favouritism or inequality. Entities should establish fair and transparent criteria for allocating share-based payments to ensure equitable treatment of employees.
- **Timing of share-based payments:** Ethical dilemmas can emerge when entities time share-based payments to executives or employees to take advantage of favourable market conditions or to manipulate share prices. Timing payments to coincide with positive news announcements or other events that artificially inflate share prices is unethical and may mislead stakeholders. Entities must ensure that share-based payments are determined based on legitimate performance metrics and not manipulated for personal gain.

•**Misalignment of share-based payments with performance:** Ethical dilemmas arise when share-based payments are not aligned with actual performance or value creation. If share prices are artificially inflated due to external factors or speculative market behaviour, it may result in excessive payouts to employees not commensurate with their actual contributions. Entities should link share-based payments to meaningful performance metrics that accurately reflect value creation.

•**Share-based payments and long-term sustainability:** Ethical dilemmas can emerge when entities focus solely on short-term financial performance and share prices without considering long-term sustainability and stakeholder interests. Excessive emphasis on share-based payments may lead to neglect of investments in: research and development; employee well-being; or environmental and social responsibility. Entities must balance the immediate financial incentives of share-based payments with long-term sustainability and ethical considerations.

•**Dilution of shareholder value:** Ethical dilemmas arise when entities issue a significant number of shares as part of share-based payment programs, leading to a dilution of shareholder value. Excessive dilution can negatively impact existing shareholders and result in reduced returns. Entities must consider the ethical implications of dilution and balance incentivising employees and preserving shareholder value.

Addressing ethical dilemmas related to share-based payments requires an entity to establish fair and transparent compensation policies, to align payments with genuine performance measures, and to consider the interests of various stakeholders. Ethical decision-making should guide the design and implementation of share-based payment programs to ensure fairness, accountability and long-term sustainability. Regular review and oversight, as well as effective communication, are essential to maintain trust and confidence among employees, shareholders and the wider community.

3.1 Recognition of share-based payment transactions

Where an entity issues equity to settle the acquisition of goods or services, the entity has entered into an **equity-settled share-based payment transaction**. For example, the acquisition of an item of machinery settled by the entity by issuing shares to the seller of the machine is an equity-settled share-based payment transaction. Shares not issued to settle the acquisition of goods and services are excluded, even if those shares are issued for less than fair value (as often applies in rights issues).

The most common form of equity-settled share-based payment is options issued to employees (including directors) as an incentive. Shares are often offered to directors and senior employees of an entity through share options. These **share options** entitle the option holder to acquire shares in the entity at a future date at a fixed price known as the 'exercise price'. The price is normally fixed when the option is granted, which then motivates the employee or director to maximise shareholders' wealth to the extent that the entity's equity value is much higher at the future date when the option can be exercised. An option holder is only likely to exercise the option when the market value of the shares is higher than the exercise price of the option (when the options are 'in the money'). When the market value of the shares is lower than the option's exercise price, it is unlikely that the option holder will exercise the option (the option is 'out of the money'). This method of remuneration effectively transfers equity value from existing shareholders to the person receiving the remuneration and dilutes the value held by the other shareholders.

Share options are normally not transferable and are usually offered over a long period (for example, five years) to 'lock in' an employee. They are not underwritten. Where options are not exercised by the closing date, they fall away. In some share option schemes, employees are not required to pay cash when exercising the option, as the entity provides financial assistance through staff loans.

Generally, provided that certain targets are met (for example, remaining employed for a specified period), employees have the option of acquiring shares in the entity at a discounted price (to market value) at a later date. In this case, the services that employees provide to the entity entitle them to options to acquire shares in the entity at a later date. The entity, therefore, settles the services it receives from the employees through the options it has granted those employees. Prior to the publication of IFRS 2, *Share-based Payment*, entities were not required to recognise any expense relating to share options. In terms of IFRS 2, however, an entity is required to recognise the effect of any share-based payment as an expense. In some cases, share options form a substantial portion of the financial rewards offered to employees. Where this is not recognised as part of employee costs in profit or loss, it will result in an overstatement of the profit (and an understatement of employment costs).

Alternatively, an entity may have an obligation to settle the acquisition of goods or services by transferring cash or other assets to the seller. Where the amount of the liability is based on the price of the entity's equity, this is a **cash-settled share-based payment**.

An example is when an entity grants its employees share appreciation rights as an incentive based on specific targets that must be met (for example, remaining employed for a specified period). The employees benefit from the appreciation in the market price of the entity's shares over a specified period of time. This differs from the example above, where the employees have the option to acquire shares in the entity. In this case, provided that the targets are met, the entity has an obligation to pay the employees an amount based on how the entity's share price has appreciated.

Lastly, share-based payments also arise where the entity or the supplier of goods or services can decide whether the entity settles the transaction in cash (or other assets) or by issuing equity. The recognition and measurement of these transactions is beyond the scope of this textbook.

3.1.1 Recording share-based payment transactions

In terms of the accrual concept, items are recognised as assets and expenses when they meet the definitions for these elements in terms of the *Conceptual Framework*, irrespective of when the cash flows occur. Consequently, share-based payments are recognised when the entity recognises the goods (in other words, when the associated risks and rewards of ownership are transferred) or the services (when they are received). This implies that the expense relating to options issued to directors (or other employees) should be recognised when the director (or employee) works for the entity and not when the option is received or exercised. If a director needs to work for five years in order to get the option, the expense should be recognised over five years, as that is the period over which the entity is receiving the services of the director. If the goods or services do not result in the recognition of an asset, they are recognised as an expense.

In terms of double entry, the recognition of the **goods or services** as assets or expenses results in a debit to the financial statements. The issue is where the credit goes. According to paragraph 7 of IFRS 2, the credit goes directly to equity if the share-based payment is **equity-settled**. The credit is recognised as a liability if the share-based payment is **cash-settled** (as the entity is obligated to transfer cash or another asset to settle the acquisition of the goods or the services it has received).

3.2 Equity-settled share-based payment transactions

The measurement and recognition of equity-settled share-based payments typically depend on whether the entity transacts with employees or other parties.

Key principle: Measurement of equity-settled share-based transactions

For transactions with parties other than employees, the debit and credit arising from equity-settled share-based payments are measured at the fair value of the goods or services received.

Key principle:
Measurement of equity-settled share-based payments

In instances where the fair value of the goods or services received cannot be estimated reliably or for transactions with employees, IFRS 2 requires share-based payment transactions to be measured at the fair value of the equity instruments granted.

An example is share options granted to employees. IFRS 2 includes specific guidance on measuring the fair value of the share option. It must be based on fair value, where available; otherwise, a valuation technique should be used. Where the fair value cannot be estimated reliably, IFRS 2 allows entities to use the intrinsic value of the share option. Intrinsic value implies that the fair value is calculated by comparing the share price to the exercise price at a point in time. (However, intrinsic value and the guidance given in IFRS 2 to determine the fair value of share options are beyond the scope of this textbook.)

3.2.1 Transactions with parties other than employees

The fair value is determined at the transaction date, which, in the case of the acquisition of an asset, is the date on which the risks and rewards associated with ownership of that asset transfer to the entity. In the case of a service, the transaction date is the date on which the entity receives the service.

Example of equity-settled acquisition of goods

A Ltd issues 100 000 Class A shares to the seller of a building that A Ltd has acquired. If A Ltd had settled the transaction in cash immediately, it would have paid the seller CU1 million. The fair value of the building is, therefore, CU1 million.

This is an equity-settled share-based payment transaction, as it is being settled by issuing shares by A Ltd. The fair value of the entire transaction is CU1 million.

The following journal entry is processed to record this transaction:

			CU	CU
Dr		Building	1 000 000	
	Cr	Class A share capital		1 000 000

Recording the acquisition of a building settled by the issue of shares

3.2.2 Transactions with employees

The entity receives services from its employees (as the employees render those services). The entity remunerates the employees in various ways for these services. As discussed earlier, employees may be granted share options as part of their remuneration packages. In most cases, measuring the services the entity receives and specific components of the remuneration packages is not usually possible. Therefore, the value of the transaction is based on the value of the equity instruments granted.

The fair value of the equity instruments granted is measured at the **grant date** when the entity and its employees agree to the terms and conditions of the share-based payment arrangement. For example, if an entity grants share options to its directors subject to the approval of the entity's shareholders, the grant date is the date on which this approval is obtained. The fair value of the equity instruments is not restated for subsequent changes unless the intrinsic value is used. This makes sense; if a listed entity issues shares, it records the issuing of the shares at the issue price. Even though the market price of those shares changes subsequently, the entity does not restate its equity to take this into account.

Where share options are granted to employees as incentives, conditions normally need to be met before the share options **vest**. Vesting is the point at which the employees are unconditionally entitled to the share options. The conditions that need to be met are vesting conditions, which are either service conditions or **performance conditions**. Service conditions require the counterparty (an employee) to complete a specified service (for example, remaining employed by the entity for five years). Performance conditions require the completion of a specified period of service as well as specified targets that must be met. These targets may be **market-related** (for example, the entity's share price has to exceed certain targets). Alternatively, they can be **non-market-related** (for example, a target can specify the growth of the entity's profits by a certain percentage annually). The **vesting period** is the period over which these conditions need to be satisfied. This allows for the recognition of an expense over the period the employees provide the service that entitles them to benefit from the share-based payment.

Except where intrinsic value has been used to measure the fair value of the equity instrument, the recognition of an expense for equity-settled share-based payment transactions with employees is based solely on non-market performance conditions. This is because market performance conditions are considered in determining the equity instruments' fair value on the grant date. Assume that a market performance condition is that an entity's share price must exceed CU100 by the end of five years. Whether or not this target is met will not impact the recognition of an expense (unless intrinsic value has been used). The likelihood of this happening or not happening will already have been considered in determining the equity instrument's fair value at the grant date.

Key principle:
Recognising service expense

Where shares only vest after a specific period of service has been completed, the expense must be recognised as the service is rendered. This is in line with the accrual basis of accounting.

Key principle:
Goods and services received do not have to be identifiable

IFRS 2 makes it clear that the goods and services that the entity receives do not have to be identifiable.

Example of the recognition of the effects of share options granted to employees

An entity grants 10 000 share options to each of its five directors on 1 January 20x4. The options vest on 31 December 20x6 (at the end of the third year). In other words, the directors are only entitled to receive the options if they are still employed at that date. The fair value of the options at the grant date is CU21. The fair value of the share options should be expensed over the three-year period for which the directors will provide the service to the entity as follows:



The journal entry that the entity would process in each of the three years is as follows:

			CU	CU
Dr		Staff costs expense (P/L)	350 000	
	Cr	Share-based payment reserve		350 000

From the example above, it is clear that while the directors are providing the service to the entity over three years, the expense is recognised in profit or loss. What happens if not all the share options vest as a result of directors leaving the entity before the end of the three-year period? (As they have left the entity, this implies that they are no longer entitled to the options over the shares.)

Assume that one director leaves at the end of 20x5. As the director is no longer entitled to receive share options, the entity cannot recognise an expense. This is effectively a change in estimate. At the end of 20x4, we expected five directors to receive share options. However, at the end of 20x5, only four directors are expected to receive options. Therefore, our estimate last year was incorrect. The table below represents the effect of this.



3.3 Cash-settled share-based payment transactions

The accounting treatment of cash-settled share-based payment transactions is exactly the same as for **provisions**. This implies that the entity recognises the transaction when it has an obligation to settle the transaction in cash or another asset. For example, in respect of acquiring an asset, when the entity obtains control of the asset, the entity has the obligation to pay for that asset. Alternatively, in respect of, for example, employee services, the entity has an obligation for work actually completed (the past event). In addition, the measurement is based on the best estimate of the amount that will be paid. The estimate could change subsequently (for example, at the reporting date). For instance, if the share price increases, the estimate of the amount payable increases and therefore, the liability increases. Any change in the fair value of the liability is recognised in profit or loss.

The amount recognised is based on what is expected to be paid. Any performance conditions (for example, a condition that the employee has to work for five years before being paid) should be considered by estimating how many employees are expected to work for the five-year period and therefore need to be paid. (The performance conditions relating to meeting share price targets are beyond the scope of this textbook.)

Example of an entity granting share appreciation rights to employees

An entity grants 10 000 share appreciation rights (the directors will benefit from the appreciation value of the shares of the entity) to each of its five directors on 1 January 20x4. The share appreciation rights vest at the end of the second year, on 31 December 20x5.

The share appreciation rights may be exercised any time after 31 December 20x5, with the directors receiving a cash settlement based on the fair value of the share appreciation rights on the date they are exercised.

The fair value of the share appreciation rights is CU20 on 1 January 20x4, CU25 on 31 December 20x4, and CU28 on 31 December 20x5. None of the directors resigned or are expected to resign before 31 December 20x5.

As at each reporting date, the entity is liable to the directors whom it expects will be employed at the end of the vesting period and who are therefore entitled to the cash for the services already provided to the entity. In other words, the services provided by the directors entitle them to the share appreciation rights. **The entity does not have a liability at the reporting date for services to be provided in the future.**

The entity's estimated liability to its directors at each reporting date is as follows:

- 31 December 20x4: $10\,000 \times 5 \times \text{CU}25$ (fair value on 31 December 20x4) $\times$  = CU625 000
- 31 December 20x5: $10\,000 \times 5 \times \text{CU}28$ (fair value on 31 December 20x5) = CU1 400 000.

The entity would have to process the journal entries shown below.

The journal entry required on 31 December 20x4 is as follows:

		CU	CU
Dr	Staff costs expense (P/L)	625 000	
	Cr Liability for cash-settled share-based payment		625 000

Recognising share-based payment liability

The journal entry required on 31 December 20x5 is as follows:

			CU	CU
Dr		Staff costs expense (P/L)	775 000	
	Cr	Liability for cash-settled share-based payment		775 000

Recognising share-based payment liability

The CU775 000 adjustment in 20x5 was calculated as the difference between the liability of CU1 400 000 as of 31 December 20x5 and the liability of CU625 000 as of 31 December 20x4. The increase in the liability effectively arose as a result of the following:

- The additional year's service provided by the directors (the entity owes the directors for the service provided in the current year)
- The change in the fair value of the share appreciation rights (the fair value of the share appreciation rights has increased, and the entity has to make provision for a higher settlement).

As of 31 December 20x5, the share appreciation rights were fully vested. The directors can therefore start exercising their rights. We assume the following:

- 5 000 share appreciation rights were exercised during the financial year ended 31 December 20x6, when the fair value of each share appreciation right was CU35.

The fair value of each share appreciation right was CU34 on 31 December 20x6.

The provision for cash-settled share-based payments in the general ledger account would look as shown below for the year ended 31 December 20x6.



Even though the vesting period is completed, there is an adjustment to profit or loss of CU305 000 during 20x6. This is because the obligation of the entity has changed. The fair value on 31 December 20x5 of the vested 50 000 share appreciation rights differed from the fair value when 5 000 share appreciation rights were exercised during 20x6 as well as from the fair value of the remaining 45 000 share appreciation rights that had not yet been exercised on 31 December 20x6.

4 Broad-Based Black Economic Empowerment transactions

Broad-Based Black Economic Empowerment (B-BBEE) refers to a policy framework and legislation implemented in South Africa with the aim of **addressing historical economic inequalities** and **promoting the economic participation of black individuals and communities**. B-BBEE seeks to transform the country's

economic landscape by promoting equitable ownership, management control, skills development, enterprise development and socio-economic advancement for black people. B-BBEE transactions are generally settled by an entity **issuing equity instruments** (for example, shares) at a discount to fair value in order to access B-BBEE credentials.

There was much debate as to whether these equity instruments were issued as share-based payment transactions in terms of IFRS 2. If shares worth CU150 million were issued to empowerment shareholders for CU100 million, accounting for that transaction as a share-based payment transaction would require the equity to be measured at CU150 million. If it were not accounted for as a share-based payment transaction, it would be accounted for as an ordinary share issue, and equity would only increase by CU100 million. The debate as to which treatment was correct centred on share-based payment transactions requiring the receipt of goods or services. It needed to be clarified if B-BBEE credentials were for goods or services.

In terms of FRP 2, *Accounting for Black Economic Empowerment Transactions*, the fact that an entity receives an amount as consideration that is less than the fair value of the equity that it is issuing indicates that the entity is receiving something other than cash. Receiving less than the fair value of the shares issued means the entity has also acquired B-BBEE credentials, which allow it to do business in South Africa. FRG 2 concludes that these B-BBEE credentials do not meet the definition of an asset (specifically an intangible asset) and must be recognised as an expense. The expense is measured as the difference between the fair value of the equity instruments (shares or share options) issued to the B-BBEE partner and the fair value of the consideration received. If the B-BBEE deal has performance conditions, the share-based payment expense is recognised and measured as outlined in Section 3.2.2, which implies that the expense is recognised over a period.

Example of recovery for a B-BBEE transaction

A Ltd issues 100 000 Class A shares to B-BBEE Ltd at CU6 per share when the fair value of A Ltd's shares is CU10 per share.

A Ltd is therefore giving up 100 000 Class A shares at CU10 each, which equals CU1 million (the fair value on the transaction date with B-BBEE Ltd), in return for CU600 000 (100 000 × CU6 per share). The remaining CU400 000 is the value of the B-BBEE credentials that A Ltd has obtained.

The following journal entry is processed to record this transaction:

			CU	CU
Dr		Bank	600 000	
Dr		B-BBEE expense (P/L)	400 000	
	Cr	Class A stated capital		1 000 000

Recording a share issue in terms of a B-BBEE transaction



ETHICAL DILEMMAS

Addressing ethical dilemmas in B-BBEE requires entities to approach these initiatives with integrity, fairness and a genuine commitment to empowerment. Transparency, inclusivity and

accountability should guide the design, implementation and evaluation of B-BBEE transactions to ensure that they genuinely contribute to economic empowerment and redress historical inequalities. Collaboration with relevant stakeholders and ongoing monitoring and evaluation can help entities navigate ethical challenges and achieve meaningful outcomes.

5 Disclosure of employee benefits and share-based payment transactions

The **disclosure** of employee benefits and related information is required in several formats by different IFRS Accounting Standards (see [Chapter 2](#)), including the following:

- IFRS 18, *Presentation and Disclosure in Financial Statements*, requires disclosure of the **employee benefits expense**. Employee benefits are recognised as an expense in profit or loss. They are usually presented separately on the face of the statement of profit or loss and other comprehensive income or in the notes.
- IAS 24, *Related Party Disclosures*, requires disclosures about **employee benefits for key management personnel**.

The disclosure of details relating to the remuneration of directors and other key management personnel are usually combined in a detailed summary in the notes to the financial statements, providing information regarding the nature and extent of remuneration to the directors and key employees in return for services rendered. The analysis is done in aggregate and by director, split between executive and non-executive directors.

5.1 Disclosure of defined benefit plans

The disclosure objectives of defined benefit plans are onerous. They include an explanation of the characteristics of an entity's defined benefit plans, an identification of the associated risks, an explanation of the amounts arising from the plan in the financial statements, and a description of how defined benefit plans may affect the amount, timing and uncertainty of the entity's future cash flows.

Extensive specific disclosures about meeting each of the above objectives are specified (for example, a reconciliation from the opening balance to the closing balance of the net defined benefit liability or asset, disaggregation of the fair value of plan assets into classes and a sensitivity analysis of each significant actuarial assumption).

Additional disclosures about multi-employer plans and defined benefit plans sharing risk between entities under common control are required. In addition, according to paragraph 46 of IFRS 2, an entity must disclose information that enables users of the entity's financial statements to understand how the fair value of the goods or services received, or the fair value of the equity instruments granted during the period, was determined.

5.2 Disclosure of share-based payments

In order to enable users to understand the nature and extent of the entity's share-based payment arrangements, an entity is required to disclose at least the following (paragraph 45 of IFRS 2):

- ‘a) A description of each type of share-based payment arrangement that existed at any time during the period, including the general terms and conditions of each arrangement, such as

vesting requirements, the maximum term of options granted and the method of settlement (for example, whether in cash or equity). An entity with substantially similar types of share-based payment arrangements may aggregate this information unless separate disclosure of each arrangement is necessary to enable users to understand the nature of the share-based payment arrangements.

b) The number and weighted average exercise prices of share options for each of the following groups of options:

1. Outstanding at the beginning of the period
2. Granted during the period
3. Forfeited during the period
4. Exercised during the period
5. Expired during the period
6. Outstanding at the end of the period
7. Exercisable at the end of the period.

c) For share options exercised during the period, the weighted average share price at the exercise date. If options were exercised regularly throughout the period, the entity might instead disclose the weighted average share price during the period.

d) For share options outstanding at the end of the period, the range of exercise prices and weighted average remaining contractual life. If the range of exercise prices is wide, the outstanding options shall be divided into meaningful ranges for assessing the number and timing of additional shares that may be issued and the cash that may be received upon exercise of those options.'

According to paragraph 50 of IFRS 2, an entity must disclose information enabling users of the financial statements to understand the effect of share-based payment transactions on the entity's profit or loss for the period and its financial position. At a minimum, the entity must disclose the total expense recognised for the period arising from share-based payment transactions. Separate disclosure of that portion of the total expense relating to equity-settled share-based payment transactions is also required.

Something to do

Access the latest financial statements of Sasol South Africa Ltd and look at the disclosures provided about employee benefits and share-based payments.

Key points to take from this chapter

- IAS 19, *Employee Benefits*, identifies four main categories of employee benefits:
 - Short-term employee benefits for current employees, for example, wages, salaries, holiday benefits, sick pay, profit sharing or bonus plans
 - Post-employment benefits, such as pensions, post-employment medical benefits and post-employment life insurance, categorised as defined contribution plans or defined benefit plans
 - Termination benefits such as severance pay
 - Other long-term employee benefits, such as long-service leave or sabbatical leave.
 - Irrespective of the form in which the benefit is paid or when it is paid, employment costs should be recognised in the reporting year in which the employee does the work for which they will receive the benefit.
 - An entity should recognise a liability when an employee has provided service in exchange for employee benefits to be paid in the future. It should recognise an expense when the entity consumes the economic benefit arising from the service provided by an employee in exchange for employee benefits.
- IAS 24, *Related party transactions*, provides further guidance on the disclosure of employee benefits for key management personnel.
- Equity-settled share-based payment transactions are incurred when an entity issues shares as consideration for goods or services received (for example, the issue of share options to employees) or incurs liabilities for the acquisition of goods or services for amounts that are based on the price of the entity's shares.
- When an entity enters into a share-based payment arrangement, it needs to determine the following:
 - The classification of the share-based payment (in other words, whether it is equity-settled or cash-settled)
 - The grant date
 - Vesting conditions, if any, and whether they are market-related or non-market-related
 - The period over which the award vests
 - The fair value at the grant date.
- At each subsequent reporting date until vesting, the entity calculates the best estimate of the cumulative charge to profit or loss at that date, being the product of the following:

- The grant date fair value of the award
- The current best estimate of the number of awards that will vest
- The expired portion of the vesting period.
- The charge (or credit) to profit or loss for the period is the cumulative amount calculated above, less the amounts already charged in previous periods.
- An entity accounts for the share-based payment by recognising the following:
 - An expense or an asset if the goods and services received meet the criteria for recognising an asset
- A corresponding increase in equity (for transactions settled in equity instruments) or liabilities (for cash-settled transactions).

Discussion questions

1. What is the primary difference between a defined contribution plan and a defined benefit plan?
2. Which party to the agreement bears the most risk in a defined contribution plan and why?
3. Explain what a share-based payment transaction is.
4. Discuss the difference between equity- and cash-settled share-based payment transactions. Your answer should deal with recognition and measurement issues.
5. Explain what is meant by the term 'grant date'.
6. Discuss what is meant by performance conditions, why they are important, what type of performance conditions there are and what the implications of different types of performance conditions are.
7. Explain in terms of the *Conceptual Framework* why B-BBEE credentials acquired in a share-based payment transaction are not recognised as an asset.

Exercise questions

Question 1

Entity A has an unfunded defined benefit plan in place for its employees. According to the actuaries, the defined benefit obligation had a present value of CU900 000 on 31 December 20x6, using a discount rate of 10%. Entity A had an investment account with a fair value of CU750 000 on 31 December 20x6, which it intended to use to settle the payments relating to the defined benefit plan.

During the 20x7 financial year, the entity paid CU150 000 to beneficiaries of the plan and made additional contributions to the investment account of CU120 000. The present value of current service costs amounted to CU190 000 in the current year.

On 31 December 20x7, the actuaries determined that the present value of the obligation amounted to CU1 020 000 (using a discount rate of 11%), and the investment account had a fair value of CU860 000.

You are required to do the following:

Calculate the amount to be recognised in other comprehensive income relating to the defined benefit plan for the year ended 31 December 20x7.

Question 2

An entity grants 1 000 share options to each of its 200 employees on 1 January 20x4. The share options will vest if the employees are still employed by the entity on 31 December 20x6. The fair value of each share option is CU8 on 1 January 20x4, CU10 on 31 December 20x4, CU14 on 31 December 20x5 and CU18 on 31 December 20x6.

You are required to do the following:

Based on the information presented, prepare the journal entries for the entity for each of the financial years ended 31 December 20x4 to 20x6 for each of the following scenarios, including the possible variations included with some of them:

1. All employees remain employed by the entity on 31 December 20x6.
2. Only 180 employees remain employed by the entity on 31 December 20x6.
3. Ten employees resign during 20x4. On 31 December 20x4, a further 20 employees are expected to resign before 31 December 20x6. During 20x5 and 20x6, 11 and 15 employees respectively resign.
4. When the entity grants the share options on 1 January 20x4, there is an additional performance condition: the market price of the entity's shares must exceed CU50 per share by 31 December 20x6. In answering this part, consider each of the following additional assumptions independently:

- This condition is met by 31 December 20x6 and was always expected to be met.
- This condition is not met by 31 December 20x6 but was always expected to be met.

5. Instead of offering the employees share options, the entity offers them share appreciation rights. The fair value of the share appreciation rights at the respective dates is the same as that of the share options. In answering this part, consider each of the following additional assumptions independently:

- All employees remain employed by the entity on 31 December 20x6.
- Only 180 employees remain employed by the entity on 31 December 20x6.

Reference

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



This part focuses on reporting financial information for a group of entities. Business combinations, such as mergers and acquisitions, often result in the creation of group entities that are listed on stock exchanges and play a key role in the global economy. When a separate reporting entity acquires an interest in the equity of another entity and that interest represents control, joint control or significant influence, the combination of different entities is referred to as a '**group**'. An entity is part of a group if the different entities are managed in a way that takes into account the interests of the group as a **combined economic entity** rather than the needs of each individual entity only.

A **group** typically includes some or all the following entities:

- The investor, also known as a parent (if it owns a subsidiary) or a venturer (if it owns a joint venture)
 - The subsidiaries of the investor
 - The joint ventures of the investor
 - The associates of the investor.

The preparation of **group financial statements** involves combining the financial statements of the individual entities so that they show the financial position and performance of the group of entities, presented as if they are a **single economic entity**.

Group financial statements are required to show the substance of the group by reflecting the results of the investor's decision-making on all the group entities over which it has control, joint control or significant influence.

When one entity buys shares in another entity, it could be buying 100 shares of an entity listed on the securities exchange or buying all the shares in that entity. There are different methods of accounting for these investments, depending on the degree to which the buyer of the shares (the acquirer) can become involved in the decision-making of the entity in which the shares are purchased (the acquiree). However, an entity may also acquire a part or division of another entity (for example, the distribution division of that entity), which consists of an integrated set of activities and assets that can be managed separately.

The transaction or event in which the acquirer obtains **control** of one or more businesses is referred to as a '**business combination**'. IFRS 3, *Business Combinations*, provides guidelines and principles for how the acquirer should prepare the financial statements dealing with a business combination and its effects. This standard also includes important definitions and descriptions relating to the acquisition date as well as the recognition and measurement of the identifiable net assets acquired, including any goodwill, which are also applied to the preparation of group financial

statements. Resulting goodwill balances may be significant, and each year, the entity must assess these balances for impairment. Business combinations are the subject of [Chapter 25](#), *Business combinations*.

A group does not record its transactions in a general ledger. Group financial statements may be prepared by using a **group worksheet**, which combines the separate financial statements of all the entities in the group. In this section, you will be introduced to the preparation of group financial statements, including how to prepare the **analysis of the equity** of an investee. The analysis of equity is used to prepare pro-forma **journal entries**, which are required to eliminate internal transactions and charges between the investor and the investee. The financial information of these two parties is combined in the **group worksheet**, which also reflects the pro-forma journal entries. The group worksheet gives rise to the group financial statements.



IAS 27, *Separate Financial Statements*, requires (with limited exceptions) that where investments are made to the extent that the investing entity has the power to govern (that is, control) the financial and operating policies of the acquiree, the acquirer should prepare **consolidated financial statements**. If the acquirer has shares in subsidiaries, then the acquirer is considered to be a parent entity and has to produce consolidated financial statements in addition to its own separate financial statements. The process of preparing separate financial statements is the subject of [Chapter 26](#), *Separate financial statements*, while the process followed in preparing consolidated financial statements is discussed in [Chapter 27](#), *Consolidated financial statements*.

Where share investments are made that represent such a small interest that the acquirer has no influence over the entity, the acquirer should recognise the investment according to the requirements of IFRS 9 (refer to [Chapter 14](#), *Financial instruments*), as this is in fact an investment that is classified as a financial instrument. However, where the investment in another entity is significant, it represents an investment in an associate. IAS 28, *Investments in Associates and Joint Ventures*, prescribes the accounting entries required when group financial statements are prepared in which investments in associates are accounted for by the equity method (refer to [Chapter 28](#), *Investments in associates, joint ventures and joint arrangements*).

Where an entity has joint control, a joint arrangement exists. The joint arrangement is either a joint operation or a joint venture. Joint arrangements are dealt with in [Chapter 28](#).

Global expansions normally happen when businesses establish new entities in different countries or acquire interests in **foreign operations**. Where the controlling interest is held in foreign operations, these entities are referred to as 'foreign subsidiaries'. The accounting treatment of interests in foreign subsidiaries is covered in IAS 21, *The Effects of Changes in Foreign Exchange Rates*, and is discussed in [Chapter 29](#).

Group cash flows form an integral part of a set of group financial statements. The cash flow implications relating to a group are included in the respective chapters identified above, as well as in [Chapter 5](#), *Statements of cash flows*.



CHAPTER

25

Business combinations

IFRS reference

IFRS 3: *Business Combinations*

IFRS for SMEs Accounting Standard reference

Section 19: *Business Combinations and Goodwill*

1 Introduction

2 What is a business combination?

2.1 [Business](#)

2.2 [Control](#)

2.3 [Parent–subsidiary relationship](#)

2.4 [Joint control](#)

2.5 [Significant influence](#)

3 Specific issues relating to business combinations

3.1 [The acquisition method](#)

3.1.1 [The acquirer](#)

3.1.2 [The acquisition date](#)

3.1.3 [The fair value of assets acquired and liabilities assumed](#)

3.1.4 [A non-controlling interest in an acquiree](#)

3.1.5 [The cost of the acquisition \(consideration transferred\)](#)

3.1.6 [Goodwill acquired \(and bargain purchases\)](#)

4 Subsequent measurement

4.1 [Subsequent measurement of goodwill](#)

5 Identifying a business combination: The next step

6 Disclosure

Key points to take from this chapter

Discussion questions

Exercise questions

References

Learning objectives

By the end of this chapter, you should be able to:

- Identify a business combination transaction.
- Apply the acquisition method to recognise and measure a business combination.
- Identify an acquirer and the acquisition date.
- Explain how to identify control.
- Recognise and measure the fair value of the identifiable net assets acquired at the acquisition date.
- Identify and apply the recognition and measurement exceptions for a business combination at the acquisition date.

- Understand what non-controlling interest means and measure the interest of the non-controlling equity holders at the acquisition date.
 - Recognise and measure goodwill at the acquisition date.
- Determine a bargain purchase for the acquisition of a business at a consideration below the fair value of the net asset acquired.
- Identify the measurement period and account for any subsequent adjustments to the initial accounting for a business combination.
 - Provide the disclosures required under IFRS 3, *Business Combinations*.

Concept summary



1 Introduction

A **business combination** is a transaction in which an acquirer obtains control of one or more businesses. For example, an entity may acquire all the shares in another entity, giving it control over the decision-making processes of that entity, thereby creating a combined entity that needs to provide combined financial reporting. The combination of financial statements of more than one entity is referred to as '**group accounting**'.

Because the individual parties to a business combination each account for the transaction in a different way, it is important to identify which party you are accounting for and what that party's participation is in the transaction.

[Table 25.1](#) shows how the parties to a business combination account for the transaction.

Table 25.1 How the parties to a business combination account for the transaction

Business combination parties		
Acquirer (buyer)	Acquiree (business being acquired)	Seller
The acquirer recognises the acquisition at the transaction date in its separate financial statements, measured at the fair value of the consideration given.	When the acquirer acquires assets and liabilities as a business operation, then the acquiree is also the seller.	The seller recognises the disposal at the transaction date (the difference between the consideration received and the carrying amount of the business combination disposed of) in profit or loss.
The acquirer acquires equity interest and control in the acquiree: • Recognises investment in subsidiary in its separate financial statements (Chapter 26) • Prepares consolidated financial statements (Chapter 27).	There is no transaction recorded by the acquiree, as it is an equity transaction between the acquirer and the seller.	

This chapter aims to introduce the financial reporting required by an entity when it undertakes a business combination and to explain how a business combination should be accounted for by applying the **acquisition method**. This method outlines the way in which the acquirer should **recognise and measure** the identifiable assets acquired, the liabilities assumed and any non-controlling interest, as well as the goodwill acquired or the gain from a bargain purchase. The presentation of this information in the **financial statements** of the acquirer is covered at the end of this chapter. Providing relevant and reliable information relating to business combinations enhances the comparability of financial information and informs users' decision-making.



Key principle:
What concepts are important in a business combination?

When a business combination has been identified, the following concepts are important in order to account for the business combination correctly:

- All identifiable assets and liabilities of the acquired business should be measured at fair value at the acquisition date.
- Non-controlling interest should be measured at either fair value or at its share of the identifiable net asset value.

The difference between the amount paid for the business combination and the fair value of the assets and liabilities of the acquiree and non-controlling interest recognised results in goodwill or a gain on a bargain purchase.

2 What is a business combination?

The combining of two or more entities is often described using terms such as ‘merger’, ‘amalgamation’, ‘takeover’ and ‘reorganisation’. These terms are used interchangeably and have no precise legal meaning. The term ‘business combination’ is probably the best description to cover all these expressions. A **business combination** is a transaction or event in which an acquirer obtains **control** of one or more businesses.

Business combinations can be structured in a variety of ways, depending on the legal, taxation or other circumstances of the combination and of each individual entity. Different combinations may involve any of the following:

- The purchase of the equity of another entity
- The purchase of all the assets and liabilities of another entity
- The assumption of the liabilities of another entity
- The purchase of some of the assets and liabilities of another entity that together form one or more businesses.

A business combination can be the result of a transaction between the shareholders of two or more combining entities, or between one entity and the shareholders of the other entity or entities. It may involve the creation of a new entity to control the combining entities or net assets transferred, or the restructuring of one or more of the combining entities. The acquisition price may consist of the issue of equity instruments (that is, shares) by the acquirer, the transfer of funds or other assets, or a combination thereof.

The most important terms and principles relating to the accounting for business combinations are discussed below.

2.1 Business

A transaction or other event is only a business combination if the assets acquired and the liabilities assumed constitute a business. The purpose of this description is to highlight the fact that a business generally consists of a

combination or group of inputs, processes applied to those inputs and resulting outputs that are, or will be, used to generate revenues. From these descriptions, a business may be an entity, but it may also be a division or sector of an entity that is able to generate revenues from its own set of activities and assets.

Key principle: Definition of a business

A business is defined as an integrated set of activities and assets conducted and managed for the purpose of providing a return to acquirers in the form of dividends, lower costs or other economic benefits directly and proportionately to policyholders or participants (refer to Appendix 3 of IFRS 3, *Business Combinations*).

The purpose of defining a **business** is to distinguish between acquiring a group of assets (for example, five machines) and acquiring an entity capable of producing some form of output. When an entity acquires specific assets or a group of assets, the acquisition should be recognised in terms of the relevant IFRS Accounting Standard, such as IAS 16, *Property, Plant and Equipment*. A group of assets and activities **constitutes a business** when the integrated set is capable of being conducted and managed as a business by a market participant. This implies that a business combination is the acquisition of assets as part of an integrated set of activities. When specific assets that are not part of a business are acquired, there is no business combination and no goodwill.

A business combination may be achieved directly or indirectly, as illustrated in [Figure 25.1](#). A **direct business combination** is the purchase of the net assets of another entity, the assumption of the liabilities of another entity or the purchase of some of the net assets of another entity that represents a business. An **indirect business combination** is achieved through acquiring equity in another business, thereby obtaining control of the acquired entity. If a business is acquired directly, the accounting for assets acquired and liabilities assumed is recorded in the acquiring entity's records. Where a business is acquired indirectly, the acquirer records the acquisition of an investment in its separate financial statements (see [Chapter 27](#)), and the acquisition of the controlled entity is accounted for in the consolidated financial statements.

Figure 25.1 Options for how a business combination can be achieved and the implications of each

Example of a business combination

Assume that after negotiation, Entity A and Entity B decide on forming a new entity, Entity C.

Option 1: Entity C acquires *all the assets and liabilities* of Entity A and Entity B. This is a direct business combination where Entity A and Entity B sell their assets and liabilities to Entity C. The result is that Entity A and Entity B each recognise a profit (or loss) from the sale of their business (assets and liabilities) to Entity C. The shareholders of these entities can decide to distribute the profits on the disposal of the net assets as dividends.

Option 2: Entity C acquires *all the shares* of the two entities from its respective shareholders in exchange for shares in Entity C. The business combination has resulted in the three entities being brought together under one entity, Entity C, which now controls the operations of both Entity A and Entity B. This is an indirect business combination as Entity C acquired the shares in Entity A and Entity B. The information needs of the users of the financial statements are better met by the production of a set of consolidated financial statements showing the financial position and performance of the combined entities as a single entity.

In both options, Entity C obtained control of the assets and liabilities of Entity A and Entity B. However, the underlying transaction that results in the acquisition of the control of the assets and liabilities is different, resulting in a different accounting treatment in each case.

ETHICAL DILEMMA

Ethical dilemmas can arise in various aspects of business combinations, which involve the merger, acquisition or consolidation of entities. Business combinations can result in increased market power and dominance. Ethical dilemmas may arise if the merged entity abuses its market position by engaging in anti-competitive practices, such as predatory pricing, exclusionary tactics or monopolistic behaviour.

Merging entities may have different environmental practices and sustainability commitments. Ethical dilemmas can arise if the merged entity disregards or dilutes environmental standards, leading to increased pollution, resource depletion or other negative impacts on the environment.

Ethical dilemmas can occur when entities fail to engage and communicate effectively with stakeholders during the business combination process. Lack of transparency and involvement of key stakeholders – including employees, customers, local communities and shareholders – can raise concerns about fairness and accountability.

2.2 Control

The definition of an asset in the *Conceptual Framework* includes the phrase ‘controlled by the entity’ (IASB, 2018, paragraph 4.3). Thus, control links an economic resource to an entity. An entity controls an economic resource if it has the present ability to direct the use of the economic resource and obtain the economic benefits that may flow from it. If one entity controls another entity, this implies that the first entity is able to control the assets of the second entity. Consolidation, the most important process used in the production of group financial statements, involves recognising all assets and liabilities controlled by the group.

Key principle:
Control

Control is the power to govern an entity's financial and operating policies (or a business) to obtain benefits from its activities.

Control over the net assets of another entity could be obtained by one entity acquiring the shares of another entity in a private transaction or on the open market. Control is generally presumed when the acquiring entity has acquired **more than half** (that is, 50% plus one) of the **voting rights** of the acquiree unless it can be demonstrated that this ownership does not constitute control. When determining whether control exists, you should refer to the substance of the transaction as opposed to its legal form. In other words, the fact that more than half of the shares are held does not constitute control. Alternatively, a shareholder that holds fewer than half the shares may have control.

The *Companies Act, No. 71 of 2008*, refers to a juristic person, which may be a company, a trust or a partnership. Section 2 of this Act refers to the control of a juristic person when this juristic person is able, directly or indirectly, to exercise or control the exercise of a majority of the voting rights associated with the securities of that company, whether under a shareholder agreement or otherwise, or has the right to appoint or elect, or control the appointment or election of directors of that company who control a majority of the votes at a meeting of the board. Furthermore, Section 3(2) describes the criteria for the general **voting rights** associated with the issued securities of an entity.

2.3 Parent–subsidiary relationship

The definition of a business combination includes business combinations in which one entity has obtained an equity interest and control of another entity or group of entities. One such business combination may be a parent–subsidiary relationship, discussed in [Chapter 26](#), *Separate financial statements*.

Control is presumed to exist when a parent holds, either directly or indirectly through subsidiaries, **more than half of the voting power** of an entity. When the parent holds half or less of the voting power of an entity, control may be established through any one of the following:

- Power over more than half of the voting rights through an agreement with other investors
- Power to govern the financial and operating policies through a statute or agreement
- Power to appoint or remove the majority of the members of the board of directors or equivalent governing body where control is situated in that board or body
- Power to cast the majority of votes at meetings of the board of directors or an equivalent governing body where control is situated in that board or body.

The board of directors, who are generally appointed by the shareholders of the entity, are responsible for the decision-making of an entity. Normally, any entity that can exercise more than half of the votes at a shareholders' meeting can control the entity, as it can appoint the board of directors. If an entity has the right to appoint the majority of the board of directors in terms of some agreement and no other party has the right to remove them, this ownership constitutes control.

The principles of determining whether control exists are included in IFRS 10, *Consolidated Financial Statements*, and discussed further in [Chapter 27](#).

2.4 Joint control

Joint control only exists when the strategic financial and operating decisions relating to the activity require the unanimous consent of the parties sharing control. The venturers normally enter into a contractual arrangement whereby they all have to agree to major or strategic operational and financial decisions. The accounting treatment of investments in joint ventures is discussed in [Chapter 28](#), *Accounting for associates, joint ventures and joint arrangements*.

2.5 Significant influence

If control does not exist, an investor may have the power to participate in an investee's financial and operating policy decisions. This does not include the power to govern or control those policies jointly but rather to significantly influence the decisions of the financial and operating policy. Significant influence is presumed to exist if an investor holds, directly or indirectly, 20% or more of the voting power of the investee (generally referred to as an 'associate') unless it can be clearly demonstrated that this is not the case. The accounting treatment of investments in associates is discussed in [Chapter 28](#), *Accounting for associates, joint ventures and joint arrangements*.

3 Specific issues relating to business combinations

The objective of IFRS 3, *Business Combinations*, is to specify the financial reporting by an entity when it undertakes a business combination, where the acquirer has obtained a controlling interest in the acquiree. IFRS 3 specifies that all business combinations should be accounted for by applying the **acquisition method**. IFRS 3 establishes very important principles for how the acquirer recognises and measures a business combination. Each identifiable asset and liability must be measured at fair value at its acquisition date.

3.1 The acquisition method

The acquisition method involves measuring the cost of the business acquired and allocating it to the fair values of the net assets of the purchased entity at the date of acquisition. Any difference is recognised as goodwill. The acquisition method results in the acquisition of an entity being accounted for on a similar basis to the purchase of other assets, where the acquirer purchases the net assets in the acquiree and recognises the assets acquired (and liabilities and contingent liabilities assumed) **at fair value**.

When applying the acquisition method, follow these six steps:

1. Identify the acquirer.
2. Determine the acquisition date.
3. Identify, recognise and measure the identifiable assets acquired and the liabilities assumed.
4. Identify, recognise and measure any non-controlling interest in the acquiree.
5. Measure the cost of acquisition.
6. Recognise and measure any goodwill or gain from a bargain purchase.

These steps are discussed in more detail below.

Section 19, *Business Combinations and Goodwill*, refers to the purchase method and requires accountants to follow these three steps:

- Identify the acquirer.
- Measure the cost of the business combination.
- At the acquisition date, allocate the cost of the business combination to the assets acquired as well as the liabilities and provisions for contingent liabilities assumed.

3.1.1 The acquirer

The acquirer is the entity that obtains control of the acquiree, as illustrated in [Figure 25.2](#). The acquiree is the business or entity of which the acquirer obtains control in a business combination.

Figure 25.2 The relationship between the acquirer and the acquiree

For each transaction or event that is a business combination, one of the combining entities must be identified as the acquirer. The acquirer is the entity that **obtains control** of the other combining entities or businesses. Where an entity has acquired more than half of that entity's voting rights, control is presumed unless it can be demonstrated that such ownership does not constitute control.

Examples of indicators to assist in identifying the acquirer

The acquirer is normally the entity:

- With the greater fair value
- Giving up cash or other assets in exchange for shares
- Whose management is able to dominate the selection of the management team of the combined entity.

(Refer to Appendix B of IFRS 3 and Section 19.10 of the *IFRS for SMEs* Accounting Standard.)

3.1.2 The acquisition date

An acquirer should consider all pertinent facts and circumstances when determining the acquisition date. IFRS 3 indicates that the acquisition date is the **date on which the acquirer obtains control of the acquiree**. This is the date from when the acquirer has the power to govern the financial and operating policies of the acquiree so as to obtain benefits from its activities. In fact, there are three dates that are relevant to a business combination:

- The **agreement date** is the date on which a substantive agreement between the combining parties is reached and, in the case of a public entity, announced to the public.
- The **acquisition date** is the date on which the acquirer effectively obtains control of the acquiree.
- The **date that control is lost** is the date on which the controlling interest in a subsidiary is sold to a third party.

In a business combination effected by a sale and purchase agreement, the acquisition date is generally the specified closing or completion date (the date when the consideration is transferred and acquiree shares or underlying net assets are acquired). On the acquisition date, control of the net assets and operations of the subsidiary is effectively transferred to the parent (in other words, it is the date on which the risks and rewards of ownership are transferred).

As with all other purchase and sale transactions, the **transaction is recognised on the acquisition date**. Where there are conditions that have to be satisfied before ownership can be transferred (for example, approval from the Competitions Commission), control is not transferred until those conditions have been satisfied.

The acquisition date is also the date on which the net assets used to determine the purchase consideration are measured. The purchase of a subsidiary may take place over a number of weeks or months, and so problems may arise in determining which date should be treated as the acquisition date. The subsidiary's results should be included in the group financial statements from the acquisition date. This implies that if the subsidiary entity is acquired two months before the financial year end, the statement of profit or loss and other comprehensive income should include the profits of the subsidiary for the last two months, and the group statement of financial position should include all the assets and liabilities of the subsidiary at the reporting date.

Pre-acquisition reserves (those earned prior to the acquisition date) form part of the net assets purchased by the parent. Post-acquisition reserves should be recognised in the group financial statements.

The **date of loss of control** of a subsidiary is the third important date. Loss of control could happen as a result of the disposal of the subsidiary or a portion thereof. The difference between the proceeds received from the disposal of a subsidiary and its carrying amount at the date of disposal should be recognised as a gain or loss on the disposal of a subsidiary in profit or loss.

If a subsidiary becomes an associate after the disposal, it should be equity-accounted in the group financial statements of the investor from the date of loss of control. Alternatively, where the acquirer retains no significant influence but still retains an interest, the investment in the entity should be accounted for in accordance with IFRS 9 from the date on which it ceases to be a subsidiary (see [Chapter 14, Financial instruments](#)). In both cases, the remaining investment should be measured at fair value at the date on which control is lost.

3.1.3 The fair value of assets acquired and liabilities assumed

IFRS 3 requires the acquirer to **recognise the identifiable assets acquired, the liabilities assumed and any non-controlling interest in the acquiree** separately from goodwill at the acquisition date. The identifiable assets acquired and liabilities assumed should be measured at their **fair values at the acquisition date**. As IFRS 3 does not provide detailed guidance on the valuation of fair value, you should follow the guidelines provided in IFRS 13, *Fair value measurement* (refer to [Chapter 4](#)).

**Key principle:
Allocating the cost of a business combination**

The allocation of cost, including the measurement of fair values, occurs at the acquisition date. The allocation requires the recognition of the following:

- Identifiable tangible assets
- Identifiable intangible assets
- Liabilities
- Contingent liabilities.

These assets and liabilities should be measured at their fair values. Thus the fair value of the assets and liabilities at the acquisition date becomes the cost to the group of those assets and liabilities.

Fair value is basically market value. However, the process of determining fair value necessarily involves judgement and estimation. The acquiring entity is not actually trading the items in the marketplace for cash, but is trying to estimate what the exchange price would be if it did so. You should determine the **fair value** of individual items acquired by focusing on their place and condition at the acquisition date, and assess the amounts for which they could be exchanged between willing buyers and sellers, given those characteristics.

In order for an asset to be **identifiable**, it must be separable. This implies that the asset should be capable of being separated or divided from the entity and sold, transferred, licensed, rented or exchanged, either individually or together with a related contract, regardless of whether the entity intends to do so. Some examples of separately identifiable assets of this nature are land and buildings, plant and equipment, trademarks, licences and inventory.

The following recognition principles should be applied:

- The identifiable assets acquired and the liabilities assumed should be recognised separately from goodwill.
- In order to be recognised, the identifiable assets acquired and the liabilities assumed must meet the definitions of assets and liabilities in the *Conceptual Framework*.
- In order to be recognised, the identifiable assets acquired and the liabilities assumed must be part of what the acquirer and the acquiree exchange in the business combination transaction (in other words, they may not be the result of separate transactions).
- The acquirer's application of the recognition principle and conditions may result in some assets and liabilities that the acquiree had previously not recognised as assets and liabilities in its pre-acquisition financial statements (for example, certain intangible assets such as brand names).

The assets and liabilities acquired at the acquisition date are those assets and liabilities held by an acquiree that can be separately identified and reliably measured at fair value, and where it is probable that any associated future economic benefits will flow to (in the case of assets) or flow from (in the case of liabilities) the acquiree. The fair value of the assets and liabilities at the acquisition date becomes the cost to the acquirer of those assets and liabilities.

Where the acquirer considers that the fair value of an asset or a liability does not equal its carrying amount in the records of an acquiree at the acquisition date, it should adjust the carrying amount to its fair value in determining the value of the net assets acquired. Any deferred tax implications relating to such adjustments should also be recognised.

Example of identifying and measuring a tangible asset in a business combination

An entity (Entity A) acquires a controlling interest in another entity (Entity B) on 1 January 20x5. Entity B's assets and liabilities are identified and measured at fair value as part of the due diligence performed for this business combination. One of the assets held by Entity B is a machine with a carrying amount of CU90 000 (cost of CU100 000). The fair value of the machine amounts to CU150 000.

Entity	Amount recognised	Reason
Acquiree	CU90 000	The acquiree recognises the machine at its carrying amount of CU90 000 (cost of CU100 000 less accumulated depreciation of CU10 000).
Acquirer	CU150 000	The fair value of the machine at the acquisition date becomes the purchase price for the business combination, as the cost to the acquirer of the machine is the cost when the acquirer acquired control of the machine.

Note that the acquirer measures the machine at its fair value at the acquisition date. Thus the fair value of the machine becomes the cost of the machine to the group. The machine's original cost and accumulated depreciation is irrelevant to the acquirer.

Example of identifying the assets and liabilities acquired at the acquisition date

P Ltd acquired all the assets and liabilities of S Ltd on 1 January 20x1 for CU180 000. The statement of financial position of S Ltd that follows was presented at the acquisition date.

Statement of financial position of S Ltd on 1 January 20x1



P Ltd considered the fair value of the assets and liabilities of S Ltd to be equal to their carrying amounts in the statement of financial position of S Ltd at that date, except for the fair value of the property, plant and equipment of S Ltd, which was estimated at

CU100 000. This implies that the cost price of the property, plant and equipment for P Ltd amounts to CU100 000 and not the CU70 000 at which it is recognised in the statement of financial position of the acquiree. The carrying amount of all the other assets and liabilities of the acquiree is assumed to be equal to their fair value, and the only fair value adjustment required is for property, plant and equipment.

By acquiring all the net assets of S Ltd at the acquisition date, P Ltd actually acquired control of the net assets listed below.

Net assets of S Ltd acquired at acquisition date



The assets and liabilities acquired by P Ltd will be recognised at their fair values as listed above. P Ltd will record the acquisition of the assets and liabilities of S Ltd on 1 January 20x1 in its general ledger as follows:

			CU	CU
Dr		Property, plant and equipment	100 000	
Dr		Inventory	60 000	
Dr		Accounts receivable	40 000	
	Cr	Accounts payable		20 000
	Cr	Bank		180 000

Exceptions to the recognition and measurement principles

As mentioned above, IFRS 3 establishes the following principles in relation to the recognition and measurement of items arising in a business combination:

- **Recognition principle:** Identifiable assets acquired, liabilities assumed and non-controlling interests in the acquiree are recognised separately from goodwill. (See IFRS 3, paragraph 10.)
- **Measurement principle:** All assets acquired and liabilities assumed in a business combination are measured at acquisition-date fair value. (See IFRS 3, paragraph 18.)

Exceptions to the recognition and measurement principles are discussed below.

Recognition and measurement of intangible assets

The acquiree may not recognise an intangible asset when it is internally generated and cannot be measured reliably. Examples of internally generated intangible assets that an entity normally would not recognise include research costs and internally generated customer lists.

However, where an intangible asset in the acquiree is separately identifiable or arises from other contractual rights, it should be separately recognised and measured in the business combination at the acquisition date (see IFRS 3, paragraph B31). An acquired intangible asset is identifiable if it meets either of the following criteria:

- Contractual-legal: Arising from contractual or legal rights, regardless of whether those rights are transferable or separable from the entity or other rights and obligations.
- Separable: Can be separated or divided from the acquiree and sold, transferred, licensed, rented or exchanged individually or with a related contract, identifiable asset or liability.

Potential intangible assets arising from contractual or legal rights, such as trademarks and licences, may be detected based on analysis of applicable contracts or agreements. Other sources may include due diligence reports and industry practice.

Acquired intangible assets must be recognised and measured at fair value in accordance with the principles, irrespective of whether the acquiree had recognised the asset prior to the business combination occurring. For example, these intangible assets are recognised separately at the acquisition date:

- In-process research is recognised as an intangible asset at fair value.
- Other internally generated intangible assets, such as brand names and customer lists, are measured at their acquisition date fair values.

The fair value of an intangible asset at initial recognition is its acquisition-date fair value. This fair value reflects market expectations about the probability that the future economic benefits embodied in the asset will flow to the entity.

Intangible assets should be recognised separately from goodwill if sufficient information exists to measure the fair value of the asset reliably and they are separately identifiable (for example, a trademark or a patent). (Refer to the requirements in IAS 38 and [Chapter 12](#), *Intangible assets*.)

Recognition and measurement of assets with uncertain cash flows

You should consider the effect of uncertain cash flows associated with assets and liabilities acquired in a business combination, for example, where trade receivables (debtors) are deemed uncollectable at the acquisition date. The acquirer should recognise the trade receivables at their acquisition-date fair value. The related allowance for expected credit losses is not recognised.

The following recognition and measurement exceptions to the above principles apply. In applying the principles, an acquirer classifies and designates assets acquired and liabilities assumed on the basis of the contractual terms, economic conditions, operating and accounting policies and other pertinent conditions existing at the acquisition date. Some of these exceptions are discussed in more detail below.

Recognition and measurement of contingent liabilities

You learnt in [Chapter 16](#), *Provisions, contingent liabilities and contingent assets*, that a contingent liability is defined as a **possible obligation** that arises from past events and whose existence will only be confirmed by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity. Alternatively, a contingent liability can be a **present obligation** that arises from past events but is not recognised because it is either not probable that future economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

However, a contingent liability assumed in a business combination must be recognised by the acquirer at the acquisition date if both of the following conditions exist:

- It is a present obligation that arises from past events.
- Its fair value can be measured reliably.

This implies that an acquirer should recognise a contingent liability even if it is not probable that an outflow of economic benefits will be required to settle the obligation.

Example of recognition of a contingent liability assumed in a business combination

An interest was acquired in a business combination where a contingent liability resulting from a court case existed in the acquiree (Entity X). The lawyers considered it only a remote possibility that the claim would succeed. The acquiree, therefore, did not recognise the contingent liability in its separate financial statements, as the possibility of the outflow of economic benefits was remote (that is, not probable). The contingent liability's fair value (considering the probability of payment) was estimated at CU500 000 at the acquisition date.

The acquirer would have to consider this contingent liability when considering the fair value of the identifiable net assets at the acquisition date. In accounting for the business combination, the acquirer would recognise a contingent liability of CU500 000 in the combined entity at the acquisition date.

Indemnification assets

Indemnification is when an asset or liability exposes the acquirer to risk (the indemnified item) and the seller has indemnified the acquirer against losses (the indemnified asset). Usually, the acquirer protects itself from uncertain and unknown outcomes of pending or potential matters that exist in the acquiree at the acquisition date, for example, the contingent liability example above. The seller promises to reimburse the acquirer for claims and litigation of the amounts to be paid because such claims relate to pre-acquisition events. In such cases, the seller indemnifies the acquirer of any outcome relating to a contingency that relates to another asset or liability, so the acquirer has an **indemnification asset**. As this is not an asset in the acquiree, it is **not recognised** as part of the at-acquisition net assets of the acquiree. It results from an agreement between the acquirer and the seller. The indemnification asset is recognised in the separate financial statements of the acquirer. Such an asset should be measured (both on initial recognition and subsequent measurement) on the same basis as the indemnified item (for example, a contingency) with consideration given to credit risk (see IFRS 3, paragraphs 27–28). In practice, such assets are valued at the same amount as the related liability, subject to any contractual limits for indemnification.

Thus, where the acquirer recognises a contingent liability, and the seller indemnifies the acquirer from losses that could result post-acquisition if the contingent liability is settled, you should identify the indemnified item and recognise and measure the item at the acquisition date in accordance with IFRS 3. Then, at the acquisition date and subsequently, the indemnification asset is recognised (and then adjusted and derecognised) based on the collectability of the asset, and until such time as it collects the asset, sells it or loses the right to it (see IFRS 3, paragraph 57).

Example of a contingent liability with an indemnification agreement from the seller

This example follows from the example above. In the same scenario, the sellers (in other words, the shareholders from whom Entity A acquired the shares in Entity X) indicated that they would refund 50% of any compensation payable by Entity X relating to the legal case.

The fair value of the compensation receivable was determined to be 50% of the fair value of the contingent liability.

The refund expected to be received from the sellers is an indemnification asset. The compensation receivable (50% of CU500 000 = CU250 000) is recognised as an asset in the separate financial statements of the acquirer. The acquirer recognises the indemnified asset while recognising the indemnified item (in other words, the provision).

A business combination may also affect the pre-acquisition deferred tax of the acquiring entity, for example, when new tax planning opportunities emerge. In this case, the impact of such deferred tax is not recognised as a part of business combination accounting, as it usually impacts profit or loss for the current period (refer to IAS 12, paragraph 67). This approach is followed even if tax effects were taken into account during business combination negotiations (see IFRS 3, paragraph BC286).

Income taxes:

Deferred tax resulting from temporary differences and unused tax losses is accounted for according to IAS 12, *Income Taxes* and not at fair value. Deferred tax is recognised for assets and liabilities recognised at the business combination acquisition date, including for fair value adjustments. Thus, at acquisition, fair value adjustments of other assets and liabilities result in deferred tax recognised at the acquisition date.

Where the acquiree has unrecognised unused tax losses carried forward, these can be recognised as deferred tax assets as a part of business combination accounting. It is always a good idea to reassess the deferred tax assets of the acquiree, as membership in the new group might bring a different perspective in terms of tax planning opportunities. Thus, at the acquisition date you must consider whether a deferred tax asset is recognised, resulting from assessed losses, even if the acquiree has not recognised such a deferred tax in its separate accounts.

Example of an acquiree with an assessed loss

Entity A acquired a controlling interest in Entity X on 1 March 20x8. Entity X had an assessed loss of CU720 000 at that date, did not foresee any future taxable profits and correctly did not recognise a related deferred tax asset. Entity X had no other deferred tax liabilities on 1 March 20x8.

At the acquisition date, due to the business combination, synergies arose between Entity A and Entity X, resulting in future taxable profits being probable in the near future. The deferred tax asset is therefore recognised at the acquisition date of the business combination.

Entity X returned to profitability in the financial year ending 31 December 20x8 and utilised the assessed loss against taxable income in the financial years ending 31 December 20x8.

Therefore the total deferred tax asset relating to the assessed loss should be recognised in the group financial statements at the date of acquisition, amounting to CU194 400 (CU720 000 x 27%).

Leases:

At acquisition, recognition and measurement exceptions apply for leases. In many business combinations, the acquiree is a party to an operating lease agreement either as lessee or lessor (refer to [Chapter 17, Leases](#)). Where the acquiree is a **lessor**:

- The classification of the lease as an operating lease or a finance lease is in accordance with IFRS 16 rather than circumstances at the acquisition date (see IFRS 3, paragraph 17).
- For an operating lease, the acquisition-date fair value of the asset that is leased takes into account the terms of the lease (see IFRS 3, paragraph B42).

Where the acquiree is a **lessee**:

- Right-of-use assets and lease liabilities for leases are recognised at the present value of the remaining lease payments as if the acquired lease were a new lease at the acquisition date. The acquirer measures the right-of-use asset at the same amount as the lease liability, adjusted to reflect favourable or unfavourable terms of the lease when compared with market terms (see IFRS 3, paragraph 28A).
- At the acquisition date, the acquirer recognises right-of-use assets and lease liabilities in terms of IFRS 16, except for:
 - Leases where the lease term ends within 12 months of the acquisition date
 - Leases for which the underlying asset is a low-value asset.

Thus the lease liability is measured at the present value of the lease payments as defined in IFRS 16 as if the lease were a new lease at the acquisition date. The right-of-use asset is measured at the same amount, adjusted to reflect favourable or unfavourable terms of the lease compared to market terms. This means that you are required to re-calculate the lease liability at the acquisition date, which may result in an adjustment to the right-of-use asset at the acquisition date.

Example of an acquiree that is a lessee that has recognised a right-to-use asset and a lease liability

As part of the business combination, Entity A acquires a business (Entity X) that is renting retail space from a third party (in other words, Entity X is the lessee). Under the lease, Entity X pays CU150 000 per annum for the lease term of ten years. At the acquisition date there were seven years remaining on the lease contract. Entity X has correctly recorded this lease in its accounts, and recognised the following carrying amounts at the acquisition date:

- Right of use asset: CU388 000
- Lease liability: CU420 000.

Entity X has never missed a lease payment. Depreciation was correctly accounted for by Entity X. The market-related lease payment was CU200 000, and the market-related interest rate was 11.5%.

The lease liability is determined as if this is a new lease, using market-related terms at the acquisition date. (Refer to [Chapter 17](#), Section 3.2, for a discussion of the measurement of the right-of-use asset and lease liability in accordance with IFRS 16, to follow the calculation below.)

The present value (PV) of the lease liability based on market-related terms is calculated as follows:

$(n = 7; i = 11.5\%; FV = 0; PMT = CU50\,000 \text{ favourable portion } [CU200\,000 - CU150\,000])$

- PV of favourable portion = CU231 851.75
- Thus lease liability = **CU651 851** (CU420 000 + CU231 871 [favourable portion])
- Thus fair value of right-of-use asset = **CU651 851**
- **Fair value adjustment** of right-of-use asset at acquisition date: **CU263 851**
(CU651 851 – CU388 000)

Adjustments at acquisition date: Right-of-use asset understated by CU263 851.

Adjustments in since acquisition period: Additional depreciation of right-of-use asset over the remaining period of lease of seven years.

The deferred tax relating to these adjustments should also be taken into account.

Non-current assets held for sale

At the acquisition date, non-current assets identified and classified as held for sale (in accordance with IFRS 5), are measured at fair value less costs to sell. In other words, the at-acquisition fair value is determined in accordance with IFRS 5. (Refer to [Chapter 21](#), *Non-current assets held for sale and discontinued operations*.)

Goodwill held as an asset by the acquiree prior to the acquisition date

Where the acquiree has an existing goodwill balance in its books, for example, goodwill arising from a previous business combination, this existing balance is not recognised in the acquisition by the acquirer. Goodwill is not identifiable since it is not separable, nor does it arise from contractual or other legal rights. Thus, such goodwill is not recognised as an intangible asset at the acquisition date, and is rather subsumed into the 'new' goodwill recognised as a result of the business combination.

Deferred tax on fair value adjustments to an asset or liability

A deferred tax asset or liability arising from the acquisition of assets and assumed liabilities in a business combination should be recognised and measured by the acquirer in accordance with IAS 12, *Income Taxes*. It is important to note that the initial recognition exemption in respect of deferred tax does not apply to temporary differences that arose from a business combination. A deferred tax liability or asset is therefore recognised on all

temporary differences. (Refer to Section 5 of [Chapter 18, Income taxes](#), for a more detailed discussion of deferred taxation.)

Finalisation of acquisition-date fair values: 'The measurement period'

It is not always practical to finalise the fair values of the identifiable net assets of the acquiree at the acquisition date. The initial accounting for a business combination requires a determination of the fair values to be used in relation to the assets, liabilities and contingent liabilities acquired as well as of the consideration transferred and the measurement of non-controlling interest. The period in which the initial accounting is finalised is known as the **measurement period**. This period ends on the earlier of the date on which the outstanding information relating to the acquisition is received and 12 months after the acquisition date. Measurement period adjustments are recognised as if the accounting for the business combination had been completed at the acquisition date. Therefore, if the previous reporting date falls between the acquisition date and the end of the measurement period, comparative information for the previous reporting period is restated as applicable. Once the measurement period has elapsed, any change to the accounting for a business combination (and consequently the goodwill arising at acquisition) should only be made if it is considered to be a prior period error and must be accounted for in accordance with IAS 8, *Basis of Preparation of Financial Statements*. (Refer to the discussion in Section 4 below.)

3.1.4 A non-controlling interest in an acquiree

In the earlier discussion, you learnt that a business combination is a transaction where the acquirer has obtained control of another entity or business. A business combination can consist of the acquisition of either the net assets of the business or an interest in the equity of the acquiree. Thus, when a controlling equity interest is acquired, but the acquirer has not acquired all the equity of the subsidiary, the remaining shares are held by other outside shareholders, referred to as the 'non-controlling interest'. The acquisition by an entity of another entity's shares (a controlling interest) gives rise to a parent–subsidiary relationship. The parent can acquire either all the issued shares of the subsidiary (in which case, the subsidiary is referred to as a 'wholly owned subsidiary') or part of the issued shares and control of the subsidiary (referred to as a 'partly held subsidiary'). For example, Entity A acquired 80% of the shares and control of Entity B. Entity A is the acquirer, holding the controlling interest of 80% in Entity B. The non-controlling interest holds the other 20% interest in Entity B.

In the case of a parent–subsidiary relationship, the non-controlling interest is, therefore, that part of the equity of a **subsidiary attributable to equity interests that are not owned, directly or indirectly through subsidiaries, by the parent**. The parent is the controlling shareholder, and the holders of the other shares are called non-controlling shareholders. This is a category of equity of the group that is shown separately from the equity attributable to the equity holders of the parent.

IFRS 3 requires the **non-controlling interest** in an acquiree to be measured at **fair value or at the non-controlling interest's proportionate share of the acquiree's net identifiable assets** at the acquisition date:

- The fair value of the non-controlling interest is measured on the basis of an active market price for the equity shares not held by the acquirer. However, when an active share price is unavailable, the acquirer should measure the fair value of the non-controlling interest using other valuation techniques. If a valuation cannot be done, the non-controlling interest should be measured at the proportionate share of net asset value.
- The non-controlling interest's proportionate share of the acquiree's net identifiable assets is determined based on that portion of equity of the acquiree that the acquirer does not hold.



IFRS for SMEs
Accounting Standard application

Section 19 of the *IFRS for SMEs* Accounting Standard does not allow the non-controlling interest to be measured at fair value. The non-controlling interest is measured at its share in the net assets and liabilities at the acquisition date.

The choice between measuring the non-controlling interest at fair value or at the proportionate share of the net assets is made on an investment-by-investment basis, often influenced by the difficulty in arriving at a fair value. This is not an accounting policy choice. The measurement basis applied to the non-controlling interest results in the measurement of goodwill at the acquisition date, either as the goodwill acquired by the parent or 'full goodwill'. 'Full goodwill' is recognised when the non-controlling interest is measured at fair value at the acquisition date, consisting of goodwill acquired by the parent and goodwill in the non-controlling interest. (Goodwill in a business combination is discussed further in Section 3.1.6 below.)

Example of identifying the non-controlling interest at the acquisition date

Assume that P Ltd acquired an interest in the equity of S Ltd. By P Ltd's acquisition of an 80% interest in the issued share capital of S Ltd, P Ltd obtained control of S Ltd. P Ltd actually acquired control of the net assets listed below.

Net assets of S Ltd at the acquisition date



P Ltd acquired 80% (and control) of the shares of S Ltd. P Ltd controls 100% of the net assets of S Ltd. Still, only 80% of the equity of S Ltd is attributable to the shareholders of P Ltd. The other 20% is attributable to the non-controlling shareholders.

By measuring the interest of the non-controlling shareholders at their proportionate share of the acquiree's net identifiable assets, the interest of the non-controlling shareholders at acquisition is measured at 20% of CU180 000 = CU36 000.

Alternatively, you may measure the interest of the non-controlling shareholders at the acquisition date at fair value. If the non-controlling interest had a fair value of CU40 000, the balance at acquisition could be measured at CU40 000 if that option were selected.

3.1.5 The cost of the acquisition (consideration transferred)

The consideration transferred is the **fair value of the consideration given** for the business acquired, also referred to as the 'cost' of a business combination. The cost is measured as the aggregate of the fair values at the acquisition date of the assets given, liabilities incurred or assumed, and equity instruments issued by the acquirer in exchange for control of the acquiree. The settlement (or consideration paid) to the acquiree could include just one form of consideration, such as cash, but could equally well consist of a combination of forms, such as cash, a loan, shares and non-current assets. Remember, the overarching principle for the consideration transferred is that it is measured **at fair value at the date of acquisition**.

Cost of a business combination = Purchase consideration at the acquisition date,

excluding acquisition (transaction) costs

The consideration can be transferred in several different ways (see IFRS 3, paragraphs 37–40):

- Cash paid
- Deferred payment (in other words, a payment that will only take place in the future, so you should consider the time value of money)
- Transfer of assets (such as machinery and inventory)
- Transfer of the parent's shares (in other words, the equity of the parent)
- Contingent consideration (in other words, a consideration contingent on a future event occurring, for example, the acquiree reaching certain profit targets or the outcome of a court case).

IFRS for SMEs Accounting Standard application

Section 19 in the *IFRS for SMEs* Accounting Standard allows for acquisition costs to be included in the cost of a business combination. This is consistent with the fact that the *IFRS for SMEs* Accounting Standard does not allow for non-controlling interest to be measured at fair value.

The objective is to measure the cost of the business combination to the acquirer. The cost is measured by determining the fair values of the consideration given by the acquirer. The consideration transferred is the fair value of the assets transferred, the liabilities incurred and the equity interest issued at acquisition.

Where a parent acquires an interest in a subsidiary, the cost of an investment in the subsidiary is the cash or cash equivalent paid or the fair value at the acquisition date of any other consideration paid. The principles relating to determining the cost of the investment in an acquiree (subsidiary) are exactly the same as for any other type of asset (see [Chapter 10](#), *Property, plant and equipment*).

Where the settlement is in the form of **cash or other monetary assets**, the fair value is the amount of cash or cash equivalent paid. When settlement is **deferred**, the fair value of the deferred component should be determined by discounting the amounts payable to their present value at the date of the exchange (that is, the amount that the acquirer would have to borrow in order to settle the debt immediately). The discount rate used is, therefore, the entity's incremental borrowing rate.

Where settlement is in the form of **non-monetary assets** (such as property, plant and equipment; investments; and intangible assets such as patents) the cost of acquisition is the aggregate of the fair values of the assets given up.

Where settlement is in the form of **equity instruments** (in other words, when the acquirer issues its own shares as consideration), you will need to determine the fair value of those shares at the date of acquisition, irrespective of when the shares are actually issued. To determine the fair value for listed shares, you can refer to the quoted prices of those shares.

In cases where the entity has **assumed liabilities** in order to settle the acquisition (in other words, it has incurred borrowings to use as consideration), the fair values of these liabilities are measured as the present values of future cash outflows.

Any **acquisition-related costs should be expensed**, meaning they must be recognised in profit or loss in the period in which the costs are incurred for services rendered. The rationale behind expensing these costs immediately is that they do not form part of the fair value exchange between the acquirer and the seller of the business. These costs relate to a separate transaction between the acquirer and the service provider/s. This could have significant implications, as in many instances, the professional fees paid to effect a business combination are significant and have to be recognised in the acquirer's profit or loss. However, where costs are incurred for issuing a debt or equity instrument, those costs are included as part of the cost of the instrument. For example, where the purchase consideration is settled by issuing new shares, any share issue costs are deducted from the equity issued.

Example of recording the consideration for a business combination

P Ltd obtained control of S Ltd by acquiring 80% of the issued share capital of S Ltd on 1 January 20x8. The consideration is settled as follows:

- A cash payment of CU100 000
- Transfer of a machine to the seller (the fair value of the machine is CU50 000, and the carrying amount of the machine was CU40 000 in the records of P Ltd)
- The issue of new Class A shares to the value of CU60 000 by P Ltd to the seller.

P Ltd would record this transaction as follows on 1 January 20x8:

		CU	CU
Dr	Investment in subsidiary	210 000	
	Cr Bank		100 000
	Cr Class A share capital		60 000
	Cr Machine (carrying amount)		40 000
	Cr Gain on transfer of machine (P/L)		10 000

The cost of the investment obviously relates only to the cost of the 80% acquired by P Ltd.

Contingent consideration

Contingent consideration is defined as an obligation of the acquirer to transfer additional assets or equity interests to the acquiree's former owners if specified future events occur or conditions are met. This enables the acquirer and the seller to agree on the terms of the business combination in the face of uncertainties that may affect the value and future performance of the acquired business.

For example, the consideration that the acquirer transfers in order to affect the business combination may be contingent on some event, such as an earn-out clause, where the cost of the investment is linked to future profit or revenue levels. The acquirer measures the contingent consideration at its acquisition-date fair value and includes this as part of the consideration transferred. The contingent consideration is classified as an asset, a liability or equity,

depending on the nature of the payment. Subsequent to the acquisition date, the cost of the acquisition may only be adjusted for changes in the fair value of the contingent consideration that are adjustments relating to the measurement period. Non-measurement period adjustments (such as meeting the earnings target) do not result in changes to the cost of acquisition.

Once the fair value included in the cost of acquisition has been determined, the following principles apply:

- Where the contingent consideration has been classified as equity, no remeasurement occurs and the settlement of the contingent consideration is accounted for within equity.
- Where the contingent consideration is an asset or a liability, it is subsequently measured at fair value with the adjustment recognised in profit or loss (rather than as an adjustment to the cost of acquisition).

3.1.6 Goodwill acquired (and bargain purchases)

An acquirer may pay more than the attributable share of the fair value of an acquiree's identifiable assets and liabilities at the acquisition date. This gives rise to goodwill, which is an asset that has been acquired in a business combination, but that has not been individually identified and separately recognised at the acquisition date.

IFRS 3 requires the acquirer to identify goodwill acquired after having recognised the identifiable assets, the liabilities and any non-controlling interest. **Goodwill** is determined as the **difference between the aggregate of the consideration transferred, any non-controlling interest in the acquisition and the net identifiable assets acquired**. Goodwill is, therefore, the difference between the following two amounts:

- The cost of acquisition (the investment cost of the acquirer) and the non-controlling interest in the acquiree at the date of acquisition
- The fair value of the identifiable assets and liabilities acquired.

Goodwill (asset) = (Cost of business combination + Non-controlling interest's proportionate share of net identifiable assets) – Fair value of net assets assumed

The difference (goodwill) is paid in anticipation of future economic benefits. This is an acquired asset and is accounted for as goodwill.

The goodwill acquired can relate to various intangible assets that have been acquired but have not been recognised on the statement of financial position (for example, a good customer base, loyal employees or market share). The mere fact that a controlling interest is obtained may result in the acquirer being prepared to pay more than just the value of the net assets for an investment. Goodwill is also paid for synergistic benefits (the economies of scale and other benefits arising from combining the entities).

Where the non-controlling interest is measured at its share of the net asset value, the goodwill only relates to the parent entity's investment. **This is referred to as the 'partial goodwill method'**. If the non-controlling interest is measured at fair value, goodwill relating to 100% of the shares is recognised. **This is referred to as the 'full goodwill method'**.

Goodwill acquired at the acquisition date should be recognised at cost less any accumulated impairment losses. This implies that a test must be done every year to ensure that the recoverable value of goodwill is greater than its carrying amount. If it is not, the goodwill must be written down to its recoverable value, and the resulting write-

down (impairment) should be recognised in profit or loss as an expense (see [Chapter 12, Intangible assets](#)). The carrying amount of goodwill at the reporting date should be recognised as a non-current asset. The carrying amount of goodwill is only adjusted subsequent to the acquisition of the acquiree if it is impaired or when it is derecognised as a result of a loss of control.

IFRS for SMEs Accounting Standard application

Section 19 of the *IFRS for SMEs* Accounting Standard stipulates that goodwill is measured as the difference between the acquirer's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities, as well as unrecognised intangible assets, and the cost of the business combination. This section further requires the non-controlling interest to be measured at its share in the net assets and liabilities at the acquisition date.

As the *IFRS for SMEs* Accounting Standard does not allow for the non-controlling interest to be measured at fair value (see above), the measurement of goodwill in accordance with the full goodwill method is not allowed in terms of the *IFRS for SMEs* Accounting Standard.

Example of identifying the goodwill acquired at the acquisition date

P Ltd acquired all the assets and liabilities of S Ltd for CU200 000 on 1 January 20x3. The statement of financial position of S Ltd was presented as follows at the acquisition date:

Statement of financial position of S Ltd on 1 January 20x3

P Ltd considered the fair value of the identifiable assets and liabilities of S Ltd to be equal to its carrying amount in the statement of financial position of S Ltd at that date. This implies that P Ltd agreed with the carrying amounts of the net identifiable assets of CU150 000 (equal to the shareholders' equity in the statement of financial position above). The difference between the cash consideration paid for the business (CU200 000) and the fair value of the net identifiable assets acquired (CU150 000) represents goodwill acquired.

Net assets of S Ltd at the acquisition date

Refer to [Chapter 27](#), *Consolidated financial statements*, for further examples of goodwill recognised at the acquisition date.

Bargain purchases

In the discussion above, the goodwill component was determined as the amount by which the cost of acquisition (the investment cost of the acquirer) and the non-controlling interest in the acquiree exceed the fair value of the identifiable assets and liabilities acquired. In rare cases where the fair value of the identifiable assets and liabilities exceeds the cost of acquisition and the non-controlling interest in the acquiree, the business combination is acquired at a bargain price (in other words, at a discount). This is sometimes referred to as '**negative goodwill**'. For example, the cost of acquisition paid by the acquirer amounts to CU1m (for a 100% interest), while the net assets of the acquiree were determined at a fair value of CU1,2m. The fair value of the identifiable assets and liabilities thus exceeds the cost of acquisition by CU200 000. The acquirer paid less than the net assets' fair value, thereby obtaining a bargain purchase. The acquirer should then recognise the resulting gain in **profit or loss** on the acquisition date. The gain is attributable to the acquirer.

Before you recognise a gain on a bargain purchase price, you should reassess whether all the assets acquired and all the liabilities assumed have been identified and measured correctly. If not, you should first recognise any additional assets or liabilities that have not yet been identified and measured. The objective of the review is to ensure that the measurements used are appropriate to reflect all available information at the acquisition date. Once a bargain purchase is confirmed, the excess is recognised immediately in profit or loss.



ETHICAL DILEMMA

While goodwill is an important aspect of business combinations, ethical dilemmas can arise in relation to its recognition and measurement. During business combinations, entities often highlight potential synergies as a rationale for the transaction. Ethical dilemmas can occur if the projected synergies are exaggerated or misrepresented, creating false expectations among stakeholders. Misrepresenting synergies can result in financial losses for shareholders, damage to the reputation of the merged entity, and legal liabilities.

Overstating goodwill can lead to misleading financial statements, potentially deceiving investors and stakeholders. This practice may be motivated by a desire to inflate the perceived value of the acquiree. There is significant judgement involved in the determination of goodwill compared to other intangible assets. The subsequent treatment of these two asset types differs: goodwill is tested for impairment annually, while other intangible assets may be amortised over a period of time. Therefore, if an intangible asset is recognised, the profit or loss will be negatively affected each year that the asset is amortised. A manager may want to classify an asset as goodwill to avoid this regular decrease in the profits recognised by the entity.

4 Subsequent measurement

The initial accounting for a business combination requires a determination of the fair values to be used in relation to the assets, liabilities and contingent liabilities acquired, as well as a determination of the fair value of the consideration paid. The period in which the initial accounting is finalised is known as the **measurement period**, which ends on the earlier of the date on which the outstanding information relating to the acquisition is received and 12 months after the acquisition date. Once the initial accounting is complete, any changes to the accounting for a

business combination should only be made to correct an error and must be accounted for in accordance with IAS 8, *Basis of Preparation of Financial Statements* (refer to [Chapter 3](#), *Accounting policies, changes in accounting estimates and errors*).

The acquirer should, in general, subsequently measure and account for assets acquired, liabilities assumed or incurred, and equity instruments issued in a business combination in accordance with the other applicable IFRS Accounting Standards for those items, depending on their nature. More specifically, you should refer to IAS 27, *Separate Financial Statements*, for guidance on accounting for changes in a parent's ownership in a subsidiary after control is obtained.

4.1 Subsequent measurement of goodwill

After initial recognition, the acquirer should measure goodwill **at cost less any accumulated impairment losses**. Goodwill is subject to an annual impairment test as detailed in IAS 36, *Impairment of Assets* (refer to [Chapter 15](#)).

IFRS for SMEs Accounting Standard application

Section 19 of the *IFRS for SMEs* Accounting Standard stipulates that goodwill is subsequently measured at cost less accumulated amortisation and accumulated impairment losses.

This implies that the normal amortisation principles of other intangible assets are applicable to goodwill. When an entity is unable to make a reliable estimate of the useful life of goodwill, the life is presumed to be a maximum of ten years.

5 Identifying a business combination: The next step

IFRS 3 should only be applied to transactions that meet the definition of a business combination. The acquisition of an asset (or group of assets) that does not constitute a business or a combination of entities of businesses under common control is excluded from the scope of IFRS 3. Thus, once a business combination transaction has been identified, IFRS 3 requires, with some exceptions, that each identifiable asset and liability be measured at its acquisition-date fair value. The non-controlling interest in an acquiree is measured either at fair value or as the non-controlling interest's proportionate share of the acquiree's identifiable net assets.

Once the acquirer has identified the identifiable assets and liabilities as well as the non-controlling interest in the acquiree, the goodwill is determined. The goodwill is made up of any differences that exist between the aggregate (sum) of the consideration transferred (measured at fair value), the non-controlling interest and the acquisition-date fair values of any previously held equity interest in the acquiree, and the identifiable net assets acquired. You should always keep in mind that IFRS 3 has as one of its main objectives the fair presentation of goodwill or a gain from a bargain purchase arising in a business combination transaction. It is, therefore, essential that the principles of the standard be applied in all relevant transactions.

It is important for you to understand the link between IFRS 3, *Business Combinations*, and the preparation of **consolidated financial statements**, which is the topic of the chapters that follow. IFRS 3 is applicable to all forms of business combination transactions where **control** is obtained over another business, whether this happens through

the direct acquisition of assets and assumption of liabilities of another entity or through investment in the equity of another entity.



Link to the Sustainable Development Goals

Sustainable Development Goal 13 is 'Take urgent action to combat climate change and its impacts' (UN, 2015:14). When businesses combine, management should aim to promote environmentally responsible decision-making throughout the integration process, such as evaluating the group's carbon emissions, waste management, resource consumption and overall sustainability practices. By taking environmental, social and governance (ESG) factors into account throughout the lifecycle of the combination, group entities can enhance long-term value creation, mitigate risks, attract socially responsible investors and align with evolving societal expectations.

6 Disclosure

IFRS 3 requires that the acquirer disclose information that enables users to evaluate the nature and financial effect of business combinations that occurred during the current reporting period or after the reporting date but before the financial statements are authorised for issue. The disclosure requirements for business combinations are extremely comprehensive.

Information that should be disclosed in the reporting period during which a business transaction occurred includes, among other things:

- The name and description of the acquiree
- The acquisition date
- The percentage of voting equity interests acquired
- The primary reasons for the business combination and a description of how the acquirer obtained control of the acquiree
- A qualitative description of the factors that make up the goodwill recognised
- The acquisition-date fair value of the total consideration transferred and the acquisition-date fair value of each major class of consideration, such as cash, or other tangible or intangible assets
- The amount, description and estimate of the range of outcomes for a contingent consideration arrangement and the indemnification of assets
- Amounts recognised as of the acquisition date for each major class of assets acquired and liabilities assumed, including more details for receivables

- Goodwill or bargain purchases (with description and reasons) and the total amount of goodwill that is expected to be deductible for tax purposes
- Where the acquirer holds less than 100% of the equity interests, the amount of the non-controlling interest.

Refer to Appendix B of IFRS 3 for the following:

- A detailed list of information that should be disclosed for each business combination that occurs during the reporting period as well as information to be included when the business combination occurs after the end of the reporting period but before the financial statements are authorised for issue
- A list of the information that must be included in subsequent reporting periods.

Something to watch

Watch the Learn Accounting video *Business Combinations*.

Key points to take from this chapter

- The recognition and measurement of transactions or events that meet the definition of a business combination requires the application of the principles in accordance with IFRS 3, *Business Combinations*.
- A business combination is a transaction in which an acquirer obtains control of one or more businesses.
 - Control is the power to govern an entity's financial and operating policies (or a business) to obtain benefits from its activities.
- The acquisition method involves measuring the cost of the business acquired and allocating it to the fair values of the net assets of the purchased entity at the date of acquisition. Any difference is recognised as goodwill.
- Follow these steps when measuring and recognising a business combination:
 - 1 Identify the acquirer.
 - 2 Determine the acquisition date.

3 Identify, recognise and measure the identifiable assets acquired and the liabilities assumed.

4 Identify, recognise and measure any non-controlling interest in the acquiree.

5 Measure the cost of acquisition.

6 Recognise and measure any goodwill or gain from a bargain purchase.

Discussion questions

1. Discuss what is meant by a business combination in terms of IFRS 3.

2. What is meant by the term 'control'? Give two circumstances where an entity may have control over another entity while holding less than 50% of the voting power of that entity.

3. Discuss how you would identify the acquisition date of a business combination.

4. Discuss how you would determine the cost of acquisition.

5. What is meant by non-controlling interest? How would you measure non-controlling interest at acquisition? How would you recognise non-controlling interest in the group statement of financial position?

6. When can goodwill be recognised as an asset? Discuss how you would identify goodwill at the acquisition date. Discuss the subsequent treatment of goodwill. How would you recognise goodwill in the group financial statements?

7. Explain the effects of a bargain purchase at a group level.

Exercise questions

Question 1

Phanda Ltd is a retailer of luxury cars. On 1 January 20x7, Phanda Ltd acquired 100% of the issued Class A share capital of Sanda Ltd, a major retailer of car spares, for a cash consideration of CU870 000. On 1 January 20x7, the net assets of Sanda Ltd were considered fairly valued, except for a piece of land that Phanda Ltd considered undervalued by CU50 000.

An extract of the statement of financial position of Sanda Ltd on 1 January 20x7 is shown below:

Land is measured on the cost model by all entities within the group.

You are required to do the following:

1. Briefly explain how Phanda Ltd should account for its investment in Sanda Ltd in the Panda Ltd group financial statements.
2. Calculate the goodwill or bargain purchase gain that Phanda Ltd should recognise from the acquisition of the shares in Sanda Ltd on 1 January 20x7.

Question 2

Gordon Ltd paid CU770 000 on 1 July 20x1 when it acquired 75% of the ordinary shares in Seinberg Ltd. The identifiable assets and liabilities of Seinberg Ltd were considered fairly valued and amounted to CU950 000 at the acquisition date. The non-controlling interest was recognised at its fair value of CU240 000 at the acquisition date.

The following information relates to the financial year ended 30 June 20x2:

You are required to do the following:

1. Calculate Gordon Ltd's share of the net assets of Seinberg Ltd at the acquisition date.
2. Calculate the goodwill to be recognised in the group financial statements at the acquisition date.
3. Prepare the journal entries in the general ledger of Gordon Ltd to record the acquisition of the interest in Seinberg Ltd.
4. Prepare the journal entries in the general ledger of Seinberg Ltd to record the acquisition of the interest by Gordon Ltd.
5. Calculate the total assets and liabilities for the group at 30 June 20x2.
6. Calculate the profit for the group for the year ended 30 June 20x2, clearly showing the allocation of the profit after tax between the various equity holders of the group.
7. Calculate the non-controlling interest in the group statement of changes in equity at 30 June 20x2.

References

International Accounting Standards Board (IASB). 2018. *Conceptual Framework for Financial Reporting*. London: IFRS.

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available

https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

26

Separate financial statements

IFRS references

IAS 27: *Separate Financial Statements*

IFRS 10: *Consolidated Financial Statements*

IFRS 3: *Business Combinations*

IFRS 9: *Financial Instruments*

IFRS for SMEs Accounting Standard reference

Section 9: *Consolidated and Separate Financial Statements*

1 Introduction

2 What are separate financial statements?

3 Recognising an investment in the separate financial statements

3.1 [Initial recognition and measurement](#)

3.2 [Subsequent recognition and measurement](#)

3.2.1 [The cost model](#)

3.2.2 [At fair value](#)

3.3 [Dividend income](#)

3.4 [Investments acquired in stages](#)

4 Investment entities

5 Group reorganisations

6 Disclosure requirements in the separate financial statements

Key points to take from this chapter

Discussion questions

Exercise questions

Reference

Learning objectives

By the end of this chapter, you should be able to:

- Explain what separate financial statements are and how they differ from group financial statements.
- Identify when separate financial statements need to be prepared and presented.
- Specify how investments in subsidiaries, joint ventures and associates should be recognised and measured in the parent's or investor's separate financial statements.
- Record dividends received from investments in subsidiaries, joint ventures and associates correctly in the separate financial statements of the parent or the investor.
- Identify the recognition and measurement of a step acquisition in the separate financial statements of the investor or parent.
- Explain what an investment entity is and outline the reporting requirements for investment entities.
- Prepare separate financial statements of the parent or the investor in compliance with the IFRS Accounting Standards.

Concept summary



1 Introduction

The growth of a business entity may take place in various ways. An entity's requirement to grow or expand and acquire new relationships may result in investment decisions to acquire shares in another entity or to acquire part of another entity's business operations (including the assets and liabilities). The transaction or event in which the acquirer obtains control of one or more businesses is generally referred to as a 'business combination', as discussed in [Chapter 25](#), *Business combinations*. This chapter focuses on the **acquisition of shares** in another entity (or entities). More specifically, we will look at the reporting requirements when an **investment** of this nature results in the acquisition of a controlling interest, joint control or significant influence over the financial and operating activities of the acquiree.

The entity investing in another entity is referred to as the 'acquirer' or 'investor'. The investor acquires part or all of the investee's share capital (equity interest). The acquirer initially records the investment in the shares in its own financial statements at cost and receives dividends. The acquirer may recognise the investments at cost or at fair value in the subsequent reporting periods.

IAS 27, *Separate Financial Statements*, applies to an entity that prepares group financial statements if that entity also elects to or is required to present its own set of financial statements, referred to as the 'separate financial statements'. The objective of IAS 27 is to set the standards to be applied in accounting for investments in subsidiaries, joint ventures and associates when an entity elects or is required by local regulations to present separate (non-consolidated) financial statements. These statements should be prepared to include all the assets and liabilities of the investor (as a separate entity).

The preparation of consolidated financial statements is required in accordance with IFRS 10, *Consolidated Financial Statements*, while IAS 27, *Separate Financial Statements* (amended in 2011), outlines the accounting and disclosure requirements for investments and subsidiaries, joint ventures and associates in the separate financial statements that are prepared by the investor (parent entity or an investor in a joint venture or associate). This IFRS Accounting Standard also outlines the accounting requirements for dividends and contains numerous disclosure requirements.

The preparation and presentation of **consolidated financial statements** are covered in [Chapter 27](#).

2 What are separate financial statements?

In order to understand what the term '**separate financial statements**' means, it is important that you first understand what **group financial statements** are. By acquiring equity shares in another entity, an investor obtains a controlling interest, joint control or significant influence in that entity. Each of these forms of investment (or relationship) gives rise to the preparation of **group financial statements**. The term 'group financial statements' is commonly used for all forms of financial statements that present information about a group of entities as that of a single economic entity. In the case of the acquisition of a controlling interest, the investor is required to **consolidate** its interest in the investee entity (subsidiary). When the acquisition of shares results in joint control or significant influence, the investor must use the equity method when recognising these investments while preparing group financial statements. Thus, group financial statements are prepared by the investor or parent and include information about the underlying assets and liabilities controlled by the parent (through its investment in subsidiaries) as well as its share of the equity of joint ventures and associates since the acquisition date. (You will learn more about preparing and presenting group financial statements in: [Chapter 27](#), *Consolidated financial statements*; [Chapter 28](#), *Accounting for associates, joint ventures and joint arrangements*; and [Chapter 29](#), *Foreign operations*.)

**Key principle:
What are separate
financial statements?**

Separate financial statements are single-entity financial statements presented in addition to consolidated financial statements or in addition to financial statements in which investments in associates or joint ventures are accounted for using the equity method.

By comparison, **separate financial statements** are a single set of financial statements of the investor in which the investments are accounted for based on the **direct equity interest** rather than on the reported results and net assets of the investees.

Something to think about

What is the purpose of separate financial statements?

Separate financial statements (also referred to as 'standalone financial statements') report the investor's activities as a separate entity. The main difference between separate financial and consolidated financial statements is that the consolidated form reports all activities of an entity and its subsidiaries as a combined entity. In contrast, separate financial statements report these findings as a separate entity.

How should the investor recognise and report its investments in the equity of another entity in its own financial statements?

In separate financial statements, an investor accounts for investments in subsidiaries, joint ventures and associates either at cost, in accordance with IFRS 9, *Financial Instruments*, or using the equity method as described in IAS 28, *Investments in Associates and Joint Ventures*.

Separate financial statements are prepared and presented by the investor or parent. These financial statements recognise investments in the shares of investees as well as dividend income received from these investments. Financial statements in which the equity method is applied are not separate financial statements. Similarly, the financial statements of an entity that does not have a subsidiary, associate or joint venturer's interest in a joint venture are not separate financial statements.

An entity exempted from preparing and presenting consolidated financial statements according to paragraph 4(a) of IFRS 10, *Consolidated Financial Statements*, or exempted from applying the equity method according to paragraph 17 of IAS 28, *Investments in Associates and Joint Ventures*, may present separate financial statements as its only financial statements.

[Table 26.1](#) illustrates these different relationships and the requirement to prepare separate and group financial statements.

Table 26.1 Identifying the requirements for preparing separate and group financial statements

Separate financial statements are sometimes presented with consolidated financial statements and sometimes as a separate document. Refer to the examples of the group financial statements and separate financial statements in [Chapter 27](#), *Consolidated financial statements*.

Something to think about

Is it necessary for an investor who prepares group financial statements to prepare and present its own financial statements?

This is not a requirement of the IFRS Accounting Standards, but it may be a regulatory or legal requirement in the jurisdiction where the investor is registered. For example, it is a legal requirement in many countries that an entity prepare and present its own financial statements, and if the entity is not privately held, the financial statements must be prepared in compliance with the IFRS Accounting Standards.

3 Recognising an investment in the separate financial statements

An investment is classified as a **financial instrument** in the separate financial statements, even if the investor may have control or significant influence over that investment. Consolidation or equity accounting only occurs in the group financial statements.

When an entity prepares separate financial statements, the investments in subsidiaries, associates and jointly controlled entities are accounted for by being measured according to any one of the following methods (refer to IAS 27, paragraph 10):

- At cost (taking into account any impairment)
- At fair value in accordance with IFRS 9, *Financial Instruments*
- Using the equity method as described in IAS 28, *Investments in Associates and Joint Ventures* (see [Chapter 28](#)).

The entity should apply the same accounting method for each category of investments.

Something to think about

Recognition of an investment

An investment in the shares of another entity is referred to as an investment in an 'equity instrument' (refer to IFRS 9, *Financial Instruments*).

Even though investments in subsidiaries, joint ventures and associates are outside the scope of IFRS 9, the recognition and measurement principles of IFRS 9 apply equally to the recognition and measurement of the investments in subsidiaries, joint ventures and associates in the separate financial statements of the investor, in cases where IAS 27 allows for its application.

3.1 Initial recognition and measurement

The date on which an entity first acquires a controlling interest in a subsidiary is referred to as the 'initial acquisition date'. The investor acquires the shares in the subsidiary from its existing shareholders. At the acquisition date of an investment in a subsidiary, the investor should recognise this investment at cost in its accounting records and in its separate financial statements as follows:

Dr		Investment in subsidiary
	Cr	Bank (in the case of a cash payment)

The **cost** of an investment in a subsidiary is based on the purchase consideration at the acquisition date, in accordance with IFRS 3, *Business Combinations*. The purchase consideration may be in cash payments or the transfer of other monetary or non-monetary assets. Usually, in the case of a cash payment, the amount is readily determinable, as in most exchanges, the fair value of the shares acquired equals the fair value of the consideration transferred. In the case of a **deferred payment**, the fair value is the amount that the entity would have to borrow in order to settle the debt immediately, so you should use the entity's incremental borrowing rate as the discount rate to determine the present value of the amount payable.

When the investor is acquiring an investment in a subsidiary and is settling the purchase consideration with the transfer of a **non-monetary asset** (for example, property, plant and equipment), the investor is effectively selling the non-monetary asset to the existing shareholders of the acquiree. The purchase consideration is thus equal to the fair value of the asset. Where the asset's carrying amount is different from its fair value, a gain or loss on the 'disposal' of the asset is recognised.

Example of the use of a non-monetary asset to acquire an investment in a subsidiary

An entity acquires an investment in S Ltd and settles the debt with the sale (transfer) of a large machine to the seller of the shares. The machine has a cost of CU800 000 and accumulated depreciation amounting to CU200 000 at the acquisition date of the shares, and its fair value amounts to CU1 million.

The investor thus acquires the shares in the subsidiary, S Ltd, at a cost of CU1 million and will record the following transaction:

			CU	CU
--	--	--	----	----

Dr	Investment in subsidiary	1 000 000	
Dr	Accumulated depreciation: Machinery	200 000	
	Cr Machinery (at cost)		800 000
	Cr Gain on disposal of machinery (P/L)		400 000

If an investor **issues its own shares** as consideration for the acquisition of an investment in a subsidiary, you need to determine the fair value of those new shares issued at the acquisition date. In order to do so, you should refer to IFRS 3, paragraph BC342 in the Basis for Conclusions, which stipulates that 'equity instruments issued as consideration in a business combination should be measured at their fair values on the acquisition date'. The acquisition date is the date on which control passes from the acquiree to the acquirer.

Example of issue of own shares to acquire an investment in a subsidiary

An entity acquires an investment in S Ltd and settles the debt with the issue of its own shares to the seller of the shares in S Ltd. The fair value of the new shares issued amounts to CU1 million.

The investor thus acquires the shares in the subsidiary, S Ltd, at a cost of CU1 million and records the following transaction:

			CU	CU
Dr		Investment in subsidiary	1 000 000	
	Cr	Share capital		1 000 000

A further item to consider is the **costs directly attributable to the transaction** (business combination). These costs may include legal and advisory fees, due diligence and valuation fees, and so on. These are acquisition-related costs directly associated with a business combination and are accounted for as an expense (in profit or loss) in the period they were incurred.

However, when shares are acquired (an equity instrument), **transaction costs** that relate directly to the acquisition of the shares, as opposed to the acquisition-related costs listed above, may be incurred. Directly related share transaction costs include brokers' fees, security taxes, and so on. Transaction costs directly attributable to the acquisition of the financial asset (the investment in the shares) are treated in terms of IFRS 9, *Financial Instruments*. This implies that the transaction costs should be included in the cost of the investment, except if the investment is subsequently recognised at fair value through profit or loss, in which case it should be expensed.

Something to think about

When should the costs that are directly attributable to the transaction be included in the cost of an asset?

When you acquire a non-current asset (for example, machinery) directly attributable costs are included in the initial measurement of the asset. This means that the cost of the asset includes directly attributable costs that are incurred to get the asset to its location and condition of usage (see [Chapter 10](#)).

For investments in shares, transaction costs are generally included in the 'at cost' value when these are directly attributable to the acquisition of the shares (in other words, when these costs would not have been incurred if the entity had not acquired the shares). However, there are two exceptions, where the transaction costs are instead expensed in profit or loss at the acquisition date, and these are:

- If the financial asset is measured at fair value through profit or loss (according to IFRS 9)
- If the transaction is a business combination (according to IFRS 3).

3.2 Subsequent recognition and measurement

At each subsequent reporting period, the investment in shares in subsidiaries, joint ventures and associates should be recognised in the separate financial statements of the investor by using the **cost model** or at **fair value**. IAS 27 requires an entity to prepare separate financial statements to account for investments of this nature at cost or in accordance with IFRS 9.

If these investments are subsequently classified as held for sale (or included in a disposal group that is classified as held for sale), they should be accounted for in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* (refer to [Chapter 21](#)). The measurement of investments accounted for in accordance with IFRS 9 is not changed in these circumstances.

3.2.1 The cost model

Under the cost model, a parent records its investment in the subsidiary at cost. Investments carried at cost should be measured at the lower of their carrying amount and fair value less costs to sell. When applying the cost model, the investor only recognises income to the extent that it received distributions from the subsidiary subsequent to the acquisition date.

3.2.2 At fair value

It is acceptable to measure investments in subsidiaries at fair value in the parent's separate financial statements at subsequent reporting dates, as is required for all other investments. Fair value adjustments resulting from the subsequent measurement of investments in subsidiaries at fair value are included in profit or loss or in other comprehensive income (if the entity elects to do so).

Something to think about

Subsequent recognition of an investment in a subsidiary, associate or joint venture at fair value

When investments in subsidiaries, joint ventures and associates are recognised at fair value in the separate financial statements of the parent or investor in subsequent periods, these fair value adjustments should be reversed through the use of pro-forma

journal entries when the group financial statements are prepared. This is necessary to correctly determine the goodwill acquired at the acquisition date (see [Chapter 27, Consolidated financial statements](#)).

If, in accordance with IAS 28, *Investments in Associates and Joint Ventures*, an entity elects to measure its investments in associates or joint ventures at fair value through profit or loss in accordance with IFRS 9, those investments should also be recognised in the same way in its separate financial statements.

The same accounting policy should be applied consistently for each category of investments.

Example of recognising investments in subsidiaries in separate financial statements

P Ltd acquired 10 000 shares (representing an 80% interest and voting rights) in S Ltd on 1 January 20x5 for a cash consideration of CU2 000 000. Ignore tax.

At the acquisition date (1 January 20x5), P Ltd will record the following entry:

			CU	CU
Dr		Investment in S Ltd	2 000 000	
	Cr	Bank		2 000 000

Accounting method: Cost model

P Ltd applies the accounting policy of recognising its investments in subsidiaries at cost in subsequent reporting periods.

Thus, the investment in S Ltd will be recognised at CU2 000 000 in the statement of financial position of P Ltd at 31 December 20x5 and at each subsequent reporting date until it is sold.

Accounting method: Fair value model, through profit or loss

P Ltd accounts for its investments in subsidiaries in accordance with the fair value model in subsequent reporting periods. Fair value adjustments are recognised in profit or loss.

At the subsequent reporting periods, the investment in S Ltd is recognised at fair value, and fair value gains and losses are recognised in profit or loss (P/L). Assume that the fair value of the investment amounted to CU2 500 000 on 31 December 20x5.

On 31 December 20x5, P Ltd will record the following entry:

			CU	CU
Dr		Investment in S Ltd	500 000	
	Cr	Fair value adjustment (P/L)		500 000

Accounting method: Fair value model, through other comprehensive income

P Ltd applies the fair value method as its accounting policy of recognising its investments in subsidiaries in subsequent reporting periods. Fair value adjustments are recognised in other comprehensive income.

At subsequent reporting dates, the investment in S Ltd should be recognised at fair value, and fair value gains and losses should be recognised in other comprehensive income (OCI). Assume that the fair value of the investment amounted to CU2 500 000 on 31 December 20x5.

On 31 December 20x5, P Ltd will record the following entry:

			CU	CU
Dr		Investment in S Ltd	500 000	
	Cr	Fair value adjustment (OCI)		500 000

Refer to [Chapter 14, Financial instruments](#), for further explanations relating to the recognition of fair value adjustments in other comprehensive income.

3.3 Dividend income

Dividends are distributions of profits to holders of equity instruments, which the holder of the equity instruments (in other words, the investor) recognises as dividend income when their right to receive the dividend is established. This means that the investor only recognises the dividend when declared.

The general principle for recognising dividends in the separate financial statements is set out in IAS 27, paragraph 12. When a dividend is received, the amount declared is credited to the profit or loss in its separate financial statements and recognised as dividend income.

The parent records the following journal entry when the subsidiary declares a cash dividend:

Dr		Dividends receivable/bank
	Cr	Dividend income (P/L)

Dividends can be declared as cash dividends or share dividends. Cash dividends are paid, while share dividends are the distribution of additional shares to the existing shareholders in proportion to their shareholding. Shareholders may have the option to choose between receiving cash dividends and share dividends, while in some cases, only cash dividends or only share dividends are declared. Share dividends are a further investment in the entity's equity.

The parent records the following journal entry when the subsidiary declares a share dividend:

Dr		Investment in subsidiary
	Cr	Dividend income (P/L)

IFRIC 17, *Distributions of Non-cash Assets to Owners*, provides further guidance regarding the timing of dividend recognition. According to IFRIC 17, paragraph 10, a dividend is recognised when it is appropriately authorised and

is no longer at the entity's discretion (in other words, when the dividend is approved by the relevant authority, such as shareholders, if such approval is necessary according to the law). IFRS 9 (see paragraph 5.7.1A) adds that it must be probable that the economic benefits associated with the dividend will flow to the entity and that the amount can be measured reliably.

Example of the preparation of separate financial statements

The extracts below, which are from the financial statements of two entities, P Ltd and S Ltd, for the year ended 31 December 20x5, have been presented to you. Note that the investment in the subsidiary, loan to the subsidiary and dividend income are recognised in the separate financial statements of P Ltd as the 'stand-alone' financial statements of the parent.

Statements of the financial position of P Ltd and S Ltd on 31 December 20x5



Statements of financial performance of P Ltd and S Ltd for the year ended 31 December 20x5



P Ltd acquired 100% of the issued ordinary share capital of S Ltd on 1 January 20x5.

1 How would you describe the relationship between P Ltd and S Ltd?

As P Ltd acquired all of the issued ordinary shares in S Ltd, P Ltd acquired the controlling interest in S Ltd. P Ltd is therefore the parent and S Ltd is its subsidiary.

2 Based on your answer above, does P Ltd have to prepare group financial statements?

Yes, as P Ltd has control of S Ltd, P Ltd has to prepare group financial statements.

3 Will P Ltd still have to prepare its own, separate financial statements?

Yes, P Ltd has to prepare separate financial statements in compliance with IAS 27.

4 Prepare the journal entries in P Ltd relating to P Ltd's investment in S Ltd.

Assume that P Ltd paid CU400 for the shares, in cash, on 1 January 20x5.

Dr		Investment in S Ltd	400	
	Cr	Bank		400

Acquisition of 100% of the shares in S Ltd, for cash consideration

Assume P Ltd paid CU350 for the shares in S Ltd on 1 January 20x5 and the fair value of the shares was CU400 on 31 December 20x5.

- On the assumption that the shares are recognised at the fair value of CU400 at the reporting date (as per the statement of financial position) and that fair value adjustments are recognised in profit or loss:

Dr		Investment in S Ltd	350	
	Cr	Bank		350

Acquisition of 100% of the shares in S Ltd, for cash consideration

Dr		Investment in S Ltd	50	
	Cr	Fair value adjustment (P/L)		50

Fair value adjustment relating to investment in subsidiary, recognised in profit or loss

- On the assumption that the shares are recognised at fair value of CU400 at the reporting date (as per the statement of financial position) and that fair value adjustments are recognised in other comprehensive income:

Dr		Investment in S Ltd	350	
	Cr	Bank		350

Acquisition of 100% of the shares in S Ltd, for cash consideration

Dr		Investment in S Ltd	50	
	Cr	Fair value adjustment (OCI)		50

Fair value adjustment relating to investment in subsidiary, recognised in other comprehensive income (OCI)

- 5 Assume that S Ltd declared and paid a dividend of CU50 on 31 December 20x5. Prepare the journal entry in the records of P Ltd and S Ltd respectively.

**Journal entry in the records of P Ltd:
Dividend income received from subsidiary**

Dr		Bank	50	
	Cr	Dividend income (P/L)		50

Dividend income received from subsidiary

Journal entry in the records of S Ltd:

Dr		Dividend declared (Equity)	50	
	Cr	Bank		50

Dividend declared and paid

3.4 Investments acquired in stages

When an entity increases an existing shareholding, for example, from a 15% initial interest to more than a 50% interest (representing a controlling interest), the initial investment was not an associate, joint venture or subsidiary of the entity and, hence, was accounted for in accordance with IFRS 9 at fair value. The increase in the investment results in the acquisition of a controlling interest in a subsidiary. This is referred to as a '**step acquisition**', as the parent had an initial investment, and by acquiring further shares in the same entity, the nature of the investment changed from an investment in a financial instrument to a subsidiary.

As the previously held interest is measured at fair value, the difference between the original cost and fair value immediately before the acquisition of additional interest is recognised when the additional interest is acquired. In this case, the cost of the investment in the subsidiary is determined as the sum of the initial interest at the date of obtaining control of the subsidiary (measured at fair value), plus any consideration paid for the additional interest. The fair value of the initial interest at the acquisition date is deemed to be part of the cost of the investment in the subsidiary. This approach of using the fair value as the deemed cost arises from the view that the entity exchanges its initial interest (plus the consideration paid for the additional interest) for a controlling interest in the investee.

The investor should consider this as two separate transactions:

- **First transaction:** Initial investment in a financial instrument (classified in accordance with IFRS 9), measured at fair value through profit or loss. Then the investment is measured at fair value with each subsequent reporting date. At the date of the step acquisition, the initial investment is measured at fair value (with fair value adjustments in profit or loss).
- **Second transaction:** Additional investment in the same entity, resulting in the acquisition of a subsidiary. The consideration transferred is measured at fair value (in accordance with IFRS 3).

The cost of the investment in the subsidiary is measured at the acquisition date as the sum of the two transactions.

Example of the recognition of an investment acquired in stages

P Ltd acquired 10 000 shares (representing a 10% interest) in S Ltd on 1 January 20x5 for a cash consideration of CU200 000. Note that this investment is not an investment in a subsidiary and is recognised as an investment in a financial asset (shares) in accordance with IFRS 9, at fair value through profit or loss.

P Ltd records the following entry at the acquisition date (1 January 20x5):

			CU	CU
Dr		Financial asset: Investment in S Ltd	200 000	

	Cr	Bank		200 000
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Recording investment in a financial asset at the acquisition date paid in cash

S Ltd declares and pays a dividend of CU10 000 on 30 December 20x5. The fair value of the investment is measured at CU280 000 on 31 December 20x5, the reporting date of P Ltd.

On 30 and 31 December 20x5, P Ltd records the following entries:

			CU	CU
Dr		Bank	10 000	
	Cr	Dividend income (P/L)		10 000

Recording dividend received on 30 December 20x5

			CU	CU
Dr		Financial asset: Investment in S Ltd	80 000	
	Cr	Fair value adjustment (P/L)		80 000

Recording investment at fair value on 31 December 20x5

Acquisition achieved in stages

On 1 July 20x6, P Ltd acquires a further 70 000 shares (70% interest) in S Ltd for CU2 100 000. The purchase consideration was settled as follows:

- Cash payment on 1 July 20x6: CU1 100 000
- Shares issued in P Ltd on 1 July 20x6: CU1 000 000 (representing the fair value of these shares on 1 July 20x6).

The result of the acquisition of the additional 70 000 shares in S Ltd is that P Ltd now has an 80% controlling interest (10% initial interest, plus 70% additional interest) in S Ltd. This is referred to as an 'acquisition in a subsidiary', achieved in stages, as S Ltd is now classified as a subsidiary of P Ltd (see [Chapter 25](#), *Business combinations*, and [Chapter 27](#), *Consolidated financial statements*).

The acquisition date of the subsidiary is 1 July 20x6, which is the date when the parent obtained control of the subsidiary. The fair value of the initial 10% interest in S Ltd is CU300 000 on 1 July 20x6. The cost of the investment in the subsidiary (S Ltd) in the separate financial statements of P Ltd is CU2 400 000, comprising the fair value of the initial investment (CU300 000) plus the consideration transferred for the additional shares (CU2 100 000).

P Ltd records the following entry on 1 July 20x6:

		CU	CU
Dr	Investment in subsidiary: S Ltd	2 400 000	
	Cr Fair value adjustment (P/L)		20 000
	Cr Financial asset: Investment in S Ltd		280 000
	Cr Share capital		1 000 000
	Cr Bank		1 100 000

Recording additional investment in S Ltd, resulting in the acquisition of a subsidiary

On 31 December 20x6 (the following reporting date) P Ltd recognises the investment in its subsidiary S Ltd in accordance with its accounting policy (refer to IAS 27, paragraph 10) – in other words, at a cost of CU2 400 000 – or at its fair value at the reporting date.

IFRS for SMEs
Accounting Standard application

Section 9 of the *IFRS for SMEs* Accounting Standard does not require separate financial statements to be presented. However, the presentation of separate financial statements is not prohibited; they are often presented in addition to consolidated financial statements. The requirements of Section 9 of the *IFRS for SMEs* Accounting Standard for the preparation of separate financial statements are similar to those of IAS 27; however, less disclosure is required.

Furthermore, the *IFRS for SMEs* Accounting Standard requires the election of either the cost model (cost less accumulated amortisation and impairment) or the fair value model (with changes in fair value recognised in profit or loss) to account for its investments in subsidiaries, jointly controlled entities and associates in those financial statements.

If a parent entity itself does not have public accountability, it may present its separate financial statements in accordance with the *IFRS for SMEs* Accounting Standard even if it presents its consolidated financial statements in accordance with the IFRS Accounting Standards.

ETHICAL DILEMMA

Ethical dilemmas can arise when the parent entity fails to comply with accounting standards and regulations in preparing its separate financial statements. This may involve intentionally misapplying accounting principles, omitting required disclosures, disregarding reporting

obligations, potentially misleading stakeholders and undermining the integrity of financial reporting.

By acting ethically and responsibly in financial reporting, the parent entity can maintain the trust of stakeholders and uphold its commitment to integrity.

4 Investment entities

An investment entity is an entity whose business purpose is to make investments for capital appreciation, investment income or both. An investment entity also evaluates the performance of those investments on a fair value basis. The concept of an **investment entity** is included in the amendment to IFRS 10, *Consolidated Financial Statements*, which defines an investment entity as an entity that:

- Obtains funds from one or more investors to provide those investor/s with investment management services
- Commits to a business purpose of investing funds solely for returns from capital appreciation, investment income or both
- Measures and evaluates the performance of substantially all of its investments on a fair value basis.

This implies that when an investor acquires a controlling interest in another entity and its intention is not to control the investee, but rather to benefit solely from the returns of capital appreciation and investment income, that investor meets the description of an investment entity. An investment entity is involved in investment-related activities with the purpose of maximising investment returns from its investees, as opposed to being actively involved in the development, production or marketing of products of the investee entities.

Where an entity meets the definition of an investment entity, it does not consolidate its subsidiaries or apply IFRS 3 when it obtains control of another entity. Instead, an investment entity measures its investments at **fair value through profit or loss**, in accordance with IFRS 9.

However, when a parent ceases to be an investment entity, the entity can account for an investment in a subsidiary at cost (based on the fair value at the date of change of status) or in accordance with IFRS 9 (as mentioned above) in its separate financial statements. When an entity becomes an investment entity, it accounts for an investment in a subsidiary at fair value through profit or loss in accordance with IFRS 9.

Note that an investment entity is still required to consolidate a subsidiary where that subsidiary provides services that relate to the investment entity's investment activities.

When an investment entity that is a parent prepares separate financial statements as its only financial statements, it should disclose that fact. In addition to the presentation and disclosure requirements of IFRS 18, *Presentation and Disclosure in Financial Statements*, the entity should also present the disclosures relating to investment entities required by IFRS 12, *Disclosure of Interests in Other Entities*.

The exemption from consolidation only applies to the investment entity itself. Accordingly, the parent of an investment entity must consolidate all the entities it controls, including those controlled through an investment entity subsidiary, unless the parent itself is an investment entity.

5 Group reorganisations

An existing group can decide to reorganise its structure without any changes in the controlling interest. For example, a parent can reorganise the structure of its group by establishing a new entity as the parent in such a manner that the following criteria have been satisfied (refer to IAS 27, paragraph 13):

- The new parent obtains control of the original parent by issuing equity instruments in exchange for the existing equity instruments of the original parent.
- The assets and liabilities of the new group and the original group are the same immediately before and after the reorganisation.
- The owners of the original parent before the reorganisation have the same absolute and relative interests in the net assets of the original group and the new group immediately before and after the reorganisation.
- The new parent accounts for its investment in the original parent in its separate financial statements in accordance with paragraph 10(a) of IAS 27. The new parent should measure the cost of the investment at the carrying amount of its share of the equity items shown in the separate financial statements of the original parent at the date of the reorganisation.

These requirements apply to the establishment of an intermediate parent within a group as well as the establishment of a new ultimate parent of a group. They also apply to an entity that is not a parent entity and that establishes a parent in a manner that satisfies the above criteria.

These requirements only apply in these circumstances and do not apply to other types of reorganisations or common control transactions.

6 Disclosure requirements in the separate financial statements

When a parent (or an investor with joint control of an investee or significant influence over an investee) prepares separate financial statements, the parent or investor should indicate which IFRS Accounting Standards they have been prepared in relation to (for example: IFRS 10, *Consolidated Financial Statements*; IAS 28, *Investments in Associates and Joint Ventures*; or IFRS 11, *Joint Arrangements*). The entity should apply all applicable IFRS Accounting Standards when preparing and presenting its separate financial statements, including the disclosure and presentation requirements provided in IFRS 18, *Presentation and Disclosure in Financial Statements*.

The parent or investor should also disclose the following in its separate financial statements:

- The fact that the statements are separate financial statements and the reasons why these statements were prepared if not required by law
- A list of significant investments in subsidiaries, jointly controlled entities and associates, including the names, principal place of business (and country of incorporation, if different), the proportion of ownership interest and the proportion of voting rights (if different)
- A description of the method used to account for the investments above.

When a parent elects not to prepare consolidated financial statements and instead prepares separate financial statements in accordance with paragraph 4(a) of IFRS 10, it should disclose the following in those separate financial statements (refer to paragraph 17 of IAS 27):

- The fact that the financial statements are separate financial statements
 - The fact that the exemption from consolidation has been used
- The name and principal place of business (and country of incorporation, if different) of the entity whose consolidated financial statements have been produced for public use, and the address at which those consolidated financial statements are obtainable
- A list of significant investments in subsidiaries, joint ventures and associates, including the following:
 - The names of those investees
 - The principal place of business (and country of incorporation, if different) of those investees
 - The proportion of the ownership interest (and the proportion of the voting rights, if different) held in those investees.
- A description of the method used to account for the investments listed under the previous point.



Link to the Sustainable Development Goals

The separate financial statements can include a discussion of environmental, social and governance (ESG) risks and opportunities that may impact the parent entity's financial performance. This could involve analysing potential risks for the parent associated with environmental regulations, reputational risks stemming from social controversies, or governance risks related to inadequate oversight. Similarly, opportunities arising from ESG factors can be disclosed, many of which would support one of the Sustainable Development Goals. For example, the separate financial statements could disclose the market advantages of its sustainable products, which would help towards achieving Sustainable Development Goal 12, which is 'Ensure sustainable consumption and production patterns' (UN, 2015:14).

By integrating ESG considerations into the separate financial statements, the parent entity provides a more holistic view of its financial performance and demonstrates its commitment to sustainable and responsible practices. This enables stakeholders (including investors, employees, customers and regulators) to make informed decisions based on a comprehensive understanding of the parent entity's financial and ESG performance.

- The term 'separate financial statements' refers to a single set of financial statements of the investor in which the investments are accounted for based on the direct equity interest rather than on the investees' reported results and net assets.
- When an entity prepares separate financial statements (in accordance with IAS 27, *Separate Financial Statements*), investments in subsidiaries, associates and jointly controlled entities are accounted for by being measured according to any of the following methods:
 - At cost (taking into account any impairment)
 - At fair value in accordance with IFRS 9, *Financial Instruments*.
- Using the equity method as described in IAS 28, *Investments in Associates and Joint Ventures*.
 - The entity should apply the same accounting method for each category of investments.
- The *IFRS for SMEs* Accounting Standard requires that the entity elects to use either of the following to account for its investments in subsidiaries, jointly controlled entities and associates in its financial statements:
 - The cost model (cost less accumulated amortisation and impairment)
 - The fair value model (with changes in fair value recognised in profit or loss).
- An investment entity is an entity whose business purpose is to make investments for capital appreciation, investment income or both. An investment entity measures its investments at fair value through profit or loss, in accordance with IFRS 9, *Financial Instruments*.

Discussion questions

1. Explain what you understand by the term 'separate financial statements'.
2. Who is required to prepare separate financial statements?
3. What is the difference between separate financial statements and group financial statements?

Exercise questions

Question 1

P Ltd purchased 100% of the shares of S Ltd on 1 July 20x1 for an amount of CU1 600 000. The net assets of S Ltd were considered to be fairly valued at this date, except for land, which was considered undervalued by CU50 000. Share capital of S Ltd amounted to CU400 000 and retained earnings to CU870 000.

You are required to do the following:

1. Prepare the journal or entries that will be recorded in the accounting records of P Ltd at the acquisition date.
2. Prepare the journal entry or entries in the records of S Ltd. Explain your answer.
3. Discuss whether P Ltd would be able to recognise the land of S Ltd in its separate financial statements, assuming that P Ltd acquired a controlling interest in S Ltd. Motivate your answer.

Question 2

On 1 January 20x5, P Ltd acquired all the issued shares in S Ltd for CU80 000. The purchase was settled in exchange for CU10 000 cash and the issue of 20 000 shares in P Ltd. The fair value of the shares in P Ltd amounted to CU3.50 per share at that date. Transaction costs of CU500 were paid in cash, and share issue costs amounted to CU1 000.

You are required to do the following:

Prepare the journal entries in the records of P Ltd at the acquisition date.

Question 3

P Ltd purchased 70% of S Ltd on 1 July 20x8 for CU170 000. The equity of S Ltd consisted of share capital of CU50 000 and retained earnings of CU190 000. All the assets and liabilities were considered fairly valued except inventory, which was undervalued by CU14 000.

During the financial year ended 30 June 20x9, P Ltd earned profits of CU150 000 and paid dividends of CU60 000, while S Ltd earned profits of CU95 000 and paid dividends of CU15 000. S Ltd sold the entire inventory on hand at 1 July 20x8 during the year ended 30 June 20x9.

P Ltd charged S Ltd a management fee of CU18 000 for the year ended 30 June 20x9. The fair value of the shares in S Ltd amounted to CU200 000 at 30 June 20x9.

You are required to do the following:

Prepare all the journal entries in the records of P Ltd for the year ended 30 June 20x9, relating only to its investment in S Ltd, for each of the following scenarios:

1. Assuming that P Ltd accounts for investments in subsidiaries at fair value through profit or loss in its separate financial statements
2. Assuming that P Ltd accounts for investments in subsidiaries at cost in its separate financial statements.

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available
https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

27

Consolidated financial statements

IFRS reference

IFRS 10: *Consolidated Financial Statements*

IFRS for SMEs Accounting Standard reference

Section 9: *Consolidated and Separate Financial Statements*

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Key points to take from this chapter

Discussion questions

Exercise questions

References

Learning objectives

By the end of this chapter, you should be able to:

- Explain why consolidated financial statements need to be prepared.
- Explain the meaning of control and identify a parent–subsidiary relationship.
- Explain the factors to consider in determining whether an entity has the power to govern the policies of another entity.
- Discuss which entities should prepare consolidated financial statements and when the preparation of consolidated financial statements is not required.
- Prepare consolidated financial statements in accordance with the IFRS Accounting Standards.

Concept summary



1 Introduction

Consolidated financial statements are the financial statements of a group presented as the financial statements of a **single economic entity**. This implies that more than one set of financial statements must be combined, those of the parent and all its subsidiaries, resulting in the recognition of all the assets and liabilities that the group controls.

The International Accounting Standards Board (IASB) issued IFRS 10, *Consolidated Financial Statements*, with the objective ‘to establish principles for the presentation and preparation of consolidated financial statements when an entity controls one or more other entities’ (paragraph 1).

In order to achieve this, IFRS 10 establishes control as the criterion for consolidation. It provides guidance on identifying when one entity controls another by defining and describing the meaning of control, power, voting rights and principal–agent relationships. IFRS 10 requires a parent to present consolidated financial statements.

IAS 27, *Separate Financial Statements*, outlines the accounting and disclosure requirements for the separate financial statements prepared by the parent (see [Chapter 26](#)). This standard also outlines the accounting requirements for dividends and sets out the disclosures required in the separate financial statements of the parent.

Something to do

The preparation of group financial statements is a complex process. It requires applying the principles set out in the *Conceptual Framework* and the principles included in each of the respective IFRS Accounting Standards. The discussions and examples in this chapter provide an overview of the consolidation process, mainly at an introductory level. For more discussions, illustrations and examples regarding group accounting, you should refer to *Financial Accounting: Groups* (2014) by Ilse Lubbe, Goolam Modack, Shelly Herbert and Andrew Hyland, published by Oxford University Press.

IFRS for SMEs Accounting Standard application

Section 9 of the *IFRS for SMEs* Accounting Standard, *Consolidated and Separate Financial Statements*, deals with the preparation of individual and consolidated financial statements for small and medium-sized entities. The process of consolidation for small and medium-sized entities is similar to the process described in IFRS 10. The differences between the IFRS Accounting Standards and the *IFRS for SMEs* Accounting Standard are highlighted in the appropriate sections in this chapter.

Something to think about

Applying the acquisition method

In [Chapter 25](#), *Business combinations*, we discussed business combinations and how to determine the acquirer, the acquisition date, and the fair value of net identifiable assets and goodwill. These concepts apply equally to the consolidation process by a parent of its interest in a subsidiary, which is the subject of this chapter. The date when an entity first becomes a subsidiary is referred to as the ‘acquisition date’. The parent should determine the fair value of the identifiable assets and liabilities of the subsidiary at the acquisition date. Where the sum of the cost of acquisition of the shares in the subsidiary and the non-controlling interest is different from the fair value of the net identifiable assets of the subsidiary, the difference represents goodwill (see [Chapter 25](#), *Business combinations*).

IFRS 18, *Presentation and Disclosure in Financial Statements*, provides guidelines regarding the relevant classification of information in group financial statements. In addition, IFRS 12, *Disclosure of Interests in Other Entities*, applies to an entity that has an interest in subsidiaries, joint arrangements, associates and structure entities.

The key objective of IFRS 12 is to require an entity to disclose information that enables users of its financial information to evaluate the nature of and the risks associated with its interest in other entities as well as the effects of those interests on its financial position, financial performance and cash flow (refer to IFRS 12, paragraph 1). The intention of these extended disclosure requirements is to assist users in making their own assessment of the financial impact were the user to reach a different conclusion from management regarding consolidation. The extended disclosure requirements also increase the ability of users of financial statements to evaluate risks.

This chapter provides an overview of the requirements of IFRS 10, *Consolidated Financial Statements*, the consolidation process and the preparation of basic consolidated financial statements. Consolidation is a complicated process, especially for complex groups and when there are changes in control. (Refer to *Financial Accounting: Groups* by Ilse Lubbe *et al.* (2014) for a more comprehensive discussion of the process of preparing consolidated and group financial statements.)

2 The requirements to produce group or consolidated financial statements

A **group** is described as a parent and all of its subsidiaries (refer to Appendix A of IFRS 10). A process of consolidation is used to recognise all the assets and liabilities controlled by the group (in other words, those of the parent and the subsidiaries) and the group’s share of post-acquisition reserves in the subsidiary.

Apart from the fact that group financial statements supply information about the performance of the group and its net assets that is relevant and useful, it is also a requirement of the IFRS Accounting Standards that investments in subsidiaries be consolidated and that investments in associates and joint ventures be equity accounted. The accounting treatment for investments in associates and joint ventures is covered in [Chapter 28](#), *Investments in associates, joint ventures and joint arrangements*.

2.1 The Conceptual Framework

The objective of financial reporting is to provide decision-useful information. Information is ‘**decision useful**’ if users can base their decisions on that information, which means they must be able to use it to predict the future cash flows of the entity as well as to assess the risks attached to these cash flows. The users will be interested in the results of the group as a whole and not just those of the investor entity.

As the preparer of financial statements, you should ensure that the financial reporting information meets the basic qualitative characteristics as set out in the *Conceptual Framework*. In order for financial information to be decision useful, it must possess the following two fundamental qualitative characteristics:

- Relevance
- Faithful representation.

Information about the financial position and past performance is relevant when it is able to be used as the basis for predicting the future financial position and performance of the entity as well as other matters in which users may be interested, such as future dividends. Faithful representation is attained when the depiction of a transaction and event (how a transaction is recorded and reported) is complete, neutral and free from material error. In addition to these two fundamental qualitative characteristics, the *Conceptual Framework* also identifies four enhancing qualitative characteristics of financial reporting information:

- Comparability
- Verifiability
- Timeliness
- Understandability.

These enhancing characteristics of financial information complement the fundamental characteristics, as they distinguish **more useful** information from **less useful** information.

The definition of an asset in the *Conceptual Framework* includes the phrase ‘controlled by the entity’ (IASB, 2018, paragraph 4.2). If one entity controls another entity, this implies that the first entity is able to control the assets of the second entity. The controlling entity is called a ‘parent’, and the controlled entity is called a ‘subsidiary’.

Consolidation, the most important process used in producing group financial statements, involves recognising all assets and liabilities **controlled by the group**. As the definition of a subsidiary implies, all the assets and liabilities of the subsidiary are under the control of its parent. Group financial statements, therefore, include all assets and liabilities controlled by the group.

2.1.1 Why is it necessary to prepare consolidated financial statements?

It is necessary to prepare consolidated financial statements for the following reasons:

- **Provision of relevant information:** The information presented in the consolidated financial statements is relevant to the owners of the parent entity. Remember that the parent is the investor of the subsidiary and that group financial information is presented to the equity holders of the parent. These investors are interested in the group as a whole, not just the parent entity.
- **Comparable information:** Access to consolidated financial statements makes it easier for an investor, lender or creditor to make useful comparisons between entities. In some cases, different operations or activities are located in a different group entity, and combining all the relevant information into one set of group financial statements enhances its comparability with other entities in the same industry, which may be organising their intra-group activities differently.

- **Accountability:** The management of the parent entity is equally accountable for the use of the resources and activities within the other group entities (for example, subsidiaries). As the parent entity controls the assets of all subsidiaries, the assets under the control of the parent entity's management are the group's assets. The consolidated financial statements report the assets under the control of the group management as well as the group liabilities (claims against those assets).
- **Reporting of risks and benefits:** Consolidated financial statements include details of all assets and liabilities within the group of entities and the risks and benefits associated with these assets. They provide information about the assets and liabilities controlled by the parent instead of the investment in the shares of a subsidiary or investee.

Refer to Part 1 of this textbook for a detailed description of the purpose of financial reporting, the information needs of the users of financial information and the qualitative characteristics of financial reporting information.



Link to the Sustainable Development Goals

The preparation and presentation of consolidated financial statements provide an opportunity for entities to align their reporting with Sustainable Development Goals in a comprehensive manner. While financial statements traditionally focus on economic performance, they can also incorporate information about a group's social and environmental impact. For example, they can disclose information relating to initiatives of group entities that engage with:

- Sustainable Development Goal 2, which is 'End hunger, achieve food security and improved nutrition and promote sustainable agriculture' (UN, 2015:14), by showing how they support access to sufficient, safe and nutritious food.
- Sustainable Development Goal 3, which is 'Ensure healthy lives and promote well-being for all at all ages' (UN, 2015:14), by showing how they promote access to healthcare, disease prevention, and the promotion of mental health and well-being through their employment practices and job creation efforts.

2.2 The reporting entity

Based on the description of a **reporting entity** included in the *Conceptual Framework* (refer to [Chapter 1](#), *The financial reporting environment and frameworks*), we refer to a reporting entity as a separate business operation whose economic activities can be objectively distinguished from other entities, and that needs to provide financial information about its economic activities that has the potential to be useful to investors, lenders and creditors in making decisions about the effective and efficient use of the resources provided to that entity by its owners and lenders.

In more basic terms, this means that each entity is a separate reporting entity or that each sole trader who operates their business activities is a separate reporting entity. If we break this down further, an entity's independent division or branch may also constitute a reporting entity. Furthermore, a group of entities that is controlled by another entity (the parent entity) also constitutes a reporting entity.

This means that a reporting entity is not limited by legal boundaries (for example, the legal form of a company) but rather by how the business operates, the fact that its economic activities can be distinguished objectively from the rest of the entity and that its financial information about those activities has the potential to be useful to investors, lenders and creditors in making decisions about the resources of that business operation.

Consolidated financial statements are a **single set of financial statements** in which the financial statements of the separate individual entities in a group are combined to show the financial position and performance of the group of entities presented as if they were a **single economic entity**. At this stage of your studies, you should know how to prepare general purpose financial statements for a **single entity** in compliance with the IFRS Accounting Standards. The purpose of this chapter is to describe and explain the preparation of **consolidated financial statements**.

2.3 The requirements of the IFRS Accounting Standards

In terms of IFRS 10, *Consolidated Financial Statements*, any parent entity should prepare consolidated financial statements. As a parent is, by definition, an entity with one or more subsidiaries, consolidated financial statements are required for every group with subsidiaries. However, as discussed in Section 4 below, there are certain exemptions where a parent need not prepare consolidated financial statements.

IFRS for SMEs Accounting Standard application

Section 9, *Consolidated and Separate Financial Statements*, stipulates that a parent entity must present consolidated financial statements in which it consolidates its investments in subsidiaries and that consolidated financial statements should include all subsidiaries of the parent (see Sections 9.2 and 9.3).

3 Description of terms

In order to understand the consolidation process, you need to understand certain terms, which are explained below. Most of these terms are included as definitions in paragraph 4 of IFRS 10.

3.1 Control

Control is the power that an investor has over an investee to receive variable returns from its involvement with the investee from its exposure to (or rights to) receive those returns. In order for an entity to be classified as a subsidiary, that entity must be controlled by another entity. The definition of 'control' does not provide any percentage interest as an indication that control exists; it concentrates instead on **what control constitutes**. (It is unlikely, however, that an entity could have a 60% share in another entity and have no control over its operations.)

As a guideline, control exists when an investor has all the following elements:

- Power over the investee
- Exposure (or rights) to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect the amount of the investor's returns.

A parent must not only have **power** over an investee and exposure or rights to variable returns from its involvement with the investee; it must also have the ability to use its power over the investee to affect its returns from its involvement with the investee. Examples of rights that affect who has power are listed in paragraph B15 of IFRS 10 and include the following:

- Voting rights
- Rights to appoint, reassign or remove members of an investee's key management personnel
- Rights to appoint or remove another entity that participates in management decisions
- Rights to direct the investee to enter into or veto any changes to transactions that affect the investee's returns.

These rights allow the holder to direct the relevant activities when decisions about those activities need to be made.

Ownership of ordinary shares normally provides voting rights that enable the **holder of the majority of shares** to direct the appointment of directors or the governing board. Where an investor holds more than half of the voting rights of an investee, the investor has power over the investee (refer to paragraph B35 of IFRS 10), provided that the relevant activities are directed by a vote of the holder of the majority of voting rights or that a majority of the members of the governing body that directs the relevant activities is appointed by a vote of the holder of the majority of the voting rights.

Thus, without other evidence, an investor would be considered to have power over the investee where that investor holds a majority of voting shares in the investee. In cases where less than 50% of the shares are held, you need to examine the potential actions of the holders of the other shares in the investee in order to determine the existence of control. Some factors that you may need to consider include the size of the voting interest, the dispersion of other shareholders, attendance at annual general meetings and the existence of contracts between shareholders (refer to the examples included in Section 3.7).

Control can also be achieved by having options or convertible instruments that are currently exercisable or by having an agent with the ability to direct the activities for the benefit of the controlling entity. The entity should consider currently exercisable options or convertible instruments, which, when added to existing voting rights, will give it more than 50% of the voting rights and, therefore, control. However, determining control based on the evaluation of options, convertible instruments and the involvement of agents can be extremely subjective. Thus, all facts should be considered when establishing control.



ETHICAL DILEMMA

Ethical dilemmas arise when a parent misrepresents or manipulates the determination of control over a subsidiary for financial reporting purposes. This can involve intentionally structuring ownership or governance arrangements to exert control while avoiding consolidation or other reporting obligations. Misrepresenting control can mislead stakeholders and undermine the accuracy and transparency of financial statements. For example, if a subsidiary is making a loss, it may be desirable not to include its results with the group.

When there is a question regarding the degree of control exercised by the investor and where judgement is involved, managers may be tempted to exclude or include a subsidiary to

manipulate the results presented. However, professional judgement should be exercised. The determination of control should be based on the circumstances and not on the desired result in reporting the group results.

3.2 A subsidiary

A subsidiary is **an entity that is controlled by another entity**. (The term ‘control’ is discussed in Section 3.1.) A subsidiary can be any type of business entity, whether it is incorporated in terms of specific legislation, such as an incorporated entity (a company), or it is an unincorporated entity, such as a partnership. (For ease of reference, this chapter refers to a subsidiary as a company.)

3.2.1 A wholly owned subsidiary

A wholly owned subsidiary is one in which **an acquirer owns 100% of the shares**, directly or indirectly, through other subsidiaries. There are, therefore, no non-controlling shareholders.

3.2.2 A partly owned subsidiary

A partly owned subsidiary is one in which the parent and other subsidiaries do not own all the shares. The definition of a subsidiary requires **ownership of sufficient shares to control the decision-making**. In most cases, any shareholding of more than 50% of the voting rights will constitute control, and therefore a subsidiary–parent relationship exists. Any entity that is a subsidiary but is not wholly owned is a partly owned (also known as partially held) subsidiary and will give rise to a non-controlling interest (refer to Section 3.6).

3.2.3 A foreign subsidiary

A foreign subsidiary is a partially or wholly owned company of a larger corporation with headquarters in another country. Foreign subsidiary companies are incorporated under the laws of the country where they are located and registered. (Refer to [Chapter 29](#), *Foreign operations*, for a discussion of foreign subsidiaries.)

3.3 A parent

A parent is **an entity that controls one or more entities**. As in the case of a subsidiary, a parent can be an incorporated entity (such as a company or a close corporation) or an unincorporated entity. For ease of reference, this chapter refers to a parent as a company. A parent entity must produce consolidated financial statements, except under certain circumstances and conditions (discussed in Section 4). In some cases, a parent is also referred to as a **‘holding company’**.

3.4 A group

A group is a **parent and all of its subsidiaries**. In reality, a group also exists when an investor has an investment in a joint venture or an associate.

3.5 Consolidated financial statements

Consolidated financial statements combine the financial statements of all the entities within a group. They consist of a complete set of financial statements in which the assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented as those of a single economic entity and include the statement of financial

position, the statement of profit or loss and other comprehensive income, the statement of cash flows and the statement of changes in equity, as well as all the related notes. The consolidated financial statements are an additional set of financial statements, separate to the financial statements of the parent (refer to [Chapter 26](#), *Separate financial statements*).

**Key principle:
Consolidated financial statements**

Consolidated financial statements are the financial statements of a parent and all its subsidiaries **presented as those of a single economic entity**.

3.5.1 Consolidation

Consolidation is a process of adding together (combining) 100% of the assets, liabilities, revenue and expenses of the parent and all the subsidiaries (including partly owned subsidiaries). The aggregation process is subject to a number of adjustments because of intra-group shareholdings and transactions between entities within the group. The consolidated financial statements should include an adjustment for the non-controlling interest unless all subsidiaries are wholly owned.

Example illustrating a group (a parent and its subsidiaries)

Assume that the voting power in the independent groups shown in [Figure 27.1](#) is proportionate to shareholding.

Figure 27.1 Examples of group structures

Group 1

A controls B and B is, therefore, a subsidiary of A. As A is able to control B, it is also able to control B's investment in C. As B is able to control C, A is able to control both B and C. Therefore, both B and C are subsidiaries of A. Even though A has no direct shareholding in C, it has an indirect shareholding held through a controlled holding. The consolidated financial statements should include the results of A, B and C.

Group 2

A controls B and C. Both B and C are, therefore, subsidiaries of A. The consolidated financial statements should include the results of A, B and C.

3.6 Non-controlling interest

Non-controlling interest is the **equity in a subsidiary not directly or indirectly attributable to the parent**. It is that portion of the subsidiary's profit or loss and net assets that is attributable to equity interests that are not owned, directly or indirectly through subsidiaries, by the parent.

The non-controlling interest (also referred to as the 'outside shareholders' interest') is identified at the acquisition date. It is the portion of the equity of the subsidiary that the parent does not hold. The non-controlling interest is determined at the acquisition date. Also, it includes an interest in the post-acquisition reserves of the subsidiary earned after the date on which it first became a subsidiary. The result is that the total non-controlling interest is the sum of its equity interest (determined based on the fair value of the net assets of the subsidiary at the acquisition date) and its share of the increase in the equity (net assets) since the date of acquisition. The total represents the non-controlling interest in the net assets of the subsidiary at the reporting date.

Total non-controlling shareholders' interest = Non-controlling interest at the acquisition date + Non-controlling interest share of changes in equity of the subsidiary since the acquisition date

IFRS 3, *Business Combinations*, allows a choice in the measurement of non-controlling interest at the acquisition date. The non-controlling interest at the acquisition date is measured at either its fair value at the acquisition date (referred to as the 'full goodwill' method) or at its proportionate share in the identifiable net assets of the subsidiary at that date. This measurement choice is available on a transaction-by-transaction basis. In other words, for some subsidiaries, the non-controlling interest may be measured at its fair value, while for other subsidiaries, it may be measured at its proportionate share of the net assets of the acquiree at the acquisition date. (See Sections 5.5.1 and 5.5.2 below.)

The non-controlling interest at the reporting date represents the equity of the group. Note that the non-controlling interest in the net assets of a subsidiary does not give rise to a present obligation of the group, the settlement of which is expected to result in an outflow of economic benefits from the group. The non-controlling interest is the result of the consolidation process of combining all the assets and liabilities of the subsidiary with those of the parent and identifying the portion of the assets and liabilities of the subsidiary that are not held by the parent. Non-controlling interest arises when the parent does not hold all the shares in a subsidiary that has been consolidated.

Non-controlling shareholders are not shareholders of the parent; they are the **holders of the shares in the subsidiary that are not held by the parent**. Their equity interest in the shares of the subsidiary forms part of the total shareholders' interest of the parent. As a result, non-controlling interest should be disclosed as part of the **equity** of the group but separately from the parent shareholders' equity. Non-controlling interest should be included as a separate column in the statement of changes in equity. This disclosure is based on the fact that a non-controlling interest represents the residual interest in the net assets of those subsidiaries held by some of the shareholders of the subsidiaries within the group. It meets the *Conceptual Framework's* definition of equity, which states that equity is the residual interest in the assets of the entity after deducting all its liabilities.



ETHICAL DILEMMA

Ethical dilemmas can emerge when a controlling entity (parent) disregards the rights and interests of non-controlling (minority) shareholders in determining control over a subsidiary.

Non-controlling shareholders may face challenges in protecting their rights or influencing decision-making processes, potentially leading to unequal treatment or unfair outcomes. The parent should consider the ethical implications of non-controlling shareholder rights and ensure fair treatment and respect for their interests.

Example illustrating non-controlling shareholders

P Ltd acquired 80% of the issued shares in S Ltd. The acquisition of these shares resulted in P Ltd obtaining control of S Ltd.

The shareholding can be illustrated as shown in [Figure 27.2](#).

Figure 27.2 Example of group structure with non-controlling interest



3.7 Level of voting rights and control

Ownership of shares normally provides voting rights that enable the holder of the majority of the shares to direct the appointment of directors or an entity's governing board (refer to Section 3.1). Where the parent owns more than 50% of the shares of another entity and in the absence of other evidence, it is considered that the parent holds more than half of the voting power of an entity. This level of ownership constitutes control, and a parent–subsidiary relationship exists. (Refer to IFRS 10, Appendix B, for further discussion and examples of assessing control, power and other relationships.)

3.7.1 Direct and indirect interest

A direct interest arises when the parent has a direct investment in the subsidiary (in other words, it owns the shares itself). Where a parent has an interest in a subsidiary that, in turn, is an investor in a second subsidiary, the parent has an indirect interest in the second subsidiary. The parent controls the first subsidiary and is able to control its shareholding in the second subsidiary.

Example illustrating direct and indirect control

Assume that the voting power in the independent groups shown in [Figure 27.3](#) is in proportion to shareholding.

Figure 27.3 Example of group structure with direct and indirect control



Group 1

A controls B. B is, therefore, a subsidiary of A. As A is able to control B, it is also able to control B's investment in C. As B is able to control C by virtue of its 60% shareholding, A is able to control both B and C. Therefore, both B and C are subsidiaries of A. A has no direct shareholding in C, but has an indirect shareholding held through a controlled holding. The consolidated financial statements should include the results of A, B and C.

Group 2

A owns 20% of C directly. A controls B. A, therefore, controls B's 40% investment in C. Consequently, A is able to control 60% of C (having a 20% direct interest and a 40% indirect interest through B). C is a subsidiary of A. The consolidated financial statements should include the results of A, B and C.

Group 3

A controls 30% of C directly. A does not control B because it has a shareholding of less than 50%. B's shareholding in C cannot be taken into account, as this is an indirect shareholding, thus B is not a subsidiary of A. Indirect shareholdings can only be considered where held through a subsidiary. B and C should both be equity accounted in A's group financial statements. (Refer to [Chapter 28, Accounting for associates, joint ventures and joint arrangements.](#))

These examples illustrate the definition of a parent and subsidiary given above, as well as the concept of direct and indirect interest. In deciding if an entity is controlled (a subsidiary), it is necessary to take direct holdings and indirect holdings through controlled entities into account. Indirect holdings through jointly controlled investments or associates should be ignored.

3.7.2 Effective versus controlled holdings

In order for a company to be a subsidiary, the investor needs to control **more than half of the votes** of the entity, but this does not necessarily mean that the investor holds more than half of the issued shares or that it would receive more than half of the profits of the subsidiary.

The percentage of profits that would be received is known as the 'effective interest' or the 'economic interest'. Once you have established that control exists, you should determine the parent's effective interest in the profits of a subsidiary by calculating its shareholding as a percentage of the total issued share capital of the entity.

Where an entity owns share warrants or share call options, debt or any other type of equity instrument that is convertible into shares with voting rights and that has the potential, if exercised or converted, to give the investor voting power over the financial and operating policies of the other entity, you should consider the existence and effect of the potential voting rights when assessing whether control exists. In other words, if a shareholder has options that could be converted into shares and the conversion of these options into shares would result in control, then the investment is a subsidiary. This is appropriate, as the investor has the ability to control the entity.

Example illustrating effective interest

A subsidiary issued 100 000 ordinary shares and the parent acquired 80 000 of these shares. The parent, therefore, has an 80% interest in the subsidiary. If the parent acquired 45 000 of the issued shares of the subsidiary, the parent would have a 45% interest in the subsidiary (provided other indications of control exist). Where the parent has an indirect interest in a subsidiary, the parent's share in the profits of that subsidiary is determined based on its interest in its own subsidiary, as illustrated in [Figure 27.4](#) below.

Figure 27.4 Example of group structure with an indirect interest

Effective interest

A owns 60 000 shares in B (which represents a 60% interest and voting power) and B owns 60 000 shares in C (a 60% interest and voting power). From the discussion above, you should now be able to identify both B and C as subsidiaries of A, as A's subsidiary B controls more than half of the votes in C. Thus, 60% of C's profits would be attributable to B and 60% of B's profits would be attributable to A.

A would therefore receive 36% ($60\% \times 60\%$) of C's profits. In other words, A has an **effective interest of 36%** in C.

What is the non-controlling interest?

Remember that we determine the non-controlling interest from A's perspective, as the parent preparing consolidated financial statements.

The non-controlling interest in B is 40% (these are the shares not held by the parent). Similarly, the non-controlling interest in C (from B's perspective) is also 40%. However, the non-controlling interest in C from A's perspective is 64% ($100\% - 36\%$): that is, those shares not held by A. The **total non-controlling interest** in the group when A prepares consolidated financial statements is 40% of B Ltd as well as 40% of the interest that B has in C. From A's perspective, the non-controlling interest in C is 64% ($40\% + [40\% \times 60\%]$).

3.7.3 Golden shares

A **golden share** is a single share that enables the holder to exercise sufficient votes to control the entity. Golden shares effectively allow an entity, usually a government, to outvote any other shareholders. For example, the South African government used to own a golden share in Telkom. However, the rights attached to the golden share lapsed in 2011.

In May 2003, the European Union outlawed the use of golden shares, as they are inequitable.

Something to watch

Watch the Learn Accounting video *Group Accounting – Introduction*

4 When consolidated financial statements are not required

The process of consolidation requires a great deal of effort and time. In some cases, the consolidated financial statements have limited use, and users can find sufficient information in either the parent's or the subsidiary's separate financial statements, especially where the user can access additional information about the operations of the subsidiaries. For example, where a parent is also a wholly owned subsidiary of another entity, that entity has access to all the information related to the parent and its subsidiaries, as the entity will include the results of the parent and all its subsidiaries in its own consolidated financial statements. It is senseless to prepare consolidated financial statements where the parent has only one shareholder, which will also prepare consolidated financial statements.

In terms of paragraph 4(a) of IFRS 10, a parent need not present **consolidated financial statements** if (and only if) all the following criteria are met:

- The parent is itself a wholly owned subsidiary of another entity, or the owners of the non-controlling interests agree unanimously that the parent need not present consolidated financial statements.
- The parent's securities are not traded publicly.
- The parent is not in the process of issuing securities in the public securities markets.
- The immediate or ultimate parent publishes consolidated financial statements so that the parent under discussion need not present consolidated financial statements.

Example of determining whether consolidated financial statements are required

Assume that the voting power in the independent groups shown in [Figure 27.5](#) is in proportion to shareholding.

Figure 27.5 Illustration of group structure



Is B Ltd also required to prepare consolidated financial statements?

No, B Ltd does not have to prepare consolidated financial statements. Why not?

- B Ltd is itself a wholly owned subsidiary (of A Ltd).
- A Ltd (its parent company) produces consolidated financial statements.

Would this still be valid if A Ltd had an 80% interest in B Ltd?

Yes, B Ltd would still not have to prepare consolidated financial statements, provided that the 20% non-controlling interest in B Ltd has been informed about it. As it is

sometimes not practical to receive a positive response from all non-controlling shareholders for this exemption, it is acceptable to assume exemption when none of the non-controlling shareholders objects to consolidated financial statements not being presented.

Would this still be valid if B Ltd issued debt instruments to the public?

No, B Ltd would need to prepare consolidated financial statements if B had issued or intended to issue a debt instrument or if it was trading in a public market, as there are other potential users for a set of consolidated financial statements of B Ltd.

5 The consolidation process

Thus far in this chapter, you have learnt why consolidated financial statements are prepared and who is required to prepare them. The preparation of consolidated financial statements is the result of combining the financial statements of the parent and all its subsidiaries. The process of consolidation results in all the assets and liabilities of the subsidiary that are controlled by the parent being included in the consolidated statement of financial position, thereby reporting the group results as **one single entity**. Where the subsidiary is not wholly owned by the parent, the non-controlling interest in the net assets of the subsidiary should be reflected as another group of shareholders (in other words, as an equity balance).

The consolidated financial statements of the parent and its subsidiaries include information about a subsidiary from the date on which the parent obtains **control** of the subsidiary (that is, from the acquisition date). A subsidiary continues to be included in the parent's consolidated financial statements until the parent no longer controls that entity (that is, until the date of disposal of the subsidiary).

The parent entity prepares group financial statements. The preparation process requires the adding together of the post-adjustment trial balances of the parent and the subsidiary, rather than the underlying general ledger accounts of each entity. This results in a consolidated trial balance that is used for the preparation of the group financial statements, comprising of the group statement of financial position, the group statement of profit or loss and other comprehensive income and the group statement of changes in equity. In addition, the information provided in the notes to the consolidated financial statements and group statements of cash flows is obtained from these consolidated trial balances.

Before undertaking the consolidation process, it is necessary that you understand the following **basic principles** that bring about the process of consolidation:

- The separate trial balances of the parent and its subsidiaries **must be correct in all respects**, and they must be prepared in compliance with the IFRS Accounting Standards. This means that all the necessary adjustments and closing entries must have been performed for each entity.
- The 'adding together' of the completed trial balances of each entity in the group is the **starting point**. The resulting consolidated (or group) trial balance is the **end point**.

Something to think about

What is the difference between group financial statements and consolidated financial statements?

Group financial statements and consolidated financial statements have the same meaning, as both are sets of financial statements that report the aggregated financial results for multiple entities or subsidiaries associated with a single parent company. The process of consolidation results in the preparation of **group financial statements**.

Group financial statements are generally prepared using a separate **group worksheet**, which combines the separate trial balances of all the entities in the group. In order to combine (by adding together) the separate trial balances of the parent and its subsidiaries, it is necessary to eliminate internal transactions and charges between the group entities, as the group financial statements should present the financial information of the group as a single reporting entity. These transactions are eliminated by using pro-forma **journal entries**, which are journal entries that are not 'actually recorded' in any general ledger, but are used to identify any group adjustments that may be necessary. The financial information of the investee and the investor is combined in the **group worksheet**, which also reflects the pro-forma journal entries. The group worksheet gives rise to the group financial statements.

The mechanics of preparing group financial statements are based on **basic procedures**. Although the application of these procedures may differ from one group of entities to another, the procedures remain essentially the same. These basic procedures mainly comprise:

- Eliminating intergroup items and transactions.
- Consolidating (adding together) the remaining items and transactions.

Example illustrating the principles of the consolidation process

Paragraph B86 of IFRS 10 lists the following consolidation procedures in order to ensure that group financial statements present financial information about the group as that of a single entity (refer to [Table 27.1](#)):

- 1 Combine like items of assets, liabilities, equity, income, expenses and cash flows of the parent with those of its subsidiaries.
- 2 Offset (eliminate) the carrying amount of the parent's investment in each subsidiary and the parent's portion of equity of each subsidiary.
- 3 Eliminate in full intra-group assets and liabilities, equity, income and expenses relating to transactions between entities of the group. This includes profits or losses resulting from intra-group transactions that are recognised in assets, such as inventory and machinery. Where these eliminations may give rise to temporary differences, you need to consider the deferred tax implications.

Table 27.1 Illustration of the consolidation process



5.1 Uniform accounting policies

Where the IFRS Accounting Standards allow for alternative accounting policies to be adopted and a member of the group uses accounting policies that differ from the accounting policies adopted in the consolidated financial statements for those types of transactions, adjustments are required when preparing consolidated financial statements.

Key principle: Uniform accounting policies

Consolidated financial statements should be prepared using uniform accounting policies for similar transactions and other events in similar circumstances.

Example of using uniform accounting policies for consolidated financial statements

Assume that a parent entity and its subsidiary have similar inventory items (for example, furniture manufactured for sale). In the consolidated financial statements, manufactured furniture held for sale should be measured using the same accounting policy.

This is achieved by (1) one of the entities (usually the subsidiary) changing its accounting policy for the measurement of manufactured furniture to be the same as that of the group (in other words, the parent) or (2) by adjusting the carrying amount of inventories on hand at the reporting date, using pro-forma journal entries. Option 2 requires annual adjustments and is, therefore, less favourable.

ETHICAL DILEMMA

Ethical dilemmas can emerge when the group fails to apply consistent accounting policies and estimates across subsidiaries in the consolidation process. Inconsistencies can lead to misinterpretation of financial results and undermine the comparability and reliability of the consolidated financial statements. The parent must ensure consistent application of accounting policies and exercise ethical judgement in making accounting estimates.

5.2 Different reporting dates

Consolidated financial statements should be prepared for the same date as the reporting date of the parent. For example, if the parent has a reporting date of 31 December, you should also prepare consolidated financial statements for that date.

The reporting dates of subsidiaries are usually the same as the reporting date of their parent, which means that consolidated financial statements can be prepared on the same date. When the reporting date of a subsidiary is different from that of the parent, the subsidiary usually prepares additional financial statements at the same reporting

date as the parent for consolidation purposes. However, the preparation of additional financial statements is costly and involves great effort. Where the preparation of additional financial statements for consolidation purposes is impractical and involves undue cost or effort, the financial statements of the subsidiary prepared for a different reporting date may be used, provided that the difference between the dates is not greater than three months and that adjustments are made for the effects of significant transactions or events that have occurred between the different reporting dates.

5.3 The consolidation worksheet

When consolidated financial statements are prepared, the trial balances of the parent and all its subsidiaries are combined on a line-by-line basis by adding together like items of assets, liabilities, equity, income and expenses. This is normally done in columns on a computerised spreadsheet. A consolidation worksheet (or group worksheet) is prepared by adding across the balances per line item for the parent and its subsidiaries and by recording pro-forma journal entries to determine the balances to be recognised by the group. The consolidation worksheet is used for the preparation of consolidated financial statements.

Consolidated financial statements include a consolidated statement of financial position, a consolidated statement of profit or loss and other comprehensive income, a consolidated statement of changes in equity and a consolidated statement of cash flows. In addition, all the notes presented in the financial statements should also be presented for the group.

Key principle:
The financial information about the group

The consolidated financial statements should present the financial information about the group as that of a single economic entity.

Example of calculation of bank balance for consolidated financial statements

Assume that a parent entity has a positive bank balance of CU50 000 at the reporting date and its subsidiary has a positive bank balance of CU20 000 at the same date. The bank balance recognised by a group is as follows:

	Trial balance of parent	Trial balance of subsidiary	Consolidated trial balance
	CU	CU	CU
Bank balance	50 000	20 000	70 000

5.4 Pro-forma journal entries

Pro-forma journal entries are recorded on the consolidation worksheet to eliminate the effect of internal transactions between the parent and its subsidiaries. This is done in order to recognise goodwill acquired on consolidation and to recognise the non-controlling interest in the net assets of the subsidiaries, among other

purposes. Pro-forma journal entries are never recorded in the general ledgers of any of the group entities. They are journal entries that can affect more than one trial balance at the same time. For example, a debit entry can refer to a balance in the parent's trial balance, while a credit entry can refer to a balance in a subsidiary's trial balance. Because pro-forma journal entries are never recorded in a ledger, they need to be repeated at each reporting date.

This is an example of a pro-forma journal entry:

Dr	Loan from parent (in the trial balance of the subsidiary)
Cr	Loan to subsidiary (in the trial balance of the parent)

The consolidation worksheet is a tool used to calculate the group balances. It does not form part of the consolidated financial statements but provides an audit trail for the balances presented in the consolidated financial statements (together with the pro-forma journal entries) in a similar way to the way in which the trial balance of an entity supports the balances presented in the financial statements of an entity. The consolidation worksheet is a combination of many trial balances, all added together and adjusted to determine the group balances to be presented in the consolidated financial statements.

5.5 The consolidated statement of financial position

The consolidated statement of financial position is prepared by adding together the assets and liabilities of all the subsidiaries to those of the parent and eliminating the effects of internal transactions or transactions that relate to amounts owing between group entities rather than to external parties. The group statement of financial position should include assets and liabilities that are the result of transactions with outside parties and not those that are a result of internal transactions between group entities. Assets should only be recognised in the statement of financial position of the group when they meet the definition and recognition criteria of an asset of the group (in other words, when the asset is a resource controlled by the group that can be measured and that would probably result in the inflow of future economic benefits to the group). Similarly, group liabilities should only be recognised when the definition and recognition criteria of a liability are met (where there is a present obligation of the group resulting from a past event that can be measured and the settlement of which would probably result in an outflow of future economic benefits from the group).

Where loans are made to the subsidiary, the debit and the credit balances are set off against each other, as they are not owed to or receivable from outside the group. The same principle applies to receivables and payables arising from inter-group transactions. The adjusting entry should be a debit to the liability and a credit to the asset, resulting in the elimination of the balances held within the group.

The cost of inventory and other non-current assets is the cost when the group first acquired the asset. If one group entity bought inventory and then sold it to another entity, the profit on that sale would have to be reversed, and the cost of the inventory would have to be shown at the cost to the group. The correcting entry would debit the profit and credit the inventory to reverse the profit and reduce the inventory to the original cost to the group (see Section 6.6).

The basic format of a worksheet and the use of pro-forma journal entries to result in the end point (consolidated statement of financial position) are illustrated in the following example.

Example illustrating the consolidation process (for a wholly owned subsidiary)

P Ltd acquired all the shares in S Ltd on 31 December 20x1 and paid CU500 000 for this investment. The substance of this transaction is that P Ltd acquired the equity of S Ltd on the acquisition date, consisting of share capital of CU320 000 and retained earnings of CU180 000. The consolidation process requires **eliminating the carrying**

amount of the parent's investment in the subsidiary against the parent's portion of the **equity in the subsidiary**. As P Ltd acquired this equity when acquiring its investment in S Ltd, it should be eliminated on consolidation. As the consolidated statement of financial position represents the transactions of the group as a single entity, the group financial statements cannot recognise an investment in itself.



The following steps are illustrated in this worksheet:

- (A) represents the statement of financial position of the parent. Note that the parent has an investment in the subsidiary, representing a 100% controlling interest. The subsidiary is, therefore, wholly owned.
- (B) represents the statement of financial position of the subsidiary.
- (A) plus (B) represents the starting point of the consolidation process.

The following pro-forma **journal entry** eliminates the intra-group transaction:

			CU	CU
Dr		Share capital	320 000	
Dr		Retained earnings	180 000	
	Cr	Investment in S Ltd		500 000

The **end point** of $(A + B) \pm (C)$ is the consolidated statement of financial position. This statement combines the assets and liabilities of the group as a single entity.

5.5.1 Non-controlling interest

Non-controlling interest consists of the following:

- The amount of those non-controlling interests in the equity of the subsidiary at the date of the original acquisition (the pre-acquisition equity)
- The non-controlling interests' share of changes in equity of the subsidiary since the date of the acquisition (the post-acquisition equity).

The group consists of the parent and subsidiary's combined assets and liabilities. Where the parent does not hold all the equity of the subsidiary, the equity held by outside shareholders is attributable to non-controlling interests. Thus, there are two equity holders in this group: the **parent shareholders** and the **non-controlling shareholders**. In [Chapter 25](#), you learnt that IFRS 3, *Business Combinations*, requires the non-controlling interest to be measured at the acquisition date at **fair value** or as the **non-controlling interest's proportionate share of the subsidiary's equity**.

The choice between measuring non-controlling interest at fair value or at its share of the attributable net assets is made on an investment-by-investment basis, with the choice often being influenced by the difficulty in getting a fair value.

5.5.2 Goodwill recognised on consolidation

Goodwill is an asset that is not identified individually and recognised separately by the parent at the acquisition date but is recognised as a separate asset in the consolidated statement of financial position. Goodwill is the excess amount that the parent is willing to pay for the acquisition of a controlling interest in a subsidiary above the fair value of the net assets of the subsidiary at the acquisition date. Goodwill is the difference between the following:

- The cost of acquisition (the investment cost) and the non-controlling interest at the date of acquisition
- The fair value of the identifiable assets and liabilities of the subsidiary.

Goodwill = (Cost of investment + Non-controlling interest at the acquisition date) –
Fair value of net assets assumed

Example of calculating goodwill recognised on consolidation

P Ltd paid CU400 000 for 80% controlling interest in S Ltd on 1 July 20x3, when all identifiable assets and liabilities of the subsidiary were recorded and measured at fair value of CU480 000. The non-controlling interest in S Ltd is considered to have a fair value of CU98 000.

In this case, the non-controlling interest is measured at the fair value of CU98 000, resulting in the recognition of the full goodwill amount of CU18 000 at the acquisition date.

IAS 38, *Intangible Assets*, requires that the acquirer measure goodwill at the amount acquired at the acquisition date, less any accumulated impairment. This implies that goodwill arising on consolidation should be considered for any impairment at each reporting date. Goodwill acquired in a group arises on consolidation. The goodwill **impairment** is also a consolidation adjustment; it has not been recognised by either the subsidiary or the parent, as the goodwill is only identified when the cost of the investment is replaced by the underlying net assets (at a group level).

The goodwill is recognised as part of the consolidation process. Any adjustments to the goodwill balance should be adjusted to the consolidated retained earnings if the impairment loss arose in previous years or to the current year group profit or loss if the impairment loss arose in the current year.

Section 19 of the *IFRS for SMEs* Accounting Standard stipulates that goodwill is measured as the difference between the parent's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities, as well as unrecognised intangible assets, and the cost of the investment. This section further requires the non-controlling interest to be measured at the acquisition date at its share in the net assets and liabilities.

As the *IFRS for SMEs* Accounting Standard does not allow for the non-controlling interest to be measured at fair value (see above), the measurement of goodwill in terms of the full goodwill method is not allowed in terms of the *IFRS for SMEs* Accounting Standard.

5.5.3 Bargain purchases

When the net fair value of the identifiable assets and liabilities of the subsidiary is greater than the consideration transferred, the acquirer (parent) must first reassess the identification and measurement of the subsidiary's identifiable assets and liabilities as well as the measurement of the consideration transferred (refer to paragraph 36 of IFRS 3). This implies that the parent should first check and confirm that all the identifiable assets and liabilities have been identified and are measured at their respective fair values and that there are no measurement errors. If these measurements have all been checked and confirmed, and an excess still exists, that excess is recognised as a **gain on a bargain purchase**. The existence of a gain on a bargain purchase is recognised on the acquisition date when consolidated financial statements are prepared and included in profit or loss.

Example of calculating the gain on a bargain purchase

The net fair value of the identifiable assets and liabilities of S Ltd is reliably measured at CU475 000 at the acquisition date. P Ltd acquired 100% of the issued shares of S Ltd for a cash consideration amounting to CU470 000. This means that P Ltd acquired the controlling interest at a bargain, as it paid CU5 000 below the net fair value of the assets and liabilities acquired.



The bargain purchase amount of CU5 000 is recognised in the consolidated profit or loss at the acquisition date.

5.6 The consolidated statement of profit or loss and other comprehensive income

The consolidated statement of profit or loss and other comprehensive income is prepared by adding all the income and expenses of the parent and subsidiaries together on a line-by-line basis and then eliminating any amounts that are internal to the group. The consolidated profit is the difference between the total revenue and expenses of both the parent and its subsidiaries. The subsidiary's profit is allocated between the two groups of shareholders: the equity holders of the parent and the non-controlling interest.

The income and expenses of a subsidiary are included in group profit or loss from their date of acquisition. If the **date of acquisition** is in the current year, the income and expenses relating to the time prior to the acquisition period

should not be consolidated but should be included in the net equity acquired at the acquisition date. In this case, it is necessary for you to determine the profit of the subsidiary for the time between the previous reporting date and the acquisition date.

Example of calculating the portion of the subsidiary's profits to be consolidated

The profit of a subsidiary for the current financial year amounts to CU120 000.



What is the profit of the subsidiary at the acquisition date?

Assume that the subsidiary was acquired at the end of the fifth month of its current financial period, and the profit up to that date amounted to CU55 000. This profit would form part of the equity acquired when the investment was made and should not be included in the consolidated statement of profit or loss and other comprehensive income.

The profits of the subsidiary for the remaining seven months (CU65 000) were earned after the acquisition date. The post-acquisition profit of the subsidiary, amounting to CU65 000, is included in the consolidated profit or loss as it was earned after the parent acquired the controlling interest in the subsidiary.

	Total CU	Pre-acquisition profit CU	Post-acquisition profit CU
Subsidiary's profit for the financial year	120 000	55 000	65 000

The profits earned after the subsidiary was acquired are referred to as 'post-acquisition profits'. The profits earned by the subsidiary before it was acquired are referred to as 'pre-acquisition profits'. The statement of profit or loss and other comprehensive income should only consolidate the profits or losses and other comprehensive income of a subsidiary for the portion of the financial year for which it was a subsidiary.

The income and expenses of a subsidiary **over which control is lost during the current reporting period** should be identified in a similar way, and only those income and expenses relating to the period for which the entity was a subsidiary should be included in the consolidated statement of profit or loss and other comprehensive income.

Internal charges between the parent and subsidiary should be eliminated when the consolidated statement of profit or loss and other comprehensive income is prepared (for example, where the parent has charged the subsidiary for management fees, interest income or rental on the usage of a property). Profits recognised by one of the group entities as a result of transferring goods to another group entity should be eliminated as these profits are **unrealised** from a group perspective. The profit is only realised when it is a result of a transaction with an outside party.

Example of calculating unrealised profit on inventory

A parent sells inventory with a cost of CU200 to a subsidiary at a mark-up of 20%. Inventory with a purchase price to the subsidiary of CU60 is still on hand at the reporting date.

What is the cost of the inventory for the group?

The cost of the inventory not yet sold should be recognised at the cost to the parent of



What is the unrealised profit that should be reversed?

The profit recognised by the parent on the inventory still on hand is



This profit is unrealised, as the inventory has not yet been sold outside the group. This profit should be reversed against the cost of the inventory held by the group.

Note that the profit on inventory that has been sold to a third party is realised as it was sold to a party outside the group. No adjustment is therefore required. As the parent and the subsidiary are part of the same group, profits from transactions between the parent and subsidiary should be eliminated.

Normal corporate **taxation** charges are expenses relating to each entity that is registered for taxation. These amounts should not be adjusted for the effect of the elimination of internal charges between entities. Generally, companies are taxed on an individual basis, as opposed to the group profits (each legal entity is a tax entity), and changing group profits will have no effect on the tax actually payable, as the group is not a taxable entity. Where the total group profit is adjusted as a result of the elimination of inter-entity transactions, an adjustment is usually made to the tax charge in profit or loss. The **tax adjustments** arise as a result of the consolidation process and are recognised as deferred tax. No adjustments are made to taxation in the separate financial statements of the parent or subsidiary. The taxation expenses of each of the consolidated entities should be added together, including adjustments arising on consolidation, to recognise the tax expense for the group.

Where the parent has received **dividend income** from a subsidiary, the dividends received are included in the revenue figure recognised by the parent in its own statement of profit or loss and other comprehensive income. The dividends were received by the parent from the subsidiary and should be eliminated against the dividends paid or declared by the subsidiary. If the dividends received were not eliminated, this would result in the double counting of the distributed portion of the profits of the subsidiary. Consolidation results in the recognition of the profits earned by the subsidiary and cannot also recognise the dividends received by the parent when these are a distribution of those profits.

5.7 The consolidated statement of changes in equity

The consolidated statement of changes in equity is prepared as a summary of the equity of the group as one economic entity. It divides the equity between the parent and the non-controlling interest. The **equity interest of the parent** only includes the share capital and share premium of the parent, as these are the owners of the shares for whom the group financial statements are being prepared.

The **reserves** of the group (those attributable to the equity holders of the parent) are determined by combining the retained earnings and other reserves of the parent with the parent's share of the retained earnings and other reserves of the subsidiary since the date of acquisition.

The **dividends** declared by the subsidiary during the reporting period are eliminated against the dividends received by the parent, which are included in revenue. The result is that the consolidated statement of changes in owners' equity only includes the dividends declared by the parent to its shareholders. The dividends declared by the subsidiary that are attributable to the non-controlling shareholders are allocated separately to the non-controlling interest.

6 Preparing consolidated financial statements

The consolidation process requires the adding together of the financial statements of the parent and its subsidiary. In the parent's separate financial statements (refer to [Chapter 26](#)), the parent records its investment in the subsidiary based upon the consideration transferred, which represents the cost of the shares (unless the fair value model applies).

When preparing consolidated financial statements, there are two important periods that need consideration:

- **The acquisition date:** This is the date on which the parent acquired its controlling interest in the subsidiary. From the group perspective, this is the date on which the group acquires the underlying assets and liabilities of the subsidiary. The parent considers the fair value of the identifiable assets and liabilities of the subsidiary at the acquisition date and determines how much it is prepared to pay for this controlling interest.
- **The subsequent period:** This is the period from the acquisition date until the reporting date. The group shares in the increases (or decreases) in the equity of the subsidiary subsequent to the acquisition date.

The consolidation at acquisition involves replacing the cost of the investment in the subsidiary with the parent's share of the fair value of the equity of the subsidiary and allocating any excess payment to the goodwill acquired. The parent identifies all the assets and liabilities of the subsidiary **at the acquisition date** and determines whether the cost of acquisition of the shares includes any amount attributable to the difference between the fair value of any asset or liability and its carrying amount. Where this is the case, the carrying amount of the asset is adjusted so that the fair value of the asset or liability is recognised as the cost price to the group and the equity of the subsidiary is adjusted accordingly.

The equity of the subsidiary that exists at the date of acquisition is eliminated against the cost of the investment (the parent's share), and the share not attributable to the parent is included in the amounts attributable to the non-controlling shareholders. Equity in the form of reserves (retained earnings and any other type of reserve, such as a revaluation surplus) that arose **after the subsidiary was acquired** should be recognised in the consolidated financial statements. The parent's share of the reserves is accumulated in the appropriate reserve in the consolidated statement of changes in equity, and the non-controlling shareholders' share is recognised as part of the non-controlling interest.

6.1 Allocation of reserves to the pre- and post-acquisition periods

Where the parent owned shares in the subsidiary in the previous financial year, profits of the subsidiary would have been included in the prior year's statement of profit or loss and other comprehensive income and in closing retained

earnings. As the previous year's closing balance on retained earnings must equal the current year's opening balance, the opening balance of retained earnings in the statement of changes in equity must include the group's share of post-acquisition profits earned at the beginning of the current year. The current year's profits will be recognised in the current year's statement of profit or loss and other comprehensive income, and the balance will be transferred to the closing balance of retained earnings.

The subsidiary accumulates profits (**retained earnings**) after its acquisition date as well as other reserves (for example, **other comprehensive income** in a **revaluation surplus**). In a similar way, the parent also shares in the increases in other reserves (other comprehensive income) recognised by the subsidiary after the acquisition date if these adjustments are in line with the group policy (for instance, the subsidiary has owner-occupied land and the group policy is to apply the revaluation model, which is similar to the accounting policy of the subsidiary).

Where the subsidiary has revalued its non-current assets after the acquisition date, the parent should share in the post-acquisition movement in the revaluation surplus. This also implies that the asset should be recognised in the group financial statements at its revalued amount. The revaluation surplus is recognised as a group revaluation surplus when the value of the asset has increased after acquisition and is attributable to the owners of the parent. The share not attributable to the parent is allocated to the non-controlling interest. This allocation of earnings and other reserves is illustrated in [Figure 27.6](#).

Figure 27.6 Allocation of earnings and other reserves within a group



These principles are best illustrated by way of the example that follows.

Example of analysing the retained earnings of the subsidiary after the acquisition date

When P Ltd acquired the controlling interest of 80% in S Ltd, the retained earnings of S Ltd amounted to CU50 000. The retained earnings of S Ltd recognised on 31 December 20x7 amounts to CU600 000. The profit after tax for the current year, amounting to CU100 000, is included in this amount.

The summary of retained earnings of S Ltd is shown below.



The same figures are illustrated in the following timeline, which reflects the allocation of the closing retained earnings balance of CU600 000 into the relevant periods:

1 January 20x1	Period until 31 December 20x6	Year ended 31 December 20x7	At 31 December 20x7
At acquisition date	Post-acquisition date until the beginning of the current period	CURRENT period	CUMulative
CU50 000	CU450 000	CU100 000	CU600 000

How are the retained earnings of S Ltd recognised at the acquisition date?

The retained earnings of S Ltd at the acquisition date (CU50 000) are eliminated at the acquisition date against the investment in S Ltd. This makes sense, as the retained earnings were earned before P Ltd acquired the shares in S Ltd and were therefore included in the equity acquired by P Ltd. Of this CU50 000, CU10 000 (20%) is attributable to non-controlling interest.

What happens to S Ltd's retained earnings after the acquisition date?

The consolidation process requires adding all the assets, liabilities and equity of the parent and its subsidiary. When all the profits of the parent and the subsidiary are added together, the portion of retained earnings of S Ltd accumulated since its acquisition date is included in the group retained earnings.

However, as P Ltd acquired an 80% interest in S Ltd, only 80% of the retained earnings of S Ltd should be included in the group financial statements. The portion attributable to the non-controlling interest should be allocated using a pro-forma journal entry.

Allocation of retained earnings of S Ltd since the acquisition date



On consolidation, 80% of the retained earnings of S Ltd from after the acquisition date until the beginning of the current period, amounting to CU360 000, should be included in the **opening retained earnings** of the group. The starting point for the consolidation includes CU450 000 as the balance of retained earnings. Therefore, this balance should be reduced by CU90 000, the portion attributable to non-controlling interest.

The following pro-forma journal entry allocates the appropriate portion of the **prior year's profits** of S Ltd to the non-controlling interest:

			CU	CU
Dr		Retained earnings	90 000	
	Cr	Non-controlling interest (equity)		90 000

The **profit after tax** for the current period is included in the consolidated statement of profit or loss and other comprehensive income for the current year by including all the income and expense items. The portion attributable to the interest not held by the parent of 20% (CU20 000) is then allocated to the non-controlling shareholders in profit or loss (P/L), resulting in the balance of 80% (CU80 000) being added to the closing retained earnings attributable to the parent equity holders.

The following pro-forma journal entry allocates the appropriate portion of the **current year's profits** of S Ltd to the non-controlling interest:

			CU	CU
Dr		Non-controlling interest in P/L	20 000	
	Cr	Non-controlling interest (equity)		20 000

The **retained earnings balance attributable to the parent equity holders** includes the parent's share of the retained earnings of the subsidiary earned after the acquisition date, amounting to $(\text{CU}450\,000 + \text{CU}100\,000) \times 80\% = \text{CU}440\,000$.

This could also be calculated as follows:

$$\text{CU}360\,000 + \text{CU}80\,000 = \text{CU}440\,000, \text{ or } (\text{CU}600\,000 - \text{CU}50\,000) \times 80\% = \text{CU}440\,000.$$

Allocation of retained earnings of S Ltd using a consolidation worksheet:



Note 1: As mentioned earlier, the retained earnings of the subsidiary at the acquisition date are eliminated against the investment in the subsidiary. This portion of the retained earnings of the subsidiary was earned pre-acquisition and is not earned by the group.

Note 2: 20% of the retained earnings of the subsidiary earned from the acquisition date until the beginning of the current year is attributable to the non-controlling interest and is allocated using a pro-forma journal.

Note 3: 20% of the profit after tax for the current period is attributable to the non-controlling interest and is allocated using a pro-forma journal entry.

6.1.1 Applying the revaluation model

When a subsidiary applies the **revaluation model** to its property, plant and equipment, that subsidiary should recognise a revaluation surplus for the fair value adjustments in its statement of financial position. Financial assets measured at fair value through other comprehensive income may also give rise to a revaluation surplus in the subsidiary.

Where the subsidiary has revalued an asset before the acquisition date, the revaluation surplus should be included in the equity of the subsidiary **at the acquisition date** when you determine the goodwill acquired. Revaluations **subsequent** to the acquisition date should be allocated to the parent equity holders and non-controlling interest in relation to their respective interests.

Example of revalued assets of the subsidiary

An 80% held subsidiary that applies the revaluation model to its owner-occupied land has a piece of land carried at its fair value of CU1 million at the acquisition date and a revaluation surplus of CU600 000 resulting from revaluations prior to the acquisition

date. The revaluation surplus of CU600 000 forms part of the equity of the subsidiary at the acquisition date. In other words, it is a pre-acquisition reserve.

Assume that the subsidiary has subsequently revalued its land by CU500 000. This revaluation surplus should be allocated to the parent equity holders and non-controlling interest based on their respective interests in the subsidiary if the group's policy is to revalue owner-occupied land.

Allocation of revaluation surplus of S Ltd using a consolidation worksheet:



Note 1: As mentioned earlier, the revaluation surplus of the subsidiary at the acquisition date is eliminated against the investment in the subsidiary. This portion of the revaluation surplus of the subsidiary was earned pre-acquisition and is not equity of the group.

Note 2: 20% of the revaluation surplus of the subsidiary between the acquisition date and the beginning of the current year is attributable to the non-controlling interest and is allocated using a pro-forma journal.

The **revaluation surplus of the subsidiary attributable to the parent equity holders** amounts to the parent's share of the retained earnings of the subsidiary earned after the acquisition date, amounting to **CU400 000**.

This could also be calculated as follows: $(\text{CU1 100 000} - \text{CU600 000}) \times 80\% = \text{CU400 000}$.

6.2 Consolidating a wholly owned subsidiary

A wholly owned subsidiary is an entity in which the parent holds all the issued share capital. When a wholly owned subsidiary is consolidated, the share capital of the subsidiary and other pre-acquisition equity is eliminated against the investment in the subsidiary recognised in the statement of financial position of the parent. As there are no other shareholders in the subsidiary, no non-controlling interest is recognised.

Example of consolidating a wholly owned subsidiary

The extracts below from the financial statements for P Ltd and its subsidiary, S Ltd, are presented at 31 December 20x5. P Ltd acquired all the issued share capital of S Ltd on 1 January 20x5 (the acquisition date). P Ltd considered the net assets of S Ltd to be fairly valued at the acquisition date and any excess paid is attributable to goodwill. The retained earnings of S Ltd at the acquisition date amounted to CU115 000.

Refer to the extract below from the financial statements of P Ltd and S Ltd at **31 December 20x5**, the reporting date, which is one year after the acquisition date.

*Assuming that there is no 'other comprehensive income' in any of the entities

In order to be able to prepare the consolidated financial statements of the group, you need to identify the information set out in the table below (refer to IFRS 3).

The acquisition date	P Ltd acquired its controlling interest in S Ltd on 1 January 20x5.
The reporting date	Consolidated financial statements need to be prepared at the same reporting date as those of the parent, which is 31 December 20x5.
The purchase consideration	P Ltd paid CU288 000 to acquire a 100% interest in S Ltd. This is recognised as the cost of the investment in the statement of financial position of P Ltd.
The fair value of the net identifiable assets of the subsidiary	When P Ltd acquired the controlling interest in S Ltd (1 January 20x5), it considered all the assets and liabilities of S Ltd to be fairly valued. This implies that the fair value of the net assets at the acquisition date is equal to the equity balance of S Ltd at 1 January 20x5. What was the equity of S Ltd at the acquisition date? Share capital amounted to CU120 000. Retained earnings amounted to CU115 000. Total equity (net asset value) of S Ltd at the acquisition date: CU235 000.
Goodwill acquired	The goodwill is determined as the excess paid, thus the difference between the purchase consideration of CU288 000 and the fair value of the net identifiable assets acquired of CU235 000. Thus: Goodwill acquired = CU53 000.

The process of consolidation requires that you combine the financial statements of the parent and its subsidiary, and eliminate the investment that the parent has in the equity of the subsidiary. As P Ltd paid an excess when acquiring a controlling interest in S Ltd, that excess is recognised on consolidation as **goodwill**.

The following pro-forma journal entry would eliminate the share capital and retained earnings of the subsidiary against the investment by the parent in the subsidiary and recognise goodwill acquired at the acquisition date:

The statements of financial position of the parent and the subsidiary have been combined in the consolidated worksheet above, and the investment in the subsidiary has been eliminated against the share capital and retained earnings of the subsidiary **at the acquisition date**. The group balances above represent the statement of financial position at 31 December 20x5.

In a similar way, we have to combine the statements of profit or loss and the statements of changes in equity of the parent and the subsidiary in order to prepare the consolidated financial statements for the year ended 31 December 20x5.

Consolidated statement of profit or loss for the year ended 31 December 20x5

Note that as there are no intra-group transactions between P Ltd and S Ltd (for example, S Ltd did not pay any dividends to P Ltd), there are no further pro-forma journal entries in the consolidated profit or loss. Furthermore, as P Ltd holds 100% interest in S Ltd, there is also no non-controlling interest. The pro-forma journal entries relating to the elimination of intra-group dividends and the allocation of the appropriate portion of the profits to the non-controlling interest are illustrated in the examples that follow.

Consolidated statement of changes in equity for the year ended 31 December 20x5

The parent acquired its controlling interest of 100% in S Ltd on 1 January 20x5. That is the date on which the subsidiary's results should be included in the consolidated financial statements. In other words, the parent equity holders share in the profit or loss of the subsidiary since the acquisition date. The retained earnings of the subsidiary before the acquisition date form part of the equity interest acquired when the parent invested in the shares of S Ltd.

6.3 Consolidating a partly owned subsidiary

Where the parent does not hold all the shares of a subsidiary, the portion held by shareholders outside the group should be identified and recognised as the non-controlling interest. You should add all the assets and liabilities of the subsidiary to those held by the parent, based on the control principle, as the parent controls these assets and liabilities. There are two sets of equity holders in the subsidiary, namely the parent and non-controlling shareholders. At the acquisition date, the equity of the subsidiary is allocated to each set of equity holders based on the respective interest acquired or held.

The equity of the partly owned subsidiary attributable to the non-controlling interest represents their portion of the net assets at the acquisition date. Their interest in the net assets of the subsidiary must be identified and disclosed separately on the face of the statement of financial position in equity. What you are doing, in effect, is combining all the assets and liabilities of the subsidiary with those of the parent (to include all the assets controlled by the group). As the parent does not hold all the shares in the subsidiary, you need to identify the portion of the net assets of the subsidiary that are attributable to the non-controlling shareholders and disclose that as a separate balance within equity.

As indicated in Section 3.6, non-controlling interests may be measured at the fair value of their equity interest or at their share of the net assets of the subsidiary, measured at their fair value at the acquisition date. Both these measurement bases are demonstrated in this chapter.

The profits earned by the subsidiary after the date of acquisition should be included in the consolidated statement of profit or loss and other comprehensive income in the year these profits are earned. The profit for the year should then be allocated between the amount attributable to the group and the amount attributable to the non-controlling shareholders.

Where the subsidiary was acquired prior to the beginning of the current year, the opening balance of retained earnings for the group should include the group's share of profits earned by the subsidiary from the acquisition date until the beginning of the current year. The retained earnings on the consolidated statement of financial position should include the group's share of the balance at the beginning of the year as well as the movement during the year. The date of acquisition of the subsidiary is important because profits earned by the subsidiary prior to that date are pre-acquisition profits and form part of the equity purchased at acquisition, whereas profits earned by the subsidiary after that date should be reflected as post-acquisition profits and should be included in the consolidated financial statements.

Example of the allocation of profits to non-controlling interest

A subsidiary's profit after tax for the year since the acquisition date amounts to CU100 000 and the parent has an 80% interest in this subsidiary. CU80 000 of the profits of the subsidiary would be allocated to the group (CU100 000 profit for the year $\times$ the group's interest of 80%), while the remaining CU20 000 would be allocated to the non-controlling interest.

This is achieved by including the full profit of the subsidiary (CU100 000) in the consolidated statement of profit or loss and other comprehensive income, by adding each item on a line-for-line basis, the sales in the sales line, cost of sales in the cost of sales line and so on, and then allocating the profit for the year to the equity holders of the parent (CU80 000) and the non-controlling interest (CU20 000).

Allocating a portion of the profit to the non-controlling shareholders gives rise to an increase in the non-controlling interest included in the consolidated statement of changes in equity.

Example of consolidating a partly owned subsidiary

This is a continuation of the earlier example ('Example of consolidating a wholly owned subsidiary').

Assume the same information as presented in the example above, except that in this case, P Ltd acquired 60% of the issued share capital of S Ltd for a cash consideration of CU180 000. P Ltd considered the net assets of S Ltd to be fairly valued. Any excess paid is attributable to goodwill.

In order to be able to prepare the consolidated financial statements of the group, you need to identify the information set out in the table below (refer to IFRS 3).

The acquisition date	P Ltd acquired its controlling interest in S Ltd on 1 January 20x5.
The reporting date	Consolidated financial statements need to be prepared at the same reporting date of the parent, which is 31 December 20x5.
The purchase consideration	P Ltd paid CU180 000 to acquire a 60% interest in S Ltd. This is recognised as the cost of the investment in the statement of financial position of P Ltd.
The fair value of the net identifiable assets of the subsidiary	When P Ltd acquired the 60% controlling interest in S Ltd (1 January 20x5), it considered all the assets and liabilities of S Ltd to be fairly valued. This implies that the fair value of the net assets at the acquisition date is equal to the equity balance of S Ltd at 1 January 20x5. What was the equity of S Ltd at the acquisition date? Share capital amounted to CU120 000. Retained earnings amounted to CU115 000. Total equity (net asset value) of S Ltd at the acquisition date: CU235 000.
Non-controlling interest	As P Ltd did not acquire all the shares in S Ltd, the other 40% interest is attributable to the outside, or non-controlling interest. Thus, $CU235\ 000 \times 40\% = CU94\ 000$.
Goodwill acquired	The goodwill is determined as the excess paid. The purchase consideration of CU180 000 (paid for at 60% interest) and the non-controlling interest amounts to CU94 000 (as measured at its share of the subsidiary's net assets at acquisition) less the fair value of the net identifiable assets acquired of CU235 000. Thus: Goodwill acquired = $(180\ 000 + 94\ 000) - 235\ 000 = CU39\ 000$.

The pro-forma journal entry that follows would eliminate the share capital and retained earnings of the subsidiary against the investment by the parent in the subsidiary and recognise goodwill acquired at the acquisition date.

Pro-forma journal (1)

As P Ltd acquired 60% of the interest in S Ltd, 60% of the **profit since acquisition date** is attributable to the parent and the remaining 40% is attributable to the non-controlling interest. As the process of consolidation requires the adding together of the assets and liabilities of the parent and its subsidiary, the equity is then split (allocated) between the different equity holders. The appropriate portion of the profit since acquisition of S Ltd, in this case CU14 000 (40% of CU35 000), is attributable to the non-controlling interest.

The pro-forma journal entry that follows allocates the appropriate portion of the profits of S Ltd since the acquisition date to the non-controlling interest.

Pro-forma journal (2)

The consolidated worksheet containing the statements of financial position at 31 December 20x5 is shown below.

Consolidated statement of financial position at 31 December 20x5

Note that the goodwill (CU39 000) recognised at the acquisition date is calculated using the partial goodwill method, representing only the parent's share of the goodwill. This is correct, as the non-controlling interest at the acquisition date is measured based on their share of the net identifiable assets at that date.

Consolidated statement of profit or loss for the year ended 31 December 20x5

Note that the group profit after tax amounts to CU245 000 (the combined profits of the parent and its subsidiary). However, this amount is not attributable to the parent equity holders, as the parent only acquired a 60% interest in S Ltd and thus only shares in 60% of the profits of S Ltd. The balance, being 40% of CU35 000 = CU14 000, is attributable to the non-controlling interest.

Consolidated statement of changes in equity for the year ended 31 December 20x5

There is no balance for non-controlling interest in either the parent or the subsidiary's separate financial statements. **Non-controlling interest only arises from the process of consolidation.** Any balance required needs to be recognised by means of a pro-forma journal entry. A useful check is to ensure that the net debits and credits of adjustments to the non-controlling interest in the pro-forma journal entries are equal to the expected balance for non-controlling interest based on the calculations performed.

All the assets and liabilities of the subsidiary are added to those of the parent on consolidation, while the non-controlling interest in the equity of the subsidiary is reflected as a separate category of equity. If non-controlling interest were measured at fair value at the date of acquisition, the 'full' goodwill is recognised. Both goodwill and non-controlling interest would be increased by the difference between the fair value of the non-controlling interests' equity and the attributable net asset value of the non-controlling interest at the date of acquisition.

6.4 Recognising and measuring the identifiable net assets at the acquisition date

When the parent acquires a subsidiary, the consideration transferred for the controlling interest is determined based on the fair values of the assets and liabilities of the subsidiary. Usually, the parent employs the services of valuation experts to perform a due diligence exercise that includes the identification and measurement of the net assets of the subsidiary. In the example above, the parent considered the net assets of the subsidiary to be fairly valued at the acquisition date. This implies that the parent agreed that the carrying amount of each of the assets and liabilities of the subsidiary was equal to its fair value at the time when the parent obtained the controlling interest. However, when the fair value of some of the individual assets or liabilities of the subsidiary is different (higher or lower) from the carrying amount of those assets, you need to take this difference into consideration when determining the non-controlling interest and goodwill acquired at the acquisition date.

Key principle: Fair value of an asset

The fair value of an asset at the acquisition date represents the cost price of that asset to the group. The assets that the group acquires (by acquiring a controlling interest in a subsidiary) should be recognised at their fair value at the acquisition date.

The acquisition method (see IFRS 3, paragraph 10) requires that the acquirer should recognise, separately from goodwill, the identifiable assets acquired and liabilities assumed at the acquisition date. The identifiable assets and liabilities must meet the definitions of assets and liabilities in the *Conceptual Framework* and be part of what the acquirer and acquiree exchange in the business combination transaction. (Refer to [Chapter 25](#), *Business*

combinations, Section 3.1.3, for a more detailed discussion of the recognition and measurement principles and exceptions in a business combination transaction.)

The fair value of an asset of the subsidiary represents the cost price of that asset to the group, and this is the amount at which the asset should be recognised in the group statement of financial position. The net assets acquired at the acquisition date must be recognised at their fair value in the consolidated financial statements.

At the acquisition date, the fair value is the cost of the asset to the group, as that is the amount that would have been used to determine the price of the shares and what the parent paid for its share of the net assets.

When a subsidiary is acquired, the emphasis is placed on getting the correct fair value of the assets and liabilities of the subsidiary. The three main reasons for doing this are as follows:

- To recognise the correct cost of the assets and liabilities to the group
- To calculate the goodwill correctly, as goodwill is the difference between the cost of the investment and the fair value of the net assets (or equity) acquired
- To correctly determine the equity of the subsidiary from the group's perspective at the date of acquisition. That equity, or increase in net assets, was earned prior to acquisition by the group and is not a profit of the group. If the group considers an asset to be undervalued at the acquisition date, that increase in value took place before the asset was acquired by the group. It is, therefore, a pre-acquisition gain as opposed to a post-acquisition gain. Unless the subsidiary revalues the asset, the group's assessment of the subsidiary's equity will differ from that of the subsidiary itself.

Example of fair value adjustment of a non-depreciable asset at the acquisition date

A piece of land owned by a subsidiary at the acquisition date has a fair value of CU750 000. In its separate financial statements, the subsidiary accounts for this piece of land at its carrying amount of CU500 000. The purchase price paid by the parent for its equity interest in the subsidiary is based on the fair value of the land. This value (CU750 000) should be recognised on the group statement of financial position as the cost to the group of the land acquired on consolidation. As the group considers an identifiable asset of a subsidiary to be undervalued by CU250 000 at the acquisition date, it equally considers the equity of the subsidiary at the acquisition date to be understated by CU250 000 (because Assets – Liabilities = Equity).

When preparing consolidated financial statements, the asset should be recognised at its fair value (that means increased by CU250 000), and the equity acquired in the subsidiary should be increased by the same amount, representing the **fair value adjustment of CU250 000 at the acquisition date**.

Where the parent does not hold all the shares in the subsidiary, the portion of the fair value adjustment attributable to the non-controlling shareholders should be allocated to them. This would result in the recognition of the asset at its fair value in the group statement of financial position (100% of the fair value) and an increase in the non-controlling interest with its portion of the fair value adjustment. This is necessary, as the

parent controls 100% of the asset, and so 100% of the fair value of the asset must be recognised as an asset of the group.

Thus, from a group perspective, the equity of the subsidiary is allocated between the parent equity holders and non-controlling interest, as illustrated in [Figure 27.7](#).

Figure 27.7 Illustration of determining the fair value of a non-depreciable asset at the acquisition date



6.4.1 Depreciating assets

Applying the principles discussed above, the parent should consider the fair values of depreciating assets held by the subsidiary at the acquisition date. The fair value of a depreciating asset represents the cost of the asset to the group. Any accumulated depreciation recognised in the statement of financial position of the subsidiary at the acquisition date should be netted against the cost price of the asset prior to considering its fair value.

This is because the fair value of an asset when acquired by the parent is the cost of that asset to the group. You cannot acquire an asset with accumulated depreciation, as the accumulated depreciation relates to the usage of that asset prior to the acquisition date. Part of the consolidation process is to eliminate accumulated depreciation against the cost of the asset.

This is normally done by processing the following pro-forma journal entry **at the acquisition date**:

Dr		Accumulated depreciation (subsidiary)
	Cr	Asset (subsidiary)

If the parent considers the carrying amount (the book value) at acquisition to be equal to its fair value, the cost to the group is the carrying amount of the asset at the date of acquisition.

Where the parent considers the fair value of the depreciating asset to be higher or lower than its carrying amount, the fair value of the asset should be recognised as the cost of the asset to the group. (In reality, an asset should not be considered overvalued at the acquisition date, as this is a sign of impairment, and the subsidiary should already have impaired the asset.) The subsidiary can either react to this fair value adjustment (by revaluing the asset in its separate financial statements if it applies the revaluation model) or it can continue to recognise the asset at its carrying amount (by applying the cost model), in which case an adjustment is required as part of the consolidation process.

Where the subsidiary does not apply the revaluation model and the asset is depreciated, the annual depreciation of the asset in the group **subsequent to the acquisition date** will differ from the annual depreciation charge recorded in the general ledger of the subsidiary. Depreciation is the allocation of the cost of the asset relating to the use of the asset in that period. If the cost of the asset differs, then the depreciation expense must also be different. You need to identify the difference between the depreciation expense to be included in the consolidated financial statements (the end point) and the amounts recorded by the subsidiary (the starting point) and adjust for any differences by way of pro-forma journal entries.

Example of fair value adjustment of a depreciable asset at the acquisition date

An asset with a carrying amount of CU80 000 and an estimated remaining useful life of eight years would be depreciated at CU10 000 per annum by the subsidiary (starting point). The fair value of the same asset was estimated at CU120 000 at the acquisition date.

At the acquisition date, the group's cost price for this asset would amount to CU120 000. The remaining useful life of the asset was confirmed, and the asset should be depreciated by the group at CU15 000 per annum for the next eight years (end point).

The depreciation charge on the asset for the group amounts to CU15 000 per annum, while the subsidiary included a depreciation expense of only CU10 000.

Depreciable asset



The difference of CU5 000 should be recognised on consolidation by processing the relevant pro-forma journal entries.

The first pro-forma adjustment is required at the acquisition date when the carrying amount of the asset in S Ltd is increased by CU40 000 to result in the cost for the group of CU120 000.

This adjustment gives rise to a higher cost in the group, resulting in the second pro-forma adjustment, increasing the depreciation expense of this asset in the group.

As the difference in depreciation expense relates to the profits of the subsidiary, this should be adjusted against the profits of the subsidiary subsequent to the acquisition date when determining the portion attributable to the non-controlling interest.

6.4.2 Current assets

As discussed above, the parent should consider the fair value of all the assets and liabilities of a subsidiary at the acquisition date in order to determine the cost of any goodwill acquired. This includes all the current assets.

The parent may consider the value of the **inventory** of the subsidiary to be higher than its carrying amount. The fair value of the inventory at the acquisition date is the cost of the inventory for the group. Where a subsidiary is manufacturing inventory, it should recognise the inventory at the manufactured cost price in accordance with IAS 2, *Inventories*, in its separate financial statements. However, in the group, the cost of the inventory may be higher than its cost recognised in the subsidiary if the fair value at the acquisition date is higher. The fair value of the inventory at the date on which the parent acquires the interest in the subsidiary is the cost of the inventory to the group. Even though this is not the cost price for the subsidiary, it is the cost price of the inventory to the group, which is in agreement with the requirement of IAS 2, *Inventories*, that inventory be recognised at the lower of cost and net realisable value. The cost to the subsidiary is the cost at the time the subsidiary acquired the inventory, whereas the cost to the group is the fair value when the group acquired the subsidiary, thereby obtaining control of the inventory.

While the inventory is still held by the group, an adjustment will have to be made to the subsidiary's inventory to increase the cost to the group.

When the inventory is sold by the subsidiary, the profit on the sale to be recognised by the group will be the difference between the proceeds on the sale and the inventory cost. An adjustment will have to be made to the cost of sales recognised by the subsidiary to get the correct cost of sales for the group to achieve the group profit on the sale.

Example of fair value adjustment of inventory at the acquisition date

Assume the carrying amount of inventory in the statement of financial position of a subsidiary amounts to CU100 000, and the fair value of this inventory at the acquisition date is CU120 000.

When this inventory is sold for CU150 000 after the acquisition date, the subsidiary would recognise a gross profit of CU50 000, while the group's gross profit amounts to CU30 000. Recognition of the group's gross profit is achieved by increasing the cost of sales recognised by the subsidiary by CU20 000. The difference between the profit on the sale recognised by the group and the profit on the sale recognised by the subsidiary will equal the fair value adjustment relating to the inventory at the date of acquisition.

Inventory



As the inventory was sold **after the acquisition date**, the profit in the subsidiary of CU50 000 should be reduced by CU20 000 (the fair value adjustment at the acquisition date), resulting in the group profit of CU30 000. This makes sense, as the gross profit of the group amounts to CU30 000 (CU150 000 – CU120 000).

The inventory is an asset of the subsidiary, so the profit of the subsidiary is adjusted in the pro-forma journal entry. This will result in a decrease of the profit of S Ltd from the group's perspective, which should be taken into account when the non-controlling interest in S Ltd is determined.

The parent can also consider the fair value of **accounts receivable** at an amount that is different from its carrying amount. This would happen as a result of a difference of opinion over the collectability of the debt. The net amount recognised on the statement of financial position is the difference between the gross debtors listing and the expected credit loss allowance. Theoretically, the group could consider that the expected credit loss allowance was too low and, consequently, that the carrying amount of receivables was overstated. In most cases, the subsidiary would agree with the parent's fair value assessment of the accounts receivable and recognise the adjustment as an allowance for expected credit losses in its separate financial statements. Where the subsidiary has adjusted its allowance for expected credit losses at the acquisition date, no consolidation adjustment would be required. Where the subsidiary adjusts for the increase in the allowance for expected credit losses after the acquisition date (against post-acquisition profits), the adjustment processed by the subsidiary should be reversed on consolidation, otherwise the expected credit loss allowance would be double counted, as the increase in the allowance for expected credit losses would be an adjusting entry processed at the acquisition date.

However, it could also happen that the subsidiary does not agree with the parent's fair value adjustment and continues to recognise accounts receivable and the allowance for expected credit losses as before. On consolidation, you have to adjust the carrying amount of accounts receivable at the acquisition date to its fair value that the parent considers collectable from these debtors. Where an amount considered to be irrecoverable by the parent at the acquisition date has subsequently been settled, an adjustment at the date when the outstanding debt was settled should be recognised in the group financial statements. (The adjustment in the period subsequent to the acquisition date is illustrated in Section 6.4.3.)

6.4.3 Subsequent sale of an asset held at the acquisition date

When a subsidiary sells an asset that it held at the acquisition date, you should determine the group's profit arising from the sale of the asset. In a case where the parent considered the net assets of the subsidiary to be fairly valued at their carrying amount at the acquisition date and the subsidiary subsequently sells some of the assets, the group's profit on the sale of the assets equals the profit recognised by the subsidiary, as the cost of the asset to the group and to the subsidiary is the same.

However, where the fair value of the net assets of a subsidiary has been adjusted **at the acquisition date**, the effect of this fair value adjustment on the profits of the subsidiary **subsequent to the acquisition date** should be considered. For example, where a parent considered the fair value of an asset to be higher than its carrying amount at the acquisition date and that asset has subsequently been sold, the group profit on the sale of the asset is less than the profit recognised by the subsidiary. This is because the group acquired that asset at a price higher than its carrying amount in the subsidiary at the acquisition date. The profit to the group must be calculated by using the cost of the asset to the group.

Example of fair value adjustment of an asset at the acquisition date, which is subsequently sold

A parent considers the fair value of an asset held by a subsidiary to be CU1 000 000 at the acquisition date, while the asset's carrying amount at that date amounts to CU600 000 in the financial statements of the subsidiary. In other words, the group considers the asset to be undervalued by CU400 000 at the acquisition date.

If the subsidiary subsequently sells that asset for CU1 200 000, the group's profit on the sale of the asset would amount to $\text{CU1 200 000} - \text{CU1 000 000} = \text{CU200 000}$, while the subsidiary would recognise $\text{CU1 200 000} - \text{CU600 000} = \text{CU600 000}$ profit on the sale of the asset.

The group's profit would be the difference between the cost of the asset to the group (the fair value of the asset at the acquisition date by the group) and its net proceeds received. The subsidiary's profit of CU600 000 should be adjusted by the fair value adjustment recognised by the group at the acquisition date ($\text{CU1 000 000} - \text{CU600 000} = \text{CU400 000}$) in order to determine the group's profit of CU200 000.

A parent considers the fair value of an asset held by a subsidiary to be CU1 000 000 at the acquisition date, while the asset's carrying amount at that date amounts to CU600 000 in the financial statements of the subsidiary. In other words, the group considers the asset to be undervalued by CU400 000 at the acquisition date.

If the subsidiary subsequently sells that asset for CU1 200 000, the group's profit on the sale of the asset would amount to $\text{CU1 200 000} - \text{CU1 000 000} = \text{CU200 000}$, while the subsidiary would recognise $\text{CU1 200 000} - \text{CU600 000} = \text{CU600 000}$ profit on the sale of the asset.

The group's profit would be the difference between the cost of the asset to the group (the fair value of the asset at the acquisition date by the group) and its net proceeds received. The subsidiary's profit of CU600 000 should be adjusted by the fair value adjustment recognised by the group at the acquisition date ($\text{CU1 000 000} - \text{CU600 000} = \text{CU400 000}$) in order to determine the group's profit of CU200 000.



As the asset was sold **after the acquisition date**, the profit in the subsidiary of CU600 000 should be reduced by CU400 000 (the fair value adjustment at the acquisition date), resulting in the group profit of CU200 000. This makes sense, as the profit on disposal of this asset for the group amounts to CU200 000 ($\text{CU1 200 000} - \text{CU1 000 000}$).

As the difference in profit on disposal relates to the profits of the subsidiary, this should be adjusted against the profits of the subsidiary since the acquisition date in order to determine the effect on the non-controlling interest.

The example above illustrates that the asset that was subsequently sold by the subsidiary where the group cost was different from that of the subsidiary resulted in adjustments to the profits of the subsidiary after the acquisition date.

You have in effect 'reversed' the fair value adjustment relating to the asset at the acquisition date against the subsidiary's profit subsequent to the acquisition date, as the subsidiary has subsequently sold the asset. In order to include the group's profit on the sale of the asset correctly in the group profit or loss for the current year, the profits of the subsidiary have to be adjusted by the decreased profit on the sale of the asset. Where the asset is a depreciable asset, the profit would also have been adjusted for the increased group depreciation in the current and prior years, as appropriate. It is important that this be done in the correct periods: against opening retained earnings for those adjustments relating to prior years and against the correct line item in the statement of profit or loss and other comprehensive income for adjustments relating to the current year.

Comprehensive example of a fair value adjustment at the acquisition date for a non-depreciating asset

Refer to the extracts from the financial statements for P Ltd and its subsidiary, S Ltd, which are presented below. P Ltd acquired 60% of the issued share capital of S Ltd at 1 January 20x8, when the retained earnings of S Ltd amounted to CU115 000. P Ltd considered the net assets of S Ltd to be fairly valued, except for the land, which has a fair value of CU125 000 at the acquisition date. Any excess paid is attributable to goodwill. Non-controlling interest had a fair value of CU120 000 at acquisition. Ignore deferred tax.

Statements of financial position at 31 December 20x9

P Ltd acquired its controlling interest in S Ltd on **1 January 20x8**:

- P Ltd paid **CU180 000** to acquire a 60% interest in S Ltd.
- When P Ltd acquired the 60% controlling interest in S Ltd (1 January 20x8), it considered all the assets and liabilities of S Ltd to be fairly valued, except for land.

What is the equity of S Ltd at the acquisition date?

Analysis of the equity of S Ltd

Notes

1 The fair value adjustment of the land should be included in the analysis of the equity of S Ltd at the acquisition date, as the cost price of the land to the group is equal to CU125 000. This implies that the parent considered the net assets of the subsidiary to be worth CU25 000 more than the value reflected in the statement of financial position (CU125 000 – CU100 000). The equity of the subsidiary should therefore be adjusted by this understatement at the acquisition date in order to calculate the amount paid for goodwill correctly, assuming that there is no tax implication resulting from this adjustment. The subsidiary's equity of CU120 000 + CU115 000 = CU235 000 does not recognise the increase of CU25 000 in the carrying amount of the land. If the land is considered undervalued by CU25 000, the group considers the net assets as recognised by the subsidiary to be undervalued by CU25 000 and therefore equity is understated by CU25 000. Total equity of S Ltd at the acquisition date, from the group's perspective, amounts to CU260 000.

2 P Ltd paid CU180 000 for the 60% investment in the subsidiary.

3 The non-controlling interest in S Ltd amounts to CU104 000 (40% of CU260 000). The fair value of the non-controlling interest at the acquisition date amounts to CU120 000.

4 Total goodwill amounts to CU40 000. Additional goodwill of CU16 000 has therefore been recognised because of how the non-controlling interest was measured at the acquisition date. This is referred to as the '**full goodwill method**', as goodwill relating to 100% of the shares is recognised.

Goodwill: $\text{CU40 000} = (\text{CU180 000} + \text{CU120 000}) - \text{CU260 000}$

Full goodwill = (Cost of investment + Fair value of non-controlling interest) – Fair

value of net assets assumed

The pro-forma journal entry that follows would eliminate the share capital and retained earnings of the subsidiary against the investment by the parent in the subsidiary at the acquisition date.

Pro-forma journal (1)



On consolidation, using the pro-forma entry above, the share capital and retained earnings of S Ltd are eliminated with the investment in S Ltd, as recognised by P Ltd, and the non-controlling interest is recognised at fair value. The recognition of non-controlling interest at fair value results in the recognition of the **full goodwill** amount of CU40 000.

How would you consolidate S Ltd in the financial statements two years after the acquisition date?

P Ltd acquired its controlling interest in S Ltd on 1 January 20x8, which is at the beginning of the prior reporting period. This means that the consolidated balances that are included in the current reporting period should include the profits of the subsidiary after the acquisition date. As you are required to prepare consolidated financial statements every year, you have to consider the effect of consolidation on the opening balances. For example, the profits of the subsidiary for the prior year should be included in the opening balance of retained earnings in the current year and the non-controlling interest's share should be allocated accordingly.

In order to allocate the appropriate portion of opening retained earnings to the non-controlling interest, you need to determine what portion of the profits of the subsidiary was earned after the acquisition date. The retained earnings of S Ltd and the allocation of the appropriate portions between the parent and non-controlling interest can be summarised as shown below.

Analysis of retained earnings of S Ltd



The pro-forma journal entry below allocates the appropriate portion of the **prior year's profits** of S Ltd to the non-controlling interest.

Pro-forma journal (2)

The pro-forma journal entry below allocates the appropriate portion of the current year's profits of S Ltd to the non-controlling interest.

Pro-forma journal (3)

			CU	CU
Dr		Non-controlling interest (P/L)	14 000	
	Cr	Non-controlling interest (equity)		14 000

The consolidated worksheet containing the statements of financial position at 31 December 20x9 is presented below.

Consolidated statement of financial position at 31 December 20x9

Consolidated statement of profit or loss for the year ended 31 December 20x9

P Ltd acquired its controlling interest in S Ltd on 1 January 20x8, which is at the beginning of the prior reporting period. This means that the consolidated opening balances included in the current reporting period should include the profits of the subsidiary since the acquisition date. The consolidated statement of changes in equity presented below includes the comparative figures in order to demonstrate the allocation of the prior year's profits to the non-controlling interest.

Consolidated statement of changes in equity for the year ended 31 December 20x9

6.5 Deferred tax implications resulting from adjustments to the carrying amount of the subsidiary's assets and liabilities at the acquisition date

Fair value adjustments relating to assets acquired by the group may have **deferred tax implications** from a group's perspective. A company recognises deferred tax as a result of temporary differences, which are the differences that exist between the carrying amounts of assets and liabilities and their respective tax bases, except for temporary

differences that are exempt in terms of paragraphs 15 and 24 of IAS 12, *Income Taxes*. Deferred tax adjustments should be recognised in the same place as the temporary differences originate and/or are reversed – that is, through profit or loss, other comprehensive income, or directly to equity or goodwill. (Refer to [Chapter 18](#), *Income taxes*, for a detailed discussion of deferred tax.)

In this section, we address the deferred tax implications arising from fair value adjustments made to the assets and liabilities of a subsidiary at the acquisition date. For this purpose, we assume that the tax base of the subsidiary's assets and liabilities is unchanged. In other words, we assume that the **separate entities are individually liable for tax**. This is important, as in some jurisdictions, where the group becomes the taxable entity, there is a change in the tax base of the asset from a group perspective. Discussions and examples in this chapter assume that the tax base of the assets will not be affected by the acquisition by the parent, which may result in deferred tax adjustments arising on consolidation.

Deferred tax liabilities and deferred tax assets that are associated with **temporary differences relating to business combinations** are recognised in accordance with paragraphs 19 and 21 of IAS 12, *Income Taxes*. These temporary differences arise when the tax bases of the identifiable assets acquired and liabilities assumed are not affected by the business combination. This applies when the carrying amount of an asset is increased to its fair value at the acquisition date, but the tax base of that asset remains at cost to the existing legal owner (the subsidiary). A taxable temporary difference arises on consolidation, which results in a deferred tax liability. The resulting deferred tax liability affects goodwill.

Example of deferred tax implications

This is a continuation of the earlier example ('Comprehensive example of a fair value adjustment at the acquisition date for a non-depreciating asset').

The carrying amount of a piece of land in the statement of financial position of the subsidiary amounts to CU100 000. The parent considers the fair value of the land to be CU125 000 at the acquisition date. The land is recognised at cost in the financial statements of the subsidiary, but the parent considers the land to be worth CU125 000, which is the cost of the land to the group. The consolidation process requires that the land be recognised at CU125 000 in the consolidated financial statements.

However, because the fair value adjustment (arising on consolidation) will be **recoverable through sale** (this land will be subject to capital gains tax of, for example, 10% when it is sold), the fair value adjustment at the acquisition date results in a **temporary difference** between the carrying amount of the land in the group and its tax base:

- The **tax base** of the land (future tax consequences in the subsidiary) is its cost of CU100 000.
- The **carrying amount** of the land (as recognised in the group) is CU125 000.
- This results in a **temporary difference** of CU25 000 on consolidation.

A **deferred tax liability** of $10\% \times \text{CU}25\,000 = \text{CU}2\,500$ should thus be recognised at the acquisition date.

When preparing consolidated financial statements, the asset should be recognised at its fair value (in other words, increased by CU25 000), a deferred tax liability should be recognised at CU2 500 and the equity acquired in the subsidiary should be increased by the after-tax amount (90% of CU25 000), representing the **fair value adjustment at the acquisition date, net of taxation**.

[Figure 27.8](#) illustrates the effect of the adjustments in the group, with reference to the accounting equation.

Figure 27.8 Illustration of deferred tax implications



The **temporary difference** is taxable and so the fair value adjustment results in the recognition of a deferred tax liability at the acquisition date. This resulting deferred tax liability affects goodwill (IAS 12, paragraph 19). This is consistent with the earlier comment that deferred tax adjustments are initially recognised where the temporary differences originate.

As stated above, part of the acquisition of a controlling interest in a subsidiary requires the parent to make fair value adjustments to the assets and liabilities of the subsidiary. The resulting fair value adjustments affect goodwill (and non-controlling interest at the acquisition date, where the non-controlling interest is measured at its share of the fair value of the net assets of the subsidiary).

Example of determining goodwill at the acquisition date, including deferred tax implications

A parent acquires 100% of a subsidiary for CU1 million. At the date of acquisition, the net assets of the subsidiary amount to CU800 000. However, if the parent considers the machinery of the subsidiary to be undervalued by CU100 000, this has the effect of increasing the net assets of the subsidiary to CU900 000 and the resulting goodwill of CU100 000. The effect of recognising the fair value adjustment at the acquisition date was that goodwill decreased.

As the machinery is a depreciable asset and its carrying amount will be **recovered through use**, the related deferred tax liability must also reflect recovering the machine through use.

As the normal company tax rate (assumed at 27%) best reflects recovery through use (as it is the rate that will apply to the future economic benefits derived from using the asset), a **deferred tax liability of CU27 000** arises at the acquisition date.

The **goodwill acquired** is the residual amount determined as the difference between the consideration paid and the fair value of the net identifiable assets of the subsidiary at the acquisition date, determined as follows:

- Consideration paid: CU1 million
- Fair value of net identifiable assets of subsidiary: CU900 000 – CU27 000 (deferred tax liability) = CU873 000 (or CU800 000 plus $[CU100\ 000 \times 73\%] = CU873\ 000$)
- Goodwill at the acquisition date: **CU127 000** (the residual amount).

The effect of recognising the deferred tax liability is that the net asset value of the subsidiary at the acquisition date has decreased. This in turn increases the goodwill arising on acquisition. The fair value adjustment, when recognised for the first time at a group level, has no effect on group profit or loss. In jurisdictions where groups are not separate taxable entities, the group is not a taxable entity, but the individual entities within the group are separate taxable entities.

Furthermore, the recognition of the fair value adjustment at the date of acquisition has no effect on the taxable income of the subsidiary. The subsidiary will be allowed to deduct the cost (to the subsidiary) of the machine in the form of capital allowances. Thus, the fair value adjustment has no effect on the tax base of the machine. As a result, a difference between the tax treatment and the accounting treatment of the fair value adjustment at the acquisition date arises in that the fair value adjustment has increased the carrying amount of the machine for accounting purposes (at a group level), but not the tax base. Even though this difference has no effect on accounting or taxable profit when recognised for the first time by the group, the temporary difference (being the fair value adjustment) is not exempt in terms of paragraph 15 of IAS 12, *Income Taxes*.

Post-acquisition, the fair value adjustment will be **reversed** as the machinery is depreciated. The additional depreciation recognised at a group level (since the group cost is higher than the carrying amount in the subsidiary as a result of the fair value adjustment not recognised by the subsidiary) is a post-acquisition expense. Similarly, the additional deferred tax liability relating to the fair value adjustment will reverse post-acquisition. The logic is that group profits have decreased post-acquisition as a result of the additional depreciation. Therefore, group tax must reduce. Tax is typically an expense in profit or loss, and it is reduced by crediting the tax expense. In terms of double entry, a corresponding debit is required. The debit adjusts the deferred tax liability, effectively resulting in its reversal (as the machinery is depreciated).

Example of the fair value of a depreciating asset at the acquisition date, including deferred tax implications

When P Ltd acquired a 60% controlling interest in S Ltd on 1 January 20x5, S Ltd had the following depreciating asset in its statement of financial position:



The plant was acquired by S Ltd three years ago and had an expected useful life of ten years. S Ltd has depreciated the plant at CU10 000 per annum for each of the past three years. S Ltd claims wear and tear allowances for tax purposes over a period of five years. As wear and tear allowances have already been claimed for three years, the tax base of the plant amounted to CU40 000 at the acquisition date (CU100 000 × ).

P Ltd considered the fair value of the plant to be CU94 500 at the acquisition date and agreed with its remaining estimated useful life of seven years.

What is the cost price of the plant for the group?

The group acquired this plant at a fair value of CU94 500 (the cost at which the plant should be recognised by the group at the acquisition date).

The accumulated depreciation of the plant at the acquisition date (CU30 000) should be reversed against the cost price of the plant by using pro-forma journal entries.

			CU	CU
Dr		Accumulated depreciation	30 000	
	Cr	Plant		30 000

The cost price of the plant should then be increased by CU24 500 to recognise the fair value adjustment at the acquisition date ($\text{CU}100\,000 - \text{CU}30\,000 + \text{CU}24\,500 = \text{CU}94\,500$). Thus, the net effect of the fair value adjustment at the acquisition date amounts to CU24 500.



The tax base of this asset remains unchanged at CU40 000. From a group perspective, the carrying amount has increased to CU94 500. The temporary difference of this asset, from a group perspective, amounts to CU64 500 ($\text{CU}94\,500 - \text{CU}40\,000$). S Ltd would have recognised deferred tax for this asset in its own financial statements. Assuming that a normal tax rate of 27% applied, a deferred tax liability of CU8 100 ($\text{CU}30\,000 \times 27\%$) was recognised by S Ltd. From the group's perspective, a deferred tax liability of CU14 715 ($\text{CU}54\,500 \times 27\%$) exists at the acquisition date. This means that as a result of the fair value adjustment of the plant of CU24 500, a **deferred tax liability adjustment** is required of **CU6 615** ($\text{CU}24\,500 \times 27\%$, or $\text{CU}14\,715 - \text{CU}8\,100$).

Assuming the same information as in the earlier examples, the following pro-forma journal entry is required in order to adjust the fair value of the plant and the acquisition date, to allocate the appropriate portion to non-controlling interest and to determine goodwill:



What is the depreciation charge of the plant for the group after the acquisition date?

The group confirmed the remaining useful life of the plant, but the cost price of the plant for the group amounts to CU94 500. The annual depreciation of the plant for the group

amounts to 

As the carrying amount of the plant is higher in the group statement of financial position, the annual depreciation to be included in the group financial statements after the acquisition date should be increased by CU3 500. The subsidiary will continue to claim wear and tear tax allowances in the following year and record the necessary adjustments for deferred tax in its separate financial statements. However, the increase in the depreciation expense in the group will result in a deferred tax adjustment on consolidation.

In the first year after the acquisition date of the subsidiary, the following pro-forma journal entries are therefore required:

Pro-forma journal entry to allocate the appropriate portion to non-controlling interest (CU3 500 × 73% = CU2 555 × 40%)

The three pro-forma journal entries above form a unit:

- The first pro-forma journal entry effects the adjustment for depreciation in the current year profit of S Ltd from the group's perspective resulting from the higher cost of the asset in the group.
- The second pro-forma journal entry effects the deferred tax adjustment that is required as a result of the increase in the group's depreciation charge.
- The third pro-forma journal entry allocates the after-tax effect of the change in the profits of S Ltd from the group's perspective to non-controlling interest.

6.6 Eliminating inter-company (intra-group) transactions

Whenever related entities trade with each other or borrow or lend money from and to each other, the separate legal entities disclose the effects of these transactions in the assets and liabilities recorded and the profits and losses reported. The effects of transactions within the group must be adjusted for in the preparation of consolidated financial statements so that the consolidated financial statements only include transactions with third parties. The principle underlying the preparation of group financial statements is that the financial statements represent the results of the group as **one economic entity**. An entity cannot make profits by entering into transactions with itself.

Key principle:
Intra-group transactions

Intra-group transactions between the parent and a subsidiary (and between two or more subsidiaries) should be eliminated in full. Refer to paragraph 86(c) of IFRS 10, which requires the elimination, in full, of intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between entities of the group. Any temporary differences that arise from the elimination of profits and losses resulting from intra-group transactions should also be adjusted or eliminated.

When consolidated financial statements are being prepared, the process starts with the separate financial statements of the parent and its subsidiaries, which are **added together**. The purpose of the consolidated financial statements is to provide information about the financial performance and financial position of the group as a result of its dealings with external entities. Thus, the effects of any intra-group transactions should be adjusted as part of the consolidation process.

Note that the parent and subsidiary should each prepare financial statements reflecting all of their transactions, including those entered into with each other. This is necessary, as they are separate legal entities that are required to prepare financial statements reflecting the results of each entity.

In terms of the accrual basis, income and expenses can only be recognised when earned or incurred. Similarly, group financial statements should only reflect the results of transactions between the group and third parties. For example, where the parent has charged the subsidiary interest on an internal loan, the parent should include the interest income, while the subsidiary should recognise the interest expense as finance costs. These two balances should be netted off on consolidation, otherwise the interest income and the finance costs would be overstated in the consolidated statement of profit or loss and other comprehensive income as a result of the internal charge. Interest income should only include amounts earned from outside the group, and interest expense should only include amounts charged outside the group. Similarly, the loan asset and loan liability should be eliminated, as no amounts are receivable from or payable to third parties.

Other examples of similar internal charges between a parent and a subsidiary are management fees, rental charges and royalties. Even though the net effect of these charges on the consolidated group profit or loss is zero, these charges should be netted off on consolidation to ensure that the line items disclosed on the face of the consolidated statement of profit or loss and other comprehensive income (for example, interest revenue) and the details included in the notes to the consolidated financial statements do not include transactions between entities within the same group.



ETHICAL DILEMMA

Ethical dilemmas arise when group entities manipulate intercompany transactions to influence consolidated financial statements. This can involve inflating revenues, understating expenses, or transferring assets or liabilities between entities to manipulate financial results. For example, failing to eliminate intercompany balances can lead to double counting of revenues or expenses, distorting the financial position and results of the consolidated entity. Manipulating intercompany transactions undermines the accuracy, transparency and integrity of the consolidated financial statements. Accountants and auditors must exercise ethical judgement and ensure proper elimination procedures are followed.

Example of consolidation process to eliminate intra-group transactions

Assume that P Ltd, having a controlling interest of 80% in S Ltd, has granted a loan to S Ltd of CU500 000. Interest of CU25 000 was incurred relating to this loan during the current period. At the reporting date, the interest for the period was accrued to the loan.

The following balances will be included in the financial statements of the separate legal entities:



The loan to S Ltd (in P Ltd) and the loan from P Ltd (in S Ltd) need to be eliminated in the group financial statements. Similarly, the interest income and the interest expense should also be eliminated.

If these balances are not eliminated, the group will overstate its current assets and current liabilities as well as interest income (included in revenue) and interest expense.

6.6.1 Dividends declared by the subsidiary

When a subsidiary company distributes profits earned after acquisition (dividends declared), the portion of the distribution relating to the parent's shareholding is recognised by the parent as dividends received. The parent includes any dividend income received from the subsidiary in profit or loss, together with any other dividends received. The subsidiary recognises dividends declared as an appropriation of the retained earnings in the statement of changes in equity.

The total dividend declared by the subsidiary must be eliminated in the consolidated financial statements, as the only dividends that should be reflected as being declared are those payable to the outside shareholders. The portion attributable to the parent should be eliminated against dividends received by the parent, thereby eliminating the inter-company transaction. The portion of the subsidiary's dividend attributable to the non-controlling shareholders should be allocated to the non-controlling interest on the group statement of financial position, resulting in a reduction to the net credit balance of non-controlling shareholders, representing their share of the net assets of the subsidiary. This adjustment to the non-controlling interest on the group statement of financial position represents the reduction in the net assets of the subsidiary resulting from a distribution of some of those net assets to the shareholders in the form of a dividend.

Dr		Dividend income (parent): Parent's share
Dr		Non-controlling interest (equity) (based on its shareholding)
	Cr	Dividends (subsidiary): 100%

Pro-forma journal entry allocating the subsidiary's dividends to the parent equity holders and non-controlling interest

The consolidated statement of profit or loss and other comprehensive income should not include dividends received by the parent from the subsidiary entity. It should only include dividends received from outside the group. The statement of changes in equity should **only include** dividends declared by the parent as an adjustment to group retained earnings.

When the subsidiary declares a **dividend that has not yet been paid**, a liability (dividends payable) should be recognised. The parent should recognise dividend income once it is entitled to receive the dividend, at which stage

an asset (dividends receivable) should be recognised. The parent's dividends receivable portion should be eliminated against its portion of the dividends payable by the subsidiary.

Dr		Dividends payable (subsidiary): Parent's share
	Cr	Dividend receivable (parent): Parent's share

Pro-forma journal entry eliminating the dividends receivable and payable within the group

The non-controlling shareholders' share of a dividend that has been declared but not paid should be shown as a liability, as it is an obligation to pay an external party.

Refer to Section 6.7 for a discussion of preference dividends declared and paid by the subsidiary.

6.6.2 Intra-group inventory transactions

Parent–subsidiary relationships are often used to benefit the group as a whole. One of the methods used is that inventory is sold between group companies at favourable prices. Where inventory is transferred between entities at a price different from the cost price, that price is referred to as either the 'transfer price' (which represents an agreed price between the parent and subsidiary) or the 'selling price' (also referred to as the 'retail price'). This is similar to a head office transferring inventory to a branch. The head office can add a mark-up to the cost price of the inventory, thereby transferring it to the branch at a transfer price that differs from cost. It is important that you reverse the effect of any inventory transfers of this nature between the parent and a subsidiary (or more than one subsidiary) on consolidation so that the consolidated financial statements recognise inventory on hand at the cost price to the group and only include transactions with parties outside the group. The group profit or loss should only recognise sales and the cost of sales, and therefore gross profit on the transactions, when the goods are actually sold to a party outside the group. Consider the following:

- Inventory sold to another entity in the group may **have been sold to third parties**. The effect of this external sale is that the profit is realised, which means that there is no overstatement of an asset (inventory), as the inventory has been sold. However, this transaction will result in an **overstatement of sales and cost of sales in the group**, as the intra-group sale will result in the double counting of the same transaction in the group financial statements. This should be reversed as follows:

			CU	CU
Dr		Sales (P/L)	100	
	Cr	Cost of sales (P/L)		100

Pro-forma journal entry 1 reversing all the sales that took place during the year

- Inventory sold to another entity in the group may still be on hand at the reporting date, either partially or entirely. In addition to the effect described above, the effect of this entry is that the **inventory (asset) is overstated** in the financial statements of the entity that acquired the inventory. The inventory includes an intra-group profit that is unrealised and should be reversed, as follows:

			CU	CU
Dr		Cost of sales (P/L)	20	

	Cr	Inventory		20
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Pro-forma journal entry 2 to reverse the unrealised profit included in closing inventory

The net effect of these two pro-forma journal entries is the same as the following:

			CU	CU
Dr		Sales (P/L)	100	
	Cr	Cost of sales (P/L)		80
	Cr	Inventory		20

The net effect of pro-forma journal entries 1 and 2 is a credit (a reduction) of the original cost of sales as recognised by the parent (or the entity that sold the inventory to another group entity).

The group cost of sales is therefore calculated as:

- 100% of the cost of sales recognised correctly by the parent and the subsidiary
- Less: The cost of sales relating to all intra-group transactions during the current year (there is no effect on profits, as sales are debited by the same amount; see pro-forma journal entry 1 above)
- Less: The reduction in the cost of sales for opening inventory to reduce the inventory from its transfer price to the cost price of the group
- Plus: Increases in cost of sales for unrealised profits included in closing inventory (see pro-forma journal entry 2 above).

Example of recording and eliminating intra-group inventory transactions for inventory not yet sold to third parties

Where a parent sells inventory to a subsidiary at a mark-up of 20%, a typical sale of inventory at the transfer price of CU120 000 would be recorded as shown below (assuming a perpetual inventory system).

The parent records the entries that follow in its separate general ledger.

			CU	CU
Dr		Current account: S Ltd (receivables)	120 000	
	Cr	Sales (P/L)		120 000

Recording sale of inventory to subsidiary

			CU	CU
Dr		Cost of sales (P/L)	100 000	

	Cr	Inventory		100 000
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Recording cost of sale of inventory to subsidiary

The entries that follow are recorded in the subsidiary's general ledger.

			CU	CU
Dr		Inventory	120 000	
	Cr	Current account: P Ltd (payable)		120 000

Recording inventory acquired from parent

The inventory on hand would be recognised in the statement of financial position of S Ltd at CU120 000, while the cost price of the inventory to the group amounted to CU100 000. The mark-up of 20% included in the carrying amount of the inventory should be reversed on consolidation against the profit of the entity that recognised the sale (in this example, it is the parent, as the parent sold the inventory to the subsidiary).

Assuming that the subsidiary has **not sold any of this inventory** at the reporting date, the following pro-forma journal entry needs to be recorded on consolidation:

			CU	CU
Dr		Sales (P/L)	120 000 ¹	
	Cr	Cost of sales (P/L)		100 000 ²
	Cr	Inventory		20 000 ³

Notes

1 and 2 These entries reverse the amounts recognised by the parent, as the transaction is an internal transaction. The effect is to reverse the gross profit of CU20 000 recognised by the parent, as the inventory has not been sold to a third party.

3 Crediting inventory by CU20 000 reduces the carrying amount of CU120 000 in the subsidiary to the cost of the inventory to the group of CU100 000.

You would need to eliminate the current accounts between the parent and subsidiary as well with the following pro-forma journal entry:

			CU	CU
Dr		Current account: P Ltd (S Ltd)	120 000	
	Cr	Current account: S Ltd (P Ltd)		120 000

The following balances will be included in the financial statements of the separate legal entities:

The end point only includes inventory at a balance of CU100 000. This makes sense, as the cost of the inventory to the group amounts to CU100 000, as indicated in the group column (end point).

Assuming that the inventory was sold intra-group in the prior financial year, an adjustment will be required to recognise the following:

- The prior year's retained income is overstated (as it includes profits unrealised from a group perspective).
- Cost of sales is overstated, as it is based on the cost of opening inventory to the buyer, which is higher than the cost to the group as a result of the unrealised profit.

The following pro-forma journal entry is required to make the necessary adjustment:

Dr		Retained earnings: Unrealised profit in prior year closing inventory
	Cr	Cost of sales (P/L)

The discussions above illustrate a situation in which a parent has sold inventory to the subsidiary, resulting in the carrying amount of the inventory in the statement of financial position of the subsidiary being overstated by the mark-up of the parent. The unrealised profit is recognised in the parent's financial statements and should therefore be adjusted against the parent's profit. Consequently, the adjustments have no effect on amounts attributed to the non-controlling shareholders.

Deferred tax implications

IAS 12, *Income Taxes*, applies to temporary differences that arise from the elimination of profits and losses resulting from intra-group (inter-company) transactions. The group adjustments required to eliminate unrealised profits and subsequently realise those profits therefore have deferred tax implications. These deferred tax implications will be based on how the asset (sold inter-company) is expected to be recovered (that is, through use or sale). In the case of inventory transactions, the reversal of the intra-group profits that are not realised will result in a temporary difference. The asset (inventory) is overstated, resulting in a deductible temporary difference that is recovered through usage (in other words, at the normal tax rate), thus resulting in a reduction of the tax obligation (deferred tax).

Example of the intra-group sale of inventory, including deferred tax implications

S Ltd (80%-held subsidiary) bought inventory for CU80 000 and sold it to P Ltd (its parent) for CU100 000 in year 1.

At the end of year 1

(Assume that none of the inventory acquired from S Ltd had been sold by P Ltd at the end of year 1.)

The following pro-forma journal entry is required to eliminate the unrealised profit in the inventory on hand in P Ltd (acquired from S Ltd) at the end of year 1:

			CU	CU
Dr		Cost of sales (P/L) (CU100 000 – CU80 000)	20 000	
	Cr	Inventory		20 000

Elimination of unrealised profit due to inter-group sale of inventory

The following pro-forma journal entry adjusts for the deferred tax implications in the group statement of financial position (SFP) and the group profit or loss of the above entry:

			CU	CU
Dr		Deferred tax (SFP) (CU10 000 × 27%)	5 400	
	Cr	Deferred tax (P/L)		5 400

Recording deferred tax implications resulting from elimination of unrealised profit

The inventory was sold by the subsidiary to the parent. Thus, from the group's perspective, the profit of the subsidiary attributable to the parent and non-controlling interest is overstated by CU14 600 (CU20 000 – CU5 400), which is the after-tax adjustment of the intra-group sale of the inventory. The following pro-forma journal entry allocates the portion of this unrealised profit to non-controlling interest:

			CU	CU
Dr		Non-controlling interest (equity) (CU14 600 × 20%)	2 920	
	Cr	Non-controlling interest (P/L)		2 920

Allocation of unrealised profit (net of tax) in the subsidiary to non-controlling interest

The deferred tax implications can be explained in two ways (they both lead to the same answer).

1 A statement of financial position approach

A summary of the impact of the inventory at S Ltd (company) and P Ltd (group level) is presented below.



Comments

- Our starting point (100% of S Ltd) includes no deferred tax asset or liability relating to the inventory, as the accounting treatment and the tax treatment in S Ltd are the same.
- However, at a group level, there is a deductible temporary difference of CU20 000. This arises because we have adjusted the carrying amount of the inventory to reflect the inventory at the cost to the group (CU80 000). As was discussed earlier, the group is not a taxable entity. Therefore, the tax base of the inventory at a group level equals the tax base of the company that legally owns the asset. In this case, this is S Ltd.
- As inventory is a non-depreciable asset, it is expected to derive future economic benefits through sale. Thus, the normal corporate tax rate best reflects recovery through sale in this case (as the inventory is trading stock for tax purposes). Using the corporate tax rate of 27% in South Africa, this gives rise to a deferred tax asset of CU5 400 at a group level.
- The contra is recognised in profit or loss, as that is where the temporary difference originated (the elimination of the unrealised profit).

2 A profit or loss approach

Alternatively, by eliminating the unrealised profit inherent in the closing inventory on hand at the end of year 1, group profits have decreased (reflected by the debit to cost of sales). Therefore, if group profits have decreased, group tax must have decreased as well (by the tax effects of how much group profits have been reduced: that is, by $\text{CU20 000} \times 27\%$).

Note that the deferred tax assets arise on consolidation, as the carrying amount of inventory in the group is lower than the tax base (as recorded by the subsidiary). When the inventory is subsequently sold by the subsidiary, there is no inventory and also no deferred tax asset. Any prior deferred tax asset recognised in the group should then be reversed (again, by using pro-forma journal entries).

6.6.3 Non-current asset transactions

The sale of a non-current asset between a parent and its subsidiary is an internal transaction. The effect of a sale of this nature should be reversed when consolidated financial statements are prepared, as the group cannot sell an asset to itself. The cost of an asset to the group is the cost when it was first acquired by the group. This is the acquisition cost if the acquirer was part of the group when the asset was acquired or the fair value of the asset at the date on which the subsidiary was acquired by the parent. The asset should be recognised in the consolidated statement of financial position at its **cost to the group**. Where an asset has been sold by a subsidiary to a parent (or by a parent to a subsidiary) at a profit, the profit should be eliminated on consolidation.

Example of intra-group sale of land

A subsidiary owned land at the date on which the parent obtained control of the subsidiary. The land had a cost price to the subsidiary of CU1 000 000. The parent

considered the fair value of the land at the acquisition date to be CU1 200 000, which is the cost to the group. After the acquisition, the subsidiary sold the land to the parent for CU1 500 000, realising a profit of CU500 000.

The following balances will be included in the financial statements of the separate legal entities:



Notes

1 This adjustment is recorded in the pro-forma journal entry at the acquisition date, representing the fair value adjustment for the land of CU200 000. This is required to determine the correct goodwill and the amount attributable to non-controlling interest.

2 This adjustment results from the reversal of the intra-group profit (recognised in S Ltd) when the land was sold to P Ltd. The cost of the land to the group is CU1 200 000 (its fair value at the date on which it was acquired) and the profit of CU500 000 recognised by the subsidiary should be reversed on consolidation. The financial statements of S Ltd (starting point) recognise the sale of the land and the profit. This should be reversed, as the land is an asset for the group (end point). Tax has been ignored.

Where an asset sold between a parent and a subsidiary is a depreciating asset, the cost to the group of that asset should be depreciated from the date on which it was acquired by the group over its expected useful life to its residual value. Any subsequent sale between the parent and subsidiary should be reversed.

6.7 Where the subsidiary has preference shares

When preparing group financial statements, you should pay particular attention to the rights attached to shares with preferential rights to receive dividends. If the share capital of a subsidiary consists of more than one class of share, the total owners' equity must be allocated among the different classes of capital in accordance with the particular rights attached to them. When analysing the equity of the subsidiary, the portion attributable to the preference shareholders must be allocated first. The balance is then attributable to the ordinary shareholders.

In terms of paragraph B95 of IFRS 10, if a subsidiary has outstanding **cumulative preference shares** that are held by non-controlling interests and classified as equity, the parent computes its share of profit or loss after adjusting for the dividends on these shares, irrespective of whether or not the dividends have been declared. Note that unless it is expressly stipulated, you should assume that preference shares are cumulative. Furthermore, while the preference dividend is in arrears and remains unpaid, preference shares may carry voting rights.

Where the shares are classified as **non-cumulative** and **non-redeemable**, the right to dividends lapses once the declaration date has passed. On consolidation, you should only eliminate the inter-company dividends when declared. Where the shares are classified as **cumulative non-redeemable**, these shares have a right to arrear dividends not yet declared. On consolidation, you have to allocate profits (dividends) to these shares, even if they have not been declared. In some cases, arrear dividends may attach voting rights, which means that these shares become shares with voting rights (similar to ordinary shares). This may change the nature of the investment and control.

Something to think about

Allocation of profits to preference shareholders

Why is this important? The preference shares are another form of equity share issued by the subsidiary. If the parent holds any of these preference shares, they should be eliminated in the consolidation process. If any of these preference shares are not held by the parent, they are held by non-controlling interest and should be allocated to those equity holders.

Where these preference shareholders have a right to a cumulative dividend, it implies that they have a right to that portion of the profits of the subsidiary. This means that you need to allocate the appropriate portion of the profits of the subsidiary to the preference shareholders prior to allocating the rest of the profits to the ordinary shareholders.

Example of a subsidiary with preference shares

A subsidiary has issued ordinary shares as well as CU100 000 preference shares, classified as cumulative preference shares, with no voting rights and a preferential right to receive 10% cumulative dividends per annum. P Ltd acquired an 80% controlling interest through its investment in the ordinary shares of the subsidiary. The subsidiary earned retained earnings between the acquisition date and the beginning of the current year (a period of three years) amounting to CU800 000 and current year profit after tax of CU250 000. The subsidiary has not declared any dividends for the current and prior reporting periods.

As a first step, the equity of the subsidiary should be allocated between its ordinary and preference shareholders. The reason for this is because the preference shareholders have a cumulative right to receive a portion of the profits of the subsidiary, limited to the annual dividend.

Allocation of profits of S Ltd since the acquisition date

The profits attributable to the ordinary and preference shareholders are then allocated based on actual interest:

- **If all the preference shares are held by P Ltd:** The annual equity attributable to the preference shareholders of CU10 000 is attributable to the parent equity holders in full.

•If P Ltd holds 25% of the preference shares: Profits amounting to CU2 500 per annum are attributable to the parent equity holders, with the balance attributable to outside shareholders (thus non-controlling interest).

•If none of the preference shares is held by P Ltd: This means that all the preference shares are held by outside shareholders, so the full profit attributable to the preference shareholders (CU10 000 per annum) is attributable to non-controlling interest.

Something to watch

Watch the Learn Accounting videos
Consolidations – The Basic Adjustments and Introduction – Pro Forma Journal Entries.

If the subsidiary has declared the preference dividend, it should be accounted for in a similar way as ordinary dividends, as discussed in Section 6.6.1. That means that the portion of the dividends received by the parent is eliminated against dividends received in the parent when consolidated financial statements are prepared, and the dividends relating to shares not held by the parent represent a distribution to non-controlling interests.

7 Changes in shareholding

Subsequent to acquiring a controlling interest in a subsidiary, the parent's shareholding could change as a result of any of the following circumstances:

- The parent acquiring additional shares in the subsidiary from the non-controlling shareholders or from the subsidiary itself if the subsidiary issues shares subsequently
 - The parent selling its shareholding or a portion thereof
 - The subsidiary issuing additional shares to the non-controlling shareholders
 - The subsidiary repurchasing shares from the non-controlling shareholders or the parent.

Some of these events may result in a **loss of control**. Still, when an equity interest is retained, the investor needs to determine if this represents the ability to exert significant influence or joint control.

Where a parent acquires additional shares in a subsidiary subsequent to obtaining control or where the parent sells shares in a subsidiary but still retains control, there is **no change in the economic entity** (the group entity). The group as an economic entity still consists of the parent and the subsidiary. These changes in ownership interest cannot give rise to gains or losses to the economic entity. The change in ownership is between the two owners within the group: the parent and the non-controlling interest. Thus, any gains or losses that arise from such changes in ownership (while the parent retains control) are accounted for as transactions between equity holders in the group. When transactions of this nature occur, you need to adjust the carrying amounts of the parent's controlling interest

and the non-controlling interest, reflecting the change in their respective ownership interest. Where the consideration paid to or received by the parent from the non-controlling interest on the acquisition of or sale of shares in the subsidiary exceeds the carrying amount of the relevant non-controlling interest in the subsidiary, the difference (gain or loss) is recognised directly in equity.

The effects of changes in the parent's shareholding can be complex and the detail underpinning the accounting treatment thereof is beyond the scope of this textbook. However, a summary focusing on the impact of a parent acquiring additional shares in a subsidiary from the non-controlling interest and the parent selling its shareholding in a subsidiary (or a portion thereof) is presented in [Figure 27.9](#).

Figure 27.9 Accounting for various changes in shareholding



7.1 Increasing shareholding in the subsidiary by acquiring additional shares from the non-controlling interest

At a group level, when a parent acquires an additional shareholding, the parent has transacted with the non-controlling interest, a class of shareholders of the group. Consequently, this is a transaction between the parent and an equity participant in the group.

Any difference between the amount paid to acquire the additional shareholding and the net asset value of the subsidiary at that date:

- Is not recognised as goodwill or a bargain purchase gain (see Section 3 of [Chapter 25](#), *Business combinations*) (goodwill arises as a result of obtaining control, and in this case, the parent already had control prior to the acquisition of more shares in the subsidiary)
- Is not recognised as a gain or loss in the statement of profit or loss and other comprehensive income, as that statement does not include transactions with owners (including the non-controlling interest) in their capacity as owners
- Is recognised directly in equity through the group statement of changes in equity.



Something to watch

Watch the Learn Accounting video
Subsidiaries – Part 1: Acquisitions and Increased Shareholdings.



Example of a parent increasing its shareholding in an existing subsidiary

On 1 January 20x1, A Ltd purchased a 70% shareholding in B Ltd at a cost of CU2.5 million. The fair value of the net assets of B Ltd at that date was CU3 million. Non-controlling interest is measured at attributable net asset value at acquisition. A Ltd acquired an additional 10% in B Ltd for CU500 000 on 1 January 20x2, resulting in A Ltd holding an 80% controlling interest in B Ltd.

The equity of B Ltd was as follows:



No dividends were declared by B Ltd in 20x1.

The pro-forma journal entries required in the group financial statements of A Ltd for the financial year ending 31 December 20x1 are as follows:



Elimination of equity as at the date of acquisition of controlling interest (1 January 20x1)

			CU	CU
Dr		Non-controlling interest (P/L)	300 000	
	Cr	Non-controlling interest (equity)		300 000

Allocation of current year post-acquisition profits of CU1 million (being CU3.9 million – CU2.9 million) to the non-controlling interest in their capacity as 30% shareholders of B Ltd



Adjustment directly to equity for the additional 10% shareholding acquired

In this case, A Ltd paid CU500 000 to acquire an additional 10% of B Ltd's equity, which at that date amounted to CU400 000, being CU4 million × 10%. A Ltd has therefore incurred a loss at a group level, which is taken directly to equity as it results from a transaction between shareholders.

7.2 Decreasing shareholding in the subsidiary as a result of the parent selling its shareholding in the subsidiary (or a portion thereof)

The sale of some or all the shares held in a subsidiary may affect whether the parent maintains control or has lost control. For example, when a parent sells all or the majority of its interest in a subsidiary, the transaction may result

in the parent no longer having the power to control the subsidiary. This section deals with decreases in the parent's shareholding when this decrease results in a loss of control as well as when that control is maintained.

7.2.1 Control is lost

A parent may lose control of a subsidiary when it sells some or all the shares in that subsidiary, resulting in another entity acquiring the controlling interest. In this case, the economic entity (group entity) changes, as it **no longer has a subsidiary**. The subsidiary should only be consolidated until the date on which control is lost. As there is no longer any non-controlling interest (as the subsidiary is no longer part of the group), this is not a transaction between the parent and a class of shareholders.

Where the parent does not sell its entire interest in the subsidiary, it retains some interest. The investment retained in the former subsidiary should be recognised at its fair value at the date when control is lost. The measurement of the remaining asset at fair value is factored into the calculation of any gain or loss on disposal of the shares in the subsidiary. Such a retained interest should be classified as either an acquisition of a **financial asset**, or an **interest in an associate**, or a **joint venture**. Thus, the group no longer has a subsidiary (it is derecognised as control is lost) and the group 'acquired' a financial asset, associate or joint venture at its fair value at the acquisition date.

Consequently, any profit or loss on the disposal of the subsidiary is recognised in the **group profit or loss**. In the group financial statements, the assets (including any goodwill) and liabilities of the subsidiary are derecognised at their carrying amounts at the date on which control is lost, and the carrying amount of any non-controlling interest is derecognised. This makes sense, as the parent has lost control of the assets and liabilities of the subsidiary. At the same time, the parent should recognise the fair value of the consideration received from the transaction that resulted in the loss of control and any investment retained in the subsidiary. The investment retained in the former subsidiary should be recognised at its fair value at the date on which control is lost. The measurement of the remaining asset at fair value is factored into the calculation of any gain or loss on disposal of the shares in the subsidiary.

The following 'formula' is described in IFRS 10, paragraphs 25 and B98. It is used to determine the group profit or loss at the date when control is lost.

Fair value of the proceeds on disposal + Fair value of the interest retained –
Parent's share of the carrying amount in the group of the net assets = Group profit
or loss on disposal of subsidiary

7.2.2 Control is maintained

As discussed above, this is a transaction (at a group level) between the parent and the non-controlling interest, a class of shareholders of the group. Therefore, any profit or loss on disposal (being the difference between the proceeds and the net asset value of the subsidiary sold) cannot be recognised in the statement of profit or loss and other comprehensive income. Instead, the profit or loss on disposal is recognised directly in equity through the group statement of changes in equity.

Goodwill arising from acquiring the controlling interest in the subsidiary does not change, as control has not changed.

Something to think about

The effect of a change in shareholding

From the group's perspective, when the parent sells a portion of its interest in a subsidiary and retains control, this represents a transaction between the equity holders. Consolidation of that subsidiary should continue, and the change in equity holding in the subsidiary is recorded in equity.

However, when the parent sells a portion of its interest in a subsidiary to the extent that control is lost, from the group's perspective, the controlling interest is 'sold', and the subsidiary should no longer be consolidated.

Example of a parent decreasing its shareholding in an existing subsidiary

Scenario 1: Control is maintained

D Ltd purchased 90% of the shares in E Ltd on 1 January 20x4 for CU10 million. At that date, the net asset value of E Ltd was CU8 million. The net assets of E Ltd had increased to CU9 million at 31 December 20x4, at which stage D Ltd sold 20% of E Ltd for CU3 million.

No dividends were declared by E Ltd in 20x4. Ignore tax.

The pro-forma journal entries required in the group financial statements of D Ltd for the financial year ending 31 December 20x9 are as follows:

		CU	CU
Dr	Equity at date of acquisition	8 000 000	
Dr	Goodwill (CU10m + CU800 000 = CU10.8m – CU8m)	2 800 000	
	Cr Investment in subsidiary		10 000 000
	Cr Non-controlling interest (equity) (CU8m × 10%)		800 000

Elimination of equity as at the date of acquisition of controlling interest (1 January 20x4)

		CU	CU
Dr	Non-controlling interest (P/L)	100 000	
	Cr Non-controlling interest (equity)		100 000

Allocation of current year post-acquisition profits of CU1 million (being CU9 million – CU8 million) to the non-controlling interest in their capacity as 10% shareholders of B Ltd

		CU	CU
Dr	Investment in B Ltd ¹	2 222 222	
Dr	Profit on sale (P/L) ¹	777 778	
	Cr Non-controlling interest (equity) (CU9 million × 20%)		1 800 000
	Cr Profit on change in shareholding (equity) ²		1 200 000

Adjustment directly to equity for the 20% shareholding acquired

Notes

1 In D Ltd's separate annual financial statements, it sold a portion of its investment. D Ltd recognised a profit on disposal in its separate profit or loss of CU777 778, being the CU3 million received for selling 20% of E Ltd less the cost of the investment sold of

CU2 222 222 (CU10 000 000 × $\frac{20}{100}$).

The carrying amount of the investment in D Ltd's separate financial statements after the sale is CU777 778. Processing a credit to investment of CU10 million in the first journal entry will result in a credit balance of CU2 222 222. This debit to investment offsets that balance and results in the desired zero balance.

2 Adjustment for the 20% shareholding sold is recognised directly in equity. In this case, D Ltd received CU3 million to sell 20% of E Ltd's equity, which at that date amounted to CU1 800 000, being CU9 million × 20%. D Ltd has therefore earned a profit of CU1 200 000 at a group level, which is recognised directly in equity.

Scenario 2: Control is lost

D Ltd purchased 90% of the shares in E Ltd on 1 January 20x4 for CU10 million. At that date, the net asset value of E Ltd was CU8 million. The net assets of E Ltd had increased to CU9 million at 1 January 20x5, at which stage D Ltd sold its shareholding in E Ltd for CU12 million.

No dividends were declared by E Ltd in 20x5. Ignore tax.

The pro-forma journal entry required in the group financial statements of A Ltd for the financial year ending 31 December 20x5 is as follows:

			CU	CU
Dr		Profit on sale (P/L) ¹	900 000	
	Cr	Retained earnings ²		900 000

Notes

1 In D Ltd's separate annual financial statements, the sale of the investment is recognised. D Ltd recognised a profit on disposal in its separate profit or loss of CU2 million, being the CU12 million received for selling its shareholding in E Ltd less the cost of the investment sold of CU10 million. At a group level, D Ltd has lost control of net assets of CU9 million and goodwill of CU2.8 million (see Scenario 1) for CU12 million. The group will also derecognise non-controlling interest of CU900 000 (CU9 million × 10%). At a group level, D Ltd can recognise a profit on disposal of CU1.1 million (being CU12 million – [CU9 million + CU2.8 million – CU0.9 million]). D Ltd's separate financial

statements reflect a profit of CU2 million. The amount recognised in the group financial statements is CU1.1 million. The adjustment amounts to CU900 000.

2 The prior year post-acquisition profits attributable to the shareholders of D Ltd amount to CU900 000 (CU1 million $\times$ 90%).

Note that no other adjustments will be required in respect of this subsidiary, as it was not a subsidiary during any part of the year (the sale having taken place on the first day of the current year). The trial balance of the subsidiary is therefore not included in the starting point when doing the consolidation entries.

Something to watch

Watch the Learn Accounting video
Subsidiaries – Part 2: Reduced Shareholdings, Control Maintained and Loss of Control.

Something to do

For further explanations and detailed examples, refer to *Financial Accounting: Groups* by Ilse Lubbe *et al.* (2014).

7.3 Step acquisitions

In a business acquisition achieved in stages, or a step acquisition, the investor had an existing investment in the subsidiary prior to obtaining control. The investor either had an investment in an associate or had an investment in a joint venture, and, by acquiring more shares in the same entity, obtained a controlling interest in a 'new' subsidiary (see IFRS 3, *Business Combinations*, paragraphs 41–42A).

In a business combination achieved in stages, the investor (acquirer) remeasures its previously held investment at fair value when it acquires additional shares in the same entity. The difference between the fair value of the previously held investment and its carrying amount is recognised as a gain or a loss.

Such a gain or loss is often referred to as a 'deemed gain or loss' as the original investment is not in fact sold, but from a group's perspective, it is no longer classified as an investment in an associate or joint venture or a financial asset. The increase in shareholding resulted in the investor acquiring a controlling interest and the investment being classified as an investment in a subsidiary.

Think about this as two steps:

- **Step 1:** The investor ‘disposes’ of its interest in an associate/joint venture or financial asset at its fair value, and recognises the difference between the carrying amount of the investment and its fair value as a gain or loss, in profit or loss or in other comprehensive income.
- **Step 2:** The investor ‘acquires’ a controlling interest in a subsidiary, comprising of the sum of the fair value of the existing interest (according to step 1 above) and the consideration transferred to the additional interest.

Something to think about

All equity investments that are in the scope of IFRS 9, *Financial Instruments*, are to be measured at fair value in the statement of financial position, with changes in fair value to be recognised in profit or loss, except for those equity investments for which the entity has elected to recognise fair value changes in other comprehensive income.

For investments classified as subsequently measured at fair value in other comprehensive income, the fair value gains and losses resulting from a step acquisition are recognised in other comprehensive income.

The accounting treatment is similar to the discussion above where the parent disposed of part of the shares in a subsidiary and lost its controlling interest, and then acquired an interest in an associate, joint venture or financial asset.

Think about these transactions using a timeline, as in [Figure 27.10](#) below.

Figure 27.10 Illustrating the two steps in the business combination acquired in stages

Example of an increase in shareholding, with control obtained (step acquisition)

The trial balance of A Ltd at 31 December 20x2, which is the financial year end of A Ltd and H Ltd (and the H Ltd group) is presented below:

Assume that all profit or loss items of A Ltd arose evenly throughout the 20x2 financial year. Both H and A Ltd revalued their respective plots of owner-occupied land on 1 January 20x2.

H Ltd acquired 6% of the ordinary shares in A Ltd on 30 June 20x1 for CU500. On 31 December 20x2, H Ltd acquired a further 54% interest in A Ltd for CU9 000. All the assets and liabilities of A Ltd were considered fairly valued at that date. The non-

controlling interest was measured at its proportionate share of the net assets of A Ltd at the acquisition date.

The 6% shareholding in A Ltd has been measured at fair value through other comprehensive income in accordance with IFRS 9, *Financial Instruments*, and had a fair value of CU600 and CU900 on 31 December 20x1 and 20x2, respectively.

What are the journal entries in the separate financial statement of H Ltd?

Year ended 31 December 20x1

			CU	CU
Dr		Investment in A Ltd (financial asset)	500	
	Cr	Bank		500
Dr		Investment in A Ltd (financial asset)	100	
	Cr	Fair value adjustments (OCI) ²		100

Acquisition of investment in financial asset and subsequent measurement at fair value through other comprehensive income

Year ended 31 December 20x2

			CU	CU
Dr		Investment in A Ltd (financial asset) ¹	300	
	Cr	Fair value adjustments (OCI) ²		300
Dr		Investment in A Ltd (subsidiary) ¹	9 000	
	Cr	Bank		9 000

Fair value measurement of investment in financial asset and acquisition of additional interest in A Ltd (now a subsidiary)

Notes

The investment is in the same entity, A Ltd. However, the classification of the investment changed from being a financial asset to an investment in a subsidiary. The carrying amount of the investment in A Ltd at 31 December 20x2 is CU9 900 (CU500 + CU100 = CU600 + CU300 + CU9 000).

These fair value adjustments (OCI) have deferred tax implications that are not presented here. These will not change any of the discussions that follow.

What are the carrying amounts recognised in separate financial statements of H Ltd relating to the investment in A Ltd?

Calculate the goodwill arising on the acquisition of the controlling interest in A Ltd.

Notes

The **equity of A Ltd** at the acquisition date comprises of: share capital: CU1 000; retained earnings: CU10 000; other comprehensive income, net of tax: CU430 (CU528 – CU98); profit after tax: CU2 840 (CU8 000 – CU2 000 – CU2 000 – CU1 160) = CU14 270. (This is at the proportionate share of fair value of net assets at acquisition.)

Can you explain the implications for the original 6% shareholding as a result of acquiring the controlling interest in A Ltd?

Previously, the 6% shareholding was measured at fair value through other comprehensive income in the separate and group financial statements of H Ltd and recognised at its fair value of CU600 on 31 December 20x1, with the fair value adjustment of CU100 recognised in other comprehensive income.

In **20x2**, the separate annual financial statements will reflect the investment at CU900 as part of the cost of the investment in A Ltd. The fair value adjustment of CU300 is recognised in other comprehensive income. Thus, the investment in A Ltd is measured at fair value prior to the change in shareholding.

In the group financial statements, H Ltd is deemed to have ‘sold’ its financial instrument and acquired a controlling interest in the subsidiary:

- The fair value adjustment of CU300 is recognised in **other comprehensive income**. (See IFRS 3, paragraphs 41–42A.)

What pro-forma journal entry or entries would H Ltd process as at 31 December 20x2?

The starting point is 100% of H Ltd and 100% of S Ltd. As the controlling interest in A Ltd was acquired on 31 December 20x2, the equity of S Ltd (including the current year’s profit or loss and other comprehensive income line items) is eliminated at the acquisition date.

8 Disclosure

The presentation and disclosure of financial statements are dealt with in IFRS 18, *Presentation and Disclosure in Financial Statements*, while the disclosures required in consolidated financial statements are specified in IFRS 12, *Disclosure of Interests in Other Entities*. The key objective of these disclosure requirements is to ensure that an entity discloses information that enables users of its financial statements to evaluate the nature of its interests in other entities and the risks associated with these interests, as well as the effects of those interests on its financial position, financial performance and cash flows.

Together with the acquirer's financial statements, group financial statements should fairly present the financial position, the results of the operations and changes in the financial position of the acquirer as well as the group in compliance with the requirements of the IFRS Accounting Standards. Group financial statements should also include comparative figures for each balance presented in the statements, including those balances in the notes to the financial statements.

When group financial statements are prepared, the headings of the statements should clearly indicate that these are **group financial statements** or **consolidated financial statements**. The parent presents group financial statements at the **reporting date** in line with the reporting date of the parent. Where the financial statements of a subsidiary are as of a date that differs from that of the parent, details of both the date used by the subsidiary as well as the reason for using a different date must be disclosed. As the parent controls the subsidiary, the choice of a different date must be made by the parent and not the subsidiary.

It is common practice for group financial statements to be presented with the acquirer's separate financial statements. It is important that you indicate clearly which balances represent group figures and which balances indicate the figures of the acquirer only, which are referred to as '**separate financial statements**' (see [Chapter 26](#), *Separate financial statements*).



ETHICAL DILEMMA

Ethical dilemmas arise when group entities fail to provide adequate disclosures about the methods and assumptions used in preparing consolidated financial statements. Lack of transparency in consolidated financial statements can mislead stakeholders and prevent them from fully understanding the consolidated entity's financial position, performance and risks. Group entities should provide comprehensive and transparent disclosures to promote informed decision-making.

8.1 Significant judgements and assumptions

IFRS 12 requires an entity to disclose the significant judgements and assumptions that it has made in determining the nature of its interest in another entity. In particular, it should disclose judgements, assumptions and changes in the assumptions in relation to subsidiaries. The following examples of judgements and assumptions are listed in paragraph 9 of IFRS 12, *Disclosure of Interests in Other Entities*:

- Where an entity does not control another entity, but holds more than half of the voting rights in the other entity

- Where an entity controls another entity, but holds less than half of the voting rights of the other entity
- Where an entity is an agent or a principal.

8.2 Composition of the group

In order to assist users of financial statements to understand the nature of the group, IFRS 12, *Disclosure of Interests in Other Entities*, requires that an entity disclose information that enables users of its consolidated financial statements to do the following:

- Understand the composition of the group and the non-controlling interest in the group's activities and cash flows
 - Evaluate:
 - The nature and extent of significant restrictions on its ability to access or use assets and settle liabilities of the group
 - The nature of and changes in the risks associated with its interests in consolidated structured entities
- The consequences of changes in its ownership interest in a subsidiary that do not result in a loss of control
 - The consequence of losing control of a subsidiary during the reporting period.

8.3 Details of subsidiaries

Paragraph 12 of IFRS 12, *Disclosure of Interests in Other Entities*, requires the disclosure of the following information **for each subsidiary** in which a non-controlling interest exists (in other words, subsidiaries that are not wholly owned):

- The name of the subsidiary
- The principal place of business and country of incorporation of the subsidiary
 - The proportion of ownership interest held by non-controlling interest
- The proportion of voting rights held by non-controlling interest, if different from the proportion of ownership interest held
- The profit or loss allocated to non-controlling interest of the subsidiary during the reporting period
- Accumulated non-controlling interest of the subsidiary at the end of the reporting period

- Summarised financial information about the subsidiary.

Furthermore, for any subsidiary that has non-controlling interest that is material to the reporting entity (refer to paragraph B10 of IFRS 12, *Disclosure of Interests in Other Entities*), an entity should disclose the following information:

- Dividends paid to non-controlling interest
- Summarised financial information about the assets, liabilities, profit or loss and cash flows of the subsidiary in order to enable users to understand the share that non-controlling interest has of the group's activities and cash flows.

Note that the summarised financial information is required before adjusting for intra-group transactions. Where an entity has significant restrictions on its ability to access or use the assets or settle the liabilities of the group, this information should be disclosed.

8.4 Changes in ownership

Where there are changes in a parent's ownership interest in a subsidiary that **do not result in a loss of control**, paragraph 18 of IFRS 12, *Disclosure of Interests in Other Entities*, requires that the entity present a schedule that shows the effects of any changes in its ownership interest in a subsidiary that do not result in a loss of control by the parent.

On the other hand, where a parent **loses control of a subsidiary** during the reporting period, the entity should disclose the gain or loss, if any, and the portion of that gain or loss attributable to measuring any investments retained in the former subsidiary at its fair value at the date on which control is lost, as well as the line item or items in profit or loss in which the gain or loss is recognised, if it is not presented separately.

Key points to take from this chapter

- IFRS 10, *Consolidated Financial Statements*, requires a parent to present consolidated financial statements.
- Consolidated financial statements are a single set of financial statements in which the financial statements of the separate, individual entities in a group are combined so that they show the financial position and performance of the group of entities presented as if they were a single economic entity.
- Consolidated financial statements are prepared by the parent entity (the entity that controls the subsidiary).
- Non-controlling interest is the equity in a subsidiary not attributable, directly or indirectly, to the parent.
- Goodwill arising on consolidation is the excess that the parent pays (consideration transferred) for its controlling interest and the non-controlling interest at the acquisition date, less the fair value of the net identifiable assets of the subsidiary:

- Full goodwill is recognised when the non-controlling interest at the acquisition date is measured at fair value.
- Partial goodwill is recognised when the non-controlling interest at the acquisition date is measured at its share of the net identifiable assets, fairly valued.
- Consolidated financial statements are prepared for the group as a single economic entity. This means that assets, liabilities, income and expenses presented in the financial statements should be those originating from transactions with parties outside the group. Intra-group transactions should be eliminated, as these are transactions within the group.
- Changes in shareholding may result in control being retained by the parent, or control being lost:
 - When a controlling interest is retained, any changes in the attributable equity are recognised as a transaction between the different equity holders in the group.
 - When control is lost, the parent no longer has a subsidiary and consolidation is no longer appropriate. The group recognises a profit or loss on disposal of a subsidiary.

Discussion questions

1. In terms of IFRS 10, under what circumstances is it not required for a company to prepare group financial statements? Is there any legal requirement for a company to prepare group financial statements? Explain.
2. Define the terms 'parent' and 'subsidiary'.
3. Explain the difference between a wholly owned subsidiary and a partly owned subsidiary.
4. Would you recognise the non-controlling interest's share of group profit or loss as an expense in the group statement of profit or loss and other comprehensive income? Motivate your answer.

Exercise questions

Question 1

P Ltd purchased 65% (and control) of S Ltd for CU170 000 on 1 January 20x1. All assets and liabilities were considered to be fairly valued, except for land, which was undervalued by CU50 000. The land was sold to a third party on 15 August 20x2 for CU450 000. At 31 December 20x2, the total equity of S Ltd amounted to CU400 000 (20x1: CU300 000).

You are required to do the following:

Calculate the amount that will be disclosed as non-controlling interest in equity at 31 December 20x2 in the consolidated statement of financial position of P Ltd, including the comparative amount.

Question 2

P Ltd purchased 80% (and control) of S Ltd on 1 January 20x3. At this date, plant and machinery that had a cost of CU200 000, had accumulated depreciation of CU40 000 and had a remaining useful life of eight years was considered to be undervalued by CU80 000. Profit for the year ended 30 June 20x5 amounted to CU150 000 for P Ltd and CU260 000 for S Ltd.

You are required to do the following:

1. Calculate the cost of plant and machinery to be included in the consolidated statement of financial position of P Ltd at 30 June 20x5 relating to the information given above.
2. Calculate the accumulated depreciation of plant and machinery to be included in the consolidated statement of financial position of P Ltd at 30 June 20x5 relating to the information given above.
3. Calculate the portion of profit attributable to non-controlling interest for the year ended 30 June 20x5.

Question 3

P (Pty) Ltd bought 100% of shares issued in two companies, SH (Pty) Ltd and SU (Pty) Ltd respectively. All assets and liabilities of the two subsidiaries were fairly valued at the date of acquisition.

In the current financial year, P (Pty) Ltd sold inventory with a cost price of CU2 000 to SH (Pty) Ltd for CU3 000. Due to a decrease in demand, SH (Pty) Ltd decided to sell the inventory to SU (Pty) Ltd for CU3 500.

All inventory purchased from SH (Pty) Ltd was on hand at year end.

You are required to do the following:

1. Calculate the missing figures for sales, cost of sales and inventory balance, and fill in the missing amounts in the table below. Where you believe an amount should be zero, indicate this clearly in your table.



2. Prepare the pro-forma journal entry or entries that P (Pty) Ltd would process to account for the sale of inventory. Ignore dates and narrations, but briefly explain why you have debited or credited the above accounts.

Question 4

H Ltd purchased 60% of the shares (and has control) of S Ltd on 1 April 20x5 for CU130 000. At that date, the equity of S Ltd consisted of 80 000 shares (with voting rights) of CU160 000 and retained earnings of CU40 000. H Ltd considered all the assets and liabilities of S Ltd to be fairly valued at that date. The fair value of the non-controlling interest was CU82 500 at the acquisition date.

S Ltd issued 500 000 6% cumulative non-redeemable preference shares on 1 July 20x7. These preference shares were issued at CU600 000 and no dividends have been declared or paid since the issue date. H Ltd paid CU180 000 to acquire 150 000 of these preference shares at the issue date.

The group has consistently applied the following accounting policies:

- Investments in subsidiaries are recognised at fair value in the separate financial statements of H Ltd and related fair value adjustments are recognised in profit or loss.
- Non-controlling interest is measured at fair value in the group financial statements.

The fair value of the investment in S Ltd was CU183 000 at 31 December 20x9 (20x8: CU165 000). You can assume that goodwill is not impaired and has never been impaired.

The following extracts are available from the statements of changes in equity for both H Ltd and S Ltd at 31 December 20x9 (the current reporting date):



Assume that a normal company tax rate of 27% and an effective capital gains tax rate of 21.6% apply.

You are required to do the following:

1. To the extent of the information provided, calculate the following amounts to be recognised in the group financial statements of H Ltd at 31 December 20x9:
 - a) Cumulative non-redeemable preference shares
 - b) Goodwill
 - c) Total comprehensive income attributable to the equity holders of the parent
 - d) Non-controlling interest (in the statement of financial position at 31 December 20x9).
2. Assume that the cumulative non-redeemable preference shares attach voting rights when the dividend is not declared. Briefly discuss the effect of this on the nature of H Ltd's investment in S Ltd.

References

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Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

28

Accounting for associates, joint ventures and joint arrangements

IFRS references

IAS 28: *Investments in Associates and Joint Ventures*

IFRS 11: *Joint Arrangements*

IFRS 12: *Disclosure of Interests in Other Entities*

IFRS for SMEs Accounting Standard references

Section 14: *Investments in Associates*

Section 15: *Interests in Joint Ventures*

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2 Definitions

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Key points to take from this chapter

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Learning objectives

By the end of this chapter, you should be able to:

- Identify an investment in an associate.
- Identify a joint arrangement.
- Distinguish between a joint operation and a joint venture.
- Account for investments in associates and joint ventures by applying the equity method.
- Account for an interest in a joint operation.
- Present and disclose the effects of investments in associates and joint ventures in the group financial statements of the investor.

Concept summary



1 Introduction

Investments in certain entities may not result in the investor being able to control the investee (as in the case of a subsidiary). Still, they could result in the investor having the ability to exert **significant influence** over the activities and decision-making processes of the investee as a result of its investment. We refer to an investment of this nature as an **investment in an associate**. In this case, the investee is an associate.

An investee is classified as an associate when the investor can exert **significant influence** over the decision-making of the entity. The investor does not control the assets of the associate, and it should not combine the assets of the associate with its own (as done when consolidating a subsidiary) because the assets of the associate are not assets of the group. However, the investor has rights to the net assets of the investee (as represented by the equity of the investee).

Alternatively, the investor may be a party to a **joint arrangement**. A joint arrangement is an arrangement where two or more parties have **joint control** due to a contractual agreement. 'Joint control' implies that the parties are able to control the operation, venture or project when acting together (collectively) because decisions relating to the operation, venture or project require their unanimous consent. If one party has the right to make decisions without the consent of the other party or parties to the contractual arrangement, then the first party has control, as opposed to having joint control. In a joint arrangement, no party is able to dominate the decision-making.

In recent years, various economic and political developments have resulted in business transactions being structured so that two or more investors have a joint interest. New initiatives have also been established where large corporate entities combine their capital and know-how with the entrepreneurship of a small venturer. Each party brings different skills to the arrangement, with mutual benefits derived from the combined project. Advantages that can benefit all the parties involved include the sharing of research and technology, the ability to achieve economies of scale and the opportunity of establishing a new venture that would otherwise be beyond the capabilities of the individual participants.

One form of a joint arrangement is a joint venture, where a joint venturer has rights to the net assets of a joint venture, similar to an investor in an associate.

Owing to its significant influence or joint control over the activities of the associate or joint venture, the investor should recognise any increases in the net assets (equity) of the associate or joint venture as these arise, as opposed to when they are distributed. Recognition of only the distributions received bears little relation to the performance of the associate. The group financial statements of the investor should be prepared using the equity accounting method, which recognises the group's share of equity as reflected in profit or loss and other comprehensive income when it is earned. Because the investor can exert significant influence or joint control, applying the **equity method** provides more informative reporting of the net assets and profit or loss of the investor.

Using the equity method, the investor should bring into account its share of the increase in equity of the associate or joint venture arising after the date on which significant influence or joint control was obtained. The equity method should continue to be applied until significant influence or joint control is lost.

In this chapter, you will learn how to apply the equity method to the investor's investment in an investee that is an associate or a joint venture. Note that where examples illustrate the accounting treatment of an associate, the same principles apply to an investment in a joint venture.

2 Definitions

The specific IFRS Accounting Standard that deals with investments in associates or joint ventures is IAS 28, *Investments in Associates and Joint Ventures*. This standard includes definitions of an ‘associate’ and ‘significant influence’, as explained below. Section 14 of the *IFRS for SMEs Accounting Standard, Investments in Associates*, contains similar descriptions of an associate and significant influence.

IFRS for SMEs Accounting Standard application

Section 15 of the *IFRS for SMEs Accounting Standard, Investments in Joint Ventures*, deals with the accounting for interests in joint ventures by small and medium-sized entities.

Whereas IFRS 11 defines a joint venture and joint operations as types of joint arrangements, the *IFRS for SMEs Accounting Standard* treats all contractual arrangements that result in joint control as joint ventures, of which joint operations are a type.

IFRS 11, *Joint Arrangements*, is the standard that deals with the accounting treatment of joint arrangements. IFRS 11 classifies joint arrangements into two types: joint operations and joint ventures. The standard requires an entity to determine which type of joint arrangement it is involved in and to account for its interest in that joint arrangement accordingly.

2.1 Associate

An associate is an entity in which the investor has significant influence. This entity can be a **company** or an **unincorporated entity** (for example, a partnership). This implies that an investor can be a partner in a partnership over which it exerts significant influence. The investor could have a direct interest in the entity (for example, the direct holding of an interest in the share capital of a company), or it could have an indirect interest, being able to exert significant influence over an entity via its subsidiaries (for example, where the investor together with its subsidiaries has significant influence over the activities of an entity, to the extent that the entity may be classified as an associate).

2.2 Significant influence

IAS 28 provides guidance on determining whether the investor has significant influence over the decision-making processes of the investee. For example, where the investor holds **20% or more of the voting power** of the investee, it is presumed that the investor has significant influence. On the other hand, where the investor holds less than 20% of the voting power of the investee, it is presumed that the investor does not have significant influence, unless this influence can be clearly demonstrated. Using the percentage interest as a guideline is referred to as a ‘rebuttal presumption’, meaning that it is assumed to apply unless there is clear evidence to the contrary.

The fact that another entity holds a substantial or majority interest in an investee does not necessarily preclude an investor from having significant influence. For example, the investee could be a **subsidiary of another entity**, but the investor could still have significant influence.

An investor has **significant influence** if any circumstances outlined in [Figure 28.1](#) exist.

Significant influence

... is the power to participate in the financial and operating policy decisions of the investee, but it is not control or joint control over those policies.

Figure 28.1 Indicators of significant influence



Potential voting rights that are currently exercisable or convertible should also be considered in assessing whether the investor has significant influence. As a practical guideline, you should take into account the ability of the investor to obtain financial information regarding the associate (for example, where the investor has access to the investee's management accounts) and the extent to which the investor can influence the amount paid by way of a dividend.

Significant influence is lost when the investor loses the power to participate in the financial and operating policy decisions of the investee. This can happen when the investor disposes of its interest in the associate, when there is a change in ownership (for example, if the investee issues more voting shares and the investor does not subscribe to these shares), or when the investee becomes subject to the control of a government, court, administrator or regulator (for example, if the investee is declared insolvent). Significant influence can also be lost as a result of a contractual agreement.



Link to the Sustainable Development Goals

Investments in associates and joint ventures should reflect a commitment to responsible and sustainable business practices. For example, by fostering collaboration between organisations to achieve common sustainability objectives, investments in associates and joint ventures can contribute to Sustainable Development Goal 17, which is 'Strengthen the means of implementation and revitalize the Global Partnership for Sustainable Development' (UN, 2015:14).

2.3 Joint arrangements

Joint arrangements may be structured in a number of different ways to give joint control. The arrangement does not have to take the form of a separate entity. In other words, it does not necessarily involve the registration of a company, or the setting up of a partnership or another entity. Even if it is a separate entity, it does not have to be incorporated. The joint control may be over all the operations of the business, over specific assets or over a separate entity. All these forms are included in the definition of a joint arrangement, provided that there is joint control.

A joint arrangement

... is an arrangement where two or more parties have joint control of a business operation as a result of a contractual arrangement.

IFRS 11 classifies joint arrangements into two types: joint operations and joint ventures. The classification is dependent on the rights and obligations of the parties to the arrangement:

- A joint operation is an arrangement whereby the parties that have joint control of the arrangement have **rights to the assets and obligations for the liabilities** relating to the arrangement. The parties that have joint control are joint operators.
- A joint venture is an arrangement whereby the parties that have joint control of the arrangement have **rights to the net assets** of the arrangement. The parties that have joint control are joint venturers.
- There may also be other parties who participate in the joint arrangement but do not have joint control of the arrangement.

IFRS 11 gives the following guidance to assist with the classification of a joint arrangement:

- It provides a description of the structure of the joint arrangement (in other words, whether or not the arrangement is structured through a separate vehicle).
- If the joint arrangement is not structured through a separate vehicle, the joint arrangement is a joint operation. This is because the contractual arrangement establishes the parties' rights to the assets and obligations for the liabilities relating to the operation. For example, two or more parties could combine their operations, resources and expertise to manufacture, market and distribute a particular product jointly or with each party responsible for a specific task using its assets and incurring its liabilities.
- A joint arrangement that is structured through another vehicle could be either a joint operation or a joint venture. Deciding on the classification of the joint arrangement requires judgement, taking the following into account:
 - The legal form of the separate vehicle
 - The terms of the contractual arrangement
 - Other facts and circumstances that may be relevant.

In other words, a key distinction between a joint operation and a joint venture is how the arrangement is structured. In a joint venture, the combined business structure or venture (in other words, all the assets and liabilities) are jointly controlled by both joint venturers. In contrast, for a joint operation, the parties that have joint control over the arrangement have rights to the assets, and obligations for the liabilities, of that arrangement.

Examples of joint arrangements

The following are examples of joint arrangements:

- If the assets and liabilities are held in a separate vehicle, but the legal form is such that the rights to the assets and obligations for the liabilities are those of the parties with joint control, then the arrangement is a joint operation.
- If the arrangement is being conducted through a separate vehicle, but the parties that have joint control have structured the contractual arrangement between themselves so that the terms indicate that the parties have rights to the assets of the joint arrangement, then the arrangement is a joint operation.
- The activities of the separate vehicle may be primarily to provide output to the parties that have joint control. This indicates that these parties have rights to substantially all the economic benefits of the assets of the arrangement. The liabilities incurred by the arrangement are satisfied by the cash flows received from the parties through purchasing the output. They are substantially the only source of cash flows contributing to the arrangement. As such, the parties effectively have obligations for the arrangement's liabilities. Consequently, the arrangement is a joint operation.

2.4 Joint control

Joint control is the contractually agreed sharing of control of an arrangement. The word 'joint' is not defined in IFRS 11 but implies sharing. If one party is the dominant party and has the right to a final casting vote, then there is no joint or shared control. **Control** exists when a party is exposed to or has rights to variable returns from its investment and has the ability to affect those returns through its power (in other words, it has the current ability to direct the relevant activities). In order to have joint control, the parties sharing the decision-making power must together be able to control the entity. This means that they are able to exercise more than half of the votes, if that is what drives decisions about the relevant activities of the joint arrangement. (See [Chapter 27](#), *Consolidated financial statements*, for a detailed discussion of the term 'control'.) If two parties jointly decide on a combined shareholding of 40%, their joint holding is insufficient to control the entity and they do not have joint control. Joint control thus implies both **joint** decision-making and the ability of the joint decision-makers to **control** the entity.

Joint control is established by a contractual arrangement, which normally ensures that no single party to the arrangement is in a position to control the economic activities of the entity unilaterally. In terms of IFRS 11, joint control does not exist without a **contractual arrangement**. In order to determine whether a contractual arrangement actually exists, you should refer to various sources (such as the minutes of discussions between the parties or the articles if the joint arrangement takes the form of an incorporated company). The contractual arrangement normally identifies which decisions require the consent of all the parties that have joint control and which decisions require the consent of the majority of those parties.

The contractual arrangement normally supplies the following details:

- The purpose, activity and duration of the joint arrangement
- The process through which board members or an equivalent governing body are appointed and their respective voting rights
- The decision-making process (the matters requiring decisions from the parties, the voting rights of the parties and the required level of support)
 - The capital or other contributions by parties

- How the parties share the assets, liabilities, revenues, expenses and profits of the arrangement.

Joint control relates to the nature of the decision-making power and is unrelated to the percentage shareholdings in the joint arrangement. For example, A may own 10% of the voting rights of an entity, B 10% and C the other 80%. Even though C is able to control the entity, if it entered into a contractual arrangement with either A or B, or both, and they contractually agreed that they would make decisions jointly, there would be joint control. However, even if A and B entered into a contractual arrangement relating to their interests in the entity, they would not have control, as they own less than 50% of the voting rights of the entity.

Example of joint control

Three entities have a contractual arrangement that stipulates their joint control of a project, while two further investors provide the finance only, without any involvement in the governance of the project.

This is illustrated in [Figure 28.2](#).

Figure 28.2 Example of joint control



Entities A, B and C have a combined shareholding of 75% and are therefore able to control the project. If they had a contractual arrangement that sets out joint decision-making (where no party has the final say), then they would have joint control. Despite the fact that they have different percentage holdings in the project, they must have equal rights in the decision-making process if the project is to be a joint arrangement.

The three entities and the two further investors all participate in the joint arrangement. However, Investors X and Y are not involved in any decision-making relating to the project. They provide finance for the project without having joint control over it.

The accounting for the interests in the joint arrangement is dependent on whether the parties have joint control (Entity A, Entity B and Entity C) or not (Investor X and Investor Y) and the type of joint arrangement.

3 Accounting for associates, joint ventures and joint arrangements

This section explains the basic principles of how an investor should recognise associates and joint arrangements in its separate financial statements as well as in the group financial statements. Investments in joint ventures are accounted for in the same way as investments in associates. However, other forms of joint arrangements have specific accounting requirements.

3.1 Accounting for associates and joint ventures

The investor recognises an investment in an associate or joint venture in one of three ways in its separate financial statements (see IAS 27, paragraph 10):

- At cost less impairment
- At fair value with changes in fair value recognised in profit or loss
- Using the equity method of accounting.

The investor selects one of these methods as its accounting policy choice. However, the cost model of accounting may not be used when the associate has a published price (which is when the equity of the associate can be determined with reference to an open market, such as a public stock exchange, where the share price is regularly published). If an entity uses the equity method for an entity with a published price, this price must be disclosed.

IAS 28 outlines the application of the equity method to investments in associates and joint ventures, with certain limited exceptions where the application of the equity method is not required. Application of the equity method is not required:

- Where the same circumstances that were discussed in [Chapter 26, Separate financial statements](#), apply (for example, where all the owners of the investor have agreed to the investor not presenting group financial statements)
- Where the investor intends to dispose of the investment in the associate or joint venture, and the investment is classified as held for sale in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* (see [Chapter 21](#))
- Where the investor is a venture capital organisation or a mutual fund, unit trust or similar entity that, upon initial recognition, has designated its investment as held at fair value through profit or loss or as held for trading in accordance with IFRS 9, *Financial Instruments*.

An investor should **discontinue using the equity method in its group financial statements from the date** it ceases to have significant influence or joint control over the investee. The investment should then be recognised at its fair value according to the requirements of IFRS 9, *Financial Instruments*, provided that the investor does not have control, in which case the group financial statements of the investee should reflect the consolidated subsidiary.

IFRS for SMEs Accounting Standard application

In an entity's group and individual financial statements, it may choose one of the following as the model applicable to all investments in associates and joint ventures:

- Cost model
- Fair value model
- Equity method.



ETHICAL DILEMMA

Ethical dilemmas arise when investors fail to disclose their relationships with associates adequately. Lack of transparency in reporting the nature and extent of the investment, ownership interests and related party transactions can mislead stakeholders and prevent them from fully understanding the potential risks associated with the investment.

3.1.1 The cost model

According to the cost model, an investor should record their investment in the investee at cost, with no subsequent changes for the changes in the fair value of its investment. When applying the cost model, the investor only recognises income to the extent that it has received distributions made after the acquisition date.

Entity journal entries to account for an investment in an associate or joint venture according to the **cost model** are as follows when the investment is made and when dividends are earned:

Dr		Investment in associate or joint venture (at cost)
	Cr	Bank
Dr		Bank or dividends receivable
	Cr	Dividend income (P/L)

The cost model should not be used when group accounts are prepared. The investment should be included in the group accounts according to the **equity method**. This implies that equity is recognised when earned and not when it is received in the form of a dividend.

Example of accounting for an investment in an associate on the cost basis

P Ltd acquired 25% of A Ltd for CU120 000 at 1 January 20x6. A Ltd had 100 000 issued ordinary shares and declared a dividend of CU0.20 per share on 31 December 20x6.

In its separate financial statements, P Ltd recognises its investment in A Ltd at cost (CU120 000). The dividend declared by A Ltd is recognised as dividend income in the profit or loss of P Ltd. This is CU5 000 ($25\% \times 100\,000 = 25\,000$ shares and $25\,000$ shares $\times$ CU0.20 = CU5 000).

The following journal entries in the general ledger of P Ltd record the investment in A Ltd and dividends received:

			CU	CU
Dr		Investment in A Ltd	120 000	
	Cr	Bank		120 000

Recognising investment in associate at cost

			CU	CU
Dr		Bank	5 000	
	Cr	Dividends income (P/L)		5 000

Dividends earned from investment in associate

3.1.2 At fair value

Alternatively, in accordance with IFRS 9, *Financial Instruments*, the investor may recognise its investment in an associate or joint venture at its fair value in its separate financial statements. At the acquisition date, an equity investment is designated with the subsequent measurement **at fair value with fair value adjustments recognised either in profit or loss or in other comprehensive income** (see [Chapter 14](#), *Financial instruments*). The investee should continue recognising the investment at fair value in subsequent reporting periods.

As the associate or joint venture is equity accounted for in the investor's group financial statements, any fair value adjustments recognised in the separate financial statements of the investor are reversed through pro-forma journal entries when preparing the investor's group financial statements. This is to prevent any potential double counting that may arise at a group level when recognising the investor's share of post-acquisition movement in the equity of the associate or joint venture and thus the overstating of the carrying amount of the investment.

Example of recognising an investment in an associate at its fair value

Assume the information is the same as in the example above, where P Ltd acquired 25% of A Ltd for CU120 000 on 1 January 20x6. A Ltd had 100 000 issued ordinary shares and declared a dividend of CU0.20 per share. The fair value of A Ltd's shares was CU5.25 each on 31 December 20x6. P Ltd measured its investment in A Ltd at fair value with fair value adjustments presented in other comprehensive income, in accordance with IFRS 9.

In its separate financial statements, P Ltd initially recognised its investment in A Ltd at cost (CU120 000). At 31 December 20x6, the investment in A Ltd was recognised at its fair value (CU131 250). This was calculated as $25\% \times 100\,000 = 25\,000$ shares and $25\,000 \text{ shares} \times \text{CU}5.25 = \text{CU}131\,250$.

In addition to the journal entries listed in the example above, P Ltd would record the following journal entry to recognise the investment at the reporting date at its fair value. Ignore taxation.

The following journal entry records the investment in the associate at fair value on 31 December 20x6, the reporting date:

			CU	CU
Dr		Investment in A Ltd (CU131 250 – CU120 000)	11 250	
	Cr	Fair value gain arising from investment in associate (OCI)		11 250

Investment in associate recognised at fair value at the reporting date

3.1.3 The equity method

Under the equity method, the investment in the investee is initially recorded at cost. The carrying amount of the investment is increased or decreased by the investor's share of the profits or losses and other comprehensive income of the investee after the acquisition date. Distributions received from the investee (in other words, dividends received by the investor) reduce the carrying amount of the investment. Essentially, the carrying amount of the investment at a group level represents the investor's share of the net asset value or equity of the investee. Distributions by the investee reduce its equity and, consequently, the investor's share of that equity at a group level.

These adjustments to the investment are illustrated in [Figure 28.3](#).

Equity accounting

... is a process of recognising the investor's share of profit or loss and other comprehensive income when profits of this nature arise post-acquisition. The group's share of the profits is recognised when the profits are earned and recognised by the investee, irrespective of when they are distributed to the investor in the form of dividends.

Figure 28.3 Equity method



The investor's share of the post-acquisition profits in the current year of the investee should be included as a separate line item in the group profit or loss for the period. The investor's share of the post-acquisition other comprehensive income items of the investee should be included as a separate component in other comprehensive income of the group. The investor's share of prior-year earnings post-acquisition is recognised in retained earnings or revaluation surplus.

The application of the equity method is discussed in more detail in Section 4.

3.2 Accounting for a joint operation

In the case of a joint operation, the joint operator uses its own assets, incurs its own expenses and liabilities, and raises its own finance. The joint operator recognises the following about its interest in the joint operation:

- Its assets, including its share of the assets held jointly
- Its liabilities, including its share of liabilities incurred jointly
- Its revenue from the sale of its share of the output by the joint operation
- Its expenses, including its share of any expenses incurred jointly.

The joint operator accounts for the assets, liabilities, revenues and expenses in its separate financial statements in relation to its interest in the joint operation in accordance with the relevant IFRS Accounting Standard relating to those assets, liabilities, revenue and expenses.

3.3 Accounting for a joint arrangement where a party participating in the joint arrangement does not have joint control

A party that participates in the joint arrangement but does not have joint control accounts for its interest in a joint operation on the same basis as a joint operator (see Section 3.2) and accounts for its interest in a joint venture in accordance with IFRS 9, *Financial Instruments*. However, should a party participating in a joint arrangement have significant influence, the interest in the joint operation is accounted for as an associate, using the equity method.

IFRS for SMEs Accounting Standard application

The *IFRS for SMEs* Accounting Standard allows three accounting models for interests in joint ventures: the cost model, the equity method or fair value.

3.4 Impairments

As is the case with any other asset, the asset representing the carrying amount of the investment in the associate should not be recognised at an amount greater than its anticipated future economic benefits. Where there is an indication that the asset's carrying amount could be impaired due to an event occurring after the acquisition date that could impact the future cash flows of the investment, the asset must be tested for impairment. An impairment test requires you to consider the carrying amount of an investment in an associate or joint venture relative to its recoverable amount (which is the higher of its value in use or its net selling price). An impairment loss should be recognised when the carrying amount is higher than the recoverable amount, as the recoverable amount is the future economic benefits expected to flow from the asset (see [Chapter 15](#), *Impairment of non-current assets*). You should determine the recoverable amount of an investment **separately for each associate or joint venture**, unless the associate or joint venture does not generate cash flows that are sufficiently independent of those of the other entities in the group.

As mentioned above, the recoverable amount of an investment is the higher of its value in use or net selling price. You should determine the **value in use** of an investment by estimating the entity's share in the present value of the estimated future cash flows expected to be generated by the investee as a whole, including the cash flows from the operations of the investee and the proceeds from the ultimate disposal of the investment. This implies that the investment should be valued at the present value of the future benefits expected to flow to the investor from this investment; these inflows arise from the dividends to be received and from the ultimate disposal of the investment.

3.4.1 When goodwill is included in the carrying amount

Any goodwill acquired at the acquisition date as part of an investment in an associate or joint venture is not recognised separately when the equity method is applied. Still, the goodwill component is included in the carrying amount of the investment (see Section 4.2). The investee does not have control over the goodwill, and it should not be recognised as an asset. The goodwill component is not tested separately for impairment. Instead, the entire carrying amount of the investment is tested for impairment by comparing its recoverable amount with its carrying amount if there is an indication that the investment is impaired.

3.4.2 When the associate or joint venture has accumulated losses

In cases where an associate or a joint venture incurs accumulated losses after the acquisition date, those losses would result in a decrease in the carrying amount of the investment in the associate or joint venture when the equity method of accounting is applied. The extent to which the investor should recognise these losses is limited to its interest in the associate or joint venture, which is the carrying amount of the investment under the equity method and any long-term interest that forms part of the investor's net investment in the associate. After recognising its share in the losses of the associate, the investor should consider if there is any evidence that its net investment in the associate is impaired and whether additional impairment losses should be recognised. (Losses of associates are discussed in more detail in Section 4.7.)

4 Application of the equity method

When the equity method is used, many of the same principles are applied as when an entity is consolidated. For example, the reporting entity's financial statements should not include transactions between the investor and the investee; these should be eliminated using pro-forma journal entries.

At the acquisition date, the investor evaluates the carrying amounts of the net assets of the investee in order to determine their fair values. The difference between the fair values of the net assets of the associate and the acquisition price represents **goodwill acquired** at the acquisition date. Goodwill is identified purely to ensure that it is accounted for correctly. It is not shown separately on the statement of financial position; it is part of the cost of the investment in an associate or joint venture that is recognised initially at cost.

The trial balance of the investee is not added to that of the investor, as the investor does not control its assets (it only has significant influence). You also do not include all the net assets and equity of the investee, and then deduct the portion not attributable to the investor (as is the case when preparing consolidated accounts), but rather only add the investor's portion of the associate's post-acquisition reserves to the trial balance of the investor, using pro-forma journal entries. This is illustrated in the example that follows.

Example of applying the equity method at the acquisition date

P Ltd acquired a 30% interest in the share capital of A Ltd for CU100 000 on 1 January 20x4 and is able to exert significant influence over A Ltd as of that date. The assets and liabilities of A Ltd were considered fairly valued at the date of acquisition, except for land with a carrying amount of CU100 000 and a fair value of CU110 000. The retained earnings figure of A Ltd was CU200 000 and the share capital was CU100 000 on 1 January 20x4. Ignore taxation.

The investor recognises its interest in the associate in the statement of financial position as a single line item called 'investment in associate'. There is no non-controlling interest, as A Ltd is not a subsidiary.

The analysis of the equity of the associate is prepared in the same way as that of a subsidiary to summarise the equity of the associate at the acquisition date. Note that the investment in the associate at the acquisition date includes any goodwill acquired. Goodwill is not recognised as a separate asset, as the investor does not have control. The equity method requires amounts to be included or deducted from the investment in the associate account. The balance on that account is the amount recognised as the investment in associate on the group statement of financial position.

Analysis of the equity of A Ltd

The carrying amount of the investment in the associate in the group statement of financial position is CU100 000. As this amount equals the carrying amount of the investment in the statement of financial position of the investor, no further pro-forma journal entries are required. No adjustment is required for the fair value adjustment of the land; the land is not recognised in the group statement of financial position because it is not controlled by the investor. Goodwill is calculated at the acquisition date, but it is not recognised in the group statement of financial position as it is included in the acquisition price of the investment in the associate. This is done as a check. If the net assets attributable to P Ltd exceeded the cost, this gain would have to be recognised in group profit or loss in the year in which it arises (see Section 4.2.1).

4.1 Recognising investments in the associate and joint ventures at acquisition

The investor should record its investment in an associate or joint venture in its own general ledger when the investment was acquired.

The following journal entry would have been recorded by P Ltd at 1 January 20x4 in respect of the example above:

			CU	CU
Dr		Investment in associate	100 000	
	Cr	Bank		100 000

Investment in associate recognised at acquisition date at cost

This transaction is recorded at the original cost of the investment. If the reporting date of the investor were the same as the acquisition date, the investment would be recognised at its cost.

4.1.1 Transaction costs

In the investor's separate financial statements, transaction costs are either capitalised as part of the cost (if the investment is subsequently measured at cost or at fair value through other comprehensive income) or expensed (if the investment is measured at fair value through profit or loss).

When the equity method is applied, the carrying amount of the investment in an associate or joint venture includes transaction costs.

4.2 Goodwill and impairment implications

The cost of the associate could include a portion paid for **goodwill**. **Goodwill is calculated** as the excess of the cost of the investment over the fair value of the net assets of the investee at the acquisition date. Any goodwill acquired is included in the cost of the investment and should not be recognised separately on the group statement of financial position (see the example above). Even though the principles for calculating goodwill relating to an associate are similar to those applied in the case of a subsidiary, there are differences:

- The goodwill is not recognised as a separate asset on the investor's group statement of financial position as the investor does not have control.
- Because the goodwill is included in the investment in associate or joint venture balance, it is not tested separately for impairment. The carrying amount of the investment in an associate or joint venture is tested for impairment when there is an indication that the investment is impaired.
- Any impairment loss recognised may be reversed in subsequent periods if the investment is no longer impaired.

4.2.1 Excess over the fair value of net assets of the associate or joint venture attributable to the investor

As is the case with subsidiaries, the cost of the investment in the associate or joint venture may be less than the fair value of the net assets of the investee attributable to the investor. In that case, the investor has a bargain purchase and should immediately recognise the gain at a group level as part of the associate or joint venture earnings. In the example above, if we assume that P Ltd paid CU90 000 instead for its 30% interest in A Ltd, then compared to the net assets of A Ltd that are attributable to P Ltd (CU93 000), a gain of CU3 000 arose on acquisition. The following pro-forma journal entry recognises the gain in the 20x5 group financial statements:

			CU	CU
Dr		Investment in associate	3 000	
	Cr	Earnings from associate (P/L)		3 000

4.2.2 Impairment of the investment in associate balance

The investment in associate balance is tested for impairment when there is objective evidence of impairment. IAS 28, paragraph 41A, gives certain scenarios (called 'loss events') which may indicate that the investment in associate should be tested for impairment. If an investment in associate is impaired, that impairment loss may be subsequently reversed if the recoverable amount of the investment in associate balance increases in the future.

When determining if an **investment in associate balance is impaired at a group level**, we need to compare the **recoverable amount of the investor's share in the associate** with the **equity-accounted investment in associate balance at the date of impairment**. As explained above, when applying the equity method, the carrying amount of the investment in the associate is recognised, including goodwill.

Example of impairment implications

Following on from the previous example, it is apparent that the investment in the associate account includes the goodwill acquired of CU7 000. The net assets of the associate were valued at CU310 000 at the acquisition date, and P Ltd's share in these assets amounted to $\text{CU310 000} \times 30\% = \text{CU93 000}$. The difference of CU7 000 (being CU100 000 paid less CU93 000) represents goodwill acquired.

Objective evidence indicated that the investment in the associate was impaired by CU1 000 and CU2 000 as at 31 December 20x4 and 31 December 20x5, respectively. The impairment losses should therefore be recognised in each of the two subsequent years.

The following pro-forma journal entry recognises the impairment in the second year since the acquisition date (at 31 December 20x5). As the impairment loss of CU1 000 arose in the 20x4 financial year and as that year's profit or loss has been closed off to retained earnings, the adjustment is recognised in retained earnings. The impairment loss of CU2 000 arose in 20x5 and is therefore recognised in earnings from associate in the current year's (20x5) group profit or loss (P/L):

			CU	CU
Dr		Retained earnings	1 000	
Dr		Earnings from associate (P/L)	2 000	
	Cr	Investment in associate		3 000

4.3 Recognising earnings from associates and joint ventures

The investor shares in the **accumulated profits of the associates or joint ventures** that have been **earned since the acquisition date** in the same way that a parent shares in the accumulated profits of a subsidiary that have been earned after the date of acquisition. However, when you prepare consolidated accounts, you add the assets, liabilities, income and expense accounts in the respective trial balances of the parent and its subsidiaries together on a line-for-line basis (see [Chapter 27](#), *Consolidated financial statements*). In the case of an associate, the parent does not control the assets of the investee, so this is not done. It would be inappropriate to recognise the assets of the investee in the group statement of financial position, as these assets do not meet the definition of an asset of the group. However, the investment in the associate or joint venture meets the definition of an asset for the group, as the group controls that asset and the receipt of future economic benefits from it is probable. The equity method requires the investor to recognise its share of the equity (the increase in reserves) earned by the investee after the acquisition date.

The investor has influenced the determination of the profits as a result of its ability to participate in the decision-making process of the investee through either significant influence or joint control. If the results of the investee were not equity accounted, this would result in an understatement of the results of the operations that are under the influence of the investor. Another reason for equity accounting is that it is a better application of the underlying assumption of the accrual basis, according to which profits should be recognised when earned, as opposed to when they are received in cash.

The investor's share of the profits of the investee within a reporting year is included in the group profit or loss by disclosing it as a single line item called 'earnings from associates and joint ventures'. In most instances, the earnings from an associate or joint venture is shown after the tax expense of the group because it represents the investor's share of the profit after tax of the associate or joint venture.

Example of recognising earnings from an associate

An investor has a 25% interest in an associate. The profit after tax of the associate amounts to CU1 million for the year. The investor's share in the profits of the associate, being CU250 000, would be included as a single line item in profit or loss as 'earnings from associate: CU250 000'.

The investor's share of the earnings of the associate is recognised by recording the following pro-forma journal entry:

Dr		Investment in associate
	Cr	Earnings from associate (P/L)

In this instance, the equity method differs from consolidation in that profit or loss items of the associate are not added to profit or loss line items of the investor, as the investor does not control the assets of the associate that generate these revenues.

Example of applying the equity method

P Ltd acquired a 30% interest (and significant influence) in the share capital of A Ltd on 1 January 20x4. A Ltd's identifiable assets and liabilities were considered fairly valued at the date of acquisition. The retained earnings of A Ltd were CU200 000 on 1 January 20x4.

The **statements of financial position** of P Ltd (the company) and A Ltd at 31 December 20x5 were as follows:



Statements of profit or loss of P Ltd and A Ltd for the year ended 31 December 20x5



Analysis of equity of A Ltd



1 The retained earnings earned after the acquisition date but before the current year are calculated by removing the pre-acquisition portion (CU200 000) and the current year portion (CU400 000) from the total retained earnings. The investor's share in the retained earnings of the associate earned after the date of acquisition until the beginning of the current year amounts to CU30 000 (refer to the 'retained earnings' line under the 'since acquisition' column).

The investor's share in the profits of the associate in the current year amounts to CU120 000.

The following pro-forma journal entries are required to prepare the group financial statements of P Ltd as at 31 December 20x5:

			CU	CU
--	--	--	----	----

Dr		Investment in associate	30 000	
	Cr	Retained earnings		30 000

Share of retained earnings since acquisition

			CU	CU
Dr		Investment in associate	120 000	
	Cr	Earnings from associate (P/L)		120 000

Share of current year profit allocation

4.3.1 Where the associate or joint venture has a different reporting date

Where the investee's **reporting date is different** from that of the investor, the investee often prepares a set of financial statements for the use of the investor, using the same reporting date as the financial statements of the investor. This is a costly exercise, and where it is impracticable to do this, the financial statements prepared at the reporting date of the investee are used, irrespective of the fact that the date is different. However, the consistency principle dictates that the length of the reporting periods and the differences between the reporting dates be consistent from one period to another, resulting in adjustments being made for the effects of any significant events or transactions that occurred between the investee's reporting date and the investor's reporting date. IAS 28 requires that the difference between the reporting dates of the investee and investor be no more than three months.

4.3.2 Where an associate or a joint venture owns subsidiaries

Where the investee is itself a parent (in other words, where the associate or joint venture has prepared group financial statements by consolidating its interests in its subsidiaries), the investor's attributable share is based on the profit of the **investee's group profits after deducting the non-controlling interest** in the subsidiary or subsidiaries of the investee. Equity holders of an entity share in all the profits generated by the group.

Example of an investment in an associate that is a parent

An investor acquired a 25% interest in an associate that is itself a parent and has prepared the group statement of profit or loss for the period ended 31 December 20x6 that follows.

Group statement of profit or loss for the period ended 31 December 20x6



The investor's share in the profit of the associate would amount to CU100 000, being 25% of CU400 000, which is the group's share of the profit after deducting the non-controlling interest. CU400 000 of the profit is attributable to the entity's shareholders, 25% of which is attributable to the investor.

4.3.3 Where an investor has investments in both a subsidiary and an associate or a joint venture

Where an investor holds an interest in a subsidiary and an associate or a joint venture, group financial statements are prepared by consolidating the subsidiary and equity accounting the associate or joint venture. The investor's share in the earnings of the associate or joint venture is included in the group statement of profit or loss and other comprehensive income as a separate line item, whereas the revenue and expenses of the subsidiary should be included in each line item. The profit of the group should be allocated to the equity holders of the parent and the non-controlling interest in accordance with their rights.

4.4 Transactions with associates and joint ventures

The investor should, on a similar basis as when consolidated financial statements are prepared, eliminate the effect of any transactions with its associates or joint ventures that impact on group profit or loss. IAS 28, paragraph 28, refers to 'upstream' and 'downstream' transactions between the investor and its investee, where upstream transactions are, for example, the sale of an asset from the investee to the investor and downstream transactions refer to the sale of an asset from the investor to the investee (see [Figure 28.4](#)).

Figure 28.4 Upstream and downstream transactions



In the group financial statements, unrealised profits or losses resulting from both upstream and downstream transactions between an investor and its associate or joint venture should be eliminated to the extent of the investor's interest in the associate or joint venture, unless the asset is sold at a loss, which is an indicator that the asset sold could be impaired. The unrealised profits or losses are only eliminated to the extent of the investor's interest in the associate or joint venture because that is the only portion that is inter-company. The interest not held by the investor is held outside the group and represents a transaction with a third party. In other words, this portion of the transaction can be recognised at a group level.

This implies that the investor should eliminate the unrealised portion of a transaction included in the carrying amount of an asset in the group statement of financial position by using a pro-forma journal entry. For example, where the investor has a 25% interest in an associate and acquires inventory from the associate at cost plus 10%, the inventory on hand recognised in the statement of financial position of the investor includes an unrealised profit between the investor and its associate. The investor should eliminate its interest in the unrealised profit ($25\% \times 10\%$ mark-up). The effect of this adjustment is that the investor only includes its share in the profit or loss of the associate after eliminating the unrealised profit.

Example of transactions with an associate

Upstream transaction

On 1 January 20x6, A Ltd (a 30%-held associate of P Ltd) sold a machine to P Ltd for CU100 000. At that date, the machine had a carrying amount in A Ltd's statement of financial position of CU80 000. It was expected to have a residual value of zero and a remaining useful life of four years. These estimates have been reviewed and confirmed annually.

During the financial year ending 31 December 20x6, A Ltd and P Ltd would have recognised the amounts below relating to this transaction. (Ignore taxation.)

A Ltd



P Ltd



At a group level, the effect of the above transaction can be summarised as follows:

- Our starting point trial balance for the preparation of the group financial statements of P Ltd for the 20x6 financial year includes 100% of all amounts recognised by P Ltd and none of the amounts recognised by A Ltd.
 - A Ltd recognised a profit on disposal of CU25 000. To the extent of P Ltd's shareholding (30%), a portion of this profit is inter-company ($\text{CU25 000} \times 30\% = \text{CU7 500}$).
- The earnings from the associate represent the profit or loss of A Ltd, being P Ltd's share of the profit or loss of A Ltd. This profit includes CU7 500 that cannot be recognised at a group level, as it is inter-company and is thus unrealised from a group perspective. Therefore, the associate's earnings are too high, and a debit is required when preparing the pro-forma journal entries to reduce the earnings from the associate.
- The statement of financial position of P Ltd includes an asset (the machine that is overstated by CU7 500).
- Assuming that we have already processed a pro-forma journal entry to account for P Ltd's share of the profits recognised by A Ltd in A Ltd's statement of profit or loss for the 20x6 financial year, the following pro-forma journal entry is required to reflect the group financial statements of P Ltd correctly as a result of the inter-company transaction on 1 January 20x6:

			CU	CU
Dr		Earnings from associate (P/L)	7 500	
	Cr	Machinery (cost)		7 500

- The unrealised profit will subsequently be realised at a group level when the asset is depreciated or subsequently sold outside the group.

- The realisation of the profit effectively reverses the pro-forma journal entry required when eliminating the unrealised profit.

- The machine is a depreciable asset. As it is depreciated over the next four years (assuming that the machine is not sold prior to the end of its useful life), 25% (■) of the unrealised profit of CU7 500 will be realised annually, which is $25\% \times \text{CU7 500} = \text{CU1 875}$. The effect of realising the profit is that group profits are increased for a transaction that originated in A Ltd's profit or loss (the sale of the asset from A Ltd to P Ltd). As discussed above, the profit or loss of A Ltd is represented by the earnings from the associate, being P Ltd's share of the profit or loss of A Ltd.

- In addition, the accumulated depreciation recognised by P Ltd is too high, based on the cost to P Ltd, including the effects of the unrealised profit of CU7 500.

- The following pro-forma journal entry is required to reflect the group financial statements of P Ltd correctly as a result of the realisation of the profit on 31 December 20x6:

			CU	CU
Dr		Machinery (accumulated depreciation)	1 875	
	Cr	Earnings from associate (P/L)		1 875

Downstream transaction

Assume instead that the transaction is such that P Ltd sells the machine to A Ltd on 1 January 20x6.

During the financial year ending 31 December 20x6, A Ltd and P Ltd would have recognised the amounts below relating to this transaction.

P Ltd



A Ltd



At a group level, the effect of the above transaction can be summarised as follows:

- Our starting point trial balance for the preparation of the group financial statements of P Ltd for the 20x6 financial year includes 100% of all amounts recognised by P Ltd and none of the amounts recognised by A Ltd.

- P Ltd recognised a profit on disposal of CU25 000. To the extent of P Ltd's shareholding (30%), a portion of this profit is inter-company, being $\text{CU25 000} \times 30\% = \text{CU7 500}$. Therefore, the profit on disposal recognised by P Ltd is too high at a group level and needs to be reduced. The other 70% represents a transaction with external parties and it is appropriate to recognise this portion of the profit.

- The statement of financial position of A Ltd includes an asset, which is the machine that is overstated by CU7 500. The statement of financial position of A Ltd is represented by the investment in the associate, being P Ltd's share of the net assets of A Ltd. The CU7 500 cannot be recognised at a group level, as it is inter-company. The investment in the associate balance is overstated, and a credit is required to reduce the earnings from the associate when preparing the pro-forma journal entries.

- Our starting point for preparing P Ltd's group financial statements includes 100% of P Ltd's statement of profit or loss for the 20x6 financial year and includes a profit on disposal of CU25 000. The following pro-forma journal entry is thus required to reflect the group financial statements of P Ltd correctly as a result of the inter-company transaction on 1 January 20x6:

			CU	CU
Dr		Profit on disposal (P/L)	7 500	
	Cr	Investment in associate		7 500

- The unrealised profit will subsequently be realised at a group level when the asset is depreciated or subsequently sold outside the group.

- The realisation of the profit effectively reverses the pro-forma journal entry required when eliminating the unrealised profit.

- The machine is a depreciable asset. As it is depreciated over the next four years (assuming that the machine is not sold prior to the end of its useful life), 25% (■) of the unrealised profit of CU7 500 will be realised annually, which is $25\% \times \text{CU7 500} = \text{CU1 875}$. The effect of realising the profit is that group profits are increased for a transaction that originated in P Ltd's profit or loss, being the sale of the asset from P Ltd to A Ltd. The portion of the profit on disposal that could not previously be recognised at a group level can now be recognised as it is realised.

- In addition, the accumulated depreciation recognised by A Ltd is too high, based on the cost to A Ltd, including the effects of the unrealised profit of CU7 500. As discussed above, P Ltd's share of the net assets of A Ltd is represented by the investment in the balance of the associate.

- As a result of the realisation of the profit on 31 December 20x6, the following pro-forma journal entry is required to reflect the group financial statements of P Ltd correctly:

			CU	CU
Dr		Investment in associate	1 875	
	Cr	Profit on disposal (P/L)		1 875

4.5 Other comprehensive income of the associate and joint venture

The investor's share in changes in the equity of the associate or joint venture after the acquisition date includes changes in profits and other comprehensive income. Where the investee has recognised other comprehensive income after the acquisition date (for example, the revaluation of a non-current asset such as property, plant and equipment), the investor's share of that other comprehensive income should be included in the carrying amount of the investment in the associate or joint venture. It forms part of the equity of the investor when the equity method is applied if the group's accounting policy is also to revalue property, plant and equipment.

A single line item for other comprehensive income of associates or joint ventures is presented in the group statement of profit or loss and other comprehensive income. This is called '**share of other comprehensive income of associates or joint ventures**' and includes the group's share of the after-tax amount of all other comprehensive income of associates or joint ventures.

Example of equity accounting a revaluation gain of an associate

P Ltd acquired 25% of the shares in A Ltd on 1 January 20x4 and has significant influence over the company. When P Ltd acquired its investment in A Ltd, the land was recognised as property, plant and equipment in the statement of financial position of A Ltd at a cost of CU1.3 million. It had a fair value of CU1.5 million. P Ltd paid CU300 000 for its investment in A Ltd when the retained earnings amounted to CU900 000. After its investment in A Ltd, the company revalued its land at CU1.8 million. This is in line with the P Ltd group policy. Ignore taxation.

The following pro-forma journal entry recognises the investor's share of other comprehensive income in the associate:

			CU	CU
Dr		Investment in associate	75 000	
	Cr	Share of other comprehensive income of associate (OCI)		75 000

Share of revaluation gain in associate

Note that only the post-acquisition increase in the value is recognised. Although the associate had revalued the land by CU1 800 000 – CU1 300 000 = CU500 000, CU200 000 of this revaluation relates to an increase that had taken place prior to the acquisition of the associate by the group. The investor's share in the increase in the fair value of the land after the acquisition date amounts to CU1 800 000 – CU1 500 000 = CU300 000, being the difference between the fair value at the acquisition date and the fair value at the reporting date.

When equity accounting, the investor's share in the net assets of the associate increases in the since-acquisition period. The carrying amount of the investment includes the investor's share in the increases in retained earnings, other reserves, current-year profits or losses and other comprehensive income.

4.6 Dividends earned from associates and joint ventures

Dividends earned by the investor from an associate or joint venture should be eliminated when the equity method is applied. The equity method requires the investor to include its share in the retained earnings of the investee after the acquisition date. The distribution of dividends by the investee to its shareholders is an appropriation of the accumulated profits of the associate to the extent that the dividends are declared from post-acquisition profits. If both the profits that are equity accounted and the dividends were recognised, this would result in double counting the same profits. In the investor's separate financial statements, the income from the investee is only recognised when the investor's right to receive payment is established (for example, when the dividend is declared). The equity method, which is applied in the group financial statements, involves the recognition of the profits when they are earned.

According to the cost model, the investor should recognise dividend income in its general ledger.

Dr		Bank or dividend receivable
	Cr	Dividends income (P/L)

When applying the equity method, the distribution of dividends by the investee reduces its net assets and the claim against the business by its shareholders (equity), as that share of the profits has already been distributed in the form of dividends. The carrying amount of the investment in the associate or joint venture should also be reduced. The carrying amount of the investment in an associate or joint venture is essentially the investor's share of the net assets of the associate or joint venture. Distribution of dividends reduces the net assets and the equity of the associate. In the group financial statements, it reduces the carrying amount of the investment in the associate or joint venture.

The investor should eliminate any dividends income from the investee during the current reporting period against the investment in the associate or joint venture account. The distribution of dividends by an associate gives rise to a credit to dividends received in the general ledger of the investor. Therefore, a debit pro-forma journal entry in the group accounts is required to eliminate the dividends received. These two adjustments are achieved by using the following pro-forma journal entry:

Dr		Dividends income (P/L)
	Cr	Investment in associate or joint venture

Elimination of dividends received from associate

4.7 Losses of associates and joint ventures

The equity method requires the investor's share in the profit or loss of the investee to be added to the profit or loss of the investor in order to determine the group profits. This implies that if the investee incurs losses, the investor equity accounts for its share of those losses.

Note that the investor cannot share in the losses of an associate **in excess of its investment in the investee**. This is particularly applicable when the associate is a company because the limited liability principle included in the *Companies Act, No. 71 of 2008*, stipulates that the maximum loss a shareholder can incur is its total capital invested.

The investor would not reduce its investment in an investee in excess of its original cost, so the investment in an investee can never be a negative asset. The carrying amount of the investment in the associate would therefore be reduced to zero by recognising the attributable amount of losses, at which point recognition of losses ceases unless it is appropriate to recognise a liability. Where the investor has **incurred obligations or made payments on behalf of the investee** or has made certain guarantees or commitments, it should provide for additional losses to the extent of its obligations by applying the definition and recognition criteria of a liability. This could occur where the investee is a partnership, where the investors are not protected by limited liability or where the investor has underwritten certain debt obligations of an investee.

Where, after incurring previous losses, the investee **reports profits in subsequent periods**, the investor should resume including its share of these profits, but only once its share of the profits equals its share of the losses not recognised. This implies that the investor would, in subsequent periods, only include its share of the retained earnings of the investee.

4.8 Uniform accounting policies

The group financial statements of the parent must be prepared using uniform accounting policies. Therefore, where an investee applies accounting policies that differ from those of the group in its separate financial statements (for example, accounting for investment property on the cost model, whereas the group applies the fair value model), the pro-forma journal entries processed to prepare the group financial statements of the investor should take into account the alignment of the accounting policies of the investee with those of the group when applying the equity method.

Example of equity accounting of an associate with losses

When applying the equity method, an investor has added CU20 000 to its investment as earnings from an associate in prior years. In the current year, its share of the losses of the associate amounts to CU5 000. Thus, the portion of the accumulated profits of the associate attributable to the investor is only CU15 000 at the reporting date. In other words, the investor should recognise its share of the current year's loss of CU5 000.

The following pro-forma journal entries would put this into effect:

			CU	CU
Dr		Investment in associate	20 000	
	Cr	Retained earnings		20 000
			CU	CU
Dr		Losses in associate (P/L)	5 000	
	Cr	Investment in associate		5 000

5 Disclosure

IFRS 18, *Presentation and Disclosure in Financial Statements*, sets out the requirements for the presentation and disclosure of information in the financial statements. In addition, IAS 27, *Separate Financial Statements*, and IFRS 12, *Disclosure of Interests in Other Entities*, provide the disclosure requirements for investments in associates and joint arrangements.



ETHICAL DILEMMA

Ethical dilemmas emerge when investors fail to provide transparent and comprehensive disclosures about their joint control or significant influence over other entities. A lack of transparency can mislead stakeholders about the true extent of influence and the potential risks and benefits associated with the relationship. Investors have an ethical responsibility to ensure accurate and complete reporting of their rights and obligations, and related party transactions, with associates, joint ventures and joint arrangements.

5.1 Recognising investments in associates and joint ventures

The entity's separate financial statements and the group financial statements should indicate how the investments in associates and joint arrangements are recognised.

IAS 27, *Separate Financial Statements*, allows an investor to recognise an investment in an associate or a joint venture in its **separate statement of financial position** at cost or fair value. The investment in an associate or joint venture should be recognised in the group statement of financial position according to the equity method, except for the instances outlined in Section 3.2.

5.2 Specific disclosure requirements

IFRS 12 requires disclosure of information that will enable users of the entity's annual financial statements to evaluate the nature of the entity's interests in other entities and the risks associated with these interests as well as the effects of the interests on the entity's financial position, performance and cash flows.

IFRS 12 requires the reporting entity to disclose the nature, extent and financial effects of its interests in associates and joint arrangements, including the nature and effects of its contractual relationship with the other investors with joint control of the joint arrangement. This is achieved by the standard requiring disclosures of the following information for all material associates and joint arrangements:

- The name
- The nature of the entity's relationship
- The principal place of business
- The entity's proportion of ownership interest, participating share or voting rights (as applicable).

The following additional note disclosures are required:

- Significant judgements and assumptions made in assessing whether the entity has joint control or significant influence and whether a joint arrangement is a joint operation or joint venture

- Where the investor holds less than 20% of the voting or potential voting power of the investee, but concludes that it **has significant influence**, the fact and the reasons why the investor is presumed to have significant influence
- Where the investor holds more than 20% of the voting or potential voting power of the investee, but concludes that it **does not have significant influence**, the fact and the reasons why the investor is presumed not to have significant influence
- On an individual basis or in appropriate groupings, summarised financial information regarding the assets, liabilities, revenues and profit or loss of the associates and joint ventures, as well as reconciliations to the carrying amount of the investment in the associate or joint venture
- The **fair value** of investments in associates or joint ventures that are equity accounted and for which there are published price quotations available
- The **reporting date** of the associate or joint venture in instances where the reporting date is different from that of the investor and the reason or reasons for using a different reporting date (and reporting period)
- The nature of any **significant restrictions** on the ability of the associate or joint venture to transfer funds to the investor, either as dividend payments or as repayments of loans
- The unrecognised share of losses of the equity accounted joint venture or associate for the reporting period and cumulatively
- The investor's share of **contingencies and capital commitments** of an associate or joint venture for which the investor is contingently liable and contingencies that arise because the investor is severally liable for some or all the associate or joint venture liabilities.

Key points to take from this chapter

- The objective of IAS 28, *Investments in Associates*, is to prescribe the accounting for investments in associates and to set out the requirements for the application of the equity method when accounting for investments in associates and joint ventures.
- An associate is an entity over which the investor has significant influence. Significant influence is the power to participate in the investee's financial and operating policy decisions without the power to control or jointly control those policies.
- A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement.
 - The investor should apply the equity method to investments in associates or joint ventures when preparing group financial statements. Under the equity method, the investment in an associate or a joint venture is recognised at cost on initial recognition. The carrying amount is then increased or decreased to recognise the investor's share of

the subsequent profit or loss of the investee and to include that share of the investee's profit or loss in the investor's profit or loss. Distributions received from an investee reduce the carrying amount of the investment. Adjustments to the carrying amount may also be necessary for changes in the investor's proportionate interest in the investee and for the investee's other comprehensive income.

- A joint operator accounts for the assets, liabilities, revenues and expenses in its separate financial statements in relation to its interest in the joint operation in accordance with the relevant IFRS Accounting Standard relating to those assets, liabilities, revenue and expenses.
- The equity method is a method of accounting in which the investment is initially recognised at cost and adjusted thereafter for the post-acquisition change in the investor's share of the investee's net assets. The investor's profit or loss includes its share of the investee's profit or loss; the investor's other comprehensive income includes its share of the investee's other comprehensive income.

Discussion questions

1. When is an investment in an entity classified as an investment in an associate?
2. Explain how an investor can demonstrate that it is able to exert significant influence over an associate.
3. Explain what is meant by a joint arrangement.
4. Explain what is meant by joint control.
5. Identify the different types of joint arrangement and explain each one.
6. Discuss the accounting for the different types of joint arrangement.
7. Explain how an investor could account for an investment in an associate or a joint venture in its separate financial statements.
8. Explain how an investor should account for an investment in an associate or a joint venture in its group financial statements.
9. Explain the circumstances under which an investor could prepare group financial statements without accounting for the associate using the equity method.
10. The acquisition of a 30% interest in an associate results in the cost of the investment exceeding the fair value of the net assets attributable to the investor by CU40 000. Explain how this difference should be accounted for.

11. The acquisition of a 30% interest in an associate results in the fair value of the net assets attributable to the investor exceeding the cost of the investment by CU40 000. Explain how this difference should be accounted for.
12. An associate revalues a plot of owner-occupied land by CU100 000 post-acquisition. Explain the implications for the preparation of the group financial statements of an investor that owns a 20% interest in the associate. Ignore tax.

Exercise questions

Question 1

Investor Ltd acquired 25% (and significant influence) in Associate Ltd for CU38 000 in May 20x0. The equity of Associate Ltd at the acquisition date consisted of share capital of CU85 000, revaluation surplus (land) of CU10 000 and retained earnings of CU30 000.

Abridged trial balances at 30 June 20x5

You are required to do the following:

Prepare the group statement of profit or loss and other comprehensive income for the year ended 20 June 20x5 as well as the group statement of financial position at 30 June 20x5, as far as the information is provided.

Question 2

H Ltd paid CU2 million for its 30% interest in A Ltd's ordinary shares, when A Ltd's land was considered undervalued by CU50 000. The following is a summary of A Ltd's equity at 1 January 20x4, the acquisition date:

A Ltd's retained earnings amounted to CU950 000 on 31 December 20x6 and it earned profit after tax of CU800 000 during the current reporting period ended 31 December 20x7. A Ltd revalued its owner-occupied land by CU60 000 (in line with the group policy) for the first time on 31 December 20x7, and declared an ordinary dividend of CU300 000 and a preference dividend of CU12 000 (representing 12 month's profit attributable to preference shareholders on that date).

H Ltd measured its investment in A Ltd at fair value through other comprehensive income at CU3.2 million on 31 December 20x7 (20x6: CU 2.9 million) in its separate financial statements. H Ltd does not own any preference shares in A Ltd.

Assume a normal tax rate of 27% and an effective capital gains tax rate of 21,6%.

You are required to do the following:

Provide all the pro-forma journal entries needed to prepare H Ltd's group financial statements for the year ended 31 December 20x7. Ignore dates and narrations.

Question 3

A Ltd acquired 25% of B Ltd on 1 January 20x4.

Assume that A Ltd Group, A Ltd and B Ltd account for land classified as property, plant and equipment on the cost model. Land (property, plant and equipment) that cost CU100 000 was sold between group companies in 20x4 for CU300 000. This land was then sold to an unrelated party for CU400 000 in 20x5. Ignore tax.

You are required to do the following:

Complete the tables that follow for each of the two scenarios.

1. A Ltd sold the land to B Ltd.

	A Ltd (group)	A Ltd (company)	B Ltd (company)
For the year ended 31 December 20x4:			
Profit on sale of land (P/L)			
Earnings from associate (P/L)			
For the year ended 31 December 20x5:			
Profit on sale of land (P/L)			
Earnings from associate (P/L)			

2. B Ltd sold the land to A Ltd.

	A Ltd (group)	A Ltd (company)	B Ltd (company)
For the year ended 31 December 20x4:			
Profit on sale of land (P/L)			
Earnings from associate (P/L)			
For the year ended 31 December 20x5:			
Profit on sale of land (P/L)			
Earnings from associate (P/L)			

Reference

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available

https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.



CHAPTER

29

Foreign operations

IFRS references

IAS 21: *The Effects of Changes in Foreign Exchange Rates*

IFRS 10: *Consolidated Financial Statements*

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6 A foreign operation that is an associate

7 Disclosure requirements

Key points to take from this chapter

Discussion questions

Exercise questions

Reference

Learning objectives

By the end of this chapter, you should be able to:

- Identify a foreign operation.
- Identify the functional currency and the presentation currency of a foreign operation.
- Account for a foreign operation's assets, liabilities, income, expenses and equity in its presentation currency using appropriate exchange rates.
 - Determine the foreign currency translation reserve and know how this reserve is presented in the group financial statements.
- Correctly identify and classify an investment in a foreign operation as an associate, joint venture or subsidiary.
 - Prepare group financial statements that include the consolidation of a foreign operation classified as a subsidiary, and equity account a foreign operation classified as an associate.

Concept summary



1 Introduction

In the previous chapters, we discussed the preparation of group financial statements, which involves combining the financial statements of the individual entities to show the financial position and performance of the group of entities, presented as if they are a single economic entity. Group financial statements are required to show the substance of the group by reflecting the results of the investor's decision-making on all the group entities, including subsidiaries, associates and joint ventures. In this chapter, we discuss the accounting and reporting in the group when one of these entities is a **foreign operation** that prepares its financial statements in a currency that is different from the parent's presentation currency.

Key principle:
Consolidation of a foreign operation

Consolidation of a foreign operation refers to the process of combining the financial statements of a parent entity and its foreign subsidiary or subsidiaries into a single set of consolidated financial statements. This is done to present the financial position, results of operations and cash flows of the entire economic entity, including both the parent and its foreign subsidiaries, as if they were a single integrated entity.

2 Foreign operations

A foreign operation is described as a subsidiary, associate, joint venture or branch whose activities are based in a country or currency other than that of the reporting entity. When an entity acquires a controlling interest in a foreign subsidiary (in other words, a subsidiary located or registered in a different country), we must consider the requirements of IAS 21, *The Effects of Changes in Foreign Exchange Rates* (refer to [Chapter 23](#)).

An entity must determine a **functional currency** (for each of its operations, if necessary) based on the primary economic environment in which it operates. This is typically the currency in which the entity generates and spends cash. This means that the financial statements of a foreign operation may be presented in a currency that is different to that of the group. An entity is not required to prepare its financial statements in its functional currency. It may select a **presentation currency** that is different from its functional currency.

A foreign operation

... in the context of accounting, refers to a subsidiary, associate, joint venture or branch of a company that is located in a country other than the country of the parent entity. It represents a business entity that conducts its operations, holds assets and generates income in a foreign jurisdiction.

Something to think about

Local, functional and presentation currencies

It is important that you are able to distinguish between the three different types of currency: local currency, functional currency and presentation currency (refer to [Chapter 23](#), *Foreign exchange transactions*):

- The local currency is the currency in the country in which the foreign operation is based.
- The functional currency is the currency of the primary economic environment in which the entity operates.
- The presentation currency is the currency in which the financial statements are presented.

Not all foreign operations account for and report financial information using all three types of currency (namely local currency, functional currency and presentation currency). For example, where the financial statements of a foreign subsidiary are prepared in a foreign currency (that is, a currency that is different from the presentation currency of the parent), it is necessary to translate the financial statements of the foreign subsidiary to the currency used by the parent entity in order to be able to prepare consolidated financial statements for the group.

Refer to Section 4 below for a detailed discussion of the translation of the financial statements of a foreign operation to the presentation currency of the group.

The parent is required to prepare and present consolidated financial statements, which include all subsidiaries, in a currency referred to as its '**presentation currency**'. The subsidiary would prepare and present its financial statements using a different presentation currency (for example, its functional currency, which is the currency of the primary economic environment in which the entity operates). This means that the subsidiary's financial statements should be converted or translated into the presentation currency to prepare consolidated financial statements.

For example, assume the parent is located in South Africa, with its presentation currency being the local currency, namely the South African rand, and it has a subsidiary that is located in Australia. The Australian subsidiary's presentation currency for its financial statements is Australian dollars. When the parent prepares consolidated financial statements, these would use the parent's presentation currency. It would not make sense to add the subsidiary's assets and liabilities to those of the parent when these are in different currencies.

In a group context, when an entity determines the functional currency of a foreign operation, the relationship between the two organisations must be considered. There are two possible scenarios:

- The overseas operation has significant autonomy (for example, intra-group transactions are infrequent). In this case, the functional currency of the foreign subsidiary is that entity's local currency.
- The foreign operation is an extension of the parent (for example, intra-group transactions are frequent and depend on the parent for financing). In this case, the subsidiary takes the parent's functional currency.

The principles provided in IAS 21 relate to the translation of a set of financial statements into the presentation currency and the resulting foreign exchange translation adjustments that arise from this transaction. The main principles applicable to the accounting of foreign operations are:

- If an entity has presented its accounts in its functional currency, it must report these amounts in this functional currency.
- If the functional currency is different to the presentation currency of the parent, the amounts should be presented in the 'presentation' currency in the group financial statements.
- This results in exchange differences from a functional currency to a different currency, namely the presentation currency.
 - Such exchange differences are presented in other comprehensive income.
 - Exchange differences in other comprehensive income are closed off to a reserve called the foreign currency translation reserve (FCTR).
 - Where the parent has a partly held subsidiary, the foreign currency translation reserve is attributable to the parent's equity holders and non-controlling interest (NCI).

Key principle:
When should amounts reported in a functional currency be translated into a presentation currency?

Amounts reported in the functional currency should be translated into a presentation currency when the financial position and results of a foreign operation are included in the financial statements of the group, either by consolidation or using the equity method (see IAS 21, paragraph 3).

3 Separate financial statements of the foreign operation

A foreign operation prepares its financial statements using its presentation currency. Separate entities in a group (in other words, the parent, subsidiaries, associates and joint ventures) may have different functional currencies depending on their location and where they conduct most of their business activities. You have to determine the functional currency of each entity within a group. Once the functional currency of an entity is established, an entity records its accounting entries and transactions using the functional currency. However, an entity does not need to present financial statements in the functional currency. For reporting purposes, if the functional currency is different from the presentation currency, the transactions are translated into a presentation currency.

A foreign operation can either be registered as a company (in accordance with the rules and legislatures of the country in which it is registered) or operate as a branch or division of an international conglomerate. When the foreign operation operates as an independent entity with a significant degree of autonomy (for example, intra-group transactions are infrequent), the functional currency of the foreign operation is that entity's local currency.

A foreign operation with frequent intra-group transactions that depends on its parent or investor for financing does not have a significant degree of autonomy. In this case, the foreign operation is an extension of the investor (for example, its parent), and the foreign operation presents financial statements using the investor's functional currency.

Where the subsidiary prepares and presents its financial statements using a different presentation currency (for example, its functional currency), the subsidiary's financial statements should be converted or translated into the presentation currency of the parent in order to prepare consolidated financial statements.

In a group, it is possible for a parent entity that has a large number of foreign subsidiaries to have a number of functional currencies. When group financial statements are prepared, the results and financial position of each foreign subsidiary are included in the group financial statements, which are prepared in the presentation currency of the parent.

4 Translating the financial statements of the foreign operation to the presentation currency of the group

The parent prepares and presents group financial statements (which include all subsidiaries) in its presentation currency. For example, when the financial statements of a foreign subsidiary are presented in a currency that is different from that of the parent, the first step is to translate the financial statements of the subsidiary (foreign operation) to that of the parent's presentation currency. The second step (discussed in Section 5.2) is then to consolidate the foreign subsidiary.

For this translation of a foreign operation to the presentation currency, the exchange rates given in [Table 29.1](#) are appropriate.

Table 29.1 Principles for the translation of elements in the financial statements of a foreign operation from the functional currency to the presentation currency of a group

Elements in financial statements (What?)	Reporting period (When?)	Exchange rate to use (How?)
Assets and liabilities	Current period	Closing rate at reporting date
	Prior period (comparatives)	Closing rate for prior period
Income and expenses (profit or loss and other comprehensive income)	Current period	Actual rates or average for current period ¹
	Prior period (comparatives)	Actual rates or average for prior period

Equity	At acquisition	Historical rate ²
	Current and prior period	Closing rate
Exchange difference	Originates in the trial balance (accounts) of the foreign operation, representing an exchange difference (See Section 5.2 below.)	

1. The actual exchange rates are the rates at the date of the individual transactions. As this may be impractical due to the number of individual transactions, the average rates may be used, for example, an average rate for each month.

2. For consolidation, it makes sense to use the historical rate at the date of the acquisition when the goodwill and non-controlling interests are calculated.

The translation of different elements in the financial statements, using different foreign exchange rates, results in a difference between:

- The assets and liabilities (using the closing rate)
- Equity, for example, the income and expense items (using the actual or average rate for that period).

Thus, an exchange difference arises, which is the balancing figure when different elements in the financial statements are translated using different exchange rates.

Such an exchange difference can also exist because the opening assets and liabilities are translated at a closing rate that differs from the opening rate.

Exchange differences are included in other comprehensive income in the group statement/s of financial performance and closed off to a separate surplus in group equity, which is referred to as a 'foreign currency translation reserve' (FCTR).

As the exchange difference can either be a gain or a loss, the foreign currency translation reserve can have a credit (gain) or debit (loss) balance.

An exchange difference

... is a difference resulting from translating a given number of units of one currency into another currency at different exchange rates (see IAS 21, paragraph 8).

Example of translating the trial balance of a foreign operation to the presentation currency of the group

A Ltd is a parent company with a currency unit (CU) as its functional currency. A Ltd acquired 80% of the 5 000 shares of B Inc. on 1 January 20x1, when B Inc. was incorporated. B Inc. is a foreign subsidiary with a functional currency (FC).

A Ltd measures its investments in subsidiaries on a cost basis in its separate accounts. No dividends were declared in 20x1. All companies have a 31 December year end.

Trial balances of the two entities at 31 December 20x2 comprised of:



The following exchange rates apply:



The first step is to translate the FC-denominated trial balance of the subsidiary to the presentation currency of the parent entity, which is CU.

How do we do this? We need to get all the amounts into rands (as the parent's functional currency is most often the presentation currency of the group).

Note that the exchange rates used for translating the respective accounts in the trial balance of B Inc. depend on the type of account (see IAS 21, paragraphs 38–40):

- Equity is translated at the exchange rate when the equity arose in the group for the first time.
- Assets and liabilities are translated at the exchange rate at the reporting date (in other words, the closing exchange rate).
- Income and expenses are translated at the actual or average exchange rate for the reporting period.

Translating (in other words, converting) the trial balance of B Inc. as at 31 December 20x2 into CU



5 Consolidation of foreign operations that are subsidiaries

An investment in a foreign operation that is a subsidiary should be consolidated in the group financial statements. However, group financial statements can only make sense when all amounts are reported in the same currency units,

namely the presentation currency of the parent. Thus, where the foreign subsidiary prepared its financial statements in a currency that is different to that of the parent, an important first step is to translate the statements of the foreign operation into the parent's presentation currency, as demonstrated above.

5.1 Investment in a foreign subsidiary

The net investment in a foreign operation is the amount of the reporting entity's interest in the net assets of that operation at the acquisition date. The parent records, in its separate financial statements, the investment in the foreign subsidiary at the acquisition date, using the exchange rate at the transaction date. Any dividends received by the parent from the subsidiary are recognised when received, as this is a foreign currency transaction (see [Chapter 23](#), *Foreign exchange transactions*).

Example of the accounting entries in the separate financial statements of the parent

This example continues from the example above, where A Ltd (a parent company with CU as its functional currency) acquired 80% of the 5 000 shares of B Inc. on 1 January 20x1, when B Inc. was incorporated. B Inc. is a foreign subsidiary with a functional currency (FC).

Investment in foreign subsidiary

A Ltd acquired 4 000 (80%) of the shares of B Inc. when these were issued at FC2 per share. This means that A Ltd paid FC8 000 for its 80% interest in B Inc.

The exchange rate at the transaction date (the date when A Ltd acquired its controlling interest in B Inc.):

	1FC = _CU
1 January 20x1	2,00

The investment in B Inc. is recorded in the separate financial statements of A Ltd at the acquisition date, amounting to CU16 000, as follows:



Acquisition at cost, recorded at the spot rate

Note that the investment is not restated for subsequent foreign exchange movements, as it is a non-monetary asset.

Dividend received from foreign subsidiary

B Inc. declared and paid a dividend, amounting to FC1 000, on 1 December 20x2. A Ltd received the dividend, amounting to FC800 (80% x FC1 000).

The exchange rates at the transaction date (the date when A Ltd received the dividend from B Inc.):

	1FC = _CU
1 December 20x2	4,75

A Ltd records, in its separate financial statements, dividend income amounting to CU3 800 (FC800 x 4,75), as follows:



Dividend income, recorded at the spot rate

You can check and confirm these balances in the trial balance of A Ltd:



Note the respective rates used for each of these transactions, discussed in [Chapter 23](#). (See IAS 21, paragraphs 38–40.)

5.2 Consolidation of a foreign subsidiary

Similar to any other investments in subsidiaries, the parent recognises the investment in the subsidiary at cost at the acquisition date, and dividends are recognised when declared by the subsidiary. Group financial statements, which include any foreign subsidiaries, are prepared and presented in a similar way as discussed in [Chapter 27](#), *Consolidated financial statements*. The group financial statements are prepared using the parent's presentation currency. Thus, once the foreign subsidiary's trial balance has been translated into the presentation currency, the consolidation process of adding together the trial balances of the parent and its subsidiary is followed, including eliminating any intra-group transactions.

The **exchange difference** arising from the translation of the individual accounts in the foreign subsidiary's trial balance using different exchange rates represents the cumulative translation difference at the reporting date. On consolidation, this amount is recognised separately in group equity as a foreign currency translation reserve.

The foreign currency translation reserve arising from the translation of the foreign subsidiary is analysed and allocated to three periods, as indicated in [Table 29.2](#) below.

Table 29.2 The three time periods in determining the foreign currency translation reserve

Different time periods of the exchange differences:	Foreign currency translation reserve
Arising at the acquisition date	Opening balance of foreign currency translation reserve
Arising in each of the subsequent reporting periods	
Arising in the current reporting period	Recognised in other comprehensive income

Cumulative exchange difference	= Closing balance of foreign currency translation reserve
--------------------------------	---

The cumulative exchange difference arising at the acquisition date and in each of the subsequent reporting periods is recognised as the opening balance of the foreign currency translation reserve in the consolidated statement of changes in equity. The exchange difference arising in the current reporting period is included in other comprehensive income in the group statement/s of financial performance and closed off to the foreign currency translation reserve in group equity.

In group equity, the foreign currency translation reserve is a separate equity reserve. The cumulative foreign currency translation reserve originates from the exchange difference when the foreign operation's amounts are translated using the exchange rates listed above. As the exchange rate difference can either be a gain or a loss, the foreign currency translation reserve can have a credit (gain) or debit (loss) balance.

In the case of a wholly owned subsidiary, the full foreign currency translation reserve is attributable to the parent equity holders. Where the parent does not own 100% of the shares of the subsidiary, a portion of the foreign currency translation reserve is allocated to non-controlling interest. Thus, the foreign currency translation reserve recognised in the group statement of changes in equity and group statement of financial position is the portion attributable to the parent equity holders (see IAS 21, paragraph 41).

The tax effects of exchange differences are limited. Each group entity has tax obligations relating to the jurisdiction in which it operates, and the translation of the carrying amounts of its assets and liabilities into another currency does not give rise to further deferred tax differences.

Example of the consolidation of a foreign subsidiary

This example continues from the example above, where A Ltd (a parent company with a CU presentation currency) acquired 80% of the 5 000 shares of B Inc. on 1 January 20x1, when B Inc. was incorporated. B Inc. is a foreign subsidiary with a functional currency (FC).

The equity of the foreign subsidiary is analysed between the three periods, namely at acquisition, since acquisition and at the current period, using the exchange rates in accordance with IAS 21, as follows.



The following exchange rates apply:



1 In this example, A Ltd acquired its 80% interest in B Inc. when it was incorporated. Thus, there is no goodwill arising at the acquisition date.

2 This portion of the exchange difference relates to the prior year. This difference is attributed between the parent and the non-controlling interest.

3 The exchange difference of CU35 000 is calculated as the difference between the equity translated at the closing rate on 31 December 20x1, and the equity translated at the different exchange rates at the acquisition date and the profit for 20x1.

$$\text{CU180 000} - [\text{CU20 000} + \text{CU125 000}] = \text{CU35 000}$$

The parent equity holders' share of the exchange difference in 20x1 is the opening balance of the foreign currency translation reserve in group equity.

4 The foreign subsidiary's profit for the current year amounts to FC10 000 (revenue of FC20 000, less: cost of sales of FC4 000, operating expenses of FC2 000 and income tax of FC4 000). The tax expense is the amount reported by the foreign subsidiary, based on the tax rate in the country where the subsidiary is registered. The simple average exchange rate has been used to translate the income and expense items of the subsidiary in the current year.

5 This is the actual amount of the dividend recognised in the separate financial statements of the parent (see example above).

6 The exchange difference of CU127 750 is calculated as:

$$\text{CU345 000} - [\text{CU180 000} + \text{CU42 000} - \text{CU4 750}] = \text{CU127 750}$$

This portion of the exchange difference relates to the current year (20x2). The full amount is included in the group statement of profit or loss and other comprehensive income, in other comprehensive income.

7 The parent's share of the exchange difference in the current year. This portion is recognised in the group's other comprehensive income and transferred to the foreign currency translation reserve, net of non-controlling interest.

8 The cumulative portion of the foreign currency translation reserve attributable to the non-controlling interest, recognised in non-controlling interest in the consolidated statement of changes in equity.

Summary of the exchange difference allocation to the foreign currency translation reserve and the non-controlling interest:



You will notice that the cumulative exchange rate difference of CU162 750 is the same amount as determined when the trial balance of B Inc. was translated to the presentation currency in the example earlier. This table illustrates how the cumulative exchange rate difference is allocated between the different periods, as well as between the parent equity holders and the non-controlling interest.

The exchange difference in the current year is recognised in other comprehensive income (OCI), while the exchange difference relating to prior years is directly recognised in equity as the opening balance of the foreign currency translation reserve (FCTR).

Refer to the consolidated statement of changes in equity below to see how these amounts are presented between the different equity participants of the group.

Note that these pro-forma journal entries are performed after the foreign subsidiary's trial balance has been translated to the presentation currency of CU. The pro-forma journal entries are therefore in CU:

			CU	CU
Dr		Share capital	20 000	
	Cr	Investment in B Inc.		16 000
	Cr	Non-controlling interest (equity)		4 000

Elimination of at-acquisition equity of foreign subsidiary

			CU	CU
Dr		Retained earnings	25 000	
	Cr	Non-controlling interest (equity)		25 000

Allocation of prior-year profits attributable to non-controlling interest

			CU	CU
Dr		Non-controlling interest (P/L)	8 400	
	Cr	Non-controlling interest (equity)		8 400

Allocation of current-year profits attributable to non-controlling interest

			CU	CU
Dr		Dividend income (P/L)	3 800	
Dr		Non-controlling interest (equity)	950	
	Cr	Dividends declared		4 750

Elimination of dividends declared by the foreign subsidiary

			CU	CU
Dr		Exchange difference (at 20x1)	35 000	
	Cr	Foreign currency translation reserve (equity)		28 000
	Cr	Non-controlling interest (equity)		7 000

Allocation of the exchange difference at 20x1 to equity

			CU	CU
Dr		Exchange rate difference (20x2)	127 750	
	Cr	Foreign currency translation gains (OCI)		127 750

Allocation of the exchange rate difference arising in the current year to other comprehensive income

			CU	CU
Dr		Non-controlling interest (OCI)	25 550	
	Cr	Non-controlling interest (equity)		25 550

Allocation of the current year's exchange rate difference to non-controlling interest

The group statement of profit or loss and other comprehensive income of A Ltd for the 20x2 financial year is summarised below.



The group statement of changes in equity for the year ended 31 December 20x3 is as follows:



Notes:

1 The foreign currency gain is recognised in other comprehensive income, as amounts that will be reclassified to profit or loss. At the reporting date, this foreign currency gain is unrealised. It results from translating the individual trial balance accounts of the foreign subsidiary to the presentation currency, using different exchange rates as stipulated in IAS 21.

The classification as 'amounts that will be classified to profit or loss' is appropriate, as this gain (or loss) will be reclassified to profit or loss when control of the foreign subsidiary is lost. The cumulative gain (or loss) will then be recognised in profit or loss, as a gain/loss recognised when the investment in the foreign subsidiary is sold.

2 The foreign currency gain results from exchange rate translation differences, which have no tax consequences.

3 The amount recognised in other comprehensive income is 100% of the current year's foreign currency gain. The non-controlling interest is included in the amount attributed to NCI at the bottom of the statement.

4 The foreign currency translation reserve (FCTR) is recognised as a separate reserve in the group statement of changes in equity. It reflects the accumulated exchange gains and losses attributable to the equity holders of the parent (PEH). As this reserve is for exchange gains or losses, the reserve can have a debit or credit balance.

5 The equity attributable to non-controlling interest includes their share of the profits as well and the exchange rate differences.

The group statement of financial position of A at 31 December 20x2 is as follows (comparatives have been ignored):



5.3 Goodwill arising on the consolidation of a foreign subsidiary

Goodwill (arising on the consolidation of a foreign operation) is treated as an asset of a foreign operation and is re-translated at each reporting date. At acquisition, goodwill is recorded in the foreign currency of the subsidiary and this amount remains unchanged, unless control is lost. At each subsequent reporting date, goodwill in the foreign currency is translated into the presentation currency of the group, using the spot rate at that date. Exchange differences are recognised in other comprehensive income. Thus, the foreign exchange translation difference arising when goodwill is re-measured at the reporting date is included in the cumulative translation reserve, recognised in other comprehensive income.

Example of the consolidation of a foreign subsidiary, including goodwill

A Ltd, a local parent company with CU as its functional currency, acquired 80% of the 5 000 shares of B Inc., a foreign subsidiary with a functional currency (FC), on 1 January 20x2. A Ltd paid FC52 000 (in other words, CU156 000) for its 80% interest in B Inc., when the fair value of the net identifiable assets of B Inc. amounted to FC60 000.

The following exchange rates apply.



What is the goodwill at the acquisition date?



What is the goodwill at the reporting date?

Goodwill arises as a result of the acquisition of the subsidiary and is recognised in the group financial statements as an asset. Note that the amount of goodwill, measured in the currency of the subsidiary, remained the same at FC4 000. At acquisition the goodwill is recorded in foreign currency and translated into CU using the spot rate at that date, in other words CU12 000.

At each subsequent reporting date, the goodwill balance is translated at the closing rate. Similar to the other assets of the foreign subsidiary, goodwill is subsequently measured at the exchange rate at the reporting date. Exchange differences are recognised in other comprehensive income. Thus, the foreign exchange translation difference arising when goodwill is re-measured at the reporting date is included in the cumulative translation reserve, recognised in other comprehensive income.

As goodwill arises at a group level, pro-forma journal entries are required to recognise goodwill (at acquisition date) and subsequently to restate goodwill to the closing rate.

Pro-forma journal entries

			CU	CU
Dr		Share capital and equity	180 000	
Dr		Goodwill	12 000	
	Cr	Investment in B Inc.		156 000
	Cr	Non-controlling interest (equity)		36 000

Elimination of at-acquisition equity of foreign subsidiary and recognition of goodwill

			CU	CU
Dr		Goodwill	8 000	
	Cr	Foreign currency translation gains (OCI)		8 000

Translation of goodwill to spot rate at the reporting date

In this example, the goodwill recognised is only that of the parent's interest (calculated using the partial goodwill method). Thus, there is no amount attributable to the non-controlling interest. Exchange differences relating to goodwill are not attributed to non-controlling interest if the goodwill is calculated using the partial goodwill method (in other words, non-controlling interest is measured at its percentage share of the net assets of the subsidiary).

Exchange differences relating to goodwill are attributed to non-controlling interest based on their percentage interest in the subsidiary if goodwill is calculated using the full

goodwill method (in other words, non-controlling interest is measured at fair value at acquisition).

5.4 Bargain purchase gain of a foreign subsidiary

Bargain purchase gains (arising on the consolidation of a foreign operation) are recognised as income in the group financial statements in the year that the subsidiary is acquired and closed off to group retained earnings. The bargain purchase gain is calculated in the foreign currency and translated into the presentation currency of the group, using the exchange rate at the acquisition date. As the bargain purchase gain is recognised as an income item on the transaction date, it is not restated for subsequent exchange rate movements.

5.5 Fair value adjustments at the acquisition date

Any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition of a foreign operation are treated as assets and liabilities of the foreign operation and translated at the closing rate at the reporting date (see IAS 21, paragraph 47). As the fair value adjustments relate to a particular asset or liability, exchange differences arise from translating amounts at the closing rate at each reporting date. These exchange differences are recognised in other comprehensive income and the non-controlling interest's share in these exchange differences are determined based on their percentage interest in the subsidiary.

Fair value adjustments arise at acquisition when the assets and liabilities of the subsidiary are considered undervalued or overvalued. Remember, the group recognises the assets and liabilities at fair value at the acquisition date. As the fair value adjustments relate to a particular asset or liability, the usual consolidation adjustments and reversals apply as the specific asset is subsequently depreciated, revalued or sold. The consolidation process relating to these fair value adjustments are similar to those explained in [Chapter 27](#), *Consolidated financial statements*, Sections 6.4 and 6.5.

As the fair value adjustments relate to a particular asset or liability and the 'paragraph 15 exemption' does not apply in a business combination, you need to consider the deferred tax implications relating to these adjustments. The deferred tax recognised at the acquisition date is based on how the asset is recovered or how the liability is settled in the country in which the foreign operation is domiciled for tax purposes.

5.6 Intra-group transactions with a foreign subsidiary

Intra-group transactions between the parent and its foreign subsidiary are eliminated on consolidation. Whenever related entities trade with each other or borrow or lend money from and to each other, the separate legal entities disclose the effects of these transactions in the assets and liabilities recorded and the profits and losses reported. The effects of transactions within the group must be adjusted when preparing consolidated financial statements to only include transactions with third parties. Exchange differences arising on intra-group balances are not eliminated, as the group is effectively exposed to foreign exchange gains or losses even on intra-group transactions (see IAS 21, paragraph 45). This includes dividend receivables and payables (in other words, when a dividend has been declared by the subsidiary, but not yet paid).

Monetary items receivable from, or payable to, a foreign operation for which settlement is neither planned nor likely to occur in the foreseeable future are treated as a part of the entity's net investment in that foreign operation. Exchange differences arising on a monetary item that forms part of a reporting entity's net investment in a foreign operation are recognised in profit or loss in the parent's separate financial statements but are recognised in other comprehensive income (as a part of the currency translation reserve) in consolidated financial statements (see IAS 21, paragraphs 32–33).

5.6.1 Dividends declared by the subsidiary

When a subsidiary company declares dividends, the portion of the dividend relating to the parent's shareholding is recognised by the parent as dividends received. The parent includes any dividend income received from the subsidiary in profit or loss, translated using the exchange rate at the date of the transaction. The subsidiary recognises dividends declared in its separate financial statements using its functional currency.

The total dividend declared by the subsidiary must be eliminated in the consolidated financial statements, as the only dividends that should be reflected as being declared are those payable to the outside shareholders. The portion attributable to the parent should be eliminated against dividends received by the parent, thereby eliminating the intra-group transaction. The portion of the subsidiary's dividend attributable to the non-controlling shareholders is translated to the presentation currency of the parent using the exchange rate at the date that the dividend was declared.

The example below provides a brief illustration of the accounting treatment when a foreign subsidiary declared a dividend.

Example of intra-group dividends

A Ltd, a parent company with a CU presentation currency, acquired 80% of the 5 000 shares of B Inc., a foreign subsidiary with a functional currency (FC), on 1 January 20x2. B Inc. declared and paid a dividend of FC1 000 on 30 June 20x2.

The following exchange rates apply:



In the **separate financial statements of the parent**, dividend income amounts to CU3 000, determined as follows:

$$\text{FC1 000} \times 80\% = \text{FC800} \times 3,75 = \text{CU3 000}$$

The dividend income in the parent is eliminated on consolidation, as follows:

Pro-forma journal entry

			CU	CU
Dr		Dividend income	3 000	
Dr		Non-controlling interest (E)	750	
	Cr	Dividend declared (FC1 000 × 3,75)		3 750

Elimination of intra-group dividend, using the spot rate at the transaction date

The consolidated statement of profit or loss and other comprehensive income should not include dividends received by the parent from the subsidiary entity. It should only include dividends received from outside the group. The statement of changes in equity should only include dividends declared by the parent as an adjustment to group retained earnings.

When the subsidiary declares a dividend that has not yet been paid, a liability (dividends payable) is recognised. The parent recognises dividend income once it is entitled to receive the dividend, at which stage an asset (dividends receivable) is recognised. The parent's dividends receivable portion should be eliminated against the portion of the dividends payable by the subsidiary.

The non-controlling shareholders' share of a dividend declared but not paid should be shown as a liability. As this is a monetary item payable to an external party, it is translated using the exchange rate at the reporting date.

5.6.2 Intra-group loans and interest

Intra-group loans between the parent and its subsidiary are eliminated on consolidation. In the case of a foreign subsidiary, it is important that you determine whether the loan by the parent to its subsidiary is repayable or not. For example, the parent may grant a loan to its subsidiary of which settlement is neither planned nor likely to occur in the foreseeable future. In this case, the loan is a monetary item receivable from a foreign operation and is treated as a part of the entity's net investment in that foreign operation. Exchange differences arising on a monetary item that forms part of a reporting entity's net investment in a foreign operation are recognised in profit or loss in the parent's separate financial statements but are recognised in other comprehensive income (as a part of the foreign currency translation reserve) in the consolidated financial statements (see IAS 21, paragraphs 32–33).

Example of intra-group loan and interest

On 1 January 20x2, A Ltd lent FC10 000 to B Inc. at an interest rate of 5% p.a. (which is a fair and effective interest rate). All entities carry the instrument at amortised cost.

The following exchange rates apply.



Situation 1: The loan of FC10 000 is repayable in full on 31 December 20x4.

Pro-forma journal entries

		CU	CU
Dr	Interest income	21 000	
	Cr Interest expense (FC10 000 × 5% × 4,20)		21 000

Elimination of intra-group interest transaction

		CU	CU
Dr	Loan payable	50 000	
	Cr Loan receivable (FC10 000 × 5,00)		50 000

Elimination of intra-group payable and receivable (monetary item so restated to closing rate by A and B's translated trial balance at the reporting date will include the loan at the closing rate)

Situation 2: The loan of FC10 000 is not repayable in the foreseeable future.

The pro-forma journal entries are the same as above. However, the exchange difference relating to the capital amount (FC10 000) recognised in the parent's separate financial statements in profit or loss, is reversed on consolidation and recognised in other comprehensive income.

In A Ltd's separate financial statements, the capital amount of FC10 000 was measured as follows:



Thus, this additional pro-forma journal entry is required.

			CU	CU
Dr		Exchange rate difference (P/L)	20 000	
	Cr	Foreign currency translation gains (OCI)		20 000

Removal of exchange difference recognised by parent relating to the capital amount in profit or loss, recognised in other comprehensive income

Think about it:

- As this loan is repayable in the foreign currency (FC), it is classified as a monetary asset (receivable) in the separate financial statements of A Ltd.
- At the reporting date, A Ltd will recognise this loan at CU50 000 (after translating it at the closing exchange rate and recognising an exchange difference in P/L).
- In the group, this loan is a monetary item for 'which settlement is neither planned nor likely to occur in the foreseeable future' (see IAS 21, paragraph 15). It is therefore part of the net investment in B Inc.
- The additional pro-forma journal entry (above) therefore reverses the exchange difference by A Ltd in profit or loss and recognises the difference in other comprehensive income. (See IAS 21, paragraphs 15, 32–33.)

5.6.3 Other intra-group transactions

Other examples of similar internal charges between a parent and a subsidiary are management fees, rental charges and royalties. Even though the net effect of these charges on the consolidated group profit or loss is zero, these charges should be netted off on consolidation to ensure that the line items in the consolidated financial statements do not include transactions between entities within the same group.

Intra-group transactions may include the intra-group sale of inventory or other non-current assets (see [Chapter 27](#), *Consolidated financial statements*, Section 6.6.2). The same principles apply when consolidating an interest in a foreign operation, namely that the effect of intra-group gains or losses is eliminated. The sale of a non-current asset between a parent and its subsidiary is an internal transaction. The effect of intra-group transactions should be reversed when consolidated financial statements are prepared, as the group cannot sell an asset to itself. The cost of an asset to the group is the cost when it was first acquired by the group. This is the acquisition cost if the acquirer was part of the group when the asset was acquired or the fair value of the asset at the date on which the subsidiary was acquired by the parent. Similarly, the effect of any intra-group inventory transfers between the parent and a subsidiary is reversed on consolidation so that the consolidated financial statements recognise inventory on hand at the cost price to the group and only include transactions with parties outside the group.

5.7 Disposal of a foreign subsidiary

Changes in shareholding, for example, when the parent sells a portion or all of its interest in a subsidiary, may result in the parent losing control of a subsidiary. When a portion of the equity interest is retained, the investor needs to determine if this represents an acquisition of the ability to exert significant influence or joint control. Refer to [Chapter 27](#), *Consolidated financial statements*, Section 7, for a detailed discussion of the accounting treatment of changes in shareholding.

When an interest in a foreign operation is disposed of, the exchange difference, initially recognised in other comprehensive income, is reclassified from equity to profit or loss (see IAS 21, paragraph 32). On the disposal of a foreign operation, the cumulative amount of the exchange differences relating to that foreign operation (previously recognised in other comprehensive income and accumulated in the foreign currency translation reserve), are **reclassified from equity to profit or loss** (as a reclassification adjustment) when the gain or loss on disposal is recognised (IAS 21, paragraph 48). This makes sense, as it relates to the gain or loss on the disposal of the subsidiary. Additionally, IAS 21, paragraph 48A, specifies accounting for partial disposals.

The reclassification of items from other comprehensive income to profit or loss is made in accordance with IFRS 18, paragraph 90. All items in other comprehensive income must be grouped into two categories, namely those that will be and will not be subsequently reclassified to profit or loss:

- Examples of items that will be reclassified to profit or loss are foreign exchange differences on translation of foreign operations or gains or losses on certain cash flow hedges.
- Examples of items that will not be reclassified to profit or loss are remeasurement gains or losses on defined benefit employee plans or revaluation gains on non-current assets.

When an item is reclassified from other comprehensive income to profit or loss it impacts both statements and such a reclassification is referred to as a 'reclassification adjustment'. A reclassification adjustment is defined as the amount reclassified to profit or loss in the current period that was recognised in other comprehensive income in the current or previous periods (see IFRS 18, paragraphs B88 and B89). Entities must disclose the amount of such reclassifications, either by presenting them gross in other comprehensive income or in the notes to the financial statements (see IFRS 18, Illustrative example E7).

Example of disposal of foreign subsidiary

This example follows from the example in Section 5.2 above, when A Ltd (a parent company with a CU presentation currency) acquired 80% of the 5 000 shares of B Inc. on 1 January 20x1, when B Inc. was incorporated.

As part of preparing the consolidated financial statements of A Ltd at 31 December 20x2, the foreign currency translation reserve attributable to the parent equity holders amounted to CU130 200, calculated as follows:



In this example, let's assume that A Ltd sold shares that it owned in B Inc.

Situation 1: A Ltd sold all of the shares in B Inc. for FC100 000 to the 20% shareholder.

In this situation, A Ltd disposed of the foreign operation. A Ltd lost control in B Inc. on 31 December 20x2 (the date of the sale of the shares in B Inc.). The consolidated financial statements will include the results of B Inc. up until 31 December 20x2, at which date the subsidiary is disposed of.

What happens to the foreign currency gains or losses recognised in the group accounts of A Ltd relating specifically to the sale of the shares?

The cumulative amount of the exchange differences relating to the foreign operation sold is reclassified from equity to profit or loss.

What is the cumulative foreign exchange difference relating to the subsidiary that is sold?

CU162 750 – the cumulative exchange difference up until the date of disposal.

What is the currency gain or loss that has been accumulated in the separate reserve in equity?

The balance of the foreign currency translation reserve = **CU130 200** (amount 'accumulated in separate component of equity'. (See IAS 21, paragraph 48.)

Thus: What pro-forma journal entry is required for the **reclassification adjustment**?

		CU	CU
Dr	Foreign currency translation reserve	130 200	
	Cr Cumulative foreign currency gain reclassified from equity (OCI)		130 200
Dr	Foreign currency gain reclassified to P/L (OCI)	130 200	
	Cr Foreign currency gain reclassified from OCI (P/L)		130 200

Note: Make sure that you know how this reclassification should be presented in the group statement of profit or loss and other comprehensive income (refer to IFRS 18, paragraphs B88 and B89).

Think about it: Why are there no adjustments to non-controlling interest? The non-controlling interest is derecognised at the disposal date (see IAS 21, paragraph 48B).

Thus CU130 200 is reclassified from other comprehensive income to profit or loss when the shares in B Inc. are sold, being 100% of the cumulative gains attributable to equity holders of A Ltd.

Situation 2: A Ltd sold 2 000 shares in B Inc. for FC50 000 to the 20% shareholder.

In this situation, A Ltd sold 2 000 of the 4 000 shares held in B Inc., the foreign operation. A Ltd sold 50% of its interest in B Inc. and retains a 40% interest

Thus, A Ltd lost control in B Inc. on 31 December 20x2 (the date of the sale of the shares in B Inc.). The consolidated financial statements will include the results of B Inc. up until 31 December 20x2, at which date the subsidiary is disposed of.

What happens to the foreign currency gains or losses recognised in the group accounts of A Ltd for 20x2 relating specifically to the sale of the shares?

The cumulative amount of the exchange differences relating to the foreign operation sold is reclassified from equity to profit or loss.

Assuming that voting rights (and control) are in line with shareholding interest, A Ltd has lost control of B Inc. Even though A Ltd only sold 50% of its shareholding, the result is that B Inc. is no longer a subsidiary of A Ltd. (See IAS 21, paragraph 48A, [a] and [b].)

If A Ltd is able to exert significant influence over B Inc., B Inc. will be accounted for as an associate (see Section 6 below).

Think about it: B Inc. has 5 000 issued shares (refer to scenario). A Ltd sold 2 000 of its original interest of 4 000 shares, resulting in A Ltd retaining 2 000 shares. This represents a 40% interest being retained.

Situation 3: A Ltd sold 1 000 shares in B Inc. for FC30 000 to the 20% shareholder.

In this situation, A Ltd sold 1 000 of the 4 000 shares held in B Inc., the foreign operation, thus retaining 3 000 shares in B Inc. A Ltd retains a 60% interest in B Inc. Thus, this is a transaction between equity holders as A Ltd retains control in B Inc. and B Inc. remains a subsidiary of A Ltd.

What happens to the foreign currency gains or losses recognised in the group accounts of A Ltd for 20x2 relating specifically to the sale of the shares?

The change in shareholding is an equity transaction between the different classifications of shareholders. As control is not lost, there is no reclassification.

Thus: **CU32 550**, which is  of the foreign currency translation reserve, is transferred to retained earnings or another reserve (see IAS 21, paragraph 48C), using pro-forma journal entries.

6 A foreign operation that is an associate

When the foreign operation is an associate entity, the interest in the foreign associate should be included in the group financial statements using the equity method (see IAS 28, *Investments in Associates and Joint Ventures*). Foreign currency financial statements of a foreign investee accounted for by the equity method should be translated to the reporting currency in the same manner as the financial statements of a consolidated foreign investee. Thus, in the case of a foreign operation that is an associate, the **first step** is again that the trial balance of the foreign operation is translated into the presentation currency of the investor, resulting in the calculation of the exchange difference.

Applying the equity method requires that you determine the net asset value of the associate at the date of acquisition, partly to determine if there is a bargain purchase gain (as that is recognised in profit immediately) and also to determine if there are any fair value adjustments that subsequently impact group profit. See paragraph 32 of IAS 28, *Investments in Associates and Joint Ventures*, which specifically makes the point that you need to calculate a goodwill figure or to calculate an excess or bargain purchase gain. The goodwill is calculated even though you do not recognise it separately, as it is included in the carrying amount of the investment. That implies that there is no automatic impairment test.

When calculating the net asset value of a foreign associate at acquisition, the same principles apply as when you gain control of a subsidiary company. This implies that the same principles (including those regarding deferred tax) should be applied to the extent that they relate to the net asset value at acquisition. (See IAS 28, *Investments in Associates and Joint Ventures*, paragraph 26.)

Equity accounting requires that you recognise the group's share of profit of the associate as equity accounted profit in the group profit or loss, and that you include the debit to the investment in the associate. Similarly, the group's share of other comprehensive income of the associate is recognised as other comprehensive income (as the share of equity accounted gains and losses recognised in other comprehensive income arising, for example, from the revaluation of property, plant and equipment).

Further, the inclusion of the share of profit when equity accounting indicates that the amount recognised is **not** reduced by dividends. Thus, 'earnings from the associate' = investor's percentage of associate's profit (after adjustments that are required at a group level).

The carrying amount of the investment on the statement of financial position is reduced by dividends received. For example, applying the equity method, the portion of the dividend received in profit or loss is eliminated (see IAS 28, *Investments in Associates and Joint Ventures*, paragraph 10) by this pro-forma journal entry.

Dr		Dividend income (P/L)
	Cr	Investment in associate

Elimination of dividend income from the associate against the investment in the associate

When applying the equity method to a foreign operation, the reporting entity should:

- Record in income its share of the foreign entity's translated net income.
- Record in other comprehensive income its share of the translation adjustments arising in the translation of the foreign investee's financial statements from its functional currency to the reporting entity's currency.

By recording both adjustments, the asset balance in the investment in the foreign investee will be properly recorded as of the period end.

**Key principle:
Reclassifiable amounts**

Reclassifiable amounts are amounts that were recognised in other comprehensive income at a point in time that are subsequently reclassified from other comprehensive income to profit or loss.

Thus, exchange differences arising on translation of the investee's financial statements into a presentation currency of the investor are recognised in other comprehensive income (see IAS 21, paragraph 44).

Note that:

- IAS 28, *Investments in Associates and Joint Ventures*, paragraph 10, specifically refers to the inclusion of foreign exchange translation differences as an example of items likely to be included in equity-accounted other comprehensive income.
- The requirement to classify other comprehensive income between that which can be reclassified and that which cannot imply that there are likely to be two line items for equity accounting in other comprehensive income – one that includes reclassifiable items and one that does not. Note that IFRS 18, *Presentation and Disclosure in Financial Statements*, paragraph 88, specifically refers to equity-accounted amounts when referring to the split of items in other comprehensive income.

IAS 28, *Investments in Associates and Joint Ventures*, paragraphs 22–24, provides extensive guidance on what happens when you stop equity accounting. Specifically, when you discontinue equity accounting 'the entity shall reclassify to profit or loss the gain or loss that had previously been recognised in other comprehensive income in relation to the foreign operation' (paragraph 23). This makes it clear that you reclassify all the gains and not only the gains relating to the percentage holding if you keep an interest in an investment.

IAS 28, *Investments in Associates and Joint Ventures*, also makes it clear that when you stop equity accounting, you must account for all amounts previously recognised in other comprehensive income as if the investee had directly disposed of the related assets or liabilities; in other words, you must release revaluation reserves on property, plant and equipment, and also reclassify foreign currency translation reserves (see IAS 28, *Investments in Associates and Joint Ventures*, paragraph 25).

When part of an equity-accounted investment is sold, but significant influence is retained, this gives rise to a profit or loss on disposal (as this transaction is with parties that are outside the group, the consolidation principle of transactions with non-controlling interest does not apply).

If part of the equity-accounted holding is sold, then the proportionate amounts of the reclassifiable amounts should be recognised (see IAS 28, *Investments in Associates and Joint Ventures*, paragraph 25). This is consistent with IAS 21, paragraph 48C, which states that ‘any other partial disposal’ gives rise to an amount in profit or loss.

Example of interest in a foreign associate

This example follows from the example in Section 5.2 above, where A Ltd (with a CU presentation currency) acquired 20% of the 5 000 shares of B Inc. on 1 January 20x1, when B Inc. was incorporated. B Inc. is a foreign entity with a functional currency (FC). Thus, in this example, B Inc. is an associate.

Refer to the workings in the example in Section 5.2 above. The pro-forma journal entries to apply the equity method when preparing the group accounts of A Ltd for the 20x2 financial year are as follows:

Pro-forma journal entries

			CU	CU
Dr		Investment in associate	25 000	
	Cr	Retained earnings		25 000

Equity accounting share of prior year's profits

			CU	CU
Dr		Investment in associate	7 000	
	Cr	Foreign currency translation reserve		7 000

Equity accounting share of prior year's translation currency differences

			CU	CU
Dr		Investment in associate	8 400	
	Cr	Earnings from associate (P/L)		8 400

Equity accounting share of current year's profits

			CU	CU
Dr		Dividend income	950	
	Cr	Investment in associate		950

Elimination of intra-group dividend

			CU	CU
Dr		Investment in associate	25 550	
	Cr	Share of other comprehensive income of associate (OCI)		25 550

Recognition of share of current year translation currency differences

Some important aspects to think about:

- A 20% equity interest in B Inc., means that B Inc. is an associate (see IAS 28).
- The cost of the investment (20% in this case) would already have been recorded in A Ltd's separate financial statements when it was acquired.
- Remember that the trial balance of B Inc. (the foreign operation) should first be translated into the presentation currency (in this case, CU). This will result in the recognition of the exchange difference in the trial balance of B Inc., amounting to CU162 750.

The pro-forma journal entries are the same as explained in [Chapter 28, Accounting for associates, joint ventures and joint arrangements](#), when applying the equity method.

7 Disclosure requirements

When an entity presents its financial statements in a currency that is different from its functional currency, it is important that these financial statements comply with all the requirements of each applicable IFRS Accounting Standard (including IAS 21) and each applicable Interpretation.

These are specific disclosure requirements relating to foreign currency transactions and investments in foreign operations:

- If the presentation currency differs from the functional currency, a statement to that effect is required, as well as an explanation of why a different presentation currency is being used.
- If the functional currency of the entity or a significant foreign operation has changed, an explanation of why there has been a change is required.
- Exchange differences recognised in profit or loss (except those relating to financial instruments measured at fair value in accordance with IFRS 9, *Financial Instruments*) must be identified separately.
- The net exchange differences recognised in other comprehensive income and accumulated in a separate component of equity must be identified. A reconciliation of the opening and closing balances of the equity component is also required. This is generally presented as part of the statement of changes in equity.

ETHICAL DILEMMA

Foreign subsidiaries can give rise to ethical dilemmas, as discussed below:

- Compliance with local laws and regulations:** Ethical dilemmas arise when foreign subsidiaries face conflicting legal and ethical standards between the home and host countries. Investors must ensure that their foreign subsidiaries comply with local laws, regulations and cultural norms while upholding their ethical standards and values. Balancing these requirements can be challenging and may require careful consideration and guidance.
- Corruption and bribery:** Ethical dilemmas arise when foreign subsidiaries operate in countries with a high risk of corruption or where bribery is prevalent. Investors must establish robust anti-corruption policies and ensure their subsidiaries adhere to them. The temptation to engage in corrupt practices, such as offering bribes to secure contracts or favours, can undermine ethical standards and expose the investor to legal and reputational risks.
- Human rights and environmental impact:** Ethical dilemmas can emerge when foreign subsidiaries operate in countries where human rights violations or significant environmental impact is a concern. Investors must ensure that their subsidiaries operate in a manner that respects human rights, supports sustainable practices and minimises their environmental footprint. Balancing business interests with ethical responsibilities in these areas can be complex but essential.
- Transfer pricing and tax avoidance:** When foreign subsidiaries use transfer pricing practices or aggressive tax planning strategies to reduce their tax liabilities, ethical dilemmas arise. These practices can be seen as exploiting loopholes or artificially shifting profits to low-tax jurisdictions, resulting in diminished tax revenues for host countries. Investors should adopt transparent and responsible tax practices that align with both legal requirements and ethical considerations.
- Cultural sensitivity and respect:** Ethical dilemmas emerge when foreign subsidiaries fail to demonstrate cultural sensitivity and respect for local customs, values and traditions. Investors must ensure their subsidiaries embrace diversity, promote inclusivity and foster respectful relationships with local stakeholders. Failure to do so can result in reputational damage and strained relationships with local communities and customers.

Addressing ethical dilemmas in foreign subsidiaries requires investors to uphold ethical principles, show cultural sensitivity, and comply with local laws and regulations. Investors should establish clear policies and guidelines for ethical conduct, provide adequate training and support to subsidiary employees, and ensure regular monitoring and oversight. Engaging with local stakeholders, maintaining open lines of communication and fostering a strong ethical culture is crucial for managing ethical challenges in foreign subsidiaries.

Link to the Sustainable Development Goals

Investments in foreign operations can be aligned with several Sustainable Development Goals as companies aim to contribute to global sustainability objectives. For example, foreign operations may contribute to job creation, skills development and economic growth in foreign countries, with entities fostering a decent work environment by adhering to fair labour practices and promoting local employment. This supports both Sustainable Development Goal 8, which is 'Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all' (UN, 2015:14), and Sustainable Development Goal 10, which is 'Reduce inequality within and among countries' (UN, 2015:14).

Key points to take from this chapter

- At each reporting date when group financial statements are prepared and presented, the financial statements of the foreign operation are translated to the presentation currency of the parent (or investor) using the following exchange rates in accordance with IAS 21, *The Effects of Changes in Foreign Exchange Rates*:
 - Assets and liabilities: at the closing rate
 - Income and expenses: at the actual rate at the date of the transaction or using the average rate for the current period
- Equity: at the historical rate at acquisition, and at the closing rate at the reporting date.
 - Differences resulting from the translation of the financial statements of the foreign operation to the presentation currency of the parent are recorded as an exchange difference.
- Within group accounting, when translating amounts relating to the foreign operation:
 - Exchange differences in the current period are presented in other comprehensive income in the section that deals with reclassifiable amounts.
 - The other comprehensive income account is closed off to the foreign currency translation reserve account for the parent's share and to the non-controlling interest for the non-controlling interest's share.
- The foreign currency translation reserve is an accumulation of exchange differences recognised to date.
- When an interest in a subsidiary is disposed of, the cumulative amount recognised in the foreign currency translation reserve is reclassified, to the extent that control in the subsidiary is lost:

- When control or significant influence is lost, 100% of the cumulative amount recognised in the foreign currency translation reserve is reclassified through other comprehensive income from profit or loss.
- When control is not lost, there is no reclassification. No amounts are recognised in profit or loss; this is an equity transaction.
- When a shareholding in an associate is reduced based on the investor's share that is reduced, the amounts relating to the percentage interest lost are transferred.

Discussion questions

1. What is the presentation currency of an entity and what is the functional currency of an entity?
2. Why is it necessary to translate the financial statements of a foreign operation into the presentation currency of the parent?
3. How would you recognise and measure an investment in a foreign operation in the separate financial statements of the parent?
4. Why is it necessary to consolidate a controlling interest in a foreign subsidiary?
5. How would you recognise goodwill in a foreign subsidiary when preparing group financial statements?

Exercise questions

Question 1

P Ltd purchased 80% of the shares of S PLC, a company registered in a foreign country, with a foreign functional currency (FC), on 1 January 20x3 for FC700 000, at which date the equity of S PLC was FC1 020 000. All the identifiable assets and liabilities of S PLC were considered to be fairly valued at their carrying amounts in the financial statements of S PLC at the date of acquisition.

You were presented with the following analysis of the equity of S PLC:

The presentation currency of P Ltd is CU. The following exchange rates applied:

You are required to do the following:

1. Give the amount at which P Ltd will recognise its investment in S PLC, in its separate financial statements at 31 December 20x5.
2. Calculate the following amounts to be recognised in the group financial statements of P Ltd for the year ended 31 December 20x5.
 - a) Goodwill
 - b) Non-controlling interest
 - c) Foreign currency translation reserve

Question 2

P Ltd purchased 60% (representing control) of Foreign Ltd on 1 January 20x3 for CU1 800. The retained earnings of Foreign Ltd at that date was FC1 000. Non-controlling interest is measured at the attributable share of the net assets at the acquisition date.

Foreign Ltd purchased its plant on 1 January 20x3 and it is depreciated at 25% per annum on the straight-line basis with no residual value. Land and buildings were purchased on 1 January 20x3. Buildings are not depreciated. Goodwill is not impaired.

You received the following extract from the trial balance of Foreign Ltd:

Foreign Ltd trial balance as at 31 December 20x3

The following exchange rates are relevant:

Ignore taxation.

You are required to do the following:

1. Translate the results of Foreign Ltd from its functional currency (FC) to the presentation currency of the parent (CU). Assume that the translated closing retained earnings were:

- CU1 000 at 31 December 20x2
- CU2 111 at 31 December 20x3.

(In other words, FC1 000 translated at the 20x3 average of 0,90 + CU1 000 = CU2 111.)

2. Prepare the pro-forma journal entries necessary to consolidate the translated results of Foreign Ltd with P Ltd.

Reference

United Nations (UN). 2015. 70/1. *Transforming Our World: The 2030 Agenda for Sustainable Development*. Available https://www.un.org/en/development/desa/population/migration/generalassembly/docs/globalcompact/A_RES_70_1_E.pdf [2023, October 23].



Additional practice questions for this chapter are available on EduZone and may be requested from your prescribing lecturer.

There is also a question bank of integrated questions for lecturer use.

GLOSSARY

A

Accounting estimate: a judgement or assumption used in applying an accounting policy when, because of estimation uncertainty, an item in financial statements cannot be measured with precision

Accounting policy: a principle or convention applied in preparing the financial statements of an entity

Accrual basis of accounting: an accounting method in which the effects of transactions and other events and circumstances on a reporting entity's economic resources and claims are recorded and reported in the periods in which those effects occur, even if the resulting cash receipts and payments occur in a different period

Accumulated depreciation: the cumulative depreciation of an asset aggregated since the date when the asset was first brought into use

Acquiree: a business of which the acquirer obtains control in a business combination

Acquirer: an entity that obtains control of an acquiree in a business combination

Acquisition date: the date on which the acquirer obtains control of the acquiree in a business combination

Adjusting event: a piece of information that is discovered after the reporting date, but that relates to conditions that existed at the reporting date, and which should be taken into account when preparing the financial statements

Aggregation: the process of combining different assets and disclosing the total amount in the statement of financial position

Amortisation (of an intangible asset): the systematic allocation of the depreciable amount of an intangible asset over its useful life

Amortised cost: a way of measuring the value of a financial instrument by discounting all future receipts and payments relating to that instrument using the effective interest rate

Assessed loss: a tax loss that has been confirmed by SARS once the entity has submitted its tax assessment form

Asset: a present economic resource controlled by the entity as a result of past events

Associate: an entity over which the investor has significant influence

Authorised capital: the different classes of shares and the number of shares that a company is authorised to issue

B

Basic earnings: the profit or loss of an entity for the reporting period less any dividends declared or accrued to shares issued with preferential rights to dividends

Basic earnings per share: a ratio calculation that is determined by dividing basic earnings attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during a reporting period

Borrowing costs: interest and other costs that an entity incurs in connection with the borrowing of funds

Business combination: a transaction or other event in which an acquirer obtains control of one or more businesses

By-product: a secondary product resulting from the production of another item

C

Capital gains tax: an inclusion tax levied when an entity disposes of a capital asset; the gain is calculated as the difference between the proceeds received and the base cost of the asset

Capitalisation issue: when an entity issues additional shares to existing shareholders in proportion to their current holdings at no cost to the shareholders

Carrying amount: the amount at which an asset is recognised after taking into consideration accumulated depreciation (or accumulated amortisation if the asset is an intangible asset) and accumulated impairment losses

Cash: cash on hand and demand deposits

Cash equivalents: short-term, highly liquid investments that are readily convertible to known amounts of cash and that are subject to an insignificant risk of changes in value

Cash flows: inflows and outflows of cash and cash equivalents

Cash-generating unit: the smallest identifiable group of assets independently generating cash flows

Cash-settled share-based payment: a payment in which an entity receives goods or services and incurs a liability based on the value of the entity's shares, other equity instruments of the entity or another group entity

Closing rate: the spot rate at the end of the reporting period

Commencement date (of a lease): the date on which the lessor makes an underlying asset available for use by the lessor

Commitment: a future liability

Component: operations and cash flows of an entity that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity

Component approach: an accounting method in which the cost of significant components is identified separately so that they can be depreciated over the appropriate useful life

Consignment inventory: inventory sold on behalf of the owner via an agent

Consolidated financial statements: the financial statements of a group in which the assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented as those of a single economic entity

Consolidation: the process of combining the financial statements of the parent and its subsidiaries in order to prepare consolidated financial statements

Consumables: incidental materials consumable in the production process that have not yet been used in the production process, such as oil and cleaning materials

Contingent asset: a possible asset that arises from past events and whose existence will only be confirmed by the occurrence or non-occurrence of one or more uncertain future events that are not wholly within the control of the entity

Contingent liability: an unrecognised liability where the obligation is possible, but not probable, or the definition of a liability has been satisfied at the reporting date, but the amount cannot be measured reliably

Contract: an agreement between two or more parties that creates enforceable rights and obligations

Contract asset: the right to receive a consideration in exchange for goods or services transferred to a customer when that right has a condition (for example, the future performance of the entity)

Contract liability: the obligation to transfer goods or services to a customer for which a consideration has already been received from the customer

Control: the power that an investor has over an investee to receive variable returns from its involvement with the investee

Conversion costs: expenditure incurred to change raw materials into finished goods

Convertible preference shares: preference shares that give the shareholder the right to convert those shares into ordinary shares; the right to convert may be at the option of the holder of the shares or at the option of the company itself

Cost: cost price less accumulated depreciation less accumulated impairment

Cost approach valuation technique: a valuation technique that estimates the fair value of an asset or liability by giving the amount required to replace an asset's service capacity

Cost constraint: the principle that the cost of providing information should be justified by the benefits of reporting the information

Cost price: the purchase price of an item of property, plant and equipment as well as any directly attributable costs that were incurred in order to bring the asset to the location and the working condition necessary for it to be capable of operating in the manner intended by management

Costs of disposal: incremental costs directly attributable to the disposal of the asset, excluding finance costs and income tax expenditure

Credit loss: cash shortfalls, being the difference between contractual cash flows and the cash flows that an entity expects to receive

Cumulative preference shares: preference shares that give the shareholder the right to receive a dividend that accrues even if the dividend is not declared in a particular year; the dividend is therefore in arrears

Current tax expense: taxable income multiplied by the current tax rate (taxable income $\times$ corporate tax rate)

Current value measures: measures that provide monetary information about assets and liabilities as well as the related income and expenses using information updated to reflect conditions at the measurement date

D

Deductible temporary differences: temporary differences that will result in less tax being paid in the future

Deferred tax: the tax obligation of future taxable consequences relating to assets and liabilities recognised in the statement of financial position

Defined benefit plans: post-employment benefit plans other than defined contribution plans

Defined contribution plans: post-employment benefit plans under which an entity pays fixed contributions into a separate entity (a fund) and has no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee service in the current and prior periods

Depreciable amount: the cost of an asset less its residual value

Depreciation: the cost of using an asset, reflecting the pattern in which an asset's economic benefits are expected to be consumed through its use by the entity, determined as the systematic allocation of the depreciable amount of an asset over its useful life

Derecognition: the removal of all or part of a recognised asset or liability from an entity's statement of financial position, which occurs when it is sold, or when an entity does not expect to receive any economic benefits from its use or disposal

Development costs: expenditure incurred in the application of research findings or other knowledge to plan the production of new or substantially improved materials, products or processes before these are commercially produced or used

Diluted earnings: basic earnings, adjusted by the after-tax increase (or decrease) relating to dividends, interest and other income or expenses recognised in the reporting period in respect of the dilutive potential shares that would no longer arise if they were converted into ordinary shares

Diluted earnings per share: a ratio calculation determined after taking into account the effect of the potential dilution to an entity's earnings per share ratio that may stem from the issue of potential ordinary shares at a future date

Direct tax: a tax levied on the profits of the entity, rather than on goods or services

Discontinued operation: a component of an entity that has either been disposed of or is classified as held for sale, and that meets one of the following requirements: it represents a separate major line of business or geographical area of operations, it is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations, or it is a subsidiary acquired exclusively with a view to resale

Disposal groups: groups of assets that are disposed of together with their associated liabilities

Dividends: a distribution of a portion of a company's profits to its owners (shareholders) in proportion to their shareholdings

Dividends tax: a form of indirect tax, where the entity withholds tax from the shareholder and pays that amount over to SARS when it declares a dividend

E

Economic resource: a right that has the potential to produce economic benefits

Employee benefits: all forms of consideration given by an entity in exchange for services rendered by employees or for the termination of employment

Equity: the residual interest in the assets of an entity after deducting all its liabilities (equity = assets – liabilities)

Equity claim: the claim on the residual interest in the assets of an entity after deducting all its liabilities

Equity method: a method of accounting whereby the investment is initially recognised at cost and adjusted for changes in the investee's net assets post-acquisition

Equity-settled share-based payment: a transaction in which an entity receives goods or services as consideration for its own equity instruments, or those of another entity in the same group or a shareholder of any group entity

Events after the reporting date: events, both favourable and unfavourable, that occur between the reporting date and the date on which the financial statements are authorised for issue

Exchange difference: a difference resulting from translating a given number of units of one currency into another currency at different exchange rates

Executive directors: directors who are employed by a company and receive a salary

F

Fair presentation: the faithful representation of the effects of transactions, other events and conditions on the performance of an entity in accordance with the definitions and recognition criteria for assets, liabilities, income and expenses set out in the *Conceptual Framework*

Fair value: the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date

Fair value hierarchy: a tool for the classification of inputs into a valuation technique so that the more important kind of inputs are given more influence on the result

Fair value less costs of disposal: the net proceeds expected to be realised upon the sale of an asset or cash-generating unit at its fair value after taking into consideration any incremental costs of disposal

Finance lease: a lease that transfers substantially to the lessee all the risks and rewards that are incidental to the ownership of an underlying asset

Financial asset: any asset that matches any one of the following descriptions: cash, an equity instrument of another entity, a contractual right to receive cash or another financial asset from another entity, a contractual right to exchange financial instruments with another entity under conditions that are potentially favourable, or a contract that will or may be settled in the entity's own equity instruments

Financial instrument: any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity

Financial liability: any liability that is a contractual obligation to deliver cash or another financial asset to another entity, or to exchange financial instruments with another entity, under conditions that are potentially unfavourable, or a contract that will or may be settled in the entity's own equity instruments

Financial statement analysis: using the financial statements as a basis of financial analysis in order to make decisions

Financial year: a 12-month period designated by an entity to evaluate its performance and financial position; in most instances, the tax year and the financial year coincide

Financing activities: activities that result in changes in the size and composition of the combined equity and borrowings of an entity

Finished goods: the costs of the completed but unsold goods on hand at the end of the year

Foreign currency: a currency other than the functional currency of the entity

Foreign currency translation reserve: the cumulative exchange differences that arise when different elements in the financial statements of a foreign operation are translated using different exchange rates

Foreign operation: a subsidiary, associate, joint venture or branch that is located in a country other than the country of the parent entity

Fulfilment value: the present value of cash or other economic resources that an entity expects to be obliged to transfer as it fulfils (or settles) a liability

Functional currency: the currency of the primary economic environment in which an entity operates

G

General-purpose financial statements: financial statements that are intended to meet the needs of users who are not able to require an entity to prepare reports tailored to their specific information needs

Going concern: where an entity will be able to continue its operations into the foreseeable future without significantly reducing the size of its operations and where there is no intention to liquidate the business

Goodwill: an asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised

Gross carrying amount: the amount at which the carrying amount of an asset is restated when an asset is revalued with reference to observable market data, or it may be restated proportionately to the change in the carrying amount

Group: a parent and its subsidiaries

H

Headline earnings: the basic earnings adjusted for a remeasurement in profit or loss relating to any changes in the carrying amount of an asset or liability after the initial recognition of that asset or liability

Headline earnings per share: a ratio calculation that is determined by dividing headline earnings attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during a reporting period



Impairment loss: the amount by which the carrying amount of an asset or cash-generating unit exceeds its recoverable amount

Inception date (of a lease): the date of a lease agreement or the date of commitment by the parties to the terms and conditions of a lease (if earlier)

Income approach valuation technique: a valuation technique that estimates the fair value of an asset or liability by converting future amounts to a single net current amount

Income tax: a direct tax that is levied on all registered taxpayers

Indefinite useful life: the condition that exists when there is no foreseeable limit to the period over which an entity will continue to receive economic benefits from an intangible asset

Indirect tax: a type of tax that is collected by a third party on behalf of SARS (for example, VAT)

Initial direct costs: costs incurred directly as a result of obtaining a lease

Intangible asset: an identifiable non-monetary asset without physical substance

Integrated report: a concise communication about how an organisation's strategy, governance, performance and prospects, in the context of its external environment, lead to the creation of value in the short, medium and long term

Inter-entity (or intra-group) transactions: transactions that occur between entities within a group

Interim financial statements: financial statements prepared for those periods of time (monthly, quarterly and so on) between the company's annual financial statements

Internally generated intangible assets: an intangible asset that results from the activities of an entity over a period of time

Inventory: assets held for sale in the ordinary course of business, in the process of production for such sale, or in the form of materials or supplies to be consumed in the production process or in the rendering of services

Investing activities: the acquisition and disposal of long-term assets and other investments not included in cash equivalents

Investment entity: an entity that receives funds from investors with the mandate to invest those funds to produce a financial return for the investors

Investment property: a property (land or a building – or part of a building – or both) held (by the owner or by the lessee as a right-of-use-asset) to earn rentals or for capital appreciation or both, rather than for use in the production or supply of goods or services or for administrative purposes, or for sale in the ordinary course of business

Issued capital: the actual classes and number of shares that have been issued to shareholders

J

Joint arrangement: an arrangement in which two or more parties have joint control of decision-making

Joint control: the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing the control

Joint venture: a joint arrangement whereby the parties that have joint control of the arrangement have rights to the assets and obligations for the liabilities relating to the arrangement

L

Lease: an agreement in terms of which the owner of an asset transfers the right to control the use of an asset to another party in exchange for a series of payments

Lease term: the non-cancellable period for which a lessee has the right to use an underlying asset

Lessee: the entity that obtains the right to use an underlying asset for a period of time in exchange for making a payment or a series of payments

Lessor: the entity that provides the right to use an underlying asset for a period of time in exchange for a payment or a series of payments

Liability: a present economic resource controlled by an entity as a result of past events

Liquidity: an entity's ability to pay its debts as they become due in the ordinary course of business

Local currency: the currency in the country in which the foreign operation is based

M

Market approach valuation technique: a valuation technique that uses prices and other relevant information generated by market transactions involving identical or similar assets, liabilities or a group of assets and liabilities in order to estimate the fair value of an asset or liability

Measurement: the process of determining the monetary amounts at which elements of the financial statements of an entity are to be recognised

Merchandise: goods purchased for resale and still on hand at the reporting date

Monetary asset: money held and assets to be received in fixed or determinable amounts of money by an entity

Monetary item: unit of currency held and assets or liabilities to be received or paid in a fixed or determinable number of units of currency

N

Net realisable value: the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make a sale

Non-adjusting events: events that are indicative of conditions that arise after the reporting date before the financial statements are issued; no adjustments to the amounts recognised in the financial statements are required for non-adjusting events

Non-controlling interest: equity in a subsidiary that is not attributable, directly or indirectly, to the parent

Non-executive directors: directors who are not full-time employees of a company

Normal capacity: the production expected to be achieved on average over a number of periods or seasons under normal circumstances, taking into account the loss of capacity resulting from planned maintenance

O

Offsetting: when an entity recognises and measures assets and liabilities separately, but then groups them into a single line item in the statement of financial position

Onerous contract: a contract in which an entity expects to incur some unavoidable costs in order to meet the obligations of the contract and those costs exceed the economic benefits that it expects to receive from the contract

Operating activities: the principal revenue-producing activities of an entity and other activities that are not investing or financing activities

Operating lease: a lease that does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset

Operating segment: a component of an entity for which discrete information is available, including a component of an entity that engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the entity) and a component of an entity whose operating results are regularly reviewed by the entity's chief operating decision-maker in order to make decisions about resources to be allocated to the segment and assess its performance

Ordinary shares: shares held by ordinary shareholders, who are the owners of the company

Over- or underprovision of tax: the difference between the assessed tax amount due to SARS and the amount the entity recognised as the expected current tax payable

Owner-occupied property: property used in the production or supply of goods or services, or for administrative purposes

Owners' equity: the equity of an entity that is attributable to its owners

Ownership rights: the right of owners (or shareholders) to receive distributions (dividends) declared by the company as well as the right to share in the net assets of the entity when it is liquidated

P

Parent company: an entity that controls one or more entities

Parent equity holders (or parent shareholders): investors that own the equity of the parent entity

Participating preference shares: preference shares that give the shareholder the right to share in extra dividends, usually after the ordinary dividend has been declared

Partly owned subsidiary: a subsidiary that is controlled by a parent, but where the parent owns less than 100% of the equity

Pay-as-you-earn (PAYE) tax: a form of indirect tax, whereby the entity pays over a certain portion of the monthly salaries earned by its employees to SARS

Performance obligation: a promise in a contract with a customer to transfer either a good or a service that is distinct, or a series of distinct goods or services that are substantially the same, to the customer

Periodic recording method: method of accounting that records inventory purchased during the year in a purchases account and only calculates the inventory balance at the end of each reporting period

Perpetual recording method: method of accounting that records inventory purchased during the year in an inventory account and keeps track of inventory at any point in time

Potential dilutive effect: the after-tax increase (or decrease) in basic earnings as a result of conversion, divided by the potential new ordinary shares

Potential ordinary shares: financial instruments (for example, debentures, convertible preference shares or share options) that have been issued and that have the potential of being converted into ordinary shares in the future

Preference shares: shares that usually have a preferential right to receive preference dividends prior to the declaration of ordinary dividends, and which are held by shareholders or investors who do not have ownership rights in an entity

Preliminary expenses: expenditure incurred when a company is formed, usually prior to the commencement of operations of the company

Presentation currency: the currency in which an entity's financial statements are presented

Prior period error: an error in the prior financial statements of an entity that have already been issued, resulting from an omission of or a misstatement of a transaction or event, or resulting from the failure to use or the misuse of reliable information that was available or could reasonably be expected to have been obtained at the time of the preparation or authorisation of those statements

Professional judgement (in making an accounting estimate): the selection of an estimation technique or valuation technique to measure an item that cannot be measured with precision

Pro-forma journal entries: journal entries that are used to prepare consolidated financial statements and which are not recorded in the underlying accounting records of the group entities

Property, plant and equipment: tangible assets held for use in the production or supply of goods or services, for rental to others, or for administrative purposes, that the entity expects to use over an extended period

Prospective adjustment: adjustments that are made in the financial statements at the time when the change is identified

Provision: a liability of uncertain timing or amount

Provisional tax payments: periodic payments made to SARS based on an entity's estimated tax liability for the tax year

Q

Qualifying asset: an asset that takes a substantial period of time to get ready for its intended use or sale

Quality of an entity's earnings: the extent to which an entity's accounting profit or loss is obtained from its actual cash flow from operating activities

R

Ratio analysis: the use of ratios to obtain insight into the performance of an organisation

Raw materials: goods purchased for use in the manufacturing process and not yet introduced into production at the reporting date

Reclassification adjustment: an amount reclassified to profit or loss in the current period that was recognised in other comprehensive income in the current or previous periods

Recognition (of an element): the process of including an item that meets the definition of one of the elements of financial statements (an asset, a liability, equity, income or expenses) in the statement of financial position or the statement/s of financial performance

Recoverable amount: the estimated economic benefits expected to be realised from an asset, either through use or sale; it is the higher of an asset's fair value less costs of disposal or its value in use

Redeemable preference shares: preference shares that give the shareholder the right to settlement at a specified price at a specified date in the future

Related party: a person or entity that is related, as defined in IAS 24, *Related Party Disclosures*, to the reporting entity

Relevant: information that is capable of making a difference in the decisions made by users

Reporting date: the last date of the reporting period; also referred to as the 'year-end date of an entity', which is the date on which the statement of financial position is prepared

Reporting period: the period since the previous reporting date and the current reporting date; the reporting period is usually one year (or 12 months); however, when an entity changes its reporting date, the reporting period may be longer or shorter than 12 months

Research: original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding

Residual value: the estimated amount that an entity would currently obtain from the disposal of an asset, after deducting the estimated costs of disposal, if the asset were already of the age and in the condition expected at the end of its useful life

Retained earnings: the accumulated profits of the entity that have not yet been distributed to equity holders

Retrospective application: when applying a new accounting policy to transactions, other events and conditions, the adjustments are made as if that policy had always been applied; similarly, when correcting a prior period error, the adjustments are made to amounts previously reported as if that error had never happened

Revaluation gain or loss: the increase in an asset's carrying amount to its revalued amount at the revaluation date

Revaluation surplus: the cumulative revaluation gains and losses of assets, measured using the revaluation model, recognised in equity

Revalued amount: the fair value of an asset at the date of the revaluation

Revenue: income arising in the course of the ordinary activities of an entity

Right-of-use asset: an asset that represents a lessee's right to use an underlying asset for a lease term

Rights offer: an offer of new shares to existing shareholders, giving them the right to acquire these additional shares in a specific ratio to their existing shareholding at a specified price

S

Separate financial statements: financial statements presented by an entity in which it can choose to account for investments in subsidiaries, associates and joint ventures at cost, using the equity method or as financial assets

Share-based payment arrangement: an arrangement between an entity and another party that entitles the other party to receive equity instruments (for example, shares and/or share options) of the entity, or to receive cash or other assets of the entity for amounts that are based on the price of the entity's shares

Share capital account: the net consideration received from the issue of shares, credited to a share capital account

Shareholders' equity: the residual interest attributable to the shareholders of a company, being their interest in the net assets of the company

Share issue costs: the costs associated with the issue of shares; such costs are avoidable if the shares are not issued

Short-term employee benefits: employee benefits (other than termination benefits) that are expected to be settled wholly before 12 months after the end of the annual reporting period in which the employees render the related service

Significant influence: the power to participate in the financial and operating policy decisions of the investee, other than the power to control or have joint control of those policies

Solvency: when the assets of an entity (measured at fair value) exceed its liabilities

South African Revenue Services (SARS): the recognised tax authority of South Africa; also known as the Receiver of Revenue

Stand-alone selling price: the price at which an entity would separately sell a promised good or service to a customer (the price of a good or service)

Statement of cash flows: a financial statement that provides useful information on the way in which an entity obtains and spends cash (including the borrowing and repayment of debt as well as the payment of cash dividends or other cash distributions to investors), and about the entity's liquidity and solvency

Statement of changes in equity: a financial statement that reports the changes in the equity of an entity from one reporting year to the next

Statement presenting comprehensive income: a statement of financial performance that starts with profit or loss followed by the other comprehensive income section

Statement of financial position (previously referred to as a 'balance sheet'): a financial statement that contains information about an entity's resources (assets) and claims against those resources (liabilities) on a particular day

Statement of profit or loss and other comprehensive income (previously referred to as an 'income statement'): a financial statement that reports the total comprehensive income of an entity for the reporting period, comprising revenue, expenses, gains and losses

Sub-lease: a transaction for which an underlying asset is released by a lessee to a third party

Subsidiary: an entity that is controlled by another entity

T

Taxable income: the tax profit of an entity calculated using the provisions of the *Income Tax Act, No. 58 of 1962*

Taxable temporary differences: temporary differences that will result in more tax being paid in the future

Tax assessment form: a designated form used to summarise the tax amounts due to SARS; also known as a tax return

Taxation payable: the taxes due by an entity to SARS, comprising direct as well as indirect taxes

Tax base: the amount assigned by an entity to an asset or a liability for tax purposes

Tax expense: a composite amount that includes current and deferred tax as well as over- or underprovisions of tax; the composition of the amount is detailed in IAS 12, *Income Taxes*, paragraph 80

Tax loss: a loss calculated using the provisions contained in the *Income Tax Act, No. 58 of 1962*

Tax rate reconciliation: a reconciliation of the differences between the expected tax expense and the actual tax expense incurred by an entity

Tax year: the year of assessment for income tax purposes

Temporary differences (relating to the calculation of deferred taxation): the difference between the carrying amount and the tax base of an asset or a liability

Termination benefits: employee benefits provided in exchange for the termination of an employee's employment as a result of an entity's decision to terminate an employee's employment before the normal retirement date or an employee's decision to accept an offer of benefits in exchange for the termination of employment

Total comprehensive income: the change in equity during a period resulting from transactions and other events, other than those changes resulting from transactions with owners in their capacity as owners

Trading account: an account that reflects the gross profit recorded by the head office arising from transactions with the branch

Transaction price: the consideration that an entity expects to receive in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties

Transfer price: cost price plus a mark-up

Treasury shares: shares in an entity that are repurchased by the issuing entity as an investment or, in the case of a parent, are purchased by the subsidiary entity

U

Underlying asset: an asset that is the subject of a lease; the lessor provides to the lessee the right to use that asset

Unit of account: the right or the group of rights, the obligation or the group of obligations, or the group of rights and obligations, to which recognition criteria and measurement concepts are applied

V

Valuation technique: a method of determining or estimating the fair value

Value-added tax (VAT): an indirect tax charged on the supply of goods and services

Value in use: the present value of estimated cash flows or other economic resources that an entity expects to derive from using an asset (or a cash-generating unit) as well as from its ultimate disposal

VAT vendor: an entity registered for VAT that can claim input VAT when buying goods and which charges output VAT when supplying goods

Voting rights: the right of shareholders to vote, usually exercised at the annual general meeting of an entity

W

Weighted number of ordinary shares: the number of shares that are in issue (outstanding) during the reporting period that have voting rights and that entitle their owners to receive the net assets of an entity upon its liquidation

Wholly owned subsidiary: a subsidiary where the parent owns 100% of the equity

Working capital: the capital of a business that is used in its day-to-day trading operations, calculated as the current assets minus the current liabilities

Work-in-progress: raw materials on which work has been started but not yet finished at the reporting date

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